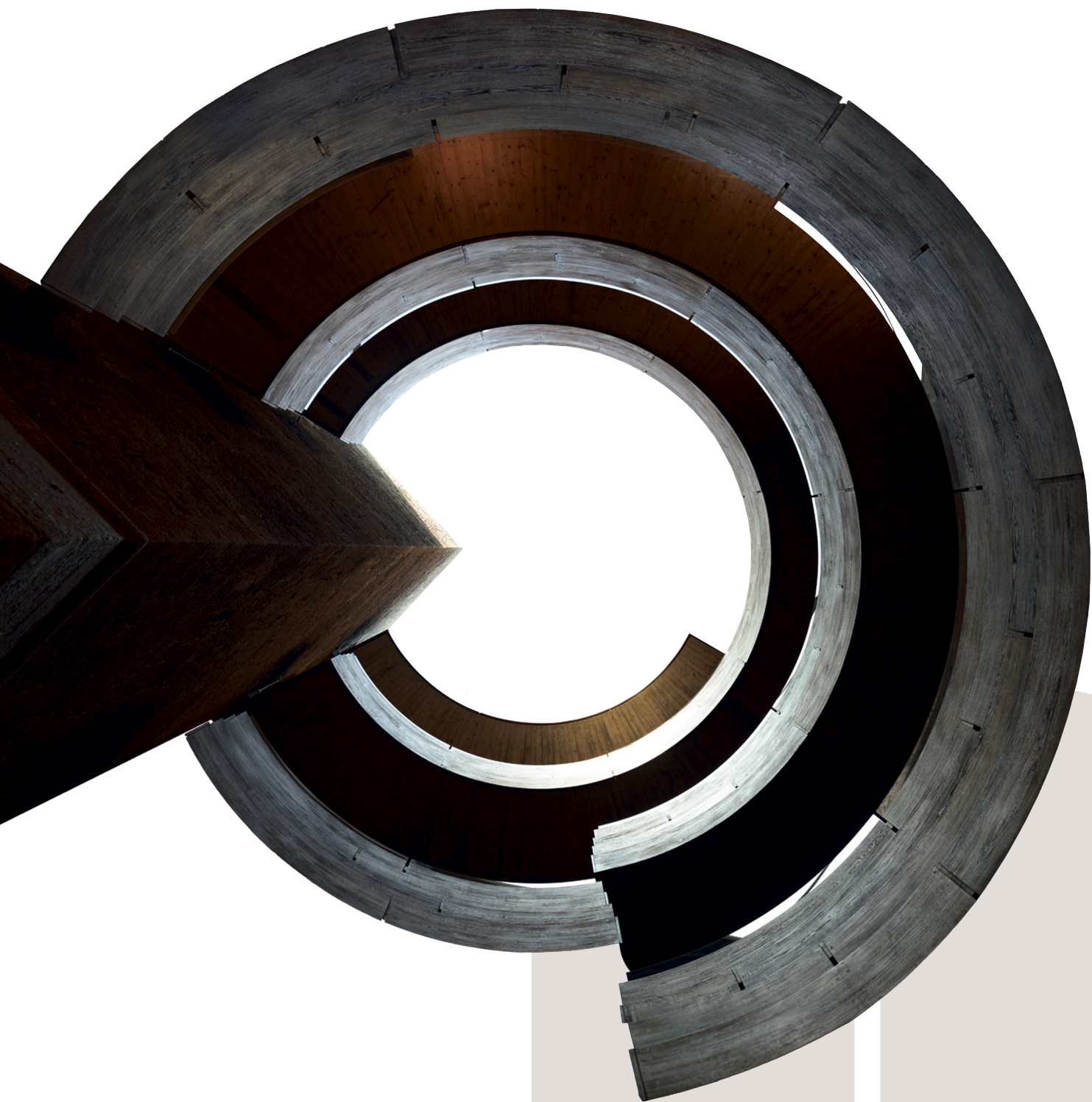




**MONTE
DEI PASCHI
DI SIENA**
BANK SINCE 1472



Monte dei Paschi di Siena Group
Annual Report

2022

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Annual Report as at 31 December 2022



Banca Monte dei Paschi di Siena S.p.a.

Registered office in Piazza Salimbeni 3, Siena, Italy

Share Capital: € 7,453,450,788.44 fully paid in

Registered with the Arezzo-Siena Companies' Register – registration no. and tax code 00884060526

MPS VAT Group - VAT number 01483500524

Member of the Italian Interbank Deposit Protection Fund. Registered with the Register of Banks under no. 5274

Monte dei Paschi di Siena Banking Group, registered with the Register of Banking Groups.



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GOVERNING AND CONTROL BODIES

BOARD OF DIRECTORS

Maria Patrizia GRIECO	Chairman
Francesca BETTIO	Deputy Chairman
Rita Laura D'ECCLESIA	Deputy Chairman
Luigi LOVAGLIO	Chief Executive Officer
Luca BADER	Director
Alessandra Giuseppina BARZAGHI	Director
Marco BASSILICHI	Director
Francesco BOCHICCHIO	Director
Rosella CASTELLANO	Director
Paola DE MARTINI	Director
Raffaele DI RAIMO	Director
Stefano DI STEFANO	Director
Marco GIORGINO	Director
Nicola MAIONE	Director
Roberto RAO	Director

BOARD OF STATUTORY AUDITORS

Enrico CIAI	Chairmen
Luigi SOPRANO	Standing Auditor
Luisa CEVASCO	Standing Auditor

SENIOR MANAGEMENT

Luigi LOVAGLIO	General Manager
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FINANCIAL REPORTING OFFICER

Nicola Massimo Clarelli

INDEPENDENT AUDITORS

PricewaterhouseCoopers S.p.A.



CONSOLIDATED ANNUAL REPORT

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Basis of preparation

The Consolidated Report on Operations as at 31 December 2022 provides a snapshot of the activities and results which largely characterized the Group's operations during the year, both as a whole and in the various business sectors.

In particular, economic and financial indicators, based on accounting data, are those used in internal performance management and management reporting systems, and are consistent with the most commonly used metrics within the banking industry, thereby ensuring the comparability of presented figures.

The income statement and balance sheet have been reclassified based on presentation criteria that are more suitable for representing the contents of the items according to consistent operational criteria.

In addition, the Report incorporates non-financial company information providing the details on the activities, capital, risks and relations that are significant to the Group's current and future performance. This information is also more thoroughly analysed in the corporate communications found on the Banca MPS website www.mps.it, such as: the "Consolidated Non-Financial Statement", "Report on Corporate Governance and the Shareholding Structure", the "Remuneration Report" and the "Pillar 3 Disclosure".



Results in brief

Below are the main economic and financial values of the Montepaschi Group as at 31 December 2022, compared with those for the previous year. The Alternative Performance Measures (APMs) identified by the Directors to facilitate the understanding of the economic and financial performance of the Group's operations are also presented. The APMs, which are built using the reclassified data reported in the Reclassified consolidated income statement and Reclassified Balance Sheet chapters, are based on accounting data, corresponding to those used in internal performance management and management reporting systems, and consistent with the most commonly used metrics within the banking industry, thereby ensuring the comparability of reported figures.

These measures take into account the Guidelines provided by the European Securities and Markets Authority (ESMA) on 5 October 2015, which the Italian stock exchange regulator, Consob, incorporated in its supervisory practices (Communication no. 0092543 of 3 December 2015). These Guidelines became applicable as of 3 July 2016. Please note that, in line with the instructions set forth in the update to the document "ESMA 32_51_370 – Question and answer – ESMA Guidelines on Alternative Performance Measures (APMs)" published on 17 April 2020, no changes have been made to the APMs in use in order to consider the effects of the COVID-19 crisis. It should be noted that, for each APM, information is provided on its definition and calculation methods, and the amounts used in the calculation may be identified through the information contained in the tables below or in the reclassified financial statements in this Consolidated Report on Operations.

INCOME STATEMENT AND BALANCE SHEET FIGURES			
MONTEPASCHI GROUP			
INCOME STATEMENT FIGURES (EUR mln)	31 12 2022	31 12 2021	Chg.
Net interest income	1,538.7	1,221.5	26.0%
Net fee and commission income	1,364.6	1,484.0	-8.0%
Other income from banking business	165.7	310.8	-46.7%
Other operating income and expenses	19.4	(36.5)	n.m.
Total Revenues	3,088.5	2,979.8	3.6%
Operating expenses	(2,099.2)	(2,105.9)	-0.3%
Cost of customer credit	(416.9)	(250.0)	66.8%
Other value adjustments	(1.1)	5.3	n.m.
Net operating income (loss)	571.2	629.2	-9.2%
Non-operating items	(1,198.7)	(365.8)	n.m.
Parent company's net profit (loss) for the year	(204.7)	309.5	n.m.
EARNINGS PER SHARE (EUR)	31 12 2022	31 12 2021*	Chg.
Basic earnings per share	(0.975)	31.389	n.m.
Diluted earnings per share	(0.975)	31.389	n.m.
BALANCE SHEET FIGURES AND INDICATORS (EUR mln)	31 12 2022	31 12 2021	Chg.
Total assets	120,172.9	137,868.6	-12.8%
Loans to customers	76,265.3	79,380.3	-3.9%
Direct funding	81,997.6	90,300.3	-9.2%
Indirect funding	92,420.7	104,429.7	-11.5%
of which: assets under management	57,733.6	65,285.5	-11.6%
of which: assets under custody	34,687.1	39,144.2	-11.4%
Group net equity	7,797.6	6,172.7	26.3%
OPERATING STRUCTURE	31 12 2022	31 12 2021	Chg.
Total headcount – end of year	17,020	21,244	(4,224)
Number of branches in Italy	1,362	1,368	(6)

* Basic and diluted earnings per share as at 31 December 2021 were restated, compared to the figures posted at the reporting date, following the grouping operation of the Parent Company's ordinary shares at a ratio of 1 new ordinary share to 100 treasury shares that was carried out on 26 September 2022, pursuant to the resolution issued by the Parent Company's Extraordinary Shareholders' Meeting held on 15 September 2022.



ALTERNATIVE PERFORMANCE MEASURES			
MONTEPASCHI GROUP			
PROFITABILITY RATIOS (%)	31 12 2022	31 12 2021	Chg.
Cost/Income ratio	68.0	70.7	-2.7
ROE (on average equity)	(2.9)	5.2	-8.1
Return on Assets (RoA) ratio	(0.2)	0.2	-0.4
ROTE (Return on tangible equity)	(3.0)	5.3	-8.3
CREDIT QUALITY RATIOS (%)	31 12 2022	31 12 2021	Chg.
Net NPE ratio	2.2	2.6	-0.4
Gross NPL ratio	3.6	3.8	-0.2
Rate of change of non-performing loans to customers	(19.6)	2.5	-22.1
Bad loans to customers/ Loans to Customers	0.6	0.8	-0.2
Loans to customers measured at amortised cost – Stage 2/Performing loans to customers measured at amortised cost	14.9	16.0	-1.1
Coverage of non-performing loans to customers	48.1	47.9	0.2
Coverage of bad loans to customers	65.1	63.7	1.4
Provisioning	0.55	0.31	0.24
Texas Ratio	35.8	51.6	-15.8

Cost/Income ratio: ratio between Operating expenses (Administrative expenses and Net value adjustments to property, plant and equipment and intangible assets) and Total revenues (for the composition of this aggregate, see the reclassified income statement).

Return On Equity (ROE): ratio between the Net profit (loss) for the year and the average between the Group shareholders' equity (including Profit and Valuation Reserves) at the end of the financial year and the Group shareholders' equity at the end of the previous financial year.

Return On Assets (ROA): ratio between the Net profit (loss) for the year and Total assets at the end of the year.

Return On Tangible Equity (ROTE): ratio between the Net profit (loss) for the year and the average between the tangible shareholders' equity¹ at the end of financial year and that at the end of the previous financial year.

Gross NPL Ratio: gross impact of non-performing loans calculated based on the European Banking Authority (EBA) guidelines² as the ratio between Gross non-performing loans to customers and banks, net of assets under disposal, and total Gross Loans to customers and banks³, net of assets under disposal.

Rate of change in non-performing loans to customers represents the annual rate of growth in gross non-performing loans to customers based on the difference between annual balances.

Coverage of non-performing loans to customers and coverage of bad loans to customers: the coverage ratio on Non-performing loans and bad loans to customers is calculated as the ratio between the relative loss provisions and the corresponding gross exposures.

Provisioning: ratio between the cost of customer credit and the sum of loans to customers and the value of securities deriving from disposal/8characterized8 of non-performing loans.

Texas Ratio: ratio between gross non-performing loans to customers and the sum, in the denominator, of the relative loss provisions and tangible shareholders' equity.

¹ Book value of Group shareholders' equity inclusive of profit (loss) for the year, net of goodwill and other intangible assets.

² EBA GL/2018/10.

³ Loans to Banks include current accounts and sight deposits with banks and central banks classified as "Cash" under balance sheet assets.



REGULATORY MEASURES			
MONTEPASCHI GROUP			
CAPITAL RATIOS (%)	31 12 2022	31 12 2021	Chg.
Common Equity Tier 1 (CET1) ratio – phase in	16.6	12.5	4.1
Common Equity Tier 1 (CET1) ratio – fully loaded	15.6	11.0	4.6
Total Capital ratio – phase in	20.5	16.1	4.4
Total Capital ratio – fully loaded	19.5	14.6	4.9
FINANCIAL LEVERAGE INDEX (%)	31 12 2022	31 12 2021	Chg.
Leverage ratio – transitional definition	5.8	4.7	1.1
Leverage ratio – fully phased	5.4	4.2	1.2
LIQUIDITY RATIO (%)	31 12 2022	31 12 2021	Chg.
LCR	192.3	172.7	19.6
NSFR	134.1	129.6	4.5
Encumbered asset ratio	31.9	40.7	-8.8
Loan to deposit ratio	93.0	87.9	5.1
Spot counterbalancing capacity (bn of Eur)	25.5	25.4	0.1

In determining the capital ratios, the “*phase-in*” (or “transitional”) version represents the application of calculation rules according to the regulatory framework in force at the reporting date, while the “*fully loaded*” version incorporates in the calculation the rules as envisaged at full implementation.

Common equity Tier 1 (CET1) ratio: ratio between primary quality capital⁴ and total risk-weighted assets (RWA)⁵.

Total Capital ratio: ratio between Own Funds and total RWA.

Financial leverage ratio: indicator calculated as the ratio between Tier 1 capital⁶ and total assets, introduced by Basel regulations with the objective of containing the increase in leverage in the banking sector and strengthening risk-based requirements through a different measure based on financial statement aggregates.

Liquidity Coverage Ratio (LCR): short-term liquidity indicator corresponding to the ratio between the amount of high-quality liquid assets and the total net cash outflows in the 30 calendar days subsequent to the reporting date.

Net Stable Funding Ratio (NSFR): structural 12-month liquidity indicator corresponding to the ratio between the available stable funding amount and the required stable funding amount.

Encumbered asset ratio: ratio between carrying amount of encumbered assets and collateral and total assets and collateral (XVII, section 1.6, point 9, of Regulation (EU) 2015/79).

Loan to deposit ratio: ratio between net loans to customers and direct funding (deposits from customers and debt securities issued).

Spot counterbalancing capacity: sum of items that are certain and free from any commitment that the Group can use to meet its liquidity requirements, consisting of financial and commercial assets eligible for purposes of refinancing operations with the European Central Bank (“ECB”) and assets deposited in the 9 characterized⁹ interbank market (MIC) and not used, to which the haircut, published on a daily basis by the ECB, is prudentially applied.

⁴ Defined by art. 4 of Regulation EU/2013/575 (Capital Requirements Regulation, CRR). It consists of the eligible elements and capital instruments, net of the envisaged adjustments and deductions.

⁵ Risk-weighted assets: the result of the application of certain risk weights to exposures, determined according to supervisory rules.

⁶ Sum of Common Equity Tier 1 (CET1) and Additional Tier 1 (AT1) capital of the entity, as defined by art. 25 of Regulation (EU) no. 575/2013.



Executive summary

Changes in the Group's main income statement and balance sheet aggregates recorded as at 31 December 2022, highlighting that the results for the 2022 financial year were impacted by the effects arising from the Russia-Ukraine conflict as well as, until the first quarter, by the health emergency of the COVID-19 pandemic. The latter impacted the entire 2021 financial year.

- **Net Interest Income** amounted to EUR 1,539 mln, a significant increase over 2021 (+26.0%). This growth was mainly driven by (i) the greater contribution of the commercial business, which benefited from higher interest income on loans generated by the increase in interest rates, and lower interest expense on deposits, as a result of the decline in average balances; (ii) the lower cost of market funding, following the maturity of some securities; (iii) the greater contribution of the Group security portfolios. On the other hand, the contribution from relations with central banks was down compared to last year, following the ECB's monetary policy decisions, which introduced a rise in reference rates and some changes, starting from 23 November, to the terms and conditions applied to the existing TLTRO III auctions. The benefit on liquidity deposited with central banks (equal to EUR 26 mln as at 31 December 2022 compared to a cost of EUR 93 mln as at 31 December 2021) was, in fact, more than offset by the decrease in the positive effects of access to TLTRO III auctions (amounting to EUR 131 mln as at 31 December 2022 and EUR 279 mln in the previous financial year).
- **Net fee and commission income**, amounting to EUR 1,365 mln, was down compared to 2021 (-8.0%), characterised by the high market volatility. This decrease is attributable to lower income from asset management (-14.7%) mainly due to lower commissions on product placement; revenue from continuing commissions, protection and securities servicing also declined. There was also a slight decrease in commissions from traditional banking services (-1.4%), due to the decrease in commissions on credit (-6.7%), while commissions on foreign services rose sharply (+23.7%); commissions from services remained stable.
- **Other income from banking business**, amounting to EUR 166 mln, decreased by EUR 145 mln compared to the previous year, reflecting lower trading income, lower profits from the sale of securities classified in banking book and a reduced contribution generated by insurance equity investments in AXA associated companies.
- **Other operating income (expenses)**, totalling EUR 19 mln, improved compared to the result recorded in 2021 (equal to EUR -37 mln).
- As a result of the trends described above, **Total revenues** amounted to EUR 3,088 mln, an increase of 3.6% compared to the previous year.
- **Operating expenses** amounted to EUR 2,099 mln, slightly down from the previous year. Within the aggregate, **Personnel expenses**, equal to EUR 1,394 mln, were down compared to the previous financial year (-2.4%), benefiting from the downward trend in the workforce, mainly due to the exits through Early retirement plan/access to the Solidarity Fund, pursuant to the agreement with the trade unions executed on 4 August 2022. **Other administrative expenses**, amounting to EUR 527 mln, were up (+5.8%) compared to the previous year (which had benefited from contingent assets), also due to extraordinary legal costs, inflation expenses and tensions linked to energy costs. **Net value adjustments to property, plant and equipment and intangible assets** amounted to EUR 179 mln, substantially in line with the previous year.
- The **Cost of customer credit** is equal to EUR 417 mln, against EUR 250 mln in the previous year. The figure for 2022 includes adjustments connected to the disposal of non-performing loans, characterised during the financial year, the cost of using sales scenarios in the estimation models and the effects of updating the macroeconomic scenarios. The figure for 2021 instead included a net negative effect of approximately EUR 87 mln due to the cost deriving from the update in the statistical valuation models and some



methodological fine-tuning partially offset by impairment reversals deriving from the update in macroeconomic scenarios. Even excluding these effects from both 2022 and 2021, the aggregate was up in any event compared to 2021, mainly due to impairment reversals (about EUR 130 mln) recorded last year on some significant positions, the risk profile of which improved due to intervening corporate events. The **Provisioning Rate**⁷ is 55 bps (31 bps as at 31 December 2021).

- The **Net Operating Income** was EUR 571 mln, compared to a positive value of EUR 629 mln in the previous year.
- In addition to the changes of the afore-mentioned economic aggregates, the non-operating components amounted to EUR -1,199 mln (EUR -366 mln in 2021), within which **Restructuring costs/One-off costs** amounted to EUR -931 mln (EUR -7.3 mln in 2021), including the provisions made in the third quarter for the early retirement plan/solidarity fund, pursuant to the agreement executed with the trade unions on 4 August 2022. Non-operating items also include: **Net provisions for risks and charges**, which recorded a EUR 2 mln recovery (EUR -99 mln provisions in 2021); **Other gains (losses) on investments**, amounting to EUR +4 mln (EUR +2 mln in 2021); costs related to **SRFs (Single Resolution Funds), DGS (Deposit Guarantee Systems) and similar schemes**, amounting to EUR -180 mln (EUR -169 mln recorded in 2021); the **DTA fee** of EUR -63 mln (in line with 2021); the **Result of fair value measurement of tangible and intangible assets** of EUR -31 mln (EUR -44 mln as at 31 December 2021); **Gains/losses on disposal of investments** of EUR +1 mln (EUR +14 mln in 2021).
- As a result of these trends, together with the positive impact on **taxes** of EUR 425 mln (equal to **EUR +49 mln** as at 31 December 2021) and the net economic effects of the **PPA**, equal to EUR -2.7 mln (EUR -3.6 mln as at 31 December 2021), the Group posted a **Loss for the year** attributable to the Parent Company of **EUR -205 mln**, compared to a profit of EUR +310 mln posted in 2021.
- As at 31 December 2022, the Group's **Total Funding** volumes amounted to EUR 174.4 bn, with a decrease in assets of **EUR 0.9 bn** compared to 30 September 2022 due to the decrease in Direct Funding (EUR -1.8 bn), partially offset by the growth in volumes of Indirect Funding (EUR +0.9 bn). More specifically, the decline in Direct Funding is mainly attributable to the decrease in term deposits (EUR -0.8 bn), in line with the strategy of reducing the most onerous components. Current accounts (EUR -0.5 bn), repurchase agreements (EUR -0.4 bn) and other forms of funding (EUR -0.1 bn) also decreased. Indirect funding posted an increase of EUR 0.9 bn compared to 30 September 2022, thanks to the growth in the Assets under custody component (EUR +1.2 bn), which benefits from both the positive market effect and net positive flows due to renewed interest from customers in government bonds, also as a result of the rise in yields. The asset management component was down slightly (EUR -0.3 bn).

Total Funding compared to 31 December 2021 posted a drop in assets of EUR 20.3 bn, both in Direct Funding (EUR -8.3 bn) and Indirect Funding (EUR -12.0 bn). The decline in Direct Funding characterized, also in this case, all technical forms. In particular, there was a decrease in Repurchase agreements (EUR -3.7 bn), due to the lower operations of MPS Capital Services, and a reduction in the bond business (EUR -1.8 bn), mainly deriving from the maturity of a covered bond and an institutional bond. Current accounts (EUR -0.4 bn), term deposits (EUR -2.1 bn) and other forms of funding (EUR -0.3 bn) fell as well, also as a result of the continuation of the actions implemented by the Parent Company to characterize the cost of funding. With regard to Indirect Funding, the comparison with 31 December 2021 shows a decrease in assets of around EUR 12.1 bn, attributable to both Assets under management (EUR -7.6 bn) and Assets under custody (EUR -4.5 bn); both components were impacted by the negative market effect.

- **Loans to Customers** stood at around **EUR 76.3 bn** as at 31 December 2022, a decrease compared to 30 September 2022 (EUR -1.7 bn), due to the decline in Mortgages loans (EUR -1.2 bn), Current accounts (EUR

⁷ Calculated as the ratio between the cost of customer credit and the sum of loans to customers and securities deriving from the disposal / securitisation of non-performing loans.



-0.2 bn), Other loans (EUR -0.5 bn) and Non-performing Loans (EUR -0.2 bn). On the other hand, repurchase agreements were up (EUR +0.3 bn).

With respect to 31 December 2021, Loans to Customers declined by EUR 3.1 bn, due to lower repurchase agreement transactions (EUR -1.6 bn), a decline in Mortgages loans (EUR -1.7 bn) and Non-performing Loans (EUR -0.4 bn). On the other hand, Other loans (EUR +0.5 bn) and Current accounts (EUR +0.2 bn) were up.

- As at 31 December 2022, the **coverage ratio** of non-performing loans stood at 48.1%, down compared to the level of coverage posted as at 30 September 2022 (equal to 53.6%) mainly due to the decrease in the coverage ratio of bad loans (which went from 70.2% as at 30 September 2022 to 65.1% as at 31 December 2022) and Unlikely to pay exposures (which went from 39.8% as at 30 September 2022 to 37.5% as at 31 December 2022). The changes in the *coverage ratio* of non-performing loans (and, in particular, of bad loans) is due to the deconsolidation of non-performing loans transferred as part of the “Fantino” sale transaction, characterized by levels of coverage above the average value. The hedging ratio of non-performing loans is higher than at 31 December 2021, when it was 47.9%.

With regard to capital ratios, as at 31 December 2022, the **Common Equity Tier 1 Ratio** stood at **16.6%** (compared to 12.5% at the end of 2021 and 10.0% as at 30 September 2022) and the **Total Capital Ratio** stood at **20.5%** (compared to 16.1% at the end of 2021 and 13.9% as at 30 September 2022).



Group overview

The Montepaschi Group is the banking hub led by Banca Monte dei Paschi di Siena S.p.a., listed on the Electronic Stock Exchange (Mercato Telematico Azionario) characterized and managed by Borsa Italiana S.p.A., with registered office in Piazza Salimbeni 3, Siena, whose activities are focused on traditional retail & commercial banking services carried out mainly in Italy.

The Group is also active through its characteristic product companies in business areas such as leasing, factoring, corporate finance and investment banking. The insurance-pension sector is covered by a strategic partnership with AXA while asset management activities are based on the offer of investment products of independent third parties.

The Group combines traditional services offered through the network of branches and characteristic centres with an innovative self-service and digital services system enhanced by the skills of the Widiba financial advisor network.

Foreign banking operations⁸ are focused on supporting the characteristicization processes of corporate clients in all major foreign financial markets.

COMPANY	ACTIVITIES
	Banca Monte dei Paschi di Siena and its subsidiaries operate in the different segments of the banking and financial industry, with activities ranging from traditional banking to special purpose loans, assets under management, bancassurance and investment banking. The Bank performs functions of direction, coordination and control over the Group's companies, as part of the more general guidelines set out by the Board of Directors in compliance with the instructions provided by the Bank of Italy in the interest of the Banking Group's stability.
	Monte Paschi Fiduciaria aims to satisfy the needs of individuals and legal entities wishing to have their assets managed with the utmost confidentiality. Monte Paschi Fiduciaria may take on the custody of assets in its capacity as a trustee and act as a protector in trusts.
	MPS Capital Services Banca per le Imprese provides customers with solutions to financial and credit issues, focusing its business on medium-long term credit facilities, special purpose loans, corporate finance, capital markets and structured finance.
	MPS Leasing & Factoring is the Group bank specialized in developing an offer of integrated leasing and factoring packages for businesses, artisans and professionals.
	Widiba (Wise-Dialog-Banking) is the Group's bank that integrates a self-service offer with the competencies of MPS's financial advisor network.
	Monte Paschi Banque S.A. is the Group's bank that supports commercial trade and investments by Italian companies abroad.

In addition to the above, that is, the presence within the Group of a digital bank (Widiba), a bank for businesses (MPS Capital Services S.p.A.), a bank for financial services (MPS Leasing e Factoring S.p.A.) and a bank for fiduciary services (MPS Fiduciaria S.p.A.), there are companies operating in the viticulture (MPS Tenimenti Poggio Bonelli e Chigi Saracini Società Agricola S.p.A.) and agricultural (Magazzini Generali) sectors.

Intragroup transactions primarily regard the financial support from the Parent Company to other companies, both in the form of deposits as well as repurchase agreement transactions; structured finance transactions through the subsidiary MPS Capital Services; outsourcing services relative to the auxiliary activities provided by the Parent Company (administrative services and property administration). In December 2022, the Consorzio Operativo Gruppo MPS for IT services was incorporated into Banca MPS.

⁸For Monte Paschi Banque S.A., in 2018 the Parent Company resolved to launch the orderly winding-down process by drafting a plan in compliance with the indications contained in Commitment no. 14 "Disposal of participations and businesses", which includes (i) a gradual and orderly deleverage of the current loan portfolio and remaining assets, (ii) acceptance of deposits only from existing customers, excluding the possibility of developing new business and entering new markets. The performance of the subsidiary in 2022 is substantially in line with the provisions of the Commitment. The afore-mentioned *Commitment* was essentially confirmed as part of the new *Commitments* related to the 2022-2026 Business Plan, announced on 3 October 2022.



The description of the main transactions carried out by the Parent Company with its subsidiaries and associates is provided in Part H of the Notes to the Separate Financial Statements of the Parent Company.

Shareholders

As at 31 December 2022, the Parent Company Banca Monte dei Paschi di Siena S.p.A. share capital amounted to EUR 7,453,450,788.44, broken down into 1,259,689,706 ordinary shares. The changes in the share capital during the 2022 financial year are shown below: in the third quarter, on the basis of the resolutions passed by the Extraordinary Shareholders' Meeting of 15 September 2022, both the share capital and the number of shares changed to cover past losses, following the grouping effective from 26 September; in the fourth quarter, the composition of the share capital changed again, following the successful conclusion, on 4 November 2022, of the EUR 2.5 bn share capital increase transaction, according to the resolution passed by the Extraordinary Shareholders' Meeting of BMPS held on 15 September 2022 and filed in the Arezzo-Siena Companies' Register on 16 September 2022.

According to the communications received pursuant to the applicable legislation and based on other information available, as well as based on information on CONSOB's institutional website, the entities that, as at 31 December 2022, directly and/or indirectly held ordinary shares representing a shareholding exceeding 3% of the share capital of the Issuer and which do not fall under the cases of exemption set forth in art. 119-bis of the Issuers' Regulations are as follows:

Major BMPS shareholders as at 31 December 2022

Declarant	% of shares held on the ordinary capital
Ministry of Economy and Finance	64.230%
AXA S.A.	7.947%

** On 27 February 2023, AXA S.A. announced the sale of approximately 100 mln of shares through a private placement by accelerated bookbuilding reserved to institutional investors, maintaining a 0.0007% ownership.*

Information on the BMPS share

Share price and trends

The invasion of Ukraine by Russia on 24 February 2022 was the event that mainly characterized the year on international markets, catalysing a series of effects on different economic areas and contributing to the widespread drops recorded on the main world stock exchanges.

In the USA, 2022 was characterized by a strong appreciation of the dollar, which eased in the last quarter, accompanied by a growth in inflation that led the Federal Reserve to constant rate hikes, for a total of about 4 percentage points. The US market, characterized above all by technology stocks, thus closed the year in negative territory with the S&P 500 index, which recorded a -19.4%, despite an increase in the fourth quarter of +7.1%.

Also in Japan, one of the economies that maintained greater stability during the year, in December the BoJ promoted an initial intervention on the bond yield range, as part of a year ended with a small loss of the Nikkei index of -5.3%, eased by a recovery in the last quarter of +3.5%. In China, on the other hand, the zero-Covid policy strongly desired by Xi Jinping, reconfirmed for his third term in October, had a strong impact on the markets, with the SHCOMP index losing -15.1% during the year. The gradual end of the lockdown and the 2.1% rise in the last quarter of only partially supported the stock price indices, in a last part of the year also characterized by a new wave of infections.

The greatest impact of the conflict in Ukraine was reflected on European economies, with a widespread increase in the costs of raw materials and inflation, with continuous downward revisions of post-Covid GDP growth estimates, which generated renewed fears of recession. The ECB also promoted a policy of chain rate hikes, which



returned to positive values after about 7 years, and developed a defensive policy on risks linked to the inorganic growth of the spread. The impact on the German economy was strong in the first part of the year: despite a rise in the fourth quarter of +14.9%, the DAX index in Frankfurt closed 2022 with a loss of -12.3%. The markets of Spain and France also moved with the same trend: the CAC40 in Paris closed 2022 with an overall -9.5% and a final quarter at +12.3%; while Madrid saw the IBEX35 record a more contained -5.6% year-on-year thanks to a fourth quarter up +11.7%. The only one of the main European stock exchanges that managed to close the year on a positive note was the FTSE1000 in London (+0.9%), also thanks to a significant growth of +8.1% in the last quarter.

In Italy too, the same continental trends were seen, accentuated on the negative side during the summer by the government crisis, which contributed to a further increase in the spread values, already strongly affected by the Ukrainian events, to an overall rise in 2022 of about 80 bps, closing in the 210 area. The FTSE MIB index limited the annual loss to -13.3%, thanks to a strong recovery in the fourth quarter, which recorded a +14.8%. In the last quarter, the Italian market was driven by the banking sector, with the IT8300 “*All Italian Banks*” index which posted a +22.5% for the period, limiting the annual loss to -4.6%, benefiting from a recovery of confidence in the sector driven by the positive impact of the four consecutive rate hikes by the ECB.

The BMPS share closed 2022 at a value of EUR 1.92, with a quarter-on-quarter decline of -61.4% and a year-on-year change of -89.6%. The average volume of trades on a daily basis was around 5.2 mln over the quarter and around 1.5 mln over the year. The MPS shares were subject to a 1:100 grouping in September and a share capital increase of EUR 2.5 bn was completed in November.

SHARE PRICE SUMMARY STATISTICS* (from 31/12/2021 to 31/12/2022)

Average	11.34
Minimum	1.62
Maximum	21.77

* It should be noted that the values were restated on a pro-forma basis according to the grouping and capital increase transactions that took place in 2022.

Rating

The ratings assigned by the rating agencies are provided below:

Rating Agency	Short-term debt	Outlook	Long-term debt	Outlook	Last rating action
Moody's	(P)NP	-	B1**	Stable	16/02/23
Fitch	B	-	B+	Stable	24/11/22
DBRS	R-4	Stable	B (High)	Stable	15/06/22

** Long-Term Senior Unsecured Debt Rating

- On 16 February 2023, **Moody's Investors Service** improved the Bank's ratings by 2 notches, bringing the standalone Baseline Credit Assessment (“BCA”) rating to “b1” from “b3”, the long-term deposit rating to “Ba2” from “B1” and the subordinated debt rating to “B2” from “Caa1”. The long-term senior unsecured debt rating improved by 3 notches to “B1” from “Caa1”. The outlook on the long-term deposit rating and senior unsecured debt rating was confirmed as stable.
- On 24 November 2022, **Fitch Ratings** improved the Bank's ratings, bringing the Long-Term Issuer Default Rating (“IDR”) to “B+” from “B” and the Viability Rating (“VR”) to “b+” from “b”. The outlook changes from “*evolving*” to “*stable*”.

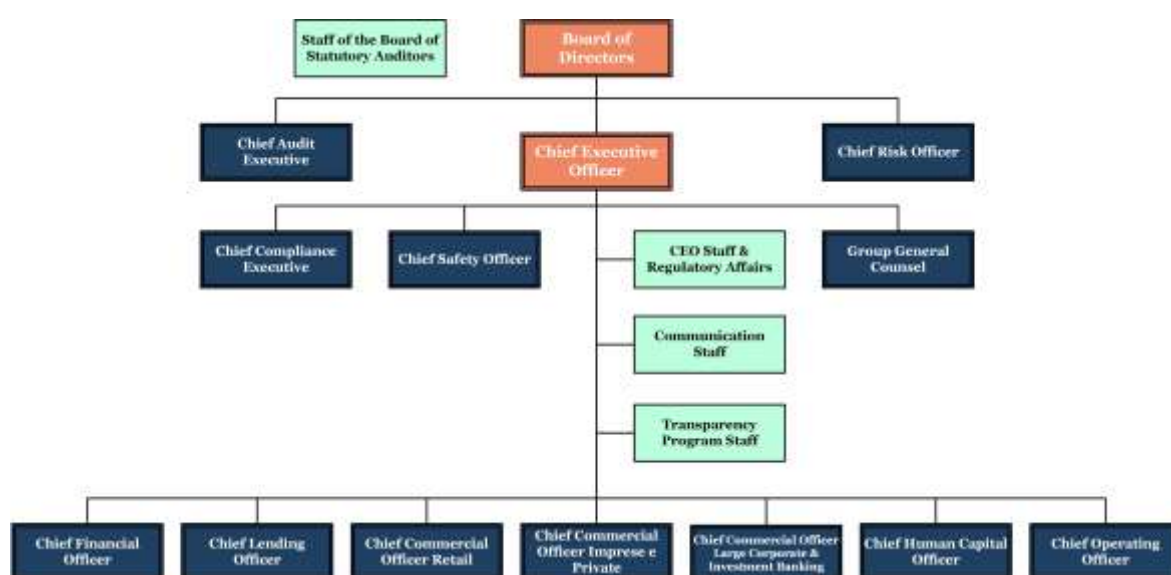


- On 15 June 2022, during its annual review, **DBRS Morningstar** confirmed all BMPS ratings, including the Long-Term Issuer Rating at “B (high)”, the Long-Term Senior Debt at “B (high)” and the Long-Term Deposits at “BB (low)”. The outlook for all ratings remained “stable”.

Organisational structure

Through its Head Office, Banca Monte dei Paschi di Siena performs functions of direction, coordination and control over the Group’s companies, as part of the more general guidelines set out by the Board of Directors and in the interest of the Group’s stability.

Organisational chart of the Parent Company’s Head Offices as at 31 December 2022



The organisational history of 2022 was characterised by a thorough review of the organisational model of the linking structures between the Head Office and the Network, with the dual aim of simplifying the number of organisational levels and improving commercial operation processes. Several rationalisation measures were carried out on the Network to reduce organisational complexity without compromising the service levels provided and the effectiveness of operating processes.

In the period from January to July 2022, micro-adjustments were made to the internal set-up of some Head Office structures that were not particularly significant.

In January 2022, the Corporate Centre of the Network was simplified through the reconnection of the Top Corporate Service Model to the Corporate Service Model.

In July 2022, the *Chief Commercial Officer* was specialised in 3 Chief Commercial Officers (*Chief Commercial Officer Retail*, *Chief Commercial Officer - Corporate and Private* and *Chief Commercial Officer - Large Corporate & Investment Banking*) for a more effective focus of the commercial chains on the objectives and results to be achieved on the corresponding reference markets.

In November 2022, the 5 Regional Commercial Areas, the 48 Regional Retail Departments, the 14 Regional Corporate Departments and the 10 Regional Private Departments were closed; at the same time, 14 Regional Retail Departments, 14 Regional Corporate and Private Departments, 14 Regional Retail Credit Departments and 14 Regional Corporate Credit Departments were defined.



As a result of the organisational review of the linking structures and in line with the specialisations by Market, adjustments were made to the Head Office structures applicable to:

- *Chief Commercial Officer Retail*
- *Chief Commercial Officer Corporate and Private*
- *Chief Lending Officer*
- *Chief Operating Officer.*

The following organisational interventions were carried out on the Network:

- closure of Small Business Centres and moving customers to Branches or Corporate Centres;
- transformation of Corporate Centres into Business Centres;
- elimination of the Operational Support Line from the Branch and return of activities to the Value Line;
- transformation of around 500 Branches from the Paschi Valore organisational model to the Commercial Module model.

In December 2022, the COG SPA (formerly Consorzio Operativo di Gruppo) was incorporated into Banca MPS through the establishment of two Level 1 structures (*Information Technology and Information Security*) reporting directly to the *Chief Operating Officer*.

With respect to Network processes, actions are under way to improve the quality of work, free up more time to be dedicated to sales activities and increase customer service quality, while reducing response/service provision times by streamlining “administrative” activities and document management costs, with a strong orientation towards increasing process digitalisation.

Governance & control systems

Corporate governance

The Parent Company’s corporate governance takes into account the objective of creating a system of coordinated rules and structures capable of guaranteeing transparent and accurate management of relations with shareholders as well as between them and the directors and top management.

The Parent Company’s bodies work so as to pursue the overall proper functioning of the business.

The Parent Company’s fair and transparent corporate governance system and shared Code of Ethics provide it with rules to ensure that the legitimate expectations of all stakeholders are incorporated within corporate objectives.

The overall corporate governance system refers to the current code, banking and financial supervisory regulations, the Corporate Governance Code to ensure a clear separation of roles and responsibilities, the appropriate balancing of powers, balanced composition of corporate bodies, effective controls, monitoring of business risks, adequacy of information flows and corporate social responsibility.

In particular, the Parent Company’s administration and control system includes the following: the Board of Directors, the Board of Statutory Auditors and the Shareholders’ Meeting. In addition, the following were also present: the CEO, who is also General Manager, and four Board committees, specifically, the Risk and Sustainability Committee, the Appointments Committee, the Remuneration Committee and Related-Party Transactions Committee.

On 17 December 2020, at the request of the independent directors, the Parent Company’s Board of Directors unanimously appointed - with the abstention of the party concerned - the independent Director Nicola Maione, as the Bank’s Lead Independent Director.

In compliance with the provisions of Italian Legislative Decree no. 231/2001, the Parent Company has also established a Supervisory Body for compliance with Law 231 entrusted with the task of supervising the functioning and observance of the Compliance Model, as well as managing its updating.

The Parent Company decided to assign the role of the Supervisory Body for compliance with Law 231 to an ad hoc collegial structure separate from the Board of Statutory Auditors, which is “mixed” in nature and consists of three members, including two outside professionals and a director qualified as independent based on the requirements set forth in the Corporate Governance Code of listed companies.



The Parent Company's internal control system is meant to ensure that risks are identified, measured, managed and monitored in such a way so as to enable sound, proper business management in line with pre-established objectives.

Further information on governance, including with regard to the concept of diversity in corporate bodies, is available in the "Report on Corporate Governance and the Shareholding Structure", available on the Parent Company's website (<https://www.gruppomps.it/corporate-governance/relazioni-corporate-governance.html>).

Risk governance

Risk governance strategies are defined in line with the Group Business Model, medium-term 2022-2026 Business Plan objectives and external regulatory and legal requirements.

Policies relating to the assumption, management, coverage, monitoring and control of risks are defined by the Board of Directors of the Parent Company. Specifically, the Board of Directors periodically defines and approves strategic risk management guidelines and quantitatively expresses the Group's overall risk appetite.

In fact, the Parent Company's Board of Directors defines the overall Risk Appetite Framework (RAF) for the Group and approves the "Group Risk Appetite Statement" (RAS) at least once per year.

The RAF Governance process is centralised within the Parent Company, which outlines its relevant perimeter at Group level and defines its structure in Group companies, according to the risks assumed, size and operational complexity of each legal entity. The RAF defines the roles of corporate bodies and functions involved in defining the "risk appetite" and the procedures to be implemented if it becomes necessary to restore the level of risk to the objective or within the pre-established limits.

The RAS represents an essential element in defining the Group's risk strategy. The RAS is the formal document that contains the explicit declaration of the risk/return objectives/limits (overall, by type and broken down by individual companies/business units) that the Bank intends to assume to pursue its strategies. Therefore, with the RAS, the risk objectives/restrictions are identified and the indicators are broken down by Business Unit/Legal Entity (known as "cascading down" of the Risk Appetite). The objective is to increase the Group's Risk Culture and fully instil accountability in all relevant Business Units with regard to achievement of the risk appetite objectives, as required by the regulations and recommended by best practices.

The Risk Appetite Process is structured so as to ensure consistency with the ICAAP and ILAAP as well as with Planning and Budget and Recovery processes, in terms of governance, roles, responsibilities, metrics, stress testing methods and monitoring of key risk indicators.

In compliance with the guidelines set forth by the Basel Committee and best practices, new prudential supervisory provisions for banks require credit institutions to carry out adequate stress testing exercises.

The Group regularly conducts stress tests on all risk factors. Stress tests are used to assess the Group's capacity to absorb large potential losses in extreme yet plausible market situations, so as to identify the measures necessary to reduce the risk profile and preserve assets.

The Group's methodological approach to stress-testing is based upon the identification of the main risk factors, both Pillar 1 and Pillar 2, with the objective of selecting events or combinations of events (scenarios) which reveal specific vulnerabilities at Group level.

The results from the stress tests are submitted to the Top Management and Board of Directors. They are formally examined by the BoD as part of the ICAAP/ILAAP Annual Report approval process, with a view to providing a self-assessment of the current and prospective capital adequacy and liquidity of the Group.

Group Risk governance is provided centrally by the Parent Company's Board of Directors, which also supervises and is responsible for the updating and issue of internal policies and the main internal regulations in order to promote and guarantee a continuously greater and more widespread risk culture at all levels of the organisation. Awareness of risks and the correct knowledge and application of the internal processes and models governing those risks - first and foremost for those validated for regulatory purposes - are fundamental requirements for effective, sound and prudent business management.

The Risk Control Function is specifically assigned the task of monitoring the Key Risk Indicators (KRIs), drawing up a periodic report for the Board of Directors and implementing the escalation/authorisation processes in the event that thresholds are exceeded.

The incorporation of macro risk and risk-adjusted performance indicators, consistent with the RAF, within staff remuneration and incentive policies represents an additional tool to promote awareness of the behaviours of all resources and the cultivation of a healthy risk culture.



In reference to the Group's Risk Culture, during 2022 initiatives were pursued regarding corporate bodies (board induction cycles on specific issues for both the Parent Company and the Subsidiaries) as well as general training initiatives (on-line courses) for all personnel in the areas of risk management and mitigation. In collaboration with the Chief Human Capital Officer Head Office, the Chief Risk Officer Head Office continued, from the previous year, the project aimed at all Group personnel on the topic of "Risk Culture", through scheduled eLearning events which featured typical operating situations for the Bank in which specific risks are generated. The interventions and the related contents made available on the *e-learning* platform focused in particular on the issues of anti-money laundering, the determination of credit ratings, transparency and data protection.

Furthermore, during 2022 internal initiatives proceeded to ensure continued compliance with national and international regulatory provisions.

The ICAAP and ILAAP packages were sent to the Regulator in accordance with the ECB's regulatory prescriptions regarding the "*Technical implementation of the EBA Guidelines on ICAAP/ILAAP information for SREP Purposes*" (*Supervisory Review and Evaluation Process*), as well as in line with the "ECB Guide to the Internal Capital and Liquidity Adequacy Assessment Process (ICAAP/ILAAP)", issued in November 2018.

The year 2022 was also characterised by the performance of the 2022 Climate Stress Test launched by the ECB as part of the Supervisory Review and Evaluation Process (SREP) identified by the Supervisory Authority as one of the strategic priorities for 2022-2024.

The Montepaschi Group is one of the Italian banks subject to the ECB's Single Supervisory Mechanism.

Compliance systems

Within the broader internal control system, the Compliance Function of the Parent Company autonomously and independently governs non-compliance risk at Group level, periodically reporting to top management and Supervisory Authorities on the overall status of compliance of systems, processes, and operations.

In line with the strategic objectives of the 2022-2026 Business Plan, as at 30 November 2022, the exit of colleagues through early retirement/access to the Solidarity Fund was finalised, with an impact for the Chief Compliance Executive Department of about 25% of the workforce at target.

During 2022, there were no changes to the organisational structure of the Department, which was completed with its implementation starting from 26 April 2021.

During 2022, work was completed on the Action Plan drawn up in response to the contents of the letter of 27 October 2022 – in which the ECB definitively notified the conclusions on the on-site inspection on Internal Governance (OSI 4834) carried out in 2019/2020 – and of the SREP Letter 2021. The interventions were aimed at:

- extending the scope of the oversight performed by the Compliance Function to Risk Management and Prudential supervision/sustainability activities;
- strengthening and extending the involvement of the Compliance Function in support of the Board's decision-making process in both management and strategic areas.

Lastly, additional project initiatives were carried out during the year, particularly in matters related to:

- development activities relating to the introduction of a Single GRC system of the Corporate Control Functions (FAC- *Funzioni Aziendali di Controllo*), with an increase in the digitisation of Compliance Processes, including the development of a new tool used for recording personal data processing activities pursuant to Regulation (EU) 2016/679;
- the centralisation at the Parent Company of the Specialised Controls Units of the Subsidiaries in relation to Health and Safety in the Workplace;
- the Action Plan drawn up following the organisational visit conducted on the Compliance Function, at the request of the Function itself, with the streamlining of processes with greater absorption of resources, identifying points of attention with possible margins for improvement, both in methodological and IT terms;
- the updating of the Bank's organisation, management and control model, adopted pursuant to Italian Legislative Decree no. 231/2001 "*Regulation of the administrative liability of legal persons, companies and associations, including those without legal status, pursuant to art. 11 of Italian Law no. 300 of 29 September 2000*".



Remuneration Policy

The Group's remuneration and incentive policies are described every year in the "Report on the remuneration policy and on compensation paid", prepared under art. 123-ter of the Consolidated Law on Finance and subject to approval by the Shareholders' Meeting.

(<https://www.gruppomps.it/corporate-governance/remunerazione.html>)

The value enhancement of professional skills and taking management decisions aimed at long-term sustainable value creation reflect a corporate culture based on the ethics of responsibility, valuing diversity, disseminating a culture of inclusion, with a constant focus on the growth of human capital and the creation of a strong sense of belonging. With this in mind, the Group's remuneration policies, while maintaining a continuous focus on the link between remuneration, risk and sustainability of *performance*, contribute to short and long-term *business* strategies, also aiming to retain employees, enhancing their merit and skills as well as supporting professional growth opportunities with a view to gender neutrality. To this end, the definition of the remuneration structures is also carried out in correlation with the applicable market practices using, among other things, the weighing of company positions, which allows for a continuous and more precise assessment of internal fairness, by checking the consistency of the remuneration packages of resources at the same classification level, and external competitiveness through comparison with the market.

The remuneration and incentive policies also represent an important management lever for guiding management and personnel towards inclusive and widespread leadership.



Distribution channels

The Group operates with a view to developing and rationalising its distribution network, by combining regional coverage with the strengthening of innovative channels.

Traditional domestic branches are flanked by specialised sales centres, which handle relational follow-up and the specific management of particular customer segments (e.g. Small and Medium Enterprises, Private, etc.) and by 552 Financial Specialists (538 as at 31 December 2021) who carry out their activities by having offices open to the public distributed throughout the country.

MONTEPASCHI GROUP - DISTRIBUTION NETWORK ITALY AS AT 31/12/2022									
Region									
	Domestic branches ^(*)	Inc.	Client Centres ^(**)					Financial Advisory Offices	Inc.
			SME	Family Office	Private	Tot.	Inc.		
Emilia Romagna	87	6.4%	5		6	11	8.7%	8	7.3%
Friuli Venezia Giulia	35	2.6%	3		1	4	3.1%	3	2.8%
Liguria	17	1.2%	1		1	2	1.6%	4	3.7%
Lombardia	189	13.9%	10	1	7	18	14.2%	10	9.2%
Piemonte	33	2.4%	2		1	3	2.4%	2	1.8%
Trentino Alto Adige	2	0.1%						1	0.9%
Valle d'Aosta	2	0.1%							
Veneto	179	13.1%	13	1	6	20	15.7%	5	4.6%
Northern Italy	544	39.9%	34	2	22	58	45.7%	33	30.3%
Abruzzo	27	2.0%	2		1	3	2.4%	3	2.8%
Lazio	113	8.3%	5	2	3	10	7.9%	11	10.1%
Marche	35	2.6%	4		1	5	3.9%	4	3.7%
Molise	4	0.3%						1	0.9%
Toscana	297	21.8%	11	1	8	20	15.7%	8	7.3%
Umbria	33	2.4%	2		2	4	3.1%	4	3.7%
Central Italy	509	37.4%	24	3	15	42	33.1%	31	28.4%
Basilicata	10	0.7%						2	1.8%
Calabria	37	2.7%	1			1	0.8%	2	1.8%
Campania	77	5.7%	4	1	3	8	6.3%	17	15.6%
Puglia	81	5.9%	6		4	10	7.9%	15	13.8%
Sardegna	10	0.7%	1		1	2	1.6%	2	1.8%
Sicilia	94	6.9%	3		3	6	4.7%	7	6.4%
Southern Italy and island	309	22.7%	15	1	11	27	21.3%	45	41.3%
Total	1,362	100.0%	73	6	48	127	100.0%	109	100.0%

(*) Reports to the Supervision Institute of Bank of Italy regarding Banca MPS

(**) of which no.7 reported to the Supervision Institute of the Bank of Italy as Office not having the same location of the branch

At the end of 2022, the **Italy Network** had **1,362 branches** overseen by the Supervisory Authority, with a reduction of 6 operating points compared to 31 December 2021, due to the closure of these operating points in December 2022.

The Group also makes use of **127 Specialised Centres** (126 as at 31 December 2021), of which 73 dedicated to Enterprises, 48 to Private customers and 6 to the Family Office.

The Group's **ATM network** comprises a total of **2,569 machines** (-52 compared to 31 December 2021), of which 2,073 coinciding with traditional branches (1,665 of these are located on premises with an independent entrance also accessible outside of branch hours) and 496 installed in public places with high operational potential, of which 88 in institutions/companies. There are 1,351 ATM machines equipped with "cash in" functionality (of which 940 are located in the Self Area, 402 inside branches, 2 inside institutions/companies and 7 installed in public places).

The Group has an international presence with a Foreign Network geographically distributed in major financial and economic markets and in several emerging countries with high growth rate, with significant trading relations with Italy, currently structured as follows:



- **1 operational branch in** Shanghai;
- **8 representative offices** in target areas of Europe, North Africa, India and China;
- **1 foreign bank**, namely Monte Paschi Banque S.A., operating in France, for which the Parent Company resolved in 2018 to launch the orderly winding-down process.

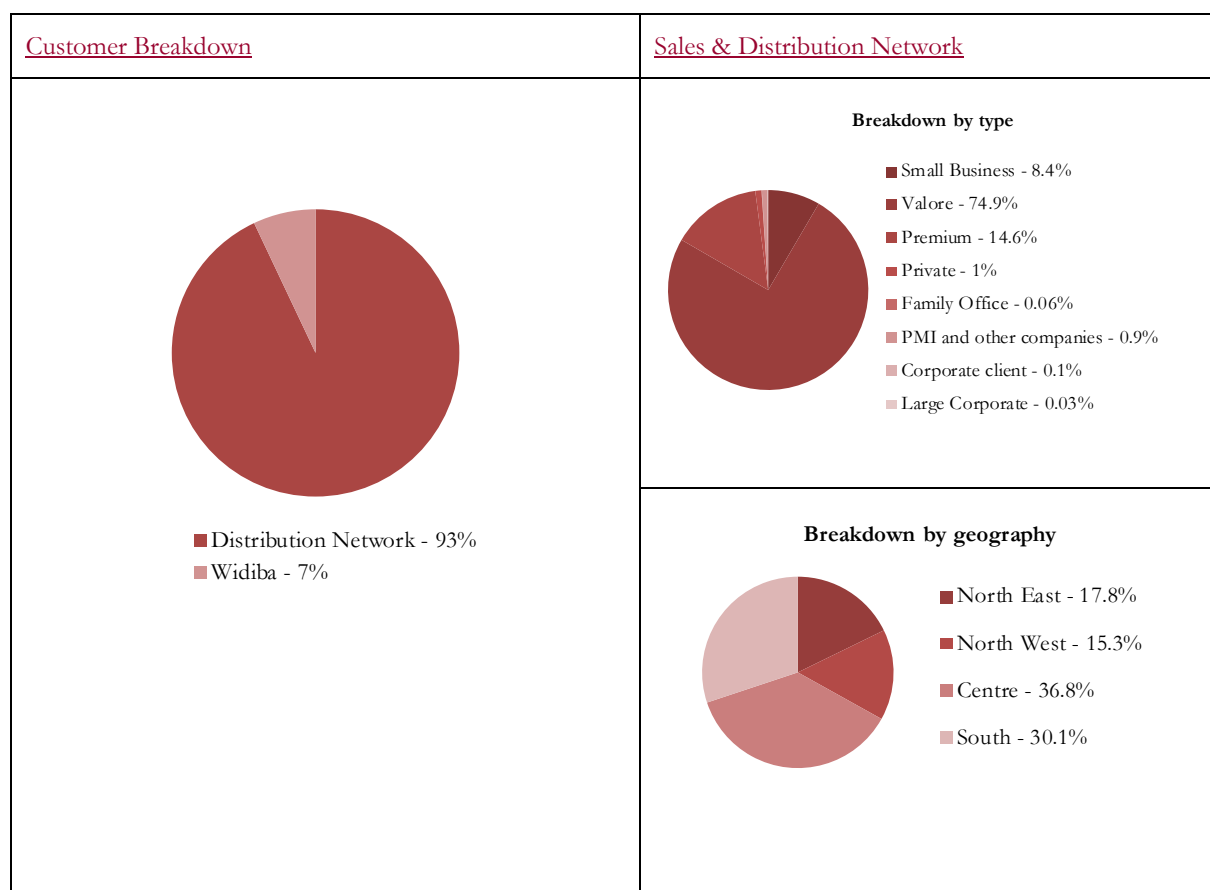
In addition to its physical presence across the country, the Parent Company offers banking services to customers through electronic channels with internet banking products for Retail and Corporate customers. As at 31 December 2022, there were 1,395,609 active users (+77,459 compared to 31 December 2021). Internet banking services for Retail customers have 1,258,463 active users and those for Corporate customers are 137,146.



Customer base

As at 31 December 2022, the Group⁹ had around 3.7 mln customers, substantially stable against as at 31 December 2021. Customers as at 31 December 2022 are broken down as follows:

- About 3.4 mln (substantially stable compared to 31 December 2021) are managed by the Sales and Distribution Network of the Parent Company Banca Monte dei Paschi;
- about 0.3 mln (substantially stable compared to 31 December 2021) are managed exclusively by Widiba, the Group's online bank.



At the end of 2022, the Retention and Acquisition indicators¹⁰ stood at 94.4% and 4.0% respectively, showing an improvement on Retention and a slight decrease on Acquisition (92.8% and 4.4% respectively) compared to 2021.

⁹ Intended as the sum of the total MPS and Widiba Network, excluding the customers of the other Group companies.

¹⁰ The indicators refer only to the Parent Company and have been cleared of the effect of the migration of customers to Widiba.



Reference context

The international scenario

After the strong rebound recorded in 2021, in 2022 the world economy was hit by shocks that slowed down the pace of expansion: the outbreak of the conflict between Russia and Ukraine, the resulting energy crisis and high inflation. Although, in many advanced economies, the resilience of domestic demand in the first three quarters of the year made it possible to revise upwards growth expectations for 2022, the global cyclical scenario recently worsened. Many Monetary Authorities, with varying degrees of urgency, have responded to the pressure on prices, launching decisive monetary tightenings with negative repercussions on the economy. The continuation of the conflict, the slowdown in international trade, the weakening of activity in China, and the less favourable financial conditions contributed to determining the current context of weakness; even inflation, despite the recent easing in European oil and gas prices, remains high.

In the **United States**, after a first half of the year of contraction, the economy recorded a return to growth in the second half (+3.2% annualised qoq for GDP in the third quarter, +2.9% in the fourth) but the repercussions of the strong monetary tightening on domestic demand became evident: the tightening of financial conditions contributed to erode the real disposable income of households and to slow down consumption already penalised by the high level of prices; investments in residential construction decreased due to the increase in mortgage rates. However, the Fed's action began to impact inflation which, although it remained very high, fell to 6.5% yoy in December from the highs of June (9.1% yoy), recording a certain stabilisation in the core component (net of the more volatile components). Labour market conditions remain under pressure, with the number of vacancies exceeding the number of unemployed; the housing market shows a correction.

In the **Eurozone**, after the expansion in the first half of the year, growth decelerated, mainly affected by the strong exposure to increases in energy commodity prices and heightened uncertainty, but the GDP in any case recorded a +0.3% increase qoq in the third quarter and essentially stationary in the fourth quarter (+0.1% qoq). Growth was driven by domestic demand, in a situation in which households used the savings accumulated during the pandemic, and businesses invested to adjust to the new global circumstances. Inflation continued to rise, reaching a high of 10.7% yoy in October, before closing the year at 9.2% yoy; in the last few months of the year, the European price of natural gas fell due to efficient storage policies, exceptionally high winter temperatures and the achievement of an EU gas agreement, but the underlying component of inflation also continued to strengthen due to a gradual transmission of past energy price increases. In the labour market, the wage trend was up slightly, but to a lesser extent than in the US market. In 2022, fiscal policy stepped in to support the economy of the Area; after the extraordinary interventions during the pandemic, European governments mobilised exceptional resources to protect households and businesses from rising energy prices. The European programme to reduce energy dependence on Russia and accelerate the green transition (REPowerEU¹¹) provided for new funds to support the National Recovery and Resilience Plans (NRRP) whose implementation continued during 2022. In the drafting of the draft budgetary planning documents, which were presented at the end of the year, the EU Commission nevertheless called for a prudent fiscal policy stance for 2023, especially for highly indebted countries.

The **emerging economies** recorded varying trends. In China, annual growth, in real terms, was 3% (+2.9% yoy in the fourth quarter), well below the target of 5.5% set by the government for 2022. The expansion was held back by the policy of strict containment of infections and by the weakness in the residential sector. However, in December, Beijing unexpectedly revoked its zero-COVID strategy and infections have risen dangerously. Russia has experienced a significant recession as a result of the war and sanctions, but the large state spending in support of non-residential construction and manufacturing has prevented the economy from declining more markedly; the decline in exports was also moderated by the stability of energy exports. During the year, price pressures forced the central banks of many countries (Brazil, South Africa, South Korea) to increase policy rates, to limit the depreciation of the respective exchange rates and maintain credibility on price control, affecting their economic recovery. Other countries (Turkey), in the absence of monetary constraints, stepped in to defend the heavily devalued domestic currency. Many governments increased the resources allocated to the import of agricultural/food goods, to avoid social tensions.

¹¹ On 18 May 2022, the EU Commission presented REPowerEU, on 14 December 2022 the European Parliament and the Council reached a political agreement on the financing of the programme that allows Member States to introduce REPowerEU chapters in their plans for recovery and resilience.



Italy: economic context

In **Italy**, after the strengthening of growth in the first part of the year following the pandemic, GDP continued to increase in the third quarter (+0.5% on a cyclical basis), supported by domestic demand and in particular by the strong expansion of household consumption. However, the weakening of the expansionary cyclical phase was evident in the last three months of 2022: GDP contracted slightly on a cyclical basis (-0.1% qoq), affected by high energy prices which, despite the government interventions of support, impacted on household spending, and also affected by the softening of the recovery of services. Business assessments at the end of the year remained unfavourable, especially in manufacturing, and the investment trend weakened further. However, the decisive expansion recorded until the summer made it possible to revise upwards the growth for the whole of 2022 to +3.9% (preliminary). In the autumn months, domestic inflation reached new highs (11.8% yoy in October and November, +11.6% yoy in December), driven by the energy component that is still being transmitted to the prices of other goods and services, resulting in a moderate strengthening of core inflation. The trend in consumer prices continued to be mitigated by the energy measures of the new Executive who took office on 22 October; however, the first signs of an easing of inflationary pressures are emerging in the expectations of households and businesses. Despite the weak economic scenario, the labour market remained substantially stable in the second half of the year and wage pressures were contained.

The Government's action in 2022 concerned measures aimed at accompanying the recovery of the economy emerging from the pandemic (the state of emergency was lifted on 31 March 2022) and counteracting the repercussions of the increase in energy costs on households and businesses. These measures include in particular:

- Italian Law Decree *Sostegni ter* which introduced measures to curb electricity costs and further support for activities in crisis due to the Covid emergency, in which the Government, upon conversion, included corrective provisions on the transfer of credits deriving from tax bonuses and sanctioning measures for building fraud under the so-called Italian Law Decree *Frodi Superbonus*.
- Law converting the Italian Law Decree *Milleproroghe*, with measures on: extraordinary operations of the SME Guarantee Fund and limitations on the use of cash.
- Italian Law Decree *Energia* containing measures for the containment of electricity and natural gas costs. This measure also states that, until 30 June 2022, SACE guarantees on loans to ensure liquidity to Covid-affected companies would be granted to support liquidity requirements resulting from the higher costs caused by energy price hikes.
- Italian Law Decree *Tagliaprezzi* intervened on the containment of energy and fuel prices, on the support to companies and the protection of national companies. The Italian Law Decree provided for the transferability to subjects, including banks, of the tax credit for the benefit of companies, in relation to the costs for the purchase of electricity; the issue by SACE of guarantees in order to support the liquidity requirements deriving from the payment of bills in the form of instalments.
- The various Italian Law Decrees *Aiuti*, with measures on energy policies, business productivity and investment attraction; extension of tax credits in favour of companies and regulations in favour of those operating in strategic sectors/sectors of public interest; allocation of resources of EUR 1.3 bn in order to counteract material costs; granting of free guarantees (SACE, SME Fund) on loans for bill payment requirements. The Italian Law Decree *Aiuti-quater* intervened, inter alia, on the subject of the transfer of tax credits, and standardised the transferability regime of the concessions provided for in the Italian Law Decrees *Aiuti*.
- *2023 Budget Law*, with, inter alia, the introduction of measures on electricity, gas and fuels, which govern the transfer of receivables; extension of the concessions for the purchase of a first home and the renegotiation of mortgage loans; extension of the special operations of the SME Fund; terms of delivery of the goods ordered by 31 December 2022 for the use of the tax credit for investments in new capital goods; further provisions relating to the extension of the 110% Superbonus.

The Government's action also focused on the implementation of the NRRP, with the achievement of all the objectives for 2022, which made it possible to receive the expected payments from the EU (over EUR 45 bn).

The EU Commission intervened to support economic recovery with the adoption of the *Temporary Crisis Framework*¹² in order to permit Member States to make use of the flexibility provided by the rules on state aid to

¹² The *Temporary Crisis Framework* is a new aid scheme that provides three types of support: i) aid of limited amounts granted in any form, including direct subsidies; ii) liquidity support in the form of state guarantees and subsidised loans; iii) aid to offset the increase in energy costs.



support the economy within the current context. Within the scope of the *Temporary Framework*, the Commission has approved a guarantee mechanism on loans of EUR 10 bn, prepared by Italy, to support businesses in a number of sectors within the context of Russia's invasion of Ukraine. The system aims to guarantee that the impacted companies that need it will have sufficient liquidity available by granting a state guarantee, managed by SACE, on new loans and allowing banks to continue to disburse loans to the real economy. The measure is open to companies of all sizes and across all sectors active in Italy, with the exception of the financial sector.

Financial markets and monetary policy

War, political instability, energy crisis, price tensions and restrictive monetary policy interventions, alongside fears of a recession and pandemic resurgence, penalised equity markets which, despite signs of recovery in the fourth quarter, closed 2022 with substantial losses, in an environment of high volatility. From the beginning of the year to 31 December 2022, the FTSE Mib lost more than 13%, the Euro Stoxx almost 12%, while the S&P 500 lost more than 19%; the Chinese Shenzhen recorded a drop of more than 21%; the Nikkei contained the decline to around 9%.

The tightening of monetary policies contributed to a marked increase in long-term yields globally in 2022; the upward trend remained volatile and, especially in the last part of the year, sensitive to macroeconomic changes and speculations regarding possible slowdowns in monetary rate increases. The US ten-year treasury bonds, after reaching levels of around 4.2% several times between the end of October and the beginning of November, closed as at 31 December 2022, at 3.87%, about 236 basis points higher than the figure at the end of 2021. Similar trend for the German ten-year treasury bonds, which however reached their highest levels at the end of the year, recording a value of 2.57% on 31 December 2022 (about 275 basis points more than at the end of 2021). The Italian ten-year treasury bonds were more volatile ending the year at 4.72%, a level close to the annual highs recorded in October (at 4.79%) and approximately 354 points higher than at the end of 2021. Over the course of the year, the yield spread between BTP10Y and Bund was somewhat tense: from the spring, the spread remained at values mostly above 200 basis points, reaching peaks of 250 points; in the winter months, it partially retreated, returning slightly to rise after the new monetary tightening adopted by the ECB in December and closing the year at 214 basis points (almost 80 basis points higher than at the end of 2021).

In 2022, monetary policy action was characterised by the fight against rising inflationary pressures. The first to move in a restrictive direction was the Fed, which since last March carried out a series of seven consecutive hikes, bringing the rate on Fed Funds from 0.00-0.25% to the 4.25%-4.50% range in December. The last meeting of the year saw the Authority decrease the pace of intervention and make an increase of 50 basis points after four increases of 75 points. Despite the first signs of reversal of the upward trend in prices, the Authority announced that the tightening will continue with further, repeated interventions¹³ even if this will be accompanied by a significant weakening of the economy, stating that the imbalance in the labour market remains a factor considered inflationary. The Authority also started to reduce its securities portfolio in the balance sheet (*Quantitative tightening*), with an initial reduction of USD 47.5 bn per month until August, and USD 95 bn since September.

The ECB's restrictive turnaround began in the summer: after an initial increase in the policy rate in July (+50 basis points), and two consecutive 75-point hikes in September and October respectively, the Authority, at its December meeting, raised the interest rate on main refinancing operations by a further 50 points to 2.5% and the rate on the remuneration of deposits to 2%. At its December meeting, the Governing Council decisively pointed out that the ECB is expected to further raise rates "significantly at a constant pace to reach sufficiently restrictive levels to ensure a timely return of inflation to the 2% target in the medium term", reiterating that the next interventions will be data-dependent and decided on at each meeting. At the same meeting, the ECB also announced that: i) the Governing Council intends to continue to fully reinvest the principal repaid on the securities maturing under the APP¹⁴ until the end of February 2023. Subsequently, the APP portfolio will be reduced at a measured and predictable pace (so-called *Quantitative tightening*), as the Eurosystem will only partially reinvest the principal repaid on maturing securities. The pace of this reduction will be equal, on average, to EUR 15 bn per month until the end of the second quarter of 2023 and will then be determined over time; ii) with regard to the *Pandemic Emergency Purchase Programme* (PEPP), the Governing Council intends to flexibly reinvest the principal repaid on maturing securities under the programme at least until the end of 2024, iii) with respect to the repayment of the amounts received by banks in the longer-term refinancing operations, the Governing Council will regularly review how the

It also includes a number of protections, calling for a proportional method in the granting of loans, a series of eligibility conditions and sustainability requirements for companies. The temporary framework was extended until 31 December 2023.

¹³ In December, the projections of the FOMC (*Federal Open Market Committee of the FED*) assume a rate on the Fed Fund at 5.00-5.25% by the end of 2023

¹⁴ *Asset Purchase Programme* (APP)



targeted operations contribute to the stance of monetary policy; and iv) with respect to the TPI¹⁵ instrument, it can be used to counter unwarranted, disorderly market dynamics that seriously jeopardise the transmission of monetary policy across countries in the Eurozone, thereby enabling the Governing Council to fulfil more effectively its mandate to preserve price stability.

Russia - Ukraine Conflict

As is well known, since the end of February, the Russian conflict in Ukraine has caused a violent rise in the prices of several raw materials. The effects on many non-energy raw materials were transitory, while the impact was particularly strong and persistent in the European natural gas market. The result was a violent increase in production costs and inflation, as well as a sharp deterioration in the trade balance and a clear change in pace in the normalisation of monetary policy. More generally, geopolitical tensions still appear to be susceptible to influence the expectations and behaviours of economic players and radically alter macroeconomic outlooks.

The situation was immediately closely monitored and assessed by the Group, also in light of the indications provided by the regulators on the matter¹⁶. Since the outbreak of the conflict, in order to ensure oversight over the operational risks inherent in the new restrictive measures introduced by the Regulators, a Task Force was set up with the duty of verifying existing oversight mechanisms, coordinating risk mitigation measures and identifying any critical issues for the entire Group. In detail, the mitigation measures assessed as priorities were completed during the first quarter of 2022, and the monitoring, analysis and coordination of residual points of attention, as well as adjustments resulting from changes in the relevant regulations, continued during 2022.

For the Group, the impacts directly related to the Russia-Ukraine conflict are marginal, taking into account that there are no operating activities located in Russia or Ukraine and that credit exposures to customers residing in the afore-mentioned countries or indirectly related to Russian or Ukrainian counterparties are of insignificant entity. In detail, as at 31 December 2022, the exposures are represented by loans and unsecured loans with a balance of approximately EUR 11 mln, of which EUR 9 mln is guaranteed by SACE, and are classified as stage 2.

Indirect risk is also very limited, and refers to performance bonds issued to back the completion of projects that are nearly finished and export advances. With reference to liquidity and market risks, exposures denominated in Russian currency are immaterial, and no negative change has been observed in the main liquidity indicators: LCR, NSFR, GAER.

As regards the potential impacts deriving from rising inflation as well as the higher cost of raw materials, an analysis was conducted on the Group's main exposures to such risks. This portfolio, subject to specific management overlays as at 31 December 2022 (see paragraph "Risks, uncertainties and impacts of the Covid-19 epidemic and the Russia-Ukraine conflict"), remains subject to close monitoring and at the date of preparation of these financial statements showed no particular signs of deterioration.

As concerns the macroeconomic scenario, the macroeconomic forecasts updated to October 2022 show an increase in overall provisioning levels. Despite the worsening macroeconomic environment, there were no signs of deterioration on IFRS 9 risk parameters (PD/LGD/EAD); in fact, the default flow in 2022 was very low (about 1%).

Lastly, please recall that the Parent Company has a Representative Office in Moscow that has been operating since 1986 with a view to helping to channel commercial transactions between domestic customers and Russian counterparties towards the Group. Following Russia's occupation of Crimea in 2014, turnover declined significantly as a result of the application of the first financial restriction packages by the EU as well as OFAC (Office of Foreign Assets Control). Observance of these restrictions limited the possibility of financing Russian banks through post-financing operations. In 2019, in order to streamline its international network, the Group modified its presence in Russia, maintaining a formal Representation Licence managed remotely from Italy, contracts with local staff were terminated and the lease on the Moscow office was cancelled and, after notifying

¹⁵ *Transmission Protection Instrument (TPI)* is the instrument established in July by the ECB to protect the Eurozone from the risk of fragmentation and to guarantee the transmission of monetary policy; it consists in the purchase of securities on the secondary market, without quantitative limits established ex ante, activated at the discretion of the ECB, which assesses whether the increase in interest rates of the country in question is to be considered "unjustified and disorderly" on the basis of certain indicators and whether the country complies with a number of criteria regarding public finance and macroeconomic conditions.

¹⁶ See in particular the documents "ESMA Public Statement: ESMA coordinates regulatory response to the war in Ukraine and its impact on EU financial markets - 14.03.2022" and "ESMA: Public Statement - Implication of Russia's invasion of Ukraine on half-yearly financial reports - 13.05.2022", "CONSOB draws the attention of supervised issuers to the impact of the war in Ukraine with regard to inside information and financial reports - 22 March 2022" and finally "Warning notice no. 3/22 of 19 May 2022".



the competent Russian Authorities, the registered office was transferred to an Italo-Russian law firm. As of 24 February 2022, the Office's activities, in line with those of the Parent Company, are compliant with the financial restrictions adopted by the EU and OFAC as a result of the invasion of Ukraine.

COVID-19

Summary of measures to support households and businesses

Type of Loans	31 12 2022				31 12 2022	
	Gross exposures		Total value adjustments		New Loans	
	EBA Non-compliant moratoria	Total Gross exposures	EBA Non-compliant moratoria	Total value adjustments	Gross exposures	Total value adjustments
Performing loans	64.5	64.5	2.2	2.2	9,453.4	41.4
Non-performing loans	17.0	17.0	7.2	7.2	313.9	64.8
Total 31 12 2022	81.5	81.5	9.4	9.4	9,767.3	106.2
Loans measured at fair value	18.3	18.3	-	-	-0.0	0.0
Stage 1	3.4	3.4	-	-	6,966.6	5.0
Stage 2	42.8	42.8	2.2	2.2	2,486.9	36.4
Stage 3	17.0	17.0	7.2	7.2	313.8	64.8
Purchased or originated credit impaired financial assets	-	-	-	-	-	-

In the context of the COVID-19 health emergency, starting from 2020 the Group granted multiple support measures to customers, including moratoria pursuant to law (Cura Italia Decree), disbursements of new loans as provided for in the "Liquidità" Italian Law Decree and interventions defined internally by the Group (e.g. bilateral suspension agreements).

With regard to the expiry of the moratoria pursuant to the Cura Italia Decree, it should be noted that the Italian Law Decree Sostegni bis (Italian Law Decree 73/2021) extended the measures until 31 December 2021, subject to the customer's request by 15 June 2021, while the Group identified the 30 June 2022 as the deadline for granting additional moratorium measures falling within the scope of the measures granted to support households and businesses for COVID-19.

In light of the expiry of the term of the moratoria, as illustrated above, the gross performing exposures affected by active moratorium measures are down sharply compared to 31 December 2021, standing at around EUR 64.5 mln as at 31 December 2022. (EUR 1.9 bn as at 31 December 2021), representing approximately 0.1% of the performing portfolio of gross loans to customers of the Group. The aggregate consists exclusively of moratoria that do not comply with the EBA Guidelines due to the phase-out of the EBA provisions relating to the criteria for the exemption from the forbore assessment. In this regard, note that 94% are classified as forbore in terms of amount.

Gross non-performing exposures with current moratoria amounted to EUR 17.0 mln as at 31 December 2022 (EUR 273 mln as at 31 December 2021).

At the same date, the total volume of exposures that benefited from COVID-19 moratoria measures and therefore including the moratoria whose suspension terms have expired and have now been repaid, amounted to EUR 10.6 bn (EUR 12.3 bn as at 31 December 2021) - of which EUR 0.08 bn still active at the date of these Financial Statements and shown in the table above, and EUR 10.5 bn with the suspension period that expired- classified as EUR 9.8 bn in performing exposures and EUR 0.7 bn in non-performing exposures. With respect to performing exposures, it should be noted that nearly all of them have instalments that have fallen due and been paid, with some limited overdue amounts.



With regard to the actions taken in application of the “Liquidità Decree”, the Group continued with the disbursement of loans guaranteed by the State. In detail, additional loans of approximately EUR 1.4 bn were approved in 2022, so that the total amount of loans guaranteed by Central Guarantee Fund, Ismea or SACE, net of approximately EUR 1.8 bn in annual repayments, came to approximately EUR 9.8 bn, of which EUR 9.5 bn classified as performing loans.

Approximately 76% of the exposures originating from secured finance ended the pre-amortisation period with delays in payments of 2.4%, which corresponds to an overall default rate observed in the two-year period 2021-2022 of approximately 3%; finally, it should be noted that, limited to the lines that exceeded the thresholds for the reporting of risk events, the fulfilments for the management of the state guarantee have begun.

Of the performing guaranteed amounts disbursed approximately 26% is characterised by exposures classified as stage 2, of which approximately 28% are disbursements made under letter E of the Liquidità Decree (totalling EUR 2.8 bn as at 31 December 2022). The guarantee coverage rate compared to the total disbursed is roughly 87%, basically unchanged compared to the end of 2021.

Security management in the context of the COVID-19 pandemic

In 2022, the Group continued to work to guarantee the protection of occupational health and safety, and the prevention of the risk of contagion, always in compliance with the government provisions in force at the time.

After an initial period that recorded a greater concentration of cases and required more careful management of security measures, the initiatives adopted were appropriately adjusted, given the gradual reduction in the level of pandemic risk.

In particular, those measures aimed at ensuring the safe performance of work already in place in the previous period continued until the end of the year: management of post-positive work returns, agile work on a continuous basis for “fragile” workers and for workers with proven serious disability, sanitisation of work environments, provision of masks and sanitising gel, constant information to employees, etc.

The new legislative and Ministry of Health regulations introduced at the end of the year will lead to updates of the measures as of January 2023.



Significant events in 2022

On **3 February 2022**, the Parent Company received the Sustainability rating upgrade from Standard Ethics, an internationally recognised third party, obtaining the EE ranking, which certifies the Group's good standing on sustainability issues.

On **7 February 2022**, the Board of Directors of the Parent Company approved: i) the removal of Mr Guido Bastianini, as General Manager, Chief Executive Officer and Director in charge of the internal control and risk management system of Banca MPS, as well as all related powers, although he remains in office as a member of the Parent Company's Board of Directors; ii) the co-opting pursuant to art. 2386 of the Italian Civil Code of Mr Luigi Lovaglio, following the resignation of the Director Olga Cuccurullo, on 4 February 2022, and his appointment as Chief Executive Officer and General Manager of the Parent Company.

On **30 March 2022**, the Parent Company, in compliance with the requirements of the Final SREP Decision received on 2 February, sent to the European Central Bank the Capital Plan approved by the Board of Directors on the same date and developed, also with regard to the amount of the underlying capital increase, in compliance with assumptions consistent with the previous 22-26 Business Plan that was approved by the Parent Company on 17 December 2021.

On **12 April 2022**, the Shareholders' Meeting approved, inter alia, the removal of director Mr Guido Bastianini and the appointment to the role of Director, at the proposal of shareholder Ministry of Economy and Finance ("MEF"), of Mr Stefano Di Stefano, for integration of the Board of Directors following the revocation of Mr Guido Bastianini.

On **14 June 2022**, the Parent Company's Board of Directors unanimously approved the appointment of Andrea Maffezzoni as the new Chief Financial Officer, who took office after the resignation of Giuseppe Sica.

On **22 June 2022**, the Parent Company's Board of Directors approved the new 2022-2026 Business Plan: "*A Clear and Simple Commercial Bank*" (the "Business Plan" or the "Plan") and the updated Capital Plan developed in line with the Plan that was sent to the European Central Bank on 24 June 2022. In the same board meeting, the Board of Directors of the Parent Company, as part of the initiatives of the Plan, which envisage, inter alia, a capital increase operation to be offered as an option to BMPS shareholders for a maximum amount of EUR 2.5 bn, took note of the availability of the MEF, owner of an equity investment equal to 64.23% of the share capital of Banca MPS, to "support the capital initiatives that the Parent Company will undertake for capital strengthening within the framework of the 2022-2026 Business Plan (...), for the share of its competence at market conditions and within the framework of the provisions that should be established by the supervisory and control Authorities".

On **23 June 2022**, the Parent Company, based on the implementation of the development strategies envisaged in the Plan, also announced the division of the *Chief Commercial Officer Department* into three Departments, with the aim of aiming for greater specialisation and offering of a "tailor-made" service for customers. The new configuration makes it possible to operate with faster and more effective decision-making processes. More specifically:

- CCO Retail Department which will have a specific focus on consumer credit, managed savings, bancassurance and digital banking activities.
- CCO Corporate and Private Department which will deal with Corporate and Private Banking products and markets.
- CCO Large Corporate & Investment Banking Department which will be focused on large companies and with a structure focused on investment banking services.

In order to strengthen the control and management of costs with the centralisation of authorisation processes, in line with the initiatives of the Plan, a "Cost Governance" structure was also set up under the responsibility of the Chief Financial Officer, who reports directly to the CEO.

On **2 August 2022**, DG Comp issued a measure, which was made public on 3 October 2022, relating to the revision of the "Commitments" assumed by the Italian Republic in order to allow for the Bank's precautionary recapitalisation in 2017 pursuant to EU and Italian regulations. This measure does not constitute an authorisation for the share capital increase, but rather a restructuring of the commitments made by the Italian State as concerns the State aids granted to BMPS in 2017, in order to identify compensatory measures with respect to the commitments from the previous 2017-2022 Business Plan that were not met, including the Ministry's divestment of its stake in the Bank by 31 December 2021.

On **4 August 2022**, the trade union agreement was entered into between the Group and the Trade Unions for the management of 3,500 voluntary resignations as at 1 December 2022 as set forth in the 2022-2026 Business Plan,



thanks to an early retirement programme based on the various pension options already accrued and the activation of the Sector Solidarity Fund. The effectiveness of the agreement in its full application was subject to the availability of the relative financial resources as set forth in the 2022-2026 Business Plan.

Also on **4 August 2022**, the Group signed contracts concerning the sale without recourse of a portfolio of non-performing loans as part of the so-called “Fantino” project with the following counterparties: Illimity Bank S.p.A.: portfolio of unlikely to pay loans totalling EUR 343.6 mln; Intrum Holding S.r.l.: portfolio of unsecured bad loans totalling EUR 365.9 mln and finally AMCO: portfolio of secured bad loans totalling EUR 208 mln. The deconsolidation of the portfolio took place in the fourth quarter of 2022.

On **2 September 2022**, the European Central Bank informed the Parent Company of the positive completion of the authorisation process regarding the execution of the share capital increase.

On **15 September 2022**, the Extraordinary Shareholders’ Meeting of the Parent Company resolved to approve: (i) the Bank’s Half-Year Financial Report as at 30 June 2022, which showed a profit for the period of approximately EUR 97 mln, which the Shareholders’ Meeting decided to allocate to cover the overall loss at the same date; (ii) the decrease of the share capital due to losses pursuant to art. 2446 of the Italian Civil Code, to cover the overall loss, reduced due to the profit for the period and the use of available provisions; (iii) the grouping of ordinary shares in the ratio of no. 1 new ordinary share for every no. 100 outstanding ordinary shares; (iv) the share capital increase with consideration for a total maximum amount of EUR 2.5 bn to be carried out in one or more tranches, through the issue of ordinary shares, with regular entitlement, to be offered as an option to the Company’s Shareholders, pursuant to Art. 2441 of the Italian Civil Code and (v) the consequent changes to the Articles of Association and further amendments to some articles of thereof.

On **26 September 2022**, the Parent Company, in execution of the above-mentioned shareholders’ resolution, proceeded with the reverse split of 1,002,405,887 existing ordinary shares, with no indication of par value and with regular entitlement, into 10,024,058 new ordinary shares with the same characteristics, after cancelling 87 ordinary shares to allow for the overall reconciliation of the transaction without altering the share capital. In order to facilitate the reverse split transactions and monetise any resulting fractions, the Parent Company engaged Equita SIM S.p.A. to become a counterparty from 26 September 2022 to 30 September 2022, at the request of the custodian intermediary, for the purchase or sale of the fractions of new shares involved in the reverse split either missing or exceeding the minimum extent necessary to allow the shareholders to hold a whole number of shares. These fractions were settled, without any additional expenses, stamp duty or fees, on the basis of the official BMPS ordinary share price on 23 September 2022 of EUR 0.3038.

On **11 October 2022**, the BMPS Board of Directors approved the final terms and conditions relating to the rights offering and admission to trading on the regulated market of the BMPS shares resulting from the capital increase. Also on the same date, the MEF undertook to subscribe all of its new shares in proportion with its stake held in BMPS, equal to a total of 64.23% of the maximum value of the share capital increase. This undertaking was characterised by a constraint, i.e., the fact that, in order to comply with EU regulations on state aid, as a result of the share capital increase the MEF would have not in any case exceeded the above-mentioned stake.

On **4 November 2022**, the share capital increase concerning 1,249,665,648 newly issued shares was fully subscribed for the total equivalent value of EUR 2,499,331,296. The new share capital of the Parent Company is therefore equal to EUR 7,453,450,788.44, broken down into 1,259,689,706 ordinary shares with no indication of par value.

On **24 November 2022**, Fitch Ratings improved the ratings of BMPS, bringing the Long-Term Issuer Default Rating (“IDR”) to “B+” from “B” and the Viability Rating (“VR”) to “b+” from “b”. The outlook changes from “evolving” to “stable”.

On **2 December 2022**, BMPS and COG S.p.A. (formerly Consorzio Operativo Gruppo Montepaschi S.C.p.A.), in execution of the resolutions passed on 10 November 2022, entered into the deed of merger relating to the merger by incorporation into BMPS of COG, a wholly-owned subsidiary of BMPS, filed on the same date with the Arezzo-Siena Companies’ Register. The statutory effects of the Merger took effect from 5 December 2022, while the accounting and tax effects from 1 January 2022.

On **19 December 2022**, Standard Ethics confirmed the Corporate Rating “EE” (“Strong”) and the Long Term Expected rating EE+ (“Very Strong”) of Banca MPS.

On **27 December 2022**, the Parent Company received the final decision of the European Central Bank (“ECB”) regarding the capital requirements that must be observed effective 1 January 2023. According to this decision, the MPS Group - at consolidated level - must comply with a Total SREP Capital Requirement (TSCR) of 10.75%: this includes a minimum requirement in terms of own funds - Pillar 1 (“P1R”) of 8% (of which 4.50% in terms of CET1) and an additional Pillar 2 requirement (“P2R”) of 2.75%, which is unchanged with respect to 2022, to be



held at least for 56.25% in the form of Common Equity Tier 1 capital - CET1 - and 75% in the form of Tier 1 capital. Furthermore, with reference to the Pillar II Capital Guidance (P2G), the ECB expects BMPS to maintain, on a consolidated basis, a requirement of 2.50%, also unchanged from 2022, to be met entirely with Primary Tier 1 Capital in addition to the overall capital requirement. The overall minimum requirement in terms of Total Capital ratio, obtained by adding a Combined Buffer Requirement (CBR) of 2.75% to the TSCR, is 13.50%. The overall minimum requirement in terms of CET1 ratio is 8.80%, the sum of P1R (4.50%), P2R (1.55%) and CBR (2.75%); the overall minimum requirement in terms of Tier 1 is 10.82%, including P1R of 6%, P2R of 2.06% and CBR of 2.75%. Considering the successful outcome of the share capital increase for EUR 2.5 bn, the ECB also removed the prohibition on the distribution of dividends, replacing it with the obligation for the Bank to obtain prior authorisation from the Supervisory Authority.



Human Resources

Consistent with the objectives and time lines of the 2022-2026 Business Plan, on 4 August 2022 a trade union agreement was signed between the Parent Company and the Trade Unions - concluding the procedure provided for by the NCBA (National Collective Bargaining Agreement) - for the implementation on 1 December 2022 of the voluntary redundancy plan with a view to social sustainability, thanks to an early retirement programme based on accrued pension options and activation of the Sector Solidarity Fund. At the outcome of the voluntary adhesion campaign more than 4,000 applications were received, which the company accepted in full. In detail, the Agreement allowed workers to take advantage of the Fund's benefits up to 7 years in advance of the accrual of the pension, guaranteeing a stable economic treatment. In terms of the overall compatibility with the provisions of the Plan, in consideration of the prolonged duration of permanence in the Solidarity Fund, the Agreement in fact provided for economic support measures in relation to the different remuneration levels of the employees concerned, safeguarding their needs even after the termination of the employment relationship thanks to the maintenance of company welfare programmes.

KPI as at 31.12.22

Indicators	31/12/2022	31/12/2021	31/12/2020	31/12/2019	31/12/2018	31/12/2017	31/12/2016
Headcount	17,020	21,244	21,432	22,040	23,129	23,463	25,566
<i>Operational location (%)</i>							
Central Functions*	32.8	36.2	36.0	36.0	36.0	34.2	34.8
Network**	67.2	63.8	64.0	64.0	64.0	65.8	65.2
<i>Professional/occupational (%)</i>							
Management	1.1	1.1	1.2	1.3	1.2	1.2	1.2
Middle Management	35.8	38.7	38.7	38.8	39.1	38.9	39.6
Professionals	63.1	60.2	60.1	59.9	59.7	59.9	59.2
Other indicators							
Training per capita (hours)***	44	44	47.2	48.9	45.9	41.9	46
Female staff (%)	53.3	51.7	51.4	50.8	50.0	49.7	48.0
Female executives (%)	19.2	16.5	15.7	14.2	10.3	8.2	7.8

* Head Office and Branch Administrative Offices in Banca MPS, Foreign Network and other Group Companies.

** Branches and Specialised Centres of Banca MPS.

*** Banca MPS, MPSCS, MPSFid, MPSLF, Widiiba.

Headcount changes

As at 31 December 2022, the Group had a total of 17,020 active employees¹⁷, down 4,224 compared to 31 December 2021. During 2022, there were:

- no. 82 new hires of which 18 reinstatements in implementation of court-rulings. The remaining no. 64 aimed at primarily strengthening the Sales and Distribution Network and increasing the workforce of the Control Functions through the entry of young resources. In particular, no. 9 new hires, out of the above 82, were made to comply with the commitments provided for in the protected categories law;
- no. 4,430 terminations, of which 4,028 between Incentivised Early Retirement and recourse to the Sector Solidarity Fund;

¹⁷ Instead, personnel on the payroll stood at 17,206 resources.



- a positive balance of 124 resources for other movements in the Group's consolidation scope, mainly due to the termination of secondments.

The 82 new hires consisted of 3 Executive managers, 6 Middle Managers and 73 Professionals, while the terminations concerned 48 Executive managers, 2,229 Middle Managers and 2,153 Professionals.

The distribution at the end of 2022 of the workforce stood at 67.2% in front-office units (Branches and Specialised Centres) and 32.8% for Head Office units and Regional Coordination Departments.

Personnel management initiatives

The personnel management policies support the reorganisation projects, in line with the objectives of the new 2022-2026 Business Plan "*A Clear and Simple Commercial Bank*", through mobility plans (professional and regional) with a view to development opportunities for employees and according to logics of transparency, participation and inclusion.

The organisational manoeuvres set forth in the 2022-2026 Business Plan and, more generally, professional mobility, were therefore supported:

- by the Professional and Managerial Development plans aimed at ensuring in a business continuity logic, adequate levels of qualitative and quantitative staff coverage;
- by the training programmes aimed at strengthening skills, provide managerial career guidance and support requalification processes;
- by the engagement and motivation levers for resources (remuneration policies¹⁸, corporate welfare system, internal communication plans).

In particular, MPS Sviluppo, the programme dedicated to people development, which involves the clustering of the company population and the coherent and specific activation of initiatives for the development and value enhancement of skills for each cluster, which therefore become levers of engagement with a view to merit and equal opportunities. In this context, in order to respond to the skills needs arising from the organisational transformation implemented in the latter part of the year, the "reskilling" process was expanded and enriched, involving over 2,000 colleagues - between the Network and Central Structures - and was set up with the aim of actively managing the retraining towards new roles through:

- the value enhancement of the skills and experience built by the people involved and the definition of customised training courses aimed at bridging the skills gaps identified; this approach, which is useful for identifying the most suitable resources to cover the professional needs generated also by the exits for Early Retirement, has also involved the strengthening of the processes for analysing the wealth of information on our people, further enriched by the contributions provided by them in self-service on the *My Personal Story* platform, where they can tell the story of the skills acquired and the experiences they have lived throughout their professional lives;
- development paths - set up with a view to supporting and developing the managerial population newly appointed to roles of responsibility in the Network and Central Structures - which, after an assessment, define individual digital coaching action plans aimed at consolidating managerial skills;
- GEA (Growing Employees Accountability) professional development paths towards the role of branch manager; activated in 2020-21, based on voluntary candidacy, which provide for the resources that have passed the internal selection process to grow towards the target role by moving into intermediate positions;
- the digital content platform aimed at enriching soft skills, further integrated into development initiatives, with particular attention to both the reskilling programmes already mentioned, which also provide moments for reflection on these skills, and the action plans defined following the feedback interview relating to year-end performance.

Welfare, which plays a central role in second-level bargaining agreements has consolidated its structure into a set of contractual benefits, which are evolving, differentiated based on traditional and emerging needs of employees,

¹⁸ See "Report on the remuneration policy and on compensation paid" in the Corporate Governance section on the Parent Company's corporate website.



with respect to: supplementary pensions, income support (hiring family members of deceased employees, meal vouchers, subsidised loan conditions), health (illness and accident insurance coverage) and work-life balance, with the introduction of innovative initiatives (agile work), and in terms of internal solidarity (MPSolidale) also thanks to the constant dialogue within the Joint Welfare Commission. This model was also substantially extended to the resources participating in the Sector Solidarity Fund and for the entire period of permanence therein. Despite the end of the epidemiological emergency on 31 March 2022, the MPS Group continued to guarantee access to agile work, also through a programmatic company union agreement which, in line with the provisions of the sector's national labour bargaining, supports the measures for work-life balance, compatibly with organisational, production and customer service quality requirements. To protect health, in relation to the trend of the pandemic, health protection coverage for COVID-19 pandemic was also maintained for 2022.

The activities of the MPS Diversity&Inclusion Programme continued with the aim of developing a culture of diversity and inclusion to enhance difference as a value and opportunity. An inclusive culture is valued by the Group, it develops flexibility and innovative skills, increases the motivation of people in the company and interest in new generations, with a consequent positive impact for the business. These principles, in line with the additions to the Code of Ethics, are reiterated and expanded in the document "Rules on Inclusion" issued in July, which defines the commitments in terms of enhancing diversity and inclusion, equity and equality that the Company aims to pursue in all phases of the business life of each person, in the organizational and operational aspects and in internal and external communication. To disseminate the principles of the "Rules on Inclusion" document, further editions of the "Plural Management" training workshop were implemented for all Resources Managers; the "Women Leadership Programme" on specific gender issues, a process aimed at women who hold positions of responsibility, continued; the issue of Diverse Abilities was addressed with dedicated analyses (in particular as part of the "Disability and Work" research in collaboration with the Istud Foundation) through participation in the Disability Lab (an inter-company laboratory created as a natural continuation of the "Disability and Work" research project). The Programme's activities are subject to continuous discussion within the Equal Opportunities Commission.

The initiatives of MPS Orienta, the programme that encompasses the activities that the Parent Company devotes to career guidance, the development of soft skills, financial education and, in general, relations with schools and universities. The aim of the programme is to promote employer branding, strengthen the link between education and the world of work, support the country's economic and social development, contribute to sustainable growth strategies and strengthen relations with customers and the area in which the Group operates. The main initiatives target:

- developing partnerships with universities and specialisation schools, including internships, co-teaching and targeted cooperation activities, participation in career guidance events, and the preparation of degree theses in the company;
- promoting training, guidance and financial education projects with primary and secondary schools;
- designing and implementing financial education and career guidance activities to be promoted externally, through workshops dedicated to specific targets.

Human Resources management activities returned to a "new normal" in 2022 with the almost total return of the resources to the workplace following the gradual easing of measures related to the COVID-19 health emergency.

The management plans were based on the objectives set forth in the 2022-2026 Business Plan "*A Clear and simple commercial Bank*", accompanying the exit of resources for Early Retirement/Solidarity Fund by virtue of the Agreement of 4 August 2022 and supporting the organisational review and the related reallocation of resources which led to the upgrade of the central structures, the Regional Commercial Areas and the Regional Credit Areas, the reorganisation of the branches and centres, the value enhancement of the front-office personnel and the recruitment of customers to Service Models more consistent with the objectives of the Plan. In particular:

- the coverage of Network activities, also in the planned strengthening of commercial roles, was guaranteed by upgrade processes and the redeployment of resources from Head Office structures, also thanks to the corporate simplification operations starting from the Consorzio Operativo di Gruppo;
- the managerial continuity plans, in support of the reorganisation manoeuvre, were focused on the qualitative and quantitative coverage of strategic commercial areas through upskilling and reskilling programmes, with opportunities for professional growth and with minimal impacts in terms of regional mobility;
- the Control Functions, subject to particular attention, were supported by a specific reintegration plan.

To accompany people in their new roles, particular attention was paid to the provision and follow-up of the more than 2,000 reskilling courses mentioned above and characterised by personalised training based on the target role



and the skills of each. To ensure sustainability for people and structures, a calibrated mix of training methods has been adopted, which includes online, webinars and structured coaching, employing specific professional skills to best transfer the necessary operational and procedural knowledge to the colleagues concerned.

Furthermore, mechanisms were activated to ensure the value enhancement of internal skills, professional and management job rotation, while limiting recourse to hiring through the external market.

In the various projects, Human Resources management has set itself the objective of pursuing the best allocation of resources and maximising engagement, accompanying execution with the use of all internal communication channels as well as with a programme of individual interviews to discuss the main drivers and expected benefits.

MPS Academy, the company's permanent training institute that has supported the transformation of the MPS Group's organisational models since 2012 through a risk-based approach, which identifies the main priorities for initiatives in the various training areas, responding proactively and dynamically to changes in the Group's internal and external context. The year 2022 was characterised by the further evolution of the new training platform with the introduction of solutions that fosters the application of the 3D Approach training framework adopted by MPS Academy. In particular, the introduction of dynamic training courses makes it possible to customise enrolments by role for the same total duration of the training courses (e.g. MIFID and IVASS certification); furthermore, the availability within the platform of coaching forms, used specifically also for reskilling courses, has been introduced for a digital compilation that avoids the paper transit of documents between the various players involved.

With respect to training activities, about 737,645 training hours were provided at MPS Group ¹⁹level in 2022, equal to 44 hours per capita. The training activity covered about 99% of the personnel and is continuously followed-up jointly with the trade unions, including within the Joint Training Committee.

In order to promote the spread of risk culture and to highlight the value created by training initiatives in terms of covering processes and monitoring business risks, a single Training Framework has been implemented for some years enabling each training activity to be associated with one or more business processes/risks from the design phase.

The MPS Academy 3D Approach training model allows training activities to be broken down in multiple dimensions, based on the following dimensions: processes, risks and training environments.

This model also ensures "personalised" training in high-risk areas (e.g. Credit, Anti-Money Laundering and financial crimes, Customer Protection and Transparency, Data Governance and Cyber Security) conducted following a Risk Assessment and Skills Gap Analysis exercise that determines the exposure to risk (known as the "risk rating") for each company role and the consequent specific training requirement, directing training on the areas at greatest risk and on the most exposed company profiles and which therefore require greater knowledge. In 2022, the new model was applied in the Credit area (more than 5,000 Network resources involved), in the Anti-Money Laundering area for the entire Network (for over 12,000 people) and in the context of Customer Protection and Transparency (for over 12,000 people). For the "Datticredito" training project, the resulting planning of "personalised" courses started with virtual classroom training courses and operational coaching (around 800 people trained for at least 2 hours and 185 people in operational coaching for a further 2 hours) and online (over 1,600 hours of training utilised by 3,000 people still in training). In the area of Anti-Money Laundering, the online training and micro-learning campaign launched in 2021, which involved over 13,000 people, providing around 25,000 hours of training, was completed. The campaign is completed with webinar training (2 hours) for over 1,500 people and coaching (2 hours) for 160 resources. In the second half of the year, the new training campaign was launched following the Skill Gap Analysis with the enrolment of over 8,000 resources online, of which 85% have already completed the course; training will continue in 2023 with tailor-made training programmes via webinars and online.

In terms of Customer Protection and Transparency, the results were used according to two guidelines:

- developing tailor-made training courses to cover the gaps that have emerged on Transparency, carried out through 12 online training "pills", for minor gaps, and an online course that summarises the entire process, from product governance to contractual and post-contractual management, for those who have serious gaps. The training "pills" and the online course cover the main operational aspects deriving from external and internal regulations in the area of transparency;
- guiding the design of the 2022 refresher courses required by IVASS and CONSOB, within which ample space was given to the topics on which the greatest gaps had emerged during Skill Gap Analysis.

¹⁹ MPS Group's consolidation scope: Banca MPS, MPSCS, MPSFid., MPSLF, Widiba.



In addition, by value enhancing the potential of the 3D model and continuing its development, a new training system was finalised on the 231/01 model, which strengthens awareness and control of risk: the 231 MPS Training Approach. The interconnection of the Bank's 231 model with the multi-dimensional and risk-based Training Framework made it possible to identify the relevant topics for the 231/01 model purposes. In the Transparency area, in continuity with 2021, the training programme aimed at supporting skills in this area continued through multimedia courses for all Group personnel and specific training initiatives and activities useful for 2022 planning.

Also in 2022, MPS Academy offered professional training courses (with final certification) and programmes to prepare for international certifications for highly specialised roles (control functions, fraud prevention, cyber security, purchases, etc.).

In 2022, Health and Safety training was expanded thanks to the end of the health emergency period, which made it possible to schedule activities that had to be run in physical classrooms. It focused on the provision of specific courses for Emergency Workers, Supervisors and Executive managers, Workers' Safety Representatives, Health Care staff, achieving almost total training coverage.

The experience accumulated during the health emergency also made it possible, also in 2022, to manage training activities through multimedia online courses (with learning tests), interactive webinars and operational coaching. The latter, thanks to the support of permanent Faculties of internal trainers, made up of subject experts (Credit, Anti-Money Laundering and Financial/Insurance) who assist in setting standardised guidelines and methods, were conducted through synchronous virtual classrooms and, where appropriate, structured ad personam coaching.

The main projects were carried out with the objective of:

- boosting the level of personnel instruction and professionalism, also in line with European and national requirements (e.g. Mifid 2, IDD, Bankit Directive on Real Estate Credit);
- spreading a fair and effective risk culture;
- guaranteeing support for the turnover of company roles;
- increasing the orientation towards self-development and continuous professional training.

In the course of 2022, the multimedia tools made available with the activation of the new training platform were maintained and enhanced with targeted and immediately usable content, such as the Anti-Money Laundering Wiki (DARiO - Online Anti-Money Laundering Documentation) and the Credit Wiki (CIRO - Credit: Information on Risks and Operations), which are online mini-encyclopaedias based on the structure of Wikipedia, with specialised content dedicated to regulations on anti-money laundering and fighting terrorism financing, and credit.

MPS Academy promotes the development of digital culture in the MPS Group through training initiatives offered to all bank staff and targeted, or through specialised programmes for strategic roles. To facilitate the transition to digital management of services, training on cyber security continued through online courses that totalled approximately 25,000 hours of training. As part of the Mifid 2022 certification, a course was provided on artificial intelligence and developments in Fintech and Insurtech and on Digital Banking (11,000 subscribers). In December 2022, the Board Induction event was held for the Bank's Directors and the members of the Board of Statutory Auditors on the topic of Cybersecurity: the new challenges and different approaches to protect the Bank's business. In addition, certification programmes were offered the control function staff on Cyber Security Awareness & ICT Risk Training and a course on Swift Security Awareness for Customer Security Programme (over 400 people). The training programmes will be completed in 2023. Managerial training also makes use of new technologies: in addition to the traditional training courses to support the role, some apps have been activated that contain stimuli to increase managerial skills in an innovative way. In addition, major releases of new interfaces (*New Small Business Dashboard*), processes (Consumer Finance and Mortgage Workflow) and tools (Swift application) were supported with training initiatives.

On the specific issue of ESG, MPS Academy has promoted a series of initiatives to facilitate the dissemination of principles relating to the environment (Environmental), society (Social) and Governance. In particular, on Sustainable Lending topics according to the EBA guidelines, two training courses were provided: one dedicated to over 570 network resources consisting of 5 webinars for a total of 10 hours and the other for roles of responsibility (over 135 resources involved) consisting of 8 webinars for a total of 16 hours. An online workshop was then held on operational in-depth analysis that involved around 800 people in the credit supply chain. Also on the subject of ESG, a 30-hour certification course for Private roles was offered with the collaboration of high standing institutes and, again for specialised roles, a course for Auditors (ESG Risk Management) was also held. The campaign to raise awareness and disseminate ESG culture continued through the provision of a Learning Card, an initiative launched as part of the 2022 Risk Culture campaign, which involved 21,000 people, as well as the provision of the online course on ESG and sustainable finance as part of the Mifid 2022 certification (11,500 participants).



MPS Academy also ensured that all employees are able to constantly improve their professional skills and personal development opportunities by learning transversal skills (soft skills). In particular, specific training initiatives were proposed to each employee in relation to the needs of their role (“push” training) and each employee was able to access the catalogue for specific training activities (“pull” training).

Specific training programmes were launched upon a change in role: in particular, all managerial levels of the Network and the governance structures participate in training courses on soft skills related to their role, aimed at developing and strengthening team management and motivation skills, with specific attention promoting the culture of inclusion of diversity.

2022-2026 Group Business Plan

The 2022-2026 Business Plan approved by the Parent Company’s Board of Directors on 22 June 2022 aims to strengthen BMPS in its nature as a “simple commercial bank in the operation and interaction with customers” and is developed on three strategic directives:

- **Business model with sustainable profitability:** optimization of the organisational structure in order to make the Bank’s operations agile and efficient, accompanied by the relaunch of the commercial platform. The goal is to strengthen the role of BMPS as a point of reference in the territories to which it belongs, through a product offer focused on households and businesses and the support of important interventions for digitization, thus guaranteeing a solid generation of revenues.
- **Solid and resilient balance sheet:** significant strengthening of the Bank’s capital position following the completion of the capital increase of EUR 2.5 bn carried out in November 2022, accompanied by the implementation of a sustainable funding strategy and the improvement of the risk by virtue of the credit policies adopted.
- **Management of the legacy of extraordinary legal risks through an approach based on factual elements and the experience gained on the matter.**

These strategies will be supported by three distinctive factors of the Group: the reputation of the brand and of the historical business of BMPS, employee capabilities and motivation, and the Bank’s historic ESG culture.

Furthermore, the objectives of the Plan take into account the review of the commitments between the Italian Republic and the European Commission relating to the Bank. On 2 August, the MEF announced that DG Comp had approved a revision of the “Commitments” that had been taken by the Italian Republic in order to allow for the Bank’s precautionary recapitalisation in 2017 pursuant to EU and Italian regulations and that the revised commitments are consistent with the objectives of the 2022-2026 Business Plan. On 3 October, the European Commission published the new commitments that the Bank is required to respect and which are already reflected in the Plan actions.

Business Model with Sustainable Profitability

The Business Plan includes important initiatives for the bank aimed at achieving a Business Model characterised by sustainable profitability, thanks to an optimisation of the organisational structure in order to make the Bank’s operations agile and efficient, alongside the relaunch of the commercial platform, aimed at strengthening the role of BMPS as a point of reference in its territory, through a Business Model and product offering focused on households and businesses. The push towards digitisation is enabled by a plan focused on key projects to support the engines of revenue rebalancing, with the aim of guaranteeing their effective and timely completion, in order to obtain tangible results over the course of the Plan.

In particular, the following actions are envisaged:

- Simplification of the Group structure through mergers by incorporation into BMPS of subsidiaries (MPS Capital Services, MPS Leasing & Factoring and Consorzio Operativo Gruppo MPS) to trigger and enable the rationalisation of the company’s business and operating model. These transactions make it possible to achieve significant benefits in terms of revenue synergies and expense optimisation. Specifically, the mergers help to speed up decision-making processes, save on governance costs and enable significant resource efficiencies, which will be achieved through recourse to the solidarity fund.
- Revision of the organisational structure with view to simplification, in which the most significant organisational impacts primarily regard the head office level: the Chief Operating Officer in which a new “Information Technology” unit is created following the merger of the Consorzio Operativo di Gruppo, the reconfiguration of the Chief Commercial Officer across three departments with targeted responsibility for the governance of the three main business areas (Retail, Corporate and Private, Large Corporate and Investment Banking). Locally, the commercial and credit structures are also being tailored to guarantee



consistency with the new organisational design of the Group's commercial area, favouring a simplification of the lines of command and a clearer assignment of commercial oversight responsibilities to the individual markets (customer segments).

- Headcount and geographical presence optimisation: to favour the achievement of a Business Model characterised by sustainable profitability, organisational structure optimisation and Business Model “streamlining” initiatives have been planned. These initiatives specifically regard: (i) headcount reduction, for which a voluntary redundancy plan has been developed which relies on the use of the Solidarity Fund. Resources will also be reallocated to commercial activities and customer services; (ii) the optimisation of the distribution network, which will entail a reduction of 150 branches over the Plan horizon;
- Relaunch of the commercial platform and targeted development for specific high-potential business areas. The objective of sustainable profitability will also be pursued by relaunching the Group's commercial platform, strengthening BMPS's role as a point of reference in its geographical area. In this area, several additional investments are planned to support growth and execute Plan initiatives, such as: the multi-channel digital offer, the customer development plan through CRM and data analytics tools, the wealth management and consumer finance area, and the industrialisation of the performing and non-performing credit platform. Specific actions are also planned for commercial development in specific high-potential business areas, including:
 - “Consumer Finance”, where the Bank still has space to reach its full potential, which is closely linked to the recent launch of the new internal product factory;
 - “Protection”, which represents a central element in the business plans of the main domestic banking players, with significant growth, towards which the 2022-2026 Business Plan is also oriented. These results will be achieved especially thanks to joint efforts made with the reference partner;
 - “Wealth Management”, in which the market benchmark has underscored opportunities for value generation;
 - With a view to enhancing the role of BMPS as advisor, the Plan aims to reach full commercial potential through existing, well-established partnerships and the support of the new “MPS Athena” advisory platform;
 - “Small and Medium-Sized Enterprises”: the commercial proposition will be strengthened with initiatives to guide coverage and capture the specialisation opportunities of each territory with a view to integrated financing for the entire supply chain;
 - “Households and SMEs”: expansion of the customer base, through targeted initiatives and strengthening of organisational oversight dedicated to customer acquisition.
- Rigorous control of administrative costs through the strong centralisation of cost governance responsibilities and authorisation processes from a “zero-based” perspective, supported by a process review and ad hoc tools;
 - Strengthening of the digital strategy: to support the relaunch of the commercial platform, investments are planned to develop Plan initiatives with reference to the IT and real estate sectors, with a specific focus on digitalisation;
 - Value enhancement of Widiba as “challenger bank/best in class”: the Plan calls for investments for the effective value enhancement of Widiba, the Group's challenger bank, and the Bank's Business Model will be more oriented towards financial advisory services for customers, thus adopting a model already implemented by other players in Italy in order to enhance Widiba and its platform, recognised as one of the most innovative in Europe, as much as possible.

The Parent Company has always been engaged in ESG matters, as demonstrated by the numerous actions pursued over recent years, such as signing on to the “Principles for Responsible Banking” in 2019 and joining the “Net-Zero Banking Alliance” in 2022. This means that the Group's objectives also include the goal of strengthening its pathway towards a sustainable development model so as to reach a distinctive market positioning with respect to ESG aspects; an objective that BMPS intends to pursue by supporting its customers in green transition processes and contributing to the creation of a more sustainable, fair and inclusive society. In this sense, the Plan outlines several lines of development in the ESG realm to ensure a proactive contribution to sustainable development by integrating sustainability principles within its corporate strategy. This additional objective will enable the Group to evolve towards a Business Model focusing on core activities with greater efficiency - also in terms of digitalisation - and with sustainability approaches, for the benefit of all stakeholders. In this sense, the Plan includes the following objectives:



- contributing to the environment by gradually reducing direct emissions (-60% vs 2017);
- continuing in the Diversity & Inclusion programme with the objective of 40% of women in positions of responsibility and the adoption of rules on inclusion and gender equality certifications;
- adopting rules to pursue inclusion and certified gender equality;
- enhancing human capital by: (i) adopting a flexible work model to ensure work-life balance, (ii) implementing an attractive welfare system that meets emerging needs and (iii) spreading the “ESG culture” by promoting company awareness-raising and training programmes;
- continuing to play a proactive role in the areas in which the Bank operates, promoting initiatives in support of communities and the enhancement of artistic and cultural heritage as well as financial education and professional guidance;
- actively supporting: (i) the ecological and sustainable transition of companies and households with the goal of reaching at least 20% of new disbursements for ESG purposes, (ii) the issuance of green and social bonds for EUR 2.5 bn, (iii) the achievement of 50% of new purchases of corporate bonds and (iv) the expansion of the commercial offer of ESG investment products with the objective of 40% of ESG AuM out of the total AuM placed;
- adopting ESG credit rating systems for the evaluation of counterparties as well as credit policies to support the achievement of the objectives of reducing emissions financed by 2030 for the NZBA priority sectors.

Solid and Resilient Balance Sheet

The Plan provides for a significant strengthening of the Bank’s capital position already achieved with the capital increase of EUR 2.5 bn carried out in November 2022. Fully loaded CET1 of 14.2% by 2024 and 15.4% by 2026 is expected, with significant buffers compared to regulatory requirements, despite the expected regulatory headwinds and on the assumption of dividend distribution from 2025 (pay-out ratio of 30% on 2025-2026 results). The capital initiatives are accompanied by the implementation of a sustainable funding strategy and the creation of a “virtuous circle” in improving the Bank’s risk profile by virtue of the adopted credit policies.

As concerns funding, the achievement of a stabler structure is expected, with a refocusing on customer deposits and institutional funding and a reduction in recourse to funding from central banks. As a result of the funding strategy, the liquidity indicators are higher than regulatory requirements (NSFR ~130%, LCR ~160%) and the MREL position is also solid in the course of the Plan, with a buffer with respect to the targets, even inclusive of the CBR. Respect for the minimum liquidity indicator thresholds is also supported by the share capital increase which, however, is not necessary in order to reach the minimum LCR and NSFR thresholds.

As concerns lending, resilience with respect to the external context is pursued by improving the risk profile, with a specific focus on the credit portfolio, through the improvement of “early warning” systems and asset quality oversight during the disbursement and monitoring phases. A reduction of EUR 1.3 bn in the stock of non-performing loans is expected over the course of the Plan (from the current EUR 4.1 bn to EUR 2.8 bn in 2026), of which disposals for roughly EUR 0.9 bn were agreed during the current year. As a result, as regards the Net NPE ratio, a reduction is expected from 2.6% in 2021 to 1.9% in 2024 to 1.4% in 2026, with a strengthened level of coverage (53% in 2024 and 59% in 2026). Furthermore, thanks to the high level of coverage, additional disposals will be activated.

Management of the Bank’s legacy

Management, through an approach based on an overall assessment of factual elements, information, available deeds and experience gained of extraordinary legal risks, as set forth in one of the three pillars of the Plan and in keeping with the policy adopted by the Bank on legal risks.



Status of implementation of the Plan at the date of preparation of this Financial Report

On 4 November 2022, the Parent Company's share capital increase concerning 1,249,665,648 newly issued shares was completed for the total equivalent value of EUR 2,499.3 mln. The successful conclusion of this transaction and the implementation of important actions envisaged in the 2022-2026 Business Plan suggest that the significant doubts about the company's ability to continue as a going concern, which had been stated in the reports prior to the interim report for the nine months ended 30 September 2022, have been resolved.

In addition, on 27 December 2022, the Parent Company has informed to have been informed of the final decision of the European Central Bank (ECB) regarding the capital requirements that must be observed effective 1 January 2023. These requirements are in line with the requirements for 2022 and are already largely met. Lastly, it should be noted that, considering the success of the capital increase and the consequent capital strengthening, the ECB has also removed the prohibition on the distribution of dividends.

With regard to the actions of the Plan, the three new Commercial Departments were set up in 2022: Retail, Corporate and Private, Large Corporate & Investment Banking as part of the reorganisation of the Parent Company. In addition, a Cost Governance structure was set up to ensure effective spending management and two dedicated units, one for Premium customers and the development of wealth management and another for consumer finance, to support the development of commercial revenues.

In addition, the Parent Company's Board of Directors, with a view to simplifying the Group's structure, approved on 22 June 2022 the projects for the merger by incorporation into the Parent Company of three subsidiaries: MPS Leasing & Factoring, MPS Capital Services and Consorzio Operativo Gruppo MPS. The first two merger transactions, authorised by the ECB on 27 February 2023 are expected to be completed by the end of May 2023, with accounting effects backdated to 1 January 2023. With reference to the Consorzio Operativo di Gruppo, the Parent Company obtained the ECB's authorisation for the merger by incorporation on 25 October, and the transaction was finalised on 2 December 2022 with the signing of the merger deed. The statutory effects of the Merger take effect from 5 December 2022 and the accounting and tax effects from 1 January 2022. As a result of the merger, the organisational structure was revamped with greater efficiency in the design and implementation of IT systems.

In November 2022, the new model of central and regional coordination structures was also introduced with a view to reducing the levels of organisation. 14 Regional Retail Departments have been created, which report to the Chief Commercial Officer Retail, divided into 132 Districts with approximately 10 branches each. 14 Regional Corporate and Private Departments were created, which report to the Chief Commercial Officer Corporate and Private, with 127 Specialised Centres, of which 73 Business Centres and 54 Private/Family Office Centres. Also starting from November 2022, the organisational model in the distribution network was optimised extending the "Commercial Module" model to branches with a workforce of up to 9 employees.

In the course of August 2022, in keeping with Plan expectations, agreements were entered into for the non-recourse factoring of a portfolio of non-performing loans broken down into three clusters (secured bad loans, unsecured bad loans and unlikely to pay loans) for a total gross book value of EUR 917.5 mln. The deconsolidation of the overall portfolio took place in the fourth quarter of 2022 with a positive impact on the NPE ratio.

The agreement between the Parent Company and the Trade Unions for the management of 3,500 voluntary exits as at 1 December 2022, was reached on 4 August 2022 and was subsequently supplemented in order to take into account the additional requests (625 departures, including secondments) received by the end of September. Taking into account the positive outcome of the share capital increase on 4 November 2022, in the third quarter of 2022 the Group accounted for a one-off cost of roughly EUR 0.9 bn, higher than the EUR 0.8 bn originally set forth in the Plan, benefiting conversely from increased savings than what had been factored into the Plan on personnel expenses, especially starting from 2023. The number of employees stood at 17,020 as at 31 December 2022 (approx. -4,000 resources compared to 30 September 2022).

In terms of economic and capital targets, the net result for 2022 was better than the Plan's expectations thanks to the sudden rise in interest rates and despite the worse-than-expected market context as regards asset management, with high volatility of the markets and a renewed interest of the investors in asset under custody products. Operating expenses were also lower than expected as a result of higher staff turnover, which also led to higher restructuring costs. Overall, the profitability indicators (Cost income, ROE, ROTE, ROA) were all better than the Plan forecast.

Lastly, the Group is committed to redesigning its business and its way of operating in order to integrate ESG criteria into strategies and processes. At the end of 2022, with reference to direct environmental impacts, the Group:



- reduced the Scope 1 emissions by 61% compared to 2017, reaching the Business Plan target of 60% reduction in Scope 1 emissions by four years in advance compared to 2026;
- eliminated Scope 2 emissions (Market Based) thanks to the use of 100% renewable energy, the only bank that has used 100% renewable electricity since 2017;
- continued to reduce Scope 3 emissions thanks to the initiatives launched and in progress that aim to reduce the use of paper, also supporting the digitalisation process of customers: at the end of 2022, it recorded a rate of use of electronic signatures of 81.4% at the end of 2022 vs 77% at the end of 2021 and a digitisation rate of communications of 48.9% at the end of 2022 vs 42.3% at the end of 2021;
- has reached a use of 75% of ecological paper for external use and 100% of recycled paper for internal use.

At the same time, the Group is increasingly attentive to credit and investment policies, promoting and supporting sustainable transition through:

- investments in ESG products: at the end of 2022, 61% of Funds classified as ESG according to Art. 8/9 of the SFDR²⁰ and 43% of ESG Funds (according to Art. 8/9 SFDR) of the total stock of funds, ahead of the Plan targets of 30% by 2024 and 60% by 2026;
- ESG loans: the Group disbursed 13% ESG loans on all medium- and long-term loans disbursed during 2022, already exceeding the interim target of 10% set for 2024. Furthermore, additional agreements have been signed in this area to support green projects (SACE green agreement); the support for the Agri-green sector is still significant.

The Group is also engaged in Diversity and Inclusion projects and, in this regard, there is a growth in the percentage of women in positions of responsibility (36% at the end of 2022 vs 31% at the end of 2021) with the Plan's target of 35% by the end of 2023 being reached in advance.

As a further confirmation of the commitment to promote and accelerate the development of low-CO₂-emissions economies, the Bank, after joining the NZBA in January 2022, will communicate its objectives for the decarbonisation of the loan portfolio by July 2023. Finally, the Group launched a specific "ESG Programme" with the aim of achieving, in a coordinated effort, the full integration of ESG criteria into business processes and the risk management system, as well as expanding the ESG product and service offering. During 2022, the upgrade of the ESG rating issued by Standard Ethics, from EE- (adequate) to EE (strong) with Long Term Expected EE+, confirms the concrete progress in strengthening sustainability governance and integrating ESG criteria into ESG strategy and risk management.

Credit strategies

On 30 March 2022 the Parent Company's Board of Directors approved the 2022 performing credit strategies: the underlying framework is based on a macro scenario of economic growth, however considering the risks of a slowdown due to the economic context. Indeed, while GDP growth is forecast, there are elements of uncertainty linked to the evolution of the pandemic, the Russia-Ukraine conflict and the increase in commodity prices, particularly energy prices. Precisely as a result of the Russia-Ukraine crisis, the food and high energy consumption sectors have been placed under monitoring. In the course of the third quarter, a review of the sector strategy was concluded, which did not show particularly significant deviations although a deterioration in the macroeconomic environment had emerged.

For **businesses**, in continuity with the approach adopted during the pandemic, the guideline was assigned to the individual company factors in both the sector outlook and customer reliability, guaranteeing an improvement of the credit quality mix within each sector. The ultimate goal of company credit strategies is to address credit decisions towards financing aimed at green company growth. The methodology establishes three areas of intervention factoring in the applicable sector, customer quality and the decision-making chain in which the counterparty has been included (low risk/high risk): ordinary growth, growth with mitigation and selective management. The guidelines were accompanied by a stringent indication on loan type. In particular, the interventions will need to be aimed at supporting customers on a virtuous path of new investments accompanied by commercial credit facilities and working capital financing. The strategies were therefore enhanced with the introduction of "ESG approaches" focusing in particular on the risk linked to the environmental transition. Lastly, a system of incentives/disincentives was defined with a view to guiding the development of loans towards investments aimed at mitigating transition

²⁰ Sustainable Finance Disclosure Regulation



risks or which still have a low environmental impact. The approach adopted also makes it possible to override the strategy depending on the “purpose” of the loan, favouring development for financing with ESG purposes or adopting a risk mitigation strategy otherwise.

With respect to consumer customers, strategies were integrated within acceptance algorithms which guarantee standardisation and make it possible to achieve higher process efficiency at the same level of effectiveness. Aside from mortgage and current accounts segment algorithms, since the end of 2021 acceptance grids for the Consumer Finance segment have been in use. Also for the consumer segment, the methodology establishes the same three areas of intervention which, for individuals, factor in customer quality and the applicable area. The counterparties were segmented based on their risk (low risk/high risk and internal bank rating) and external credit bureau information (Delphi score from Experian source), with the resulting breakdown into three clusters associated with a specific strategic policy. The model is intended to promptly take into account changes in the counterparty’s risk profile, even in the face of any critical issues that have not yet emerged in the relationship with the Bank, preventing the “cliff effect” or the manifestation of signs of deterioration after the remaining suspension measures expire.

The monitoring of credit strategies continued according to the structure prepared in 2021 with a specific dashboard/monthly report and did not show substantial critical issues on the gross credit production front, net of a slowdown recorded in the second part of the year, and on the default flow, which in fact aligned with the budget. Production in 2022 was also in line with the strategic choices, favouring, on the one hand, sectors with a positive outlook and belonging to the “Ordinary Growth” cluster and, on the other, by reducing the risks on sectors with a negative outlook and belonging to the “Selective Management” cluster. Following the outcome of the sector review concluded in Q3, it was finally decided not to change the current monitoring dashboard for the remainder of the year.

On 20 February 2023, the Board of Directors, in its role of Strategy Oversight Body, approved the New Credit Strategies, the latter developed taking into consideration a geopolitical and macroeconomic context in which the risk of default is expected to increase due to the pressure on interest rates induced by the restrictive monetary policies implemented to respond to the inflationary trend.

It follows that the planned growth in lending, having to coexist with the objective of maintaining a high level of asset quality, aims to privilege operations of a commercial or investment nature and to support, with a view to mitigated growth, through the instruments permitted within the temporary framework, the companies most impacted by price increase.

Moreover, credit policies add to sectoral outlooks, incentive mechanisms for green lending and, through the use of ESG questionnaires, aim to mitigate transition risk by providing, for companies with a higher risk profile, greater sensitivity in the assessment, for deliberative purposes, of debt sustainability.

Strategies on private individuals have as a distinguishing factor the statistical acceptance models that, by using internal and external data in an increasingly integrated manner, will make it possible to define the risk limits within which the commercial proposal is drilled down.

With particular reference to the risks associated with the residential real estate (RRE) mortgages portfolio, the bank conducted a portfolio assessment, as a result of which it considers it likely that the default rate in 2023 will increase by around 40% compared to 2022, mainly driven by floating rate products and higher Loan to Income classes, although the evidence of breaches in the first few months shows no particular signs of deterioration.

With regard to origination, the objective is to maintain current market shares during the business plan horizon through a policy of continuous pricing revisions and through the use of partnerships with third-party operators to expand volumes.

In 2023, the Group intends to develop the Green Mortgage through which different spreads will be applied based on the energy class of the property to be purchased.

In order to mitigate emerging risks on this portfolio cluster, the Bank will, in continuity with the second half of 2022, make use of the internal EWS score to prioritise the submission to credit analysts of reports relating to customers from which there are signs of deterioration in the payment system.

The use of external indicators will also make it possible during disbursement to determine credit limits for each borrower, in order to ensure the sustainability of repayments.



Commercial strategy

Sales strategies in 2022, in continuity with the process already started in 2021 directed the business towards core areas to relaunch the Group's economic performance, confirming customer support to aid the post-pandemic economic recovery, towards a more sustainable development model, through projects in the following areas:

Private

- evolution of the Business Model through the new “MPS Athena” Wealth Management advisory platform towards financial services and highly innovative non-financial services as well as detailed retirement analysis. In particular, the use of the succession analysis procedure for senior customers is stimulated, including with dedicated training, in order to effectively manage the stability of volumes and the development of new customers in the nuclear family, through specific advisory services on generational transition and inheritance. Advisory innovation turns out to be fundamental within a particularly complex market context to provide increased guidance to customers in selecting asset management financial instruments. In addition, the introduction of the New Platinum Advanced Advisory Service provided through “MPS Athena” offers customers the possibility of adjusting their portfolio based on market trends in the short term, while maintaining consistency with the long-term objectives based on the choice of the strategic portfolio, and represents an important tool for the manager to support, in a structured manner, on the basis of the indications developed by the advisory function, the provision of the service;
- increase in Advisory activities in support of the private and retail network through constant updating on market trends and the identification of specific solutions in terms of financial instruments for the various target customer profiles;
- innovation of the asset management solutions offered by the various partners and focus on the Asset Management Service with a view to making it accessible to an increasingly broad public and increasing its penetration (in the last quarter GP Alta Gamma also entered the retail market with also special discount initiatives). The “private” strategy aims to boost the portfolio's diversification and for an increasingly efficient allocation, enabling return opportunities in line with the customer risk profile. Also from the same perspective, the customer focus on Accumulation Plans (“PAC”) is supported, including with prize competitions with the partner Anima SGR;
- value enhancement of the offer of ESG solutions and savings policies to customers who express a preference for investments with ESG objectives within the questionnaire (*from 1 August, specific MiFID questionnaire section activation*);
- consolidation of the bancassurance offer, in terms of life/non-life protection as well as pensions, with a view to guaranteeing customers 360° advisory services and diversifying income sources across the various business segments;
- constant drive towards, and increase of the market penetration and acquisition of new customers by identifying specific targets amongst existing customers and through digital marketing actions at ATMs, on websites and with social media posts. In the 2022, business support activities continued, with the launch of campaigns aimed at increasing the market share of assets under management, in both the Retail and Private markets. In June, the available funds were revised for unit-linked and multi-line products in order to update the investment solutions offered. Finally, the launch of protected unit-linked products with a quarterly placement window (four issues) continued;
- particular focus on the acquisition of new customers and the recovery of deposits by means of dedicated commercial initiatives that on the various current account lines provide temporary fee waivers for active customers that do not hold current accounts or prospect customers and dedicated initiatives on asset management products. For the Premium Market, the Winback initiative was activated for funding recovery;
- consolidating relationships with all members of the Private Account Groups, in order to meet the overall requirements of households and businesses, also with a view to recovering volumes (“winback”) and subsequent growth;
- in the fourth quarter, in a market scenario that reported a significant increase in interest rates, the offer of consumer mortgage loans was adjusted, with the introduction of a variable rate product and with an overall favourable repricing action for customers.



Businesses

- continuing support to the trade policy to relaunch our country's businesses, working alongside them as they resume activities, supporting development projects and local activities and economies through specific initiatives and products, integrating environmental, social and governance (ESG) criteria within investment and lending policies and exploiting the potential of the NRRP. The opportunities linked to the NRRP also represent a significant lever for the expansion of the customer base through important development activities, identifying high potential companies to guarantee an increase in both lending and revenues;
- supporting companies' green projects with the Agreement entered into in December 2021 between SACE and the Parent Company with a view to incentivising projects aimed at reducing environmental impacts by launching a sustainable transformation. Overall, a maximum amount of EUR 1.25 bn (corresponding to SACE Guarantees up to EUR 1 bn) has been allocated to be used by the end of 2022, of which up to EUR 500 mln specifically intended for Agrifood sector supply chains. SACE will intervene with green guarantees for 80% of the loans disbursed by Banca MPS to help companies in their sustainable transformation processes, in line with the guidelines of the NRRP;
- assisting the businesses struck by the negative economic effects deriving from Russian military aggression against the Republic of Ukraine, by granting loans to support business liquidity backed by the guarantees given by i) SACE after the Bank signed on to the General Guarantee Conditions, an initiative named "SACE SupportItalia", as well as ii) the Guarantee Fund for SMEs based on the new Operating Provisions defined following the issue of Italian Law Decree no. 50 of 17 May 2022 "Urgent measures in the field of national energy policies, business productivity and attraction of investments, as well as in the field of social policies and the Ukrainian crisis", converted, with amendments, by Italian Law no. 91 of 15 July 2022;
- supporting the investment and expansion projects of companies located in the Regions of Abruzzo, Basilicata, Calabria, Campania, Molise, Puglia, Sardinia and Sicily, which are the target regions of the European Investment Fund's "SME Initiative", in which the Bank participates, which calls for the disbursement of loans benefitting from a reduction in the economic conditions applied equal to the benefit obtained by the Bank from the synthetic securitisation transaction backed by a guarantee provided by the European Investment Fund;
- offering to more complex companies a structured advisory and proactive commercial approach ("Coverage Team") which, through the reference relationship manager, guarantees personalised customer service, leveraging the Group's range of products and services and the support of specialists and product factories;
- in November, an important organisational manoeuvre was carried out aimed above all at simplifying and streamlining the commercial supply chains both at local and head office level. With particular reference to the Companies, a functional reconciliation of all the companies followed by the branches and dedicated staff operating within the specialised business centres was introduced. This is done with a view to fostering better management of the relationship and to increase the level of service provided, seizing specialised business opportunities;
- responding to the needs of medium, small and very small companies, but also of producer families operating in the agri-food sector through the creation of three additional *Agrifood* centres in addition to the twelve already existing. The core of the project consists of specialised training and territorial enhancement through an intensification of the partnership with regional financial companies, trade associations and loan guarantee consortia (Confidi);
- supporting exporting and importing companies in advanced Trade Finance and Transaction Banking transactions, also in light of recent international developments and the changed geopolitical framework, including with respect to countries subject to restrictions. Both sales and Foreign Middle Office activities are carried out at a peripheral level on the national territory and by the foreign network of representatives, provided by highly specialised personnel, and are coordinated and planned centrally with a view to responding promptly to evolving market requirements and changing customer needs;
- increase in Advisory services to ensure support for the process of optimising company liquidity through the Asset Management tool.

Process digitalisation and platform development

- improving the customer experience and continuing with the digital transformation through: i) the management of periodic customer contact initiatives aimed at raising awareness about the products/services offered; ii) the continuation of customer journeys aimed at improving commercial proposition activities



through logical omnichannel contact processes, particularly with reference to new customers and those at risk of discontinuing their relationships with the Bank; iii) availability throughout the BMPS Network and progressive spread to other Group companies of the new branch technological platform (Digital Branch) consisting of a single interface with practical, speedy and efficient features in in-person customer service (in addition to a reduction in operational risks); iv) the drive towards the spread of Google Pay for payments in physical stores and in apps in a practical, fast and secure manner with the Bank's debit and credit cards. The commitment of Banca MPS on accessibility issues continues with the creation of a dedicated page and the setting up of an email box for the collection of any reports on problems detected during the use of our websites and mobile applications, according to the new AgID guidelines;

- enhancing digital and self banking functions and services through the remote, autonomous signing of documents and contracts (remote collaboration) by customers, document exchange and the widespread availability of Cash-In ATMs and in self-service areas. The range of contracts that can be signed with Remote Collaboration was expanded, in particular the MPS Personal Loan contracts and the Basic and Advanced Advisory proposals on MPS Athena, as well as the signing of securities and UCITS orders included in the advisory proposals. In addition, the possibility of completing the MiFID questionnaire online was also extended to customers without securities dossiers. In 2022, anti-fraud control was further strengthened, through targeted messaging and the introduction of specific controls on online transactions carried out with prepaid cards;
- boosting the penetration of digital banking by introducing a control on whether this service is used during processes for selling the main transactional products;
- implementing the services offered by mobile phones with the possibility of finalising online payments made with MyBank mode also on the Banca MPS App;
- improving the digital branch platform with a progressive migration of all sales processes to the "New Quick Sale" and customer views in new summary dashboards, the rewriting of collection transactions and the certification of platform accessibility for the blind and visually impaired;
- protecting the Bank's reputation by following the general principles set forth in the MPS internal Code of Ethics, progressively removing Remote Cash-Out ATMs from arcades, bingo parlours and casinos with a view to adopting "logistical prevention" measures against gambling addiction;
- reducing the risk of customer erosion by maintaining 15 Cash-Out ATMs at branches closed in 2021 which are in uncovered areas, so as to offer customers a point of reference and support for routine transactions (withdrawals, payments, checking account balances);
- supporting sales processes from a customer centric perspective through new applications released to branches aimed at improving knowledge of customers ("Map") and the programming of activities ("Toolbox")
- completely eliminating the paper notices at the branches thanks to the mass installation of electronic devices for consultation by customers of Banking Transparency and Currency Exchange;
- increasing the number of communications sent electronically by the Bank to customers, so as to reduce paper waste and enable the timely receipt of notices and documents relating to transactions, avoiding delivery errors;
- continuing with the simplification of web processes, started in 2021, aimed at increasing the number of transactions that may be carried out by customers at other banks' ATMs and streamlining particularly time-consuming branch operating activities (such as bank transfer authorisations, payment slip payments, prepaid card repayment, closing current accounts, documentation for ISEE [equivalent economic situation indicator] purposes, etc.).

Consumer finance

Value enhancement of the Consumer Finance product factory in Banca MPS, in-sourced in 2021. Following this decision, in the second quarter of 2022 the plan for extending the MPS Loan Platform, involving all branches, was completed. The new Business Model aims at increasing personal business loans thus making it possible to maximise business margins; furthermore, the new model not only fosters the customer experience by improving decision-making and disbursement timing, but also makes it possible to shorten the "transmission belt" with the distribution network and support commercial policies with a view to cross selling and acquisition. In order to streamline and improve the offer, the display of information on loans from *Digital Banking* was made available to customers and further releases were made during the third quarter to facilitate the sales process from a digital perspective. In the fourth quarter, in consideration of the commercial focus on the Consumer Credit Segment, also strongly referred to in the Business Plan, the sales processes were reviewed, with the strategic objective of strengthening margins and improving service quality, favouring service processes based on greater efficiency.



Funding strategy

As part of the Group's Liquidity and Funding Strategy, the profile of the maturities for the 2022-2026 five-year period is represented primarily by the TLTRO III auctions, to which the Parent Company had access until June 2021, for a total of EUR 29.5 bn: EUR 4 bn maturing in 2022; EUR 20 bn maturing in 2023 and EUR 5.5 bn in 2024. In this regard, in light of the changed context of the rates applied by the European Central Bank following the latest monetary policy decisions, adopted during the second half of 2022, the Group anticipated the reduction in the total amount of the long-term refinancing operations with the ECB (TLTRO) by repaying, December 2022, in addition to the EUR 4 bn at the natural maturity, an additional EUR 6 bn, bringing the total of TLTRO auctions in place to EUR 19.5 bn, as at 31 December 2022.

In addition to the residual TLTROs auctions, in the 2022-2026 five-year period the other maturities are represented by institutional bonds, for a total of EUR 6.8²¹ bn to be repaid, of which:

- EUR 3.1 bn in 2024 (EUR 2.3 bn in covered bonds and EUR 0.75 bn in senior unsecured bonds);
- EUR 1.75 bn in 2025 (EUR 1 bn in covered bonds and EUR 0.75 bn in senior unsecured bonds);
- EUR 2 bn in 2026 (EUR 1.1 bn in covered bonds and EUR 0.9 bn in senior unsecured bonds).

In January 2023, the call of a subordinated Tier 2 bond issued in 2018 for a nominal amount of EUR 750 mln could have been exercised, although it didn't, while in 2025 the call of two subordinated Tier 2 bonds issued in January and September 2020 for a nominal amount of EUR 400 mln and 300 mln, respectively, may be exercised.

Lastly, also in the 2022-2026 five-year period, bilateral funding transactions were maturing for a total of EUR 1.6 bn (of which EUR 0.6 bn with non-ECB eligible collateral), which, as at 31 December 2022, were reduced to only EUR 0.5 bn (of which EUR 0.2 bn with eligible collateral).

Against the planned maturities, the Group's funding strategies aim to maintain liquidity indicators at adequate levels, broadly above regulatory limits, as well as guarantee - as concerns public bond issue plans in particular - the satisfaction of MREL requirements. These strategies are defined consistently with the Group's Risk Appetite Statement (RAS), their operational implementation is represented by the annual Funding Plans and they are consistent with the MREL requirements.

Lastly, it should be noted that on 23 February 2023, the Parent Company closed the placement of a senior preferred bond of EUR 750 mln maturing in March 2026 (for which it collected a demand of approximately EUR 1.6 bn) and a coupon of 6.75%.

Commitments connected to the 2022-2026 Business Plan

As at 31 December 2021, the formal monitoring of the 2017-2021 Restructuring Plan by the European Commission to verify compliance with the Commitments made by the Parent Company was completed. As at 31 December 2021, the date of the most recent monitoring of the overall Commitments made by the Parent Company, some still presented several points for attention/critical issues. Against failure to respect such Commitments, discussions were initiated between the MEF and DG COMP after which, on 3 October 2022, the European Commission published a revision of the Commitments, defined on 2 August 2022. On the basis of what is set forth in that document, the Parent Company is required to meet the following commitments:

1. acquisition prohibition: the Bank may not acquire either companies or business units, without prejudice to certain possible exceptions for selected cases. With regard to the possible exceptions, please note that the Bank may carry out acquisitions: (i) in exceptional circumstances, with the approval of the Commission, if necessary to re-establish financial stability or ensure competition, as well as (ii) if the purchase price of the individual transaction and on a cumulative basis during the period is below certain defined thresholds;
2. prohibition against distribution of dividends: the Bank cannot distribute dividends, unless both the CET 1 ratio and the Total Capital Ratio are above the SREP guidance provided by the ECB by at least 50-100 basis points, provided no prohibitions established by the ECB or the SRB are in place against the distribution of dividends;

²¹ The figure is net of the EUR 1.25 bn repaid in 2022: EUR 0.75 bn in covered bonds in January 2022 and EUR 0.5 bn in senior unsecured bonds in July 2022.



3. advertising prohibition: the Bank cannot make use of the State aid measures or the State's equity investment in its share capital to promote the bank's products or its market positioning;
4. sustainable commercial policy and prohibition against aggressive pricing policies: BMPS should not implement aggressive commercial strategies that would not have been implemented in the absence of State support;
5. remuneration of Bank employees and managers: the Parent Company will need to apply strict executive managers remuneration policies, and the remuneration of any employee cannot exceed 10 times the average remuneration of the Bank's employees. Without prejudice to what is set forth above, the Bank may be exempted from this requirement for a limited number of managers of key functions provided the commitment pursuant to no. 12 below concerning the State equity investment is met and the additional remuneration is variable and aligned with the EBA Guidelines, on the basis of Directive 2013/36/EU;
6. number of branches: the number of Bank branches may not exceed 1350-1370 by the end of 2022, 1300-1350 by the end of 2023 and 1,258 by the end of 2024;
7. number of employees: the number of Bank employees may not exceed 20,000-21,100 by the end of 2022, 18,000-20,000 by the end of 2023 and 17,634 by the end of 2024;
8. Cost/income ratio: the Bank's cost/income ratio may not exceed the higher between the average cost/income ratio reported over time by the EBA for significant Italian credit institutions included in the Risk Dashboard sample and the following objectives: 70-80% in 2022 (with a tolerance margin of 200-250 basis points), 60-70% in 2023 (with a tolerance margin of 150-200 basis points) and 60% in 2024 (with a tolerance margin of 100-150 basis points);
9. Operating costs: operating costs (personnel expenses, other administrative expenses, depreciation and amortisation) may not exceed, with a tolerance margin of 0-5 percentage points, EUR 2,000-2,500 mln in 2022, EUR 1,500-2,000 mln in 2023 and EUR 1,872 mln in 2024;
10. Total asset target: the Bank's total assets should not exceed EUR 140-150 bn;
11. Loan to deposit ratio: the ratio between the bank's net loans and deposits should not exceed 87% by the end of 2024, with a tolerance margin of 200-250 basis points;
12. State divestment: the Italian Republic should transfer its equity investment in the Bank by a defined date and must make all reasonable efforts to transfer its equity investment before that deadline. Furthermore, the State will need to sell the shares acquired in the context of the 2017 precautionary recapitalisation. If the State's equity investment is transferred by means of a merger, only commitments no. 6, 15 and 22 will remain in force until a predefined date. In all other cases of disposal of the State equity investment, the following commitments will remain in force until a predefined date: nos. 2, 3, 4, 6, 7, 8, 13, 14, 15, 16, 17, 18, 20, 21 and 22;
13. Deposit price: BMPS will need to continue to price deposits for which agreements have been entered into or renewed after the date of adoption of the Commission's decision so as to maintain the rate in line with that of the Italian banking industry average, as reported by the Bank of Italy, with a tolerance margin of 0-10 basis points. Furthermore, the Bank will need to continue to price its credit products provided after the date of the decision at a level no lower than the market average for products with similar characteristics;
14. MP Banque: the Bank will need to continue with the process of discontinuing its operations on the basis of a defined timetable, within which its total assets should be 75-85% lower than the volume of its total assets as at 31 December 2017, when they amounted to EUR 1,231 mln. In addition, MP Banque may not carry out activities not required for the process of discontinuing its current operations or new activities;
15. Leasing portfolio: the Group will need to continue to reduce the leasing portfolio, which must result in a reduction in assets of EUR 0-5 bn compared to 31 December 2021 equal to EUR 3,341 bn;
16. Non-performing loans: the Group should not exceed the higher between a gross NPL ratio of 4%, with a tolerance margin of 25-75 basis points, and the average NPL ratio reported over time by the EBA for significant Italian credit institutions included in the Risk Dashboard sample;
17. Real estate disposals: the Group will need to dispose of real estate for an amount of EUR 100 mln within a predefined period;
18. Disposal of non-strategic equity investments: the Parent Company will need to dispose of its equity investments in Visa, Bancomat, Veneto Sviluppo, MPS Tenimenti Poggio Bonelli e Chigi Saracini S.p.A. and Immobiliare Novoli S.p.A. by 31 December 2024 or, alternatively, must dispose of its equity investment in the Bank of Italy.
19. Closure of foreign branches: the Parent Company will need to close the Shanghai branch by the end of 2024;
20. Separate management of the equity investment of the Italian Republic in banks under public ownership: the Italian Republic undertakes to guarantee that every bank owned by the State will remain a separate



economic unit with independent decision-making powers pursuant to EC Regulation 139/2004 on the control of concentrations between undertakings and Commission Consolidated Jurisdictional Notice under Council Regulation (EC) No. 139/2004 on the control of concentrations between undertakings. In particular, the Italian Republic undertakes to ensure that: (i) all information that is confidential, sensitive from the commercial perspective or personal provided to government bodies shall be processed accordingly and will not be transmitted to other banks and investee companies of the Italian Republic; (ii) Italy will manage and maintain its equity investment in the Bank separately from the management of its equity investments in any other investee bank; (iii) the exercise of any right whatsoever held by Italy and the management of Italy's equity investments in any bank shall take place on a commercial basis and shall not significantly impede, limit, distort or reduce or hinder effective competition. Any disposal of Italy's equity investment must be carried out within a transparent, public and competitive process;

21. Confirmation of several 2017 commitments: the Bank should not violate any commitment adopted and will continue to respect internal policies and behaviours that it has adopted in order to meet commitments 12 (a)-(j), 13 and 22 of Commission decision C (2017)4690;
22. Monitoring trustee: full respect for the commitments will be monitored by a Monitoring Trustee independent of the Italian Republic that has no conflicts of interest.



Income statement and balance sheet reclassification principles

The balance sheet and income statement are shown below in reclassified form according to management criteria in order to provide an indication of the Group's general performance based on economic and financial information that can be quickly and easily determined.

A disclosure is provided below on the aggregations and main reclassifications systematically performed with respect to the financial statements established by Circular no. 262/05, in compliance with the requirements laid out by Consob in communication no. 6064293 of 28 July 2006.

It should also be noted that, starting from December 2022, the amounts relating to the repayments of interest and commissions to customers referring to past years and for which allocations were made to the provision for risks and charges as a balancing entry to the afore-mentioned income statement items, are reclassified to the items "Other net provisions for risks and charges". This reclassification was also adopted in the previous quarter of 2022 in order to allow a homogeneous comparison.

Income statement data

The following are the reclassification criteria adopted for drafting the reclassified income statement:

- Item "**Net interest income**" is shown net of the negative contribution of the Purchase Price Allocation (PPA), equal to EUR -3.1 mln, referring to past business combinations, which was reclassified in a special item. In addition, the portion relating to customer repayments of EUR -0.4 mln, for which provisions had been set aside, was separated out and allocated to the item "Other net provisions for risks and charges".
- The item "**Net fee and commission income**" includes the balance of financial statement items 40 "Fee and commission income", net of the portion of reimbursements to customers referring to previous years (EUR -6.3 mln), recognised under item "Other net provisions for risks and charges" and 50 "Fee and commission expense", net of the portion relating to certain contingent liabilities (EUR -0.3 mln), recognised under the item "Other operating income (expenses)".
- Item "**Dividends, similar income and gains (losses) on investments**" incorporates item 70 "Dividends and similar income" and the relevant portion of profits from equity investment in the associate AXA, consolidated using the equity method, equivalent to EUR 64.0 mln, included in item 250 "Gains (losses) on investments". The aggregate is shown net of the dividends earned on equity securities other than equity investments (EUR 5.0 mln), reclassified in item "Net profit from trading, fair value measurement of assets/liabilities and gains on disposals/repurchases".
- Item "**Net profit from trading, fair value measurement of assets/liabilities and gains (losses) on disposals/repurchases**" includes the values of items 80 "Net profit (loss) from trading", 100 "Net gains (losses) on disposals/repurchases", net of the contribution of loans to customers (EUR +2.8 mln) recognised in the reclassified item "Cost of customer credit" and 110 "Net profit (loss) from other financial assets and liabilities measured at fair value through profit or loss", net of contributions from loans to customers (EUR +6.7 mln) and securities deriving from the disposal/securitisation of non-performing loans (EUR +0.7 mln), recognised in the reclassified item "Cost of customer credit". The item also incorporates dividends earned on securities other than equity investments (EUR +5.0 mln) and was cleared of the write-off recognised on exposures to the FITD (Interbank Deposit Protection Fund) Voluntary Scheme for around EUR 0.9 mln, reclassified to "Risks and charges associated with SRF, DGS and similar schemes".
- Item "**Net profit from hedging**" includes financial statement item 90 "Net profit from hedging".
- Item "**Other operating income (expenses)**" includes the balance of item 230 "Other operating expenses/income" net of stamp duties and other expenses recovered from customers, which are included in the reclassified item "Other administrative expenses" (EUR 199.8 mln) and net of the component relating to rental income, which is posted to "Net value adjustments to property, plant and equipment and intangible assets" (EUR 8.1 mln). The item also includes the amount of certain contingent liabilities recognised in the financial statements under the item "Fee and commission expense" for EUR -0.3 mln.
- Item "**Personnel expenses**" includes the balance of item 190a "Personnel expenses" minus the cost component of EUR 928.3 mln, relating to provisions for the early retirement/solidarity fund initiative pursuant to the agreement with the trade unions of 4 August 2022, reclassified to "Restructuring costs/One-off costs".
- Item "**Other administrative expenses**" includes the balance of financial statement item 190b "Other administrative expenses", reduced by the following cost items:
 - expenses, amounting to EUR 178.8 mln, resulting from the EU Deposit Guarantee Schemes Directive (hereinafter "DGSD") and Bank Recovery Resolution Directive (hereinafter "BRRD") for the resolution



of bank crises, posted under the reclassified item “Risks and charges associated with SRF, DGS and similar schemes”;

- DTA fee, convertible into tax credit, for an amount of EUR 62.9 mln posted to the reclassified item “DTA fee”;
- charges of EUR 3.2 mln, relating to initiatives also aimed at complying with the commitments undertaken with DG Comp, stated under reclassified item “Restructuring costs/One-off costs”.

This item also includes the portion of stamp duty and other expenses recovered from customers (EUR 199.8 mln) posted under item 230 “Other operating expenses/income”.

- Item **“Net value adjustments to property, plant and equipment and intangible assets”** includes the values of items 210 “Net value adjustments to/recoveries on property, plant and equipment” and 220 “Net value adjustments to (recoveries on) intangible assets” and was cleared of the negative contribution (EUR -0.9 mln) referring to the Purchase Price Allocation (PPA), which was recognised in a specific item, while it incorporates the amount of the rental income (EUR 8.1 mln) that was recorded in the financial statements under item 230 “Other operating expenses/income”.
- Item **“Cost of customer credit”** includes the income statement components relating to loans to customers of items 100a “Gains/losses on disposal or repurchase of financial assets measured at amortised cost” (EUR 2.8 mln), 110b “Net profit (loss) on financial assets and liabilities mandatorily measured at fair value” (EUR 6.7 mln), 130a “Net impairment (losses)/reversals for credit risk on financial assets measured at amortised cost” (EUR -429.4 mln), 140 “Modification gains/losses” (EUR +4.3 mln) and 200a “Net provisions for risks and charges - commitments and guarantees given” (EUR -2.0 mln). The item also includes the income statement components relating to securities deriving from the disposal/securitisation of non-performing loans recognised in item 110b “Net profit (loss) from financial assets and liabilities mandatorily measured at fair value” (EUR +0.7 mln).
- The item **“Net impairment losses/reversals on securities and loans to banks”** includes the portion relating to securities (EUR -2.2 mln) and loans to banks (EUR +1.3 mln) of item 130a “Net impairment (losses)/reversals for credit risk of financial assets measured at amortised cost” and item 130b “Net impairment (losses)/reversals for credit risk of financial assets measured at fair value through other comprehensive income” (EUR -0.2 mln).
- Item **“Other net provisions for risks and charges”** includes the balance of financial statement item 200 “Net provisions for risks and charges”, reduced by component relative to loans to customers of item 200a “Net provisions for risks and charges - commitments and guarantees given” (EUR -2.0 mln), which was included in the specific item “Cost of customer credit”. The item also includes the reimbursements to customers relating to past years recognised in the financial statements under “Net interest income” for EUR -0.4 mln and “Fee and commission income” for EUR -6.3 mln.
- Item **“Other gains (losses) on investments”** includes the balance of item 250 “Gains (losses) on investments”, cleared of the portion of profit relative to the equity investments in the associate AXA, consolidated with the equity method, equal to EUR 64.0 mln, reclassified under item “Dividends, similar income and gains (losses) on investments”.
- Item **“Restructuring costs/One-off costs”** includes the following amounts:
 - costs of EUR 928.3 mln relating to departures through the early retirement plan or access to the Solidarity Fund accounted for in the financial statements in item 190a “Personnel expenses”;
 - charges of EUR 3.2 mln, relating to project initiatives, also aimed at complying with the commitments undertaken with DG Comp, accounted for in the financial statements under item 190b “Other administrative expenses”.
- The item **“Risks and charges associated to SRF, DGS and similar schemes”** includes the charges deriving from the EU DGSD for the guarantee of deposits and BRRD for the resolution of bank crises, amounting to EUR 178.8 mln, recognised in the financial statements in the item 190b “Other administrative expenses”, as well as the write-off recognised on exposures to the FITD (Interbank Deposit Protection Fund) Voluntary Scheme for EUR 0.9 mln, recognised in the financial statements under item 110 “Net profit (loss) from financial assets and liabilities measured at fair value through profit or loss”.
- Item **“DTA fee”** includes the expenses related to the fees paid on DTAs that can be converted into tax credit as set forth in art. 11 of Italian Law Decree no. 59 of 3 May 2016, converted into Italian Law no. 119 of 30 June 2016, recognised in the financial statements under item 190b “Other administrative expenses”, for EUR 62.9 mln.
- Item **“Net gains (losses) on property, plant and equipment and intangible assets measured at fair value”** includes the balance of financial statement item 260 “Net gains (losses) on property, plant and equipment and intangible assets measured at fair value”.



- Item **“Gains (losses) on disposal of investments”** includes the balance of financial statement item 280 “Gains (losses) on disposal of investments”.
- The item **“Income taxes for the year”** includes the balance of item 300 “Tax (expense)/recovery on income from continuing operations” and has been cleared of the theoretical tax component relating to the Purchase Price Allocation (PPA), reclassified to a specific item for an amount of EUR 1.3 mln.

The overall negative effects of the Purchase Price Allocation (PPA) were reclassified to a specific item, excluding them from affected income statement items (in particular “Net interest income” for EUR -3.1 mln and “Net value adjustments to property, plant and equipment and intangible assets” for EUR -0.9 mln, net of a theoretical tax burden of EUR +1.3 mln which was added to the item).

Balance sheet data

The following are the reclassification criteria adopted for drafting the reclassified balance sheet:

- asset item **“Loans to central banks”** includes the portion relating to operations with central banks of item 40 “Financial assets measured at amortised cost”;
- the asset item **“Loans to banks”** includes the portion relating to loans to banks of financial statement item 40 “Financial assets measured at amortised cost”, item 20 “Financial assets measured at fair value through profit or loss” and item 120 “Non-current assets held for sale and disposal groups”;
- asset item **“Loans to customers”** includes the portion relating to loans to customers of financial statement item 20 “Financial assets measured at fair value through profit or loss”, item 40 “Financial assets measured at amortised cost” and item 120 “Non-current assets held for sale and disposal groups”;
- asset item **“Securities assets”** includes the portion relating to securities of item 20 “Financial assets measured at fair value through profit or loss”, item 30 “Financial assets measured at fair value through other comprehensive income”, item 40 “Financial assets measured at amortised cost” and item 120 “Non-current assets held for sale and disposal groups”;
- asset item **“Derivatives”** includes the portion relating to derivatives of items 20 “Financial assets measured at fair value through profit or loss” and item 50 “Hedging derivatives”;
- asset item **“Equity investments”** includes item 70 “Equity Investments” and the portion relating to equity investments of item 120 “Non-current assets held for sale and disposal groups”;
- asset item **“Property, plant and equipment and intangible assets”** includes item 90 “Property, plant and equipment”, item 100 “Intangible assets” and the amounts related to property, plant and equipment and intangible assets in item 120 “Non-current assets held for sale and disposal groups”;
- asset item **“Other assets”** includes item 60 “Change in value of macro-hedged financial assets”, item 130 “Other assets”, and the amounts in item 120 “Non-current assets held for sale and disposal groups” not included in the previous items;
- liability item **“Due to customers”** includes item 10b “Financial liabilities measured at amortised cost – due to customers” and the component relating to customer securities of item 10c “Financial liabilities measured at amortised cost - Debt securities issued”;
- liability item **“Securities issued”** includes item 10c “Financial liabilities measured at amortised cost - Debt securities issued”, excluding the component relating to customer securities, and item 30 “Financial liabilities measured at fair value”;
- liability item **“Due to central banks”** includes the portion of item 10a “Financial liabilities measured at amortised cost – Due to banks” relating to operations with central banks;
- liability item **“Due to banks”** includes the portion of item 10a “Financial liabilities measured at amortised cost – Due to banks” relating to operations with banks (excluding central banks);
- liability item **“On-balance-sheet financial liabilities held for trading”** includes the portion of item 20 “Financial liabilities held for trading” net of the amounts relating to derivatives for trading;



- liability item **“Derivatives”** includes item 40 “Hedging derivatives” and the portion related to derivatives in item 20 “Financial liabilities held for trading”;
- liability item **“Provision for specific use”** includes item 90 “Employee severance pay” and item 100 “Provisions for risks and charges”;
- liability item **“Other liabilities”** includes item 50 “Change in value of macro-hedged financial liabilities”, item 70 “Liabilities associated with disposal groups” and item 80 “Other liabilities”;
- liability item **“Group Net Equity”** includes item 120 “Valuation reserves”, item 130 “Redeemable shares”, item 150 “Reserves”, item 170 “Share capital”, item 180 “Treasury shares” and item 200 “Net Profit (Loss) for the year”.



Reclassified income statement

Reclassified Consolidated Income Statement				
MONTEPASCHI GROUP	31 12 2022	31 12 2021	Change	
			Abs.	%
Net interest income	1,538.7	1,221.5	317.2	26.0%
Net fee and commission income	1,364.6	1,484.0	(119.4)	-8.0%
Income from banking activities	2,903.3	2,705.5	197.8	7.3%
Dividends, similar income and gains (losses) on investments	85.3	113.4	(28.1)	-24.8%
Net profit (loss) from trading, the fair value measurement of assets/liabilities and Net gains (losses) on disposals/repurchases	74.2	184.8	(110.6)	-59.8%
Net profit (loss) from hedging	6.2	12.6	(6.4)	-50.8%
Other operating income (expenses)	19.4	(36.5)	55.9	n.m.
Total Revenues	3,088.5	2,979.8	108.7	3.6%
Administrative expenses:	(1,920.6)	(1,926.0)	5.4	-0.3%
a) personnel expenses	(1,393.5)	(1,428.0)	34.4	-2.4%
b) other administrative expenses	(527.1)	(498.1)	(29.0)	5.8%
Net value adjustments to property, plant and equipment and intangible assets	(178.6)	(179.9)	1.3	-0.7%
Operating expenses	(2,099.2)	(2,105.9)	6.7	-0.3%
Pre-Provision Operating Profit	989.3	873.9	115.4	13.2%
Cost of customer credit	(416.9)	(250.0)	(166.9)	66.8%
Net impairment (losses)/reversals on securities and loans to banks	(1.1)	5.3	(6.4)	n.m.
Net operating income	571.2	629.2	(57.9)	-9.2%
Other net provisions for risks and charges	2.0	(99.0)	101.0	n.m.
Other gains (losses) on equity investments	3.7	2.2	1.5	68.2%
Restructuring costs / One-off costs	(931.4)	(7.3)	(924.1)	n.m.
Risks and charges associated to the SRF, DGS and similar schemes	(179.7)	(169.3)	(10.4)	6.1%
DTA Fee	(62.9)	(63.2)	0.3	-0.5%
Net gains (losses) on property, plant and equipment and intangible assets measured at fair value	(31.1)	(43.5)	12.4	-28.5%
Gains (losses) on disposal of investments	0.8	14.4	(13.6)	-94.4%
Profit (Loss) for the year before tax	(627.4)	263.4	(890.8)	n.m.
Tax (expense)/recovery on income from continuing operations	425.3	49.5	375.8	n.m.
Profit (Loss) after tax	(202.1)	312.9	(515.0)	n.m.
Net profit (loss) for the year including non-controlling interests	(202.1)	312.9	(515.0)	n.m.
Net profit (loss) attributable to non-controlling interests	(0.1)	(0.2)	0.1	n.m.
Parent Company's Profit (loss) for the year before PPA	(202.0)	313.1	(515.1)	n.m.
PPA (Purchase Price Allocation)	(2.7)	(3.6)	0.9	-25.2%
Parent company's net profit (loss) for the year	(204.7)	309.5	(514.2)	n.m.



Quarterly trend in reclassified consolidated income statement

MONTEPASCHI GROUP	2022				2021			
	4°Q 2022	3°Q 2022	2°Q 2022	1°Q 2022	4°Q 2021	3°Q 2021	2°Q 2021	1°Q 2021
Net interest income	499.0	379.7	336.9	323.1	323.0	313.3	305.6	279.6
Net fee and commission income	309.0	327.5	359.3	368.9	371.2	358.3	382.5	372.0
Income from banking activities	808.0	707.2	696.2	692.0	694.2	671.6	688.1	651.6
Dividends, similar income and gains (losses) on investments	30.0	30.0	11.1	14.2	37.7	20.3	34.2	21.2
Net profit (loss) from trading, the fair value measurement of assets/liabilities and Net gains (losses) on disposals/repurchases	0.4	(8.6)	6.9	75.6	(5.9)	11.7	22.0	157.0
Net profit (loss) from hedging	(2.4)	0.8	3.2	4.6	4.9	5.8	0.3	1.6
Other operating income (expenses)	4.1	(3.0)	21.6	(3.2)	(10.7)	(15.0)	(0.2)	(10.7)
Total Revenues	840.0	726.4	738.9	783.2	720.3	694.4	744.4	820.7
Administrative expenses:	(459.9)	(480.3)	(488.8)	(491.7)	(471.3)	(469.7)	(492.2)	(492.9)
a) personnel expenses	(326.9)	(354.0)	(356.8)	(355.9)	(351.1)	(357.8)	(359.0)	(360.1)
b) other administrative expenses	(132.9)	(126.3)	(132.0)	(135.8)	(120.2)	(111.9)	(133.3)	(132.7)
Net value adjustments to property, plant and equipment and intangible assets	(47.0)	(43.7)	(44.2)	(43.6)	(47.8)	(42.0)	(42.5)	(47.5)
Operating expenses	(506.9)	(523.9)	(533.1)	(535.3)	(519.1)	(511.7)	(534.8)	(540.4)
Pre-Provision Operating Profit	333.1	202.5	205.8	247.8	201.2	182.7	209.6	280.4
Cost of customer credit	(96.9)	(95.1)	(113.7)	(111.3)	(222.3)	137.4	(91.2)	(73.9)
Net impairment (losses)/reversals on securities and loans to banks	(2.5)	(0.3)	2.1	(0.4)	2.4	1.2	5.4	(3.7)
Net operating income	233.7	107.1	94.3	136.2	(18.7)	321.3	123.8	202.7
Other net provisions for risks and charges	(40.7)	120.7	(49.6)	(28.4)	(32.9)	(23.8)	(50.8)	8.5
Other gains (losses) on equity investments	0.0	2.5	(0.7)	1.9	(0.0)	2.4	2.6	(2.8)
Restructuring costs / One-off costs	(2.9)	(925.4)	(2.9)	(0.2)	0.8	(4.2)	(3.8)	(0.1)
Risks and charges associated to the SRF, DGS and similar schemes	(7.5)	(83.5)	-	(88.7)	(10.3)	(69.4)	(21.8)	(67.8)
DTA Fee	(15.8)	(15.7)	(15.7)	(15.8)	(15.8)	(15.8)	(15.9)	(15.7)
Net gains (losses) on property, plant and equipment and intangible assets measured at fair value	(20.3)	-	(10.8)	-	(15.3)	-	(0.4)	(27.8)
Gains (losses) on disposal of investments	-	-	0.9	(0.1)	-	-	(2.6)	17.0
Profit (Loss) for the year before tax	146.5	(794.4)	15.5	5.0	(92.3)	210.5	31.1	114.0
Tax (expense)/recovery on income from continuing operations	9.8	407.3	2.6	5.5	14.5	(23.7)	52.6	6.1
Profit (Loss) after tax	156.3	(387.1)	18.1	10.5	(77.8)	186.8	83.7	120.1
Net profit (loss) for the year including non-controlling interests	156.3	(387.1)	18.1	10.5	(77.8)	186.8	83.7	120.1
Net profit (loss) attributable to non-controlling interests	-	-	(0.1)	-	(0.1)	-	-	(0.1)
Parent Company's Profit (loss) for the year before PPA	156.3	(387.1)	18.2	10.5	(77.7)	186.8	83.7	120.2
PPA (Purchase Price Allocation)	(0.5)	(0.6)	(0.7)	(0.8)	(0.9)	(0.8)	(0.9)	(0.9)
Parent company's net profit (loss) for the year	155.8	(387.7)	17.5	9.7	(78.6)	186.0	82.8	119.3



Revenue trends

As at 31 December 2022, the Group achieved total Revenues of EUR 3,088 mln, up by 3.6% compared to the previous year.

This trend is mainly due to the net interest income, which benefits from the rise in interest rates. The positive trend in Net interest income absorbed the decline in Net fee and commission income, the decrease of which is mainly due to lower income from asset management, and Other income from banking business, which reflect a lower trading result, lower profits resulting from the sale of securities and a lower contribution generated by insurance equity investments in AXA associates.

Revenues for the fourth quarter of 2022 recorded an increase of 15.6% compared to the previous quarter. In particular, there was an increase in the Primary net interest and other banking income (+14.3%), thanks to the growth in Net interest income (+31.4%), which more than absorbed the decline in Net fee and commission income (-5.6%). Other income from banking business also increased compared to the previous quarter, due to the higher contribution of trading income.

The table below shows the trend in revenues for each of the operating segments identified in accordance with IFRS8.

SEGMENT REPORTING		Operating Segments										Total Montepaschi Group	
Primary segments		Retail banking		Wealth Management		Corporate banking		Large Corp. & Investment Banking		Corporate Center			
(Eur mln)		31/12/22	Chg. % Y/Y	31/12/22	Chg. % Y/Y	31/12/22	Chg. % Y/Y	31/12/22	Chg. % Y/Y	31/12/22	Chg. % Y/Y	31/12/22	Chg. % Y/Y
PROFIT AND LOSS AGGREGATES													
Net interest income		387.3	16.9%	5.0	n.m.	492.0	12.0%	134.7	-3.7%	519.7	67.8%	1,538.7	26.0%
Net fee and commission income, of which		800.3	-12.2%	111.7	-9.7%	486.5	1.1%	45.3	-4.1%	(79.0)	0.1%	1,364.6	-8.0%
<i>Fee and commission income</i>		875.2	-11.4%	112.6	-9.6%	509.9	1.6%	86.3	4.2%	7.4	n.m.	1,591.3	-6.2%
<i>Fee and commission expense</i>		(75.0)	-2.8%	(0.9)	-2.8%	(23.4)	11.3%	(41.0)	15.3%	(86.4)	10.8%	(226.7)	6.6%
Other revenue from Banking and Insurance Business		49.9	-36.2%	13.6	-41.1%	23.6	13.3%	8.7	-24.1%	69.8	-60.6%	165.7	-46.7%
Other operating expense/income		(0.1)	-99.2%	(0.0)	-98.2%	(4.9)	-59.0%	0.9	n.m.	23.5	n.m.	19.4	n.m.
Total Revenues		1,237.4	-5.6%	130.3	-11.4%	997.2	7.3%	189.6	-4.5%	534.0	35.2%	3,088.5	3.6%

Net Interest Income as at 31 December 2022 amounted to EUR 1,539 mln, an increase of 26.0% compared to 2021. The growth was mainly driven by: the greater contribution of the commercial sector, which benefited mostly from higher interest income on loans generated by the rising in interest rates; lower interest expenses due to the lower cost of market funding, following the maturity of some securities; the higher contribution of the Parent company' securities portfolio and MPS Capital Services. The contribution deriving from transactions with central banks: the lower cost incurred for liquidity deposited with central banks (equal to EUR 26 mln as at 31 December 2022 and EUR 93 mln as at 31 December 2021) was indeed more than offset by the decline in the positive effects linked to accessing the TLTRO III auctions (amounting to EUR 131 mln at 31 December 2022 and EUR 279 mln in the same period of the previous financial year). In fact, it should be noted that until 23 June 2022 the rate applied to TLTRO III was -1%. Starting from the third quarter, the afore-mentioned positive effects began to reduce significantly following the first increases in official rates carried out by the European Central Bank with effects from 27 July (50 basis points), from 14 September (75 basis points), from 2 November (1.5%) and finally from 22 December (2.0%) and the amendments, terms and conditions applied to the TLTRO III²². Likewise, it should be noted that, starting from 27 July 2022, the cost of excess liquidity has ceased and its *overnight deposits* are remunerated at the aforementioned rates.

²² With reference to the applicable conditions, it should be noted that, from 24 June 2022, the rate applied and settled at maturity is the average rate on deposits with the Central Bank calculated between the settlement date and 22 November 2022. Finally, for the period between 23 November 2022 and the maturity date or any date of early repayment, the interest rate is equal to the average rate on deposits with the central bank calculated in the same period.



In the fourth quarter of 2022, Net interest income increased over the previous quarter (+31.4%) primarily thanks to the higher contribution of commercial loans, which benefited from the further rate hike. The contribution from relations with central banks also increased; the reduction in the benefit deriving from the TLTRO (following the aforementioned monetary policy interventions) was in fact more than offset by the higher income recognised for loans to central banks. The positive effects mentioned above were only partially absorbed by the increase in the cost of funding.

Items	31 12 2022	31 12 2021	Chg. Y/Y		4°Q 2022	3°Q 2022	Chg. Q/Q	
			Abs.	%			Abs.	%
Loans to customers measured at amortised cost	1,527.4	1,241.3	286.1	23.0%	480.7	395.1	85.6	21.7%
Loans to Banks measured at amortised cost	11.1	(16.6)	27.7	n.m.	(74.1)	3.9	(78.0)	n.m.
Loans to Central Banks	160.6	185.7	(25.1)	-13.5%	45.1	18.2	26.9	n.m.
Government securities and other non-bank issuers at amortised cost	123.9	125.1	(1.2)	-1.0%	37.6	30.7	6.9	22.5%
Securities issued	(309.0)	(338.4)	29.4	-8.7%	(74.7)	(75.3)	0.6	-0.8%
Hedging derivatives	(87.4)	(60.2)	(27.2)	45.2%	(33.0)	(21.9)	(11.1)	50.7%
Trading portfolios	40.3	37.0	3.3	8.9%	12.4	9.0	3.4	37.8%
Portfolios measured at fair value	5.9	5.3	0.6	11.3%	1.5	1.4	0.1	7.1%
Financial assets measured at fair value through other comprehensive income	44.8	35.1	9.7	27.6%	10.5	13.1	(2.6)	-19.8%
Other financial assets and liabilities	21.1	7.2	13.9	n.m.	93.0	5.5	87.5	n.m.
Net interest income	1,538.7	1,221.5	317.2	26.0%	499.0	379.7	119.3	31.4%
<i>of which: interest income on impaired financial assets</i>	<i>62.4</i>	<i>55.2</i>	<i>7.2</i>	<i>13.0%</i>	<i>18.3</i>	<i>15.3</i>	<i>3.0</i>	<i>19.6%</i>

Net fee and commission income, totalling **EUR 1,365 mln** as at 31 December 2022, declined compared to the previous year (-8.0%) due to high market volatility. This decrease is attributable to lower income from asset management (-14.7%) mainly due to lower commissions on product placement; revenue from continuing commissions, protection and securities servicing also declined. There was also a slight decrease in commissions from traditional banking services (-1.4%), due to the decrease in commissions on credit (-6.7%), while commissions on foreign services rose sharply (+23.7%); commissions from services remained stable.

The contribution of the last quarter of 2022 was down in comparison with the previous quarter (-5.6%) mainly due to the decline in product placement fees.



Services/Value	31 12 2022	31 12 2021	Chg. Y/Y		4°Q 2022	3°Q 2022	Chg. Q/Q	
			abs.	%			abs.	%
Asset under management fees	631.6	740.2	(108.7)	-14.7%	135.7	143.9	(8.2)	-5.7%
Product placement	169.4	253.9	(84.5)	-33.3%	22.9	33.6	(10.7)	-31.9%
Continuing fees	387.3	399.5	(12.2)	-3.1%	92.5	95.8	(3.3)	-3.4%
Placement of securities	33.6	39.3	(5.6)	-14.4%	9.4	5.9	3.5	58.7%
Sales of Protection	41.2	47.5	(6.3)	-13.2%	10.9	8.6	2.4	27.5%
Fees and commissions from traditional activities	837.8	849.2	(11.5)	-1.4%	204.0	205.7	(1.7)	-0.8%
Credit fees	344.1	368.9	(24.8)	-6.7%	80.3	81.9	(1.6)	-1.9%
Fees from foreign services	62.4	50.4	12.0	23.7%	15.1	15.8	(0.8)	-4.8%
Other services	431.2	429.9	1.3	0.3%	108.6	108.0	0.6	0.6%
Other fees and commission income	(104.7)	(105.4)	0.7	-0.7%	(30.7)	(22.1)	(8.6)	39.0%
Net fees and commission income	1,364.6	1,484.0	(119.4)	-8.0%	309.0	327.5	(18.5)	-5.6%

SEGMENT REPORTING		Operating segments					Total Montepaschi Group
Primary segments		Retail banking	Wealth Management	Corporate banking	Large Corp. & Investment Banking	Corporate Center	
		31/12/22	31/12/22	31/12/22	31/12/22	31/12/22	31/12/22
Asset under management fees	512.2	100.7	20.4	0.1			633.3
Product placement	158.4	6.9	4.1	0.0			169.5
Continuing fees	290.2	88.3	8.6	0.0			387.2
Placement of securities	28.8	5.2	1.4	0.1			35.5
Sales of Protection	34.7	0.2	6.2	0.0			41.1
Fees and commissions from traditional activities	351.1	6.4	475.9	59.1			892.6
Credit fees	61.7	1.7	264.7	44.4			372.6
Fees from foreign services	5.7	0.3	48.4	12.3			66.6
Other services	283.8	4.5	162.8	2.5			453.5
Other fees and commission income	11.9	5.5	13.6	27.1	7.4		65.4
Net fees and commission income	875.2	112.6	509.9	86.3	7.4		1,591.3

Dividends, similar income and gains (losses) on investments totalled **EUR 85 mln** and fell compared to 31 December 2021 (EUR -28 mln), due to lower income generated by the insurance equity investments in the AXA associates²³; on the other hand, dividends increased. The contribution of the fourth quarter of 2022 is stable compared to the previous quarter.

Net profit (loss) from trading, fair value measurement of assets/liabilities and gains on disposals/repurchases as at 31 December 2022 amounted to **EUR 74 mln**, a decrease of EUR 111 mln compared to the values recorded in the previous year, largely related to lower sales of securities (approximately EUR 49 mln in 2022 compared to approximately EUR 139 mln in 2021). On the other hand, the contribution of the last quarter of 2022 shows an increase of EUR 9 mln compared to the previous quarter. The analysis of the main aggregates shows the following:

- The **Net profit (loss) from trading** was a **negative EUR 19 mln**, compared to the positive value of EUR 25 mln recorded the previous year; the change was due to both the reduction in the contribution from trading

²³ AXA-MPS is consolidated in the Group's financial statements using the equity method



activities, especially on the subsidiary MPS Capital Services, and the decrease in the value of derivatives hedging fair value option bond liabilities. The contribution for the fourth quarter of 2022 was up from the previous quarter due to improved results from trading activities and an increase in the value of derivatives hedging fair value option bond liabilities.

- **Net result of other assets/liabilities measured at fair value through profit or loss for EUR 44 mln**, an increase compared to the EUR 19 mln recorded in the previous year thanks to the higher capital gains recorded in particular on UCITs and the benefit generated on the bond liabilities which, as mentioned above, offsets the reduction in value recorded by the corresponding hedging derivatives and recognised under the item “Net profit (loss) from trading”. The contribution of the fourth quarter of 2022 was positive for **EUR 2 mln**, down by EUR 6 mln compared to the previous quarter, mainly due to the lower capital gains recorded on bond liabilities under *fair value option*.
- **Net gains (losses) on disposals/repurchases** (excluding loans to customers at amortised cost) were positive for **EUR 49 mln**, down from the previous year (EUR 141 mln) due to lower income from the sale of securities. The contribution for the fourth quarter of 2022 was equal to EUR 0.2 mln (EUR 0.3 mln in the third quarter of 2022).

Items	31 12 2022	31 12 2021	Chg. Y/Y		4°Q 2022	3°Q 2022	Chg. Q/Q	
			Abs.	%			Abs.	%
Financial assets held for trading	(466.8)	(52.1)	(414.7)	n.m.	(13.4)	(185.3)	171.9	-92.8%
Financial liabilities held for trading	345.8	103.5	242.3	n.m.	(13.1)	135.1	(148.2)	n.m.
Exchange rate effects	21.1	14.7	6.4	43.5%	7.6	4.5	3.1	68.9%
Derivatives	81.2	(41.6)	122.8	n.m.	17.3	28.8	(11.5)	-39.9%
Trading results	(18.7)	24.5	(43.2)	n.m.	(1.6)	(16.9)	15.3	-90.5%
Net profit (loss) from other financial assets and liabilities measured at fair value through profit or loss	43.6	19.0	24.6	n.m.	1.8	8.0	(6.2)	-77.5%
Disposal / repurchase (excluding loans to customers measured at amortised cost)	49.3	141.3	(92.0)	-65.1%	0.2	0.3	(0.1)	-33.3%
Net profit (loss) from trading, the fair value measurement of assets/liabilities and Net gains (losses) on disposals/repurchases	74.2	184.8	(110.6)	-59.8%	0.4	(8.6)	9.0	n.m.

The following items are also included in Revenues:

- **Net profit (loss) from hedging**, equal to **EUR +6 mln**, showed a decrease compared to 31 December 2021 (EUR +13 mln) and with a contribution of the fourth quarter of 2022 (EUR -2 mln) down on the previous quarter (EUR +1 mln);
- **Other operating income (expenses)** for a positive EUR 19 mln improved compared to the result recorded in 2021 (EUR -37 mln). The contribution of the fourth quarter 2022 (amounting to EUR 4 mln) showed an improvement on the previous quarter (amounting to EUR -3 mln).

Operating expenses

As at 31 December 2022, **Operating Expenses** amounted to **EUR 2,099 mln**, down slightly compared to the previous year; the contribution of the last quarter of 2022 was also down compared to the previous quarter (-3.2%). A closer look at the individual aggregates reveals the following:

- **Administrative expenses** amounted to **EUR 1,921 mln** and were essentially stable compared to the previous year, with the fourth quarter 2022 contributing 4.2% less than the previous quarter. A breakdown of the aggregate shows:
 - **Personnel expenses**, which amounted to **EUR 1,394 mln**, were down by 2.4% compared to 31 December 2021, benefiting from the downward trend in the workforce, mainly linked to exits through



early retirement plan or access to the Solidarity Fund pursuant to the agreement with the trade unions of 4 August 2022. The contribution of the fourth quarter of 2022 was down by 7.6% compared to that of the previous quarter, as a result of the aforementioned exits, almost all of which occurred at the beginning of December. It should be noted that the pro-rata cost of the resources who left on 1 December 2022 due to adhesion to the facilitated early retirement scheme (approximately 3,900, over 4,000 considering also those seconded outside the Group) had an impact of approximately EUR 286 mln on the Group's personnel expenses recorded in 2022.

- **Other administrative expenses**, totalling **EUR 527 mln**, grew compared to the corresponding period of the previous year (+5.8%, which benefited from contingent assets), also due to extraordinary legal costs, inflation expenses and tensions linked to energy costs. The contribution of Q4 2022 was up by 5.2% compared to the previous quarter.
- **Net value adjustments to property, plant and equipment and intangible assets** totalled **EUR 179 mln** as at 31 December 2022, stable compared to the previous year. In the fourth quarter of 2022, the aggregate was up compared to the previous quarter.

Type of transaction	31 12 2022	31 12 2021	Chg. Y/Y		4°Q 2022	3°Q 2022	Chg. Q/Q	
			Abs.	%			Abs.	%
Wages and salaries	(997.0)	(1,036.7)	39.7	-3.8%	(230.4)	(254.1)	23.7	-9.3%
Social-welfare charges	(277.2)	(282.8)	5.6	-2.0%	(67.9)	(69.3)	1.4	-2.0%
Other personnel expenses	(119.3)	(108.5)	(10.9)	10.0%	(28.6)	(30.6)	1.9	-6.2%
Personnel expenses	(1,393.5)	(1,428.0)	34.4	-2.4%	(326.9)	(354.0)	27.0	-7.6%
Taxes	(210.7)	(220.9)	10.2	-4.6%	(43.8)	(55.6)	11.8	-21.2%
Furnishing, real estate and security expenses	(88.2)	(73.9)	(14.3)	19.4%	(20.0)	(25.7)	5.7	-22.2%
General operating expenses	(182.4)	(160.9)	(21.5)	13.4%	(46.1)	(41.4)	(4.7)	11.4%
Information technology expenses	(124.2)	(133.8)	9.6	-7.2%	(27.3)	(31.3)	4.0	-12.8%
Legal and professional expenses	(72.9)	(83.5)	10.6	-12.7%	(17.8)	(16.8)	(1.0)	6.0%
Indirect personnel costs	(5.1)	(4.5)	(0.6)	13.3%	(1.4)	(1.2)	(0.2)	16.7%
Insurance	(19.9)	(41.3)	21.4	-51.8%	(4.8)	(4.8)	-	0.0%
Advertising, sponsorship and promotions	(3.1)	(3.5)	0.4	-11.4%	(0.8)	(0.8)	-	0.0%
Other	(20.4)	(13.5)	(6.9)	51.3%	(7.4)	(2.8)	(4.6)	n.m.
Expenses recovery	199.8	237.7	(37.9)	-15.9%	36.5	54.1	(17.6)	-32.5%
Other administrative expenses	(527.1)	(498.1)	(29.0)	5.8%	(132.9)	(126.3)	(6.6)	5.2%
Property, plant and equipment	(110.8)	(113.3)	2.4	-2.1%	(30.0)	(26.4)	(3.6)	13.5%
Intangible assets	(67.7)	(66.6)	(1.1)	1.7%	(17.1)	(17.3)	0.2	-1.2%
Net value adjustments to property, plant and equipment and intangible assets	(178.6)	(179.9)	1.3	-0.7%	(47.0)	(43.7)	(3.4)	7.7%
Operating expenses	(2,099.2)	(2,105.9)	6.7	-0.3%	(506.9)	(523.9)	17.0	-3.2%

As a result of these trends, the Group's **Gross Operating Income** was equal to **EUR 989 mln** (EUR 874 mln as at 31 December 2021), with the last quarter of 2022 contributing EUR 333 mln, an increase of EUR 131 mln compared to the previous quarter.



Cost of customer credit

At 31 December 2022, the Group recognised a **Cost of customer credit** equal to **EUR 417 mln**, marking growth compared to EUR 250 mln of the previous year. The figure of 2022 includes adjustments connected to the disposal of non-performing loans during the financial year, the cost resulting from the use of sales scenarios in the estimation models, as well as the cost deriving from the update in the baseline macroeconomic scenario. The figure for 2021 instead included a net negative effect of approximately EUR 87 mln due to the cost deriving from the update in the statistical valuation models and some methodological fine-tuning partially offset by impairment reversals deriving from the update in macroeconomic scenarios. Even excluding these effects from both 2022 and 2021, the Cost of Credit in 2022 was up in any event compared to 2021, mainly due to impairment reversals (about EUR 130 mln) recorded last year on some significant positions, the risk profile of which improved due to intervening corporate events.

The Cost of customer credit is equal to EUR 97 mln in the fourth quarter of 2022, in line with the EUR 95 mln figure recorded in the previous quarter. Excluding from the third quarter figure the additional adjustments related to the updating of the macroeconomic scenarios, the aggregate shows an increase in the quarter-on-quarter comparison also due to the higher adjustments on default positions.

As at 31 December 2022, the ratio between the Cost of customer credit and the sum of Customer loans and the value of securities deriving from disposal/securitisation transactions of non-performing loans expresses a **Provisioning Rate** of **55 bps** (31 bps as at 31 December 2021).

Items	31 12 2022	31 12 2021	Chg. Y/Y		4°Q 2022	3°Q 2022	Chg. Q/Q	
			Abs.	%			Abs.	%
Loans to customers measured at amortised cost	(428.7)	(237.3)	(191.4)	80.7%	(106.2)	(95.9)	(10.3)	10.7%
Modification gains/(losses)	4.3	(7.6)	11.9	n.m.	1.2	2.0	(0.8)	-40.0%
Gains/(losses) on disposal/repurchase of loans to customers measured at amortised cost	2.8	(1.5)	4.3	n.m.	1.1	0.2	0.9	n.m.
Net change in Loans to customers mandatorily measured at fair value	6.7	(10.1)	16.8	n.m.	1.8	(0.8)	2.6	n.m.
Net provisions for risks and charges on commitments and guarantees issued	(2.0)	6.5	(8.5)	n.m.	5.2	(0.6)	5.8	n.m.
Value adjustments to Cost of customer credit	(416.9)	(250.0)	(166.9)	66.8%	(96.9)	(95.1)	(1.8)	1.9%

The Group's **Net Operating Income** as at 31 December 2022 is **positive by approximately EUR 571 mln**, compared to EUR +629 mln in the previous year. The contribution of the last quarter of 2022, amounting to EUR 234 mln, was up by EUR 127 mln compared to the previous quarter.

Non-operating income, tax and net profit (loss) for the year

The **Net profit (loss) for the year** included the following items:

- **Provisions for risks and charges**, with net reversals of EUR 2 mln, showed an improvement over the EUR 99 mln provision posted in 2021. The releases of provisions recognised in 2022 are due, in particular, to (i) the improvement recorded in the risk profile of certain types of legal risks and (ii) the increase in the discounting effect, following the interest rate trend. The fourth quarter of 2022 shows provisions of EUR 41 mln (compared to the reversals of EUR 121 mln in the previous quarter), due to higher provisions on certain types of legal risks.
- **Other gains (losses) on investments** amounted to **EUR +4 mln**, compared to a gain of EUR 2 mln posted in 2021, with the contribution of the last quarter of the 2022 financial year essentially being nil compared to the EUR +3 mln posted in the third quarter.



- **Restructuring costs/One-off costs, amounted to EUR -931 mln, compared to EUR -7 mln the previous year.** The figure of 2022 includes provisions made in the third quarter against the early retirement/solidarity fund scheme, pursuant to the Trade Union agreement of 4 August 2022. The contribution of the fourth quarter of 2022 (EUR -3 mln) improved compared to the previous quarter (EUR -925 mln, including the aforementioned early retirement/solidarity fund charges).
- **Risks and charges associated with SRF, DGS and similar schemes, with a balance of EUR -180 mln** consisting of the Group's contribution due to the Single Resolution Fund (SRF), recognised in the first quarter of 2022 in the amount of EUR -89 mln; of the portion due to the FITD (DGS) in the amount of EUR -90 mln, recognised in the amount of EUR -83 mln in the third quarter of 2022 and EUR -7 mln in the fourth quarter of 2022; of the effect due to the write-off recognised in respect of the exposures to the FITD Voluntary Scheme (mainly for the Carige intervention) totalling EUR -1 mln. The balance posted in 2021 was EUR -169 mln.
- **DTA fee, amounting to EUR -63 mln,** basically unchanged compared to the figure posted in 2021. This amount, determined according to the criteria set forth in Italian Law Decree 59/2016, converted into Italian Law no. 119 of 30 June 2016, represents the fee as at 31 December 2021 on DTA (Deferred Tax Assets) that can be converted into a tax credit.
- **Net gains (losses) on property, plant and equipment and intangible assets measured at fair value,** equal to **EUR -31 mln** of which EUR -11 mln in Q2 and EUR -20 mln in Q4. This item includes the write-down of properties used for the business purposes and investment in application of the criterion of revaluation and fair value, respectively. The balance posted in 2021 was EUR -44 mln.
- **Gains (losses) on disposal of investments,** for an amount of **EUR 1 mln.** At 31 December 2021, the aggregate was positive for EUR 14 mln following the sale of the properties.

As a result of the trends highlighted above, the **Loss for the year before taxes for the year** amounted to **EUR 627 mln**, compared to the Profit before tax of EUR 263 mln posted in the previous financial year.

Taxes on income from current operations posted a positive contribution of **EUR 425 mln** (EUR +49 mln as at 31 December 2021), mainly attributable to the valuation of DTAs.

With reference to taxable income for future financial years, it should be noted that the valuation of the DTAs was determined on the basis of the new income projections contained in the 2022-2026 Business Plan, approved by the Board of Directors of the Parent Company on 22 June 2022, used starting from the quarterly report of 30 September 2022.

Considering the net effects of the PPA (EUR -2.7 mln), the **Loss for the year attributable to the Parent Company amounted to EUR -205 mln**, compared to a profit of EUR 310 mln in 2021. The fourth quarter of 2022 recorded a Profit attributable to the Parent Company of EUR 156 mln, compared to a loss of EUR -388 mln in the previous quarter.



In compliance with Consob's instructions, following is a statement of the reconciliation of the Shareholders' equity and Net profit (loss) for the year of the Parent Company with the consolidated items:

Reconciliation between Parent Company and Consolidated Net Equity and Profit (Loss) for the year		
	Shareholders' equity	Net profit (loss) for the year
Parent Company's net equity	7,092.1	(135.8)
<i>of which Parent Company's valuation reserves</i>	<i>(4.2)</i>	-
Impact of line-by-line consolidation of subsidiaries	(1,765.3)	27.3
Impact of consolidation of jointly controlled entities and associates	510.7	61.8
Reversal of dividends from subsidiaries	-	(107.4)
Reversal of written-down equity investments	2,851.5	0.1
Other adjustments	(659.8)	(50.8)
Subsidiaries and associates' valuation reserves	(231.6)	-
Consolidated balance	7,797.6	(204.7)
<i>of which valuation reserves</i>	<i>(235.7)</i>	



Reclassified balance sheet

The (i) reclassified balance sheet as at 31 December 2022 compared with the balances set forth in the financial statements as at 31 December 2021 and (ii) the statement of its quarterly evolution starting from the first quarter of the previous year are provided below.

Reclassified Consolidated Balance Sheet				
Assets	31 12 2022	31 12 2021	Chg	
			abs.	%
Cash and cash equivalents	12,538.6	1,741.8	10,796.8	n.m.
Loans to central banks	628.1	20,769.7	(20,141.6)	-97.0%
Loans to banks	1,950.1	3,493.3	(1,543.2)	-44.2%
Loans to customers	76,265.3	79,380.3	(3,115.0)	-3.9%
Securities assets	18,393.6	22,127.1	(3,733.5)	-16.9%
Derivatives	3,413.6	2,431.6	982.0	40.4%
Equity investments	688.3	1,095.4	(407.1)	-37.2%
Property, plant and equipment/Intangible assets	2,604.0	2,743.5	(139.5)	-5.1%
<i>of which, goodwill</i>	7.9	7.9	-	0.0%
Tax assets	2,216.4	1,774.0	442.4	24.9%
Other assets	1,474.9	2,311.9	(837.0)	-36.2%
Total assets	120,172.9	137,868.6	(17,695.7)	-12.8%
Liabilities	31 12 2022	31 12 2021	Chg	
			abs.	%
Direct funding	81,997.6	90,300.3	(8,302.7)	-9.2%
a) Due to customers	73,356.8	79,859.5	(6,502.7)	-8.1%
b) Securities issued	8,640.8	10,440.8	(1,800.0)	-17.2%
Due to central banks	19,176.9	29,154.8	(9,977.9)	-34.2%
Due to banks	2,205.9	2,125.1	80.8	3.8%
On-balance-sheet financial liabilities held for trading	2,567.2	3,104.1	(536.9)	-17.3%
Derivatives	1,722.9	2,686.1	(963.2)	-35.9%
Provisions for specific use	1,585.7	1,814.0	(228.3)	-12.6%
a) Provision for staff severance indemnities	70.2	159.3	(89.1)	-55.9%
b) Provision related to guarantees and other commitments given	142.5	144.0	(1.5)	-1.0%
c) Pension and other post-retirement benefit obligations	26.6	29.7	(3.1)	-10.4%
d) Other provisions	1,346.4	1,481.0	(134.6)	-9.1%
Tax liabilities	6.6	7.1	(0.5)	-7.0%
Other liabilities	3,111.6	2,503.1	608.5	24.3%
Group net equity	7,797.6	6,172.7	1,624.9	26.3%
a) Valuation reserves	(235.7)	306.8	(542.5)	n.m.
d) Reserves	784.6	(3,638.6)	4,423.2	n.m.
f) Share capital	7,453.4	9,195.0	(1,741.6)	-18.9%
h) Net profit (loss) for the year	(204.7)	309.5	(514.2)	n.m.
Non-controlling interests	0.9	1.3	(0.4)	-30.8%
Total Liabilities and Shareholders' Equity	120,172.9	137,868.6	(17,695.7)	-12.8%



Reclassified Balance Sheet - Quarterly Trend								
Assets	31 12 2022	30 09 2022	30 06 2022	31 03 2022	31 12 2021	30 09 2021	30 06 2021	31 03 2021
Cash and cash equivalents	12,538.6	16,540.4	1,518.8	1,791.0	1,741.8	2,121.6	1,745.3	1,853.4
Loans to central banks	628.1	4,426.4	17,626.5	15,392.8	20,769.7	20,940.8	25,570.5	26,116.8
Loans to banks	1,950.1	2,715.5	1,432.1	2,424.9	3,493.3	3,344.0	3,133.9	2,975.3
Loans to customers	76,265.3	77,939.1	78,621.7	79,259.7	79,380.3	81,199.8	81,355.8	82,259.0
Securities assets	18,393.6	19,794.3	22,312.7	23,382.2	22,127.1	24,961.0	23,121.9	22,562.0
Derivatives	3,413.6	3,521.3	3,029.2	2,352.6	2,431.6	2,591.8	2,689.5	2,757.5
Equity investments	688.3	692.2	756.5	985.2	1,095.4	1,041.8	1,027.7	1,069.2
Property, plant and equipment/Intangible assets	2,604.0	2,639.5	2,666.1	2,718.5	2,743.5	2,757.9	2,760.0	2,784.5
<i>of which, goodwill</i>	7.9	7.9	7.9	7.9	7.9	7.9	7.9	7.9
Tax assets	2,216.4	2,205.7	1,769.3	1,798.0	1,774.0	1,758.7	1,800.4	1,919.8
Other assets	1,474.9	1,317.1	1,645.0	1,904.2	2,311.9	2,400.5	2,544.7	2,361.3
Total assets	120,172.9	131,791.5	131,377.9	132,009.1	137,868.6	143,117.9	145,749.7	146,658.8
Liabilities	31 12 2022	30 09 2022	30 06 2022	31 03 2022	31 12 2021	30 09 2021	30 06 2021	31 03 2021
Direct funding	81,997.6	83,805.1	84,305.1	84,428.2	90,300.3	92,901.5	94,036.5	99,053.6
a) Due to customers	73,356.8	75,164.3	74,940.9	74,992.2	79,859.5	82,389.2	83,315.3	87,124.1
b) Securities issued	8,640.8	8,640.8	9,364.2	9,436.0	10,440.8	10,512.3	10,721.2	11,929.5
Due to central banks	19,176.9	28,931.7	28,947.6	29,081.1	29,154.8	29,230.2	29,305.6	26,373.1
Due to banks	2,205.9	2,589.8	1,694.6	1,763.6	2,125.1	3,019.5	3,854.3	3,816.4
On-balance-sheet financial liabilities held for trading	2,567.2	2,362.2	2,658.7	3,174.4	3,104.1	3,325.0	3,819.3	3,179.5
Derivatives	1,722.9	1,777.2	1,727.5	2,081.9	2,686.1	2,819.1	2,730.1	2,759.0
Provisions for specific use	1,585.7	2,582.4	1,822.2	1,820.6	1,814.0	1,969.0	2,017.1	2,011.3
a) Provision for staff severance indemnities	70.2	136.9	142.5	157.8	159.3	162.2	163.3	164.2
b) Provision related to guarantees and other commitments given	142.5	148.5	148.8	147.8	144.0	121.5	144.6	147.1
c) Pension and other post-retirement benefit obligations	26.6	24.2	24.9	29.0	29.7	30.7	31.4	32.3
d) Other provisions	1,346.4	2,272.8	1,506.0	1,486.0	1,481.0	1,654.6	1,677.8	1,667.7
Tax liabilities	6.6	6.9	6.0	6.5	7.1	8.0	8.0	8.1
Other liabilities	3,111.6	4,430.8	4,378.1	3,645.4	2,503.1	3,593.5	3,912.1	3,451.0
Group net equity	7,797.6	5,304.1	5,836.7	6,006.1	6,172.7	6,250.7	6,065.3	6,005.4
a) Valuation reserves	(235.7)	(203.3)	(55.3)	131.6	306.8	302.3	324.7	367.6
d) Reserves	784.6	913.8	(3,330.2)	(3,330.2)	(3,638.6)	(3,630.7)	(3,521.0)	(3,415.8)
f) Share capital	7,453.4	4,954.1	9,195.0	9,195.0	9,195.0	9,195.0	9,195.0	9,195.0
g) Treasury shares (-)	-	-	-	-	-	(4.0)	(135.5)	(260.7)
h) Net profit (loss) for the year	(204.7)	(360.5)	27.2	9.7	309.5	388.1	202.1	119.3
Non-controlling interests	0.9	1.3	1.4	1.3	1.3	1.4	1.4	1.4
Total Liabilities and Shareholders' Equity	120,172.9	131,791.5	131,377.9	132,009.1	137,868.6	143,117.9	145,749.7	146,658.8



Customer funding

As at 31 December 2022, the Group's **Total Funding** volumes amounted to **EUR 174.4 bn**, with a decrease in assets of EUR 0.9 bn compared to 30 September 2022 due to the decrease in Direct Funding (EUR -1.8 bn), partially offset by the growth in volumes of Indirect Funding (EUR +0.9 bn).

The aggregate is down by EUR 20.3 bn compared to 31 December 2021, both on Direct Funding (EUR -8.3 bn) and Indirect Funding (EUR -12.0 bn).

Background

In 2022, bank funding remained substantially stable. Against an expansion in the first half of the year, funding halted its growth and became more costly for banks. This trend reflected the slowdown in deposits, following the deceleration of household deposits and the decline in corporate deposits. In fact, after a first part of the year characterised by an average growth trend of 4.4% yoy, starting from June, deposits underwent a marked slowdown, even recording a contraction in October and November (respectively by -0.2% year-on-year and -0.3% year-on-year from +6.9% yoy at the end of 2021). For the production sector (non-financial companies and income-generating households), the recovery that took place in the months immediately following the outbreak of the conflict (on average +7%) was followed by a sharp slowdown in the pace of expansion with deposits which, in November, recorded an increase close to zero on a year-on-year basis (compared to +11% year-on-year at the end of 2021). Consumer household deposits, although slowing, nonetheless showed growth in November (+1.3% year-on-year from +4.9% in December 2021).

With reference to technical forms, the trend in current accounts held by resident customers slowed down to become negative in November (-0.4% year-on-year compared to +9.7% at the end of 2021), while deposits with agreed maturity, after consecutive months of contraction, returned to positive territory in November (+7% year-on-year compared to -18.5% at the end of 2021) on the strength of the rise in interest rates; lastly, there was a very limited average year-on-year increase for deposits redeemable at notice in the period January-November 2022.

In 2022, bonds showed continuous decreases on a trend basis but, since last September, the decrease gradually narrowed to -1.4% year-on-year in November (-2.6% year-on-year at end-2021). Liabilities to the Eurosystem decreased in connection with the voluntary repayments of TLTRO funds disbursed last November.

The rates on funding showed generalised increases. In detail, the interest rate on deposits of non-financial companies and households showed a greater increase starting from the summer, standing at around 0.42% in November, up (+11 bps) compared to the figure at the beginning of the year; specifically, the rate on current accounts rose from the lows of the first half of the year (around 0.02% on average) to reach 0.11% in November (+9 bps compared to the end of 2021); substantially the same trend for deposits with set duration, which reached 1.25% in November from a level of 0.99% at the end of 2021 (+26 bps from December 2021); during the year, the rate on deposits redeemable at notice continued to rise, standing at 1.52% in November compared to 1.37% at the end of 2021 (approximately +15 bps). The most significant increase was for bank bonds, with the rate on outstanding amounts standing at 2.07% in November compared to 1.76% at the end of 2021 (+31 bps).

The macro-financial scenario, particularly uncertain, in a context of restrictive monetary policy, has had significant effects on the investment choices of savers; in general, there is a lower level of household savings, which has continued to decline since the third quarter, and a gradual reallocation of deposits towards other forms of investment. On assets under management (funds/SICAVs and management), the total balance of net funding in the first nine months of the year posted EUR 7.3 bn, figures still very far from the total amount in 2021, which reached approximately EUR 93 bn. After a positive first quarter (EUR +10.9 bn) and a negative second quarter (EUR -4.7 bn) caused by the uncertainty following the outbreak of the conflict in Ukraine, net funding returned to positive values in the third quarter of 2022 (EUR +1.1 bn compared to EUR 69.8 bn in the same period of 2021).

In the first nine months of the year, the funds recorded a positive net balance of approx. EUR 14.6 bn, mainly due to subscriptions made in the first quarter. Portfolio management posted significant outflows of approx. EUR -7.2 bn net, although there was a slight change in trend in the third quarter; institutional portfolios were the most penalised, with net funding of EUR -12.6 bn, while retail portfolios posted a positive balance of EUR +5.3 bn. At the category level, savers have focused their choices on equity funds (EUR +17.3 bn) and balanced funds (EUR +5.7 bn) in the face of substantial disinvestments on bond funds, with net funding in this sector of approx. EUR -15.8 bn. In the first nine months of the year, the decline in total assets under management continued, standing at the end of September at EUR 2,191 bn compared to EUR 2,594 bn at the end of 2021, thus showing a decline on a yoy basis of approximately -13.9%. (also due to greater market volatility as well as a decrease



in savings capacity due to inflation and energy price increases). For the life insurance market, in the first ten months of the year, new business volumes stood at EUR 71.8 bn (excluding PIPs, namely Individual Pension Plans) compared to over EUR 104 bn in 2021, with a downturn on a trend basis in October of approximately -18.3%.

Traditional products, after having recorded marked decreases for most of the year, returned to a positive sign in October (+ 2.9% YoY), while hybrid solutions contracted since May, reaching a -15.6% mark in October on a trend basis. The component with the highest financial content (the classic units) was significantly affected by the consequences of the conflict in Ukraine and the uncertainty of the markets, recording gradually higher trend declines since February until reaching a change of -36.1% in October.

With reference to the channels for the placement of life insurance products, in the first nine months of the year the financial advisors channel brokered a turnover that was -39.8% lower than in the same period of the previous year. The banking and agency channels fell less, respectively -13% and -28.5% YoY.

Customer Funding							
	31 12 2022	30 09 2022	31 12 2021	Chg Q/Q		Chg Y/Y	
				Abs.	%	Abs.	%
Direct funding	81,997.6	83,805.1	90,300.3	(1,807.5)	-2.2%	(8,302.7)	-9.2%
Indirect funding	92,420.7	91,481.3	104,429.7	939.4	1.0%	(12,009.0)	-11.5%
Total funding	174,418.3	175,286.4	194,730.0	(868.1)	-0.5%	(20,311.7)	-10.4%

Direct Funding amounted to EUR 82.0 bn, down by **EUR 1.8 bn** compared to the end of September 2022, with a decline affecting all technical forms, with the exception of the bond segment, which remained stable. More specifically, the decline is mainly attributable to the decrease in term deposits (EUR -0.8 bn), in line with the strategy of reducing the most onerous components. Current accounts (EUR -0.5 bn), repurchase agreements (EUR -0.4 bn) and other forms of funding (EUR -0.1 bn) also decreased.

With respect to 31 December 2021, the aggregate was down by EUR 8.3 bn, in this case as well, with a decrease across all types. In particular, there was a decrease in Repurchase agreements (EUR -3.7 bn), due to the lower operations of MPS Capital Services, and a decrease in the bond sector (EUR -1.8 bn), mainly deriving from the maturity of a covered bond and an institutional bond. Current accounts (EUR -0.4 bn), term deposits (EUR -2.1 bn) and other forms of funding (EUR -0.3 bn) decreased as well, also as a result of the continuation of the actions implemented by the Parent Company to optimize the cost of funding.

The Group's market share²⁴ on Direct Funding was 3.36% (figure updated in November 2022), down compared to December 2021 (3.47%).

²⁴ Deposits and repurchase agreements (excluding repurchase agreements with central counterparties) from ordinary resident customers and bonds net of repurchases placed with ordinary resident customers as first-instance borrowers.



Direct funding							
Type of transaction	31 12 2022	30 09 2022	31 12 2021	Change Q/Q		Change Y/Y	
				Abs.	%	Abs.	%
Current accounts	65,783.3	66,270.9	66,159.1	(487.6)	-0.7%	(375.8)	-0.6%
Time deposits	4,331.1	5,164.8	6,438.3	(833.7)	-16.1%	(2,107.2)	-32.7%
Reverse repurchase agreements	559.4	927.5	4,298.7	(368.1)	-39.7%	(3,739.3)	-87.0%
Bonds	8,640.8	8,640.7	10,440.9	0.1	0.0%	(1,800.1)	-17.2%
Other types of direct funding	2,683.0	2,801.2	2,963.3	(118.2)	-4.2%	(280.3)	-9.5%
Total	81,997.6	83,805.1	90,300.3	(1,807.5)	-2.2%	(8,302.7)	-9.2%

Indirect Funding amounted to **EUR 92.4 bn**, up by EUR 0.9 bn compared to 30 September 2022, thanks to the growth in the Assets under Custody component (EUR +1.2 bn). The latter benefits from both the positive market effect and positive net flows due to the renewed interest from customers in government bonds, also following the increase in yields. The asset management component was down slightly (EUR -0.3 bn).

The comparison with 31 December 2021 shows a decrease in Indirect Funding of EUR 12.0 bn, attributable to both Assets under management (EUR -7.6 bn) and Assets under custody (EUR -4.5 bn); both components were impacted by the negative market effect.

Indirect Funding							
	31 12 2022	30 09 2022	31 12 2021	Change Q/Q		Change Y/Y	
				Abs.	%	Abs.	%
Assets under management	57,733.6	57,988.4	65,285.5	(254.8)	-0.4%	(7,551.9)	-11.6%
<i>Funds</i>	25,701.0	25,767.7	30,002.2	(66.7)	-0.3%	(4,301.2)	-14.3%
<i>Individual Portfolio under Management</i>	5,019.2	4,837.0	5,498.4	182.2	3.8%	(479.2)	-8.7%
<i>Bancassurance</i>	27,013.5	27,383.8	29,784.9	(370.3)	-1.4%	-2,771.4	-9.3%
Assets under custody	34,687.1	33,492.8	39,144.2	1,194.2	3.6%	(4,457.1)	-11.4%
<i>Government securities</i>	12,646.6	12,168.1	13,372.0	478.4	3.9%	(725.4)	-5.4%
<i>Others</i>	22,040.5	21,324.7	25,772.2	715.8	3.4%	(3,731.7)	-14.5%
Total funding	92,420.7	91,481.3	104,429.7	939.4	1.0%	-12,009.0	-11.5%



Loans to customers

As at 31 December 2022, the Group's **Loans to Customers** amounted to **EUR 76.3 bn**, down from EUR -1.7 bn at the end of September 2022. The decrease is attributable to mortgages (EUR -1.2 bn), due to significant end-of-year maturities, other loans (EUR -0.5 bn), current accounts (EUR -0.2 bn) and non-performing loans (EUR -0.2 bn). On the other hand, transactions in repurchase agreements were up (EUR +0.3 bn).

The aggregate declined by EUR 3.1 bn in the comparison with 31 December 2021 primarily due to the decline in mortgages (EUR -1.7 bn) and lower repo transactions (EUR -1.6 bn); impaired loans also declined (EUR -0.4 bn). On the other hand, Other loans (EUR +0.5 bn) and current accounts (EUR +0.2 bn) were up.

The Group's market share²⁵ was 4.33% (updated to November 2022), down from December 2021 (4.37%).

Background

Within a context of high inflation, the good trend of lending to the economy is confirmed. Loans to the private sector (net of repurchase agreements with central counterparties and adjusted for exposures sold and derecognised) remained positive during the year: the growth, more sustained until August (+4.4% YoY), declined slightly in the following months to a trend level of 3.4% in November 2022, affected by the weakening of corporate demand for investment purposes and household demand for house purchases.

This curve is attributable to loans to non-financial corporations, which recorded appreciable growth until the summer months and then slowed down to +2.8% YoY in November; assessed at sector level, credit growth weakened in manufacturing and services, while it increased slightly in construction. The expansion of credit to households also followed a similar trend, with sustained growth of over 4% year-on-year in the middle months of the year and then slowing down to +3.8% YoY in November, mainly as a result of the trend in home mortgage loans.

According to the Italian banks, based on the Bank Lending Survey of October, the demand for loans for investment purposes by companies decreased in the third quarter, compared to a general tightening of the supply criteria and higher demands for the financing of working capital. The demand for credit by households, both for home purchases and for consumption purposes, also weakened, affected by the rise in interest rates and the decline in consumer confidence over the quarter.

The official rate hikes by the monetary authority since last July have been passed on to the cost of credit granted to businesses and households.

With reference to the interest rates on the amounts of loans, a substantially stable first part of the year was followed by a decisive growth: more sustained as regards the stock of loans to non-financial companies with the rate reaching 2.72% in November (+111 bps since December 2021); those to households reached 3.18% in November (+54 bps since December 2021).

On new business transactions, the increase was even more marked, with the average rate gaining around 176 bps from the values at the end of 2021, rising to 2.94% in November. A similar trend was recorded for new transactions with households, with the rate on loans for home purchases rising to 3.1% in November (approximately +167 bps compared to the end of 2021).

The rate on consumer credit rose by 158 bps compared to the end of 2021, standing at 7.65% in November; the interest rate on loans for other purposes rose to 4.14% in November, an increase of 146 bps from the end of 2021.

In November, the stock of bad loans, in the banks' financial statements, to residents in Italy declined by roughly EUR 4.6 billion compared to the levels posted last December. Including bad loans sold and derecognised in line with the loan correction methodology under the European System of Central Banks (ESCB), the trend showed an increase from March with an acceleration after the summer (+11.4% November).

²⁵ Loans to ordinary resident customers, including bad loans and net of Repurchase Agreements with central counterparties.



Loans to customers							
Type of transaction	31 12 2022	30 09 2022	31 12 2021	Change Q/Q		Change Y/Y	
				Abs.	%	Abs.	%
Current accounts	2,882.8	3,061.7	2,695.9	(178.9)	-5.8%	186.9	6.9%
Mortgages	54,540.7	55,702.2	56,268.3	(1,161.5)	-2.1%	(1,729.6)	-3.1%
Other forms of lending	13,647.6	14,104.8	13,152.2	(457.2)	-3.2%	497.3	3.8%
Repurchase agreements	3,482.9	3,165.8	5,126.4	317.1	10.0%	(1,643.5)	-32.1%
Non performing loans	1,711.3	1,904.6	2,137.5	(193.3)	-10.1%	(426.1)	-19.9%
Total	76,265.3	77,939.1	79,380.3	(1,673.8)	-2.1%	(3,115.0)	-3.9%
<i>Stage 1</i>	<i>63,295.9</i>	<i>64,506.6</i>	<i>64,808.0</i>	<i>(1,210.7)</i>	<i>-1.9%</i>	<i>(1,512.1)</i>	<i>-2.3%</i>
<i>Stage 2</i>	<i>11,115.7</i>	<i>11,341.1</i>	<i>12,306.3</i>	<i>(225.4)</i>	<i>-2.0%</i>	<i>(1,190.5)</i>	<i>-9.7%</i>
<i>Stage 3</i>	<i>1,709.0</i>	<i>1,902.0</i>	<i>2,124.0</i>	<i>(193.0)</i>	<i>-10.1%</i>	<i>(415.0)</i>	<i>-19.5%</i>
<i>Purchased or originated credit impaired financial assets</i>	<i>2.2</i>	<i>5.8</i>	<i>10.6</i>	<i>(3.6)</i>	<i>-62.1%</i>	<i>(8.4)</i>	<i>-79.2%</i>
<i>Performing loans measured at fair value</i>	<i>140.8</i>	<i>181.9</i>	<i>119.7</i>	<i>(41.1)</i>	<i>-22.6%</i>	<i>21.1</i>	<i>17.6%</i>
<i>Non-performing loans measured at fair value</i>	<i>1.7</i>	<i>1.7</i>	<i>11.7</i>	<i>0.0</i>	<i>0.0%</i>	<i>(10.0)</i>	<i>-85.5%</i>

Loans to customers measured at amortised cost		Stage 1	Stage 2	Stage 3	Purchased or originated credit impaired financial assets	Total
31 12 2022	Gross exposure	63,382.7	11,469.0	3,286.0	4.4	78,142.1
	Adjustments	86.8	353.3	1,577.0	2.2	2,019.3
	Net exposure	63,295.9	11,115.7	1,709.0	2.2	76,122.8
	Coverage ratio	0.1%	3.1%	48.0%	50.0%	2.6%
	% on Loans to customers measured at amortised cost	83.1%	14.6%	2.2%	0.0%	100.0%

Loans to customers measured at amortised cost		Stage 1	Stage 2	Stage 3	Purchased or originated credit impaired financial assets	Total
30 09 2022	Gross exposure	64,583.1	11,713.2	4,087.4	7.4	80,391.1
	Adjustments	76.5	372.1	2,185.4	1.6	2,635.6
	Net exposure	64,506.6	11,341.1	1,902.0	5.8	77,755.5
	Coverage ratio	0.1%	3.2%	53.5%	21.6%	3.3%
	% on Loans to customers measured at amortised cost	83.0%	14.6%	2.4%	0.0%	100.0%



Loans to customers measured at amortised cost		Stage 1	Stage 2	Stage 3	Purchased or originated credit impaired financial assets	Total
31 12 2021	Gross exposure	64,884.9	12,663.8	4,054.4	20.7	81,623.8
	Adjustments	76.9	357.5	1,930.4	10.1	2,374.9
	Net exposure	64,808.0	12,306.3	2,124.0	10.6	79,248.9
	Coverage ratio	0.1%	2.8%	47.6%	48.8%	2.9%
% on Loans to customers measured at amortised cost		81.8%	15.5%	2.7%	0.0%	100.0%

The gross exposure of loans classified in stage 1, which amounted to EUR 63.4 bn as at 31 December 2022, decreased compared to both 30 September 2022 (amounting to EUR 64.6 bn) and 31 December 2021 (amounting to EUR 64.9 bn).

Positions classified in stage 2, the gross exposure of which amounted to EUR 11.5 bn, down from EUR 11.7 bn as at 30 September 2022 and EUR 12.7 bn as at 31 December 2021.

The decrease in dynamics observed on stage 1 is mainly due to the normal flow of maturities at the end of 2022 of medium/long-term loans to business customers. The decrease in stage 2 compared to 31 December 2021 is mainly due to the improvement in the quality of loans subject to the COVID-19 moratorium, which regularly resumed payments.

The gross exposure of loans classified in the third stage, which amounted to EUR 3.3 bn as at 31 December 2022, was down from both 30 September 2022 (amounting to EUR 4.1 bn) and 31 December 2021 (amounting to EUR 4.1 bn). The trend is due to the deconsolidation, in the fourth quarter of 2022, of the receivables sold as part of the “Fantino” transaction.

Non-performing exposures of loans to customers

The Group's **total non-performing loans to customers** as at 31 December 2022 was **EUR 3.3 bn** in terms of gross exposure, down from the figure as at 30 September 2022 (EUR 4.1 bn) and the figure as at 31 December 2021 (EUR 4.1 bn). In particular,

- the gross bad loan exposure, amounting to EUR 1.3 bn, was down compared to 30 September 2022 (amounting to EUR 1.9 bn) and compared to 31 December 2021 (amounting to EUR 1.7 bn). The decrease was mainly affected by the aforementioned “Fantino” loan sale transaction, which led, in the fourth quarter of 2022, to the deconsolidation of secured and unsecured bad loans for a gross exposure of EUR 0.5 bn;
- the gross unlikely-to-pay loan exposure, amounting to EUR 2.0 bn, was lower than both 30 September 2022 (amounting to EUR 2.2 bn) and 31 December 2021 (amounting to EUR 2.3 bn). Also in this case, the trend was impacted by the “Fantino” sale transaction, which led, in the fourth quarter of 2022, to the deconsolidation of Unlikely to pay positions for a gross exposure of EUR 0.3 bn;
- the gross non-performing past due loan exposure, amounting to EUR 45.8 mln, decreased compared to both EUR 54.5 mln as at 30 September 2022 and EUR 60.7 mln as at 31 December 2021.

As at 31 December 2022, the Group's **net loan exposure in terms of Non-performing loans to customers** amounted to **EUR 1.7 bn**, a decrease compared to 30 September 2022 (exposure of EUR 1.9 bn) and compared to 31 December 2021 (exposure of EUR 2.1 bn); the decrease, as for gross exposures, was affected by the deconsolidation of the loans sold as part of the “Fantino” transaction.

The incidence of net non-performing loans to customers as a percentage of total net loans to customers as at 31 December 2022 was 2.2%, down from the figure recorded as at 30 September 2022 (2.4%) and that recorded as at 31 December 2021 (2.7%), across all aggregates. In detail, the percentage of bad loans was 0.6% (0.7% as at 30 September 2022 and 0.8% as at 31 December 2021), while that of unlikely to pay exposures was 1.6% (1.7% as at 30 September 2022 and 1.8% as at 31 December 2021) while the percentage of non-performing past due loans was substantially nil (equal to 0.1% both as at 30 September 2022 and as at 31 December 2021).

Loans to customers		Bad loans	Unlikely to pay	Non-performing Past due Loans	Total Non-performing loans to customers	Performing loans	Total
31 12 2022	Gross exposure	1,292.4	1,961.0	45.8	3,299.2	74,994.0	78,293.2
	Adjustments	841.2	736.3	10.4	1,587.9	440.0	2,027.9
	Net exposure	451.2	1,224.7	35.4	1,711.3	74,554.0	76,265.3
	Coverage ratio	65.1%	37.5%	22.7%	48.1%	0.6%	2.6%
	% on Loans to customers	0.6%	1.6%	0.0%	2.2%	97.8%	100.0%
30 09 2022	Gross exposure	1,877.3	2,168.7	54.5	4,100.5	76,483.2	80,583.7
	Adjustments	1,318.1	863.4	14.4	2,195.9	448.7	2,644.6
	Net exposure	559.2	1,305.3	40.1	1,904.6	76,034.5	77,939.1
	Coverage ratio	70.2%	39.8%	26.4%	53.6%	0.6%	3.3%
	% on Loans to customers	0.7%	1.7%	0.1%	2.4%	97.6%	100.0%
31 12 2021	Gross exposure	1,740.6	2,303.4	60.7	4,104.7	77,677.3	81,782.0
	Adjustments	1,108.6	844.8	13.8	1,967.2	434.5	2,401.7
	Net exposure	632.0	1,458.6	46.9	2,137.5	77,242.8	79,380.3
	Coverage ratio	63.7%	36.7%	22.7%	47.9%	0.6%	2.9%
	% on Loans to customers	0.8%	1.8%	0.1%	2.7%	97.3%	100.0%



As at 31 December 2022, the **coverage ratio of non-performing loans** stood at **48.1%**, down compared to the coverage level recorded as at 30 September 2022 (equal to 53.6%) mainly due to the decrease in the coverage ratio of bad loans (down from 70.2% as at 30 September 2022 to 65.1% as at 31 December 2022) and Unlikely to pay exposures (down from 39.8% as at 30 September 2022 to 37.5% as at 31 December 2022). The coverage ratio of past due non-performing loans was also down (22.7% as at 31 December 2022 compared to 26.4% as at 30 September 2022). The changes in the coverage ratio of non-performing loans (and, in particular, that of Bad loans) is due to the deconsolidation of the non-performing loans sold as part of the “Fantino” sale transaction, characterised by coverage levels above the average value.

The coverage ratio for non-performing loans was up also compared to 31 December 2021 (47.9%) as a result of an increase in the coverage ratio of Bad loans (from 63.7% to 65.1%) and unlikely-to-pay exposures (from 36.7% to 37.5%); the coverage ratio of Non-performing past due loans remained stable at 22.7%.

Change in gross exposures

	abs/%	Bad loans	Unlikely to pay	Non performing past due exposures	Total Non-performing loans to customers	Performing loans	Total
Q/Q	abs.	(584.9)	(207.7)	(8.7)	(801.3)	(1,489.2)	(2,290.5)
	%	-31.2%	-9.6%	-16.0%	-19.5%	-1.9%	-2.8%
Y/Y	abs.	(448.2)	(342.4)	(14.9)	(805.5)	(2,683.3)	(3,488.8)
	%	-25.7%	-14.9%	-24.5%	-19.6%	-3.5%	-4.3%

Changes in coverage ratios

	Bad loans	Unlikely to pay	Non performing past due exposures	Total Non-performing loans to customers	Performing loans	Total
Q/Q	-5.1%	-2.3%	-3.7%	-5.4%	0.0%	-0.7%
Y/Y	1.4%	0.9%	0.0%	0.2%	0.0%	-0.3%



Other financial assets/liabilities

As at 31 December 2022, the Group's **Securities Assets** amounted to **EUR 18.4 bn**, down from 30 September 2022 (EUR -1.4 bn) as a result of the decrease in Financial Assets held for trading, attributable in particular to the subsidiary MPS Capital Services. On the other hand, securities at amortised cost, mainly held in the Parent company's banking book, increased (EUR +1.0 bn); the other components were substantially stable. Note that the market value of the securities in Loans to customers at amortised cost is EUR 8,131.6 mln (with implicit capital losses of around EUR 954.6 mln) and the market value of the securities in Loans to banks at amortised cost is EUR 620.6 mln (with implicit capital losses of roughly EUR 56.8 mln).

The aggregate also decreased compared to 31 December 2021 (EUR -3.7 bn) in relation to the decrease in both the trading component attributable, in particular, to the subsidiary MPS Capital Services, and the fair value component with an impact on comprehensive income of the Parent company.

On-balance-sheet financial liabilities held for trading, referring in particular to the subsidiary MPS Capital Services, amounted to **EUR 2.6 bn** as at 31 December 2022 and were up compared to 30 September 2022 (at EUR 2.4 bn) and down compared to 31 December 2021 (at EUR 3.1 bn).

As at 31 December 2022, the **Net position in derivatives, with a positive amount of EUR 1,691 mln**, was down from 30 September 2022 (positive position of EUR 1,744 mln) and up from 31 December 2021 (negative position of EUR 255 mln).

Items	31 12 2022	30 09 2022	31 12 2021	Chg. Q/Q		Chg. Y/Y	
				Abs.	%	Abs.	%
Securities assets	18,393.6	19,794.3	22,127.1	(1,400.7)	-7.1%	(3,733.5)	-16.9%
<i>Financial assets held for trading</i>	<i>3,962.9</i>	<i>6,210.0</i>	<i>6,790.9</i>	<i>(2,247.1)</i>	<i>-36.2%</i>	<i>(2,828.0)</i>	<i>-41.6%</i>
<i>Financial assets mandatorily measured at fair value</i>	<i>314.8</i>	<i>316.8</i>	<i>322.6</i>	<i>(2.0)</i>	<i>-0.6%</i>	<i>(7.8)</i>	<i>-2.4%</i>
<i>Financial assets measured at fair value through other comprehensive income</i>	<i>4,352.3</i>	<i>4,521.2</i>	<i>5,460.7</i>	<i>(168.9)</i>	<i>-3.7%</i>	<i>(1,108.4)</i>	<i>-20.3%</i>
<i>Financial assets under disposal</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>n.m.</i>	<i>0.0</i>	<i>n.m.</i>
<i>Loans to customers measured at amortised cost</i>	<i>9,086.2</i>	<i>8,037.2</i>	<i>8,811.6</i>	<i>1,049.0</i>	<i>13.1%</i>	<i>274.6</i>	<i>3.1%</i>
<i>Loans to banks measured at amortised cost</i>	<i>677.4</i>	<i>709.1</i>	<i>741.3</i>	<i>(31.7)</i>	<i>-4.5%</i>	<i>(63.9)</i>	<i>-8.6%</i>
On-balance-sheet financial liabilities held for trading	(2,567.2)	(2,362.2)	(3,104.1)	(205.0)	8.7%	536.9	-17.3%
Net positions in derivatives	1,690.7	1,744.1	(254.5)	(53.4)	-3.1%	1,945.2	n.m.
Other financial assets and liabilities	17,517.1	19,176.2	18,768.5	(1,659.1)	-8.7%	(1,251.4)	-6.7%

Items	31 12 2022		30 09 2022		31 12 2021	
	Securities assets	On-balance-sheet financial liabilities held for trading	Securities assets	On-balance-sheet financial liabilities held for trading	Securities assets	On-balance-sheet financial liabilities held for trading
Debt securities	17,800.4	-	19,230.6	-	21,508.3	-
Equity instruments and Units of UCITS	593.2	-	563.7	-	618.8	-
Loans	-	2,567.2	-	2,362.2	-	3,104.1
Total	18,393.6	2,567.2	19,794.3	2,362.2	22,127.1	3,104.1



Interbank position

As at 31 December 2022, the **net interbank position** of the Group stood at **EUR 7.0 bn** of net funding, against EUR 8.4 bn of net funding as at 30 September 2022. The decrease is linked to the maturity on 21 December 2022 of the tranche of TLTRO obtained in the December 2019 auction, equal to EUR 4 bn, and the simultaneous early repayment of a further EUR 6 bn from the tranche obtained in the auction of June 2020; these repayments led to a decrease in current accounts and sight deposits with central banks (EUR -4.5 bn) and loans to central banks (EUR -3.8 bn).

Compared to 31 December 2021 (which saw a net interbank position of EUR 6.0 bn of net funding), the change of around EUR 1 bn is mainly due to the reduction in loans to banks. With regard to transactions with central banks, it should be noted that the reduction in liquidity represented by loans to central banks and current accounts and sight deposits with central banks, amounting to EUR 10 bn on an annual basis, is offset by an equal reduction in deposit from central banks as a result of the aforementioned TLTRO repayments.

Interbank balances				Change Q/Q		Change Y/Y	
	31/12/22	30/09/22	31/12/21	Abs.	%	Abs.	%
Loans to banks	1,950.1	2,715.5	3,493.3	(765.4)	-28.2%	(1,543.2)	-44.2%
Deposits from banks	2,205.9	2,589.8	2,125.1	(383.9)	-14.8%	80.8	3.8%
Current accounts and demand deposits with banks (cash)	1,367.0	937.7	1,006.4	429.3	45.8%	360.6	35.8%
Net position with banks	1,111.2	1,063.4	2,374.6	47.8	4.5%	(1,263.4)	-53.2%
Loans to Central banks	628.1	4,426.4	20,769.7	(3,798.3)	-85.8%	(20,141.6)	-97.0%
Deposits from Central banks	19,176.9	28,931.7	29,154.8	(9,754.8)	-33.7%	(9,977.9)	-34.2%
Current accounts and demand deposits with Central banks (cash)	10,475.7	15,001.7	11.5	(4,526.0)	-30.2%	10,464.2	n.m.
Net position with central banks	(8,073.1)	(9,503.6)	(8,373.6)	1,430.5	-15.1%	300.5	-3.6%
Net interbank position	(6,961.9)	(8,440.2)	(5,999.0)	1,478.3	-17.5%	(962.9)	16.1%

At the end of December 2022, the operational liquidity position showed an **unencumbered Counterbalancing Capacity** equal to roughly **EUR 25.5 bn**, down slightly compared to 30 September 2022 (equal to EUR 26.0 bn) and substantially stable compared to 31 December 2021 (equal to EUR 25.4 bn).

Other assets

Item **Other assets** includes the tax credits related to the “Rilancio” Italian Law Decree, which has introduced tax incentives for specific energy and anti-seismic efficiency initiatives, the installation of photovoltaic systems and infrastructure for recharging electric vehicles in buildings (“Superbonus”).

As at 31 December 2022, the nominal value of the total tax credits acquired amounted to EUR 882.6 mln. Taking into account credits offset until this point, totalling EUR 72.7 mln, the residual nominal amount as at 31 December 2022 came to EUR 809.9 mln. The corresponding carrying amount, recognised in the balance sheet item “130. Other assets” at amortised cost, which takes into account the acquisition price and the net amounts accrued as at 31 December 2022, was EUR 738.2 mln.

It should also be noted that, as at 31 December 2022, the Group had received requests for the sale of these receivables for a total amount of approximately EUR 3.4 bn, currently being assessed/processed.

The total amount of receivables purchased, taking into account the transfer requests in progress, is in line with the estimate of the total tax capacity or the tax/contribution payments that the Group plans to make and that are available for offsetting with the tax credits from “Building Bonuses”.



Shareholders' equity

As at 31 December 2022, the Shareholders' equity of the Group and non-controlling interests was roughly EUR 7.8 bn, an increase of EUR 2.5 bn compared to 30 September 2022, mainly due to the capital increase successfully completed in November 2022.

Compared to 31 December 2021, the Group's equity and non-controlling interests increased by EUR 1.6 bn, attributable to: i) the capital strengthening transaction completed in November 2022; ii) the reduction in valuation reserves; iii) the net loss posted in 2022.

Reclassified Consolidated Balance Sheet							
Equity	31 12 2022	30 09 2022	31 12 2021	Chg Q/Q		Chg Y/Y	
				Abs.	%	Abs.	%
Group Net Equity	7,797.6	5,304.1	6,172.7	2,493.5	47.0%	1,624.9	26.3%
a) Valuation reserves	(235.7)	(203.3)	306.8	(32.4)	15.9%	(542.5)	n.m.
d) Reserves	784.6	913.8	(3,638.6)	(129.2)	-14.1%	4,423.2	n.m.
f) Share capital	7,453.4	4,954.1	9,195.0	2,499.3	50.4%	(1,741.6)	-18.9%
g) Treasury shares (-)	-	-	-	-	0.0%	-	0.0%
h) Net profit (loss) for the year	(204.7)	(360.5)	309.5	155.8	-43.2%	(514.2)	n.m.
Non-controlling interests	0.9	1.3	1.3	(0.4)	-30.8%	(0.4)	-30.8%
Shareholders' equity of the Group and Non-controlling interests	7,798.5	5,305.4	6,174.0	2,493.1	47.0%	1,624.5	26.3%



Capital adequacy

Regulatory capital and statutory requirements

As a result of the conclusion of the SREP conducted with reference to the figures as at 31 December 2020 and also taking into account the information received after that date, with the submission on 2 February 2022 of the 2021 SREP Decision, the ECB asked the Parent Company to maintain, effective 1 March 2022, a consolidated TSCR level of 10.75%, which includes 8% as a Pillar 1 minimum requirement ("P1R") pursuant to art. 92 of the CRR and 2.75% as Pillar 2 additional requirement ("P2R"), which must be respected at least for 56.25% with CET1 and at least 75% with Tier 1.

With regard to Pillar II Capital Guidance (P2G), the ECB expects the Parent Company to adapt, on a consolidated basis, to a requirement of 2.50%, to be fully met with Common Equity Tier 1 capital in addition to the overall capital requirement (OCR). Failing to comply with this capital guideline is not, at any rate, equivalent to failing to comply with the capital requirements.

Lastly, it should be noted that as of 1 January 2019 the Capital Conservation Buffer has been 2.5%, and effective 1 January 2022 the Group is required to comply with the O-SII Buffer equal to 0.25%, having been identified by the Bank of Italy as a systemically important institution authorised in Italy for 2022 as well.

Accordingly, the Group must meet the following requirements at the consolidated level as at 31 December 2022:

- CET1 Ratio of 8.80%;
- Tier 1 Ratio of 10.82%;
- Total Capital Ratio of 13.51%.

These ratios include, in addition to the P2R, 2.5% for the Capital Conservation Buffer, 0.25% for the O-SII Buffer, and 0.008% for the Countercyclical Capital Buffer.²⁶

Please note that for the 2021 SREP, the Parent Company received the SREP Decision 2022, which does not contain significant changes to the quantitative prudential requirements of the 2021 SREP Decision. Specifically, it is indicated that the Parent Company must maintain, effective 1 January 2023, a consolidated TSCR level of 10.75%, unchanged compared to 2022, which includes 8% as a Pillar 1 minimum requirement pursuant to art. 92 of the CRR and 2.75% as Pillar 2 additional requirement, which must be respected at least for 56.25% with CET1 and at least 75% with Tier 1. Moreover, with regard to Pillar II Capital Guidance (P2G), the ECB expects BMPS to maintain, on a consolidated basis, a requirement of 2.50%, also unchanged compared to 2022, to be fully met with Common Equity Tier 1 capital, in addition to the overall capital requirement.

²⁶ Calculated considering the exposure as at 31 December 2022 in the various countries in which MPS Group operates and the requirements established by the competent national authorities



As at **31 December 2022**, the Group's level of capital on a transitional basis was as shown in the following table:

Categories/Values	31 12 2022	31 12 2021	Chg. 31 12 2021	
			Abs.	%
OWN FUNDS				
Common Equity Tier 1 (CET1)	7,601.2	5,991.8	1,609.4	26.86%
Tier 1 (T1)	7,601.2	5,991.8	1,609.4	26.86%
Tier 2 (T2)	1,772.2	1,713.3	58.9	3.44%
Total capital (TC)	9,373.4	7,705.1	1,668.3	21.65%
RISK-WEIGHTED ASSETS				
Credit and Counterparty Risk	33,013.9	33,556.8	(542.9)	-1.62%
Credit valuation adjustment risk	497.1	556.6	(59.5)	-10.69%
Market risks	2,026.8	2,724.1	(697.3)	-25.60%
Operational risk	10,148.4	10,949.4	(801.0)	-7.32%
Total risk-weighted assets	45,686.2	47,786.9	(2,100.7)	-4.40%
CAPITAL RATIOS				
CET1 capital ratio	16.64%	12.54%	4.10%	
Tier1 capital ratio	16.64%	12.54%	4.10%	
Total capital ratio	20.52%	16.12%	4.39%	

Compared to 31 December 2021, CET1 increased by a total of EUR 1,609 mln, essentially due to the following:

- the share capital increase transaction concluded on 4 November 2022, the effect of which, net of costs incurred and directly reduced in equity, was equal to EUR +2,374 mln;
- the loss for the year of EUR -205 mln;
- decrease in the balance of the Other Comprehensive Income reserve, for a total of EUR -543 mln, due in particular to the decline in valuation reserves of debt securities;
- increase in deductions associated with prudential filters and DTAs (EUR -63 mln), decrease in deductions associated with securitisations and intangible assets (EUR +13 mln), as well as the decrease in non-exempt deductions relating to significant financial investments and DTAs (EUR -305 mln);
- decline in the neutralisation of the impact of IFRS 9 connected to the first-time adoption of the accounting standard as set forth in Regulation (EU) 2017/2935 (inclusive of the negative effect of the relative DTAs), equal to a total of EUR -343 mln, attributable to the transition of the filter from 50% to 25%;
- increase of EUR +60 mln in the prudential filter relating to the Other Comprehensive Income Reserve on securities issued by governments or central administrations, despite the decrease of the filter from 70% to 40%;
- decrease of the additional deduction on CET1 (pursuant to art. 3 of the CRR Regulation) carried out to implement the minimum coverage requirements for non-performing loans in accordance with the ECB Guidelines (equal to EUR +18 mln).

Tier 2 rose by EUR +59 mln compared to the end of December 2021, due primarily to the increase in the contribution to Tier 2 of the excess value adjustments over expected losses.

The Total Capital Ratio therefore reflects an overall increase in own funds of EUR +1,668 mln.

RWAs decreased by EUR 2.1 bn. In particular, there was a reduction in RWAs relating to credit and counterparty risk (EUR -0.55 bn), due to a reduction in the AIRB credit (EUR -1 bn) partially offset by the increase in standard credit. There was also a significant reduction in market risks (EUR -0.7 bn) and operational risks (EUR -0.8 bn) and a slight reduction in CVA risk (EUR -60 mln).



As at 31 December 2022, the Parent Company, on a consolidated basis, met all capital requirements, including those related to the P2G.

As regards the regulatory developments regarding capital requirements, in relation to the revision of internal models, in the course of the first quarter of 2023 an overall increase of roughly EUR 4 bn is expected in RWAs, linked to the re-estimation of models for full alignment with the EBA Guidelines (EBA-GL-2017-16) carried out in the course of 2021, subject to review by the ECB in 2022.

As at 31 December 2022 the Group, on a transitional basis, had a 5.8% leverage ratio, higher than the regulatory minimum of 3%.

MREL Capacity

Pursuant to art. 45 of Directive 2014/59/EU, as amended, banks must at all times respect a minimum own funds and eligible liabilities (MREL) requirement in order to ensure that, in the event of application of the bail-in, they have sufficient liabilities to absorb losses and to ensure compliance with the Tier 1 Capital requirement envisaged for authorisation to carry out banking activities, as well as to generate sufficient trust in the market.

On 18 February 2022, the Parent Company received from the Bank of Italy, in its capacity as Resolution Authority, the decision SRB/EES/2021/177 of the Single Resolution Committee on the calculation of the minimum requirement for own funds and eligible liabilities ("2021 MREL Decision").

Starting from 1 January 2024, the Parent Company will need to respect an MREL of 23.32% in terms of MREL (Total Risk Exposure Amount) on a consolidated basis, to which the Combined Buffer Requirement (CBR) applicable at that date will be added, and 7.22% in terms of LRE (Leverage Ratio Exposure). In addition, there are subordinated MREL requirements, which must be met with own funds and subordinated instruments, equal to 17.34% for TREA, plus the CBR applicable on that date, and 7.22% for the LRE.

Starting from 1 January 2022, during the transition period, the Parent Company needs to respect an intermediate MREL on a consolidated basis of 18.95% in terms of TREA, to which the CBR (equal to 2.76% at 31 December 2022) is added, and 6.22% in terms of LRE (intermediate MREL requirement). In addition, there are subordinated MREL requirements ("MREL subordination requirement"), which must be met with own funds and subordinated instruments, equal to 13.5% for TREA, plus the CBR applicable on that date, and 6.22% for the LRE.

As at 31 December 2022, the Group had exceeded the minimum requirements of the MREL Decision 2021 for 2022:

- an MREL capacity of 25.97% in terms of TREA and 9% in terms of LRE ("Leverage ratio exposure measure"); and
- an MREL subordination capacity of 20.52% in terms of TREA and 7.11% in terms of LRE.

It should be noted that by letter dated 8 December 2022, the Parent Company received from the SRB the Draft MREL Decision 2022, which sets the new MREL requirements on the basis of the data as at 31 December 2021. More specifically it is stated that, starting from 1 January 2024, the Parent Company will need to respect an MREL of 23.77% in terms of TREA on a consolidated basis, to which the Combined Buffer Requirement (CBR) applicable at that date will be added, and 6.29% in terms of LRE. In addition, there are subordinated MREL requirements, which must be met with own funds and subordinated instruments, equal to 16.38% for TREA, plus the CBR applicable on that date, and 6.29% for the LRE. For 2023, when the requirements will be informative and non-binding, the Parent Company will have to comply with an interim target ensuring linear growth towards the 1.1.2024 requirement.

In this regard, please note that the Group's funding strategies aim to guarantee - as concerns public bond issue plans in particular - the constant fulfilment of MREL requirements.



Tax position of Group

Net deferred tax assets (net DTAs)

As at 31 December 2022, the Group's situation was as follows:

DTAs	Recognised on balance sheet as at 31 12 2022	%	Not-recognised on balance sheet as at 31 12 2022	%	Total potential DTAs as at 31 12 2022	%
Convertible DTAs law 214/2011	576.9	38.50%		0.00%	576.9	11.80%
Non convertible tax losses	107.3	7.20%	3,240.80	95.40%	3,348.10	68.40%
Excess ACE*	131.5	8.80%	2.1	0.10%	133.6	2.70%
Other non -convertible	682.5	45.60%	155.7	4.60%	838.2	17.10%
	1,498.10	100.00%	3,398.60	100.00%	4,896.80	100.00%

*Allowance for Corporate Equity

The values of deferred tax assets are presented net of offsetting deferred tax liabilities

A brief description is provided below of the main characteristics of each of the net DTA macro-categories shown in the table.

- **Convertible DTAs Italian Law 214/2011:** refers to DTAs attributable to write-downs of loans to customers (recognised through 2015 and not yet deducted), amortisation of goodwill and other intangible assets that emerged as a result of extraordinary corporate reorganisation transactions, as well as tax losses originating from the reversal of the DTA types mentioned above; these DTAs can be converted into tax credits in the event of a loss for the year and/or tax loss or liquidation of the company. For this reason, the recovery of these convertible DTAs is certain, regardless of the company's income capacity, and therefore are fully recognised in financial statements (the probability test is automatically satisfied). For purposes of calculating own funds, these DTAs are not subject to deduction from CET1 and are included in the RWA with 100% weighting.

- **Non-convertible DTAs from tax losses:** DTAs on ordinary tax losses (not convertible into tax credits) that can be recognised in financial statements up to the estimated recoverable limit based on the estimated future income generating capacity (probability test). According to governing tax legislation, tax losses can be carried forward as an offset for taxable profit from subsequent financial years without limit (there is no end date). For this reason, the DTAs that do not currently meet the conditions for recognition may be recorded in subsequent financial statements should the Group's income generating capacity increase with respect to the current situation. For purposes of calculating own funds, the amount relating to these DTAs recognised in financial statements, net of the relative share of DTLs, is deducted from CET1.

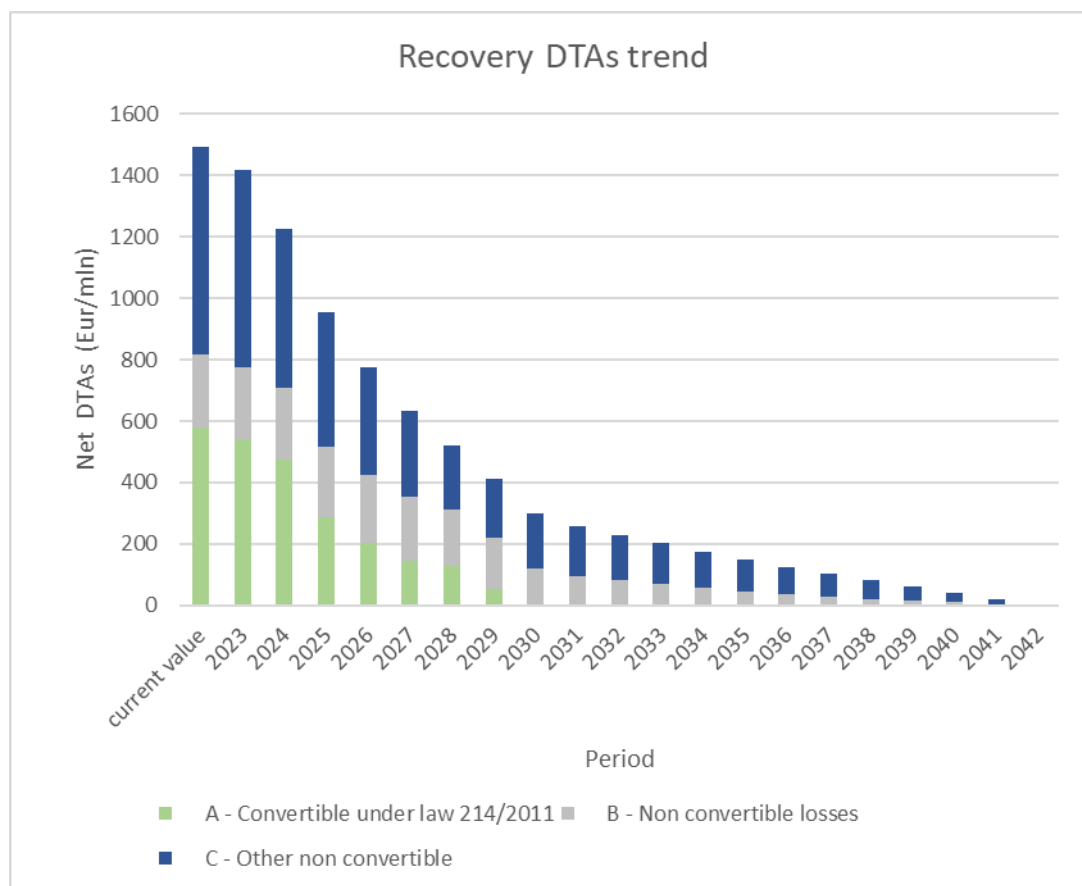
- **Excess ACE DTAs:** DTAs on ACE deductions not used in previous financial years due to the lack of taxable income. As regards the recognition in financial statements and the possibility of unlimited carry-over, as well as the treatment for purposes of calculating own funds, the same considerations set out for non-convertible DTAs from tax losses apply.

- **Other non-convertible DTAs:** DTAs attributable to cases other than those previously described, for example, from negative valuation reserves (valuation reserves on FVTOCI securities, reserves on hedging instruments in cash flow hedge, etc.) from provisions for risks and charges, from loan adjustments and losses other than those pursuant to Italian Law 214/2011 (resulting from the FTA of IFRS 9, adjustments to loans to banks, guarantees and commitments, etc.), from write-downs of property, plant and equipment, and from non-deductible personnel expenses (employee severance pay and pension funds), etc. DTAs in this category are also recorded in financial statements up to the estimated recoverable limit based on the estimated future income capacity (probability test), but, as they can be offset with positive future income as a priority with respect to tax and ACE losses, they are subject to lower risk of not being recognised in financial statements. For purposes of calculating own funds, the amount relating to these DTAs recognised in financial statements, net of the relative share of DTLs, is deducted from CET1 for the portion that exceeds 10% of the CET1 that is obtained after applying the prudential filters and all deductions other than those for other non-convertible DTAs, any deductions in excess of the AT1 capital instruments and deductions in qualified equity investments in financial businesses. Amounts not deducted as a result of the 10% exemption of significant investments in CET 1 capital instruments of financial institutions and other net non-convertible DTAs are deducted only for the portion that exceeds 17.65% of the CET 1 that is



obtained after applying the prudential filters and all deductions. Amounts not deducted as part of the exemptions are included in the RWA with 250% weighting.

The following timing is estimated for the recovery of the aforementioned DTAs recognised in financial statements:



The amount of DTAs recognised in financial statements in general may be subject to fluctuations, even substantial, between one financial year and the next, since the related measurement process is based also on variables often outside the company's control, each of which is capable of significantly influencing future taxable income, which is the extent to which the DTAs can be recognised.

This applies in particular to MPS Group, which has significant tax losses that were accumulated in previous financial years and at the same time has made equally significant increases in its capital endowment (share capital increases) which entitle it to the tax credit as an incentive for capitalisation (ACE).

The combination of these two conditions, in particular, is an important factor behind the volatility in the amount of DTAs recognised by MPS Group in recent financial years. From an accounting perspective, the effect on DTAs from losses must be accounted for with immediate effect, since these DTAs have already accrued, while the effect of the ACE must be accounted for in each financial year in which the benefit accrues.

Another factor that determines the volatility of the amount of DTAs recognised is the revision of the profit forecasts, which obviously must take into account the general economic scenario, in addition to the Group's internal situation.

The estimate of taxable income for future financial years was based on the expected evolution of the Group's income statements as part of the new income projections included in the 2022-2026 Business Plan, approved by the Parent Company's Board of Directors on 22 June 2022. However, it should be noted that, for a prudential perspective, for the purposes of the probability test, the economic results of 2025 and 2026 outlined in the aforementioned Business Plan, limiting the positive evolution expected for future years to that resulting from the data forecast for 2024; for the estimation of taxable income for the financial years after 2026, it was then assumed, for each year of the valuation horizon starting from 2027 onwards, a growth compared to the economic result expected for the immediately preceding year.



For further information, please refer to paragraph 11.8 “Other information” of the Notes to the consolidated financial statements - Part B - Information on the balance sheet in these financial statements.

Prior years' tax losses and ACE benefit

Prior years' tax losses from MPS tax consolidation amounted to EUR 12.3 bn. The ACE benefit for MPS Group is calculated on share capital increases made from 2011 through the current financial year of EUR 21.0 bn but within the limits of the book value of equity at the end of the financial year of each company that benefited from the aforementioned share capital increases and net of sterilisations required by law.

Based on this situation, applying the incentive's notional return coefficient currently established at 1.3%, it is estimated that MPS Group will be able to benefit, for each of the coming financial years and until the repeal of the regulation in question, of a deduction from taxable income for IRES (corporate income tax) purposes of approximately EUR 120 mln.

DTA fee

With specific reference to convertible DTAs pursuant to Italian Law 214/2011, the companies participating in the tax consolidation of MPS Group have chosen, through the Parent Company, the system envisaged by art. 11 of Italian Law Decree 59/2016.

Recall that this regulation established that to continue applying the existing rules on converting deferred tax assets into tax credits (pursuant to Italian Law 214/2011), companies must have exercised a specific irrevocable option and pay an annual fee with respect to each of the financial years from 2016 and subsequently, if the conditions exist, until 2030. The fee for a given financial year, in this period, is determined by applying the 1.5% rate to a tax base calculated, with reference to the data resulting from the financial statements of the previous financial year, as the sum of the difference between the convertible DTAs recorded under assets and the corresponding DTAs recognised in the 2007 financial statements and the total amount of conversions into tax credits carried out, net of taxes paid in the manner provided for by the relevant published decree. This fee is deductible for income tax purposes in the financial year when the payment is made. The amount of the fee paid in 2022 was approximately EUR 63 mln. A slow decrease in the amount of the fee due is estimated for subsequent financial years, given that MPS Group will be in a position of paying relatively low taxes, given the large amount of past tax losses and future accrued ACE deductions.

Note that, against the commitment to pay the aforementioned fee, the participation of MPS Group in the option pursuant to art. 11 of Italian Law Decree 59/2016 guarantees the right to convert DTAs into tax credit referred to in Italian Law 214/2011 when the conditions envisaged by the law are met.

Current Tax Assets

As at 31 December 2022, the Group's current tax assets amounted to EUR 718 mln. Part of this amount, namely EUR 272 mln (amount net of value adjustments of EUR 17 mln), is represented by tax credits that have already been claimed for refund, which therefore generate interest to the extent envisaged by the specific applicable tax law provisions (for income tax at 2% annually). Other current tax assets, equal to EUR 446 mln, are represented by (non-interest bearing) tax credit available for use in offsetting future tax payables and include tax credits originating from DTA conversion (pursuant to Italian Law 2014/2011 and art. 55 of Italian Law Decree 18/2020), equal to EUR 313 mln, as well as IRAP (regional tax on production) credits generated by the conversion of excess ACE for EUR 97 mln.

VAT Group

The 2022 financial year was the fourth year of validity of the “MPS VAT Group”. With reference to the 2022 tax period, the MPS VAT Group includes the following 10 companies: Banca Monte dei Paschi di Siena S.p.A., Cirene Finance S.r.l., Consorzio Operativo Gruppo Montepaschi S.c.p.A., G. Imm. Astor S.r.l., Monte dei Paschi di Siena Leasing & Factoring S.p.A., Monte Paschi Fiduciaria S.p.A., MPS Capital Services Banca per le Imprese S.p.A., MPS Covered Bond S.r.l., MPS Covered Bond 2 S.r.l., Wise Dialog Bank S.p.A. (Widiba). As from 1 January 2023, the company Consorzio Operativo Gruppo Montepaschi S.c.p.A. no longer participates in the MPS VAT Group following the incorporation into the Parent Company, effective from 5 December 2022.

These companies constitute a single entity for VAT purposes, attributable to the “representative” (the Parent Company), with the attribution of a single, new VAT number. As a result:

- all transactions between these companies are, as a rule, not relevant for VAT purposes, although some transactions between separate activities continues to be relevant;



- all legal obligations (settlement, payment, annual VAT return, and periodic communications) as well as the administrative (and criminal) liability are centralised within the Parent Company.

With regard to liability profiles, the other parties belonging to the VAT Group, on the other hand, are jointly and severally liable for the payment of tax, interest and penalties, regardless of the party to which any alleged violation is specifically attributable.

Tax disputes

For further information relative to tax disputes, please refer to “Section E of the Notes to the consolidated financial statements - 1.5 Operational Risks, “Main types of legal, employment law and tax risks”.



Research, Development and Innovation

The Group's Research, Development and Innovation activity is constantly focused on finding customer-oriented solutions with the aim of identifying breakthrough technologies and systems to improve processes and services through the adoption of increasingly efficient management and interaction models.

The potential offered by technological innovation, favouring the automation of the customer-bank transactions from a self-service perspective, requires a continuous review of internal processes with the consequent management of a real "innovation strategy". In this context, the Information Technology function is particularly important, as its objectives are the implementation of IT projects for the Business and the simultaneous governance of the evolution of architecture and technological innovation.

- The Information Technology activities are oriented towards the maintenance and development of the Information System with a view to centralizing IT services at Group level, and are carried out in line with the Group strategies and with the recommendations issued by the Supervisory Bodies. During 2022, the Information Technology Function has carried out all the preparatory developments for the implementation of the 2022-2026 Group Business Plan: i) review of the Central Management Department with a focus on the reference markets and product Functions; ii) optimisation of the operating machine; iii) simplification of the supply chain with strengthening of regional control structures; iv) centralisation of the activities with the Central Management Department; v) reconfiguration of the Credit Performing Function, also through the evolution of the Regional Credit Areas with the establishment of Regional Credit Departments distinct by market; vi) merger by incorporation of Consorzio Operativo, with the adaptation of all applications involved (HR Systems, SAP, PPM, Signature Application, Sisifo, GDPR, Business Continuity, Remedy, Teamsite, Portals, MIA, RPA, ITSM, Geca, ALM, APM, Function Catalog).

Below are the most significant project areas for the Business.

- Wealth Management initiatives: release of the ESG Interventions Dashboard, activation of the Remote Collaboration for the Funds and interventions for the management of the capital increase;
- *Consumer Finance*: powering prescoring campaigns and activation of a Remote Collaboration solution;
- Successions Platform: completed the roll-out over the entire network and activated Remote Digital Signature (FDR - Firma Digitale Remota);
- *Mortgage Workflow*: activated the Consap Mortgage Workflow was activated;
- Initiatives in the field of e-money: as part of the project in partnership with Nexi, the migration of Mastercard Debit cards was completed and the migration of POS management is nearing completion. All development interventions for the sale of a new revolving card were carried out;
- Initiatives in the Digital area: continued, on the Digital Branch, with the adoption of new elements and technologies to simplify and rationalise branch activities and guarantee a user experience with high quality and performance standards. The platform was extended to all branches and to the entire Central Management Department of Banca MPS. Launch of the extension on Banca Widiba and FRUENDO.
- Initiatives in the Credit area: Work continued to improve processes (credit facilities and guarantees) and management of loan applications were improved, seeking to minimise disbursement times (Time to Cash) and maintaining robust controls on creditworthiness. For Credit Governance, the PEF application was activated for the Bank Counterparties and the developments for the activation of Credit Monitoring for the new rating models were started. The activation of the Elise Platform within the Parent Company was completed, to cover the offer of commercial products on all service models. The previous platform (FITE) can only be used for stock management.
- Documentary initiatives: as part of the Parent Company's documentation digitisation project, the development of Remote Collaboration has given customers who own Digital Banking and FDR (remote digital signature) the opportunity to sign the documents produced in the branch, creating new business opportunities both with customers who cannot normally visit the branch and with customers residing abroad.

Further projects that support the business include the adoption of Data-Driven and predictive monitoring technology to control the performance and availability of core applications and to provide application business units with a tool to proactively analyse business functions, identify critical issues and take timely remedial action.



Widiba Bank

With regard to 2022, Banca Widiba, in continuity with previous years, has focused its attention on the continuation of Digital Innovation, the evolution of the Business, the efficiency of the Processes, the improvement of the Customer Experience and the continuous attention paid to it in the area of Cyber Security; all this in order to provide its customers and the network of Financial Advisors with platforms of even higher standing and high recognition.

Customer experience

In 2022, Banca Widiba has confirmed its commitment and focus on the delivery of a user-friendly and effective banking experience model: responsive to people's most common sensitivities and behavioural patterns, accessible from different platforms; proactive with respect to the changes imposed by the pandemic situation worldwide; and capable of bringing real benefit to the lives of its customers and also enabling a perceivable improvement in banking processes and offerings. In this sense, the projects for the further development of the App are included, always through new evolved interactions, such as the chat disposition and video call, with the aim of anticipating the trends of the future to translate the requests of customers into an everyday language.

Some numbers on the customer experience for 2022: i) *Rating* 4.85/5, which is the total sum of the various ratings on the different Banca Widiba products given by over 1 million customer judgements; ii) *Net Satisfaction Score*: 96/100. The figure is calculated by adding 4 and 5 star ratings and subtracting 1, 2 and 3 star ratings).

The Widiba App was still the most used channel for bank access, and all the indicators demonstrated its effectiveness: i) approximately 17,000 monthly comments of which 96% positive; ii) 15,200 total comments on IOS and Android stores (+85% yoy); iii) 160,000 active users on the App (+21% yoy); iv) 75.6% *app logins*; vi) 76.23% obtained in the CSAT 2022 *Customer satisfaction*²⁷; 8,5/10 obtained in the CES 2022 – *Customer Effect Score*²⁸.

Cyber Security

On the cyber security side, 2022 was characterised by the intensification of social engineering fraud against customers. This phenomenon saw an immediate reaction by the subsidiary Widiba, setting up specific controls and new solutions to limit and combat these phenomena to protect customers.

2022 was also a year that saw the strengthening of internal processes with respect to the areas of identity management, and control over internal operations.

From the point of view of technological innovation applied to security areas, several initiatives have started, which will be implemented in the course of 2023, to renew the main processes of customer authentication and identification.

Main developments

Digitalisation of branch processes

The drive to digitalise all processes linked to the evolution of Widiba's offer and new products continues in 2022. The work already started in 2021 on the development of after-sales in the credit sector, in view of the growth in customers and products issued, is part of this vision. In 2022, new projects were also carried out to improve the efficiency of digital channel processes, such as the automatic management of maximum limit changes requested by customers or waivers, the media centre, internal control structures and the service offered to the Financial Advisor Network, with a view to streamlining and innovating the processes and services offered.

Use of Electronic ID Card when opening an account

In February 2022, a new recognition method was introduced within onboarding processes, which involves the combined use of NFC reading of the Electronic Identity Card (CIE), Face matching and Liveness Detection. This methodology, which exploits new and innovative solutions, is added to remote recognition with SPID (Public

²⁷ Represents the degree of customer satisfaction with a view to improving the product/service offered. The optimal value is within the range 25% - 50%. Above 50% means that the degree of satisfaction is very positive.

²⁸ This indicator represents how simple it is to use Banca Widiba products, according to customer assessments.



Digital Identity System) and Webcams, to provide maximum flexibility in the solutions available, meeting the different needs of customers.

Once again Banca Widiba reads the country situation and offers solutions that are well suited to the daily lives of customers in a context that sees the growth not only of SPID but also of the CIE.

New homepage on demand

In 2022, Banca Widiba has redesigned its new private homepage, inspired by new trends such as the use of streaming applications (Netflix, Sky, Primevideo, etc.). The use of these apps has increased further over the years, so that an estimated ~20 million people in Italy have an active streaming subscription, with interactions reaching into the billions.

Banca Widiba's objective was to replicate a common and daily experience, such as the use of on-demand streaming, bringing it back into the banking context, so as to simplify the interaction between bank and customer. In this way, the customers have more visibility and immediate access to information relevant to them, which benefits their experience and reduces calls to the subsidiary.

As a result of these improvements, an increase in interaction with bank touchpoints of +7% (yoy) and a positive evaluation of the new interface with an average of 8/10 points were reported.

Dialogue – security outbound calls

The evolution of Dialogue, a new method of interaction with the customer, designed to facilitate remote dialogue, and launched in 2021 for calls by the customer to the subsidiary's support channels, continues. In 2022 Banca Widiba will also launch Dialogue for the bank's calls to customers. In a context of rapid transition to digital with a consequent increase in fraud attempts, Dialogue represents a tool that helps to consolidate a relationship of confidence and trust on the part of the customer. The customer, in fact, contacted by APP ringing is always aware that it is a bank operator contacting him/her.

Accessibility

Inclusiveness is a value, and Banca Widiba works to ensure that all people have the same access to its services.

This is why Banca Widiba firmly believes that the most effective way to continue to improve its services is to listen to the voice of its customers. Analyses, studies and tests are carried out on digital platforms, also with the support of users. All this in order to improve the usability of services and allow everyone to fully experience our ecosystem.

One of the daily challenges of Banca Widiba is to ensure that all customers can use its platforms. The objective is to achieve the accessibility requirements set by the UNI CEI EN 301549 standard (Appendix A) and, in this regard, continuous maintenance of the platforms is carried out and constant updates are made.

In 2022, Banca Widiba, together with the MPS Group, set up an ad hoc working group to plan the necessary projects to increase accessibility.

In particular, activities were carried out on the public site to improve the level of compliance which, to date, has been assessed by an independent third party partner by 85%. For 2023, activities have already been planned for both the site and the app to improve and reduce accessibility problems.

In 2022, Widiba has continued with the process of adapting and evolving the advisory platform (Wise) made available to the network of Financial Advisors through a range of interventions as follows:

Pension Analysis Service

This service, offered by the provider Epheso, allows Widiba and the Financial Advisor to make an assessment of the pension status of clients, with the possibility of making simulations.



Transposition of Regulations relating to the investment area

The *Wise* advisory platform has been upgraded to incorporate a range of regulatory guidelines with the aim of ensuring the bank's compliance with the new requirements and to support Financial Advisors in providing their customers with an advisory service that is closer to their needs and more cutting-edge. In particular:

- ESG - Delegated Regulation EU 2017/565
This is a Regulation aimed at implementing a package of measures to help strengthen the flow of investments towards sustainable activities throughout the European Union.
The changes involved in particular: i) the **customer profiling**, where a specific questionnaire was submitted concerning sustainability interests/needs or preferences; ii) the **Adequacy Model**, for the performance of checks to adequately take into account the instruments that do not reflect the characteristics identified by the customer; iii) the **Reporting**, aimed at complementing the suitability report given to the customer, explaining thereto how the recommendation provided meets its stated sustainability preferences.
- The Replacement of the KIID document (Key investor information document) with the KIID document for PRIIP's products. The European Commission has published new rules for the KIID of PRIIPs (Packaged retail and insurance-based investment products). This change led to the abandonment of the UCITS KIID structure to provide a more transparent, understandable and comparable key information document for the retail investor. The new regulation applies from 1 January 2023. All adjustment activities were carried out in the second part of 2022 to meet the planned date.
- Adjustment to the 2022 Budget Law relating to the maximum limit of the Policies and PIR compliant UCITS
The advisory maximum limit was modified to provide for the new investment limits indicated for the financial products in question.

New Financial Instruments Master data management (EDM)

Interventions were carried out to replace the old Master data management with the new solution chosen by the MPS Group for the internal distribution of master data relating to the financial instruments under custody and UCITS type.

The intervention also aimed to make the information distribution process more efficient.



Outsourced services

The most important contracts for services performed in outsourcing by companies outside the Group are reported below.

Fruendo and Accenture (back-office services)

The outsourcing activity is governed, starting from 26 July 2021²⁹ in a single *master service agreement* (MSA), concerning the provision of back-office services provided by Fruendo in favour of the Parent Company and its subsidiaries.

The services covered by the MSA concern: Branch Assistance; Network Back Office (checks, bank transfers, F24 proxies, CC settlements, document centre, advances on invoices, commercial receipts, bills, transferability, other centralised services); Credit (litigation back office, centralised guarantee management, back-office intermediaries and third-party networks, other centralised credit services); Management of Payment Documents (payable cycle, condominiums and rents, utilities and taxes); Banking investigations, Logistics (post office, clerks and doormen, car fleet); Payment and Correspondent Services (foreign portfolio, correspondents, payment cards, collections, mortgages, inheritance, various services); Group Company Services (Leasing and Factoring back office; Financial Advisors back office, Transferability, Collections and other Widiba Operations).

The MSA expires on 31 December 2031. The Parent Company has the right to withdraw with eighteen months' notice, to be communicated in the first two months of 2023, 2024 and 2028, incurring a penalty.

The fees for the services provided by Fruendo are fixed for the entire contract duration and decrease over time to take into account efficiency and expected technology developments.

Having consolidated its experience following the inclusion in a leading group in the banking operations market, Fruendo was able to quickly adapt its processes to the context of the pandemic without impacting on service levels, and supporting the Parent Company in responding to the new one service needs arising from this emergency situation.

Nexi (payment services)

ATM management for the MPS Group. The outsourcing agreement from 2009 and amended over time concerns the services relating to managing ATM equipment: in particular, maintenance services for ATM terminals, warehouse management, ATM activation and commissioning services and support for maintenance, Help Desk and monitoring.

Provision of payment card management services. The contract for payment card management and payment card acceptance services of MPS Group originated on 25 September 2012 and has been integrated and amended over time. The services provided by Nexi to MPS Group entail the full outsourcing of payment cards.

Interbank Corporate Banking. The agreement for the Interbank Corporate Banking Service - CBI Global Banking Web - was signed on 30 June 2011 and subsequently amended and integrated. The service consists of all IT, technical and operational structures designed to provide the functionalities envisaged in the ABI provisions through the CBI Consortium, in particular:

- payment/collection management (SEPA compliant);
- document, reporting and reconciliation management.

The service establishes a direct channel between the Group's banks and their customers and allows users to:

- receive information relating to the relationships with their banks;
- forward the electronic instructions to the recipient banks.

Prepaid cards. The contract was signed on 31 July 2019 and relates to the outsourcing of the management of Business and Consumer "international" prepaid cards, including IT and Back Office services.

Payment services on international circuits referring to international debit cards. The purpose of the agreement signed in December 2020 is the performance by Nexi Payments, as licensee for the payment circuits, of the activities related to the issue and management of payment services relating to debit cards with international circuits. Starting from 13 January 2021 the placement of international NEXI debit cards began in standalone mode and as of 22 March 2021 as part of package accounts.

²⁹ The original agreement signed on 29 December 2013 with effect from 1 January 2014 between the Parent Company and respectively Fruendo and Accenture, from 26 July 2021 is governed by a single MSA that combines the two previous ones following the acquisition of control of Fruendo by Accenture and subsequent transfer of the latter's contract to Fruendo.



Information on employment law, tax and complaints risks

Information on legal, employment and tax risks

The Group carefully reviews and monitors the risks associated with or connected to legal disputes, i.e. disputes brought before judicial authorities and arbitrators, and out-of-court claims, making specific allocations to provisions risks and charges for disputes and out-of-court claims considered to have a “likely” risk, using statistical or analytical criteria.

The following were pending as at 31 December 2022:

- legal disputes with a total relief sought, where quantified, of EUR 5.8 bn. In particular:
 - approx. EUR 2.2 bn as relief sought regarding disputes for which there is a “likely” risk of losing the case, for which provisions of EUR 0.9 bn have been allocated;
 - approx. EUR 1.9 bn as relief sought attributable to disputes for which there is a “potential” risk of losing the case;
 - approx. EUR 1.7 bn as relief sought in the remaining disputes, for which the risk of losing the case is deemed “remote”;
- out-of-court claims with total relief sought, where quantified, equal to approximately EUR 1.5 bn. In particular:
 - approx. EUR 1.1 bn as relief sought from claims for which there is a “likely” risk of losing the case;
 - approx. EUR 0.4 bn as relief sought in disputes for which there is a “potential” risk of losing the case.

It should be noted that in January a complaint was received through a consultancy company for a total relief sought of EUR 0.7 bn.

The most significant events in 2022 refer to:

- litigation relating to financial information disclosed in the period 2008-2015 (the total relief sought for this type of claim amounts to EUR 3.4 bn and is broken down as follows (figures in mln):

Type of dispute	31/12/22	30/09/22	30/06/22	31/03/22	31/12/21
Civil dispute*	1,591	1,510	769	763	738
Filed civil action claims cp 29634/14**	111	111	111	123	125
Filed civil action claims cp 955/16	158	158	158	158	158
Out-of-court claims ***	1,533	2,247	1,765	825	713
Total relief sought	3,393	4,026	2,803	1,869	1,734

(*) The increase in the relief sought with respect to 31 December 2021 is mainly attributable to a summons served on 3 August 2022 for a total amount of EUR 741 mln, which incorporates the grounds of some out-of-court claims served on the Parent Company in past years for an amount of EUR 522 mln, and a further summons for an amount of about EUR 83 mln served on 31 December 2022.

(**) The decrease in relief sought, with reference to the civil action claims in CP no. 29634/14, is due to the conclusion of settlement agreements with several civil parties.

(***) The increase in relief sought for out-of-court claims filed as at 30 June 2022 is mainly attributable to the mediation requests received and related to the financial information disclosed in the 2008-2015 period, in principal and net of repeated requests. It should be noted that in January 2023, a claim was received, through a consultancy firm, regarding a total relief sought for principal of EUR 0.7 bn concerning the same counterparty that had filed a mediation petition in August 2022, subsequently closed due to inactivity in October of the same year. Considering this event, the total relief sought for out-of-court claims would amount to EUR 2.2 bn.

- dispute regarding bankruptcy claims, compound interest, and interests (total relief sought of EUR 0.4 bn, of which EUR 0.3 bn for a “likely” risk of losing the case) substantially in line with the figure posted as at 31 December 2021.

Risks for tax (an overall relief sought of EUR 0.05 bn, of which EUR 0.01 bn for a “likely” risk of losing the case) and employment law (an overall relief sought of EUR 0.09 bn, of which EUR 0.05 bn for a “likely” risk of losing the case) are also subject to monitoring and evaluation by the competent Group functions, and in the event of disputes with “likely” risk, appropriate allocations are made to the provision for risks and charges.

With regard to other legal risks not attributable to the dispute, please note:

- the action taken by the Parent Company to compensate customers involved in the purchase of diamonds in previous financial years should be noted. As at 31 December 2022, more than twelve thousand requests were received for a total value of approximately EUR 316 mln, almost all of them completed (EUR 5.9



mln of which in the 2022 financial year, covered for the countervalue net of the market value of the stones by the provision for risks and charges set aside in previous financial years). As at 31 December 2022, the transactions completed represented 91.9% of the total volume of diamond offers reported by the Parent Company;

- indemnities are envisaged to be paid to the transferee counterparties of non-performing loan portfolios if the representations and warranties (R&W) issued as part of the transfer transaction turned out not to be true. In this regard, note the securitisation transaction carried out by the Group in December 2017 in favour of Siena NPL which resulted in the cancellation of bad loans for a gross exposure of over EUR 22 bn, whose R&W expired on 31 July 2021. By that date, 10,000 claims had been received for a relief sought of approximately EUR 0.7 bn; of those analysed, amounting to 4,209 claims, with relief sought of approximately EUR 0.6 bn, a limited percentage was assessed as well-founded. Also of note is the “Hydra-M” demerger in 2020 concerning EUR 7.2 bn of gross non-performing loans whose R&W expired on 1 December 2022, the 2019 “Morgana” transaction, which involved EUR 663 mln of gross exposure of non-performing lease secured loans whose representations and warranties were due in October 2021 and finally some transactions involving the transfer of portfolios of unlikely to pay loans, which took place between 2018 and 2020, with a maximum maturity of July 2023. As of 31 December 2022, 230 claims for EUR 106 mln for “Hydra M” were received and reviewed, approximately 450 claims for EUR 3.2 mln for Morgana, of which minority interests were deemed well-grounded, and a single claim for EUR 5.5 mln, relating to approximately 170 positions included in the group of receivables transferred to Illimity S.p.A. within the Fantino Project, which is currently deemed groundless.

For further information, please refer to Section E of the Notes to the consolidated financial statements - 1.5 Operational Risks, “Main types of legal, employment law and tax risks”.

Disclosure on claims

Claims management represents:

- an essential activity in managing the relationship with customers;
- a tool for identifying any critical issues and improving the quality of products/services provided;
- a useful safeguard in protecting the customer, both to encourage amicable resolution of disputes, and to define, in cases where this does not occur, the parties’ positions, conducting an initial investigation before pursuing the dispute in other judicial settings.

The Group makes available to customers, both on its website (www.gruppompis.it) and those of its subsidiaries, and at all branches, information on how to handle complaints - in order to publicise the methods for submitting complaints and the time required for their management - as well as on the main systems for out-of-court resolution of disputes currently available in Italy (known as ADR), to which the Parent Company adheres. These systems are the Arbitro Bancario Finanziario (ABF, i.e. the Banking and Financial Ombudsman), Arbitro per le Controversie Finanziarie (ACF, i.e. the Financial Dispute Arbitrator) and the various mediation entities registered with the Ministry of Justice.

In 2022, more than 7,830 complaints were received at Group level (of which more than 7,130 received by the Parent Company); the main areas of dispute concerned:

- alleged inadequacies in the preventive disclosure provided to customers who performed transactions on equities and bonds, however, dating back to previous years;
- delays in processing of tax credits for building bonuses;
- errors/delays in the execution of transactions on current accounts and mortgages;
- issues related to fraud and losses on cards and payment systems.

In the same period, over 7,570 complaints were processed with an acceptance rate of approximately 22%. The areas with the highest number of customer-friendly outcomes were other loans (due to the issue of processing delays on tax credit transfers for building bonuses), current accounts, home loans and consumer credit.

636 ABF claims were received and recorded during the year, and 599 decisions were made; about 43% were in favour of the Parent Company, rejecting the petitions made by customers, while about 24% recorded favourable results, in whole or in part, to the claimants; the remaining around 33% is represented by disputes which ended with the parties reaching an agreement.



During the same period, 40 ACF claims were received and 82 decisions; about 48% of the latter were in favour of the Parent Company while 51% recorded favourable results for customers; the remaining 1% consists of appeals that have been dismissed by settlement.

After approval of the financial statements, the Parent Company and the subsidiaries publish a report on their websites regarding complaint management, in line with the provisions of the Supervisory Authorities.

Audits

As the Group carries out banking activities and provides investment services, it is subject to comprehensive regulation and supervision, in particular by the ECB, Bank of Italy and CONSOB, each for the respective areas of responsibility. Below are the main activities recently conducted by the Supervisory Bodies:

TRIM (Targeted Review of Internal Models) audit on internal models

TRIM is a multi-year project, launched by the ECB in 2016 and completed in 2019, aimed at assessing the compliance of internal models currently used by banks with regulatory requirements, as well as their reliability and comparability.

From November 2017 to April 2018, the ECB conducted an on-site audit of the credit risk models (TRIM 2939), concerning the controls on the PD and LGD parameters of the retail portfolio. On 21 November 2019, the Parent Company received the ECB Final Decision, containing 21 findings, which was followed by a remediation plan sent by the Parent Company to the ECB on 19 December 2019.

In its letter dated 15 January 2018, the ECB sent feedback to the Parent Company relating to the TRIM General Topics self-assessment phase, in which 7 deviations were identified with respect to the requirements. On 22 March 2018, the Parent Company sent the ECB a response letter indicating the remediation actions, which were then implemented in 2019.

In the period 21 January 2019 - 29 March 2019, the ECB conducted an on-site audit (TRIM 3917) concerning the internal credit risk models for the Parent Company and the Group, with reference to the PD, LGD, and Credit Conversion Factor on corporate and other exposures. On 10 May 2021, the ECB sent to the Parent Company the Final Decision, with which it allows the internal models implemented to assess capital requirements on the portfolio under investigation to continue to be used. The Final Decision also reports ten findings with the related recommendations and obligations to be implemented/fulfilled by certain deadlines. On 31 May 2021, the Parent Company responded by sending a remedial action plan.

As part of the 2021 Model Change process, the Group submitted to the ECB a full review of the AIRB models, on all three PD/LGD/EAD risk parameters, with which it completed the alignment required by the EBA by 1 January 2022 to the Guidelines on PD estimation, LGD estimation and treatment of defaulted assets (EBA-GL-2017-16). In the application package submitted to the supervisory review on 9 November 2021, all remedial actions were implemented to the complaints received on the internal models deriving from the TRIM/IMI held until then and which had remained pending until then.

Audit on internal models - Internal Model Investigation (IMI-2022-ITMPS-0197502)

In February 2022, the ECB launched an on-site inspection for the approval of the authorization request (sent by the Parent Company to the ECB on 9 November 2021) to the material changes for the credit risk models. The material changes relate to the adaptation of the AIRB models (PD and LGD) to the new reference regulatory legislation (EBA/GL/2017/16), to the resolution of the findings that emerged in previous inspections (IMI 2939, TRIM 3917, IMI 4357, IMI 5258 and IMI 4857) and the roll-out of the EAD parameter. The audit activities were completed on 13 May 2022. On 1 March 2023, the Parent Company received the Final Decision with an indication of the obligations to be followed up with an appropriate remedial action plan.

IT risk audit (OSI-2019-3832)

From 26 March 2018 to 26 June 2018, the ECB conducted an on-site audit concerning the IT risk for the Group. On 20 November 2018, the audit report was issued which identified 15 findings having varying degrees of impact, mainly related to IT security, the execution of duties by control functions, the process of managing Business Continuity, the definition of IT strategies, and the organisation in carrying out projects. However, the audit found that the current IT structure of MPS Group can adequately support the requirements within the horizon of the Restructuring Plan.

In August 2019, the Follow-Up Letter was sent, indicating the recommendations associated with the findings discussed in the audit report. In April 2020, the Parent Company notified the ECB that the remedial actions associated with the recommendations made had been implemented within the prescribed timeframe, followed by specific activities aimed at improving IT security and data governance.

Bank of Italy and FIU audit on anti-money laundering

The audit undertaken by the FIU (Financial Intelligence Unit), which began on 8 May 2018 and ended on 28 August 2018, concerned the assessment of procedures implemented to verify potential anomalies relating to the transactions of customers and employees of the Parent Company on a limited number of branches and an analysis of customers identified as potentially linked to money laundering phenomena. The Authority, confirming the occurrence of the unlawful act and the Parent Company's liability for the alleged violation (failure to report suspicious transactions), notified in November 2020 to eight branch managers and to the Bank, jointly and severally, 8 penalty orders for a total amount of EUR 219,612.00, for which the Bank, not considering the merits of the conditions for the imposition of penalties, filed an appeal before the Court of Rome within the legal terms.

In October 2021, the Supervisory Division of the Venice Office of the Bank of Italy carried out inspections at three branches of Banca MPS, mainly aimed at investigating the operations of some cooperative companies subject to insolvency proceedings, active in the goods handling sector.

In August 2022, the Bank of Italy communicated the results of the anti-money laundering branch audit which identified some areas of weakness that resulted in the lack of ability of the branches to intercept the overall pattern of cash transactions of the cooperatives. The aforementioned weaknesses concerned the due diligence and active collaboration process that require the strengthening of the controls in order to identify, characterise and, consequently, address the objective and subjective elements of anomaly in the transactions carried out by the cooperatives, referring to both corporate characteristics and *modus operandi*.

The findings of the Supervisory Authority were duly taken into account and the Bank's response letter, accompanied by the ongoing and planned corrective measures, the contents of which were approved by the Board of Directors, was sent to the Bank of Italy on 20 December 2022.

With reference to the subsidiary Widiba, it should be noted that, in December 2022, the audit in the AML (anti-money laundering) area started on 7 November 2022 for a total duration of 7 weeks. The objective of the audit concerned the assessment of issues relating to the "Verification of the safeguards adopted by the intermediary to mitigate money laundering risks linked to the digital On-boarding process". The areas of assessment were as follows: customer identification methods, customer due diligence, customer profiling, active collaboration, AML controls, fraud and denial complaints.

On 6 March 2023, the subsidiary received the Supervisory Authority's report which highlighted certain requirements for the strengthening of Customer due diligence processes and the improvement of information flows.

Internal governance audit (Deep Dive Internal Governance)

In the period 2018-2019, the ECB conducted a *Deep-Dive* inspection on internal governance with a specific focus on the operating processes of the Parent Company's Board of Directors. In the Follow-up Letter, sent by the ECB on 31 August 2020, the JST highlights the achievement of some areas of improvement compared to what was detected in 2015 during a Thematic Review on the same issue. Nevertheless, five findings were reported essentially relating to the functioning of the Board of Directors and the effectiveness of the supervisory and challenging action by the latter on the Parent Company's management; these indications confirm what had already formulated in the 2019 SREP Decision.

The Board of Directors of the Parent Company has analysed and discussed the contents of this letter, adopting a series of measures and behaviours in line with the recommendations made.



Legal risk audit (OSI-2019-4125)

From 28 January 2019 to 26 April 2019, the ECB conducted an on-site audit concerning the Group's legal risk. In November 2019, the Parent Company received the audit report which formulated 11 findings concerning, inter alia, process governance, aspects of dispute management, monitoring of legal risk, procedures for calculating provisions and activities performed by the internal control function.

On 7 May 2020, the ECB sent the Follow-up Letter with an indication of the recommendations associated with the findings that emerged in the audit report; the Parent Company completed the implementation of the relevant remedial actions by 30 June 2021, in line with the timeframe laid down by the Supervisory Authority.

Interest rate risk audit (OSI-2019-3834)

During the period from 24 June 2019 to 27 September 2019, the ECB conducted a Group-wide on-site audit concerning interest rate risk. On 12 February 2020, the Parent Company received the final version of the audit report with the 6 findings relating to the management processes and to the interest rate risk quantification models. On 21 October 2021, the Parent Company received the Follow-up Letter with an indication of the recommendations associated with the findings that had emerged in the audit report and, subsequently, on 29 November 2021 sent to the ECB the plan of remedial actions to the recommendations made with evidence of the activities already implemented; the remaining activities were completed on 31 December 2022, in line with the specified deadlines.

Bank of Italy audit on banking transparency

On 7 October 2019, Bank of Italy launched an audit to ascertain compliance with regulations on Transparency of transactions and fairness of relations with customers. The inspection was completed on 21 January 2020. The audits were carried out at the Head Office and the Branches of Banca MPS, as well as at Banca Widiba. In particular, for the latter the audit had the purpose of following up on the Remediation Plan resulting from the previous audit in 2018 and the "Rondine" project (migration of some contractual relations from the Parent Company to Widiba).

The in-depth analyses carried out by the Bank of Italy team during the inspection showed the persistence of critical elements and areas for improvement, which can be summarised as follows: 1) undue charges charged to customers for which reimbursements had to be made; 2) the need to strengthen governance with regard to both transparency and protection of all customers; 3) review of compliance processes by extending the terms of engagement of the Compliance Function; 4) strengthening of controls in the product chain and in customer relationship management and protection processes; 5) introduction of automatic controls and development of transparency applications; 6) inadequate positioning of the Complaints department and review of the process of managing them; 7) qualitative-quantitative increase of training courses on transparency and strengthening of qualitative elements on the subject of transparency in personnel assessment processes; 8) strengthening of transparency processes in Widiba and revision / adjustment of the conditions of former MPS customers migrated to the subsidiary (known as "Rondine Customers").

In response to the critical issues identified, during the audit, an Action Plan on Transparency was promptly defined, aimed at strengthening governance, improving the processes and tools for managing relations with customers and monitoring the matters to be part of the various functions involved. The Action Plan, including a specific Reimbursement Plan, was approved by the Board of Directors of the Parent Company at the meeting of 16 January 2020 and delivered to the Bank of Italy team by the end of the audit, accompanied by a similar action plan approved by the Board of Directors of Widiba for the reference areas.

On 12 June 2020, the Bank of Italy presented the findings with a "predominantly non-compliant" assessment and notified with formal claim the start of the sanction procedure for violations subject to administrative sanctions pursuant to art. 144 et seq. of the Consolidated Banking Act (TUB). At the same time, with a note signed by the Governor of the Bank of Italy, it was requested to supplement the remedies plan already started, to be completed by 31 December 2020.

Following the presentation by the Parent Company of its counter-arguments on 11 August 2020, the remedial plan, duly supplemented, was completed. Further refinement/development activities related to the initiatives of the remediation plan were carried out in 2021 and 2022, with only a few revisions to the transparency documentation remaining. Following the corrective actions, reimbursements of around EUR 40 mln were made, of which around EUR 4.5 mln referring to amounts made available to those entitled, holders of contractual relationships transferred to third parties, by means of a notice published in the Official Gazette.



On 6 May 2021, an administrative fine of EUR 2.9 mln was imposed on the Parent Company, pursuant to art. 144 of the TUB, which did not take into account the conduct and practices of Banca Widiba.

On 7 August 2021, the Bank of Italy sent a further notice urging the Parent Company to provide additions and clarifications regarding (i) the mechanisms adopted to guarantee the timely delivery of the European Standardised Information Sheet (ESIS); (ii) the transfer of payment services; (iii) the remuneration of credit lines; and (iv) the application of charges in the event of withdrawal from the current account. In September 2021, the Parent Company provided the required clarifications in relation to which discussions are underway with the Supervisory Authority.

During 2022, activities continued in order to strengthen transparency processes.

Audit on internal models - Internal Model Investigation (IMI 4357 and IMI 5258)

During the months of August and October 2019, the ECB launched two inspections, one off-site (IMI 5258) and one on-site (IMI 4357), for the approval of an application for the authorisation of material changes for the models of credit risk used to determine the capital requirements. The inspections were completed in November 2019. On 10 May 2021, the ECB sent to the Bank the Final Decision on the verifications carried out, authorising the implementation of the requested changes, and also specifying twenty-six findings with the corresponding recommendations and requirements to be implemented/fulfilled within specified deadlines. On 31 May 2021, the Bank responded by sending a plan of remedial actions, many of which have been implemented and submitted to the ECB for approval on 9 November 2021.

In particular, a finding remains open regarding the request to prepare backtesting analyses (i.e. retrospective analyses) on the LGD parameter with a whole-life logic (so-called “single span”). These additional analyses include, for the defaults closed in a given period, the comparison of the value of the LGD parameter assigned at the date of default with the value of the loss observed since that date. This intervention will be completed by the deadline of May 2023.

Audit on the liquidity allocation process and the internal transfer rate (OSI-2019-4356)

In the period 23 October 2019 - 29 January 2020, an on-site audit was carried out on the topic of liquidity allocation and internal transfer rate. On 16 September 2020, the Parent Company received the Report with the results of the audit, in which 10 findings were reported, essentially relating to the measurement of liquidity risk, data quality controls and the FTP framework. On 16 November 2021, the Bank received the Follow-up Letter with an indication of the recommendations associated with the findings that emerged in the inspection report and, subsequently, on 21 December 2021 it sent the ECB the plan of remedial actions to the recommendations formulated with evidence of the activities already carried out. As at 30 September 2022, the remediation plan for all recommendations was completed with the exception of the interventions relating to the performance monitoring system of the Bank's Business Units, which includes the isolation of Treasury and ALM operations as autonomous activities for the purpose of measuring the economic result. In this regard, the Bank has informed the ECB that it will complete this remedial action by 31 March 2023.

Internal governance audit (OSI-2020-4834)

In February 2020, the ECB launched an on-site audit as part of the Internal Governance and Risk Management processes of the Parent Company. On 27 October 2021, the Bank received the Follow-up Letter with indications of four “points of attention”, and related recommendations, referring to Compliance and Internal Audit processes. The remedial action plan was implemented by the first quarter of 2022, in line with the deadlines set by the Supervisory Authority.

Audit of Internal Models under the New Definition of Default - Internal Model Investigation (IMI 4857)

In the November 2020–January 2021 period, the ECB carried out an off-site review of the credit risk models (IMI) began; the checks were aimed at analysing the application model change in the NDOD (New Definition of Default) area. On 22 July 2021, the ECB sent Banca MPS the Final Decision on the audits carried out, authorising the implementation of the changes for the NDOD aspects, also indicating eighteen findings with the related recommendations and obligations to be implemented within certain deadlines. On 20 August 2021, the Parent



Company responded by sending a remedial action plan on the reported obligations. All the findings relating to the “Advanced Internal Rating Based” (“AIRB”) models were resolved with the submission of the 2021 Model Change application to the regulator in the fourth quarter of 2021. On the processes side, there are still two findings to be resolved, one on the systems of the subsidiaries, the other in the field of data quality, whose deadlines have been rescheduled to 30 June 2023, in line with the objectives and timing of the 2022-2026 Business Plan; the ECB approved this extension with a letter of Decision dated 20 January 2023.

Audits on credit portfolio management during the pandemic

In a letter dated 4 December 2020, the ECB informed all banks about the identification and measurement of credit risk in the context of the COVID-19 pandemic. During 2021, the ECB investigations continued to verify the operational capacity of Banca MPS in credit management during the pandemic. In this regards a Targeted Review was also performed on the Food and Accommodation Service sector. The Parent Company subsequently informed the Supervisory Authority on initiatives specific to monitoring credit risk during the pandemic.

Supervisory assessment, implementation plan and ECB Thematic Review on climate and environmental risks

Following the publication of the banking supervision expectations for a robust, effective, transparent and comprehensive approach to climate and environmental risk, the ECB – in a communication dated 21 January 2021 – requested the Group to carry out self-assessment in the first half of the year on compliance with the guidelines formulated and to prepare an implementation plan for the management of climate and environmental risk. The results of the self-assessment were sent to the ECB on 26 February 2021 and subsequently, on 26 May 2021, the implementation plan. On 30 September 2021, the ECB disclosed its assessments, reporting several weaknesses with respect to the self-assessment process and the implementation plan; these aspects will be subject to a specific follow-up.

Still in the area of climate and environmental risks, on 13 January 2022, the ECB sent the outcome of the gap analysis conducted on the Bank with regard to disclosure, pointing out some points of attention, with respect to which a revision of the implementation plan was conducted and a specific project was developed to address the “expectations” relating to the Risk Management framework and disclosure. The project in question, called “ESG Risk Action”, was formally launched on 29 June 2022.

On 18 March 2022 at the request of the ECB, at the opening of the upcoming Thematic Review, a new self-assessment was produced on all expectations on climate and environmental risks, aimed in particular at providing a state of progress of the planning already communicated and any of its revisions.

In fact, the Thematic Review on climate and environmental risks was launched by the ECB in Q1 2022 and continued in Q2 2022. In the related feedback letter (of 29 September 2022), progress was noted on the various planned interventions, which is substantially consistent with the path outlined on the subject, already shared with the ECB, with some points of attention highlighted. The feedback letter highlights shortcomings with respect to which a series of remedial actions are required, to be carried out with different timescales between March 2023 and December 2024. Moreover, to a large extent these remedial actions are covered by the expected deliverables of the Parent Company’s own Plan.

The Parent Company also carried out the 2022 stress test exercise on climate risks, participating as one of the banks that provided the so-called starting points - i.e. the relevant credit and market exposures as a starting point for the simulation - and for which the actual simulations (known as scenario projections) were developed centrally by the ECB.

At the end of the exercise, the Bank reported an overall score of “orange” (on a scale of levels, from best to worst, “green”, “yellow”, “orange” and “red”), in line with the average result of the entire sample of banks.

As represented in the ECB communications launching the Thematic Review as well as the Climate Stress Test, both exercises are not expected to directly reflect on quantitative requirements in the strict sense, however, the outcomes, in a qualitative way, could have an indirect relevance on Pillar 2 through the SREP assessments.

On 3 February 2023, the ECB sent to the Parent Company a letter relating to the results of the analysis conducted on the adequacy of the disclosure provided by the Bank on climate and environmental risks. This letter requires further improvement of its disclosure on climate and environmental risks, recommending suitable actions to address the identified gaps.

*Credit and counterparty risk audit (OSI 0198380)*

On 19 April 2022, the ECB launched an audit on credit and counterparty risk with the aim of i) identifying and quantifying any impairment effects on the portfolios under audit, ii) verifying the IFRS 9 provisioning model for portfolios under review, iii) reviewing the credit classification and provisioning process. The activities were completed in the third quarter of 2022 and the Parent Company received the final audit report in February 2023, and is waiting to receive from the ECB the letter notifying the findings and the related recommendations, in order to define the plan for remedying the shortcomings identified. In spite of this, the new information acquired as a result of dialogue with the inspection team was evaluated and taken into consideration by the Group for the purposes of drafting these financial statements.

Audit procedure of the Antitrust Authority (hereinafter AGCM - Autorità Garante della Concorrenza e del Mercato) on Widiba

In December 2021, AGCM initiated proceedings for (i) misleading commercial practice, with regard to the unilateral manoeuvre that changed the amount of the settlement costs of current account relations and for (ii) aggressive commercial practice with regard to the recognition of interest in the event of the withdrawal of an account holder holding term deposits following a unilateral change by Widiba. On 21 July 2022, AGCM notified it of the decision to close the proceedings. AGCM accepted the commitments presented by Widiba with reference to the two disputed business practices, without ascertaining any offence against the subsidiary. Widiba has fulfilled the commitments undertaken with AGCM by the end of October 2022. In addition, on 19 November 2022, the Compliance Report was filed with AGCM, which summarises all the obligations carried out in implementation of the Measure. AGCM announced that, at the meeting of 13 December 2022, the documentation submitted by the subsidiary was reviewed and that the proceedings were closed, taking note of the measures adopted in execution of the Measure.

Consob Audit on Investment Services

From 3 May 2022 to 17 February 2023, a Consob audit was carried out on the Parent Company, the results of which have not yet been communicated to the Bank. The purpose of the inspection was to ascertain the state of compliance with the new legislation resulting from the adoption of Directive 2014/65/EU (so-called MiFID II) with regard to the following profiles: (i) the procedural arrangement defined in terms of product governance; (ii) the procedures for assessing the adequacy of transactions carried out on behalf of customers.



Regulatory Developments

With reference to the regulatory framework for prudential supervision, on 27 October 2021 the European Commission published a revision of the EU banking rules with the proposal for transposition into Regulation (EU) no. 575/2013³⁰ and in Directive 2013/36/EU³¹ of the standards approved by the Basel Committee at the end of 2017³², with specific reference to the treatment of the main risks (credit, market and operational) and the so-called “output floor” which aims to counteract the possible underestimation of the risk deriving from the use of banks’ internal models. The proposed Regulation COM (2021) 664 (CRR3) and the proposed COM (2021) 663 (CRD6) Directive, the so-called “banking package”, are being reviewed by the European institutions, including:

Credit risk - standardised method (SA-CR):

- introduction of a stricter approach for unconditionally cancellable commitments (UCCs), for which a credit conversion factor (CCF) is to be raised from 0% to 10%, thus leading to a capital absorption;
- revision of the risk weights for exposures in the form of subordinates that go from 100% to 150% and equity exposures that go from 100% to 250%, distinguishing the latter from long-term and riskier speculative investments which are assigned a risk weight of 400%;
- introduction of a standardised credit risk assessment approach for exposures to institutions for which a credit assessment by a chosen ECAI is not available. This method requires banks to classify the aforementioned exposures in one of the three classes (corresponding to different weighting factors) on the basis of quantitative and qualitative criteria defined by the regulator.

However, a long transitional regime (2025-2030) is envisaged, which will allow banks to defer capital impacts.

- Market risk: the implementation of the *Fundamental Review of the Trading Book* (FRTB), so far introduced in Europe (with CRR2) only for reporting purposes, is fully implemented;
- Operational risk: the calculation of the capital requirement must be carried out with a single standardised method applied by all banks (replacing the approach based on the *Advanced Measurement Approach -AMA* internal models), solely on the basis of the size of an entity’s business, ignoring the historical figure of past losses;

Environmental, social and governance risks: the first references are introduced on the issue of climate risks and on how banks and supervisors will have to take them into account with the main objective of further strengthening the resilience of the European banking system, contributing to sustainability with a “green transition” and make the supervisory powers more incisive.

With regard to the approval process of the new banking package, on 8 November 2022 the Council approved its “general approach” for the Regulation and Directive, while on 24 January 2023 the European Parliament approved the final position for the purposes of the start of negotiations with the Council and the European Commission (so-called Trilogue).

Both the Council and the Parliament confirm the positive elements already present in the legislative proposal, such as the neutralisation of previous losses for the purpose of calculating the capital requirement for operational risk. However, the main critical issues included in the new banking package are also confirmed, such as the handling of unconditionally cancellable commitments (UCCs) and their definition and the increase in weighting factors for bank investments in equity. It should also be noted that the general approach of the Council also includes the reintroduction of the “prudential filter” on government bonds until 31 December 2025, providing for 100% full sterilisation for the entire period of application, while the Parliament’s position also includes specific provisions on the temporary handling of securitisations for the purpose of calculating the output floor and on the treatment of crypto assets. These last measures will be discussed in the context of the Trilogue that should take place throughout 2023 and lead to the approval of the final texts of the Regulation and Directive.

The new provisions of the CRR3 should apply from 1 January 2025, while the transposition of the Directive must be carried out within 18 months from the date of publication in the EU Official Journal.

³⁰ As amended by Regulation (EU) 2019/876, CRR2.

³¹ As amended by Directive (EU) 2019/878, CRD5.

³² See Basel III: Finalising post-crisis reforms, December 2017.



New tax regulations

Building Bonus Initiatives

During 2022, there were several regulatory initiatives aimed at modifying the regulations relating to tax deductions recognised for specific activities in the construction sector (so-called “Building Bonuses”), mainly in order to prevent and combat fraud. In particular, the legislator has taken action on the issue of: i) subsidy measures; ii) transfer of credit; iii) credit traceability; iv) liability of the transferee.

Subsidy measures

With regard to the deadlines and the measures of the subsidy, the initiatives concerned:

- the real estate units (so-called autonomous) for which it is envisaged, with the amendment of paragraph 8-bis of Art. 119 of Italian Law Decree no. 34/2020 introduced by Italian Law Decree no. 21 of 21 March 2022 (so-called “Ukraine Decree”), 110% superbonus also for expenses incurred by natural persons by 31 December 2022, provided that as at 30 September 2022, at least 30% of the total works have been carried out; the aforementioned date of 31 December 2022 was then extended to 31 March 2023 with Italian Law Decree no. 176 of 18 November 2022 (so-called “*Aiuti – quater*” Decree); on the same units, starting from 1 January 2023, the deduction covers 90% of the expenses incurred by 31 December 2023, subject to certain conditions;
- condominiums and buildings consisting of 2 to 4 units (even if owned by a single owner or jointly owned by several parties) for which, with the “*Aiuti – quater*” Decree, the deduction percentage was reduced from 110% to 90% for expenses incurred from 1 January 2023.

In order to meet the difficulty of the transferees in offsetting the expiring portions of credits already acquired, with art. 9, paragraph 4 of the “*Aiuti – quater*” Decree, for the tax credits relating to the actions provided for in art. 119 of Italian Law Decree no. 34/2020 (the so-called Superbonus) deriving from the first transfer or discount options communicated to the Italian Revenue Agency by 31 October 2022 and not yet used, the possibility of opting for a breakdown into 10 equal annual instalments (instead of the original 4) has been provided for.

Finally, in Italian Law no. 197 of 29 December 2022 (so-called “2023 Budget Law”), the following cases are identified for which the reduction, starting from 2023, of the incentive from 110% to 90% set forth by the Italian Law Decree “*Aiuti – quater*” is not applied to:

- initiatives other than condominium-related for which, as at 25 November 2022, the certified notice of commencement of work (CILA) was presented;
- initiatives carried out by condominiums for which the condominium meeting resolution that had approved the works was adopted by 18 November 2022 and the CILA was submitted on 31 December 2022;
- initiatives carried out by condominiums for which the approval of the works took place between 19 and 24 November 2022 and the CILA was submitted on 25 November 2022;
- demolition and reconstruction of buildings for which an application to acquire the authorization was submitted as at 31 December 2022.

The extension to 31 December 2025 of the 75% “architectural barriers bonus” was also included, which provides for a specific subsidy for activities aimed at overcoming or eliminating architectural barriers.

Credit transfer

With regard to the regulations on credit transfer pursuant to Art. 121 paragraph 1 of Italian Law Decree 34/2020, the legislator, with the aim of preventing and combating fraud, issued Italian Law Decree no. 4 of 27 January 2022 (so-called “*Sostegni ter*”) by placing limits on the number of transfers of the tax credit in question, providing for:

- the possibility, for the beneficiary of the deduction and the supplier that applied the “discount on the consideration” (first transfer), of transferring the tax credit to any third party, including banks and financial intermediaries,
- the possibility of making two further transfers to the so-called “supervised entities”; subsequently increased to three by the “*Aiuti – quater*” Decree (Art. 9, paragraph 4).



With Italian Law Decree no. 50 of 17 May 2022 (so-called “Aiuti Decree”), the regulations pursuant to art. 121 paragraph 1 of Italian Law Decree 34/2020 introducing the possibility for banks or companies belonging to a banking group of a further transfer (in addition to those described above) in favour of “private professional customers” who have entered into a current account agreement with the bank itself or with the parent bank.

The nullity of contracts entered into in violation of the aforementioned limitations was also included.

Changes introduced by Italian Law Decree no. 11 of 16 February 2023

After 31 December 2022, with Italian Law Decree 11/2023, the possibility of exercising the discount options in the invoice and credit transfer, pursuant to Art. 121, paragraph 1, letter a) and b) of Italian Law Decree 34/2020 starting from 17 February 2023 (date of entry into force of the decree), with the exception of the interventions for which, on a date prior to 17 February 2023, the works have already started or the building permits have already been submitted (where required by the type of intervention) and the necessary condominium’s meeting resolutions have been issued in the case of interventions carried out by the condominiums.

Credit traceability

Also in order to limit cases of fraud involving building bonuses, the circulation of credits was made traceable from the start.

In particular, Art. 28 of the “Sostegni - *ter*” decree prohibited the partial transfer of receivables deriving from the exercise of first transfer options or invoice discounting carried out by means of communications sent to the Italian Revenue Agency as of 1 May 2022, providing for the transfer of a unique identification code to guarantee their traceability.

Liability of the transferee

Regulatory and usual activities have taken place aimed at better defining the responsibility profiles of the transferee.

Circular no. 23/E of 23 June 2022 of the Italian Revenue Agency, in relation to the violation of tax regulations by the supplier or transferee, clarified, for operational purposes, that joint and several liability (with the beneficiary) can emerge in the event of failure to perform the specific “*professional diligence*” required, in particular, of financial intermediaries in their capacity as transferee.

In order not to incur this liability for lack of controls prior to the transfer, various indicators have been identified regarding the objective and subjective profiles of the transfer transaction that are symptomatic of the false nature of the receivable.

The identification of such criteria (which, moreover, were not provided for by any act with the force of law) has in fact led to a significant slowdown in the circulation of receivables as a result of the uncertainty surrounding the liability of financial intermediaries.

Consequently, in an attempt to reconcile, on the one hand, the need to combat fraud and, on the other, to unblock the circulation of receivables, Art. 33-*ter* of Italian Law Decree no. 115 of 9 August 2022 (so-called “Aiuti Decree - *bis*”) with which, through a further amendment to Art. 121 Italian Law Decree 34/2020, the liability of the transferee was expressly limited only to cases of wilful misconduct and gross negligence with reference to receivables for which compliance permits, sworn statements and certifications have been acquired in compliance with the provisions of the law specifically provided for.

Lastly, the Italian Revenue Agency again intervened with circular no. 33/E of 6 October 2022 to adapt its clarifications, with regard to the elements proving the observance of the required diligence, in light of the new regulatory context.

Notwithstanding the foregoing, however, it is worth noting the orientation of the Court of Cassation, Criminal Division, on the subject of preventive seizure of receivables from the transferee in cases of possible fraud, according to which such a measure may be legitimately ordered even in the presence of good faith on the part of the transferee (the aggrieved person due to the offence) at the time of the purchase.

According to the Court, in fact, preventive seizure of an impending nature “*implies the existence of a link between the offence and the property and not between the offence and its perpetrator, so that even property owned by third parties extraneous to the offence*” (i.e., transferee financial intermediary) can be subject to seizure, since the seized receivables are considered to be pertinent to the offence.



Changes introduced by Italian Law Decree no. 11 of 16 February 2023

Italian Law Decree 11/2023 further modifies the rules on the liability of the transferee, excluding, for cases other than wilful misconduct, the participation in the violation of the transferee who is in possession of the documentation, relating to the works that originated the tax credit, required under the new paragraphs 6-bis, 6-ter and 6-quater inserted in Art. 121 of Italian Law Decree 34/2020.

In any case, for the purposes of contesting the transferee's participation in the violation (with its consequent joint and several liability) where the documentation collected thereby is incomplete, it is incumbent on the tax authority to prove the existence of the subjective element of wilful misconduct or serious negligence on the part of the transferee.

Contributions, in the form of tax credit, in favour of companies for the purchase of electricity and natural gas

During 2022, the legislator has issued numerous regulatory provisions that grant companies, under certain conditions, a tax credit equal to a portion of the expenses incurred for the purchase of electricity and natural gas, to a variable extent depending on the period reference. In particular:

- companies with a high consumption of electricity (so-called “energy-intensive companies”) receive a tax credit of 20% to 40% of the expenses incurred for the purchase of electricity, for the first three quarters, for the period October -November and for the month of December 2022;
- companies with a high consumption of natural gas (so-called “gas-intensive companies”) receive a tax credit of 10% to 40% of the expenses incurred for the purchase of natural gas, for the first three quarters, for the period October -November and for the month of December 2022;
- companies other than those with a high consumption of electricity (so-called “non- energy-intensive companies”) receive a tax credit of 15% to 30% of the expenses incurred for the purchase of electricity, for the second and third quarters, for the period October -November and for the month of December 2022;
- companies other than those with a high consumption of natural gas (so-called “non-gas-intensive companies”) receive a tax credit of 25% to 40% of the expenses incurred for the purchase of natural gas, for the second and third quarters, for the period October-November and for the month of December 2022.

The tax credits relating to the expenses incurred for the purchase of electricity and natural gas for the first two quarters of 2022 were usable for offsetting through the F24 form by 31.12.2022, without application of the annual limit; those relating to the same expenses incurred for the third and fourth quarters of 2022 are usable for offsetting through the F24 form by 30.09.2023, with mandatory communication to the Italian Revenue Agency of a specific request by 16.03.2023.

As an alternative to the use of offsetting through the F24 form, these tax credits can be transferred for the entire amount by sending the communication of the credit transfer electronically to the Italian Revenue Agency; the transferees can use them in offsetting through form F24 or transfer them further for the entire amount.

Finally, the 2023 Budget Law, with art. 1, paragraphs 2 to 9, extended the afore-mentioned tax credits also to the first quarter of 2023, increasing the measures previously introduced: (i) from 30% to 35%: for the energy credit due to “non-energy-intensive” companies; (ii) from 40% to 45% for the energy credit due to “energy-intensive” companies; (iii) from 40% to 45% for the gas credit due to “gas-intensive companies” and “non-gas-intensive companies”.

This credit can be used in the F24 form or can be transferred by 31 December 2023.

Italian Law Decree no. 17 (Rilancio Decree) of 1 March 2022, converted with amendments by Italian Law no. 34 of 27 April 2022 (known as “Energia Decree”)

Article 42 (Financial provisions)

Due to the financial coverage requirements of the measures adopted to support economic operators in order to deal with the so-called “high energy costs”, the provision in question - as resulting in its final wording following its conversion into law - modifies the transitional regime provided for by Art. 16, paragraphs 3-4 and 8-9, of Italian Law Decree No. 83/2015, with respect to the deductibility, for IRES and IRAP purposes, of credit losses of banks, financial companies and insurance companies, postponing the deduction of the 12% portion of the negative



components (write-downs and credit losses) due for the tax period in progress as of 31 December 2022 (31 December 2021 in the initial wording of the provision), in constant instalments, to the tax period in progress as of 31 December 2023 (31 December 2022 in the initial wording of the provision) and to the three subsequent tax periods.

In addition, the share of 10 per cent relating to 2018, already deferred to 2026 (as a result of the 2019 Budget Law, Italian Law no. 145 of 2018, Art. 1, paragraph 1056), is partially brought forward to 2022, in the share of 53 per cent of its amount. Therefore, the portion represented by 47% of its amount remains deferred to 2026.

For the calculation of the advance with the historical method for the current tax period as at 31 December 2022, the deductible portion in 2021 must instead be sterilised.

Italian Law Decree no. 50 of 17 May 2022 (so-called “Aiuti Decree”)

Article 21, (Increase in tax credit for investments in intangible assets 4.0)

For investments in intangible assets 4.0 made from 1.1.2022 to 31.12.2022 (or in the “long” term of 30.6.2023 if booked by 31.12.2022 with an order accepted by the seller and down payment of at least 20% of the acquisition cost), the tax credit under Italian Law 178/2020 is increased to 50%.

Italian Law Decree no. 73 of 21 June 2022 (so-called “Tax Simplification Decree”) converted with amendments by Italian Law no. 122 of 4 August 2022

Article 8 (Correction of accounting errors - materiality in the reporting period)

Article 8 of the Tax Simplification Decree amends Article 83 par. 1 of Presidential Decree no. 917 of 22 December 1986 (hereinafter “TUIR”), establishing that the income components recognised in the financial statements as a result of the correction of accounting errors become relevant for tax purposes, for the purposes of IRES and IRAP, in the financial year in which the error is corrected, without the need to file a supplementary return, with reference to the tax period in which the error was committed. This regulation does not apply to negative income components referring to tax periods for which the deadline for submitting the supplementary tax return has expired.

In this regard, the 2023 Budget Law, in art. 1 paragraphs from 273 to 275, in order to prevent possible arbitrage, limited the aforementioned regulations to the entities which submit the annual financial statements to statutory audit.

Article 14, paragraph 1 (Deadline for requesting registration of deeds in fixed term)

The regulation in question, amending art. 13, paragraphs 1 and 4, and art. 19, paragraph 1, of Presidential Decree no. 131 of 26 April 1986, increased from 20 to 30 days the deadline for the request for registration of fixed-term deeds, in the cases provided for by the aforementioned decree.

Law of no. 197 of 29 December 2022 (2023 Budget Law)

Article 1, paragraph 63 (Reduction of the substitute tax applicable to employee productivity bonuses)

The provision under review reduces from 10% to 5%, for the year 2023, the rate of the substitute tax on the amounts paid out in the form of performance bonuses or profit-sharing bonuses, referred to in art. 1, paragraph 182, of Italian Law no. 208 of 2015 (2016 Stability Law).

Article 1, paragraphs 84 to 86 (Black List cost deductibility regime)

In order to ensure Italy’s compliance with the political commitment made by all Member States in the context of the Ecofin Council’s work in 2019 on the taxation of business income, with reference to the jurisdictions included in the European list of non-cooperative jurisdictions for tax purposes, these provisions introduce paragraphs 9 bis and 9 quinquies of Art. 110 of the Consolidated Income Tax Act (TUIR) by re-proposing certain limits on the deductibility of expenses and other negative income components arising from transactions with companies resident or located in countries or regions that are non-cooperative for tax purposes. These negative income components are deductible within the limits of their normal value, with the exception of cases in which the taxpayer proves that the transactions correspond to an effective economic interest and were actually carried out.

Article 1, paragraphs 87-95 – (Substitute tax on profit reserves)

The regulation in question provides for the possibility of franking (subject to a 9% substitute tax) the profits and profit reserves not yet distributed and resulting from the investee financial statements of companies or entities, not resident in the State, located in countries with privileged taxation. The amount of the substitute tax is 6% in the case of controlling interests and if the profits are distributed by the deadline for the payment of the balance



of income taxes due for the tax period subsequent to the one in progress as at 31 December 2022, provided that they are set aside, for a period of not less than two financial years, in a specific equity reserve.

Article 1, paragraph 423 (Tax credit for investments in tangible assets 4.0 - Extension of the “long” term 2023)

Through the amendment of art. 1, paragraph 1057 of Italian Law 178/2020, the “long” term for taking advantage of the subsidy is extended from 30.06.2023 to 30.09.2023, with reference to investments in tangible assets 4.0 with bookings made by 31.12.2022.

For these assets, the tax credit is recognised:

- 40% of the cost, for investments up to EUR 2.5 mln;
- 20% of the cost, for the portion of investments exceeding EUR 2.5 mln and within EUR 10 mln;
- 10% of the cost, for the portion of investments exceeding EUR 10 mln, for a maximum eligible cost of EUR 20 mln.

Council Directive (EU) 2022/2523 of 14 December 2022

The directive in question implements the international tax objectives approved by the OECD/G20 on 14 December 2021 (“Tax Challenges Arising from the Digitalisation of the Economy – Global Anti Base Erosion Model Rules (“Pillar Two”) aimed at ensuring a minimum level of global taxation for multinational groups. These are rules to combat tax base erosion and profit transfer strategies, aimed at ensuring that the largest multinational groups of companies are subject to a minimum corporate tax rate of no less than 15% (so-called “Global Minimum Tax”).

The directive applies to entities located in the EU that are part of multinational groups of companies or large-scale national groups that reach the annual threshold of at least EUR 750 mln in consolidated revenues, except for some expressly identified exclusions. In essence, for each jurisdiction of establishment, the aforementioned minimum level of taxation on the profits produced must be guaranteed. Otherwise, the parent company (or other intermediary company) located in a Member State is required to pay a supplementary tax up to the minimum level of 15%.

The Directive must be transposed into the national laws of the Member States by 31 December 2023 and shall apply, subject to specific transitional provisions, as of tax periods beginning on or after that date (i.e., as of 1 January 2024).

Preliminary assessments of the impact of this regulation on Italian banking groups are currently underway.



New employment law regulations

Remuneration policies

Regulatory developments in 2022 will have an impact on 2023 remuneration policies. In particular:

1. National legislative and regulatory framework

On 24 November 2022, the Bank of Italy published the “Thematic Survey on the degree of alignment of LSIs (*Less Significant Institutions*) with supervisory expectations on climate and environmental risks”, which followed the publication on 8 April 2022, of the document “Supervisory expectations on climate and environmental risks”, containing non-binding indications on the integration of climate and environmental risks in the governance and control systems, in the Business Model and in the corporate strategy, in the organizational system and in the operating processes, in the risk management system and in the disclosure to the market of supervised banking and financial intermediaries. In the second quarter of 2022, the Bank of Italy carried out a first structured survey on the level of integration of the risks under consideration in the management paradigms of directly supervised LSI banks, participating, with a sample of 21 intermediaries, in the thematic survey that the ECB conducted on the largest banks (Significant Institutions).

The national regulatory authority then published an information note, with the evidence that had emerged, in which, among other things, the boards of directors of all less significant banks are asked to define and approve specific action plans for the effective integration, over the next three years, of climate risks in the ordinary framework of governance and risk management, with approval and transmission to the Supervisory Authority expected by 31 January 2023, while waiting until 31 March 2023 for the plan for banks not involved in the thematic survey.

Lastly, please note that on 25 January 2023, in the ninth annual report on the application of the Corporate Governance Code, the Chairman of the Corporate Governance Committee sent a letter to listed companies providing a report on the implementation of the recommendations for 2022 as well as formulating specific recommendations for 2023. With regard to remuneration policies, the recommendations are to: (i) to include in the remuneration policy of the CEO and the other executive directors an executive summary, in tabular form, showing the composition of the remuneration package, with an indication of the characteristics and weighting of the fixed, short-term variable and long-term variable components with respect to the overall remuneration, at least with reference to the achievement of the target objective of the variable components, with a view to greater transparency (ii) providing for a variable component with a multi-year timeframe, consistent with the company’s strategic objectives and with the pursuit of sustainable success; (iii) providing for incentive mechanisms for the CEO and other executive directors linked to sustainability objectives to provide a clear indication of the specific performance targets to be achieved.

2. European legislative and regulatory framework

The EBA published on:

- 30 June 2022, the Guidelines on the collection of information regarding the so-called “high earners” pursuant to Directive 2013/36/EU and Directive (EU) 2019/2034. These Guidelines replace and repeal the 2014 Guidelines and apply from 31 December 2022 for the survey to be conducted in 2023, covering the 2022 financial year. The data relating to the 2022 financial year must be sent to the Relevant Authorities by 31 August 2023 and by the Relevant Authorities to the EBA by 31 October 2023;
- the Guidelines on Benchmarking Exercises on Remuneration Practices, Gender Pay Gap and Higher Ratios approved under CRD 2013/36/EU, following a consultation to define new guidelines for remuneration benchmarking, for gender pay gap and the approval of a higher ratio of variable to fixed remuneration under the CRD. The new guidelines will be the basis of the 2023 surveys defined for the 2022 financial year, with the exception of the forecasts relating to the gender pay gap, for which the first date of application will be in 2024 with reference to the financial year 2023.

The Bank of Italy has adopted the aforementioned Guidelines with the “Communication for the collection of data from banks and investment firms in implementation of the EBA guidelines” published on 2 December 2022.

To contain the reporting burdens of the companies receiving the guidelines, the EBA has replaced the current benchmarking tables with those used for public disclosure purposes pursuant to EU Regulation 2021/637 (the so-



called Implementation Technical Standards, ITS), thereby reducing the reporting burden on institutions, which will be able to make the same information available to the public and share it with the competent national authority and the EBA.

These tables have been supplemented by additional reporting schemes that allow the EBA to fulfil the reporting obligations included in the CRD (for example in relation to the gender pay gap).

- On 18 March 2022, it published the “*Final Report Guidelines on common procedures and methodologies for the supervisory review and evaluation process (SREP) and supervisory stress testing under Directive 2013/36/EU*”. The amendments aim to implement the amendments to the Capital Requirements Directive (CRD V) and the Capital Requirements Regulation (CRR II) and to promote the convergence of the competent national authorities, without altering the general framework of the SREP, but affect its main elements, including (i) analysis of the Business Model, (ii) assessment of internal governance and control mechanisms at institution level, (iii) assessment of capital risks and capital adequacy to cover these risks and (iv) assessment of liquidity and funding risks and adequacy of liquidity resources to cover these risks. The EBA has developed these guidelines in accordance with art. 107 (3) of the CRD, which requires the Authority to promote a robust and effective supervision as well as to promote supervisory convergence across the EU. These guidelines are addressed to all relevant authorities across the EU. These guidelines also aim to achieve the convergence of practices adopted by relevant authorities in supervisory stress tests across the EU pursuant to art. 100 of Directive 2013/36/EU.
- On 13 January 2022, the European Banking Authority (EBA) published the Guidelines for institutions (banks, investment firms and financial conglomerates) and the relevant authorities that supervise these institutions to improve the possibility of resolution (EBA/GL/2022/01). The recipients of the guidelines - which enter into force from 1 January 2024 - are the banks (Significant and Less Significant) and the securities investment companies (SIM) pursuant to art. 55-bis of the TUF, which are subject to the rules on credit resolution in accordance with Arts. 15 and 16 of Directive 2014/59/EU; institutions that are part of a group subject to consolidated supervision, in accordance with Arts. 111 and 112 of Directive 2013/36/EU, with reference to the application of the resolution group. Similarly to the provisions of the EBA guidelines, the guidelines do not apply to parties subject to simplified obligations for resolution purposes pursuant to Delegated Regulation 2019/348/EU and to those whose resolution plan provides for them to be settled in an orderly manner in accordance with applicable national law. With note no. 27 of 27 May 2022, the Bank of Italy, in its capacity as Resolution Authority, has expressed its intention to comply with the EBA guidelines to improve the possibility of resolution.

On 31 March 2022, the European Securities and Markets Authority (ESMA) published its Final Report containing guidelines on certain aspects of the remuneration policies and practices envisaged by Directive 2014/65/EU (MiFID II), at the end of the public consultation launched by ESMA in July 2021 and completed in October 2021, in order to clarify and promote the convergence in the implementation of some of the new remuneration requirements envisaged by MiFID II, ensuring their uniform application and replacing the previous version issued in 2013. They must be translated into the various languages of the European Union and, from their translation, the individual competent National Authorities will have two months to notify ESMA of their compliance or willingness to comply

Personnel administration

On 19 December 2019, the agreement to renew the National Collective Bargaining Agreement (NCBA) of 31 March 2015 was signed for the Middle Managers and staff of the Professional Areas of the banking sector.

The contract comes into effect at the signing date and will expire, both for the economic and for the regulatory portions, on 31 December 2022.

The principal changes are shown below (those that are not strictly financial are detailed in the Non-Financial Statement, available on the Parent Company's institutional website, see <https://www.gruppompis.it/sostenibilita/report.html>):

- a project has been set up between the parties to define a new personnel classification system. Currently, the I and II Professional Areas have been eliminated and incorporated into a new Area defined as “Formerly I and II Professional Areas”. As at 31 December 2020, the BMPS Group had 137 resources in this position (of which 129 in the Parent Company);



- art. 46 (Professional Insertion Salary Level) of the 2015 NCBA was abolished to new hires with an open-ended contract was repealed with consequent application of the higher table salary;
- a full series of measures have been agreed to recognise particular personal and family situations of workers with the granting of paid and unpaid leaves;
- the value of inclusion and diversity was recognised and the commitment to develop support policies for people with different abilities and the right to “disconnect” outside working hours and during holidays was confirmed;
- the provision according to which the employee severance pay is calculated based exclusively on the salary as per the scale level, seniority and the amount referred to the revision of the salary scale has been extended to the period 1 January 2019 - 31 December 2022.

During 2022, there was nothing new or changed from what was already known.

Tax measures

Starting from 1 January 2022, the rates and brackets for determining gross IRPEF were amended by the 2022 budget law (art. 1, paragraph 2.3 of Law 234/2021). The deductions used for the determination of net IRPEF were also adjusted, in particular the deductions for dependent children, which were eliminated with the exception of those applicable to children over 21 years of age.

Deductions for dependent children up to 21 years of age have been replaced, starting from 1 March 2022, by the Single Universal Allowance (Assegno Unico Universale), established by the “sostegni-ter” (Support-ter) decree (Italian Law Decree no. 4 of 27/01/2022) as financial support for families with children, which also absorbs the Family Allowance (Assegno per il nucleo familiare), no longer in effect in the legal system

The same 2022 Budget Law (art. 1 para. 121) included a cut in the tax wedge for employees with income up to EUR 35,000 of 0.8%, to be applied on monthly salaries by employers through a payroll contribution reduction. The so-called decree “aiuti-bis” (Italian Law Decree 115/2022) further extended the benefit to 2%, starting from 1 July 2022.

The gradual increase in the official reference rate carried out by the ECB during 2022 has caused a resumption of the valuation of fringe benefits related to the granting of loans to employees (art. 51 paragraph 4, letter b of TUIR). The threshold value of the fringe benefit, beyond which the benefit becomes taxable, for the year 2022 alone was raised at first to EUR 600 by the “aiuti-bis” decree and subsequently to EUR 3,000 by the “aiuti-quater” decree (Italian Law Decree 176/2022).

Social security

Limited to the year 2022 only, the Budget Law for 2022 introduced a new form of early retirement, borrowed from the old “Quota 100”, called “Quota 102”, applicable to employees with a minimum age of 64 years and 38 years of contributions (art. 1, paragraph 87 Law 234/2021).

With the same Law, the right to opt for the so-called “Female option” also for workers who have reached the seniority requirements of 35 years and 58 years of age by 31 December 2021 (art. 1, paragraph 94 of Law 234/2021).

The coordinated text of the so-called decree Milleproroghe no. 228 of 2021 with Italian Conversion Law no. 15 of 25/02/2022 sets forth, for the year 2022 only, the extension from 5 to 7 years of the maximum duration of disbursement of the extraordinary income support allowance provided for by art. 10 of the Regulation of the Solidarity Fund for professional requalification and retraining to support employment and income support for credit staff.

INPS, with Circular 28 of 18/02/2022, implemented the provisions of the MEF Decree of 27/10/2021, adjusting the requirements for access to pension benefits to the increases in life expectancy for the two-year period 2023/2024 and the assumptions for subsequent years. As a result of this adjustment, the projected retirement dates for those resources still in the Solidarity Fund with projected retirement dates of 2023 and 2024 were revised.



Other relevant regulations

Corporate Sustainability Reporting Directive

As part of the European Green Deal and the sustainable finance agenda, the Corporate Sustainability Directive (CSRD), proposed by the European Commission in 2021, was published in the EU Official Journal of 16 December 2022, introducing new rules on the reporting of sustainability of companies, which is expected to enter into force in a period of time between 2024 and 2028.

The objective of the CSRD is to increase the transparency of information provided by companies on environmental, social and governance matters, combating greenwashing, and strengthen the sustainable footprint of the European economy and market.

The Directive expands the field of application of companies obliged to report sustainability information according to the new criteria, including all large companies and listed SMEs, with the exception of micro-enterprises. In particular, the new rules concern:

- large companies with over 500 employees, already subject to the non-financial reporting directive, from 1 January 2014 for reporting published from January 2025;
- large companies not yet subject to the non-financial reporting directive from 1 January 2025 for reporting published since January 2026;
- European SMEs listed from 1 January 2026 for reporting published from January 2027;
- Non-EU companies that generate a turnover of at least EUR 150 mln in the EU and that have at least one subsidiary or branch in the EU from 1 January 2028 for reporting published from January 2029.

Information on sustainability must be included in the Report on Operations in order to facilitate the integration and accessibility of information. In addition, the Directive clarifies the principle of “double relevance” by requiring companies to consider both the impact that their business activities have on people and the environment and the impact that sustainability issues entail on the company itself.

The CSRD provides for the adoption of mandatory European sustainability reporting standards (ESRS). In this regard, EFRAG released a first set of twelve ESRS standards in November 2022, which began the process for publication.

Communications from authorities and standard setters in the accounting field

For 2022, the provisions of the various Regulators published in the 2020 and 2021 financial years in the context of the Covid-19 pandemic remained in effect. In addition to these measures, specific recommendations and warnings from Esma, Consob and the Bank of Italy were added to ensure the transparency and uniformity of the disclosure provided in the Financial Statements in relation to the following areas: climate issue; impacts of the Russian-Ukrainian war; uncertainty of macroeconomic scenarios; first application of IFRS 17 “Insurance Contracts”. For an examination of the main indications provided by the Authorities and standard setters and how the Group has taken them into account for the purposes of preparing these Consolidated Financial Statements, please refer to the paragraphs “Incorporation of Climate-related and environmental risks in the determination of expected losses” and “Risks, uncertainties and impacts of the COVID-19 epidemic and the Russia-Ukraine conflict” of the Notes to the consolidated financial statements and Part E “Information on risks and hedging policies”.



Main risks and uncertainties

Risk identification

As part of the work to define periodically the Risk Appetite Statement and the ICAAP and ILAAP processes, in 2022 the Group identified in advance the different types of risk to which the Group is or could be exposed in performing its current and future activities. Various factors have been taken into account in the risk identification process, such as analysis of the external context (EU regulations, ECB/Bankit/EBA provisions), assessments of the main macroeconomic scenarios, analysis of the strategic and Business Model, and assessment of relevant risks, with a focus also on possible emerging risks.

After identification, risks are mapped into significance classes. Credit risk, market risk and operational risk (including legal risk), business risk and strategic risk, as well as liquidity risk for the funding risk and short-term liquidity risk components, were included in the high risk class.

The medium class includes equity investment risk, interest rate risk on the banking book, issuer risk, model risk, DTA risk, compliance risk, operational risk components attributable to IT risk and cyber security risk, the risk of excessive leverage and the reputational risk, as well as, on the liquidity side, asset concentration risk, funding concentration risk and intra-day liquidity risk.

The remaining risks were classified as low significance or insignificant.

The risks classified as high as well as other risks to which the Group is exposed are described in more detail below.

Credit risk

Lending activity represents the Group's core business and the main risk component, representing approximately 50% of the Group's total RWAs (and more than half of the Pillar 1 RWAs). The classification as high risk remained unchanged compared to the previous year, especially in relation to the current macroeconomic context, which could lead to a significant increase in default flows in the next three years.

In general, the growth in inflation and interest rates observed in the course of 2022, as well as international geopolitical tensions deriving from Russia's invasion of Ukraine, could have a negative impact on the ability of the Group's customers to meet their obligations and hence cause a significant deterioration in the credit quality of the Parent Company and/or the Group, with possible negative effects on activities and the financial situation of the Parent Company and/or the Group.

In this context, in 2022 the Group continued to support the companies most impacted by the Covid-19 pandemic and the deterioration of the macroeconomic scenario, by providing new loans and applying forbearance measures, while on non-performing loans, activities continue in order to limit the stock of NPLs.

Market Risk

Market risk remains a significant risk to which the Group is exposed, given the potential volatility of the underlying market variables, in a general context of uncertainty characterised by the protracted conflict in Ukraine, the ongoing energy crisis, high inflation and the continuation of restrictive monetary policies. In particular, the reference to market risk is attributable to sovereign exposures in both the Trading Book and the Banking Book, although the trend in recent years, confirmed on the Trading Book component in the second half of 2022, has shown a contraction of overall exposures on this segment. Among the points of attention, we highlight the exposure and concentration in Italian government bonds in terms of issuer risk, for positions mainly classified in AC (Amortizing Cost) and the relative vulnerability of the portfolio in the face of unfavourable changes in market conditions, in particular on interest rates and on the Italian credit spread, for securities in FVOCI (Fair Value through Other Comprehensive Income). The assessment considered the prospective effects in relation to the capital requirements relating to the trading portfolio, for the expected entry into force in 2025 of the new method for calculating capital requirements on market risks (Fundamental Review of the Trading Book).



Operational risk

Exposure to operational risk is confirmed as highly significant. A particularly significant issue with prospects not yet fully outlined includes disputes, out-of-court claims and mediation requests pending in relation to the share capital increases for the period 2008-2015, as well as the burden sharing carried out in 2017 at the time of the precautionary recapitalisation.

Other important components for the purposes of exposure to operational risk are cyber security risk and IT risk, also due to the extension of the use of web collaboration and smart working tools. These potential risks are the subject of continuous monitoring and specific mitigation measures, such as strengthening the access authentication system, training and awareness-raising measures for the personnel on cyber risk, and enhancing the platforms for detecting and blocking threats transmitted through the network.

Business and strategic risk

From a strategic point of view, on 22 June 2022, the Board of Directors of the Parent Company approved the 2022-2026 Business Plan: “*A Clear and Simple Commercial Bank*” (see paragraph “2022-2026 Business Plan” to which reference is made for the details). The positive conclusion of the share capital increase transaction for EUR 2.5 bn, which took place on 4 November 2022, and the implementation of important actions included in the 2022-2026 Business Plan, suggest that the material uncertainty concerning the Parent Company’s capital strengthening, which had caused significant doubts about the company’s ability to continue as a going concern, as stated in previous reports, has been overcome.

On 27 December 2022, Banca Monte dei Paschi di Siena announced that it had received the European Central Bank’s final decision regarding the capital requirements to be met as of 1 January 2023 (“2022 Final SREP Decision”). Considering the successful outcome of the share capital increase, the ECB also removed the prohibition on the distribution of dividends, replacing it with the obligation for the Bank to obtain prior authorisation from the Supervisory Authority.

In the context of the Final SREP Decision of 2022, the ECB highlighted points for attention that could limit the Group’s ability to fully achieve the objectives of the 2022-2026 Business Plan in the medium term. In particular, the ECB pointed out: the continuation of tensions on the BTP-Bund spread and market volatility, with potential negative impacts on the cost of funding; the expected trend in fees and commissions which, although considered reasonable, depends on the success of planned commercial initiatives and is exposed to competitive pressure; the rising interest rates and a less favourable GDP scenario, which could negatively influence debtors’ repayment capacity; the trend in claims and legal cases which is not within the full control of the Bank, as well as the capacity to prevent the emergence of further disputes. In this document, the ECB also highlighted that the additional cost savings caused by the closure of branches, the Group’s corporate reorganisation and IT investments in digitalisation could be offset by inflation connected to the new macroeconomic scenario, which may be higher than expected and may not be limited to utilities, reducing even the savings from the same investments in digitisation.

In the Final SREP Decision of 2022, the ECB also noted that: (i) practically all available contingency capital management actions, including the long-awaited right issue, have already been put in place, leaving BMPS extremely vulnerable to any adverse development; (ii) on the basis of the 2022-2026 Business Plan, there would remain a gap, at the end of 2024, between the Tier 1 Ratio of the Group and that of its peers; the persistence of this gap, in the long term, could represent a possible obstacle to future mergers with an industrial partner.

By means of a provision of 25 November 2022, the Bank of Italy identified, also for the year 2023, BMPS among the other systemically important entities (O-SII) authorised to operate in Italy. The Bank of Italy exercised its supervisory discretion in identifying BMPS as an O-SII, even if the overall score of BMPS was lower than the threshold established for automatic identification as an O-SII indicated in the EBA guidelines. As a result, BMPS will in any case have to maintain, from 1 January 2023, a capital buffer of 0.25% of its total risk-weighted exposure. The O-SII capital reserve is consistent with the projections of the 2022-2026 Business Plan.

Against failure to meet the commitments undertaken as part of the 2017-2021 Restructuring Plan, discussions were initiated between the MEF and DG COMP after which, on 3 October 2022, the European Commission published a revision of the Commitments, dated 2 August 2022. In the Bank’s opinion, the aforementioned commitments are reflected in the actions underlying the 2022-2026 Business Plan approved on 22 June 2022 and the timing and implementation measures of the Commitments required by the European Commission are consistent with the timing and measures for implementing the actions of the Plan.

The Group remains exposed to the risk that in the event of non-compliance with the Commitments, the European Commission will impose the adoption of compensatory measures tightening the breached commitments or other



commitments already disclosed. In the event of a serious breach of the Commitments, the Commission may also initiate infringement procedures with consequent impacts on the Bank's financial position.

Failure to implement the assumptions of the 2022-2026 Business Plan (additional to those already carried out such as the capital increase, the redundancy manoeuvre, the merger by incorporation of the Consorzio Operativo di Gruppo), in the absence of timely corrective actions, not yet duly identified, could have an impact on the Bank's and the Group's income prospects. Finally, the 2022-2026 Business Plan is based on general and hypothetical assumptions of the realisation of a set of future events and actions to be taken by the directors, subject to risks and uncertainties characterising the current macroeconomic scenario, relating to future events and actions of the directors that will not necessarily occur and events and actions which the directors and management cannot influence or can affect only in part.

Funding risk and liquidity risk

In general, during the reporting financial year, the Group's liquidity profile remained at very strong levels.

With regard to funding risk, the sustainability of the funding profile (understood as the ability to finance banking activities with stable resources) remains high, as evidenced by the levels of medium/long-term liquidity indicators also following the successful completion of the EUR 2.5 bn capital increase last November.

With reference to short-term liquidity risk, after experiencing liquidity stress in the past, the Group has maintained, in recent years, short-term liquidity indicators at very high levels, even after repayment, in December 2022, of long-term refinancing transactions with the ECB ("TLTRO"), for a total of EUR 10 bn, of which EUR 4 bn at natural maturity and EUR 6 bn repaid early, in light of the changed interest rate environment applied by the European Central Bank following the latest monetary policy decisions.

Due to its specific nature, despite the demonstrated capital strength, liquidity risk generally continues to be classified as a high risk, in that sudden systematic or idiosyncratic crises may be fast-moving, with immediate and strong repercussions on both customer behaviour and market access.

Other risks and uncertainties

Risks associated with regulatory stress tests

As part of prudential supervisory activities, the ECB, in cooperation with the EBA and the other competent Supervisory Authorities, performs periodic stress tests on supervised banks in order to check bank resilience with respect to baseline and adverse macroeconomic scenarios. The impact of these tests depends on assessment methodologies, stress scenarios and the outcome of the quality assurance activities taken as a reference by the Supervisory Authorities. The EBA has announced that the next EU-wide stress test will be conducted in 2023 and that it has published its methodology, templates and guidelines. On 31 January 2023, the *baseline* and *adverse* macroeconomic and financial scenarios were also released to be used in the three-year projections and regulatory exercise was initiated. The MPS Group is included on the sample to be tested, therefore it is exposed to uncertainties deriving from the testing outcome, consisting of the possibility of a potential exacerbation of the capital requirements to be met, if the results bring to light particular Group vulnerability to the stress scenarios employed by the Supervisory Authorities.

Risks associated with audits by Supervisory Authorities

The Group is exposed to the risk that following audits of the Supervisory Authorities, procedural gaps could be identified implying the need to adopt organisational measures and strengthen the oversight mechanisms aimed at making up for such gaps. Any inadequacy of the corrective actions and the remediation plans undertaken by the Bank to incorporate any Supervisory Authority recommendations could have significant negative effects on the Group's profit and loss, financial position and/or cash flows and possible penalty proceedings, including bans, with resulting reputational impacts.

Reputational risk

The reputational profile of the Group continues to highlight certain weaknesses linked to media exposure. The main factors are linked to the outcome of some pending proceedings on past events, on which there are still rulings



in favour of the Parent Company, and the closure of some disputes of particular relevance, and the achievement of business plan objectives.

Risk linked to representations and warranties given in the disposal of non-performing loans

The signing of contracts to dispose of portfolios of non-performing loans entailed, aside from the primary benefits for which they were carried out, also the resulting assumption of specific contractual commitments, including in particular representations and warranties (“R&W”) which are binding for a specific period of time, and the violation of which entails the obligation for the Parent Company and the other Group banks (Transferors) to provide compensation to the transferees for the damage suffered through the disbursement of sums.

The compensation, or that financial amount intended to compensate a party for harm suffered, is an essential part of all disposal agreements as it is the instrument whereby the acquirer protects itself with respect to certain events and, especially, the possible faults that may be present in the credit facilities acquired.

The R&Ws, the violation of which requires the Transferors to provide compensation, always have a pre-established duration (between a minimum of 12 months and a maximum of 36 months) in order to prevent the Transferors from being overly exposed to requests for compensation and the associated disbursement risk. In standard contracts, the R&Ws protect the transferees with respect to the minimum requirements that a transferred loan is supposed to meet, such as its existence, its principal amount, the presence of the minimum documentation required to enforce it, or the elements necessary for the transferees to carry out all necessary judicial and out-of-court recovery activities.

In more exceptional cases (based on the contractual context or the agreed price), as took place for the disposal of the bad loan portfolio as part of the securitisation of loans carried out by the Group in favour of Siena NPL S.r.l. in December 2017, a particularly complex set of R&Ws issued by the Transferors was agreed upon in the contracts, outlined in a specific annex containing 62 R&Ws which govern in a very detailed manner a number of the characteristics of the loans subject to disposal, which the Transferors have represented as true and existing when the contracts were signed.

In any event, the damage subject to compensation can never exceed the price paid for the acquisition of the defective loan plus any expenses incurred and an interest component at a rate set forth in the contract and in any case at overall level a maximum amount (cap) is established beyond which the Transferors are not required to provide any compensation even in the presence of confirmed violations. The cap is generically determined as a percentage of the price paid for a specific portfolio; in particular, for the sale to Siena NPL, already mentioned, it was equal to 28%. The R&Ws released expired on 31 July 2021. However, there is still a risk on that transaction as at the date on which these Consolidated Financial Statements were drafted, there is a significant divergence between the expectations of the counterparty and the results of the validity analysis performed by the Group.

There is also uncertainty with regard to the occurrence of the future event referred to in the claim subject to reservation of rights, that is when the damage deriving from the breach of the representations and warranties arises or may be quantified only subsequent to the final deadline for sending requests for compensation (i.e., 31 July 2021), as connected to the potential occurrence of a subsequent event (for example, if a ruling is handed down against the Bank in a pending case). When certain assumptions set forth in the disposal agreement are met (in particular the service, prior to 31 July 2021, of a request regarding a possible future event, that is the inclusion of the pending case in a dedicated contractual annex), Siena NPL may request compensation even beyond that deadline. Therefore, in these cases there is uncertainty with respect to the occurrence of the event mentioned above and, as a result, also concerning the claim for compensation from Siena NPL.

With reference to the sale of secured lease bad loans, the so-called Morgana sale, it should be noted that the terms of validity for the representations and warranties expired at the beginning of October 2021.

With regard to the disposal of unlikely to pay loans, it should be noted that the representations and warranties issued to the various transferees involved in the various transactions carried out by the Group over the last few years, have a final expiry of July 2023.

As part of the demerger transaction known as “Hydra M”, which became effective on 1 December 2020, the Parent Company issued in favour of AMCO - Asset Management Company S.p.A. (“AMCO”) certain representations and warranties, the breach of which could be enforced by 1 December 2022. The indemnities due in the event of a breach of these representations and warranties may not exceed the cap equal to 10% of the total assets of the demerged complex net of the related assets.



Also in this case, however, there is uncertainty regarding the occurrence of the future event alleged by AMCO in the disputes subject to reservation of rights, i.e. in those disputes notified prior to 1 December 2022 in which AMCO reserved the right to seek compensation in the event that the damage should arise or can be quantified after the aforementioned deadline, as connected, in fact, to the potential occurrence of a subsequent event (for example, the possible loss of the Parent Company in a pending judgement).

Lastly, please note that as part of the project for the non-recourse disposal of a portfolio of non-performing loans named "Fantino", for which the disposal agreements were entered on 4 August 2022 and which became legally effective between 23 October and 4 December 2022, the Group released in favour of the transferee counterparties (i.e. Illimity Bank S.p.A., Intrum Holding S.r.l. and AMCO) several representations and warranties the violation of which may be claimed by the transferees within 15 months, 12 months and 18 months, respectively, of the effective date. The provision of these warranties exposes the Group to a risk of an outlay quantified to the maximum extent of 10% of the price of the total portfolio transferred.

Risks associated with securitisations

The Group has a series of exposures to securitisation transactions and, therefore, with respect to the trend of collections and recoveries of the underlying portfolios. In relation to these exposures, the Group is subject to the risk, in terms of effective return and possibility of recovery of the investment made, that the flows deriving from securitised assets are lower than those expected over the life of the transactions. In this regard, it cannot be excluded that the consequences of the economic crisis caused by the COVID 19 pandemic and the Russian war in Ukraine may have negative impacts on the securitisation exposures held by the Group, due to delays or reductions in expected collections from securitized assets.

Risks related to outsourcing certain services

The Group is exposed to the risks associated with outsourcing certain services and, in particular, to risks deriving from (i) operations and continuity of outsourced services or (ii) any indemnity obligations borne by the Parent Company provided for in the contracts governing the aforementioned delegation of services.

Risks related to the economic-political context

The Group's results are influenced by the general economic context and the financial market trend and, in particular, the economic performance of Italy as the country in which the Group almost exclusively operates.

The context connected to the ongoing conflict in Ukraine, with the related repercussions on the international and domestic economic cycle, inevitably impacted the business dynamics of the Group in the course of 2022 as well. The ongoing war and persistently high inflation forced the ECB to tighten monetary policy, and fuelled the risk of cyclical and market trends still characterised by a high degree of uncertainty in a context of economic slowdown; furthermore, a resurgence of COVID-19 infections towards the end of the year, especially in China, raised uncertainties at the international level about the resilience of global supply chains, and at the domestic level about how to live with the virus despite the absence of an emergency state.

The risk that the conflict will continue for an extended period of time and that the military escalation will involve other countries is possible in a scenario of geopolitical tensions and instability in the governance of certain advanced economies, with evident repercussions on the economic cycle. The agreement on the EU price-cap, storage policies, and an unusually mild winter season have recently contributed to the partial recovery of natural gas prices, but Europe and Italy remain sensitive to the repercussions of an energy crisis despite the increasing use of alternative suppliers to Russia. At the domestic level, inefficient or incomplete implementation of the growth support policies set forth in the National Recovery and Resilience Plan (NRRP) in the medium term, the social repercussions of an inflationary environment and possible internal political tensions within the new government majority could further depress the Italian economic recovery. Lower expected growth could fuel fears as to the sustainability of public debt, with repercussions on the BTP-Bund spread.

If such risks result in stagnation or a recession in the Italian economy in the medium-long term, this could have a negative impact on the main banking aggregates and there may be significant specific effects on the profit or loss, financial position and cash flows of the Bank and the Group. In particular, for the banking sector, there could be a decline in demand for credit, with a decrease in customer funding primarily with reference to businesses, a slowdown in ordinary banking activity, a deterioration in the loan portfolio with a simultaneous increase in non-



performing loans and situations of insolvency, a deterioration in revenues and increase in adjustments to receivables, with negative effects on the Group's business and economic, financial and asset situation. In this respect, particular significance is attributed to the possibility that the economic slowdown will cause a deterioration in the quality of the loan portfolio, with a resulting increase in the incidence of non-performing loans and the need to increase provisions in the income statement; there is also the possibility of a negative impact on the Group's capacity to generate revenues, by virtue of the weaker demand for services and products as well as for loans and investments on the part of customers.

Lastly, it should be noted that any significant deviations between the actual macroeconomic dynamics and the macroeconomic dynamics assumed at the basis of the 2022-2026 Business Plan could have significant negative effects on the operating results and on the economic, equity and/or financial position of the Group.

Risks associated with the performance of the real estate sector

The Group is exposed to the risk that negative changes in the real estate sector may have a negative impact on the Group's profit or loss and financial position. In detail, any fluctuations in the non-residential real estate index could entail a reduction in the value of mortgage guarantees on loans disbursed which, in conjunction with the presence of counterparty insolvency events, also due to the changed macroeconomic scenario, would make higher provisions necessary, with negative effects on the Group's results. Similarly, a deterioration in real estate sector performance could result in a decrease in the solvency of counterparties operating in construction, leasing and/or the purchase and sale of real estate which, impacting sale and/or lease prices, influences the economic and financial situations of the financed companies, triggering a deterioration in the credit quality of the Group's loan portfolio. Lastly, the Group is exposed to real estate sector risk also due to the investments directly held in owned properties, as any deterioration of the real estate market could result in a different determination of the value of owned properties and in the future result in the need for value adjustments on such properties.

Risks relating to the purchase and use of the Superbonus/Ecobonus/Sismabonus tax credits

The Group is exposed to the risk of not being able to recover the tax credits acquired. Please note that if, for any reason, (i) significant changes are made to current tax regulations or (ii) the payments on which offsetting is carried out are lower than the amount of the credits acquired, and the credits acquired to an extent exceeding the offsetting capacity (tax capacity) are not sold to third parties in due time or (iii) any joint liability emerges with respect to violations committed by taxpayers or also (iv) credits are acquired even in the presence of situations for which the assumptions pursuant to arts. 35 ("obligation to report suspicious transactions") and 42 ("abstention") of Italian Legislative Decree 231/2007 are met, the value not recovered of the credits acquired could be reported as a loss, with negative effects on the Group's profit or loss, financial position and/or cash flows.

Risks relating to the entry into force of the new accounting standard IFRS 17 "Insurance contracts"

Starting from 1 January 2023, companies operating in the insurance sector are required to apply the new accounting standard IFRS 17, to replace IFRS 4, which introduces an integrated approach to accounting for insurance contracts, with a view to guaranteeing relevant disclosure capable of accurately representing the effects of insurance contracts on the entity's financial position, cash flows and profit or loss. The changes in the book value of the insurance contracts due to the transition to IFRS 17 will be recognised as a balancing entry in shareholders' equity as of 1 January 2023. The introduction of the new standard assumes significance for the Group since, although it does not carry out insurance activities, it holds equity investments in associates in the capital of the insurance companies AXA MPS Assicurazioni Danni S.p.A. (50%) and AXA MPS Assicurazioni Vita S.p.A. (50%), which are recognised in the Group's financial statements using the synthetic equity method. The impacts expected from the aforementioned change to the standard will consequently be reflected in a change in the corresponding value of the insurance equity investment in the financial statements of the Group.

Climate-related and environmental risks

The Group is exposed to risks linked to climate change which include i) physical risk, or the risk that extreme natural events may impact the capacity of households and businesses to meet their financial commitments as well as the value of the collateral provided and ii) transition risk deriving from possible losses that a party may incur, directly or indirectly, due to the process of transitioning towards a "low carbon emission and more sustainable economy".

Furthermore, physical and transition risks may cause losses for the Group deriving directly or indirectly from legal actions, or generate reputational damage if the entity is associated with adverse environmental effects.



It is also noted that in the course of 2022 the ECB carried out a number of initiatives aimed at guaranteeing adequate climate and environmental risk management by banks. These initiatives include the first Climate Stress Test (2022 CST) on banks subject to the SSM, including the Group, and the initiation of the Thematic Review on climate-related and environmental risks, with respect to which the ECB, in the report published on 2 November, found an inadequate level of climate-related/environmental risk management with respect to its expectations and identified the end of 2024 as the final deadline by which banks will need to adapt to the expected standards, also establishing ongoing monitoring and, if necessary, the adoption of direct actions aimed at meeting the target.

As set forth in the ECB communications regarding the initiation of the Thematic Review and the Climate Stress Tests, both analyses are not intended to directly reflect on capital requirements, however the results of the two ECB initiatives are considered within the SREP process and therefore may have some significance in determining specific qualitative requirements and/or, indirectly, the P2R, and therefore with respect to the capital levels the Group is required to meet.

For further details, please refer to “Consolidated Non-Financial Statement 2022”.

Additional elements - including quantitative - on the risk factors typical of the Group’s activities are contained in Part E of the Notes to the consolidated financial statements, to which reference is made.



Results by Operating Segment

Identification of Operating Segments

In accordance with the provisions of IFRS 8, the operating segments have been identified based on the main business sectors in which the Group operates. As a result, by adopting the “business approach”, consolidated income statement and balance sheet data are broken down and re-aggregated based on criteria including: business area concerned, operating structure of reference, relevance and strategic importance of activities carried out, and customer clusters served.

In order to further align the disclosure on the operating segments with the organisational structures of the Group and the management disclosure, compared to 31 December 2021, the following changes in the representation of the operating segments should be noted:

- introduction of the new Large Corporate & Investment Banking segment, which includes the results of Large Group customers and the subsidiary MPS Capital Services (which in the first three quarters of 2022 were included in the Corporate Banking segment);
- reconciliation of the economic and financial results of non-performing customers managed centrally by the Non-Performing Loans Unit within the Corporate Center, rather than on the commercial service models.

The comparative values have been consistently restated: therefore, the comparison with previous periods involves homogeneous data.

It should also be noted that COG S.p.A. (formerly Consorzio Operativo di Gruppo) was incorporated into Banca MPS in December 2022; the relative results continue to be reported within the Corporate Center.

Based on the Group's reporting criteria, which also take into account the organisational structures and the above, the following operating segments are defined:

- **Retail Banking**, which includes the income statement/balance sheet results of Retail customers (Value and Premium segments) and Banca Widiba S.p.A. (Financial Advisor Network and Self-service channel);
- **Wealth Management**, which includes the income statement/balance sheet results of Private Banking customers (Private Banking and Family Office segments) and the subsidiary MPS Fiduciaria;
- **Corporate Banking**, which includes the income statement/balance sheet results of enterprise customers (SME, Corporate Client and Small Business segments), the Foreign Branches, the subsidiary MPS Leasing & Factoring and the foreign bank MP Banque;
- **Large Corporate and Investment Banking**, which includes the economic/financial results of Large Group customers and the subsidiary MPS Capital Services;
- **Corporate Centre**, which in addition to the offsetting of intragroup entries, incorporates the results of the following business centres:
 - the economic/financial results of Non-Performing customers managed centrally by the Non-Performing Loans Unit;
 - companies consolidated with the equity method and those held for sale;
 - operating units, such as proprietary finance, treasury and capital management;
 - service units supporting the Group's business, dedicated in particular to the management and development of IT systems.

The income statement and balance sheet results for each identified operating segment are shown in the following paragraphs.



Results in brief

The following table reports the main income statement and balance sheet items that characterised the Group's Operating Segments as at 31 December 2022:

SEGMENT REPORTING		Operating Segments										Total Montepaschi Group	
Primary segment		Retail banking		Wealth Management		Corporate Banking		Large Corp. & Investment Banking		Corporate Center			
(EUR mln)		31/12/22	Chg % Y/Y	31/12/22	Chg % Y/Y	31/12/22	Chg % Y/Y	31/12/22	Chg % Y/Y	31/12/22	Chg % Y/Y	31/12/22	Chg % Y/Y
PROFIT AND LOSS AGGREGATES													
Total Revenues		1,237.4	-5.6%	130.3	-11.4%	997.2	7.3%	189.6	-4.5%	534.0	35.2%	3,088.5	3.6%
Operating expenses		(1,275.1)	0.8%	(95.4)	-7.5%	(542.9)	1.8%	(73.2)	-6.5%	(112.5)	-10.6%	(2,099.2)	-0.3%
Pre Provision operating Profit		(37.7)	n.m.	34.9	-20.5%	454.2	14.8%	116.4	-3.2%	421.5	56.5%	989.3	13.2%
Cost of customer loans/Net impairment (losses)-reversals on securities and loans to banks		(11.1)	-73.3%	(1.4)	-38.5%	(204.6)	87.6%	(46.9)	n.m.	(154.0)	n.m.	(418.0)	70.8%
Net Operating Income		(48.8)	n.m.	33.5	-19.5%	249.6	-12.9%	69.4	-35.7%	267.5	41.2%	571.2	-9.2%
BALANCE SHEET AGGREGATES													
Gross Interest-bearing loans to customers (*)		30,974	0.8%	570	-0.6%	33,044	-3.8%	5,580	-5.3%	6,833	-19.4%	77,001	-3.8%
Direct funding		42,453	-0.5%	2,711	-13.9%	23,228	-4.4%	1,616	-30.1%	11,989	-33.0%	81,998	-9.2%
Indirect Funding		50,176	-9.6%	14,263	-12.2%	5,595	-2.0%	7,880	-8.5%	14,505	-20.9%	92,421	-11.5%
Assets under management		42,095	-10.9%	10,774	-13.6%	2,477	-5.7%	37	-48.4%	2,350	-18.9%	57,734	-11.6%
Assets under custody		8,081	-2.6%	3,489	-7.4%	3,119	1.1%	7,843	-8.2%	12,156	-21.3%	34,687	-11.4%

(*) The value shown in the Group as well as that in the operating segments is represented by gross interest-bearing loans to customers, therefore not including loss provisions.



Retail Banking

Business areas	Customers										
Retail MPS • Funding and provision of insurance products • Lending. • Financial advisory services.. • Electronic payment services.	Retail Banking customers are about 3.3 mln and include about 256,700 exclusive Widiba customers. The total number of Widiba customers, including those shared with the Parent Company, is about 282,500, of which about 123,700 on the Financial Advisor Network channel, about 100,700 on the Self channel, about 58,000 customers migrated from the MPS branch network										
Widiba • Banking products and services, deposit account, cards and advanced payment systems; customer self-service through the bank's digital channels or in assisted mode with the support of a Financial Advisor. • Fully customisable online platform that relies on a Network of 552 Financial Advisors present throughout the country. • Funding and Global advisory services and financial planning through the advanced WISE platform and the skills of the Financial Advisor Network. • Mortgage loans, credit facilities, and personal loans. • Innovative interaction through computers, smartphones, tablets, watches and TV.	Breakdown by type <table border="1"> <thead> <tr> <th>Type</th> <th>Percentage</th> </tr> </thead> <tbody> <tr> <td>Value</td> <td>77.2%</td> </tr> <tr> <td>Premium</td> <td>15%</td> </tr> <tr> <td>Widiba</td> <td>7.8%</td> </tr> </tbody> </table>	Type	Percentage	Value	77.2%	Premium	15%	Widiba	7.8%		
Type	Percentage										
Value	77.2%										
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	Breakdown by geography <table border="1"> <thead> <tr> <th>Geography</th> <th>Percentage</th> </tr> </thead> <tbody> <tr> <td>North East</td> <td>17.3%</td> </tr> <tr> <td>North West</td> <td>15.6%</td> </tr> <tr> <td>Centre</td> <td>35.8%</td> </tr> <tr> <td>South</td> <td>31.3%</td> </tr> </tbody> </table>	Geography	Percentage	North East	17.3%	North West	15.6%	Centre	35.8%	South	31.3%
Geography	Percentage										
North East	17.3%										
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South	31.3%										

As part of the review of the organisational structures of the Network, in the last quarter of 2022, the access threshold to the *Premium* service model was revised, with the consequent transition of customers from the Value service model to the *Premium* service model.

Income statement and balance sheet results

As at 31 December 2022, **Total Funding** in Retail Banking amounted to EUR 92.6 bn, up by EUR 0.9 bn compared to September 2022 levels but down by EUR 5.5 bn compared to year-end 2021. More specifically:

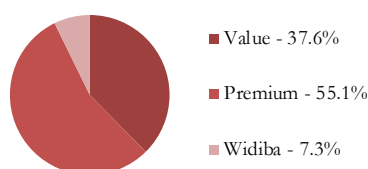
- **Direct Funding** amounting to **EUR 42.5 bn**, is in line with 30 September 2022: the growth in deposits on-demand (EUR +0.7 bn) was offset by the decline in medium-long (EUR -0.6 bn) and short-term technical form of funding (EUR -0.1 bn). The aggregate was equally stable when compared to 31 December 2021 (EUR -0.2 bn), again with growth in deposits on-demand (EUR +1.6 bn) and a decline in medium/long-term funding (EUR -1.3 bn) and short-term funding (EUR -0.5 bn).
- **Indirect Funding**, amounting to **EUR 50.2 bn**, increased by EUR 0.9 bn compared to September 2022 levels, due to growth in assets under custody (EUR 1.0 bn); stable assets under management (EUR -0.1 bn). The aggregate also decreased compared to 31 December 2021 (EUR -5.3 bn), due to the decrease in both assets under management (EUR -5.1 bn) and assets under administration (EUR -0.2 bn) which is essentially impacted by the negative market effect.
- **Gross interest-bearing loans** to Retail Banking customers stood at **EUR 31.0 bn**, substantially in line with September 2022 (EUR -0.1 bn) and slightly higher than in December 2021 (EUR +0.2 bn).



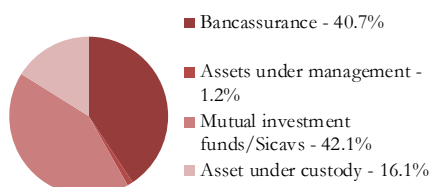
RETAIL BANKING - BALANCE SHEET AGGREGATES

(Eur mln)	31/12/22	30/09/22	31/12/21	Chg Abs Q/Q	Chg % Q/Q	Chg Abs Y/Y	Chg % Y/Y
Direct funding	42,453	42,439	42,646	14	0.0%	-193	-0.5%
Assets under management	42,095	42,208	47,220	-112	-0.3%	-5,124	-10.9%
Assets under custody	8,081	7,109	8,300	972	13.7%	-219	-2.6%
Indirect Funding	50,176	49,317	55,519	859	1.7%	-5,343	-9.6%
Total Funding	92,629	91,756	98,165	873	1.0%	-5,536	-5.6%
Gross Interest-bearing loans to customers	30,974	31,074	30,733	-100	-0.3%	241	0.8%

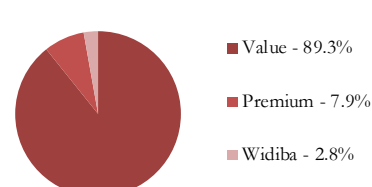
Direct funding breakdown



Indirect funding breakdown



Interest-bearing loans to customers



With regard to profit or loss, for the year ended 31 December 2022, *Retail Banking* achieved total **Revenues** of approx. **EUR 1,237 mln**, down 5.6% compared to 2021. A breakdown of the aggregate shows:

- Net Interest Income was approximately EUR 387 mln, up 16.9% annually mainly due to the higher contribution of commercial assets;
- Net fees and commissions were equal to approx. EUR 800 mln, with a 12.2% decrease versus 2021, primarily due to lower income from asset management, particularly on product placement, due to market volatility;
- Other income from banking and insurance business amounted to approximately EUR 50 mln, down 36.2% year-on-year, due to the lower contribution of income generated by the insurance equity investments in AXA's associates.

Considering the impact of Operating Expenses, which increased by 0.8% Y/Y, *Retail Banking* generated a **Gross Operating Loss** of about **EUR -38 mln** (income of EUR 45 mln as at 31 December 2021). Cost of credit stood at roughly **EUR -11 mln** (EUR -41 mln as at 31 December 2021).

The **Net Operating Income** at 31 December 2022 was **negative and around EUR 49 mln**.

The non-operating components amounted to approximately EUR -6 mln compared to EUR -7 mln in the previous year.

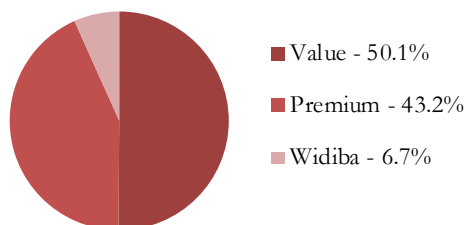
The **Result before tax from continuing operations** was **EUR -55 mln** (EUR -3 mln as at 31 December 2021).

The **cost-income ratio** of the operating segment is **103.1%** (96.6% in 2021).



RETAIL BANKING - PROFIT AND LOSS AGGREGATES				
(EUR mln)	31/12/22	31/12/21	Chg. Y/Y	
			Abs.	%
Net interest income	387.3	331.3	56.0	16.9%
Net fee and commission income	800.3	911.2	-110.9	-12.2%
Other Revenues from Banking and Insurance Business	49.9	78.2	-28.3	-36.2%
Other operating expenses/ income	(0.1)	(10.6)	10.5	-99.2%
Total Revenues	1,237.4	1,310.1	-72.7	-5.6%
Operating expenses	(1,275.1)	(1,265.3)	-9.9	0.8%
Pre Provision Operating Profit	(37.7)	44.8	-82.6	n.m.
Cost of customer loans/Net impairment (losses)-reversals on securities and loans to banks	(11.1)	(41.4)	30.4	-73.3%
Net Operating Income	(48.8)	3.4	-52.2	n.m.
Non-operating components	(5.9)	(6.9)	0.9	-13.7%
Profit (loss) before tax from continuing operations	(54.8)	(3.5)	-51.3	n.m.

Breakdown of revenues



The main sales initiatives and product/service innovation

In the course of 2022, the Bank focused heavily on support activities for individuals and territories, responding to the needs that emerged with extraordinary support actions for Retail customers also on the basis of the government regulations. In particular, the following main initiatives were developed:

Retail loans and mortgages:

- development of a **dedicated ESG offer** through the launch of the **Green Mortgage** to help improve energy efficiency;
- continuation of sales of the **Mortgage with Consap guarantee** (LTV 80% and 100%) for the purchase of a main home, with particular focus on the needs of **young people under 36**;
- strengthening of the partnership with **Third Party Networks** also thanks to the introduction of a **web portal dedicated to intermediation**;
- **review of pricing and active management** to maximise positioning in the segment;
- full activation of post-sales processes;
- **Mortgage suspension**: possibility of requesting the suspension of the payment of mortgage instalments in application of the provisions of the Gasparrini law;
- **non-mandatory suspension of loan instalments payments to be granted at the discretion of the Bank**. The opportunity was activated to request a suspension from the Bank, by those who present a situation of objective difficulty in regularly fulfilling the economic-financial obligations deriving from mortgage loans / loan agreements.



Bancassurance Protection and Savings are at the center of a project to review the sales and post-sales processes, also using digitalisation, to promote efficiency and usability by the network and to offer a better quality service to customers.

Digitalisation of customers and remote operations

Initiatives aimed at raising awareness of and expanding the opportunities made available through Digital Banking in its components of access with computer, APP and phone bank.

Direct funding:

The new scenario of interest rates - which since July 2022 recorded an increase after a long period in negative territory - and the volatility of the markets have led to the need to offer customers more remunerative liquidity instruments: therefore towards the end of the year the offer of CID (Conto Italiano di Deposito - Italian Deposit Account) resumed.

Market	Main sales initiatives developed in the reference market
Value	Four fundamental pillars are identified: • Development of the Protection segment • Development of the Loans segment (in particular loans) • Development of the Asset Management segment • Development of E-money segment In order to improve the service provided to the customer, generic communications were activated on the social channels and on the Bank's website, in addition to targeted marketing actions, using the support of levers such as products, services and channels. In particular, the following levers were used to achieve the objectives of Asset Management: • focus on PAC, with the aim of transforming Direct and asset under custody funding; • proposition of the Supplementary Pension Plan on the Pip solution and "Previdenza per Te" (open pension fund) supported by marketing initiatives. In relation to the E-money segment, dedicated marketing support was developed for customers to ensure greater awareness of the features of MPS credit, debit and prepaid cards on the Mastercard circuit. The development of the Protection segment was supported, in particular, by marketing campaigns focused on the restyling of Mia Protezione [My protection] and Formula Benessere [Wellness Formula], the latter characterised by the creation of packages for specific areas to meet every type of need. In the course of 2022, the internalisation of the Consumer Finance product factory in Banca MPS was finalised, so as to combine the use of personal loans, as a vehicle for increasing cross-selling and for acquiring new customers, with the profitability of the business net of the cost of the associated credit. In the Salary-Backed Loans segment, a commercial initiative was launched, in collaboration with Compass, in favour of the Value Service Model customers, interested in the product and willing to meet an authorized Compass agent for a tailored advice. The customer concerned was given a nominative coupon that gave the right to receive a voucher worth 20 euros, which can be spent on the Amazon e-commerce site.
Premium	During 2022 in the Investment segment, new issues with partners were diversified, both in terms of the types of solutions on offer (insurance, UCITS, etc.) as well as positioning on specific financial and currency markets. From 1 August, a new section of the MiFID questionnaire was implemented, aimed at collecting the ESG preferences of customers and thus creating advisory proposals in line with the directions expressed by customers. In terms of new products, the following should be noted: the placement of a window fund with bonus (intended for customers for the recovery of "winback" and expiring CID [Italian Deposit Account]) called Anima PicPacESaloGo Bilanciato 2025 III; the reactivation of the "Italian certificate of deposit" product through the issue of the product called "Cedola Valore Winback"



Market	Main sales initiatives developed in the reference market
	[Winback Value Coupon] with a duration of 24 months and intended for “fresh” money and administered conversion (rates differentiated according to the duration). In addition, to complete the range of products, new third-party paper bonds were issued in the second half of the year. Particular focus was given to the Asset Management segment, activating dedicated discounts and opening to the Retail Market the GP Alta Gamma (in the catalogue for the Private Market). Also with regard to insurance investment products, promotional levers were activated on unit-linked and multi-segment products. To enhance the Pac method of gradual investment in the financial markets, digital marketing activities were organised to communicate the Prize competitions of the Anima Partner aimed at subscribers of Accumulation Plans solutions at the BMPS Network. With regard to the Protection segment, the following were activated: - monthly commercial planning focused on <i>Premium</i> customers aimed at supporting the Health, Life and Non-Life business; - campaigns on the main proprietary touchpoints (web marketing, banners, atm, dem and <i>post social networks</i>). Particular attention was also paid to Complementary Pensions, with targeting aimed at tax optimisation and insertion of advertising on the Quarterly Statement. With regard to e-money, targets aimed at the development of credit cards (non-holders with a propensity to purchase) were made available to the Network throughout the year. On the topic “Generational handover”, a commercial initiative was activated with <i>ad hoc</i> levers, both with regard to investment products and e-money. In addition, a dedicated intranet page was created. With regard to the info-training aspects, in collaboration with the external Partners and with the Knowledge Management and Training Service, info-training interventions were carried out on the Network via Teams aimed at ensuring that the front-end is constantly updated on financial markets and range innovations. In addition, every week, in collaboration with the Advisory Team, the “Flash Markets” meetings dedicated to the entire Retail supply chain continue. The role of the MPS Athena advisory platform as the only tool for providing the investment advisory service is strengthened. In May, a new additional advanced advisory service called “<i>Platinum</i>” was released, which makes it possible, through the payment of a fee on top, to benefit from: - an unlimited number of consulting proposals; - non-financial analysis services; - dedicated reports. In October, also within the MPS Athena Platform, the Remote Collaboration was implemented, which allows the completion of the consultancy remotely through Digital Banking.

Funding, Assets under Management and Bancassurance

In 2022, for Private customers, investment advisory activities focused primarily on **rebalancing** the business mix, **from liquidity/fresh money/conversion of assets under custody to Asset Management**, also with **dedicated promotions and support** targets in coordination with the regional structures.

In the **Medium/long-term indirect funding**, the 2022 offer focused on third-party paper bonds and certificates with different indexations and maturities, working with leading international issuers to foster different opportunities from the financial markets with a view to the widest diversification in the offering to clients.



As part of **Direct Funding**, taking into account the needs of customers in a volatile market context, the proposal of specific fixed-rate liquidity products (CID - Conto Italiano di Deposito) resumed at the end of the year, offering a higher level of liquidity remuneration with respect to current accounts against a predetermined time constraint. The proposition of this type of product will be expanded during 2023 with lines with different financial characteristics and time constraints (currently ranging from 12 to 36 months).

In the area of **Asset Management** for the Premium and Value segments, the offer of both open-ended funds managed by the partners Anima, JP Morgan, BlackRock, and “window” funds was consolidated. Particular attention was paid to solutions with ESG investment policies, an area in which the Bank has adopted the necessary controls for a correct proposal to customers, introducing both the necessary changes to the MiFID profiling questionnaire and subsequent suitability assessment, and processes aimed at avoiding “greenwashing”.

In particular, for Asset Management, in 2022, Banca MPS defined a specific strategy aimed at integrating and monitoring sustainability risks in order to offer investment solutions for customers who express preferences for environmental, social and governance factors. The strategy developed by Banca MPS envisages the conduct of specific sustainability risk analyses, taking into account the assessments of the leading specialized info-providers. In relation to the decision-making process for the construction of the portfolios of the Asset Management lines, with a view to adequacy in terms of sustainability risks, Banca MPS classifies each asset management line on a quarterly basis on a scale ranging from 1 (minimum risk) to 5 (high risk) taking into account environmental (E-score), social (S) and governance (G) factors, as well as the overall sustainability risk (ESG-score).

The offer of **Savings insurance products** during the year evolved thanks to the revision of the funds / SICAVs combined with unit-linked and multi-segment policies, also characterized by the inclusion of additional solutions in the ESG segment. The offering of unit-linked policies in tranches with issues of the “Progetto Protetto” family continued in 2022.

With regard to **Life and Non-Life insurance protection**, a recently revised range, in 2022 the activity focused on operational improvements and the strengthening of monitoring the compliance, by activating the document centralisation of forms for the family of stand-alone non-life policies as well.

For all policies and for Open Pension Funds, a strategic project was set up in 2022 with AXA MPS with the aim of making underwriting and post-sales procedures more efficient, as well as digitalising the sales process. The project involves gradual releases over time until the end of 2023.

During the year, the collaboration with Quixa, a company of the AXA Group, relating to the proposal of the “MPS Digital Auto” motor TPL policy, proposed in fully digital mode, continued.

Current Accounts, Payments and Collections

Among the activities carried out in 2022, the following should be noted:

- some processes for the management of the right of withdrawal by the customer and the Bank as regards current accounts, for the Portfolio service, for Commercial and Foreign collections and for the process relating to the Transfer of Payment Services, with the aim of minimising time and monitor any delays;
- actions were carried out to make the post-sale of package current accounts more efficient, in order to allow greater transparency towards customers;
- evolution of the CBILL payment service to adapt to the new PagoPA Model 3 (multi-beneficiary payment slip);
- evolution of the SEPA Instant Bank Transfer service for transition to *TIPSTARGET Instant Payment Settlement*).

E-Money

- Among the activities carried out in 2022, note in particular: the performance of the BancomatPay service improved with reduced authorisation times required for transactions. In addition, the threshold for c-less payment transactions without entering the PIN was raised to EUR 50;
- increased functionality on Digital Banking and for management and related spending.
- new ancillary services to the POS service were made available (e.g. *PaybyLink*) and efficient after-sales services in partnership with Nexi.



Digital Banking

In 2022, the remote services offered by the Bank, which were developed in the previous two years also to address the limitations of the physical presence of customers, were further strengthened and expanded. The scope of documents, deeds and contracts that can be signed online with Remote Collaboration has also been expanded.

To increase the use of this service and facilitate Bank-Customer operations from an omnichannel perspective, the Remote Digital Signature from Digital Banking is now available.

Control over the ownership of Digital Banking was also introduced in the sales processes for the main transactional products.

Internet Corporate Banking

For products for companies (corporate banking), the migration of sales processes to the Digital Branch portal was completed in order to align with the Bank's document policy and mitigate the operational risks associated with the use of non-compliant forms.

Corporate customers with PasKey aziendaonline were migrated to the new version of user management with control of "signatories" (coverage of 98.7% of customers with the PasKey aziendaonline).

Lastly, note the restyling of the digital signature, from smart card to remote, to better support customers with treasury (entities).

ATMS

Also in 2022, Banca MPS continued its commitment to maintaining the efficiency of the ATM fleet throughout the country and limiting inconvenience to customers, focusing on replacing obsolete machines, upgrading cash-in machines and focusing its attention on exceptional situations of machine downtime.

In order to protect the Bank's reputation by following the general principles set forth in the MPS internal Code of Ethics, during the year Remote Cash-Out ATMs were progressively removed from arcades, bingo parlours and casinos with a view to adopting "logistical prevention" measures against gambling addiction.

In addition, in order to reduce the risk of customer erosion, the plan was to maintain 15 Cash-Out ATMs at branches closed in 2021, favouring those that are in uncovered areas, so as to offer customers a point of reference and support for routine transactions (withdrawals, payments, checking account balances);

Open Banking

In 2022, the Bank focused on consolidating the platform with a view to full compliance with the requirements of the PSD2 regulations and interactions with third parties to facilitate the integration of Banca Montepaschi into their systems.

The Private IBAN *Check* service was also launched, alongside the PA IBAN *Check* service, which Banca MPS joined in 2020.

The Private IBAN *Check* service represents a system initiative that allows institutions to provide companies with the possibility of verifying the actual correspondence between the Tax Code of a natural person (or the VAT number of a legal person) and the header of a current account identified by a specific IBAN code.

Results for the subsidiary

Banca Widiba SpA: at 31 December 2022, Total Funding of Banca Widiba amounted to EUR 8.8 bn, down by EUR -1.0 bn (-10%) compared to 31 December 2021 and substantially confirming the levels of 30 September 2022 (EUR +76 mln). The trend is almost entirely explained by the unfavourable trends of the financial markets (around EUR -1 bn of negative market effect) as the net flows of total funding are only slightly negative during the year for EUR -24 mln (with positive flows) mainly concentrated on Assets under Custody and weaker on Assets under management due to the unfavourable market scenario).

As far as economic results are concerned, as at 31 December 2022 Banca Widiba posted total Revenues of approximately EUR 82.8 mln, an increase of EUR 14.5 mln (+21%) compared to the previous year, due to the growth in Net Interest Income (which rose from EUR 46.1 mln to EUR 61.0 mln, EUR +14.9 mln. This increase is attributable to both commercial and financial intercompany assets and to the reduction in the cost of funding), while Net fee and commission income of EUR 23.4 mln (which become EUR 22.7 mln net of negative non-



recurring items within the banking and e-money areas for EUR 0.7 mln) increased by EUR 0.8 mln (+3.4%). It should also be noted that the effect of lower commissions deriving only from the loss in value of the stocks, due to the drop in market prices of the assets under management and under custody segments, is estimated at approximately EUR 1.8 mln. The total Revenues figure also includes a negative impact with respect to the previous year of EUR -0.5 mln relating to the item Other operating income (expenses).

The **Gross Operating Income** amounted to EUR 21.9 mln and was up by EUR +12.2 mln compared to the previous year. The aggregate includes the figure of Operating Expenses (EUR 60.9 mln), up by EUR 2.3 mln (+4%) compared to 2021 mainly due to the increase, in the other administrative expenses segment, of intra-group costs and the recognition of some contingent assets in 2021. Net of contingent assets recorded in 2021 and intragroup costs, costs are 2% lower than the previous year.

In relation to the lower incidence of the Cost of credit by EUR 0.7 mln compared to 2021, Net Operating Income amounted to EUR 20.2 mln, marking an increase of EUR 13.0 mln compared to the previous year.

Lastly, as a result of non-operating components that absorb reversals on some items of provisions for risks and charges, DGS expenses of EUR 5.0 mln and restructuring costs for early retirements of EUR 1.8 mln, the Result before tax from continuing operations was EUR 13.7 mln, with an increase of EUR 12.4 mln compared to the previous year Profit (loss) from current operations before taxes and costs linked to the Group's early retirement amounted to EUR 15.6 mln.

Main initiatives

During 2022, Banca Widiba reached a total of over 282,000 customers and total funding of approximately EUR 9 bn, the result of a constant improvement in the customer experience and services, to provide value to customers and financial advisors, leveraging on drivers such as: banking and credit, Financial advisory and investments, innovation, environmental, social and corporate sustainability.

In the banking sector, in 2022 there were further enhancements in the product range, process innovations for both Customers and Financial Advisors, strengthening of partnerships for the offer of value-added services for customers and an information campaign plan and sales to customers with a view to both cross-selling and caring. The commercial offer was enriched thanks to the introduction of the online sales method of the *American Express* Platinum credit card, aimed at private customers, so as to complete the sales channels for the entire *Amex* offer dedicated to Banca Widiba customers.

In terms of processes, the 100% paperless strategy of Banca Widiba was also extended to the processes of commercial derogations, thus adding an additional differentiating element in the innovative tools and processes available to Financial Advisory for the management of its Customers.

In addition, after the launch last year of the opening of the current account through SPID credentials, which makes it possible to subscribe the account in an even faster, certified and digital way, in 2022 Banca Widiba strengthened its synergy with a partner of excellence, such as *InfoCert* with the completion of the certification process that allows the Bank to operate as a registration office and therefore to provide customers with credentials to access the general public digital services free of charge.

Lastly, periodic and event marketing campaigns were carried out during the year, aimed at increasing the customer base and revenues, with incentives for the opening of current accounts, the crediting of fees, the contribution of fresh money, the purchase of cards.

In the *Business* segment, activities focused on the study and identification of new innovative products and services to enrich the current offer, to be developed over the next year. The *Business* segment also continued its path of consolidation, as well as with various process efficiency activities also with the extension to legal entities, of services already available for natural persons: the possibility for Business customers to operate the *WISE* Consulting in Pro Consulting, Portfolio Consulting and Product Consulting; the possibility of accepting proposals in Web Collaboration for Funds/Sicavs and Securities under custody.

To promote the centrality of the customer and the reduction of contacts to the *Media Center*, *Widdy* virtual assistant was further developed, implementing predictivity, with the aim of anticipating the customer's demands before the customer even feels the need to activate the service input through a specific request. The total number of predictive messages was 743,302 with a 98% effectiveness of no recall in the 7 days following the message. In general, the Virtual Assistant *Widdy* confirmed the expected performance percentage, reaching 80% of correct answers against the 156,429 sessions started and 339,964 questions.



During the year, the *Video Banking Dialogue* project was implemented, introducing new touchpoints to allow customers to interface remotely with the Bank, through a video call integrated into the Widiba platform, thus preserving a “face to face” interaction mode. The total number of contacts received through this channel was 15,932 with a rating of 4.7 out of 5.

In 2022, the activities carried out by the *Media Center* were, as usual, oriented towards qualitative and economic efficiency and the streamlining of operating processes, in order to consolidate the pre-established standards in terms of contractual KPIs and to promote the strengthening of customer satisfaction through effective and efficient customer management. The actions implemented generated a high level of satisfaction: in fact, the average customer rating was 4.3 out of 5, and the Call Center service level was 95% higher than the market average.

The credit sector in 2022 was characterised by a rapid increase in market rates, which led to a slowdown in mortgage applications compared to the previous year: the volumes disbursed amounted to EUR 145 mln, due to a position of prudent pricing to support the disbursement rate.

With regard to *Personal Loans*, the volumes in 2022 amounted to EUR 22.4 mln, recording the best year since inception. Also within the scope of the *My Instant Credit* service, the instant instalment volumes linked to the service grew by approximately 50% compared to 2021, reaching a level of disbursement of EUR 7.5 mln in 2022, therefore marking a new annual record since the product launch.

In July 2022, the offer of the consumer credit segment was enriched with the new *Salary-backed loan* product, which allows Widiba customers to apply, through a digital process, for the loan guaranteed by the pay slip or pension, offered through third-party partnerships.

With regard to investment products, the initiatives carried out to improve the product offer catalogue and commercial initiatives continued along the main lines of sustainability, simplification, digitalisation and dedicated offer, with the aim of developing new customers, increasing masses and improvement of services.

With regard to sustainability, with the application of the SFDR Regulation and thanks to the continuous review and implementation of the offer catalogue, especially for the UCITS and Asset Management components, it was possible to go from 49% ESG coverage for the UCITS catalogue to 62% at the end of 2022, with an upward trend also for the investments underlying the asset management lines.

Furthermore, with the continuation of the application of the European 2008 directive, from 30 July, customers were asked to express their interest in the ESG issue, by entering a specific question in the MiFID profiling questionnaire. During the year, responses were collected from over 18 thousand customers; almost 80% expressed an interest in the topic. In addition, the financial analysis continued on the issue through 12 seminars, provided throughout the year, held by the investment houses in direct distribution, which led to the definition of a booklet consisting of 32 UCITS and 2 ETFs considered as sustainability flagships by asset management companies and consultants. In the area of simplification, many processes that still involved sending paper documents were revised, with an increase in the number of activities that can be carried out using the graphometric pin for a dematerialisation process and to raise awareness among the Financial Advisor Network in order to discourage the use and sending of documents and reduce the environmental impact at the same time. In the *digital* area, the digitalisation of products/processes to support customer operations continued. The activity, in particular with regard to the after-sales of AXA policies, will continue for part of 2023.

The **development and monitoring of the offer** concerned all areas of investment products through:

- the launch of a new *partnership* on the ETF segment with JP Morgan, alongside that with Vanguard, offering a complementary product catalogue;
- the release of 3 commercial campaigns on investment insurance products aimed at supporting the difficult year and stimulating the acquisition of new customers. In addition, with the aim of improving access to pension products, during the first half of the year, a pension gap assessment service was added with the implementation of actions to reduce any customer discomfort;
- the launch of 3 new management lines (the “Zero Hunger” lines), the first of which are art. 8 SFDR in the MPS Group, with particular attention to objectives 2 and 17 of the UN’s 2030 agenda aimed at reducing hunger. In addition, in order to improve advisors’ knowledge of the GP service and its use by customers, two specific sales initiatives were launched during the year, and greater focus was given to GPAs (management by prior agreement), a service particularly suited to high-standing customers with an interest in conscious participation in management activities;
- the introduction in the UCITS catalogue of a new management company (Candriam) particularly focused and recognised at European level on the ESG issue, of about 250 new Italian segments and funds of which 50%



with low ESG risk rating (therefore usable for the customers with an interest in sustainability), and 3 Anima SGR window funds.

Communication

During 2022, Banca Widiba continued its marketing activities and investments in communication, with the aim of strengthening its market positioning and encouraging the commercial proposition and the acquisition of new customers. The communication strategy focused on differentiating topics for the brand, creating numerous opportunities for engagement with prospective customers and the network of Consultants, and maintaining a control over national and sector media.

With regard to the acquisition of new customers, in 2022, a substantial improvement of the on-boarding process was carried out, in particular of the recognition methods with the introduction of the new *facematching* technology, in place of the bank transfer, for allow new customers in possession of an Electronic Identity Card (CIE) to complete the opening of a new account by scanning it from the Widiba app.

In addition to account opening via webcam and SPID, the introduction of facematching technology has expanded the range of recognition methods with the aim of making the Bank's offer available to an ever-wider population.

SPID was confirmed as the preferred method for the majority of new customers, having been chosen in almost half of account openings (approximately 48%) and even in approximately 70% of cases if only self-service customers are considered.

Awareness, reputation and brand consideration

During 2022, Banca Widiba continued to enhance its content through PR and digital PR activities, in particular by strengthening the participation and visibility of management in sector events, with focus on and in-depth analysis of issues relating to financial advisory and recruiting, innovation and attention to sustainability and financial education. To further highlight the main strategic drivers, various media partnerships were also implemented with vertical publications and some new media.

On the other hand, as regards the issues of inclusion and financial education, in 2022 Banca Widiba launched the national research project "Women and Money: a challenge for inclusion" in collaboration with the Department of Psychology of "Università Cattolica del Sacro Cuore" of Milan. Specifically, the research undertook to analyse attitudes and behaviour related to the use of money, investigating their meanings, values and stereotypes, with the aim of designing new intervention solutions and concrete initiatives based on scientific evidence to foster greater female inclusion in the financial sector.

In addition, 82 training events were organised with existing and prospective customers on the topics of financial resources, succession planning, generational transition, sustainability, inclusive finance, family budgeting. 21 of these events were recognised by the Committee for the planning and coordination of financial education activities: October Edufin 2022.

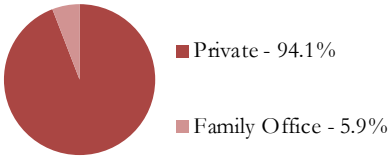
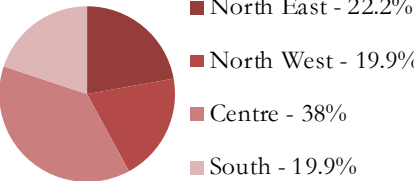
Equally important were the events with a focus on the recruitment of financial advisors. Banca Widiba was again participating as a sponsor in the Savings Tradeshows 2022, with a stand and a lecture given by the Head of the Bank's Network with the participation of strategic partners such as Vanguard, Prometeia, Candriam. In addition, the recruiting event "Banking System, the future passes through consulting" was held in collaboration with Class CBNC, to explore the changes that are involving the banking system, enhancing the role of the financial advisor as a possible evolution of the profession of bank professionals.

These issues were also enhanced through significant media coverage, with over 1,400 articles, TV and radio segments. There were also more than 30 participations in open and closed-door events, industry and non-industry roundtables and workshops, with a strong intensification of the Bank's presence at the most important discussion tables. At the same time, the communication actions on the proprietary social channels focused on amplifying the impact obtained in all the main areas of interest of the Bank with regular publications during the year.

The Bank's positive results were also recognised by the market, with the reporting in the Italian ranking of the **Forbes World's Best Banks** and the conferral of three awards: the **Banking Awards 2022** given by **Milano Finanza** for the adoption of SPID during the adhesion process; the 2022 **Consulenza Finanziaria Awards (Financial Advisory Awards)** given by **Citywire** for open architecture and the 2022 **"Digital and Social" award from the Bluerating Awards**; the "Financial Advisory model perfectly able to integrate with an innovative and complete online platform".



Wealth Management

Business areas	Customers
- Funding, lending, provision of insurance products, financial and non -financial services to private customers. - Services and products for high-standing customers in the areas of wealth management, financial planning, consultancy on not strictly financial services (<i>tax planning, real estate, art & legal advisory</i>). - Fiduciary and trust services (through the subsidiary MPS Fiduciaria).	There are around 35,700 private customers.
	Breakdown by type  ■ Private - 94.1% ■ Family Office - 5.9%
	Breakdown by geography  ■ North East - 22.2% ■ North West - 19.9% ■ Centre - 38% ■ South - 19.9%

Income statement and balance sheet results

As at 31 December 2022, **Total Funding** in *Wealth Management* amounted to **EUR 17.0 bn**, essentially stable compared to 30 September 2022 but down by EUR 2.4 bn on year-end 2021. More specifically:

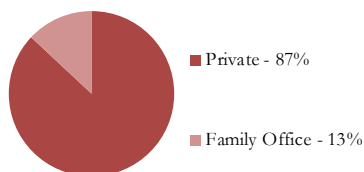
- Direct Funding** came to **EUR 2.7 bn**, down from September 2022 (EUR -0.1 bn) and down from 31 December 2021 (EUR -0.4 bn);
- Indirect Funding**, amounting to **EUR 14.3 bn**, was up compared to 30 September 2022 (EUR +0.2 bn) but down compared to the end of 2021 (EUR -2.0 bn), mainly penalised by the negative market effect in 2022;
- Gross interest-bearing loans to customers** were essentially in line with both 30 September 2022 and December 2021, standing at around **EUR 0.6 bn**

WEALTH MANAGEMENT - BALANCE SHEET AGGREGATES

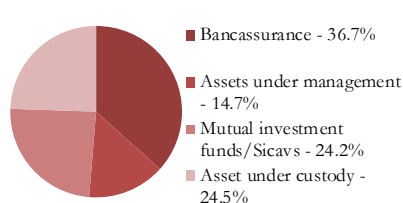
(EUR mln)	31/12/22	30/09/22	31/12/21	Chg Abs Q/Q	Chg % Q/Q	Chg Abs Y/Y	Chg % Y/Y
Direct funding	2,711	2,830	3,150	-119	-4.2%	-439	-13.9%
<i>Assets under management</i>	<i>10,774</i>	<i>10,862</i>	<i>12,469</i>	<i>-88</i>	<i>-0.8%</i>	<i>-1,695</i>	<i>-13.6%</i>
<i>Assets under custody</i>	<i>3,489</i>	<i>3,239</i>	<i>3,769</i>	<i>250</i>	<i>7.7%</i>	<i>-280</i>	<i>-7.4%</i>
Indirect Funding	14,263	14,101	16,238	163	1.2%	-1,975	-12.2%
Total Funding	16,974	16,931	19,388	43	0.3%	-2,414	-12.4%
Gross Interest-bearing loans to customers	570	568	573	2	0.3%	-4	-0.6%



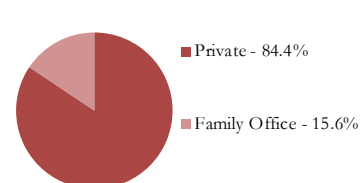
Direct funding breakdown



Indirect funding breakdown



Interest-bearing loans to customers



With regard to profit or loss, Wealth Management achieved total **Revenues** of approx. **EUR 130 mln** as at 31 December 2022, down 11.4% compared to the previous year. A breakdown of the aggregate shows:

- Net Interest Income amounted to approx. EUR 5 mln, up EUR 3 mln compared to 2021, due mainly to the higher contribution from direct funding;
- Net fee and commission income amounted to approximately EUR 112 mln, down by 9.7% compared to 31 December 2021;
- Other Income from banking and insurance business amounted to EUR 13.6 mln, down by 41.1% year-on-year, due to the lower contribution of income generated by the insurance equity investments in AXA's associates.

Considering the impact of Operating Expenses, which were down by 7.5% compared to the previous year, Wealth Management generated **Gross Operating Income** of about **EUR 35 mln** (about EUR 44 mln at 31 December 2021). Including Cost of credit equal to EUR -1 mln, the **Net Operating Income** totalled roughly **EUR 34 mln**.

The non-operating components were equal to approx. EUR 0.2 mln, substantially stable compared to the previous year.

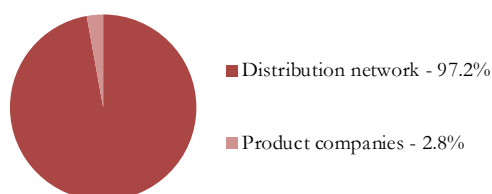
The **Result before tax from continuing operations** was **EUR 34 mln** (EUR 42 mln as at 31 December 2021).

The **cost-income ratio** of the Operating Segment is **73.2%** (70.2% at the end of December 2021).

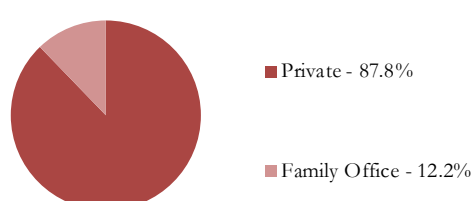


WEALTH MANAGEMENT - PROFIT AND LOSS AGGREGATES				
(EUR mln)	31/12/22	31/12/21	Chg. Y/Y	
			Abs.	%
Net interest income	5.0	1.5	3.4	n.m.
Net fee and commission income	111.7	123.6	-11.9	-9.7%
Other Revenues from Banking and Insurance Business	13.6	23.2	-9.5	-41.1%
Other operating expenses/ income	(0.0)	(1.3)	1.3	-98.2%
Total Revenues	130.3	147.0	-16.7	-11.4%
Operating expenses	(95.4)	(103.2)	7.8	-7.5%
Pre Provision Operating Profit	34.9	43.9	-9.0	-20.5%
Cost of customer loans/Net impairment (losses)-reversals on securities and loans to banks	(1.4)	(2.2)	0.9	-38.5%
Net Operating Income	33.5	41.7	-8.1	-19.5%
Non-operating components	0.2	0.3	-0.2	-49.3%
Profit (loss) before tax from continuing operations	33.7	42.0	-8.3	-19.7%

Breakdown of revenues



Breakdown of revenues - Distribution network



The main sales initiatives and product/service innovation

Promotional and marketing initiatives

In 2022, Private Banking Commercial Planning was developed along three main strategic drivers: **Advisory services, Development and Growth, and Digitalisation**. For each area, various initiatives were launched, supported by levers and promotional offers for specific targets and customer clusters. In particular:

- **Advisory services:** with a view to improving and enhancing the quality of the advisory service provided, specific initiatives were released in 2022 to ensure that clients are provided with all-round coverage of their financial and non-financial needs through the use of the entire range of offerings available. In particular, the focus has been on both enhancing the value-added investment solutions capable of making the portfolio more efficient, in particular the Asset Management Service, and on expanding the penetration rate on overall portfolio optimisation services (Fiduciary Services, Protection, Retirement Planning). In addition, a specific initiative was activated aimed at extending the advisory approach in the financial field to customers without an advisory proposal. Particular attention was also paid to the issue of sustainability, enhancing the ESG component in the management of customer portfolios.
- **Development and Growth:** in order to achieve the objectives of growth in assets and new customers, the initiatives and promotional levers activated to foster the development of internal synergies have assumed strategic importance, with particular regard to the exploitation of the mutual potential existing between the Corporate and Private Markets. The commercial focus was also directed at attracting younger customers and retaining existing customers through the release of initiatives aimed at acquiring, on the one hand, any heirs who are not yet customers and fully developing the relationship with all members of



the family unit. At the same time, the win-back action continued on customers associated with resigning operators for the recovery of the assets transferred to other intermediaries.

- **Digitalisation:** with a view to innovation and expansion of the area of full-digital customers, the Bank's digitalisation process continued in 2022 through an extension of the range of offers available to be used by customers through remote operations.

Product/service innovation

In 2022, the offer of products and services for *Private* and *Family Office* customers was characterised by the research and development of new investment solutions and at the same time by the search for an increasing rationalisation and simplification of the offer.

The developments in the **insurance investment products** segment concerned the consolidation of the Wrapper offer (both Multisegment and Unit) with the release of new external funds (mainly thematic and sectorial).

The insurance investment product offer dedicated to *Private* and *Family Office* customers is characterised by high flexibility in the choice and composition of the financial instruments underlying the policies, through the possibility of selecting from a vast array of External and Internal Funds (available in the *Private Suite*) in addition to the Separate management component present only in the Multi-line Policy known as *Private Choice*. The offer is completed by the Class I Private Prestige Policy.

For **indirect funding, with reference to Certificates and Bonds**, in line with the placement trends seen in the reference market, the offer continued to be developed through the placement of 5 Certificates and 3 Bonds, issued with Third-party issuers and structured with MPS Capital Services.

An especially structured issue process involving the participation of product's specialised functions and the advisory functions and which enabled specific investment issues and relative pay-offs to be identified that could better meet customer needs in accordance with the market context.

In the area of assets under management, the **offer of Funds/Sicavs** is characterised by approximately 4,000 sub-funds being placed and continued with a view to the ongoing evolution of the offer, aimed at maintaining the high quality of the placement range thanks to agreements signed with the main Asset Managers.

In 2022, the main releases concerned:

- the placement of 12 new Anima window funds
- the updating of the range of UCITS directly placed with all investment houses with the release of approximately 400 new sub-funds.

As regards the **Wealth Management** sector, attention was further focused during 2022 on the search for new investment solutions that would respond to new market trends and to customer dynamics and needs. The development of new investment issues was also undertaken, with the launch of **4 new lines in EFT** for the GP Multilinea Private Investment catalogue, reserved to Private customers.

Training initiatives

In 2022, the training course went on, in continuity with previous years, with a multi-year perspective and characterised by highly specialised info-training initiatives, in order to strengthen and increase the skills of bankers and managers, through targeted courses in collaboration with certified entities and structures with high standing. The objective is to ensure that the entire Private MPS Network has a training standard at the highest market levels that is also recognised outside the Bank in terms of skills and professionalism.

In order to support engagement activities and the identification of targeted solutions for the needs of business customers, a specific course on Corporate liquidity management was also offered.

In addition, the 2022 training plan was enriched with a course dedicated to ESG issues in order to increase specific skills on a topic of extreme relevance and interest to customers. The course was carried out in collaboration with the Italian Private Banking Association, which has issued the related certification.

Another new feature for 2022 was the EFA certification, issued by EFPA, obtained by a group of resources following a specific training programme.



To complete the training courses, info-training initiatives were developed in collaboration with the partner investment houses, with the aim of providing specific and timely support, so as to consolidate the skills necessary to deliver a customer service that meets the needs of the reference context. Thanks to these interventions, together with the constant updating guaranteed by the internal Advisory structures, the Network was systematically updated on possible market scenarios, with the possibility therefore of adapting the portfolios at a tactical level.

Communication initiatives

In 2022, various info-training initiatives were carried out to promote financial education; these events, intended for Private and Family Office customers, businesses and prospects, were organised in collaboration with the Partner investment houses.

In order to support the network in customer relations and with the aim of consolidating the positioning of the BMPS Private Banking market, new marketing materials were distributed.

Thanks to a new coordinated image, focused on consolidating the founding values of the Private Business Model, the new marketing materials are a valuable tool to increase the knowledge, by the end customers, of the services and solutions offered.

Results for the subsidiary

MPS Fiduciaria: as at 31 December 2022, the subsidiary achieved a profit for the year of approximately EUR 0.3 mln (approximately EUR 0.5 mln as at 31 December 2021).

In 2022, the company developed commercial initiatives aimed at expanding the dissemination of services, especially in cases of company liquidity management, escrow accounts, generational transfers of financial and business instruments, asset protection and assumption of the role of the Trustee of the Trust. It continued to develop formulas for greater protection of vulnerable subjects (Trust for the after-us). It continued with its collaboration with the Parent Company's reference markets through intense promotional and informational/training activities - on trust services in general and on their potential uses, including the private companies to which they can be applied - for bank personnel and for major shared professionals, implementing the number of contracted parties for merit reporting. These activities made it possible to close the year with a net growth in the stock of deposits.

The guidelines for the future developments of the subsidiary involve a further relaunch of the commercial activity to be carried out mainly through a customised offer structure for the individual markets, but always with a view to synergies. The process of simplifying the network support material and the definition of target customers will continue. A greater impetus is envisaged for the development of the network of professionals through the tool of merits reporting.



Corporate Banking

Corporate Banking includes the economic/financial results of Corporate customers (SME, Corporate Client and Small Business segments), Foreign Branches, the subsidiary MPS Leasing & Factoring and the foreign bank MP Banque, while the financial results of Large Group customers and the subsidiary MPS Capital Services are reported within the Large Corporate & Investment Banking operating segment.

It should also be noted that the customers that in the interim report on operations as at 30 September were represented as Corporate Clients in this report are composed of the two service models called SMEs and Corporate Clients, as defined in the context of the review of the organisational structures of the Network, during the last quarter of 2022.

Business areas	Customers			
• Lending and offering financial products and services to businesses, including through strategic partnerships with trade associations and Confidi (credit guarantee consortia), with Guarantee Institutions (including public) and Institutional Entities, through which fundind is acquired at favourable terms. • Offer of integrated <i>leasing e factoring</i> package for business, artisans and professionals (through the subsidiary MPS Leasing & Factoring). • Custody and deposit services for dairy products on behalf of third parties (through the subsidiary Magazzini Generali Fiduciari di Mantova SpA, which is also authorised to issue documents of title to the merchandise, providing for easier access to bank landing).	Corporate Banking directly supports about 319,500 Corporate customers of the Parent Company.			
	Breakdown by type <table><tr><td>■ SMEs and other companies - 9.3%</td></tr><tr><td>■ Small Business - 89.5%</td></tr><tr><td>■ Corporate client - 1.2%</td></tr></table>	■ SMEs and other companies - 9.3%	■ Small Business - 89.5%	■ Corporate client - 1.2%
	■ SMEs and other companies - 9.3%			
■ Small Business - 89.5%				
■ Corporate client - 1.2%				
Breakdown by geography <table><tr><td>■ North East - 18.3%</td></tr><tr><td>■ North West - 14.2%</td></tr><tr><td>■ Centre - 38.6%</td></tr><tr><td>■ South - 28.9%</td></tr></table>	■ North East - 18.3%	■ North West - 14.2%	■ Centre - 38.6%	■ South - 28.9%
■ North East - 18.3%				
■ North West - 14.2%				
■ Centre - 38.6%				
■ South - 28.9%				

Income statement and balance sheet results

As at 31 December 2022, **Total Funding** from *Corporate Banking* amounted to **EUR 28.8 bn**, substantially stable compared to 30 September 2022, due to a decline in Direct Funding (EUR -0.6 bn), almost completely offset by growth in Indirect Funding (EUR +0.5 bn). The aggregate was down compared to the end of December 2021 (EUR -1.2 bn), due to the decrease in both Indirect Funding (EUR -0.1 bn) and Direct Funding (EUR -1.1 bn). The decrease in the latter was affected by the funding cost optimisation actions implemented by the Parent Company. With regard to Indirect Funding, instead, the decline recorded in 2022 is mainly due to the negative market effect.

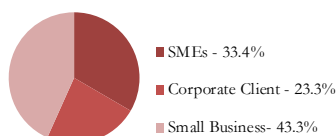
With regard to lending, as at 31 December 2022, **Gross interest-bearing loans to Corporate Banking customers** stood at approximately **EUR 33.0 bn**, down compared to 30 September 2022 (EUR -1.3 bn) and to 31 December 2021 (EUR -1.3 bn).



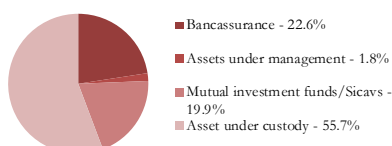
CORPORATE BANKING - BALANCE SHEET AGGREGATES

(EUR mln)	31/12/22	30/09/22	31/12/21	Chg Abs Q/Q	Chg % Q/Q	Chg Abs Y/Y	Chg % Y/Y
Direct funding	23,228	23,840	24,306	-612	-2.6%	-1,078	-4.4%
<i>Assets under management</i>	<i>2,477</i>	<i>2,487</i>	<i>2,627</i>	<i>-10</i>	<i>-0.4%</i>	<i>-150</i>	<i>-5.7%</i>
<i>Assets under custody</i>	<i>3,119</i>	<i>2,579</i>	<i>3,084</i>	<i>539</i>	<i>20.9%</i>	<i>35</i>	<i>1.1%</i>
Indirect Funding	5,595	5,066	5,711	529	10.5%	-116	-2.0%
Total Funding	28,823	28,906	30,017	-82	-0.3%	-1,193	-4.0%
Gross Interest-bearing loans to customers	33,044	34,349	34,360	-1,305	-3.8%	-1,316	-3.8%

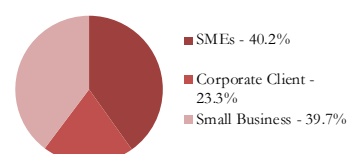
Direct funding breakdown



Indirect funding breakdown



Interest-bearing loans to customers



For profit or loss aggregates, as at 31 December 2022 Corporate Banking **Revenues** came to approx. **EUR 997 mln** (+7.3% compared to the previous year). A breakdown of the aggregate shows:

- Net Interest Income was approximately EUR 492 mln, up 12.0% annually mainly due to the higher contribution of commercial assets;
- Net fee and commission income grew by 1.1% compared to the previous year, amounting to approximately EUR 486 mln as at 31 December 2022;
- Other Income from Banking and Insurance Business were equal to approx. EUR 24 mln compared to approximately EUR 21 mln in 2021 (+13.3%).

Considering the impact of Operating Expenses, up by 1.8% compared to 2021, **Gross Operating Income** amounted to about **EUR 454 mln** (about EUR 396 mln as at 31 December 2021).

Net Operating Income stood at **EUR 250 mln** (about EUR 287 mln in the previous year) against a Cost of Credit of about EUR -205 mln (compared to about EUR -109 mln as at 31 December 2021).

The non-operating components amounted to approximately EUR -14 mln, a decrease from the previous year's EUR -3 mln.

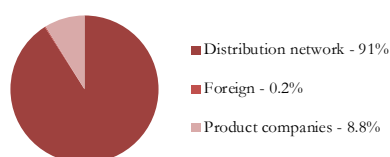
The **Result before tax from continuing operations** was **EUR 236 mln** (EUR 284 mln as at 31 December 2021).

The **cost-income ratio** of Corporate Banking stands at **54.4%** (57.4% as at 31 December 2021).

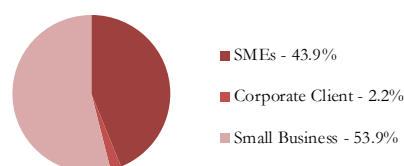


CORPORATE BANKING - PROFIT AND LOSS AGGREGATES				
(EUR mln)	31/12/22	31/12/21	Chg. Y/Y	
			Abs.	%
Net interest income	492.0	439.2	52.8	12.0%
Net fee and commission income	486.5	481.0	5.5	1.1%
Other Revenues from Banking and Insurance Business	23.6	20.8	2.8	13.3%
Other operating expenses/ income	(4.9)	(12.0)	7.1	-59.0%
Total Revenues	997.2	929.0	68.2	7.3%
Operating expenses	(542.9)	(533.2)	-9.7	1.8%
Pre Provision Operating Profit	454.2	395.7	58.5	14.8%
Cost of customer loans/Net impairment (losses)-reversals on securities and loans to banks	(204.6)	(109.1)	-95.6	87.6%
Net Operating Income	249.6	286.7	-37.0	-12.9%
Non-operating components	(13.6)	(2.9)	-10.7	n.m.
Profit (loss) before tax from continuing operations	236.1	283.8	-47.7	-16.8%

Breakdown of revenues



Breakdown of revenues - Distribution network



Results of the main subsidiaries

- **MPS Leasing & Factoring:** result before tax of about EUR 15 mln as at 31 December 2022, down by about EUR 1 mln compared to 2021. The profit for 2022 amounted to approximately EUR 19 mln compared to a profit of approximately EUR 21 mln posted in 2021.
- **MP Banque³³:** loss of approximately EUR 2.0 mln as at 31 December 2022 compared to a loss of approximately EUR 1.9 mln posted in 2021.

Main sales initiatives

Companies

Loans

In order to better cope with the extraordinary and urgent need to contain the negative economic effects resulting from the Russian military aggression against the Republic of Ukraine, the sanctions imposed by the European Union and international partners against the Russian Federation and the Republic of Belarus and the possible retaliatory measures adopted by the Russian Federation and in order to provide for measures to support the

³³ The performance indicated above is that calculated on an operational basis. Please recall that in 2018 the Parent Company approved the run-off of MP Banque



liquidity of companies based in Italy affected by this crisis, by Italian Law Decree no. 50 of 17 May 2022 “Urgent measures on national energy policies, business productivity and attraction of investments, as well as on social policies and the Ukrainian crisis”, converted, with amendments, by Italian Law no. 91 of 15 July 2022, the Bank issued special financing products due to the specific initiatives involving the Guarantee Fund for SMEs as well as Sace S.p.A.

The Guarantee Fund for SMEs: the “Temporary Crisis Framework” loans

In September 2022, the Bank issued a new medium-long term unsecured loan product used within the framework of the provisions of the aforementioned Italian Law Decree no. 50 of 17/5/2022 and in accordance with the provisions of the European Commission’s communication of 24 March 2022 and subsequent amendment of 20 July 2022, regarding State aid “Temporary crisis framework for State aid measures to support the economy following Russia’s aggression against Ukraine”.

MCC’s Circular no. 6 transposed the provisions of the aforementioned decree as well as those of the European Commission, and made operational the issuance of guarantees under the “Aid in the form of loan guarantees” - Section 2.2 of the Temporary crisis framework for State aid measures to support the economy following Russia’s aggression against Ukraine (the “Temporary Crisis Framework” or “TCF”).

In October 2022, the Bank also acknowledged the need to update a range of short-term products with instalment amortisation and a fixed maturity date so that these loans could be disbursed and therefore always assisted by guarantees issued by the Guarantee Fund for SMEs granted with reference to the “Temporary Crisis Framework” aid measure and pursuant to Aiuti Decree no. 50 in order to complete the range of products supporting the economy using the guarantee instrument enabled by the regulatory measures.

SACE “SupportItalia” guarantee

In order to provide for measures to support the liquidity of enterprises affected by the negative economic effects of Russia’s military aggression against the Republic of Ukraine, Italian Law Decree no. 50 of 17 May 2022 authorised SACE S.p.A. to issue, until 31 December 2022, guarantees in favour of banks, domestic and international financial institutions, and other entities authorised to provide credit management in Italy for loans in any form granted to the above-mentioned enterprises.

In August 2022, the Bank joined the “General Conditions” for the issue of guarantees by SACE S.p.A. and was therefore authorised to participate in the “Guarantee” instrument promoted by the Entity, pursuant to the aforementioned Italian Law Decree.

In September 2022, the Bank therefore issued a special medium- and long-term financing product to give substance to the instruments provided for by the regulations and with the intention of providing the necessary support to companies in the crisis context outlined.

SMEI EIF loan

The European Investment Fund (EIF Group) is a European institution whose main aim is to support the creation, growth and development of European small and medium-sized enterprises (SMEs) through the design and development of risk capital, guarantee and finance instruments in general, specifically aimed at these market segments. It operates in the EU Member States, as well as in the candidate countries and in the EFTA (European Free Trade Association) countries (Iceland, Liechtenstein, Norway and Switzerland). As part of the aforementioned activity, the EIF defined the “PMI Italia - SME Initiative” which is based on a synthetic securitisation transaction that took place in December 2020 on a BMPS performing loan portfolio of approximately EUR 1.7 bn guaranteed by EIF, which allowed the Bank to mitigate the related credit risk with advantages in terms of capital absorption. In view of this, the Bank undertook to disburse new loans until 2023 through the release of a specific loan product in March 2022. The new loans under the “SME Initiative” benefit from mitigations in the interest rate conditions equal to the benefit obtained by the Bank with the synthetic securitisation. The initiative aims to support companies located in areas considered disadvantaged in order to increase productivity and competitiveness, and allows for further diversification of the technical forms of public aid as well as an increase in the resources available in this regard. The Regions concerned are as follows: Molise, Abruzzo, Puglia, Basilicata, Calabria, Sicily, Sardinia and Campania.

“CDP Co-Financing - IV and V Mipaaf Tender” and “Co-Financing CDP - Tourism Tender” Agreements

The Bank has entered into the agreements signed between the Ministry of Tourism (hereinafter also referred to as “MT”) and Cassa Depositi e Prestiti (CDP) and between the Ministry of Agriculture, Food and Forestry Policies (hereinafter also referred to as “Mipaaf” now also referred to as “Masaf” - Ministry of Agriculture, Food



Sovereignty and Forestry) and CDP concerning, inter alia, the financing of projects to support investments in the tourism and agri-food sectors.

A) CDP co-financing - IV and V Mipaaf tender.

With Ministerial Decree no. 1192 of 8 January 2016 and subsequent Ministerial Decree no. 8254 of 3.8.2016, and with Ministerial Decree no. 0673777 of 22 December 2021, in agreement with Cassa Depositi e Prestiti (hereinafter also “CDP”), MIPAAF entered into the aforementioned agreements that govern relations between the aforementioned entities for the implementation and management of subsidized loans aimed at the realization of the projects referred to in the decrees referred to. Through the agreements, specific Tenders (IV and V) have been activated concerning the so-called “Supply Chain Contracts”, a tool intended to promote, through public and private financial support, the processes of reorganization of the relationships between subjects belonging to the Agri-food supply chain (understood as the set of phases of production, transformation, marketing and distribution of agricultural and agri-food products) and the Agro-energy supply chain (understood as the set of phases of production, transformation and marketing of biomass of agricultural origin and energy products).

B) CDP co-financing - Tourism Tender.

The “CDP Co-financing - Tourism Tender” product, on the other hand, is part of the National Recovery and Resilience Plan (hereinafter NRRP) to support investments in the Tourism sector. For the implementation of the “Fondo Rotativo Imprese (FRI) [Business Revolving Fund] for business support and development investments”, direct contributions are granted for expenditure on energy requalification, environmental sustainability and digital innovation in combination with co-financing, whose requirements, criteria, conditions and procedures for the related granting and disbursement have been defined in an agreement between the Ministry of Tourism, ABI and CDP which the Bank joined in September 2022. In response to entry into the agreement, in November 2022, the Bank issued a specific financing product.

The Guarantee Fund for SMEs Law 662/96 established a special section “Special Tourism Section” for companies in the Tourism/Hotel sector in order to support investments, including real estate, for energy requalification and digital innovation. Said section provides for the companies in the afore-mentioned sectors to obtain additional liquidity, also through the renegotiation/consolidation on the same bank of exposures not guaranteed by the Fund.

Subsidised financing

Banca Monte dei Paschi di Siena, in addition to carrying out an articulated training programme for the Network on NRRP-related issues, aimed at increasing the network of local and national relations through the creation of specific Regional Poles (Agro-Food Centres and MPS Agevola+ Centres) with the aim of improving interaction and relations with customers and seizing the opportunities provided by the NRRP; in addition to providing a series of actions aimed at offering support to the target companies through the activation and development of ad hoc initiatives and campaigns, the Centres play a proactive and advisory role in identifying and analysing the facilitation measures available in their area of competence, favouring the development of projects that have a positive impact on company development.

The centres offer the support of sector experts and solutions to guide companies towards a development process characterised by innovation, digitisation and sustainability, which are central elements of the NRRP. Commercial activities focused on stimulating customer demand for investment have been designed and will be pursued, positioning MPS as the single point of a complete and “ready-to-use” customer proposition, including assistance in accessing the tender/subsidy, the financing product appropriate to the sector and purpose, and the basket of guarantees potentially accessible to the customer.

In this context, new ad hoc partnerships were developed with counterparties with proven experience in the field of subsidised finance, aimed at:

- ✓ guiding companies in the process of relaunch and modernisation;
- ✓ providing specialised advice to companies on the sustainability of their business and assist them in obtaining ESG certification;
- ✓ offering customers a “turnkey” professional service: specialised advisory support for the Bank’s corporate clients - with particular attention to those without reference consultants - for sustainable development, enriching in fact the range of the Bank’s offer with a qualified and distinctive service performed by referenced Counterparties under their own responsibility, with regard to the services rendered to the Bank’s referral customers;



- ✓ providing a strategic, synergistic and complementary proposal with banking activities.

SMEs and Corporate Clients	Focus on business activities to support people and territories in the post-pandemic recovery process, with support for development projects and local activities and economies through specific initiatives and products, integrating environmental, social and governance (ESG) criteria within investment and lending policies and exploiting the potential of the NRRP. The opportunities linked to the NRRP also represent a significant lever for the expansion of the customer base through important development activities, identifying high potential companies to guarantee an increase in both lending and revenues. The Network commercial focuses mainly concerned: • assisting the businesses struck by the negative economic effects deriving from Russian military aggression against the Republic of Ukraine, by granting loans to support business liquidity backed by the guarantees given by i) SACE after the Bank signed on to the General Guarantee Conditions, an initiative named “SACE SupportItalia”, as well as ii) the Guarantee Fund for SMEs following the issue of Italian Law Decree “Urgent measures in the field of national energy policies, business productivity and attraction of investments, as well as in the field of social policies and the Ukrainian crisis”; • support for investment and expansion projects of companies located in the regions covered by the European Investment Fund's SME Initiative - in which the Bank has participated - called “SME Initiative” (Abruzzo, Basilicata, Calabria, Campania, Molise, Puglia, Sardinia and Sicily) which calls for the disbursement of loans benefiting from a reduction in the economic conditions applied equal to the benefit obtained by the Bank from the synthetic securitisation transaction backed by a guarantee provided by the European Investment Fund; • offering companies with greater business complexity a structured advisory and proactive commercial approach (so-called “Coverage Team”) which, through the reference relationship manager, guarantees personalised customer service, leveraging the Group's range of products and services and the support of specialists and product factories; • meeting the needs of medium-sized, small and very small companies operating in the agri-food sector through the creation of three Agrifood Centres in addition to the twelve that already exist; the project is based on specialised training of resources and territorial strengthening, through intensified cooperation with regional financial institutions, trade associations and Confidi; • support for the exporting and importing companies in advanced Trade Finance and Transaction Banking transactions, also in light of recent international developments and the changed geopolitical framework, including with respect to countries subject to restrictions, commercial activity carried out in the Network thanks to the peripheral support of both commercial and operational specialists; • the development and dissemination of digital channels to complete the opening and activation of the <i>Paskey Azienda Online</i> - PAO service, to increase the penetration and use of the services available online (online advances, Online Documents) and subscription of the FEA. Developments focused on the needs of more structured customers, enriching Paskey Azienda Online with functions and reports useful for business groups, which will gradually be extended to all customers: group signature book, list of separate items sent, group accounting balances and cash balances, dedicated export for incoming transfers and other less important ones. • the offering of products aimed at guaranteeing business stability and continuity and at encouraging Welfare measures. In 2022, the placement of the Protezione Welfare Infortuni [Accident Prevention Welfare] Policy continued, representing the first evolved solution in the Bancassurance world, useful to provide small and medium-
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	sized company access to company Welfare through a cover aimed at accidents at work and away from workplaces, alongside a “Protection Welfare Cards” Service Platform for the welfare of the individual and their families. The value of partnerships with the Product Companies is confirmed through the use of specialist services in order to develop the profitability of the relationship.
Small Business	During 2022, there was a strong focus on commercial activities to support people and territories in the course of post-pandemic recovery. The commercial focuses addressed to the Network mainly concerned: • particular attention to the potential linked to the NRRP, whose opportunities represent an important lever with the proposal of dedicated targets in various areas (Facile 4.0, Tourism, Agrifood, Female and Youth Entrepreneurship), activating a credit fast track, in agreement with the structures of the Credit Department, with allocation of priorities in the approval and disbursement of loans to selected customers in the above-mentioned targets; • a response to the needs of small and very small companies, but also of income-generating households operating in the agri-food sector by creating an additional three Agrifood centers, which were added to the twelve already existing; the project is based on specialized training of resources and territorial strengthening, through an intensification of collaboration with regional financial institutions, trade associations and Confidi; • the offering of products aimed at guaranteeing business stability and continuity and at encouraging the welfare measures that companies offer to their employees. This includes the Accident Welfare Protection, Business Protection, Wellness Formula and Tutta la vita [All your life]; • the development and dissemination of digital channels and services (Paskey Azienda Online - PAO), to increase the penetration and use of the services available online (online advances, online documents), proposing products that foster the digitisation of payments and e-commerce. In the field of acquiring services, the Bank focused in particular on encouraging the digitalisation process of “micro merchants”, through initiatives and offers such as Nexi Welcome (in partnership with Nexi). The offer was enriched by the “POS Extra” initiatives that allow merchants to request an additional GRPS POS completely free of charge and “SmartPOS 50%”, which offers a 50% discount on the monthly fee for all NexiSmartPOS models for 12 months. In addition, the new <i>Easy Merchant</i> platform was released for the Network, which significantly simplifies the management of agreements with new merchants; • the provision throughout the year, by means of the “MPS4Business” initiative, of a number of levers that can be used in commercial propositions on favourable terms with respect to the standard, in the areas of Financing, Protection, E-Money and Digital Services, and New Customer Development; • the migration from the <i>Advice</i> platform to the <i>Athena</i> platform for companies.



MPS Leasing & Factoring (MPS L&F)

Leasing

In 2022, leasing activities showed a consolidation of the sales activities adopted in 2021, closing with a -1.4% YoY.

Several activities characterised the leasing business dynamics, both from purely commercial and operational points of view.

In fact, significant recourse to public interventions continued all year round through the use of benefits granted at national level (in particular Sabatini/MCC) which contributed to the use of financial leases.

On the one hand, these opportunities led companies to make investments with both high technology and low environmental impact (in 2022, over 1,480 Sabatini applications for a value of approximately EUR 384 mln, of which 72% Sabatini 4.0 and 28% ordinary Sabatini), and on the other hand, facilitated access to credit through the guarantee offered by Mediocredito Centrale, which also allowed the subsidiary to record new business (net of the advance paid by the customer) that saw the level of coverage of guaranteed loans equal to approximately 35%. In fact, around 1,643 applications were submitted and accepted at MCC over the year for a guaranteed value of more than EUR 344 mln.

The development of commercial activities, also supported by the guidelines of the European Next Generation plan, has consolidated in 2022 some specific initiatives already started in the previous financial year, also through the implementation of the NRRP:

- “Sudleasing”: promotional campaign dedicated to companies with a registered office or production plant in Southern Italy, which acquire an operating asset. This offer provides dedicated conditions and a one-year “all risks” insurance policy free of charge on the leased assets;
- loans for leasing from Cassa Depositi e Prestiti (CDP): loans to promote a greater inflow of medium/long-term resources to companies, also through lease brokerage;
- *coverage: coverage initiatives with BMPS and Group companies to develop actions aimed at increasing cross selling;*
- specific ESG funding, with particular regard to initiatives with positive Social and Environmental impacts, also linked to Circular Economy issues.

Factoring

Also in 2022, the slowdown in economic growth did not stop the growth of the factoring market, demonstrating the vitality and resilience of the sector.

The commercial activity, already mentioned in the commercial focuses of the MPS Network, was carried out through:

- greater focus on the *Supply Chain Finance* offer, in order to guarantee customers an optimized management of credit and liquidity of the entire production chain, with particular focus on the agri-food, large-scale distribution, Medical Sector and Cleaning / Disinfection sectors. In particular, the activity concerned the expansion of agreements for both Reverse Factoring and Confirming;
- further development of non-recourse factoring and receivables purchasing to reclassify high-risk relationships and, thus, contain credit costs, making use, in this case, of the risk weighting of the transferred debtors;
- identification, through specific targets, of companies with unbalanced debt sustainability and which therefore may be open to receivables purchasing factoring solutions.
- continuation of the programme “*Coverage Team*” which provides, through joint and codified oversight mechanisms between the MPS Network and factoring specialists in the regions, specialised support to corporate customers with high standing;
- implementation of customised technical solutions to manage specific needs of customers with high standing (e.g. customised IT platforms);
- greater diffusion of Digital Factoring through a gradual technological upgrade of the platform.



The ability of MPSL&F to satisfy, also with customised solutions, the needs of customers, and the constant contact with customers, remain among the most appreciated distinctive features of the offer, which are also the basis of the long-lasting relationship of trust established with many customers over the years.

Large Corporate & Investment Banking

Business areas	Customers
• Credit brokerage aimed at specialised follow-up; provision of tailor-made products and services with the support of the Product Companies (Leasing Factoring and MPS Capital Services) with a view to coverage teams; cross-fertilisation of skills between group resources and financial products and services for businesses, also through strategic collaboration with institutional entities. • Corporate finance - medium and long-term credit facilities, corporate finance and structured finance (also through MPS Capital Services).	Approximately 850 Large Group customers of the Parent Company are directly supported by Large Corporate & Investment Banking.

Income statement and balance sheet results

Total Funding of *Large Corporate & Investment Banking* as at 31 December 2022 amounted to **EUR 9.5 bn**, down by EUR 0.5 bn compared to 30 September 2022. The aggregate was also down compared to the end of December 2021 (EUR -1.4 bn), due to the decrease in both Indirect Funding (EUR -0.7 bn) and to Direct Funding (EUR -0.7 bn). As in the case of Corporate Banking, the decrease in Direct Funding was also affected by the funding cost optimisation actions implemented by the Parent Company during the year. With regard to Indirect Funding, on the other hand, the decline in 2022 was impacted by the negative market effect and negative net flows reported in the Assets under custody segment.

With regard to lending, as at 31 December 2022, **Gross interest-bearing loans to Large Corporate & Investment Banking customers** stood at approximately **EUR 5.6 bn** (down by EUR 0.4 bn compared to 30 September 2022 and by EUR 0.3 bn compared to 31 December 2021).

Large Corporate and Investment Banking							
(EUR mln)	31/12/22	30/09/22	31/12/21	Chg. Abs Q/Q	Chg. % Q/Q	Chg. Abs Y/Y	Chg. % Y/Y
Direct funding	1,616	2,051	2,313	-435	-21.2%	-696	-30.1%
Assets under management	37	39	73	-1	-2.8%	-35	-48.4%
Assets under custody	7,843	7,949	8,540	-107	-1.3%	-698	-8.2%
Indirect Funding	7,880	7,988	8,613	-108	-1.4%	-733	-8.5%
Total Funding	9,496	10,039	10,926	-543	-5.4%	-1,429	-13.1%
Gross Interest-bearing loans to customers	5,580	5,963	5,894	-383	-6.4%	-314	-5.3%

For profit or loss aggregates, as at 31 December 2022 *Large Corporate & Investment Banking* has generated **Revenues** of approximately **EUR 190 mln** (-4.5% year-on-year). A breakdown of the aggregate shows:

- Net Interest Income amounted to approximately EUR 135 mln, down by 3.7% on an annual basis, due to the decrease recorded in the subsidiary MPS Capital Services;
- Net Fee and Commission income were down 4.1% compared to 2021 standing at around EUR 45 mln;



- Other income from banking and insurance business amounted to approximately EUR 9 mln, down by 24.1% compared to the previous year, due to the volatility of the financial markets, which penalised the results of the subsidiary MPS Capital Services.

Considering the impact of Operating Expenses, down by 6.5% compared to 31 December 2021, **Gross Operating Income** came to about **EUR 116 mln** (EUR 120 mln compared to 31 December 2021).

The **Net Operating Income** stood at approximately **EUR 69 mln** (approximately EUR 108 mln in 2021), against a Cost of credit of approximately EUR -47 mln (compared to EUR -12 mln as at 31 December 2021).

The non-operating components amounted to approximately EUR -62 mln, a decrease from approximately EUR -13 mln in the previous year. The negative contribution of 2022 also includes the recognition, by the subsidiary MPS Capital Services, of the provisions made in the third quarter against the redundancy manoeuvre/solidarity fund.

The **Result before tax from continuing operations** stood at approximately **EUR 8 mln** (approximately EUR 95 mln result as at 31 December 2021).

The Large Corporate Banking & Investment **cost-income ratio** stood at **38.6%** (39.5% as at 31 December 2021).

Large Corporate & Investment Banking				
(EUR mln)	31/12/22	31/12/21	Chg. Y/Y	
			Abs.	%
Net interest income	134.7	139.8	-5.1	-3.7%
Net fee and commission income	45.3	47.2	-1.9	-4.1%
Other Revenues from Banking and Insurance Business	8.7	11.5	-2.8	-24.1%
Other operating expenses/ income	0.9	(0.0)	0.9	n.m.
Total Revenues	189.6	198.5	-8.9	-4.5%
Operating expenses	(73.2)	(78.3)	5.1	-6.5%
Pre Provision Operating Profit	116.4	120.2	-3.8	-3.2%
Cost of customer loans/Net impairment (losses)-reversals on securities and loans to banks	(46.9)	(12.2)	-34.8	n.m.
Net Operating Income	69.4	108.0	-38.6	-35.7%
Non-operating components	(61.8)	(13.2)	-48.6	n.m.
Profit (loss) before tax from continuing operations	7.6	94.8	-87.2	-92.0%

Results for the subsidiary

MPS Capital Services: Pre-tax result of approximately EUR -17 mln as at 31 December 2022, down from the pre-tax profit of 2021 (amounting to approximately EUR 81 mln), in connection with the decline in revenue (penalised by market volatility), the increase in the cost of credit and the greater negative impact of non-operating items (including in 2022 the provisions made for the redundancy/solidarity fund manoeuvre). The net result for 2022 was positive and amounted to approximately EUR 2 mln, a decrease, due to the aforementioned dynamics, compared to the profit of approximately EUR 93 mln achieved in 2021.

Main sales initiatives

Large Corporate

Loans

As far as Financing is concerned, the 2022 work continued to support activities in the territory, through initiatives involving discussion and dialogue with customers and communities. The analysis of the areas in which the Bank operates made it possible to enhance their distinctive features through specific products to support the local economy.



Community outreach activities and support for the Group's people and regions during 2022 continued to be partly affected by the pandemic, as well as by the effects linked to the onset of the Russia-Ukraine conflict. In this sense, the offer partly focused on the needs arising with extraordinary customer support actions, based on government regulations as well as specific initiatives undertaken by the Bank itself.

The support to individuals, companies and the community was confirmed through the extension to 30 June 2022 of the measures of the Liquidità Decree that involve the introduction of the guarantee provided by the Guarantee Fund, ISMEA and SACE, with particular regard to Consolidation pursuant to art.13 paragraph 1 letter E) and New Finance pursuant to art.13 paragraph 1 letter M) and letter C) and art. 1.

To this end, the Bank adopted the use of special tools to standardise the *modus operandi* in the transparent definition of pricing proposed to counterparties on new consolidation transactions pursuant to letter E, as well as on transactions backed by the SACE guarantee.

In addition, Italian Law Decree no. 50 of 17 May 2022 ("Aiuti Decree") introduced the SupportItalia Guarantee, a support measure for Italian companies affected by the negative economic effects from the Russian military aggression against the Republic of Ukraine. The measure was converted, with amendments, by Italian Law no. 91 of 15 July 2022, and was authorised by the European Commission on 19 July 2022. This instrument was also extended until 31 December 2023.

For the world of financing, the guideline was essentially one of continuity with respect to 2021, transposing and adapting the financing backed by the guarantees under the Liquidità Decree and subsequent legislative interventions to support the economy

New loans

The MPS Group adapted all the types of loan introduced by art. 13 of the Liquidità Decree (with an MCC guarantee and an ISMEA guarantee) and art. 1 (with SACE guarantee), as well as by the "Aiuti Decree" with reference to the "SACE SupportItalia" instrument, updating the products and related information, incorporating the changes made necessary following the various amendments and additions by the Legislator (Sostegni Decree - Italian Law Decree no. 41/2021; Sostegni Bis Decree - Italian Law Decree no. 73/2021, Aiuti Decree as amended).

Large Groups

Funding: Particular attention was paid to the management of cash on current accounts in order to make it strictly functional to operational needs and related to the management of collections and payments. The involvement of the Product Company MPSCS made it possible to provide qualified advice and operational ideas to make surplus cash available more efficiently, also through forms of indirect funding with investment objectives linked to ESG logic.

Loans: in accordance with the Bank's strategic indications, priority was given to secured loans using, *inter alia*, risk mitigation or sharing instruments with SACE/CDP. Continuous financial support was provided to customers, also thanks to government instruments made available to Banks to mitigate the effects of the COVID-19 pandemic. Attention continued to be paid to management of risk and of the price to market in function of anticipated profitability. Consolidated and increased direct and indirect factoring operations.

The search for opportunities related to the National Recovery and Resilience Plan (NRRP) was increased. A special focus was placed on identifying counterparties that prioritised ESG investments and, to support this activity, a "Green New Deal" agreement was developed with Sace itself.

Agreements were introduced specifically tailored for the supplier chains of large corporations, so-called Italian "Lead entities", aimed at encouraging the transformation and sustainable growth of suppliers in the supply chains.

The activity of revaluation of the entire portfolio continued with a view to optimising capital absorption and limiting overall risk; the exchange with product/service Specialists was further intensified for synergic purposes, in order to enhance and integrate the offer also through hedging instruments.

Fee Recovery: in parallel with the control of the traditional income components and the development of further income stream through the involvement of the activities and services of the Product Companies, the synergy activity developed with the Foreign Area was increasingly strengthened.



The constant attention paid to Large Corporate Clients operating on international markets, through customised solutions related to their needs and thanks also to the network of the Bank's representative offices, allowed the execution of transactions with leading counterparties on foreign markets with interesting economic returns. This operational approach has made it possible to seize certain opportunities progressively arising from the new macroeconomic scenarios, in addition to the pandemic effects, which are becoming increasingly significant within both the export and import sectors.

MPS Capital Services (MPSCS)

Corporate finance

Project Financing and Real Estate – In 2022, MPS Capital Services confirmed its positioning amongst the leading banks in Italy for loans to the renewable energies sector and for infrastructure using Project Financing, as well as in the Real Estate sector with significant initiatives for property requalification and qualified institutional customers (e.g. Real Estate Funds). Considering their complexity, loan structuring requires medium/long finalisation times, so the transaction closings regarded both mandates obtained in the course of the year as well as mandates obtained previously. The most significant transactions carried out in 2022 were:

- a loan of EUR 18 mln on a project finance basis, structured on different credit lines, for the construction of a wind power plant, consisting of five wind turbines with a total capacity of 10 MW, located in the municipality of Mazzarino (CL) owned by the company Solarwind 2 Srl. MPSCS acted as Mandated Lead Arranger, Hedging Bank and carries out Agent Bank activities;
- financing of a portfolio of a total of 15.5 MW consisting of 39 photovoltaic plants, located throughout the country, held by 19 project companies (SPVs) directly controlled by Sun Berserker S.r.l. The transaction saw the granting by a pool of banks of project financing for a total of EUR 32.5 mln, of which MPSCS's share was EUR 16.3 mln, which acted as Mandated Lead Arranger, Hedging Bank and Agent Bank in the transaction;
- a loan for a total of EUR 19.09 mln on a project finance basis, consisting of various credit lines, for the construction of a biomethane production plant fuelled by urban organic fraction (FORSU) in Pontinia (LT) owned by Easy Energia Ambiente Srl. MPSCS granted a pool loan with a share of 50%, acting as a Mandated Lead Arranger, Hedging Bank and Agent Bank;
- a loan financing the purchase, renovation and redevelopment of a historic building located in the Jewish district of Rome on the Lungotevere, by a closed-end real estate investment fund reserved for qualified investors for the construction of a modern hotel by a major hotel chain. The financial assistance totalling EUR 30 mln was fully financed by MPSCS in the capacity as Mandated Lead Arranger (MLA);
- a project-based loan for the construction and wholesale management of a fibre optic network in FTTH (Fibre To The Home) mode throughout the country, with the aim of reaching approximately 29 million homes. The overall financial intervention made available to Open Fiber S.p.A., amounts to EUR 7,175 mln and was carried out with the intervention of Cassa Depositi e Prestiti and a pool of national and international banks in which MPSCS participated as MLA with a share of EUR 200 mln;
- a loan for the completion of a construction programme by a closed-end real estate investment fund reserved for qualified investors, of a modern student residence located in Milan - Via Ripamonti in the immediate vicinity of the Bocconi University and the IED fashion school. The loan for a total of EUR 64.2 mln was structured and financed, as a pool, by MPSCS and Natixis with a share subscribed by MPSCS for a total of EUR 34.8 mln;
- refinancing on a project basis of the current exposure, with a further increase in the financial funding, aimed at completing the first two lots of the mass public transport system of the Florence area, which connects the main centres of attraction of the city (airport-hospital-high speed station) with the city centre and is being developed by the company Concessionaria Tram di Firenze SpA controlled by a French fund associated with RATP, a leading international manager of urban



transport systems, and by other national companies, in various capacities, participating in the project. The financial intervention totalling EUR 188 mln was financed, together with two other banks and CDP, by MPSCS as lead partner and MLA for a share of EUR 35 mln.

Corporate Finance - Although in a general context impacted by the increase in energy and raw materials costs and by the supply difficulties exacerbated by the outbreak of the Russia-Ukraine conflict and the consequent geopolitical tensions, lending activity in the 2022 financial year developed with continuity and concerned, in particular, support to companies operating in the industrial sector (*paper, food, machinery production, cement, building materials*, etc.), the hotel and distribution sector, the real estate and construction sector. Among the loans finalised in 2022 to be noted are:

- the underwriting of a loan totalling EUR 60 mln in the capacity as lead manager (MPSCS share EUR 17.5 mln) for a major industrial group operating in the mining sector to support its working capital requirements and corporate investments at group level;
- the subscription of EUR 30 mln of a supersenior line totalling EUR 125 mln to support the investment plan for a high-speed wireless internet provider operating via a fixed wireless network;
- participation in a EUR 460 mln pool loan (MPSCS share EUR 15 mln) to support the financial requirements of a leading Italian hotel group;
- the structuring and organisation, in the capacity as MLA and Agent Bank, of a revolving credit line for a total of EUR 50 mln (MPSCS share EUR 13.5 mln) to support the financial requirements of a leading industrial group operating in the food industry related to the raw material procurement campaign.

During the financial year, loans for a total of approximately EUR 221.2 mln were entered into, backed by the SACE Guarantee Italia/SME Fund and the SupportItalia SACE Guarantee, respectively pursuant to Italian Law Decree no. 23/2020 on, inter alia, urgent measures concerning access to credit related to the COVID-19 epidemic (Liquidità Decree) and pursuant to Italian Law Decree no. 50/2022 on, inter alia, urgent measures concerning access to credit related to the Russia-Ukraine conflict (Aiuti Decree). In the context of the issue of loans correlated to facilitating tools, the operations to support research and development projects also continued, promoted by primary industrial groups operating in Italy, based on FRI ("Sustainable Industry" and "Digital Agenda" Tenders) as well as the support of projects promoted by agricultural and zootechnical companies in the context of "Supply chain and district contracts".

Acquisition Finance - During 2022, in a particularly effervescent market environment for M&A and private equity activity, MPSCS once again confirmed its significant competitive positioning in the acquisition and leveraged finance business in particular in the Mid Corporate segment for transactions of a highly industrial nature and with significant sales benefits for MPS Group.

Indeed, MPSCS continued origination activities and the structuring of acquisition transactions to support counterparties of top standing, focusing on industrial integrations carried out by corporate operators and also maintaining a strong foothold in the market for the LBOs promoted by the leading private equity operators in Italy.

Some of the main transactions organised and financed with the role of MLA were:

- acquisition of CBG Acciai - a leading Italian manufacturer of high-precision tools for cutting materials (special high-tech steel blades) - by private equity operator Azimut Libera Impresa (LBO);
- acquisition of La Doria - a leading Italian operator active in the production and distribution of food products, particularly in the segment of vegetables, sauces and especially tomatoes and their derivatives (own brands and private labels) - by the private equity operator Investindustrial (LBO);
- acquisition of Ledworks - an emerging and fast-growing operator in the smart lighting sector (Twinkly brand) - by the private equity operator DeA Capital Alternative Funds (LBO);
- acquisition of the Salice group - market leader in the production of systems and hinges for opening furniture and furnishing accessories - by the Belgian private equity operator Cobepa (LBO);
- acquisition of Microtest - an emerging and fast-growing operator active in the design, development and production of machinery and programmes for the testing of IT integrated circuits - by the private equity operator Xenon (LBO);



- acquisition of BCC Pay - leading Italian operator active in the management of card issuing (card issue and management) and merchant acquiring (merchant affiliation, installation and POS management) activities of the Iccrea Cooperative Banking Group - by the private equity operator FSI (Acquisition Finance);
- acquisition of the Profilmec group (an Italian player active in the production and marketing of high-frequency electro-welded steel tubes and profiles for different end application sectors) by the international Trasteel group, an operation aimed at creating a leading operator in the European panorama, characterized by a high degree of vertical integration and able to offer specialized products with high technological value on the market (Corporate Acquisition);
- acquisition of Converge and Extraordy (Italian companies active in the provision of services, solutions and IT consulting for companies/institutions) by Project Informatica, an operation aimed at accelerating the process of dimensional growth on the Italian market via M&A and, at the same time, creating a specific industrial strategy to diversify the product/service portfolio (Corporate Acquisition);
- acquisition of Keppel Smit Towage and Maju Maritime (one of the main operators in the harbour trailer sector in the Asia-Pacific area) by Rimorchiatori Mediterranei, an operation aimed at further developing the Italian group's internationalisation process as well as responding to a precise industrial strategy of diversification and dimensional growth (Corporate Acquisition);
- acquisition of Perini Navi (historic Italian group active in the luxury yachting sector) by The Italian Sea Group, an operation aimed on the one hand at accelerating the process of dimensional growth on the global market via M&A and on the other to implement a precise industrial strategy for the diversification of the product/brand portfolio (*Corporate Acquisition*).

Investment Banking

In a particularly challenging market context, the Bank offered its services to the corporate world for the raising of debt capital, supporting access to the capital market for the Group's key customers through the structuring and placement of new bond issues in the form of Private Placement and placements to institutional investors.

With regard to activities on the primary debt market, MPSCS continued to play its active role among the main operators in the sovereign placement market, participating inter alia in the capacity as Joint Lead Manager and Bookrunner in the syndicated issue of the new BTP Green maturing in April 2035, in addition to that of the new CCTeu maturing in 8 years, 15 October 2030; in addition, in the capacity as Co-Lead Manager, it participated in the following government issues: nominal 15 and 30 BTPs, and 10-year inflation-linked BTPs.

MPSCS continues its activities as Euronext Growth Advisor on behalf of Poligrafici Printing S.p.A., listed on the Euronext Growth Milan market of Borsa Italiana.

With reference to M&A Advisory activities, the Bank has assisted the Group's corporate customers in extraordinary financial transactions, including The Italian Sea Group on the occasion of the acquisition of Perini Navi, and has offered its services of corporate and business unit valuations.

Lastly, the Bank, in the capacity as accredited intermediary, has supported several companies in their request for access to the "Relaunch Capital" plan, consisting of Cassa Depositi e Prestiti SpA, as Allocated Assets pursuant to art. 27 of Italian Law Decree no. 34 of 19 May 2020, in order to implement interventions and operations to support and relaunch the Italian economic-production system, as a result of the epidemiological emergency and in the context of the regulatory framework of the European Union on government aid adopted to deal with the emergency (known as "Temporary Framework").

Subsidised financing

During 2022, consultancy activities continued for the Public Administration following the assignment of support services for the management of the SME Guarantee Fund and the Sustainable Growth Fund (SGRF) in accordance with the commitments undertaken in the agreements entered into with the Ministry of Economic Development (MiSE).

In this regard, to be noted in particular are the preliminary investigation activities relating to 49 research and development projects for a total amount of approximately EUR 540 mln and the follow up during the disbursement phase of the 76 projects in progress as regards the FCS, as well as the usual promotion and support activities carried out with banks and Confidi, trade associations and companies in relation to the SME Guarantee Fund interventions.



The activity of the Bank Authorised by the Ministry of Agriculture, Food and Forestry Policies (MIPAAF - Ministero delle Politiche Agricole, Alimentari e Forestali) also offering support by granting and disbursing incentives relating to the IV Tender for Supply Chain Contracts in the agricultural sector in collaboration with the Parent Company in the context of the “MPS Agrifood” initiative.

Finance

During 2022, the activities on the markets and with customers carried out by the Global Markets and Sales and the Financial Solutions Departments of MPSCS achieved good results even if below the level initially estimated. In particular, we report how unforeseen geopolitical events (war in Ukraine), sudden and sharp rise in interest rates by all the main central banks, the fall of the Draghi government and early political elections, have had a significant impact on the management of risk positions, in particular on the bond portfolios of Italian Financials, Corporates and Government securities.

The diversification of the Finance Business Model made it possible to contain the negative effects of bond portfolios, by leveraging a careful and effective management of financial risks accumulated over time on the hedges of products placed with direct customers and Banca MPS, and on those hedging the Corporate world (in particular, the management of risks arising from the commodity world, especially energy).

With regard to the Governments and Credit Trading segment, a more prudent management of proprietary portfolio holdings was undertaken, particularly during the last quarter, seeking to limit the nominal amount of securities held as part of a downward revision of the risk limits granted.

With reference to the Specialist activity with the Italian Treasury, the activity that, in recent years, has placed the Bank in a position of absolute pre-eminence continued, enabling it, inter alia, to play important roles in syndicated primary transactions in 2022. The credit sector in terms of volumes compared to last year posted a significant decrease on the markets. Lastly, it should be noted that, with regard to structuring activities, there was a sharp decline this year in particular – 40% on protected unit-linked products and -25% on funds.

The Sales and Financial Solutions Department continued to channel flows of institutional and corporate customers towards the entire range of the Bank's business lines. On the institutional customer front, there was a positive trend in derivatives activity, with a slight contraction in the equity component and a very strong increase in the interest rate component, while securities trading showed substantial stability in the government segment and a marked decrease in the credit segment, penalised by the aforementioned market performance. In the Auctions segment, there was a very strong increase in volumes compared to 2021. The results of placement activities in syndication declined considerably due to the lower funding requirements of the Italian Republic observed during the year.

Hedging with respect to corporate customers of the Parent Company posted a significant increase in volumes on exchange rates and commodities, due to the positive effects of the considerable variability observed in both the currency and commodity markets, while interest rate hedges showed a marked contraction, both in relation to Bmps and direct customers.

Business Development

The Operational Marketing and Business Support activities have provided concrete support for front office operations through various channels.

First of all, the regulatory compliance channel in compliance with the EBA guidelines on Loan Origination & Monitoring (LOM). The drafting of the new Regulation on Pricing and Economic Conditions has defined the centrality of a performance indicator (RAROC) that confirms the in-depth approach to the issues of profitability combined with pricing awareness and willingness to pay in tailor-made transactions.

The communication channel, for which the Operational Marketing & Business Support Office is the contact point for MPSCS, was developed internally within the Group and externally. In the first instance, the quarterly Capital Services News Newsletter was coordinated and published with the aim of providing insight into the knowledge and experience of Corporate & Investment Banking for colleagues in the MPS Network. The four issues published have collected over 2,200 views from the identified target, marking an indisputable success.

With regard to events and meetings aimed at promoting the commercial relationship with corporate customers and with active and prospective institutional counterparties, 2022 saw a relative downsizing compared to what was organised in 2021. The 2021, the programme consisting of Prime and Flagship events was replaced by targeted webinars for Corporate and Institutional customers. Also on this occasion, the attraction potential, based on the content of the interventions, was fully demonstrated. Over 500 people in total accepted the invitation to participate in the 2023 market outlooks in the two webinars of 5 and 22 November 2022.



Events are, of course, only the most organised part of business development relationships that are fostered on a daily basis by the Regional Centres, Corporate Desks and also at regular macroeconomic webinars.

With regard to press releases, although 2022 was a year full of transactions of particular media interest, there was a very selective approach with a relatively limited volume compared to other financial years. The year began with the important press release on the acquisition by Italian Sea Group of Perini Navi but then recorded a slowdown in the media.

Nevertheless, visibility was given to MPS Capital Services' role in the government bond market, for which the Ministry of Economy and Finance ranked MPS as the third-largest specialist in 2022, as well as in the foreign exchange forecasting market, for which Bloomberg awarded MPS Capital Services the accolade of third-largest G10 global currency forecaster in the final quarter of 2022.

Business Development is also an intervention to support the promotion of subsidy measures. Following the war between Ukraine and Russia, the Italian government made available the SACE SupportItalia guarantee, for which the Business Development function oversaw the proposal for acceptance before the top bodies in August 2022. As of December 2022, there are more than EUR 110 mln of transactions concluded and to be concluded, secured by this instrument.

2022 was also the year of consolidation of the role of Business Development in the promotion of active and passive onboarding for financial counterparties and for corporate customers mainly operating in finance.

Corporate Centre

The Corporate Centre includes:

- the economic/financial results of Non-Performing customers managed centrally by the Non-Performing Loans Unit;
- head office units, particularly with regard to governance and support functions, proprietary finance, the “asset centre” of divisionalised entities, which comprises in particular: proprietary finance activities, treasury and capital management;
- business service and support units, particularly with regard to the development and management of information systems.

The *Corporate Centre* also includes the offsetting of intragroup entries and the results of the companies consolidated under the equity method and those held for sale.

With regard to Non-Performing customers managed centrally by the Non-Performing Loans Unit, as at 31 December 2022, gross performing loans to customers amounted to EUR 1.0 bn; the contribution to the economic results of the Corporate Centre was approximately EUR 15 mln in Revenues, approximately EUR -58 mln in Operating Expenses and approximately EUR -117 mln in the Cost of Credit.

As regards Finance activities, in 2022 securities from the Parent Company's portfolio were sold, particularly roughly EUR 0.8 bn classified at amortised cost, which contributed a total profit of roughly EUR 48 mln, down by around EUR 80 mln compared to the previous financial year when disposals from the securities portfolio were carried out for a total of around EUR 1.2 bn. To offset these sales and overdue securities, some securities amounting to approximately EUR 2 bn were repurchased, again classified at amortised cost.



Equity investment management

During 2022, the streamlining of the investment portfolio continued, also by simplifying the structure of the Banking Group.

The following is a detailed list of the most significant transactions carried out during the financial year.

Acquisitions

In August, the Parent Company received an additional no. 364 shares of Visa Inc. Preferred class A, against partial conversion of the shares of Visa Inc. Preferred class C, previously acquired as part of the sale of Visa Europe to the same Visa Inc.

Mergers/ Absorptions

On 5 December 2022, the merger by incorporation of COG S.p.A. (formerly Consorzio Operativo Gruppo Montepaschi S.c.p.a.) into the Parent Company took effect, with accounting and tax effects starting from 1 January 2022.

Disposals

The equity investment held in Ausilia S.r.l. (10% of the share capital) was divested. Partial divestments were made of the equity investments in Campus Bio Medico S.p.A. (from 0.88% to 0.68% of the share capital) and in Nomisma Società di Studi Protezione S.p.A. (from 5.48% to 0.41% of the share capital). Upon completion of the respective liquidation procedures, the equity investments in Enea Reoco S.r.l. in liquidation (100%), Industria elettrica Indel S.p.A. (14.95%), So.fin.ind. S.p.A. in liquidation (8.29%) and Ecu Sim S.p.A. (2.30%) were derecognised.



Prospects and outlook on operations

The global economy is experiencing a slowdown in growth despite some advanced economies are showing a higher-than-expected expansion in 2022. The uncertainty regarding the outcome of the conflict in Ukraine, high inflation, the worsening of financial conditions and the current monetary squeeze determine negative impacts on consumption and investments, forcing the fiscal policy to support interventions for households and businesses. Recently, there have been signs of stabilising/reversing US inflation and declines in European gas prices. The ECB estimates ³⁴of December certify expectations of weakness with the GDP of the Eurozone expected to advance by 0.5% on an annual basis in 2023. There are still downside risks on growth related to possible escalation of the conflict in Ukraine, rising geopolitical tensions in the Pacific, violent resurgence of contagion in China (with impacts on international supply chains and international trade), and monetary policy overreaction. Inflation risks are more balanced: the short-term upward risks associated with possible new energy price increases are contrasted in the medium term by downward risks associated with the possibility of a more pronounced and lasting deterioration in aggregate demand.

Despite the energy crisis and a particularly inflationary environment, Italy surprisingly performed well among European countries in 2022, thanks to the robust trend in consumption and investment, which, however, slowed down in the last months of the year (especially consumption). Assuming that in the first months of 2023 the tensions associated with the conflict remain significant and energy prices remain relatively high and then fall thereafter, the Bank of Italy estimates³⁵ a continuation of the weak phase for Italy, with gradual easing from the spring and 2023 growth at 0.6% year-on-year, with inflation above 6% per year. The presentation by the government of a manoeuvre, with a 2023 debt target in line with EU guidelines, helps to alleviate fears of a problematic management of high indebtedness. The NRRP is expected to make a significant contribution to growth in the medium term.

Thanks to a better economic growth than expected and measures introduced to mitigate the effects of rising energy costs, at the moment there are no strong repercussions on the credit quality of Italian banks, even if, with the increase in rates and with the gradual return of support policies, a slight deterioration in asset quality is expected, which will continue with an increase in the cost of risk for 2023. This is due to the slowdown in economic activity, energy shocks and the rising cost of debt, all of which will contribute to keeping banking institutions' risk perception high. Governments and institutions will continue to provide support to the economy by postponing the emergence of non-performing loans to 2024-25. Despite this, an increased build-up of non-performing loans is already expected this year and will lead to an increase in the flow of loan adjustments, although the impact on the income statement will still be limited by the increased significance of secured loans triggered by the credit support measures introduced to counteract the effects of the pandemic.

As a result of the rise in rates and the effects of inflation, there was gradually less interest due to the accumulation of deposits on current accounts, which began to show the first negative signs starting from November. As regards liquidity held by companies, the decrease started even earlier, since October, with the use of available capital by companies. In the coming months, a shift in the investment choices of the private sector is expected towards assets that guarantee a higher return even with a lower risk profile (term deposits, bonds) and towards the asset management and custody segments. As the tightening of monetary policy continues and the medium- and long-term liquidity made available by the ECB runs out, there will be a re-composition in the funding structure of the banking system, which will be facing the need to increase medium- and long-term funding. Lending to the economy, albeit slowing, is expected to be positive, supported in nominal terms by higher inflation and despite the increase in the rate profile. Household loans will be impacted by a stagnation in consumption and revised real estate market outlooks; those to businesses will be affected by the adverse economic scenario as well as recourse to other forms of financing, including the use of previously accumulated liquidity. The widening of the banking spread may contribute to the good performance of net interest income and to the improvement of the traditional profitability of the sector, even if, with a higher cost of funding and lower volumes on loans than expected a few months ago. The fee and commission component, suffering in 2022 due to the reduction in new flows of savings, may benefit as of 2023 from the contribution deriving from the reshuffle of liquidity towards asset management instruments. Lastly, the banking sector will be affected by the increase in operating costs due to inflation, the outcome of the renewal of the national contract, and increasing investments in digital and ESG.

The greater uncertainty that characterises the current economic context requires keeping a close eye on lending activities. In any event, the Group will be committed to supporting businesses also exploiting the potential offered

³⁴ Euro area macroeconomic projections formulated by Eurosystem experts, December 2022

³⁵ Economic Bulletin, Bank of Italy, January 2023 These forecasts update those prepared as part of the Eurosystem's coordinated forecasting exercise and published in December 2022



by the NRRP, supporting development projects and local activities, leveraging their unique features through specific initiatives and products, with a view to supporting and directing the recovery towards a more sustainable development model, integrating environmental, social and governance (ESG) criteria within investment and lending policies, thus continuing to interpret the Bank's historical role in supporting and promoting local areas and economies. The net interest income may still benefit in the coming months from rising rates and the contribution of the new consumer credit platform, despite the increased cost of funding and the higher cost of funding from the ECB. Commissions may be supported by the recovery of assets under management and the contribution of those related to operating activities. Particular attention will be paid to lending strategies with the aim of encouraging the growth of loans while maintaining the quality of the portfolio.

With regard to cost, it should be noted that the termination of service as of 1 December 2022 of about 3,900 resources (over 4,000 considering also those seconded outside the Group) – due to the adhesion to the voluntary redundancy manoeuvre and adhesion to the sector Solidarity Fund – whose pro-rata cost in the year has impacted Group personnel expenses by approx. Eur 286 mln, will generate structural savings of about Eur 312 mln in future years

In line with the implementation of the 2022-2026 Business Plan approved by the Board of Directors on 22 June 2022, in the coming months, subject to authorization by the ECB, the finalisation of the merger by incorporation transactions is expected in the Parent Company of the subsidiaries MPS Leasing & Factoring and MPS Capital Services. Mergers will generate synergies both on costs, as a result of the simplification and streamlining of processes, and on revenues thanks to the expected greater efficiency of the business chain.

The actual figures as at 31 December 2022 confirm the very robust liquidity position of the Group, with indicator levels (LCR/NSFR) that are significantly higher than regulatory and operational limits. The institutional maturities expected for the first half of 2023 are primarily represented by TLTRO III auctions for EUR 11 bn. Against the planned maturities, the Group's funding strategies aim to maintain liquidity indicators at adequate levels, broadly above regulatory limits, as well as to ensure, with particular reference to public bond issuance plans, the fulfilment of MREL requirements. These strategies are defined in accordance with the 2022-2026 Business Plan.

As regards capital requirements, in relation to the revision of internal models, in the course of the first quarter of 2023 an overall increase of roughly EUR 4 bn is expected in RWAs, linked to the re-estimation of models for full alignment with the EBA Guidelines (EBA-GL-2017-16) carried out in the course of 2021, subject to review by the ECB in 2022.



Annexes



Reconciliation between the reclassified income statement and balance sheet and the related statutory accounts



Reconciliation between the reclassified income statement as at 31 December 2022 and related statutory accounts

Income Statement accounts		31/12/22	Reclassification from allocation of IFRS acquisition cost to IFRS (P/A)	Customer repayments	Reclassification of dividends on treasury stock transactions	Reclassification of the portion of profits from equity investments	Reclassification provision to BRMD and DCSD funds	Recovery of stamp duty and customers' expenses	DTA Fee	Restructuring costs (Personnel expenses for early retirement)	Securitization, Recapitalization and Commitment Costs	Cost of credit	31/12/22	Reclassified Income Statement accounts
10	Interest income and similar revenues <i>of which interest income calculated applying the effective interest rate method</i>	2,149.7 1,863.7	3.1 3.1	0.4 0.4									1,538.7 2,153.2	Net interest income
20	Interest expense and similar charges	(614.5)											(614.5)	
40	Fee and commission income	1,585.0		6.6									1,364.6	Net fee and commission income
50	Fee and commission expense	(227.0)		6.3									1,591.3	
70	Dividends and similar income	26.3		0.3									(226.7)	
80	Net profit (loss) from trading	(23.7)			(5.0)	64.0							85.3	Dividends, similar income and gains (losses) on equity
100	Gains/(losses) on disposal/repurchase of: a) financial assets measured at amortised cost b) Financial assets measured at fair value through other comprehensive income c) financial liabilities	52.0 50.8 1.2 -			5.0		0.9					(10.2)	74.2	Net profit (loss) from trading, the fair value measurement of assets/liabilities and Net gains (losses) on disposals/repurchases
110	Net profit (loss) from other financial assets and liabilities measured at fair value through profit or loss a) financial assets and liabilities designated at fair value b) other financial assets mandatorily measured at fair value	50.1 31.7 18.4					0.9					(7.4)	43.6	
90	Net profit (loss) from hedging	6.2											6.2	Net profit (loss) from hedging
230	Other operating expenses/income	227.6		(0.3)				(207.9)					19.4	Other operating income (expenses)
190	Administrative expenses: a) personnel expenses b) other administrative expenses	(3,293.6) (2,321.8) (971.8)					178.8	199.8	62.9	928.3	3.2		(1,920.6) (1,393.5) (527.1)	Administrative expenses a) personnel expenses b) other administrative expenses
210	Net adjustments to/recoveries on property, plant and equipment	- (118.9)	0.9					8.1	-	-	-	-	(178.6) (110.8)	Net value adjustments to property, plant and equipment and intangible assets
220	Net adjustments to/recoveries on intangible assets	(68.6)	0.9					-	-	-	-	-	(67.7)	
130	Net impairment (losses)/reversals on: a) financial assets measured at amortised cost b) financial assets measured at fair value through other comprehensive income	(430.5) (430.3) (0.2)										9.3 0.9 0.2	(416.9) (429.4) (0.0)	Cost of customers credit 130a) financial assets measured at amortised cost - customers
140	Modification gains/(losses)	4.3										2.8 7.4 (2.0)	2.8 7.4 (2.0)	100a) Loans to customers measured at amortised cost 110b) Loans 170 a) Net provision for risks and charges related to financial
160	Net insurance premiums											(1.1)	(1.1)	140 Modification gains (losses)
170	Other net insurance income (expense)													Net impairment (losses)/reversals on securities and loans
200	Net provision for risks and charges: a) commitments and guarantees issued b) other net provisions	6.7 (2.0) 8.7		(6.7)								2.0 2.0 -	2.0 2.0 2.0	Net provisions for risks and charges
250	Gains (losses) on investments	67.7			(64.0)								3.7	Gains (losses) on investments
260	Net gain (losses) on property, plant and equipment	(31.1)					(179.7)			(928.3)	(3.2)		(931.4)	Restructuring costs / One-off costs
280	Gains (losses) on disposal of investments	0.8							(62.9)				(179.7)	Risks and charges related to the SRF, DGS and similar schemes
290	Profit (loss) before tax from continuing operations	(631.4)	4.0										(62.9)	DTA Fee
300	Tax (expense)/recovery on income from continuing operations	426.6	(1.3)										(31.1)	Net gain (losses) on property, plant and equipment and
310	Profit (loss) after tax from continuing operations	(204.8)	2.7										0.8	Gains (losses) on disposal of investments
320	Profit (loss) after tax from groups of assets held for sale and discontinued operations	-											(627.4)	Profit (loss) for the period before tax
330	Profit (loss) for the year	(204.8)	2.7										425.3	Tax (expense)/recovery on income from continuing operations
340	Profit (loss) attributable to non-controlling interests	(0.1)											(202.1)	Profit (loss) after tax
		-	(2.7)										(202.1)	Net profit (loss) for the year
		-											(0.1)	Net profit (loss) attributable to non-controlling interests
		-											(2.7)	PPA (Purchase Price Allocation)
Parent company's net profit (loss) for the year		(204.7)	-	-	-	-	-	0.0	-	-	-	-	0.0	(204.7) Parent company's net profit (loss) for the year



Reconciliation between the reclassified income statement as at 31 December 2021 and related statutory accounts

Income Statement accounts	31/12/21	Economic effects from allocation of BAV acquisition costs in BAPS	Customer repayments	Reclassification of dividends on treasury stock transactions	Reclassification of the portion of profits from equity investments	Reclassification provision by BRBD and D-GSD Fund	Recovery of stamp duty and customers' expenses	DTA Fee	Restructuring costs (Personnel expenses for early retirement)	Restructuring costs (Closure of Branches)	Securitization	Reclassification and Commitment Costs	Cost of credit	31/12/21	Reclassified Income Statement accounts
10 Interest income and similar revenues <i>of which interest income calculated applying the effective interest rate method</i>	1,897.4	4.4											1,221.5	1,901.8	Net interest income
20 Interest expense and similar charges	(680.3)												(680.3)	-	
40 Fee and commission income	1,696.6											(0.1)	1,484.0	1,696.6	Net fee and commission income
50 Fee and commission expense	(212.5)											(0.1)	(212.6)	(212.6)	
70 Dividends and similar income	13.7			(4.7)	104.4								113.4		Dividends, similar income and gains (losses) on equity investments
80 Net profit (loss) from trading	19.8			4.7	2.7								50.0	184.8	Net profit (loss) from trading, the fair value measurement of assets/liabilities and Net gains (losses) on disposals/repurchases
100 Gains/(losses) on disposal/repurchase of: a) financial assets measured at amortised cost b) financial assets measured at fair value through other comprehensive income c) financial liabilities	139.8 123.3 11.4 5.1			4.7									1.5 1.5 11.4 5.1	24.5 141.3 124.8 5.1	
Net profit (loss) from other financial assets and liabilities measured at fair value through profit or loss	(32.2)				2.7								48.5	19.0	
a) financial assets and liabilities measured at fair value	8.9													8.9	
b) other financial assets mandatorily measured at fair value	(41.1)				2.7								48.5	10.1	
90 Net profit (loss) from hedging	12.6													12.6	Net profit (loss) from hedging
230 Other operating expenses/income	223.3					(257.9)			(1.9)				(36.5)		Other operating income (expenses)
190 Administrative expenses: a) personnel expenses b) other administrative expenses	(2,401.6) (1,431.7) (969.9)				166.6	237.7	63.2	3.7	0.9	3.4			(1,926.0)	(1,428.0) (498.1)	Administrative expenses a) personnel expenses b) other administrative expenses
210 Net adjustments to/recoveries on property, plant and equipment	(134.2)	0.9				20.2			0.7				(179.9)		Net value adjustments to property, plant and equipment and intangible assets
220 Net adjustments to/recoveries on intangible assets	(67.5)	0.9				20.2			0.7				(113.3)		
130 Net impairment (losses)/reversals on: a) financial assets measured at amortised cost b) financial assets measured at fair value	(193.6) (196.4) 2.8												(48.8) (2.5) (2.8) (1.5) (48.5)	(250.0) (198.9) (0.0) (1.5) (48.5)	Cost of customers loans 130a) financial assets measured at amortised cost - customers 100a) Loans to customers measured at amortised cost 110b) Loans 170 a) Net provision for risks and charges related to financial guarantees and other commitments 140 Modification gains (losses)
140 Modification gains/(losses)	(7.6)												6.5 (7.6)	6.5 (7.6)	
160 Net insurance premiums													5.3	5.3	Net impairment (losses)/reversals on securities and loans to banks
170 Other net insurance income (expense)													-	-	
200 Net provision for risks and charges: a) commitments and guarantees issued b) other net provisions	(92.5) 6.3 (99.0)												(6.5) (6.5) (99.0)	(99.0)	Net provisions for risks and charges
250 Gains (losses) on investments	106.6				(104.4)								2.2		Gains (losses) on investments
					(169.3)			(3.7)	(0.3)	(3.3)			(7.3)		Restructuring costs / One-off costs
260 Net gain (losses) on property, plant and	(44.1)							(63.2)					(169.3)		Risks and charges related to the SRF, DGS and similar schemes
280 Gains (losses) on disposal of investments	14.4									0.6			(63.2)		DTA Fee
290 Profit (loss) before tax from continuing	258.1	5.3			0.0								(43.5)		Net gain (losses) on property, plant and equipment and
300 Tax (expense)/recovery on income from	51.2	(1.7)											14.4		Gains (losses) on disposal of investments
310 Profit (loss) after tax from continuing	309.3	3.6			0.0								263.4		Profit (loss) for the year before tax
320 Profit (loss) after tax from groups of assets held													49.5		Tax (expense)/recovery on income from continuing
330 Profit (loss) for the year	309.3	3.6			0.0								312.9		Profit (loss) after tax
340 Profit (loss) attributable to non-controlling	(0.2)	(3.6)											(0.2)		Net profit (loss) for the year
Parent company's net profit (loss) for the year	309.5												309.5		Net profit (loss) attributable to non-controlling interests
													(3.6)		PPA (Purchase Price Allocation)
															Parent company's net profit (loss) for the year



Reconciliation between the reclassified balance sheet and related statutory accounts as at December 2022

Balance-sheet Items - Assets	31/12/22	Loans to customers	Trading derivatives	Securities	Loans to Banks @ AC - Loans to Central Banks	Non-current assets held for sale and disposal groups	Change in value of macro-hedged financial assets	31/12/22	Reclassified Balance-sheet Items - Assets
10 Cash and cash equivalents	12,538.6							12,538.6	Cash and cash equivalents
20 Financial assets measured at fair value through profit or loss	6,756.7			14,115.9				18,393.6	Securities assets
a) financial assets held for trading	6,299.4		(2,336.5)					14,115.9	
b) financial assets designated at fair value	-							3,962.9	
c) other financial assets mandatorily measured at fair value	457.3	(142.5)						314.8	
30 Financial assets measured at fair value through other comprehensive income	4,352.3			(4,352.3)					
40 Financial assets measured at amortised cost	88,464.7								
a) Loans to banks	3,255.7			(677.4)	(628.1)			628.1	Loans to central banks
b) Loans to customers	85,209.0	142.5		(9,086.2)				1,950.2	Loans to banks
								76,265.3	Loans to customers
50 Hedging derivatives	1,077.1		2,336.5					3,413.6	Derivatives
60 Change in value of macro-hedged financial assets (+/-)	(908.7)						908.7	-	
70 Equity investments	688.3							688.3	Equity investments
80 Reinsurers' share of technical reserve	-							-	
90 Property, plant and equipment	2,375.9					65.5		2,441.4	Property, plant and equipment
100 Intangible assets	162.6							162.6	Intangible assets
- of which goodwill	7.9							7.9	- of which goodwill
110 Tax assets	2,216.3							2,216.3	Tax assets
a) current	718.2							718.2	a) current
b) deferred	1,498.1	-						1,498.1	b) deferred
120 Non-current assets held for sale and disposal groups	65.5	-				(65.5)		1,474.9	Other assets
130 Other assets	2,383.6	-					(908.7)	1,474.9	120 Non-current assets held for sale and disposal groups
									130 Other assets
Total Assets	120,172.9	-	-	0.00	-	-	-	120,172.9	Total Assets

Balance-sheet Items - Liabilities	31/12/22	Due to central banks	Due to banks	Debt securities issued - customers	Trading derivatives	Financial liabilities designated at fair value	Provision for staff severance indemnities	Change in value of macro-hedged financial liabilities (+/-)	Group Net Equity	31/12/22	Reclassified balance-sheet items - Liabilities
10 Financial liabilities measured at amortised cost	103,283.4								81,997.6	81,997.6	Direct funding
a) due to banks	21,382.8	(19,176.9)	(2,205.9)	7.2					73,356.8	73,356.8	a) due to customers
b) due to customers	73,349.6			(7.2)					8,640.8	8,640.8	b) Securities issued
c) debt securities issued	8,551.0				97.0				19,176.9	19,176.9	Due to central banks
		19,176.9	2,205.9						2,205.9	2,205.9	Due to banks
20 Financial liabilities held for trading	3,988.5				(1,421.3)				2,567.2	2,567.2	On-balance-sheet financial liabilities held for trading
30 Financial liabilities designated at fair value	97.0					(97.0)					
40 Hedging derivatives	301.6				1,421.3				1,722.9	1,722.9	Derivatives
									301.6	301.6	Hedging derivatives
									1,421.3	1,421.3	Trading derivatives
50 Change in value of macro-hedged financial liabilities (+/-)	(77.4)							77.4			
60 Tax liabilities	6.6								6.6	6.6	Tax liabilities
a) current	-								-	-	a) current
b) deferred	6.6								6.6	6.6	b) deferred
70 Liabilities associated with non-current assets held for sale and disposal groups	-										
								(77.4)	3,111.5	3,111.5	Other liabilities
									(77.4)	(77.4)	Change in value of macro-hedged financial liabilities (+/-)
											Liabilities associated with non-current assets held for sale and disposal group
80 Other liabilities	3,188.9								3,188.9	3,188.9	Other liabilities
90 Provisions for employees severance pay	70.2					(70.2)					
100 Provisions for risks and charges:	1,515.5								1,585.7	1,585.7	Provisions for specific use
a) financial guarantees and other commitments	142.5						70.2		70.2	70.2	a) Provision for staff severance indemnities
b) post-employment benefits	26.6								142.5	142.5	b) Provision related to guarantees and other commitments given
c) other provisions	1,346.4								26.6	26.6	c) Pension and other post-retirement benefit obligations
									1,346.4	1,346.4	d) Other provisions
120 Valuation reserves	(235.7)								235.7	235.7	
130 Reserves	784.6								(784.6)	(784.6)	
									(235.7)	(235.7)	Group net equity
											a) Valuation reserves
											b) Redeemable shares
											c) Equity Instruments
									784.6	784.6	d) Reserves
											e) Share premium reserve
170 Share capital	7,453.5								7,453.5	7,453.5	f) Share capital
											g) Treasury shares (-)
								(204.7)	(204.7)	(204.7)	h) Net profit (loss) for the year
180 Treasury shares (-)	-										
190 Non-controlling interests (+/-)	0.9									0.9	Non-controlling interests
200 Profit (loss) for the year (+/-)	(204.7)								204.7	204.7	
Total Liabilities and Shareholders' Equity	120,172.9	-	-	-	-	-	-	-	120,172.9	120,172.9	Total Liabilities and Shareholders' Equity



Reconciliation between the reclassified balance sheet and related statutory accounts as at December 2021

Balance-sheet Items - Assets	31 12 2021	Loans to customers	Trading derivatives	Securities	Loans to Banks @ AC - Loans to Central Banks	Non-current assets held for sale and disposal groups	Change in value of macro-hedged financial assets	31 12 2021	Reclassified Balance-sheet Items - Assets
10 Cash and cash equivalents	1,741.8	-	-	-	-	-	-	1,741.8	Cash and cash equivalents
20 Financial assets measured at fair value through profit or loss	9,671.0	-	-	15,013.6	-	-	-	22,127.1	Securities assets
a) financial assets held for trading	9,217.0	-	(2,426.0)	-	-	-	-	15,013.6	
b) financial assets designated at fair value	-	-	-	-	-	-	-	6,791.0	
c) other financial assets mandatorily measured at fair value	454.0	(131.5)	-	-	-	-	-	322.5	
30 Financial assets measured at fair value through other comprehensive income	5,460.7	-	-	(5,460.7)	-	-	-	-	
40 Financial assets measured at amortised cost	113,060.1	-	-	-	-	-	-	-	
a) Loans to banks	25,004.4	-	-	(741.4)	20,769.7	-	-	20,769.7	Loans to central banks
b) Loans to customers	88,055.7	136.1	-	(8,811.5)	(20,769.7)	-	-	3,493.3	Loans to banks
50 Hedging derivatives	5.6	-	2,426.0	-	-	-	-	79,380.3	Loans to customers
60 Change in value of macro-hedged financial assets (+/-)	594.5	-	-	-	-	-	(594.5)	2,431.6	Derivatives
70 Equity investments	1,095.4	-	-	-	-	-	-	-	
80 Technical insurance reserves reassured with third parties	-	-	-	-	-	-	-	1,095.4	Equity investments
90 Property, plant and equipment	2,490.1	-	-	-	-	68.2	-	2,558.3	Property, plant and equipment
100 Intangible assets	185.2	-	-	-	-	-	-	185.2	Intangible assets
- of which goodwill	7.9	-	-	-	-	-	-	7.9	- of which goodwill
110 Tax assets	1,774.0	-	-	-	-	-	-	1,774.0	Tax assets
a) current	727.6	-	-	-	-	-	-	727.6	a) current
b) deferred	1,046.4	-	-	-	-	-	-	1,046.4	b) deferred
120 Non-current assets held for sale and disposal groups	72.9	(4.6)	-	-	-	(68.2)	-	2,311.9	Other assets
130 Other assets	1,717.3	-	-	-	-	-	594.5	0.1	Non-current assets held for sale and disposal groups
Total Assets	137,868.6	-	-	-	-	-	-	137,868.6	Total Assets

Balance-sheet Items - Liabilities	31 12 2021	Due to central banks	Due to banks	Debt securities issued - customers	Trading derivatives	Financial liabilities designated at fair value	Provision for staff severance pay	Change in value of macro-hedged financial liabilities (+/-)	Group Net Equity	31 12 2021	Reclassified balance-sheet items - Liabilities
10 Financial liabilities measured at amortised cost	121,466.2	-	-	-	-	-	-	-	-	90,300.3	Direct funding
a) due to banks	31,279.9	(29,154.8)	(2,125.1)	-	-	-	-	-	-	79,859.5	a) due to customers
b) due to customers	79,478.8	-	-	380.7	-	-	-	-	-	10,440.8	b) Securities issued
c) debt securities issued	10,707.5	29,154.8	-	(380.7)	114.0	-	-	-	-	29,154.8	Due to central banks
20 Financial liabilities held for trading	4,531.1	-	2,125.1	-	(1,427.0)	-	-	-	-	2,125.1	Due to banks
30 Financial liabilities designated at fair value	114.0	-	-	-	-	(114.0)	-	-	-	3,104.1	On-balance-sheet financial liabilities held for trading
40 Hedging derivatives	1,259.1	-	-	-	1,427.0	-	-	-	-	2,686.1	Derivatives
50 Change in value of macro-hedged financial liabilities (+/-)	15.9	-	-	-	-	-	-	(15.9)	-	1,259.1	Hedging derivatives
60 Tax liabilities	7.1	-	-	-	-	-	-	-	-	1,427.0	Trading derivatives
a) current	-	-	-	-	-	-	-	-	-	7.1	Tax liabilities
b) deferred	7.0	-	-	-	-	-	-	-	-	-	a) current
70 Liabilities associated with non-current assets held for sale and disposal groups	-	-	-	-	-	-	-	-	-	7.0	b) deferred
80 Other liabilities	2,487.2	-	-	-	-	-	-	-	-	2,503.1	Other liabilities
90 Provisions for employees severance pay	159.3	-	-	-	-	-	(159.3)	-	-	15.9	Change in value of macro-hedged financial liabilities (+/-)
100 Provisions for risks and charges:	1,654.7	-	-	-	-	-	-	-	-	159.3	Liabilities associated with non-current assets held for sale and disposal groups
a) financial guarantees and other commitments	144.0	-	-	-	-	159.3	-	-	-	2,487.2	Other liabilities
b) post-employment benefits	29.7	-	-	-	-	-	-	-	-	1814	Provisions for specific use
c) other provisions	1481	-	-	-	-	-	-	-	-	159.3	a) Provision for staff severance indemnities
120 Valuation reserves	306.8	-	-	-	-	-	-	-	(306.8)	144.0	b) Provision related to guarantees and other commitments given
150 Reserves	(3,638.6)	-	-	-	-	-	-	-	3,638.6	29.7	c) Pension and other post-retirement benefit obligations
170 Share capital	9,195.0	-	-	-	-	-	-	-	-	1,481.0	d) Other provisions
180 Treasury shares (-)	-	-	-	-	-	-	-	-	-	306.8	Group net equity
190 Non-controlling interests (+/-)	1.3	-	-	-	-	-	-	-	-	306.8	a) Valuation reserves
200 Profit (loss) for the year (+/-)	309.5	-	-	-	-	-	-	-	-	(3,638.6)	b) Redeemable shares
Total Liabilities and Shareholders' Equity	137,868.6	-	-	-	-	-	-	-	-	9,195.0	c) Equity Instruments
										309.5	d) Reserves
										309.5	e) Share premium reserve
										309.5	f) Share capital
										309.5	g) Treasury shares (-)
										309.5	h) Net profit (loss) for the year
										1.3	Non-controlling interests
										0.1	
Total Liabilities and Shareholders' Equity	137,868.6	-	-	-	-	-	-	-	-	137,868.6	Total Liabilities and Shareholders' Equity



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**Consolidated balance sheet**

Assets	31 12 2022	31 12 2021
10. Cash and cash equivalents	12,538,578	1,741,766
20. Financial assets measured at fair value through profit or loss	6,756,687	9,670,985
a) financial assets held for trading	6,299,394	9,216,960
c) other financial assets mandatorily measured at fair value	457,293	454,025
30. Financial assets measured at fair value through other comprehensive income	4,352,328	5,460,669
40. Financial assets measured at amortised cost	88,464,613	113,060,139
a) Loans to banks	3,255,657	25,004,413
b) Loans to customers	85,208,956	88,055,726
50. Hedging derivatives	1,077,095	5,567
60. Change in value of macro-hedged financial assets (+/-)	(908,737)	594,455
70. Equity investments	688,292	1,095,412
90. Property, plant and equipment	2,375,926	2,490,131
100. Intangible assets	162,649	185,229
- of which goodwill	7,900	7,900
110. Tax assets	2,216,377	1,773,960
a) current	718,247	727,568
b) deferred	1,498,130	1,046,392
120. Non-current assets held for sale and disposal groups	65,497	72,883
130. Other assets	2,383,613	1,717,366
Total assets	120,172,918	137,868,562



continues: Consolidated balance sheet

Total Liabilities and Shareholders' Equity		31 12 2022	31 12 2021
10.	Financial liabilities measured at amortised cost	103,283,390	121,466,202
	a) due to banks	21,382,759	31,279,861
	b) due to customers	73,349,626	79,478,803
	c) debts securities issued	8,551,005	10,707,538
20.	Financial liabilities held for trading	3,988,517	4,531,060
30.	Financial liabilities designated at fair value	97,027	113,989
40.	Hedging derivatives	301,568	1,259,140
50.	Change in value of macro-hedged financial liabilities (+/-)	(77,363)	15,875
60.	Tax liabilities	6,634	7,054
	a) current	16	14
	b) deferred	6,618	7,040
80.	Other liabilities	3,188,902	2,487,180
90.	Provision for employees severance pay	70,210	159,331
100.	Provision for risks and charges:	1,515,489	1,654,733
	a) financial guarantees and other commitments	142,474	143,994
	b) post-employment benefits	26,592	29,732
	c) other provisions	1,346,423	1,481,007
120.	Valuation reserves	(235,747)	306,771
150.	Reserves	784,604	(3,638,638)
170.	Share capital	7,453,451	9,195,012
190.	Non-controlling interests (+/-)	936	1,346
200.	Profit (loss) (+/-)	(204,700)	309,507
Total Liabilities and Shareholders' Equity		120,172,918	137,868,562



Consolidated income statement

Items	31 12 2022	31 12 2021
10. Interest income and similar revenues	2,149,721	1,897,390
<i>of which interest income calculated applying the effective interest rate method</i>	<i>1,863,740</i>	<i>1,569,094</i>
20. Interest expense and similar charges	(614,485)	(680,342)
30. Net interest income	1,535,236	1,217,048
40. Fee and commission income	1,584,991	1,696,611
50. Fee and commission expense	(227,013)	(212,515)
60. Net fee and commission income	1,357,978	1,484,096
70. Dividends and similar income	26,347	13,717
80. Net profit (loss) from trading	(23,749)	19,769
90. Net profit (loss) from hedging	6,177	12,565
100. Gains/(losses) on disposal/repurchase of:	52,082	139,843
a) financial assets measured at amortised cost	50,834	123,336
b) Financial assets measured at fair value through other comprehensive income	1,236	11,434
c) financial liabilities	12	5,073
110. Net profit (loss) from financial assets and liabilities measured at fair value through profit or loss	50,080	(32,159)
a) financial assets and liabilities designated at fair value	31,650	8,962
b) other financial assets mandatorily measured at fair value	18,430	(41,121)
120. Net interest and other banking income	3,004,151	2,854,879
130. Net impairment (losses)/reversals for credit risk on:	(430,488)	(193,570)
a) financial assets measured at amortised cost	(430,286)	(196,420)
b) financial assets measured at fair value through other comprehensive income	(202)	2,850
140. Modification gains/(losses)	4,335	(7,620)
150. Net income from banking activities	2,577,998	2,653,689
180. Net income from banking and insurance activities	2,577,998	2,653,689
190. Administrative expenses:	(3,293,654)	(2,401,645)
a) personnel expenses	(2,321,832)	(1,431,730)
b) other administrative expenses	(971,822)	(969,915)
200. Net provision for risks and charges:	6,655	(92,442)
a) commitments and guarantees issued	(2,031)	6,532
b) other net provisions	8,686	(98,974)
210. Net adjustments to/recoveries on property, plant and equipment	(118,885)	(134,199)
220. Net adjustments to/recoveries on intangible assets	(68,586)	(67,451)
230. Other operating expenses/income	227,555	223,319
240. Operating expenses	(3,246,915)	(2,472,418)
250. Gains (losses) on investments	67,722	106,578
260. Net gains (losses) on property, plant and equipment and intangible assets measured at fair value	(31,111)	(44,134)
280. Gains (losses) on disposal of investments	838	14,449
290. Profit (loss) before tax from continuing operations	(631,468)	258,164
300. Tax (expense)/recovery on income from continuing operations	426,620	51,167
330. Profit (loss) for the year	(204,848)	309,331
340. Net Profit (loss) attributable to non-controlling interests	(148)	(176)
350. Parent company's net profit (loss) for the year	(204,700)	309,507

	31 12 2022	31 12 2021*
Basic Earnings per Share (Basic EPS)	(0.975)	31.389
<i>of continuing operations</i>	<i>(0.975)</i>	<i>31.389</i>
<i>of groups of assets held for sale and discontinued operations</i>	<i>-</i>	<i>-</i>
Diluted Earnings per Share (Diluted EPS)	(0.975)	31.389
<i>of continuing operations</i>	<i>(0.975)</i>	<i>31.389</i>
<i>of groups of assets held for sale and discontinued operations</i>	<i>-</i>	<i>-</i>

* Basic and diluted earnings per share as at 31 December 2021 were restated, compared to the figures posted at the reporting date, following the grouping operation of the Parent Company's ordinary shares at a ratio of 1 new ordinary share to 100 treasury shares that was carried out on 26 September 2022, pursuant to the resolution issued by the Parent Company's Extraordinary Shareholders' Meeting held on 15 September 2022.



Consolidated statement of comprehensive income

Items	31 12 2022	31 12 2021
10. Profit (loss) for the year	(204,848)	309,331
Other comprehensive income after tax not recycled to profit or loss	(21,124)	156,784
20. Equity instruments designated at fair value through other comprehensive income	2,310	3,560
30. Financial liabilities designated at fair value through profit or loss (change in the entity's own credit risk)	(3,512)	(11,805)
50. Property, plant and equipment	(20,042)	162,879
70. Defined benefit plans	9,411	1,610
80. Non current assets held for sale	6	-
90. Share of valuation reserves of equity-accounted investments	(9,297)	540
Other comprehensive income after tax recycled to profit or loss	(521,413)	(110,497)
110. Exchange differences	688	2,091
140. Financial assets (other than equity securities) measured at fair value through other comprehensive income	(166,132)	(33,315)
160. Share of valuation reserves of equity-accounted investments	(355,969)	(79,273)
170. Total other comprehensive income after tax	(542,537)	46,287
180. Total comprehensive income (Item 10+170)	(747,385)	355,618
190. Consolidated comprehensive income attributable to non-controlling interests	(167)	89
200. Consolidated comprehensive income attributable to Parent Company	(747,218)	355,529



Consolidated statement of changes in equity – 2022

	Balance as at 31 12 2021	Change in opening balances	Balance as at 01 2022	Allocation of profit from prior year		Change during the year								Total comprehensive income as at 31 12 2022	Total Equity as at 31 12 2022	Total Group Equity as at 31 12 2022	Non-controlling interest as at 31 12 2022
				Reserves	Dividends and other payout	Change in Reserves	Issue of new shares	Shareholders' equity transactions									
								Purchase of treasury shares	Extraordinary distribution of dividends	Change in equity instruments	Treasury shares derivatives	Stock options	Change in equity investments				
Share Capital:	9,195,719	-	9,195,719	-	-	(4,240,989)	2,499,331	-	-	-	-	-	-	-	7,454,061	7,453,451	610
a) ordinary shares	9,195,719	-	9,195,719	-	-	(4,240,989)	2,499,331	-	-	-	-	-	-	-	7,454,061	7,453,451	610
b) other shares	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Share premium	2	-	2	-	-	-	-	-	-	-	-	-	-	-	2	-	2
Reserves	(3,639,130)	-	(3,639,130)	309,245	-	4,239,047	(125,371)	-	-	-	-	-	-	-	783,791	784,604	(813)
a) from profits	(3,520,764)	-	(3,520,764)	309,245	-	4,122,974	-	-	-	-	-	-	-	-	911,455	912,268	(813)
b) other	(118,366)	-	(118,366)	-	-	116,073	(125,371)	-	-	-	-	-	-	-	(127,664)	(127,664)	-
Valuation Reserves	308,074	-	308,074	-	-	-	-	-	-	-	-	-	(542,537)	(542,537)	(234,463)	(235,747)	1,285
Equity instruments	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Treasury shares	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Profit (loss)	309,331	-	309,331	(309,245)	(86)	-	-	-	-	-	-	-	(204,848)	(204,848)	(204,848)	(204,700)	(148)
Total Equity	6,173,996	-	6,173,996	-	(86)	(1,942)	2,373,960	-	-	-	-	-	(747,385)	(747,385)	7,798,543	7,797,607	936
Group Equity	6,172,650	-	6,172,650	-	-	(1,786)	2,373,960	-	-	-	-	-	(747,218)	(747,218)	7,797,607	7,797,607	X
Non-controlling interest	1,346	-	1,346	-	(86)	(156)	-	-	-	-	-	-	(167)	(167)	936	X	936

As at 31 December 2022 the Group's net equity, including non-controlling interests and net profit (loss) for the year, amounted to EUR 7,798.5 mln, against EUR 6,174.0 mln as at 31 December 2021, an overall net increase of EUR 1,624.5 mln. The most significant phenomena impacting the net equity, in addition to the EUR 204.8 mln loss for the year, were the following.

On 15 September 2022, the Extraordinary Shareholders' Meeting of the Parent Company resolved to cover the total loss, for a total amount of EUR 4,664.6 mln, reduced to EUR 4,567.6 mln due to the half-year profit of approximately EUR 97.0 mln, as follows:

- for EUR 326.8 mln through the use of available reserves;
- for the remainder of the loss, namely EUR 4,240.9 mln, the reduction in share capital, pursuant to art. 2446 of the Italian Civil Code.

After covering the losses, the share capital amounted to EUR 4,954.7 mln.

On 4 November 2022, in execution of the afore-mentioned Shareholders' Meeting resolution, the share capital increase with consideration was completed with the full subscription of the newly issued shares for a total value of EUR 2,499.3 mln, which involved in the column "Issue of new shares":

- increase in the "Share capital" item for the same amount;
- decrease in the item "Reserves - other" for EUR 125.4 mln, due to costs incurred for the transaction, net of the relative taxes.

The "Share capital" item of the Parent Company as at 31 December 2022 amounted to EUR 7,454.1 mln as a result of the aforementioned events.

Finally, valuation reserves decreased by a total of EUR 542.5 mln. Please refer to the statement of comprehensive income for details of the individual components.



Consolidated statement of changes in equity – 2021

	Balance as at 31 12 2020 *	Change in opening balances	Balance as at 01 01 2021	Allocation of profit from prior year		Change during the year								Total comprehensive income as at 31 12 2021	Total Equity as at 31 12 2021	Group Equity as at 31 12 2021	Non-controlling interest as at 31 12 2021
				Reserves	Dividends and other payout	Change in Reserves	Shareholders' equity transactions										
							Issue of new shares	Purchase of treasury shares	Extraordinary distribution of dividends	Change in equity instruments	Treasury shares derivatives	Stock options	Change in equity investments				
Share Capital:	9,195,719	-	9,195,719	-	-	-	-	-	-	-	-	-	-	9,195,719	9,195,012	707	
a) ordinary shares	9,195,719	-	9,195,719	-	-	-	-	-	-	-	-	-	-	9,195,719	9,195,012	707	
b) other shares	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
Share premium	2	-	2	-	-	-	-	-	-	-	-	-	-	2	-	2	
Reserves	(1,684,353)	-	(1,684,353)	(1,686,690)	-	2,641	(270,729)	-	-	-	-	-	-	(3,639,130)	(3,638,638)	(492)	
a) from profits	(1,836,385)	-	(1,836,385)	(1,686,690)	-	2,311	-	-	-	-	-	-	-	(3,520,764)	(3,520,272)	(492)	
b) other	152,032	-	152,032	-	-	330	(270,729)	-	-	-	-	-	-	(118,366)	(118,366)	-	
Valuation Reserves	261,893	-	261,893	-	-	(105)	-	-	-	-	-	-	46,287	308,074	306,770	1,304	
Equity instruments	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
Treasury shares	(313,710)	-	(313,710)	-	-	-	313,710	-	-	-	-	-	-	-	-	-	
Profit (loss)	(1,686,636)	-	(1,686,636)	1,686,690	(53)	-	-	-	-	-	-	-	309,331	309,331	309,507	(176)	
Total Equity	5,772,915	-	5,772,915	-	(53)	2,536	42,981	-	-	-	-	-	355,618	6,173,996	6,172,650	1,346	
Group Equity	5,771,605	-	5,771,605	-	-	2,536	42,981	-	-	-	-	-	355,529	6,172,650	6,172,650	X	
Non-controlling interest	1,310	-	1,310	-	(53)	-	-	-	-	-	-	-	89	1,346	X	1,346	

* The figures as at 31 December 2020 have been restated compared to those published in the 2020 Financial Statements following the retrospective application of the change in valuation criteria for investment properties (pursuant to IAS 40).

As at 31 December 2021, the Group's net equity, including non-controlling interests and net profit (loss) for the year, amounted to EUR 6,174.0 mln, compared to EUR 5,772.9 mln as at 31 December 2020, with an overall net increase of EUR 401.1 mln

This increase was mainly due to (i) profit for the year equal to EUR 309.3 mln; (ii) net positive change in valuation reserves equal to EUR 46.3 mln, due to the combined effect of the revaluation of operating properties carried out since 31 March 2021 and the write-down of debt securities related to associated companies valued with the equity method, and finally iii) a decrease in treasury shares for EUR 313.7 mln following sales by the Group which led to a trading loss of EUR 270.7 mln recognised under "Reserves-other".

**Consolidated cash flow statement - indirect method**

A. OPERATING ACTIVITIES	31 12 2022	31 12 2021
1. Cash flow from operations	(232,361)	820,066
Profit (loss) (+/-) for the year	(204,848)	309,331
Capital gains/losses on financial assets held for trading and on assets/liabilities designated at fair value (+/-)	(278,406)	45,058
Net gains (losses) on hedging activities	(6,177)	(12,565)
Net impairment losses/reversals	527,080	318,656
Net adjustments/recoveries on property, plant and equipment and intangible assets (+/-)	218,581	245,783
Net provisions for risks and charges and other costs/revenues (+/-)	2,701	100,985
Unpaid charges, taxes and tax credit	(426,620)	(51,167)
Other adjustments	(64,672)	(136,015)
2. Cash flow from (used in) financial assets	27,934,770	11,515,776
Financial assets held for trading	2,901,310	(1,072,377)
Other financial assets mandatorily measured at fair value	12,965	(39,731)
Financial assets measured at fair value through other comprehensive income	241,290	128,355
Financial assets measured at amortised cost	24,892,444	11,753,659
Other assets	(113,239)	745,870
3. Cash flow from (used in) financial liabilities	(19,320,947)	(12,887,378)
Financial liabilities measured at amortised cost	(17,840,071)	(10,418,458)
Financial liabilities held for trading	(295,763)	(1,408,530)
Financial liabilities designated at fair value	9,458	(86,800)
Other liabilities	(1,194,571)	(973,590)
Net cash flow from (used in) operating activities	8,381,462	(551,536)
B. INVESTMENT ACTIVITIES	31 12 2022	31 12 2021
1. Cash flow from	109,797	42,254
Sales of equity investments	-	1,021
Dividends collected on equity investments	107,267	30,370
Sales of property, plant and equipment	2,530	8,230
Sales of intangible assets	-	2,633
2. Cash flow used in	(65,710)	(111,321)
Purchase of property, plant and equipment	(19,242)	(39,745)
Purchase of intangible assets	(46,468)	(71,576)
Net cash flow from (used in) investment activities	44,087	(69,067)
C. FUNDING ACTIVITIES		
Issue/purchase of treasury shares	2,371,349	42,981
Dividend distribution and other	(86)	(53)
Net cash flow from (used in) funding activities	2,371,263	42,928
NET CASH FLOW FROM (USED IN) OPERATING, INVESTMENT AND FUNDING ACTIVITIES DURING THE YEAR	10,796,812	(577,675)



Reconciliation

Accounts	31 12 2022	31 12 2021
Cash and cash equivalents at beginning of the year	1,741,766	2,319,441
Net increase (decrease) in cash and cash equivalents	10,796,812	(577,675)
Cash and cash equivalents at end of the year	12,538,578	1,741,766

For further information on the net cash flow generated/absorbed during the financial year, please refer to the section "Liquidity Risk" in Part E "Information on risks and hedging policies".



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Part A – Accounting policies



A.1 – General

Section 1 - Statement of compliance with international accounting standards

Pursuant to Italian Legislative Decree no. 38 of 28 February 2005, these Consolidated Financial Statements were prepared in accordance with the international accounting standards issued by the International Accounting Standards Board (IASB) including interpretations by the IFRS Interpretations Committee, as endorsed by the European Commission, pursuant to EC Regulation no. 1606 of 19 July 2002 which was effective as at 31 December 2022.

The application of the international accounting standards was carried out by also referring to the “Systematic Framework for the preparation and presentation of Financial Statements” (Conceptual Framework), the *Implementation Guidance and Basis for Conclusions* documents and any other documents prepared by the IASB or IFRIC to complete the accounting standards issued.

For an overview of the standards endorsed during 2022 or those endorsed in previous financial years, whose application is scheduled for 2022 (or future financial years), please refer to “Section 5 - Other Aspects” below, which also describes the main impacts for the Group.

The Report on Operations and the Notes to the financial statements include all the information required by international accounting standards and the Supervisory Bodies (Bank of Italy, ECB, Consob and ESMA) and the interpretative documents on the application of IAS/IFRS prepared by the Organismo Italiano di Contabilità (OIC) and the Italian Banking Association (ABI), which provide recommendations on the information to be provided in the Financial Report, on certain aspects of greater importance in the accounting field, or on the accounting treatment of particular transactions.

For an analysis of the documents published on accounting issues relating to Covid-19 and the Russia-Ukraine conflict, please refer to the following paragraph “Risks, uncertainties and impacts of the Covid-19 epidemic and the Russia-Ukraine conflict”.



Section 2 - General accounting standards

The Consolidated Financial Statements consist of the balance sheet, income statement, statement of comprehensive income, statement of changes in equity, the cash flow statement and the notes to the financial statements, and are accompanied by the directors' report on operations, financial results achieved, and the Group's equity and financial situation.

The Consolidated Financial Statements as at 31 December 2022 have been prepared based on the provisions contained in Circular no. 262 of 22 December 2005 issued by the Bank of Italy "Bank Financial Statements: layout and rules for preparation", as amended by the seventh update of 29 October 2021. Also taken into account were the additional requests transmitted by the aforementioned Supervisory Authority, with the communication of 23 December 2019, relating, in particular, to the disclosure on multi-originator sales of loans to a mutual fund with allocation of the units to the originator intermediaries, for which reference should be made to the specific section of Part E of these Notes to the Financial Statements (Subsection "D. Sale transactions", point) D.3 Prudential Consolidation – Financial assets sold and fully derecognised"), as well as with the Communication of 21 December 2021 entitled "Update of the additions to the provisions of Circular No. 262 "Bank Financial Statements: layout and rules for preparation" concerning the impact of COVID-19 and measures to support the economy".

The Financial Statements have been prepared based on a going concern assumption, according to the generally accepted principles of accrual accounting, relevance and materiality of information, priority of substance over form and with a view to encouraging consistency with future statements.

The Consolidated Financial Statements are prepared with transparency and provide a true and fair view of financial position and result of operations for the year, the changes in shareholders' equity and cash flows.

If the information required by international accounting standards and provisions contained in aforementioned circular were deemed insufficient for providing a true and fair representation, the notes to the financial statements contain supplemental information necessary for that purpose.

If – in exceptional cases – the application of a provision set forth in the international accounting standards proved to be incompatible with a true and fair view of the Group's financial position and result of operations, then such provision would not be applied. The reasons for deviation and its impact on the representation of the financial position and result of operations would, in such a case, be explained in the notes to the financial statements.

Each item in the balance sheet, income statement and statement of comprehensive income also indicates the amount for the prior financial year, unless an accounting standard or interpretation allows or provides otherwise.

Assets and liabilities, expenses and income cannot be mutually offset, unless this is permitted or required by the international accounting standards or the provisions set forth in Circular no. 262 of the Bank of Italy.

The balance sheet, income statement, and statement of comprehensive income do not include items which did not have balances for the reference financial year or prior financial year. If an item of the assets or liabilities is part of several items of the balance sheet, the notes to the financial statements indicate – whenever this is necessary for the purpose of intelligibility – that this component may also be referred to items other than the one it is posted to.

Revenue is posted with no sign in the income statement, statement of comprehensive income, and the respective section of the notes to the financial statements, whereas expenses are indicated in brackets.

The statement of comprehensive income, beginning with profit (loss) for the year, shows the income items recognised as contra-entries of valuation reserves, net of the related tax effect, in compliance with international accounting standards. Consolidated other comprehensive income is shown by separating income items that will not be transferred to the income statement in the future and those that may be subsequently reclassified to profit or loss for the year when specific conditions are met.

The statement of changes in equity shows the breakdown and changes in shareholders' equity accounts during the financial year and the previous year, broken down between share capital (ordinary shares), capital reserves, profit reserves and reserves from the valuation of assets or liabilities, equity instruments and profit or loss. Treasury shares in the portfolio are deducted from equity.

The cash flow statement has been prepared according to the indirect method, based on which cash flows from operations are represented by the net profit (loss) for the year adjusted to take into account the effects of non-monetary transactions. Cash flows are broken down amongst those deriving from operations, those deriving from investment activities and those generated by funding activities. In the statement, cash flows generated during the financial year have no sign, while those absorbed are shown between brackets.



In compliance with the provisions of art. 5 of Italian Legislative Decree no. 38 of 28 February 2005, the Financial Statements have been prepared using the Euro as the accounting currency: the Financial Statements and the Notes to the financial statements are denominated in thousands of Euro.

Items of a different nature or with different allocation were recognised separately, unless they were considered irrelevant. All amounts shown in the financial statements were adjusted so as to reflect any events subsequent to the date of closing for which an adjustment is mandatory, according to IAS 10 (adjusting events). Non-adjusting events reflecting circumstances that occurred after the reporting date are disclosed as part of the notes to the financial statements, Part A, Section 4, if they are material and may affect the ability of users to make proper evaluations and decisions.

Going concern

These Financial Statements were prepared under the going concern assumption.

The assessment of the Group's ability to continue as a going concern is essentially based on the prospective evolution of the capital and liquidity position over a time span of at least 12 months. In this regard, it should be noted that the successful conclusion of the capital increase transaction for EUR 2.5 bn concluded on 4 November 2022, and the implementation of significant actions envisaged in the 2022-2026 Business Plan, suggest that the material uncertainty concerning the Parent Company's capital strengthening, which had generated significant doubts on the going concern assumption as stated in the reports prior to the Interim financial report ended on 30 September 2022, has been overcome. In fact no capital shortfalls are expected to emerge within the going concern assessment time horizon in line with the Plan and the liquidity position remains strong.

In light of these elements and evaluations, and with reference to the indications provided in Document no. 2 of 6 February 2009 and Document no. 4 of 3 March 2010, issued jointly by the Bank of Italy, Consob and ISVAP and subsequent updates, the Directors believe that there is the reasonable expectation that the Group will continue to operate as a going concern in the foreseeable future and have therefore prepared the financial statements on a going concern basis.



Section 3 – Scope and methods of consolidation

1. Equity investments in wholly-owned subsidiaries

The equity investments in wholly-owned subsidiaries are listed in the table below. For information on equity investments in companies jointly controlled or subject to significant influence by the Group, please refer to the contents of Part B - Information on the consolidated balance sheet - Section 7 - Equity investments, in these Notes to the Financial Statements.

	Name	Headquarters	Registered Office	Type of relationship (*)	Ownership Relationship		Available votes % (**)
					Held by	Shareholding %	
A	Companies						
A.0	BANCA MONTE DEI PASCHI DI SIENA S.p.a.	Siena	Siena				
	A.1 Companies consolidated on a line-by-line basis						
A.1	MPS CAPITAL SERVICES BANCA PER LE IMPRESE S.p.a.	Florence	Florence	1	A.0	100.000	
A.2	MPS LEASING E FACTORING BANCA PER I SERVIZI FINANZIARI ALLE IMPRESE S.p.a.	Siena	Siena	1	A.0	100.000	
A.3	MONTE PASCHI FIDUCIARIA S.p.a.	Siena	Siena	1	A.0	100.000	
A.4	WISE DIALOG BANK S.p.a. - WIDIBA	Milan	Milan	1	A.0	100.000	
A.5	MPS TENIMENTI POGGIO BONELLI E CHIGI SARACINI SOCIETA' AGRICOLA S.p.a.	Castelnuovo Berardenga (SI)	Castelnuovo Berardenga (SI)	1	A.0	100.000	
A.6	G.IMM ASTOR S.r.l.	Lecce	Lecce	1	A.0	52.000	
A.7	AIACE REOCO S.r.l. in liquidazione	Siena	Siena	1	A.0	100.000	
A.8	MAGAZZINI GENERALI FIDUCIARI DI MANTOVA S.p.a.	Mantua	Mantua	1	A.0	100.000	
A.9	MONTE PASCHI BANQUE S.A.	Paris	Paris	1	A.0	100.000	
9.1	MONTE PASCHI CONSEIL FRANCE SOCIETE PAR ACTIONS SEMPLIFIEE	Paris	Paris		A.9	100.000	
9.2	IMMOBILIERE VICTOR HUGO S.C.I.	Paris	Paris		A.9	100.000	
A.10	MPS COVERED BOND S.r.l.	Conegliano	Conegliano	1	A.0	90.000	
A.11	MPS COVERED BOND 2 S.r.l.	Conegliano	Conegliano	1	A.0	90.000	
A.12	CIRENE FINANCE S.r.l.	Conegliano	Conegliano	1	A.0	60.000	
A.13	SIENA MORTGAGES 07-5 S.p.a.	Conegliano	Conegliano	2	A.0	7.000	
A.14	SIENA MORTGAGES 09-6 S.r.l.	Conegliano	Conegliano	2	A.0	7.000	
A.15	SIENA MORTGAGES 10-7 S.r.l.	Conegliano	Conegliano	2	A.0	7.000	
A.16	SIENA LEASE 2016 2 S.r.l.	Conegliano	Conegliano	2	A.0	10.000	
A.17	SIENA PMI 2016 S.r.l.	Conegliano	Conegliano	2	A.0	10.000	

(*) Type of relationship:

1 = majority of voting rights at ordinary shareholders' meetings

2 = other forms of control

(**) Votes available in the ordinary shareholders' meeting, distinguishing between actual and potential



2. Significant assessments and assumptions for determining the scope of consolidation

Scope of consolidation

Subsidiaries

The consolidated financial statements include the balance sheet and income statement results of the Parent Company and its direct and indirect subsidiaries. In particular, the scope of consolidation, as specifically set out in the IAS/IFRS, includes all subsidiaries, irrespective of their legal status, of business activity pursued in sectors other than the Parent Company's core business, of their being going concerns or wound-up companies, or of whether the equity investment consists of a merchant banking transaction. Similarly, structured entities are also included when the requirement of actual control recurs, even if there is no stake in the entity.

Companies in which Banca MPS is exposed to variable returns, or holds rights to such returns, arising from its relationship with them and at the same time has the ability to affect returns by exercising its power over these entities, are considered subsidiaries.

The accounting standard IFRS 10 establishes a concept of control based on the simultaneous presence of three elements:

- power to direct the relevant activities, i.e., the activities that affect the investee's returns;
- exposure to variability of returns deriving from the investee's activities, which may increase or decrease;
- exercise of power to influence returns.

Thus, the afore-mentioned standard establishes that, to exercise control, the investor must have the ability to direct the entity's relevant activities, as the result of a legal right or a mere de facto situation, and also be exposed to the variability of results deriving from this power.

More specifically, IFRS 12 defines structured entities as "entities that have been designed so that voting or similar rights are not the dominant factor in deciding who controls the entity", such as when any voting rights relate to administrative tasks only and the relevant activities are directed by means of contractual arrangements. Examples of structured entities include securitisation special purpose vehicles, asset-backed financings and some investment funds.

The scope of consolidation may also include parts of a structured entity with no independent legal status, or so-called "deemed separate entities". In essence this is a group of well identified assets and liabilities within a company, characterised by both the fact that: the assets represent the only source of payment for those specific liabilities and that; third parties cannot claim rights to those specific assets or on the cash flows they generate.

Equity investments and equity securities

Equity investments and equity securities are considered subject to control if the Group directly or indirectly holds the absolute majority of voting rights in the ordinary shareholders' meeting and such rights are substantive, and the relative majority of voting rights if the other voting rights are held by widely-dispersed shareholders. Control may also exist in situations in which the Group does not hold the majority of voting rights, but holds sufficient rights to have the practical ability to unilaterally direct relevant activities of the investee or in the presence of:

- substantive potential voting rights through underlying call options or convertible instruments;
- rights deriving from other contractual arrangements which, combined with voting rights, give the Group the de facto ability to direct production processes, other operating or financial activities able to significantly influence the investee's returns;
- power to influence, through rules of the articles of association or other contractual arrangements, governance and decision-making procedures regarding relevant activities;
- majority of voting rights through contractual arrangements formalised with other holders of voting rights (i.e., shareholders' agreements).

Structured entities - investment funds

The Group takes the following positions with respect to funds:

- subscriber of units, held for long-term investment purposes or for trading;
- counterparty in derivatives.

A controlling relationship is established if the Group meets simultaneously the following conditions:



- has the power to direct the relevant activities, if:
 - it acts as fund manager and there are no substantial rights of dismissal by other investors; or
 - has a substantive right to dismiss the fund manager (outside the Group) without just cause or for reasons attributable to the performance of the funds; or
 - the governance of the fund is such as to allow the Group to substantially govern the relevant activities;
- has a significant exposure to the variable returns of the fund, through the direct holding of units deemed significant, in addition to any other form of exposure related to the economic results of the fund;
- it is in a position to affect these returns through the exercise of power, if:
 - it is the fund manager;
 - it has a substantial right to dismiss the fund manager (external to the Group);
 - has a right to participate in the fund's committees such as to give to the Group the legal and/or practical authority to control the activities carried out by the manager.
 - there are contractual relationships that bind the fund to the Group for the subscription or placement of units.

Structured entities - securitisation special purpose vehicles

In checking for the fulfilment of requirements of control over securitisation special purpose vehicles, both the possibility of exercising power over relevant activities for its own benefit and the end purpose of the transaction are taken into consideration, as well as the investor/sponsor's involvement in the structuring of the transaction.

For autopilot entities, the subscription of the substantial entirety of the notes by Group companies is considered an indicator of the presence, particularly during the structuring phase, of the power to manage relevant activities to influence the economic returns of the transaction.

Equity investments in companies subject to joint control and under significant influence

Entities are considered to be jointly controlled companies when, based on contractual agreements, control is shared between the Parent Company, directly or indirectly, and one or more other parties external to the Group, or when decisions regarding the relevant activities require the unanimous consent of all parties that share control.

Companies are considered associates, that is, subject to significant influence, when the Parent Company, directly or indirectly, holds at least 20% of voting rights (including "potential" voting rights) or in which - though the voting rights held may be lower - the Parent Company has the power to participate in determining financial and operating policies as a result of specific legal ties, such as adhering to shareholder agreements.

Methods of consolidation

With reference to the consolidation methods, subsidiaries are consolidated on a line-by-line basis, interests in jointly controlled companies and investments in companies subject to the Group's "significant influence" are consolidated with the equity method.

Line-by-line consolidation method

Line-by-line consolidation consists in the line-by-line acquisition of the balance-sheet and income statement aggregates of the subsidiaries. After the assignment to third parties, under a separate account, of their shares of equity and profit/loss, the value of the equity investment is eliminated against the recognition of the residual value of the subsidiary's equity.

Intragroup assets, liabilities, income and expenses are eliminated.

Acquisitions of companies are accounted for based on the "acquisition method" set forth in IFRS 3, based on which identifiable assets acquired and identifiable liabilities assumed (including contingent), must be recognised at their respective fair values at the acquisition date. In addition, for each business combination, any non-controlling interests in the acquired company may be recognised at fair value or in proportion with the share of non-controlling interests in identifiable net assets of the company acquired. Any excess of the consideration transferred (represented by the fair value of the assets transferred, liabilities assumed and equity instruments issued) and any recognition at fair value of the non-controlling interests with respect to the fair value of assets and liabilities acquired is recognised as goodwill; if the price is lower, the difference is allocated to the income statement.

The "acquisition method" is applied starting from the acquisition date, as described in the paragraph "Business combinations" under section "A.2 - Part relating to the main items of the financial statements" below, to which reference should be made, or beginning when control over the acquired company is effectively obtained. Therefore,



the income and expenses of a subsidiary purchased during the reference financial year are included in the consolidated financial statements as of the date of purchase.

On the other hand, the income and expenses of a subsidiary sold are included in the consolidated financial statements up to the date of disposal, i.e. when the Parent ceases to control the subsidiary. At the date when control is lost, the controlling entity:

- derecognises the assets (including any goodwill) and liabilities of (and non-controlling interests in) the former subsidiary at their book values;
- recognises the fair value of the consideration received and of any investment retained in the former subsidiary;
- reclassifies to consolidated income statement any amounts previously recognised in the subsidiary's statement of other comprehensive income as if the assets or liabilities had been transferred;
- recognises in income statement item "280. Gains (losses) on disposals of investments" the difference between the consideration for the sale and the book value of the investee's net assets.

If there is a partial sale of the subsidiary that does not entail loss of control, the difference between the consideration for the sale and the relative book value is recognised as an offsetting entry in equity.

In order to prepare these Consolidated Financial Statements, all wholly-owned subsidiaries prepared a balance sheet and income statement that was compliant with the Group's accounting standards.

Equity investments held for sale were recognised in accordance with the reference IFRS 5 standard, which governs the treatment of non-current assets held for sale. In this case, assets and liabilities held for sale are reclassified under balance sheet item "120. Non-current assets held for sale and disposal groups" and "70. Liabilities associated with disposal groups". If the ongoing disposal of the equity investment can be configured as a discontinued operation pursuant to IFRS 5, the related income and charges are shown in the income statement, net of the tax effect, under item "320. Profit (Loss) from assets held for sale and discontinued operations after taxes". Otherwise, the contribution of the investee is shown in the income statement on a line-by-line basis. If the fair value of the assets and liabilities held for sale, net of sales costs, are less than the carrying amount, an impairment is recognised in the income statement.

Equity consolidation method

Equity investments in jointly controlled companies and investments in companies subject to the Group's "significant influence" (associates) are consolidated with the equity method.

This method contemplates the initial posting of the equity investment at cost. This value is subsequently adjusted to reflect:

- the Group's share of gains/losses on the investment for the period is recognised under item 250 "Gains (losses) on investments" of the consolidated income statement;
- the Group's share of changes recognised in the statement of consolidated comprehensive income. In determining the ownership percentages, any potential voting rights are not considered.

If an investor's share of losses in an associate equals or exceeds the interest's carrying amount, the investor discontinues recognising its share of further losses unless the investor has incurred specific legal obligations or made payments in favour of the associate.

Profits resulting from transactions between the Group and its associates are eliminated to the extent of the Group's equity investment in the associate. Losses resulting from transactions between the Group and its associates are eliminated as well, unless the transaction provides evidence of an impairment of the asset transferred.

If evidence of impairment indicates that there may have been a loss in value of an equity investment, then the recoverable value of the equity investment is estimated, taking into consideration the present value of future cash flows that the equity investment may generate, including the final disposal value of the investment. Should the recoverable value be less than its book value, the difference is recognised immediately in the income statement, in the item indicated above.

The Group stops using the equity method on the date on which it stops exercising significant influence or joint control over the investee; in that case, as of that date the equity investment is reclassified to "Financial assets measured at fair value through other comprehensive income" or "Financial assets measured at fair value through profit or loss", on the condition that the associate or jointly controlled company does not become a subsidiary.

For the consolidation of jointly controlled companies and associates, the financial statements (annual or interim) that have been most recently approved by said companies are used. In rare cases, the companies do not apply



IAS/IFRS standards, thus, for these companies, it has been ascertained that applying these standards would not result in significant impacts on the Group's consolidated financial statements.

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The changes in the scope of consolidation compared to the situation as at 31 December 2021 are attributable to the exit of COG S.p.A. (formerly Consorzio Operativo Montepaschi S.C.p.A.), following the merger by incorporation into the Parent Company with legal effect from 5 December 2022 with backdating of the accounting and tax effects to 1 January 2022, and to the cancellation of Enea Reoco, following the closure of the liquidation procedure.

3. Equity investments in wholly-owned subsidiaries with significant non-controlling interests

This section is not completed because as of 31 December 2022, in line with the previous financial year, there are no third-party interests in subsidiaries considered significant for the Group, either individually or as a whole, as also shown in the table in "Section 16 - Non-controlling interests" contained in Part B of the liabilities in these Notes to the financial statements.

4. Significant restrictions

Listed below are the significant restrictions on the Group's ability to access or use assets and to extinguish liabilities:

Regulatory restrictions

The Parent Company and the subsidiaries MPSL&F, MPSCS, MPS Banque and Widiba, with assets and liabilities prior to intercompany eliminations amounting to EUR 145,609.1 mln as at 31 December 2022 (EUR 164,210.8 mln as at 31 December 2021) are subject to prudential regulations envisaged in Directive 2013/36/EU (CRD IV) and Regulation (EU) no. 575/2013 (Capital Requirements Regulation or CRR), designed to maintain adequate capitalisation in relation to risks assumed. Thus, as a general rule, the capacity of banks to distribute capital or dividends is restricted in compliance with these regulations in terms of capital requirements.

More in particular, at the end of the *"Supervisory Review and Evaluation Process (SREP) carried out by the ECB, the Parent Company is required to*

- maintain, starting from 1 January 2023, on a consolidated basis, a Total SREP Capital Requirement (TSCR) level of 10.75% which includes 8% as a minimum requirement for Own Funds pursuant to art. 92 of the CRR and 2.75% as a Pillar II capital requirement (to be met by at least 56.25% with CET1 and at least 75% with Tier 1);
- obtain prior authorization from the ECB for the distribution of dividends.

This last restriction also forms part of the commitments made by the Italian Government to the European Commission, which also coincide with various aspects of the Group Business Plan, including:

- cost reduction measures: annual constraints in terms of number of branches, employees, cost/income and total operating costs;
- restrictions on advertising and sales policy: the Parent Company cannot use State aid or advantages deriving from it for advertising purposes aimed at promoting its products or its market position. Furthermore, it cannot adopt a particularly aggressive sales policy which it would not have adopted if it had not had access to State aid;
- assets disposal: continuing the process for MP Banque to dispose of its assets on the basis of a defined timeline and divest itself of a list of non-strategic corporate holdings within the scope of the plan, divestment of real estate;
- prohibition from making acquisitions: in particular, the Parent Company cannot acquire any equity investment or asset, except in selected cases;
- employee remuneration: the remuneration of any employee may not exceed 10 times the average remuneration of the employees of the Parent Company.



Legal restrictions

The Parent Company is required, in compliance with statutory provisions, to deduct 10% of annual net profit to form the legal reserve, until it has reached 20% of the share capital. The reserve must be replenished if it is reduced for whatever reason. The Parent Company is also required to form and increase a statutory reserve in an amount not less than 15% and at least 25% from the moment the legal reserve reaches 20% of the share capital.

The Italian subsidiaries other than securitisation special purpose vehicles are required, in compliance with statutory provisions, to deduct 5% of annual net profit to form the legal reserve, until it has reached 20% of the share capital, and an additional 5% to be allocated to a statutory reserve.

Contractual restrictions

Pledged assets

The Group holds assets not available to it in that they are used to guarantee financing transactions (e.g., repurchase or securitisation transactions).

The disclosure on assets pledged as collateral for liabilities and commitments is provided in the “Other information” section of Part B of these Notes to the consolidated financial statements, to which reference should be made.

Group assets related to securitisations

Asset item 40 b) “Financial assets measured at amortised costs: loans to customers” include, at the reporting date, EUR 873.0 mln (EUR 1,894.7 mln as at 31 December 2021) relative to loans not cancelled from the Financial Statements, transferred with the Siena Mortgages 10-7 securitisations. The Parent Company has recognised in its Financial Statements, as a balancing entry of the amounts received in these sales, a liability towards the vehicles issuing senior bonds (definitely transferred to a leading banking party in the context of the same securitisations) of EUR 52.7 mln (EUR 225.2 mln as at 31 December 2021). Against this liability, the creditors’ entitlement to repayment is limited to cash flows arising from the assets underlying senior notes sold (please refer to table D.3 of the Notes to the consolidated financial statements Part E - Information on risks and hedging policies).

Statutory restrictions

The Group has internal defined benefit retirement plans for current and former employees. The Articles of Association of the funds provide for restrictions on the allocation of benefits and/or any surplus outside the members and beneficiaries. In the event of a surplus of plans, the Group cannot therefore dispose of them.

Other restrictions

The Group’s banks are required to hold a compulsory reserve at national Central Banks. The compulsory reserve as at 31 December 2022, included in asset item 40 “Financial assets measured at amortised cost” sub-item “a) Loans to banks”, held at Bank of Italy, amounts to EUR 524.1 mln (EUR 675.6 mln as at 31 December 2021).

5. Other information

The Financial Statements processed for line-by-line consolidation of the subsidiaries include the Financial Statements as at 31 December 2022, as approved by the Boards of Directors of the respective companies.



Section 4 – Events after the Reporting Date

The significant events that occurred in the period between the reporting date (31 December 2022) and the date of approval of the Consolidated Financial Statements by the Board of Directors (8 March 2023), entirely attributable to non-adjusting events, pursuant to IAS 10, i.e. events that do not entail any adjustments to the Financial Statements, as they are the expression of situations arising after the reporting date.

On **19 January 2023**, the Chairman of Banca Monte dei Paschi di Siena, Patrizia Grieco, announced during the Board of Directors meeting, that she notified the MEF of her unavailability for the renewal of appointment that will expire with the next Annual General Meeting.

Also, on **19 January 2023**, as part of the complete pension reform process launched in 2019, the Group carried out the merger of the defined benefit pension forms still present in the MPS Group, within a specific section of the Monte dei Paschi di Siena Pension Fund, without prejudice to the maintenance of the commitment for the future to cover any deficiencies in coverage necessary for the disbursement of social security benefits by the MPS Fund. The transaction, effective as of 1 January 2023, pursues the objectives of simplifying the governance of the funds, streamlining operational management, also in line with the directions of the Supervisory Authority, and reducing the actuarial risks to which the Group is exposed.

The pension schemes involved are 9:

- 6 funds within the BMPS Financial Statements, i.e. autonomous and separate assets of which 4 without assets covering social security commitments (former-SERIT, former BOB, former COOPER, former BPV, so-called unfunded) and 2 with covering assets (BT and BNA, so-called funded);
- 1 fund within the MPSCS Financial Statements, unfunded;
- 2 external funds, with legal status, with their own independent administrative bodies, which consolidate in the MPS Financial Statements (BAM and BAV).

In substance, the transaction involved:

- the transfer to the MPS Fund of monetary resources equal to the mathematical reserves of the funds at the effective date and the simultaneous release of the segregated assets in the financial statements for the funded funds;
- the simultaneous recognition of surpluses, i.e. the surplus of the assets of the funded funds over the mathematical reserves, so far not recognised in the Financial Statements, the legal basis of which was ascertained by seeking the opinion of a leading external consultant appointed by the Group.

The valuation of the mathematical reserves for the purposes of the transaction was carried out with reference to the effective date by an external actuary on the basis of parameters updated to take into account the demographic evolution of the population of members, the updated mortality tables recently published by INPS and the evolution of discount and inflation rates. As of 1 January 2023, the Group recognised for accounting purposes the write-off of net liabilities for defined-benefit plans under item 100 - Provisions for Risks and Charges in the amount of EUR 22.7 mln and a positive impact on the Group's shareholders' equity in the amount of approx. EUR 8 mln, gross of the relevant tax effects, under item 140 - Valuation Reserves.

This operation does not change the Group's pension obligations that the Group will therefore recognise as net liabilities when there is a capital deficit in the MPS Fund and similarly, will recognise net assets when there is a surplus.

On **26 January 2023**, Consob published its Bulletin 16-31 January in which it announced with reference to Banca MPS that, taking into account (i) the capital increase and (ii) the consequent overcoming of the situation pursuant to Article 2446 of the Italian Civil Code, the monthly disclosure requirements set forth in letter (a) of the resolution of 22 April 2021 had been exceeded as the significant doubts on the company's ability to continue as a going concern that had been stated in the reports prior to the interim report as at 30 September 2022 had been resolved. In detail, with the aforementioned resolution, the Authority had requested the Parent Company, to publish, pursuant to Article 114, paragraph 5 of the Consolidated Law on Finance, periodic monthly information taking into account (i) the presence in the auditors' report on the financial statements as of 31 December 2020 of the emphasis of matter paragraph on material uncertainty over a going concern and (ii) the exceeding of the limit set forth in Article 2446 of the Italian Civil Code with reference to the financial statements as of 31 December 2020. The obligation set forth in letter b) of the aforementioned resolution of 22 April 2021 referring to the information to be provided on a quarterly basis on the status of implementation of the business and financial plan, with the highlighting of the deviations of the final figures from those forecasts, remains confirmed.



On **16 February 2023**, the rating agency Moody's Investors Service upgraded the Bank's ratings by 2 notches, raising the standalone Baseline Credit Assessment ('BCA') to 'b1' from 'b3', the long-term deposit rating to 'Ba2' from 'B1', and the subordinated debt rating to 'B2' from 'Caa1'. The long-term senior unsecured debt rating was upgraded by 3 notches to 'B1' from 'Caa1'. The upgrade reflects the significant progress that the Bank has made in recent years, according to the agency. Moody's also points out that the recent EUR 2.5bn capital increase has completed the actions necessary to consolidate the Bank's solvency and rebuild its ability to generate profitability.

On **23 February 2023**, the Parent Company successfully completed the placement of an unsecured Senior Preferred bond issue with a maturity of 3 years (repayable in advance after 2 years), for institutional investors, for an amount of EUR 750 mln and a coupon set at a level of 6.75%.

On **27 February 2023**, the ECB authorised the merger by incorporation of the subsidiaries MPS Capital Services S.p.A and MPS Leasing&Factoring S.p.A. into the Parent Company.

On the same date, AXA S.A. announced that it had sold 100m shares in Banca MPS, representing approximately 7.94% of the capital through an accelerated book-building reserved for institutional investors. The Parisian company will remain a shareholder with a symbolic stake of 0.0007%.

Section 5 – Other Matters

Interest rate benchmark reform

The so-called "IBOR reform" follows the recommendations of the Financial Stability Board (FSB) following the request of the G20 to carry out a radical revision of the main interest rate benchmarks. The request is a direct consequence of the loss of reliability of some existing benchmark rates following their alleged manipulation, corroborated by the scarcity of liquidity in the interbank markets in the period following the economic crisis. The reform process is based at EU level on Regulation (EU) 2016/1011 of 8 June 2016 ("*Benchmarks Regulation*" or "BMR"), which entered into force on 30 June 2016, applicable from 1 January 2018 and amended in 2021. The Benchmarks Regulation has introduced in the EU a new regulatory framework on benchmark interest rates, i.e. indexes in reference to which the amount to be paid for a financial instrument or a financial contract is determined.

In the specific case of short-term rate benchmarks, which were declared critical by the European authorities, reforms were necessary with regard to

- **Euribor:** as of November 2019, the revision by EMMI (European Money Market Institute) of the fixing methodology (the so-called hybrid methodology) became fully operational, using, where applicable, transactions concluded on the unsecured money market for up to 12 months by contributing banks;
- **Eonia** fixing calculation was based on the risk-free rate published by the European Central Bank (€STR rate), measured according to the overnight transactions concluded by the leading European banks. The European Commission has the power to designate a replacement index for the discontinued benchmark (statutory replacement rate) that can take over by law³⁶ in the absence of different contractual solutions (fallback clauses): in October 2021, it also designated €STR as the rate to be applied in the event of a statutory replacement for Eonia.

The €STR rate is also the basis for the recognition of the Euribor fallback rate which must be indicated in contracts and used in the event of any future permanent discontinuation of Euribor publication. To facilitate the recognition of the replacement rates, from April 2021 the ECB started the daily publication of the Compounded €STR Index and the compounded €STR average rates.

Outside the borders of the Eurozone, in recent years the supervisory authorities, central banks, specialised associations, as well as the market operators themselves have actively worked in the various jurisdictions to identify risk-free rates (RFR - Risk Free Rates) that could act as new benchmarks on the money market. More specifically, from 2016 onwards the various working groups have indicated, also through official recommendations, the risk-free rates that will act as Libor fallback rates and which, in addition to complying with the IOSCO principles, are more representative of real market conditions, as they are based on actual transactions with large and stable volumes.

³⁶ At present, the legal solution has been used only for the CHF LIBOR.



With the announcement of 5 March 2021, the Financial Conduct Authority (FCA) confirmed the discontinuation of the publication or the loss of representativeness (i) immediately after 31 December 2021 for all maturities of the Libor of the pound sterling, euro, Swiss franc, and Japanese yen and the 1 week and 2 month maturities for the US dollar Libor and (ii) immediately after 30 June 2023 for the remaining dollar maturities (i.e. overnight, 1 month, 3 months, 6 months and 12 months).

On 29 September 2021, the FCA also announced the exercise of its powers by requiring the Libor ICE Benchmark Administration (IBA) to publish synthetic **Libor** indices for sterling and yen for 1-, 3- and 6-month maturities, clarifying that the use of such synthetic Libor indices is only permitted for contracts that are already in place and have not yet been converted to the alternative risk free rates SONIA and TORF for sterling and yen respectively, and this is to ensure an orderly termination of Libor. Lastly, as regards the US dollar, the main currency involved in the disposal of the Libor, the *Alternative Reference Rates Committee* (ARRC) acted on various fronts in order to facilitate the transition from Libor to alternative rates based on the SOFR index.: i) the publication of recommendations on best practices for various product categories (e.g. loans, floating rate bonds, derivatives, etc.) and the related timing for discontinuing the use US Dollar Libor in new contracts; ii) the announcement of the agreements for the various categories of contracts (e.g. pool loans, floating rate bonds, cross-currency swaps, etc.); iii) the publication of fallback clauses for various product categories.

In the accounting area, in 2018 the IASB launched a two-phase project called “Reform of the benchmarks for the determination of interest rates” in order to address the accounting issues related to the IBOR Reform:

Phase 1: the changes introduced aim at finding suitable solutions to reduce the effects on the financial statements related to the potential impacts in the period prior to the replacement of the benchmark rates with the new rates (so-called “pre-placement issues”). In particular, this phase introduces certain exceptions to hedge accounting, aimed at avoiding the effects of discontinuing due to the mere uncertainty of interest rate reform. For the assessment of the economic report, the amendments introduced provide, in fact, that the entity must assume that the reference index, for the determination of the interest rates of the hedged instrument and the hedging instrument, is not changed following the reform of rates. These amendments were endorsed with Regulation (EU) no. 34 of 15 January 2020, and were applied in advance by the Group starting from the financial statements as at 31 December 2019;

Phase 2: the amendments introduced with the phase in question, endorsed with Regulation (EU) no. 25 of 13 January 2021, applicable from 1 January 2021, aim at finding adequate solutions for the management of the accounting impacts resulting from the effective replacement of rates (so-called “replacement issues”). In detail, this phase provides some practical expedients to minimise the effects of the replacement of the benchmark indices, with particular reference to the accounting treatment of changes in contractual flows and the management of hedging transactions that would allow them to continue. With reference to the first aspect, it is proposed, as a practical expedient, that the changes in contractual flows for the new interest rates - if carried out as a direct consequence of the rate reform and on an equivalent economic basis with respect to the previous rates - should be considered as a prospective adjustment of the effective interest rate, as well as a revision of the variable interest rate. On the other hand, as regards hedge accounting, some exceptions to IAS 39 and IFRS 9 were introduced, aimed at avoiding the termination of the hedging relationship following the updating of the documentation of the relationship itself (due to the modification of the hedged risk, of the hedged item, of the hedging derivative or of the method for assessing the effectiveness of the hedge) provided that the changes are a direct consequence of the reform and carried out on an economic basis equivalent to the previous rates.

This phase also introduced a specific qualitative and quantitative disclosure on the nature and risks to which the entity is exposed deriving from the financial instruments related to the reform, on the way in which these risks are managed and on the progress of the entity in the transition to the new alternative reference rates.

The following table shows the quantitative information, aggregated by benchmark interest rate subject to reform, on financial instruments indexed to IBOR rates that had not yet changed to an alternative benchmark rate at the end of the reporting period, in accordance with paragraphs 24I and 24J of IFRS 7, in particular with regard to derivatives (nominal amount in absolute value for hedging and trading positions), debt securities on the asset side (Market Value) and loans and advances.



Significant parameters subject to IBOR Reform	(in millions of euro)					
	Book value		Nominal value			
	Non derivative assets	Non derivative liabilities	Derivative			
	Loans and advance	Deb securities	Loas	Debt secutites	Hedging	Trading
Referred to LIBOR	56.6	340.4	-	-	362.8	5,540.4
Of which: EUR	5.6		-			
Of which: USD	51.0	340.4	-		362.8	5,540.4
Total	56.6	340.4	-	-	362.8	5,540.4

The positions indexed to the LIBOR rates still present in the Group's portfolios as at 31 December 2022 refer mainly to the USD LIBOR parameter, subject to transition by 30 June 2023. In detail, the majority of derivative contracts and debt securities are indexed to USD 3M LIBOR.

The USD LIBOR-indexed debt security exposures, almost entirely concentrated on two covered bond positions, are 95% hedge accounting.

Almost all trading derivatives refer to contracts indexed to the 3M USD LIBOR rate and approximately 87% of the notional amounts were negotiated with Central Counterparties.

Also considering the notional values not in absolute value but in open positions, of contracts purchased and sold, the net exposure for USD LIBOR indices is almost nil.

To respond to the requirements of the BMR Regulation, the Monte dei Paschi Group launched an assessment project in 2020, from which it emerged that the impact of the reform was of low significance in the following areas: products, contracts, models and information systems.

With reference to OTC derivatives and in line with practices at most financial market operators, the Parent Company and the subsidiary MPS Capital Services Banca per le Imprese S.p.A. adopted the ISDA 2020 *IBOR Fallback Protocol* and the ISDA 2021 *EONIA Collateral Agreement Fallbacks Protocol*. These protocols were created to allow the parties to massively modify the contractual terms of existing transactions, incorporating the alternative rates (fallbacks).

During 2022, no changes or disposals of benchmark indices were planned, while at the end of the first half of 2023 the definitive disposal of the USD LIBOR is planned with the replacement indices that will be identified in the meantime pursuant to law or, failing that, according to the indications of the authorities regulations, which currently seem to expect an orderly replacement with the SOFR index. The issue will be addressed in the first months of 2023 by referring to the same internal activities already consolidated.

The ESEF (European Single Electronic Format) for the preparation of annual financial reports

Delegated Regulation (EU) no. 2019/815 ("ESEF Regulation"), which amends Transparency Directive no. 2004/109/EC, establishes that European listed companies must prepare annual financial reports according to the ESEF single electronic reporting format approved by ESMA: with eXtensible HyperText Markup language (XHTML), by "marking up" the basic identification details, Consolidated Financial Statements and Notes to the financial statements, with the specifications of the Inline eXtensible Business Reporting Language (iXBRL).

The obligation to mark up the information contained in the Consolidated financial statements was broken down into two stages:

- starting from the financial year beginning on 1 January 2021, the issuers have marked all the numerical values contained in the tables relating to the consolidated financial statements (Balance Sheet, Income Statement, Statement of comprehensive income, Statement of changes in equity and Cash flow statement);
- starting from the financial year beginning on 1 January 2022, issuers must mark up all information, of a textual and/or numerical nature, contained in the Notes to the financial statements.

The ESEF taxonomy is based on the IFRS taxonomy that is made available and updated annually by the IFRS Foundation, and provides issuers with a hierarchical structure to be used to classify financial information. For "markups", bank issuers use the iXBRL markup language and a taxonomy whose elements are those of the basic



taxonomy issued by ESMA, possibly supplemented by “extensions” in order to take into account the specificities of the banking sector and the compliance of financial statements with Circular no. 262 of the Bank of Italy. The combination of the XHTML format with the iXBRL markups makes the annual financial reports readable both by human users and by automatic devices, thus improving the transparency, accessibility, analysis and comparability at global level of the markups of the Financial Statements prepared in accordance with international accounting standards.

This Annual Financial Report was drawn up in XHTML in compliance with the provisions of the ESEF Regulation. In particular, the Group has marked up, with detailed tagging, the following information in these Consolidated financial statements:

- basic personal master data;
- Consolidated Financial Statements (Consolidated Balance Sheet, Consolidated Income Statement, Consolidated Statement of comprehensive income, Consolidated statement of changes in Equity and Consolidated Cash flow statement);
- notes to the consolidated financial statements (according to table 2 of Annex II of the ESEF Regulation) with a so-called “block” marking on the basis of which entire sections of the Notes to the consolidated financial statements are marked using individual taxonomy elements.

An illustration of the new accounting standards, or the changes to existing standards approved by the IASB is provided below, as well as the new interpretations or changes to existing interpretations published by IFRIC, with separate reporting on those applicable in 2022 from those that may be adopted in subsequent financial years.

List of key IAS/IFRS international accounting standards and related SIC/IFRIC interpretations endorsed for mandatory application as of the 2022 Financial Statements

On 2 July 2021, Regulation (EU) 2021/1080, which endorses the following documents published by IASB on 14 May 2020, was published:

- **“Reference to the Conceptual Framework (Amendments to IFRS 3)”** which updates the reference in IFRS 3 to the Conceptual Framework in the revised version, and adds an exception to the requirements for recording contingent liabilities under IFRS 3, in order to avoid changes to pre-existing accounting methods. Furthermore, the prohibition to recognise contingent assets (i.e. those assets whose existence will only be confirmed by uncertain future events) in business combinations is made explicit (previously this prohibition was only explicitly stated in the Basis for Conclusion).
- **“Property, Plant and Equipment - Proceeds before Intended Use (Amendment to IAS 16)”** which prohibits deducting from the cost of property, plant and equipment the amount received from the sale of items produced in the asset testing phase. These sales revenues and the relative costs will be recognised in the income **statement**;
- **“Onerous Contracts — Cost of Fulfilling a Contract (Amendment to IAS 37)”** which clarifies which costs must be considered in the assessment of the onerousness of the contract. More specifically, the cost to fulfil a contract includes the costs that refer directly to the contract. They may be incremental costs (for example, costs for the direct material used in processing), but also the costs that the company cannot avoid as it has entered into the contract (e.g., the share of the personnel costs and the depreciation of the machinery used to fulfil the contract);
- **“Annual Improvements to IFRS Standards 2018–2020”**, containing proposed amendments to four standards: IFRS 1 – “Subsidiary as a first-time adopter”; IFRS 9 – “Fees in the “10 per cent” test for derecognition of financial liabilities”, for which the amendment clarifies which fees should be considered in performing the test in application of par. B3.3.6 of IFRS 9, to assess the derecognition of a financial liability; IFRS 16 – “Lease incentives” for which the amendment regards an illustrative example and IAS 41 – “Taxation in fair value measurements”.

The amendments are effective as of 1 January 2022. Early adoption was permitted, which the Group did not use. The adoption of these amendments did not have any impact on the Group’s Consolidated Financial Statements.



List of IAS/IFRS international accounting standards and related SIC/IFRIC endorsed interpretations whose application is mandatory after 31 December 2022

The standards or amendments whose application is effective after 31 December 2022 and for which the Group, where envisaged, did not make use of early application, is provided below.

The new accounting standard **IFRS 17 “Insurance Contracts”**, published by the IASB in May 2017 and subject to subsequent amendments published on 25 June 2020 and on 9 December 2021, was endorsed with EU Regulation no. 2036/2021 of 19 November 2021 – and more recently amended with Regulation no. 1491/2022 of 8 September 2022, which introduced some changes of limited scope for the preparation of comparative information for the first-time application of IFRS 17 and IFRS 9 – will enter into force from 1 January 2023.

The key new features introduced by IFRS 17 concern:

- introduction of the concept of the expected profit from insurance contracts (*Contractual Services Margin*), representing the present value of the expected profits that will be recognised over the life of the contracts. This item, involves, at the moment an insurance contract is signed, the company’s recognition of a liability whose amount is given by the algebraic sum of the present value of expected contractual cash flows (discounted by also taking account of an appropriate risk margin, for non-financial risks) and the expected profit (present value of unearned profits);
- the measurement at the close of each reporting period of the elements indicated above (expected cash flows and profit), to verify the consistency of the estimates with the current market conditions. The effects of any misalignments must be immediately reflected in the financial statements: in the income statement if the changes relate to events that have already occurred in the past; as a reduction of expected profit if the changes relate to future events;
- the reporting in the income statement of profitability “by margins” achieved over the life of the policies, i.e. based on the service rendered by the company to policy-holders instead of at the moment contract is stipulated.

Regulation no. 2022/1491 of 8 September 2022, as noted above, endorsed the amendment to IFRS 17 **“Insurance Contracts: Initial Application of IFRS 17 and IFRS 9 - Comparative Information”**, published by the IASB on 9 December 2021. The amendment concerns the amendment to the rules of transition to IFRS 17, for entities that simultaneously apply the transition to IFRS 9, taking into account the different requirements set out in the aforementioned accounting standards for the restatement of comparative balances; IFRS 17 requires, in fact, the need to restate comparative information, which is permitted but not required by IFRS 9. The amendment in question therefore concerns financial assets for which comparative information must be presented at the date of transition of IFRS 17 and IFRS 9, which, however, is not restated pursuant to IFRS 9, with the aim of avoiding temporary accounting mismatches between the valuation of financial assets and those of insurance contracts, contributing to this ways to improve the relevance of comparative information for users of financial statements. Under this amendment, an entity is permitted to present comparative information on financial assets as if the classification and measurement requirements of IFRS 9 had been applied; this option is applicable to the individual financial instrument and does not require the adoption of the impairment criteria set out in IFRS 9. The amendments are applicable from 1 January 2023.

The introduction of the new standard assumes indirect significance for the Group since, although it does not carry out insurance activities, it holds equity investments in associates in the capital of the insurance companies “AXA MPS Assicurazioni Danni S.p.A.” and “AXA MPS Assicurazione Vita S.p.A.”, consolidated in the Group Financial Statements with the synthetic equity method. For an in-depth analysis of the contents of the standard, the methodological choices made by the insurance associates, the implementation project and finally the impact at the date of transition, please refer to Section 7.3.c Part B - Information on the Consolidated Balance Sheet of these Notes to the Financial Statements.

Regulation no. 2022/357 of 3 March 2022 endorsed the amendment to IAS 1 **“Disclosure of Accounting Policies (Amendments to IAS 1 “Presentation of Financial Statements” and IFRS Practice Statement 2 “Making Materiality Judgements”)** and the amendment to IAS 8 **“Definition of Accounting Estimates (Amendments to IAS 8)”**, both published by the IASB on 12 February 2021. The amendments are aimed at helping companies to identify the disclosure to be made on accounting policies, so as to provide more useful information to investors and other primary users of the financial statements. In detail, the amendments to IAS 1 require companies to provide information on material accounting standards, i.e. those that make it possible to understand the information reported in the financial statements on material transactions, for example if:



- the entity has changed its accounting policy during the year with consequent material effects on the financial statements;
- the entity has chosen an accounting policy among several options envisaged by the IFRS;
- an accounting policy was developed pursuant to IAS 8 in the absence of a specific reference standard;
- the accounting policy is inherent to an aspect for which judgements and assumptions must be significantly developed;
- the transactions are complex and difficult to understand by the users of the financial statements, for example when several IFRSs are applied to a class of material transactions.

In any case, “entity-specific” information is more useful than standard disclosures that replicate IFRS provisions. On the other hand, it is not necessary to illustrate the accounting policies relating to transactions or intangible events and, in any case, this information should not obscure the relevant information.

The amendments to IAS 8 are aimed at clarifying how to distinguish changes in accounting policies from changes in accounting estimates. This distinction is important because changes in accounting estimates are applied prospectively only to transactions and other future events, while changes in accounting policies are generally applied retroactively to transactions and other past events. In this regard, the definition of an accounting estimate – a monetary amount recognised in the financial statements that is subject to measurement uncertainty – is added and the interaction between accounting estimates and accounting policies is clarified, specifying that operators – in some cases – may have to use accounting estimates to achieve the objectives of their accounting policy. It is specified that the accounting estimates are the result of *measurement techniques* that require the use of judgements or assumptions (input to develop accounting estimates). The *measurement technique* refers to both estimation techniques, as in the case of the estimate of impairment pursuant to the IFRS 9 model, and valuation techniques, such as those used to estimate the fair value of an asset or liability pursuant to IFRS 13.

Therefore a change in the accounting estimate may result from:

- new information or new developments, provided that it is not the correction of an error, in line with the previous definition;
- a change in an input or a measurement technique used to develop an accounting estimate, unless this results from the correction of errors from previous financial years. In this regard, doubts had arisen whether the effect of a change in a measurement technique could be interpreted both as a change in estimate and as a change in an accounting policy

The Basis for Conclusion highlights that the changes introduced may not resolve all the application doubts identified by the stakeholders; in these cases, when the uncertainty remains, paragraph 35 may help: when it is difficult to distinguish a change in accounting standard from a change in an accounting estimate, the entity treats the change as a change in an accounting estimate.

The amendments to IAS 1 and IAS 8 are effective for financial years starting on or after 1 January 2023, with early application permitted. No significant impacts are expected for the Group from the aforementioned amendments.

Finally, Regulation (EU) 2022/1392 of 11 August 2022 endorsed the amendment to IAS 12 “**Deferred Tax related to Assets and Liabilities arising from a Single Transaction**” (**Amendments to IAS 12**), published by the IASB on 7 May 2021, which specifies how companies should account for deferred tax on transactions such as leases and decommissioning obligations. With the amendments in question, it was specified that the exemption from the recognition of a deferred tax liability or asset does not apply in the event of the initial recognition of an asset or a liability in a transaction that gives rise to deductible temporary differences and equal taxable income (even if at the time of the transaction it does not affect either the accounting profit or the taxable income/tax loss). The case related to the above is applicable in relation to the accounting of lease transactions in which the lessee initially recognizes in the Balance Sheet the asset (right of use) and the corresponding lease liability, normally of the same amount. Depending on the applicable tax law, taxable and deductible temporary differences of equal amount may arise; as anticipated, the published amendment clarifies that in such cases the exemption provided by paragraphs 15 and 24 of IAS 12 does not apply and the lessee must recognise the resulting deferred tax liability and asset. The amendments apply as of 1 January 2023, but early adoption is permitted. The amendment will have no impact for the Group.



IAS/IFRS international accounting standards and related SIC/IFRIC interpretations issued by the IASB and still awaiting approval from the European Commission

The following amendments to IAS 1 presented by the IASB are awaiting endorsement:

- ***“Classification of Liabilities as Current or Non-current Date”*** issued on 23 January 2020, with a view to clarifying how to classify payables and other liabilities as either current or non-current. This proposal clarifies - without changing them - the current requirements of IAS 1; the clarifications are intended to improve consistency in the application of IAS 1 among companies in determining whether, in the statement of financial position, payables and other liabilities with an uncertain settlement date should be classified as current (due or potentially due within one year) or non-current. The entry into force of the amendments, originally scheduled for 1 January 2022, was then deferred by the IASB to the financial years starting on 1 January 2023 or later, with the amendment ***“Classification of Liabilities as Current or Non-Current – Deferral of Effective Date”*** published on 15 July 2020. Early application is permitted.
- ***“Non-current Liabilities with Covenants”*** issued on 31 October 2022, with the aim of improving the information provided by companies on long-term debt with covenants. IAS 1 requires that a company classify debt as non-current only if the company can avoid paying off the debt in the 12 months following the reporting date. However, a company’s ability to do so is often subject to compliance with covenants. For example, a company might have long-term debt that could become repayable within 12 months if the company does not meet the terms of the covenants in that 12-month period. The amendments to IAS 1 specify that covenants terms to be met after the balance sheet date do not affect the classification of debt as current or non-current at the reporting date. Instead, the amendments require a company to provide information on these covenants in the Notes to the Financial Statements. The amendments will be effective for financial years starting on or after 1 January 2024, with early application permitted.

On 22 September 2022, the IASB published an amendment to IFRS 16 “Lease Liability in a Sale and Leaseback” that clarifies how a sale and leaseback transaction is accounted for after the transaction date. A sale and leaseback is a transaction whereby a company sells an asset and leases the same asset for a period of time from the new owner. IFRS 16 includes requirements on how to account for a sale and leaseback when the transaction occurs. However, IFRS 16 had not specified how to measure the transaction when it is reported after said date. The amendments issued today are in addition to the sale and leaseback requirements of IFRS 16, thus supporting the consistent application of the accounting standard. The amendments will be effective for financial years starting on or after 1 January 2024, with early application permitted.



A.2 – Part relating to the main items of the financial statements

Accounting standards

The following is a description of the accounting standards that have been adopted with reference to the main asset and liability items for the preparation of the Consolidated Financial Statements as at 31 December 2022 with reference to the stages of classification, recognition, measurement and derecognition of the various asset and liability items, as well as for the methods of recognising revenues and costs. These standards are aligned with those adopted for the preparation of the comparative Financial Statements as at 31 December 2021.

1 Financial assets measured at fair value through profit or loss (FVTPL)

a) classification criteria

These assets include financial assets other than those classified under “Financial assets measured at fair value through other comprehensive income” and “Financial assets measured at amortised cost”. The item in particular includes:

- debt securities or loans that are included in an “Other” Business Model, i.e., a procedure for managing financial assets that does not have the objective of collecting contractual cash flows (“Held to Collect” Business Model) or collecting contractual cash flows and selling financial assets (“Held to Collect and Sell” Business Model);
- debt securities, loans and units of UCITS whose contractual terms do not provide exclusively for repayments of principal and interest payments on the principal to be repaid (i.e., that do not pass the “SPPI test”);
- equity instruments that cannot be classified as representing control, affiliation, and joint control, held for trading purposes or for which, upon initial recognition, the fair value through other comprehensive income option was not chosen;
- derivative contracts, recognised in financial assets held for trading, that are recognised as assets if the fair value is positive, or liabilities if the fair value is negative.

With reference to the latter, it is possible to offset current positive and negative values deriving from outstanding transactions with the same counterparty only if the legal right to offset the amounts recognised is currently in place and the entity intends to proceed with the net settlement of offsetting positions.

More detailed information is provided below on the three sub-items that comprise this category, represented by: “Financial assets held for trading”, “Financial assets measured at fair value”, and “Other financial assets measured at fair value as per mandatory requirements”.

Financial assets held for trading

Financial assets (debt securities, equity securities, loans, units of UCITS) are classified as held for trading purposes if they are managed with the objective of generating cash flows through their sale, as they are:

- acquired or incurred primarily for the purpose of selling or repurchasing them in the short-term;
- part of a portfolio of financial instruments that are managed on an individual basis and for which there is proven existence of a strategy targeted at earning a profit in the short term;

It also includes derivatives with a positive fair value not designated as having an accounting hedge relationship. Derivative contracts include those embedded in combined financial instruments, in which the primary contract is a financial liability, which were subject to separate accounting.

- their economic characteristics and risks are not strictly related to the characteristics of the underlying contract;
- the embedded instruments, even if separate, satisfy the definition of derivative;
- hybrid instruments to which they belong are not measured at fair value with the relative changes posted in profit or loss.

Financial assets designated at fair value

A financial asset (debt securities and loans) can be designated at fair value irrevocably at the time of initial recognition, only when this designation makes it possible to eliminate or significantly reduce a measurement inconsistency (“accounting mismatch”). This category is not used by the Group at present.



Other financial assets measured at fair value as per mandatory requirements

Other financial assets measured at fair value as per mandatory requirements represent a residual category and include:

- debt securities and loans, when: i) the relative contractual cash flows do not represent solely payments of principal and interest on the residual capital (Solely Payment of Principal and Interest - SPPI test failed), or ii) are not held as part of a Business Model whose objective is the ownership of assets for purposes of collecting contractual cash flows ("Held to Collect" Business Model) or those whose objective is achieved either by collecting contractual cash flows or by selling financial assets ("Held to Collect and Sell" Business Model);
- units of UCITS;
- equity securities held for purposes other than trading for which the option of classification at fair value through other comprehensive income is not exercised.

b) recognition criteria

Initial recognition of financial assets occurs at settlement date for debt securities, equities and units of UCITS, at disbursement date for loans, and at trade date for derivative contracts. Upon initial recognition, financial assets measured at fair value through profit or loss are recognised at fair value, which usually corresponds to the amount paid, without considering transaction costs or revenues directly attributable to the instrument, which are directly recognised in the income statement.

c) measurement criteria

After initial recognition, financial assets measured at fair value through profit or loss are recorded at fair value, with changes recognised as an offsetting entry in the income statement.

To determine the fair value of financial instruments listed on an active market, market prices recorded at the reporting date are used. In the absence of an active market, commonly adopted estimation methods and valuation models are used, which take into account all the risk factors related to the instruments and which are based on data recorded on the market such as: valuation of listed securities with similar characteristics, discounted cash flow calculations, option pricing models, values recognised in recent comparable transactions, etc. For equity securities and derivatives on equity securities that are not listed on an active market, the cost criterion is used as an estimate of the fair value only on a residual basis and limited to rare circumstances, i.e., if none of the measurement models previously mentioned can be applied, or if there is a wide range of possible fair value measurements, in which case the cost represents the most meaningful estimate.

For further information on the criteria for determining the fair value, please refer to Section "A.4 Information on Fair Value" of Part A of these Notes to the consolidated financial statements.

d) revenue recognition criteria

The interest of the three sub-items that comprise this category is recorded under item "10 - Interest income and similar revenues".

Realised gains and losses, the gains and losses from measurements for "Financial assets held for trading", including derivatives associated with financial assets/liabilities measured at fair value, are recognised in profit or loss under item "80 - Net trading income (expenses)". These income effects pertaining to "Financial assets measured at fair value" as well as "Other financial assets measured at fair value as per mandatory requirements" are booked to the income statement under item "110 - Net profit/loss from financial assets and liabilities measured at fair value through profit or loss", in the sub-items "a) financial assets and liabilities measured at fair value" and "b) other financial assets measured at fair value as per mandatory requirements", respectively.

e) derecognition criteria

Financial assets are derecognised from financial statements: i) upon expiration of the contractual rights on the cash flows resulting from the assets, or ii) when the financial assets are sold and all related risks/benefits are transferred. However, if a relevant portion of the risks and rewards associated with disposed financial receivables have been maintained, they continue to be posted in the financial statements, even if legal ownership of the asset has been effectively transferred.

If it is not possible to ascertain a substantial transfer of risks and rewards, the financial assets are derecognised when control of the assets has been surrendered. Conversely, if such control has been maintained, even partly, the assets should continue to be recognised to the extent of residual involvement, as measured by the exposure to the changes in value of the assets disposed and to the changes in their cash flows.



Finally, disposed financial assets are derecognised if the contractual rights to receive the cash flows are maintained and a contractual obligation is simultaneously undertaken to pay only said flows, without a significant delay, to third parties.

f) reclassification criteria

According to the general rules established by IFRS 9 on reclassifying financial assets (with the exception of equity securities, for which reclassification is not permitted), reclassifications to other categories of financial assets are not permitted unless the entity changes its Business Model for managing financial assets. In these cases, which are expected to be highly infrequent, financial assets may be reclassified from the category 'measured at fair value through profit or loss' to one of the other two categories envisaged by IFRS 9 (financial assets measured at amortised cost or financial assets measured at fair value through other comprehensive income). The transfer value is represented by the fair value at the time of the reclassification and the effects of the reclassification apply prospectively from the reclassification date. In this case, the effective interest rate of the reclassified financial asset is calculated based on its fair value at the reclassification date and this date is considered as the initial recognition date in assigning it to the various credit risk stages (stage assignment) for purposes of impairment.

For more information on classification criteria for financial instruments, please refer to the section "Classification criteria for financial assets" below.

2 Financial assets measured at fair value through other comprehensive income (FVTOCI)

a) classification criteria

This category includes financial assets represented by:

- debt securities, managed as part of a "Held to collect" Business Model and whose contractual flows represent only payments of principal and interest on the principal to be repaid (Solely Payment of Principal and Interest - SPPI - test passed).³⁷
- equity instruments (not qualifiable as control, association and joint control), held as part of a Business Model other than trading for which the option for recognition in the individual instrument was irrevocably exercised at the time of initial recognition of the individual instrument, the option for recognition in the statement of comprehensive income from changes in fair value after initial recognition (OCI election).

b) recognition criteria

Financial assets are initially recognised on the date of settlement, with reference to debt or equity instruments, and on the date of disbursement, with reference to loans.

On initial recognition, the assets are measured at their fair value, which normally corresponds to the price paid, inclusive of transaction costs or income directly attributable to the instrument.

c) measurement criteria

Financial assets represented by debt securities and loans, following initial recognition, continue to be measured at fair value, with recognition in the income statement of interest (based on the effective interest rate method), expected credit losses and any exchange rate changes. Fair value changes, net of expected credit losses, are booked to the appropriate equity reserve net of the associated tax effect (item "120 - Valuation reserves"). Upon cancellation of the financial asset, the accumulated profits or losses in the valuation reserve will be subject to recycling to the Income Statement (item "100. Gains (losses) on disposal or repurchase of: b) financial assets measured at fair value through other comprehensive income").

Financial assets represented by equity instruments, following initial recognition, continue to be measured at fair value, with changes booked to the appropriate equity reserve net of the associated tax effect (item "120 - Valuation reserves"). The amount recognised as an offsetting entry in shareholders' equity (Statement of Comprehensive Income) cannot subsequently be transferred to the income statement, even following a sale; in this case, the amount is reclassified in another equity item (item "150 - Reserves"). Furthermore, no write-down to the income statement is envisaged for these assets as they are not subject to any impairment process. The only component of these equity securities that is recognised in the income statement is represented by the related dividends received (item "70 - Dividends and similar income").

³⁷Financial instruments held within the framework of a Business Model whose objective is ownership of said instruments for the purpose of collecting cash flows can be associated with the "Held to Collect and Sell" Business Model.



For equity securities included in this category, which are not listed on an active market, the cost criterion is used as an estimate of the fair value only on a residual basis and limited to rare circumstances, i.e., if none of the measurement models previously mentioned can be applied, or if there is a wide range of possible fair value measurements, in which case the cost represents the most meaningful estimate.

For further information on the criteria for determining the fair value, please refer to Section “A.4 Information on Fair Value” of Part A of these Notes to the consolidated financial statements.

Financial assets measured at fair value through other comprehensive income - both in the form of debt securities and loans - are subject to verification of the significant increase in credit risk (impairment) as required by IFRS 9, similar to assets measured at amortised cost, with the consequent recognition in the income statement of a value adjustment to cover expected losses. In summary, an estimated loss at one year is recognised, at the initial recognition date and at every subsequent reporting date, on instruments classified in stage 1 (i.e., on financial assets at the origination date, if not impaired, and on instruments for which there has not been a significant increase in credit risk compared to the initial recognition date). Instead, for instruments classified in stage 2 (performing, for which there has been a significant increase in credit risk compared to the initial recognition date) and stage 3 (non-performing exposures) an expected loss is recorded for the entire residual life of the financial instrument. Conversely, equity securities are not subject to the impairment test.

For more detailed information, please refer to the subsequent paragraph “Use of estimates and assumptions when preparing financial statements - Methods for calculating impairment on IFRS 9 financial instruments”.

d) revenue recognition criteria

As regards financial instruments represented by debt instruments:

- interest is recorded under item “10 - Interest income and similar revenues”;
- expected credit losses recognised in the financial year are accounted for in item “130 - “Net impairment (losses)/reversals for credit risk of: b) financial assets measured at fair value through comprehensive income” as a balancing entry to the specific equity valuation reserve (“120. Valuation reserves”); the same applies to recoveries of part or all of the write-downs made in previous financial years;
- at the moment of derecognition, valuations accumulated in the specific equity reserve are reversed to the income statement under item “100 - Gains (losses) on disposal/repurchase of: b) financial assets measured at fair value through other comprehensive income”.

As regards financial assets represented by equity instruments, for which the so-called “OCI election” was exercised, only dividends are booked to the income statement (item “70 - Dividends and similar income”). Changes in fair value subsequent to initial recognition are recorded in a specific valuation reserve under shareholders’ equity (item “120 - Valuation reserves”); in the event of derecognition of the asset, the cumulative balance of this reserve is not reversed to the income statement but is reclassified under earnings reserves of equity (item “150 - Reserves”).

e) derecognition criteria

Financial assets are derecognised from financial statements: i) upon expiration of the contractual rights on the cash flows resulting from the assets, or ii) when the financial assets are sold and all related risks/benefits are transferred. However, if a relevant portion of the risks and rewards associated with disposed financial receivables have been maintained, they continue to be posted in the financial statements, even if legal ownership of the asset has been effectively transferred.

If it is not possible to ascertain a substantial transfer of risks and rewards, the financial assets are derecognised when control of the assets has been surrendered. Conversely, if such control has been maintained, even partly, the assets should continue to be recognised to the extent of residual involvement, as measured by the exposure to the changes in value of the assets disposed and to the changes in their cash flows.

Finally, disposed financial assets are derecognised if the contractual rights to receive the cash flows are maintained and a contractual obligation is simultaneously undertaken to pay only said flows, without a significant delay, to third parties.



f) reclassification criteria

According to the general rules established by IFRS 9 on reclassifying financial assets (with the exception of equity securities, for which reclassification is not permitted), reclassifications to other categories of financial assets are not permitted unless the entity changes its Business Model for managing financial assets. In these cases, which are expected to be highly infrequent, financial assets may be reclassified from the category ‘measured at fair value through other comprehensive income’ to one of the other two categories envisaged by IFRS 9 (financial assets measured at amortised cost or financial assets measured at fair value through profit or loss). The transfer value is represented by the fair value at the time of the reclassification and the effects of the reclassification apply prospectively from the reclassification date. If assets are reclassified from this category to the amortised cost category, the cumulative gain (loss) recorded in the valuation reserve is adjusted to the fair value of the financial asset at the reclassification date. If, instead, assets are reclassified to the fair value through profit or loss category, the cumulative gain (loss) recorded previously in the valuation reserve is reclassified from shareholders’ equity to profit (loss) for the year.

For more information on classification criteria for financial instruments, please refer to the section “Classification criteria for financial assets” below.

3 Financial assets measured at amortised cost

a) classification criteria

This category includes financial assets represented by loans and debt securities, managed as part of a “Held to collect” Business Model and whose contractual flows represent only payments of principal and interest on the principal to be repaid (Solely Payment of Principal and Interest - SPPI - test passed).³⁸

The portfolio of financial assets measured at amortised cost includes:

- the entire portfolio of loans in the various technical forms that satisfy the above requirements (including repurchase agreements), stipulated with both banks and customers;
- debt securities, mainly government bonds, which satisfy the above requirements;
- operating receivables connected with providing financial assets and services as defined in the Consolidated Law on Banking and the Consolidated Law on Finance (e.g., for distribution of financial products and servicing activities);
- receivables originating from financial lease transactions which, in accordance with IFRS 16, are recognised as credits as they transfer risks and benefits to the lessee, including the values referring to assets pending financial leasing, such as properties under construction.
- loans to banks and central banks other than “at sight”.

b) recognition criteria

Financial assets are initially recognised on the date of settlement, with reference to debt securities, and on the date of disbursement, with reference to loans. In particular, as far as loans are concerned, the disbursement date normally coincides with the contract execution date. If this does not occur, a commitment to disburse funds is entered into the contract at the time of its execution and it is closed at the disbursement date. The initial recognition is based on the fair value of the financial instrument (which is normally equal to the amount disbursed or price of underwriting), inclusive of the costs/income directly related to the individual instruments and determinable as of the transaction date, even if such costs/income are settled at a later date. This does not include costs which have these characteristics but are subject to repayment by the debtor or which can be encompassed in ordinary internal administrative expenses.

Repurchase agreements with forward repurchase or resale obligation are recorded in the Financial Statements as funding or lending transactions. In particular, spot sales and forward repurchase transactions are recognised in the financial statements as payables for the spot amount received, while spot purchase and forward resale transactions are recognised as receivables for the spot amount paid.

³⁸ Financial instruments held within the framework of a Business Model whose objective is ownership of said instruments for the purpose of collecting cash flows can be associated with the “Held to Collect” Business Model.



c) measurement criteria and revenue recognition criteria

Following initial recognition, financial assets booked to this category are measured at amortised cost using the effective interest rate criterion. This interest is recorded under item “10 - Interest income and similar revenues”.

The gross book value is equal to the first-time recognition value, decreased/increased by:

- principal repayments;
- amortisation – calculated using the effective interest rate method – of the difference between the amount disbursed and the amount repayable upon maturity, typically attributable to the costs/income directly charged to each receivable.

The effective interest rate is identified by calculating the rate that equals the present value of future flows of the asset, in terms of principal and interest, to the amount disbursed including the costs/income related to the asset. The estimate of cash flows must take into account all contractual clauses that may affect amounts and maturities, without considering the expected losses on the asset. This accounting method, using a financial logic, makes it possible to distribute the economic effect of all transaction costs, commissions, premiums or discounts considered an integral part of the effective interest rate over the expected residual life of the asset.

The amortised cost method is not used for short-term receivables, for which the effect of applying a discounting approach is negligible, for loans without a defined maturity, and for revocation loans. For more detailed information on amortised cost, please refer to the following section “Other significant accounting practices - amortised cost”.

The book value of financial assets at amortised cost is adjusted to take into account any provision to cover expected losses (expected credit losses). For each reporting period, the aforementioned assets are subject to impairment testing with the aim of estimating expected losses in value for credit risk (ECL - Expected Credit Losses). These losses are recorded in the income statement under item “130 - Net impairment (losses)/reversals for credit risk”. If there is no reasonable expectation of recovery, the gross exposure is written-off: in this case, the gross exposure will be reduced by the amount deemed non-recoverable, as a balancing entry to the reversal of the provision to cover expected losses and impairment losses in the income statement, for the part not covered by the provision. For further details on the accounting treatment of “write-offs”, please refer to the following paragraph on “derecognition criteria”.

More specifically and as better explained in the paragraph “Use of estimates and assumptions when preparing financial statements - Methods for calculating impairment on IFRS 9 financial instruments”, the impairment model classifies the assets into three separate stages (stage 1, stage 2, stage 3), according to trends in the debtor’s creditworthiness, each of which has different criteria for measuring expected losses:

- *stage 1*: includes performing financial assets for which there has been no significant increase in credit risk with respect to the initial recognition date, or for which credit risk is considered low. Impairment is based on an estimate of expected loss over a one-year time horizon (expected loss that would result from default events on financial assets that are deemed possible within one year of the reference date);
- *stage 2*: include performing financial assets which have suffered a significant impairment in credit risk compared to the initial recognition. Impairment is measured as the estimated expected loss with reference to a timespan equal to the residual life of the financial asset;
- *stage 3*: represents non-performing financial assets (probability of default equal to 100%), to be assessed based on an estimate of expected loss over instrument’s life.

For performing assets, expected losses are determined according to a collective process based on certain risk parameters represented by the probability of default (PD), the loss rate in the event of default (LGD Loss Given Default) and the exposure value (EAD Exposure At Default) deriving from internal models for the calculation of regulatory credit risk, appropriately adjusted in order to take into account the specific requirements envisaged by accounting regulations.

For non-performing assets, i.e., assets for which, in addition to a significant increase in credit risk, objective evidence of impairment has been found, impairment losses are quantified based on an analytical or lump-sum measurement process by homogeneous risk categories - aimed at determining the present value of expected future recoverable cash flows, discounted using the original effective interest rate or a reasonable approximation thereof, if the original interest rate cannot be directly determined.

The non-performing asset category includes exposures assigned the status of bad loan, unlikely to pay, or past-due/overdrawn for more than ninety days, in accordance with the definitions established by supervisory regulations in effect (Bank of Italy Circular no. 272 “Accounts Matrix”) and referred to in Bank of Italy Circular no. 262, as



these definitions are deemed consistent with accounting regulations envisaged in IFRS 9 for objective evidence of impairment.

In the event of sale scenarios, the cash flows are calculated based not only on the forecast of the recoverable amounts through internal management activity, but also on the basis of the flows that can be obtained from any sale on the market, according to the approach described in the subsequent paragraph "Use of estimates and assumptions when preparing financial statements - Methods for calculating impairment on IFRS 9 financial instruments".

In addition, the expected cash flows include forecasts for collection timing and the realisable value of any guarantees as well as the costs connected with obtaining and selling the guarantee. In this regard, in the event that the Group uses a third party to collect non-performing loans, the fees paid to the outsourcer for activities strictly related to collection are considered for the purpose of estimating impairment losses. These costs are considered for both non-performing and performing exposures, if for the latter it is probable that in the event of a transfer to bad loans, the collection activities will be assigned to third parties.

For fixed-rate positions, the original effective rate used to discount the expected cash flows from collection, calculated as described above, remains unchanged over time even if there is a change in the contractual rate due to the debtor's financial difficulties. For floating-rate positions, the rate used to discount cash flows is updated for the indexing parameter (e.g., Euribor), while keeping the fixed spread at the original level.

The financial asset's original value is restored in subsequent financial years when there is an improvement in the exposure's creditworthiness compared to that which had led to the previous write-down. The reversal is posted to the same item in the income statement ("130 - Net impairment (losses)/reversals for credit risk") and may not, in any case, exceed the amortised cost that the asset would have had without prior adjustments. For more detailed information on the impairment model, please refer to the subsequent paragraph "Use of estimates and assumptions when preparing financial statements - Methods for calculating impairment on IFRS 9 financial instruments".

For non-performing exposures, accrued interest is calculated based on amortised cost, i.e., using the value of the exposure - calculated with the effective interest rate - adjusted for expected losses. In case of management of non-performing exposures, or of transfer from stage 3 to stage 2, interest will once again be calculated based on the gross exposure value; the positive difference is recognised, as the recovery of previous impairment losses, as an offsetting entry to item "130. Net impairment (losses)/reversals for credit risk". The same accounting entry is made in the event that the interest collected is greater than the expected cash flows.

Finally, for non-performing exposures that do not accrue contractual interest, such as bad loans, this interest corresponds to the progressive release of the discounting of collection forecasts, as the effect of the simple passage of time.

d) derecognition criteria

The financial assets are derecognised in the event one of the following cases is verified:

- the contractual rights on the cash flows deriving from the same expire;
- the financial asset is sold with the substantial transfer of all risks and benefits resulting from ownership;
- if it is not possible to ascertain a substantial transfer of risks and benefits, the financial assets are derecognised when control of the assets has been surrendered;
- the entity retains the contractual right to receive cash flows from the financial assets, but simultaneously assumes the contractual obligation to pay said flows to a third party (pass-through arrangements) without delay and only to the extent of the amount received;
- the asset is subject to "substantial" changes, as more extensively described in the section "Renegotiations".

With regard to non-performing financial assets, the asset may be derecognised following the acknowledgement of the non-recoverability of the exposure and the resulting closure of the collection process (definitive derecognition), and entails the reduction of the nominal value and of the gross book value of the loan. This case occurs when settlement agreements have been reached with the debtor that entail a reduction in the loan (resolution agreement) or in the presence of specific situations such as, for example:

- a judgement has been handed down by the court that declares the loan all or partially settled;
- the conclusion of bankruptcy or enforcement proceedings against both the principal debtors and guarantors;
- the conclusion of all possible judicial and extra-judicial actions for credit collection;



- the completion of a mortgage lien on an asset under guarantee, with the resulting derecognition of the loan guaranteed by the property under lien, in the absence of further specific guarantees or other actions that can be taken to recover the exposure.

These specific situations may result in a full or partial derecognition of the exposure but do not necessarily imply a waiver of the legal right to collect the loan.

In addition, non-performing financial assets may be derecognised following their “write-off”, upon acknowledgement that there are no reasonable expectations of collection, while continuing with actions aimed at their recovery. This write-off is carried out in the financial year in which the loan, or part of it, is considered non-recoverable - despite not closing the legal procedure - and can take place before the legal actions taken against the debtor and guarantors for credit collection. It does not imply the waiver of the legal right to collect the loan and is made if the loan documentation contains reasonable financial information indicating that the debtor will be unable to repay the loan amount. In this case, the gross nominal value of the loan remains unchanged, but the gross book value is reduced by an amount equal to the amount to be written off, which may represent the full exposure or a portion of it. The write-off amount cannot be subjected to subsequent write-backs following an improvement in collection forecasts, rather only as the result of amounts effectively collected.

In the event of derecognition, the difference between the carrying amount of the asset at the derecognition date and consideration received, inclusive of any assets received net of any liabilities assumed, must be recognised in the income statement, under item “100. a) Gains/(losses) on disposal or repurchase of: financial assets measured at amortised cost”.

e) reclassification criteria

According to the general rules established by IFRS 9 on reclassifying financial assets, reclassifications to other categories of financial assets are not permitted unless the entity changes its Business Model for managing financial assets. In these cases, which are expected to be highly infrequent, financial assets may be reclassified from the category ‘measured at amortised cost’ to one of the other two categories envisaged by IFRS 9 (financial assets measured at fair value through other comprehensive income or financial assets measured at fair value through profit or loss). The transfer value is represented by the fair value at the time of the reclassification and the effects of the reclassification apply prospectively from the reclassification date. Gains or losses resulting from the difference between the amortised cost of the financial asset and the associated fair value are booked to the income statement in the case of reclassification under “Financial assets measured at fair value through profit or loss” and, under equity, in the appropriate valuation reserve, in the case of the reclassification under “Financial assets measured at fair value through other comprehensive income”.

For more information on classification criteria for financial instruments, please refer to the section “Classification criteria for financial assets” below.

4 Hedging transactions

The Group availed itself of the possibility, envisaged on first-time application of IFRS 9, to continue to use all of the provisions of IAS 39 (carved out version endorsed by the European Commission) as regards hedge accounting for all types of hedge (both micro and macro hedges).

a) classification criteria – types of hedging

Risk-hedging transactions are aimed at offsetting any potential losses on a certain financial instrument or group of financial instruments that may arise from a specific risk should it occur.

The following types of hedging are included:

- fair value hedges, which are intended to hedge the exposure to changes in fair value of a recognised asset or liability that are attributable to a particular risk. These include generic fair value hedges (macro-hedges) having the objective of reducing fluctuations in fair value due to interest rate risk, of a monetary amount, arising from a portfolio of financial assets and liabilities (including core deposits). Generic hedges cannot be used to cover net amounts resulting from the offsetting of assets and liabilities.
- cash flow hedges, which are intended to hedge the exposure from variability in future cash flows attributable to particular risks associated with a recognised asset or liability or a transaction that is deemed highly likely;
- hedges of a net investment in a foreign operation, which refers to hedging the risks of an investment in a foreign operation denominated in a foreign currency.



At the consolidated financial statement level, the designation of the derivative as a hedging instrument is possible only if it is stipulated in relation to a counterparty external to the Group. The results attributable to internal transactions carried out among different Group entities are eliminated.

Given the choice exercised by the Group of making use of the possibility to continue to fully apply the rules of IAS 39 to hedging relationships, it is not possible to recognise capital securities under Financial assets measured at fair value through other comprehensive income (FVOCI) as hedged for price or exchange risk, as these instruments do not impact the income statement, even in case of sale (other than for the dividends recognised in the financial statement).

b) recognition criteria

Financial hedging derivatives, just as for all derivatives, are initially recognised at fair value on the date the contract is stipulated and are classified, as a function of their positive or negative value, in the asset item “50. Hedging derivatives” or in the liability item “40. Hedging derivatives”.

A relationship qualifies as a hedge, and is represented in the accounts, if and only if all the following conditions are met:

- at the start of the hedge there is a formal designation and documentation of the hedging relationship, the company's objectives in managing the risk and the strategy in carrying out the hedge. This documentation includes the identification of the hedging instrument, the hedged item or transaction, the nature of the hedged risk and how the company assesses the effectiveness of the hedging instrument in offsetting the exposure to changes in the fair value of the hedged element or cash flows attributable to the hedged risk;
- the hedge is expected to be highly effective;
- the planned transaction subject to hedging, for cash flow hedges, is highly probable and presents an exposure to changes in cash flows that could affect the income statement;
- the effectiveness of the hedge can be reliably measured;
- the hedge is valued on the basis of a continuity criterion and is considered highly effective for all the reference financial years for which the hedge was designated.

Hedge effectiveness depends on the extent to which changes in the fair value or expected cash flows of the hedged item are offset by corresponding changes in the hedging instrument. Therefore, effectiveness is measured by comparing said changes, while taking into account the company's intent at hedge inception. With reference to the hedged risk, the hedging is effective (within the 80% to 125% window) when the changes in fair value (or in the cash flows) of the hedging instrument offset the changes in the hedged item almost entirely.

Effectiveness is assessed at year-end or at interim reporting dates by using:

- *prospective tests*, which justify the application of hedge accounting, as they demonstrate its expected effectiveness;
- *retrospective tests*, which show how effective the hedging relationship has been in the period under review.

c) measurement criteria and revenue recognition criteria

Hedging derivatives are measured at fair value. In particular:

Fair value hedging

In the case of specific fair value hedging, the change in the fair value of the hedged element (for changes generated by the underlying risk factor) adjusts the book value of the hedged element and is immediately recognised, regardless of the category to which the hedged asset or liability belongs, along with the change in the fair value of the hedging instrument, in income statement item “90 - Net profit (loss) from hedging”. Any difference, i.e. partial ineffectiveness of the hedging derivatives, reflects their net P&L impact;

If the hedging relationship is suspended, the hedged instrument, if not derecognised from financial statements, is returned to the original valuation criterion of the class to which it belongs. Specifically for instruments measured at amortised cost, the cumulative revaluations/write-downs recorded as a result of changes in the fair value of the hedged risk are recognised in the income statement in interest income and expense over the residual life of the hedged item, based on the effective interest rate. Instead, if the suspension of the hedge is accompanied by the derecognition from financial statements of the hedged item (e.g., sale or early repayment), the fair value portion not yet amortised is immediately recognised in the income statement under the item “90 - Net profit (loss) from hedging”.

With regard to generic fair value hedging transactions (macro-hedges), changes in fair value of the hedged risk of assets and liabilities subject to hedging are recorded in the balance sheet, respectively, under item “60 - Change in



value of macro-hedged financial assets” or “50 - Change in value of macro-hedged financial liabilities”. The offsetting item for changes in value in both the hedged element and the hedging instrument, similar to specific fair value hedges, is item “90 - Net profit (loss) from hedging” in the income statement. In the event of termination of a generic fair value hedging relationship, the cumulative revaluations/write-downs recorded in the above-mentioned balance sheet items are recognised in the income statement under interest income or expense for the residual duration of the original hedging relationships, subject to verification that the prerequisites have been met.

Cash flow hedging

The changes in fair value of the hedging instrument are posted to a specific shareholders’ equity reserve (item “120 - Valuation reserves”) with reference to the effective portion of the hedge, while fair value changes of the hedging instrument that are not offset by changes in the hedged item’s cash flows are posted to the income statement under item “90 - Net profit (loss) from hedging”. If the cash flow hedge is no longer considered effective, or the hedging relationship is terminated, the total amount of profits or losses on the hedging instrument, already recognised under “Valuation reserves”, is recognised in the income statement only in the when the hedging transaction will take place or when it is no longer considered possible for the transaction to occur; in the latter circumstance, the profits or losses are transferred from the shareholders’ equity item to the income statement item “90. Net profit (loss) from hedging”.

Hedges of foreign currency investments

Hedges of foreign currency investments are accounted for similarly to cash flow hedges.

d) derecognition criteria

If tests do not confirm hedge effectiveness, both retrospectively and prospectively, hedge accounting is discontinued as described above. In this circumstance, the hedging derivative contract is reclassified under “Financial assets measured at fair value through profit or loss” and in particular under financial assets held for trading.

In addition, the hedging relationship ceases when:

- the derivative expires, is extinguished or exercised;
- the hedged item is sold, expires, or is repaid;
- it is no longer highly likely that the hedged future transaction will occur.

As an exception to the provisions of IAS 39, discontinuing is not carried out following the updating of the documentation on the hedging relationship (due to the change in the hedged risk, the hedged underlying, the hedging derivative or the method for verifying the resilience of the hedge) in the event of changes necessary as a direct consequence of the Reform of the reference indices for the determination of interest rates (IBOR Reform) and carried out on an equivalent economic basis.

5 Equity investments

a) classification criteria

This item includes equity interests held in associates or joint ventures, which are recognised in accordance with the equity method.

Companies subject to significant influence are considered associates. It is assumed that the company exercises significant influence in all cases in which it holds at least 20% of the voting rights (including “potential” voting rights) and, regardless of the interest held, if the company has the power to participate in management and financial decisions of the investee, by virtue of specific legal connections, such as shareholders’ agreements, with the purpose for the agreement’s participants to ensure representation in management bodies and to ensure management unity, without having control.

Entities are considered to be jointly controlled companies when control is shared between the Group and one or more other parties based on contracts or agreements of another nature, according to which financial and management decisions with strategic purposes are made through the unanimous consent of all parties that share control. This occurs when the voting rights and control of the economic activity of the investee are shared equally by Banca MPS and another entity. In addition, a joint investment is defined as an equity investment in which, even in the absence of an equal share of voting rights, the unanimous consent of all parties sharing control is required for the making resolutions concerning the relevant activities.



For further information, please refer to section 7.6 “Key considerations and assumptions to determine the existence of joint control or significant influence” in Part B – “Assets” of these Notes to the financial statements.

b) recognition criteria

Initial recognition of financial assets classified in this category occurs on the settlement date, for a total value equal to the cost, including any goodwill paid at the time of acquisition, which is therefore not subject to independent and separate recognition.

c) measurement criteria and revenue recognition criteria

Equity investments recognised in this category are valued using the equity method. This method envisages that the initial book value is subsequently increased or decreased to reflect the Group’s share of the total profits and losses of the investee realised after the acquisition date as an offsetting entry to the income statement item “250 - Gains (losses) on investments”.

If it becomes necessary to recognise impairment deriving from changes in the investee’s net equity that the investee has not recognised in the income statement (e.g., changes from the fair value measurement of financial assets measured at fair value through other comprehensive income and from the measurement of actuarial gains/losses on defined benefit plans), the portion of these changes attributable to the Group is recognised directly in the equity item “120 - Valuation reserves”.

In applying the equity method, the most recent available financial statements of the associate/jointly controlled company are used, appropriately adjusted to reflect any significant events or transactions that took place between the date of these financial statements and the reporting date. If the investee uses accounting standards that differ from those applied by the Group, the investee’s financial statements are modified.

After applying the equity method, the equity investment is subject to an impairment test if there is objective evidence of a loss in value that could affect the investee’s cash flows and therefore the recoverability of the investment’s carrying amount.

If evidence of impairment indicates that there may have been a loss in value of an equity investment, then the recoverable value of the equity investment (which is the higher of the fair value, less costs to sell, and the value in use) should be estimated. The value in use is the present value of the future cash flows expected to be derived from the equity investment, including those arising from its final disposal. Should the recoverable value be less than its book value, including any goodwill, the difference is recognised immediately in the income statement under item “250 - Gains (losses) on investments”. Should the reasons for impairment no longer apply as a result of an event occurring after the impairment was recognised, reversals of impairment losses are charged to the same item in the income statement, up to the amount of the previously recognised impairment.

For more detailed information, please refer to the paragraph “Use of estimates and assumptions when preparing financial statements - Methods for calculating impairment on equity investments”.

The dividends from these equity investments are recognised in the Parent Company’s income statement, regardless of whether it was generated by the investee before or after the acquisition date. In the consolidated financial statements, these dividends are shown as a reduction in the book value of the investee.

The result of the disposal of equity investments measured according to the equity method is recognised in the income statement under item “250 - Gains (losses) on investments”, while the result of the disposal of equity investments other than those measured at equity is recognised in the income statement under item “280 - Gains (losses) on disposals of investments”.

d) derecognition criteria

Equity investments are derecognised upon maturity of the contractual rights on the cash flows resulting from the assets or when all related risks/rewards associated to them are transferred. If there is a situation that results in loss of significant influence or joint control, any residual equity investment is reclassified in the IFRS 9 financial asset portfolios.

6 Property, plant and equipment

a) classification criteria

Property, plant and equipment include land, properties for business use, investment properties, systems, furnishings and fixtures, equipment of any type and artworks.



Operating properties are properties owned by the Group and used in the production or supply of goods and services or for administrative purposes (classified as “Property, plant and equipment used in the business” and recognised in accordance with IAS 16), whereas investment properties are those owned by the Group for the purpose of collecting rents and/or held for appreciation of capital invested (classified as “Property, plant and equipment held for investment” and follow the rules set forth in IAS 40).

The item also includes property, plant and equipment classified according to IAS 2 “Inventories”, mainly relating to assets acquired for the purposes of enhancing the value of the investment, including through restructuring or redevelopment works, with the explicit intention of selling them in the immediate future, as part of the normal course of business, including assets deriving from the enforcement of guarantees received or from auction purchases.

Property, plant and equipment includes those assets associated with finance lease contracts that were returned to the company, as lessor, following contract termination and the simultaneous closure of the original credit position.

This category also includes i) rights of use acquired through leasing, both financial and operating, relating to property, plant and equipment that the Group uses as lessee in the business or for investment purposes, ii) assets granted under operating leases (for lessors), as well as iii) improvements and incremental expenses incurred on owned assets and third-party assets, the latter provided they are identifiable and separable (e.g. ATM).

b) recognition criteria

Property, plant and equipment, for business use or otherwise, are originally recognised at cost, which includes the purchase price and any additional charges directly attributable to the purchase and installation of the assets.

Non-recurring expenditures for maintenance which involve an increase in future economic benefits are booked as an increase in the value of the assets, while expenses for ordinary maintenance are booked to the income statement.

c) measurement criteria and revenue recognition criteria

Subsequent to initial recognition, property, plant and equipment for business use are valued at cost, as defined above, net of cumulative depreciation and any cumulative impairment, with the exception of:

- real estate used in the business and valuable artistic assets for which the Group has adopted the option allowed by IAS 16, to measure them on the basis of the revaluation method;
- properties held for investment purposes, for which the Group has adopted the option, permitted by IAS 40, of measuring them on the basis of the fair value method;
- property, plant and equipment falling under IAS 2 are valued at the lower of the cost and the net realisable value, represented by the estimated sale price less the presumed costs for completion and the other costs necessary to make the sale.

For owned real estate assets for business use, the Group has adopted the restated value method as the valuation criterion. This method requires that assets be carried at a restated value, equal to the fair value at the date of revaluation, less any accumulated depreciation and value adjustments.

According to the revaluation method:

- if the carrying amount has increased following a revaluation, the increase is recognised with an offsetting entry in liability item “120 - Valuation reserves”, with the exception of write-backs of previous impairment recognised in the income statement, which are recognised in the income statement in item “260 - Net gains (losses) on property, plant and equipment and intangible assets measured at fair value” within the limits of the above-mentioned impairment;
- if the carrying amount of an asset has decreased following a revaluation, the decrease is recognised in the income statement in item “260 - Net gains (losses) on property, plant and equipment and intangible assets measured at fair value” unless the asset has been subject to a previous revaluation, in which case the impairment is recognised as a reduction of the liability item “120 - Valuation reserves”, for up to its total amount.

The Group revalues the properties held for business use every two years, using appraisals prepared by independent experts.

In non-revaluation financial years, a scenario analysis is performed for all properties to ensure that the carrying amount provides a good approximation of the property’s fair value and does not materially differ from what it would have been if the new appraisal had been performed annually.

Property, plant and equipment held for business use, including operating properties measured at the “restated value”, are systematically depreciated over their useful life. The depreciable amount, equal to cost (or the net



revalued value, if the revaluation method is adopted for valuation purposes) less the residual value (or the amount normally expected to be obtained from disposal, after deducting expected costs to sell, if the asset is already in the conditions, including in relation to age, expected at the end of its useful life), is broken down on a straight-line basis throughout the useful life of the asset, adopting the straight-line approach as the depreciation method. The useful life, subject to periodic review to identify any estimates significantly different from the previous ones, is defined as:

- the period of time in which it is expected that an asset will be usable by the company or,
- the quantity of products or similar units that the company expects to obtain from the use of the asset.

Depreciation begins when the asset is available for use and ends at the most recent date between that on which the asset is classified as held for sale and that of derecognition. For property, plant and equipment valued at cost, depreciation does not end when the asset becomes unused or is withdrawn from active use, unless the asset has already been fully depreciated. If a property for business use becomes unusable or is withdrawn from active use, it is necessary to promptly evaluate the change in the intended use and the resulting reclassification to investment property or assets held for sale. In these cases, depreciation is discontinued.

Land, either on its own or included in the property value, is not subject to depreciation as it has an indefinite useful life. For properties for business use, measured according to the “revaluation method”, the value of land is separated from the total property value, on the basis of the indications set forth in the appraisal.

Works of art are not subject to depreciation as their value is generally destined to increase over time.

For leasehold improvements, represented by identifiable and separable tangible assets, depreciation is determined according to the useful life of these assets.

Periodic depreciation is posted to the income statement under item “210 - Net value adjustments to/recoveries on property, plant and equipment”.

The presence of any signs of impairment, or indications that assets might have lost value, shall be tested at the end of each reporting period. Should there be indications of impairment of value, for properties that are owned, with the exception of investment property, and those that are leased, a comparison is made between the book value of the asset and the asset's recoverable value, i.e. the higher of the fair value, less any costs to sell, and the relevant value in use, which is the present value of the future cash flows generated by the asset.

Where the reasons for impairment cease to exist, a reversal is made, which shall not exceed the value that would have been determined (net of depreciation) had no impairment loss been recognised for the asset in prior periods.

For properties held for investment purposes, falling within the scope of IAS 40, the Group has adopted the fair value measurement method, based on which, after initial recognition, all investment properties are measured at fair value. As a result, these properties are not subject to depreciation, nor are they subject to an impairment loss. Under the fair value method, the positive or negative change in fair value is recognised in the income statement in item “260 - Net gains (losses) on property, plant and equipment and intangible assets measured at fair value”. For the measurement of the fair value of the property assets in question, a fair value estimation process is carried out at least annually.

For the methods used to measure the fair value and the periodicity of recalculation of real estate assets, please refer to the criteria illustrated in “Part A.4 - Information on fair value” below.

Property, plant and equipment falling under IAS 2 are valued in the same way as inventories and, therefore, at the lower of the cost at initial recognition and the net realisable value, represented by the estimated sale price less the presumed costs for completion and the other costs necessary to make the sale. Any losses in value are posted to the income statement under item “210 - Net value adjustments to/recoveries on property, plant and equipment”. Periodic depreciation is not applied in this case.

Property, plant and equipment represented by the right of use of assets under lease agreements

Pursuant to IFRS 16, a “lease” is a contract, or part of a contract, which, in exchange for a consideration, transfers the right of use (RoU) of an asset (the underlying asset) for a period of time.

The right-of-use asset acquired through the lease is recognised in the financial statements at the start date of the contract, i.e. at the date on which the asset is made available to the lessee and is initially valued at cost. This cost includes:

- the initial measurement of the lease liability, net of VAT;
- any lease payments made by the start date, net of any lease incentives;



- any initial direct costs incurred, understood as incremental costs incurred to obtain the lease that would not have otherwise been incurred (e.g. brokerage commissions and success fees);
- estimated costs of refurbishment and dismantling, in cases where the contract provides for them.

In connection with the right of use asset, the lessee recognises a liability for the lease under item “10 - Financial liabilities measured at amortised cost” corresponding to the present value of payments due for the lease. The discount rate used is the implicit interest rate, if it can be determined; otherwise, the lessee’s marginal borrowing rate is used.

When there is no implicit interest rate in the contract, the Group uses, as the discount rate, the maturity curve aligned to the individual lease agreements, consisting of the 6M Euribor base rate and the blended funding spread, the latter equal to the weighted average of the funding curves for unsecured senior bonds and for protected and privileged deposits. The adoption of this curve is in line with the characteristics of lease agreements, which typically provide for fixed fees throughout the duration of the contract, and of the underlying assets.

The discount rate so defined takes into account the creditworthiness of the tenant, the duration of the lease, the asset underlying the right of use and the economic environment, identified in the Italian market, where the transaction takes place and therefore it is in line with the requirements of the standard.

If a lease contract contains “non-leasing components” (e.g. services rendered, such as ordinary maintenance, to be recognised according to the provisions of IFRS 15), the lessee must account separately for “leasing components” and “non-leasing components” and divide the contract’s payments between the various components based on their relative stand-alone prices.

The lessee may opt to recognise the payments due for the lease directly as a charge in the income statement, on a straight-line basis over the life of the lease contract or according to another systematic method that represents the manner in which the economic benefits are used in the case of:

- *short-term leases (equal to or less than 12 months) that do not include a purchase option of the asset leased by the lessee;*
- leases in which the underlying asset is of modest value.³⁹

MPS Group has chosen to recognise the cost in the income statement on a straight-line basis over the life of the lease contract.

The lease term is determined taking into account:

- periods covered by an option to extend the lease, if the exercise of the same is reasonably certain;
- periods covered by a lease termination option, if the exercise of said option is reasonably certain.

During the term of the lease, the lessee must:

- measure the right of use at cost, net of accumulated amortisation and cumulative value adjustments determined and recognised on the basis of the provisions of IAS 36 “Impairment of assets”, adjusted to take into account any restatements of the lease liabilities;⁴⁰
- increase the liability deriving from the lease transaction following the accrual of interest expense calculated at the implicit interest rate of the lease, or, alternatively, at the marginal borrowing rate and reduce it for payments of principal and interest.

In the event of changes in the payments due for the lease, the liability must be restated; the impact of the recalculation of the liability is recognised as a contra-entry to the asset consisting of the right of use.

d) derecognition criteria

Property, plant and equipment are derecognised from the balance sheet upon their disposal or when the assets are permanently withdrawn from use and no future economic benefits are expected as a result of their disposal.

Any gains and losses deriving from the disposal or sale of property, plant and equipment are calculated as the difference between the net sale price and the book value of the asset and are recognised in the income statement under item “280 - Gains (losses) on disposals of investments”.

³⁹The significance threshold identified is EUR 5,000

⁴⁰ In determining the amortisation period, account must be taken of whether or not the transfer of ownership of the underlying asset is envisaged at the end of the lease term or whether the cost of the asset consisting of the right of use reflects the fact that or not that the lessee will exercise the purchase option. In the first case, the amortisation period coincides with the useful life of the underlying asset, determined at the start date. In the second case, the amortisation period coincides with the useful life of the asset consisting of the right of use or, if shorter, the duration of the lease.



In the case of the sale of a property for business use, the corresponding valuation reserve accrued is transferred to other components of Shareholders' equity, specifically liability item "150 - Reserves", with no reversal to profit or loss.

The right of use assets, accounted for according to IFRS 16, are derecognised at the end of the lease term.

7 Intangible assets

a) classification criteria

Intangible assets are non-monetary assets, identifiable and without physical substance, originating from legal or contractual rights, held for use over a multi-year or indefinite period, from which it is probable that future economic benefits will flow and whose cost can be reliably measured. Intangible assets also include goodwill, which represents the positive difference between the purchase cost and the fair value of the assets and liabilities pertaining to an acquired company, as best specified in paragraph "16 - Other information, Business combinations".

b) recognition criteria

They are recognised at cost, adjusted by any additional charges only if it is probable that the future economic benefits that are attributable to the asset will flow to the entity and if the cost of the asset can be measured reliably. The cost of intangible assets is otherwise posted to the income statement in the financial period it was incurred.

Relevant intangible assets for the Group include:

- technology-related intangible assets including software licenses, internal capitalised costs, projects and licenses under development; in particular, internally incurred costs for software project development are intangibles recognised as assets if, and only if: a) the cost for development can be measured reliably, b) the entity intends and is financially and technically able to complete the intangible asset and either use it or sell it, c) the entity is able to demonstrate that the asset will generate future economic benefits. Capitalised costs for software development only include the expenses that are directly attributable to the development process.
- customer relationship intangible assets, represented by the value of assets under management/custody and core deposits in the event of business combinations.

Lastly, intangible assets include goodwill.

Goodwill may be recognised, as part of business combinations, when the positive difference between the consideration transferred and any recognition at fair value of the minority interest and the fair value of the assets acquired is representative of future income-generating capacity of the equity investment (goodwill).

Should the cost incurred be less than the fair value of the assets and liabilities acquired, the difference (badwill) is directly recognised in the income statement.

c) measurement criteria and revenue recognition criteria

The cost of intangible assets with a finite useful life is amortised on a straight-line basis over their useful life. In particular, for intangible assets originating from software developed internally and acquired from third parties, amortisation begins when the applications are completed and become operational. Instead, intangible assets with indefinite useful life are not amortised but the book value is periodically assessed for impairment.

At each annual and interim reporting date, the recoverable amount of the assets is estimated where there is evidence of impairment. The amount of the loss recognised in the income statement is equal to the difference between the book value and the recoverable amount of the assets.

The goodwill recognised is not subject to amortisation, but its book value is tested annually (or more frequently) when there are signs of impairment. To this end, the cash flow generating units to which goodwill is attributable are identified. These units represent the lowest level at which goodwill is monitored for internal management purposes and should not be larger than an operating segment as defined by IFRS 8.

The amount of the impairment loss is determined by the difference between the book value of goodwill and its recoverable amount, if lower. Said recoverable amount is the higher of the cash generating unit's fair value, less costs to sell, and its value in use. Value in use is the present value of future cash flows expected to arise from the years of operation of the cash generating unit and its disposal at the end of its useful life. The resulting value adjustments are posted to the income statement under item "220 - Net value adjustments to (recoveries on) intangible assets". The same item includes the periodic amortisation of intangible assets with a finite useful life. An impairment loss recognised for goodwill shall not be reversed in a subsequent period.

**d) derecognition criteria**

Intangible assets are derecognised from the balance sheet upon disposal and when no future economic benefits are expected.

8 Non-current assets held for sale and disposal groups**a) classification criteria**

Non-current assets/liabilities and groups of assets/liabilities for which the book value will presumably be recovered through sale rather than continuous use are classified in assets under item “120 - Non-current assets held for sale and disposal groups” and in liabilities under item “70 - Liabilities associated with disposal groups”.

To be classified in these items, the assets or liabilities (or disposal groups) must be immediately available for sale and there must be active and tangible programmes such as to suggest that their disposal is highly probable within one year of the date of classification in this category.

b) measurement criteria and revenue recognition criteria

Following initial recognition, non-current assets held for sale and disposal groups, with the relative liabilities, are valued at the lower of the book value and the fair value net of selling costs, with the exception of certain types of assets, such as, for example, all financial instruments falling under the scope of IFRS 9 - for which IFRS 5 specifically envisages that the measurement criterion of the reference accounting standard must be applied.

Amortisation/depreciation is discontinued at the date the non-current asset is classified as a non-current asset held for sale.

Should the assets and liabilities held for disposal be attributable to disposal group (identifiable with the operations of a significant independent business unit or geographical area, also as part of a single coordinate disposal project, rather than an investee company acquired exclusively for resale), the relative revenues and charges, net of tax, are recognised in the income statement under item “320 - Profit (Loss) after tax from discontinued operations” of the income statement. Profit and loss associated with individual assets under disposal are recognised in the most appropriate income statement item.

c) derecognition criteria

Non-current assets and group of assets/liabilities held for sale and disposal groups are derecognised from the balance sheet upon disposal.

9 Current and deferred tax**a) recognition criteria**

The effects of current and deferred taxation calculated in compliance with Italian tax laws are recognised on an accrual basis, in accordance with the measurement methods of the income and expenses which generated them, by administering the applicable tax rates.

Income taxes are posted to the income statement, excluding those relating to items directly credited or charged to equity.

Income tax provisions are determined on the basis of a prudential forecast of current tax expense, deferred tax assets and liabilities.

Current tax includes the net balance of current tax liabilities for the financial year and current tax assets with the Financial Administration, comprising tax advances, tax credit arising from prior tax returns and other withholding tax credits. In addition, current tax includes tax credit for which reimbursement has been requested from the relevant tax authorities. Tax credits transferred as a guarantee of own debts shall also be recorded within this scope.

Deferred tax assets and liabilities are determined on the basis of the temporary differences – with no time limits – between the value assigned to the assets or liabilities in accordance with statutory principles and the corresponding values for tax purposes, applying the balance sheet liability method.

Deferred tax assets determined on the basis of deductible temporary differences are recognised in financial statements for the extent to which they are likely to be recovered on the basis of the capacity of the company



involved or all of the participating companies – as a result of exercising the option concerning “Tax consolidation” – to generate a positive taxable profit on an ongoing basis, in light of a probability test.

The probability of the recovery of deferred taxes relative to goodwill, other intangible assets and write-downs on loans (known as “convertible DTAs”) is to be automatically considered probable because of existing regulations that provide for conversion into tax credits, if a statutory and/or tax loss is incurred.

In particular, art. 2 - paragraphs 55 et seq. - of Italian Law Decree no. 225 of 29 December 2010 (and subsequent amendments) provides that:

- if the financial statements filed by the company show a statutory loss for the year, deferred tax assets (IRES and IRAP) relating to goodwill, other intangible assets, and loan write-downs will be converted into tax credits for a portion equivalent to the ratio between the statutory loss and the book value of shareholders' equity prior to said loss. The conversion into tax credits becomes effective from the date when the 'loss-incurring' separate financial statements are approved by the Shareholders' Meeting;
- if there is a tax loss for the year (that is, for IRAP purposes, a negative production value), the deferred tax asset relating to the deductions for goodwill, other intangible assets, and loan write-downs, which contributed to the formation of the tax loss (i.e., the negative production value) is transformed into a tax credit. Conversion will be effective as of the date of submission of the tax return for the financial year in which the loss is incurred.

As a result of the provisions contained in Italian Law Decree no. 83 of 27 June 2015, the convertible DTAs ceased to increase starting from 2016. In particular:

1. for deferred tax assets relating to goodwill, other intangible assets newly recognised in financial statements from 2016 onwards are excluded from the regulations pursuant to art. 2 - paragraphs 55 et seq. - of Italian Law Decree 225/2010;
2. for deferred tax assets relating to loan write-downs, from 2016 onwards, the accounting assumption for recognition in financial statements has ceased and these write-downs are entirely deductible in the accounting period. Note that the 2019 financial manoeuvre (Italian Law no. 145 of 30 December 2018) repealed the full deductibility of loan write-downs upon first-time application of IFRS 9, exclusively following the adoption of the model for recognising the provision to cover expected losses (ECL), providing for the deductibility (IRES and IRAP) of these write-downs on a straight-line basis over 10 financial years. It was, however, explicitly stated that the relative DTAs recorded in financial statements as a result, although referring to write-downs on loans to customers, cannot be converted into tax credits pursuant to Italian Law Decree 225/2010. It should also be noted that the portion referring to 31 December 2019 was deferred to 31 December 2028, as a result of the 2020 Budget Law (Italian Law no. 160 of 27 December 2019).

Furthermore, note that MPS Group exercised the irrevocable option provided in Italian Law Decree no. 59 of 3 May 2016 (and subsequent amendments) to maintain the right to convert DTAs relative to goodwill, other intangible assets, and loan losses into tax credits; thus, it is necessary to pay an annual fee for each financial year from 2016 onwards, if the conditions apply, until 2030.

Deferred tax assets on unused tax losses are recognised based on the same criteria as those used to recognise deferred tax assets on deductible temporary differences: therefore, they are shown in the balance sheet to the extent to which they are likely to be recovered on the basis of the capacity of the company to generate a positive taxable profit in the future. Since the existence of unused tax losses may be symptomatic of difficulties to generate positive taxable profit in the future, IAS 12 establishes that if losses have been posted in recent periods, suitable evidence must be provided to support the existence of such profit in the future. Furthermore, current Italian tax law allows for IRES losses to be carried forward indefinitely (art. 84, paragraph 1, TUIR); as a result, verifying the existence of future taxable profit against which to use such losses is not subject to any time limits.

As mentioned above, the Group verifies the probability that there will be future taxable income (probability test) using the risk-adjusted approach, which provides for the application of a discount factor to future income. This factor, applied with the compound interest criterion, discounts future income at an increasing rate to reflect its uncertainty. For more details on the assessments made by the Group to verify the possibility of recognising deferred tax assets, please refer to the subsequent paragraph “Use of estimates and assumptions when preparing financial statements - Methods for recognising deferred tax assets (probability test)”.

Deferred tax assets and liabilities are calculated using the tax rates expected at the date on which the temporary differences are reversed, on the basis of the provisions in force at the reporting date. In particular, for the purposes of recognition of deferred taxes, it has been considered that the 2020 Budget Law (Italian Law no. 160 of 27 December 2019) has reintroduced the ACE subsidy (Help for Economic Growth), effective from 2019, previously repealed by the 2019 Budget Law (Italian Law no. 145 of 30 December 2018). Any changes in tax rates or tax standards having a significant effect on deferred tax assets and liabilities that are issued or announced after the



reporting date and before the publication authorisation date are treated as events after the reporting date that do not entail an adjustment pursuant to IAS 10, with the resulting disclosure in the Notes to the financial statements.

Deferred tax assets and liabilities are posted to the balance sheet by offsetting each tax against the defined asset or liability to which it relates.

b) classification and measurement criteria

Deferred tax assets and liabilities are systematically measured to take account of any changes in regulations or tax rates and of any different subjective situations of Group companies.

With reference to fiscal consolidation of the Parent Company and participating subsidiaries, contracts have been stipulated to regulate offsetting flows in relation to the transfers of tax profits and losses. Such flows are determined by administering the applicable IRES tax rate to the taxable income of participating companies. The offsetting flow for companies that transfer tax losses – calculated as above – is posted by the consolidating to the consolidated company when and to the extent to which the consolidated company will transfer positive taxable income in tax periods subsequent to that in which the loss was recorded, independently of the consolidated income (positive or negative) for the period. This arrangement is consistent with the option exercised in tax return, which provides for the attribution to the consolidating company of the entire residual consolidated tax loss in the event of early termination of group taxation. The Offsetting flows so determined are posted as receivables and payables with companies participating in fiscal consolidation, classified under other assets and other liabilities, offsetting item “300 - Tax expense (recovery) on income from continuing operations”.

The evaluation of the recovery of the consolidated tax loss carryforward on the basis of future income projections future of the group and the consequent recognition of the related DTAs are therefore the responsibility of the Bank, which represents the related accounting impacts in its individual financial statements

c) revenue recognition criteria

Where deferred tax assets and liabilities refer to components which affected the income statement, they are offset by income tax. When deferred tax assets and liabilities refer to transactions which directly affected equity without impacting the income statement (e.g. measurement of financial instruments at fair value through other comprehensive income or cash flow hedging derivatives), they are posted as an offsetting entry to shareholders' equity, involving the special reserves if required.

10 Provisions for risks and charges

Provisions for risks and charges: commitments and guarantees given

The sub-item in question includes provisions for credit risk on commitments to disburse funds and guarantees given that fall under the scope of application of the impairment rules pursuant to IFRS 9, consistent with the provisions for “Financial assets measured at amortised cost” and “Financial assets measured at fair value through other comprehensive income”. For more detailed information on the impairment model, please refer to the subsequent paragraph “Use of estimates and assumptions when preparing financial statements - Methods for calculating impairment on IFRS 9 financial instruments”.

In addition, the sub-item also includes provisions for risks and charges established for other types of commitments and guarantees given which, by virtue of their distinct characteristics, do not fall under the scope of application of the impairment rules pursuant to IFRS 9.



Provisions for risks and charges: post-employment benefits

The sub-item “Provision for risks and charges: b) post-employment benefits” includes appropriations, recognised based on IAS 19 “Employee Benefits”, for the purpose of closing the technical deficit of defined benefit supplementary pension funds. Pension plans are either defined benefit or defined contribution schemes. The charges borne by the employer for defined contribution schemes are pre-determined; charges for defined benefit plans are estimated and shall take account of any shortfall in contributions or poor investment performance of defined benefit plan assets. For defined benefit plans, the actuarial values required by the application of the above standard are determined by an external actuary in accordance with the Projected Unit Credit Method. Actuarial gains and losses, defined as the difference between the book value of the liability and the present value of commitments at the end of the financial year, are recognised for the full amount in the statement of comprehensive income, under the item “Valuation reserves”. For further details, please refer to the following paragraph “16 - Other information - Severance pay and other employee benefits”.

Provisions for risks and charges: other provisions

The sub-item “Provisions for risks and charges: c) other provisions” includes allocations made for estimated expenditures for legal or implicit obligations deriving from past events. These expenditures may be contractual in nature, such as the allocations for the incentive system for employees and leaving incentives, indemnities envisaged in contractual clauses upon occurrence of certain events, or for compensation and/or restitution, such as those against presumed losses for actions filed against the Bank, including claw-back actions, estimated expenses in relation to customer claims for securities brokerage, and tax disputes.

The sub-item also includes provisions established at the starting date of lease agreements, stipulated as lessee, which require the dismantling/refurbishment of the underlying assets at the end of the contract. These provisions are recognised as a contra-entry of the assets recognised for the value of rights of use of properties (see item “90 - Property, plant and equipment”).

Provisions for risks and charges consist of liabilities with uncertain amounts or payment dates and are recognised in the financial statements if:

- there is a current (legal or implicit) obligation resulting from a past event;
- an outflow of resources producing economic benefits is likely to be necessary in order to settle the obligation; and
- a reliable estimate can be made of the likely future disbursement.

The amount recognised as a provision represents the best estimate of the financial disbursement necessary to fulfil the obligation existing at the reporting date and reflects the risks and uncertainties inherent in the events and situations reviewed. Whenever the time element is meaningful, the provisions are discounted using the current market rates. With the exception of provisions associated with lease agreements, the allocation and discounting effect are recorded in the income statement under item “200 - Net provisions for risks and charges”, as is the increase in the provision due to the passage of time. Provisions are reviewed at each reporting date and adjusted to reflect the best current estimate. When an outflow of resources, intended to produce economic benefits in fulfilment of an obligation, becomes unlikely or when the obligation has lapsed, the provision is reversed.

In addition, each provision is used solely for the expenditures for which it was originally established.

No provision is shown for contingent and unlikely liabilities, but information is provided in the notes to the financial statements, except in cases where the probability of an outflow of resources to settle the amount is remote or the amount is not significant.

In particular, it should be noted that the provisions relating to:

- Civil and criminal disputes arising from financial information disclosed in the period 2008-2015 are determined as the weighted average of two estimates prepared by external experts:
 - 1) the “differential damage” criterion, which identifies the damage as the lowest price that the investor would have had to pay if he had access to complete and correct information;
 - 2) the so-called “full compensation criterion”, which is based on the argument that false or incomplete information may have a causal impact on the consumer’s choice of investments such that, in the presence of correct information, they would not have *tout court* have made the investment in question. On the basis of this argument, the refundable damage is deemed to be the entire amount invested, after deduction of (a) the residual value of the security (or the amount obtained from the sale of the security), as well as (b) an additional amount that the investor could have obtained from the sale of the securities as soon as parity of information had been re-established;



- out-of-court claims relating to the period 2008-2015, in order to take into account the probability of their transformation into real disputes, the funds were determined by applying an experiential factor to requests made by counterparties;
- Representations and warranties issued in connection with the disposal and demerger of non-performing loans are determined on the basis of the analysis of the validity of the claims received, or, in the absence of suitable elements to make a sufficiently reliable estimate, using a statistical method. In the second case, the estimate is based on the results of a representative sample of exposures transferred/demerged with respect to which the competent functions analytically evaluate the compliance or compliance risk for each of the representations and warranties released; in the context of this estimate the sample to be analysed and whose results are extrapolated to the entire population is identified.

11 Financial liabilities measured at amortised cost

a) classification criteria

Item “10 - Financial liabilities measured at amortised cost” includes the sub-items “a) deposits from banks”, “b) due to customers”, and “c) debt securities issued” and comprises the various types of funding (both interbank and from customers) and funds raised through certificates of deposit and outstanding bonds, net of any repurchase. Debt securities issued include all securities that are not subject to “natural” hedging through derivatives and that are classified as liabilities measured at fair value.

This item also incorporates payables booked by the lessee in relation to any stipulated finance and operating lease transactions, as well as repurchase agreements for funding and securities lent against cash guarantees that are fully available to the lender. Finally, operating payables related to the provision of financial services, as defined in the Consolidated Law on Banking and Consolidated Law on Finance, are included in this item.

b) recognition criteria

These financial liabilities are initially recognised upon receipt of the amounts collected or at the time of issuance of debt securities based on their fair value, which is generally equal to the amount received or the issue price, increased by any additional costs/income directly attributable to the individual funding or issuing transaction and not reimbursed by the creditors. Internal administrative expenses are excluded.

Repurchase agreement transactions with the obligation to repurchase are posted as funding transactions for the spot amounts collected.

Should the requirements provided for by IFRS 9 for the separate recognition of embedded derivatives be met in the case of structured instruments, they are separated from the host contract and reported at fair value as a trading asset or liability. Instead, the host contract is recognised at amortised cost.

Lease liabilities recognised to the lessor are measured as the present value of future lease payments still to be paid for the duration of the lease. For more information on determining the duration, please refer to paragraph 6 “Property, plant and equipment represented by the right of use of assets under lease agreements”.

c) measurement criteria and revenue recognition criteria

Following initial recognition, financial liabilities issued, net of any reimbursements and/or repurchases, are measured at amortised cost using the effective interest rate method. Short-term liabilities for which time effect is immaterial are an exception, and are recognised at the amount collected. Interest is charged to the income statement under item “20 - Interest expense and similar charges”.

Following the commencement date, the book value of lease liabilities:

- increases for accrued interest expense, charged to the income statement under item “20 - Interest expense and similar charges”;
- decreases for lease instalment payments;
- is recalculated to take into account any new valuations (e.g., extension or reduction of the contract term) or changes in the lease (e.g., renegotiation of the lease payment) that occurred after the commencement date; the impact of the recalculation is recorded as a contra-entry of the asset for the right of use.

Moreover, funding instruments that have an effective hedging relationship are assessed based on the rules for hedging transactions.



d) derecognition criteria

Financial liabilities are derecognised upon maturity or extinction. Derecognition also occurs if previously issued securities have been repurchased. The difference between the book value of the liabilities and the amount paid to repurchase them is recorded in the income statement in item “100 - Gains (losses) on disposal or repurchase”. A new placement in the market of own securities after their repurchase is considered as a new issue and posted at the new price of placement, with no impact on the income statement.

12 Financial liabilities held for trading

a) classification criteria

This item includes:

- financial liabilities issued with the intention to repurchase them in the short term;
- liabilities that are part of a jointly managed portfolio of financial instruments for which there is a proven strategy to obtain profits in the short term;
- derivative contracts with a negative fair value not designated as hedging instruments, including both those embedded in complex financial instruments that have been unbundled from liabilities measured at amortised cost, as well as those related to assets/liabilities measured at fair value through profit or loss.

Moreover, liabilities that arise from technical overdrafts generated by securities trading activities are included.

b) recognition criteria

Financial liabilities held for trading are initially recognised on the settlement date for cash liabilities and on the subscription date for derivative contracts.

Upon initial recognition, they are measured at fair value, which usually corresponds to the amount collected net of any transaction costs or income directly attributable to the instrument itself, which are directly posted to the income statement.

c) measurement criteria

After initial recognition, financial liabilities held for trading are measured at fair value, with the result of the measurement recognised in the income statement. For a description of criteria used to determine the fair value of financial instruments, please see Section “A.4.5 Fair Value Hierarchy” in Part A of these Notes to the financial statements.

d) revenue recognition criteria

Profit and losses from trading and capital gains and losses from valuation are recognised under item “80 - Net profit (loss) from trading” in the income statement, including those relating to derivative instruments related to the fair value option.

e) derecognition criteria

Financial liabilities are derecognised when the contractual rights on the related cash flows expire or when the financial liabilities are sold with the substantial transfer of all related risks and benefits arising from ownership.

13 Financial liabilities measured at fair value

a) classification criteria

This category includes financial liabilities for which, upon initial recognition, the option of measurement at fair value through profit or loss was chosen; this option is allowed when:

1. the fair value designation makes it possible to eliminate or significantly reduce a lack of standardisation in the measurement or recognition that would otherwise result from the valuation of assets or liabilities or the recognition of the related profits and losses on different bases (known as “accounting mismatch”); or
2. the management and/or measurement of a group of financial instruments at fair value through profit or loss is consistent with an investment or risk management strategy documented as such by senior management; or
3. a host instrument embeds a derivative which significantly modifies the cash flows of the host and should otherwise be unbundled.



The option to designate a liability at fair value is irrevocable, is carried out on an individual financial instrument, and does not require the same application to all instruments having similar characteristics. It is not permitted to use the fair value designation for only one portion of a financial instrument, attributable to a single risk component to which the instrument is subject.

The Parent Company has exercised this option in relation to case 1, classifying under this item financial liabilities that are subject to “natural hedging” through derivative instruments. In Section 16 “Other information”, a specific paragraph is included to provide insight into the hedging management methods through the adoption of the fair value option.

b) recognition criteria

Upon initial recognition, these financial liabilities are measured at fair value, which usually corresponds to the amount collected net of any transaction costs or income directly attributable to the instrument itself, which are directly posted to the income statement.

The fair value of any financial liabilities issued at conditions other than market conditions is calculated by using a specific valuation technique, and the difference with respect to the consideration received is booked directly to the income statement only when the conditions provided for by IFRS 9 have been met, i.e. when the fair value of the instrument issued can be established by using either quoted market prices for similar instruments or by a valuation technique based solely on market data. Should these conditions not apply, the fair value used for valuations after the issuance of instruments is cleared of the initial difference between the fair value upon issuance and the consideration received. This difference is recognised in the income statement only if it ensues from changes in the factors (including time), which market traders would consider for price determination.

c) measurement criteria and revenue recognition criteria

Following initial recognition, financial liabilities are measured at fair value. Gains and losses arising from any changes in the fair value of these liabilities are recognised:

- in item “120 - Valuation reserves”, for the portion related to the change in fair value that is attributable to changes in the issuer’s creditworthiness, unless this creates or increases an accounting mismatch in the profit (loss) for the year, in which case the entire change in fair value of the liability must be charged to the income statement. Effects associated with the change in own creditworthiness are recorded in the statement of comprehensive income, net of the related tax effect, along with the other income components that will not be reversed to the income statement. The amount charged to the specific equity reserve will never be reversed to the income statement, even if the liability expires or lapses; in this case, the cumulative gain (loss) in the specific valuation reserve must be reclassified to another shareholders’ equity item (“150 - Reserves”);
- in the income statement under item “110 - Net profit (loss) from financial assets and liabilities measured at fair value through profit or loss”, for the portion of the fair value change not attributable to changes in own creditworthiness.

For a description of criteria used to determine the fair value of financial instruments, please see Section “A.4.5 Fair Value Hierarchy” in Part A of these Notes to the financial statements.

d) derecognition criteria

Financial liabilities are derecognised when the contractual rights on the related cash flows expire or when the financial liabilities are sold with the substantial transfer of all risks and benefits resulting from the ownership.

For financial liabilities represented by securities issued, derecognition also occurs if previously issued securities have been repurchased. The difference between the book value of liabilities and the amount paid to purchase them is recorded in the income statement under item “110 - Net profit (loss) from financial assets and liabilities measured at fair value through profit or loss”, with the exception of profits/losses associated with the change in own creditworthiness, which continues to be recognised in an equity reserve, as described above. A new placement in the market of own securities after their repurchase is considered for accounting purposes as a new issue and posted at the new price of placement, with no impact on the income statement.



14 Foreign-currency transactions

a) recognition criteria

Upon initial recognition, foreign-currency transactions are recognised in the currency of account using the foreign-exchange rates on the date of the transaction.

b) revenue classification, measurement, recognition and derecognition criteria

Financial statement entries denominated in foreign currencies are valued at the end of each reporting period as follows:

- monetary entries are converted using the exchange rate on the closing date;
- non-monetary entries valued at historical cost are converted using the exchange rate on the date of the transaction;
- non-monetary entries that are measured at fair value in a foreign currency are translated at the closing date rate.

Any exchange-rate differences resulting from the settlement of monetary elements, or from the conversion of monetary elements at rates other than those used for initial conversion or conversion in the previous financial statements, are posted to the income statement for the period in which they arise.

When a profit or a loss on a non-monetary element is recognised in equity, the exchange-rate difference in relation to said element is also posted to equity. However, when a profit or a loss is posted to the income statement, the relative exchange-rate difference is also posted there.

The accounting position of foreign branches with different operating currencies is converted into euros by using the exchange rates at the reporting date. Any exchange rate differences attributable to investments in such foreign branches, and those resulting from the conversion into euros of their accounting position, are recognised in equity reserves and transferred to the income statement only in the financial year when the investment is disposed of or reduced.

15 Insurance assets and liabilities

The scope of consolidation does not include any insurance companies.

16 Other information

Other financial statement items

Cash and cash equivalents

This item includes currencies that are legal tender, including foreign banknotes and coins and all loans “on demand” in the form of current account and deposits with the central bank of the country or countries in which the Group operates through its own companies or branches, with the exception of the compulsory reserve.

The item is posted at face value. For foreign currencies, the face value is converted into euros at financial year-end exchange rate.

Change in value of macro-hedged financial assets and liabilities

These items include, respectively, the positive or negative balance of changes in fair value of assets (item “60 Value adjustment of financial assets subject to macro-hedging”) and financial liabilities (item “50 Adjustment of value of financial liabilities subject to macro-hedging”), subject to macro-hedging against interest rate risk, whose economic counter-entry is represented by item “90 Net profit (loss) from hedging”, as well as for specific fair value hedges. For more detailed information, please refer to the discussion in paragraph 4 “Hedging transactions”.

Other assets

This item shows assets not attributable to the other items on the asset side of the balance sheet. It may include, for example:

- gold, silver, metals and precious stones;
- items in processing;
- accrued income and prepaid expenses not attributable to its own separate item;



- receivables associated with the provision of non-financial goods or services and accrued income other than that which is capitalised on the related financial assets, including those resulting from contracts with customers pursuant to IFRS 15;
- any inventories according to the definition of IAS 2, excluding those classified as inventories of property, plant and equipment;
- tax credits other than those recognised under item “110 - Tax assets”;
- improvements and incremental expenses incurred on third-party real estate other than those attributable to item “90 - Property, plant and equipment” and therefore not independently identifiable and separable.

The costs in the latter bullet point are posted to item “130 - Other assets”, since the user company exercises control of the assets for the purpose of the tenancy agreement and can obtain future economic benefits from them. Said costs are posted to item “230 - Other operating expenses/income” in the income statement according to the shorter of the period in which the improvements and incremental expenses can be used and the remaining term of the contract, including the renewal period, where applicable.

Other liabilities

This item shows liabilities not attributable to other items on the liability side of the balance sheet.

It includes, for example:

- items in processing;
- payment agreements that must be classified as debit entries according to IFRS 2;
- debit entries connected with payment for provision of non-financial goods and services;
- accrued liabilities other than those to be capitalised for the respective financial liabilities, including those deriving from contracts with customers pursuant to IFRS 15;
- sundry tax liabilities other than those recognised under item “60 - Tax liabilities”, associated, for example, with substitute tax assets.

Severance pay and other employee benefits

Employee severance pay is defined as a “benefit subsequent to the employment relationship”, in accordance with IAS 19. Following the supplementary pension reform, pursuant to Italian Legislative Decree no. 252 of 5 December 2005, new rules were introduced for severance pay accrued effective 1 January 2007, which is recognised for purposes of the relative accounting treatment. In particular, for companies with an average of at least 50 employees during 2006, the portions of severance pay accrued starting from 1 January 2007 are considered a “defined contribution plan”, both for the case in which the employee opts for supplementary social security, as well as the case in which the employee opts for the allocation to the INPS treasury fund; the charge, recognised under personnel costs, is limited to the contribution established by regulations envisaged by the Italian Civil Code, without applying any actuarial methodology.

Conversely, the severance pay accrued as at 31 December 2006 continues to be considered a “defined benefit plan”. In general, “post-employment plans” - which include severance pay as well as pension funds - are divided into the two categories “defined benefit” or “defined contribution”, based on their characteristics.

In particular, for defined contribution plans, the cost is represented by contributions accrued during the financial year, given that the company has only the obligation to pay the contractually established contributions to a fund and, consequently, has no legal or implicit obligation to pay, in addition to the contribution, additional amounts if the fund does not have sufficient assets to pay all the benefits to employees.

For defined benefit plans, the actuarial and investment risk, that is, the risk of a shortfall in contributions or poor investment performance of the assets in which the contributions are invested, is borne by the company. The liability is calculated by an external actuary based on the Projected Unit Credit method. Based on this method, future disbursements must be estimated based on demographic and financial assumptions, to be discounted to consider the time that will pass before the actual payment and to be adjusted for the ratio between the years of service accrued and the theoretical seniority estimate at the time the benefit is paid. For discounting purposes, the rate used is determined with reference to the market yield of primary corporate bonds taking into account the average residual duration of the liability, weighted according to the percentage of the amount paid and advanced, for each maturity, compared to the total to be paid and advanced up to the final settlement of the full bond.

The actuarial value of the liability thus calculated must then be adjusted for the fair value of any assets servicing the plan (net liabilities/assets). Actuarial gains and losses that arise as a result of adjustments to the previous actuarial assumptions formulated, following actual historical data or due to changes in the actuarial assumptions, entail a re-measurement of net liabilities and are offset against an equity reserve (item “120 - Valuation reserves”) and are thus presented in the “Statement of comprehensive income”. The change in the liability resulting from a



change or reduction in the plan is recorded in the income statement as a profit or loss. More precisely, the specific case of a change applies if a new plan is introduced or an existing plan is withdrawn or modified. Instead, there is the case of a reduction due to a significant negative variation in the number of employees included in the plan, such as, for example, redundancy plans for redundant workers (access to the Solidarity Fund).

The Projected Unit Credit method, described above, is also used to measure long-term benefits, such as seniority bonuses for employees. Contrary to that which was described for defined benefit plans, actuarial gains and losses associated with the measurement of long-term benefits are immediately recognised in the income statement.

Valuation reserves

This item includes valuation reserves relating to equity securities designated at fair value through other comprehensive income, financial assets (other than equity securities) measured at fair value through other comprehensive income, foreign investment hedging, cash flow hedges, exchange rate differences, “individual assets” and groups of assets under disposal, the portion of valuation reserves of equity-accounted equity investments, actuarial gains (losses) on defined benefits investment plans, gains/losses related to the change in own creditworthiness relating to liabilities under fair value option, property for business use measured on the basis of the restated value method.

Share capital and Treasury shares

This equity item includes the amount of issued shares net of any capital subscribed but not yet paid at the reporting date. The item is shown including any treasury shares held by the Group. Treasury shares are recognised in financial statements as a negative component of shareholders’ equity.

The original cost of repurchased treasury shares and the profits or losses from their subsequent sale are recognised as changes in shareholders’ equity. Transaction costs for a share capital transaction, such as an increase in share capital, are recorded as a reduction in shareholders’ equity, net of any related tax benefits. Dividends on ordinary shares are recorded as a reduction of shareholders’ equity in the financial year in which the Shareholders’ Meeting approved their distribution.

Non-controlling interests

This item represents the portion of consolidated net equity attributable to minority shareholders, calculated based on the “equity ratios”. The amount is calculated net of any treasury shares repurchased by the consolidated companies.

Other significant accounting practices

Revenues from contracts with customers (IFRS 15)

Revenues are gross inflows of economic benefits during the financial year in the form of consideration for the obligation to transfer to the customer a wide range of goods and services considered part of ordinary business activities. IFRS 15 “Revenue from contracts with customers” introduced a model for the recognition of revenues deriving from contractual obligations with customers, which is based on the concept of transfer of control and not only on the concept of transfer of risks and benefits.

First of all, revenues deriving from contracts with customers are recorded in financial statements only if the relative contract is identifiable, that is:

- the parties have approved the contract and are committed to its execution;
- the rights and obligations of the parties can be clearly identified in the contract;
- the payment terms for the transferred goods and services can be identified;
- the contract has commercial substance, in the sense that it impacts the entity’s cash flows;
- it is considered likely that the consideration will be collected upon transfer of the assets and provision of the services. For this assessment, only the customer’s ability and intention to pay the amount due should be considered.

After the contract’s consideration has been allocated to individual obligations resulting from the contract, revenue is recognised in the income statement when the customer obtains control of the goods or services promised (or when the performance obligation may be deemed satisfied) and can be:



- at a specific point in time (e.g., when the entity fulfils the obligation to transfer the promised good or service to the customer);
- over a period of time (e.g., as the entity fulfils the obligation to transfer the promised good or service to the customer).

For revenue calculation purposes, the consideration is defined as the amount believed to be due in exchange for the transfer of goods and services and may include fixed amounts, variable amounts, or both. Specifically, the contract's consideration may vary based on reductions, discounts, reimbursements, incentives, performance bonuses, or other similar elements. The consideration may also vary depending on whether a future event occurs (as in the case of a fee linked to performance objectives).

The methods suggested by IFRS 15 for estimating the variable portion of remuneration are:

- *the expected value method, i.e., the weighted sum of the amounts in a range of possible considerations (for example, the company has many contracts with similar characteristics);*
- the most likely amount method, or the most likely in a range of possible considerations (for example, the company receives a performance bonus or does not receive it).

If there is an element of variable consideration, revenue is recognised in the income statement only if it is possible to reasonably estimate the revenue and if it is highly probable that this consideration will not be subsequently reversed from the income statement, whether in full or for a significant part. In the event of a high prevalence of factors of uncertainty linked to the nature of the consideration, it will only be recognised at the moment this uncertainty is resolved. In any case, the estimated part of the transaction price must be updated at the end of each reporting period. The presence of financial components is also considered in determining the price, if considered relevant.

In the case of commercial agreements that envisage the recognition of variable non-cash consideration to the entity, linked to the achievement of specific targets and that can be used for services rendered by the commercial partner, the Group recognises these revenues in the income statement in the financial year in which they accrue, at a value that is not more than the fair value of services effectively rendered by the partner.

If the entity receives from the customer a consideration that provides for the reimbursement to the customer, in whole or in part, of the revenue received, a provision for risks and charges is recognised against the expected future repayments. The case may occur, for example, when the customer has a right of withdrawal for the asset or if the contract includes a claw-back clause. This standard also applies to loyalty programmes, against which a refund liability is recognised. The liability for future redemptions is equal to the amount of the consideration received (or receivable) for which it is expected that the entity is not entitled to (i.e., amounts not included in the transaction price). The liability for future redemptions (as well as the corresponding change in the transaction price and, consequently, the liability arising from the contract) must be updated on the closing date of each reporting period to take account of changes in circumstances.

For contracts for the placement of third-party products, which provide for the reimbursement of part of the commissions received in the event of early termination by the customer and in the presence of claw-back clauses linked to the failure to achieve target commission volumes, the Group quantified this provision for risk and charges based on historical trends for early repayments and reimbursements to customers. The monitoring and forecasting of volumes of the collected and reversed fees enable the provision to be adjusted at each reporting date. The model that is used is based on the most likely amount method.

In addition, the Group has a credit card loyalty programme in place, according to which reward points are granted to customers based on the volumes transacted; reward points are redeemed through prizes purchased mainly from external suppliers. Reward points granted to customers who subscribe to a product/service of the Group entails that recognition of the portion of revenue attributable to the recognised reward points in the income statement is suspended, as an offsetting entry to other liabilities. For this purpose, the transaction price of the performance obligation associated with the reward points granted is estimated, using a model based on the fair value of the reward points, calculated using several factors including: redemption forecasts for the reward points accrued by customers and the cost related to reward purchases. The amount of consideration that can be allocated to the reward points is recognised as a refund liability; it is released to the income statement only when the obligations related to the reward points have been fulfilled, i.e., when they are effectively redeemed by the customer.

Lastly, the incremental costs for obtaining the contract that are expected to be recovered and the costs for fulfilling the contract are capitalised when these costs can be directly attributed to the contract, can generate resources that can be used to fulfil future contractual performance obligations, and be considered recoverable. This recognised asset is systematically amortised in accordance with the transfer to the customer of the good or service to which



the asset refers and, therefore, in accordance with the accounting of the corresponding revenues. The Group does not have assets of this type.

Revenues and costs relating to financial instruments

With reference to the income and charges relating to financial assets/liabilities, note that:

- a) interest is booked pro-rata temporis on the basis of contractual interest rate or the effective interest rate in the event of application of the amortised cost; negative income components accrued on financial assets are booked to item “20. Interest expense and similar charges”; the positive income components accrued on financial liabilities are booked to item “10. Interest income and similar revenues”. In this case, any marginal costs and income, considered an integral part of the return of the financial instrument, are considered in the effective interest rate and recognised under interest. Interest income (or interest expense) also includes the spreads or margins, positive (or negative), accrued up to the reporting date, in relation to financial derivative contracts:
 - hedging assets and liabilities that generate interest;
 - classified in the balance sheet in the trading book, but operationally linked to financial assets and/or liabilities measured at fair value (fair value option);
 - connected operationally with assets and liabilities classified in the trading book and which entail the settlement of differentials or margins over several maturities;
- b) interest on arrears is posted to the income statement only upon actual collection;
- c) dividends are shown in the income statement upon resolution of their payout, i.e. when their payment is due;
- d) commissions for service income are posted in the period when said services were rendered, on the basis of existing contractual agreements. The commissions considered in the amortised cost for purposes of calculating the effective interest rate are recorded in interest;
- e) gains and losses following initial recognition at fair value, as determined by the difference between the transaction price and the fair value of the instrument, are booked to the income statement when the transaction is recorded if the fair value can be determined with reference to parameters or recent transactions observable on the same market in which the instrument is traded; otherwise, they are distributed over time, taking into account the duration and the nature of the instrument.
- f) gains and losses from the sale of financial instruments are recognised in the income statement when the sale is finalised, with the relative transfer of risks and benefits, based on the difference between the consideration received and the book value of the instruments themselves. Portfolio management fees are recognised based on the duration of service.

Costs for constant services and decreasing payments

The IFRS accounting standards do not provide specific guidelines on the accounting treatment to be applied for recognising costs related to service contracts that are rendered by the supplier through an indeterminate number of actions, over a given period of time. If there are cases of services rendered by suppliers through a single performance obligation relating to the provision of a specific number of units, such as a certain volume of services, which remain constant throughout the contract term and this single performance obligation is satisfied over time with a decreasing payment amount due by the customer, the Group analogically applies the accounting treatment envisaged by IFRS 15 accounting standard (see Basis for Conclusions 313-314).

In cases of the provision of services characterised by a constant volume over time and decreasing payments, the Group assigns an average unit cost to the services received and recognises their costs on a straight-line basis. This straight-line mechanism for recognising costs entails the need to recognise a prepaid asset which, at each reporting date pursuant to IAS 36, is assessed to determine if there are impairment indicators which also takes into account the analyses carried out for purposes of onerous contracts. In the event that impairment indicators are identified, the recoverable value of the asset must be calculated and a write-down must be recognised in the financial statements when the recoverable value is lower than the book value.



Share-based payments

These are payments to employees, as consideration for work performed, settled with equity instruments, which consist, for example, in assigning:

- rights to subscribe share capital increases with consideration (stock options);
- rights to receive shares upon achieving certain objectives or at the end of the employment relationship.

Pursuant to IFRS 2, payments based on treasury shares fall into various categories, including:

- as “equity settled” plans, i.e. settled in equity instruments, to be recognised on the basis of the fair value of the work services received.
- as “cash-settled” plans, i.e. settled in cash for an amount indexed to the value of the shares, to be recognised based on the fair value of the liability assumed.

With regard to “equity-settled” plans, given the difficulties of directly estimating the fair value of employment services received as an offsetting entry to the assignment of shares, the value of the services received can be measured indirectly, using as a reference the fair value of equity instruments at the date they are assigned. The fair value of payments settled by issuing shares is recognised according to the criterion of the service provided, in the income statement item “190 a) - Personnel expenses” as an offsetting entry to an increase in the item “150 - Reserves”.

In the case of “cash-settled” plans, on the other hand, the cost of the work services received is recognised in the Income Statement item “190 - a) Personnel expenses” as a balancing entry to a liability to be measured at fair value based on the price of the shares assigned. The fair value must be updated at the end of each financial year and at the settlement date by posting changes in fair value to the income statement until the liability is extinguished.

When the assigned shares or countervalue cannot immediately be used by the employee, but rather are available only after the employee has completed a specific period of service, the company recognises the cost as consideration for the service rendered throughout the accrual period for these conditions (“vesting period”).

Clearing of financial instruments

Pursuant to IAS 32, paragraph 42, financial assets and financial liabilities are offset and recognised in the Financial Statements for the net balance if the entity:

- has a legal right to effect such set-off, which is currently exercisable in all circumstances, whether in the ordinary conduct of business or in situations of non-performance, insolvency or bankruptcy of the parties;
- intends to settle transactions on a net settlement or on a gross settlement basis whose material effect is equivalent to a net settlement.

For derivative instruments covered by offsetting agreements that comply with the requirements outlined above, Circular No. 262 provides for offsetting between trading and hedging derivatives as well, with such imbalances to be shown on a net basis: conventionally, the net balance is allocated to the trading portfolio rather than to hedging derivatives, depending on the absolute value of the imbalance between the trading and hedging derivatives.

In accordance with the requirements of IFRS 7, more detailed information is provided in the tables contained in Part B - Other Information of these Notes to the financial statements, in which the following are more specifically set out:

- the book values of assets and liabilities that meet the requirements of IAS 32, paragraph 42, before and after accounting offsetting;
- exposures subject to framework offsetting agreements that have not given rise to offsetting but which may potentially trigger offsetting as a result of specific circumstances;
- the collateral attached to them.

Business combinations

A business combination transaction is intended as the transfer of control of a business (or group of integrated assets and goods, managed for the purpose of providing goods or services to customers and which generates revenues from investment, such as dividends or interest, or other revenues from ordinary activities). For the definition of control, please refer to Section 3 “Scope of consolidation” of this part A of the Notes to the financial statements.

A business combination may give rise to an investment link between the acquiring Parent Company and the acquired subsidiary. In these cases, the acquirer applies IFRS 3 to its consolidated financial statements, while in the



separate financial statements it recognizes the acquired interest as an equity investment in a subsidiary, consequently applying IAS 27 “Separate financial statements”.

A business combination may also provide for the acquisition of the net assets of another entity, including any goodwill, or the acquisition of the share capital of another entity (e.g., mergers, splits, acquisitions of business units). Such a business combination is not an investment link like the one between a parent company and a subsidiary, and therefore in these cases IFRS 3 is also applied to the acquiring entity’s separate financial statements.

Business combinations are accounted for using the purchase method, which requires: (i) the identification of the acquirer; (ii) the determination of the cost of the business combination; and (iii) the allocation of the acquisition price (“Purchase Price Allocation”).

Identification of the acquirer

IFRS 3 requires that an acquirer is identified for all business combinations, identified as the party that obtains control over another entity, understood as the power to set financial and management policies of the entity in order to receive benefits from its activities. In the case of business combination transactions that result in the exchange of equity interests, identification of the acquirer must consider factors such as: (i) the number of new ordinary voting shares issued with respect to the total number of ordinary voting shares that will constitute the share capital of the existing company after the combination; (ii) the fair value of the entities participating in the business combination; (iii) the composition of the new corporate bodies; and (iv) the entity that issues the new shares.

Determination of the cost of the business combination

The consideration paid in a business combination is equal to the fair value, on the purchase date, of assets sold, liabilities incurred, and equity instruments issued by the acquirer in exchange for obtaining control of the acquired entity. The consideration that the acquirer transfers in exchange to the acquired entity includes any assets and liabilities resulting from an agreement on “contingent consideration”, to be recognised at the fair value on the acquisition date. Changes to the consideration transferred are possible if they result from additional information on events and circumstances that existed at the acquisition date and may be recognised within the measurement period for the business combination (i.e., within twelve months from the acquisition date, as specified below). Any other changes deriving from events or circumstances subsequent to the acquisition, such as consideration recognised to the seller linked to the achievement of a certain profit performance, must be recorded in the income statement.

Costs related to the acquisition, which include brokerage fees, consulting, legal, accounting, and professional fees, as well as general administrative costs, are recorded in the income statement as they are incurred, with the exception of the costs of issuing shares and debt securities, which are recognised on the basis of the provisions of IAS 32 and IFRS 9.

Allocation of the acquisition price (“Purchase Price Allocation”)

According to the purchase method, at acquisition date the acquirer must allocate the cost of the business aggregation (known as PPA, “Purchase Price Allocation”) to the identifiable assets acquired and to the liabilities assumed measured at their fair value on that date, as well as recognising the value of non-controlling interests of the acquired entity. Exceptions to the application of this standard are the recognition of: (i) income taxes; (ii) liabilities relating to employee benefits; (iii) assets deriving from indemnities; (iv) share-based payment transactions; (v) assets held for sale and (vi) reacquired rights for which the respective reference standards apply.

Therefore, it is necessary to draw up a balance sheet for the acquired entity, at the acquisition date, measuring at fair value the identifiable assets acquired (including any intangible assets not previously recognised by the acquired entity) and identifiable liabilities assumed (including contingent liabilities).

For each business combination, any non-controlling interests may be recognised at fair value or in proportion to the share of identifiable net assets of the acquired company.

In addition, if control obtained through subsequent acquisitions (business combinations carried out in several phases), the previously held equity interest is measured at fair value at the acquisition date and the difference compared to the previous book value must be charged to the income statement.

Hence, at the acquisition date, the acquirer must determine the difference between:

- the sum of:
 - o the cost of the business combination;
 - o the amount of any non-controlling interests as described above;
 - o the fair value of any equity interests previously held by the acquirer;

and



- the fair value of identifiable net assets acquired, including contingent liabilities.

Any positive difference must be recognised as goodwill; conversely, any negative difference must be charged to the income statement of the entity resulting from the business combination as profit deriving from the purchase at favourable prices (negative goodwill or badwill), after having performed a new measurement aimed at ascertaining the correct process of identifying all assets acquired and liabilities assumed.

The fair value of assets and liabilities must be definitively identified within the maximum term of twelve months from the acquisition date (measurement period).

Once control has been obtained and the purchase method described above has been applied, any further increase or decrease in the equity interest in a subsidiary in which control is maintained is recognised as a transaction between shareholders. Therefore, the book values of the shareholders' equity of the Group and non-controlling interests must be adjusted to reflect changes in equity interests in the subsidiary. Any difference between the value for which non-controlling interests are adjusted and the fair value of the consideration paid or received must be recognised directly in the Group's shareholders' equity.

If there is an event which results in the loss of control, an entry is made to the income statement equivalent to the difference between (i) the sum of the fair value of the consideration received and the fair value of the residual equity interest held and (ii) the previous book value of the assets (including goodwill) and liabilities of the subsidiary and any third-party shareholders' equity. The amounts previously recognised in the statement of comprehensive income (such as the valuation reserves of financial assets measured at fair value through other comprehensive income) must be accounted for in the same way as if the parent company had directly disposed of the assets or the related liabilities (through reclassification in the income statement or shareholders' equity).

The fair value of any equity interest held in the former subsidiary must be considered equal to the fair value upon initial recognition of a financial asset according to IFRS 9, or, where appropriate, equal to the cost at the time of initial recognition in an associate company or a jointly controlled entity.

Business combinations under common control

Business combinations of entities under common control are excluded from the scope of application of IFRS 3. In the absence of a reference standard, such transactions are accounted for by referring to Assirevi Preliminary Guidance No. 1 and No. 2 (OPI 1 - "Accounting treatment of business combinations of entities under common control" in the Separate and Consolidated Financial Statements" and OPI 2 - "Accounting treatment of mergers in the Separate Financial Statements"). These guidelines consider the economic significance of business combinations on the basis of cash flow impact on the Group. Transactions, which had no significant influence on future cash flows, were recognised using the pooling of interest method. In particular, the values adopted are those resulting from the Consolidated Financial Statements of the Group at the date of transfer of the assets. This is in compliance with the provisions of IAS 8, paragraph 10, which requires, in the absence of a specific standard, to use one's judgement in applying an accounting standard in order to provide relevant, reliable, prudent disclosure that reflects the economic substance of the transaction.

Amortised cost

The amortised cost of financial assets or liabilities is the value at which they were measured upon initial recognition, net of principal repayments, plus or minus overall amortisation calculated using the effective interest method, on the differences between the initial value and that at maturity and net of any permanent impairment.

The effective interest rate is the rate which equates the present value of a financial asset or liability with the future contractual payments or collection cash flows until maturity or a subsequent price recalculation date. To calculate the current value, the effective interest rate is applied to estimated future collection or payment flows over the entire useful life of the financial assets or liabilities – or for a shorter period if certain conditions are met (for example, a change to market rates).

Following initial recognition, the amortised cost makes it possible to allocate income and costs reducing or increasing the instrument over its entire expected life by means of the amortisation process. The determination of the amortised cost is different depending on whether the financial assets/liabilities are subject to valuation at a fixed or variable rate.

For fixed-rate instruments, future cash flows are quantified based on the known interest rate during the term of the financing. For floating-rate financial assets/liabilities, whose variability is not known beforehand (because, for example, it is tied to an index), cash flows are determined on the basis of the last known rate. At every rate review date, the amortisation schedule and the actual rate of return over the entire useful life of the instrument, i.e. until maturity, are recalculated. The adjustment is recognised as cost or income in the income statement.



Amortised cost is assessed for financial assets measured at amortised cost and for those as fair value through other comprehensive income as well as financial liabilities measured at amortised cost.

Financial assets and liabilities traded at market conditions are initially recognised at their fair value, which normally corresponds to the amount disbursed or paid inclusive - in the case of instruments valued at amortised cost - of transaction costs and commissions directly attributable to the assets and liabilities.

Transaction costs include marginal internal and external costs and income attributable to the issue, acquisition or sale of a financial instrument that cannot be charged to the customer. These fees, which must be directly attributable to the individual financial assets or liabilities, impact the original effective return and make the effective interest rate associated with the transaction different from the contractual interest rate. Indistinguishable costs/income related to several transactions and components related to events that may occur during the life of the financial instrument, but which are not certain at the time of the initial definition, are excluded, such as: rebate fees, fees for failure to use, and for early repayment.

The costs that the Group incurs regardless of the transaction (for example, administrative, stationery, communication costs), those which, although specifically attributable to the transaction, fall within the normal practice of loan management (for example, activities aimed at disbursing the loan), as well as commissions for services collected following the performance of structured finance activities that would have been collected regardless of the subsequent financing of the transaction (such as, for example, facilities and arrangements fees) are also not considered in the calculation of the amortised cost.

With particular reference to loans, fees paid to distribution channels (agents, advisors, brokers) and the fees paid for consultancy/advisory in organising and/or participating in syndicated loans are considered costs attributable to the financial instrument, while revenues considered in the calculation of the amortised cost are those for participation in syndicated transactions and brokerage commissions linked to fees recognised from brokerage firms.

With regard to securities not measured at fair value through profit or loss, transaction costs include both commissions for contracts with brokers operating on Italian stock markets and commissions paid to intermediaries operating on foreign stock and bond markets defined on the basis of commission tables.

For securities issued, commissions for bond placement paid to third parties, amounts paid to stock exchanges, and fees paid to the auditors for activities performed for each individual issue are considered in the calculation of amortised cost, while commissions paid to rating agencies, legal expenses and consultancy/audit fees for the annual update of the prospectuses, as well as costs for the use of indices and commissions that originate during the life of the bond are not considered in the amortised cost calculation.

Compared to the general approach, the effective interest rate must be calculated differently for those financial instruments measured at amortised cost or at fair value through other comprehensive income, purchased or originated, which at the time of their initial recognition are already credit impaired (known as PCI or OCI).

The criterion for measurement at amortised cost does not apply for hedged financial assets/liabilities for which changes in fair value for the hedged risk are charged to the income statement. However, the financial instrument is re-measured at amortised cost if the hedge is suspended, the moment from which the previously recognised changes in fair value are amortised, by calculating a new effective interest rate that considers the loan value adjusted for the fair value of the hedged element, until the expiry of the hedge that was originally envisaged. Moreover, as mentioned above in the paragraphs relating to financial assets and liabilities measured at amortised cost, the amortised cost measurement does not apply to financial assets/liabilities whose short duration makes the economic effect of discounting negligible or for loans without a defined maturity or revocation.

Purchased or originated impaired financial assets (known as POCI)

These are instruments for which the credit risk is very high and which, in the event of purchase, are purchased at a considerably discounted value compared to the initial disbursement value; for this reason, they are considered already credit impaired at the time of first recognition in the Financial Statements. Depending on the Business Model with which the asset is managed, these assets are classified in item “30 - Financial assets measured at fair value through other comprehensive income” or in item “40 - Financial assets measured at amortised cost” and among off-balance sheet exposures.

In relation to POCIs, there are two different types:

- instruments or portfolios of non-performing loans acquired on the market (Purchased Credit Impaired – “PCI”);
- credits disbursed by the Group to customers characterised by a very high credit risk (Originated Credit Impaired – “OCI”).



Impaired financial assets acquired through a business combination pursuant to IFRS 3 fall within the scope of application of IFRS 9 PCI.

Note that these financial assets are initially recorded in Stage 3, without prejudice to the possibility of reclassifying them to performing loans (Stage 2), for which an expected loss will continue to be recorded according to an impairment model based on lifetime ECL, as described below. It should be noted that, regardless of the stage in which they are recorded, these financial assets are represented separately from the three stages of credit risk.

With reference to the initial recognition, measurement and derecognition criteria, please refer to the discussion corresponding to the asset items into which they can be classified, with the exception of what is specified below in relation to procedures for calculating amortised cost and impairment.

In detail, the amortised cost and consequently the interest income are calculated using an effective interest rate adjusted for the credit (known as “credit-adjusted effective interest rate” or CEIR). For calculating the effective interest rate, the aforementioned credit adjustment entails including the expected credit losses over the entire residual duration of the asset in the estimate of future cash flows. For the purposes of calculating the CEIR, the Group uses contractual cash flows net of expected losses.

In addition, the assets in question require special treatment also with regard to the impairment process, as they are always subject to the determination of an expected loss over the life of the financial instrument (lifetime ECL). After initial recognition, the profit or loss deriving from any change in expected losses over the life of the loan compared to the initial estimate must be recorded in the income statement. Thus, for these assets, expected losses cannot be calculated using the one-year time horizon as a reference.

Loan renegotiations

In some cases, over the life of financial assets and, in particular, of loans, the original contractual conditions are subsequently modified as agreed by the parties to the contract. When, during an instrument’s life, the contractual clauses are changed (both in the case the change is formalised by signing a new contract and when there is an amendment to the existing contract), it is necessary to check whether the original asset must continue to be recognised in financial statements or if, conversely, the original instrument must be derecognised from financial statements and a new financial instrument must be recognised.

In general, changes to a financial asset result in its derecognition and to the recording of a new asset when these changes are “substantial”. The determination of the “substantiality” of the change is made by considering only qualitative elements. In particular, renegotiations are deemed to be substantial when:

- introduce specific objective elements that impact on the characteristics and/or the financial flows of the financial instrument (such as for example the change in the currency, the introduction of indexing to equity or goods parameters, the introduction of the possibility of converting the loan into participatory equity/financial instruments, the provision of “pay if you can” clauses which allow the debtor the maximum freedom in repaying the loan in terms of time and amount) in consideration of the significant impact expected from the original financial flows; or
- are implemented with respect to customers that have no financial difficulties, with the objective of adapt the onerousness of the contract to current market conditions.

In the latter case, note that, if the Group does not allow a renegotiation of contractual conditions, the customer would have the opportunity to obtain funding from another intermediary, with resulting loss to the Group of the revenue streams envisaged in the renegotiated contract. In other words, for a commercial renegotiation, the Group would not have any loss to be recorded in the income statement as a result of the realignment to the best current market conditions for its customers. Instead, for renegotiations considered to be substantial, the gross value is recalculated by determining the present value of cash flows resulting from the renegotiation, based on the original rate of the exposure prior to the renegotiation. The difference between this gross value and the gross book value prior to the change is recorded in the income statement under item “140 - Modification gains/(losses)” (known as “modification accounting”).

The cases of non-substantial renegotiations include:

- the modifications granted to counterparties experiencing financial difficulties (concessions of forbearance measures) are attributable to the Group’s attempt to maximise the recovery of the original exposure, whose risks and benefits continue to be borne by the Group. Exceptions are made for changes that introduce substantial objective elements in the contract that can themselves lead to the derecognition of the financial asset, as previously described.



- contractual changes in response to COVID-19 granted to offer broad support to all companies and individuals temporarily in difficulty due to the current pandemic, in order to prevent a systemic risk.

Lastly, the changes to financial assets following the Reform of the reference indices for the determination of interest rates (IBOR Reform), relating to the change in the basis for determining the contractual cash flows (replacement of the reference index for determining the interest rates) existing interest rates with an alternative reference rate), do not constitute a derecognition event, but are considered for accounting purposes as a modification. These changes, if made as a direct consequence of IBOR Reform and on an equivalent economic basis, are represented by a prospective adjustment of the actual interest rate - applying paragraph B5.4.5 of IFRS 9 instead of "modification accounting" - with impacts on the net interest income of future periods.

Fair value option

In its financial risk management policy, relating to financial instruments included in the banking book, the Parent Company has used the Fair Value Option accounting technique alongside fair value hedging and cash flow hedging methods.

The Fair Value Option was used to represent operational hedges on fixed-rate or structured bonds and certificates of deposit issued at fixed rates (accounting mismatch). In that case the Parent Company, the only issuer within the Group, stipulates operational micro-hedging derivative contracts with MPS Capital Services S.p.A., which in turn manages by assets the Group's overall exposure to the market.

The scope of application of the fair value option currently regards primarily fixed-rate securities and structured securities subject to hedges on interest rate risk and the risk deriving from embedded derivative components.

IFRS 9 allows the option of designating a financial instrument under the Fair Value Option to be exercised irrevocably only upon initial recognition. Therefore, the Fair Value Option cannot be used for the accounting management of hedges of funding instruments issued prior to the decision to implement the hedge; for these hedges, the hedge accounting technique must be used, which is also used to manage the hedging of the bond issues that are traded in the secondary market at market values.

Unlike hedge accounting, whose rules provide that only fair value changes attributable to the hedged risk are recognised for the hedged instrument, the Fair Value Option involves the recognition of all fair value changes, regardless of the risk factor that is being hedged.

For the issues in question, the fair value is measured, firstly, by referencing observable prices in markets considered active, such as regulated markets, electronic trading circuits (e.g. Bloomberg) or organised or similar exchanges. If there are no observable prices on active markets, they are measured based on prices of recent transactions for the same instrument in non-active markets in addition to using valuation techniques, based on a cash flow discounting model, which must consider all factors considered relevant by market participants in determining a hypothetical transaction on an exchange. In particular, for determining creditworthiness, the implicit spreads of comparable issuers are used in active markets in addition to the Parent Company's credit default swap curve with the same level of subordination of the security being measured. The quantification of effects resulting from the change in own creditworthiness between the issue date and the measurement date is calculated as the difference between the fair value obtained considering all of the loan's risk factors, including the credit risk, and the fair value obtained considering the same factors, excluding the change in own credit risk that occurred during the period.

For further details on methods for calculating fair value, please refer to the exhaustive information provided in the relevant paragraph in "Part A.4 - Information on fair value".

With reference to the criteria for recognition in financial statements, note that:

- derivatives connected with financial liabilities measured at fair value are classified under "Financial assets measured at fair value through profit or loss: a) financial assets held for trading" or "Financial liabilities held for trading";
- spreads and margins accrued on derivatives up to the measurement date are included, depending on the balance, in "interest income" or "interest expense", consistent with the accruals recorded on bonds subject to operational hedges;
- gains and losses from realisation and the measurement of loans under the fair value option are recorded in the income statement item "110 - Net profit (loss) from other financial assets and liabilities measured at fair value through profit or loss", with the exception of the valuation and execution effects related to the change in own creditworthiness that are recorded as an offsetting entry to a specific equity reserve (item "120 - Valuation reserves"), unless this accounting treatment creates or amplifies an asymmetry in



the economic result, as described in greater detail in the discussion to item “13 - Financial liabilities measured at fair value”;

- results of the measurement of derivatives associated with loans under the fair value option are recorded in the income statement item “80 - Net profit/loss from trading”.

From the perspective of prudential supervision, in compliance with prudential regulations in force, distorting effects from changes in fair value due to changes in own creditworthiness are eliminated from own funds.

Lastly, note that gains posted to the income statement under the Fair Value Option and not yet realised are not distributable.

Contributions to deposit guarantee systems and resolution mechanisms

Following the incorporation into national law, Directives 2014/49/EU (Deposit Guarantee Schemes Directive - “DGSD”) of 16 April 2014 and 2014/59/EU (Bank Recovery and Resolution Directive - “BRRD”) of 15 May 2014, starting from the 2015 financial year, credit institutions are obliged to provide the financial resources necessary for the operation of the FITD (Interbank Deposit Protection Fund) and the National Resolution Fund (merged into the SRF - Single Resolution Fund in 2016), through the payment of ex-ante ordinary contributions to be paid annually, until a determined objective level has been reached. Should the financial means available to the FITD and/or the SRF not be sufficient, respectively to guarantee the reimbursement of the protected deposit or to finance the resolution, it is required that credit institutions must provide to make the payment of extraordinary contributions. These contributions fall under the field of application of the IFRIC 21 “Levies” interpretation, on the basis of which a liability related to the payment of levies derives from the occurrence of the “binding event” which triggers the payment obligation. The balancing entry of this liability is represented by item 190 “Administrative expenses - (b) other administrative expenses” of the income statement. The contributions are considered similar to a levy and the moment of onset of the “binding event” was identified in the first quarter for the SRF and in the third quarter for the FITD.

The ordinary contribution to the SRF for 2022 amounts to EUR 88.7 mln (EUR 67.5 mln was the contribution for 2021). In this regard, it should be noted that for 2022, as in the previous year, the Group did not avail itself of the possibility of complying with the request through the assumption of an irrevocable payment commitment (IPC). Consequently, the contribution has been fully recognised in the income statement.

The ordinary contribution to the FITD, recognised in the income statement of 2022, amounts to EUR 90.0 mln (EUR 77.1 mln was the contribution requested for 2021).

Finally, it should be noted that no additional contributions to the National Resolution Fund (NRF) were called from the Bank of Italy in the 2022 financial year, in order to meet the financial needs associated with the resolution interventions carried out prior to the launch of the SRF. In the 2021 financial year, additional contributions of EUR 22.0 mln were called up for activities initiated in November 2015 by the Bank of Italy, in its capacity as national resolution authority, vis-à-vis the following four banks: Cassa di risparmio di Ferrara S.p.A., Banca delle Marche S.p.A., Banca popolare dell'Etruria e del Lazio – Società cooperativa e Cassa di risparmio della Provincia di Chieti S.p.A.

Investments in the Voluntary Scheme of the Interbank Deposit Protection Fund

On 14 February 2022, the FITD accepted the purchase offer received from the BPER group for 80% of the shareholding of Banca Carige owned by the FITD, offering 1 euro as consideration and requesting that the Fund provide to recapitalise the Ligurian Bank for EUR 530 mln. On 3 June 2022, the closing of the transfer in favour of BPER was completed, which also involved the purchase by the latter of the subordinated bonds issued by Banca Carige owned by the Voluntary Scheme for a nominal amount of EUR 5 mln.

In addition, on 21 July 2022, the Voluntary Scheme transferred all mezzanine and junior tranches of the Berenice vehicle, relating to the securitisation of the receivables of the Casse di Risparmio di Cesena, Imola and San Miniato, signed by the Voluntary Scheme on 21 December 2017 for an amount of EUR 12 mln and EUR 158 mln, respectively and which the MPS Group held indirectly.

Given the above, in the third quarter of 2022 the Group closed the investments indirectly held in Banca Carige and in other financial instruments through the Voluntary Scheme of the FITD, with a residual book value at the closing date of EUR 0.9 mln, as a balancing entry to item 110 “Net profit (loss) from financial assets and liabilities measured at fair value through profit or loss”.

Purchase of protection from credit risk through financial guarantee contracts



The Group identified the conditions that need to be in place for a contract to qualify, from an accounting perspective, as a financial guarantee. First and foremost, the classification as a financial guarantee and the subsequent accounting treatment does not depend on the legal form of the contract; in fact, financial guarantee contracts may assume different legal forms, for example that of a guarantee, some types of credit letters, a loan default contract or an insurance contract.

Among the preliminary criteria for the purposes of classification are considered contract financial and management objective concepts such as, for example, in the event of the purchase of protection, the assumption of a guarantee from any losses incurred on the hedged asset.

All the following elements must also be present:

- a) stipulation of the contract for the purpose of hedging credit risk, deriving from debt instruments;
- b) presence of the deliverable obligation, for the purposes of activation of the financial guarantee, in the financial statements of the purchaser of protection;
- c) unbudgeted payments in response to changes in specific rates, prices, ratings, exchange rates, indexes or other variables that are governed by the rules on derivatives;
- d) repayments made by the protection seller only if the protection purchaser has suffered losses on the hedged asset (direct link between the obligation of the guarantor and the assets in the portfolio of the guaranteed party, as indicated in point b) above and for amounts not exceeding the loss actually recorded;
- e) analysis of the economic substance of the characteristics of the contract, allowing (i) failure to pay, (ii) bankruptcy, (iii) restructuring, (iv) moratorium etc. under credit events.

On the other hand, it is not necessary that the duration of the guarantee corresponds to the duration of the hedged asset, as it is permitted to hedge the underlying asset for only part of its residual life.

Contracts that meet the aforementioned conditions are similar to financial guarantees and are entered into as part of synthetic securitisation transactions of portfolios in which the Group acts exclusively on the side of the purchaser of credit risk protection.

TLTRO III – Targeted Longer Term Refinancing Operations

The TLTRO III “Targeted Longer Term Refinancing Operations” are financing operations conducted by the ECB aiming to preserve favourable conditions of bank credit and support the defined monetary policy stance. The financing that can be obtained from each bank depends on the amount of loans granted to non-financial companies and households (eligible loans) on certain recognition dates. Operations are carried out on a quarterly basis, starting from September 2019 and each transaction has a duration of three years. Following the emergency linked to the COVID-19 pandemic and the unexpected and extraordinary increase in inflation during the second half of 2022, some of the criteria initially set forth by the ECB in 2019 were revised, between March and December 2020, in a positive sense with particular reference to the maximum amount that can be financed and the related remuneration and finally in October 2022, in a negative sense in relation to the changes to the terms and conditions applicable from 23 November 2022.

With regard to the remuneration of the loans, following the aforementioned revisions, the interest rate was set at a level equal to the average rate of the main refinancing operations of the Eurosystem (MRO), except for the period between 24 June 2020 and 23 June 2022 (“special interest rate period”), where a lower rate of 50 basis points is to be applied. An incentive mechanism has also been established which provides access to more favourable rate conditions when specific benchmarks are reached, based on the net granted loans. In this regard, it should be noted that the Group, having achieved these benchmarks – referring in particular to the amounts of the aforementioned net disbursements outstanding as at 31 March 2021 and 31 December 2021 – is entitled to benefit from the average rate on deposits with the central bank (Deposit Facility Rate - DFR) for the entire duration of the respective transactions, with the exception of the “special interest rate period” - between 24 June 2020 and 23 June 2022 - to which is added the additional reduction of 50 basis points (and in any case not higher than -1%). In detail, with reference to the period between the settlement date of each tranche and 23 June 2020, i.e. the period immediately preceding the special interest rate period, and the period between 24 June 2022 and 22 November 2022 (together the “main interest rate period”), the interest rate for each tranche is equal to the average Deposit Facility Rate calculated with regard to the period between the related settlement date and 22 November 2022. Finally, for the period between 23 November 2022 and the maturity date or any date of early repayment (“last interest rate period”) of the relevant tranche, the interest rate is equal to the average rate on deposits with the central bank calculated in the same period.



Interest is settled in arrears at the maturity or, alternatively, at the time of the early repayment of each TLTRO III transaction.

The MPS Group applies to TLTRO III transactions the accounting treatment defined pursuant to IFRS 9, considering the refinancing conditions defined by the ECB as market rates in the context of the Eurosystem's monetary policy measures, as the Governing Council of the ECB may change the interest rate of TLTRO III transactions prospectively at any time, as it did in April and December 2020 and most recently in October 2022. In the absence of specific indications in the reference accounting standards for the treatment of the case, the Group has defined its accounting policy by equating the loan to a variable-rate financial instrument, with recognition of interest, applicable from time to time, to be estimated on the basis of the probability of being able to achieve certain objectives in terms of "net lending". In further detail, the rules set forth in IFRS 9 for floating-rate financial instruments (paragraph B5.4.5) are deemed applicable, in line with the treatment pursued in the past for loans obtained under previous TLTRO programmes. Following the monetary policy decisions made during the financial year, the *Deposit Facility Rate* went from -0.50% to 0% with effect from 27 July 2022, from 0% to 0.75% with effect from 14 September 2022, from 0.75% to 1.5% with effect from 2 November 2022 and finally from 1.5% to 2.0% with effect from 21 December 2022.

In detail, the rates applied are as follows: (i) -1% from 24 June 2020 until 23 June 2022, having achieved all net lending targets, (ii) average DFR rate calculated between the settlement date of each tranche and on 22 November 2022 for the fees to be recognised in the period prior to the special interest rate period and for the period between 24 June 2022 and 22 November 2022, (iii) average DFR calculated between 23 November 2022 and the expected maturity of each tranche on the assumption that the prospective interest rates are equal to the DFR in force at each refinancing date (2.0% starting from 21 December 2022).

As illustrated above, in view of the relevance of the issue at European level and the different accounting practices applied, on 9 February 2021, ESMA submitted a request to the IFRS Interpretations Committee (IFRIC) for clarification on the accounting treatment of TLTRO III transactions. In March 2022, the IFRIC, after consultation with the IASB, confirmed that this issue will be addressed in the *Post Implementation Review* (PIR) project on the Classification and Measurement of IFRS 9.

In light of the above, for the purposes of preparing these Consolidated Financial Statements, no official interpretation has been issued on this matter; however, it cannot be ruled out that, upon completion of the analyses underway by the IASB, different approaches may emerge with regard to the accounting treatment to be adopted for the accounting of the case in question compared to that carried out by the Group as at 31 December 2022.

As at 31 December 2022, TLTRO-III transactions, fully underwritten by the Parent Company, amounted to EUR 19.5 bn, a decrease of EUR 10 bn compared to the outstanding amounts as at 31 December 2021, and referred to four TLTRO-III transactions carried out in June and September 2020 (EUR 11 bn and EUR 3 bn) and in March and June 2021 (EUR 2.5 bn and EUR 3 bn) respectively. It should be noted that the EUR 4 bn tranche taken out in December 2019 matured on 21 December 2022, and on the same date an early repayment of a nominal EUR 6 bn of the June 2020 tranche with an original maturity of June 2023 was made.

The total interest income recognised in the income statement for the 2022 financial year therefore amounted to approximately EUR 131 mln (EUR 279 mln as at 31 December 2021), represented for EUR 144 mln by interest counted at the most favourable rate of -1% for the special period, for approximately EUR 40 mln by interest recognised for the main interest rate period and finally for EUR -53 mln by interest recognised for the last interest rate period until 31 December 2022.

Finally, it should be noted that as a result of the ECB Governing Council's decision of 2 February 2023, the DFR was increased from 2% to 2.5% with effect from 8 February 2023. This change did not affect the calculation of the accruals recognised as at 31 December 2022, as this is a subsequent event that does not entail any adjustments to the balance sheet balances in compliance with IAS 10.

Tax credits linked to the "Rilancio" Italian Law Decree acquired following assignment by the direct beneficiaries or previous purchasers

As part of the urgent measures on health, support for work and the economy, as well as social policies linked to the COVID-19 epidemiological emergency, Italian Law Decree no. 34/2020 ("Rilancio" - Relaunch) introduced tax incentive measures for specific energy and anti-seismic efficiency interventions, the installation of photovoltaic systems and infrastructure for recharging electric vehicles in buildings ("Superbonus").



These tax incentives, applicable to both households and businesses, are commensurate with a percentage of expenses incurred, and are disbursed in the form of a tax credit or tax deduction. The main characteristics of these tax credits are: (i) the possibility of using them for offsetting; (ii) transferability to third-party purchasers and (iii) non-reimbursement by the tax authorities.

- The accounting treatment of tax credits acquired from a third party (transferee of the tax credit) is not subject to a specific international accounting standard. IAS 8 establishes that, when there is a situation not explicitly addressed in an IAS/IFRS, the company management defines an appropriate accounting policy to ensure relevant and reliable disclosure of such transactions.

The Group, in line with the joint document issued by the Authorities⁴¹, has defined its accounting policy which refers to the accounting rules laid out in IFRS 9, applying provisions compatible with the characteristics of the transaction and considering that, substantially, these credits are equivalent to financial assets.

The Group purchases the credits based on its Tax Capacity with a view to holding them and using them for future offsetting; therefore, these credits are linked to a Held to Collect Business Model and recognised at amortised cost, with remuneration represented in net interest income throughout the recovery time period.

The valuation of these credits is carried out by considering utilisation flows through estimated future offsetting; however, the accounting framework provided by IFRS 9 does not apply to this specific case for the calculation of expected losses, i.e. the expected credit loss (ECL) is not calculated as there is no counterparty credit risk, taking into account that tax credits are realised through offsetting and not collection.

Lastly, as specified in the joint Authority document, taking into account that for the purposes of the international accounting standards these tax credits do not represent tax assets, public contributions, intangible assets or financial assets, the most appropriate classification for representation in the financial statements is the residual category "Other Assets" in the Balance Sheet.

As at 31 December 2022, the nominal value of the total tax credits acquired amounted to EUR 882.6 mln. Taking into account credits offset until this point, totalling EUR 72.7 mln, the residual nominal amount as at 31 December 2022 came to EUR 809.9 mln. The corresponding carrying amount, recognised in the balance sheet item "130. Other assets" at amortised cost, which takes into account the acquisition price and the net amounts accrued as at 31 December 2022, was EUR 738.2 mln.

It should also be noted that, as at 31 December 2022, the Group had received requests for the sale of these receivables for a total amount of approximately EUR 3.4 bn, currently being assessed/processed. The total amount of receivables purchased, taking into account the disposal requests in progress, is in line with the estimate of the total tax capacity or the tax/contribution payments that the Group plans to make and that are available for offsetting with the tax credits from "Building Bonuses".

Employment termination benefits

Termination of employment may be attained through the employee's voluntary acceptance of a company plan to reduce staff following a proposal to incentivise voluntary resignations due to redundancies, i.e. in the case of exit incentive plans. Such plans may provide for recourse to category-based collective instruments, including the Solidarity Fund for Employees in the Credit Sector.

These plans provide employment termination benefits and are drawn up, in terms of the number of exits and the timing of implementation, within the scope of the Business Plan objectives.

The agreements executed between the Group and the trade unions generally provide for the extent of the pool of potential participants and payments made on a lump-sum basis, in addition to the additional payment of other benefits such as, for example, the maintenance of the insurance policy, the maintenance of welfare coverage and supplementary pension schemes, until the employee's reaches the INPS retirement age. The Group recognises a provision by type, under personnel expenses, as a balancing entry to a provision for risks and charges under item "100 Provisions for risks and charges: c) other provisions for risks and charges" when the requirements of IAS 37 are met, i.e. in the presence of an obligation of a contractual nature to provide the services and benefits covered by the agreement, when it is probable that a flow of resources will be required to fulfil the obligation, for an amount that represents the best possible estimate of the expenditure needed to settle the related obligation in place at the reporting date.

⁴¹ Accounting treatment of tax credits purchased pursuant to the "Cura Italia" and "Rilancio" Italian Law Decrees published on 5 January 2021 by the coordination table between the Bank of Italy, Consob and IVASS on the application of IAS/IFRS



Since this is a multi-year obligation, the estimated amount is subject to discounting to reflect the effect of the passing of time.

When there is no longer any uncertainty related to the number of acceptances to the Plan, with the submission of resignations by employees, the Group shall recognise a liability as a balancing entry to the provision for risks and charges.

Other matters

Classification criteria for financial assets

The classification of financial assets in the three categories envisaged by the standard depends on two classification criteria, or drivers: the Business Model with which the financial instruments are managed and the contractual characteristics of the cash flows of the financial assets (or SPPI Test).

The financial asset classification derives from the combination of these two drivers, as shown below:

- Financial assets measured at amortised cost: assets that pass the SPPI test and fall under the Held to Collect Business Model (HTC);
- Financial assets measured at fair value through other comprehensive income (FVOCI): assets that pass the SPPI test and fall under the Held to Collect and Sell Business Model (HTC&S);
- Financial assets measured at fair value through profit or loss (FVTPL): a residual category, which includes financial instruments that cannot be classified in the previous categories based on the results of the Business Model test or the test on the characteristics of contractual cash flows (SPPI test failed).

Business Model

With regard to the Business Model, IFRS 9 identifies three cases in relation to the methods by which cash flows are managed and financial assets are sold.

- *Held to Collect (HTC)*: a Business Model whose objective is achieved by collecting contractual cash flows from the financial assets included in the relative portfolios. The inclusion of a financial asset portfolio under this Business Model does not necessarily mean that the instruments cannot be sold, though it is necessary to consider the frequency, value, and timing of sales in previous financial years, reasons for sales, and expectations regarding future sales;
- *Held to Collect and Sell (HTC&S)*: a mixed Business Model, whose objective is achieved by collecting contractual cash flows from the financial assets included in the portfolios and also by sales activities, which is an integral part of the strategy. Both activities (collection of contractual cash flows and sales) are essential for achieving the Business Model's objective. Therefore, sales are more frequent and for greater amounts than an HTC Business Model and are an essential component of the strategies pursued;
- *Other/Trading*: a residual category that includes both financial assets held for trading purposes and financial assets managed with a Business Model other than the previous categories (Held to Collect and Held to Collect and Sell). In general, this classification applies to a portfolio of financial assets whose management and performance are assessed based on fair value.

The Business Model reflects the methods by which financial assets are managed to generate cash flows for the entity's benefit and is defined by top management through the appropriate involvement of business structures. It is determined by considering the ways in which financial assets are managed and, as a consequence, the extent to which the portfolio's cash flows derive either from the collection of contractual cash flows, or from the sale of financial assets, or from both of these events.

The assessment does not take place on the basis of scenarios that, based on the entity's reasonable forecasts, are not likely to occur, such as "worst case" or "stress case" scenarios. For example, if the entity expects to sell a given portfolio of financial assets only in a "stress case" scenario, that scenario does not affect the assessment of the entity's Business Model for those assets if that scenario, based on the entity's reasonable forecasts, is not likely to occur.

The Business Model does not depend on the intentions that management has for an individual financial instrument, but refers to the ways in which groups of financial assets are managed for the purpose of achieving a specific business objective.

In summary, the Business Model:

- reflects the methods by which financial assets are managed to generate cash flows;



- is defined by top management through the appropriate involvement of business structures;
- must be determined by considering the methods by which financial assets are managed.

When assessing a Business Model, all relevant factors available at the assessment date are used. These factors include the strategy, risks and their management, remuneration policies, reporting, and the amount of sales. In analysing the Business Model, it is crucial that the factors evaluated are consistent amongst themselves and, in particular, are consistent with the strategy pursued. Evidence of activity not in line with the strategy must be analysed and adequately justified.

For the *Held to Collect* portfolios, the Group has defined eligibility thresholds for sales that do not affect the classification (frequent but not significant, individually and in the aggregate, or infrequent though of a significant amount) and, at the same time, established the parameters to identify sales consistent with this Business Model, when they are attributable to an increase in credit risk.

More specifically, as part of an HTC Business Model, sales are permitted i) in the event of an increase in credit risk, ii) when carried out near maturity, and finally, iii) when they are frequent but not significant in terms of value or infrequent, even if their value is significant.

A description of the circumstances on the occurrence of which the Group deems admissible to implement sale transactions of the assets in question is given below.

Increase of the credit risk

The Group deems that there is an increase in credit risk when events occur that involve:

- the classification of the financial asset under stage 2, previously classified under stage 1;
- the classification of the financial asset under impaired assets (or stage 3), previously classified under stages 1 or 2.

On the occurrence of these cases, sales are admissible, independently of any frequency or significance threshold; this occurs, for example, in the case of disposals of non-performing loans.

Proximity of the instrument's expiry

The Group deems that, independently from any frequency or significance threshold, disposals are compatible with the HTC Business Model if the time interval before the expiry is 10% of the original duration of the instrument, with a maximum absolute limit of 12 months.

Frequency and significance lower than determined thresholds

- frequency is defined as the percentage ratio between the number of positions sold (ISIN or relationships) during the observation period and the total positions in the portfolio present at the beginning of the observation period. Sales carried out based on a number lower than a value equal to 5% of the number of securities held in the portfolio at the start of the year are infrequent (this value is equal to zero if the number of securities at the start of the year is under 40);
- significance is defined as the percentage ratio between the nominal value of sales and the total nominal value of instruments in the portfolio present at the beginning of the observation period. The significance threshold of individual sales identified by the Group is 5%.

The two thresholds must be considered in a separate manner; it derives that individual sales made for an amount higher than 5% compared to initial amount, even if infrequent, are not admissible. In the case of that both the frequency and significance thresholds are met for an individual sale, a further assessment is envisaged in terms of aggregate sales volume. In this case, the significance threshold of the aggregate amount of sales identified by the Group is 10%.

These thresholds were established and applied at the level of both the individual legal entity belonging to the Group and the Group itself and only for the debt securities portfolio, as the sales of loans portfolios made by the Group are attributable to an increase in the credit risk and to the strategy of derisking required by the Supervisory Authority.

"Held to Collect" Business Model – Sales

The IFRS 9 accounting standard indicates that the transfer of exposures included in the portfolio of "Financial assets measured at amortised cost" is carried out in respect of specific significance or frequency thresholds, in proximity of maturity, in presence of an increase in credit risk or the occurrence of exceptional circumstances. With regard to this it should be noted that transfers of debt securities made by the Group in 2022 were carried out in accordance with the significance and frequency thresholds, declared in the Group's accounting policies, illustrated



in part “A.2 Part relating to the main items of the financial statements”, paragraph “Other Information, Other Aspects - Business Model”, to which reference is made for further details.

During 2022 and until the date of preparation of these financial statements there were no changes with regard to the admissibility criteria of sales of financial assets managed with the “HTC” Business Model. Lastly, please note that the management of debt securities classified in “HTC” and “HTCS” portfolios continue in accordance with the choices made in previous financial years; therefore, no change in the Business Model has occurred during the financial year which required a reclassification of the securities portfolio.

SPPI test

The other criterion to be used to determine whether a financial asset should be classified under financial instruments measured at amortised cost or at FVOCI - in addition to the Business Model analysis shown above - envisages that the related cash flows are represented exclusively by the payment of the principal and interest on the amount of principal to be repaid. To this end, IFRS 9 regulates that the SPPI test is carried out, with the purpose of verifying that the remuneration for a specific financial instrument, whether a debt security or loan, is linked exclusively to the payment of interest and repayment of principal.

A debt instrument that does not meet the SPPI test must always be measured at FVTPL and classified under the sub-item “other financial assets measured at fair value as per mandatory requirements”.

For purposes of the analysis, IFRS 9 proposes a definition of the terms “principal” and “interest”, as follows:

- the principal is intended as the fair value of the financial asset at the time of its initial recognition. This value may change during the life of the financial instrument, for example due to repayments of a portion of the principal;
- interest is the consideration for the time value of money, for the credit risk associated with the principal over a given period of time, for other risks and costs associated with the basic risks of a lending transaction, and for the profit margin.

In basic lending arrangements, the value of interest must depend exclusively on the time value of money and on the credit risk associated with the principal over a given period of time. Whenever contractual terms introduce other elements, it is no longer possible to consider that asset as solely generating cash flows in terms of principal and interest. This could happen, for example, when the cash flows come from non-recourse financial assets. The cash flows of these financial assets may involve not only interest payments and principal repayments, since the remuneration is linked to specific business activities. In this regard, the owner of the asset must assess, using the look-through approach, whether or not its instruments pass the SPPI test. For example, when the entity has non-recourse financial assets, whose cash flows depend on the performance of an element of the issuer's equity (e.g., net income), the possibility of amortised cost or FVOCI measurement must be excluded. Furthermore, when contractual cash flows depend on characteristics such as changes in share or commodity prices, the related financial instruments cannot pass the SPPI test, as they introduce exposure to risk or volatility that is not correlated with basic lending arrangements.

IFRS 9 points out that all financial instruments that are subject to “leverage effect” cannot be considered generators of principal and interest cash flows, since leverage has the potential to increase the volatility of cash flows. This includes swaps, options, forward contracts, and all derivative contracts.

IFRS 9 defines two cases in which the time value of money can be considered changed (modified time value of money) or when the relationship between the passage of time and the interest rate is considered imperfect. One case occurs when the asset's interest rate is periodically recalculated, but the frequency of this recalculation or the frequency of the payment does not correspond to the nature of the interest rate. This can happen, for example, when variable interest payments are made on a monthly basis and, at the beginning of each month, the interest rate is determined using the 6-month Euribor rate: the monthly interest rate is determined in reference to an interest rate calculated every six months, and therefore, under a different time horizon. In these cases, the accounting standard introduces the need to make a comparison between cash flows deriving from the financial asset being measured and cash flows deriving from a financial asset considered identical in terms of credit risk and duration, but for which the monthly interest is calculated based on the monthly Euribor. The other case of imperfect correlation between the passage of time and the time value of money occurs when the asset's interest rate is periodically restated based on an average of particularly short or medium/long-term rates. For example, when a financial asset provides for the payment of interest every three months, based on the average three-month Euribor interest rate in the quarter preceding the one to which the interest refers.



Therefore, in these cases the entity must analyse whether the financial asset generates only cash flows related to principal and interest, despite the change in the time value of money. The objective of this analysis is to verify how different the non-discounted contractual cash flows would be if there were no changes in the time value of money over time (known as the benchmark cash flow test).

In addition, any contractual clauses that could change the frequency or amount of contractual cash flows must be considered in order to assess whether such cash flows meet the requirements to be SPPI compliant (e.g., prepayment options, possibility to defer the contractually agreed cash flows, instruments with embedded derivatives, subordinated instruments, etc.).

However, as required by IFRS 9, a contractual cash flow characteristic does not affect the classification of the financial asset if it can only have a de minimis effect on the contractual cash flows of the financial asset (in each financial year and cumulatively). Similarly, if an element of cash flows is not realistic or genuine, i.e., if it affects the instrument's contractual cash flows only at the occurrence of an extremely rare, highly unusual, and very unlikely event, it does not affect the classification of the financial asset.

In the case of instruments subordinated to another instrument (e.g., guaranteed debt securities), the related cash flows are linked to the nominal value of the principal or interest of the principal instrument. The instrument's owner has the power to exercise the right of pre-emption, even in the event of the debtor's bankruptcy. These instruments are included among those that do not pass the SPPI test.

With regard to contractually linked instruments, reference is made to instruments with which an entity assigns a certain priority to the payment of cash flows. The order of priority depends on the credit risk assigned to each category of creditor, called "tranche". The characteristics that an investment, belonging to a given tranche, must possess in order to be considered a generator of cash flows that are exclusively related to the payment of interest and repayment of principal are as follows:

- the underlying assets must contain one or more financial assets that generate cash flows consisting exclusively of interest payments and principal repayments. Furthermore, the presence of supporting financial instruments, such as derivatives, is permitted only if they serve to reduce the volatility of the relative cash flows;
- the exposure to credit risk relating to a given tranche must be equal to or less than the risk exposure attributable to the underlying financial instruments.

For purposes of conducting the SPPI test on transactions in debt securities, MPS Group uses the services of an info-provider. The test is carried out manually using a proprietary tool based on an internally developed methodology (decision trees) only if the securities are not managed by the info-provider.

A proprietary tool based on a method developed in-house (decision trees) was developed to perform the SPPI test for credit approval processes. In particular, given the significantly different characteristics, differentiated management is envisaged for products that have a standard contract (typically, the retail loan portfolio) and tailor-made loans (typically, the corporate loan portfolio). For standard products, the SPPI test is conducted when the standard contract is structured, through the "Product Approval" process, and the test result is extended to all individual relationships that refer to that product in the catalogue. Instead, for tailor-made products, the SPPI test is carried out for each new credit line/relationship submitted to the decision-making body through the use of the tool. Decision trees - included in the proprietary tool - have been prepared internally (both for debt securities and loans) and capture possible features that may not comply with the SPPI test.

Use of estimates and assumptions when preparing financial statements

The application of certain accounting standards necessarily implies the use of estimates and assumptions that impact the values of the assets and liabilities recognised in the Balance Sheet as well as the disclosure provided on contingent assets and liabilities. The assumptions underlying the estimates developed take into consideration all available information at the date on which these Consolidated Financial Statements were drafted as well as the assumptions considered reasonable, also in light of historical experience. By their very nature, it is therefore not possible to exclude that the assumptions used, albeit reasonable, may not be confirmed in the future scenarios in which the Group will be operating. The results achieved in the future therefore could differ from the estimates developed in order to draft these Financial Statements and as a result adjustments may be required, to an extent that cannot currently be predicted or estimated, with respect to the carrying amount of the assets and liabilities recognised in the Financial Statements.

In this regard, it should be noted that adjustments to estimates may become necessary as a result of changes in the circumstances on which they were based, new information or increased experience.



Among the main factors of uncertainty that could affect the future scenarios in which the Group will operate, the negative effects on the global and Italian economies directly or indirectly connected to the COVID-19 epidemic and, starting from the first quarter of 2022, to the conflict between Russia and Ukraine must be considered. In 2022, as Italy emerged from the health emergency phase and health restrictions were eased, the uncertainties specifically related to the pandemic subsided. At the same time, since the Russia/Ukraine geopolitical crisis, uncertainties about the economic outlook have progressively increased, in particular, a specific risk factor (the energy crisis arising in the context of the ongoing geopolitical crisis) and the effects of rising inflation, increased corporate costs and interest rates have become apparent.

In this context, uncertainties about the consequences of the war, especially with regard to indirect effects, and the duration of the war make any valuation process extremely complex, since, on the one hand, they increase the risk of the economic environment in which business is transacted and, on the other, they increase the risk of limited predictability of economic projections. The following section “Risks, Uncertainties and Impacts of COVID-19 and the Russia-Ukraine Conflict” provides an overview of the main risks and uncertainties to which the Group is exposed and how it has taken them into account in preparing these Consolidated Financial Statements.

Lastly, please note that in order to allow an appreciation of the effects on the financial statements correlated to above mentioned elements of uncertainty, in these consolidated financial statements, for the main items of the financial statements subject to estimates (recoverability of deferred tax assets, expected losses on performing exposures, recoverability of intangible assets with an indefinite useful life) information is provided on the main hypotheses and assumptions used in the estimate, as well as a sensitivity analysis with respect to alternative hypotheses.

The accounting policies considered to be the most critical for the purpose of a true and fair representation of the Group's financial situation and results of operations, both in terms of materiality of the values to be recorded in the Financial Statements impacted by these policies, and for the high degree of judgement required in the measurements, which implies the use of estimates and assumptions by management, with reference to the specific sections of the Notes to the financial statements for detailed information on the evaluation processes carried out at 31 December 2022. In the following review of relevant accounting policies, the main factors of uncertainty related to the Covid-19 epidemic and the Russia-Ukraine conflict, that could affect the financial statement valuations, are also reported, which are more fully disclosed in the following section “Risks, Uncertainties and Impacts of the Covid-19 Epidemic and the Russia-Ukraine Conflict”.

The main cases in which subjective valuations are mostly opted for by Management include:

- a) quantification of impairment losses on loans and, more generally, other financial assets;
- b) assessment of the adequacy of the value of equity investments and of other non-financial assets (goodwill, , and property, plant and equipment, including right of use assets acquired through leasing and intangible assets);
- c) use of valuation models to measure the fair value of financial instruments not listed in active markets;
- d) estimation and assumptions on recoverability of deferred tax assets;
- e) estimation of liabilities arising from defined benefit company pension funds;
- f) quantification of provisions for risks and charges related to legal and tax disputes;
- g) quantification of the fair value of investment properties and operating properties for business use.

For some of the cases listed above, the main factors that are subject to estimates by the Group, and which therefore contribute to determining the book value of assets and liabilities in the financial statements, can be identified.

In summary, note that:

- a) for the allocation in the three credit risk stages envisaged in IFRS 9 for loans and debt securities classified as “Financial assets measured at amortised cost” and “Financial assets measured at fair value through other comprehensive income”, and the calculation of the related expected losses, the main estimates concern:
 - o determination of the parameters of significant increase in credit risk, based essentially on models for measuring the probability of default (PD) at the origination of financial assets and at the reporting date;
 - o inclusion of forward-looking elements, including macroeconomic, for calculating PD, EAD, and LGD;
 - o for calculating expected future cash flows from non-performing loans, certain elements are taken into account: expected repayment schedule, expected realisable value of any collateral, costs expected to be incurred for collection of the credit exposure, and finally, the probability of sale for positions that have a disposal plan;



- b) for calculating the value in use of intangible assets with indefinite life (goodwill) with reference to the cash generating units (CGUs) that make up the Group, future cash flows for the forecast period and cash flows used to determine the terminal value generated by the CGUs are estimated separately and are appropriately discounted. The cost of capital is included in the estimates;
- c) for calculating the fair value of financial instruments not listed on active markets, if it is necessary to use parameters that cannot be inferred from the market, the main estimates concern, on one hand, the development of future cash flows (or also profits for equity securities), possibly contingent upon future events and, on the other, the level of certain input parameters not listed on active markets;
- d) for quantifying post-employment benefits and similar obligations, the present value of the obligations is estimated, taking into account the cash flows, appropriately discounted, resulting from the historical statistical analysis and the demographic curve;
- e) for quantifying provisions for risks and charges, the amount of disbursements necessary to satisfy the obligations is estimated, where possible, taking into account the effective probability of having to make use of resources;
- f) for calculating the items related to deferred taxation, the probability that taxes will effectively be incurred in the future (temporary taxable differences) and the degree of reasonable certainty - if any - of future taxable profits at the time the taxes can be deducted is estimated (temporary deductible differences);
- g) for the determination of the fair value of the properties, carried out through the preparation of specific appraisals by a qualified and independent company, certain unobservable input data are estimated, such as, for example, the discount rate, the capitalization rate of income, etc.

For point a), b) and f) please refer to the following paragraphs: “Methods for calculating impairment on IFRS 9 financial instruments”, “Methods for calculating impairment on equity investments”, “Methods for calculating impairment on other non-financial assets” and “Methods for recognising deferred tax assets (probability test)”; as regards point g), please refer to paragraph “Fair value measurement of properties” and finally, for point c), please refer to paragraph A.4.5 “Fair value hierarchy” in the Notes to the financial statements. The actual technical and conceptual solutions used by the Group are analysed in more detail in the individual sections of the notes to the balance sheet and income statement, where the distinct contents of each item in the financial statements are described. With regard to the cases referred to in points d) and e), please refer to Section 10.5 under liabilities in the Notes to the financial statements “Defined benefit company pension funds” and Part E of the Notes to the financial statements, Section 1.5 “Operational risks”.

Methods for calculating impairment on IFRS 9 financial instruments

Pursuant to IFRS 9, at each reporting date, financial assets other than those measured at fair value through profit or loss are subject to an impairment test, aimed at estimating the expected credit loss (ECL). In particular, the following are included in the scope of impairment testing:

- “Financial assets measured at amortised cost”;
- “Financial assets measured at fair value through other comprehensive income” other than equity securities;
- commitments to disburse provisions and guarantees given that are not measured at fair value through profit or loss; and
- trade receivables or assets deriving from contracts that result from transactions falling under the scope of IFRS 15.

According to the ECL calculation model, introduced in IFRS 9, losses must be recorded not only with reference to objective evidence of losses in value that are already apparent at the measurement date, but also based on expectations of future losses of value that have not yet occurred.

In particular, the ECL model provides the aforementioned financial assets must be classified in three distinct “stages”, according to their credit quality in absolute terms or relative to that at initial disbursement, to which different measurement criteria for expected losses are applied. More specifically:

- *stage 1*: includes performing exposures that have not undergone a significant change in credit risk with respect to the initial recognition. The value adjustments correspond to the expected losses related to the verification of default in the 12 months following the reporting date;
- *stage 2*: includes performing exposures whose creditworthiness has been affected by a significant change in credit risk, but for which the losses are not yet observable. Adjustments are calculated considering the lifetime loss of the instrument;



- *stage 3*: includes all non-performing loans, i.e. non-performing exposures that present objective evidence of deterioration and which must be adjusted by using the lifetime expected loss concept.⁴²

Financial assets considered as impaired since their acquisition or origin (POCI - purchased or originated credit impaired), are an exception to the above, whose accounting treatment was discussed in the paragraph above dedicated to this topic.

For the MPS Group, the perimeter of exposures classified under stage 3 corresponds to non-performing exposures, identified according to the definitions established by supervisory regulations (Bank of Italy Circular no. 272 “Accounts matrix”) and referred to in Bank of Italy Circular no. 262 “Bank financial statements: layout and rules for compilation”, as these definitions are deemed consistent with accounting regulations envisaged in IAS/IFRS for objective evidence of impairment. Based on these circulars, the perimeter of non-performing exposures corresponds to the aggregate “Non-Performing Exposure”, defined in EU Regulation 2015/227, and implemented through the EBA’s “Implementing Technical Standard (ITS) on Supervisory Reporting (forbearance and non-performing exposures)” (EBA/ITS/2013/03/rev1 24/7/2014).

In detail, the aforementioned circulars identify the following categories of non-performing assets:

- **Bad loans**: these represent the aggregate of on- and off-balance sheet exposures to a party in a status of insolvency (even if not judicially certified) or in essentially comparable situations, regardless of any loss forecasts made by the Bank;
- **Unlikely to pay**: represent the on- and off-balance sheet exposures for which the debtor does not meet the conditions for classification under bad loans and for which it is considered unlikely that the debtor will be able to fully satisfy the credit obligations (in terms of principal and/or interest) without recourse to actions such as the enforcement of collateral. This assessment is carried out regardless of the existence of any overdue and unpaid amounts (or instalments). The classification among unlikely to pay is not necessarily linked to the explicit presence of anomalies, such as a missed repayment, but rather is linked to the existence of elements that would indicate a situation of risk that the debtor may default (e.g., a crisis in the debtor’s business sector);
- **Past due and/or overdrawn exposures**: on-balance sheet exposures, other than those classified as bad loans or unlikely to pay, which, at the reporting date, are past due and/or overdrawn for more than 90 days, according to the significance threshold envisaged in the aforementioned legislation. For the MPS Group, non-performing past due and/or overdrawn exposures are determined in reference to the position of an individual debtor.

In addition, the Bank of Italy regulations, in line with EBA standards, have introduced the definition of “forborne exposures”. This concerns, in particular, exposures benefiting from tolerance measures, which consist of concessions granted to the debtor, in terms of modification and/or refinancing of a pre-existing loan, exclusively because of, or to prevent, a state of financial difficulty that could have negative effects on the debtor’s ability to fulfil the contractual commitments originally assumed, and that would not have been granted to another debtor with a similar risk profile not in financial difficulty. These concessions must be identified at the level of the individual credit line and may relate to exposures of debtors classified either in the performing or the non-performing (impaired) status. For exposures with forbearance measures classified as unlikely to pay, the recovery to a position of performing can only take place after at least one year has elapsed from the time the concession was granted (known as the “cure period”) and all the other conditions provided for in paragraph 157 of the EBA ITS are satisfied.

In any case, renegotiated exposures should not be considered forborne when the debtor is not in a situation of financial difficulty (renegotiations carried out for commercial reasons).

Lastly, it should be noted that, as of 1 January 2021, the Group has adopted the new definition of default, deriving from the implementation of the “RTS on the materiality threshold for credit obligations past due under Art. 178 of the CRR (EU Delegated Regulation 2018/171)” and the related “EBA Guidelines on the application of the definition of default under Art. 178 of the CRR”. The regulations, while confirming the bases of default in the concepts of late payments and probable default of the debtor, has introduced some significant changes mainly in relation to materiality thresholds, offsetting rules and return to performing criteria. For further information, please refer to Part E “Information on risks and hedging policies”, Credit Risk, Section 3 - Non-performing loans, of these Notes to the financial statements.

⁴²The valuation is statistical for positions with a balance of under EUR 1.0 mln and analytical, carried out by management, for positions above said threshold.



Impairment of performing financial assets

For performing financial assets, i.e., those assets not considered to be impaired, it must be determined, at the individual relationship level, if there is a significant deterioration of credit risk, by comparing the credit risk associated with the financial instrument at the time of measurement and that at the initial moment of disbursement or acquisition. This comparison is made using both quantitative and qualitative criteria. The results of this assessment, in terms of classification (or, more appropriately, staging) and measurement, are the following:

- when these indicators are present, the financial asset is included in stage 2. In this case, the assessment requires that impairment is recognised equal to the expected losses over the entire residual life of the financial instrument, consistent with the provisions of international accounting standards and even if a loss in value has not yet occurred. These adjustments are reviewed at each subsequent reporting date both to periodically check that the continuously updated loss estimates are consistent, as well as to take into account - in the event that indicators of a “significantly increased credit risk” no longer exist - of the change in forecast horizon for calculation of expected loss;
- where these indicators are not present, the financial asset is included in stage 1. In this case, the assessment requires that expected losses are recognised on the specific financial instrument over the next twelve months, consistent with the provisions of international accounting standards and even if a loss in value has not yet occurred. These adjustments are reviewed at each subsequent reporting date both to periodically check that the continuously updated loss estimates are consistent, as well as to take into account - in the event that indicators of a “significantly increased credit risk” are identified - of the change forecast horizon for calculation of expected loss;

As regards the measurement of financial assets and, in particular, the identification of a “significant increase” in credit risk (a necessary and sufficient condition for classification of the asset being assessed in stage 2), the elements that constitute the main determinants to be taken into consideration, according to the standard and its operating procedure implemented by the MPS Group, are the following:

- relative quantitative criterion as “main” driver, based on the change (beyond established thresholds) in the lifetime probability of default compared to when the financial instrument was initially recognised in the financial statements;
- absolute qualitative criteria, represented by the identification of trigger events or exceeding absolute thresholds as part of the credit monitoring process. The category comprises:
 - o all exposures affected by forbearance measures and for which these measures are still active, regardless of whether the probation period underway is regular,
 - o exposures classified in the management portfolio *Proactive Management*⁴³;
- *backstop indicators*, i.e., *credit delinquency* factors, which suggest that there has been a significant increase in credit risk, unless there is evidence to the contrary. For purposes of assumptions, the MPS Group believes that the credit risk of the exposure must be considered significantly increased if there is an exposure that is past due/overdrawn for a period longer than 30 days, without prejudice to the application of the significance thresholds required by supervisory regulations for the purposes of classification under non-performing exposures.

With particular reference to the relative quantitative criterion applicable to credit exposures with customers, the MPS Group has determined as a reference the change, within internal thresholds differentiated by segment, product, initial rating class, vintage, geographical area and legal form, between the lifetime forward-looking cumulative probability of default (PD), calculated at the beginning of the contractual relationship and the probability of default recorded at the measurement date. The exceeding of the above-mentioned thresholds represents an expression of significant increase in the credit risk and the subsequent transfer of a single credit line from stage 1 to stage 2. The comparison is based on the homogeneous residual durations and on homogeneous PD models, for example, if the definition of default changes over time, the original lifetime forward-looking cumulative PD is recalculated to take account of said new definition of default.⁴⁴ Cumulative PDs subject to comparison are based on the same model used for ECL purposes (e.g. definition of PIT (Point in Time) PD, macroeconomic scenarios, expected life/contractual life). In order to obtain a unique classification result, use is made of a cumulative PD resulting from the weighted average of the cumulative PDs calculated for the individual

⁴³ On the basis of internal policies, the macro-factors that determine the assignment of the “Proactive Management” management category are the internal rating class (below the D1 threshold) or the “activation” of default detection parameters of the early warning systems classified as highly relevant or binding, which include the EBITDA; these parameters pertain to areas of investigation relating to prejudicial, performance, centralised risks, Financial Statements and the forbearance state in loans.

⁴⁴ The assessment at 31/12/T of the significant increase in credit risk of a 30y mortgage loan disbursed on 31/12/T-5 is made by comparing the forward-looking cumulative PD lifetime over the 25y residual life.



prospective scenarios using the probabilities of the scenarios as weights. The threshold of significance is determined by historically measuring, through quantile regression analysis per cluster, that level of ratio, between the lifetime forward-looking cumulative PD at the reporting date and that at the origination date, which may be considered predictive of the classification as NPE.⁴⁵ The threshold is determined so as to minimise false positives and false negatives and maximise true positives and true negatives.

For debt securities that do not have rating equal to or above investment-grade ratings, the relative quantitative criterion is based on the variation in lifetime forward-looking cumulative PD between the reporting date and the origination date above compared with a certain threshold. For corporate issuers, the multi-year PD curve is the multi-year corporate segment one relating to vintage 1 estimated entirely by the Group; for government issues, the multi-year PD curve is the one prepared on the basis of the Moody's, Standard & Poor's Fitch migration matrices of 1-year for government bonds; Standard & Poor's migration matrices corresponding to the Euro area were used to estimate multi-year PDs of credit exposures to banks and non-banking and financial institutions (NBFIs). Cumulative PDs subject to comparison are based on the same model used for ECL purposes and macroeconomic scenarios. In order to obtain a unique classification result, use is made of a cumulative PD resulting from the weighted average of the cumulative PDs calculated for the individual prospective scenarios using the probabilities of the scenarios as weights. The exposures are classified into stage 2 if the ratio between the lifetime forward-looking cumulative PD at the reporting date and that of the origination date exceeds a given threshold of significance equal, both for corporate bonds and government bonds, to that used for corporate exposures in the form of loans.

Debt securities that, at the reporting date, have an investment-grade rating, mainly related to government securities, are classified in stage 1 because in this case, and only for this case, the MPS Group used the "Low Credit Risk Exemption". This exemption consists of the practical expedient of not conducting the test for significant deterioration of credit risk on exposures whose credit risk is considered low. This exemption is applied to securities with an investment grade rating level at the date of assessment, in full compliance with the provisions of IFRS 9 accounting standard. In addition, given the presence of several purchase transactions on one fungible asset (ISIN), it was necessary to identify a methodology to identify the tranches sold in order to determine the residual quantities to which credit quality at initial recognition date can be associated, in order to compare it with credit quality at the measurement date. In this context, the "first-in-first-out" or "FIFO" methodology was deemed most appropriate, as it enables more transparent portfolio management, including from the operational perspective (front office), allowing, at the same time, a continuous updating of the creditworthiness assessment based on new purchases.

In general, the transfer criterion between stages is symmetrical. Specifically, an improvement in credit risk which involves the elimination of the conditions that led to the significant increase in said credit risk involves the reallocation of the financial instrument from stage 2 to stage 1. In this case, the entity recalculates the value adjustment on a twelve-month time horizon rather the previously recognised lifetime losses, by booking a write-back to the income statement.

Once the assignment of exposures into the various credit risk stages has been defined, the expected losses (ECL) are calculated, at the level of individual transaction or security tranche, starting from IRB/management modelling, based on parameters of Probability of Default (PD), Loss Given Default (LGD), and Exposure at Default (EAD), to which specific adjustments are made, in order to ensure compliance with the specific requirements of IFRS 9, given the different requirements and purposes of the accounting rules compared to prudential regulations.

The PD, LGD, and EAD are defined as follows:

- PD (Probability of Default): likelihood of transferring from a performing status to that of non-performing over a one-year time horizon. In models consistent with supervisory provisions, the PD factor is typically quantified through the rating. In the MPS Group, PD values derive from internal rating models where available, supplemented by external valuations or average data for segment/portfolio;
- LGD (Loss Given Default): percentage of loss in the event of default. In models consistent with supervisory provisions, this factor is quantified using historical data on actual recoveries of loans that transferred to non-performing status;
- EAD (Exposure At Default) or credit equivalent: amount of exposure at the time of default.

As previously pointed out, in order to comply with the provisions of IFRS 9, specific adjustments must be made to the aforementioned factors, including:

⁴⁵The classification as NPE is measured over multi-year time horizons



- adoption of a Point in Time (PIT) PD against the Through the Cycle (TTC) PD used for regulatory purposes;
- elimination of certain additional components from LGD, such as indirect costs (non-recurring costs), further conservative margins specifically introduced for statutory models, the component linked to the economic downturn; as well as to reflect the most current recovery rates (PIT), forward-looking expectations about future trends and the inclusion of any recovery fees if collection is assigned to a third party;
- use of multi-year PDs and, where necessary, LGDs in order to determine the expected loss for the entire residual life of the financial instrument (stages 2 and 3);
- use of the effective interest rate of the individual transaction in the process of discounting expected future cash flows, as opposed to that which is set forth in regulatory models, in which individual cash flows are discounted using discount rates determined in accordance with prudential regulations.

In relation to the multi-year EAD, in line with the IFRS 9 provisions, the MPS Group refers to the contractual plans, regardless of the measurement methods (amortised cost or fair value through other comprehensive income). For commitments to disburse funds and guarantees given (off-balance sheet exposures), EAD is instead taken at nominal value weighted by a specific credit conversion factor (CCF).

IFRS 9 establishes that, at each reporting date, an entity must measure the impairment of an asset based on the expected credit loss, based on available, reasonable and consistent information, without incurring excessive costs or making disproportionate efforts. Therefore, the forward-looking approach envisaged by IFRS 9 for purposes of determining the expected loss represents a key aspect of the measurement model.

Given the above, the MPS Group uses the forward-looking approach to estimate the expected loss, both in the analytical and collective measurements. The forward-looking approach is applied to the following statistical parameters:

- PD: Probability of Default, used for performing positions;
- LGD/EAD: Loss Given Default (LGD), used for both performing and non-performing positions measured statistically; Credit Conversion Factor (CCF) used to estimate the Exposure At Default (EAD) of performing positions;
- Cure/Danger rate: used for unlikely to pay other than restructured positions and positions statistically valued as lower than a given threshold;
- haircut for real estate collateral, used when applicable for the analytical measurement of bad loans and unlikely to pay exposures other than restructured loans.

Since the expected loss is estimated as a weighted average of a range of possible results, the aforementioned parameters are first determined based on historical data and then corrected to take into account at least 3 economic scenarios that cover a horizon of at least 3 years in the future: baseline, improving and deteriorating.

The forward looking forecasts of the macroeconomic indicators, provided by a leading external consultant and internally re-formulated by the Studies and Research Function, are quantified based on three possible future scenarios, which consider the economic variables deemed relevant (Italian GDP, interest rates, unemployment rate, commercial and residential property prices, inflation, equity indices), with a future time horizon of three years to which the respective probabilities of occurrence are assigned, determined internally by the Group. The macroeconomic scenario is updated at least once a year, at the time of preparation of the Separate Financial Statements and every time the latest base scenario, made available by the external supplier, shows, compared with the one already in use, a net cumulated difference of the GDP, over a 3-year period, greater than or equal to 0.5%, in absolute value. In greater detail, for the impairment of loans, in addition to the "baseline" scenario, i.e., the forecast macroeconomic scenario on the basis of which the MPS Group develops its projections of economic/equity and risk data over a short- and medium-term time frame, two symmetrical scenarios are assumed: an alternative severe scenario (severe but plausible) and an alternative improved scenario (best), which differ in their level of favour/adversity to economic development and growth. In addition, given the current uncertainty in the macroeconomic environment, the use of a strong negative scenario (extreme worst) was included in the calculation of the ECL, in line with the previous year.

The sensitivity of the statistical parameters to macroeconomic variables is estimated. In particular, the associations between the statistical parameter and macroeconomic variables are shown below:

- PD: Italian GDP, unemployment rate, interest rates, inflation, commercial and residential property prices and stock indices;
- LGD/EAD: Italian GDP, unemployment rate, and commercial and residential property prices;



- cure/danger rates: Italian GDP;
- haircut: commercial and residential property prices.

For those statistical parameters (e.g., PD) for which there is no linear relationship with the macroeconomic variable, the parameter measurement is not calculated based on the weighted average of the macroeconomic variables and using the respective probabilities as weights, but based on certain distinct measures of the parameter. In these cases, the weighted average occurs at the expected loss level.

Finally, for the estimate of expected losses over the life of the instrument, the reference period is represented by the contractual expiry date; for instruments that do not expire, the estimate of expected losses uses a time horizon estimated through a behavioural model for on-demand products and set to one year from the reporting date, in other cases.

For an explanation of the new macroeconomic scenarios incorporated in the calculation of expected losses on performing exposures, the actions taken during the financial year to account for the likely effects of the war and uncertainties on the development of macroeconomic scenarios and sensitivity analyses, reference should be made to the paragraph “Risks, uncertainties and impacts of COVID-19 pandemic and the Russia-Ukraine conflict” contained in Part A and to the paragraph “Methods to measure expected losses” contained in “Part E -- Information on risks and hedging policies” of these Notes to the Consolidated financial statements.

Impairment of non-performing financial assets

As described earlier in the document, for non-performing financial assets, which are assigned a probability of default of 100%, the impairment amount for each loan is equal to the difference between the loan book value at the time of measurement (amortised cost) and the present value of estimated future cash flows, calculated by applying the original effective interest rate (or a proxy if not available). Cash flows are estimated based on expected recovery expectations over the lifetime of the loan, taking into account the presumed realisable value net of any collateral and any costs connected with obtaining the guarantee through sale. In this regard, in the event that the Group uses a third party to collect non-performing loans, the fees paid to the outsourcer for activities strictly related to collection are considered for the purpose of estimating impairment losses. These costs are considered for both non-performing and performing exposures, if for the latter it is probable that in the event of a transfer to bad loans, the collection activities will be assigned to third parties.

Commissions paid to outsourcers are considered in LGD estimates used for statistical measurements of all administrative stages, in collection plans for bad loans, and in analytical measurements of unlikely to pay positions.

For purposes of estimating future cash flows and the relative collection times, the loans in question of a significant amount are subject to an analytical assessment process. For some similar categories of non-performing loans whose unit amount is insignificant, the measurement processes allow that loss forecasts are based on lump-sum/statistical calculation methods, to be analytically assigned to each individual position. The perimeter of exposures subject to a lump-sum/statistical measurement process, that is, based on statistical analyses of operational LGD, differentiated according to the segment and length of time in the risk state (“vintage”) and suitably integrated to take into account forward-looking information, is represented by:

- bad and unlikely to pay loans with exposures less than or equal to an established significance threshold of EUR 1 mln;
- total non-performing past due exposures regardless of the exposure’s significance threshold. In particular, these are loans that show continuous overdrawn situations or delayed payments, automatically identified by the MPS Group’s IT procedures, according to the aforementioned rules of the supervisory authority.

The statistical valuation, carried out for bad and unlikely-to-pay loans of less than EUR 1 mln and for all past-due and/or overdrawn loans, presents specific characteristics depending on the type of exposure involved.

With reference to bad loans, the statistical valuation is based on non-performing LGD grids, where the LGD model is mainly characterised by the differentiation of the loss rates, based on the permanence in the risk status (“vintage”), as well as the type of customer. The grids are also differentiated by other significant analytical characteristics on the model estimation stage (e.g. technical form, type of guarantee, geographical area, exposure band, etc.). The recovery time grids are broken down mainly by regulatory segment and by other significant analysis axes in the modelling (e.g. recovery procedures, exposure band, technical form).

With reference to unlikely-to-pay and non-performing past due exposures, the valuation is carried out by applying statistical LGD grids specifically estimated for positions classified in these administrative categories, in line with the LGD grids estimated for bad loans. The LGD for unlikely-to-pay and non-performing past due exposures is obtained by recalibrating the bad loan LGD through the danger rate module. The danger rate is a multiplicative



correction factor aimed at recalibrating the bad loan LGD with the information available on other default events, so as to obtain an LGD representative of all possible default events and their evolution.

It should be noted that during the 2022 financial year, the accounting treatment of massive disposal of non-performing loans in the estimation of the accounting LGD was revised. Since IFRS 9 also requires forward-looking information to be considered, it is necessary to assess whether transactions of this kind performed in the past can be regarded as foreseeable or probable also in the future, or whether, on the other hand, since these are one-off disposals of an extraordinary nature, the related impacts should be excluded from the forward-looking information. In fact, it is not considered in compliance with the provisions of IFRS 9 on forward-looking information, the inclusion in the calculation of the accounting LGD, and therefore of the ECL, of the effects from transactions that the Group does not expect to occur in the future or that are considered unlikely. In applying the aforementioned accounting provisions in relation to the prospects for the sale of NPLs, the Group distinguishes between ordinary and extraordinary transactions, where the extraordinary nature of the disposals is connected to the presence of important strategic elements and significant dimensions, and is evidenced by specific decisions of the ECB. Therefore, ordinary disposals are always included in the determination of the accounting LGD as the disposal represents an alternative collection method to a direct collection from the debtor; by contrast, extraordinary transactions are in no way considered representative of the transactions that the Group will carry out in the future, having now reached a physiological NPE ratio level and are therefore excluded from the estimation of the accounting LGD.

The analytical-specific valuation for bad and unlikely-to-pay loans exceeding EUR 1 mln is an assessment made by the managers on the individual positions based on a qualitative/quantitative analysis of the economic and financial position of the debtor, the riskiness of the credit relationship, the objectives and strategies for the reduction of non-performing loans laid out by the "NPL Plan", and any mitigating factors (guarantees); the financial effect of the estimated collection time is also taken into account.

In particular, for bad loans, a set of factors are taken into account, which may or may not be present depending on the characteristics of the positions, and which must be assessed with the utmost accuracy and prudence, including by way of example:

- nature of the credit, preferential or unsecured;
- shareholders' equity of obligors/third parties providing collateral;
- complexity of existing or potential disputes and/or underlying legal issues;
- exposure of obligors to the banking system and other creditors;
- latest available financial statements;
- legal status of obligors and pending bankruptcy and/or individual proceedings.

To find the estimated realizable value of loans secured by real estate and to take into account both the historical collection data and forward-looking considerations, in line with IFRS 9, the approach adopted is focused on the valuation of real estate in reference to the average expected auction and the corresponding reduction in the observed price, calculating the average haircuts differentiated by type of real estate guarantee (residential and non-residential).

With reference to bad real estate loans deriving from lease agreements, in light of the characteristics of the product (absence of auctions), the haircut is estimated as loss of value of the asset between the last available appraisal value and the expected sale price, calculated based on the evidence emerging from the collection process.

Moreover, with reference to unlikely to pay loans, the assessment is based on a qualitative-quantitative analysis of the economic, equity and financial situation of the debtor and on a timely verification of the risk situation. In the case of unlikely-to-pay loans secured by real estate and valued on the basis of the gone-concern scenario approach specified below, the haircut is applied not to the entire market value of the guarantee (as in the case of bad loans) but only to the portion pertaining to the credit exposure that is expected to become non-performing; alternatively, the cure rate of the related exposures is taken into account.

The impairment loss is calculated including the measurement of future cash flows that it is assumed the debtor is able to produce and which will also be used to service the financial debt. This estimate must be made on the basis of two alternative approaches:

- going concern approach: the debtor's operating cash flows (or that of effective guarantor) continue to be produced, and are used to repay the financial debts contracted, based on the scheduled repayment plans. The going concern assumption does not exclude the possible realisation of collateral, but only to the extent that this can occur without jeopardising the debtor's ability to generate future cash flows. The



going concern approach also applies to cases in which the recoverability of the exposure is based on the possible sale of assets by the debtor or extraordinary transactions;

- **Gone Concern approach:** applicable in cases in which it is believed that the debtor's cash flows will be significantly reduced or even in cases of reduced reliability of the corporate Business Plans. In this context, assuming that interventions by shareholders and/or extraordinary restructuring operations of the debt in a turnaround situation are not reasonable, loan collection is essentially based on the value of the collateral that supports the loan as well as, in the alternative, on the realisation value of the assets, taking into account liabilities and any rights of pre-emption.

Turning to the analysis of alternative collection scenarios, note that, for the objectives of reducing the stock of outstanding non-performing loans included in the business plans and the commitments undertaken with Supervisory Authorities, with specific reference to the "NPL Strategy", the Group considers the sale of certain portfolios as the strategy that can, under certain conditions, maximise the recovery of *cash flows*, also in consideration of collection times.

Consequently, the estimate of expected losses of exposures that can be sold varies depending on the forecast of the recoverable flows through internal management (work-out), as well as the forecast of recoverable flows through their possible sale on the market ("multi-scenario" approach). In particular, consistently with the objectives of the disposal, from time to time arranged by the competent corporate Bodies in relation to exposures classified as bad loans or unlikely to pay, two different estimates of cash flows that the MPS Group expects to collect are associated with them:

- the first determined by using as reference the scenario of recovery from the debtor based on internal activity, according to the ordinary measurement guidelines followed by the Group and previously described (hold scenario);
- the second calculated by using as reference the recovery through sale of the loan to third parties (sale scenario).

Each of the two scenarios is assigned a probability of occurrence that is higher for clusters that are more likely to undergo a sale procedure, based on historical data and/or forecasts (e.g., formalised NPL reduction plans). The expected loss of the exposures in question is therefore equal to the weighted average for the probabilities assigned to the two scenarios of the estimates of recoverable cash flows in each (hold and sale).

Hence, the sale values and sale probability are the two key elements for defining the expected loss. For this purpose, the MPS Group has performed an analysis of the historical data on sales (past events) on these portfolios and certain considerations on future sale strategies.

Based on these considerations, the accounting model for impairment for the Group's non-performing loans only envisages a different application for:

- loans subject to ordinary collection process: application of the relevant accounting policies previously illustrated;
- loans included in the sale programme: measured with the ordinary policy plus any add-ons to adjust the portfolios to the presumable realisable value.

To determine the add-on, the Group considers the following elements:

- selection of the portfolios that are presumed to be sold: the perimeter includes positions with a certain attractiveness on the market that can also be inferred as a result of expressions of interest already received, as well as additional positions resulting from assessments of economic benefit performed by the Parent Company's competent bodies (e.g., presence of extended bad loans or high danger rate);
- probability of sale: the probability is guided by the target sales level included in the NPL Strategy;
- sale prices: derived from mass transactions on similar portfolios and single names made by the Group or from transactions carried out on the market in recent years.

The aforementioned add-on is not applied in the case of sales with a price constraint defined to an extent not lower than the net book value determined by applying only the hold scenario.

Within the range of possible approaches to estimation models permitted by the relevant international accounting standards, the use of a methodology or the selection of certain estimation parameters may significantly affect the valuation of receivables. These methodologies and parameters are necessarily subject to a continuous updating process, also in view of the historical evidence available, with the goal of refining the estimates to better represent the presumed realisable value of the credit exposure.



For updates introduced in the measurement of expected losses, please refer to the specific paragraph contained in the “Credit risk” section of “Part E - Information on risks and hedging policies” of these Notes to the financial statements.

In light of the above, it cannot be excluded that alternative monitoring criteria or different methodologies, parameters, assumptions in determining the recoverable value of the Group’s credit exposures - also affected by possible alternative recovery strategies approved by the competent corporate bodies as well as the evolution of the economic-financial and regulatory context of reference - may determine different valuations with respect to those carried out for the purposes of preparing the Consolidated Financial Statements as at 31 December 2022.

Finally, it should be noted, as described in the “Audits” section included in the Report on Operations, to which reference is made for further details, that the ECB conducted an on-site audit in April-August 2022 concerning the risk of Corporate and Large SME exposures. More specifically, the inspection concerned the review of the quality of assets vis-à-vis the aforementioned counterparties, an analysis of the statistical models used to support the classification into stage 2 and the estimate of expected credit losses as well as the evaluation of the related management processes and procedures.

The Parent Company received the final audit report in February 2023, and is waiting to receive from the ECB the letter notifying the findings and the related recommendations, in order to define the plan for remedying the shortcomings identified. In spite of this, the new information acquired as a result of dialogue with the inspection team was evaluated and taken into consideration by the Group for the purposes of drafting these financial statements.

In particular, the following were analysed and reviewed as part of the estimate of accounting LGD: i) the treatment of large-scale disposals of non-performing loans and ii) the treatment of multiple defaults which overall entailed higher net adjustments on the cost of credit estimated at roughly EUR 11 mln as at 30 June 2022. For a detailed analysis, please refer to the specific paragraph contained in the “Credit risk” section of “Part E - Information on risks and hedging policies” of these Notes to the Financial Statements.

The other indications acquired as part of the inspection in some cases highlight areas of improvement of the models, but with an insignificant impact on loan adjustments. In particular, note should be taken of (i) the use of scenarios in determining EAD and PD parameters and ii) the specific treatment of *bullet* products with respect to instalment-based ones.

Finally, with reference to the perimeter of the positions subject to analytical verification, it should be noted that the observations reported by the inspection *team* have been analysed and substantially incorporated into the assessments of these Consolidated Financial Statements.

Incorporation of climatic and environmental risks in the determination of expected losses

One of the most complex aspects to assess, for the purposes of estimating the expected losses of credit exposures, is the actual relevance of climatic and environmental risks, given the uncertainty that inevitably characterises forecasts of events that, by nature, are likely to occur over a long-term time period.

The models currently used by the Group to calculate expected losses (ECL) relating to performing receivables do not directly incorporate the risks deriving from the exposure of debtor counterparties to climate and environmental factors; however, these factors are indirectly taken into account to the extent that the ECL calculation models consider the expected impact of the evolution of macroeconomic variables on credit risk parameters, also through the use of sector satellite models i.e. the models that define the functional relationships between the evolution of macroeconomic variables and the Bank’s risk parameters [Probability of Default (PD), Loss Given Default (LGD)]. This also applies to the statistical methodologies adopted for the calculation of ECLs for homogeneous categories of non-performing loans. In detail, these are the calculation methods adopted for the valuation of bad loans and unlikely to pay with exposures less than or equal to an established materiality threshold of EUR 1 mln and all exposures classified as past due/non-performing, in line with the rules of the supervisory legislation.

With regard to non-performing loans subject to analytical valuation, climate and environmental risks are taken into account in the estimation of the current value of expected future cash flows, on a discretionary basis and in conjunction with other information. Therefore, it cannot be ruled out that the possible development of models capable of more fully factoring climate and environmental risks may result in different assessments with respect to those conducted for the purposes of preparing these Consolidated Financial Statements.

For an illustration of how the Group is working to assess environmental factors in the context of lending policies, please refer to “Part E - Information on risks and hedging policies” of these Notes to the Financial Statements.

*Methods for calculating impairment on equity investments*

At the end of every reporting period, the equity investments in associates or jointly controlled entities are evaluated to check whether there is objective evidence of impairment that might render the book value of these assets not entirely recoverable.

The process of recognising impairment involves verifying the presence of indicators of possible reductions in value and calculating any write-down.

The Group alternatively uses a set of the indicators based on several factors, referring to the investee, including the type of business, market listing and budget objectives. The presence of impairment indicators entails the recognition of a write-down in the amount for which the recoverable value is lower than the book value. The recoverable value is the greater of the fair value less costs to sell and the value in use. For the methods used to determine the fair value, refer to the information in chapter A.4 - Information on fair value in the Notes to the Financial Statements. The value in use is the present value of cash flows arising from the asset; it reflects the estimate of the cash flows expected from the asset, the estimate of possible changes in the amount and/or timing of cash flows, the time value of money, the price for remunerating the asset's risk and other factors that can influence the pricing, by market dealers, of the cash flows expected from the asset. In determining the value in use, the discount method applied to future cash flow is used through discount rates reflecting the cost of capital of the investee.⁴⁶ The parameters and projections on which the estimates are based derive from the updating of the associates' plans, which incorporate the indirect effects of the Russian conflict in Ukraine and the climate issue, if considered relevant, and are significantly affected by the macroeconomic framework and the dynamics of the financial markets, which could see changes that are not foreseeable today.

The impairment test carried out in 2022 did not entail the need to make value adjustments. For information on the book value of the main equity investments, please refer to the section entitled "Equity investments - Item 70" contained in "Part B - Information on the Consolidated Balance Sheet" of these Notes to the Consolidated Financial Statements.

Methods for calculating impairment on other non-financial assets

Goodwill posted following acquisitions is subjected to an impairment test at least once a year and whenever there are signs of impairment. As at 31 December 2022, the carrying value of goodwill was tested for impairment, as described in the section "Intangible Assets - Item 100" of "Part B - Information on the consolidated balance sheet" of these Notes to the Consolidated Financial Statements, to which reference is made for further details.

For testing purposes, once goodwill has been allocated to cash-generating units (CGUs), the book value is compared with the recoverable value of said units. The discounted cash flow (DCF) method is normally used to determine the recoverable value of the CGUs. To this end, senior management has estimated CGU cash flows; these are dependent on several factors, including cost and revenue growth rates, which in turn depend on changes in the real economy, customer behaviour, competition and other factors. In this regard, it should be noted that verifying the recoverability of this asset is a complex exercise, the results of which are affected by the valuation methods adopted, as well as the underlying parameters and assumptions, which may need to be modified to take into account new information or changes that are not expected at the date of preparation of these consolidated financial statements. For this reason, a sensitivity analysis is provided in the aforementioned intangible assets section, in order to assess whether the recoverable value will hold against alternative hypotheses and assumptions.

The property, plant and equipment and intangible assets with definite useful life are tested for impairment in the presence of any indication that the book value of the asset may not be recovered. The recoverable value is computed with reference to the fair value of the property, plant and equipment or intangible asset, net of the disposal charges or the value in use if this can be calculated and exceeds fair value.

In particular, with regards to the software, with reference to closed projects of amounts exceeding EUR 1 mln, the Group performed the recoverable value check using assumptions and estimates in line with those of the 2021 Financial Statements. The impairment test conducted as at 31 December 2022 was based on the monitoring of specific key performance indicators (KPIs), identified when the projects were closed, in order to verify the economic benefits assumed in the reference business cases. The outcome of the monitoring showed values of these KPIs exceeding the reference thresholds set in the business cases for all projects. For projects with a value below

⁴⁶ A growth rate applied to available data is used to determine future cash flows that are not made explicit in the companies' plans



the aforementioned threshold without a specific KPIs, the impairment test of the related software was conducted consistently with previous financial years and led to the recognition of an impairment loss of EUR 0.2 mln.

The values of right of use assets acquired through leasing are subject to impairment testing, if the conditions are met. The test is performed when the following events or situations arise: full/partial abandonment, under-use or non-use of the leased asset. In addition, it is necessary to refer to indicators from internal sources such as signs of obsolescence and/or physical deterioration of the asset, restructuring plans and closures of branches and external sources such as, for example, the increase in interest rates or other rates of return on the market for investments that may cause a significant decrease in the recoverable value of the asset. The outcome of the aforementioned checks as at 31 December 2022 led to the recognition of an impairment loss of EUR 0.5 mln recognised in the item "Impairment losses/reversals on property, plant and equipment".

For information on the rights of use acquired through leasing, please refer to the section "Property, plant and equipment - Item 90" contained in "Part B - Information on the consolidated balance sheet" of these Notes to the Consolidated Financial Statements.

Determination of the fair value of property

Real estate used in the business (IAS 16) and real estate held for investment purposes (IAS 40) are valued in accordance with the restated value criterion as at 31 March 2021 and the fair value criterion as at 1 January 2021, respectively. For this perimeter, the fair value update is determined through the use of specific appraisals prepared by qualified and independent experts, which, depending on the relevance of the individual real estate unit, are conducted in two different alternative ways:

- "full" appraisals: based on a physical inspection of the property assets by the appraiser; or
- "desktop" appraisals, based on an assessment performed with no physical inspection of the property asset and, therefore, based on reference market values.

The valuation methodologies applied by the appraiser in the appraisal are aligned with international IVS (International Valuation Standards) practices and with the requirements stated in the latest edition⁴⁷ of the Red Book of the UK's Royal Institute of Chartered Surveyors (RICS) and they comply with the provisions of IFRS 13. The accounting standard provides, in particular, for non-financial assets that the use by their owner meet the requirement of highest and best use, unless the market participants expect different intended use for the property, which would therefore optimize its value. The valuation approach was therefore specified by the expert appraiser based on the current intended use of the properties, assuming this represents the highest and best use, and considering, in a few cases, alternative uses of the properties where this corresponds to market expectations. Therefore, to find the value of each property, the appraiser identifies the most suitable methodology according to the characteristics of the asset and the conditions of the reference market. The methodologies applied by the appraiser are as follows: Discounted Cash Flow Method (or Discounted Cash Flow - abbreviated to DCF); Market Comparison Approach (MCA); Transformation Method with DCF. In this context, the lease payments, sale prices, discount rates and capitalisation rates were estimated.

With reference to the ESG issue, in which the environmental issue is included, the RICS valuation standards specify the actions to be followed by the appraiser with regard to on-site inspections and the collection of data useful for assessing this aspect. The range of issues to be addressed includes, among others, major physical hazards (floods, heat, fire and storms) and transient hazards (energy efficiency, carbon emissions, climate impact). The impact of these risks is affected by current and historical use of the territory, as well as design, configuration, accessibility, legislation and management according to tax regulations.

As of 31 December 2022, the fair value values of the properties held for investment purposes were updated, for which the valuation must take place annually.

For property used in the business, on the other hand, the Group's accounting policies provide for the re-determination of the value every two years unless the scenario analysis conducted on market trends reveals deviations from the previous financial year such that it is necessary to anticipate the valuation appraisals. Since the Group decided to bring forward the valuation of all real estate assets to 30 June 2022 with respect to the standard frequency, as at 31 December 2022 the appraisals were updated only for those operating properties for which

⁴⁷ The updated version was issued in November 2019 and is effective from 31 January 2020.



significant market changes were deferred (above the threshold of $\pm 10\%$) in order to adjust their fair value to market values, as well as a range of 20 operating properties deemed particularly significant.

The results of the valuations carried out as at 31 December 2022 are described in the section “Property, plant and equipment - item 90” in “Part B - Information on the Consolidated Balance Sheet” of these Notes to the Consolidated Financial Statements, to which reference should be made for further details.

For an in-depth analysis of the valuation approach, valuation methods and the selection of estimation parameters that can significantly influence the calculation of fair value, reference should be made to the specific qualitative and quantitative disclosure in Part A.4 - “Information on fair value”.

Methods for recognising deferred tax assets (probability test)

The Group verifies the possibility of recognising tax assets based on a probability test, as described below.

Forward-looking plans approved by the Boards of Directors of the various companies are used; the plans of the subsidiaries are consistent with the Group's forecasts. Since the forecast plans cover a limited time horizon, as carried out in practice to determine the forward value of companies, the results subsequent to the plan horizon are assumed to be equivalent to those of the last year of the plan and increased by a compound long-term growth rate (g). In any case, the framework of the probability test is consistent with that of the impairment test used for the measurement of goodwill, except for the specifics related to regulatory requirements (IAS 12 and IAS 36, respectively) such as, for example, the possibility in the probability test to take into account business restructuring and reorganisation actions included in the forecast plans, which is not considered in the goodwill impairment test. For more information reference should be made to paragraph “Impairment test of Group goodwill” included within Section 11 of the consolidated assets of these Notes to the Financial Statements.

In order to reflect the uncertainty associated with realising future taxable income suitable to allow the recovery of deferred tax assets, a discount factor is used based on data observable on the market and consistent with the risk metrics of the investment in Banca MPS shares. The application of this discount factor, equal to 9%⁴⁸ as at 31 December 2022, unchanged with respect to the one used for the Financial Statements as at 31 December 2021, represents a way of reflecting the uncertainty around the realisation of future income; in any case, it is believed that the horizon considered for the purposes of the taxable income test, the realisation of which is considered likely, cannot exceed 20 years.

In developing the probability test, where applicable, the national tax consolidation agreements in which the Group companies participate and the option exercised in the tax return with respect to the possible allocation of residual tax losses in the event of early termination of group taxation, are taken into account. Based on the agreement in force as at 31 December 2022 as well as in previous year, the assessment of the recoverability of the consolidated tax loss carry-forwards and the consequent recognition of the related DTAs are entirely the responsibility of the Bank in its role as consolidator, which represents the related accounting impacts in its individual financial statements. For further information, please refer to what was previously described in this Section of Notes to the Consolidated Financial Statements Part A2 “Part relating to the main items of the financial statements”.

In particular, as at 31 December 2022, the valuation of the DTAs was carried out in continuity with the methodology already applied to the Financial Statements as at 31 December 2021, also taking into account the forecast plan 2022-2026 approved by the Board of Directors of the Parent Company on 22 June 2022; the forecast plans of the subsidiaries are consistent with that of the MPS Group, with the exception of the companies MPS Capital Services S.p.A. and MPS Leasing & Factoring S.p.A. for which, as the merger by incorporation is planned in 2023, the multi-year projections have been adopted for the financial years 2020 - 2024, approved by the Bank's Board of Directors on 6 August 2020.

From a prudential perspective, the economic results for 2025 and 2026 outlined in the Business Plan approved by the Parent Company were not considered in the valuation for the Financial Statements as of 31 December 2022, limiting the expected positive evolution for future years to that resulting from the data forecast for 2024; the economic results for the years subsequent to 2026 were determined by increasing on a compound basis the long-term growth rate (g) the result forecast for the immediately preceding year.

In the Section 11 - “Tax assets and tax liabilities” contained in “Part B - Information on the Consolidated Balance Sheet” of these Notes to the Consolidated Financial Statements provides information on the breakdown of

⁴⁸ Changes to the discount factor are considered when the average of the last 3 years of the rate calculated at the reference date deviates by at least $\pm 1\%$ from the last rate used.



deferred tax assets and the checks carried out on their recoverability, on the *sensitivity* analyses aimed at allowing an appreciation of the time frame of their recovery, depending on reasonable variations in the main underlying assumptions.

“Risks, uncertainties and impacts of the Covid-19 epidemic and the Russia-Ukraine conflict”

Among the main factors of uncertainty that could affect the future scenarios in which the Group will operate, the negative impact on the global and Italian economy directly or indirectly connected to the Covid-19 outbreak and, from Q1 2022 onwards, to the conflict between Russia and Ukraine must be considered. After the global recession of 2020, the recovery of the world economy that started in 2021, although in a differentiated manner across geographic areas due to pandemic measures and substantial sluggish demand, was interrupted by the start of the Russian-Ukrainian conflict at the end of February. This conflict and the sanctions imposed by the international community on the government, companies and economy of Russia, as well as the countermeasures implemented by the latter country, have led to a situation of high uncertainty on the macroeconomic level, exchange rates, energy and raw material costs, the cost of debt, inflationary expectations, and the cost of credit. Rising inflation, already triggered by the Covid 19 epidemic, led the central banks of major countries to adopt restrictive monetary policies, raising interest rates. In this context, uncertainties about the consequences of the war, especially with regard to indirect impacts, and the duration of the war make any valuation process extremely complex, as they, on the one hand, increase the risk of the economic environment in which business is carried out and, on the other, increase the risk of limited predictability of economic projections.

In order to assist the financial statement drafter in dealing with these uncertainties - consistent with the evolving health, economic and political environment - the standard setters and regulatory and supervisory authorities have provided a number of clarifications and recommendations on certain accounting issues related, firstly, to the impacts of Covid-19 and, subsequently, to the impacts of the Russia-Ukraine conflict, as outlined below.

*Main accounting documents issued in the context of Covid 19*

The extraordinary nature of the health crisis, which ended in March 2022, led the various European regulators, starting in March 2020, to issue a range of measures aimed at guaranteeing intermediaries flexibility in the management of this period of tension and at providing guidance and interpretations on how to apply the provisions of the international accounting standards in the context of Covid-19, also with the aim of avoiding the development of pro-cyclical effects, but at the same time ensuring correct and transparent disclosure and measurement of risks. In the above-mentioned documents, attention was also drawn to the need to provide up-to-date information on Covid-19-related risks that may have an impact on the economic-equity and financial situation, on any actions undertaken or planned to mitigate said risks and an indication of the potential impacts relevant to the estimate of future performance.

The following table provides a list of the main documents issued at the date of preparation of these Consolidated Financial Statements.

Authority/Type of document	Date	Title
International Accounting Standard Board (IASB)		
Statement	27/03/20	Accounting for expected credit losses applying IFRS 9 Financial instrument in the light of current uncertainty resulting from the covid-19 pandemic
Amendment	28/05/20	Covid-19 related rent concessions (endorsed with Regulation (EU) 2020/1434 of the European Commission of 9 October 2020)
European Central Bank (ECB)		
Communication	20/03/20	ECB Banking Supervisor provides further flexibility to banks in reaction to coronavirus
ECB Letter	01/04/20	IFRS 9 in the context of the coronavirus (Covid-19) pandemic
Communication	04/12/20	Identification and measurement of credit risk in the context of the coronavirus (COVID 19) pandemic
European Banking Authority (EBA)		
Statement	25/03/20	Statement on the application of the prudential framework regarding Default, Forbearance and IFRS 9 in the light of Covid-19 measures
Guidelines	02/04/20	Guidelines on legislative and non-legislative moratoria on loan repayment applied in the light of the Covid-19 crisis (EBA/GL/2020/02)
Guidelines	25/06/20	Guidelines amending Guidelines EBA/GL/2020/02 (EBA/GL/2020/08)
Communication	21/09/20	EBA phases out its Guidelines on legislative and non-legislative loan repayments moratoria
Guidelines	02/12/20	Guidelines amending Guidelines EBA/GL/2020/02 (EBA/GL/2020/15)
European Securities and Market Authority (ESMA)		
Advice	11/03/20	ESMA recommends action by financial market participant for Covid-19 impact
Statement	25/03/20	Accounting implication of the Covid-19 outbreak on the calculation of expected credit losses in accordance with IFRS 9
Public Statement	20/05/20	Implication of the Covid-19 outbreak on the half-yearly financial report
Public Statement	28/10/20	European common enforcement priorities for 2020 annual financial reports
Public Statement	29/10/21	European common enforcement priorities for 2021 annual financial reports
Advice	15/12/21	Report on the Application of the IFRS 7 and IFRS 9
Commissione Nazionale per la Società e la Borsa (CONSOB)		
Warning document	09/04/20	Covid-19 -Consob Warning on financial information
Warning document	16/07/20	Covid-19 -Consob Warning on financial information
Warning document	16/02/21	Covid-19 -Consob Warning on financial information
International Organization of Securities Commissions (IOSCO)		
Statement	03/04/20	IOSCO Statement on Application of Accounting Standards during the Covid-19 Outbreak

In this regard, it should be noted that in the financial year 2022 no further action was taken by the authorities and standard setters with regard to the considerations already formulated in the financial years 2020 and 2021, which still remain valid.



Main accounting documents issued in the context of the Russia-Ukraine conflict

Russia's invasion of Ukraine introduced a number of uncertainties in the outlook for the conduct of business, and increased the risk of having to make significant adjustments to the book value of assets and liabilities in the balance sheet. For this reason, the supervisory authorities (ESMA and Consob) took action in 2022 by providing some recommendations to be complied with for the purposes of disclosure in the Financial Statements.

Authority/Type of document	Date	Title
European Securities and Market Authority (ESMA)		
Statement	14/03/22	ESMA coordinates regulatory response to the war in Ukraine and its impact on EU financial markets (ESMA71-99-1864)
Statement	13/05/22	Implications of Russia's invasion of Ukraine on half-yearly financial reports (ESMA32-63-1277)
Public Statement	28/10/22	European common enforcement priorities for 2022 annual financial reports
Commissione Nazionale per la Società e la Borsa (CONSOB)		
Warning document	18/03/22	Warnings document to the impact of the war in Ukraine on insider information and financial reporting
Warning document	16/07/22	Conflict in Ukraine - Warnings on financial reporting and compliance with EU restrictive measures against Russia

The Public Statement of 28 October 2022, referring to what has already been indicated in the ESMA Statements of 13 May 2022 and 14 March 2022, reiterates the importance of making both qualitative and quantitative disclosures of the significant impacts, judgements elements and assumptions adopted in the recognition, measurement, presentation of assets, liabilities and related economic effects in the Financial Statements. In particular, ESMA emphasises the importance of i) specifying the current and expected impacts of the Russian invasion on the company's financial position, earnings and cash-flows as well as providing information on the main risks and uncertainties to which the entity is exposed and ii) assessing and reporting in the Financial Statements the impacts on macroeconomic scenarios arising from a context characterised by the aftermath of the pandemic, inflation, rising rates, deterioration of the climate crisis, geopolitical risks and uncertainties related to future developments.

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The following are the main points of attention considered in the evaluations or financial reporting as a result of the Covid-19 crisis and the Russia-Ukraine conflict.

Direct Exposures to Russia and Ukraine and Indirect Impacts

For the Group, the impacts directly related to the Russia-Ukraine conflict are marginal, taking into account that there are no operating activities located in Russia or Ukraine and that credit exposures to customers residing in the afore-mentioned countries or indirectly related to Russian or Ukrainian counterparties are insignificant. The above exposures consist entirely of loans and unsecured loans. In detail, gross direct exposures to Russian customers amount to EUR 10 mln, of which EUR 9 mln are backed by SACE, and have been prudentially classified as stage2. Indirect risk is also very limited, and refers to performance bonds issued to back the completion of projects that are nearly finished and export advances.

As regards the potential impacts deriving from rising inflation as well as the higher cost of raw materials, an analysis was conducted on the Group's main exposures impacted by said risks. This portfolio was the subject of specific management overlays, the details of which can be found in the section 2.3 "Methods to measure expected losses" of the Part E of these Notes to consolidated Financial Statements. As concerns the macroeconomic scenario, the macroeconomic forecasts updated to October 2022 show an increase in overall provisioning levels. Despite the worsening macroeconomic environment, there were no signs of deterioration on IFRS 9 risk parameters (PD/LGD/EAD); in fact, the default flow in 2022 was very low (about 1%).

With reference to other risks, exposures denominated in Russian currency are immaterial, and no negative change has been observed in the main liquidity indicators: LCR, NSFR, GAER.



Moratorium actions, their classification and other Covid-19 support measures

The financial year 2022 was characterised by the full re-establishment of ordinary lending processes with specific assessments of both forbore tagging and possible classification as unlikely to pay. In detail, the recovery had already taken place in 2021 with the gradual phase out of the EBA Guidelines on the “general payment moratoria” and was definitively completed as at 1 April 2022, following the end of the state of emergency, with the full return also in terms of solutions offered to the Group’s ordinary product catalogue.

With regard to the expiry of the moratoria pursuant to the “Cura Italia” Decree (Italian Law Decree 18/2020), it should be noted that the Italian Law Decree Sostegni bis (Law Decree 73/2021) extended the measures until 31 December 2021, subject to the customer’s request by 15 June 2021, while the Group identified 30 June 2022 as the deadline for granting additional moratorium measures falling within the scope of the measures granted to support households and businesses for COVID-19.

In light of the expiry of the term of the moratoria, as at 31 December 2022, the moratoria in place and granted due to the effect of the COVID-19 pandemic amounted to approximately EUR 81.5 mln. For a quantitative analysis of these moratoria, in terms of gross exposure, value adjustments (overall and pertaining to the financial period), transfer between stages, requests from the Bank of Italy in the previously mentioned Communication of 21 December 2021 entitled “Update of the additions to the provisions of Circular no. 262”, “Bank Financial Statements: layout and rules for preparation” regarding the impacts of COVID-19 and measures to support the economy”, please refer to the following tables:

- “4.4a Loans valued at amortised cost object of COVID-19 support measures: gross value and overall value adjustments” of “Section 4 - Financial assets valued at amortised cost”, contained in “Part B - Information on the consolidated balance sheet” of these Notes to the consolidated financial statements;
- “8.1a Net impairment (losses)/reversals for credit risk on loans measured at amortised cost object of COVID-19 support measures: breakdown” of “Section 8 - Net impairment (losses)/reversals for credit risk” included in “Part C – Information on the Consolidated Income Statement” of these Notes to the consolidated financial statements;
- “A.1.3a Loans subject to COVID-19 support measures: transfers between the different stages of credit risk (gross values)” and “A.1.5a Loans subject to COVID-19 support measures: gross and net values”, contained in the quantitative information in the section dedicated to credit risk of “Part E - Information on risks and hedging policies” of these Notes to the consolidated financial statements.

Reference is also made to the information provided by the “Guidelines on reporting and disclosure of exposures subject to measures applied in response to the COVID-19 crisis”, published by the EBA (EBA/GL/2020/07), contained in the document “Information to the public by the entities (Pillar III)” of the Montepaschi Group, available on the website www.mps.it

Macroeconomic Scenarios

On the macroeconomic scenario adopted in the models for the determination of Expected Credit Losses, it should be noted that since June 2020, the various authorities have provided guidance and references on the use of forecasts in the preparation of estimates of expected credit losses during this period characterised first by the COVID-19 pandemic and subsequently also by the Russia-Ukraine conflict. In the communication issued on 4 December 2020, the ECB had also made it clear that the levels of provisions should be correctly estimated using realistic assumptions and parameters that are appropriate to the current context. In this regard, it has recommended that significant institutions should i) continue to anchor the baseline IFRS 9 scenarios to the ECB forecasts in a non-biased manner; ii) not confine themselves to approaches based on the entire economic cycle (through-the-cycle) or long-term averages, but consider the use of reliable macroeconomic forecasts (where available) for specific years and iii) ensure that the integrations (overlays) follow the same direction as the macroeconomic scenarios on the basis of verifiable evidence.

On 15 December 2022, the ECB published the periodic update of the macroeconomic forecasts for the Eurozone prepared by its staff with the contribution of the individual national central banks. The outlook for the euro area deteriorated slightly, pointing to weaker growth and higher and more persistent inflation than anticipated in the ECB’s September expert macroeconomic projections.

In detail, the baseline scenario sees Eurozone GDP growth in 2022 at 3.4% compared to the 3.1% forecast in September, followed by a downward revision of expected growth in 2023 from 0.9% in September to 0.5%, growth of 1.9% in 2024, unchanged from September, and finally growth of 1.9% in 2025. Inflation continued to exceed expectations in the September forecasting financial period and spread across all components of the Harmonised



Index of Consumer Prices (HICP) despite the sharp decline in wholesale gas and electricity prices, weakening demand, easing supply-side bottlenecks and measures taken by governments to contain energy price increases. That index is expected to fall from an average of 8.4% in 2022 (8.1% in September) to 6.3% in 2023 (5.5% in September), and then to an average of 3.4% in 2024 (2.3% in September) and 2.3% in 2025.

In the least favourable scenario reflecting uncertainty about the economic outlook for the euro area due to energy supply fears, real GDP would stand at -0.6% in 2023, before rising to +0.2% in 2024 and +2.0% in 2025. The HICP index would show higher levels than those projected in the baseline scenario for the years 2023 and 2024 (7.4% and 3.6%, respectively), and then lower than the same in 2025 (2.0%).

The specific scenario relating to Italy, included in the basic scenario of the ECB projections, was released by the Bank of Italy in the document “Macroeconomic projections for the Italian economy” published on 16 December 2022, in which, compared to the scenario published in the October Economic Bulletin, Italy’s GDP growth is expected to be higher in 2022, at 3.8% compared to the 3.3% forecast in July, a downward revision in 2023, at 0.4% compared to the 0.3% forecast in July, a slight decrease in growth in 2024, at 1.2% compared to 1.4% in July, and 1.2% in 2025. Consumer inflation, at 8.8% on average for 2022 (+8.5% in the October bulletin), would decrease to 7.3% (+6.5% in the October bulletin) in 2023, to 2.6% in 2024 (+2.3% in the October bulletin) and to 1.9% in 2025. In an adverse scenario, GDP would stand at -1% in both 2023 and 2024 and remain little more than stagnant in the following year. Consumer inflation would rise further, approaching 11% in 2023, and then decline gradually to 2.0% in 2025.

Finally, it should be noted that in its Economic Bulletin of 20 January 2023, the Bank of Italy updated the aforementioned projections, estimating a slight increase for 2022 (4.0%, up by 0.2 percentage points), slightly lower growth for 2023 (equal to 0.6%, down by 0.2 percentage points) against an unchanged growth rate for the following two years (1.2%). On the consumer inflation front, we estimate a slight decrease in 2022 to 8.7% (down by 0.1 percentage points) before falling in 2023 (6.5%, down by 0.8 percentage points), more sharply in 2024 to 2.6% and 2.0% in 2025.

Macroeconomic scenario of the Group for the valuation of receivables in the 2022 Financial Statements

In December 2022, the Group approved a set of forecast macroeconomic scenarios for the 2022-2026 period developed internally, taking also as reference the forecasts developed by external providers. These scenarios, used in the context of the ordinary annual planning process and the calculation of impairment losses on performing and non-performing loans as at 31 December 2022, forecast an overall slowdown in the expansionary cycle in the short term, in a context of increased uncertainty, a gradual recomposition of inflationary pressures and a rise in monetary policy rates.

In detail, the baseline scenario assumes Italian GDP growth at 3.4% in 2022 (achieved thanks to a better-than-expected domestic economic performance, particularly in the first half of the year) and a subsequent sharp economic slowdown that takes into account the repercussions of the energy crisis. Despite short-term fluctuations, gas prices are expected to remain tight in the medium term. Assuming that Europe’s supply diversification policies do not guarantee full results before spring 2024, a decisive rebalancing of price pressures towards inflation targets is only to be expected by then. Against a backdrop of conflict-related uncertainty, persistent inflationary pressures and a restrictive monetary policy reaction, the domestic GDP is therefore expected to shrink in the winter months between 2022 and 2023, and average annual growth is expected to stagnate substantially in 2023 (GDP+0.1%). Thereafter, breaking free from dependence on Russian supplies, domestic growth is expected to recover at a pace that may turn out to be slightly lower than before the outbreak of the energy crisis (GDP 2024: +1%). This scenario is dependent on the assumptions underlying the forecast. The updated scenario assumes the continuation of the war with alternating phases of intensity - but without further escalation - high inflation, coexistence with the virus and a more politically fragmented European context. The increased complexity of the scenario slows down and depresses, to some extent, the additional impact of the programmes related to the NRRP both compared to the targets and to previous forecasts. In addition to the baseline scenario, in light of the objective uncertainty regarding the evolution of the economic context and the prescriptions of the Regulators, further alternative scenarios have been outlined.

The alternative extreme worst-case scenario (extreme worst) assumes that the conflict will escalate, affecting even more global growth. Russian supplies are expected to come to a halt, making rationing and energy-saving measures in Europe necessary; commodity prices are thus expected to rise until early 2024. Tightening central banks, stagflation in the US, political fragmentation in Europe and zero-Covid policy in China are expected to further depress the global business cycle. The private sector is expected to face a sharp deterioration in its financial position. In this context, Italy could experience a serious recession between the end of 2022 and the beginning of 2023



characterised by a sharp rise in the spread, the weakening of the NRRP, the deterioration of the labour market, and where the high public debt becomes structural.

The most severe alternative scenario (severe but plausible) predicts a slowdown in the global recovery. The war is expected to continue without severe escalation, but plans to reduce Russian gas supply may face some difficulties; as a result, critical issues along supply chains and tensions in the energy market are expected to continue, contributing to inflation persisting at high levels for longer than in the baseline scenario. Central banks are expected to maintain the restrictive stance of monetary policy. In such a context, Italy is expected to pay for the uncertainty over the timeframe for exiting the energy crisis; greater political instability could slow down the implementation of the NRRP; the BTP10Y-Bund spread is expected to rise and public debt over GDP to remain at levels above 150% from 2023.

The updating of the macroeconomic scenarios led to greater adjustments on the cost of credit for the Group for a total of EUR 19.4 mln.

For information on the performance of macroeconomic variables in the scenarios described above, please refer to “Part E - Information on risks and hedging policies, section 1.1 Credit risk, paragraph 2.3 Methods for measuring expected losses” of these Notes to the Financial Statements.

The table below shows, by way of example, the scenario updates made by the Group in December 2022 on the GDP indicator with the relative comparison with the baseline scenario published by the Bank of Italy respectively in July and December 2022 and January 2023 and with that used for the 2021 Financial Statements. The table also shows the composition of the alternative scenarios used by the Group as updated for the December 2022 accounting period, in comparison with the scenarios in production last financial year.

	Dec - 2021			July - 22	Dec - 22	Jan - 23		Dec - 22		
	GMPS	GMPS	GMPS	Bank of Italy	Bank of Italy	Bank of Italy		GMPS	GMPS	GMPS
	Baseline	Severe but plausible	Extreme worst	Baseline	Baseline	Baseline		Baseline	Severe but plausible	Extreme worst
2022	3.83%	2.40%	0.60%	3.20%	3.80%	4.00%		3.41%	3.34%	3.12%
2023	2.79%	1.90%	0.80%	1.30%	0.40%	0.60%		0.10%	-0.91%	-2.53%
2024	1.97%	1.50%	0.50%	1.70%	1.20%	1.20%		1.01%	0.48%	0.02%
2025	n.a.	n.a.	n.a.	n.a.	1.20%	1.20%		1.41%	1.02%	0.71%

Note that the baseline scenario used by the Group in 2022 has always been in line, if not more conservative, with the forecasts provided by the Bank of Italy.

SICR and ECL calculation

The various authorities emphasised the importance of assessing whether the deterioration of the economic environment caused by the Covid-19 pandemic and the Russia-Ukraine conflict did not lead to a significant increase in credit risk (SICR) and/or impact on the measurement of expected credit losses (ECL) taking into account forward-looking information.

On 27 March 2020, the IASB, while being aware of the difficulty of the exercise to estimate expected losses in a scenario of uncertainty, reiterated the need to consider historical, current and prospective information and admitted the possibility of resorting to post-model managerial adjustments (“post-model overlay or adjustment”), if the models are not able to fully reflect the effects of the crisis, and related government support measures.

Therefore, on the basis of the current macroeconomic context, during the 2022 financial year on the IFRS 9 valuation process, the Group maintained, and appropriately integrated and updated, the so-called “management overlays” already in place at 31 December 2021, aimed at including ad hoc adjustments in order to take into account potential forward-looking deteriorations in credit risk which may not be adequately captured by the modelling in use and to better reflect the specific impacts of COVID-19, the Russian conflict in Ukraine and the potential emerging economic and financial risks in credit assessments. Overall, the management overlays used for valuations as at 31 December 2022, resulted in additional adjustments on the cost of credit for approximately EUR 108.4 mln (approximately EUR 130 mln as at 31 December 2021) and higher exposures classified in stage 2 for approximately EUR 84.1 mln (EUR 1.6 bn as at 31 December 2021). For an examination of the composition of the *management overlays* and the dynamics compared to the previous financial year, please refer to paragraph 2.3 “Methods for measuring expected losses” contained in Part E of these Notes to the Financial Statements.

*Inclusion of government guarantees*

Finally, with regard to the treatment of government guarantees, it should be noted that, in accordance with the guidance of the Authorities, these did not impact the calculation of the SICR - since the latter does not depend on the guarantees, but on the creditworthiness, which remains specific to the counterparty; they have instead affected the estimate of the ECL, through the use of an LGD parameter that takes into account the government mitigation measures, introduced and expanded with the “Cura Italia” and “Liquidità” decrees. This approach derives from the assessment carried out on the characteristics of the guarantees that allow them to be considered as an integral part of the contract pursuant to IFRS 9.

For further information on the assumptions and hypotheses used in the estimation, as well as for more details on the sectoral impacts of the above-mentioned overlays, and for the sensitivity analysis with respect to alternative scenarios, please refer to “Part E - Information on risks and hedging policies, section 2 - Risks of the prudential consolidation, 1.1 Credit risk, paragraph 2.3 Methods for measuring expected losses” in these Notes to the Financial Statements.

Amendment to IFRS 16 accounting standard

As regards to the concessions as a lessee, the Group has applied until 30 June 2022 the exemption introduced by the IASB “COVID-19-Related Rent Concessions - Proposed amendment to IFRS 16” to the valuation of the rent concessions obtained in consequence of the pandemic. The exemption applies to a lease agreement of the Parent Company that has not been subject to any material change in further terms or conditions. The expedient is not a significant case for the Group.

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Disclosure on public funding pursuant to art. 1, paragraph 125 of Italian Law no. 124 dated 4 August 2017 (“Annual Law for the Market and Competition”)

Note that, at the reporting date of these Financial Statements, the contributions collected by the Group for 2022 in relation to the training classes offered, are publicly available in the “Individual Aid” Transparency section of the National State Aid Register, mainly for the training activity provided, for a total amount of EUR 3.2 mln. It should be noted that, in line with the law provisions, economic benefits below the threshold of EUR 10,000 are not reported (the threshold is referred to a total amount received by the Parent Company or each Group subsidiary from the same authority in the 2022 financial year, in a single transaction or in a multiple transactions).

For details, please refer to the following link: https://www.rna.gov.it/sites/PortaleRNA/it_IT/trasparenza

It is to be noted that the subsidiary MPS TENIMENTI POGGIO BONELLI E CHIGI SARACINI Società Agricola S.p.A. has received EUR 0.2 mln in 2022 as subsidies, grants and bonuses to support agricultural production in the European Union countries.



A.3 Information on portfolio transfers

The tables on transfers between portfolios of financial assets were not created, since in the 2022 financial year, as in previous years, the Group did not carry out any reclassification transactions following the change in the Business Model, that is to say of the procedures used by the Group to manage financial instruments.

A.4 – Information on fair value

Qualitative information

IFRS 13, which harmonises fair value measurement rules and the related disclosure, defines fair value as the price that would be received for the sale of an asset or that would be paid for the transfer of a liability in a regular transaction between market operators operating on a going concern basis (that is, not in a forced liquidation or a sale below cost) at the conditions observed at the valuation date in the main market or most advantageous market (exit price). The Group must measure the fair value of an asset or liability by adopting the assumptions that market participants would use in determining the price of the asset or liability, assuming that they act to best meet their economic interests.

For the purposes of measuring assets and liabilities at fair value, IFRS 13 defines a threefold fair value hierarchy that reflects the reliability of the inputs used in making the measurements. The methods for classifying financial instruments in the three-level fair value hierarchy are shown below.

Level 1

This level shall include financial instruments measured using unadjusted quoted prices in active markets for identical instruments.

IFRS 13 defines an active market as a market in which transactions take place with sufficient frequency and volume to provide information on an ongoing basis. A financial instrument is quoted in a financial market when:

- the quoted prices are readily and regularly available from a stock exchange list, or through a dealer, broker, industry group, pricing service, authorised body or regulatory agency;
- the quoted prices represent actual and regularly occurring market transactions on an arm's length basis.

If the quoted prices meet these criteria, they represent the best estimation of fair value and must be used to measure the financial instrument.

From the definition of active market set out in IFRS 13, it is inferred that the active market concept is particular to the individual financial instrument being measured and not to the market on which it is listed; the fact that a financial instrument is quoted in a regulated market is therefore not in itself sufficient for the aforementioned instrument to be defined as listed in an active market. Conversely, a financial instrument that is not traded in a regulated market may present sufficient frequency and volumes for it to be classified in level 1 of the fair value hierarchy.

Levels 2 and 3

Financial instruments not listed in an active market must be classified in level 2 or 3.

Classification in level 2 rather than level 3 is determined on the basis of market observability of the significant inputs used to determine fair value. A financial instrument must be fully classified in a single level; if inputs belonging to different levels are used for the purpose of measuring an instrument, the aforementioned instrument is classified based on the lowest level of input that is significant to the fair value measurement.

An instrument is classified in level 2 if all significant inputs are directly or indirectly observable on the market. An input is observable if it reflects the same assumptions used by market participants, based on independent market data.

Level 2 inputs are as follows:

- a) quoted prices on active markets for similar assets or liabilities;
- b) quoted prices for the instrument in question or for similar instruments on non-active markets, i.e. markets where:
 - there are few transactions;
 - the prices are not current or they vary substantially over time and between the different market makers or
 - little information is made public;



- c) observable market inputs other than quoted prices (e.g. interest rates or yield curves observable in different buckets, volatility, credit curves, etc.);
- d) inputs that derive primarily from observable market data, the reporting of which is confirmed by parameters such as correlation.

A financial instrument is classified in level 3 if the measurement techniques adopted use non-observable market inputs and their contribution to estimating fair value is deemed significant.

All financial instruments not listed in active markets are classified in level 3 where:

- despite having observable data available, significant adjustments based on non-observable data are required;
- the estimate is based on internal assumptions on future cash flows and risk adjustment of the discount curve.

For financial instruments, measured at fair value in the financial statements, the Group has adopted a “Fair Value Policy” that assigns the highest priority to prices listed on active markets (level 1) and the lowest priority to the use of non-observable inputs (level 3), as they are more discretionary, in line with the fair value hierarchy represented above. In detail, this policy defines:

- the rules for identifying market data, the selection/hierarchy of information sources and the price configurations to value the financial instruments contributed on active markets and classified under level 1 of the fair value hierarchy (“Mark to Market Approach”);
- valuation techniques and related input parameters in all cases in which the “Mark to Market approach” cannot be used, and it is therefore necessary to apply the “Market to Model approach”.

Classification in level 2 rather than level 3 is determined on the basis of market observability of the significant inputs used to determine fair value. A financial instrument must be classified in its entirety in a single level; therefore, if inputs belonging to different levels are used in the valuation technique, the entire valuation must be classified in correspondence with the level of the hierarchy in which the lowest level input is classified, if it is considered significant for the determination of the fair value as a whole.

The following types of investments are normally considered as level 2:

- equities not listed on active markets, valued using the market multiples technique, or valued on the basis of actual transactions;
- OTC derivative financial instruments whose fair value is obtained through the use of pricing models that estimate the probability that a specific event will occur by incorporating assumptions such as the volatility of the estimates, the price of the underlying instrument and the expected rate of return;
- hedge funds and private equity funds characterized by high levels of transparency and liquidity, valued on the basis of the NAV provided by the management company/fund administrator;
- third-party debt securities or own issue not listed on active markets whose inputs, including credit spreads, are obtained from market sources.

The following financial instruments are generally considered level 3:

- hedge funds characterized by low levels of liquidity, when the valuation / disinvestment of their assets is believed to require a series of assumptions and estimates to a significant extent. The fair value measurement is carried out on the basis of the adjusted NAV to take into account the low liquidity of the investment;
- Alternative investment funds for which the discounted cash flow is used;
- private equity and real estate funds valued on the basis of the last available NAV, adjusted if necessary to take into account events not included in the valuation of the unit or to reflect a different valuation of the assets underlying the fund;
- equity securities for which no recent or comparable transactions can be observed, and valued on the basis of the equity or income model;
- debt securities, ABS and derivative transactions characterized by complex financial structures for which publicly unavailable sources are generally used;
- debt securities issued by parties in financial difficulty for which the “recovery rate” must be estimated;
- (performing and non-performing) medium/long-term loans valued on the basis of expected cash flows estimated with different models depending on the status of the counterparty and discounted using a market interest rate.



A.4.1. Fair value levels 2 and 3: measurement techniques and inputs used

The following tables show, respectively, for Level 2 and 3 financial instruments, the accounting portfolio, a summary of the types of instruments in use at the Group, and evidence of the related valuation techniques and the inputs used.

Item	Fair value level 2							Type	Valuation technique	Inputs used
	Financial assets held for trading	Other financial assets mandatorily measured at fair value	Financial asset measured at fair value through other comprehensive income	Hedging derivatives	Financial liabilities held for trading	Financial liabilities designated at fair value	Hedging derivatives			
Debt securities	432,516	2,514	519,157	X		97,027	X	Bonds	Discounted Cash Flow	Interest rate curve, CDS curve, (yield) basis, Inflation Curves
								Structured bonds	Discounted Cash Flow	Interest rate curve, CDS curve, (yield) basis, Inflation Curves + inputs necessary to measure optional component
								Notes	Discounted Cash Flow	Interest rate curve, CDS curve, (yield) basis,
								Notes	Market price	Market price
Equity investments	719	1	30,955	X	X	X	X	Share/equity instruments	Market price	Market price, recent transactions, appraisals, manager reports
								Equity instruments	Discounted cash flow	Share price, beta sector, free risk rate
								Equity instruments	Net asset adjusted	Carrying Amount Assets/Liabilities
Units of UCITS		53,179	X	X	X	X	X	Funds/PE	Nav Investor report	Manager reports, data sheet assets held in portfolio
Financial Derivatives	2,314,411	X	X	1,077,095	1,274,530	X	301,568	IR/Asset/Currency Swaps	Discounted Cash Flow	Interest rate curve, CDS curve, (yield) basis, Inflation Curves, foreign exchange rates, Rate correlation
								Equity swaps	Discounted Cash Flow	Share price, interest rate curve, Foreign exchange rate
								Forex Singlename Plain	Option Pricing Model	Interest rate curve, Foreign exchange rate, Forex volatility
								Forex Singlename Exotic	Option Pricing Model	Interest rate curve, Foreign exchange rate, Forex volatility (Surface)
								Equity Singlename Plain	Option Pricing Model	Interest rate curve, Share price, Foreign exchange rate, Equity volatility
								Equity Singlename Exotic	Option Pricing Model	Interest rate curve, Share price, Foreign exchange rate, Equity volatility (surface), Parameters Models
								Equity Multiname Plain	Option Pricing Model	Interest rate curve, Share price, Foreign exchange rate, Equity volatility, Quanto correlation, Equity/Equity correlation
								Equity Multiname Exotic	Option Pricing Model	Interest rate curve, Share price, Foreign exchange rate, Equity volatility (Surface), Parameters models, Quanto correlation, Equity/Equity correlation
								Plain Rate	Option Pricing Model	Interest rate curves, Inflation curves, bonds price, Foreign exchange rates, Rate volatility, Rate correlations
Credit Derivatives		X	X		142,772	X		Spot-Forward	Market price*	Market price, Swap Point
								Default swaps	Discounted Cash Flow	CDS curves, Interest rate curves
Total Assets	2,747,646	55,694	550,112	1,077,095	X	X	X			
Total liabilities	X	X	X	X	1,417,302	97,027	301,568			

prices for identical financial instruments listed in non-active markets (IFRS 13 par. 82 lett. b)



item	Fair value Level 3 31 12 2022			Type	Valuation technique(s)	Non observable Inputs	Range (weighted average))
	Other financial assets mandatorily measured at fair value	Financial assets measured at fair value through other comprehensive income	Financial liabilities held for trading				
Debt securities	110,901	0	0	Notes	Discounted Cash Flow	Discount rate	8.36%- 11.41%
				Participating financial instruments	Credit Model	Fair value asset	0-17.9 €/mln
				Equity instruments	External Pricing	Fair value asset	0.3 €/mln
Equity instruments	1,840	223,733	X	Investments	Discounted Cash Flow	Liquidity base/Equity Risk Premium/Beta	20%/8%/0.4
				Investments	Cost/Net equity	Fair value asset	0-12.3 €/mln
				Closed-end Fund	External Pricing	Fair value assets	8.4 €/mln
Units of UCITS	146,212	X	X	Real estate closed-end Fund	Discounted Cash Flow	Discount rate	10%
				Alternative Investment Fund	Discounted Cash Flow	Discount rate	8.36%- 11.41%
				Loans	Discounted Cash Flow	NPE spread	1.92% - 1.92%
Loans	142,534	0		Loans	Discounted Cash Flow	LGD	0.21% / 55.28%
				Loans	Discounted Cash Flow	PD	0.09% / 22.12%
				Loans	Discounted Cash Flow	PE spread	0.01% / 1.57%
Financial Derivatives	X	X	4,031	IR/Asset/Currency Swaps	Discounted Cash Flow	Surrender Rate	No dynamics/stochastic volatility
Total assets	401,487	223,733	X				
Total liabilities	X	X	4,031				

The techniques and parameters for calculating the fair value, as well as the criteria for assigning the fair value hierarchy, are defined and formalized in the aforementioned “Fair value policy” adopted by the Group. The reliability of fair value measurements is also ensured by the verification activities carried out by a Risk Management structure, independent of the Front Office units that hold the positions, which periodically reviews the list of pricing models to be used for the purposes of the Fair Value Policy. These models must represent market standards or best practices and the related calibration techniques must guarantee a result in line with valuations able to reflect “current market conditions”. Specifically, to correctly determine the fair value, for each product a pricing model is associated, generally accepted by the market and selected on the basis of the characteristics and market variables underlying the product. With particularly complex products or if the existing valuation model for products in use is deemed to be lacking or inadequate, an internal process is activated to supplement the current models. On the basis of this process, the Risk Management department carries out a first validation of the pricing models, which may be native to the Position Keeping system or be issued by a specific internal unit; this is followed by a stage in which the same unit ensures the reliability of the previously validated model.

In detail, the validation activity, carried out on a range of instruments identified above certain materiality thresholds, is aimed at verifying the theoretical robustness of the model, through an independent repricing of the price, a possible calibration of the parameters and a comparison with the prices of the counterparties.

Following the validation stage, an ongoing review is carried out to confirm the accuracy and alignment to the market of the pricing models used by the Group, and appropriate changes are made, if necessary, to the models and the related underlying theoretical assumptions. To take into account the risk that the pricing models, even if validated, may generate fair value values that are not directly comparable with market prices, an adjustment is made for “Model risk”, as described below.



Financial assets and liabilities measured at fair value on a recurring basis

Financial assets and liabilities measured at fair value on a recurring basis are represented by all financial instruments measured in the financial statements on the basis of the fair value criterion (items 20, 30, 50 of the balance sheet assets and items 20, 30, 40 of liabilities in the balance sheet). For these financial instruments, in the absence of directly observable prices on active markets, it is necessary to determine a fair value on the basis of the valuation approach described in the previous paragraph. The main valuation techniques adopted for each type of financial instrument are illustrated below.

Debt securities

The valuation of non-contributed securities (i.e. securities without official prices expressed by an active market) is carried out through the use of an appropriate credit spread, identified starting from contributed and liquid financial instruments with similar characteristics. The sources from which to draw this measure are as follows:

- contributed and liquid debt securities of the same issuer;
- credit default swap on the same reference entity;
- contributed and liquid securities issued by an issuer with the same rating and belonging to the same sector. In any case, the different seniority of the security to be priced in relation to the issuer's debt structure is taken into account.

Furthermore, for bonds not quoted on active markets, to take into account the higher premium requested by the market compared to a similar contributed security, an additional component, estimated on the basis of the bid/ask spread, is added to the "fair" credit spreads observed on the market.

Loans that do not pass the SPPI test

These are loans measured at fair value as per mandatory requirements as the contractual cash flows do not exclusively provide for the repayment of principal and payment of interest on the principal to be repaid (i.e., they do not pass the "SPPI test"), either by virtue of clauses originally envisaged in the contract or following subsequent amendments. The fair value is valued with the Discounted Cash Flow approach, which is applied in a different way depending on whether the loans are performing/non-performing:

- for performing loans, the fair value is determined on the basis of cash flows, appropriately adjusted for expected losses, based on the unobservable parameters PD and LGD. These flows are then discounted on the basis of a market interest rate, adjusted to take into account a premium deemed to express the risks and uncertainties. In the presence of implicit option components, which, for example, provide for the option of changing the interest rate, the fair value also takes into account the value of said components;
- for non-performing loans, the measurement of the fair value is based on directly or indirectly observable market parameters, which refer to risk factors found in the disposal of NPLs in order to obtain a market price, representative of the uncertainty of the collection process. In particular, cash flow forecasts are expressed by the analytical repayment plans that represent the information on the estimated loss rate on the position. The collection flows estimated in this way are discounted using a discount factor that is constructed starting from a spread representing the uncertainty of the collection process (unexpected loss) and any other residual risk; the discount rate is then calculated by adding this spread to the risk-free interest rate curve, without taking into account the contractual rate.

Unlisted equities

They are valued with reference to direct transactions on the same security or on similar securities observed over a period of time with respect to the valuation date, using the market multiples method of comparable companies and subordinate to financial, income and equity valuation methods.

Investments in UCITS

They are, as a rule, valued on the basis of NAVs or expected flows and/or business plans made available by the fund administrator or management company. If the NAV does not represent fair value, from the perspective of a market participant, the Group adopts certain adjustments/hairecuts. These typically include private equity funds, alternative investment funds among which funds investing in non-performing loans, real estate funds, hedge funds.

In the specific case of alternative investment funds that invest in NPE loans, the Bank has estimated the unit value as the sum of the present values of the expected fund distributions (Discounted Cash Flows). The inputs used are as follows:



- cash flows related to net distributions to investors envisaged in the business plans/management accounts of their respective operations;
- discount rate between 8.36% and 11.41%, depending on the capital structure and the additional premium for the risk of each transaction.

Credit structured products

With reference to ABS (asset backed securities), when significant prices are not available, valuation techniques are used that take into account parameters that can be inferred from an active market (level 2 inputs) or must be estimated, if unobservable (level 3 inputs, if significant). In the first case, the cash flows are acquired from info providers or specialized platforms; the spreads are derived from the prices available on the market /info provider, analysing the performance of the underlying assets on the basis of the investor reports. If they are not available, the Group uses valuation techniques aimed at recreating the contractual waterfall of the securitisations in order to estimate the potential recoveries of the outstanding notes

Over the counter (OTC) derivatives

Interest rate, exchange rate, equity, inflation, commodity and credit derivatives, where not traded on regulated markets, are Over-The-Counter (OTC) instruments, i.e. traded bilaterally with market counterparties. Their valuation is carried out using appropriate valuation models, fed by input parameters (such as, for example, interest rate, exchange rate and volatility curves) observed on the market and subject to the monitoring processes described in the “Group Fair Value Policy”.

These models estimate the probability that a specific event will occur by incorporating assumptions such as the volatility of the estimates, the price of the underlying instrument and the expected rate of return.

In addition, for the purpose of measuring fair value, the aforementioned “Group Fair Value Policy” envisages that some “fair value adjustments” be considered with the objective of best reflecting the realization price of an actually possible market transaction. In particular, this relates to model risk, liquidity risk and counterparty risk set out below.

Model risk: this adjustment is made in order to face the risk that the pricing models, even if validated, may generate fair value values that are not directly observable or not immediately comparable with market prices. This is the case of pricing algorithms or types of pay-off that are not adequately widespread on the market or in the presence of models particularly sensitive to variables that are difficult to observe on the market.

Liquidity risk: this adjustment is made to take into account the extent of the “bid/ask spread”, i.e. the actual cost of disposing of a position in financial instruments in inefficient markets. The correction for the liquidity risk is greater for more structured products, due to the related hedging/disposal costs, and for valuation models that are not sufficiently established and of widespread use among operators, since this makes the valuations more uncertain.

Counterparty risk: adjustments to the market value of OTC derivatives, classified as “performing”, are made in order to reflect:

- the risk of possible counterparty default - Credit Valuation Adjustment (CVA);
- the risk of non-fulfilment of the issuer’s contractual obligations towards a counterparty (“own credit risk”) - Debt Valuation Adjustment (DVA).

These corrections were estimated for all OTC derivative positions with non-collateralised institutional and retail counterparties. The methodology is based on the calculation of expected operational loss linked to counterparty rating and estimated on a position’s duration. The exposure includes future credit variations represented by add-ons. Market-consistent probability measurements are employed in the calculation of CVAs in order to gauge market expectations resulting from CDS prices without, however, losing the historical information available within the Group. The impact of the CVA as at 31 December 2022 amounted to EUR -5.1 mln.

The Group calculates the value adjustment of OTC derivatives in a mirror image fashion and on the same perimeter to take into account its creditworthiness, Debit Value Adjustment (DVA). As at 31 December 2022, the DVA amounts to a total of EUR 29.8 mln.



Financial assets measured at fair value on a non-recurring basis

Financial assets and liabilities measured at amortised cost in the financial statements

For financial assets and liabilities recognised in the financial statements at amortised cost, classified, in the accounting categories of “Financial assets measured at amortised cost” (loans to banks and customers) and “Financial liabilities measured at amortised cost” (deposits from banks and customers and debt securities issued), the calculation of the fair value is relevant for information purposes only, in line with the provisions of the reference accounting standard IFRS 7. The criteria to calculate the fair value of performing and non-performing loans to banks and customers are the same adopted for the fair value valuation on a recurring basis of the loans that do not pass the SPPI test, to which reference is made. Exceptions to this rule are loans to central banks included in the “Loans to banks” portfolio for which the book value is considered a good approximation of the fair value as allowed by accounting standard IFRS 7, and is classified in level 2 of the fair value hierarchy. The same methodology and classification are used for the “Deposits from banks” and “Deposits from customers” portfolios.

For debt securities classified in the “Loans to banks or customers” or “Debt securities issued” portfolio, the fair value was determined through the use of prices contributed on active markets or through the use of valuation models, such as described in the paragraph “Assets and liabilities measured at fair value on a recurring basis” above.

With reference to the classification of loans to customers and banks within the fair value hierarchy, it should be noted that customers are classified in level 3 and banks in level 2, except in the case of non-performing exposures.

Non-financial assets measured at fair value on a recurring basis

For the Group, non-financial assets measured at fair value on a recurring basis consist of its owned real estate assets.

Fair value of owned real estate assets

The Group applies the method of re-determination of value for the measurement of property assets used in the business pursuant to IAS 16 and of the fair value for investment properties pursuant to IAS 40, for measurement subsequent to the initial recognition.

Real estate valuation methodology

The revaluation method requires that the assets used in the business, whose fair value can be reliably measured, are recognised at a restated value, equal to their fair value at the date of the revaluation of value, net of depreciation and any losses for accumulated impairment.

For properties held for investment purposes, the Group has chosen the fair value measurement method, according to which, after initial recognition, all investment properties are measured at fair value.

The fair value of the properties, whether used in the business or held for investment purposes, is determined through the use of specific appraisals prepared by independent qualified companies operating in the specific sector able to provide property valuations on the basis of the RICS Valuation standards. These standards ensure that:

- the fair value is determined consistently with the indications of international accounting standard IFRS 13, that is it reflects the estimated amount for which an asset or liability is sold or purchased, on the valuation date, by a seller and a buyer both willing, and not linked by a special relationship, at competitive conditions, after proper marketing and where the parties had each acted knowledgeably, prudently and without compulsion;
- the experts have professional, ethical and independence requirements in line with the provisions of international and European standards.

For properties of a significant value, i.e. with a book value of more than EUR 8 mln, the appraisals are carried out in “full” mode, i.e. with an inspection of the property as well as a detailed analysis of the available documentation. For the remaining properties it is however possible to make use of “desktop” appraisals, which are carried out without onsite inspection, only by reviewing the documentation. The Group has decided to carry out “full” appraisals on at least 50% of the overall book value of the properties.

The valuation methodologies applied by the appraiser are aligned with international IVS (International Valuation Standards) practices and with what is set forth in the Red Book of the Royal Institute of Chartered Surveyors (RICS). They refer to the following situations:



- Discounted cash flow (DCF) method;
- Market comparison approach (MCA);
- Transformation method with DCF analysis.

The discounted cash flow method is based on the net cash flows that can be generated within a period of time and is the best estimation approach to adequately represent the market value of assets likely to be acquired as properties, both for direct use (instrumental use), and for investment purposes, as a source of ongoing income from rents. The assumption underlying the cash flow approach is that a rational buyer is not willing to pay to buy the asset a price higher than the current value of the economic benefits that the asset will provide in the future. The value of the asset, therefore, is a function of the economic benefits that will be generated by it. The Market Value is calculated as the sum of the discounted net revenues and the discounted net sales value at the valuation date. The net revenues are calculated based on the gross revenues less the operating costs related to the property. The gross revenues are calculated by indexing the rents received for the leased portions, or the market rents for the vacant portions, considering for the calculation of the DCF a time period between 10 and 20 years according to the intended use of the property and the residual duration of outstanding lease contracts. The net sales value is obtained by capitalising in perpetuity the operating income for the last period of the DCF using a capitalization rate (Cap Rate) in line with average market yields, from which the sales commission is then deducted. After finding the annual net revenues and the net sales value, the discounted values at the beginning of the first period are calculated by using an appropriate discount rate, suitable for each individual property. The main input data are: i) revenues (contractual rents, market rents); ii) vacancy and take up period, contractual step-ups, etc.; iii) costs (administration, property tax, insurance premium, tenant improvements, lease and sales commission, etc.) and iv) interest rates (WACC, exit cap rate).

The market comparison approach provides an estimate of the value of the asset through the comparison with properties recently sold or currently on sale on the market that are comparable in terms of type, construction and location. The value of the property is therefore found by taking into account the sale prices or rents obtained from an in-depth market survey, and then making specific adjustments as deemed appropriate given the intrinsic and extrinsic characteristics of the property in question, as well as any other factor deemed relevant. The market comparison approach is usually recommended for residential properties for which it is easy to find transactions on comparable assets.

The transformation method with DCF analysis is used in the case of assets that can be transformed or are already being transformed. The value is given by the difference between the most likely market value of the transformed asset and the sum of all the most likely costs of the factors involved in the transformation of the asset itself. The transformation method is often used to express an opinion on the economic benefit of initiatives to renovate existing assets, but it can also be used for an appraisal aimed at providing an estimate value valid for the majority of market operators. This estimation method is based on the discounting, at the valuation date, of the cash flows generated by the real estate transaction over a time period corresponding to its duration, converting the cash flows allocated at the time of their generation into the Net Present Value (NPV) of the real estate transaction through a financial discounting procedure. The model simulates the assumptions of a typical investor, which aims at receiving a satisfactory economic return on the investment. In particular, the model is articulated in a cash flow scheme with income (revenues) and expenses (costs) relating to the real estate transformation project. Expenses include costs for construction, demolition, urbanisation, design, site management and other costs; the income includes sales made for each sector of intended use (residential, industrial, workshops, sales, tertiary and services). The financial model does not consider VAT and other taxes. The main input data are i) the revenues generated from the sale of buildings built or renovated; ii) the costs (construction costs, urbanisation costs, planning and site management costs, sales commissions, etc., and iii) interest rates (WACC).

The valuation approach is defined considering for each property:

- the breakdown in terms of property unit;
- the current intended use of each property, assuming this represents the highest and best use, and considering alternative uses of the properties where this corresponds to market expectations;
- the nature of the property, whether for business use, investment use, mixed.

Depending on the intended use, the occupation status and the nature of the asset, the valuation method deemed most appropriate by the appraiser is applied for each property unit and the value is divided between business use and investment portions.



The properties are valued individually at the level of the single property without considering any discount or premium that can be negotiated in a commercial negotiation phase if all, or part of the portfolio, is sold en bloc, both by lots and entirely.

The valuation of the properties is significantly based on estimates that are characterised in nature by elements of judgement and subjectivity, the Group's entire property assets are classified at level 3 in the fair value hierarchy.

Valuation frequency

For investment property it is necessary to recalculate the fair value on an annual basis in accordance with IAS 40. For property for business use, IAS 16 provides that value re-determinations must be carried out regularly in order to ensure that the book value does not differ significantly from the fair value at the reporting date.

The recalculation frequency is linked to the fluctuations in the fair value of the assets subject to revaluation. In this regard, on the basis of the trend recorded by the markets, the Group has decided to carry out the revaluation every two years unless the scenario analysis is such as to require an advance update, through a new appraisal.

Scenario analysis

As the Group recalculates the value of business properties every two years, in order to identify and appreciate the significant changes in the property market that require the appraisal to be brought forward with respect to the standard frequency, the Group monitors the market trend by location and/or geographical area.

This monitoring is conducted in financial years other than those in which the re-determination of the value is already planned, with the aim of detecting any deviations in market values between the reference period of the financial statements and the previous period. If the deviation, which takes into account rents and prices by property class, exceeds a limit threshold of +/- 10%, the valuation of the properties is timely updated.

Three different sources are used to define the changes: the Italian Revenue Agency according to the relevant areas of the Property Market Observatory (OMI - Osservatorio del Mercato Immobiliare); Nomisma, or equivalent observers, which can carry out, for the related areas, the same searches performed for OMI (main database); the analysis of the changes in the offers on the property market that took place in the year in question.

The analysis of the data collected, relating to values and fees referring to the main intended use defined for the position, returns a synthetic factor which, by assigning a decreasing weight to the institutional value of the three sources, determines a single percentage deviation to be compared with the defined target threshold.

On the basis of the aforementioned rules, at 31 December 2022, the Group updated the appraisals for all property investments and for 29 properties used for business purposes, for which the scenario analysis highlighted the need to anticipate the valuation with respect to the standard frequency. A total of 449 appraisals were carried out, of which 29 in "full" mode and 420 in "desktop" mode.

Sensitivity analysis of non-financial instruments

Like financial instruments, non-financial assets and liabilities measured at level 3 fair value are also subjected to sensitivity analysis for which, based on the valuation model used to determine fair value, execution is possible and whose results are significant.

In this context, the sensitivity analysis was performed for the properties of the Group for which the valuation was carried out using the discounted cash flow method, identifying the following most significant variables: market fees for properties used in the business, and the "exit value" for properties held for investment purposes. Considering a variation equal to +/- 5% of the aforementioned variables, the analysis showed an average deviation in the fair value of the properties of approximately 5.1% in both hypothesized scenarios



A.4.2 Measurement processes and sensitivity

A description of Level 3 financial instruments that show significant sensitivity to changes in unobservable inputs is provided below.

The column “Other financial assets mandatorily measured at fair value” in the category “Debt securities” measured with the Discounted Cash Flow method includes both the notes referring to the multi-originator securitisation “Norma” for EUR 51.7 mln and the mezzanine and junior tranches referring to the securitisation of a portfolio of loans classified as bad loans called “Siena NPL” for EUR 34.4 mln. For these positions, the change in the discount rate (+/- 1%) and in the expected distribution flows (+/- 10%) would result in a range of values of EUR 48.7 mln - 53.8 mln and EUR 23.7 mln - 24.6 mln respectively related to the “Norma” and “Siena NPL” securitisation.

Also worth mentioning in this category are approximately EUR 21.9 mln relating to some equity financial instruments acquired by the Group under credit restructuring agreements and subordinated bonds for EUR 2.7 mln for which the sensitivity analysis was not carried out as the unit value of the individual exposures is below the minimum materiality threshold established by the Group.

The “Other financial assets mandatorily measured at fair value” column also includes loans (EUR 142.5 mln) that are mandatorily measured at fair value. The unobservable parameters are Probability of Default (PD), Loss Given Default (LGD) and the different spreads for performing and non-performing assets. The change in these parameters, of 10%, 5%, and 1%, respectively, would have an impact on fair value of approximately EUR -5.7 mln.

The majority of the UCITS units refers, for EUR 129.3 mln, to units of funds received in exchange for the sale of non-performing loans (Back2bonis, IDEA CCR I, II and Nuova Finanza, Efesto, Clessidra). The change in the discount rate (+/-1%) and forecasted distributions (+/-10%) would result in the following range of values: EUR 124.8 - 134.7 mln. The category of UCITS units also contains the total of contributions, made from June 2016, to the *Italia Recovery Fund* (formerly Atlante due) for a book value of EUR 8.4 mln valued based on the latest available NAV.

The “Financial assets measured at fair value through other comprehensive income” accounting portfolio includes the investment in the share capital of Bank of Italy (EUR 187.5 mln), measured using the Discounted Cash Flow method. The equity investment was measured with the methodology identified by the Committee of Experts in the document “Revaluation of shareholdings in the Bank of Italy”. This document not only details the valuation techniques adopted to reach the end result, but identified the following entity-specific parameters: the market beta, equity risk premium, and the cash flow base. The valuation of that equity investment also confirms in market transactions carried out in recent years by certain banks. The range of possible values that can be assigned to these parameters cause the following changes in value: roughly EUR -9 mln for every 100 bps increase in the equity risk premium, roughly EUR -14 mln for every 10% increase in the market beta, and roughly EUR -16 mln for every 10% increase in the cash flow base.

This category also includes equity securities representing all equity investments designated at fair value that could not be measured according to a market-based model. These positions amount to approximately EUR 36.3 mln. A sensitivity analysis was not carried out for these positions as they were below the materiality threshold identified by the Group.

Financial liabilities held for trading include financial derivatives (approximately EUR 4.1 mln) included for the correct management of the lapse risk inherent in commission flows deriving from the placement of certain unit-linked policies. For these positions no sensitivity analysis was carried out as they are not considered material by the Group.

A.4.3 Fair value hierarchy

For the purposes of completing the disclosure on transfers between levels provided in paragraphs A.4.5.1, A.4.5.2 and A.4.5.3 below, it should be noted that, for securities held at 31 December 2022 and which had a different fair value level with respect to the one assigned at 1 January 2022, it was assumed that the transfer between the levels took place with reference to the balances held at the beginning of the reference period.



A.4.4 Other information

With reference to par. 93 letter (i) of IFRS 13, the Group does not hold any non-financial assets measured at *fair value* whose current use does not represent its best possible use.

With reference to par. 96 of IFRS 13, the Group does not apply the portfolio exception provided for in par. 48 of IFRS 13.

Quantitative Information

A.4.5 Fair value hierarchy

A.4.5.1 Assets and liabilities measured at fair value on a recurring basis: breakdown by fair value level

Asset and liabilities measured at fair value	31 12 2022				31 12 2021			
	Level 1	Level 2	Level 3	Total	Level 1	Level 2	Level 3	Total
1. Financial assets measured at fair value through profit or loss of which:	3,551,859	2,803,340	401,488	6,756,687	6,164,593	3,144,189	362,204	9,670,986
a) Financial assets held for trading	3,551,748	2,747,646	-	6,299,394	6,164,423	3,052,537	-	9,216,960
c) Other financial assets mandatorily measured at fair value	111	55,694	401,488	457,293	170	91,652	362,204	454,026
2. Financial assets measured at fair value through other comprehensive income	3,578,483	550,112	223,733	4,352,328	4,632,415	601,419	226,835	5,460,669
3. Hedging derivatives	-	1,077,095	-	1,077,095	-	5,567	-	5,567
4. Property, plant and equipment	-	-	1,921,634	1,921,634	-	-	1,989,206	1,989,206
Total assets	7,130,342	4,430,547	2,546,855	14,107,744	10,797,008	3,751,175	2,578,245	17,126,428
1. Financial liabilities held for trading	2,567,184	1,417,302	4,031	3,988,517	3,104,110	1,422,645	4,306	4,531,061
2. Financial liabilities designated at fair value	-	97,027	-	97,027	-	113,989	-	113,989
3. Hedging derivatives	-	301,568	-	301,568	-	1,259,140	-	1,259,140
Total liabilities	2,567,184	1,815,897	4,031	4,387,112	3,104,110	2,795,774	4,306	5,904,190

For information on financial instruments classified in level 3, please refer to the above

The fair value of some financial assets, particularly bonds for over EUR 20 mln, worsened during the financial year from level 1 to level 2. This was essentially due to worsening of the liquidity conditions of the securities (measured in terms of bid-ask spread of the listed price), leading to the level transfer, in accordance with the Group's policy on the valuation of financial instruments.

With reference to financial instruments that have improved from level 2 to level 1 of the hierarchy, please note that this dynamic affected bonds for a value of more than EUR 14 mln. The change in the fair value level during the financial year is essentially linked to the improvement in the securities' liquidity conditions (measured in terms of bid-ask spread of the listed price), which allowed the level transfer in accordance with the Group's policy on the valuation of financial instruments.

Finally, it should be noted that, during the financial year, an analysis was finalised on the definition of a discount rate range to be used in the fair value valuation of alternative investment funds (AIF) and securitisation notes with non-performing loans as underlying assets. Within the same valuation model, the analyses performed entailed a change in the inputs used in the determination of the fair value of the securitisation notes, which changed from a "comparable" model approach to a model approach with unobservable inputs. Therefore, the notes referring to the securitisations subject to analysis, for an amount of approximately EUR 34.4 mln, were reclassified from fair value level 2 to level 3.



A.4.5.2 Annual changes of financial assets measured at fair value on a recurring basis (level 3)

31 12 2022

	Financial assets measured at fair value through profit or loss		Financial assets measured at fair value through other comprehensive income	Property, plant and equipment
	Total	of which: c) other financial assets mandatorily measured at fair value		
1. Opening balance	362,204	362,204	226,835	1,989,206
2. Increases	99,267	99,267	481	32,114
2.1 Purchases	94	94	-	-
2.2 Profits charged to:	26,081	26,081	208	9,090
2.2.1 Income statement	26,081	26,081	-	7,875
<i>- of which capital gains</i>	26,076	26,076	-	7,875
2.2.2 Equity	-	-	208	1,215
2.3 Transfers from other levels	40,331	40,331	-	-
2.4 Other increases	32,761	32,761	273	23,024
3. Decreases	59,983	59,983	3,583	99,686
3.1 Sales	1,012	1,012	1,033	1,041
3.2 Repayments	29,001	29,001	-	-
3.3 Losses charged to:	24,214	24,214	2,075	67,950
3.3.1 Income statement	24,214	24,214	-	36,743
<i>- of which capital losses</i>	24,099	24,099	-	36,743
3.3.2 Equity	-	-	2,075	31,207
3.4 Transfers to other levels	-	-	-	-
3.5 Other decreases	5,756	5,756	475	30,695
4. Closing balance	401,488	401,488	223,733	1,921,634

The most significant amounts reported in the column “Other financial assets measured at fair value as per mandatory requirements” corresponding to the line item are shown below:

- “2.2.1 Profit charged to the Income Statement” amounting to approximately EUR 26.1 mln mainly refer to valuation gains of which EUR 11.8 mln relate to loans and EUR 13.3 mln to junior notes of the Norma securitisation transaction (EUR 5.4 mln), certain units of UCITS (EUR 6.2 mln) and subordinated bonds (EUR 2.7 mln) respectively;
- “2.3 Transfers from other levels” of approximately EUR 40.3 mln refers to the reclassification from fair value level 2 to level 3 resulting from the change in the inputs used in determining the fair value of the mezzanine notes of the Siena NPL securitisation;
- “2.4 Other increases” equal to EUR 32.7 mln includes approximately EUR 26.5 mln in positions that during the year were reclassified from the loan portfolio at amortised cost to the portfolio of other assets measured at fair value as per mandatory requirements due to substantial credit changes not consistent with the SPPI test, as well as new disbursements;
- “3.1 Sales” of EUR 1.0 mln refers to the sale of non-performing loans that took place in 2022;
- “3.2 Repayments for EUR 29.0 mln”, includes about EUR 13.3 mln for the partial repayment of UCITS units and some equity financial instruments and EUR 15.7 mln for repayments on loan positions;
- “3.3.1 Losses charged to the income statement - of which losses” of EUR 24.1 mln refers for EUR 11.0 mln to the junior notes of the Siena NPL and Norma securitisations. The further EUR 13.1 mln of write-downs carried out during the financial period refer for EUR 5.5 mln to non-performing loans and for EUR 7.6 mln to debt securities (of which EUR 5.6 mln relates to equity financial instruments and EUR 1.6 mln to UCITS units);



Property, plant and equipment measured at fair value on a recurring basis consisted of property assets for business and for investment use. The main amounts reported are shown below:

- “2.2.1 Profit charged to the income statement of which capital gains” amounting to approximately EUR 7.9 mln, refer for EUR 6.6 mln to write-backs on properties classified under IAS 16 that were previously written down in the Income Statement, and for EUR 1.3 mln to revaluations of properties classified under IAS 40 following appraisals carried out as at 31 December 2022;
- “2.4 Other increases” of approx. EUR 23.0 mln refers for EUR 12.1 mln to the enforcement of real estate guarantees obtained during the financial year and for EUR 6.9 mln to expenses increases incurred on owned assets used in the business (EUR 6.6 mln) and for investment use (EUR 0.3 mln);
- “3.1-Sales” in the amount of about EUR 1.0 mln refers to the sale of some IAS 40-listed properties finalised during the year;
- “3.3.1 Losses charged to the income statement - of which “capital losses” in the amount of approximately EUR 36.7 mln, of which EUR 17.2 mln and EUR 19.5 mln respectively relate to real estate classified under IAS 16 and 40;
- “3.3.2 Losses charged to equity” equal to approximately EUR 31.2 mln refer entirely to write-downs made on properties classified under IAS 16 subject to a previous revaluation recognised in the OCI reserve;
- “3.5 Other decreases” equal to approximately EUR 30.7 mln refer for EUR 29.3 mln to the depreciation charge relating to properties classified as IAS 16 and for EUR 1.2 mln to properties classified as assets under disposal during the year

A.4.5.3 Annual changes of liabilities measured at fair value on a recurring basis (level 3)

	31 12 2022
	Financial liabilities held for trading
1. Opening balance	4,306
2. Increases	3,124
2.1 Issues	371
2.2 Losses charged to	2,753
2.2.1 Profit and Loss	2,753
- of which capital losses	519
2.2.2 Equity	X
2.3 Transfers from other levels	-
2.4 Other increases	-
3. Decreases	3,399
3.1 Redemptions	-
3.2 Repurchases	-
3.3 Profits charged to:	3,399
3.3.1 Profit and Loss	3,399
- of which capital gains	1,165
3.3.2 Equity	X
3.4 Transfers to other levels	-
3.5 Other decreases	-
4. Closing balance	4,031



A.4.5.4 Assets and liabilities not measured at fair value or measured at fair value on a non-recurring basis: breakdown by fair value level

Financial asset/liabilities not measured at fair value or measured at fair value on a non-recurring basis	31 12 2022				
	Book value	Level 1	Level 2	Level 3	Total Fair value
1. Financial assets measured at amortised cost	88,464,613	6,621,149	8,165,675	71,710,086	86,496,910
3. Non-current assets held for sale and disposal groups	65,497	-	-	65,497	65,497
Total assets	88,530,110	6,621,149	8,165,675	71,775,583	86,562,407
1. Financial liabilities measured at amortised cost	103,283,390	4,245,320	98,751,752	-	102,997,072
Total liabilities	103,283,390	4,245,320	98,751,752	-	102,997,072

Financial asset/liabilities not measured at fair value or measured at fair value on a non-recurring basis	31 12 2021				
	Book value	Level 1	Level 2	Level 3	Total Fair value
1. Financial assets measured at amortised cost	113,060,139	6,936,658	32,002,685	78,452,346	117,391,689
3. Non-current assets held for sale and disposal groups	72,883	-	-	68,239	68,239
Total assets	113,133,022	6,936,658	32,002,685	78,520,585	117,459,928
1. Financial liabilities measured at amortised cost	121,466,203	9,714,877	111,788,975	-	121,503,852
2. Liabilities associated to disposal groups	-	-	-	-	-
Total liabilities	121,466,203	9,714,877	111,788,975	-	121,503,852

For details of the valuation criteria for assets and liabilities measured at fair value on a non-recurring basis, please refer to the information provided in the corresponding qualitative section.

In regard to assets under disposal, only the assets measured at fair value or at fair value less disposal costs were indicated.

A.5 Information on “day one profit/loss”

The Group did not recognise “day one profits/losses” on financial instruments pursuant to B.5.1.2A of IFRS 9; therefore, no disclosure is provided pursuant to paragraph 28 of IFRS 7 and other related IAS/IFRS paragraphs.



Part B – Information on the consolidated balance sheet



ASSETS

Section 1- Cash and cash equivalents - Item 10

1.1 Cash and cash equivalents: breakdown

	Total 31 12 2022	Total 31 12 2021
a) Cash	695,933	723,876
b) Demand deposits with central banks	10,475,671	11,485
c) Demand deposits with banks	1,366,974	1,006,405
Total	12,538,578	1,741,766

The increase of approximately EUR 10.5 bn recorded in line b) Current accounts and sight deposits with Central Banks mainly refers to the opening by the Parent Company of two sight deposits with the ECB totalling approximately EUR 9.9 bn. This started in September 2022 following the monetary policy decision of 8 September 2022 in which the Governing Council of the ECB, in light of the above-zero increase in the central bank deposit rate, suspended the two-tier system for the remuneration of excess reserves.

The line "Current account and demand deposits with central banks" does not include the compulsory reserve, which is shown in item 40 "Financial assets measured at amortised cost", under loans to banks.



Section 2 - Financial assets measured at fair value through profit or loss - Item 20

2.1 Financial assets held for trading: breakdown

Items	Total 31 12 2022				Total 31 12 2021			
	Level 1	Level 2	Level 3	Total	Level 1	Level 2	Level 3	Total
A. Balance-sheet assets								
1. Debt securities	3,393,287	432,516	-	3,825,803	5,965,937	666,573	-	6,632,510
1.1 Structured securities	18,316	55,562	-	73,878	48,263	125,211	-	173,474
1.2 Other debt securities	3,374,971	376,954	-	3,751,925	5,917,674	541,362	-	6,459,036
2. Equity instruments	70,958	719	-	71,677	112,247	1,030	-	113,277
3. Units of UCITS	65,437	-	-	65,437	45,145	4	-	45,149
4. Loans	-	-	-	-	-	-	-	-
4.1 Repurchase agreements	-	-	-	-	-	-	-	-
4.2 Others	-	-	-	-	-	-	-	-
Total (A)	3,529,682	433,235	-	3,962,917	6,123,329	667,607	-	6,790,936
B. Derivatives								
1. Financial derivatives:	22,066	2,314,411	-	2,336,477	41,094	2,384,735	-	2,425,829
1.1 held for trading	22,066	2,286,696	-	2,308,762	41,094	2,344,432	-	2,385,526
1.2 fair value option	-	27,715	-	27,715	-	40,303	-	40,303
1.3 Others	-	-	-	-	-	-	-	-
2. Credit derivatives:	-	-	-	-	-	195	-	195
2.1 held for trading	-	-	-	-	-	195	-	195
2.2 fair value option	-	-	-	-	-	-	-	-
2.3 Others	-	-	-	-	-	-	-	-
Total (B)	22,066	2,314,411	-	2,336,477	41,094	2,384,930	-	2,426,024
Total (A+B)	3,551,748	2,747,646	-	6,299,394	6,164,423	3,052,537	-	9,216,960

Criteria adopted for classification of financial instruments in the three levels of the “fair value hierarchy” are reported in Section A.4, “Information on fair value” of Part A, “Accounting policies” of the notes to the financial statements, to which reference should be made.

As a result of the provisions set out in IFRS 9 with regard to the derecognition of financial assets, lines 1.1 Structured securities and 1.2 Other debt securities of the item “Cash assets” also include debt securities pledged in repos and securities lending transactions carried out in respect of own securities posted to the trading book.

The amount of EUR 376.9 mln (EUR 541.4 mln as at 31 December 2021), recognised in line “1.2 Other debt securities”, in the level 2 column, includes senior and mezzanine exposures assumed by the Group with reference to its own and third-party securitisation transactions amounting to EUR 110.2 mln (EUR 162.5 mln as at 31 December 2021) and EUR 55.9 mln (EUR 109.0 mln as at 31 December 2021) respectively.

Derivatives connected with fair value option instruments are also classified as derivative instruments: these cover the risks of funding measured at fair value arising from possible interest rate fluctuations and from any embedded options in fixed-rate and structured bonds issued by the Parent Company (natural hedging). The positive fair value of these derivatives is shown in the table in line “B.1-1.2 – Fair value option”.

By convention, such derivatives are classified in the trading book. In terms of their representation in the income statement, they comply with rules similar to the rules applicable to hedging derivatives: positive and negative spreads or margins settled or accrued until the reporting date are recognised as interest income and expense, while valuation profits and losses are posted under item 80 of the income statement, “Net profit (loss) from trading”, contrary to funding instruments included in the fair value option, for which profit, loss, capital losses and capital gains fall under item 110 a) “Net profit (loss) from other financial



assets and liabilities measured at fair value through profit or loss a) financial assets and liabilities measured at fair value” of the income statement.

2.1a Breakdown of debt securities: structured securities

Structured debt securities	Total 31 12 2022	Total 31 12 2021
Index Linked	16,301	45,356
Credit linked notes	7,091	5,994
Cap Floater	32,616	55,688
Reverse Floater	17,870	41,476
Fund Linked	-	24,658
Other	-	302
Total	73,878	173,474

The table adds details to line “A.1.1 Structured securities” of table 2.1 above. As at 31 December 2022, structured debt securities amounted to EUR 73.9 mln, compared to EUR 173.5 mln in the previous year. The main changes were recorded in the “Fund Link”, “Index Linked”, “Cap Floater” and “Reverse Floater” categories.



2.2 Financial assets held for trading: breakdown by debtor/issuer/counterparty

Items/Amounts	Total 31 12 2022	Total 31 12 2021
A. Balance sheet assets		
1. Debt securities	3,825,803	6,632,510
a) Central banks	-	-
b) Public entities	3,399,814	5,655,946
c) Banks	107,101	422,187
d) Other financial companies	309,282	446,994
of which: insurance companies	8,641	15,862
e) Non-financial companies	9,606	107,383
2. Equity instruments	71,677	113,277
a) Banks	1,621	3,447
b) Other financial companies	17,310	33,245
of which: insurance companies	16,576	29,577
c) Non-financial companies	52,746	76,585
d) Other issuers:	-	-
3. Units of UCITS	65,437	45,149
4. Loans	-	-
Total (A)	3,962,917	6,790,936
B. Derivatives	-	-
a) Central counterparties	-	-
b) Others	2,336,477	2,426,024
Total (B)	2,336,477	2,426,024
Total (A+B)	6,299,394	9,216,960

The breakdown by debtor/issuer was carried out in accordance with criteria of classification by economic activity group and sector laid down by the Bank of Italy.

As for derivatives, it should be noted that the positive fair value of derivatives with customers includes approx. EUR 221.2 mln from balanced trading aimed at providing financial protection to customers of the Group's network. The remaining amount was generated from transactions with financial market participants classified as customers pursuant to the above classification criteria set by the Bank of Italy.



Provided below is the breakdown by main categories of UCITS.

Categories/Amounts	Total	Total
	31 12 2022	31 12 2021
Bonds	149	150
Exchange Traded Funds (ETF)	65,273	44,980
Others	13	13
Equity	2	6
Total	65,437	45,149

The table adds details to line “A.3. Units of UCITS” of table 2.2 above.

2.3 Financial assets measured at fair value: breakdown

2.4 Financial assets measured at fair value: breakdown by debtor/issuer

Tables 2.3 and 2.4 were not completed since the Bank has no financial assets measured at fair value to report for either the current or previous year.

2.5 Other financial assets measured at fair value as per mandatory requirements: breakdown

Items	Total 31 12 2022				Total 31 12 2021			
	Level 1	Level 2	Level 3	Total	Level 1	Level 2	Level 3	Total
1. Debt securities	-	2,514	110,901	113,415	-	43,440	73,885	117,325
1.1 Structured securities	-	-	-	-	-	-	348	348
1.2 Other debt securities	-	2,514	110,901	113,415	-	43,440	73,537	116,977
2. Equity instruments	112	1	1,840	1,953	170	1	2,708	2,879
3. Units of UCITS	-	53,179	146,212	199,391	-	48,211	154,167	202,378
4. Loans	-	-	142,534	142,534	-	-	131,443	131,443
4.1 Repurchase agreements	-	-	-	-	-	-	-	-
4.2 Others	-	-	142,534	142,534	-	-	131,443	131,443
Total	112	55,694	401,487	457,293	170	91,652	362,203	454,025

Line 1.2 “Other debt securities” includes EUR 21.9 mln attributable to SFPs issued as part of compositions with creditors in which the Parent Company took part. This also includes EUR 86.3 mln of exposures referable for EUR 34.6 mln (EUR 41.1 mln as at 31 December 2021) to the securitisation of a bad loans portfolio of the MPS Group, of which EUR 34.0 mln (EUR 40.7 mln as at 31 December 2021) referable to the mezzanine tranche and EUR 0.6 mln (EUR 0.6 mln as at 31 December 2021) relating to the junior tranche, and EUR 51.7 mln (EUR 45.3 mln as at 31 December 2021) relating to the junior tranche of a securitisation transaction of non-performing loans also originated by third-party banks.

Line “2. Equity securities” at “level 3” showed a balance of EUR 1.8 mln as at 31 December 2022: the decrease from the previous financial year is mainly attributable to the closure of investments indirectly held in financial instruments through the FITD’s Voluntary Scheme during the third quarter of 2022.

Line 3 “Units of UCITS” contains, in correspondence with level 3, UCITS units acquired in exchange for the sale of NPE loans for EUR 129.8 mln (EUR 136.3 mln as at 31 December 2021). In the same line, at fair value level 3, there are also units in the Atlante Fund for EUR 8.3 mln and units in real estate funds acquired following loan restructuring transactions for EUR 7.6 mln.

Line 4 “Loans” consists of financial assets that must be valued at fair value as a result of their failure to pass the SPPI test.

At the reporting date, there are no equity securities arising from the recovery of impaired financial assets.



2.6 Other financial assets measured at fair value as per mandatory requirements: breakdown by debtor/issuer

Items/Amounts	Total 31 12 2022	Total 31 12 2021
1. Equity instruments	1,953	2,879
<i>of which: banks</i>	-	-
<i>of which: other financial companies</i>	1,123	1,691
<i>of which: non-financial companies</i>	830	1,188
2. Debt securities	113,415	117,325
a) Central Banks	-	-
b) Public Entities	-	-
c) Banks	-	348
d) Other financial companies	91,537	89,613
<i>of which: insurance companies</i>	-	-
e) Non-financial companies	21,878	27,364
3. Units of UCITS	199,391	202,378
4. Loans	142,534	131,443
a) Central Banks	-	-
b) Public Entities	-	-
c) Banks	-	-
d) Other financial companies	-	63
<i>of which: insurance companies</i>	-	-
e) Non-financial companies	123,406	106,207
f) Families	19,128	25,173
Total	457,293	454,025

The main cumulative losses relating to equity securities of evidently poor credit quality referring to previous financial years are: RCR S.p.A. (EUR 9.5 mln), Compagnia Investimento e Sviluppo (EUR 3.8 mln), Newcolle S.r.l. (EUR 2.3 mln), Porto industriale Livorno (EUR 1.9 mln) and Mednav S.p.A. (EUR 0.2 mln). The write-downs of equity instruments of clearly poor credit quality, made by the Group during the course of the financial year are of irrelevant amount.

Provided below is the breakdown by main categories of UCITS.

Categories/Amounts	Total 31 12 2022	Total 31 12 2021
Hedge Funds	3,857	1,669
Private equity	57,801	56,573
Real estate	7,923	7,828
Non Performing Exposures	129,810	136,308
Total	199,391	202,378

For the disclosure on mutual funds acquired as part of the disposal of loans included in the previous table under “NPE loans”, please refer to the specific paragraph in Part E of these Notes to the Financial Statements (Subsection E “Transfers” point C. Financial assets sold and fully derecognised”).



Section 3 - Financial assets measured at fair value through other comprehensive income - Item 30

3.1 Financial assets measured at fair value through other comprehensive income: breakdown

Items/Amounts	Total 31 12 2022				Total 31 12 2021			
	Level 1	Level 2	Level 3	Total	Level 1	Level 2	Level 3	Total
1. Debt securities	3,578,483	519,157	-	4,097,640	4,632,377	573,296	-	5,205,673
1.1 Structured securities	-	-	-	-	5,086	-	-	5,086
1.2 Other debt securities	3,578,483	519,157	-	4,097,640	4,627,291	573,296	-	5,200,587
2. Equity instruments	-	30,955	223,733	254,688	37	28,124	226,835	254,996
3. Loans	-	-	-	-	-	-	-	-
Total	3,578,483	550,112	223,733	4,352,328	4,632,414	601,420	226,835	5,460,669

As a result of the provisions set out in IFRS 9 for the derecognition of financial assets, line 1.2 also includes debt securities committed in repos (liabilities) and securities lending transactions carried out for own securities posted to financial assets measured at fair value through other comprehensive income.

The line “1.2 Other Debt Securities” totalling EUR 4,097.6 mln - of which EUR 987.4 mln (EUR 1,573.5 mln as of 31 December 2021) subject to specific fair value hedging entirely against interest rate risk - mainly includes Italian government bonds for approximately EUR 3,385.2 mln (EUR 4,504.0 mln as of 31 December 2021).

Also included are EUR 15.2 mln (EUR 18.7 mln as at 31 December 2021) of exposures relating to senior notes of securitisation transactions originated by third parties

Line “2. Equity securities” (Level 3 column) includes EUR 187.5 mln for the investment in the share capital of Bank of Italy.

At the reporting date, the aggregate does not include senior, mezzanine and junior exposures with reference to own and third party securitisation transactions or equity securities arising from the recovery of impaired financial assets.



3.2 Financial assets measured at fair value through other comprehensive income: breakdown by debtor/issuer

Items/Amounts	Total 31 12 2022	Total 31 12 2021
1. Debt securities	4,097,640	5,205,673
a) Central banks	-	-
b) Public entities	3,532,331	4,633,243
c) Banks	500,269	505,019
d) Other financial companies	39,526	37,944
<i>of which insurance companies</i>	-	-
e) Non-financial companies	25,514	29,467
2. Equity instruments	254,688	254,996
a) Banks	201,110	200,696
b) Other issuers:	53,578	54,300
- Other financial companies	42,160	43,035
<i>of which insurance companies</i>	-	-
- Non-financial companies	11,404	11,265
- Others	14	-
3. Loans	-	-
Total	4,352,328	5,460,669

The main cumulative losses relating to equity securities of evidently poor credit quality refer to the investee Restart S.r.l. and were fully recognised in previous financial years, for an amount of EUR 0.9 mln.

The write-downs of equity instruments of clearly poor credit quality, made by the Group during the course of the financial year are of irrelevant amount.

3.3 Financial assets measured at fair value through other comprehensive income: gross value and overall value adjustments

	Gross exposure					Value adjustments				Total Partial write-off (*)
	Stage 1	of which: low credit risk instruments	Stage 2	Stage 3	Purchase d or originate d credit impaired financial assets	Stage 1	Stage 2	Stage 3	Purchased or originated credit impaired financial assets	
Debt securities	4,077,860	3,817,750	23,497	-	-	3,256	461	-	-	-
Loans	-	-	-	-	-	-	-	-	-	-
Total 31 12 2022	4,077,860	3,817,750	23,497	-	-	3,256	461	-	-	-
Total 31 12 2021	5,190,234	4,919,773	19,600	-	-	4,073	88	-	-	-

* Value to be presented for disclosure purposes

3.3a Loans measured at fair value through other comprehensive income object of COVID-19 support measures: gross value and overall value adjustments

The table is not completed as the Group is not involved in this category of loans.



Section 4 - Financial assets measured at amortised cost - Item 40

4.1 Financial assets measured at amortised cost: breakdown of loans to banks

Type of transaction/Amount	Total 31 12 2022							
	Book value			Fair value				Total
	Stage 1 and Stage 2	Stage 3	of which: impaired or originated impaired financial assets	Total	L1	L2	L3	
A. Loans to central banks	628,169	-	-	628,169	-	628,195	-	628,195
1. Time deposits	25,001	-	-	25,001	X	X	X	X
2. Compulsory reserve	524,149	-	-	524,149	X	X	X	X
3. Reverse repurchase agreements	79,019	-	-	79,019	X	X	X	X
4. Others	-	-	-	-	X	X	X	X
B. Loans to bank	2,627,488	-	-	2,627,488	2,688	2,564,410	-	2,567,098
1. Loans	1,950,068	-	-	1,950,068	-	1,946,457	-	1,946,457
1.1 Current accounts and demand deposits	-	-	-	-	X	X	X	X
1.2 Time deposits	10,016	-	-	10,016	X	X	X	X
1.3 Other loans	1,940,052	-	-	1,940,052	X	X	X	X
- Reverse repurchase agreements	527,539	-	-	527,539	X	X	X	X
- Finance leases	-	-	-	-	X	X	X	X
- Others	1,412,513	-	-	1,412,513	X	X	X	X
2. Debt securities	677,420	-	-	677,420	2,688	617,953	-	620,641
2.1 Structured securities	-	-	-	-	-	-	-	-
2.2 Other debt securities	677,420	-	-	677,420	2,688	617,953	-	620,641
Total	3,255,657	-	-	3,255,657	2,688	3,192,605	-	3,195,293

The line “Loans to Central banks 2. Compulsory reserve” includes the balance of the compulsory reserve which, at the end of the financial year, amounted to EUR 524.1 mln (EUR 675.6 mln as at 31 December 2021). It should be noted that, in accordance with regulations on average maintenance levels, the end-of-period balance of the compulsory reserve may be subject to changes, also substantial, in relation to the Group’s contingent treasury requirements.

The item “Loans to banks, 1.3 Other loans - Other”, totalling EUR 1,412.5 mln, includes guarantee deposits of approximately EUR 1,026.1 mln.

Note that the line “B.2.2 Other debt securities” includes EUR 652.7 mln (EUR 713.0 mln as at 31 December 2021) of assets subject to specific fair value hedging for interest rate risk.

At the reporting date of this financial statements, as in previous financial year, the aggregate does not include the Group’s senior, mezzanine and junior exposures with reference to own and third-party securitisation transactions.

Following the conclusion of the disposal of non-performing loans called “Fantino”, the Bank held no impaired assets (EUR 0.3 mln as at 31 December 2021).



Type of transaction/ Amount	Total 31 12 2021							
	Book value			Total	Fair value			
	Stage 1 and Stage 2	Stage 3	Purchased or originated impaired financial assets		L1	L2	L3	Total
A. Loans to central banks	20,769,762	-	-	20,769,762	-	20,769,762	-	20,769,762
1. Time deposits	25,001	-	-	25,001	X	X	X	X
2. Compulsory reserve	20,744,761	-	-	20,744,761	X	X	X	X
3. Reverse repurchase agreements	-	-	-	-	X	X	X	X
4. Others	-	-	-	-	X	X	X	X
B. Loans to bank	4,234,348	303	-	4,234,651	4,046	4,175,531	303	4,179,880
1. Loans	3,493,006	303	-	3,493,309	-	3,492,693	303	3,492,996
1.1 Current accounts	-	-	-	-	X	X	X	X
1.2 Time deposits	15,625	-	-	15,625	X	X	X	X
1.3 Other loans	3,477,381	303	-	3,477,684	X	X	X	X
- Reverse repurchase agreements	812,843	-	-	812,843	X	X	X	X
- Finance leases	-	-	-	-	X	X	X	X
- Others	2,664,538	303	-	2,664,841	X	X	X	X
2. Debt securities	741,342	-	-	741,342	4,046	682,838	-	686,884
2.1 Structured securities	-	-	-	-	-	-	-	-
2.2 Other debt securities	741,342	-	-	741,342	4,046	682,838	-	686,884
Total	25,004,110	303	-	25,004,413	4,046	24,945,293	303	24,949,642



4.2 Financial assets measured at amortised cost: breakdown of loans to customers

Type of transaction/Amount	31 12 2022							
	Book value				Fair value			
	Stage 1 and Stage 2	Stage 3	of which: impaired or originated impaired financial assets	Total	L1	L2	L3	Total
Loans	74,411,569	1,708,948	2,243	76,122,760	-	3,459,921	71,710,086	75,170,007
1.1. Current accounts	2,882,264	84,896	252	2,967,412	X	X	X	X
1.2. Reverse repurchase agreements	3,482,940	-	-	3,482,940	X	X	X	X
1.3. Mortgage loans	54,540,669	1,238,914	1,717	55,781,300	X	X	X	X
1.4. Credit cards, personal loans and fifth-of-salary backed loans	786,515	5,608	-	792,123	X	X	X	X
1.5. Finance leases	2,932,265	222,850	-	3,155,115	X	X	X	X
1.6. Factoring	1,417,513	13,527	-	1,431,040	X	X	X	X
1.7. Other transactions	8,369,403	143,153	274	8,512,830	X	X	X	X
of which: operating receivables	22,483	326	-	22,809	X	X	X	X
of which: leased assets under construction	266,351	4,781	-	271,132	X	X	X	X
Debt securities	9,086,196	-	-	9,086,196	6,618,460	1,513,148	-	8,131,608
1.1. Structured securities	-	-	-	-	-	-	-	-
1.2. Other debt securities	9,086,196	-	-	9,086,196	6,618,460	1,513,148	-	8,131,608
Total	83,497,765	1,708,948	2,243	85,208,956	6,618,460	4,973,069	71,710,086	83,301,615

“Loans to customers” also includes operating receivables for EUR 22.8 mln (EUR 35.1 mln as at 31 December 2021) - other than those connected with the payment for the supply of non-financial goods and services, posted to Asset item 150 “Other assets”, subject to the provisions pursuant to IFRS 9, paragraph 5.5.15 a) i). The reduction is attributable for EUR 9.7 mln to the collection during the year of the receivable relating to the sale of the property portfolio to Ardian carried out in 2020.

The column Purchased or originated credit impaired for EUR 2.2 mln (EUR 10.7 mln as at 31 December 2021) is almost entirely made up of assets originating from restructuring agreements on non-performing positions. The decrease of EUR 8.5 mln is mainly attributable to the disposal of non-performing loans called “Fantino”. There were no business combinations carried out during the financial year for which impaired loans were acquired.

Line “2.2 Other debt securities” equal to EUR 9,086.2 mln comprises mainly Italian government bonds in the amount of EUR 6,287.1 mln (EUR 5,491.7 mln as at 31 December 2021). In addition, we highlight EUR 1,261.1 mln (EUR 1,583.6 mln as at 31 December 2021) of the senior notes pertaining to the securitisation transaction of the MPS Group’s bad loan portfolio, finalised in the first half of 2018, and EUR 2.4 mln (EUR 16.2 mln as at 31 December 2021) of the senior notes pertaining to a third-party securitisation transaction. The line also includes bonds not listed in active markets issued mainly by local government bodies, e.g. municipal bonds (it.: Buoni Ordinari Comunali, BOC). Lastly, this includes EUR 3,541.9 mln (EUR 3,269.2 mln as at 31 December 2021) of securities subject to micro fair value hedging for interest rate risk.

“Loans to customers” include loans disbursed with funds made available by the Government or by other public institutions, with the Group adopting partial or total risk. These funds are managed under the agreements signed by the Group with Cassa Depositi e Prestiti (hereinafter CDP), in direct cooperation with ABI, and with regional financial institutions. In particular, the Group adhered to the agreements specifically structured by ABI and CDP to support the business sector, to support private individuals and in favour of the territory for natural disasters. Except for the latter agreement, whose subsidised loans are backed by State guarantee, the loans disbursed by the Group are characterised by conditions released from the CDP funding, subject to independent negotiation between the parties, and are mandatorily assigned as collateral to CDP.

Conversely, with regard to management of resources made available by specific Regional Laws, the Group’s operations refer to specific agreements stipulated by the Parent Company with the regional financial institutions, such as Veneto Sviluppo, Finlombarda, Finpiemonte and Puglia Sviluppo, or other regional fund managers, or alternative instruments such as the so-called “Rotation Funds”, also established through regional laws. The resources are intended to encourage and support companies operating in certain areas and in specific economic sectors. These loans are generally disbursed with part of the



funding made available with public funds and part with the Parent Company's own resources (co-financing). The funding with public funds varies according to the initiative to be financed: the percentage is defined by specific Regional Laws or Resolutions and, as a rule, integration with the Bank's own resources is envisaged up to the total coverage of the expenditure.

Type of transaction/Amount	31 12 2021							
	Book value				Fair value			
	Stage 1 and Stage 2	Stage 3	of which: impaired or originated impaired financial assets	Total	L1	L2	L3	Total
Loans	77,114,187	2,119,301	10,672	79,244,160	-	5,118,517	78,452,044	83,570,561
1.1. Current accounts	2,695,970	125,965	13	2,821,948	X	X	X	X
1.2. Reverse repurchase agreements	5,126,364	-	-	5,126,364	X	X	X	X
1.3. Mortgage loans	56,268,170	1,468,849	2,038	57,739,057	X	X	X	X
1.4. Credit cards, personal loans and fifth-of-salary backed loans	567,123	5,959	-	573,082	X	X	X	X
1.5. Finance lease	2,891,040	286,276	-	3,177,316	X	X	X	X
1.6. Factoring	1,344,895	16,457	-	1,361,352	X	X	X	X
1.7. Other transactions	8,220,625	215,795	8,621	8,445,041	X	X	X	X
of which: operating receivables	34,615	560	-	35,175	X	X	X	X
of which: leased assets under construction	268,792	8,789	-	277,581	X	X	X	X
Debt securities	8,811,566	-	-	8,811,566	6,932,611	1,938,875	-	8,871,486
1.1. Structured securities	-	-	-	-	-	-	-	-
1.2. Other debt securities	8,811,566	-	-	8,811,566	6,932,611	1,938,875	-	8,871,486
Total	85,925,753	2,119,301	10,672	88,055,726	6,932,611	7,057,392	78,452,044	92,442,047



4.3 Financial assets measured at amortised cost: breakdown by debtor/issuer of loans to customers

Type of transactions/Amount	Total 31 12 2022			Total 31 12 2021		
	Stage 1 and Stage 2	Stage 3	Purchased or originated credit impaired financial assets	Stage 1 and Stage 2	Stage 3	Purchased or originated credit impaired financial assets
1. Debt securities	9,086,196	-	-	8,811,566	-	-
a) Public entities	7,501,108	-	-	6,919,758	-	-
b) Other financial companies	1,377,188	-	-	1,725,715	-	-
of which: insurance companies	62,451	-	-	62,424	-	-
c) Non-financial companies	207,900	-	-	166,093	-	-
2. Loans to	74,411,568	1,708,949	2,243	77,114,187	2,119,301	10,672
a) Public Entities	1,772,817	31,541	-	1,784,939	39,879	-
b) Other financial companies	4,964,724	11,860	-	6,894,821	16,348	-
of which: insurance companies	242	-	-	243	-	-
c) Non-financial companies	32,937,512	1,062,181	2,064	33,766,750	1,308,342	9,792
d) Families	34,736,515	603,367	179	34,667,677	754,732	880
Total	83,497,764	1,708,949	2,243	85,925,753	2,119,301	10,672

4.4 Financial assets measured at amortised cost: gross value and overall value adjustments

Type of transactions/ Amount	Gross exposure					Value adjustments				Total Partial write-off (*)
	Stage 1	of which: low credit risk instruments	Stage 2	Stage 3	Purchased or originated credit impaired financial assets	Stage 1	Stage 2	Stage 3	Purchased or originated credit impaired financial assets	
Debt securities	9,772,196	9,502,132	-	-	-	8,578	-	-	-	-
Loans	65,948,216	-	11,483,146	3,285,924	4,429	87,581	353,978	1,576,975	2,186	32,196
31 12 2022	75,720,412	9,502,132	11,483,146	3,285,924	4,429	96,159	353,978	1,576,975	2,186	32,196
31 12 2021	98,708,892	9,394,076	12,663,899	4,051,486	20,734	85,521	357,405	1,931,882	10,062	43,903

* Value to be presented for disclosure purposes

For financial assets included in the stage 3 column and for purchased or originated credit impaired financial assets, the gross value corresponds to the book value gross of the relative overall value adjustments, which are equal to the difference between the expected recovery value and the gross book value. For impaired financial assets purchased, the gross value corresponds to the purchase price and the adjustments correspond to the difference between the expected recovery value and the gross book value.



4.4a Loans measured at amortised cost object of COVID-19 support measures: gross value and overall value adjustments

	Gross exposure					Value adjustments				Total Partial write-off (*)
	Stage 1		Stage 2	Stage 3	Purchased or originated credit impaired financial assets	Stage 1	Stage 2	Stage 3	Purchased or originated credit impaired financial assets	
		<i>of which: low credit risk instruments</i>								
1. EBA-compliant moratoria (legislative and non-legislative)	-	-	-	-	-	-	-	-	-	-
2. Loans subject to existing moratorium measures no longer compliant with GLs and not assessed as being subject to forbearance measures	693	-	33	1	-	1	3	-	-	-
3. Loans subject to other forbearance measures	2,674	-	42,821	16,951	-	9	2,248	7,231	-	7,032
4. Newly Originated Loans	6,966,417	-	2,486,929	313,815	-	5,099	36,377	64,790	-	249
Total 31 12 2022	6,969,784	-	2,529,783	330,767	-	5,109	38,628	72,021	-	7,281
Total 31 12 2021	8,673,655	-	3,436,207	398,047	137	7,916	67,423	92,561	9	379

* Value to be presented for disclosure purposes

The table shows, in line with the Bank of Italy communication of 21 December 2021, the loans disbursed, subject to moratoria or other forbearance measures in place at the reporting date, or which constitute new liquidity granted with the support of public guaranties.

The total of moratoria in place as at 31 December 2022, equal to the sum of lines 1, 2 and 3 of the table, amounted to a total of EUR 63.2 mln (EUR 2,163.7 mln as at 31 December 2021). The net reduction is attributable to the gradual natural expiry of the existing moratoria, taking into account that i) Decreto Sostegni Bis had extended the support measures to 31 December 2021 and ii) the Bank has identified the 30 June 2022 as the deadline for granting additional moratorium measures falling within the scope of the measures granted to support households and businesses for COVID-19.

In terms of classification, it should be noted that, following the i) reinstatement of fully ordinary lending processes with one - to-one valuations that had begun during 2021 with the phase-out of the EBA Guidelines and ii) the end of the state of emergency, the moratoria outstanding as at 31 December 2022 are almost entirely classified under category “3- Financing subject to other concessionary measures”.

“Newly originated loans” outstanding as at 31 December 2022 totalled approximately EUR 9,749.5 mln (EUR 10,344.3 mln as at 31 December 2021) in terms of gross value; almost all of them were classified as performing loans, and 25% were in the second risk stage pursuant to IFRS 9.



Section 5 - Hedging derivatives - Item 50

5.1 Hedging derivatives: breakdown by type of hedge and level

	Fair value 31 12 2022				NV as at 31 12 2022
	Level 1	Level 2	Level 3	Total	
A. Financial derivatives	-	1,077,095	-	1,077,095	22,438,761
1) Fair value	-	1,077,095	-	1,077,095	22,438,761
2) Cash flows	-	-	-	-	-
3) Foreign investments	-	-	-	-	-
B. Credit derivatives	-	-	-	-	-
1) Fair value	-	-	-	-	-
2) Cash flows	-	-	-	-	-
Total	-	1,077,095	-	1,077,095	22,438,761

key

NV = Notional or Nominal Value

The table shows the positive book value (fair value) of hedging derivatives for hedges carried out through hedge accounting.

Information on the underlying strategies and objectives of hedge transactions can be found in the Section “Market risks” of Part E “Information on Risks and hedging policies”.

	Fair value 31 12 2021				NV as at 31 12 2021
	Level 1	Level 2	Level 3	Total	
A. Financial derivatives	-	5,567	-	5,567	973,464
1) Fair value	-	5,567	-	5,567	973,464
2) Cash flows	-	-	-	-	-
3) Foreign investments	-	-	-	-	-
B. Credit derivatives	-	-	-	-	-
1) Fair value	-	-	-	-	-
2) Cash flows	-	-	-	-	-
Total	-	5,567	-	5,567	973,464

key

NV = Notional or Nominal Value



5.2 Hedging derivatives: breakdown by hedged portfolios and type of hedging

Transaction/Type of hedge	Fair Value						Cash Flows			Foreign Investments	Total 31 12 2022
	Micro-hedge						Macro-hedge	Micro-hedge	Macro-hedge		
	debt securities and interest rate	equity instruments and stock indices	currencies and gold	Credit	Commodities	Other					
1. Financial assets measured at fair value through other comprehensive income	98,038	-	-	-	X	X	X	-	X	X	98,038
2. Financial assets measured at amortised cost	357,170	X	-	-	X	X	X	-	X	X	357,170
3. Portfolio	X	X	X	X	X	X	621,252	X	-	X	621,252
4. Other transactions	-	-	-	-	-	-	X	-	X	-	-
Total assets	455,208	-	-	-	-	-	621,252	-	-	-	1,076,460
1. Financial liabilities	-	X	-	-	-	-	X	-	X	X	-
2. Portfolio	X	X	X	X	-	X	635	X	-	X	635
Total liabilities	-	-	-	-	-	-	635	-	-	-	635
1. Expected transactions	X	X	X	X	X	X	X	-	X	X	-
2. Financial assets and liabilities portfolio	X	X	X	X	X	X	-	X	-	-	-
Total	455,208	-	-	-	-	-	621,887	-	-	-	1,077,095

The table shows the positive fair values of hedging derivatives, classified by hedged assets or liabilities and type of hedging implemented.

In particular, for financial assets, fair value micro-hedging was used to hedge against interest rate risk on bonds classified in the portfolio "Financial assets measured at fair value through other comprehensive income", in order to protect the portfolio from unfavourable interest rate changes; fair value macro-hedging of the interest rate risk refers to hedges of optional components implicit in a floating-rate mortgage loans portfolio.

More information on hedged assets and liabilities can be found in the tables contained in Part B of the notes to the financial statements for each section of the balance sheet items to which the hedged items are posted.



Section 6 - Change in value of macro-hedged financial assets - Item 60

6.1 Change in value of hedged assets: breakdown by hedged portfolios

Changes in value of hedged assets / Group components	Total 31 12 2022	Total 31 12 2021
1. Positive changes	-	598,519
1.1 of specific portfolios:	-	598,519
a) financial assets measured at amortised cost	-	598,519
b) financial assets measured at fair value through other comprehensive income	-	-
1.2 overall	-	-
2. Negative changes	908,737	4,064
2.1 of specific portfolios:	908,737	4,064
a) financial assets measured at amortised cost	908,737	4,064
b) financial assets measured at fair value through other comprehensive income	-	-
2.2 overall	-	-
Total	(908,737)	594,455

The value adjustment concerns mainly fixed and cap/floor floating rate mortgage loan portfolios that were fair value macro-hedged with derivatives to counter possible interest rate risk-induced fluctuations in value. As this is a macro-hedge, any gain or loss on the hedged item attributable to the risk hedged may not directly adjust the value of said item (unlike in micro-hedging), but must be presented in this separate line item of the assets. The amounts in this item must be removed from the balance sheet when the relevant assets or liabilities are derecognised.

The negative value adjustment generically hedged is due to the sharp rise in market rates during the financial year which resulted in a decrease in the fair value of the hedged loan portfolio against an increase in the value of the related hedging derivatives.

The fair value of the corresponding hedging derivatives is shown respectively in Table 5.2 (assets) or Table 4.2 (liabilities), both entitled "Hedging derivatives: breakdown by hedged portfolio and type of hedging", in the "Macro-hedging" column.

The assets subject to macro hedging of interest risk refer to fixed and cap/floor floating rate mortgage loan portfolios included in item 40 "Financial assets measured at amortised cost - Loans to customers", amounted to EUR 10,341.8 mln as at 31 December 2022 (EUR 12,842.3 mln as at 31 December 2021). The sum of this amount and the one shown in this table expresses the book value of these receivables, adjusted for profit or loss attributable to the risk hedged.



Section 7 – Equity investments – Item 70

7.1 Equity investments: information on shareholding

Company Name	Headquarters	Registered Office	Type of relationship (1)	Ownership Relationship		Avail. % votes (2)
				Held by	Share holding %	
A. Companies under joint control						
Immobiliare Novoli S.p.a.	Florence	Florence	7	Banca Monte dei Paschi di Siena	50.000	-
B. Companies under significant influence						
Axa Mps Assicurazioni Danni S.p.a.	Rome	Rome	8	Banca Monte dei Paschi di Siena	50.000	-
Axa Mps Assicurazioni Vita S.p.a.	Rome	Rome	8	Banca Monte dei Paschi di Siena	50.000	-
Fidi Toscana S.p.a.	Florence	Florence	8	Banca Monte dei Paschi di Siena	27.460	-
Fondo Etrusco Distribuzione	Rome	Rome	8	Banca Monte dei Paschi di Siena	48.000	-
Fondo Minibond PMI Italia *	Conegliano (TV)	Conegliano (TV)	8	Banca Monte dei Paschi di Siena	61.940	-
Fondo Socrate	Rome	Rome	8	Banca Monte dei Paschi di Siena	23.140	-
Microcredito di Solidarietà S.p.a.	Siena	Siena	8	Banca Monte dei Paschi di Siena	40.000	-
S.I.T. Sviluppo Imprese e Territorio S.p.a.	Rome	Rome	8	Banca Monte dei Paschi di Siena	19.969	-

(1) Type of relationship:

7 = joint control;

8 = companies subject to significant influence.

(2) Votes available in the ordinary shareholders' meeting, distinguishing between actual and potential

For further details on changes, see comments to table "7.5 - Equity investments: annual changes".

* The interest does not constitute a control relationship as the Group does not have the power to direct the relevant activities



7.2 Significant equity investments: book value, fair value and dividends earned

Company name	Book value		Fair value	Dividends earned
	31 12 2022	31 12 2021		
A. Companies under joint control				
B. Companies under significant influence				
Axa Mps Assicurazioni Vita S.p.a.	491,992	878,055	-	75,108
Axa Mps Assicurazioni Danni S.p.a.	83,902	104,905	-	30,011
Fidi Toscana S.p.a.	22,159	22,159	-	-
Fondo Minibond PMI Italia	2,525	4,261	-	36
Fondo Etrusco	81,128	78,337	-	2,112
Fondo Socrate	5,989	7,097	10,823	-
Total	687,695	1,094,814	10,823	107,267

At the reporting date or for the financial year of comparison, there are no equity investments arising from the recovery of impaired financial assets.



7.3 Significant equity investments: accounting information

Company name	Cash and cash equivalents	Financial assets	Non-financial assets	Financial liabilities	Non-financial liabilities	Total revenues	Net interest income	Value adjustments and writebacks on tangible and intangible assets	Gain (Loss) from current operations before tax	Gain (Loss) from current operations after tax	Gain (Loss) from groups of assets held for sale after tax	Gain (Loss) for the year (1)	Other comprehensive income after tax (2)	Comprehensive income (3) = (1) + (2)
A. Companies under joint control														
B. Companies under significant influence														
Axa Mps Assicurazioni Danni S.p.a.	X	589,594	42,718	437,057	32,083	171,108	X	X	94,891	64,456	-	64,456	(46,441)	18,015
Axa Mps Assicurazioni Vita S.p.a.	X	19,675,942	977,693	18,907,351	569,880	959,600	X	X	60,955	53,336	-	53,336	(685,629)	(632,293)
Fidi Toscana S.p.a.	X	158,323	102,556	11	155,221	4,599	X	X	(724)	(724)	-	(724)	(3,639)	(4,363)
Fondo Etrusco	X	17,215	228,585	62,455	3,630	7,976	X	X	5,181	5,181	-	5,181	-	5,181
Fondo Minibond PMI Italia	X	4,950	1	-	31	38	X	X	38	38	-	38	-	38
Fondo Socrate	X	13,068	87,674	-	820	2,883	X	X	(495)	(495)	-	(495)	-	(495)



7.3a - Reconciliation of accounting information with the book value of equity investments

	AXA MPS ASSICURAZIONI DANNI S.p.A	AXA MPS ASSICURAZIONI VITA S.p.a.	FIDI TOSCANA S.p.a.	FONDO ETRUSCO	FONDO MINIBOND PMI ITALIA	FONDO SOCRATE
Shareholding	50.00%	50.00%	27.46%	48.00%	61.94%	23.14%
Cash and cash equivalent	X	X	X	X	X	X
Financial assets	589,594	19,675,942	158,323	17,215	4,950	13,068
Non-financial assets	42,718	977,693	102,556	228,585	1	87,674
Financial liabilities	437,057	18,907,351	11	62,455	-	-
Non-financial liabilities	32,083	569,880	155,221	3,630	31	820
Shareholders' equity (100%)	163,173	1,176,404	105,647	179,715	4,920	99,922
Group shareholding	81,586	588,202	29,011	86,263	3,047	23,122
Elimination of unrealized intragroup profit/loss	-	(57,590)	-	-	-	-
Goodwill	2,316	46,796	-	-	-	-
Value adjustments	-	-	(18,291)	-	-	-
Other increase/decrease	-	(85,416)	11,439	(5,135)	(522)	(17,133)
Book value of Associate company as at 31 12 2022	83,902	491,992	22,159	81,128	2,525	5,989
Book value as at 31 12 2021	104,905	878,055	22,159	78,337	4,261	7,097
Profit (loss) for the year	64,456	53,336	(724)	5,181	38	(495)
Other comprehensive income after tax	(46,441)	(685,629)	(3,639)	-	-	-
Comprehensive income attributable to the Group	9,007	(316,147)	(1,198)	2,487	23	(115)
Dividends	(30,011)	(75,108)	-	(2,112)	(36)	-
Other increase/decrease	1	5,192	1,198	2,416	(1,723)	(993)
Book value of Associate company as at 31 12 2022	83,902	491,992	22,159	81,128	2,525	5,989



7.3b – Significant equity investments: information on business

Company name	Type of business
Companies under significant influence	
Axa Mps Assicurazioni Danni S.p.a.	Company specializing in P&C insurance, offering a comprehensive range of insurance solutions tailored to the needs of customers and businesses.
Axa Mps Assicurazioni Vita S.p.a.	Leading company in the domestic insurance market, offering innovative and advantageous solutions for all pension, insurance, savings and investment needs.
Fidi Toscana S.p.a.	A Tuscan financial company which aims to facilitate access to credit for small and medium businesses
Fondo Etrusco Distribuzione	Real estate fund for institutional investors. Its portfolio has been built up through a series of sale and leaseback transactions on commercial properties fully leased by a leading player in the Mass Distribution Industry
Fondo Minibond PMI Italia	Independent investment fund for investments in bonds issued by small and medium Italian businesses
Fondo Socrate	Closed-end mutual real estate investment fund. Listed on the Market for Investment Vehicles of the Italian Stock Exchange as of 30 January 2014

The associates AXA MPS Assicurazioni Danni S.p.A. and AXA MPS Assicurazioni Vita S.p.A. are strategic for the Group.

7.3c – Adoption of the accounting standards “IFRS 17 Insurance Contracts” and “IFRS 9 Financial Instruments” in the companies AXA MPS Assicurazioni Vita and AXA MPS Assicurazioni Danni

This paragraph provides information on the changes introduced and the main impacts deriving from the introduction of the new accounting standards “IFRS 17 - Insurance Contracts” and “IFRS 9 - Financial Instruments”, in relation to the requirements of IAS 8, paragraphs 30 and 31 and in compliance with the instructions of the European Securities and Markets Authority (ESMA).

Overview of IFRS 17 – Insurance contracts.

IFRS 17 “Insurance contracts”, applicable from 1 January 2023, introduces new measurement criteria and accounting rules for insurance contracts. The new standard replaces “IFRS 4”, an interim standard issued in 2004, which allowed the application of different local accounting practices, making it difficult to compare the financial results of insurance groups.

The process of formation and approval of the standard was particularly complex. The first version of the standard approved by the IASB on 18 May 2017, sanctioned 1 January 2021 as the date of entry into force. With two subsequent interventions by the IASB, the date of entry into force was postponed to 1 January 2023, also taking into account the multiple requests for amendments to the standard proposed by various stakeholders following the publication of the first version of the standard. The amendments to the standard were published by the IASB on 25 June 2020 and, following these amendments, the process of endorsement of the standard was activated in the European Union, which was completed on 23 November 2021 with the publication of the EU Regulation 2021/2036. In line with the expectations of the Italian and European industry, the possibility of not applying the grouping into annual cohorts to life insurance contracts characterised by intergenerational mutualisation and cash flow matching was introduced at the endorsement stage, in contrast to the previous version of the standard.

In general, the objective of the new standard is to provide users of financial information with greater comparability and transparency on the profitability of the insurance business. In addition, the new required format of presentation of the Income Statement, with the separation of the insurance result from the financial result, and the increased disclosure provided, adds transparency about the real sources of income and quality of earnings.

The new standard introduces a significant change in the methods of measurement, valuation and representation of insurance contracts, including:

- introduction of a new measure for the valuation and representation of groups of insurance contracts (Unit of Account): insurance contracts that share similar risks and are managed jointly and that belong to the same generation (annual cohort) are aggregated with the exception of the option granted at the time of the endorsement of the standard for life contracts characterised by intergenerational mutualisation;
- requirement of three different measurement models for the valuation of technical liabilities:



- *Building Block Approach* (BBA) or *General Measurement Model* (GMM), a general measurement model for insurance contracts;
- *Variable Fee Approach* (VFA), a measurement model to be applied mandatorily for insurance contracts with a direct participation feature;
- *Premium Allocation Approach* (PAA), a simplified and optional measurement model used mainly for short-term contracts;
- measurement of insurance liabilities on the basis of values that are market consistent: insurance liabilities are measured on the basis of current values weighted by the probability of occurrence and discounted to take into account the time value of money, the cash flows and the liquidity characteristics of the insurance contracts (Present Value of Free Cash Flows-PVFCF);
- introduction of an explicit measure of the adjustment for non-financial risks: the Risk Adjustment (RA) must be recognised within the insurance liability separately and represents the economic compensation that the company requires to bear the uncertainty of future cash flows in terms of amount and *timing*;
- representation of the expected profit implicit in insurance contracts: the so-called “*Contractual Service Margin*” (CSM), i.e. that differential component of expected profit that the company must suspend as an insurance liability and subsequently recognise in the profit or loss account, consistent with the provision of the insurance service over the life of the group of insurance contracts. If, at the time of initial recognition or subsequent measurement, the group of contracts is found to be onerous, recognition of the loss in the income statement is required.

In order to reflect the measurement of the liability at current values, the components of the insurance liability are updated at each *reporting* date and the related changes are recognised according to the nature and accounting options chosen by the company. In particular, the changes relating to the provision of past and current services are recognised in the Income Statement, on the contrary, the changes relating to the provision of future services are recorded as an adjustment of the *Contractual Service Margin*. Finally, changes in the effect of the time value of money and financial risks are reflected in the income statement or the statement of comprehensive income, depending on the accounting choice adopted by the company.

The date of transition to the standard is set for 1 January 2022 and three possible approaches to the transition are contemplated. The first envisages a full retrospective application in the measurement of the contracts present in the portfolio at the transition date (as if the rules introduced had always been in force). Considering the complexity of this approach, two additional methods have been provided that are optional:

- the *Modified Retrospective Approach* (“MRA”), which approximates the results obtained from the full retrospective application, providing for some simplifications;
- the *Fair Value Approach* (“FVA”), according to which the *Contractual Service Margin* is calculated as the difference between the fair value of the group of contracts to which it refers and the value of the Fulfilment Cash Flows at the same date (represented by the sum of the Present Value of Cash Flows and Risk Adjustment).

Main differences with respect to the *Solvency II Framework*

The two frameworks have strong points of contact and consistency. There are strong synergies especially in the determination of future cash flows: the two frameworks require the valuation of insurance liabilities from a “*best estimate*” perspective calculated on the basis of actuarial models and similar technical and financial assumptions.

The two frameworks differ in their objectives. The objective of the solvency regime is to prepare supervisory reports aimed at adequately protecting policyholders and beneficiaries, maintaining financial stability and guaranteeing fairness and stability in the markets. The objective of the new IFRS17 is to develop an accounting standard that provides transparency and accountability to financial reporting. Furthermore, IFRS17 has an impact on the company’s Income Statement, while Solvency II does not present an Income Statement, but requires certain disclosures.

Main methodological choices adopted by the Companies AXA MPS Assicurazioni Vita and AXA MPS Assicurazioni Danni

Within the insurance companies AXA MPS Assicurazioni Vita and AXA MPS Assicurazioni Danni, the standard is applicable to insurance contracts and to contracts defined by the standard as contracts with direct participation clauses. In detail, the following contracts are defined as contracts with direct participation clauses:

- contracts the contractual terms of which specify that the policyholder participates in a clearly identified portfolio of underlying assets;
- contracts for which the company expects to have to pay the policyholder an amount equal to a substantial portion of return on the underlying assets;
- contracts for which the company expects a substantial part of the cash flows to be recognised to the policyholder to vary in line with the cash flows generated by the underlying assets.

With regard to the company Vita, the contracts linked to the segregated accounts, the unit-linked contracts with significant insurance risk and the multi-class contracts qualify as direct participation contracts and are mandatorily measured with the Variable Fee Approach method.

The company Vita also applies the derogation from the application of the annual cohort criterion envisaged by the endorsement process of the aforementioned standard, for direct participation contracts valued according to the Variable Fee Approach, characterised by mutuality between the cash flows of the different generations of the insured.



Pure risk contracts are measured using the general measurement method, the Building Block Approach.

With regard to the company Danni, the contracts issued with an annual duration and the reinsurance contracts are eligible for measurement of the application of the simplified approach, the Premium Allocation Approach. Multi-year contracts, relating to the insurance business linked to mortgages and personal loans, are instead measured using the general measurement method, i.e. the Building Block Approach.

For both companies, the option of disaggregating insurance and reinsurance financial charges between the Income Statement and the Statement of comprehensive income was adopted. In particular, as regards the claims provisions of the Non-Life Business and the contracts valued according to the *Building Block Approach*, the capitalisation of the interest in the income statement is based on “locked-in” discount rates (recognised at the time of initial recognition) and the difference between the valuation at current values and the “locked-in” rates is shown in the statement of comprehensive income. Consistently, most of the debt instruments held are accounted for at fair value with the related changes recognised in the statement of comprehensive income.

With regard to contracts with direct participation clauses, measured according to the *Variable Fee Approach*, the chosen accounting option of disaggregating insurance financial expenses between the Income Statement and the Statement of comprehensive income, makes it possible to align and balance the effects of the change in the financial liability with the financial result of the underlying assets (with the exception of securities measured at amortised cost).

Implementation of the standard in AXA MPS Assicurazioni Vita and AXA MPS Assicurazioni Danni

Since the first publication of IFRS 17, an implementation project has been activated for both insurance companies with the aim of developing both the methodological and interpretative aspects of the standard, and implementing the operational model and architecture of the target information systems, in line with the overall project for the implementation of the standard promoted by the AXA Group.

During 2022, the main project objective was the consolidation of IT methodologies and tools and the definition of the transition impacts as at 1 January 2022. The project also includes the implementation of processes and systems relating to Planning and Control, in order to guarantee the ability to govern the companies also according to the new IFRS 17 measures.

IFRS 9 – Financial instruments

Starting from the 2018 financial year, IFRS 9 – Financial Instruments, issued by the IASB at the end of July 2014 and implemented by EU Regulation 2016/2067, which reformed the rules set forth in IAS 39 on the following main issues, came into force:

- Classification and Measurement: categories are provided for the classification of financial assets based on Business Model and contractual cash flow characteristics;
- Impairment: moving from an incurred loss model to an expected loss model with the introduction of a new concept of staging allocation;
- Hedge Accounting: new model that more closely aligns hedge accounting with risk management processes.

In particular, with regard to the Classification and Measurement area, unlike IAS 39 which mainly requires the analysis of the type of financial asset or liability, as well as the related holding period, IFRS 9 introduced criteria for the classification of instruments based on the assessment of the related Business Model, as well as on the analysis of the characteristics of the contractual cash flows arising from the instruments themselves, with the application of the so-called SPPI test, aimed at verifying the condition of Solely Payments of Principal and Interest. Furthermore, in order to assess which of the Business Models to assign to the financial instrument, IFRS 9 provides for more objective parameters, based on different requirements including: performance, risk, remuneration and turnover.

In the new regulations, some guidelines have also been revised on the ability to reassign the Business Model, which must, however, be very infrequent and necessarily meet particular conditions that involve significant changes “internal” to the company and demonstrable (fundamental condition) to third parties.

For the insurance companies AXA MPS Assicurazioni Vita and AXA MPS Assicurazioni Danni, were defined the criteria, listed below, for classifying and measuring the financial instruments in portfolio and for evaluation of Expected Credit Losses. For both the companies, the business model was defined in relation to insurance portfolios:

- “Held to collect and Sale” prevalent for portfolios linked to Segregated Accounts and Unrestricted portfolio;
- “Other” for Unit linked portfolio and Open-end Pension Funds.

Furthermore, a structured process has been put in place to assess a contractual characteristics of the financial instruments held in portfolio, in order to perform the SPPI test. In general, there are no significant change compared the classification of financial instruments already in place under IAS 39, net of those mandatorily required by the new standard.

In details:

- Debt securities currently classified as Financial assets available for sale and whose business model is held to collect and sale and pass SPPI test, are measured at fair value through other comprehensive income;
- Debt securities currently classified as Financial assets available for sale and whose business model is held to collect and sale and do not pass SPPI test, are measured at fair value through profit or loss;



- Debt securities currently classified as Loans and Receivables and pass SPPI test, are measured at amortised cost;
- Investment Funds (Open and Closed-end) are mandatorily measured at fair value through profit or loss;
- For Equity instruments, the irrevocable option to classify at fair value through other comprehensive income (without recycling to profit or loss) has been exercised.

Debt securities that do not pass SPPI test, are not significant.

With regard to financial liabilities, there are no change compared to the current classification and measurement criteria under IAS 39.

For Expected credit losses, a process has been structured to assess the risk of expected loss for debt instruments classified in the fair value category recognized in equity and measured at amortised costs. For this purpose, the entire contractual period of the measured financial instruments is considered, and the value of expected credit loss is given by multiplying the probability of default (PD) by the estimated loss given default (LGD) by the exposure at default (EAD).

At each reporting date, the expected credit loss initially recognised, is reassessed to reflect any increase in the credit risk of the financial instruments. All instruments are allocated in “stages” on the basis of related credit risk; any stage change is assessed at each reporting date. The stage allocation approach for insurance companies is rating-based and consist in two phases: a quantitative phase, aimed at verifying rating downgrades, and a qualitative phase, aimed at verifying credit risk deterioration or the actual default status.

Impacts recognised by AXA MPS Assicurazioni Vita and AXA MPS Assicurazioni Danni on the first-time application of IFRS17 and IFRS9

Depending on the availability of the historical data required to determine the Contractual Service Margin at the transition date, all three approaches laid down in the standard and described above were used.

In detail, for the long-term contracts of the company Danni, the full retrospective approach was applied for the most recent generations, conversely, for the 2018 and previous generations, the fair value method was applied.

For the company Vita, the pure risk contracts were measured with the modified retrospective approach, the contracts with direct participation clauses were measured mainly with the fair value approach.

During the 2022 financial year, the companies quantified the effects of the first application of the standard at the transition date, 1 January 2022.

The equity impact on first-time adoption of IFRS 17 is recognised, net of the related tax effects, as a balancing entry to the shareholders’ equity of the companies and is attributable to the different measurement criteria of insurance liabilities pursuant to IFRS 17 in place of the criteria provided for by IFRS 4.

The effects, as at 1 January 2022, of the application of IFRS 17 and IFRS 9 on the total shareholders’ equity of the companies are shown below:

- for AXA MPS Assicurazioni Vita, an overall reduction in shareholders’ equity of EUR 615.1 mln, including a *Contractual Service Margin* of EUR 533.7 mln. In addition, it should be noted that a specific IFRS17 OCI reserve is recognised in shareholders’ equity, which replaces the current “Shadow Accounting”, without which the impacts on shareholders’ equity would be lower;
- for AXA MPS Assicurazioni Danni, there was an increase in shareholders’ equity of EUR 9.8 mln, including a *Contractual Service Margin* of EUR 58.3 mln. This impact is mainly attributable to the measurement according to a best estimate logic of the claims reserve at current values.

Economic and financial impacts for the MPS Group

At the date of preparation of these Consolidated Financial Statements, the MPS Group does not have a precise forecast of the capital impact related to the application of the standards in question at the date of first application, i.e. 1 January 2023.

The two insurance investee companies AXA MPS Assicurazioni Danni S.p.A. and AXA MPS Assicurazioni Vita S.p.A. are consolidated in the financial statements of the MPS Group using the equity method. Therefore, the first application of both standards⁴⁹ will have an indirect impact related to the valuation at equity of the equity investments in associates held in the aforementioned insurance investees. Consequently, the change in the shareholders’ equity of the companies will translate, in relation to the share held, into a corresponding change in the shareholders’ equity of the MPS Group.

Based on the analyses carried out that are still being defined, and taking into account the evolution of the shareholders’ equity of the two investees that has already occurred in 2022, it is estimated that the impact that the companies will recognise as a balancing entry to their respective shareholders’ equity upon the first-time application of the new accounting standards and the

⁴⁹ The Parent Company has taken advantage of the temporary exemption from certain provisions of IAS 28, indicated in paragraphs 20O and 20P of IFRS 4, and consequently maintained the accounting standards (IAS 39) in applying the equity method, applied by the associated insurance companies.



related impact on the MPS Group consolidated financial statements will be immaterial compared to the current balance sheet and regulatory capital levels of the MPS Group.

Lastly, with reference to the results of operations of the associates, it should be noted that said results starting from the first quarter of 2023 will be closely related to the method of release of the Contractual Service Margin over time and to its adjustment following the revisions of the operating and financial assumptions included in cash flows and in the risk adjustment.

7.3.d Temporary exemption from the application of IFRS 9 by the AXA Group

As indicated above, given the wide predominance of insurance business (as defined by IFRS 4 and amended by EU Regulation 2017/1988), the AXA Group has decided, for the purposes of preparing its Consolidated Financial Statements, to exercise the option to defer the application of IFRS 9 until the date of entry into force of IFRS 17 scheduled for 1 January 2023.

The Parent Company Banca MPS has decided to avail itself of the temporary exemption from certain provisions of IAS 28, indicated in paragraphs 20O and 20P of IFRS 4, and consequently in applying the equity method it maintained the accounting standards (IAS 39), applied by the associated insurance companies.

Pursuant to the provisions of paragraph 39J of IFRS 4, the additional information on temporary exemption from IFRS 9 adopted by the AXA Group is provided below.

The table below shows, for both insurance associates, the fair value as at 31 December 2022 of financial assets held for trading and financial assets measured at fair value through other comprehensive income as well as the amount of the respective changes in fair value that took place during 2022 (IFRS 4 39E).

The following tables show the fair value as at 31 December 2022 and the related change in the financial year separately for financial assets whose contractual conditions consist exclusively in the payment of principal and interest accrued on the amount of principal to be repaid (type 1 investment) and for financial assets whose contractual terms do not consist exclusively of the payment of principal and interest on the amount of principal to be repaid or that meet the definition of held for trading or, finally, that are managed or whose return is valued on the basis of fair value (type 2 investment).

Item/Investments value type 1	IAS 39			Change in Fair value	
	Financial assets held for trading	Financial assets available for sale (AFS)	Financial assets measured at amortised cost	Financial assets held for trading	Financial assets available for sale (AFS)
Debt securities	-	12,332	519	-	522
Equity instruments	-	-	-	-	-
Units of UCITS	-	-	-	-	-
Total Equity	-	12,332	-	-	522

Item/Investments value type 2	IAS 39			Change in Fair value	
	Financial assets held for trading	Financial assets available for sale (AFS)	Financial assets measured at amortised cost	Financial assets held for trading	Financial assets available for sale (AFS)
Debt securities	43	0	0	0	0
Equity instruments	25	192	317	(493)	(54)
Units of UCITS	5,534	596	448	0	(59)
Total Equity	5,602	788	765	(493)	(113)

The table below provides information on the exposure to credit risk inherent to financial assets with contractual terms that envisage, on certain dates, cash flows represented solely by payments of principal and interest on the amount of principal to be repaid (IFRS4. 39G).



Exposures	Rating classes						AAA	Total
	class 1	class 2	class 3	class 4	class 5	class 6		
Debt securities	3,852	2,122	5,922	689	-	4	262	12,851

class 1=AAA/AA-, class 2=A+/A-, class 3=BBB+/BBB-, class 4=BB+/BB-, class 5=B+/B-, class 6=lower than B-

As at 31 December 2022, with regard to risk profile, the instruments in group 1 were broken down as follows: financial instruments rated BB and BBB accounted for 51.4% of the group total, those rated A, AA and AAA or lower for 46.5%, those rated C for 0.1% and those unrated for 1.9%.

7.4 Non-significant equity investments: accounting information

Items/Amounts	Book value of equity investment	Total assets	Total liabilities	Total revenues	Gain (Loss) from continuing operations after tax	Gain (Loss) from groups of assets held for sale after tax	Gain (Loss) for the year (1)	Other comprehensive income after tax (2)	Comprehensive income (3) = (1) + (2)
A. Companies under joint control	-	138,665	139,763	22,460	(1,073)	-	(1,073)	-	(1,073)
B. Companies under significant influence	598	2,316	701	116	(63)	-	(63)	-	(63)



7.5 Equity investments: annual changes

	Total 31 12 2022	Total 31 12 2021
A. Opening balance	1,095,412	1,107,463
B. Increases	69,051	109,306
B.1 Purchases	-	-
B.2 Write-backs	-	-
B.3 Revaluations	69,051	109,306
B.4 Other increases	-	-
C. Decreases	476,171	121,357
C.1 Sales	-	991
C.2 value adjustments	-	-
C.3 Write-downs	559	3,807
C.4 Other decreases	475,612	116,559
D. Closing balance	688,292	1,095,412
E. Total revaluation	-	-
F. Total write-downs	18,337	18,337

Lines B.3 “Revaluations” include the portion of profits for the year almost entirely realised by the insurance subsidiaries.

Lines C.3 “Write-downs” and C.4 “Other changes” respectively include the portion of losses for the year, pertaining to the Group’s investees, and the effects of the reduction in shareholders’ equity of the Group’s investees, following the distribution of dividends and redemptions of shares.

Reported below is the main embedded goodwill:

Embedded goodwill	31 12 2022	31 12 2021
Axa Mps Assicurazioni Vita S.p.a.	46,796	46,796
Axa Mps Assicurazioni Danni S.p.a.	2,316	2,316
Total	49,112	49,112

7.6 Key considerations and assumptions to determine the existence of joint control or significant influence

The Group considers associate companies, and therefore subject to significant influence, those companies in which it holds a fifth or more of voting rights (including potential voting rights) or in which – despite a lower percentage of voting rights– it has the power of participating in the determination of the financial and operating policies of the investee on account of specific legal agreements such as, for example, the participation in shareholders’ agreements, the participation in important committees of the investee as well as the presence of vetoing rights on significant decisions.

The Group considers jointly controlled those companies with respect to which the following circumstances occur simultaneously:

- if an agreement has been entered into that assigns co-participation in the management of the investee’s activities via a presence on the Board of Directors;
- none of the parties participating in the agreement holds exclusive control;
- decisions relating to relevant activities are made unanimously by the parties identified (each has an implicit or explicit veto right with regard to relevant decisions).



7.7 Covenants on equity investments in jointly controlled companies

No covenants on equity investments in jointly controlled companies are reported.

7.8 Covenants on equity investments in companies subject to significant influence

In the context of the agreements implementing the *Bancassurance* Framework Agreement between AXA and MPS signed in 2007 (hereinafter the “Framework Agreement”), the shareholders’ agreement signed in 2007 (the “Shareholders’ Agreement”), which regulates the corporate governance of the companies, AXA MPS Assicurazioni Vita S.p.A. (hereinafter “AMAV”) and AXA MPS Assicurazioni Danni S.p.A. (hereinafter “AMAD”), provides, inter alia, for put and call options in favour of AXA and MPS, respectively, which may be exercised by them upon the occurrence of the following events: change of control, breach of the lock-up, termination and natural dissolution of the Framework Agreement, serious breach and, finally, invalidity of the entire Framework Agreement as a result of a final and no longer appealable arbitration decision or ruling.

The exercise price of the options in question is equal to the market value of the AMAD and AMAV shares defined as their value at the date of the last day of the calendar quarter preceding the quarter of the calendar year in which the communication of the exercise of the *put* option of AXA or the *call* option of MPS, as the case may be, is received by MPS or AXA, respectively. This value, established on the basis of the guidelines contained in the Shareholders’ Agreement, is compliant with the methods usually adopted in the practice for the valuation of companies operating in the insurance sector, and refers to general principles and methods consistent with the definition of fair value as stated in IFRS 13.

In general, the aforementioned options are linked to conditions precedent and have a protective value typical of joint venture agreements. From an accounting point of view, it should be noted that the *put* and *call* options related to all the events mentioned above are not recognised in the Group’s Financial Statements, as they do not qualify as derivatives pursuant to the definition stated in IFRS 9. In this regard, it should be noted that the exercise price of the options is given by the fair value of the underlying, therefore the option price is always zero or in cases where the options provide for a weighting factor applied to the exercise price other than 100%, the value of these options is substantially zero given the remote probability of the exercise, which is connected to events under the control of the parties and producing unfavourable economic effects for the party that activates them.

7.9 Significant restrictions

As at the reporting date, there are no significant restrictions on the ability of the jointly controlled company or associated companies to transfer funds to Group companies, except those attributable to regulatory legislation, which may require the maintenance of a minimum amount of own funds, or the provisions of the Italian Civil Code on distributable profits and reserves.

7.10 Other information

The valuation with the equity method is carried out on the basis of the Financial Statements referring to 31 December 2022 for the insurance investees; for other companies over which the Group exercises a significant influence or holds joint control and for which the timing of availability of the Financial Statements at the end of the financial year is not compatible with the timing of the closing of the consolidated Financial Statements of the MPS Group, reference is made to the last available accounting report, represented, in most cases, by the report as at 30 June 2022. In any case, when the accounting reports of the associate or joint venture used in applying the equity method refer to a date other than the financial statements of the MPS Group, adjustments are made to take into account any effects of significant transactions or events that occurred between that date and the reporting date of the MPS Group.

Impairment tests on equity investments

As required by the IFRS accounting standards, the equity investments are subject to the impairment test in order to assess whether there is objective evidence that might render the book value of these assets not entirely recoverable. For equity investment in associates or jointly controlled entities, the process to recognise impairment involves verifying the presence of impairment indicators and calculating the necessary write-down. For further details, please refer to Part A of these Notes to the Consolidated Financial Statements, paragraph “Use of estimates



and assumptions - Methods for determining impairment of equity investments”. The valuations as at 31 December 2022 did not involve the need to make value adjustments.

Section 8 – Reinsurance technical reserves – Item 80

No values are shown in this section as the insurance companies in which the Group holds equity investments are associates, and therefore these investments are consolidated using the equity method.

Section 9 - Property, plant and equipment - Item 90

9.1 Property, plant and equipment used in the business: breakdown of assets valued at cost

Asset/Amount	Total	
	31 12 2022	31 12 2021
1. Assets owned	219,886	246,818
a) land	-	-
b) buildings	-	-
c) furniture and furnishings	136,690	142,390
d) electronic systems	50,409	65,185
e) other	32,787	39,243
2. Right of Use acquired through leasing	204,628	221,694
a) land	-	-
b) buildings	198,532	212,864
c) furniture and furnishings	86	80
d) electronic systems	3,631	5,146
e) other	2,379	3,604
Total	424,514	468,512
<i>of which: obtained through the enforcement of the guarantees received</i>	-	-

All the Group's property, plant and equipment are measured at cost, with the exception of land and buildings, for which the Group has applied the restated value method since 31 March 2021.

Item 1 “Assets owned –c) furnishings” includes artworks whose value amounts to EUR 119.3 mln.

The rights of use acquired under leasing are nearly entirely attributable to lease contracts used as branches and as spaces intended to accommodate ATMs or internal offices. The rights of use on electronic systems refer to contracts to rent electronic equipment such as mobile phones and hardware.

As at the reporting date of these Financial Statements, as well as in the comparison financial year, there are no tangible assets obtained through the enforcement of guarantees.

9.2 Property, plant and equipment held for investment purposes: breakdown of assets valued at cost

There were no assets measured at cost.



9.3 Property, plant and equipment used in the business: breakdown of revalued assets

Asset/Amount	Total 31 12 2022				Total 31 12 2021			
	Level 1	Level 2	Level 3	Total	Level 1	Level 2	Level 3	Total
1. Assets owned	-	-	1,617,945	1,617,945	-	-	1,734,966	1,734,966
a) land	-	-	963,842	963,842	-	-	1,063,264	1,063,264
b) buildings	-	-	654,103	654,103	-	-	671,702	671,702
c) furniture and furnishings	-	-	-	-	-	-	-	-
d) electronic systems	-	-	-	-	-	-	-	-
e) other	-	-	-	-	-	-	-	-
2. Right of Use acquired through leasing	-	-	-	-	-	-	-	-
a) land	-	-	-	-	-	-	-	-
b) buildings	-	-	-	-	-	-	-	-
c) furniture and furnishings	-	-	-	-	-	-	-	-
d) electronic systems	-	-	-	-	-	-	-	-
e) other	-	-	-	-	-	-	-	-
Total	-	-	1,617,945	1,617,945	-	-	1,734,966	1,734,966
<i>of which: obtained through the enforcement of the guarantees received</i>	-	-	-	-	-	-	-	-

Land and buildings classified as tangible assets used in the business are valued according to the restated value criterion, for valuation subsequent to initial recognition, starting from 31 March 2021. The line “land” expresses the value of land separately from the value of buildings.

As at 31 December 2022, the Group has granted operating leases of owned assets used in the business totalling EUR 14.0 mln, entirely in the categories a) land and b) buildings. For more information on the Group’s lease assets, see Part M of these Notes to the Financial Statements.

There were no tangible assets obtained by means of financial leases or through the enforcement of guarantees at the reporting date of these Financial Statements or for the financial year of comparison.

9.4 Property, plant and equipment held for investment purposes: breakdown of assets measured at fair value

Asset/Amount	31 12 2022				31 12 2021			
	Level 1	Level 2	Level 3	Total	Level 1	Level 2	Level 3	Total
1. Assets owned	-	-	303,689	303,689	-	-	254,240	254,240
a) land	-	-	143,317	143,317	-	-	125,690	125,690
b) buildings	-	-	160,372	160,372	-	-	128,550	128,550
2. Right of Use acquired through leasing	-	-	-	-	-	-	-	-
a) land	-	-	-	-	-	-	-	-
b) buildings	-	-	-	-	-	-	-	-
Total	-	-	303,689	303,689	-	-	254,240	254,240
<i>of which: obtained through the enforcement of the guarantees received</i>	-	-	29,447	29,447	-	-	19,216	19,216

Assets measured at fair value consist of owned real estate not used for business operations. In this regard, it should be noted that the Group does not hold investment assets represented by rights of use acquired through leases.

As at 31 December 2022, there were items of property, plant and equipment deriving from the enforcement of guarantees from the termination of non-performing finance lease agreements for EUR 29.4 mln (EUR 19.2 mln as at 31 December 2021).



As at 31 December 2021, the Group has granted operating leases of owned assets held for investment purposes totalling EUR 64.6 mln, entirely attributable to the categories a) land and b) buildings. For more information on the Group's leasing activity, see Part M of these Notes to the Consolidated Financial Statements.

The criteria for classification of a tangible asset as an investment property pursuant to IAS 40 are described in the accounting policies, to which reference is made. The disclosure required by IAS 40 paragraph 75 letter c) is not provided, as the classification is not difficult.

As at the reporting date of these Financial Statements and for the comparison financial year, there was no property, plant and equipment under finance lease, as well as the cases referred to in paragraph 75 g), h) of IAS 40.

9.5 Inventories of property, plant and equipment governed by IAS 2: breakdown

Assets/Amounts	Total	
	31 12 2022	31 12 2021
1. Inventories of property, plant and equipment obtained through enforcement of the guarantees	306	329
a) Land	306	306
b) Buildings	-	23
c) Furniture and furnishings	-	-
d) Electronic systems	-	-
e) Others	-	-
2. Other inventories of property, plant and equipment	29,472	32,084
Total	29,778	32,413
<i>of which: measured at fair value net costs of sales</i>	-	-

Line "1. Inventories of property, plant and equipment, obtained through the enforcement of guarantees received" refers to land of the subsidiary Aiace, in liquidation at the reference date of these Financial Statements.

"Other inventories of property, plant and equipment" mainly refer to properties of the Parent Company acquired following the merger by incorporation of former subsidiary MPS Immobiliare S.p.A. in 2014.



9.6 Property, plant and equipment used in the business: annual changes

	Land	Buildings	Furniture and furnishings	Electronic systems	Others	Total 31 12 2022
A. Gross opening balance	1,096,297	1,466,844	534,431	867,314	496,917	4,461,803
A.1 Total net decrease	33,032	582,278	391,961	796,983	454,071	2,258,325
A.2 Net opening balance	1,063,265	884,566	142,470	70,331	42,846	2,203,478
B. Increases	17,114	104,971	1,243	9,594	6,685	139,607
B.1 Purchases	6	11,328	1,142	9,578	4,676	26,730
B.2 Capitalized expenditure on improvements	-	6,639	-	-	-	6,639
B.4 Increases in fair value booked to:	15,569	11,569	-	-	-	27,138
a) shareholders' equity	12,431	8,131	-	-	-	20,562
b) profit and loss	3,138	3,438	-	-	-	6,576
B.5 Exchange gains	-	-	1	16	3	20
B.6 Transfers from properties held for investment	1,539	2,966	X	X	X	4,505
B.7 Other increases	-	72,469	100	-	2,006	74,575
C. Decreases	116,537	136,903	6,937	25,885	14,365	300,627
C.1 Sales	-	-	240	738	176	1,154
C.2 Depreciation	-	73,181	6,531	24,917	13,778	118,407
C.3 Impairment losses booked to:	-	478	-	-	-	478
b) profit and loss	-	478	-	-	-	478
C.4 Decreases in fair value booked to:	32,834	33,423	-	-	-	66,257
a) shareholders' equity	25,852	23,186	-	-	-	49,038
b) profit and loss	6,982	10,237	-	-	-	17,219
C.6 Transfer to:	30,823	24,481	-	-	-	55,304
a) tangible asset held for investment	30,823	24,481	X	X	X	55,304
b) assets held for sale	-	-	-	-	-	-
C.7 Other decreases	52,880	5,340	166	230	411	59,027
D. Net closing balance	963,842	852,634	136,776	54,040	35,166	2,042,458
D.1 Total net decreases	32,783	630,015	398,637	777,431	487,147	2,326,013
D.2 Gross closing balance	996,625	1,482,649	535,413	831,471	522,313	4,368,471
E. Carried at cost	601,528	831,038	-	-	-	1,432,566

The furniture, electronic systems and tangible assets included in the “Other” column are valued at cost.

On the other hand, land and buildings are valued according to the restated value method, for valuation after initial recognition at cost.

Line B.4 “Positive changes in fair value” shows total changes of EUR 27.1 mln, of which EUR 6.5 mln charged to the Income Statement as write-backs resulting from previous impairment losses and EUR 20.6 mln to valuation reserves. Line C.4 “Negative changes in fair value” shows total changes of EUR 66.2 mln, of which EUR 17.2 mln was charged to the Income Statement and EUR 49.0 mln to the pre-existing valuation reserves. These changes result from the update of the value of real estate attributable to IAS 16 properties carried out as at 30 June 2022 and 31 December 2022. For details of the valuation methodologies, see paragraph “Fair value levels 2 and 3: measurement techniques and inputs used” in Part A of these Notes to the Financial Statements.

The “Other changes” shown in lines B.7 and C.7 include the transfers of value between the “building” component and that of the “land” of the same property, in relation to the fact that i) the positive revaluation of the fair value has affected, in particular, the “land” component and ii) the unit of measurement considered in order to determine the valuation effects, to be recognised in shareholders' equity or in the income statement based on the sign, is the individual property. In this regard, it must, in fact, be specified that the opening of the single property between the two components (“land” and “building”) is relevant for the purpose of calculating depreciation, depending on the different deterioration that characterizes them; the aforementioned



opening, on the other hand, is not relevant for the purpose of a separate determination of the valuation effects, taking into account that the two components of the same property cannot be sold separately.

Line C.6 letter a) "Transfers to tangible assets held for investment purposes" mainly refers to the properties owned by the Group that were reclassified following the change of use of the prevailing portion of the property.

Line E – "Carried at cost" was shown as per the Bank of Italy's instructions, it needs to be completed for assets accounted for at fair value.

9.6a Property, plant and equipment used in the business - rights of use acquired: annual changes

	Land	Buildings	Furniture and furnishings	Electronic systems	Others	Total 31 12 2022
A. Gross opening balance	-	360,321	99	17,169	7,174	384,763
A.1 Total net decrease	-	147,457	19	12,023	3,570	163,069
A.2 Net opening balance	-	212,864	80	5,146	3,604	221,694
B. Increases	-	31,650	21	3,631	180	35,482
B.1 Purchases	-	10,712	-	3,631	94	14,437
B.7 Other increases	-	20,938	21	-	86	21,045
C. Decreases	-	45,982	15	5,146	1,405	52,548
C.1 Sales	-	-	-	-	-	-
C.2 Depreciation	-	43,861	15	5,146	1,405	50,427
C.3 Impairment losses booked to:	-	478	-	-	-	478
<i>a) net equity</i>	-	-	-	-	-	-
<i>b) profit and loss</i>	-	478	-	-	-	478
C.7 Other decreases	-	1,643	-	-	-	1,643
D. Net closing balance	-	198,532	86	3,631	2,379	204,628
D.1 Total net decreases	-	191,796	34	17,169	4,975	213,974
D.2 Gross closing balance	-	390,328	120	20,800	7,354	418,602
E. Carried at cost	-	-	-	-	-	-

Line B.1 "Purchases" represent rights of use on real estate arising from the conclusion of new lease agreements (EUR 10.7 mln), as well as the right of use (EUR 3.6 mln) related to the extension of the lease agreement for hardware machines.

The outcome of the impairment test carried out as at 31 December 2022 on the rights of use on properties led to the recognition of an impairment loss equal to EUR 0.5 mln recognised in income statement item 210 "Net impairment losses/reversals on property, plant and equipment" and included in the aforementioned table in line "C.3 Impairment losses charged to the income statement".

"Other increases" in line B.7 shows the changes in the book value of the rights of use resulting from the renewal of existing contracts. "Other decreases" in line C.7 are mainly due to:

- renegotiations of the economic terms of existing contracts, agreed during the financial year;
- release of rented properties as part of the branch closing plan.



9.7 Property, plant and equipment held for investment purposes: annual changes

	31 12 2022		
	Lands	Buildings	Total
A. Opening balance	125,690	128,550	254,240
B Increases	33,410	48,199	81,609
B.1 Purchases	-	-	-
B.2 Capitalized expenditure on improvements	-	309	309
B.3 Increases in fair value	684	615	1,299
B.4 Write-backs	-	-	-
B.5 Exchange gains	-	-	-
B.6 Transfers from property used in the business	30,823	24,481	55,304
B.7 Other increases	1,903	22,794	24,697
C. Decreases	15,783	16,377	32,160
C.1 Sales	330	711	1,041
C.2 Depreciation	-	-	-
C.3 Decreases in fair value	8,605	10,919	19,524
C.4 Impairment losses	-	-	-
C.5 Exchange losses	-	-	-
C.6 Transfers to other asset portfolios	2,049	3,476	5,525
a) properties used in the business	1,539	2,966	4,505
b) Non-current assets held for sale and disposal groups	510	510	1,020
C.7 Other decreases	4,799	1,271	6,070
D. Closing balance	143,317	160,372	303,689
E. Measured at fair value	-	-	-

Property, plant and equipment held for investment purposes are measured at fair value since 1 January 2021.

Lines B.3 “Increases in fair value” and C.3 “Decreases in fair value” show the changes attributable to changes in the estimate of fair value resulting from the annual update of the appraisals as at 30 June 2022 and 31 December 2022, which are overall negative for EUR 18.2 mln. In this regard, it should be noted that, for the purposes of compiling the table in question, the valuation effects at fair value were represented as “open balances” between the land component and the building component for each building unit. In the table that breaks down the income statement item “260. Net gains (losses) on property, plant and equipment and intangible assets measured at fair value”, where the above mentioned valuation impact is reported, capital gains (losses) are however determined taking the individual property as reference unit.

The sub-item “E. Measured at fair value”, to be completed for investment properties valued at cost, is blank as all properties are valued at fair value. As at 31 December 2022, therefore, the book value of property, plant and equipment held for investment purposes (sub-item D) corresponds to its fair value.



9.8 Inventories of property, plant and equipment governed by IAS 2: annual changes

	Inventories of property, plant and equipment obtained through enforcement of the guarantees					Other Closing balance of tangible assets	Total
	Land	Buildings	Furniture and furnishings	Electronic systems	Others		
A. Opening balance	306	23	-	-	-	32,084	32,413
B. Increase	-	-	-	-	-	253	253
B.1 Purchases	-	-	-	-	-	-	-
B.2 Write-backs	-	-	-	-	-	134	134
B.3 Exchange gains	-	-	-	-	-	-	-
B.4 Other increases	-	-	-	-	-	119	119
C. Decreases	-	23	-	-	-	2,865	2,888
C.1 Sales	-	-	-	-	-	335	335
C.2 Impairment losses	-	-	-	-	-	2,376	2,376
C.3 Exchange losses	-	-	-	-	-	-	-
C.4 Other decreases	-	23	-	-	-	154	177
D. Closing balance	306	-	-	-	-	29,472	29,778

9.9 Commitments to purchase property, plant and equipment

No commitments to purchase property, plant and equipment were registered in 2022, as was the case for the comparison financial year.

9.10 Property, plant and equipment: depreciation rates

Main categories of property, plant and equipment	%
Buildings	2%-20%
Furniture and furnishings	10% - 20%
Alarm and video systems	20% - 30%
Electronic and ordinary office equipment	20%
Electronic data processing equipment	20% - 50%
Vehicles	20% - 25%
Telephones	20% - 25%

The percentages used for carrying out the depreciations with reference to the main categories of property, plant and equipment are presented in the table. Owing to their indefinite useful life, land and artworks are not depreciated. Investment property measured at fair value is not subject to depreciation.

For buildings for business use, the depreciation rates are determined on the basis of the cluster to which the individual building belongs. The different clusters are defined in terms of useful life, starting from a minimum of 5 years up to a maximum of 50 years.

Note that the rights of use acquired through leasing are depreciated based on the lease contract duration.



Section 10 – Intangible assets – Item 100

10.1 Intangible assets: breakdown by type

Asset / Amount	31 12 2022			31 12 2021		
	Finite Life	Indefinite Life	Total	Finite Life	Indefinite Life	Total
A.1 Goodwill	X	7,900	7,900	X	7,900	7,900
A.1.1 Group	X	7,900	7,900	X	7,900	7,900
A.1.2 Minorities	X	-	-	X	-	-
A.2 Other intangible assets	154,749	-	154,749	177,329	-	177,329
<i>of which software</i>	<i>153,174</i>	<i>-</i>	<i>153,174</i>	<i>174,748</i>	<i>-</i>	<i>174,748</i>
A.2.1 Assets carried ad cost	154,749	-	154,749	177,329	-	177,329
a) internally generated intangible assets	42,616	-	42,616	42,676	-	42,676
b) other assets	112,133	-	112,133	134,653	-	134,653
A.2.2 Assets valued at fair value:	-	-	-	-	-	-
a) internally generated intangible assets	-	-	-	-	-	-
b) other assets	-	-	-	-	-	-
Total	154,749	7,900	162,649	177,329	7,900	185,229

All of the Group's intangible assets are valued at cost and have a finite useful life with the exception of goodwill.

Goodwill is not systematically amortised but tested for impairment (Impairment Test). The test performed did not result in any impairment losses.

In the line "A.2.1 Assets carried at cost - a) internally generated intangible assets" includes technological intangible assets internally generated for an amount of EUR 42.6 mln.

Line "A.2.1 Assets carried at cost – b) Other assets" includes:

- Purchased or externally-developed software for an amount EUR 110.6 mln. The software totally recognised in the consolidated financial statements amounts to EUR 153.2 mln, of which EUR 42.6 mln of internally developed software and EUR 110.6 mln of purchased or externally-developed Software.
- Intangible assets arising from customer relations recognised following the acquisition of the former Banca Antonveneta S.p.a, deriving from the measurement of on-demand funding (current accounts and savings deposits, or core deposits) for EUR 0.4 mln;

Software is normally amortised over a period of three to five years, except in special cases. Finally it should be noted that the analysis was carried out of the future service life of the main capitalised assets to check for impairment, leading to an adjustment of about EUR 0.2 mln.

During preparation of the 2022 financial statements, goodwill recognised was tested for recoverability or impairment. In accordance with Document 4 jointly published by Bank of Italy/Consob/IVASS on 3 March 2010 and provisions set out in IAS 36, "Impairment of Assets", the activities carried out to perform the goodwill recoverability test are described below.

Impairment test on Group goodwill

Pursuant to IAS 36, all intangible assets with an indefinite useful life must be tested for impairment at least annually to verify the recoverability of value. The Group performs the impairment test with reference to 31 December of each year, and in any case each time the presence of loss indicators is recorded.

The aforementioned standard requires the determination of the recoverable value, defined as the higher value between the fair value and the value in use; if it is not possible to directly determine the recoverable value of the specific intangible asset recognised in the Financial Statements, it is necessary to determine the recoverable value of the cash-generating unit to which the asset belongs (hereinafter "CGU - Cash Generating Unit"). In order to identify the CGUs to which to attribute assets to be tested for impairment, it is necessary that the potentially



identified units generate cash inflows from continuing use which are largely independent of the cash inflows from other assets or groups of assets, which the Group is able to recognise separately in its management reporting system.

It should also be noted that the assessment procedure and parameters for the impairment test of goodwill were approved by the Board of Directors independently and in advance of the approval of the Consolidated Financial Statements.

a. Identification of goodwill

The impairment test was carried out on goodwill; no other indefinite-life intangible assets are recognised in the financial statements.

b. Identification of cash-generating units and allocation of goodwill to the cash-generating units identified

According to IAS 36, each CGU or group of CGUs to which goodwill is allocated represents the lowest level within the entity at which the goodwill is monitored for internal management purposes and should not be larger than an operating segment as defined by IFRS 8 (“Operating Segments”).

In continuity with the approach adopted in the impairment test at 31 December 2021, the Group’s goodwill was tested by identifying those CGUs into which the Group’s operations can be separated and analysing the cash flows that these will be able to generate in future years, based on an approach consistent with Segment Reporting presented in the Financial Statements and therefore with Management Reporting.

The CGUs are identified in line with operating segments (segment reporting), except for the Retail Banking operating segment where it is possible to identify two distinct CGUs, the Retail CGU and the Widiba CGU.

The CGUs, identified on the basis of the above, are as follows:

- “**Retail CGU**”, which includes the Income Statement/Balance Sheet results of retail customers (Value, Premium segments);
- the “**Widiba CGU**”, which includes the financial advisor network and the Self-service channel;
- “**CGU Corporate**”, which includes the financial results of corporate customers (SME, Small Business and Corporate Client segments), the Foreign Branches, the subsidiary MPS Leasing & Factoring and the foreign bank MP Banque;
- **CGU Large Corporate and Investment Banking**, which includes the economic/financial results of Large Group customers and the subsidiary MPS Capital Services;
- “**CGU Wealth Management**”, which includes the income statement/balance sheet results of Private Banking customers (Private Banking and Family Office segments) and the subsidiary MPS Fiduciaria;

They are consistent with the method of primary representation of income/balance sheet data adopted by the Group (*Segment Reporting*). The goodwill is allocated to the Widiba CGU and is therefore the only CGU subjected to an impairment test.

c. Determination of the recoverable value of the CGU

On the basis of the IAS 36 accounting standard, the amount of the impairment loss is determined by the difference between the book value of the CGU and its recoverable amount, if lower. Recoverable amount is defined as the higher of:

- Fair value net of costs to sell - the amount obtainable from the sale of an asset in a regular transaction between market participants, less the costs of disposal;
- Value in use - the present value of estimated future cash flows expected to arise from the continuing use of an asset or from a cash-generating unit (CGU).

The Group’s goodwill as at 31 December 2022 was tested for impairment by identifying the recoverable amount of the Widiba CGU as the value in use estimated through the discounting of future distributable cash flows.

This test was conducted on the basis of Widiba’s 2022-2026 projections, underlying the 2022-2026 Group Business Plan, supplemented by the final 2022 values. These projections include the indirect effects of the Russian conflict in Ukraine and the climate issue, if considered relevant, and are significantly influenced by the macroeconomic framework and the dynamics of the financial markets.



The recoverable amount was estimated by applying the *Dividend Discount Model* (DDM). According to this method, the value of a company is a function of the dividend flow that it is able to generate prospectively. In this case, the method used is the DDM in the *Excess Capital* variant, which assumes that the economic value of a company is equal to the sum of the present value of future cash flows generated in the chosen planning time horizon and distributable to shareholders while maintaining a level of capitalisation adequate to guarantee the expected future development, and the perpetual capitalisation of the flow of the last forecast year, depending on profitability at full capacity. The application of the DDM involves the use of the following formula:

$$W = \sum_{t=1}^n \frac{F_t}{(1+i)^t} + VT_a$$

where:

F_t = cash flows distributable to shareholders over the selected time horizon based on the economic and financial projections made, maintaining a satisfactory level of capitalisation.

i = discount rate represented by the cost of equity (k_e).

VT_a = present Terminal Value calculated as the value of a perpetual yield that is estimated according to an economically sustainable normalised cash flow consistent with the long-term growth rate (" g ").

Estimating cash flows

The cash flows of the Widiba CGU were determined considering the net profit projections of the CGU inferred from the analysis of the development lines drawn up as mentioned above. The main hypotheses and assumptions used to develop the projections relating to the Widiba CGU are illustrated below:

- increase in assets under management, including through the recruitment of new financial advisors, customer loyalty and increase in average assets;
- containment of operating costs while maintaining the level of service for customers and consultants unaltered;
- maintaining an adequate positioning as an innovative operator.

Cash flow discount rates

To discount cash flows distributable to shareholders, the cost of equity was used, i.e. the return on equity required by investors/shareholders for investments with comparable risk characteristics. This rate, equal to 9.39%, is the cost of capital of the MPS Group as at 31 December 2022 according to the methodology validated by internal management committees and calculated using the Capital Asset Pricing Model ("CAPM"), based on the following formula:

$$k_e = R_f + \text{Beta} * \text{ERP} + \text{CR}$$

where:

R_f = risk-free rate, equal to the rate on risk-free assets as 1-year average of the yield on the 10-year BUND, with a zero floor as at 31 December 2022

Beta = correlation factor between actual share performance and overall performance of the reference market (measurement of the volatility of a stock relative to the market), equal to 1.14% (as at 31 December 2022, five years, weekly on the FTSE MIB index)

ERP = *Equity Risk Premium*, premium for the risk required by a mature market (US market, *source: Damodaran*)

CR = *country risk premium* that reflects the risk differential between a mature market and Italy (*rating based default spread - Moody's BAA3 - source: Damodaran*)

The Terminal Value was calculated based on the following formula:

$$VT = \text{normalised distributable cash flow} / (k_e - g)$$

considering a normalised cash flow and an assumed long-term growth rate (g) of 2.00%, approximated by the long-term inflation rate expected in Italy in the long term ("Inflation, end of period consumer prices" - "International Monetary Fund, World Economic Outlook Database, October 2022").



Summary of valuation parameters

The distributable cash flows were therefore determined starting from the 2022-2026 income statement and balance sheet data, as illustrated above, with the following main measurement parameters, which reflect the most recent market conditions, used in determining the recoverable value of the CGU at 31 December 2022:

- a target supervisory ratio (capital ratio) of 8.5% at 2025, taking into account the characteristics of Widiba's business;
- the CGU's cost of capital (ke) equal to 9.39%, determined using the method described above;
- a long-term growth rate (g) of 2.00%.

d. Impairment test results

The results (in mln euros) of the impairment test performed on the Widiba CGU on the basis of the analysis are presented below.

	Shareholders'equity	Recoverable Value	Delta
CGU Widiba	146	233	86

In conclusion, the impairment test on goodwill did not bring to light impairment losses for the Widiba CGU, as the recoverable value is higher than the book value by EUR 86 mln.

e. Sensitivity analysis

In compliance with the provisions of IAS 36 and considering the complexity of the current operating environment, which is characterised by the presence of elements of uncertainty concerning above all the time interval and the extent of the negative impacts caused by the high inflation rate on the macroeconomic scenario, which complicate the 'development of multi-year projections, specific sensitivity analyses were carried out on the recoverable value, in order to be able to appreciate the variability of this last value with respect to reasonable changes in some parameters of the valuation model.

In particular, the parameters subject to sensitivity analysis were identified as:

- "cost of capital (Ke)";
- "long-term growth rate (g)";

used in the valuation model both for forecasting purposes (Terminal Value obtained as projection in perpetuity of the last available cash flow at rate "g"), and for the purposes of discounting future distributable cash flows (Ke) and Terminal Value (Ke and g).

Furthermore, the sensitivity analysis also concerned the cash flows used to determine the Terminal Value, corresponding to the expected net profit (loss) for the year in the last year of the updated multi-year projection.

The following table shows the differentials expressed in relative terms, between the recoverable value as determined above and the value obtained, in the event of decreasing and increasing the growth rate (g) and the cost of capital (Ke) respectively by 10 bps, with respect to the rates actually used, keeping all the remaining assumptions unchanged. These analyses lead to a reduction in value in use of between a minimum of -0.7% and a maximum of -1.1%. Lastly, with reference to the cash flow considered for the purpose of determining the Terminal Value, a 10% reduction generates a reduction in value in use of -5.1%, placing itself in a more severe perspective; there would be a write-down of goodwill only in the presence of a reduction of about 60% of the cash flows in Terminal Value.



	CHANGE IN VALUE IN USE		
	Long-term growth rate	Discount rate	Cash flow in Terminal Value
	(g)	(Ke)	
	-10 bps	+10 bps	-10%
CGU Widiba	-0.7%	-1.1%	-5.1%



10.2 Intangible assets: annual changes

	Goodwill	Other intangible assets: generated internally		Other intangible assets: other		Total
		finite life	indefinite life	finite life	indefinite life	31 12 2022
A. Opening balance	6,605,132	527,961	-	2,018,922	-	9,152,015
A.1 Total net decreases	6,597,232	485,285	-	1,884,269	-	8,966,786
A.2 Net opening balance	7,900	42,676	-	134,653	-	185,229
B. Increases	-	16,453	-	30,025	-	46,478
B.1 Purchases	-	16,453	-	30,016	-	46,469
B.2 Increases in internally generated intangible assets	X	-	-	-	-	-
B.3 Write-backs	X	-	-	-	-	-
B.4 Increases in fair value	-	-	-	-	-	-
- to net equity	X	-	-	-	-	-
- to profit and loss	X	-	-	-	-	-
B.5 Exchange gains	-	-	-	5	-	5
B.6 Other increases	-	-	-	4	-	4
C. Decreases	-	16,513	-	52,545	-	69,058
C.1 Sales	-	-	-	-	-	-
C.2 Write-downs	-	16,509	-	52,077	-	68,586
- Depreciation	-	16,445	-	51,914	-	68,359
- Write-downs	-	64	-	163	-	227
+ net equity	-	-	-	-	-	-
+ profit and loss	-	64	-	163	-	227
C.3 Decreases in fair value	-	-	-	-	-	-
- to net equity	X	-	-	-	-	-
- to profit and loss	X	-	-	-	-	-
C.4 Transfers to non-current assets held for sale	-	-	-	-	-	-
C.5 Exchange losses	-	-	-	-	-	-
C.6 Other decreases	-	4	-	468	-	472
D. Net closing balance	7,900	42,616	-	112,133	-	162,649
D.1 Total net value adjustments	6,597,232	501,687	-	1,936,235	-	9,035,154
E. Gross closing balance	6,605,132	544,303	-	2,048,368	-	9,197,803
F. Carried at cost	-	-	-	-	-	-



Line F - "Carried at cost" was left blank in accordance with Bank of Italy's instructions, as it only needs to be completed for assets measured at fair value.

10.3 Other information: amortisation rates of intangible assets

Main categories of intangible assets	%	residual depreciation period
Software	20% - 33%	
Concessions and other licenses	20.00%	
Core deposits - deposit	6.70%	1 year

Intangible assets recognised during the purchase price allocation of Banca Antonveneta S.p.A. are all finite-life and therefore amortised based on their expected useful life.

There were none of the following as at 31 December 2022:

- revalued intangible fixed assets;
- intangible fixed assets acquired through government concessions (IAS 38, par. 4);
- intangible fixed assets pledged as loan collaterals;
- commitments to purchase intangible assets;



Section 11 - Tax Assets and Liabilities - Item 110 (Assets) and Item 60 (Liabilities)

11.1 Deferred tax assets: breakdown

Items/Amounts	IRES with offsetting entry to P&L	IRES with offsetting entry to Balance Sheet	IRAP with offsetting entry to P&L	IRAP with offsetting entry to Balance Sheet	31 12 2022	31 12 2021
Receivables	214,242	-	39,366	-	253,608	159,391
Receivables (L. 214/2011)	229,438	-	28,435	-	257,873	258,495
Other financial instruments	275	-	458	-	733	4,801
Goodwill (L. 214/2011)	239,033	926	58,493	206	298,658	298,659
Goodwill	1,931	-	391	-	2,322	2,467
Property, plant and equipment	109,060	119	16,775	24	125,978	96,490
Intangible assets	2	-	5	-	7	19
Intangible assets (Law 214/2011)	16,684	-	3,631	-	20,315	20,301
Personnel expenses	1,910	16,458	2,734	1,928	23,030	22,806
ACE surplus	131,471	-	-	-	131,471	89,453
Tax losses	60,128	47,137	-	-	107,265	136,955
Tax losses (Law 214/2011)	21	-	3	-	24	27
Financial instruments - valuation reserves	-	60,038	-	13,094	73,132	13,639
Others	293,140	489	13,373	-	307,002	80,291
Deferred tax assets (gross)	1,297,335	125,167	163,664	15,252	1,601,418	1,183,794
Offsetting with deferred tax liabilities	(18,396)	(69,253)	(2,294)	(13,345)	(103,288)	(137,402)
Deferred tax assets (net)	1,278,939	55,914	161,370	1,907	1,498,130	1,046,392

Deferred tax assets were recognised after verifying the existence of foreseeable future income (probability test). Write-downs (or write-backs of previous write-downs) based on the probability test are recognised overall as an offsetting entry to the tax item of the income statement; in the tables under this section, however, the portion of DTA not recognisable is allocated based on the proportional criterion, also for DTA originally recognised as offsetting entries to shareholders' equity. For additional information, please refer to paragraph 11.8 "Other information" below.

In addition to deferred taxes referring to the main tax (at the rate of 24%) the amounts shown in the IRES column also include those relating to the additional IRES tax (3.5% rate) introduced by Italian Law no. 208 of 28 December 2015, paragraphs 65-66.

The balance of the item recorded an overall increase in the financial year, largely attributable to the partial recovery of the value of deferred tax assets, not recognised in the Financial Statements in previous financial years, due to the higher future taxable income expected as a result of the adoption of the new income projections included in the 2022-2026 Group Business Plan, approved by the Board of Directors of the Parent Company on 22 June 2022; for a more precise quantification of the individual effects, please refer to the following paragraphs of this Section.

The line "Receivables" includes deferred tax assets that can be recognised for residual tenths of the impairment on loans to customers recorded upon first-time adoption of the IFRS 9 standard, whose deduction is envisaged in ten annual instalments (from 2018 to 2027) by art. 1, paragraphs 1067-1069 of Italian Law no. 145 of 30 December 2018 (2019 Budget Law); note that the deductible portion for 2019 was postponed to 2028 by art. 1, par. 713 of Italian Law no. 160 of 27 December 2019 (2020 Budget Law).

The line "Others" includes tax assets relating to other cases; the predominant amount refers to provisions for risks and charges in respect of deductible costs expected for future financial periods.



11.2 Deferred tax liabilities: breakdown

Items/Amounts	IRES with offsetting entry to P&L	IRES with offsetting entry to Balance Sheet	IRAP with offsetting entry to P&L	IRAP with offsetting entry to Balance Sheet	Total 31 12 2022	Total 31 12 2021
Property, plant and equipment and intangible assets	7,901	57,652	2,299	10,972	78,824	94,723
Financial instruments	10,769	27	207	5	11,008	10,990
Personnel expenses	3,582	406	-	127	4,115	2,930
Financial instruments - valuation reserves	1	11,217	-	2,207	13,425	33,829
Others	1	2,130	37	366	2,534	1,970
Deferred tax liabilities (gross)	22,254	71,432	2,543	13,677	109,906	144,442
Offsetting with deferred tax assets	(18,396)	(69,253)	(2,294)	(13,345)	(103,288)	(137,402)
Deferred tax liabilities (net)	3,858	2,179	249	332	6,618	7,040

In addition to deferred taxes referring to the main tax (at the rate of 24%) the amounts shown in the IRES column also include those relating to the additional IRES tax (3.5% rate) introduced by Italian Law no. 208 of 28 December 2015, paragraphs 65-66.

The line “Financial instruments – valuation reserves” includes tax liabilities relating to the valuation of cash flow hedge derivatives, as well as financial instruments classified in the portfolio “Financial assets measured at fair value through other comprehensive income” (OCI).

The balance of the item shows a decrease during the financial year; for the quantification of the individual effects, reference should be made to the following paragraphs of this Section.

**11.3 Deferred tax assets: annual changes (with offsetting entry to profit or loss)**

	Total 31 12 2022	Total 31 12 2021
1. Opening balance	1,108,779	1,189,134
2. Increases	613,220	356,674
2.1 Deferred tax assets arising during the year	593,304	348,205
a) relating to previous years	-	-
b) due to changes in accounting principles	-	9,171
c) write-backs	387,074	185,658
d) other	206,230	153,376
2.2 New taxes or increases in tax rates	-	-
2.3 Other increases	19,916	8,469
3. Decreases	261,000	437,029
3.1 Deferred tax assets derecognised during the year	219,151	233,465
a) reversals	219,151	221,747
b) write-downs of non-recoverable items	-	11,718
c) changes in accounting principles	-	-
d) other	-	-
3.2 Reduction in tax rates	-	-
3.3 Other decreases	41,849	203,564
a) conversion into tax credits pursuant to Law no. 214/2011	27	182,262
b) others	41,822	21,302
4. Total	1,460,999	1,108,779

The major components of “Deferred tax assets arising during the year” as reported in line 2.1 letter d) include those concerning:

- taxed provisions to the provision for risks and charges made during the financial year;
- the tax loss for the purposes of the IRES additional tax accrued during the financial year;
- ACE deduction accrued during the financial year and unused.

The amount shown in line 3.1 letter a) “Reversals” includes the use of provisions for risks and charges taxed in previous financial years and the reversal of one-tenth of the value adjustments on loans to customers accounted for upon first-time adoption of IFRS 9.

The table shows the effects of the measurement of deferred tax assets based on the results of the probability test conducted as at 31 December 2022. Specifically, the amount indicated on line 2.1 letter c) “Value reversals” added to the amount indicated in table 11.6 line 2.1 letter a), is due to the overall write-back of deferred tax assets for EUR 391.8 mln, referring to tax losses accrued and not recognised in previous financial years both with reference to IRES (in the Tax Consolidation Agreement) and to the IRES additional tax (in individual tax returns), to ACE surpluses, and to other deductible temporary differences other than losses and ACE surpluses (these are DTAs that cannot be converted into tax credits pursuant to Italian Law 214/2011, such as those relating to provisions for risks and charges, IFRS 9 FTA credit adjustments, etc.). For additional information, please refer to paragraph 11.8 “Other information” below.



11.4 Deferred tax assets: changes under Italian Law 214/2011 (with offsetting entry to profit or loss)

Items/Amounts	Total	
	31 12 2022	31 12 2021
1. Opening balance	576,350	758,629
2. Increases	61	27
3. Decreases	673	182,305
3.1 Reversals	24	32
3.2 Conversion into tax credits	27	182,262
a) arising from loss for the period	-	182,226
b) arising from tax losses	27	36
3.3 Other decreases	622	11
4. Closing balance	575,738	576,351

In 2022, the subsidiary Widiba reversed the deferred tax assets recognised on the portion of the tax loss for the 2021 financial year consisting of the deduction of amortisation amounts on other intangible assets and impairment losses on loans. This conversion became effective as of the date of the submission of the relevant 2021 tax returns in November 2022, as laid out by the provisions pursuant to art. 2, paragraph 56-bis of the above-mentioned Italian Law Decree 225/2010, and regarded the amount highlighted on line 3.2, letter b).

11.5 Deferred tax liabilities: annual changes (with offsetting entry to profit or loss)

	Total	Total
	31 12 2022	31 12 2021
Opening balance	29,236	30,297
2. Increases	11,803	6,882
2.1 Deferred tax liabilities arising during the year	10,887	3,655
a) relating to previous years	-	-
b) due to changes in accounting principles	-	-
c) other	10,887	3,655
2.2 New taxes or increases in tax rates	-	-
2.3 Other increases	916	3,227
3. Decreases	16,243	7,943
3.1 Deferred taxes derecognised during the year	8,688	6,167
a) reversals	8,688	6,167
b) due to changes in accounting principles	-	-
c) other	-	-
3.2 Reduction in tax rates	-	-
3.3 Other decreases	7,555	1,776
4. Closing balance	24,796	29,236

The increases and decreases in the financial year were mainly attributable to the valuation of hedging derivatives and related hedged assets.

**11.6 Deferred tax assets: annual changes (with offsetting entry to equity)**

	Total 31 12 2022	Total 31 12 2021
1. Opening balance	75,015	75,978
2. Increases	75,412	7,733
2.1 Deferred tax assets arising during the year	75,350	7,129
a) relating to previous years	4,687	1,953
b) due to changes in accounting principles	-	-
c) other	70,663	5,176
2.2 New taxes or increases in tax rates	-	-
2.3 Other increases	62	604
3. Decreases	10,008	8,696
3.1 Deferred tax assets derecognised during the year	9,956	7,846
a) reversal	9,956	7,846
b) write-downs of non-recoverable items	-	-
c) due to changes in accounting principles	-	-
d) other	-	-
3.2 Reduction in tax rates	-	-
3.3 Other decreases	52	850
4. Closing balance	140,419	75,015

The deferred tax assets refer mainly to write-backs on financial instruments classified in the portfolio “Financial assets measured at fair value through other comprehensive income” (OCI).

11.6.1 Deferred tax assets: changes under Italian Law 214/2011 (with offsetting entry to equity)

Items/Amounts	Total 31 12 2022	Total 31 12 2021
1. Opening balance	1,132	1,548
2. Increases	-	-
3. Decreases	-	416
3.1 Reversals	-	-
3.2 Conversion into tax credit	-	416
a) arising from loss for the period	-	416
b) arising from tax losses	-	-
3.3 Other decreases	-	-
4. Closing balance	1,132	1,132

The table shows deferred tax assets that may be converted into tax credits pursuant to Italian Law 214/2011, recognised with an offsetting entry to equity. These refer to goodwill posted by the Parent Company to equity on business combinations “under common control”.



11.7 Deferred tax liabilities: annual changes (with offsetting entry to equity)

	Total 31 12 2022	Total 31 12 2021
1. Opening balance	115,206	55,190
2. Increases	1,609	83,539
2.1 Deferred tax liabilities recognized during the year	1,039	83,257
a) relating to previous years	-	-
b) due to changes in accounting principles	-	78,062
c) other	1,039	5,195
2.2 New taxes or increases in tax rates	-	-
2.3 Other increases	570	282
3. Decreases	31,706	23,523
3.1 Deferred tax liabilities derecognised during the year	30,393	22,825
a) reversals	30,393	22,825
b) due to changes in accounting principles	-	-
c) other	-	-
3.2 Reduction in tax rates	-	-
3.3 Other decreases	1,313	698
4. Closing balance	85,109	115,206

The decreases shown in line 3.1, letter a) refer to reabsorption of deferred tax liabilities, recognised in previous financial years, related to financial instruments classified in the portfolio of 'Financial assets measured at fair value through other comprehensive income' (OCI), to land and buildings under IAS 16 and cash flow hedge derivatives that occurred during the financial year.

11.8 Other information

Probability test

In compliance with the provisions of accounting standard IAS 12 and the ESMA communication of 15 July 2019, the Group recognised deferred tax assets (DTA) after verifying the existence of future taxable income sufficient for the purposes of reabsorption of the same (so-called *Probability test*).

In this test, the different rules set forth in the Italian tax laws which impact the assessment in question were taken into account, in particular:

- art. 2, paragraphs 55-59, of Italian Law Decree no. 225 of 29 December 2010 (converted, with amendments, by Italian Law no. 10 of 26 February 2011) which establishes the obligation for financial intermediaries to convert into tax credits DTAs (IRES and IRAP) relating to goodwill, other intangible assets and impairment losses on receivables, in the case of a loss in the statutory financial statements and/or a tax loss;
- art. 84, paragraph 1 of the TUIR, which allows for the possibility of carrying forward IRES tax losses with no time limits;
- art. 1, paragraph 4 of Italian Law Decree no. 201 of 06 December 2011 (converted, with amendments, by Italian Law no. 214 of 22 December 2011), which allows for unused excess ACE to be carried forward with no time limits, as well as, alternatively, conversion into a tax credit to be used to offset IRAP due in 5 annual instalments;
- paragraphs 61 to 66, art. 1, of the 2016 Stability Law (Italian Law no. 208 of 28 December 2015) reduced the IRES rate from 27.5% to 24% and simultaneously introduced an IRES additional tax of 3.5% for credit and financial institutions; both measures are effective as of 2017.

In terms of methodology, the probability test was carried out by following the steps listed below.



DTAs relating to goodwill, other intangible assets - limited to those registered before 2015 - and impairment losses and adjustments on receivables (“qualified” DTAs), were excluded from the total amount of DTAs for which the existence of sufficient future taxable income needs to be identified. This is because the above-mentioned art. 2, paragraphs 55-59 of Italian Law Decree 225/2010 made the recovery of that type of DTA certain, with respect to both IRES and IRAP, regardless of the presence of future taxable income. Indeed, the rule sets forth that, if taxable income for the financial year in which the recovery of qualified DTAs is expected is not sufficient to absorb them, the resulting tax loss would be convertible into a tax credit that may be, alternatively (i) used to offset, with no amount limits, the various taxes ordinarily due from the Bank, or (ii) requested in the form of a refund, or (iii) transferred to third parties. In addition, qualified DTAs may be converted into tax credit in advance of their natural maturity, in the event of a loss for the year in the statutory financial statements or voluntary liquidation, as well as subjection to bankruptcy proceedings.

In other words, for qualified DTAs the Probability test must be deemed automatically satisfied; this is also confirmed by the joint Bank of Italy, CONSOB and ISVAP document no. 5 of 15 May 2012 “Accounting treatment of deferred tax assets deriving from Law 214/2011”.

For DTAs other than qualified DTAs, the financial year in which the relative recovery is expected has been identified (or estimated when uncertain).

Estimates of taxable income for future financial years were made, consistent with the other relevant corporate valuation processes, on the basis of the expected evolution of the Group’s profit or loss accounts derived from the new income projections included in the 2022-2026 Group Business Plan, approved by the Parent Company’s Board of Directors on 22 June 2022. However, it should be noted that, from a prudential perspective, for the purposes of this assessment, the economic results of 2025 and 2026 outlined in the aforementioned Business Plan were not considered, thus limiting the expected positive evolution to that resulting from the data forecast for 2024; for the estimate of taxable income for the financial years after 2026, a growth of 1.35% was assumed for each year starting from 2027 compared to the economic result forecast for the immediately previous financial year. With reference to the subsidiaries MPS Capital Services Spa and MPS Leasing & Factoring Spa, the expected future income was considered, in derogation from the above, in line with the Multi-year Projections for the financial years 2020 - 2024, approved by the Board of Directors of the Parent Company of 6 August 2020, i.e. in continuity with the valuations of the Financial Statements as at 31 December 2021; this is because the income projections included in the 2022-2026 Business Plan, which assume the incorporation of the afore-mentioned companies by the Parent Company to be carried out by 2023, were not compatible with the *stand alone* scenario of the subsidiaries to be considered in the valuations for Financial Statements as at 31 December 2022.

In order to reflect the level of uncertainty that characterises the actual realisation of long-term forecasts, a discount factor was applied to the forecast economic results (known as Risk-adjusted profits approach) of 9%, unchanged from that used for the Financial Statements as at 31 December 2021. This factor is also calculated taking into account observable market parameters. In greater detail, the adjustment of taxable income is obtained by discounting the forecasts of each year by the factor of 9%, applied according to the compound capitalisation formula, starting from 2023 over a maximum time horizon of 20 years. This formula therefore makes it possible to adjust future forecasts according to an increasing reduction factor based on the time horizon of the estimate of taxable flows.

Taxable income was estimated:

- at domestic tax consolidation level, for the IRES Probability test, since the Group’s most significant companies pay this tax in accordance with arts. 117 et seq. of the Income Tax Act (TUIR);
- at individual level for IRES additional tax;
- at individual level for IRAP.

The valuation exercise conducted with the model described above resulted in the following impacts on the Group’s accounts:

- with regard to DTAs for consolidated tax losses, in addition to the non-recognition of DTAs on the 2022 loss, a write-down of DTAs on previous losses equal to EUR 74.7 mln;

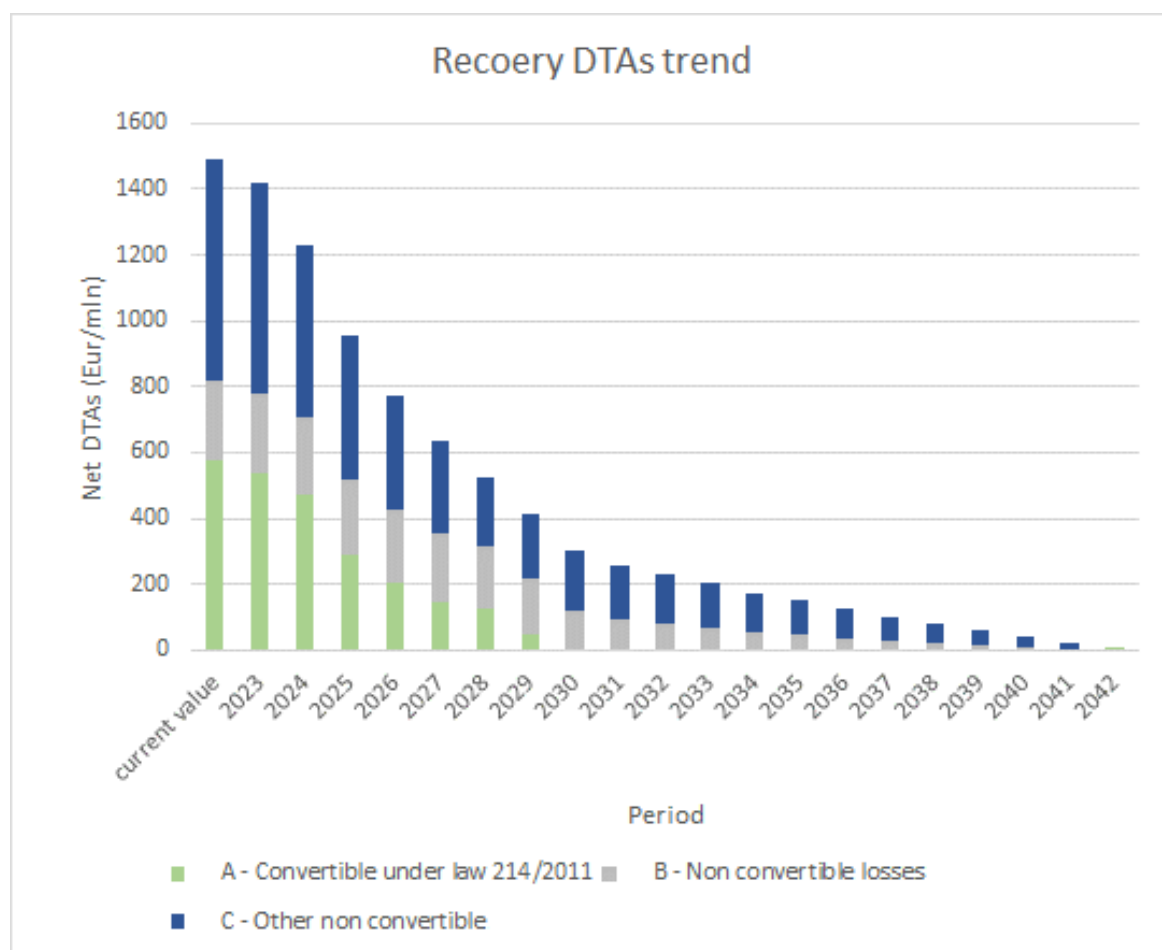


- with regard to DTAs for tax losses for the IRES additional tax purposes, taking into account the DTAs recognised on the 2022 loss, a decrease in value of DTAs equal to EUR 0.5 mln;
- with regard to DTAs for ACE surpluses, taking into account the DTAs recognised on the deduction accrued in 2022 and not used, an increase in value of DTAs equal to EUR 35.1 mln;
- with regard to DTAs other than “qualified” DTAs and those relating to ACE and tax losses, a total recovery in value equal to EUR 431.9 mln.

As a result of the aforementioned valuation, the Group had DTAs not stated as assets in the Balance Sheet, totalling EUR 3,398.6 mln as at 31 December 2022 (EUR 3,535.0 mln as at 31 December 2021).

For the Group, this amount is a potential asset not subject to any time limits according to current tax legislation, with the exception of the limits to carrying forward, in case of extraordinary transactions, envisaged by art. 172 and 173 of Presidential Decree no. 917/1986; the relative recognition in Balance Sheet assets will be evaluated at the future reporting dates based on the Bank’s and the Group’s profit outlook.

The sizeable amount of MPS Group’s tax losses, equal to EUR 12,339 mln, was accrued mainly in 2016 and 2017, corresponding to the start of the Group’s restructuring process, and derives essentially from significant loan adjustments for both years. In particular, for 2016 the methodologies and parameters used in measuring loans had to be updated and for 2017 the realisable value of non-performing loans sold during 2018 had to be adjusted. Therefore, pursuant to the provisions of IAS 12, paragraph 36, letter c), it is believed that these unused tax losses derive from “identifiable causes that are unlikely to recur” and in this sense have been included in the valuation process for DTAs that can be partially recognised in financial statements. The following chart shows the expected trend related to the recovery of DTAs recognised in the Financial Statements as at 31 December 2022, both quantitatively and over time, broken down between convertible DTAs pursuant to Italian Law 214/2011, DTAs from non-convertible losses and other non-convertible DTAs.





The probability test model in use in MPS Group includes some input data whose fluctuations in value can significantly influence the final result of the DTA valuation recognised in financial statements. Specifically, these are:

- 1) forecasted taxable income in the plan's last year (2024)⁵⁰;
- 2) notional rate of return of the business incentive for capitalisation;
- 3) discount rate of future results (coefficient used in the risk-adjusted profits approach)
- 4) tax rates for IRES, additional IRES and IRAP.

Certain relevant indications on the sensitivity of the results of the valuation model are provided below, assuming both an increase and decrease in each of the input data listed above. The effects shown in the table refer to the difference that would have occurred for the tax item of the 2022 income statement, compared to what was actually recognised, changing the individual variable as indicated; the change in taxable income is understood to apply to the amount indicated for each financial year of the time horizon (twenty years) considered in the probability test.

Inputs	Decrease	Effect on income statement of decrease in DTAs (Eur/mln)	Increase	Effect on income statement of increase in DTAs (Eur/mln)
Taxable income starting from 2024	-100 mln	-47.2	+100 mln	40.8
Ace* tax rate (%)	-0.50%	61.2	+0.50%	-27.8
Discount rate of prospective results	-1%	40.3	+1%	-35.9
IRES** tax rate	-1%	-45.8	+1%	45.8

* ACE: corporate equity allowance

** IRES: corporate income tax

Current tax assets

Items/Amounts	Total 31 12 2022	Total 31 12 2021
Prepayments of corporate income tax and regional tax on production (IRES and IRAP)	2,438	3,977
Other tax credits and withholdings	717,138	739,413
Gross current tax assets	719,576	743,390
Offsetting with current tax liabilities	(1,329)	(15,822)
Net current tax assets	718,247	727,568

“Other tax credits and withholdings” consist of IRES/IRAP credits resulting from prior tax returns which can be used as a set-off, income tax credits claimed for refund, the tax credit arising from DTA transformation (Italian Law no. 214/2011 and art. 44-bis of Italian Law Decree 34/2019) for the residual amount yet to be used and tax withholdings incurred.

⁵⁰ Considering that in the probability test as at 31 December 2022, the economic results for 2025 and 2026 (the last year of the plan horizon) were have been conservatively assumed to be equal to the (lower) one expected for 2024, the latter can substantially be retained as the input data determinant for the fluctuation of the value of the DTAs in consideration. Accordingly, the sensitivity of the results of the valuation model illustrated below was obtained by assuming the change in taxable income in 2024.



Current tax liabilities

Items/Amounts	31 12 2022			31 12 2021		
	Booked to net equity	Booked to P&L	Total	Booked to net equity	Booked to P&L	Total
Corporate income tax (IRES IRAP) payables	-	1,340	1,340	(595)	10,776	10,181
Other current income tax payables	-	5	5	-	5,655	5,655
Gross current tax payables	-	1,345	1,345	(595)	16,431	15,836
Offsetting with current tax asset	-	1,329	1,329	(595)	16,417	15,822
Net current tax payables	-	16	16	-	14	14

Section 12 - Non-current assets held for sale and disposal groups and associated liabilities - Item 120 (assets) and 70 (liabilities)

12.1 Non-current assets held for sale and disposal groups: breakdown by type of assets

	Total	
	31 12 2022	31 12 2021
A. Individual assets		
A.1 Financial assets	46	4,644
A.2 Equity investments	-	-
A.3 Property, plant and equipment	65,451	68,239
<i>of which: obtained through the enforcement of the guarantees received</i>	-	-
A.4 Intangible assets	-	-
A.5 Other non-current assets	-	-
Total A	65,497	72,883
<i>of which valued at cost</i>	-	4,644
<i>of which designated at fair value (level 1)</i>	-	-
<i>of which designated at fair value (level 2)</i>	-	-
<i>of which designated at fair value (level 3)</i>	65,497	68,239
B. Asset groups (discontinued operations)	-	-
C. Liabilities associated with individual assets held for sale	-	-
D. Liabilities associated with discontinued operations	-	-

Line "A.1 Financial assets", amounting to EUR 0.04 mln, refers entirely to the sale of an equity security, the closing of which is expected within the first half of 2023.

Line "A.3 Tangible assets", equal to EUR 65.4 mln, includes tangible assets held for investment purposes for EUR 41.6 mln, as well as tangible assets used in the business for EUR 22.9 mln. The same item also includes EUR 0.9 mln relating to works of art classified as IAS 16.

At the reporting date or for the financial year of comparison, there are no equity securities of clearly poor credit quality.



12.2 Other information

At the reporting date, there is no information to report pursuant to IFRS 5.42. There are also no “Discontinued operations”.

Section 13 - Other assets - Item 130

13.1 Other assets: breakdown

	Total 31 12 2022	Total 31 12 2021
Tax credits from the Revenue and other tax levying authorities	1,000,046	419,622
Third party cheques held at the cashier's for collection	3,645	7,262
Cheques drawn on the Company held at the cashier's for collection	717	1,080
Gold, silver and precious metals	100,100	92,452
Items in transit between branches	573	1,128
Items in processing	505,542	525,586
Receivables associated with the provision of goods and services	33,564	10,734
Improvements and incremental costs on third party assets other than those included under tangible assets	31,924	36,221
Prepaid expenses and accrued income not attributable to other line items	512,071	516,785
Biological assets	2,173	2,185
Other	193,258	104,311
Total	2,383,613	1,717,366

The lines “Items in processing” and “Other” include transactions which were cleared in early 2023.

The line “Tax credits from the Revenue and other tax levying authorities” includes EUR 738.2 mln (EUR 167.8 mln as at 31 December 2021) pertaining to tax credits, pursuant to the “Relaunch” Law Decree, acquired as a result of a transfer by direct beneficiaries or previous purchasers.

The line “Accrued income and prepaid expenses not attributable to its own separate item” includes a total of EUR 250.7 mln (EUR 230.5 mln as at 31 December 2021) as prepaid expenses for back office services outsourced, provided by suppliers continuously over the contract term and financially settled by the Group with decreasing amounts over time. For further details on the methods for identifying these types of services, please refer to Part A, paragraph “Other Information - Costs for constant services and decreasing payments” of these Notes to the Financial Statements.

The table above does not include cases attributable to the definitions of “contract assets” and “contract liabilities” at either the reporting date or for the comparison financial year, which would require disclosure pursuant to IFRS 15.116 and 118.



LIABILITIES

Section 1 - Financial liabilities measured at amortised cost - Item 10

1.1 Financial liabilities measured at amortised cost: breakdown of deposits from to banks

Items/accounts	Total 31 12 2022					Total 31 12 2021				
	Book value	Fair value			Book value	Fair value			Level 3	
		Level 1	Level 2	Level 3		Level 1	Level 2	Level 3		
1. Due to Central banks	19,176,864	X	X	X	29,154,838	X	X	X		
2. Due to banks	2,205,895	X	X	X	2,125,023	X	X	X		
2.1 Current accounts and demand deposits	199,120	X	X	X	118,147	X	X	X		
2.2 Time deposits	3,900	X	X	X	16,147	X	X	X		
2.3 Loans	669,031	X	X	X	1,535,300	X	X	X		
2.3.1 Repurchase agreements	626,869	X	X	X	1,468,477	X	X	X		
2.3.2 Other	42,162	X	X	X	66,823	X	X	X		
2.4 Liabilities for commitments to repurchase own equity instruments	-	X	X	X	-	X	X	X		
2.5 Lease liabilities	428	X	X	X	461	X	X	X		
2.6 Other liabilities	1,333,416	X	X	X	454,968	X	X	X		
Total	21,382,759	-	21,382,759	-	31,279,861	-	31,279,861	-		

The balance of the item “Deposits from Central banks” of EUR 19.2 bn (EUR 29.1 bn as at 31 December 2021) relates to funding operations from the ECB, and is fully represented by TLTRO-III loans subscribed by the Parent Company in the period June 2020 - June 2021 in four quarterly auctions. The decrease of EUR 10.0 bn is due to the repayment in December 2022 of the tranche maturing in December 2022 in the amount of EUR 4.0 bn as well as the partial early repayment of a nominal EUR 6 bn of the tranche with original maturity in June 2023.

Line 2.3.1 “Repurchase agreements” contains the financial liabilities arising from repo transactions with banks on both treasury securities and securities made available through reverse repurchase agreements or securities lending transactions.



1.2 Financial liabilities measured at amortised cost: breakdown of deposits from customers

Type of transactions/Amounts	Total 31 12 2022					Total 31 12 2021			
	Book value	Fair value			Book value	Fair value			
		Level 1	Level 2	Level 3		Level 1	Level 2	Level 3	
1. Current accounts and demand deposits	65,783,271	X	X	X	66,159,064	X	X	X	
2. Time deposits	4,331,135	X	X	X	6,438,318	X	X	X	
3. Loans	1,961,244	X	X	X	5,921,781	X	X	X	
3.1 Reverse repurchase agreements	559,430	X	X	X	4,298,657	X	X	X	
3.2 Others	1,401,814	X	X	X	1,623,123	X	X	X	
4. Liabilities for commitments to repurchase own equity instruments	-	X	X	X	-	X	X	X	
5. Lease liabilities	210,765	X	X	X	225,706	X	X	X	
6. Other liabilities	1,063,211	X	X	X	733,934	X	X	X	
Total	73,349,626	-	73,349,626	-	79,478,803	-	79,478,803	-	

Line “3.3.1 Repurchase agreements” contains the financial liabilities arising from repo transactions with customers on both treasury securities and securities made available through reverse repurchase agreements or securities lending transactions.

1.3 Financial liabilities measured at amortised cost: breakdown of debt securities issued

Type of Securities/Amounts	Total 31 12 2022					Total 31 12 2021				
	Book value	Fair value				Book value	Fair value			
		Level 1	Level 2	Level 3	Total		Level 1	Level 2	Level 3	Total
A. Listed securities										
1. Bonds	8,543,804	4,245,320	4,012,166	-	8,257,486	10,326,869	9,714,877	649,641	-	10,364,518
1.1 Structured	-	-	-	-	-	-	-	-	-	-
1.2 Other	8,543,804	4,245,320	4,012,166	-	8,257,486	10,326,869	9,714,877	649,641	-	10,364,518
2. Other securities	7,201	-	7,201	-	7,201	380,669	-	380,669	-	380,669
2.1 Structured	-	-	-	-	-	-	-	-	-	-
2.2 Other	7,201	-	7,201	-	7,201	380,669	-	380,669	-	380,669
Total	8,551,005	4,245,320	4,019,367	-	8,264,687	10,707,538	9,714,877	1,030,310	-	10,745,187

The table shows funding represented by securities, including bonds and certificates of deposit (outstanding and expired) to be repaid.

Liabilities are net of bonds and repurchased CDs. In this regard, it should be noted that as at 31 December 2022, as in the previous financial year, the Group has no outstanding issues with a State guarantee.

The table includes EUR 5,138.5 mln in liabilities subject to fair value micro-hedging (EUR 5,948.2 mln as at 31 December 2021), to hedge interest rate risk.



1.4 Details of subordinated liabilities/securities

Type/Item	Date of issue	Date of maturity	Early repayment starting from	Grand-fathering	Currency	Rate	Step up	31 12 2022		31 12 2021	
								Nominal value	book value	Nominal value	book value
Subordinated loans to bank											
Subordinated loans to customers											
Subordinated debts securities issued											
Subordinated bond loan	18/01/18	18/01/28	18/01/23	NO	Eur	5.375% fixed*	NO	750,000	787,984	750,000	787,957
Subordinated bond loan	23/07/19	23/07/29	NO	NO	Eur	10.5% fixed	NO	300,000	311,218	300,000	311,011
Subordinated bond loan	22/01/20	22/01/30	22/01/25	NO	Eur	8.0% fixed	NO	400,000	427,774	400,000	428,621
Subordinated bond loan	10/09/20	10/09/30	0/09/25	NO	Eur	8.5% fixed	NO	300,000	303,836	300,000	303,520
Total								1,750,000	1,830,812	1,750,000	1,831,109

* 5.375% until 18 January 2023, subsequently 5Y EUR mid-swap rate + 5.005%

1.5 Details of structured liabilities

This table was not completed as the Group has no such liabilities to report for either the current or the previous year.

1.6 Lease payables

Type of transaction/Values	31 12 2022	31 12 2021
Lease liabilities	222,329	216,807
Future minimum lease payment included in lease liabilities not discounted up to 5 years	182,038	176,842
Up to 1 month	7,875	6,401
from 1 to 3 months	4,879	4,752
from 3 months to 1 year	36,371	32,114
from 1 to 5 years	132,913	133,575
Not discounted outgoing cash flow for lease liabilities over to 5 years	40,291	39,965

The table shows the non-discounted outgoing cash flows for lease liabilities broken down by time bracket.



Section 2 - Financial liabilities held for trading - Item 20

2.1 Financial liabilities held for trading: breakdown

Type of transaction/ Group item	NV	Total 31 12 2022				FV*
		FV				
		Level 1	Level 2	Level 3	Total	
A. Balance-sheet liabilities						
1. Due to banks	306,483	318,068	-	-	318,068	318,068
2. Due to customers	2,185,430	2,249,116	-	-	2,249,116	2,249,116
3. Debt securities issued	-	-	-	-	-	-
3.1 Bonds	-	-	-	-	-	-
3.1.1 Structured	-	-	-	-	-	X
3.1.2 Other	-	-	-	-	-	X
3.2 Other securities	-	-	-	-	-	-
3.2.1 Structured	-	-	-	-	-	X
3.2.2 Other	-	-	-	-	-	X
Total A	2,491,913	2,567,184	-	-	2,567,184	2,567,184
B. Derivatives						
1. Financial derivatives		-	1,274,530	4,031	1,278,561	
1.1 Trading	X	-	1,274,530	4,031	1,278,561	X
1.2 Fair value option (FVO)	X	-	-	-	-	X
1.3 Other	X	-	-	-	-	X
2. Credit derivatives		-	142,772	-	142,772	
2.1 Trading	X	-	142,772	-	142,772	X
2.2 Fair value option (FVO)	X	-	-	-	-	X
2.3 Other	X	-	-	-	-	X
Total B	X	-	1,417,302	4,031	1,421,333	X
Total (A+B)	X	2,567,184	1,417,302	4,031	3,988,517	X

key

NV = Nominal or Notional Value

FV = Fair value

FV* = Fair value calculated excluding value adjustments due to variations in the credit rating of the issuer since the date of issue

Criteria adopted for classification of financial instruments in the three levels of the “fair value hierarchy” are reported in Section A.3, “Information on fair value” of Part A, “Accounting policies” of the notes to the financial statements.

The amounts classified in lines “1. Deposits from banks” and “2. Deposits from customers” are related primarily to those in lines “1. Debt securities” and “4. Loans” in table 2.1 of the assets “Financial assets held for trading”. Please also note that the sub-items “Deposits from banks” and “Deposits from customers”, mentioned above, also incorporate uncovered short positions. They are designated at fair value in line with the method applied for “long” positions.

Derivatives connected with fair value option instruments are also included in the trading book: these cover the risks of funding designated at fair value arising from possible interest rate fluctuations and from any embedded options in structured bonds issued (natural and systematic hedging). The fair value of these derivatives is shown in the table in line B1.1.2.

Note that for FVO derivatives with the subsidiary MPS Capital Services S.p.A. the relevant internal units responsible for risk management perform suitable tests at consolidated level in order to periodically test the effectiveness of the hedge established from the perspective of a “natural hedge”.

The fair value calculated on financial derivatives includes value adjustments owing to changes in the Group’s creditworthiness, Debit Value Adjustment (i.e. DVA), totalling EUR 29.8 mln (EUR 6.1 mln as at 31 December 2021).



Type of transaction/ Group item	NV	Total 31 12 2021				FV*
		FV				
		Level 1	Level 2	Level 3	Total	
A. Balance-sheet liabilities						
1. Due to banks	323,551	353,353	-	-	353,353	353,353
2. Due to customers	2,275,268	2,750,757	-	-	2,750,757	2,750,757
3. Debt securities issued	-	-	-	-	-	-
3.1 Bonds	-	-	-	-	-	-
3.1.1 Structured	-	-	-	-	-	X
3.1.2 Other	-	-	-	-	-	X
3.2 Other securities	-	-	-	-	-	-
3.2.1 Structured	-	-	-	-	-	X
3.2.2 Other	-	-	-	-	-	X
Total A	2,598,819	3,104,110	-	-	3,104,110	3,104,110
B. Derivatives						
1. Financial derivatives		-	1,309,284	4,306	1,313,590	
1.1 Trading	X	-	1,309,284	4,306	1,313,590	X
1.2 Fair value option (FVO)	X	-	-	-	-	X
1.3 Other	X	-	-	-	-	X
2. Credit derivatives		-	113,360	-	113,360	
2.1 Trading	X	-	113,360	-	113,360	X
2.2 Fair value option (FVO)	X	-	-	-	-	X
2.3 Other	X	-	-	-	-	X
Total B	X	-	1,422,644	4,306	1,426,950	X
Total (A+B)	X	3,104,110	1,422,644	4,306	4,531,060	X

key

NV = Nominal or Notional Value

FV = Fair value

FV*= Fair value calculated excluding value adjustments due to variations in the credit rating of the issuer since the date of issue

2.2 Details of item 20 “Financial liabilities held for trading”: subordinated liabilities

This table has not been completed as the Group has no such liabilities to report for either the current or the previous year.

2.3 Details of item 20 “Financial liabilities held for trading”: structured liabilities

This table has not been completed as the Group has no such liabilities to report for either the current or the previous year.



Section 3 - Financial liabilities measured at fair value - Item 30

3.1 Financial liabilities measured at fair value: breakdown

Type of transaction / Amount	NV	Total 31 12 2022				FV*
		FV				
		Level 1	Level 2	Level 3	Total	
1. Due to banks	-	-	-	-	-	-
1.1 Structured	-	-	-	-	-	X
1.2 Other	-	-	-	-	-	X
2. Due to customers	-	-	-	-	-	-
2.1 Structured	-	-	-	-	-	X
2.2 Other	-	-	-	-	-	X
3. Debt securities issued	68,850	-	97,027	-	97,027	113,604
3.1 Structured	-	-	-	-	-	X
3.2 Other	68,850	-	97,027	-	97,027	X
Total	68,850	-	97,027	-	97,027	113,604

key

NV = Nominal or Notional Value

FV = Fair Value

FV* = Fair value calculated excluding value adjustments due to variations in the credit rating of the issuer since the date of issue

The table shows the financial liabilities represented by fixed-rate and structured bonds which have been classified at fair value and are subject to hedging. Hedging occurs through derivative contracts and is used to cover the risk of interest rate fluctuations and the risk resulting from embedded options.

In the income statement, positive and negative spreads or margins relative to derivative contracts until the reporting date are recognised as interest income and expense, while valuation profits and losses are posted under item 80 "Net profit (loss) from trading". Profit/loss from financial liabilities measured at fair value is recognised:

- among other revenue items without reversal to the income statement for the amount referring to changes in own creditworthiness;
- in item 110 "Net profit (loss) from other financial assets and liabilities measured at fair value through profit or loss" of the income statement for the residual portion of the fair value change.

The above recognition method does not create nor expand accounting asymmetry in the profit (loss) for the year, as the effects of changes in the credit risk of the Group's liabilities are not offset in the income statement by a change in the fair value of another financial instrument measured at fair value through profit or loss for the year.



Type of transaction / Amount	Total 31 12 2021					
	NV	FV				FV*
		Level 1	Level 2	Level 3	Total	
1. Due to banks	-	-	-	-	-	-
1.1 Structured	-	-	-	-	-	X
1.2 Other	-	-	-	-	-	X
2. Due to customers	-	-	-	-	-	-
2.1 Structured	-	-	-	-	-	X
2.2 Other	-	-	-	-	-	X
3. Debt securities issued	68,849	-	113,989	-	113,989	135,796
3.1 Structured	-	-	-	-	-	X
3.2 Other	68,849	-	113,989	-	113,989	X
Total	68,849	-	113,989	-	113,989	135,796

key

NV = *Nominal or Notional Value*

FV = *Fair Value*

FV* = *Fair value calculated excluding value adjustments due to variations in the credit rating of the issuer since the date of issue*

3.1.a Financial liabilities measured at fair value: fair value option approach

All liabilities for which the fair value option was adopted refer to natural hedges through debt security derivatives for a book value of EUR 97.0 mln, as compared to EUR 114.0 mln in the previous financial year.

3.1.b Financial liabilities measured at fair value: structured debt securities

This statement is not completed because for both the current year and the comparative year, the Bank has no structured bonds issued and subject to fair value measurement.

3.2 Details of “Financial liabilities measured at fair value”: subordinated liabilities

This table was not completed as the Group has no such liabilities to report for either the current or the previous year.



Section 4 - Hedging derivatives - Item 40

4.1 Hedging derivatives: breakdown by type of hedging and underlying asset

	Fair value				NV
	31 12 2022				
	Level 1	Level 2	Level 3	Total	
A. Financial derivatives	-	301,568	-	301,568	3,794,641
1) Fair value	-	301,568	-	301,568	3,794,641
2) Cash flows	-	-	-	-	-
3) Foreign investments	-	-	-	-	-
B. Credit derivatives	-	-	-	-	-
1) Fair value	-	-	-	-	-
2) Cash flows	-	-	-	-	-
Total	-	301,568	-	301,568	3,794,641

	Fair value				NV
	31 12 2021				
	Level 1	Level 2	Level 3	Total	
A. Financial derivatives	-	1,259,140	-	1,259,140	26,614,551
1) Fair value	-	1,259,140	-	1,259,140	26,614,551
2) Cash flows	-	-	-	-	-
3) Foreign investments	-	-	-	-	-
B. Credit derivatives	-	-	-	-	-
1) Fair value	-	-	-	-	-
2) Cash flows	-	-	-	-	-
Total	-	1,259,140	-	1,259,140	26,614,551

key

NV = Nominal or Notional Value

The table displays the negative book value (fair value) of hedging derivatives for hedges carried out through hedge accounting.

In 2022, compared to 2021, there was a significant decrease in the negative fair value of hedging derivatives due to the upward trend in market rates, which reflected the increase in negative fair value of the hedged assets.

Information on the underlying strategies and objectives of hedge transactions can be found in the Section 2 - Market risks in Part E - Information on risks and hedging policies.



4.2 Hedging derivatives: breakdown by hedged portfolios and type of hedging

Transaction/Type of hedge	Fair Value						Cash flow Hedge			Foreign investments	Total 31 12 2022
	Micro Hedge						Macro-hedge	Micro-hedge	Macro-hedge		
	Debt securities and interest rate	Equity instruments and stock indices	currencies and gold	Credit	Goods	Others					
1.Financial assets measured at fair value through other comprehensive income	3,444	-	-	-	X	X	X	-	X	X	3,444
2. Financial assets measure at amortised cost	206,476	X	54,861	-	X	X	X	-	X	X	261,337
3. Portfolio	X	X	X	X	X	X	36,787	X	-	X	36,787
4. Other transaction	-	-	-	-	-	-	X	-	X	-	-
Total assets	209,920	-	54,861	-	-	-	36,787	-	-	-	301,568
1. Financial liabilities	-	X	-	-	-	-	X	-	X	X	-
2. Portfolio	X	X	X	X	X	X	-	X	-	X	-
Total liabilities	-	-	-	-	-	-	-	-	-	-	-
1. Expected transactions	X	X	X	X	X	X	X	-	X	X	-
2. Financial assets and liabilities portfolio	X	X	X	X	X	X	-	X	-	-	-
Total	209,920	-	54,861	-	-	-	36,787	-	-	-	301,568

The tables show the negative fair values of hedging derivatives, classified by hedged assets or liabilities and type of hedging implemented.

In particular, on the assets side, fair value micro-hedging was used to hedge against interest rate risk on bonds classified in the portfolio “*Financial assets measured at fair value through other comprehensive income*” and on securities and loans classified in the portfolio “*Financial assets measured at amortised cost*”, in order to protect them from unfavourable interest rate changes. Fair value macro-hedging was carried out on fixed-rate and cap/floor floating rate mortgage loan portfolios.

With reference to financial liabilities, fair value micro-hedging of the interest rate risk refers primarily to hedges of liabilities represented by securities, while fair value macro-hedging of the interest rate risk refers to hedges of liabilities represented by deposit accounts.

More information on hedged assets and liabilities can be found in the tables contained in Part B of the notes to the financial statements for each section of the balance sheet items to which the hedged items are posted.



Transaction/Type of hedge	Fair Value						Cash flow Hedge			Foreign investments	Total 31 12 2021
	Micro Hedge						Macro-hedge	Micro-hedge	Macro-hedge		
	Debt securities and interest rate	Equity instruments and stock indices	Currencies and gold	Credit	Goods	Others					
1. Financial assets measured at fair value through other comprehensive income	14,953	-	-	-	X	X	X	-	X	X	14,953
2. Financial asset measured at amortised cost	516,760	X	37,409	-	X	X	X	-	X	X	554,169
3. Portfolio	X	X	X	X	X	X	648,660	X	-	X	648,660
4. Other transaction	-	-	-	-	-	-	X	-	X	-	-
Total assets	531,713	-	37,409	-	-	-	648,660	-	-	-	1,217,782
1. Financial liabilities	38,130	X	-	-	-	-	X	-	X	X	38,130
2. Portfolio	X	X	X	X	X	X	3,228	X	-	X	3,228
Total liabilities	38,130	-	-	-	-	-	3,228	-	-	-	41,358
1. Expected transactions	X	X	X	X	X	X	X	-	X	X	-
2. Financial assets and liabilities portfolio	X	X	X	X	X	X	-	X	-	-	-
Total	569,843	-	37,409	-	-	-	651,888	-	-	-	1,259,140

Section 5 - Changes in value of macro-hedged financial liabilities - Item 50

5.1 Change in value of hedged liabilities: breakdown by hedged portfolios

Fair value change of financial liabilities in hedged portfolios / Values	Total 31 12 2022	Total 31 12 2021
1. Positive fair value change of financial liabilities	-	15,875
2. Negative fair value change of financial liabilities	77,363	-
Total	(77,363)	15,875

The balance of changes in value of the liabilities subject to macro-hedging of interest rate risk is recognised in this item.

The decrease in the value adjustment of hedged liabilities is due to the sharp rise in market rates during the financial year which resulted in a decrease in the fair value of the financial liabilities against increases in the value of the related hedging derivatives.

Section 6 – Tax liabilities – Item 60

For comments on tax liabilities please refer to “Section 10 - Tax assets and tax liabilities” of the balance sheet assets.

Section 7 – Liabilities associated with disposal groups – Item 70

For the details of the liabilities associated with disposal groups, please refer to “Section 11 - Non-current assets and disposal groups and associated liabilities” of the balance sheet assets.



Section 8 – Other liabilities – Item 80

8.1 Other liabilities: breakdown

	Total 31 12 2022	Total 31 12 2021
Due to the Revenue and other tax levying authorities	167,961	135,326
Due to social security authorities	967,711	154,164
Amounts available to customers	105,974	103,968
Other amounts due to employees	34,129	20,812
Items in transit between branches	25,146	14,047
Items in processing	757,476	430,261
Payables in relation to the payment of supplies of goods and services	197,853	277,492
Accrued expenses and unearned revenues not attributable to other line items	46,747	48,411
Other	885,905	1,302,699
Total	3,188,902	2,487,180

Sub-items “Items in processing” and “Other” include transactions which were cleared during the first days of 2023.

The amount recognised in the sub-item “Payables to social security institutions” is mainly due to the provision in favour of the Solidarity Fund, net of the payment of the related contribution, made by the Group for the administration of staff reductions within the framework of the trade union agreement signed on 4 August 2022. For further details reference is made to paragraph “Other significant accounting practices” in Part A of these Notes to Consolidated financial statements.

For the disclosures pursuant to IFRS 15.116 and IFRS 15.118, please refer to section 13 of the assets.

Section 9 – Provision for employee severance pay – Item 90

9.1 Provision for employee severance pay: annual changes

	Total 31 12 2022	Total 31 12 2021
A. Opening balance	159,331	166,553
B. Increases	3,082	1,248
B.1 Provision for the year	2,708	1,009
B.2 Other increases	374	239
C. Decreases	92,203	8,470
C.1 Severance payments	77,291	5,407
C.2 Other decreases	14,912	3,063
D. Closing balance	70,210	159,331

9.2 Other information

Provision for employee severance pay is considered as a defined benefit fund for the purpose of international accounting standards.

The provision for the year, as clarified by the Bank of Italy, does not include amounts which, as a result of the reform introduced by Italian Legislative Decree no. 252 of 5 December 2005, are paid directly by the Bank, depending on the various employee options, to complementary pension schemes or to the treasury fund managed



directly by the Italian National Social Security Institute (INPS). These items are recognised in personnel expenses, as “contributions to external pension funds: defined contribution”.

9.2.a Changes in net defined benefit liabilities during the financial year: severance pay

Item/Amount	Present value of DBO	
	31 12 2022	31 12 2021
Opening balance	159,331	166,553
Current service cost	37	27
Interest income/expense	2,670	981
Remeasurement of net defined benefit liability (asset):	(12,666)	(2,113)
Actuarial gains (losses) arising from changes in demographic assumptions	14	-
Actuarial gains (losses) arising from experience adjustments	4,182	2,282
Actuarial gains (losses) arising from changes in financial assumptions	(16,862)	(4,395)
Payments from plan	(77,291)	(5,206)
Effect of any plan curtailments	-	(138)
Effect of any plan settlements	-	54
Other changes	(1,871)	(719)
Closing balance	70,210	159,331

The table above reports the information required by paragraphs 140 and 141 of IAS 19.

9.2.b Key actuarial assumptions used

Key actuarial assumptions/percentage	31 12 2022	31 12 2021
Discount rates	3.48% - 3.69%	0.35% - 0.90%
Expected rates of salary increases	X	X

9.2.c Sensitivity of defined benefit obligation of severance pay to changes in key actuarial assumptions

Actuarial assumptions	31 12 2022		31 12 2021	
	Change in DBO	Change (%) in DBO	Change in DBO	Change (%) in DBO
Discount rates				
Increase of 0.25%	(1,239)	-1.76%	(3,046)	-1.91%
Decrease of 0.25%	1,243	1.77%	2,862	1.80%



Section 10 – Provisions for risks and charges – Item 100

10.1 Provisions for risks and charges: breakdown

Item/Amount	Total 31 12 2022	Total 31 12 2021
1. Provision for credit risk on commitments and financial guarantees issued	138,923	136,893
2. Provision for other commitments and guarantee issued	3,551	7,101
3. Pensions and other post retirement benefit obligations	26,592	29,732
4. Other provisions for risks and charges	1,346,423	1,481,007
4.1 legal disputes	886,434	1,016,371
4.2 personnel charges	53,419	41,899
4.3 other	406,570	422,737
Total	1,515,489	1,654,733

For further details of the sub-item 4.3 “others”, please refer to table 10.6 below “Provisions for risks and charges - Other provisions”.

10.2 Provisions for risks and charges: annual changes

Item/Amount	Total 31 12 2022			
	Provisions for commitments and other guarantees issued	Pensions and other post retirement benefit obligations	Other provisions	Total
A. Opening balance	7,101	29,732	1,481,007	1,517,840
B. Increases	-	57,433	391,887	449,320
B.1 Provision for the year	-	4	375,256	375,260
B.2 Changes due to the time value of money	-	4	11,080	11,084
B.3 Changes due to discount rate changes	-	-	13	13
B.4 Other increases	-	57,425	5,538	62,963
C. Decreases	3,550	60,573	526,471	590,594
C.1 Use during the year	-	2,853	175,311	178,164
C.2 Changes due to discount rate changes	-	57,312	71,537	128,849
C.3 Other decreases	3,550	408	279,623	283,581
D. Closing balance	3,551	26,592	1,346,423	1,376,566

**10.2-bis Other provisions for risks and charges: annual changes**

Item/Amount	Total 31 12 2022			
	Provision for Tax and legal disputes	Provision for personnel changes	Other Provisions	Total
A. Opening balance	1,016,371	41,899	422,737	1,481,007
B. Increases	197,529	41,426	152,932	391,887
B.1 Provision for the year	187,460	41,023	146,773	375,256
B.2 Changes due to the time value of money	10,058	401	621	11,080
B.3 Changes due to discount rate changes	11	2	-	13
B.4 Other increases	-	-	5,538	5,538
C. Decreases	327,466	29,906	169,099	526,471
C.1 Use during the year	69,122	21,136	85,053	175,311
C.2 Changes due to discount rate changes	67,916	2,051	1,570	71,537
C.3 Other decreases	190,428	6,719	82,476	279,623
D. Closing balance	886,434	53,419	406,570	1,346,423

The provisions in line B.1 in line with the columns:

- “Provisions for legal and tax disputes” are mainly related to the disputes concerning financial information disclosed in the period 2008-2015 and to debt collection;
- “Other provisions” include the valuations relating to the risks associated with guarantees issued as part of the derisking of non-performing loans and to the risks relating to transactions with customers, including those against expected future repayments associated with contracts falling within the scope of IFRS 15.

Write-backs of provisions mainly refer to the improvement registered in the risk profile of certain types of legal risks in line C-3 “Other changes” and to the discounting effect - in line with the rising interest rate scenario - recognised in line C.2 “Variations due to changes in the discount rate”.

For further details, please refer to Section 5 “Operational risks” of Part E of the Notes to the Financial Statements.

10.3 Provisions for credit risk relative to commitments and financial guarantees given

	Provisions for loans commitments and other financial guarantees issued				
	Stage 1	Stage 2	Stage 3	Purchased or originated credit impaired financial assets	Total 31 12 2022
Commitments to disburse funds	5,242	4,484	-	-	9,726
Financial guarantees issued	9,089	10,255	102,200	7,653	129,197
Total 31 12 2022	14,331	14,739	102,200	7,653	138,923
Total 31 12 2021	13,527	17,050	104,877	1,439	136,893

10.4 Provisions on other commitments and guarantees given

Provision on other commitments under IAS 37 and other guarantees issued under IFRS 4	Total 31 12 2022	
	Nominal Amount	Provision
Other commitments to disburse funds	3,551	3,551
Other financial guarantees issued	-	-
Total	3,551	3,551



10.5 Defined benefit company pension funds

10.5.1. Description of funds and related risks

The information provided below concerns defined benefit pension funds in favour of employees and terminated employees of the Parent Company and the Group companies, i.e. funds in which the obligation of future payment of retirement benefits is undertaken by the funds and indirectly by the companies, which may be required to increase the value of the obligation in the event of inadequate capital assessed in accordance with actuarial criteria.

For each definite benefit plan the Group relies on analyses carried out by an independent certified actuary.

In accounting for plans, the determination of the surplus or deficit is estimated through the use of the actuarial technique of the “projected unit credit method”; therefore, the fair value of the plan assets, if any, was deducted from the current value of the obligation, as shown in the statement of financial position. For more information, see Part A of these Notes to the financial statements.

The valuations concerned the participating employees, whether retired or active (who form a closed group) at the date of valuation, and were carried out on the basis of these groups of employees as measured in December 2022.

In accordance with IAS 19, revised by amendments issued by IASB on 16 June 2011 and approved by EU Regulation no. 475/2012 dated 5 June 2012, in determining the total cost of each defined benefit plan, which - as is well-known - may be influenced by many variables, objective and prudential technical bases were adopted in formulating both demographic and financial assumptions.

In view of the evolutionary nature of the main relevant aggregates, actuarial valuations were performed under dynamic conditions, so as to subsume in the medium-long term both the average annual changes in the benefits defined in each plan, and the interest rate trends expected in the financial market.

Some of the main actuarial assumptions that were formulated and used as valuation bases are mentioned below:

- technical mortality basis: using death probability data as provided in ISTAT’s 2021 tables, broken down by gender and age, with mortality reduced by 30% to consider longevity risk;
- economic-financial basis: using as annual relative interest rate the interpolated EUR Composite AA rate curve as at 31 December 2022.

For each defined benefit plan, the balance sheet equity resulting from valuations carried after reconciliation of actuarial assets and liabilities as at 31 December 2022 underwent a sensitivity analysis to examine the effects of changes in the key technical assumptions included in the calculation model (average annual discount rate and inflation rate), and the results were presented in specific tables.

The theoretical future increase in INPS pensionable earnings was not included in the sensitivity analysis because it is essentially irrelevant for the preparation of the technical financial statements as, given that all defined benefit pensions funds are closed to new participants and taking into account the progressive decrease in the active population due to retirements during the year, the ratio between active and retired participants has now reduced to a percentage of less than 0.1%.

The defined benefit plans, in which the Group companies are co-obliged within the limits set out in the respective by-laws or regulations, are either internal plans, divided in the description below between unfunded and funded, or independent external funds.

As more fully described in the section on subsequent events in Part A of these Notes to the financial statements to which reference should be made, on 19 January 2023 the Parent Company and its subsidiary MPS Capital Services S.p.A. finalised the centralisation and unification of the defined benefit funds (with the exception of Cassa di Previdenza Aziendale MPS) in a new Section B of the Monte dei Paschi di Siena Pension Fund, as authorised by the Pension Fund Authority (Commissione di Vigilanza sui Fondi Pensione, COVIP).

The following table summarises the membership of the different funds as at 31 December 2022.



Unfunded internal funds	Retired	Active	Deferred
Supplementary pension provision for staff in the former tax collection division of Banca Monte dei Paschi di Siena S.p.A. - (Register no. 9185)	280	0	0
Treatment of INPS (Italian state pension Institute) performance for former Banca Operaia di Bologna staff (Bank Register no.9142)	60	3	0
Pension provision for employees of former Banca di Credito Popolare e Cooperativo di Reggio Emilia (Bank Register no.9178)	7	0	0
Pension provision for employees of former Banca Popolare Veneta (Bank Register no. 9066).	13	0	0
Pension fund for MPS Capital Services Banca per le Imprese S.p.A. (Register no. 9134)	31	0	0
Funded internal funds	Retired	Active	Deferred
Pension provision for employees of former Banca Nazionale Agricoltura (Bank Register no. 9047)	181	0	3
Complementary pension provision for employees of former Banca Toscana (Bank Register no. 9110)	686	3	0
External Funds	Retired	Active	Deferred
Pension Fund for personnel of former Banca Agricola Mantovana S.p.A. (Bank Register no. 1341)	28	0	1
Pension Fund for personnel of former Banca Antonveneta S.p.a. (Register no. 1033)	25	0	0

Unfunded internal funds

*Supplementary pension provision for staff in the former tax collection division of Banca Monte dei Paschi di Siena S.p.A.
(Bank Register no. 9185)*

This is a defined benefit plan designed to provide retired staff of the former Direct Management division of the Parent Company with supplementary pension in the form of annuity.

The entitled population, consisting of personnel of the former business unit divested in 2006, retired after 1982. For the purposes of the preparation of the technical financial statements, the liabilities were valued taking into account INPS pension payment regulations issued by Italian Law no. 335/95 as amended and the Plan Regulations.

The valuations concerning participants were carried out on the basis of the positions of retirees, taking into account details on currently paid pensions, types of pension, personal data of the beneficiary and amount of the annuity paid by the Fund and that paid by INPS. In the event that the agreed benefits are costlier than expected, the Parent Company remains responsible for providing additional funds to meet the financial requirements of the retirement plans.

The valuations show an actuarial loss of EUR 0.01 mln as at 31 December 2022.

*National insurance (INPS) for former Banca Operaia di Bologna staff
(Bank Register no. 9142)*

The fund is intended to supplement benefits paid out under INPS pension schemes for retired employees of former Banca Operaia di Bologna.

The Fund Regulations, signed on 23 September 1980, provide for supplementary benefit up to a certain percentage of the last salary earned. For pension calculation purposes, annual salary is understood as the set of items paid on a continuous basis; benefits are paid out to surviving dependants. For the purposes of the preparation of the technical financial statements, the liabilities were valued taking into account INPS pension payment regulations issued by Italian Law no. 335/95 as amended.

The valuations concerning participants were carried out taking into account details on currently paid pensions, personal data of the beneficiary and the ratio between the annuity paid by the Fund and that paid by INPS. In the event of a deficit, the Parent Company is responsible for meeting the financial requirements of the pension fund management.



The valuations show an actuarial gain of EUR 0.05 mln as at 31 December 2022.

Pension provision for employees of former Banca di Credito Popolare e Cooperativo di Reggio Emilia

(Bank Register no. 9178)

The sole aim of the Fund is to supplement compulsory schemes in order to guarantee higher levels of insurance coverage for ex-employees of former Banca di Credito Popolare e Cooperativo di Reggio Emilia, as the direct beneficiaries of a life annuity or as the surviving spouse of a former employee.

The pension provision for employees participating in the Fund is governed by the Regulations issued in 1977 and later amended to reflect subsequent laws. It provides for payment of supplementary benefits so as to reach a certain percentage of the last salary earned.

The valuations concerning participants were carried out taking into account details on currently paid pensions, personal data of the beneficiary and the ratio between the annuity paid by the Fund and that paid by INPS. The obligation to pay the benefits lies with the Parent Company, which must provide the wherewithal to cover the liability over time.

The valuations show an actuarial gain of EUR 0.01 mln as at 31 December 2022.

Pension provision for employees of former Banca Popolare Veneta

(Bank Register no. 9066)

The pension plan is aimed at supplementing the benefits paid out by INPS for employees already retired at 7 December 1989 and their assignees, under labour agreements signed on 4 February 1956 and on 1 January 1982 for executive staff, as amended and supplemented.

The valuations concerning participants were carried out taking into account details on currently paid pensions, personal data of the beneficiary and the ratio between the annuity paid by the Fund and that paid by INPS. In the event of deficit, the Parent Company is responsible for providing additional funds to meet the financial requirements of the retirement plans.

The valuations show an actuarial gain of EUR 0.46 mln as at 31 December 2022.

Pension fund MPS Capital Services Banca per le Imprese S.p.A.

(Bank Register no. 9134)

This is a supplementary defined benefit pension fund.

The valuations show an actuarial loss of EUR 0.53 mln as at 31 December 2022.

Funded internal funds

Pension provision for employees of former Banca Nazionale Agricoltura

(Bank Register no. 9047)

The purpose of this Provision is to pay additional retirement benefits over and above those paid by INPS to employees of the former Banca Nazionale dell'Agricoltura, who retired before 1 October 2000 or whose employment was terminated after this date without their having exercised the right, provided under the agreements of 12 September 2000, to transfer their contributions to another individual capitalisation, defined contribution fund.

The Fund Regulations, first approved in 1966, provide for supplementary benefit up to a certain percentage of the last salary earned, to be paid to the direct beneficiaries and their surviving dependants.

The valuations concerning participants were carried out taking into account details on currently paid pensions, personal data of the beneficiary and the ratio between the annuity paid by the Fund and that paid by INPS. Although the Fund has its own separate and independent allocation capital, the guarantee of performance of the benefit payment obligation lies with the Parent Company, which must ensure the wherewithal to cover the liability over time.



At the valuation date of 31 December 2022, the actuarial calculations show that the capital adequacy of the Fund satisfies the obligation to pay benefits with respect to the participants.

Supplementary pension provision for employees of former Banca Toscana

(Bank Register no. 9110)

This defined benefit supplementary pension fund is reserved for employees of the former Banca Toscana who were already retired at 1 January 1999 and to active employees hired before 27 April 1993 who did not opt at the time to transfer their contributions to an individual capitalisation and defined contribution fund.

The current Fund Regulations set out the rules concerning the retirement benefits to be paid to eligible employees, distinguishing between old age, seniority and disability pensions. Calculation of the supplementary benefits is based on the average of the last three years of employment, taking into account only the items specified in the Regulations.

The guarantee of performance of the benefit payment obligation lies with the Parent Company, which must ensure the wherewithal to cover the liability over time, although the Fund has its own separate accounting and capital, with the effects set out in art. 2117 of the Italian Civil Code.

At the valuation date of 31 December 2022, the actuarial calculations show that the capital adequacy of the Fund satisfies the obligation to pay benefits with respect to the participants.

External funds

Cassa di Previdenza Aziendale for Monte dei Paschi di Siena employees

(Bank Register no. 1127)

The Fund has legal status and full independence in terms of capital and operation.

It is reserved to employees and retirees of the Parent Company hired until 31 December 1990 who, following the agreement of 30 June 1989, opted to remain in the specific supplementary benefit Section under a defined benefit regime.

The Fund's governance consists of a Board of Directors and a Board of Statutory Auditors with joint membership (some of the members are appointed by the Parent Company and others are appointed by the participants) supported by the General Manager.

The Parent Company provides, free of charge, the employees, premises and other resources required for the autonomous management of the Cassa and incurs all the related costs and expenses, including those for the functioning of the governing and control bodies.

In terms of guarantees given, in accordance with art. 26 of the Articles of Association, any deficits in Section coverage which should be identified during actuarial checks will be made up by the Parent Company only to the extent necessary to maintain tier 1 services, in accordance with the guarantee to the participants undertaken in compliance with Italian Law no. 218/90 and referred to in the agreement of 24 June 1991.

The supplementary benefits, which are determined by subtracting the benefits paid out by INPS from the annual amount of the supplementary benefits, are made up of two components. The first component increases the benefits to be paid by the Cassa up to 70% of the fixed items of the salary of an employee of the same level, and the second component increases the supplementary benefits by a further 9%.

The assets that comprise the reference capital consist primarily of investments in securities, managed almost entirely under a financial management agreement, and properties.

The beneficiary population is composed of 2,285 retirees, 112 active employees and 21 employees on deferred retirement.

The technical report prepared in accordance with IAS 19 by the designated actuary shows the capital adequacy of the Supplementary Section with an asset fair value - calculated based on the last available value (30 November 2022) - of EUR 259.2 mln against a defined benefit obligation (DBO) as at 31 December 2022 of EUR 73.6 mln.



Pension Fund for personnel of former Banca Agricola Mantovana S.p.A.

(Bank Register no. 1341)

The Fund, which operates on a defined benefit basis, has legal status and full independence in terms of capital and operation, as its legal form is that of an unincorporated association under art. 36 of the Italian Civil Code.

The sole purpose of the Fund is to pay to the beneficiaries supplementary benefits over and above those paid out by INPS.

At the valuation date of 31 December 2022, actuarial calculations show a DBO (Defined Benefit Obligation) of EUR 0.6 mln against capital set aside to satisfy the pension obligation (Asset Fair Value) of EUR 0.65 mln.

Pension fund for personnel of former Banca Antonveneta S.p.A.

(Bank Register no. 1033)

The Fund, whose legal form is that of an unincorporated association in accordance with art. 36 of the Italian Civil Code, has the sole purpose of providing benefits in addition to AGO (General Compulsory Insurance) cheques, was established in 1966 and has continued to operate to date.

The currently limited group of pensioners entitled to benefits refers to those who at the time did not accept the proposal for the settlement in capital of the value of the position recognised.

At the valuation date of 31 December 2022, the value of the DBO (Defined Benefit Obligation) indicated by the actuarial calculations was EUR 1.3 mln against capital meant to satisfy the pension obligation of EUR 1.5 mln.

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The defined benefit pension fund for personnel of the formerly London branch (BMPS UK Pension Fund) is designed to pay for the employees' benefits upon reaching normal retirement age as well as benefits to other surviving beneficiaries. The pension plan is administered by a Trustee, whose members also include active employees; the financial resources are managed by a specialised company. The technical report prepared in accordance with IAS 19 criteria by the designated actuary at the valuation date of 31 December 2022 shows the capital adequacy of the plan, with a DBO (Defined Benefit Obligation) of EUR 34.1 mln against an asset fair value of EUR 42.1 mln.

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IAS 19 was also applied to calculate the actuarial values that could be used to determine the liability relating to the supplementary benefits associated with the former Credito Lombardo S.p.A. Considering the contractual nature of the obligation, the economic costs are incurred directly by the Parent Company. The currently limited population eligible for benefits includes a total of 79 immediate pensions, of which 48 direct and 31 indirect. The actuarial calculations show a DBO (Defined Benefit Obligation) of EUR 1.6 mln at the valuation date of 31 December 2022.

Finally, there is one position referring to a former General Manager of the Parent Company to whom specific economic benefits other than pension benefits are disbursed. In any event, they are assessed on the basis of actuarial parameters in order to determine the value of the Parent Company's obligation. This type of remuneration, known as "*ex contractu*", consists of payment of monthly benefits revalued on the basis of automatic pension equalisation indexes.

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As required by the Bank of Italy, the internal fund statements can be found in the annexes to the financial statements.

10.5.2 Changes in net defined liability (asset) and reimbursement rights during the financial year

The following tables show movements for the financial year in internal and external funds which, according to international accounting standards, come under the heading of defined benefit funds.



10.5.2a Changes in net defined liability (asset) and reimbursement rights during the financial year: Internal Funds

Item/Amount	31 12 2022			
	A (-)	B (+)	C (+)	D=A+B+C
	Plan assets	Present value of DBO	Effect of asset ceiling	Net defined benefit liability (asset)
Opening balance	(91,064)	107,113	13,590	29,639
Current service cost	X	4	X	4
Interest income/expense	(305)	339	46	80
Remeasurement of net defined benefit liability (asset):	1,596	(2,698)	731	(371)
Return on plan assets excluding interest	1,596	X	X	1,596
Actuarial gains (losses) arising from changes in demographic assumptions	X	3,742	X	3,742
Actuarial gains (losses) arising from experience adjustments	X	11,356	X	11,356
Actuarial gains (losses) arising from changes in financial assumptions	X	(17,796)	X	(17,796)
Changes in effect of limiting net defined benefit asset to asset ceiling	X	X	731	731
Past service cost and gains (losses) arising from settlements	X	-	X	-
Changes in foreign exchange rates	-	-	-	-
Contributions to plan:	-	-	-	-
by employer	-	-	X	-
by employee	-	-	X	-
Payments from plan	7,291	(10,143)	X	(2,852)
Effect of business combinations and disposals	-	-	-	-
Effect of any plan curtailments	-	-	X	-
Effect of any plan settlements	-	-	X	-
Other changes	-	-	-	-
Closing balance	(82,482)	94,615	14,367	26,499



Item/Amount	31 12 2021			
	A (-)	B (+)	C (+)	D=A+B+C
	Plan assets	Present value of DBO	Effect of asset ceiling	Net defined benefit liability (asset)
Opening balance	(98,933)	118,831	12,985	32,883
Current service cost	X	2	X	2
Interest income/expense	(10)	4	2	(4)
Remeasurement of net defined benefit liability (asset):	136	(986)	622	(228)
Return on plan assets excluding interest	136	X	X	136
Actuarial gains (losses) arising from changes in demographic assumptions	X	-	X	-
Actuarial gains (losses) arising from experience adjustments	X	82	X	82
Actuarial gains (losses) arising from changes in financial assumptions	X	(1,068)	X	(1,068)
Changes in effect of limiting net defined benefit asset to asset ceiling	X	X	622	622
Past service cost and gains (losses) arising from settlements	X	-	X	-
Changes in foreign exchange rates	-	-	-	-
Contributions to plan:	-	-	-	-
by employer	-	-	X	-
by employee	-	-	X	-
Payments from plan	7,724	(10,738)	X	(3,014)
Effect of business combinations and disposals	-	-	-	-
Effect of any plan curtailments	-	-	X	-
Effect of any plan settlements	-	-	X	-
Other changes	19	-	(19)	-
Closing balance	(91,064)	107,113	13,590	29,639



10.5.2b Changes in net defined liability (asset) and reimbursement rights during the financial year: External Funds

Item/Amount	31 12 2022			
	A (-)	B (+)	C (+)	D=A+B+C
	Plan assets	Present value of DBO	Effect of asset ceiling	Net defined benefit liability (asset)
Opening balance	(369,115)	143,035	226,173	93
Current service cost	X	-	X	-
Interest income/expense	(3,246)	1,603	1,643	-
Remeasurement of net defined benefit liability (asset):	59,949	(24,907)	(35,042)	-
Return on plan assets excluding interest	59,949	X	X	59,949
Actuarial gains (losses) arising from changes in demographic assumptions	X	836	X	836
Actuarial gains (losses) arising from experience adjustments	X	14,257	X	14,257
Actuarial gains (losses) arising from changes in financial assumptions	X	(40,000)	X	(40,000)
Change in effect of limiting net defined benefit asset to asset ceiling	X	X	(35,042)	(35,042)
Past service cost and gains (losses) arising from settlements	X	-	X	-
Changes in foreign exchange rates	3,711	(2,882)	(828)	-
Contributions to plan:	(2,255)	-	-	(2,255)
by employer	(2,255)	-	X	(2,255)
by employee	-	-	X	-
Payments from plan	6,885	(6,885)	X	-
Effect of business combinations and disposals	-	-	-	-
Effect of any plan curtailments	-	-	X	-
Effect of any plan settlements	-	-	X	-
Other changes	639	-	1,616	2,255
Closing balance	(303,432)	109,964	193,562	93



Item/Amount	31 12 2021			
	A (-)	B (+)	C (+)	D=A+B+C
	Plan assets	Present value of DBO	Effect of asset ceiling	Net defined benefit liability (asset)
Opening balance	(372,662)	157,184	215,574	96
Current service cost	X	-	X	-
Interest income/expense	(1,401)	1,187	214	-
Remeasurement of net defined benefit liability (asset):	2,472	(10,158)	7,683	(3)
Return on plan assets excluding interest	2,472	X	X	2,472
Actuarial gains (losses) arising from changes in demographic assumptions	X	(96)	X	(96)
Actuarially gains (losses) arising from experience adjustments	X	(4,212)	X	(4,212)
Actuarial gains (losses) arising from changes in financial assumptions	X	(5,850)	X	(5,850)
Change in effect of limiting net defined benefit asset to asset ceiling	X	X	7,683	7,683
Past service cost and gains (losses) arising from settlements	X	-	X	-
Changes in foreign exchange rates	(4,520)	3,746	774	-
Contributions to plan:	(2,380)	-	-	(2,380)
by employer	(2,380)	-	X	(2,380)
by employee	-	-	X	-
Payments from plan	8,924	(8,924)	X	-
Effect of business combinations and disposals	-	-	-	-
Effect of any plan curtailments	-	-	X	-
Effect of any plan settlements	-	-	X	-
Other changes	452	-	1,928	2,380
Closing balance	(369,115)	143,035	226,173	93



10.5.2c Changes in net defined benefit liabilities (assets) and reimbursement rights during the financial year – Total

Item/Amount	31 12 2022			
	A (-)	B (+)	C (+)	D=A+B+C
	Plan assets	Present value of DBO	Effect of asset ceiling	Net defined benefit liability (asset)
Internal funds	(82,482)	94,615	14,367	26,499
External funds	(303,432)	109,964	193,562	93
Total defined benefit funds	(385,914)	204,579	207,929	26,592

Item/Amount	31 12 2021			
	A (-)	B (+)	C (+)	D=A+B+C
	Plan assets	Present value of DBO	Effect of asset ceiling	Net defined benefit liability (asset)
Internal funds	(91,064)	107,113	13,590	29,639
External funds	(369,115)	143,035	226,173	93
Total defined benefit funds	(460,179)	250,148	239,763	29,732



10.5.3 Information on the fair value of plan assets

Item	31 12 2022			
	Internal pension plans		External pension plans	
	Listed in active markets	Not listed in active markets	Listed in active markets	Not listed in active markets
Cash and cash equivalents	82,482	-	52,710	-
of which: used by the Group	82,482	-	2,128	-
Equity instruments	-	-	30,267	-
of which: issued by Group	-	-	-	-
Debt instruments	-	-	136,076	-
of which: issued by the Group	-	-	-	-
Real estate	-	-	-	46,294
of which: used by the Group	-	-	-	-
Derivatives	-	-	-	-
UCITS	-	-	38,085	-
Asset-backed securities	-	-	-	-
Structured debt	-	-	-	-
Total	82,482	-	257,138	46,294
<i>of which: own instruments/assets used by the Group</i>	<i>82,482</i>	<i>-</i>	<i>2,128</i>	<i>-</i>

The table shows, for funded defined benefit plans, the total amount of plan assets. In particular, the assets refer to the following funds:

- Pension Fund for personnel of former Banca Agricola Mantovana S.p.A.,
- Pension Fund for personnel of former Banca Toscana S.p.A.,
- Pension Fund for personnel of former Banca Nazionale dell'Agricoltura,
- Pension Fund for personnel of former Banca Antonveneta,
- Cassa di Previdenza Aziendale for Monte dei Paschi di Siena employees, defined benefit section,
- Pension Fund for personnel of the Parent Company of the London branch,

All funds are in excess of existing obligations at the end of the financial year.



Item	31 12 2021			
	Internal pension plans		External pension plans	
	Listed in active markets	Not listed in active markets	Listed in active markets	Not listed in active markets
Cash and cash equivalents	66,390	-	7,773	-
of which: used by the Group	66,390	-	2,433	-
Equity instruments	-	-	36,721	-
of which: issued by Group	-	-	-	-
Debt instruments	24,674	-	104,818	-
of which: issued by the Group	-	-	-	-
Real estate	-	-	-	49,535
of which: used by the Group	-	-	-	-
Derivatives	-	-	-	-
UCITS	-	-	156,224	14,044
Asset-backed securities	-	-	-	-
Structured debt	-	-	-	-
Total	91,064	-	305,536	63,579
<i>of which: own instruments/assets used by the Group</i>	<i>66,390</i>	<i>-</i>	<i>2,433</i>	<i>-</i>

10.5.4 Key actuarial assumptions used

Key actuarial assumptions/percentages	31 12 2022		31 12 2021	
	Defined benefit funds		Defined benefit funds	
	Internal pension plans	External pension plans	Internal pension plans	External pension plans
Discount rates	3.55%	4.06%	0.33%	1.11%
Expected rates of salary increases	2.04%	2.38%	0.00%	1.88%

A discount rate of 3.55% was used for internal plans and of 4.06% for external ones (a range of rates between 3.48% and 3.69% for Provision for severance pay, see table 9.2b), calculated as a weighted average of interest rates in EUR Composite AA yield curve as at 31 December 2022, using, as weights, the ratio between the amount paid/paid in advance for each maturity and the total amount to be paid/pay in advance for the entire duration of the population considered. The EUR Composite AA curve is obtained daily through the Bloomberg information provider and refers to a basket of securities issued by “investment grade” corporate issuers included in the “AA” rating class resident in the Eurozone and belonging to different sectors.



10.5.5 Information on amount, timing and uncertainty of cash flows

31 12 2022

Actuarial assumption	Change in DBO	Change (%) in DBO
Discount rate		
Increase of 0.25%	(4,601)	-2.22%
Decrease of 0.25%	4,049	1.95%
Expected rates of salary increases		
Increase of 0.25%	3,197	1.54%
Decrease of 0.25%	(3,746)	-1.80%

31 12 2021

Actuarial assumption	Change in DBO	Change (%) in DBO
Discount rate		
Increase of 0.25%	(6,884)	-2.78%
Decrease of 0.25%	6,403	2.58%
Expected rates of salary increases		
Increase of 0.25%	4,122	1.66%
Decrease of 0.25%	(1,310)	-0.53%

10.5.6 Plans covering multiple employers

10.5.7 Defined benefit plans sharing risks among entities under common control

Plans having these characteristics are not present for the Group.



10.6 Provisions for risks and charges: other provisions

Items/Amounts	Total	Total
	31 12 2022	31 12 2021
2.1 Legal disputes	886,434	1,016,371
- Revocatory	15,515	17,442
- Other legal disputes	859,184	990,251
- Tax disputes	11,735	8,678
2.2 Personnel charges	53,419	41,899
- Job disputes	49,375	33,896
- Leaving incentives	1,773	1,542
- Other	2,271	6,461
2.3 Other	406,570	422,737
- Risks related to the sale of assets/ business units	14,295	23,700
- Charges due to corporate restructuring	97	915
- Payments to financial advisors	12,693	16,755
- Onerous contracts	144,718	195,524
- Charges for embezzlement	1,329	2,128
- Claims and Out-of-Court agreements	11,935	6,660
- Refunds related to sales of diamonds	4,402	6,270
- Claw back clause (IFRS 15)	23,340	30,207
- Refunds to customers	15,701	10,161
- Charges for legal services	35,606	37,789
- Other	142,454	92,628
Total	1,346,423	1,481,007

The decrease in line 2.1 “Other legal disputes” is mainly related to the improvement in the risk profile of some types of legal risks.

The amount of EUR 144.7 mln recognised in the line “Indemnities related to loan assignment transactions” represents the provision allocated to cover the risks associated with contractual guarantees issued as part of derisking transactions of non-performing loans.



10.7 Contingent liabilities

Item/Type	31 12 2022	31 12 2021
Tax and legal disputes	1,926,578	722,009
Revocatory	6,417	8,115
Other legal disputes	1,892,068	681,515
Tax disputes	28,093	32,379
Personnel charges	15,589	21,359
Job disputes	15,589	21,359
Others	1,032,325	622,270
Total	2,974,492	1,365,638

A contingent liability is defined as i) a possible obligation arising from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more future events not totally under control, or ii) a current obligation that arises from past events but is not recognised because use of resources aimed at producing economic benefits will likely not be required to settle the obligation or because the amount of the obligation cannot be measured with sufficient reliability.

Contingent liabilities are not subject to recording but, if deemed “possible”, are solely subject to disclosure. Conversely, contingent liabilities that are deemed to be of “remote” likelihood do not require any disclosure, pursuant to the provisions of IAS 37. Hence, the table above shows only “possible” liabilities.

Similar to “possible” liabilities, contingent liabilities are also monitored because they may, over time, become “remote” or “probable”, with the need, in the latter case, to make the necessary provisions.

In this context, it should be noted that the classification of contingent liabilities and the relative amount is based on non-objective judgements that require recourse to sometimes extremely complex estimation procedures; therefore, they may be subject to redetermination over time.

Specifically, in reference to the dispute, the table shows the relief sought, where quantified; this value cannot be considered a measurement of the expected disbursement in accordance with IAS 37. In fact, the Bank does not deem it practical to provide an estimate of the expected disbursement, as the calculation would be complex and onerous.

The significant increase in the line Other is attributable to claims and out-of-court settlements/claims.

For further details, please refer to Section 1.5 “Operational risks” of Part E in the Notes to the consolidated financial statements.

Section 11 – Technical reserves – Item 110

The tables in this section have not been completed as no data is present for either current or previous year.

Section 12 - Redeemable shares - Item 130

The tables in this section have not been completed as no data is present for the current financial year or for the previous financial year.



Section 13 – Group equity – Items 120, 130, 140, 150, 160, 170 and 180

13.1 “Share capital” and “Treasury shares”: breakdown

13.1.a “Share capital”: breakdown

Items/Amounts	(in units of Eur)			
	31 12 2022		31 12 2021	
	Implied par value share (a)	Par value of fully paid shares	Par value per share	Par value of fully paid shares
Ordinary shares	5.92	7,453,450,788	9.17	9,195,012,197
Total		7,453,450,788		9,195,012,197

On 6 June 2011 the Bank's Extraordinary Shareholders' Meeting resolved that indication of the nominal value of the classes of shares be eliminated; accordingly, as at 31 December 2011, the so-called “Implied nominal value” is indicated, which is obtained by dividing the total share capital amount by the number of shares in the same category, outstanding at the reference date.

Ordinary shares are registered and indivisible. Each share entitles to one vote. Information on the number of fully paid-up shares can be found in the notes to Table “13.2 Share capital – Number of shares: annual changes”.

At the reporting date, the Parent Company's share capital amounted to EUR 7,453,450,788, represented by 1,259,689,706 ordinary shares without a nominal value, all outstanding.

The share capital decreased overall during the financial year due to the following events resolved by the Extraordinary Shareholders' Meeting of the Parent Company on 15 September 2022: i) reduction of the share capital to cover previous losses, pursuant to art. 2446 of the Italian Civil Code and ii) share capital increase with consideration with the full subscription of the newly issued shares concluded on 4 November 2022. For further details, please refer to the “Statement of changes in Consolidated Shareholders' Equity-2022” in the schedules of these Consolidated Financial Statements.

13.1.b “Treasury shares”: breakdown

The Group did not hold any treasury shares at the reporting date of these Financial Statements or for the financial year of comparison.



13.2 Share capital - Parent company's number of shares: annual changes

Item/Type	31 12 2022	31 12 2021
	Ordinary	Ordinary
A. Shares outstanding as at the beginning of the year	1,002,405,887	1,002,405,887
- fully paid	1,002,405,887	1,002,405,887
- not fully paid	-	-
A.1 Treasury shares (-)	-	36,280,748
A.2 Shares outstanding: opening balance	1,002,405,887	966,125,139
B. Increases	1,249,665,648	36,280,748
B.1 New issuances	1,249,665,648	-
B.2 Sale of treasury shares	-	36,280,748
B.3 Other increases	-	-
C. Decreases	992,381,829	-
C.1 Cancellation	87	-
C.2 Purchase of treasury shares	-	-
C.3 Business transferred	-	-
C.4 Other decreases	992,381,742	-
D. Shares outstanding: closing balance	1,259,689,706	1,002,405,887
D.1 Treasury shares (+)	-	-
D.2 Shares outstanding as at the end of the year	1,259,689,706	1,002,405,887
- fully paid	1,259,689,706	1,002,405,887
- not fully paid	-	-

The increase in the number of shares outstanding, i.e. 1,249,665,648 ordinary shares of the Group refer to the full subscription of the newly issued shares deriving from the share capital increase of EUR 2.5 bn finalised on 4 November.

The reduction in the number of shares outstanding refers to the grouping of BMPS ordinary shares in the ratio of no. 1 new ordinary share for every no. 100 existing ordinary shares, subject to the cancellation of 87 ordinary shares to permit the overall balancing of the transaction without change in the share capital, carried out on 26 September and aimed at reducing the number of shares outstanding in anticipation of the capital increase mentioned above.

At the date of these financial statements, the share capital is fully paid in.



13.3 Share capital: other information

13.3a Equity instruments: breakdown and annual changes

As at 31 December 2022, the Group held no equity instruments.

13.4 Retained earnings: other information

See “Part F – Information on consolidated shareholders’ equity” of these Notes to the Financial Statements.

13.5 Equity instruments: breakdown and annual changes

See “Part F – Information on consolidated shareholders’ equity” of these Notes to the Financial Statements.

13.6 Other information

See “Part F – Information on consolidated shareholders’ equity” of these Notes to the Financial Statements.

Section 14 - Non-controlling interests - Item 190

14.1 Details of item 190 “Non-controlling interests”

Company name	31 12 2022	31 12 2021
Equity investments in consolidated companies with significant non-controlling interests	-	-
Other equity investments	936	1,346
Total	936	1,346

14.2 Equity instruments: breakdown and annual changes

No such instruments are present within the Group.



Other information

1 Commitments and financial guarantees given

Nominal Amount	31 12 2022				Total	Total 31 12 2021
	Stage 1	Stage 2	Stage 3	Purchased or originated credit impaired financial assets		
Irrevocable commitments to disburse funds	27,441,720	820,049	348,985	3,200	28,613,954	34,324,394
a) Central banks	-	-	-	-	-	6
b) Public entities	620,939	-	60	-	620,999	995,387
c) Banks	1,279,969	-	-	-	1,279,969	1,288,014
d) Other financial companies	3,501,174	4,923	9,553	-	3,515,650	7,949,364
e) Non-financial companies	19,929,827	708,931	325,736	3,200	20,967,694	21,634,276
f) Families	2,109,811	106,195	13,636	-	2,229,642	2,457,347
Financial guarantees given to	4,700,720	408,828	183,223	9,100	5,301,871	5,602,770
a) Central Banks	60	-	-	-	60	60
b) Public entities	47,054	953	-	-	48,007	37,904
c) Banks	800,578	250	-	-	800,828	722,395
d) Other financial companies	152,797	5,907	891	-	159,595	157,891
e) Non-financial companies	3,626,394	398,597	179,765	9,100	4,213,856	4,594,724
f) Families	73,837	3,121	2,567	-	79,525	89,796
Total	32,142,440	1,228,877	532,208	12,300	33,915,825	39,927,164



2 Other commitments and guarantees given

	Nominal value	
	31 12 2022	31 12 2021
Other guarantees given to	21,745	264,410
a) Central Banks	-	-
b) Public entities	-	-
c) Banks	13,600	-
d) Other financial companies	8,145	264,410
e) Non-financial companies	-	-
f) Families	-	-
Other commitments	386,904	733,646
<i>of which: non-performing exposures</i>	-	-
a) Central Banks	-	-
b) Public entities	-	-
c) Banks	-	-
d) Other financial companies	-	-
e) Non-financial companies	386,904	733,646
f) Families	-	-
Total	408,649	998,056

The table shows, at the line “Other guarantees given”, the maximum risk resulting from the failure to comply with the representations and warranties issued by the Group in the context of the transactions for derisking of non-performing loans, almost entirely maturing during 2022.

3 Assets pledged as collateral for liabilities and commitments

Portfolios	31 12 2022	31 12 2021
1. Financial assets measured at fair value through profit or loss	45,481	2,400,849
2. Financial assets measured at fair value through other comprehensive income	937,702	4,944,481
3. Financial assets measured at amortised cost	36,966,302	44,810,904
4. Tangible assets	-	-
<i>of which: tangible assets that constitute inventories</i>	-	-

The table summarises the assets pledged by the Group as collateral for its liabilities, mainly represented by repurchase agreements. The amount in line “3. Financial assets measured at amortised cost” includes approx. EUR 22.0 bn related to mortgage loans transferred to the vehicles MPS Covered Bond S.r.l. MPS Covered Bond 2 S.r.l. as part of the two covered bond issuance programmes and approximately EUR 11.6 bn related to loans pledged as collateral with the Eurosystem (ABACO).



4 Investments in unit-linked and index-linked policies: breakdown

The Group does not hold any such investments since no company of the Group issues insurance policies.

5 Asset management and trading on behalf of third parties

	Amount 31 12 2022
1. Trading of financial instruments on behalf of third parties	14,937,863
a) Purchases	8,789,754
1. Settled	8,746,437
2. Unsettled	43,317
b) Sales	6,148,109
1. Settled	6,124,398
2. Unsettled	23,711
2. Asset management accounts	3,110,493
a) individual	3,110,493
b) collective	-
3. Custody and administration of securities	110,896,439
a) third party securities on deposit associated with custodian bank transactions (excluding asset management)	-
1. Securities issued by companies included in consolidation	-
2. Other securities	-
b) Other third party securities on deposit (excluding asset management)	48,201,598
1. Securities issued by companies included in consolidation	37,838
2. Other securities	48,163,760
c) third party securities deposited with third parties	42,832,953
d) own securities deposited with third parties	19,861,888
4. Other transactions	17,948,296



6 Financial assets subject to offsetting, enforceable offsetting framework arrangements and similar agreements.

Type	Gross amount of financial assets (a)	Amount of financial liabilities offset in balance sheet (b)	Net amount of financial assets recognised in the balance sheet (c=a-b)	Related amounts not subject to balance sheet offsetting		Net amount (f=c-d-e) 31 12 2022	Net amount 31 12 2021
				Financial instruments (d)	Deposits of cash collateral received (e)		
1. Derivatives	12,542,157	9,257,312	3,284,845	1,453,875	858,969	972,001	78,171
2. Repurchase agreements	4,089,498	-	4,089,498	4,033,068	53,203	3,227	1,380
3. Securities lending	-	-	-	-	-	-	-
4. Other	-	-	-	-	-	-	-
Total 31 12 2022	16,631,655	9,257,312	7,374,343	5,486,943	912,172	975,228	X
Total 31 12 2021	10,928,194	2,739,430	8,188,764	7,531,391	577,822	X	79,551

7 Financial liabilities subject to offsetting, enforceable master netting arrangements and similar agreements.

Type	Gross amount of financial liabilities (a)	Amount of financial assets offset in balance sheet (b)	Net amount of financial liabilities recognised in the balance sheet (c=a-b)	Related amounts not subject to balance sheet offsetting		Net amount (f=c-d-e) 31 12 2022	Net amount 31 12 2021
				Financial instruments (d)	Deposits of cash collateral received (e)		
1. Derivatives	10,626,631	9,257,312	1,369,319	628,623	696,370	44,326	18,513
2. Repurchase agreements	1,186,299	-	1,186,299	1,067,241	-	119,058	837
3. Securities lending	-	-	-	-	-	-	-
4. Other	-	-	-	-	-	-	-
Total 31 12 2022	11,812,930	9,257,312	2,555,618	1,695,864	696,370	163,384	X
Total 31 12 2021	11,102,768	2,739,430	8,363,338	6,632,157	1,711,831	X	19,350

IFRS 7 requires disclosure of information for all financial instruments that:

- were offset in the balance sheet pursuant to IAS 32;
- could potentially be offset, given certain conditions, but presented in the balance sheet as open balances as they are governed by “framework offsetting agreements or similar agreements” which do not meet the criteria established in IAS 32 for offsetting.

The amount offset in the financial statements refers to trading in OTC derivatives managed through central counterparties of the subsidiary MPS Capital Services S.p.a. and the Parent Company.

For the purposes of reconciliation of the amounts shown in the column (c) “net amount of financial assets/liabilities recognised in the balance sheet” with the opening balances shown in “Part B – Information on the balance sheet”, it should be noted that:

- the amount related to both trading and hedging derivative financial instruments, aided by netting agreements or similar, is represented in asset items 20 a) “Financial assets held for trading” and 50 “Hedging derivatives” and in liability items 20 “Financial liabilities held for trading” and 40 “Hedging derivatives”;



- the amount related to repurchase agreements subject to netting agreements or similar is shown in line “Repurchase agreements/Reverse repurchase agreements” in the tables containing a breakdown of asset item 40 “Financial assets measured at amortised cost” and liability item 10 “Financial liabilities measured at amortised cost”.

It should also be noted that:

- with regard to securities lending transactions, in these tables transactions involving the payment of cash collateral fully owned by the lender are included in the item “Repurchase agreements”;
- the repurchase agreements are recognised in the tables at amortised cost, while the financial collateral and derivative transactions are reported at their fair value.

8 Securities lending transactions

The Group has not carried out securities lending transactions guaranteed by other securities as borrower.

As regard unsecured securities lending transactions, the Group has also in place, as borrower, securities lending transactions (mainly Italian government bonds) with customers, amounting to approximately EUR 9.5 mln.

These transactions, which in compliance with current accounting standards have no impact on the balance sheet, are carried out with the aim of streamlining the management of the Group’s securities portfolio.

9 Information on joint control activities

At the reporting date, as in the previous financial year, there were no jointly controlled arrangements qualifying as “joint operations” within the meaning of IFRS 11, according to which the parties with joint control have rights to the assets and obligations to the liabilities of the arrangement.



Part C – Information on the consolidated income statement



Section 1 - Interest income/expense and similar revenues/charges - Items 10 and 20

1.1 Interest income and similar revenues: breakdown

Items/Type	Debt securities	Loans	Other transactions	Total 31 12 2022	Total 31 12 2021
1. Financial asset measured at fair value through profit or loss	49,969	3,383	-	53,352	48,079
1.1 Financial asset held for trading	42,046	-	-	42,046	37,004
1.2 Financial assets designated at fair value	-	-	-	-	-
1.3 Financial assets mandatorily measured at fair value	7,923	3,383	-	11,306	11,075
2. Financial asset measured at fair value through other comprehensive income	44,838	-	X	44,838	35,074
3. Financial assets measured at amortised cost	137,876	1,681,026	X	1,818,902	1,534,020
3.1. Loans to banks	13,940	18,832	X	32,772	14,301
3.2 Loans to customers	123,936	1,662,194	X	1,786,130	1,519,719
4. Hedging derivatives	X	X	(54,799)	(54,799)	(78,484)
5. Other assets	X	X	104,361	104,361	7,520
6. Financial liabilities	X	X	X	183,067	351,181
Total	232,683	1,684,409	49,562	2,149,721	1,897,390
<i>of which interest income on credit impaired assets</i>	-	62,424	-	62,424	55,157
<i>of which interest income on financial leasing</i>	X	99,204	X	99,204	72,752

Line 4 “Hedging derivatives”, in the “Other transactions” column, includes the spread related to hedging derivatives rectifying the interest income recognised on the hedged financial instruments.

Line 5 “Other assets”, column “Other transactions”, conventionally shows the interest accrued on sight deposits and current accounts with central banks classified under the item “Cash and cash equivalents”, of which EUR 81.4 mln referring to sight deposits with the ECB. The same item also includes accrued interest income on tax credits in the amount of EUR 20.9 mln.

Line 6 “Financial liabilities” includes EUR 130.5 mln (EUR 278.8 mln as at 31 December 2021) of accrued interest on longer-term financing transactions (ILTRO-III). For the accounting treatment relating to the recognition of interest for the period, reference is made to what is illustrated in the paragraph “Other relevant accounting treatments” contained in Part A of the Notes to the financial statements.

Interest income, calculated for financial assets measured at amortised cost under the effective interest rate method, is entered in different columns based on the original ‘technical form’. The amount accrued during the financial year for positions that are classified as “non-performing” as at the reporting date totalled EUR 62.4 mln (EUR 55.2 mln as at 31 December 2021).

Interest on arrears is posted to net interest income only for the portion actually collected.

For a trend analysis of the concerned items, reference should be made to the Consolidated Report on Operations.



1.2 Interest income and similar revenues: other information

1.2.1 Interest income from financial assets denominated in foreign currency

Interest income from financial assets denominated in foreign currency for 2022 amounted to EUR 34.8 mln as compared to EUR 20.6 mln in 2021.

1.3 Interest expense and similar charges: breakdown

Items	Deposits	Securities	Other transactions	Total 31 12 2022	Total 31 12 2021
1. Financial liabilities measured at amortised cost	(175,218)	(308,957)	-	(484,175)	(519,724)
1.1 Due to central banks	(13)	X	X	(13)	(54)
1.2 Due to banks	(19,151)	X	X	(19,151)	(31,157)
1.3 Due to customers	(156,054)	X	X	(156,054)	(150,092)
1.4 Debt securities issued	X	(308,957)	X	(308,957)	(338,421)
2. Financial liabilities held for trading	-	-	(1,666)	(1,666)	-
3. Financial liabilities designated at fair value	-	(5,375)	-	(5,375)	(5,842)
4. Other liabilities	X	X	(1)	(1)	(274)
5. Hedging derivatives	X	X	(32,572)	(32,572)	18,253
6. Financial assets	X	X	X	(90,696)	(172,755)
Total	(175,218)	(314,332)	(34,239)	(614,485)	(680,342)
<i>of which interest expense on leasing liabilities</i>	<i>(5,225)</i>	<i>X</i>	<i>X</i>	<i>(5,225)</i>	<i>(5,723)</i>

Lines “1.2 Deposits from banks” and “1.3 Deposits from customers”, in the “Deposits” column, include interest on payables under repo agreements on: treasury securities recognised in the balance sheet or securities not recognised in the balance sheet obtained through repo transactions or from self-securitisations without derecognition.

Line “1.4 Debt securities issued” indicates the interest expense accrued during the financial year on bonds and certificates of deposit valued at amortised cost.

Line 5 “Hedging derivatives”, in the “Other transactions” column, includes the spread related to hedging derivatives rectifying the interest expense recognised on the hedged financial instruments.

Line 6 “Financial assets” amounting to EUR 90.7 mln (EUR 172.7 mln as at 31 December 2021) shows the negative interest accrued on financial assets and includes EUR 55.2 mln (EUR 92.9 mln as at 31 December 2021) relating to the negative remuneration of the reserves excess with respect to the compulsory reserve deposited with the Eurosystem.

For a trend analysis of the concerned items, reference should be made to the Consolidated Report on Operations.



1.4 Interest expense and similar charges: other information

1.4.1 Interest expense on liabilities denominated in foreign currency

Interest expense on liabilities denominated in foreign currency for 2022 amounted to EUR 3.1 mln as compared to EUR 1.8 mln in 2021.

1.5 Spreads on hedging transactions

Items	Total	Total
	31 12 2022	31 12 2021
A. Positive spreads on hedging transactions	209	36,723
B. Negative spreads on hedging transactions	(87,580)	(96,953)
C. Balance (A+B)	(87,371)	(60,230)

In line with its hedging objectives and consequent minimisation of risks in the banking book, the Group carries out both fair value and cash flow hedging transactions.



Section 2 - Fee and commission income/expense - Items 40 and 50

2.1 Fee and commission income: breakdown

Type of service/Amount	Total 31 12 2022	Total 31 12 2021
a) Financial instruments	115,399	123,130
1. Placement of securities	26,652	30,275
1.1 Underwriting on the basis of an irrevocable commitment	20,099	26,773
1.2 without irrevocable commitment	6,553	3,502
2. Reception and transmission of orders	23,942	27,446
2.1 Reception and transmission of orders of financial instruments	21,161	24,119
2.2 Execution of orders on behalf of customers	2,781	3,327
3. Other commission income related to activities linked to financial instruments	64,805	65,409
<i>of which: proprietary trading</i>	23,414	23,917
<i>of which: individual portfolio management</i>	41,390	41,481
b) Corporate Finance	26,254	23,754
1. M&A fees	7,292	5,244
2. Treasury services	6,846	6,045
3. Other fees and commission income related to Corporate finance activities	12,116	12,465
c) Investment advisory activities	5,834	8,358
d) Clearing and settlement	167	-
e) Collective portfolio management	14	41
f) Custody and administration of securities	5,444	6,052
1. Custodian bank	-	-
2. Other fees and commission income related to Custody and administration activities	5,444	6,052
g) Central administrative services for collective portfolio management	-	-
h) Trustee business	2,150	2,009
i) Payment services	516,257	494,225
1. Current account	236,500	233,126
2. Credit cards	68,462	67,378
3. Debit cards and other card payments	73,495	67,351
4. Transfers and other payment orders	64,090	59,973
5. Other fees and commission income related to payment services	73,710	66,397
j) Distribution of third-party services	587,920	705,392
1. Collective portfolio management	336,484	405,833
2. Insurance products	208,745	241,843
3. Other products	42,691	57,716
<i>of which: individual portfolio management</i>	-	2
k) Structured finance	-	-
l) Securitisation servicing activities	217	324
m) Loans commitments given	171,685	179,118
n) Financial guarantees	48,812	45,440
<i>of which: credit derivatives</i>	-	-
o) Lending transactions	62,037	57,739
<i>of which: factoring services</i>	14,700	12,417
p) Currency trading	4,696	4,776
q) Commodities	-	-
r) Other fees and commission income	38,105	46,254
<i>of which: management of sharing multilateral trading facilities</i>	-	-
<i>of which: management of organized trading systems</i>	-	-
Total	1,584,991	1,696,612

For an analysis of the fee and commission income and for the disclosure on disaggregation of revenues, as required by IFRS 15.114-115, the table below shows the trend in fees and commissions for each of the operating segments identified, for the services rendered and according to geographic area served.



Primary segment	Operating Segments					Total Montepaschi Group
	Retail banking	Wealth Management	Corporate banking	Large Corp. & Investment banking	Corporate Center	
	31/12/22	31/12/22	31/12/22	31/12/22	31/12/22	
Assets under management fee	512,150	100,656	20,447	89	-	633,342
Product placement	158,404	6,938	4,149	0	-	169,491
Continuing fees	290,212	88,296	8,633	20	-	387,162
Placement of securities	28,817	5,220	1,441	68	-	35,546
Sales of Protection	34,717	203	6,224	0	-	41,144
Fee and commissions from traditional activities	351,147	6,433	475,863	59,137	-	892,580
Credit fees	61,715	1,713	264,724	44,406	-	372,559
Fees from foreign service	5,660	253	48,381	12,270	-	66,565
Other services	283,771	4,466	162,758	2,461	-	453,456
Other fee and commission income	11,941	5,470	13,553	27,063	1,042	59,069
Net fees and commission income	875,238	112,559	509,863	86,289	1,042	1,584,991

A total of 40% of the Group's Fee and commission income by Operating segments derives from products (management, placement and custody), 23.5% from loans (granting and utilization) and 36.5% from services (account maintenance, payments, etc.). More specifically, 58.5% of Retail banking fee and commission income is attributable to product fees and commissions, 7.1% to income from loans and 34.4% to fees and commissions on services. Wealth Management fee and commission income essentially refers to the product component (89.4%); Corporate banking fee and commission income is mainly concentrated on the credit component (51.9%) and services (44.1%); the fee and commission income of Large Corporate & Investment banking refers to the credit component (51.5%) and services (48.4%).

Fee and commission income is broken down based on the following geographical segmentation:

	North	Centre	South	Foreign Countries	Total Montepaschi Group
Fee and commission income geographical segmentation	31 12 2022	31 12 2022	31 12 2022	31 12 2022	31 12 2022
Assets under management fee	296,032	230,606	105,534	1,171	633,342
Product placement	73,999	64,883	30,609	-	169,491
Continuing fees	186,673	139,844	59,573	1,072	387,162
Placement of securities	17,209	12,231	6,007	99	35,546
Sales of Protection	18,151	13,648	9,345	-	41,144
Fee and commissions from traditional activities	324,209.8	381,542.1	180,974.6	5,853.1	892,579.5
Credit fees	139,149	169,784	59,516	4,110	372,559
Fees from Foreign service	28,570	30,532	7,456	7	66,565
Other services	156,491	181,226	114,003	1,735	453,456
Other fee and commission income	10,651	36,288	7,987	4,142	59,069
Net fees and commission income	630,893	648,437	294,496	11,166	1,584,991

The disclosure for performance obligations is provided for the main services offered by Group companies, in accordance with IFRS 15.113, 119:



- collection and payment services, including the offer to customers of credit and debit cards issued by the Parent Company. For this services, the customer pays, for several products and services associated to the card, an annual fee in advance for the administrative management of the card, recognised over time, as well as fees calculated on the individual transactions linked to the card's configuration, which, if not included in the annual fee, are recognised at a point in time as linked to the individual performance obligation carried out at a specific time; collection and payment services also include all foreign currency trading services, as well as other generic collection services that entail the collection of fees against the performance obligation made at consumption and recognised at a point in time;
- administration of current accounts: this category includes fees received for various products offered to customers, which may include a periodic fee for the current account management service that may or may not include a package of services, as well as fees received on individual transactions performed by customers that are not included in the annual fee. The first type of fee is structured as a performance obligation over time, while the second, as it relates to services performed at a specific time and compensated separately from the quarterly fee, are structured as a performance obligation performed at a point in time;
- distribution of third-party products and services based on partnership agreements with external counterparties, for which placement commissions are collected, recorded at a point in time as they are compensation for the intermediation performance obligation provided by the Parent Company, and continuing commissions connected to the Bank's administrative management of the customer in the network, recorded over time, as it represents compensation for the performance obligation rendered over the course of the investment's duration. Some distribution agreements also include variable commissions, recognised by external counterparties upon achieving certain placement volumes or other metrics envisaged in the distribution agreements. Based on the various contractual provisions and in accordance with provisions contained in IFRS 15, if conditions apply in the interim periods, analyses are carried out in order to determine if there are conditions that allow the advance accounting of the revenue or a portion thereof. The advance recognition is carried out exclusively if it is highly likely that, once the uncertainty has been resolved, there is no downward adjustment of the recorded amount. Lastly, some contracts contain claw-back clauses, which entail, in the event certain conditions apply, the full or partial reimbursement of placement commissions previously recognised upon execution of the initial performance obligation (i.e. point in time): in this case, the claw-back clause represents a variable component of the transaction price, since the amount recognised upon product placement is not definitive, but will depend on future events that are beyond the control of the Parent Company. In such situations the amount of the commissions that could potentially be subject to restitution is estimated, charging the amount that is expected to be returned to the third party to a specific risk provision; the income that is posted to the income statement is equal to the amount recognised against the performance obligation for the placement activity carried out during the financial year, net of the amount set aside in the provision;
- individual portfolio management, in the context of assets linked to financial instruments, which mainly include management fees, calculated with a percentage proportional to the assets under management, recognised over time as a remuneration of a service rendered over time.
- complex financial services via the subsidiary MPS Capital Services, including consultancy, advisory/asseveration/underwriting and order collection. The contracts may provide for various types of fees and commissions associated with the various services offered by the Company. Some of these are linked to activities performed throughout the contract's duration (over time) and paid by the customer regardless of the outcome of the activities, while others are services for which the customer pays only if certain identified events occur, therefore, they are connected to services provided by the Company at a specific point in time. The first type of fee, associated with a performance obligation over time, is recognised throughout the contract's duration, while the second is recorded when the event occurs, as it represents compensation for a performance obligation carried out at a point in time;
- fiduciary services to customers via subsidiary MP Fiduciaria, including the confidential administration of money, financial instruments and unlisted equity investments, fiduciary mandates for guarantee purposes, family portfolio settlements and the intergenerational transfer of wealth. Since they are linked to performance obligations that are protracted and repeated over time, the fees for fiduciary services are measured over time for continuing commissions. Instead, commissions for opening the relationship are recognised at a point in time.

With regard to the breakdown in revenues (IFRS 15.116-118), it should be noted that EUR 2.8 mln was recorded as the adjustment price component accrued during the financial year on commissions collected for placement of third-party services carried out by the Parent Company in the previous financial year.

This line includes the reversal of revenues for EUR 6.4 mln made against a provision for risks in accordance with IFRS 15, in consideration of the claw-back clauses present in a third-party product placement contract.



2.1.a Fee and commission income: distribution channels of products and services

Channel/Sectors	31 12 2022	31 12 2021
a) Group branches	555,391	674,222
1. portfolio management	37,359	36,895
2. placement of securities	186	2,140
3. third party services and products	517,846	635,187
b) "Door-to-door" sales	65,308	68,740
1. portfolio management	4,031	4,586
2. placement of securities	2,448	177
3. third party services and products	58,829	63,977
c) Other distribution channels	35,264	34,185
1. portfolio management	-	-
2. placement of securities	24,019	27,958
3. third party services and products	11,245	6,227

2.2 Fee and commission expense: breakdown

Type of service/Amount	Total 31 12 2022	Total 31 12 2021
a) Financial instruments	(11,283)	(15,427)
<i>of which: trading in financial instruments</i>	(10,827)	(15,427)
<i>of which: placement of financial instruments</i>	-	-
<i>of which: individual portfolio management</i>	(3)	-
- own portfolio	-	-
- third-party portfolio	(3)	-
b) Clearing and settlement	(3,689)	(5,584)
c) Collective portfolio management	-	-
- own portfolio	-	-
- third-party portfolio	-	-
d) Custody and administration	(4,281)	(4,712)
e) Collection and payment services	(78,426)	(64,713)
<i>of which: credit card, debit card and other payments cards</i>	(49,532)	(34,035)
f) Securitisation servicing activities	-	-
g) Loans commitment	-	-
h) Financial guarantees received	(47,392)	(35,788)
<i>of which: credit derivatives</i>	-	-
i) Door-to-door sales of financial instruments, products and services	(50,649)	(57,099)
l) Currency trading	-	-
m) Other commission expenses	(31,293)	(29,191)
Total	(227,013)	(212,514)



In line “e) Collection and payment services”, the increase was mainly due to commissions from the outsourcing of administrative servicing related to card management.

Line “h) Financial guarantees received” includes commissions and fees of EUR 37.0 mln referred to the purchase of protection against credit risk as part of the outstanding synthetic securitisations.

Line “i) “Off-site marketing of financial instruments, products and services” includes fees and commissions paid to financial advisors of the Group.

For a trend analysis of the concerned items, reference should be made to the Consolidated Report on Operations.

Section 3 - Dividends and similar income - Item 70

3.1 Dividends and similar income: breakdown

Item/Income	31 12 2022			31 12 2021		
	Dividends	Similar Income	Total	Dividends	Similar Income	Total
A. Financial assets held for trading	4,262	753	5,015	4,125	531	4,656
B. Other financial assets mandatorily measured at fair value	-	11,733	11,733	-	18	18
C. Financial assets measured at fair value through other comprehensive income	9,599	-	9,599	9,043	-	9,043
D. Investments	-	-	-	-	-	-
Total	13,861	12,486	26,347	13,168	549	13,717

The table shows the amount of dividends received on shares traded within the trading book and non-controlling interest classified in the portfolio of “Financial assets measured at fair value through other comprehensive income”. Conversely, dividends relating to the Group’s subsidiaries and associates, consolidated line-by-line or under the equity method, are excluded.

Line “B Financial assets measured at fair value as per mandatory requirements” refer entirely to income distributed by private equity funds.

Line “C. Financial assets measured at fair value through other comprehensive income” includes the dividend of EUR 8.5 mln (EUR 8.5 mln as at 31 December 2021) collected from the equity investment in the Bank of Italy.



Section 4 - Net profit (loss) from trading - Item 80

4.1 Net profit (loss) from trading: breakdown

Transactions / P&L items	Capital gains	Trading Profits	Capital losses	Trading Losses	Net Profit (Loss)	
					31 12 2022	31 12 2021
1. Financial assets held for trading	2,670	123,068	(245,512)	(352,095)	(471,869)	(56,727)
1.1 Debt securities	756	113,883	(227,237)	(339,996)	(452,594)	(82,797)
1.2 Equity instruments	1,512	7,284	(13,632)	(9,803)	(14,639)	21,634
1.3 Units of UCITS	402	1,752	(4,643)	(2,238)	(4,727)	4,329
1.4 Loans	-	-	-	-	-	-
1.5 Other	-	149	-	(58)	91	107
2. Financial liabilities held for trading	247,137	154,710	(358)	(55,663)	345,826	103,514
2.1 Debt securities	245,389	152,324	(22)	(55,184)	342,507	107,991
2.2 Deposits	-	-	-	-	-	-
2.3 Other	1,748	2,386	(336)	(479)	3,319	(4,477)
3. Other financial assets and liabilities: exchange differences	X	X	X	X	21,120	14,691
4. Derivatives	7,466,174	4,601,142	(7,239,586)	(4,729,698)	81,174	(41,709)
4.1 Financial derivatives:	7,465,321	4,574,855	(7,187,731)	(4,715,507)	120,080	(52,460)
- on debt securities and interest rates	7,241,891	3,253,244	(6,959,035)	(3,384,451)	151,649	(57,602)
- on equity instruments and stock indices	37,548	369,088	(34,465)	(409,262)	(37,091)	31,354
- on currency and gold	X	X	X	X	(16,858)	(8,890)
- other	185,882	952,523	(194,231)	(921,794)	22,380	(17,322)
4.2 Credit derivatives	853	26,287	(51,855)	(14,191)	(38,906)	10,751
<i>of which natural hedging connected with the fair value option</i>	X	X	X	X	-	-
Total	7,715,981	4,878,920	(7,485,456)	(5,137,456)	(23,749)	19,769

“Gains” and “Losses” also include the results of the measurement of derivatives connected operationally with financial liabilities measured at fair value through profit or loss (FVO).

During the financial year, the Credit Value Adjustment (CVA) decreased, generating a positive impact of EUR 11.5 mln on OTC derivatives; likewise, the *Debit Value Adjustment* (DVA) on OTC derivatives recorded an increase with a consequent positive impact of EUR 23.7 mln.

The breakdown of write-downs and trading losses due to assets with poor credit quality of the debtor (issuer or counterparty) is provided below.

	31 12 2022		31 12 2021	
	Capital losses	Trading Losses	Capital losses	Trading Losses
Debt securities	-	-	-	-
Derivatives	868	-	-	-



Section 5 - Net profit (loss) from hedging - Item 90

5.1 Net profit (loss) from hedging: breakdown

P&L items/Values	Total 31 12 2022	Total 31 12 2021
A. Gains on:		
A.1 Fair value hedging instruments	2,369,343	575,074
A.2 Hedged financial assets (fair value)	16,380	165,684
A.3 Hedged financial liabilities (fair value)	434,038	88,910
A.4 Cash-flow hedging derivatives	-	-
A.5 Assets and liabilities denominated in foreign currency	-	-
Total gains on hedging activities (A)	2,819,761	829,668
B. Losses on:		
B.1 Fair value hedging instruments	456,101	251,383
B.2 Hedged financial assets (fair value)	2,357,483	565,720
B.3 Hedged financial liabilities (fair value)	-	-
B.4 Cash-flow hedging derivatives	-	-
B.5 Assets and liabilities denominated in foreign currency	-	-
Total losses on hedging activities (B)	2,813,584	817,103
C. Net profit (loss) from hedging activities (A - B)	6,177	12,565
<i>of which: hedging result on Net position</i>	-	-

For information on hedging derivatives, the gains and losses on which are indicated in lines A.1 and A.4, B.1 and B.4 of this table, see Section 5 “Hedging derivatives – Item 50” of the Assets and Section 4 “Hedging derivatives – Item 40” of the liabilities in Part B of these Notes to the financial statements.

More information on hedged assets and liabilities can be found in the tables in Part B of the notes to the financial statements for each section of the accounts to which hedges are posted.



Section 6 - Gains/(losses) on disposal/repurchase - Item 100

6.1 Gains (losses) on disposal/repurchase: breakdown

Items / P&L items	Total 31 12 2022			Total 31 12 2021		
	Gains	Losses	Net Profit (Loss)	Gains	Losses	Net Profit (Loss)
Financial assets						
1. Financial assets measured at amortised cost	77,087	(26,253)	50,834	127,829	(4,492)	123,337
1.1 Loans to banks	5	-	5	5	(148)	(143)
1.2 Loans to customers	77,082	(26,253)	50,829	127,824	(4,344)	123,480
2.. Financial assets measured at fair value through other comprehensive income	1,238	(2)	1,236	14,000	(2,567)	11,433
2.1 Debt securities issued	1,238	(2)	1,236	14,000	(2,567)	11,433
2.2 Loans	-	-	-	-	-	-
Total assets (A)	78,325	(26,255)	52,070	141,829	(7,059)	134,770
Financial liabilities measured at amortised cost						
1. Due to banks	-	-	-	228	(228)	-
2. Due to customers	-	-	-	-	-	-
3. Debt securities issued	12	-	12	5,073	0	5,073
Total liabilities (B)	12	-	12	5,301	(228)	5,073

In the “Net profit (loss)” column of the item “Financial assets measured at amortised cost” line 1.2 Loans to customers, the profit is mainly determined by i) the positive result of EUR 3.0 mln deriving from the disposal of non-performing loans denominated “Fantino” and further disposals of “single name” receivables carried out during the financial year and ii) the sale of some Government Bonds which generated a profit of EUR 46.4 mln.



Section 7 - Net profit (loss) from other financial assets and liabilities measured at fair value through profit or loss - Item 110

7.1 Net changes in other financial assets and liabilities measured at fair value through profit or loss: breakdown of financial assets and liabilities measured at fair value

Transaction/P&L items	Capital Gains	Realized Profits	Capital losses	Realized losses	Net Profit (loss)	
					31 12 2022	31 12 2021
1. Financial assets	-	-	-	-	-	2,907
1.1 Debt securities issued	-	-	-	-	-	2,907
1.2 Equity instruments	-	-	-	-	-	-
2. Financial liabilities	31,650	-	-	-	31,650	6,055
2.1 Debt securities issued	31,650	-	-	-	31,650	6,055
2.2. Due to banks	-	-	-	-	-	-
2.3. Due to customers	-	-	-	-	-	-
3. Financial assets and liabilities in foreign currency: exchange differences	X	X	X	X	-	-
Total	31,650	-	-	-	31,650	8,962

The item includes solely the profit, loss, capital gains and capital losses from structured fixed-rate bonds included in the fair value option. The balances of the economic valuations of derivatives through which said securities are subject to natural hedging are instead recognised under item 80 “Net profit (loss) from trading”.

Note that the changes in fair value due to changes in own creditworthiness are recognised under other revenue items without reversal to the income statement.

7.2 Net changes in other financial assets and liabilities measured at fair value through profit or loss: breakdown of other financial assets measured at fair value as per mandatory requirements

Transaction/P&L items	Capital gains	Realized profits	Capital losses	Realized losses	Net Profit (loss)	
					31 12 2022	31 12 2021
1. Financial assets						
1.1 Debt securities issued	6,303	22	(16,772)	(348)	(10,795)	(49,081)
1.2 Equity instruments	115	-	(358)	(549)	(792)	(2,426)
1.3 Units of UCITS	22,762	-	(2,127)	-	20,635	14,271
1.4 Loans	11,765	414	(5,457)	(68)	6,654	(10,063)
2. Other financial assets: exchange differences	X	X	X	X	2,728	6,178
Total	40,945	436	(24,714)	(965)	18,430	(41,121)

Line “1.1 Financial assets – Debt securities” includes in the “Capital Gains” column the revaluation of notes referring to the Norma securitisation and of subordinated bonds, and in the “Capital Losses” column mainly the valuation effects on exposures held in own securitisation transactions and of some equity financial instruments.

The net result, corresponding to line “1.3 financial assets - UCITS units”, includes revaluations of EUR 22.7 mln attributable for EUR 16.5 mln to the revaluation of alternative investment funds – classified in fair value level 2 – and EUR 6.2 mln to the revaluation of NPE Idea CRR I, II, Back2Bonis and Clessidra credit funds, - classified in fair value level 3.

Line 1.4 “Financial Assets - Loans” includes in the column “Capital Gains” write-backs relating to loans for which there has been an improvement in the risk profile; the column “Capital Losses” includes write-downs of loans classified as “unlikely to pay”.



Section 8 - Net impairment (losses)/reversals for credit risk - Item 130

8.1 Net impairment (losses)/reversals for credit risk on financial assets measured at amortised cost: breakdown

Transaction/ P&L items	Net impairment (losses)						Reversals				Total 31 12 2022	Total 31 12 2021
	Stage 1	Stage 2	Stage 3		Purchased or originated credit impaired financial assets		Stage 1	Stage 2	Stage 3	Purchased or originated credit impaired financial assets		
			Write- off	Others	Write- off	Others						
A. Loans to banks	(530)	(364)	-	-	-	-	1,177	-	1,121	-	1,404	1,022
- Loans	(499)	(364)	-	-	-	-	1,059	-	1,121	-	1,317	482
- Debt securities	(31)	-	-	-	-	-	118	-	-	-	87	540
B. Loans to customers	(44,137)	(153,360)	(9,250)	(641,583)	(2)	(1,500)	110,195	113,047	194,699	201	(431,690)	(197,442)
- Loans	(41,607)	(153,360)	(9,250)	(641,583)	(2)	(1,500)	109,992	113,047	194,699	201	(429,363)	(198,910)
- Debt securities	(2,530)	-	-	-	-	-	203	-	-	-	(2,327)	1,468
C. Total	(44,667)	(153,724)	(9,250)	(641,583)	(2)	(1,500)	111,372	113,047	195,820	201	(430,286)	(196,420)

8.1a Net impairment (losses)/reversals for credit risk on loans measured at amortised cost object of COVID-19 support measures: breakdown

Transactions/ P&L items	Net impairment (losses)						Total 31 12 2022	Total 31 12 2021
	Stage 1	Stage 2	Stage 3		Purchased or originated credit impaired financial assets			
			Write-off	Other	Write-off	Other		
1. EBA-compliant moratoria (legislative and non-legislative)	-	-	-	-	-	-	-	(670)
2. Loans subject to existing moratorium measures no longer compliant with GLs and not assessed as being subject to forbearance measures	1	2	-	-	-	-	3	(9,597)
3. Loans subject to other forbearance measures	33	63	-	2,533	-	-	2,629	(28,662)
4. Newly Originated Loans	4,926	(21,155)	-	(45,704)	-	-	(61,933)	(40,497)
Total 31 12 2022	4,960	(21,090)	-	(43,171)	-	-	(59,301)	X
Total 31 12 2021	4,380	(30,492)	-	(53,314)	-	-	X	(79,426)



8.2 Net impairment (losses)/reversals on financial assets measured at fair value through other comprehensive income: breakdown

Transactions/ P&L items	Net impairment (losses)						Reversals				Total 31 12 2022	Total 31 12 2022
	Stage 1	Stage 2	Stage 3		Purchased or originated credit impaired financial assets		Stage 1	Stage 2	Stage 3	Purchased or originated credit impaired financial assets		
			Write- off	Others	Write- off	Others						
A. Debt securities issued	(646)	(377)	-	-	-	-	796	25	-	-	(202)	2,850
B. Loans	-	-	-	-	-	-	-	-	-	-	-	-
- to banks	-	-	-	-	-	-	-	-	-	-	-	-
- to customers	-	-	-	-	-	-	-	-	-	-	-	-
Total	(646)	(377)	-	-	-	-	796	25	-	-	(202)	2,850

8.2a Net impairment (losses)/reversals for credit risk on loans measured at fair value through other comprehensive income object of COVID-19 support measures: breakdown

This table has not been completed as the Group has no investments of this type.

Section 9 - Gains/losses from contractual changes without cancellation - Item 140

9.1 Gains/losses from contractual changes: breakdown

This item, positive for EUR 4.3 mln as at 31 December 2022 (negative for EUR 7.6 mln as at 31 December 2021) includes the impacts related to contractual changes on medium/long term loans to customers which, without any substantial change, according to the provisions of IFRS 9, as well as the Group's accounting regulations, do not entail accounting derecognition of the assets but rather the recognition to profit or loss of the changes made to the contractual cash flows.

Section 10 – Net premiums – Item 160

10.1 Net premiums: breakdown

The section was not completed, as net premiums do not exist in the Group either in the current or in the previous financial year.

Section 11 – Other net insurance income/expense – Item 170

The tables of this section were not completed because there is no other net insurance income/expense in the Group, either in the current or in the previous financial year.



Section 12 - Administrative expenses - Item 190

12.1 Personnel expenses: breakdown

Type of Expense / Area	Total 31 12 2022	Total 31 12 2021
1. Employees	(2,333,651)	(1,445,047)
a) wages and salaries	(996,954)	(1,036,722)
b) social-welfare charges	(277,187)	(282,820)
c) severance pay	(63,633)	(65,628)
d) social security expenses	-	-
e) provision for staff severance pay	(2,708)	(1,009)
f) pension fund and similar obligations:	(687)	(620)
- defined contribution	(603)	(622)
- defined benefit	(84)	2
g) contributions to external pension funds:	(23,893)	(24,039)
- defined contribution	(23,893)	(24,039)
- defined benefit	-	-
h) costs related to share-based payments	11	3
i) other employee benefits	(968,600)	(34,212)
2. Other staff	14,760	20,677
3. Directors and Statutory Auditors	(2,917)	(2,888)
4. Retired personnel	(24)	(4,472)
Total	(2,321,832)	(1,431,730)

The reduction in costs recognised in line “a) wages and salaries” is mainly to be attributed to lower costs of EUR 26.1 mln for the redundancy fund/solidarity fund with the exit of the resources on 30 November.

Line “f) pension funds and similar obligations” includes amounts set aside for internal funds, while line “g) contributions to external pension funds” includes contributions paid and adjustments made to external pension funds.

Line “h) costs related to share-based payments” reflects the reduction in provisions for performance shares assigned to the Group’s “identified staff” with regard to incentive plans in effect for the previous financial years.

Line “i) other employee benefits” includes EUR 928.3 mln relating to incentive expenses for the personnel early retirement/Solidarity Fund.

Line 2 “Other active personnel” includes approximately EUR 15.7 mln as at 31 December 2022 (EUR 17.3 mln as at 31 December 2021) relating to Fruendo and due to the reinstatement and subsequent secondment of some employees in 2020.



12.2 Average number of employees by category

Category / Average Number	31 12 2022	31 12 2021
Employees:	19,782	20,309
a) executives	218	235
b) middle managers	7,855	8,101
c) remaining staff	11,709	11,973
Other personnel	9	10
Total	19,791	20,319

12.3 Defined benefit company pension funds: costs and revenues

Items/Amounts	31 12 2022			31 12 2021		
	Defined benefit company pension funds		Provision for staff severance pay	Defined benefit company pension funds		Provision for staff severance pay
	Internal pension plan	External pension plan		Internal pension plan	External pension plan	
Interest income/expense	(80)	-	(2,671)	4	-	(980)
Current service cost and gains (losses) arising from settlements ^o	(4)	-	(37)	(2)	-	(27)
Past service cost	-	-	-	-	-	-
Gains (losses) arising from settlements ^{oo}	-	-	-	-	-	-
Other operating costs	-	-	-	-	-	(2)
Total	(84)	-	(2,708)	2	-	(1,009)

^o Pursuant to par. 100 of IAS 19, it should be noted that the pension cost for past service and the amount of gains and losses arising from settlements need not be distinguished if they occur together.

^{oo} Only in the event of settlement not set out in the terms of the plan.

12.4 Other employee benefits

No information to report pursuant to sections 53, 158 and 171 of IAS 19.



12.5 Other administrative expenses: breakdown

Items/Amounts	31 12 2022	31 12 2021
Stamp duties	(158,737)	(172,678)
Indirect taxes and duties	(31,343)	(26,826)
Municipal real estate property tax	(20,747)	(21,373)
Property rentals	(2,531)	(2,349)
Cleaning service contracts	(27,167)	(26,243)
Insurance	(19,857)	(41,329)
Sundry lease payments and Rentals	(118,805)	(113,783)
Remuneration of external professionals	(71,910)	(82,373)
Third-party data processing	(32,914)	(31,428)
Lease of equipment	(17,732)	(17,372)
Utilities	(35,456)	(21,806)
Maintenance of movable and immovable properties (used in the business)	(37,796)	(38,230)
Postage	(16,454)	(11,954)
Advertising, sponsorships and promotions	(3,139)	(3,459)
Membership dues	(3,424)	(3,208)
Reimbursement of employee car and travel expenses	(1,730)	(999)
Security services	(5,457)	(7,557)
Software	(57,321)	(63,524)
Expenses for personnel training	(3,358)	(3,542)
Corporate entertainment expenses	(636)	(364)
Expenses for non-rented investment real estate	(170)	(147)
Printing and stationery	(3,890)	(3,128)
Telephone, telefax and telegraph	(8,059)	(7,710)
Transportation	(20,700)	(16,539)
Sundry occupancy expenses and refunds for release of immovable property used in the business	(6,657)	(3,861)
Contributions Resolution Funds (SRF) and Deposits Guarantee Schemes (DGS)	(178,795)	(166,638)
DTA fee	(62,916)	(63,218)
Others	(24,121)	(18,277)
Total	(971,822)	(969,915)

The line “Sundry lease payments and rentals” includes EUR 80.2 mln (EUR 75.6 mln as at 31 December 2021) referring to costs for outsourced services regarding back office accounting and administrative activities related to the management and provision of specific services by the Group. These services entail decreasing considerations over the duration of the contract, against a constant volume of services received by the Group. In accordance with the accounting policies (see Part A, Other information - Costs for constant services and decreasing payments), the recognition of the afore-mentioned costs in the income statements follows a linear trend over the contract duration with the consequent necessity for the Group to recognise a prepayment. The cumulative figure as at 31 December 2022 amounted to EUR 250.7 mln (EUR 230.5 mln as at 31 December 2021) and is shown under item “Other assets”, line “Accrued income and prepaid expenses not attributable to its own separate item” of Part B of these Notes to the financial statements. The line also includes costs relating to short-term and low-value lease agreements for EUR 3.3 mln (EUR 3.2 mln as at 31 December 2021).

The line “Insurance” shows a decrease of EUR 21.5 mln mainly attributable to the Group’s decision to offer its customers the underwriting of individual insurance policies on site of the previous collective policies for which the payment of the insurance premium is no longer anticipated by the Bank and subsequently recovered on the customer but paid directly by the latter.



Line “Contributions to resolution funds (SRF and NRD) and Deposit guarantee Systems (DGS)” amounting to EUR 178.8 mln (EUR 166.7 mln as at 31 December 2021), is composed of SRF-related charges of EUR 88.7 mln (EUR 67.5 mln as at 31 December 2021), and contributions paid to the DGS of EUR 90.1 mln (EUR 77.2 mln as at 31 December 2021). Finally, it should be noted that no additional contributions to the National Resolution Fund (NRF) were called from the Bank of Italy in the 2022 financial year, in order to meet the financial needs associated with the resolution interventions carried out prior to the launch of the SRF (EUR 22.0 mln as at 31 December 2021)

The line “DTA fee” includes the expenses related to the fee paid on DTAs that can be converted into tax credit as set forth in art. 11 of Italian Law Decree no. 59 of 3 May 2016, converted into Italian Law no. 119 of 30 June 2016.

For a trend analysis of the remaining concerned items, reference should be made to the consolidated Report on Operations.

Section 13 - Net provisions for risks and charges – Item 200

13.1 Net provisions for credit risk relative to commitments to disburse funds and financial guarantees given: breakdown

Transaction/P&L items	Stage 1	Stage 2	Stage 3	Total 31 12 2022	Total 31 12 2021
1) financial guarantees issued	223	(2,346)	(18,347)	(20,470)	(33,631)
Provision for the year	(4,559)	(5,409)	(25,498)	(35,466)	(45,401)
Write-backs	4,782	3,063	7,151	14,996	11,770
2) Commitments to disburse funds	3,186	1,428	13,825	18,439	40,163
Provision for the year	(3,734)	(3,195)	-	(6,929)	(8,689)
Write-backs	6,920	4,623	13,825	25,368	48,852
Total	3,409	(918)	(4,522)	(2,031)	6,532

13.2 Net provisions relative to other commitments and guarantees given: breakdown

At the reporting date of these Financial Statements and for the financial year of comparison, there were no provisions of this type.



13.3 Other net provisions for risks and charges: breakdown

Items/Amount	31 12 2022			31 12 2021		
	Provisions for the year	Write-backs	Net Provisions	Provisions for the year	Write-backs	Net Provisions
Legal disputes	(197,529)	256,479	58,950	(240,655)	129,442	(111,213)
- cost	(187,460)	188,506	1,046	(240,634)	127,645	(112,989)
- discounting effect	(10,069)	67,973	57,904	(21)	1,797	1,776
Personnel expenses	(31,682)	9,094	(22,588)	(23,719)	10,935	(12,784)
Other risks and charges	(113,702)	86,026	(27,676)	(38,028)	63,051	25,023
Total	(342,913)	351,599	8,686	(302,402)	203,428	(98,974)

As at 31 December 2022, "Legal and tax disputes" recorded an overall net write-back mainly related to disputes in connection with financial information disclosed in the 2008-2015 period and the discounting effect. With reference to this last aspect, it should be noted that the provisions for risks and charges are discounted using the risk free curve and therefore with rates consistent with the expected dates of disbursement. The sharp rise in market rates during the financial year had a significant effect on the reduction of liabilities recorded in the Balance Sheet at present value.

"Other risks and charges" include a net provision as at 31 December 2022 due to, inter alia, the valuations relating to the risks associated with the guarantees issued as part of the derisking of non-performing loans and to the risks relating to transactions with customers

Section 14 - Net adjustments to/recoveries on property, plant and equipment - Item 210

14.1 Net adjustments to property, plant and equipment: breakdown

Assets / P&L items	Depreciations	Impairment losses	Recoveries	Net Profit (loss) 31 12 2022	Net Profit (loss) 31 12 2021
A. Property, plant and equipment					
A.1 Used in de business	(118,407)	(478)	-	(118,885)	(134,199)
- owned	(67,981)	-	-	(67,981)	(78,666)
- Right of Use acquired through leasing	(50,426)	(478)	-	(50,904)	(55,533)
A.2 Held for investment	-	-	-	-	-
- owned	-	-	-	-	-
- Right of Use acquired through leasing	-	-	-	-	-
3. Inventories	X	-	-	-	-
Total	(118,407)	(478)	-	(118,885)	(134,199)



Section 15 - Net adjustments to/recoveries on intangible assets - Item 220

15.1 Net adjustments to intangible assets: breakdown

Assets/P&L items	Depreciations	Impairment losses	Recoveries	Net profit (loss) 31 12 2022	Net profit (loss) 31 12 2021
A. Intangible assets					
<i>of which: software</i>	(67,349)	-	-	(67,349)	(66,441)
A.1 Owned	(68,359)	(227)	-	(68,586)	(67,451)
- generated internally by the company	(16,445)	(64)	-	(16,509)	(16,108)
- other	(51,914)	(163)	-	(52,077)	(51,343)
A.2 Right of Use acquired through leasing	-	-	-	-	-
Total	(68,359)	(227)	-	(68,586)	(67,451)

Amortisation mainly relates to software acquired by the Parent Company as a result of the merger of the Consorzio Operativo Gruppo MPS and to finite life intangible assets identified during the PPA process for former subsidiary Banca Antonveneta.

Section 16 - Other operating expenses/income - Item 230

16.1 Other operating expenses: breakdown

Item/Values	Total 31 12 2022	Total 31 12 2021
Costs of robberies	(377)	(889)
Depreciations of leasehold improvements recognised as Other assets	(5,995)	(6,917)
Cost of financial lease transactions	(4,220)	(4,489)
Costs from judgments and settlement agreements	(30,341)	(43,113)
Other	(16,468)	(30,895)
Total	(57,401)	(86,303)

16.2 Other operating income: breakdown

Item/Values	Total 31 12 2022	Total 31 12 2021
Rents from investment real estate	6,815	9,501
Recovery of taxes	165,410	180,382
Recovery of insurance premiums	2,899	27,151
Income from financial lease transaction	3,448	6,756
Recovery of other expenses	35,102	32,672
Other	71,281	53,162
Total	284,955	309,624

The amount of EUR 35.1 mln classified under “Recovery of other expenses” includes, among other things, the compensation of legal fees incurred for the enforced recovery of bad loans of EUR 4.2 mln (EUR 3.0 mln as at 31 December 2021).



The decrease in the line “Insurance premium recoveries” is a consequence of the Group’s decision to offer its customers the underwriting of individual insurance policies on site of the previous collective policies. This trend mirroring the reduction of the item “Insurance” included in “Other administrative expense”.

The Group has no income deriving from the sublease of assets consisting in the right of use (IFRS 16.53 (f)).

“Other operating income” does not include any revenues under the scope of IFRS 15.

The Group does not have any variable income not related to an index or a rate deriving from leasing activities (IFRS 16.90 b).

Section 17 - Gains (losses) on investments - Item 250

17.1 Gains (losses) on investments: breakdown

P&L items/Sectors	Total 31 12 2022	Total 31 12 2021
1) Jointly owned companies		
A. Income	-	-
1. Revaluations	-	-
2. Gains on disposal	-	-
3. Write-backs	-	-
4. Other income	-	-
B. Expense	-	(3,122)
1. Write-downs	-	(3,099)
2. Impairment losses	-	-
3. Losses on disposal	-	(23)
4. Other expenses	-	-
Net Profit (Loss)	-	(3,122)
2) Companies subject to significant influence		
A. Income	69,051	110,408
1. Revaluations	69,051	109,307
2. Gains on disposal	-	30
3. Write-backs	-	-
4. Other income	-	1,071
B. Expense	(1,329)	(708)
1. Write-downs	(559)	(708)
2. Impairment losses	-	-
3. Losses on disposal	-	-
4. Other expenses	(770)	-
Net Profit (Loss)	67,722	109,700
Total	67,722	106,578

The amount of EUR 69.0 mln recognised in line 2) A.1 “Revaluations” is predominantly due to the results of equity investment in associates, especially AXA MPS Vita S.p.A. and AXA MPS Danni S.p.A.



Section 18 - Net gains (losses) on property, plant and equipment and intangible assets measured at fair value - Item 260

18.1 Net gains (losses) on property, plant and equipment and intangible assets measured at fair value (or revalued) or at presumed realisable value: breakdown

Assets/P&L items	Revaluations (a)	Write- downs (b)	Exchange difference		Net profit (loss) (a-b+c-d)	Net profit (loss) 31 12 2021
			Positive (c)	Negative (d)		
A. Properties, plant and equipment	8,008	39,119	-	-	(31,111)	(44,134)
A.1 Used in the business	6,576	17,219	-	-	(10,643)	(41,252)
- owned	6,576	17,219	-	-	(10,643)	(41,252)
- right of use acquired through leasing	-	-	-	-	-	-
A.2 held for investment	1,298	19,524	-	-	(18,226)	(5,073)
- owned	1,298	19,524	-	-	(18,226)	(5,073)
- right of use acquired through leasing	-	-	-	-	-	-
A.3 Inventories	134	2,376	-	-	(2,242)	2,191
B. Intangible assets	-	-	-	-	-	-
B.1 Owned	-	-	-	-	-	-
- generated internally by the company	-	-	-	-	-	-
- other	-	-	-	-	-	-
B.2 Right of use acquired through leasing	-	-	-	-	-	-
Total	8,008	39,119	-	-	(31,111)	(44,134)

The item, which was negative for a total of EUR 31.1 mln (EUR 44.1 mln was the negative balance of the previous financial year), includes the results of the fair value measurement of “revalued property, plant and equipment used in the business” and “property, plant and equipment held for investment purposes” and finally “inventories of property, plant and equipment”, represented by owned real estate assets.

Section 19 - Impairment of goodwill - Item 270

19.1 Impairment of goodwill: breakdown

Owing to its indefinite or unlimited useful life, goodwill is tested at the end of each financial year to assess whether its book value is fairly stated or recoverable. The impairment test performed in 2022 did not result in any value adjustments on the goodwill allocated to the Widiba CGU (Cash Generating Unit), as it confirmed the recoverability of the book value.

For additional information concerning the methods for conducting impairment tests, see the appropriate section in Part B of the Notes to the financial statements, Section 10.1 of Assets “Intangible assets: breakdown by type”.



Section 20 – Gains (losses) on disposal of investments – Item 280

20.1 Gains (losses) on disposal of investments: breakdown

P&L items/Sectors	Total	Total
	31 12 2022	31 12 2021
A. Property	222	17,701
- Gains on disposal	453	17,818
- Losses on disposal	(231)	(117)
B. Other assets	616	(3,252)
- Gains on disposal	786	9
- Losses on disposal	(170)	(3,261)
Net Profit (Loss)	838	14,449

Last financial year, this item included gains from the sale of real estate to Ardian.

The Group has not recognised any gains or losses deriving from sale and lease-back transactions (IFRS 16.53 letter i).

**Section 21 – Tax expense (recovery) on income from continuing operations – Item 300****21.1 Tax expense (recovery) on income from continuing operations: breakdown**

P&L items/Sectors	Total	
	31 12 2022	31 12 2021
1. Current tax (-)	(1,244)	(15,691)
2. Adjustments to current tax of prior years (+/-)	51,087	(46,110)
3. Reduction of current tax for the year (+)	-	2,872
3.bis Reduction in current tax for the period due to tax credits under Law 214/2011	27	182,262
4. Changes in prepaid taxes (+/-)	372,771	(70,922)
5. Changes in deferred taxes (+/-)	3,979	(1,244)
6. Tax expense for the year (-) (-1+/-2 +3+/-4+/-5)	426,620	51,167

The amount in line 2. “Adjustments to current tax of prior years” refers for EUR 46.4 mln to the write-back of the IRAP receivable from conversions of ACE surpluses carried out by the Parent Company in previous financial years pursuant to art. 1, paragraph 4 of Italian Law Decree 201/2011, due to the increase in estimated future IRAP taxable income resulting from the adoption of the new income projections contained in the 2022-2026 Group Business Plan, approved by the Board of Directors of the Parent Company on 22 June 2022.

The amount in line 4. “Deferred tax assets: annual changes” includes the overall effect of the valuation of the DTAs deriving from the results of the probability test, equal to EUR 391.8 mln.



21.2 Reconciliation of theoretical to actual tax charge

Items/Amounts	31 12 2022	%	31 12 2021	%
Pre-tax profit (loss) from continuing operations	(631,468)		258,164	
Profit(loss) before tax from assets and group of assets held for sale	-		-	
Profit (loss) before tax	(631,468)		258,164	
Theoretical IRES Payable	173,654	27.5%	(70,995)	27.5%
Permanent increases	(5,624)	-0.9%	(2,762)	1.1%
Losses on sale of equity instruments designated at fair value through other comprehensive income	(16)	0.0%	14	0.0%
Non-deductible administrative expenses (Municipal real estate property tax, vehicles, telephone, etc.)	(5,608)	-0.9%	(2,776)	1.1%
Permanent decreases	31,598	5.0%	24,393	-9.4%
Gains on sale of equity instruments designated at fair value through other comprehensive income	(71)	0.0%	53	0.0%
Gains on disposal of subsidiaries and associates	235	0.0%	22	0.0%
Deduction IRAP	-	0.0%	(233)	0.1%
Deduction ACE	31,434	5.0%	24,551	-9.5%
Reversal of impairment losses on subsidiaries and associates	18,135	2.9%	33,145	-12.8%
DTA write-downs related to prior tax losses	(75,251)	-11.9%	12,022	-4.7%
Other DTA write-downs	402,412	63.7%	128,472	-49.8%
DTA ACE write-downs	35,133	5.6%	22,698	-8.8%
IRAP credit valuation effect from conversion of ACE surpluses	46,354	7.3%	(46,354)	18.0%
Effect due to non-registration of DTA on tax loss of current year	(225,084)	-35.6%	(45,298)	17.5%
Other components (IRES relative to previous years, spreads between Italian and foreign tax rate, etc.)	1,436	0.2%	5,990	-2.3%
Effective IRES Payable	402,763	63.8%	61,311	-23.7%
				0.0%
Theoretical IRAP payable	29,363	4.65%	(12,005)	4.65%
Economic items not relevant for IRAP purposes	(4,291)	-0.7%	(9,859)	3.8%
Non-deductible interest expense	-	0.0%	(2,952)	1.1%
Value adjustments and credit losses	1,403	0.2%	1,206	-0.5%
Non-deductible costs of personnel	(173)	0.0%	(528)	0.2%
Profit (loss) on subsidiaries and associates	(3,088)	-0.5%	1,038	-0.4%
Other non-deductible administrative expenses (10%)	(4,412)	-0.7%	(5,136)	2.0%
Amortization non-deductible (10%)	(836)	-0.1%	(542)	0.2%
Provisions for risk and charges	636	0.1%	(2,232)	0.9%
Other economic items not relevant	2,179	0.3%	(713)	0.3%
Increase regional rates effect	5,586	0.9%	(2,814)	1.1%
Charges from not recognised tax loss carryforward IRAP	(40,114)	-6.4%	(10)	0.0%
Adjustments DTA	29,467	4.7%	12,701	-4.9%
Tax refunds from previous years	1,469	0.2%	-	0.0%
Other components (IRAP relative to previous years, spreads between Italian and foreign tax rate, etc.)	2,377	0.4%	1,843	-0.7%
Effective IRAP payable	23,857	3.8%	(10,144)	3.9%
				0.0%
Total effective IRES and IRAP tax expense	426,620	67.6%	51,167	-19.8%

The reconciliation relating to IRES includes, aside from the main tax at the rate of 24%, also the additional tax of 3.5% introduced by Italian Law no. 208 of 28 December 2015, paragraphs 65-66.



Section 22 - Profit (loss) after tax from discontinued operations - Item 320

22.1 Profit (loss) after tax from discontinued operations: breakdown

The table has not been completed as there are no gains (losses) on discontinued operations for the current financial year and the financial year of comparison.

22.2 Details of Profit (loss) after tax from discontinued operations

The table has not been completed as there are no gains (losses) on discontinued operations for the current financial year and the financial year of comparison.

Section 23 – Profit (loss) attributable to non-controlling interests – Item 340

23.1 Details of item 340 “Profit (loss) attributable to non-controlling interests”

	Total 31 12 2022	Total 31 12 2021
Consolidated equity investments with significant non-controlling interests	-	-
Other equity investments	(148)	(176)
Total	(148)	(176)

Section 24 – Other information

No additional disclosure to that presented in accordance with the international accounting standards and Circular no. 262 of the Bank of Italy is required.

Section 25 - Earnings per Share (EPS)

25.1 Average number of diluted ordinary shares

25.2 Other information

Voci/Valori	31 12 2022		31 12 2021 *	
Weighted average number of ordinary shares outstanding (no. of Shares)	209,865,416		9,860,506	
Ner Profit (loss) (euro th)				
Related to Parent Company continuing operations	(204,700)		309,507	
Related to Parent Company discontinued operations	-		-	
Attributable to Parent Company	(204,700)		309,507	
EPS (euros)	Base	Diluted	Base	Diluted
Related to Parent Company continuing operations	(0.975)	(0.975)	31.389	31.389
Related to Parent Company discontinued operations	-	-	-	-
Attributable to Parent Company	(0.975)	(0.975)	31.389	31.389

* Earnings per share and weighted average number of ordinary shares outstanding as at 31 December 2021 have been restated, compared to the figures posted at the reporting date, following the grouping operation of the Parent Company's ordinary shares at a ratio of 1 new ordinary share to 100 treasury shares that was carried out on 26 September 2022, pursuant to the resolution issued by the Parent Company's Extraordinary Shareholders' Meeting held on 15 September 2022.

Note that Basic EPS and Diluted EPS are the same, as there were no outstanding financial instruments with potential dilutive effects.



Part D – Consolidated statement of comprehensive income

**Analytical consolidated Statement of comprehensive income**

Items	Total 31 12 2022	Total 31 12 2021
10. Profit (loss) for the year	(204,848)	309,331
Other income components without reversal to profit or loss	(21,124)	156,783
20. Equity instruments measured at fair value through other comprehensive income	2,580	2,792
a) changes in fair value	2,104	2,083
b) Transfer to other component of net equity	476	709
30. Financial liabilities designated at fair value through profit or loss (change in the entity's own credit risk)	(5,230)	(17,581)
a) changes in fair value	(5,230)	(17,581)
50. Property, plant and equipment	(29,992)	242,030
70. Defined benefit plans	13,016	2,336
80. Non-current assets held for sale and disposal groups	6	-
90. Share of valuation reserves of equity instruments valued at equity	(13,435)	795
100. Tax income related to other income components without reversal to profit or loss	11,931	(73,589)
Other income components with reversal to profit or loss	(521,413)	(110,496)
120. Exchange differences:	1,025	3,115
c) other changes	1,025	3,115
150. Financial assets (other than equity instruments) measured at fair value through other comprehensive income	(247,781)	(49,203)
a) changes in value	(242,113)	(37,060)
b) reversal to profit & loss	(5,668)	(10,838)
-impairment provisions	-	-
-relised net gains/losses	(5,668)	(10,838)
c) other changes	-	(1,305)
170. Share of valuation reserves of equity-accounted investments	(514,915)	(114,112)
a) changes in fair value	(515,724)	(113,041)
b) reversal to profit & loss	809	(1,071)
-impairment provisions	-	-
-relised net gains/losses	809	(1,071)
c) other changes	-	-
180. Tax income related to other income components with reversal to profit or loss	240,257	49,704
190. Other income components	(542,537)	46,287
200. Total comprehensive income (Item 10 + 190)	(747,385)	355,618
210. Consolidated comprehensive income attributable to non-controlling interests	(167)	89
220. Consolidated comprehensive income attributable to Parent Company	(747,218)	355,529



Part E - Information on risks and hedging policies

Note: Public Disclosure (Basel III Pillar) is published on the Group's website: <https://www.gruppomps.it/investor-relations>.



Foreword

A summary of the organisation of the MPS Group's risk governance and the related processes and key functions is described below. An estimate of the Overall Internal Capital and a description of the relative assessment models are also provided.

For more detailed information on the Group's Risk Governance and risk culture, please refer to the Consolidated Report on Operations.

Risk governance system

The risk governance system adopted by the Group is characterised by a clear-cut distinction of roles and responsibilities of the different functions at first, second and third level of control.

Policies relating to the assumption, management, coverage, monitoring and control of risks are defined by the statutory bodies of the Parent Company. In particular:

- the Parent Company's Board of Directors defines and approves strategic guidelines and risk management policies and, at least once a year, quantitatively expresses the Group's overall risk appetite in terms of economic capital (Risk Appetite);
- the Board of Statutory Auditors and the Risk and Sustainability Committee evaluate the level of efficiency and adequacy of the internal control system, with particular regard to risk control;
- the CEO/General Manager is responsible for ensuring compliance with risk policies and procedures;
- the Director in charge of the internal control and risk management system, appointed in compliance with the Corporate Governance Code for listed companies, is responsible for creating and maintaining an effective system of internal control and risk management.

Specific Management Committees responsible for risk issues have been established in order to promote efficiency and flexibility in the decision-making process and facilitate interactions between the various company functions involved:

- the Risk Management Committee establishes Risk Management policies, evaluates the Group's risk appetite in accordance with annual and long-term Group value creation targets and ensures and monitors overall compliance with the limits defined for the various operating levels; evaluates the risk profile reached and therefore the capital consumption at both Group level and for each individual company of the Group;
- the Finance and Liquidity Committee formulates the principles and strategic guidelines relating to proprietary finance; it resolves upon and submits proposals regarding exposures to interest rate and liquidity risk in the banking book and defines capital management actions;
- the Credit Committee formulates policies in relation to credit processes and formulates an opinion, at least once per year, on credit policies by verifying their commercial sustainability and consistency with risk appetite levels. Based on the authorities assigned to it, it is also responsible for taking decisions with respect to lending and the management of problem receivables and assets.

As part of the Internal Control System, the Chief Audit Executive Department conducts third-level controls, the Chief Risk Officer Department and the Chief Compliance Executive Department carry out second-level controls and the Business Control Units (BCUs) carry out first-level controls.

The Chief Audit Executive Department performs an independent and objective "assurance" and advising activity, aimed both at monitoring operations compliance and risk trends (including through on-site audits) as well as assessing the efficiency of the overall internal control system in order to improve the effectiveness and efficiency of the organisation. It also acts as Internal Secondary Supervisor with a view to focusing on the main characteristics of the prudential supervision process adopted by the European Supervisory Authority and on the orientations/priorities outlined by the latter over time so as to evaluate the Group's positioning with respect to the expectations of the Single Supervisor.

The Chief Risk Officer (CRO) Department, reporting directly to the Board of Directors and functionally reporting to the CEO, performs activities related to risk control, anti-money laundering and counter-terrorist financing (hereinafter AML) and internal approval functions. The Head of the Chief Risk Officer (CRO) Department, in addition to being responsible for the risk control function has also been responsible for the AML function.



Moreover, the internal validation function reports to the CRO, as set forth in the Supervisory regulations and as internally transposed in the Group policy regarding the internal control system.

This Department therefore has the following tasks:

- to guarantee the overall functioning of the risk management system;
- to participate in the definition and control of the Risk Appetite Framework (RAF), as well as ensure that significant transactions are consistent with the RAF;
- to verify capital adequacy based on the ICAAP and liquidity adequacy based on the ILAAP;
- to monitor the Recovery Plan indicators;
- to ensure the necessary reporting flows to the Group's Top Management and Governance bodies;
- to guarantee proper and adequate control activities for the Group Companies that have outsourced the analogous corporate function;
- to perform the anti-money laundering duties envisaged by Law and the internal validation of risk management models;

In particular, within the *Chief Risk Officer* Department, the structure of the risk control function is assigned to a single Risk Management organizational unit, which includes 6 second-level organizational units (Risk Integration and Reporting, Credit Risks, Rating), Operational Risks, Market Risks and Wealth Risk Management, Liquidity Risks and ALM).

The Chief Compliance Executive Department performs the function of monitoring compliance with the regulations for the Parent Company. The function is directly responsible for managing risks relating to the violation of the most significant rules in Bank-Customer relations and it periodically reports to the company's top management and supervisory authorities regarding the overall state of compliance of the Bank's systems and operations. The Compliance function reports directly to the CEO.

The outlying BCUs operating within the subsidiaries or main business areas, carry out compliance checks on the transactions which they are responsible for and are the first level of organisational supervision of transactions within the broader internal control system.

In compliance with the requirements of autonomy and independence of each participating function, there is also a Function Coordination Committee in place with control responsibilities. The Committee promotes and shares operational and methodological aspects to identify possible synergies in control activities carried out by second and third-level Functions, coordinate methods and timing for planning and reporting to the Corporate Bodies and project initiatives connected with the Internal Control System, and share areas for improvement identified by all Functions with control responsibilities as well as the Supervisory Authorities.

Requirements of autonomy and independence of the Risk Management Function

The Chief Risk Officer (CRO) is the head of the Parent Company's Risk Control Function.

The Function's autonomy and independence are ensured as it reports directly to the Corporate Body with strategic supervisory functions (the Board of Directors) and only functionally to the Management Body (CEO/GM). It has direct access to the Body with control functions (Board of Statutory Auditors) and may communicate continuously with no restriction or intermediation. The CRO is also entitled at his or her discretion to participate in Risk and Sustainability Committee meetings to intervene or propose discussions on specific topics.

In particular, the Board of Directors appoints and removes the Parent Company's Chief Risk Officer, upon proposal by the Risk and Sustainability Committee, with the assistance of the Appointments Committee, having consulted the Board of Statutory Auditors.

The remuneration of the Parent Company's Chief Risk Officer is determined and approved by the Board of Directors upon proposal by the Remuneration Committee, having heard the opinion of the Risk and Sustainability Committee.



Activities relating to the international Regulatory framework

Pillar 1: since 2008, the Group has used internal models validated by the Bank of Italy for the measurement and management of credit risk (AIRB - Advanced Internal Rating Based) and operational risk (AMA - Advanced Measurement Approach). Over time, and in collaboration with the Supervisory Authorities, these models have been further enhanced and their scope of application extended to Group entities not originally included in the initial validation scope.

Pillar 2: During the year, in particular, work continued with activities aimed at ensuring compliance with the Supervisory Review and Evaluation Process (SREP) framework and further improving the Group's capital adequacy and liquidity self-assessment processes (ICAAP - Internal Capital Adequacy Assessment Process and ILAAP - Internal Liquidity Adequacy Assessment Process), with the mandatory reporting provided to the Supervisors.

The internal assessment of capital/liquidity adequacy are two processes that are part of the more general Risk Management macro-process, in direct connection with the Risk Appetite Framework (RAF) through the annual formulation of the Risk Appetite Statement (RAS) with related thresholds.

The overall internal capital/liquidity adequacy assessment process takes place periodically as part of the strategic ICAAP and ILAAP processes mainly through:

1. ICAAP/ILAAP Outcomes, or quantitative (inherent risk) and qualitative (risk management and controls) assessments on risk positioning prepared by the Risk Control Function and submitted to the Board of Directors for its own resolutions (Capital Adequacy Statement and Liquidity Adequacy Statement), i.e. the summary declarations prepared by the Board of Directors where it expresses its vision and awareness regarding the management of the adequacy of the capital situation and the current and future adequacy of liquidity.
2. Ongoing ICAAP/ILAAP, which consists substantially of periodical analyses of capital and liquidity adequacy which are described in the periodical reports of the Risk Control Function to the corporate bodies.

In 2022, the Risk Appetite Framework (RAF), the overall internal reference framework for the determination of the Group's risk appetite, was further developed. In addition, the Group engaged in several improvement projects on the system for the management of the various risks.

Pillar 3: public disclosure is provided on a quarterly basis through the Group's internet site www.mps.it/investors and is continuously updated in accordance with regulatory developments.

Analysis of the Internal Capital

The Overall Internal Capital (or Overall Absorbed Capital) is the minimum amount of capital resources required to cover economic losses resulting from unforeseen events caused by the simultaneous exposure to different types of risk.

The main types of risks incurred by the Group in its day-to-day operations can be summarily described as follows:

- Credit risk;
- Market risk;
- Operational risk;
- Banking book interest rate risk;
- Counterparty risk;
- Real estate risk;
- Issuer risk;
- Concentration risk;
- Equity investment portfolio risk;
- Business/Strategic risk;
- Model risk;
- Liquidity risk;
- Reputational risk.



All of the types of risk mentioned above are involved in quantifying the Overall Internal Capital, with the exception of liquidity and reputational risk that, instead, are mitigated through organisational policies and processes.

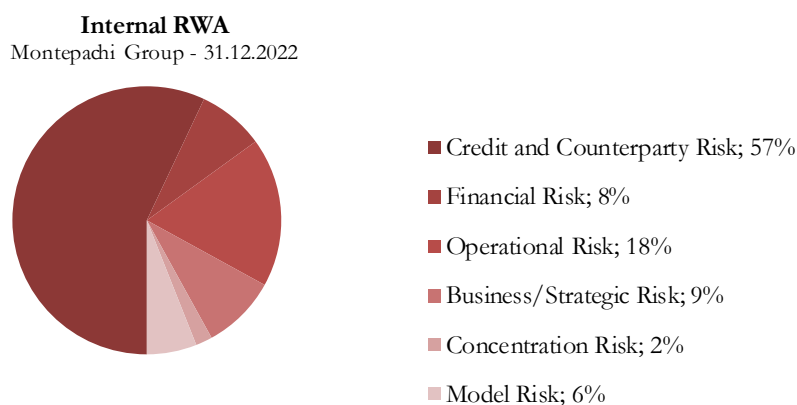
Risk inherent in investment products/services for the Group's customers are also monitored, with a view to protecting the customer and preventing any potential reputational repercussions.

Risk assessment models

The Risk Management Function regularly quantifies the Group's Internal Capital for each type of risk and periodically reports these to the Risk Management Committee and to the Governing Bodies as part of the reporting flows prepared by the Chief Risk Officer Division.

The approach used to quantify and supplement the risks-to-capital with regard to which the Group is exposed is known as Pillar 1 Plus. This approach envisages that the Pillar 1 requirements for Credit and Counterparty Risk (which already include those relating to Issuer Risk on the Banking Book, Equity Investment Risk and Real Estate Risk) and Operational Risk, be increased (avoiding double counting) by the requirements from internal models relating to Market Risks, of both Trading Book and Banking Book, Banking Book Interest Rate Risk (Financial Risk), Concentration Risk, the Business/Strategic Risk and the Model Risk.

Overall Internal Capital is calculated without considering inter-risk diversification, therefore by directly adding together the internal capital contributions of the individual risks (Building Block approach). This approach aims to incorporate the indications in the SREP (Supervisory Review and Evaluation Process) Guidelines published by the EBA.



The Group also manages and quantifies liquidity risk on an ongoing basis (risk-to-liquidity, as defined in the SREP Guidelines) through internal organisational methodologies and policies.

ESG risks

In consideration of the increasing importance played by ESG risk factors in regulations, government policies and stakeholder awareness, and also following specific initiatives promoted by the ECB, in particular on Climate-related and Environmental Risks - C&E Risks (see "Guidelines on Climate-related and Environmental Risks" November 2020, and ECB Climate Stress Test carried out in 2022), the Montepaschi Group is pursuing, as part of the multifunctional ESG Programme, a multi-year programme of activities relating to the integration of C&E risk factors into the Group's risk management framework and governance and strategic processes. The "ESG Risk Action" project, launched in 2022, is specifically aimed at identifying, measuring and managing ESG risks (with climate and environmental risks as the first priority).

The process of identification, verification of materiality and relevance of C&E risks, preparatory to the definition of the Risk Appetite Statement, carried out in a first phase in a purely qualitative manner at the end of 2021, and resumed and completed on a quantitative basis during 2022, has taken into consideration the risk factors linked to the climate according to the perspective of analysis of the so-called "transmission channels", according to which these risks are significant when they impact traditional financial risks (credit, operational, market and liquidity), already known and treated in the Group risk management framework.



The approach implemented led to the identification, for the Montepaschi Group, of the risks of C&E accidents affecting the areas of Credit and Operational Risks as material (including in a broad sense also the reputational risks), in continuity with what had already emerged from the first qualitative analyses carried out in 2021. Credit risks, based on the risk exposure that can be assumed based on the analysis of possible transmission channels, were also found to be “very high” (*transition risk*) and “high” (*physical risk*), depending on the potential exposure associated with each C&E risk factor (for details on the methodology for measuring the significance of C&E risk factors on credit risk, please refer to the following sections, representing the measures of exposure to transition and physical risks by companies and private individuals).

The C&E risks associated with credit risk are, as they are *material* and highly significant, subject to exposure monitoring as KRI RAS (at the end of 2022 for the components of private physical risk and transition risk for non-financial companies) or as management KPIs (in the case of the components of private and physical transition risk companies, which still require developments from a modelling and/or data perspective necessary to make them into full-fledged risk measures).

C&E risks that focus on credit risks (transition and physical) will also be subject to stress tests aimed at assessing the impacts of adverse scenarios for ICAAP purposes (also factoring the experience gained as part of the ECB 2022 Climate Stress Test).

The transmission to other “core” risks (market, liquidity and some operational risks) of the C&E risk factors analysed was based on *what-if analysis*, aimed at stressing respectively:

- for *liquidity risk*, the liquidity buffers represented by deposits made by retail customers and non-financial companies, depending on the occurrence of physical risk events concentrated in very short periods of time and on geographical areas of impact (entire province for flood risk, individual municipality for landslide risk); a run-off of the deposits have been assumed both in a situation of *crash* (withdrawal of 100% of the deposits in the affected area) and based on similar events actually occurring (e.g. flood in the Marche region in September 2022);
- for *market risk*, the market value of non-financial corporate portfolios (*bonds and equity*) and risk exposure to non-financial and non-collateralised counterparties relating to positions in derivatives;
- for *operational risks*, business continuity based on a number of scenario drivers, such as *customer hardship* (based on deposit areas), *employee hardship* (based on the number of non-operating employees in the scenario), *operational hardship* (based on the number of branches closed), *economic damage* (based on the loss of profitability for the Bank at risk within the scenario), *physical damage* (based on loss of value of owned properties).

These risks, which were not material at the first audit, will be subject to periodic repetition of the materiality check, on the basis of indicators and thresholds suitable to accommodate changes in the structure of the positions and activities concerned with consequent implementations in the risk management methodologies and processes and possible activation of related operating limits.

The risk areas identified as currently *material* (credit and operational-reputational), as part of the Group Risk Appetite Framework, are monitored through the corresponding ESG-specific Key Risk Indicators (KRIs), with particular reference to C&E Risks (physical and transition risks).

We provide below a summary of the analysis carried out by the Group during the financial year, aimed at identifying the exposure of credit portfolios to environmental/climate change factors; for details, we refer to the information in the Consolidated Non-Financial Statement (<https://www.gruppompis.it/sostenibilita/index.html>).

Enterprises transition risk

With regard to **transition risk** (financial loss that a company may incur, directly or indirectly, as a result of the adjustment process towards a low-carbon and more environmentally sustainable economy), in relation to corporate customers, the MPS Group quantifies the exposure to risk based on the “distance from sustainability” of the counterparties (or of the respective individual credit exposures), which is expressed in a taxonomy alignment coefficient or TAC. The greater the alignment, the smaller the distance to full environmental sustainability of an activity and its financing and the associated transition risk. The portion of any receivable that is not (yet) aligned, or still considered not fully sustainable, is considered to be “exposed” to transition risk.

Currently, the portion of aligned credit (and, as a complement to 1, the portion at transition risk) is largely based on sector information on the type of economic activity carried out (average sector emissions, level of recycling achieved, contributions to other taxonomic “items” such as circular economy, defence of biodiversity, etc.).

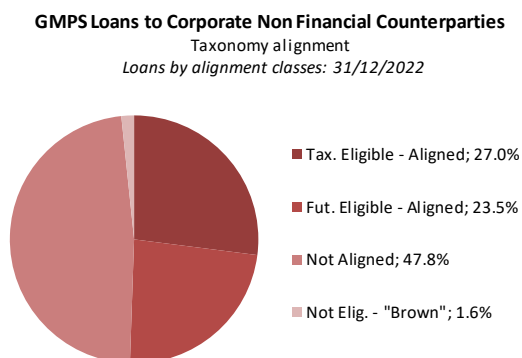


Eventually, the environmental sustainability of each credit exposure will be assessed analytically on the basis of specific characteristics of the exposure and/or the respective counterparty. As for the acquisition of necessary customer-specific ESG information, the MPS Group has taken further steps by introducing an ESG questionnaire for companies to collect information on their sustainability measures and a company-level information flow acquired from specialised external providers (GHG emissions, transition risk and physical risk).

As at 31 December 2022, the level of the transition risk exposure indicator as defined above (alignment coefficient, to be maximised) was 27.02%, on a range of loans to non-financial companies, (used for cash and guarantees) amounting to approximately EUR 40.6 bn. This indicator was monitored on a quarterly basis as a Key Risk Indicator as part of the Group Risk Appetite Statement (RAS), and was substantially stable throughout the past year.

The component of credits “aligned” to the EU Taxonomy for sustainable activities, Regulation 2020/852, is determined by identifying, with respect to the activities defined as eligible for the Taxonomy, the component estimated for management purposes as already fully sustainable. To complete the assessment of the entire perimeter of non-financial business counterparties, the alignment assessment is also extended to activities not yet considered “eligible” pursuant to the Taxonomy Regulation, but which could be admitted in the future (“future eligible”) as in any case considered relevant for the climate-environmental impact. The “brown” component is the part of activities that are most distant from sustainability (and excluded from the taxonomy) as they have a high environmental impact and for which a total reconversion of production processes is necessary (e.g. mining of fossil fuels, or related processing).

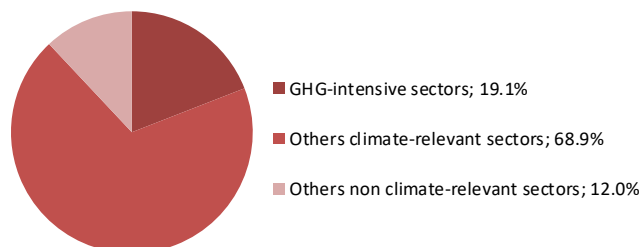
The chart below shows the breakdown of loans to non-financial companies based on eligibility (formal or future) with respect to the Taxonomy and the alignment estimate. The *eligible* and *aligned* component constitutes a first estimate of the operational GAR (Green Asset Ratio), in the absence of information on the actual determination of the actual taxonomic alignment of the activities carried out by the credit counterparties.



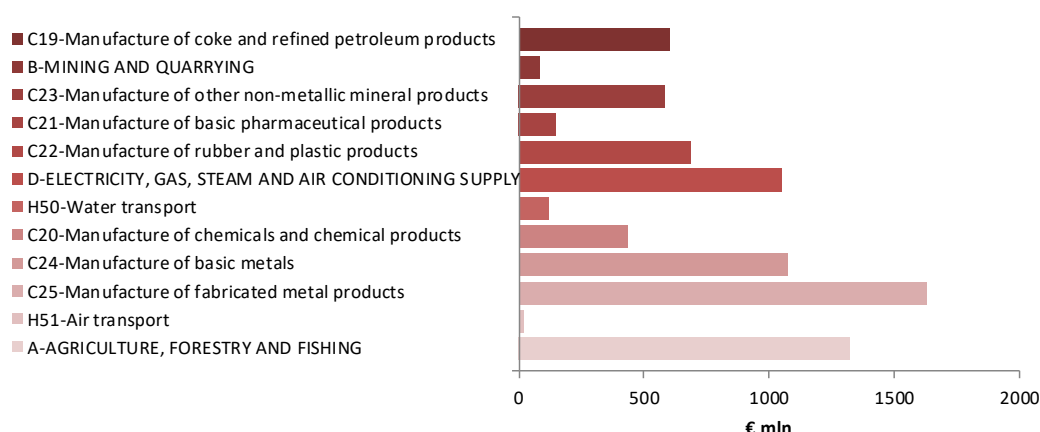
Among the aspects that the EU Taxonomy aims to address in the future, particular importance is given to the objectives (and related risks) related to climate change in terms of mitigation and adaptation (first and second targets of CCM - “Climate Change Mitigation” and CCA - “Climate Change Adaptation”, respectively), and they are related to the impact that human activities (productive and non-productive) have on climate change through, above all, the emissions of greenhouse gases (GHG) released into the atmosphere.

The intensity of GHG emissions, given the urgency of the emission reduction targets imposed by international agreements (Kyoto, Paris, etc.), is a key characteristic of the sustainability already achieved by an economic activity, or, conversely, of the extent of the transition process yet to be undertaken by a counterpart engaged in such an activity. Transition risk analyses are therefore focused, if not exclusively (due to the presence of other and additional environmental targets in the EU Taxonomy), mainly on the financing of activities that contribute significantly to climate change through GHG emissions.

Again in relation to loans to non-financial companies (for a total management scope of around EUR 40.6 bn of credit used, cash and guarantees), the following graphs show the breakdown by high-intensity business sectors of GHG emissions (the top ten groups of NACE/ATECO in terms of GHG emissions resulting in the highest emissions in the execution of the ECB Climate Stress Test 2022 - as system median). The “other sectors of climate-relevant activities” are those indicated as sectors that “highly contribute to climate change” in the ITS EBA 2022/01 for the preparation of the Pillar 3 disclosure. Finally, the remaining portion of receivables of the scope considered is posted as “other non-climate-relevant sectors”.

**GMPS Loans to Corporate Non Financial Counterparties**Loans to higher emitting sectors
as of 31/12/2022

The 19.1% (or approximately EUR 7.75 bn) shown above for the GHG-intensive sectors is detailed by reference NACE/ATECO grouping in the graph below and by GHG intensity decreasing from top to bottom.

GMPS Loans to Corporate Non Financial CounterpartiesLoans to higher emitting sectors
in € mln as of 31/12/2022 - decreasing GHG intensity**Residential mortgage transition risk**

For **private customers**, the use of energy performance labels (APE in Italy, EPC in Europe) of properties as the most significant indicator of emissions and more generally of the attitude towards the issue of climate change mitigation appears to be increasingly important. In order to identify transition risk, the Group is currently placing this risk in direct relation to the characteristics of the properties offered as mortgage security, being therefore able to provide a first proxy of alignment to the transition, through characteristics of energy efficiency.

The level of energy performance of the properties guaranteeing residential mortgages, and the related information on consumption and GHG emissions, were not included as KRIs in the Group RAS in 2022 (due to the initial low level of coverage of the labels compared to loans already amortised, due to the original lack of certification or failure to encode it). During 2022, data remediation activities were carried out for the recovery and digitalisation of energy label information, and an organisational process was launched for the recovery of this information when signing new mortgages.

As at 31 December 2022, in regard to approximately EUR 31.1 bn of positions in residential mortgages, 31.5% of the volume was covered by the energy label; this coverage ratio is constantly monitored and a specific KPI will be set on it for the coming year. At the same date, the component of mortgages covered by the energy label was broken down by APE levels according to the table and graph below.



■ MPS Group

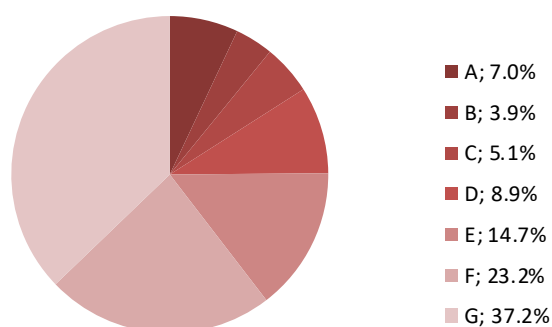
EUR/mln

EP label level	outstanding	%
A	684,27	2,2%
B	380,81	1,2%
C	496,57	1,6%
D	871,21	2,8%
E	1.437,77	4,6%
F	2.273,80	7,3%
G	3.637,43	11,7%
Total mortgages covered by EPC	9.781,85	31,5%
Without/Unknown EPC	21.317,91	68,5%
Total residential mortgages	31.099,76	100,0%

GMPS Residential Mortgages

Actual EPC level distribution

Loans by actual EP level of collaterals: 31/12/2022



Physical risk of residential mortgages

With regard to **physical risk**, the Group monitors the exposure of credit portfolios to acute physical risk factors, and from the end of 2022 also to chronic risk. In particular, the focus was on the risk of **private customers**, with an analysis aimed at the properties guaranteeing residential mortgages, based on the location of the properties themselves. The exposure of receivables within the scope was mapped by geolocating the real estate (at the municipality level for 2022, while it will also be located in time in 2023), and thus linking the appropriate area of the mapping of the applicable risk factors. Throughout 2022, the specific factors considered to determine risk exposure measures were floods, landslides (risks largely considered climate-related) and seismic (the latter as environmental not related to climate change). The risk data used to determine the RAS Key Risk Indicator (KRI) monitored quarterly throughout the past year was obtained from ISPRA (Institute for Environmental Protection and Research) at municipal level.

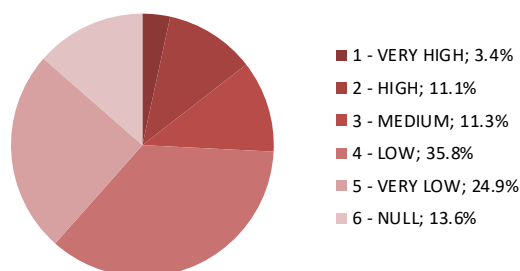
As at 31 December 2022, 24.53% of residential mortgage loans (equal to a total of EUR 31.1 bn) had real estate collaterals in areas classified as “high” or “very high” flood risk or landslide risk.

The graphs below show the breakdown of residential mortgage loans at the level of riskiness of the location of their collateral properties, as regards the monitored risk factors.

**GMPS Residential Mortgages**

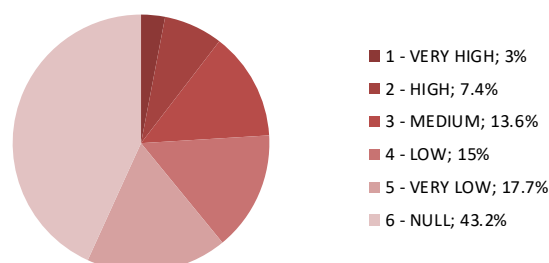
Flood Risk

Loans by risk class: 31/12/2022

**GMPS Residential Mortgages**

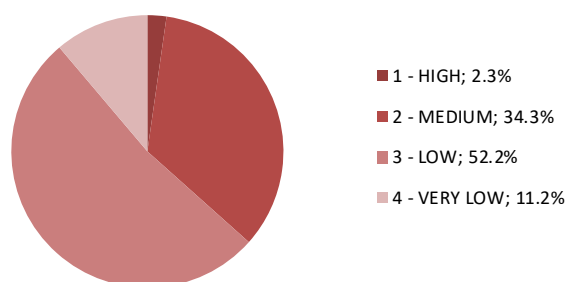
Landslide Risk

Loans by risk class: 31/12/2022

**GMPS Residential Mortgages**

Seismic Risk

Loans by risk class: 31/12/2022

Corporate physical risk

With regard to the **corporate physical risk**, the transmission channel of the impacts consists in the damages that events of acute physical risk (landslides, floods, atmospheric precipitation, hurricanes, fire) may cause to the company's production assets, possibly resulting in prolonged business interruptions that may compromise the company's regular operation with consequences of loss of profitability or even closure and bankruptcy. For 2022, the measurement of corporate physical risk exposure has used the classification of exposures in the highest risk brackets for each risk factor considered (landslide, flood from ISPRA, seismic risk from Civil Protection), obtained by applying the same methodology used as already described for private physical risk.



A model is being developed to identify physical risk (acute and chronic) relating to companies with structured organisations and production plants located in several geographical areas, which will integrate additional risk factors with respect to those already considered. For the time being, it has been decided to focus the analysis on small and medium-sized businesses, for which the production activity and related facilities can be assumed to be concentrated in the geographical area where the company is located.

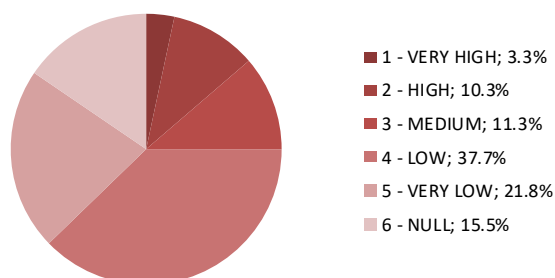
As at 31 December 2022, 24.33% of loans to small and medium-sized enterprises (equal to approximately EUR 24.1 bn in total perimeter) were located in areas at risk of flooding or “high” or “very high” landslide risk.

The graphs below show the breakdown of these loans by risk level of the location of the business premises, as regards the risk factors monitored.

GMPS Loans & Advances SME

Flood Risk

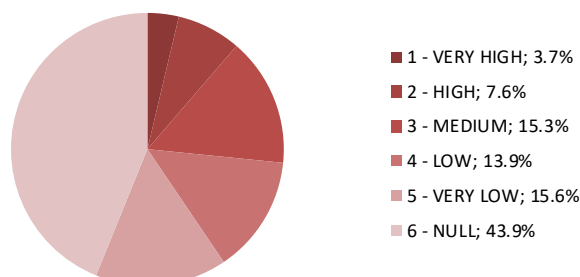
Loans by risk class: 31/12/2022



GMPS Loans & Advances SME

Landslide Risk

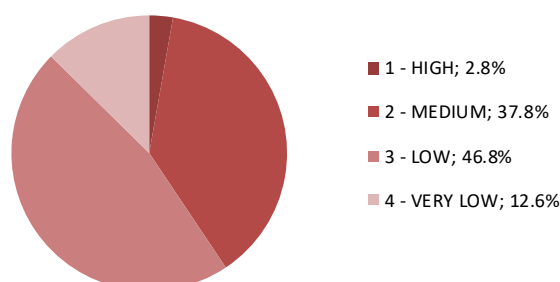
Loans by risk class: 31/12/2022



GMPS Loans & Advances SME

Seismic Risk

Loans by risk class: 31/12/2022





A further risk associated with ESG aspects, considered relevant for the MPS Group, is the reputational risk. Starting from 31 December 2022, a component was included in the RAS monitoring indicator that takes into account and weights, with the other items relevant to the Bank's stakeholders, aspects of ESG risk such as:

- the transition risk posed on investment service customers in terms of number and volumes of portfolios affected by financial products of potentially controversial issuers in terms of ESG issues;
- loans to potentially controversial counterparties, again with reference to ESG aspects;
- the external perception of the MPS Group's attention to ESG issues as resulting from sustainability ratings reported by independent Agencies on the Group.

In the specific area of investment services for customers, the issue of sustainability and integration of ESG factors has become even more relevant in the course of 2022 with an increasing offer of products with underlying strategies supporting sustainability. During the first half of 2022, in compliance with ESG regulations, a revision of the Customer profiling questionnaire (MiFID Questionnaire) which collects the Customer's "sustainability preferences", was carried out in order to ensure greater consistency between the product offer and the overall needs of customers and specific adequacy checks for ESG sustainability risks were implemented.

With regard to the Asset Management Service, during 2022, the ESG targets and characteristics were integrated and highlighted with respect to all the main asset types that are the basis of MPS advanced consulting, in order to make suitable investment profiles available to the Customers who have expressed a preference for sustainable investments.

For more information on the sustainability policies of the Montepaschi Group, please refer to the Sustainability section available on the group website and at Consolidated Non-Financial Statement (<https://www.gruppomps.it/sostenibilita/index.html>).



Section 1 – Consolidate accounting risk

Quantitative Information

A. Credit quality

For the purposes of quantitative information on credit quality:

- the term “on-balance sheet exposure” refers to all on-balance sheet financial assets with regard to banks or customers, regardless of their portfolio of accounting recognition (measured at fair value through profit or loss, measured at fair value through other comprehensive income, measured at amortised cost, non-current financial assets held for sale and disposal groups). Sight receivables from banks and central banks fall within the definition of on-balance sheet exposures but are conventionally excluded from the tables in Section 1, except in the cases expressly indicated in which they must be considered;
- the term “off-balance sheet exposure” refers to all financial transactions other than on-balance sheet ones (financial guarantees given, revocable and irrevocable commitments, derivatives, etc.) that involve the assumption of credit risk, regardless of the purpose for such transactions (trading, hedging, etc.). Off-balance sheet exposures also include the counterparty risk connected to securities lending transactions and repurchase agreements and to the granting or assumption of goods on a loan basis, as well as to transactions with margins included within the notion of Securities Financing Transactions as defined by prudential regulations.

Non-performing loans (on and off-balance sheet) do not include financial assets held for trading and hedging derivatives, which are therefore traditionally recognised among performing exposures.

Equity securities and units of UCITS are excluded.

A.1 Non-performing and performing loans: amounts, impairment (losses), changes, trend and breakdown by business sector*A.1.1 Breakdown of financial assets by portfolio and credit quality (book values)*

	Bad loans	Unlikely to pay	Past-due non performing exposures	Past-due performing exposures	Other performing exposures	Total
1. Financial assets measured at amortised cost	451,127	1,223,150	35,379	382,366	86,372,591	88,464,613
- of which forborne	83,779	526,750	1,791	30,489	1,687,933	2,330,742
2. Financial assets measured at fair value through other comprehensive income	-	-	-	-	4,097,640	4,097,640
- of which forborne	-	-	-	-	-	-
3. Financial assets designated at fair value	-	-	-	-	-	-
- of which forborne	-	-	-	-	-	-
4. Other financial assets mandatorily measured at fair value	56	2,399	-	1,588	251,906	255,949
- of which forborne	22	2,043	-	-	299	2,364
5. Financial asset held for sale	-	-	-	-	-	-
- of which forborne	-	-	-	-	-	-
Total 31 12 2022	451,183	1,225,549	35,379	383,954	90,722,137	92,818,202
Total 31 12 2021	632,025	1,459,688	47,187	453,818	115,926,507	118,519,225

As at 31 December 2022, forbearance exposures amounted to EUR 2,333.1 mln (EUR 2,911.6 mln as at 31 December 2021), of which EUR 614.4 mln were non-performing (EUR 847.4 mln as at 31 December 2021) and EUR 1,718.7 mln were performing (EUR 2,064.2 mln as at 31 December 2021) and are predominantly in the “Financial assets measured at amortised cost - Loans to customers” portfolio. For further information on these exposures, please refer to table A.1.5 below



A.1.2 Breakdown of financial assets by portfolio and credit quality (gross and net values)

Portfolio/quality	Non-performing assets				Performing assets			Total (Net exposure)
	Gross exposure	Impairment (loss)	Net exposure	Total Partial Write-off**	Gross exposure	Impairment (loss)	Net exposure	
1. Financial assets measured at amortised cost	3,288,796	1,579,140	1,709,656	28,709	87,205,115	450,158	86,754,957	88,464,613
2. Financial assets measured at fair value through other comprehensive income	-	-	-	-	4,101,357	3,717	4,097,640	4,097,640
3. Financial assets designated at fair value	-	-	-	-	X	X	-	-
4. Other financial assets mandatorily measured at fair value	29,841	27,386	2,455	2	X	X	253,494	255,949
5. Financial asset held for sale	-	-	-	-	-	-	-	-
Total 31 12 2022	3,318,637	1,606,526	1,712,111	28,711	91,306,472	453,875	91,106,091	92,818,202
Total 31 12 2021	4,137,429	1,998,529	2,138,900	46,371	116,591,727	447,312	116,380,325	118,519,225

* **Value to be presented for disclosure purposes

At the reporting date, the Group has 54 positions relating to creditors who have applied for a “blank” arrangement for a net exposure of EUR 14.3 mln (EUR 48.3 mln as of 31 December 2021) and 1 position relating to creditors who have applied for an arrangement as a going concern for a net exposure of approximately EUR 1.2 mln (EUR 0.5 mln as of 31 December 2021).

As at 31 December 2022, the Group holds impaired financial assets acquired for a nominal value of EUR 20.9 mln, all classified in the portfolio “Financial assets measured at amortised cost” at the price of EUR 2.1 mln.

The following table provides evidence of the credit quality referring to credit exposures classified in the portfolio of financial assets held for trading (securities and derivatives) and hedging derivatives (not shown in the previous table):

	Low quality assets		Other assets
	Cumulative losses	Net exposure	Net exposure
1 Financial assets held for trading	59,283	1,521	6,160,758
2 Hedging derivatives	-	-	1,077,095
Total 31 12 2022	59,283	1,521	7,237,853
Total 31 12 2021	63,447	2,256	9,061,844

Poor credit quality exposures, with a book value of EUR 1.5 mln, refer exclusively to derivative instruments with customers.



B. Information on structured entities (other than securitisation vehicles)

B.1 Consolidated structured entities

As at 31 December 2022, there are no structured entities consolidated in the accounts, other than the securitisation companies, falling within the scope of the MPS Group.

B.2 Structured entities not consolidated for accounting purposes

B.2.1. Prudentially consolidated structured entities

As at 31 December 2022, there are no prudentially consolidated structured entities, other than the securitisation companies, falling within the scope of the MPS Group.

B.2.2 Other structured entities

Qualitative Information

For disclosures pursuant to IFRS 12 please refer to the comments provided under the table below.

Quantitative Information

31 12 2022

Balance sheet item/Type of structured entity	Accounting portfolio: Assets			Total assets (A)	Accounting portfolio: Liabilities		Net book value (C=A-B)	Maximum exposure to loss (D)	Difference between exposure to loss and book value (E=D-C)
	Held for trading	Financial assets measured at fair value through profit and loss	Financial assets measured at amortised cost		Financial liabilities held for trading	Total liabilities (B)			
1. Special Purpose vehicles	-	-	-	-	-	-	-	-	-
2. UCITS	1,166,480	199,357	28,017	1,393,854	271,160	271,160	1,122,694	1,127,289	4,595
Total	1,166,480	199,357	28,017	1,393,854	271,160	271,160	1,122,694	1,127,289	4,595

UCITS

The aggregate includes, in the column 'Financial assets held for trading':

- EUR 65.4 mln (EUR 45.1 mln as at 31 December 2021) relating to the interests held by the Group in units of Bond Funds and Exchange Traded Funds that invest in shares, bonds and derivatives. These units are purchased for the hedging of risks associated with the issue of structured bonds and funds placed through the network by the Parent Company or for repurchase on the secondary market of the structured funds that had been originally structured;
- EUR 1,101.1 mln (EUR 1,039.2 mln as at 31 December 2021) relating to financial derivative exposures with positive fair value to counterparties Rainbow for EUR 46.8 mln (EUR 79.8 mln as at 31 December 2021), Anima for EUR 991.7 mln (892.4 mln as at 31 December 2021), Quaestio for EUR 6.1 mln (EUR 6.7 mln as at 31 December 2021), Ksac Europe Investments for EUR 0.4 mln and towards Axa Im Deis securities funds for EUR 56.0 mln (EUR 60.3 mln as at 31 December 2021). Rainbow, Anima and Axa Im Deis are funds under Irish law managed by Anima Asset Management and AXA Investment Managers, respectively. These funds are divided into subfunds purchased by MPS AXA Financial Limited, which are the funds to which are linked the services of the unit linked policies placed with the latter's customers with the name "AXA MPS Valore Performance". The Quaestio funds are under Luxembourg law, managed by Quaestio Capital and sold through the MPS network. The Group operates with Rainbow, Anima, Axa Im Deis and Quaestio as counterparty with which the derivatives included in the Fund assets are negotiated.

The column financial assets measured at fair value through profit or loss includes:



- EUR 57.8 mln (EUR 56.5 mln as at 31 December 2021) relating to interests held by the Parent Company in private equity funds, whose purpose is to increase the value of the respective equity through mainly medium to long-term investments chiefly in the purchase and/or subscription of shares, units and securities in general representing the equity of target enterprises, exclusively in the best interest of the investors;
- EUR 3.8 mln (EUR 1.6 mln as of 31 December 2021) related to the Anima Alternative A fund held by the subsidiary MPS Capital Services. This is a closed-end Italian direct lending fund, reserved for professional investors that invests mainly in debt instruments and for a minority share in shareholdings;
- EUR 129.8 mln (EUR 133.0 mln as at 31 December 2021) relating to units of a multi-segment closed-end Italian alternative investment fund (Idea CCR I and II, Back2Bonis, Efesto, Clessidra) held by the Parent Company and by the subsidiary MPS Capital Services S.p.A. These funds aim to contribute to the re-launch of medium-sized Italian companies in financial difficulty.
- EUR 7.9 mln (EUR 7.9 mln as at 31 December 2021) relating to units - held by the Parent Company and by the subsidiaries MPS Capital Services S.p.A. and MPS Leasing & Factoring S.p.A. - of a closed-end private contribution real estate fund for qualified investors only (Athens RE Fund B). The fund, managed by Unipol Sai Investimenti SGR, holds prestigious tourism complexes located in Tuscany and Sicily.
- EUR 0.02 mln (EUR 0.02 as at 31 December 2021) relating to units of a closed-end real estate fund for qualified investors only (Fondo Cosimo I), held by the subsidiary MPS Capital Services S.p.A. The objective of the fund is to maximise income for its investors through a growing dividend yield as well as increased value of portfolio assets.
- EUR 0.02 mln (EUR 0.1 mln as at 31 December 2020) include interests of the Parent Company in hedge funds, particularly side pockets and funds under liquidation.

The column "Financial assets measured at amortised cost" includes loans granted to the counterparty Athens RE Fund B of EUR 28.0 mln (EUR 29.2 mln as at 31 December 2021)

The column 'Financial liabilities held for trading' includes: EUR 271.2 mln (EUR 301.8 mln as at 31 December 2021) relating to the negative fair value of financial and credit derivatives towards the counterparties Rainbow for EUR 3.8 mln (EUR 9.7 mln as at 31 December 2021), Anima for EUR 261.6 mln (EUR 271.0 mln as at 31 December 2021), Quaestio for EUR 2.5 mln (EUR 5.2 mln as at 31 December 2021) and towards AXA IM DEIS securities funds managed by AXA Investment Managers for EUR 3.3 mln (EUR 11.0 mln as at 31 December 2021). The entities in question finance themselves by issuing units.

Maximum exposure to the risk of loss was determined to be equal to book value for exposures to units of UCITS other than the financial and credit derivatives for which reference is made to positive fair value plus the add-on (calculated also taking into account positions with a negative fair value). For UCITS, the maximum risk exposure also includes the Group's commitments not yet called up by the funds, to subscribe additional units.

During the financial year under review, the Group did not provide and does not intend to provide financial or other support to the non-consolidated structured entities referred to above.

There are no sponsored non-consolidated entities for which the Group holds no interests at the reporting date.



Section 2 - Risks of prudential consolidation

1.1 - Credit risk

Qualitative Information

1 General

Within the guidelines approved by the Parent Company's Board of Directors, and in line with the evolution of the supervisory regulatory framework, the Group pursues the primary objective of improving the quality of the managed loan book and consequently reducing the cost of credit.

The Group's credit activity is managed with a view to strong proactive behaviour in risk monitoring and enhancement of growth opportunities, through the development of credit policies and systems aimed at making the most of trend data in connection with individual debtors, against a background of in-depth knowledge and strategic management of positions.

Impacts of the Covid-19 pandemic and the Russian-Ukrainian conflict

During 2022, the MPS Group completed the application of support measures as part of the *Temporary Framework* prepared to deal with the pandemic emergency until 30 June 2022 and, in the meantime, structured a range of monitoring and support measures with reference to customers that are most impacted by the energy price hikes following the outbreak of the conflict in Ukraine.

With regard to the first aspect, during the year, the MPS Group disbursed a further EUR 1.4 bn in loans guaranteed pursuant to the "Liquidity Decree" issued on 8 April 2020; by virtue of the aforementioned disbursements and against the repayment plans started on customers benefiting from the moratorium measures in the two previous years, at the reference date of these Consolidated Financial Statements, the residual debt of loans with state guarantees is equal to approximately EUR 9.8 bn, while, on the payment suspension side, the stock of active moratoria has now been reduced to EUR 81.4 mln. For more information, please refer to the following tables:

- "4.4a Loans valued at amortised cost object to COVID-19 support measures: gross value and overall value adjustments" of "Section 4 - Financial assets measured at amortised cost", contained in "Part B - Information on the consolidated balance sheet" of these Notes to the consolidated financial statements;
- "8.1a Net impairment (losses)/reversals for credit risk on loans measured at amortised cost object of COVID-19 support measures: breakdown" of "Section 8 - Net impairment (losses)/reversals for credit risk" included in "Part C - Information on the consolidated income statement" of these Notes to the consolidated financial statements;
- "A.1.3a Prudential consolidation -Loans subject to COVID-19 support measures: transfers between the different stages of credit risk (gross values)" and "A.1.5a - Prudential consolidation- Balance sheet credit exposures to customers object of COVID-19 support measures: gross and net values", contained in the quantitative information in the section dedicated to credit risk of "Part E - Information on risks and hedging policies" of these Notes to the consolidated financial statements.

Reference is also made to the information provided by the "Guidelines on reporting and disclosure of exposures subject to measures applied in response to the COVID-19 crisis", published by the EBA (EBA/GL/2020/07) in Section 5.4 of the Pillar III Public Disclosure.

In 2022, the "Covid-19" portfolio was constantly monitored by the various corporate control and monitoring functions in order to promptly intercept situations of financial difficulty that have become structural and consequently proceed, in compliance with accounting policies and accompanying appropriate management actions, to report, where necessary, the attribute of forborne or to proceed with the classification under non-performing assets.

Starting from the second half of 2022, as part of the new temporary aid scheme authorised by the European Commission to support the economy affected by the Russian-Ukraine crisis and therefore in derogation of ordinary operations in relation to the guarantee request at the Central Fund for SMEs, two technical forms of guaranteed financing (Temporary Crisis Framework) have been introduced, both short- and medium/long-term, for liquidity, investment or renegotiation purposes, with the acquisition of guarantee percentages that can be modulated according to the purpose of the loan as well as the classification of the beneficiary company within the Fund's evaluation models.

In addition, companies with high energy consumption were also able to benefit from loans with the "Sace SupportItalia" guarantee proportionate to the size of the company in terms of turnover and number of employees.



As at 31 December 2022, the Group disbursed approximately EUR 117 mln.

Also in order to effectively monitor credit risk with regard to the counterparties most exposed to the financial impacts deriving from the Russian-Ukrainian crisis, the monitoring functions within the Chief Lending Officer Department have strengthened and standardised the Credit Operational Plans (so-called P.O.C., *Piani Operativi del Credito*) through which both ordinary and extraordinary credit review plans were addressed, paying particular attention to the “energy-intensive” sector clusters.

The activities carried out through the Credit Operational Plans, also aimed at assessing, from a Utp assessment perspective, the ability of the company’s flows to guarantee the repayment of the debt without resorting to guarantee enforcement procedures, resulted in a default classification rate of around 4%, confirming the effectiveness of the P.O.C. tool in selecting counterparties with a higher risk profile; moreover, adding the default from Proactive Management to the Low Risk counterparties reclassified under P.O.C., it appears that more than 90% of the total default flow is determined by the entire Early Warning system..

Although the effectiveness of the default interception system has now returned to pre-Covid levels, in 2022 the MPS Group developed a new Early Warning System (EWS) which is used as an Early Management tool within the Credit Operational Plans.

The EWS score system, which consists of two household models (mortgages and credit facilities) and a Business Model, identifies entry into the risk list as the target event for causes of overdrafts and/or forbore and uses a statistical methodology of regression to estimate, at the level of each counterparty, the effect of different variables on the time required for the target event to occur.

The list of customers with a high probability of experiencing the target event and therefore belonging to the highest risk categories are addressed periodically to the network structures in order to make contact with the counterparties involved in the initiative and share with them any actions to improve the sustainability of the financial plan or to supplement guarantees.

The information on the scores is being stored in the company data warehouse and is about to be integrated into the new models within the credit management and monitoring systems.

2 Credit risk management policies

2.1 Organisational aspects

As its distinctive mission, the Chief Lending Officer Department performs activities of credit risk taking and operational monitoring of credit quality, giving guidance and support to the network in credit activities, directly managing impaired loans, including financial restructuring transactions, and monitoring the impacts of various credit transactions on the cost of credit.

The Chief Lending Officer Department, following the corporate reorganisation in the last quarter of 2022, is subdivided, inter alia, into three first-level Functions specialised in the management of Performing and Non-Performing loans.

The Performing Function, divided into Retail Lending and Corporate Lending, exercises decision-making autonomy consistent with credit policy objectives and prepares credit operation plans aimed at preserving the quality of exposures and promptly resolving anomalies in the relationship with debtor customers.

Within the Retail Lending chain there is a second-level structure called Credit Management and Proactive Retail, which exercises responsibility for the disbursement of credit and for monitoring the quality of the credit portfolio for the purpose of preventing deterioration events; in the Corporate Lending chain, the disbursement and prevention of anomalies are assigned to two separate functions, respectively called Corporate Credit and Proactive Business Management. In addition, the second level functions specialised in Consumer Credit and Business Management of small amounts operate within the Retail Lending function; finally, also at the second level, two Steering and Monitoring structures have been set up in both Retail and Corporate, which are responsible for defining and implementing initiatives to improve the quality of the credit portfolio.

Within the Chief Lending Officer Department operate, mirroring the Corporate Banking and Retail Departments, the Regional Retail and Corporate Credit Departments, which implement the guidelines received from their respective first-level functions in the Head Office, exercising delegated powers in credit matters consistently with the credit strategies defined by the Parent Company.



The First-Level Non-Performing Function, responsible for the management of non-performing loans, is divided into five second-level structures; among these, the Unlikely to Pay, the Restructuring and the Workout exercise the decision-making powers assigned to manage non-performing exposures and bad loans, both on an ordinary basis, through the use of collections strategies, balances and write-offs, back to bonis, and on an extraordinary basis, by supporting the First Level Function in setting up and executing block sale transactions with or without securitisation; the other two second-level functions are the NPE Steering and Monitoring Function responsible for operationally and strategically directing the deliberating functions in accordance with the Parent Company's credit policy objectives, and the Post Sale Portfolio Management responsible for managing relations with assignees, with particular reference to the analysis of claims received after asset disposal transactions.

The Chief Lending Officer (CLO) also has two other First-Level Functions reporting directly to him:

- The *Credit Portfolio Governance*, which is divided into four second-level structures, is responsible for monitoring the value of collateral and document management, for the governance of the liability cycle, for the definition of credit strategies and standards, and, through the Credit Innovation Function, the implementation of decision-making systems for credit disbursement and monitoring by means of scoring, segmenting and algorithms;
- *Credit Control*, as the function responsible for supporting the CLO in monitoring, supervision and management reporting activities, both in terms of key performance indicators (KPI) and key risk indicators (KRI), as well as carrying out the relevant credit controls under the Bank of Italy Circular 262 and in compliance with the provisions on the new definition of default.

2.2 Management, measurement and control systems

Banca Monte dei Paschi, in its capacity as Parent Company, has defined the standards of conduct that must be adopted in order to ensure the balanced assumption and management of credit risk; to this end, it quantifies and monitors credit quality so that it is always consistent with the set out objectives.

The main metrics used to pursue these guidelines are: the Probability of Default (PD) which expresses the probability that the customer will default over a given period of time, typically one year, the Loss given default (LGD) which expresses the expected loss in the event of insolvency - taking into account the effect of the guarantees that mitigate the assumption of risk related to the credit line - the size of the exposure in the event of default (EAD) and the duration of the exposure (maturity).

Since 2008, the Supervisory Authority has authorised the Group to use advanced internal rating systems to determine capital requirements against credit and operational risk. In particular, the Group is currently authorised to use, for the business portfolio and retail exposures, the internal estimates of the PD, LGD, and starting from the first quarter of 2023, also of the EAD parameter.

These internal models, as well as for reporting purposes, are used in various management processes for the Group's operating purposes, specifically the PD and LGD parameters, albeit with certain methodological adjustments and refinements with respect to the reporting purposes form the basis of calculation for different measurement and monitoring systems, and specifically:

- Measurement of economic capital against credit risk: the LGD and PD parameters used as inputs to the credit portfolio model and the related output in terms of VaR are subject to some adjustments. With regard to the PD parameter, default probabilities are used for portfolios other than "Corporate" and "Retail" portfolios that are not subject to validation by the Authority and that derive from i) internal rating systems that have not yet undergone validation ii) external ratings provided by major rating agencies appropriately remapped to the internal master scale. With regard to the LGD parameter, for the "Corporate" and "Retail" portfolios, the parameters approved by the supervisory authority are used, excluding the down-turn⁵¹ effect included only for regulatory purposes; for the other portfolios, parameters estimated on the basis of analysis of medium/long-term recovery rates, where existing, or LGD rates in line with those envisaged by internal regulations for the FIRB⁵² method are used. As regards the EAD, the estimated model for regulatory purpose are used, the use of which has been authorised by the ECB as of January 2023. The parameter is determined by applying a

⁵¹ Downturn effect is the incorporation in LGD estimates of worsening resulting from a recessionary period of the economic cycle. The methodology involves identifying the recessionary periods by studying the time series of some macroeconomic indices

⁵² FIRB (Foundation Internal Rating Based) Approach: the internal models used to determine the capital requirements for credit and counterparty risk as part of the international "Basel 2" and "Basel 3" regulations. They differ from the AIRB models because in this case the bank only estimates the PD parameters internally.



multiplication factor (K) to the exposure (use); if the available margin is higher than 5% of the total amount granted, the EAD is instead determined by applying a conversion coefficient (CCF) on the granted amount. Both types of ratios differ in terms of legal entity, segment, type of exposure, size class and rating class. For financial and commercial signature transactions, the EAD is multiplied by a factor (RC), which expresses the probability that the commitment will not turn into cash transactions upon default of the counterparty.

- For the process of calculating risk-adjusted performances and measuring the creation of value, the same calculation logics used for the credit portfolio model are used for both the legal entities subject to validation and those outside the scope of approval. In addition, where re-estimates and recalibrations of the internal rating systems subject to validation take place, the related results are also incorporated in the VBM procedures and therefore at all times the outputs are aligned with the latest updates made.
- For the risk-adjusted pricing process, the parameters that feed the calculation model are the same as those of the credit portfolio model, with certain extensions implicit in the pricing model required. In particular, not only annual default probabilities are used as inputs, but also marginal, forward and multi-period default probabilities. Also on the LGD side, the same criteria set for the Credit Portfolio Model described above are used, always excluding the down turn effect.

All credit processes use the borrower rating as a decision-making driver, and they are defined as a function of the specific nature of various customer segments in order to optimise the use of resources employed in loan management/monitoring and to achieve the right balance between the push for sales and an effective loan management system. The internal rating system, which affects corporate and retail portfolios, is based on the development of several statistical models specialised by customer type with the aim of assigning a solvency rating for prospective borrowers (first-time lending models based on financial and demographic information taken from outside databases) and for existing borrowers (for which behavioural models using internal performance and central risk data were also applied).

In particular, with regard to the lending process related to disbursement, this is differentiated based on the type of customer and transaction requested and provides for the possibility of performing the rating process for each counterparty, not allowing the exercise of decision-making powers in the absence of a valid rating. The Group's counterparty rating is the result of a process that assesses in a transparent, structured and homogeneous manner all economic, financial, performance and qualitative information relating to customers that generate credit risks. The official rating thus determined has ordinary validity until the twelfth subsequent month and must be revised by the end of that month. It is subject to a monitoring process that can anticipate its ongoing revision if stable, consistent monthly statistical PD changes exceeding certain cut-offs are detected.

In order to increase efficiency levels in managing internal ratings, the Internal Rating Agencies operating in local areas have become the single point of reference for all units on rating issues. The role of the Rating Agencies allows for a closer interaction with the Network to make assistance more effective, generate more synergies and enable a more efficient transfer of knowledge.

Credit quality is also part of a monthly monitoring process aimed at ensuring compliance with the thresholds established both in the Risk Appetite Framework (RAF) and in the credit policies in order to ensure ongoing consistency between the Group's actual risk profile and the risk propensity approved ex-ante by the Board of Directors.

The annual RAF is formalised in the so-called "Risk Appetite Statement" (RAS) approved by the Board of Directors and is based on a set of Key Risk Indicators (KRI) defined at Group, Legal Entity and Business Unit level. These include indicators aimed at monitoring the expected concentration levels on Large Exposures and Related Parties and which also make it possible to monitor the maximum level of exposure and therefore of RWA on individual counterparties.

Within the framework of the RAS, the risk management and measurement systems put in place by the Group ensure constant monitoring of the risk profile and periodic reporting to the Control Bodies, with activation of appropriate escalation and remediation mechanisms in the event of breaches of the relevant thresholds.

These measurement and control metrics have been in place for several years and have not changed over the last year.

Forecast sustainability, as regards credit risk, is ensured by the definition of concrete loan book actions which are communicated to the outlying networks through an internal regulatory document as well as by amending the credit disbursement and management processes and criteria.

The determination of impairment losses on performing and non-performing exposures is based on methodologies compliant with IFRS 9, as described in section "2.3 Methods for Measuring Expected Losses".



Furthermore, with regard to regulatory, accounting and management credit risk, the Group has defined a macroeconomic regression model to estimate changes in PD/LGD/EAD as a function of key macroeconomic variables. Drivers that significantly explain variations in individual models are first identified and on the basis of the regression model, credit driver disturbances are then estimated according to the current and prospective economic situation. The shock caused by macroeconomic factors determines the change in the parameters of the credit portfolio, triggering for example the simulation of a hypothetical counterparty downgrading, with consequent risk variations in terms of Expected Loss, Unexpected Loss and input from new Defaults.

Impacts deriving from the COVID-19 pandemic and the Russia-Ukraine war

The pandemic and the war in Ukraine did not impact on management processes, measurement methods and risk control.

In general, for the 2022 financial year, in continuity with 2021 financial year, the update of the *Risk Appetite Statement* (RAS) took into account the expected trend of the external scenario and the related impacts in terms of risk with subsequent update of the operating limits on credit risks based on the RAS.

2.3 Methods to measure expected losses

Credit risk is analysed in-house for management purposes using the Credit Portfolio Model, which was developed internally by the Parent Company and which produces as detailed output the classical risk measures of management Expected and Unexpected Loss (diversified intra-risk with annual time horizon and confidence interval calibrated to the Group's target rating). Several inputs are considered: probability of default (PD), obtained through validated and non-validated models, LGD rates (management and regulatory), number and types of guarantees supporting the individual credit facilities, regulatory and management CCF on the basis of which the regulatory and management EAD are estimated respectively.

The internal PD, LGD and EAD models for credit risk measurement are one of the main elements of assessment for all Group units involved in the credit industry, both at Head Office level (Risk Management, Credit Department, Chief Financial Officer, Head Office, Risk Committee, Board of Directors) and at branch level (Rating agencies and Relationship Managers). The Group is currently authorised to use the Advanced Internal Rating Based (AIRB) models to determine capital requirements against credit risk, according to PD and LGD parameters, on business portfolios and retail exposures of the Parent Company, MPS Capital Services and MPS Leasing & Factoring and in January 2023, it was authorised to use the EAD parameter for regulatory purposes.

The development of the internal rating systems involved the adoption of strict and advanced statistical methodologies in compliance with the requirements set out in the regulations; at the same time, models were selected in such a way as to make results consistent with the historical experience of the Group in credit management. Lastly, in order to optimise the proper use of these new instruments, the rating models were shared with a top-down approach – from Risk Management down to individual client managers. Estimation of the LGD model was based on internal data relative to capital flows, recoveries and expenses actually incurred on positions transferred to the bad loan portfolio. Results obtained from model application were then compared with data recorded by the Workout Area which is dedicated to the management and recovery of non-performing loans.

The main characteristics of the advanced rating systems are as follows:

- for all validated regulatory portfolios, the rating is calculated with a counterparty-based approach for each individual borrower, in line with the accepted management practice which provides for the assessment of credit risk, both in the disbursement and monitoring phases;
- the rating is based on a Group logic: each individual counterparty is assigned a unique Group-wide rating; while the LGD is different for each company given the diversity of products issued and the type of customers to whom they are offered;
- the rating model segmentation is defined in such a way as to make the individual model clusters consistent with commercial objectives, credit processes and regulatory portfolios set out in the regulations;
- the calculation of the final rating is differentiated by type of counterparty. The credit process envisages a level of in-depth analysis proportional to counterparty risk: the assessment of loan disbursements is based on a complex multi-level structure for medium-large corporate counterparties, whose exposure and concentration risks are higher, and a simplified structure for Small Business and Retail clients;



- in line with this process, the final rating for medium-large corporations is the result of a number of different factors: statistical rating, qualitative rating, overrides and valuation of the ‘economic group’ which businesses belong to;
- in the case of Small Business and Retail counterparties, on the other hand, the rating is normally calculated on the basis of statistical factors alone (except in the case of reasoned requests for override, so-called Statistical Rating modified by correction of technical anomalies or for optional corporate override upon reasoned requests);
- the rating has a 12-month internal validity period and is usually reviewed on a yearly basis, except for rating reviews following well-structured codified practices or that are brought forward on client managers’ request or following serious counterparty deterioration;
- LGD reflects the economic (and not only the accounting) loss incurred; for this reason, LGD estimates must also include the costs incurred for the collection process and a time factor;
- loss given default is differentiated by type of loans and an LGD value is assigned at the level of each individual transaction; it is also differentiated by geographical area since historical and current recovery rates are different among Northern Italy, Central and Southern Italy and Islands;
- the estimate of the loss rate on positions in a state of default other than bad loan status was carried out according to the Danger Rate logic; thus, estimating the migration and loss rates for both counterparties with an administrative status of unlikely to pay and non-performing past-due as well as for counterparties that had slipped to a bad loan status. These percentages were then combined in order to obtain an LGD rate to be associated with counterparties in a state of default other than bad loan status.

The Group has adopted a single Master Scale for all types of exposures; this enables all units involved in credit management to immediately compare the risk level associated with different counterparties or portfolios; furthermore, the probabilities of default of internal rating classes were mapped against Standard&Poor’s external rating scale so as to make internal risk measurements comparable to those available on the financial market.

The development and monitoring of rating systems has been functionally assigned to Risk Management and is subject to control by the Internal Validation and Internal Control functions.

The Group has used PD, LGD and EAD parameters, estimated for regulatory purposes to calculate Risk Weighted Assets, also for operational and internal management purposes. These provide the basis of calculation for different systems of measurement and monitoring, and specifically for the:

- measurement of economic and regulatory capital against credit risk;
- calculation of risk-adjusted performance and measurement of value creation;
- risk-adjusted pricing processes;
- credit direction processes (credit policies);
- across credit processes (disbursement, review, management and follow-up) which are “engineered” in the Electronic Loan File application (Pratica Elettronica di Fido or PEF), under which the borrower’s rating is the result of a process which evaluates - in a transparent, structured and consistent manner - all the economic-financial, behavioural and qualitative information regarding customers with whom the bank has credit risk exposures.

To calculate the expected losses as required by IFRS 9, specific adjustments must be made to the aforementioned parameters, including in particular:

- adoption of a Point in Time (PIT) PD, appropriately supplemented with forward-looking information, against the Through the Cycle (TTC) PD used for regulatory purposes;
- the removal from the LGD of the regulatory components described in detail below;
- use of multi-year PDs and, where necessary, LGDs in order to determine the expected loss for the entire residual life of the financial instrument (stages 2 and 3);
- use of the effective interest rate of the individual loan in the process of discounting expected future cash flows, as opposed to that which is set forth in regulatory models, in which individual cash flows are discounted using discount rates determined in accordance with prudential regulations.

For additional details on the methods to determine impairment losses under IFRS 9, definition of default and the methods used by the Group to classify financial assets among non-performing assets, see paragraph “Methods for calculating impairment on IFRS 9 financial instruments” of Part A “Accounting policies”, as well as paragraph below “Non-performing loans” of these notes to the consolidated financial statements.



As of September 2021, PD and LGD models recalibrated in order to include the new definition of default (EBA/GL/2016/07) in the benchmark time series, came into production for regulatory purposes. In addition, during 2021 a full review of the aforementioned models (*2021 Model Change*) was carried out, authorised by the Supervisory Authority in March 2023, in order to align the Group's IRB system with the EBA Guidelines in terms of estimation and application of the models (EBA/GL/2017/16) so-called (EBA's *IRB Repair programme*).

2021 Model Change AIRB Models

In 2021, the PD, LGD and EAD regulatory models were completely re-estimated: in addition to taking into account the new definition of default, they now include, in the specification of the methodological approach to model development, a series of measures to ensure compliance with the requirements of EBA/GL/2017/16 (effective from 2022) and to address the findings made by the Supervisory Authority during previous inspections. In March 2023, the ECB's Final Decision was received to approve the production of the new models, which will be implemented by the Group in the first quarter of 2023. The highlights of the 2021 Model Change in the context of the regulatory PD, LGD and EAD models are described below.

PD models:

- change in the segmentation of PD models to identify perimeters corresponding to the different customer categories in the portfolio. For this purpose, specific thresholds were identified using statistical approaches on some analytical risk drivers such as customer turnover and/or product type on the estimate perimeter;
- the model design must include certain stages (Risk differentiation-score model estimate, Risk Quantification-Calibration and introduction of the Margin of Conservatism (MoC);
- definition of different cluster scales for each calibration segment to meet all regulatory requirements;
- the long-term default rate on which the PD model calibration is based must be specified based on the Likely range of variability;
- change in the methodology used for the Risk Quantification, which can be carried out in two different ways: at the level of calibration segment or at the level of individual class on the reference cluster scale. The current Risk Quantification methodology uses an approach at the level of calibration segment; with the 2021 Model Change, the better methodology is chosen according to the characteristics of the analysis segment and/or the backtesting results obtained with the two available approaches;
- following the introduction of the new definition of default, estimate of the MoCs, that is, the downward adjustments aimed at addressing weaknesses in terms of data and/or changes in internal processes that may have an impact (negative or positive) on PD and/or the selected estimation approach.

Model LGD Before and After Classification as Bad Loan (jointly LGD) and EAD:

- the estimate sample includes all customers in default not classified with a Bad Loans status until January 2020 for the models LGD Before Classification as Bad Loans, and all customers with Bad Loans status until 31 December 2019 for the model of LGD Bad Loan; for EAD, the estimation sample includes all customers in default until January 2020;
- to calculate LGD rates and EAD values appropriate to the different types of customers in the portfolio, specific analysis axes were identified to sub-segment the estimate sample;
- a special treatment was specified for anomalous values of LGD and EAD;
- the LGD and EAD estimate process was integrated with specific statistical and econometric tests to guarantee more robust results;
- estimate of a downturn adjustment to include in the LGD and EAD a worsening due to the occurrence of recessions;
- estimate of MoCs,
- analysis of model performance (i.e. backtesting) through specific statistical tests that compare the LGD and EAD values estimated with those actually observed;
- introduction for the LGD of a specific approach to manage Incomplete Workouts (i.e. customers for which the collection process is still ongoing) and Art. 500 CRR2 (i.e. securitised customers);
- cash flows (recoveries and costs) of LGD are discounted using the 3-month Euribor rate + a prudential spread equal to 5%;
- management of multiple defaults (i.e. default that reoccurs within 9 months from the end of the previous default) for the LGD Before Classification as Bad Loan;
- estimate of the expected loss for the exposures in default (LGD Expected Loss Best Estimate);
- segregation of the interest portion and calculation of the loss on the principal amount only (for LGD Before Classification as Bad Loan);



- for the LGD Bad Loan alone, a time factor (MRP) is estimated to identify those recovery processes for which, despite being still in progress, no further and significant recoveries are expected.

Accounting models

LGD IFRS9

In previous years, the Group had updated the LGD IFRS 9 model, in particular in 2020 to adapt it to the new definition of default, which came into force on 1 January 2021, and in 2021, to follow developments of the regulatory models developed for the purposes of the 2021 Model Change, but with some specific measures. In detail, in order to comply with accounting regulations and implement a more predictive LGD measure, it was necessary to remove specific (prudential) regulatory requirements, including:

- elimination of downturn effects, i.e. the LGD estimates do not include negative factors related to any recessionary periods observed in the Bank's history;
- any *MoCs* are not considered,
- failure to deduct interest following entry into default. Consequently, the exposure on which the loss realised by the Group is calculated considers not only the principal amount but also the interest amount;
- indirect expenses, i.e. expenses that the Group incurs to manage the entire collection process and not directly attributable to the individual customer (i.e. personnel costs, legal expenses, etc.), are not considered for the purpose of determining the LGD;
- the final LGD is discounted at the effective interest rate (EIR) in order to consider the time effect in the management of the collection process;
- in order to obtain a reactive LGD to (hypothetical) future macroeconomic conditions, a forward-looking factor is estimated starting from specific econometric analyses conducted on macroeconomic forecasting scenarios;
- inclusion of any type of guarantee linked to the customer in the portfolio;
- for unlikely to pay and non-performing past-due loans, the regulations require special precautions in the development of AIRB models, including the representation of the risk drivers selected for the final grid over time. The aggregation of the Past Due (PD) and Unlikely To Pay (UTP) risk classes arises from the evidence observed in recent years according to which UTP cases are currently much more present than historical averages, while PD cases are less relevant and limited only to initial vintage. For accounting purposes, in order to capture the intrinsic risk between the different default statuses, the separation between PD and UTP is maintained. For UTP counterparties, the loss rates were estimated considering only UTP customers. On the other hand, given the lower relevance of the PD counterparties, which can make the process of estimating the contextual loss parameters less robust, the estimation approach that includes the use of the sample composed of both PD and UTP was maintained.

In the first half of 2022, also in order to take into account the new information elements acquired during the inspection concerning the risk of Corporate and Large SME exposures (OSI 0198380), further refinements were made to the methodology for estimating the accounting LGD in particular with regard to i) the treatment of mass assignments of non-performing loans, ii) the lengthening of the historical series and iii) the treatment of multiple defaults.

As regards the treatment of massive disposal of non-performing loans, the Group's LGD accounting models were constructed fully consistently with the regulatory models. More specifically, until the previous financial year, massive disposals, for the purposes of estimating the accounting LGD, have been treated as follows:

- positions subject to the so-called LGD Waiver - in accordance with the ECB's decision on models for calculating capital requirements, positions subject to Valentine disposal and, partially, Morgana and Merlino disposals, were excluded from the LGD estimate;
- positions in the scope of application of art. 500 of the CRR: for all those disposals or other transactions (spin-offs) for which the internal collection process was not completed and that have taken place as part of a NPE Strategy in the September 2018 - June 2022 period targeted at significantly reducing the NPE ratio, in the estimate of the LGD the "disposal loss" was not considered, but this was replaced with the best estimate of the recoveries that the Group could have made by retaining control of the positions (so-called incomplete work-out);
- positions subject to other disposals: the value of the disposal was used in the LGD estimate.



Albeit in the absence of a specific guideline, at least at the date of drafting of these Financial Statements, it has been deemed appropriate to review the approach applied up until now to incorporate the effect of a higher number of disposals in the estimate of the LGD parameter, with a view to providing a better estimate of expected loss, considering that the Group's NPE Strategy, approved on 22 June, presents a "revolving" programme of disposals of roughly EUR 300 mln per year (also net of the disposal carried out in 2022).

To this end, by way of methodological evolution, the losses realised by "ordinary" disposals over the last few years were included in the data-set of the LGD estimate, in place of the incomplete work-out treatment set forth in the regulatory models. Therefore, so-called "extraordinary" transactions are excluded, i.e. those relating to positions subject to LGD Waiver (Valentine transaction and partially Morgana and Merlino, excluded from the estimate) and the Hydra_M demerger (which is treated on the basis of a work-out at the net book value, since it is considered as a reorganization transaction not a liquidation operation). The extraordinary nature of said transactions is related to their exceptional size and is proven by the specific decisions made by the Authorities; for said reasons, they cannot be considered representative of the transactions that the Group will carry out in the future, given it has now reached a natural NPE ratio level.

The inclusion of "ordinary" disposals in the LGD represents a fine-tuning of the estimate methodologies: in fact, thanks to said initiative, on NPE portfolios subject to statistical evaluation, the impacts of the expected disposals set out in the NPE Strategy (2023-2026) are replaced by the application of the LGD inclusive of the "ordinary" disposals; said LGD is, moreover, extended to performing exposures.

In carrying out the aforementioned modification, the length of the timeseries underlying the estimate of the accounting LGD was also reviewed. In fact, we have moved from the current 10-year series to a timeseries of 20 years. The use of a 10-year series would have produced estimates not representative of the actual recovery processes expected by the Group and, in particular, would not have adequately represented the impact of future disposals on internal recovery processes. The use of a 20-year series instead means that the weight of positions subject to disposal included in the LGD is in line with the weight of the disposals expected in the future as part of the NPE Strategy approved recently. The change made therefore meets the need of adjusting the historical balances to make them more consistent with the prospects and, therefore, with expected loss.

The changes in the estimate resulted in total net write-backs on the Income Statement as at 30 June 2022 of approximately EUR 21 mln.

With reference to the issue of multiple defaults (i.e. positions that fall into default, are remedied, and then they default again, all in a short period of time), it is important to remember that the regulations provision for asymmetric treatment of this phenomenon for regulatory purposes, to ensure conservative risk parameters. In fact, in the PD estimate, multiple defaults are all considered as "genuine defaults", in order to ensure a higher estimate of the PD, while in the LGD estimate, they are considered a "single default", in order to contain the effects of the cure rate of defaulted positions. Up until today, unlike the regulatory models, the accounting models did not incorporate said asymmetry in line with the unbiased qualification of expected loss underlying the accounting regulations. In spite of this, the Group decided to "align", from this perspective, the accounting estimates with the regulatory ones, with the goal of greater coherence of the accounting LGD with the recoveries observed. The change in estimate under consideration resulted in higher adjustments of approximately EUR 32 mln as at 30 June 2022.

Overall, therefore, the changes made to the statistical models for accounting purposes described above resulted in greater net adjustments of approximately EUR 11 mln.

EAD IFRS 9

Again in the context of the 2021 Model Change, the Group updated the regulatory model for the Exposure at the time of default (EAD) and at the same time also the EAD IFRS 9 model. The latter differs from the regulatory model for the exclusion of the downturn component, potentially MoCs and the inclusion of expectations on future trends (forward-looking expectations) already described.

PD IFRS 9

For the assessments of the 2022 Financial Statements, the Group, in continuity with 2021, used the PDs and the SICR thresholds estimated in the first half of 2021.

The estimation of the multi-period PD curves, carried out in the first half of 2021 and still in force today, was characterised by a statistical analysis on the available drivers through a segmentation process of the estimation database, followed by a parametric modelling of the survival data to obtain multi-period default probability curves.



The database used for the estimation was obtained from the historical data of observed Group relationships for the estimate period, which goes from January 2012 to January 2020. The segmentation process is based on the analysis of the survival curves, which consists in finding the rates of survival to the default event within the pre-set drivers, and the degree of separation between the survival curves for the modes of each driver is calculated through a statistical test (LogRank Test). Following the definition of the clusters through the segmentation process, we chose the type of survival models to be used for the construction of the cumulative PD curves and estimated them. The model in production therefore provides for the identification of specific curves differentiated by segment, product, rating class, seniority of the loan, geographical area of counterparty, legal form and Ateco class. It should be noted that, consistent with the EBA guidelines published at the end of June - through which banks are asked to remove the distorting effects on risk parameters arising from the pandemic and the resulting government measures to support household and corporate liquidity - the default rates adopted in the point-in-time PD calibration model refer to the two-year period 2018-2019, as the default rates for more recent years, due to the significant government support measures put in place during the pandemic period, were significantly lower than pre-crisis levels and therefore not representative of the actual deterioration in the macroeconomic environment. This resulted in additional provisions of about EUR 45.1m and higher exposures classified as stage 2 for an amount of EUR 1.1bn.

The thresholds used for the valuation of the SICR are the same as those introduced in the 2021 financial year. For details, we refer to the section “Valuation of significant increase in credit risk (SICR)” below.

Changes due to COVID-19 and the Russia-Ukraine conflict

In the 2022 financial year, with the exit of the country from the health emergency phase and the relaxation of health restrictions, the uncertainties specifically attributable to the pandemic eased and no particular increase in credit risk was observed on exposures that had been subject to the granting of moratoria. The latter have now all gone with the resumption of payments, and continue to record exposures removals and settlements. With regard to the vulnerability elements of the exposures subject to moratorium measures considered for the purposes of the Financial Statements as at 31 December 2021, which were represented both by overlays incorporated in the satellite models - the so-called *floor* with respect to the December 2020 rating - and the extraordinary triggers of slippage to Stage 2 with the correction to the default rates based on the Cerved score, as of June 2022, the former had already been re-estimated, while still maintaining an appropriate degree of prudence for those positions with a moratorium expiry date subsequent to the corresponding period of the previous financial year (30 June 2021). As at 31 December 2022, the overlay in question was definitively removed given the substantial repayment of concessions and the positive evidence observed on all exposures with resumption of payments already made; conversely, the micro-sector specificities associated with the use of the Cerved scores were factored into the satellite model as from 30 June 2022. In addition, the specific measure on the calibration of the PD point in time⁵³ adopted from June 2021 remains confirmed as it is considered appropriate to the current situation.

At the same time, starting from the Russia/Ukraine geopolitical crisis, uncertainties about the economic outlook have gradually increased. In particular, from the second half of 2022, a specific risk factor (the energy crisis arising in the context of the ongoing geopolitical crisis) became apparent and the effects of rising inflation, rising costs for businesses and rising interest rates were foreseen.

Since the first quarter of 2022, management overlays were carried out aimed at introducing increases in adjustments to performing loans related to the effects of increased uncertainty on sectors (sector vulnerabilities) more exposed to the effects of persistent inflationary pressures on energy products and raw materials. Starting from the fourth quarter of 2022, with the availability of more specific forecast scenarios, also at micro-sector level, the Group has also operated on unlikely to pay loans, statistically assessed, through the *forward looking shock* applied to LGDs, an increase in the related value adjustments in order to capture a possible deterioration in cure rates. In addition, the evidence deriving from the new scoring algorithm of the EWS system was used to apply a lifetime ECL to counterparties with early signs of non-performance linked to the specific crisis context, regardless of the classification in stage 2.

It should be noted that in continuity with the previous financial year, the so-called asymmetrical approach with respect to the use of multiple scenarios is confirmed, given the persisting uncertainties on indirect risks linked to the conflict and to the current and future economic-financial risks. For more details on the forecast scenarios used in the accounting valuations and on the respective weighting, please refer to paragraph “Measurement of expected losses” below. In this regard, it should be noted that the scenarios used for the assessments as at 31 December

⁵³ Aimed at neutralising the deflationary effect on default rates adopted in the calibration model as a consequence of the significant government support measures put in place during the pandemic period



2022 are based on the forecasts received from the supplier in October 2022; the anticipation of the updated baseline scenario, made available in January 2023, shows in the three-year period 2023-2026 greater growth in gross domestic product and residential property indices. The resulting positive effect was neutralised given the current macroeconomic context of uncertainty.

Finally, again in order to better grasp the uncertainty associated with the estimates in the particular context of the economic and financial crisis that began with the Covid-19 pandemic and continued with the geopolitical tensions in Ukraine and the contextual inflationary spiral, an additional margin of prudence was applied for bad loans statistically valued, although the backtesting analyses carried out on closed exposures showed an overall conservativeness of provisions. This management overlay, which effectively neutralises the positive economic impacts that would otherwise have occurred, is mainly justified by the fact that the estimation models applied may not capture all the phenomena relevant to the determination of the expected loss.

Overall, the management overlays present in the value adjustments of loans as at 31 December 2022 amounted to EUR 108.4 mln. Please refer to paragraph “Management overlay” below for more details on their composition as at 31 December 2022 and their performance compared to the previous period.

Measurement of significant increase in credit risk (SICR)

As is well known, IFRS 9 requires that if a significant increase in credit risk is identified (Significant Increase in Credit Risk - SICR, which involves the need to classify exposures to stage 2), it is necessary to assess the expected losses over the entire remaining life of the credit exposure. In the other cases (absence of significant increase in credit risk), the expected loss is calculated with reference to the time frame of 12 months (exposure included in the so-called stage 1).

In the approach adopted by the Group, the parameter that measures the change in credit risk and, therefore, any “significant” increase in risk, is the default risk, expressed by the changes in the lifetime probability of default over the entire residual life of the financial asset (hereafter, “Delta PD lifetime”), measured between the date of first recognition of the relationship, or tranche if a debt security, and the observation date, with respect to a threshold value, specific to each transaction, determined according to the relevant risk characteristics.

In addition to lifetime PD, the MPS Group takes into consideration three other elements in identifying the SICR: (i) days past due as an indicator of non-performance of the counterparty’s creditworthiness, a non-performance that becomes presumptively “significant” if the past due date exceeds 30 days; (ii) the granting of forbearance measures; (iii) being part of the Proactive Management portfolio.

In addition, the Group decided to: (i) exercise, during the FTA phase as well as when fully operational, and only limited to the securities portfolio, the “Low Credit Risk Exemption”. Accordingly, instruments that are characterised by low credit risk, in this case identified with the “investment grade” rating level, are classified as stage 1. Subsequently, should such securities lose their investment grade level, they will be transferred to another stage solely on the basis of any significant increase in credit risk with respect to the date of initial recognition; (ii) use the FIFO (First In-First Out) method, in order to compare, for each individual tranche of debt securities purchased, the original creditworthiness attributed to it at the reporting date.

With particular reference to the quantitative indicator, it should be noted that the lifetime PD is assigned to the individual relationships based on the segment, product, initial rating class, vintage, geographical area and legal form, both at the date of first recognition and at the reporting date. The PDs used in the assessment of the SICR are the same as those used for the calculation of the ECL, which include the forecast of future macro-economic factors. The above-described relative change in lifetime PD represents the quantitative indicator of the change in credit risk over the reporting period from origination. In order to establish whether an increase is to be considered significant, and therefore if it would entail a different allocation in the stages, specific thresholds are defined:

- if the relative change in lifetime PD observed on the position is lower than the significance threshold, then the increase in credit risk is deemed not significant and the position is classified in stage 1 with assessment of the expected loss in the following 12 months;
- if the relative change in lifetime PD observed on the position is higher than the significance threshold, then the increase in credit risk is considered significant and the position is classified in stage 2 with assessment of the expected loss over the entire residual life of the instrument.

This threshold value is determined using statistical models deriving from the analysis of the distribution of lifetime PD changes in the portfolio. The calibration of the threshold is defined at a level for which the significant increase



in credit risk is set at least equal to the level of long-term non-performance of the portfolio, which is observed from the historical migration matrices of the ratings.

By way of example, the following table shows the maximum values of the transfer thresholds for the Group's main loan portfolios consisting of cash loans to customers belonging to the corporate and retail segments of the four banks (Banca MPS, MPS Capital Services, MPS Leasing & Factoring and Widiba). It should be noted that the table representation constitutes an aggregation with respect to the drivers represented by the rating at origination and by the vintage. In particular, the table shows a lower maximum threshold value of 9.71% for the "Large Corporate- Corporate- SMEs - Small SMEs" segment for the "Other" product and the highest value of 171.42% for the "Retail" segment for the "Instalment Plan" product.

Segment	Product (*)	Legal form	Ateco	Area	Threshold (max)
Retail	Other	Joint headings	All	All	53.39%
Retail	Other	Individuals	All	All	40.02%
Retail	Mixed	All	All	Other	145.12%
Retail	Mixed	All	All	North	146.59%
Retail	Instalment	All	All	All	171.42%
Large Corporate - Corporate-SMEs- Small SMEs	Other	All	All	All	9.71%
Large Corporate - Corporate-SMEs- Small SMEs	Leasing – Instalment - Mixed	All	All	All	10.59%
Multiannual Company	All	All	Other	All	12.32%
Multiannual Company	All	All	Builders	All	12.32%
Small SMEs. Partnerships Sole Traders	Other	All	All	All	24.32%
Small SMEs. Partnerships Sole Traders	Leasing – Instalment - Mixed	All	All	All	24.32%

(*) The Product variable is valued only for the Retail, Large Corporate - Corporate - SMEs - Small SMEs and Small Businesses - Partnerships - Sole traders counterparties. The variable indicates whether a customer has only instalment products (Instalment), only current accounts and/or self-liquidating products, etc. (Other), or a mix of several types of products (Mixed), therefore both instalment- and non-instalment-based products.

It should also be noted, although insignificant in terms of impacts on the transition to stage 2, the mandatory classification in stage 2 in the event of an increase of more than 200% of the Lifetime PD. In fact, it should be noted that the thresholds indicated above are lower than the trigger of 200%.

Given the above, as regards the staging allocation deriving from the "Delta PD Lifetime" component - which is the predominant case for determining exposures in Stage 2 - the forward-looking assumption based on the scenarios in effect as at 31 December 2022, is already an important element explaining the migration among stages of the performing portfolio observed during the 2022 financial year.

On the other hand, as regards the "30 days past due" and "forbearance" triggers, which in any case represent a marginal portion of the reasons for classification to Stage 2; the various payment moratorium initiatives that had characterised 2020 had led to a weakening of their significance for the purposes of staging allocation, for which the extraordinary triggers of a transition to Stage 2 defined by the Group had occurred. As at 31 December 2022, the substantial termination of the government measures together with the reinstatement of the ordinary classification rules on the subject of concessions - on this issue, it should be noted that the subsidies framework provided for by the EBA Guidelines on the subject of moratoria lapsed as of 31 March 2021 - restored their ordinary classification rules. With regard to forbearance, it should be noted that the permanence in Stage 2 is anchored to the duration of the probation period, consequently the possible return to Stage 1 is subject to at least two years from the date of the grant and the absence, in the event of return to fully performing status, of additional qualitative-quantitative indicators of significant increase in credit risk.

Finally, a further factor to be considered for staging purposes derives from the vulnerability factors originating from the pandemic situation and the Russia-Ukraine conflict that are not adequately captured by the Lifetime PD estimation methodologies. In greater detail, it should be noted that starting from 2020 the Group has used non-



proprietary sector satellite models, provided by Cerved, as the models in use, not having sufficient granularity by economic sector of the borrowers, would not have been able to grasp the significantly differentiated impacts of the crisis on the various economic sectors. In 2022, sector forecasts became an integral part of the proprietary satellite model and therefore are an integral part of the forward-looking information used to calculate the SICR and the ECL.

Measurements of expected losses

The methodology for estimating the ECL adopted for the purposes of the determination of value losses on credits in accordance with the IFRS 9 international standard is carried out, as previously indicated, at the level of individual transaction or security tranche, starting from IRB modelling for the parameters of Probability of Default (PD), Loss Given Default (LGD), and Exposure at Default (EAD), to which appropriate adjustments are made, in order to ensure compliance with the requirements of the standard.

In particular, the measurement of financial assets reflects the best estimate of the effects of future conditions, especially in relation to the economic context, on which the forward-looking PD and LGD are dependent. In the context of IFRS 9, also based on indications from international Regulators, importance is given in particular to information on future macroeconomic scenarios in which the Group may operate and clearly affects the situation of debtors in reference to both the “riskiness” that exposures migrate to lower quality classes (thus referring to “staging”) as well as recoverable amounts (thus the calculation of expected loss on exposures). From a methodological perspective, in compliance with the provisions of IFRS 9, based on which the ECL estimate must result from the weighting of a range of possible forward-looking scenarios (“weighted probability”), the impairment model adopted by the Group provides for the use of a baseline scenario, i.e. the use of the scenario that is believed to be most likely, together with two alternative scenarios.

The scenarios are processed internally by the Study and Research Function, also on the basis of forecasts contributed by a leading external supplier, they are approved by the Board of Directors and are also adopted in other processes of the Group that use forward looking elements such as the Risk Appetite Framework (RAF), Recovery Plan, budget, forecast, impairment tests of goodwill and equity investments, and finally DTA recovery tests. The scenarios differ in their degree of favour/adversity to economic development and growth, a detailed description of which can be found in Part A - Section “A. 2 - Part relating to the main items of the financial statements” and in particular in paragraph “Risks, Uncertainties and Impacts of the COVID-19 outbreak and the Russia-Ukraine conflict”, to which we refer.

As at 31 December 2022, for the purposes of estimating the ECL, the Group has maintained the symmetrical treatment for the SICR, which calls for the use of a baseline, a better- and a worst-case scenario, weighted on the basis of the reference percentiles, while for the purposes of estimating the ECL, the asymmetrical treatment of scenarios has been adopted, taking into account the most probable scenario (baseline) and two alternative scenarios, both of which are worst-case (extreme worst- and severe but plausible-case) scenarios, all three with the same weighting and then combined via simple averaging.

This overlay acts only through a logic of higher value adjustments for a total of EUR 33.3 mln. The table below shows the breakdown by macro-industry.



€/thousand	ECL		
	Performing	Non-Performing	Total
of which Retail	3.4	2.7	6.1
of which Corporate	22.1	5.1	27.2
<i>of which Agriculture</i>	1.2	0.4	1.6
<i>of which Commerce</i>	3.5	1.2	4.6
<i>of which Construction</i>	3.4	0.7	4.1
<i>of which Industry</i>	5.4	1.0	6.4
<i>of which Services</i>	8.6	1.8	10.4
Total	25.5	7.8	33.3

Following is information on the main macroeconomic and financial indicators used in the “baseline”, “extreme worst-case” and “severe but plausible-case” and “best-case” scenarios, referring to the three-year period 2023-2025, the estimate of which was developed in October 2022:

- the “baseline” scenario is a growth scenario characterised by an expansion of Italy’s GDP of 0.1% in 2023, 1.01% in 2024 and 1.41% in 2025 and a slightly decreasing unemployment rate from 8.36% in 2023 to 8.26% in 2025. The trend in the price of residential properties in Italy is expected to decrease from 2.18% in 2023 to 1.62% in 2024 showing a slight growth of 1.81% in 2025 compared to 2024. With regard to non-residential properties, the trend remains decreasing within a range of values between 1.49% and 1.28%;
- the “severe but plausible” scenario is characterised by an initial limited contraction in Italy’s GDP of -0.91% in 2023, to grow by 0.48% in 2024 and 1.02% in 2025, and by an unemployment rate that is expected to increase, from 8.67% in 2023 to 9.81% in 2025. The trend in the price of real estate in Italy is expected to decrease;
- the “extreme worst-case” scenario is characterised by an initial contraction that is stronger than the severe but plausible case of the Italian GDP, by an expected rising unemployment rate, from 9.27% in 2023 to 12.06% in 2025 and by an expected decreasing trend in the price of property in Italy.
- the “best-case” scenario is characterised by a growth in Italian GDP, an expected decreasing unemployment rate, from 7.89% in 2023 to 5.97% in 2025 and an expected decreasing trend in the price of property in Italy.



Scenario	Year	GDP	Italian residential Property Price Index	Italian Non-residential Property Price Index	Unemployment rate	Construction Investments
Baseline Financial Statements 2022	2023	0.10%	2.18%	1.49%	8.36%	0.91%
	2024	1.01%	1.62%	1.34%	8.34%	-0.29%
	2025	1.41%	1.81%	1.28%	8.26%	0.33%
	AVG	0.84%	1.87%	1.37%	8.32%	0.32%
Extreme Worst Financial statements 2022	2023	-2.53%	1.50%	0.57%	9.27%	-7.63%
	2024	0.02%	-0.62%	0.07%	10.74%	-3.02%
	2025	0.71%	-0.94%	-0.42%	12.06%	-3.73%
	AVG	-0.60%	-0.02%	0.07%	10.69%	-4.79%
Severe but plausible Financial statements 2022	2023	-0.91%	1.93%	1.10%	8.67%	-2.30%
	2024	0.48%	0.94%	0.64%	9.27%	-2.41%
	2025	1.02%	0.82%	0.33%	9.81%	-1.30%
	AVG	0.19%	1.23%	0.69%	9.25%	-2.00%
Best Financial statements 2022	2023	1.41%	2.60%	2.69%	7.89%	3.50%
	2024	1.57%	1.56%	1.14%	6.98%	0.51%
	2025	1.69%	2.14%	1.31%	5.97%	1.22%
	AVG	1.56%	2.10%	1.71%	6.94%	1.74%

The most relevant macroeconomic variable for the purposes of determining the ECL is GDP and, therefore, it is the representative variable that drives all the others: the average value over the three-year period 2023-2025 is 1.56%, 0.84%, 0.19% and -0.60% in the best-case, baseline, severe but plausible-case and extreme worst-case scenarios, respectively.

Inclusion of government guarantees

The acquisition of these guarantees, also in consideration of what was declared by ESMA, does not impact the calculation of the SICR of credit exposures, as the latter is not connected to the guarantees, but to the creditworthiness that remains that specific to the counterparty, observing however for the purpose of measuring the expected loss to the extent that the guarantees are not subject to separate recognition in the Financial Statements and are considered an integral part of the contractual conditions governing the loans.

Already from the first half of 2021, a methodological refinement was introduced as part of the calculation of the collective impairment of exposures backed by a state guarantee, through the application of an LGD parameter that took into account the mitigations attributable to the government, introduced and expanded with the “Cura Italia” and “Liquidità” decrees, and in line with ESMA and EBA guidelines. In detail, the Expected Credit Losses were calculated using an LGD defined as a function of the probability of default (0.46%) and the recovery risk associated with Italy.

Management overlay

As at 31 December 2022, the overlays in place consisted of five main categories, one of which related to the aforementioned asymmetry of scenarios, which resulted in higher value adjustments totalling EUR 108.4 mln and higher exposures classified in stage 2 of around EUR 84.1 mln.

1. Back testing on bad loans – Starting from the third quarter, the Group carried out back testing on the expected loss on positions classified as bad loans, comparing LGD rates estimated on a historical basis with the loss rates actually observed on positions closed in the period 2019-2021. The comparison between the ECLs thus determined highlighted at overall level the conservative nature of both statistical and analytical provisions. However, the analysis showed for some clusters of the statistical LGD the effective rates slightly higher than those estimated, the higher adjustments of EUR 22.4 mln as at 31 December 2022 were recognised in the Income Statement;



2. Sectors heavily impacted by the trend in the prices of energy and raw materials – On performing exposures to companies operating in sectors that can be considered particularly vulnerable to energy and raw materials prices, greater value adjustments of around EUR 14.1 mln were carried out. The sectors identified, for an exposure of approximately EUR 1.6 bn, are the following: refining of petroleum products, hauliers, wholesale of fuels and combustibles, logistics and transport, wool industry, maritime transport, milling industry, cold steel processing, sale of electricity, local public transport, air transport, rail transport, chemical fibres. During the last quarter of the year, the Group also applied the CERVED sector forecasts to the unlikely to pay loans subject to statistical assessment in order to capture a possible deterioration in cure rates due to the delicate macroeconomic context. In detail, the forward-looking shock applied to LGDs was determined in terms of the change in LGDs across 30 sectors of economic activity, based on the simple average of the shocks between the baseline and the CERVED worst-case scenario. The estimated impact on a portfolio of unlikely to pay loans for a total exposure of approximately EUR 346 mln is EUR 20.7 mln.
3. *Early Warning System (EWS)* - during the third quarter of 2022, the new scoring algorithm of the EWS system was finalised, which makes it possible to promptly intercept the first signs of deterioration in credit quality. In particular, it was observed that exposures classified by the new system in risk classes A7 and A8 showed a high default rate in the following months. Therefore, on the basis of this evidence, during the fourth quarter the Group has applied a lifetime ECL to exposures included in these classes and with turnover of less than EUR 50 mln, even if not yet classified in stage 2, with consequent higher adjustments for approximately EUR 11.3 mln.
4. Baseline macroeconomic scenario - The scenario developed by the external provider and made available in January 2023 would have resulted in a value recovery of EUR 6.6 mln. The Group deemed it appropriate, also from a conservative and prudential perspective, to confirm the scenario released in October 2022, neutralising the aforementioned positive economic impact.

The total amount of overlays as at 31 December 2022 decreased by approximately EUR 21.6 mln compared to the figure as at 31 December 2021. The decrease can be mainly explained by two main elements represented below, partially offset by the introduction during the year of some overlays (sectors highly impacted by energy and raw material prices, back testing analysis on bad loans, early warning system and the failure to update the macroeconomic scenarios):

- CERVED sectoral scenario - Until the first quarter of 2022 reporting, the Group used the scenario produced by CERVED in July 2021 (period characterised by a pandemic context still in progress) and the November 2021 update was not acknowledged, characterised by a recovering context. The update of April 2022 has also anticipated an overall improvement in the PDs, apart from a few sectors impacted by the crisis triggered by the Russian war in Ukraine. Since CERVED had also made available, in addition to the baseline, a negative scenario, the latter was applied from the 2022 half-yearly report, which, although including a deterioration in PDs, was in any case less negative than that prevailing in the pandemic phase, thus also taking into account the exposure of the Bank to the various sectors. Therefore, at the reference date of these Financial Statements, the conservatism level of approximately EUR 39 mln as at 31 December 2021 referring to this element is no longer in place, also taking into account that starting from the 2022 half-yearly report, the CERVED scenarios have been included in the satellite model, and are therefore an integral part of the forward-looking information used to calculate the SICR and the ECL;
- resumption of payments on COVID moratoria - As payments for exposures benefiting from COVID moratoria matured and resumed on 31 December 2022, the floor to the PD value as at 31 December 2020 was removed. It should be noted that in the second and third quarters of 2022, the overlay, whose purpose was to sterilise the rating improvement and the related positive effect resulting exclusively from the support measure granted, was applied only to exposures that had resumed payments for less than one year and then, starting from the fourth quarter, removed permanently as the case is no longer present. The removal in question led to a decrease in overlays of approximately EUR 29 mln compared to the figure as at 31 December 2021.

Sensitivity analysis of expected losses

In accordance with the provisions of paragraphs 1 and 125 of IAS 1, the notes to the financial statements must provide information on the main factors of uncertainty that characterise the Financial Statements estimates. Paragraph 129 provides that this disclosure must be provided in such a way as to allow the reader of the Financial Statements a clear understanding of the elements of judgement used by the management and all related impacts. Among the examples mentioned to pursue this objective are sensitivity analyses, through which the reader is able



to appreciate the impacts on the Financial Statements estimates resulting from alternative calculation models, reasonably foreseeable changes in the inputs and assumptions underlying the estimates.

The Financial Statement values whose estimation process is characterised by the presence of significant factors of uncertainty certainly include the adjustment provisions for performing credit exposures (ECL).

As shown in “Part A - Accounting Policies”, the determination of expected credit losses involves significant elements of judgement, with particular reference to the model used to measure losses and the related risk parameters, to the triggers deemed to express significant credit deterioration and the selection of macroeconomic scenarios.

In particular, the inclusion of forward-looking factors is a particularly complex exercise, as it requires macroeconomic forecasts to be formulated, scenarios and associated probabilities of occurrence to be selected, and a model to be defined capable of expressing the relationship between the aforementioned macroeconomic factors and the default rates of the exposures subject to valuation, as explained in the previous paragraph.

In order to assess how forward looking factors may influence expected losses, it is considered reasonable to carry out a sensitivity analysis in the context of different scenarios based on forecasts consistent with the evolution of the various macroeconomic factors. The innumerable interrelations between the individual macroeconomic factors are such as to render a sensitivity analysis of expected losses based on the individual macroeconomic factor of little significance.

The table below highlights the sensitivity for the main credit portfolios of the Group consisting of cash loans to customers, belonging to the corporate and retail segments of the 4 banks (Banca MPS, MPS Capital Services, MPS Leasing & Factoring and Widiba), which represent around 96% of the Group’s total gross exposure net of loans classified in the portfolio of non-current assets held for sale and disposal groups. The analysis shows, in line with the same approach adopted for 2021, the impact from each level of risk on gross exposures, on the adjustments and on the coverage ratio in the cases where a weight equal to 100% of the baseline, severe but plausible - and best-case scenarios, respectively, is used instead of the scenario defined as weighted - i.e. based on weightings that the Group has attributed to each scenario - used by the Group for estimating the stages of risk and value adjustments as at 31 December 2022.

The weighted scenario used for the accounting valuations as at 31 December 2022 is, in terms of adversity, between severe but plausible-case and best-case scenarios. Specifically, for the performing exposures:

- the portfolio’s sensitivity to the severe but plausible-case scenario would see (i) a shift of counterparties to stage 2, whose exposure would increase by EUR 381.5 mln (+3.31%), with a consequent increase in the 2022 ECL estimated at around 5.54% (around EUR 17.0 mln) and an increase in average coverage of around 5 bps, (ii) a slight reduction of counterparties in stage 1, whose exposure would decrease by EUR 381.5 mln (-0.63%), an increase in ECL of around 6.06% (around EUR 4 mln) and an average coverage that would remain essentially unchanged;
- the sensitivity of the portfolio to the baseline scenario would see (i) a decrease in counterparties in stage 2, whose exposure would decline by around EUR 155.6 mln (-1.35%) with a consequent decrease in the 2022 ECL estimated at around 1.40% (around EUR 4.2 mln) with a substantially unchanged average coverage, (ii) a modest increase in both exposures of around EUR 155.6 mln (+0.25%) and relative ECL of around EUR 1.8 mln (2.64%) for stage 1 and an unchanged average coverage;
- vice versa, the sensitivity analysis of the portfolio to the best-case scenario would see (i) a more marked reduction in the stock of stage 2 positions equal to EUR 507.8 mln (reduction of 4.41%) with a potential economic benefit on the 2022 ECL decreasing by 5.98% (around EUR 18 mln), and a consequent decrease in the coverage ratio of around 4 bps (ii) a slight increase in stage 1 counterparties, whose exposure would increase by EUR 507.8 mln (an increase of 0.83%), a decrease in ECL of about 0.18% (about EUR 0.1 mln) and a substantially unchanged average coverage.



ECL estimate – Stage 3

With reference to the models used to determine expected losses on exposures classified as stage 3, i.e. non-performing exposures, please refer to the discussion in the section entitled “Methods for calculating impairment on IFRS 9 Financial Instruments” in Part “A.2 - Part relating to the main items of the financial statements”.

As discussed in paragraph “Use of estimates and assumptions when preparing Financial Statements” in “Part A - Accounting Policies”, the calculation of expected losses on non-performing loans involves significant elements of judgement, with particular reference to the estimate of flows deemed recoverable and the relative timing of recovery. In further detail, as at 31 December 2022, expected losses on non-performing loans are determined analytically on the basis of recovery forecasts, either formulated by the manager or resulting from the application of statistical calculation methodologies, discounted on the basis of the original effective interest rates and the related recovery timeline. The sensitivity analysis of adjustments to non-performing exposures would see an increase in the severe but plausible-case scenario of about EUR 9.8 mln (+0.70%) and a decrease of about EUR 1.3 mln (-0.09%) and EUR 9.0 mln (-0.64%) in the baseline and best-case scenarios, respectively.

However, it is not possible to rule out that a deterioration in the credit situation of debtors, also as a consequence of the possible negative effects on the economy related to COVID-19 and the effects of the international geopolitical situation, may result in the recognition of additional losses, even significant, compared to those considered at 31 December 2022 based on the conditions existing at the reporting date.

	Scenario (Delta in EUR/Mln)			
	Weighting	Worsening	Baseline	Improving
STAGE 1 Gross exposure	60,890.9	(381.5)	155.6	507.8
of which CORPORATE	32,630.8	(319.1)	131.6	377.8
of which RETAIL	28,260.1	(62.4)	24.0	129.9
STAGE 1 Value Adjustments	64.6	3.9	1.8	(0.1)
of which CORPORATE	45.9	2.1	0.4	(1.1)
of which RETAIL	18.7	1.8	1.3	1.0
STAGE 1 coverage ratio (%)	0.11%	0.01%	0.00%	0.00%
of which CORPORATE	0.14%	0.01%	0.00%	0.00%
of which RETAIL	0.07%	0.01%	0.00%	0.00%
STAGE 2 Gross exposure	11,526.6	381.5	(155.6)	(507.8)
of which CORPORATE	8,995.7	319.1	(131.6)	(377.8)
of which RETAIL	2,530.9	62.4	(24.0)	(129.9)
STAGE 2 Value Adjustments	306.8	17.0	(4.2)	(18.4)
of which CORPORATE	247.5	15.9	(2.6)	(14.5)
of which RETAIL	59.2	1.1	(1.6)	(3.9)
STAGE 2 coverage ratio (%)	2.66%	0.06%	0.00%	-0.04%
of which CORPORATE	2.75%	0.08%	0.01%	-0.05%
of which RETAIL	2.34%	-0.01%	-0.04%	-0.04%
STAGE 3 Gross exposure	3,138.3	-	-	-
of which CORPORATE	2,425.8	-	-	-
of which RETAIL	712.5	-	-	-
STAGE 3 Value Adjustments	1,405.1	9.8	(1.3)	(9.0)
of which CORPORATE	1,199.9	7.8	(0.9)	(7.6)
of which RETAIL	205.2	2.0	(0.4)	(1.4)
STAGE 3 coverage ratio (%)	44.77%	0.31%	-0.04%	-0.29%
of which CORPORATE	49.46%	0.32%	-0.04%	-0.31%
of which RETAIL	28.80%	0.28%	-0.06%	-0.20%
TOTALE Value Adjustments	1,776.4	30.7	(3.8)	(27.5)
of which CORPORATE	1,493.3	25.8	(3.1)	(23.1)
of which RETAIL	283.1	4.9	(0.7)	(4.4)



2.4 Credit risk mitigation techniques

Risk mitigation techniques include those instruments that contribute to reducing the loss that the Bank would incur in the event of a counterparty default, i.e. the Loss Given Default described in the previous paragraph; they include, in particular, guarantees and some contracts that lead to a reduction in credit risk.

The valuation of such mitigating factors is carried out by associating a Loss Given Default with each individual exposure, which assumes higher values in the case of ordinary unsecured loans and decreases, on the other hand, depending on the incremental strength of any mitigating factors that may be present.

With regard to collateral, the pledge of money and the pledge of securities, deposited with the Parent Company and mortgages on properties account for essentially all of the nominal amount of collateral received and all of them ensure full compliance with regulatory/legal/organisational requirements set out by the Supervisory Provisions for the application of credit risk mitigation rules. The Group has a unique process for the acquisition of collateral, which is both a working instrument and an expression of management policies. The management of collaterals is activated after loan disbursement is approved and its process is organised into a number of different stages:

- acquisition (including multiple acquisition): the controls of (formal and amount) consistency with the guarantees proposed during the authorisation phase are performed in this stage;
- adjustment/change/amendment: useful to amend the characteristics of a guarantee without interrupting loan protection;
- query: gives information about the present data and the historical trend of guarantees received;
- repayment/cancellation.

If the measures for monitoring collaterals on loans show operational irregularities during the acquisition phase or any inadequacies/losses of the values received as collateral, events falling within the scope of credit monitoring policies are put in place, which trigger operational obligations of credit risk assessment.

In particular, mortgage collateral is mainly related to loans for mortgages granted to retail customers, which constitutes a portfolio cluster with a high level of diversification.

Mortgage guarantees are managed through an IT platform integrated within the Parent Company's systems which is used to automatically transfer information about the property acquired from appraisers directly to those systems. The platform automatically updates all of the Parent Company's loan management applications and digitally archives the appraiser's documentation. It is also capable of standardising the set of information provided.

Appraisers are selected based on an individual analysis of their abilities, professional skill and experience, and are placed on a dedicated list of accredited professionals; their work is monitored continuously, including by checking any divergence between surveyed values and benchmark market data. Appraisers are required to prepare their estimates using valuation methods consistent with the Italian Banking Association's Guidelines for the appraisal of properties backing credit exposures.

For the phase of monitoring the assets pledged, the Group has a policy establishing the amounts of the secured exposure and the age of the appraisal, beyond which the properties are appraised again. For exposures lower than the thresholds defined, the Group in any event conducts half-yearly monitoring of the property value based on market data.

Moreover, in order to guarantee eligibility of the guarantees in the Credit Risk Mitigation process, a specific function within the Chief Lending Officer Department activates reappraisal processes when materiality thresholds are exceeded, processes that are consistent with the policy guidelines, with particular reference to the criteria for the age of the appraisal, exposure values, loan-to-value and deviations from geo-referenced assessments.

The disbursement of loans secured by collaterals is subject to specific control measures, differentiated by type of guarantee pledged, which are applied during the phase of disbursement and monitoring.

The general requirements for ensuring the legal certainty and enforceability of guarantees are verified by checking compliance with the following relevant conditions:

- binding nature of the legal obligation entered into by the parties and enforceability in the event of legal proceedings;
- documented evidence and enforceability of the instrument against third parties in all relevant jurisdictions for the purpose of its exercise and execution;
- timely liquidation in case of non-fulfilment;
- compliance with organisational requirements.



With reference to compliance with organisational requirements, mitigation of risk is ensured by:

- the presence of an IT system in support of the life cycle phases of the guarantees (acquisition, valuation, management, re-valuation and enforcement);
- the existence of regulated policies for the management of guarantees (principles, practices, processes), available to all users.

Another important risk mitigation tool that complies with prudential regulations on Credit Risk Mitigation is represented by personal guarantees issued by Government Organisations such as Sace, Fondo Centrale, Ismea and Consap, which, especially thanks to the adoption of the Temporary Framework on Government Aid aimed at managing the impacts on the economy and the stability of the financial system generated first by the Covid-19 pandemic emergency and then by the Russian-Ukrainian conflict, now represent a significant share in terms of coverage compared to the Group's total loans.

In addition, the Group uses other protection instruments that can be summarised in the following categories: (i) Sureties (including omnibus sureties and personal guarantees given by third parties); (ii) endorsement; (iii) surety policy; (iv) credit mandate; (v) strong/binding letter of *patronage*; (vi) blank bills; (vii) independent warranty agreement; (viii) debt delegation; (ix) expromission; (x) takeover; (xi) personal guarantees under foreign law; (xii) credit derivatives: credit default swaps; total return swaps; credit linked notes.

The main lenders are listed below: (i) sovereign states and central banks; (ii) public sector entities and local authorities; (iii) multilateral development banks; (iv) supervised intermediaries; (v) guarantee institutions (Confidi); (vi) companies and individuals.

Nearly all personal guarantees, net of government guarantees, are traceable to companies and individuals as guarantors. Only to a limited portion of these customers can an internal rating be assigned, since these guarantors are not borrowers of Group companies.

The presence of collateral or personal guarantees is reflected, as mentioned above, in the quantification of Expected Credit Losses (ECLs) of the Financial Statements. With regard to collective valuations, the main "transmission" channel is the Loss Given Default (LGD), one of the input parameters used for valuations: for this purpose, each exposure is divided into tranches, determined according to the different types of collateral that back the exposure and a specific LGD is calculated for each tranche.

With regard to analytical valuations, the presence and updating of the value of collateral is directly reflected in the case of a gone concern valuation approach, applied, beyond certain thresholds, to all bad loans as well as on unlikely to pay loans where a going-concern scenario is excluded or where the partiality and lack of reliability of the company's business plans do not allow for a plausible estimate of the company's ability to honouring the debt through the cash flows generated by the business activity (going-concern method). In the gone concern approach, specific haircuts are applied, calculated within historic series of the Group which contain the results of the adjudications regarding the forfeiture of property.

The system of controls set up to monitor impairment processes guarantees the substantial absence of cases relating to financial instruments for which no provision has been made to cover losses due to the collateral.

As regards the mitigation of counterparty risk for OTC (unregulated) derivatives and SFT (Securities Financing Transactions or security lending and repurchase agreements), the Group uses bilateral netting agreements that allow, in the event of counterparty default, the offsetting of credit and debit positions. This is done through the signing of ISDA (International Swap Derivatives Association) and ISMA/PSA (International Securities Market Association/Public Securities Association) type agreements, which also allow, in compliance with supervisory regulations, the reduction of regulatory capital absorption. In addition, the Group has collateral agreements in place, mainly with daily margin setting, to hedge its transactions in OTC derivatives (Credit Support Annex), also due to the obligation to margin set derivatives that cannot be centrally offset, as required by EMIR regulations; for SFTs, the Bank has daily margining agreements (GMRA - Global Master Repurchase Agreements and GMSLA - Global Master Securities Lending Agreements).

With a view to optimising capital absorption, in 2020 and 2021 the Group finalised three synthetic securitisation transactions "Siena 2020-RegCap-1", "Siena 2021-RegCap-1" and "Siena 2021-RegCap-Specialised Lending", respectively on a portfolio of exposures mainly classified in Stage 1, unsecured, originated by the Parent Company, on a portfolio of exposures mainly classified in Stage 2 (both secured and unsecured) originated by the Parent Company and on a portfolio of exposures belonging to the Specialised Lending segment of the subsidiary MPS Capital Services S.p.A. For details of the transactions, please see Section C. Securitisation Transactions in this chapter.



Significant risk transfer (SRT) to investors was achieved for all transactions through the acquisition by a third-party investor of a financial guarantee in the form of a term deposit pledge.

3. Non-performing loans

3.1 Management strategies and policies

Non-performing financial assets include loans which, following the occurrence of events subsequent to their disbursement, show objective evidence of a possible loss in value.

Non-performing exposures (e.g. bad loans, unlikely to pay and non-performing past due exposures; collectively, non-performing exposures) are classified into different risk categories by the Group in accordance with the regulations issued by the Bank of Italy, supplemented with internal provisions which set automatic criteria and rules for the transfer of receivables between different risk categories. In particular, classification is carried out by bodies within the loan decision-making chain based on a process that provides for a series of codified controls aiming to guarantee proper asset classification, except for loans more than 90 days past due and/or overdrawn, which are measured using automated procedures. To activate the controls, default detection parameters have been integrated within the Group's business procedures (Credit Monitoring) so as to subject the most critical positions to assessment, including for any reclassification if required.

The Group has procedural mechanisms in place for the automatic default classification of counterparties with overdrawn forbore exposures on which the binding classification parameter always applies.

In addition, if non-binding parameters with a high relevance are applied, with particular reference to the so-called balance sheet parameters (negative EBITDA, negative net shareholders' equity, decrease in turnover), a verification process is activated by the credit supply chain aimed at assessing and approving, in cases of non-classification as default, the substance of the elements of judgement collected on the basis of which the manager of the position has proposed the maintenance of the individual counterparty in a performing status.

The 2022 credit strategies, in order to contain the number of defaults, have provided for the adoption of a selective approach on corporate customers with a high internal risk profile and operating in critical sectors, aimed mainly at deleverage, with the exception of a residual recourse to investment support measures with the acquisition of guarantees; on consumer customers, the strategy was based on the results of the Early Warning System (EWS) scores, with particular reference to the adoption of the new EWS, which was used to prioritise interventions within the framework of the Credit Operating Plans.

The Group's procedures also manage the phases for transfer to non-performing categories, in particular forbore positions. A "forborne exposure" (as defined in Bank of Italy Circular 272) is a debt agreement for which measures of tolerance have been applied (otherwise identifiable as "forbearance measures"). The measures of tolerance consist of concessions - in terms of the amendment and/or refinancing of the pre-existing debt agreement - to the debtor who has or is on the verge of having difficulty in meeting its financial commitments (in other words, the debtor is in financial difficulty).

Forborne exposures are broken down into:

- "non-performing exposures with forbearance measures", pursuant to the Implementing Technical Standards (ITS) issued by the EBA. These exposures represent a sub-category of, depending on the case, bad loans, unlikely to pay or non-performing past due exposures; therefore, they do not make up their own category of non-performing exposures;
- "forborne performing exposures", pursuant to the ITS.

If a new credit facility or a change in a credit line which amounts to a forbearance is requested, the manager is asked to evaluate the counterparty's financial difficulties. With support from the procedure, the manager establishes whether the debtor is in financial difficulty and how severe it is. If the financial difficulties are deemed to be serious, the manager should decide, in addition to the forbearance, on whether to change the counterparty's classification from performing to unlikely-to-pay position.

As of 2021, in accordance with the regulatory provisions on the new definition of default, severe financial difficulties will always be presumed when, following a concessionary measure, the result is a reduced financial obligation beyond the 1% threshold.

Positions are classified into the various categories of non-performing assets at the proposal of the regional network responsible for the commercial relationship as well as peripheral and central specialised functions responsible for loan control and management.



For non-performing past due loans, classification as non-performing takes place via automatic procedures if specific objective conditions of default have been satisfied, with particular reference to overdrawn days.

Non-performing exposures are returned to performing status at the initiative of the above-mentioned departments responsible for loan control and management, after it is verified that the critical conditions and state of insolvency during the “cure” period no longer apply; for positions affected by total payment moratorium measures, the “cure” period starts from the date of expiry of the suspension period.

With regard to non-performing past-due loans, the return to *performing* status is made automatically once the exposure has been repaid and after the elapse of an observation period of 90 days during which the credit relationship must not be affected by risk events such as further overdrawn situations or the occurrence of default detection parameters.

The active management of outstanding receivables begins at the first signs of non-performance, supported by the Credit Monitoring procedure, which, within the Ordinary Management scope, first identifies non-performing positions (Pre-Interception and Interception phase) and subsequently routes them to dedicated management processes (Routing phase). More specifically:

Pre-interception phase: *Customer Care in Outsourcing*

Retail and Small Business positions within certain amount and overdrawn threshold limits, which are more than 5 days overdue, are steered into an outsourced recovery process (soft phone collection) in order to resolve the payment anomaly and to prevent the interception of the counterparty within the Risk List.

Screening phase: identification of high insolvency risk positions

Ordinary risk positions that present a deterioration in risk indicators such as, but not limited to, the performance risk indicator above certain thresholds (High IRA), default detection parameters application, the presence of continuous overdrawn situations up to a maximum tolerance threshold of 20 days (7 days for forbore relationships), are intercepted weekly by means of a special engine within the Risk List in order to be promptly routed to management processes created ad hoc to track the riskiest positions (routing).

Routing phase: customer-type differentiated treatment of positions

This choice was based on the need for differentiating, even during the management approach phase, the processes by customer segment, in accordance with the customer service models, which envisage that a Corporate customer cannot be treated in the same way as a Retail customer and that specific client management needs should be met with “ad hoc” processes. Ordinary-risk positions, reported as higher risk by the ‘screening’ engine, are routed to specific processing queues depending on the type of customer and credit facility involved:

1. “Mass Retail” procedure, dedicated to Retail clients for which it is possible to activate mass debt collection;
2. “Standard Retail” procedure, dedicated to the remaining Retail customers with more limited exposures and small-sized businesses with limited exposure;
3. a dedicated Corporate procedure for corporate customers.

As regards assessment, bad loans and unlikely to pay positions with a gross exposure exceeding a given threshold value (EUR 1 mln) are valued analytically. For all remaining non-performing exposures, the valuation is carried out statistically on the basis of parameters determined by Risk Management.

The evaluation is carried out at the time of their classification, when significant events take place, such as the shift of the counterparty towards another decision-making chain and, in any event, reviewed periodically. In particular, the loan valuation is subject to review any time knowledge is gained of significant events that could change prospects for recovery. For such events to be promptly taken into consideration, all debtor and guarantor information is periodically monitored.

In 2022, the achievement of annual targets for both ordinary destocking (collections, balances and write-offs, partial payments) and return to a performing status (back to bonis), in addition to the key contribution of a block sale transaction of around EUR 0.9 bn, has further reduced the Gross NPE Ratio from 4.9% to 4.2%. The NPE Strategy envisages for 2023, in continuity with 2022, a strong focus on portfolio management with a view to calendar provisioning, through constant monitoring of compliance with management strategies in order to accelerate returns, through out of court settlements, or alternatively proceed to a timely management reallocation under a workout perspective.



In order to comply with the plan's Gross NPE Ratio objectives, the 2023 non-performing strategies also provide for the transfer of a predominantly unsecured portfolio of approximately EUR 0.3 bn to be realised through the activation of a competitive process for on-the-market divestment.

The cure objectives set out in the 2023 Credit Strategies were set through the identification of the portion of the NPE portfolio with the expiring "cure period", in order to subject it to systematic monitoring to ensure compliance with a return to performing requirements, such as the timely processing of parameters that would stop the observation period.

Lastly, it should be noted that, starting from 1 January 2021, the Group adopted the New Definition of *Default*. The regulations, while confirming the bases of default in the concepts of late payments and probable default of the debtor, have introduced some significant changes mainly in relation to:

- "relative" and "absolute" materiality thresholds for the identification of the past due exposures for the verification of the default which is calculated automatically if the two thresholds (relative and absolute) are exceeded jointly for 90 continuous days; in particular, the relative threshold is equal to 1% of the exposure (previously 5%), to be compared with the ratio between the total amount past due and/or overdrawn and the total amount of all exposures recorded in the Financial Statements towards the same debtor; the absolute threshold is set at EUR 100 for retail and EUR 500 for non-retail, to be compared with the total amount past due and/or overdrawn by the debtor;
- the impossibility for the bank to offset the past due and/or overdrawn exposures existing on some of the debtor's credit lines with the available margins existing on other credit lines granted by the same debtor;
- introduction of a probation period of 3 months (starting from the moment in which the positions no longer meet the conditions to be classified, as the case may be, among the past due and/or overdrawn exposures, or among the unlikely-to-pay exposures) before returning the loan to the non-default status;
- specific thresholds as a trigger for classification among non-performing loans relating to:
 - costly restructuring (default is assumed if the loss from renegotiation exceeds 1%);
 - disposal with loss (default is assumed if the loss related to the deterioration of the counterparty's credit risk exceeds 5%).

Despite the more stringent nature of the new relevance thresholds and the removal of the offsetting effect of past-due or overdrawn credit lines with the margins available on other credit lines of the same debtor, the stock of the portfolio classified as non-performing past-due remained substantially unchanged if not slightly decreased in 2022, confirming an effective method of managing credit pathologies.

3.2 Write-offs

With regard to non-performing loans, the Group resorts to the write-off/cancellation - in whole or in part - of uncollectable accounting items and consequently allocates to losses the residual amount not yet adjusted in the following cases:

- as a result of a voluntary waiver, when one freely assesses the financial standing of a debtor and decides to write-off part of the exposure to that debtor due to a verified uncollectability, or
- when it is deemed that the gross value is no longer recoverable in whole or in part: such an assessment does not imply the waiver of the credit nor does it affect recovery actions but is an acknowledgement that at least part of the credit is not recoverable.

The assumptions underlying an unrealistic assessment of recoverability, in relation to which it is considered appropriate to abandon interruption of the limitation period, occur when the composition, bankruptcy, enforcement and even inheritance procedures have come to an end, together with the absence of joint owners or guarantors to be enforced, as well as in cases of documentary verification of impossible and/or infeasible recovery from debtors/guarantors and, lastly, upon conclusion of out-of-court settlements.

The control process aimed at identifying the lack of realistic recovery prospects focuses on the counterparties with a given coverage level as well as a certain vintage.

Finally, it should be noted that the Group has decided to carry out total/partial write-offs, at least for bad loans with seniority (understood as a period of permanence in the status of "non-performance" of more than three years) and an impairment level of more than 95%.



At the reporting date of these Consolidated financial statements, the exposures subject to total write-offs relating to counterparties for which mandatory debt collection procedures (insolvency and/or enforcement) are still in progress are approximately EUR 30 mln, based on management system evidence.

3.3 Purchased or originated impaired financial assets

The purchased or originated impaired financial assets (POCI) include financial instruments, acquired or originated, which were already credit impaired at their initial recognition, that is, they showed some signs of impairment in credit quality.

The accounting rules relating to POCIs apply to financial instruments measured at amortised cost or at fair value through other comprehensive income; that is, SPPI-compliant financial instruments in the HTC and HTC&S Business Models. For further details on the accounting treatment of these types of financial asset, reference is made to paragraph “Purchased or originated credit-impaired financial assets” (POCI) in the Notes to the Financial Statements - Part A - “Accounting policies”.

The Group includes the following cases as POCI financial assets:

1. substantial changes to the loans (other than those that result in failure of the SPPI test), agreed with non-performing customers, to which derecognition accounting is applied, in accordance with accounting policy;
2. new credit facility to a non-performing counterparty;
3. acquisition of a portfolio of non-performing loans as part of business combinations;
4. purchase of individual financial instruments.

In particular, the first two refer to “Originated credit-impaired financial assets (OCI)” and the others to “Purchased credit-impaired financial assets (PCI)”.

Originated credit-impaired financial assets are identified as part of the lending procedure. Specifically, the PEF application used by the Credit function was appropriately supplemented for certain specific purposes of the credit facility: their selection and the presence of a non-performing status for the counterparty result in an “OCI flag” being raised on a single loan line. This reporting is passed on to summary systems for the necessary measurements, both for amortised cost as well as impairment.

For purchased non-performing loans, the event is processed by the respective business functions and reported through appropriate reporting systems to management.

The credit risk measurement, management, and control systems for these financial assets envisage, firstly, the definition of the estimated plan, that is, the contractual plan adjusted for expected credit losses. The latter is prepared by the Risk Management function or the Credit function, which, based on the forecasts, may also review it during the life of the credit transaction. This plan is used to calculate CEIR (credit-adjusted effective interest rate), that is, the rate that equates the present value of expected cash flows to the fair value at initial recognition in financial statements.

Based on the contractual plan, the operational services are also calculated including:

- outstandings on the estimated plan, by comparing contractual outstandings and the cash flows effectively expected by the estimated plan (these outstandings are, in fact, a component used in the impairment calculation for POCI instruments);
- adjustments to CEIR that allow contractual interest due, recorded by the various operational services, to be applied to the effective interest at the CEIR calculated in the estimated plan.

Credit risk is monitored on a monthly basis: information on contractual outstandings and outstandings on estimated cash flows are summarised in a report used by the various functions for the resulting measurements.

At the reporting date of these Consolidated Financial Statements, the Group’s POCI portfolio, equal to a gross book value of approximately EUR 4.4 mln (EUR 20.7 mln as at 31 December 2021), is divided equally in terms of exposure between repurchased credit impaired (PCI) and originated credit impaired (OCI); the latter consist of relationships generated following the granting of substantial changes in contractual conditions without determining a change in the credit nature of the relationship itself.

Finally, it should be noted that the relationships falling in the PCI sub-category are all classified as bad loans, OCIs are classified as performing for about 70% and the remaining 30% as unlikely to pay.



4. Financial assets subject to commercial renegotiations and exposures subject to forbearance

Financial assets subject to commercial renegotiations

This category includes renegotiations of credit exposures - by changing the original contractual conditions - granted by the Group for commercial reasons to performing customers, with the objective of maintaining the relationship with the customer. The changes in question are divided into the two categories set out below, depending on the purposes and effects of the amended contracts agreed between the parties:

1. transactions that entail a change in the original payment schedule (re-scheduling), to the benefit of the debtor;
2. transactions that do not entail a change in the original payment schedule and that seek to adjust the debt burden to market conditions. These transactions result in a change in the original contract conditions, usually at the customer's request, which regard aspects associated with the debt burden.

Requests to reschedule the loan entail, in any event, the assessment of whether the customer is experiencing financial difficulties - in line with the preliminary review process for the loan - which is carried out based on predominantly objective assumptions to avoid errors in assigning the forborne classification and is also governed from a subjective/qualitative perspective by specific Group guidelines.

The Group's processes do not envisage massive initiatives aimed at renegotiation, but one-to-one evaluation approaches for the requests received, always managing the latter with a view to retention. This phenomenon is primarily attributable to the residential mortgages sector, using qualitative/quantitative metrics (based both on the risk-adjusted profitability and the market benchmark, or the level of pricing expressed by the banking system), appropriately associated with commercial valuations, such as the expected benefits deriving from maintaining or achieving the reference status with the individual customer.

Forborne exposures

Forbearance measures are activated, both on the retail as well as corporate segment, when a financial criticality emerges that may impact the counterparty's capacity to satisfy their financial commitments in relation to debt repayment.

To determine the sustainable forbearance measure, it is essential to verify the impacts of financial difficulty compared to debt: the forbearance measure is only implemented if the aforementioned impacts are deemed as being possible to overcome through use of said forbearance measure.

The degree of financial difficulty in which the customer finds himself (serious or not) must be identified in order to determine the measure (suspension of payments or mere rescheduling of debt) and to allow the measure to be credibly aimed at solving the customer's difficulty.

To reach this objective in the corporate world, an analysis of historic data is not sufficient. Forecast and medium to long-term strategy information on the company must also be obtained; at the retail level, it is essential to assess the instalment/income ratio, the employment situation and the future commitments of the household.

With particular reference to counterparties benefiting from Covid-19 suspensions granted under the Temporary Framework provided for by the EBA Guidelines, against an almost total reinstatement of amortisation plans, credit monitoring has focused its analysis on customers affected by repeated suspension measures during the pandemic emergency, although these were granted within the framework of legal provisions, with the aim of identifying situations of financial difficulty and consequently activating automatic mechanisms for assigning the forborne attribute; monitoring activities implemented in 2022 resulted in the assignment of the forborne attribute on approximately 800 credit relationships for an exposure of approximately EUR 80 mln.

More generally, the use of the forbearance measure follows a tailor-made logic in order to reformulate the plan in a way that is sustainable in terms of debt repayment, favouring as much as possible contractual modification options that commit customers to make payments already in the short term, compared simply to debt moratorium measures.

To this end, the Group has developed a specific product portfolio that provides for legal acts of acknowledgement, rescheduling and repayment of debt, both for retail and corporate customers, differentiating the offer according to the type of secured/unsecured loans being measured, the duration of rescheduling and the Loan-to-Value of mortgage loans. These products also envisage that the rate used under forbearance does not exceed the original contractual rate.



The 2022 trend in the stock of forborne performing exposures (probation period) shows a decrease in this portfolio of about EUR 300 mln (-14% year-on-year); this decrease is mainly due to an increase in the ratio of positions returned to a fully performing status, amounting to 22% in 2022 compared to 17% in 2021, and also to a lower production of forbearance measures of around EUR 800 mln compared to the previous year; in addition, the default rate of the forborne portfolio decreased by half to 6.3% in 2022 compared to 12.8% in 2021. Finally, to be noted is a reduction in collections amounting to 19.1% of the initial stock compared to 28.7% in 2021, attributable to the higher impact of Covid-19 moratoria on the total forborne portfolio during the pandemic.

The stock of non-performing forborne exposures also declined significantly in 2022, from EUR 1,537 mln to EUR 1,126 mln, due to the afore-mentioned lower flow of defaults, but also thanks to the contribution of the disposal transactions, which had an impact of around EUR 130 mln in terms of reduction; a further contribution to the reduction of the stock of non-performing forborne exposure concessions comes from the increase in the “cure” rate of 8.4% in 2022 compared to 4% in the previous year.

The amount of gross outstanding credit exposures to customers (non-performing and performing) subject to forbearance is set out in Table A.1.7bis below, in the Quantitative Information - A. Credit Quality section, to which reference should be made for further details. With regard to the impact, in the process of assessing the SICR and measuring expected losses, of measures to support the economy through payment moratoria, please refer to Section 2.3 “Methods to measure expected losses” of the previous Section.

With specific reference to impairment, note that all forborne exposures other than non-performing exposures are classified in stage 2 and are valued, similarly to the exposures in stage 3, for an amount equal to the expected losses throughout the life of the loan. Any decrease in credit risk and the resulting classification in stage 1 and measurement of impairment for an amount equal to expected credit losses in the subsequent 12 months, is linked, in the absence of further indicators of significant increases in the risk of credit, to the return to the fully performing status of the exposure that is the loss of the forborne classification.



Quantitative Information

A. Credit quality

A.1 Non-performing and performing loans: amounts, impairment (losses), changes, trend and breakdown by business sector

A.1.1 Prudential consolidation - Breakdown of financial assets by past due ranges (book values)

Portfolio/Staging	Stage 1			Stage 2			Stage 3			Purchased or originated credit impaired		
	Up to 30 days	from 30 to 90 days	Over 90 days	Up to 30 days	from 30 to 90 days	Over 90 days	Up to 30 days	from 30 to 90 days	Over 90 days	Up to 30 days	from 30 to 90 days	Over 90 days
1. Financial assets measured at amortised cost	152,118	-	-	157,383	59,067	13,798	67,562	104,081	825,660	179	-	457
2. Financial assets measured at fair value through other comprehensive income	-	-	-	-	-	-	-	-	-	-	-	-
3. Financial assets held for sale	-	-	-	-	-	-	-	-	-	-	-	-
Total 31 12 2022	152,118	-	-	157,383	59,067	13,798	67,562	104,081	825,660	179	-	457
Total 31 12 2021	129,206	-	-	114,862	91,339	96,695	66,030	94,528	1,099,977	-	-	1,781



A.1.2 Prudential consolidation – Financial assets, commitments to disburse funds and financial guarantees given: changes in overall impairment (losses) and total allocations

Causals/Staging	Overall value adjustments										
	Assets include in Stage 1						Assets include in Stage 2				
	Current accounts with Central banks and banks	Financial assets measured at amortised cost	Financial assets measured at fair value through other comprehensive income	Financial assets held for sale and disposal groups	<i>Of which: specific write-downs</i>	<i>Of which: portfolio adjustments</i>	Current accounts with Central banks and banks	Financial assets measured at amortised cost	Financial assets measured at fair value through other comprehensive income	Financial assets held for sale and disposal groups	<i>Of which: specific write-downs</i> <i>Of which: portfolio adjustments</i>
Overall value adjustments, opening balance	198	85,521	4,073	-	-	89,793	-	357,405	88	-	357,493
Increase in purchased or originated financial assets	1	10,170	501	-	-	10,671	-	16,612	-	-	16,612
Derecognition different from write-off	-	(9,954)	(646)	-	-	(10,601)	-	(16,893)	-	-	(16,893)
Net losses (recoverise) on impairment	(101)	(74,228)	(650)	-	(276)	(74,703)	24	37,615	352	-	(230)
Modification gains/losses	-	1	-	-	-	1	-	73	-	-	73
Change in evaluation methodology	-	-	-	-	-	-	-	-	-	-	-
Write-off	-	(11)	-	-	-	(11)	-	(34)	-	-	(34)
Others	-	84,660	(22)	-	276	84,364	-	(40,800)	21	-	230
Overall value adjustments, closing balance	98	96,159	3,256	-	-	99,514	24	353,978	461	-	354,463
Recoveries from collections of financial assets subject to write-off	-	-	-	-	-	-	-	-	-	-	-
Write-off recognised through income statements	-	-	-	-	-	-	-	-	-	-	-



	Overall Value Adjustments										Provisions for credit risk relative to commitments to disburse funds and financial guarantees given					Total
	Assets include in Stage 3					Purchased or originated credit impaired financial assets										
	Current accounts with Central banks and banks	Financial assets measured at amortised cost	Financial assets measured at fair value through other comprehensive income	Financial assets held for sale and disposal groups	Of which: specific write-downs	Of which: portfolio adjustments	Current accounts with Central banks and banks	Financial assets measured at amortised cost	Financial assets measured at fair value through other comprehensive income	Of which: specific write-downs	Of which: portfolio adjustments	Stage 1	Stage 2	Stage 3	Purchased or originated impaired commitments to disburse fund and financial guarantees given	
Overall value adjustments, opening balance	-	1,931,882	-	11,003	1,051,057	891,828	10,063	-	-	9,697	365	13,528	17,049	104,877	1,439	2,537,126
Increase in purchased or originated financial assets	-	58	-	-	58	-	X	X	X	X	X	724	1,048	-	6,675	35,789
Derecognition different from write-off	-	(723,683)	-	(8,190)	(407,634)	(324,239)	(9,464)	-	-	(9,264)	(200)	(685)	(1,371)	(3,195)	-	(774,081)
Net losses (recoverise) on impairment	-	509,636	-	-	229,045	280,591	1,606	-	-	965	641	(4,280)	2,148	1,417	(461)	473,078
Modification gains/losses	-	79	-	-	73	6	-	-	-	-	-	-	-	-	-	153
Change in evaluation methodology	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Write-off	-	(110,223)	-	-	(79,390)	(30,833)	(20)	-	-	-	(20)	-	-	-	-	(110,288)
Others	-	(30,774)	-	(2,813)	(20,635)	(12,952)	-	-	-	-	-	5,044	(4,135)	(899)	-	10,282
Overall value adjustments, closing balance	-	1,576,975	-	-	772,574	804,401	2,185	-	-	1,398	786	14,331	14,739	102,200	7,653	2,172,059
Recoveries from collections of financial assets subject to write-off	-	6,941	-	-	6,941	-	-	-	-	-	-	-	-	-	-	6,941
Write-off recognised through income statements	-	(9,250)	-	-	(8,185)	(1,066)	(2)	-	-	-	(2)	-	-	-	-	(9,252)

As at 31 December 2022, total impairment provisions posted an overall decrease of around EUR 365.1 mln compared with 1 January 2022, - of which EUR 2.0 mln related to commitments to disburse funds and guarantees given - due almost entirely to value adjustments of financial assets measured at amortised cost classified in stage 3 (EUR -354.9 mln). In particular, with reference to this accounting portfolio, the following elements contributed to this trend in the item:

- “Derecognitions other than write-offs” a reduction for a total of EUR 750.5 mln, mainly due to the deconsolidation of the positions included in the “Fantino” transaction and a single name disposals;
- “Write offs not recognised directly in the Income Statement” a reduction of provisions for credit impaired totalling EUR 110.3 mln. Note that the derecognitions not covered by the provision generated an impact of EUR 9.2 mln in the income statement.
- “Net impairment (losses)/reversals for credit risk”. net increase of provisions for EUR 473.0 mln, of which EUR 509.6 related to stage 3. Among the main factors that influenced the latter trend are adjustments related to the sale of impaired loans carried out during the year, management overlays and certain methodological refinements referred to the LGD parameter. In this regard, please refer to paragraph “2.3 Methods for measuring expected losses” of these Notes to consolidated financial statements.



A.1.3 Prudential consolidation – Financial assets, commitments to disburse funds and financial guarantees given: transfers among the different stages of credit risk (gross and nominal values)

Portfolio/Staging	Gross value /nominal value					
	Transfers between Stage 1 and Stage 2		Transfers between Stage 2 and Stage 3		Transfers between Stage 1 and Stage 3	
	From Stage 1 to Stage 2	From Stage 2 to Stage 1	From Stage 2 to Stage 3	From Stage 3 to Stage 2	From Stage 1 to Stage 3	From Stage 3 to Stage 1
1. Financial assets measured at amortised cost	4,506,265	3,816,334	493,367	145,783	226,090	24,582
2. Financial assets measured at fair value through other comprehensive income	-	-	-	-	-	-
3. Financial assets held for sale	-	-	-	-	-	-
4. Commitments to disburse funds and financial guarantees issued	950,404	817,663	68,150	6,141	57,511	43,369
Total 31 12 2022	5,456,669	4,633,997	561,517	151,924	283,601	67,951
Total 31 12 2021	5,557,316	8,529,590	875,643	139,493	412,447	473,763



A.1.3a Prudential consolidation – Loans subject to COVID-19 support measures: transfers between the different stages of credit risk (gross values)

Portfolio/Staging	Gross value /nominal value					
	Transfers between Stage 1 and Stage 2		Transfers between Stage 2 and Stage 3		Transfers between Stage 1 and Stage 3	
	From Stage 1 to Stage 2	From Stage 2 to Stage 1	From Stage 2 to Stage 3	From Stage 3 to Stage 2	From Stage 1 to Stage 3	From Stage 3 to Stage 1
A. Loans measured at amortised cost	1,188,585	842,528	126,847	3,990	83,098	1,755
A 1. EBA-compliant moratoria (legislative and non-legislative)	-	-	-	-	-	-
A 2. Loans subject to existing moratorium measures no longer compliant with GLs and not assessed as being subject to forbearance measures	-	112	1	-	-	-
A.3. Loans subject to other forbearance measures	5,879	1,737	1,778	342	5,446	-
A 4. Newly Originated Loans	1,182,706	840,679	125,068	3,648	77,652	1,755
B. Loans measured at fair value through other comprehensive income	-	-	-	-	-	-
B 1. EBA-compliant moratoria (legislative and non-legislative)	-	-	-	-	-	-
B 2. Loans subject to existing moratorium measures no longer compliant with GLs and not assessed as being subject to forbearance measures	-	-	-	-	-	-
B 3. Loans subject to other forbearance measures	-	-	-	-	-	-
B 4. Newly Originated Loans	-	-	-	-	-	-
Total 31 12 2022	1,188,585	842,528	126,847	3,990	83,098	1,755
Total 31 12 2021	1,117,573	1,041,428	208,182	2,243	88,677	1,970

The data refer to loans subject to “moratoria” or other COVID-19 support measures in place at the reporting date, when the risk stage in which the exposures are included at the end of the financial year is different from the stage in which the exposures were included at the time of the concession.



A.1.4 Prudential consolidation – Balance sheet and off-balance sheet credit exposure to banks: net and gross values

Portfolio/quality	Gross exposure					Impairment (losses) and total provisions					Net exposure	Total partial Write-off *
	Total gross exposure	Stage 1	Stage 2	Stage 3	Purchased or originated credit impaired	Total impairment (losses) and total provisions	Stage 1	Stage 2	Stage 3	Purchased or originated credit impaired		
A. Balance-sheet exposure												
A.1 On Demand												
a) Performing	-	X	-	-	-	-	X	-	-	-	-	-
a) bad loan	-	X	-	-	-	-	X	-	-	-	-	-
- of which forborne	-	X	-	-	-	-	X	-	-	-	-	-
b) Unlikely to pay	-	X	-	-	-	-	X	-	-	-	-	-
- of which forborne	-	X	-	-	-	-	X	-	-	-	-	-
c) Past-due non performing exposures	-	X	-	-	-	-	X	-	-	-	-	-
b) Non performing	11,842,767	11,842,410	357	X	-	122	98	24	X	-	11,842,645	-
Of which overdrawn past due	-	-	-	-	-	-	-	-	-	-	-	-
Of which: other measures	-	-	-	-	-	-	-	-	-	-	-	-
- of which forborne	-	X	-	-	-	-	X	-	-	-	-	-
A.2 Other												
-												
a) Bad loans	-	X	-	-	-	-	X	-	-	-	-	-
- of which forborne	-	X	-	-	-	-	X	-	-	-	-	-
b) Unlikely to pay	-	X	-	-	-	-	X	-	-	-	-	-
- of which forborne	-	X	-	-	-	-	X	-	-	-	-	-
c) Past due non performing exposures	-	X	-	-	-	-	X	-	-	-	-	-
- of which forborne	-	X	-	-	-	-	X	-	-	-	-	-
d) Past due performing exposures	4,301	47	4,254	X	-	27	-	27	X	-	4,274	-
- of which forborne	-	-	-	X	-	-	-	-	X	-	-	-
e) Other assets not impaired	3,860,825	3,732,412	21,312	X	-	2,072	1,412	660	X	-	3,858,753	-
- of which forborne	-	-	-	X	-	-	-	-	X	-	-	-
Total A	15,707,893	15,574,869	25,923	-	-	2,221	1,510	711	-	-	15,705,672	-
B. Off Balance-sheet exposure												
-												
a) Non performing	-	X	-	-	-	-	X	-	-	-	-	-
b) Performing	3,683,029	2,080,607	250	X	-	423	408	14	X	-	3,682,606	-
Total B	3,683,029	2,080,607	250	-	-	423	408	14	-	-	3,682,606	-
Total (A+B)	19,390,922	17,655,476	26,173	-	-	2,644	1,918	725	-	-	19,388,278	-

* Value to be presented for disclosure purposes

At the reporting date for these financial statements, the table does not include purchased or originated impaired financial assets.



A.1.5 Prudential consolidation – Balance sheet and off-balance sheet credit exposure to customers: net and gross values

31.12.2022

Portfolio/quality	Gross exposures					Impairment (losses) and total provisions						
	Total gross exposure	Stage 1	Stage 2	Stage 3	Purchased or originated credit impaired	Total impairment (losses) and total provisions	Stage 1	Stage 2	Stage 3	Purchased or originated credit impaired	Net exposures	Total partial Write-off *
A. Balance-sheet exposure												
a) Bad loans	1,311,081	X	-	1,290,091	2,193	859,898	X	-	839,600	1,557	451,183	6,836
- of which forborne	225,885	X	-	225,845	2	126,574	X	-	126,555	2	99,311	2,303
b) Unlikely to pay	1,961,779	X	-	1,950,057	679	736,231	X	-	726,978	608	1,225,548	20,422
- of which forborne	897,886	X	-	887,644	679	318,872	X	-	310,743	608	579,014	17,148
c) Past due non performing exposures	45,776	X	-	45,776	-	10,397	X	-	10,397	-	35,379	74
- of which forborne	2,420	X	-	2,420	-	504	X	-	504	-	1,916	-
d) Past-due performing exposures	390,660	152,506	236,566	X	-	10,931	408	10,523	X	-	379,729	218
- of which forborne	33,876	-	33,876	X	-	2,003	-	2,003	X	-	31,873	1
e) Other assets not impaired	91,129,986	75,913,310	11,244,511	X	1,557	440,844	97,595	343,229	X	20	90,689,142	8,422
- of which forborne	1,900,187	-	1,860,103	X	306	115,806	-	115,787	X	18	1,784,381	6,327
Total A	94,839,282	76,065,816	11,481,077	3,285,924	4,429	2,058,301	98,003	353,752	1,576,975	2,185	92,780,981	35,972
B. Off-balance-sheet exposure												
a) performing	544,167	X	-	532,208	11,959	109,853	X	-	102,201	7,653	434,314	-
b) Non performing	37,100,139	30,063,727	1,228,627	X	341	38,136	13,492	14,725	X	-	37,062,003	-
Total B	37,644,306	30,063,727	1,228,627	532,208	12,300	147,989	13,492	14,725	102,201	7,653	37,496,317	-
Total (A+B)	132,483,588	106,129,543	12,709,704	3,818,132	16,729	2,206,290	111,495	368,477	1,679,176	9,838	130,277,298	35,972

* Value to be presented for disclosure purposes

Please see the Report on Operations for quantification of and reporting on capital ratios for hedging of lending relationships.

For the detailed disclosure on originated impaired financial assets, please refer to paragraph 3.3 “Purchased or originated credit impaired financial assets” in the Section 1 “Credit risk - Qualitative information” of these Notes to the Consolidated Financial Statements.

As at 31 December 2022, the Group held acquired impaired-credit loans - classified in the portfolio “Financial assets measured at amortised cost”. The receivables were recognised at the purchase price of EUR 2.1 mln, appropriately adjusted in order to adjust the net book value to the initial recognition fair value.



A.1.5a Prudential consolidation – Balance sheet credit exposures to customers object of COVID-19 support measures: net and gross values

31.12.2022

Portfolio/quality	Gross exposures					Impairment (losses) and total provisions						
	Total Gross exposures	Stage 1	Stage 2	Stage 3	Purchased or originated credit impaired	Total Impairment (losses) and total provisions	Stage 1	Stage 2	Stage 3	Purchased or originated credit impaired	Net exposures	Total partial Write-off*
A. Bad loans	38,782	-	-	38,782	-	6,491	-	-	6,491	-	32,291	1
a) EBA-compliant moratoria (legislative and non-legislative)	-	-	-	-	-	-	-	-	-	-	-	-
b) Covid 19 measures no longer EBA compliant and not valued as related forbearance measures	-	-	-	-	-	-	-	-	-	-	-	-
c) Other COVID-19-related Forbearance Measures	-	-	-	-	-	-	-	-	-	-	-	-
d) Newly Originated Loans	38,782	-	-	38,782	-	6,491	-	-	6,491	-	32,291	1
B. Unlikely to pay	287,916	-	-	287,916	-	65,301	-	-	65,301	-	222,615	7,084
a). EBA-compliant moratoria (legislative and non-legislative)	-	-	-	-	-	-	-	-	-	-	-	-
b) Covid 19 measures no longer EBA compliant and not valued as related forbearance measures	1	-	-	1	-	-	-	-	-	-	1	-
c) Other COVID-19-related Forbearance Measures	16,951	-	-	16,951	-	7,231	-	-	7,231	-	9,720	7,032
d) Newly Originated Loans	270,964	-	-	270,964	-	58,070	-	-	58,070	-	212,894	52
C. Past due non-performing loans	4,069	-	-	4,069	-	229	-	-	229	-	3,840	-
a). EBA-compliant moratoria (legislative and non-legislative)	-	-	-	-	-	-	-	-	-	-	-	-
b) Covid 19 measures no longer EBA compliant and not valued as related forbearance measures	-	-	-	-	-	-	-	-	-	-	-	-
c) Other COVID-19-related Forbearance Measures	-	-	-	-	-	-	-	-	-	-	-	-
d) Newly Originated Loans	4,069	-	-	4,069	-	229	-	-	229	-	3,840	-
D. Past due performing loans	24,332	4,212	20,120	-	-	361	5	357	-	-	23,971	-
a). EBA-compliant moratoria (legislative and non-legislative)	-	-	-	-	-	-	-	-	-	-	-	-
b) Covid 19 measures no longer EBA compliant and not valued as related forbearance measures	-	-	-	-	-	-	-	-	-	-	-	-
c) Other COVID-19-related Forbearance Measures	273	-	273	-	-	20	-	20	-	-	253	-
d) Newly Originated Loans	24,059	4,212	19,847	-	-	341	5	337	-	-	23,718	-
E. Other performing loans	9,493,494	6,965,573	2,509,664	-	-	43,376	5,104	38,272	-	-	9,450,118	3,971
a) EBA-compliant moratoria (legislative and non-legislative)	-	-	-	-	-	-	-	-	-	-	-	-
b) Covid 19 measures no longer EBA compliant and not valued as related forbearance measures	726	693	33	-	-	4	1	3	-	-	722	-
c) Other COVID-19-related Forbearance Measures	63,481	2,674	42,549	-	-	2,237	9	2,228	-	-	61,244	3,775
d) Newly Originated Loans	9,429,287	6,962,206	2,467,082	-	-	41,135	5,094	36,041	-	-	9,388,152	196
Total (A+B+C+D+E)	9,848,593	6,969,785	2,529,784	330,767	-	115,758	5,109	38,629	72,021	-	9,732,835	11,056

* Value to be presented for disclosure purposes

The table shows, in line with the Bank of Italy communication of 21 December 2021, the loans disbursed, subject to moratoria or other forbearance measures in place at the reporting date, or which constitute new liquidity granted with the support of public guarantees.

For further details, please refer to the table “4.4a Loans valued at amortised cost subject to Covid-19 support measures: gross value and total value adjustments” in Part B of these Notes to the Consolidated Financial Statements

A.1.6 Prudential consolidation - Balance-sheet credit exposure to banks: changes in gross non-performing exposures

31 12 2022

Source/Categories	Bad loans	Unlikely to pay	Non-performing Past due
A. Gross exposure, opening balance	12,181	-	527
- of which: transferred but not derecognised	-	-	-
B. Increases	-	-	-
B.1 Transfers from performing loans	-	-	-
B.2 Transfers from purchased or originated credit impaired financial assets	-	-	-
B.3 Transfers from other non-performing loans	-	-	-
B.4 Modification gains/losses	-	-	-
B.3 Other increases	-	-	-
C. Decreases	12,181	-	527
C.1 transfers to performing loans	-	-	-
C.2 write-offs	11,285	-	-
C.3 collections	-	-	527
C.4 amounts realised upon disposal of positions	-	-	-
C.5 Losses from disposal	-	-	-
C.6 transfers to other categories of non-performing exposure	-	-	-
C.7 Modification gains/losses	-	-	-
C.8 other decreases	896	-	-
D. Gross exposure, closing balance	-	-	-
- of which: transferred but not derecognised	-	-	-

At the reporting date, there are no impaired financial assets purchased during the financial year through either business combination transactions or other types of acquisitions.

A.1.6-bis Prudential consolidation – Balance-sheet credit exposure to banks: changes in gross forborne exposures broken down by credit quality

This table was not completed as the Group did not hold forborne exposures to banks neither in the current year nor in the previous year.



A.1.7 Prudential consolidation - Balance-sheet credit exposure to customers: changes in gross non-performing exposures

31 12 2022

Source/Categories	Bad loans	Unlikely to pay	Non-performing Past due
A. Gross exposure, opening balance	1,759,366	2,304,648	60,708
- of which: transferred but not derecognised	86,341	70,803	6,816
B. Increases	421,763	925,501	48,065
B.1 Transfers from performing loans	45,057	723,635	38,444
B.2 Transfers from purchased or originated credit impaired financial assets	362	-	-
B.3 Transfers from other non-performing loans	300,077	21,852	448
B.4 Modification gains/losses	1	1,288	2
B.5 other increases	76,266	178,726	9,171
C. Decreases	870,047	1,268,370	62,997
C.1 transfers to performing loans	389	187,870	16,373
C.2 write-offs	98,270	48,801	735
C.3 collections	76,792	417,393	22,655
C.4 amounts realised upon disposal of positions	131,433	121,944	-
C.5 Losses from disposal	6,491	19,521	-
C.6 transfers to other categories of non-performing exposure	7,524	295,670	19,182
C.7 Modification gains/losses	18	521	-
C.8 other decreases	549,130	176,650	4,052
D. Gross exposure, closing balance	1,311,082	1,961,779	45,776
- of which: transferred but not derecognised	59,258	10,626	338

The line item Other decreases totalling EUR 729.8 mln is attributable for EUR 658.9 mln to non-performing exposures subject to transfer, of which EUR 483.0 mln classified as bad loans and EUR 175.9 unlikely to pay.

In reference with bad loans, total revenues consist, by 31%, of in court recoveries, 54% in out-of-court transactions and the remaining 15% in payments from Guarantee Institutions; as regards income from disposal, about 91% comes from block transfers.



A.1.7-bis Prudential consolidation – Balance-sheet credit exposure to customers: changes in gross forborne exposure broken down by credit quality

31 12 2022

Source/Categories	Non performing forborne exposures	Performing forborne exposures
A. Goss exposure, opening balance	1,536,539	2,240,210
- of which: transferred but not derecognised	48,186	64,296
B. Increases	369,150	791,264
B.1 Transfers from performing loans	89,672	476,460
B.2 Transfers from performing forborne exposures	142,226	X
B.3 Transfers from Non-performing forborne exposures	X	129,695
B.4 Other increases	55,986	5,013
C. Decreases	779,497	1,097,412
C.1 Transfers to performing loans	X	511,559
C.2 Transfers to performing forborne exposures	129,695	X
C.3 Transfers to non-performing forborne exposures	X	142,226
C.4 Write-offs	46,044	425
C.5 Collections	227,951	428,329
C.6 Amounts realised upon disposal of positions	129,976	-
C.7 Losses from disposal	8,031	-
C.8 Other decreases	237,800	14,873
D. Gross exposure, closing balance	1,126,192	1,934,062
- of which: transferred but not derecognised	25,450	10,301



A.1.8 Prudential consolidation - Non-performing balance-sheet credit exposures to banks: changes in overall value adjustments

31 12 2022

Source/Categories	Bad loans		Unlikely to Pay		Non-performing Past due	
	Total	of which forborne	Total	of which forborne	Total	of which forborne
A. Opening balance of overall adjustments	12,168	-	-	-	237	-
- of which: transferred but not derecognised	-	-	-	-	-	-
B. Increases	-	-	-	-	-	-
B.1 Net impairment of purchased or originated impaired financial assets	-	X	-	X	-	X
B.2 Other value adjustments	-	-	-	-	-	-
B.3 Loss from disposal	-	-	-	-	-	-
B.4 Transfers from other categories of non-performing exposures	-	-	-	-	-	-
B.5 Modification gains/losses	-	-	-	-	-	-
B.6 Other increases	-	-	-	-	-	-
C. Decreases	12,168	-	-	-	237	-
C.1 Write-backs from valuation	883	-	-	-	237	-
C.2 Write-backs from collection	-	-	-	-	-	-
C.3 Profit from disposal	-	-	-	-	-	-
C.4 Write-offs	11,285	-	-	-	-	-
C.5 Transfers to other categories of non-performing exposure	-	-	-	-	-	-
C.6 Modification gains/losses	-	-	-	-	-	-
C.7 Other decreases	-	-	-	-	-	-
D. Closing balance of overall adjustments	-	-	-	-	-	-
- of which: transferred but not derecognised	-	-	-	-	-	-

At the reporting date, there are no impaired financial assets purchased during the financial year through either business combination transactions or other types of acquisitions.



A.1.9 Prudential consolidation - Non-performing balance-sheet credit exposure to customers: changes in overall impairment (losses)

31 12 2022

Source/Categories	Bad loans		Unlikely to Pay		Non-performing Past due	
	Total	of which forborne	Total	of which forborne	Total	of which forborne
A. Opening balance of overall adjustments	1,127,354	183,805	844,959	427,960	13,811	325
- of which: transferred but not derecognised	47,384	8,241	22,976	8,949	1,505	13
B. Increases	413,694	99,340	461,391	182,059	8,296	510
B.1 Net impairment of purchased or originated impaired financial assets	111	X	-	X	-	X
B.2 Other value adjustments	249,016	56,280	406,236	144,218	7,427	349
B.3 Loss from disposal	6,299	1,543	19,521	6,487	-	-
B.4 Transfers from other categories of non-performing exposures	156,070	24,805	13,364	2,608	79	31
B.5 Modification gains/losses	-	X	179	X	-	X
B.6 Other increases	2,198	16,712	22,091	28,746	790	130
C. Decreases	681,149	156,571	570,119	291,148	11,710	330
C.1 Write-backs from valuation	58,713	8,325	82,818	44,468	3,381	31
C.2 Write-backs from collection	25,678	10,170	73,641	42,345	1,608	96
C.3 Profit from disposal	5,986	1,415	22,307	17,685	-	-
C.4 Write-offs	98,270	20,226	48,801	25,815	735	3
C.5 Transfers to other categories of non-performing exposure	9,383	2,487	154,595	24,795	5,536	161
C.6 Modification gains/losses	10	X	87	X	-	X
C.7 Other decreases	483,109	113,948	187,870	136,040	450	39
D. Closing balance of overall adjustments	859,899	126,574	736,231	318,871	10,397	505
- of which: transferred but not derecognised	53,962	10,335	9,387	3,437	421	-

The line item Other decreases totalling EUR 671.5 mln is attributable for EUR 658.9 mln to non-performing exposures subject to disposal of which EUR 483.0 mln classified as bad loans and EUR 175.9 mln unlikely to pay.

At the reporting date, there are no impaired financial assets that were acquired during the financial year through business combination transactions.

The book value of these units of Funds are equal to, respectively EUR 4.9 mln and EUR 19.9 mln.



Exposure to sovereign debt risk

Below are the net sovereign credit risk exposures in government bonds, loans and credit derivatives held by the Group as at 31 December 2022, pursuant to the criteria of the *European Securities and Markets Authority (ESMA)*.

The exposure is broken down by accounting categories. For securities classified as “Financial assets measured at amortised cost” and “Loans”, the book value (amortised cost) is also reported.

COUNTRY	DEBT SECURITIES				LOANS	CREDIT DERIVATIVES
	Financial assets measured at fair value through profit or loss		Financial assets measured at fair value through other comprehensive income		Financial assets measured at amortised cost	Financial assets held for trading
	Nominal	Fair value=book value	Nominal	Fair value=book value	Book value	Nominal
Argentina	0.3	-	-	-	-	-
Belgium	-	-	8.0	3.4	-	-
France	-	-	15.0	11.5	10.7	-
Italy	1,036.3	800.1	3,609.5	3,385.2	6,287.1	3,283.1
Mexico	0.1	-	15.0	10.7	-	-
Perù	-	-	2.0	1.4	-	-
Portugal	0.3	0.2	29.5	20.3	3.1	-
Romania	-	-	30.0	21.9	-	-
Spain	9.2	9.5	10.0	9.9	1,177.7	-
United States	-	-	46.9	38.7	-	-
South Africa	-	-	5.0	4.8	-	-
Other Countries	3.7	2.4	-	0.2	-	-
Total 31 12 2022	1,049.9	812.2	3,770.9	3,508.0	7,478.6	3,283.1
Total 31 12 2021	2,764.6	2,586.9	4,566.0	4,607.1	6,889.4	3,147.1

Details on the Group's exposure is presented taking into consideration that, according to instructions from the European Securities and Markets Authority (ESMA), “sovereign debt” is defined as bonds issued by central and local Governments and by government Entities, as well as loans disbursed to aforementioned entities.

These financial instruments were measured according to the standards applicable to the category to which they belong.

As at 31 December 2022, the residual duration of the exposure to the most significant component of sovereign debt (Italian debt securities) was 7.19 years. The overall exposure to loans and debt securities amounted to EUR 13,424.7 mln, almost entirely in Italian debt, and is concentrated in the portfolio of financial assets measured at amortised cost. Exposures to Italy are nearly exclusively level 1, with the exception of EUR 962 mln under level 2, attributable for EUR 594 mln to government bonds.



Following are the details of reserves on securities measured at fair value through other comprehensive income and of Italian credit derivatives (in EUR/mln):

Securities measured at fair value through other comprehensive income: Italy	31 12 2022	31 12 2021
Book value	3,385.2	4,504.2
O.C.I reserve (after tax)	(100.3)	22.7
of which: hedging effect (after tax)	(11.7)	(53.6)

Credit derivatives - Italy	31 12 2022	31 12 2021
Purchase of protection		
Nominal	(150.0)	(150.0)
Positive fair value	-	-
Negative fair value	(7.2)	(7.0)
Sale of protection		
Nominal	3,433.1	3,297.1
Positive fair value	3.6	3.5
Negative fair value	(138.7)	(100.6)



A.2 Classification of exposure by external and internal ratings

A.2.1 Prudential consolidation – Breakdown of financial assets, commitments to disburse funds and financial guarantees given by external rating class (gross values)

31 12 2022

Exposures	External class rating						No rating	Total
	class 1	class 2	class 3	class 4	class 5	class 6		
A. Financial assets measured at amortised cost	675,637	1,202,595	9,137,174	410,834	12,291,659	48,780	66,727,235	90,493,914
- Stage 1	673,530	1,201,223	9,136,673	392,654	12,283,986	18,708	52,013,640	75,720,414
- Stage 2	2,107	1,372	501	18,147	3,439	462	11,457,119	11,483,147
- Stage 3	-	-	-	33	4,234	29,610	3,252,047	3,285,924
- Purchased or originated impaired financial assets	-	-	-	-	-	-	4,429	4,429
B. Financial assets measured at fair value through other comprehensive income	68,664	-	3,794,504	232,166	6,021	-	3	4,101,358
- Stage 1	68,664	-	3,794,504	214,690	-	-	3	4,077,861
- Stage 2	-	-	-	17,476	6,021	-	-	23,497
- Stage 3	-	-	-	-	-	-	-	-
- Purchased or originated impaired financial assets	-	-	-	-	-	-	-	-
C. Financial assets held for sale	-	-	-	-	-	-	-	-
- Stage 1	-	-	-	-	-	-	-	-
- Stage 2	-	-	-	-	-	-	-	-
- Stage 3	-	-	-	-	-	-	-	-
- Purchased or originated impaired financial assets	-	-	-	-	-	-	-	-
Total (A+B+C)	744,301	1,202,595	12,931,678	643,000	12,297,680	48,780	66,727,238	94,595,272
D. Commitments to disburse funds and financial guarantees issued	132,690	504,276	955,420	977,637	845,543	44,956	30,455,954	33,916,476
- Stage 1	132,690	504,276	955,420	972,474	845,407	44,956	28,687,868	32,143,091
- Stage 2	-	-	-	5,163	136	-	1,223,578	1,228,877
- Stage 3	-	-	-	-	-	-	532,208	532,208
- Purchased or originated impaired financial assets	-	-	-	-	-	-	12,300	12,300
Total (A+B+C+D)	876,991	1,706,871	13,887,098	1,620,637	13,143,223	93,736	97,183,192	128,511,748

class 1=AAA/AA-, class 2=A+/A-, class 3=BBB+/BBB-, class 4=BB+/BB-, class 5=B+/B-, class 6=lower than B-

The external rating categories used to complete the table are from Standard & Poor's. On-balance-sheet exposures taken into account are those in Table A.1.2 "Breakdown of financial assets by portfolio and credit quality" above, while off-balance-sheet exposures are those in Tables A.1.4 (exposures to banks) and A.1.5 (exposures to customers). If multiple external ratings are assigned, the rating is selected based on Bank of Italy's criteria (when two ratings are available, the lower of the two is used, and when three or more ratings are assigned, the second highest rating is selected). To ensure relevance of information, internal cross-reference tables were used to convert classification by various rating agencies into classification by Standard & Poor's.



A.2.2 Prudential consolidation – Breakdown of financial assets, commitments to disburse funds and financial guarantees given per internal rating class (gross values)

31 12 2022

Exposures	Internal class rating						Group administrative default	No rating	Total
	High quality	Average quality	Fair quality	Mediocre quality	Poor quality	Default			
A. Financial assets measured at amortised cost	830,897	19,714,906	31,167,770	12,009,721	678,302	2,926,816	281,606	22,883,896	90,493,914
- Stage 1	824,316	19,413,536	27,937,077	5,359,590	714	1,053	-	22,184,128	75,720,414
- Stage 2	6,581	301,370	3,229,549	6,647,623	676,994	6,372	2	614,656	11,483,147
- Stage 3	-	-	-	2,095	594	2,918,265	279,858	85,112	3,285,924
- Purchased or originated impaired financial assets	-	-	1,144	413	-	1,126	1,746	-	4,429
B. Financial assets measured at fair value through other comprehensive income	-	3,786	6,394	-	-	-	-	4,091,178	4,101,358
- Stage 1	-	3,786	373	-	-	-	-	4,073,702	4,077,861
- Stage 2	-	-	6,021	-	-	-	-	17,476	23,497
- Stage 3	-	-	-	-	-	-	-	-	-
- Purchased or originated impaired financial assets	-	-	-	-	-	-	-	-	-
C. Financial assets held for sale	-	-	-	-	-	-	-	-	-
- Stage 1	-	-	-	-	-	-	-	-	-
- Stage 2	-	-	-	-	-	-	-	-	-
- Stage 3	-	-	-	-	-	-	-	-	-
- Purchased or originated impaired financial assets	-	-	-	-	-	-	-	-	-
Total (A+B+C)	830,897	19,718,692	31,174,164	12,009,721	678,302	2,926,816	281,606	26,975,074	94,595,272
D. Commitments to disburse funds and financial guarantees issued	2,199,187	9,466,506	11,353,429	2,660,269	49,289	543,342	684	7,643,771	33,916,477
- Stage 1	2,199,142	9,435,463	10,957,156	1,901,468	21,511	1	-	7,628,350	32,143,091
- Stage 2	45	31,043	396,197	758,536	27,778	-	-	15,278	1,228,877
- Stage 3	-	-	-	-	-	531,382	684	143	532,209
- Purchased or originated impaired financial assets	-	-	76	265	-	11,959	-	-	12,300
Total (A+B+C+D)	3,030,084	29,185,198	42,527,593	14,669,990	727,591	3,470,158	282,290	34,618,845	128,511,749

High Quality customers (Master Scale categories AAA and A1) Good Quality customers (Master Scale categories A2, A3 and B1) Fair Quality customers (Master Scale categories B2, B3, C1 and C2) Mediocre Quality customers (Master Scale categories C3, D1, D2 and D3) Poor Quality customers (Master Scale categories E1, E2 and E3)

The table provides a breakdown of customers of the MPS Group by risk categories assigned on the basis of ratings arising from internal models. For this purpose, account is given only of exposures (borrowers) for which an internal rating is periodically recorded for models/legal entities/portfolios which have been subject to a validation process with the Supervisory Authority without any cross-reference from official ratings to internal ratings, especially with regard to the following customer segments: “Banks,” “Non-banking financial institutions,” and “Governments and Public Administration”. Thus, based on this provision, exposures related to the latter segments, even if covered by official ratings, were reported as “unrated” in the internal rating models.

As at 31 December 2022 the Group had outstanding trade receivables for a gross value of EUR 23.2 mln. With regard to these receivables, the Group valued the defined loss coverage provision, assigning a PD equivalent to the average rating of the AIRB portfolio and a LGD equal to 45%.



A.3 Breakdown of secured credit exposures by type of collateral

A.3.1 Prudential consolidation – Balance sheet and off-balance sheet secured credit exposure to banks

31 12 2022

	Gross exposures	Net exposures	Collaterals					Personnel guarantees								Total collaterals and personnel guarantees
								Credit derivatives				Unsecured signature loans				
								Other derivatives								
								Central counterparties	Banks	Other financial entities	Other entities					
			Real estate mortgages	Real estate leasing	Securities	Other collaterals	CLN									
1. Secured balance-sheet exposures	607,486	607,473	916	-	596,928	-	-	-	-	-	-	-	-	-	-	597,844
1.1 totally secured	607,486	607,473	916	-	596,928	-	-	-	-	-	-	-	-	-	-	597,844
- of which non-performing	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
1.2 Partially secured	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
- of which non-performing	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
2. Secured off-balance sheet exposures	116,704	116,704	-	-	9,878	106,825	-	-	-	-	-	-	-	-	-	116,703
2.1 totally secured	116,704	116,704	-	-	9,878	106,825	-	-	-	-	-	-	-	-	-	116,703
- of which non-performing	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
2.2 Partially secured	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
- of which non-performing	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-

In addition to balance-sheet exposures, the table shows the amount of off-balance-sheet exposures to banks (including derivative contracts with banks) which are fully or partially secured. As regards personal guarantees, the economic segments to which guarantors and sellers of protection belong (in the case of unsecured loans and credit derivatives, respectively) are identified making reference to the classification criteria provided for in the brochure “classification of customers by segments and groups of economic activity” published by the Bank of Italy.

Exposures are classified as either “totally secured” or “partially secured” by comparing the gross exposure with the amount of the guarantee established in the contract; for that purpose, any supplemental guarantees are also considered.

The fair value of collaterals estimated as at the reporting date is shown in the columns “Real guarantees” and “Personal guarantees” or, if such information is not available, the contractual value is reported. Please note that both values may not be higher than the book value of secured exposures, in line with the Bank of Italy Circular 262.



A.3.2 Prudential consolidation – Balance sheet and off-balance sheet secured credit exposure to customers

31/12/2022

	Gross exposures	Net exposures	Collaterals				Personnel guarantees										Total collaterals and personnel guarantees
							Financial derivatives					Unsecured signature loans					
			Other derivatives														
Real estate mortgages	Real estate leasing	Securities	Other collaterals	CLN	Central counterparties	Banks	Other financial entities	Other entities	Public Entities	Banks	Other financial entities	Other entities					
1. Secured balance-sheet exposures	64,721,475	63,167,970	38,441,839	2,091,581	3,775,171	1,767,438	-	-	-	-	-	8,131,704	1,321	711,243	6,189,174	61,109,471	
1.1 totally secured	56,768,318	55,365,860	38,378,641	2,003,184	3,620,452	1,656,634	-	-	-	-	-	4,365,264	810	596,728	4,448,780	55,070,493	
- of which non-performing	2,390,395	1,316,231	827,437	173,354	9,468	46,507	-	-	-	-	-	118,835	-	24,453	103,299	1,303,353	
1.2 Partially secured	7,953,157	7,802,110	63,198	88,397	154,719	110,804	-	-	-	-	-	3,766,440	511	114,515	1,740,394	6,038,978	
- of which non-performing	346,816	234,138	3,640	-	12,865	9,352	-	-	-	-	-	94,319	-	3,865	91,407	215,448	
2. Secured off-balance sheet exposures	9,905,157	9,880,650	164,878	128,772	2,601,306	440,854	-	-	-	-	-	364,230	537	533,451	5,085,055	9,319,083	
2.1 totally secured	8,518,751	8,496,124	162,116	127,781	2,568,231	388,275	-	-	-	-	-	188,899	537	485,647	4,503,153	8,424,639	
- of which non-performing	104,091	88,524	2,089	222	1,793	1,976	-	-	-	-	-	1,040	-	4,119	76,873	88,112	
2.2 Partially secured	1,386,406	1,384,526	2,762	991	33,075	52,579	-	-	-	-	-	175,331	-	47,804	581,902	894,444	
- of which non-performing	15,378	15,081	-	-	498	1,590	-	-	-	-	-	2,762	-	121	7,720	12,691	

In addition to balance-sheet exposures to customers, the table shows the amount of off-balance-sheet exposures, including derivative contracts with customers, which are fully or partially secured. As regards personal guarantees, the economic segments to which guarantors and sellers of protection belong (in the case of unsecured loans and credit derivatives, respectively) are identified making reference to the classification criteria provided for in the brochure “classification of customers by segments and groups of economic activity” published by the Bank of Italy. Exposures are classified as either “totally secured” or “partially secured” by comparing the gross exposure with the amount of the guarantee established in the contract; for that purpose, any supplemental guarantees are also considered.

The fair value of collaterals estimated as at the reporting date is shown in the columns “Real guarantees” and “Personal guarantees” or, if such information is not available, the contractual value is reported. Please note that both values may not be higher than the book value of secured exposures, in line with the Bank of Italy Circular 262.



A.4 Prudential consolidation – Financial and non-financial assets obtained through enforcement of guarantees received

	Derecognised credit exposure	Gross Value	Impairment (losses)	Book value	
					<i>of which: obtained during the year</i>
A. Tangible assets	46,078	50,708	20,955	29,753	12,151
A.1. Used in the business	-	-	-	-	-
A.2. Held for investments	45,320	50,071	20,624	29,447	12,151
A.3. Inventories	758	637	331	306	-
B. Equity instruments and Debt securities	79,155	48,108	20,620	27,488	-
C. Other assets	-	-	-	-	-
D. Non current assets and group of assets held for sale	-	-	-	-	-
D.1. Property, plant and equipment	-	-	-	-	-
D.2. Other assets	-	-	-	-	-
Total 31 12 2022	125,233	98,816	41,575	57,241	12,151
Total 31 12 2021	117,969	86,744	34,255	52,489	-

The “Financial and non-financial assets obtained through enforcement of guarantees received” shown in the table above include assets:

- purchased in judicial auctions of Real Estate Owned Companies (REOCOs) consolidated for prudential purposes;
- resulting from non-redemption of assets in leasing and termination of non-performing finance lease agreements contributed by the subsidiary MPS Leasing & Factoring S.p.A.;
- from the subsidiary MPS Capital Services S.p.A. following “acceptance in return”.

As at 31 December 2022, the Group held financial instruments with a book value of EUR 27.5 mln (EUR 32.9 mln as at 31 December 2021) mainly attributable to the Parent Company and classified in the accounting portfolio of “Financial assets measured at fair value as per mandatory requirements”, which not represent financial assets granted by the debtor as collateral for pre-existing loans granted, but acquired as part of bilateral agreements with the same, as a result of which the Parent Company arranged for the derecognition of the related credit exposure.



B. Breakdown and concentration of credit exposures

B.1 Prudential consolidation - Breakdown of balance sheet and off-balance sheet credit exposures to customers by business segment

31 12 2022

Exposure/ Customers	Public entities		Financial companies		Financial companies: of which insurance companies		Non-financial companies		Families	
	Net exposure	Total impairment (losses)	Net exposure	Total impairment (losses)	Net exposure	Total impairment (losses)	Net exposure	Total impairment (losses)	Net exposure	Total impairment (losses)
A. Balance-sheet exposure										
A.1 bad loans	551	683	879	21,610	-	-	282,038	629,885	167,714	207,720
- of which forborne	-	-	339	328	-	-	51,680	77,599	47,292	48,646
A.2 Unlikely to pay	30,485	7,687	10,884	3,766	-	-	771,060	569,733	413,120	155,045
- of which forborne	-	-	418	280	-	-	343,507	245,033	235,090	73,559
A.3 Past due non-performing	505	408	97	42	-	-	11,846	3,168	22,932	6,779
- of which forborne	-	-	-	-	-	-	450	187	1,467	317
A.4 Other Performing exposures	16,206,066	12,009	6,782,258	7,488	71,333	-	33,325,120	303,774	34,755,427	128,505
- of which forborne	7,688	63	10,071	109	-	-	1,247,618	85,373	550,877	32,265
Total A	16,237,607	20,787	6,794,118	32,906	71,333	-	34,390,064	1,506,560	35,359,193	498,049
B. Off-balance-sheet exposures										
B.1 Non-performing exposures	60	-	10,063	381	-	-	409,373	108,087	14,818	1,385
B.2 Performing exposures	4,669,090	52	5,281,050	374	26,045	-	24,818,180	35,331	2,293,682	2,379
Total B	4,669,150	52	5,291,113	755	26,045	-	25,227,553	143,418	2,308,500	3,764
Total (A+B) 31 12 2022	20,906,757	20,839	12,085,231	33,661	97,378	-	59,617,617	1,649,978	37,667,693	501,813
Total (A+B) 31 12 2021	24,079,679	20,417	18,996,758	42,072	106,304	-	61,928,230	1,944,197	37,996,168	574,366



B.2 Prudential consolidation - Breakdown of on- and off-balance-sheet exposures to customers by geographic area

Exposure/Geographic Areas	ITALY		OTHER EUROPEAN COUNTRIES		AMERICA		ASIA		REST OF THE WORLD	
	Net exposures	Total impairment (losses)	Net exposures	Total impairment (losses)	Net exposures	Total impairment (losses)	Net exposures	Total impairment (losses)	Net exposures	Total impairment (losses)
A. Balance sheet exposures										
A.1 Bad loans	435,368	807,869	14,790	51,486	898	137	-	-	126	406
A.2 Unlikely to pay	1,187,393	718,779	8,214	11,046	22,046	4,746	7,887	1,643	8	17
A.3 Past due non-performing exposures	31,458	9,374	3,605	907	240	69	75	46	1	-
A.4 Performing exposures	87,857,848	447,423	2,688,099	3,313	343,587	393	108,951	429	70,385	217
Total A	89,512,067	1,983,445	2,714,708	66,752	366,771	5,345	116,913	2,118	70,520	640
B. Off-balance sheet exposures										
B.1 Non-performing exposures	434,150	109,853	8	-	1	-	155	-	-	-
B.2 Performing exposures	35,260,742	37,996	1,535,946	123	209,504	17	31,396	-	24,414	1
Total B	35,694,892	147,849	1,535,954	123	209,505	17	31,551	-	24,414	1
Total (A+B) 31 12 2022	125,206,959	2,131,294	4,250,662	66,875	576,276	5,362	148,464	2,118	94,934	641
Total (A+B) 31 12 2021	137,916,317	2,508,697	4,576,764	64,063	306,844	5,292	114,442	2,432	86,466	566

B.3 Banking Group - Breakdown of on- and off-balance-sheet exposures to banks by geographic area (book values)

Exposure/Geographic Areas	ITALY		OTHER EUROPEAN COUNTRIES		AMERICA		ASIA		REST OF THE WORLD	
	Net exposures	Total impairment (losses)	Net exposures	Total impairment (losses)	Net exposures	Total impairment (losses)	Net exposures	Total impairment (losses)	Net exposures	Total impairment (losses)
A. Balance sheet exposures										
A.1 Bad loans	-	-	-	-	-	-	-	-	-	-
A.2 Unlikely to pay	-	-	-	-	-	-	-	-	-	-
A.3 Past due non-performing exposures	-	-	-	-	-	-	-	-	-	-
A.4 Performing exposures	12,325,658	533	3,126,548	892	71,919	140	143,282	605	38,265	52
Total A	12,325,658	533	3,126,548	892	71,919	140	143,282	605	38,265	52
B. Off-balance sheet exposures										
B.1 Non-performing exposures	-	-	-	-	-	-	-	-	-	-
B.2 Performing exposures	1,719,469	65	1,036,716	127	222,849	27	537,228	61	166,343	142
Total B	1,719,469	65	1,036,716	127	222,849	27	537,228	61	166,343	142
Total (A+B) 31 12 2022	14,045,127	598	4,163,264	1,019	294,768	167	680,510	666	204,608	194
Total (A+B) 31 12 2021	24,431,990	604	4,197,533	1,389	405,172	12,339	855,873	1,065	209,632	199



B.4 Large exposures

Item/Amount	31 12 2022	31 12 2021
a) Book value	61,280,844	78,526,181
b) Weighted value	1,762,133	1,107,091
c) Number	7	7

Regulations provide for positions to be defined as “large exposures” by making reference to credit-risk unweighted exposures.

An exposure is deemed as a “large exposure” when its amount is equal to or greater than 10% of own funds.

The decrease as at 31 December 2022 for the “Book value” is mainly due to the negative change in the deposit held with the Central Bank and in transactions with Central Counterparties, assets both excluded from the weighted value as per CRR art. 400 (1) letters a) and j) respectively; the increase in the “Weighted Value” for 2022 compared to 2021 is substantially attributable to the increased business with banking counterparties.

C. Securitisation transactions

Qualitative Information

Structures, processes and goals

Law 130/99 “Provisions on the securitisation of receivables” introduced in the Italian legal system the possibility of carrying out, through specifically established Italian companies, so-called SPV - Special Purpose Vehicle, securitisation transactions that allow to “transform” illiquid financial assets, capable of generating cash flows, such as loans, in tradable assets, i.e. in bonds called Asset Backed Securities (ABS).

Regulation (EU) 2017/2402 of the European Parliament and of the Council of 12 December 2017, has established a general framework for securitisation and a specific framework for simple, transparent and standardised securitisations.

The structure of a securitisation envisages the sale of the assets, recorded in the financial statements of a party (called Originator), to the Special Purpose Vehicle, which, to finance the purchase, issues bonds then placed on the market, paying the amount collected back to the transferor. The return and repayment of the securities issued are dependent on the cash flows generated by the assets sold.

With reference to securitisation transactions, the Montepaschi Group operates both as Originator of own securitisations, and as investor, through the subscription of third-party securitisations. To date, the Group has not promoted any securitisation activities as a sponsor.

In the context of own securitisations, a distinction can be made between:

- securitisation transactions placed entirely or in part on the market and originated with the aim of achieving economic benefits regarding the optimisation of the loan portfolio, the diversification of funding sources, the reduction of their cost and the matching of natural maturities for assets with those for liabilities (strictly speaking securitisations). In this context, the Group currently has two securitisation transactions with derecognition that substantially transfer all the risk and return of the portfolio transferred and one transaction without derecognition;
- Securitisation transactions in which the originator subscribes at the time of issue, or later, the set of liabilities issued that are aimed at diversifying and strengthening the available funding instruments, through the transformation of the transferred loans into securities that can be refinanced (self-securitisations). These transactions are part of the more general policy of strengthening the Group's liquidity position and are not included in the disclosure of this section but in the “Liquidity risk” section.

The execution of securitisation transactions, keeping with the organisational model established at Group level for the governance and management of risks, is governed by specific internal regulations.

The Parent Company's Structural Liquidity Function defines the general conduct and coordinates activities for securitisation transactions; the management of the portfolio underlying these transactions is instead overseen by the Guarantee Management Function.



In particular, for performing loan securitisations, the Guarantee Management function, within the Credit Portfolio Governance structure, is responsible for managing aspects and obligations associated with servicing activities and for monitoring the performance of existing transactions through monthly and quarterly reports on collections of residual principal, positions in arrears and disputed positions arising from securitisation transactions. This same Function prepares the summary statements containing the data of the portfolio sold and, as part of critical situation management, it reports cases that may pose potential risks for note-holders to the relevant functions in the organisation.

For securitisations of non-performing loans, the servicing and debt collection performance control services are handled by market operators outside the Group.

Existing traditional securitisations, as they are carried out with consolidated SPVs, are described in paragraph “C.6 Prudential consolidation - Consolidated securitisation SPVs”.

Synthetic securitisation transactions

The main objective of a synthetic securitisation is to free up regulatory and economic capital by reducing the credit risk of the portfolio underlying the transaction (Significant Risk Transfer). In general, it is envisaged, through the stipulation of guarantee contracts, the purchase of protection of the credit risk underlying a loan portfolio, of which the Originator retains full ownership.

Synthetic securitisations are therefore aimed at transferring the credit risk from the *Originator* to an external counterparty. This transfer does not entail the derecognition of assets and, therefore, assets remain in the Originator's financial statements. The reference legislation for these transactions is Regulation (EU) 575/2013 (Capital Requirements Regulation, “CRR”); it establishes, in art. 245, the conditions under which the *Significant Risk Transfer* (SRT) criterion is met, i.e. the significant transfer of risk to third parties, for prudential purposes, through real or personal credit protection. In particular, the SRT must be constantly monitored during the life of the transaction, in order to verify that the criteria envisaged by the regulations are respected.

Also in accordance with regulatory requirements (art. 405 CRR), the Originator must retain a portion of the net economic interest equal to at least 5% of the nominal value of the securitised portfolio. This means – within the transaction structure chosen by the Group – that at least 5% of each securitised loan is considered unsecured.

The transaction is structured with a tranching (normally Junior-J, Mezzanine-M and Senior-S tranches) that is a function of the riskiness of the portfolio.

In December 2020, the Group has carried out two synthetic securitisation transactions named “Siena 2020-FEI transaction” and “Siena 2020-RegCap-1” and two synthetic securitisation transactions in July 2021, named “Siena 2021 - RegCap-1” and “Siena 2021 - RegCap-Specialised Lending”.

The following tables show the characteristics of the synthetic securitisation transactions carried out by the Group and outstanding as at 31 December 2022.



Securitisation name	Securitisation Siena 2020 – FEI Transaction			Securitisation Siena 2020-RegCap-1	
1. Transaction characteristics					
Type of operation	Synthetic securitisation			Synthetic securitisation	
Originator/Service/Arranger/ Calculation agent	Banca Monte dei Paschi di Siena S.p.a.			Banca Monte dei Paschi di Siena S.p.a.	
Purpose of the operation	Credit risk hedging			Credit risk hedging	
Guarantee Provider	European Investment Fund “EIF”			Private Investor	
Type of securitised assets	Loans to SMEs			Loans to Corporate and SMEs	
Quality of securitised assets	performing			performing	
Closing date	18/12/20			18/12/20	
Portfolio nominal value	1,564,825,141.04			1,858,581,288.77	
Retention rate (%)	5% of securitised loans			5% of securitised loans	
Guarantees received	Personal unfunded guarantee			Guarantee in the form of pledge on a term deposit	
Legal expiring date	31/01/2041			31/12/2046	
Early termination clauses	Regulatory Event, Time Call, Clean-up Call, Tax Event			Regulatory Event, Time Call, Clean-up Call, Tax Event	
Rating Agency	None			None	
2. Tranching value and conditions					
	Senior	Mezzanine	Junior	Senior	Junior
- Guaranteed portfolio at the closing date	1,389,955,931.53	55,746,895.65	40,881,056.81	1,642,052,224.33	123,600,000.00
- % of the portfolio guaranteed	93.50%	3.75%	2.75%	93.00%	7.00%
- Total guaranteed	-	55,746,895.65	15,410,428.41	-	122,202,327.55
- Not guaranteed portfolio at the reporting date	591,894,270.80	-	8,704,327.51	604,157,951.44	-
Breakdown of the securitised asset by geographical area					
- North Italy	53.59%			53.51%	
- Center	16.15%			31.28%	
- South and Islands	30.26%			15.22%	
Total	100.00%	0.00%	0.00%	100.00%	0.00%
Major clients of securitised portfolio					
- Corporate				63.55%	
- SME	100.00%			36.45%	
- OTHER					
Total	100.00%	0.00%	0.00%	100.00%	0.00%

Nome cartolarizzazione	Securitisation Siena 2021-RegCap-1			Securitisation Siena 2021-Specialised Lending		
1. Transaction characteristics						
Type of operation	Synthetic securitisation			Synthetic securitisation		
Originator/Service/ Arranger/Calculation agent	Banca Monte dei Paschi di Siena S.p.A.			MPS Capital Services Banca per le Imprese S.p.A.		
Purpose of the operation	Credit risk hedging			Credit risk hedging		
Guarantee Provider	Private Investor			Private Investor		
Type of securitised assets	Loans to Corporate and SMEs			Loans to Corporate		
Quality of securitised assets	performing			performing		
Closing date	23/07/21			23/07/21		
Portfolio nominal value	755,386,943.72			817,087,257.14		
Retention rate (%)	5% of securitised loans			5% of securitised loans		
Guarantees received	Guarantee in the form of pledge on a term deposit			Guarantee in the form of pledge on a term deposit		
Legal expiring date	31/12/2040			31/12/2036		
Early termination clauses	Regulatory Event, Time Call, Clean-up Call, Tax Event			Regulatory Event, Time Call, Clean-up Call, Tax Event		
Rating Agency	None			None		
2. Tranching value and conditions						
	Senior	Mezzanine	Junior	Senior	Mezzanine	Junior
- Guaranteed portfolio at the closing date	650,161,596.53	51,310,000.00	16,146,000.00	577,618,564.75	37,819,037.11	72,201,071.68
- % of the portfolio guaranteed	90.60%	7.15%	2.25%	84.00%	5.50%	10.50%
- Total guaranteed	-	51,310,000.00	-	-	29,224,232.45	55,792,560.12
- Not guaranteed portfolio at the reporting date	461,682,282.78	-	11,465,619.61	446,348,201.62	-	-
Breakdown of the securitised asset by geographical area						
- North Italy	35.08%			60.74%		
- Center	34.89%			24.98%		
- South and Islands	30.03%			14.27%		
Total	100.00%	0.00%	0.00%	100.00%	0.00%	0.00%
Major clients of securitised portfolio						
- Corporate	13.81%			33.71%		
- SME	86.19%					
- OTHER				66.29%		
Total	100.00%	0.00%	0.00%	100.00%	0.00%	0.00%

It should be noted, with reference to “Siena 2020 – FEI transaction”, that the transaction was carried out by participating in the “SME Initiative Italy” launched by the European Investment Fund (EIF). Given an initiative co-financed by the European Union, with the contribution of various Member States and by the EIF itself, its objective is to allow member banks to reduce RWAs generated by the portfolio and, at the same time, provide support to companies located in eight Mezzogiorno regions, in Southern Italy (Abruzzo, Basilicata, Calabria, Campania, Molise, Puglia, Sardinia and Sicily), through the disbursement of loans under subsidised financial terms, giving them a benefit in terms of lower remuneration. The Group has therefore committed to disburse a total



amount of approximately EUR 450 mln over a period of three years, between 2021 and 2023, to support projects in tangible and intangible investments and in the working capital of small and medium-sized companies located in the above-mentioned territories. As of the date of preparation of these Financial Statements, the above-mentioned target has not yet been achieved, the disbursement of these loans will therefore continue throughout the 2023 financial year.

For the duration of each transaction, the Significant Risk Transfer (SRT) must be constantly monitored in order to verify that the CRR criteria regarding the actual transfer of credit risk are met. For the purposes of calculating capital requirements, as at 31 December 2022, the Group recognises significant risk transfer on all transactions except Siena 2020 - FEI Transaction.

Each transaction is also monitored by the relevant functions with regard to its economic value to the Group. If any critical issues or significant changes to the forecasts are found, Senior Management will be informed. In this regard, it should be noted that early termination clauses have been formalised in the contracts, such as “time call”, “clean up call” and others that may be applied in the event of significant changes in regulatory and/or legislative provisions.

Lastly, as regards the accounting treatment, it should be noted that the aforementioned transactions were classified as financial guarantees; please refer to paragraph “Other significant accounting treatments - Purchase of protection from credit risk through financial guarantee contracts” of Part A of these Notes to the Consolidated Financial Statements. It should also be noted that the premium paid by the Group to the Investor for credit risk protection is recognised in the Income Statement under fee and commission expense. The enforcement of the financial guarantee received by the Investor upon the occurrence of contractually agreed conditions (known as credit event) relating to the securitised loans contributes to the overall determination of the Income Statement item “Net impairment (losses)/reversals for credit risk”.

Quantitative Information

C.1 Banking Group - Exposures arising from major own securitisation transactions broken down by type of securitised assets and type of exposure

Quality of underlying assets/Exposures	Balance-sheet exposure						Guarantee issued						Lines of credit					
	Senior		Mezzanine		Junior		Senior		Mezzanine		Junior		Senior		Mezzanine		Junior	
	Book Value	Impairment (losses)/reversals	Book Value	Impairment (losses)/reversals	Book Value	Impairment (losses)/reversals	Net exposure	Impairment (losses)/reversals	Net exposure	Impairment (losses)/reversals	Net exposure	Impairment (losses)/reversals	Net exposure	Impairment (losses)/reversals	Net exposure	Impairment (losses)/reversals	Net exposure	Impairment (losses)/reversals
A. Fully derecognised	1,258,608	(798)	34,053	(6,928)	23,501	(801)	-	-	-	-	-	-	-	-	-	-	-	-
Non-performing loans	1,258,608	(798)	34,053	(6,928)	573	(3,050)	-	-	-	-	-	-	-	-	-	-	-	-
Mortgages Loans	-	-	-	-	422	12	-	-	-	-	-	-	-	-	-	-	-	-
Shipping loans	-	-	-	-	22,506	2,237	-	-	-	-	-	-	-	-	-	-	-	-
B. Partially derecognised	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
C. Not derecognised	2,104,083	-	815,932	-	77,307	-	-	-	-	-	-	-	-	-	-	-	-	-
Residential mortgages	-	-	815,932	-	57,137	-	-	-	-	-	-	-	-	-	-	-	-	-
SME and Corporate Mortgages (synthetic securitisation)	2,104,083	-	-	-	20,170	-	-	-	-	-	-	-	-	-	-	-	-	-
Total	3,362,691	(798)	849,985	(6,928)	100,808	(801)	-	-	-	-	-	-	-	-	-	-	-	-
<i>of which non-performing</i>	1,258,608	(798)	64,518	(6,928)	13,978	(1,658)	-	-	-	-	-	-	-	-	-	-	-	-
<i>Others</i>	2,104,083	-	785,467	-	86,830	857	-	-	-	-	-	-	-	-	-	-	-	-

In relation to securitisation transactions with own underlying assets, the table indicates balance sheet exposures, unsecured exposures, and other forms of credit enhancement.

The table above shows, for synthetic securitisations, the amount of risk retained in transactions not derecognised from the Financial Statements.



C.2 Prudential consolidation - Exposures arising from major ‘third-party’ securitisation transactions broken down by type of securitised asset and type of exposure

31.12.2022

Quality of underlying assets/Exposures	Balance-sheet exposure						Guarantee issued						Lines of credit					
	Senior		Mezzanine		Junior		Senior		Mezzanine		Junior		Senior		Mezzanine		Junior	
	Book Value	Impairment (losses)/reversals	Book Value	Impairment (losses)/reversals	Book Value	Impairment (losses)/reversals	Net exposure	Impairment (losses)/reversals	Net exposure	Impairment (losses)/reversals	Net exposure	Impairment (losses)/reversals	Net exposure	Impairment (losses)/reversals	Net exposure	Impairment (losses)/reversals	Net exposure	Impairment (losses)/reversals
Auto Leases/IT	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other assets	5,238	(235)	3,848	(142)	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Bonds	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Credit	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Consumer credit	20,211	(173)	23,516	(837)	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Non-performing loans	30,883	(1,258)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Equipment Leases/IT	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Shipping loans	-	-	-	-	28,203	3,103	-	-	-	-	-	-	-	-	-	-	-	-
Leasing	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Commercial Mortgages	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
First mortgages real estate loans	-	-	-	-	567	(6)	-	-	-	-	-	-	-	-	-	-	-	-
Residential mortgages	43,611	(478)	11,555	(635)	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Non residential mortgages	27,835	(1,095)	17,067	(594)	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Loans to SME	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total	127,778	(3,239)	55,986	(2,208)	28,770	3,097	-	-	-	-	-	-	-	-	-	-	-	-

The table provides the exposures taken by the Group for each third-party securitisation transaction as well as reporting the contractual type of assets sold. The column “Write-downs/write-backs” indicates the amount of any write-downs or write-backs during the year as well as depreciations and revaluations posted to the income statement or directly to equity reserves, in the case of securities in the portfolio “Financial assets measured at fair value through other comprehensive income”.



C.3 Prudential consolidation - Stakes in securitisation special purpose vehicles

Securitisation/Vehicle company name	Registered office	Consolidation	Assets			Liabilities		
			Credit	Debt securities	Others	Senior	Mezzanine	Junior
2017 Popolare Bari RMBS S.r.l.	Via V.Alfieri, 1 Conegliano (TV)	NO	327,526		6,555	146,548	58,264	92,516
Arrow CMBS 2018 - 1	3 George's Dock IFSC Dublin 1	NO	254,225			151,668	115,165	-
Aurum CLO VIII	32 Molesworth Street, Dublin 2, Ireland	NO	1,193,000			818,400	343,200	31,400
Aurorus 2020 BV	Prins Bernhardplein 200, Amsterdam (1097 MG)	NO	312,898		2,748	221	124	-
AutoFlorence 1 S.r.l.	Via V.Alfieri, 1 Conegliano (TV)	NO	252,944			215,003	29,089	8,853
AutoFlorence 2 Srl	Via V.Alfieri, 1 Conegliano (TV)	NO	772,800			676,196	81,143	15,456
Autonoria 2019	1 Boulevard Haussmann, 75009 Paris	NO	242,120		4,251	171,905	58,109	12,106
Belvedere SPV	Via Vittorio Bettoni 2, Milano	NO	2,201,269		9,666	223,880	70,000	95,000
Berg Finance 2021 Designated Activity Company	5th Floor, 125 Old Broad St., London EC2N 1AR	NO	90,587		3,583	45,962	35,091	8,363
Berica ABS 3 S.r.l.	Via Battagione Framarin, 18 Vicenza	NO	219,017		9,293	25,993	115,012	
BlackRock European Clo	3rd Floor Kilmore House, Park Lane, Spencer Dock, Dublin 1, Ireland	NO	272,937			239,000	137	33,800
Brignole CO 2021-1 S.r.l.	Piazza Lina Bo Bardi 3, 20124 Milano	NO	268,833	2,728		237,000	42,100	20
Bruegel 2021 DAC-Anleihe	5th Floor, The Exchange, George's Dock, Dublin 1, Ireland	NO	209,144			135,620	78,298	
Cartesian Residential Mortgages 5 SA	6, Rue Eugène Ruppert, Luxembourg (L-2453)	NO	261,952		4,213	235,570	93,150	15,050
Cassia Spv S.r.l.	Via Piemonte, 38 Roma	NO	236,362		12,386	152,300	34,544	46,898
Cvitas SPV S.r.l.	Via Senatore Guglielmo Pelizzo 8-1, 33043 Cividale del Friuli	NO	186,416		16,096	11,731		
Cordusio RMBS Securitisation	Piazzetta Monte, 1 Verona	NO	357,079			818,452	236,400	
Deco 2019 - Vivaldi S.r.l.	Via Vittorio Bettoni 2, Milano	NO	222,230			122,000	81,000	19,230
Delft 2020 BV	Prins Bernhardplein 200, Amsterdam (1097 MG)	NO	157,365		1,969	98,426	54,200	3,500
Dilosk RMBS No. 4 DAC	Winchester House, 1 Great Winchester St, London EC2N 2DB	NO	279,481		3,511	226,073	49,920	13,455
Domini 2020-2 BV	Stadpleateau 10, 3521 AZ Utrecht, Paesi Bassi	NO	140,683			109,643	31,040	7,247
Dominvest B.V.	Overschiestraat 63, 1062 XD Amsterdam	NO	311,949			277,049	34,900	9,761
Dutch Property Finance 2020-2 BV	125 Old Broad Street, London EC2N 1AR	NO	241,222		6,500	185,157	46,311	16,254
Dutch Property Finance 2021-1 B.V.-Anleihe	5th Floor, 125 Old Broad St., London EC2N 1AR	NO	426,075		10,455	343,999	66,390	26,142
Dutch Property Finance 2021-2 BV	125 Old Broad Street, London EC2N 1AR	NO	428,589		9,500	352,588	61,749	23,853
Dutch Property Finance 2022-2 BV	125 Old Broad Street, London EC2N 1AR	NO	475,733			365,625	84,375	24,850
E-Carat 10	1 Boulevard Haussmann, 75009 Paris	NO	149,342			144,892	17,008	19,486
Erdano II SPV	Via V.Alfieri, 1 Conegliano (TV)	NO	200,468			157,152	25,400	83,520
Erema S.r.l.	Via V.Alfieri, 1 Conegliano (TV)	NO	213,400			152,162	45,451	15,790
European Residential Loan Securitisation 2019 - NPL1 DAC	125 Old Broad Street, London EC2N 1AR	NO	434,495		16,195	190,077	102,579	151,587
Finance Ireland RMBS No.3	1-2 Victoria Buildings Haddington Road, Dublin 4, Ireland	NO	257,373		340	208,267	49,089	25
Fino 1 Securitisation S.r.l.	Viale Luigi Majno, 45 Milano	NO	240,635		20,704	141,388	69,640	50,311
Fortuna Consumer Loan ABS 2022 -1 DAC	2nd floor Palmerston House, Denzille Lane, Dublin 2	NO	161,666		1,131	85,519	62,991	13,279
Fit Santander Consumer Spain Auto 2020-1	c/Juan Ignacio Luca De Tena 13, 28027 Madrid	NO	249,021		3,001	215,049	33,452	520
Futura 2019	Via San Prospero 4, Milano	NO	153,795		4,896	95,013	37,000	8,000
Gelesco Trade Receivables 2020-1 DAC	C/Principe de Vergara, 131 planta 3ª, 28002 Madrid	NO	267,343			208,188	60,000	15,000
Glenbeigh 2 Issuer 2021-2 DAC	Canada Square, Canary Wharf London, E14 5LB	NO	559,758		10,195	375,126	155,560	1,010
Harmony French Home	3, Rue d'Antin, 75002 Parigi	NO	483,931			384,332	93,800	25
Last Mile Logistics Pan Euro Finance DAC	5th Floor, 125 Old Broad St., London EC2N 1AR	NO	484,702		11,946	239,327	254,561	20
Miravet S.r.l.	Rue Eugène Ruppert 6, L-2453 Luxembourg	NO	273,083		14,183	160,996	64,790	55,144
Noria 2021	1 Boulevard Haussmann, 75009 Paris	NO	690,589		6,438	497,224	162,288	31,077
Norma Spv S.r.l.	Via V.Alfieri, 1 Conegliano (TV)	NO	81,851			6,639		75,212
Pearl Finance 2020	3, Rue d'Antin, 75002 Parigi	NO	318,600			158,500	128,100	32,000
Pelmo S.r.l.	Via V.Alfieri, 1 Conegliano (TV)	NO	156,984			134,942	17,439	10,500
Pietra Nera Uno S.r.l.	Via V.Alfieri, 1 Conegliano (TV)	NO	389,147		4,173	202,375	167,296	19,476
Pixel 2021	9, rue du Débarcadère, 93500 Pantin, France	NO	500,000		4,730	380,000	108,700	11,300
Primrose Residential 2021-1	5th Floor, 125 Old Broad St., London EC2N 1AR	NO	743,845		11,216	553,564	211,100	4,000
Primrose Residential 2022-1	5th Floor, 125 Old Broad St., London EC2N 1AR	NO	353,531		5,165	255,931	105,800	4,000
Progetto Quinto S.r.l.	Via V.Alfieri, 1 Conegliano (TV)	NO	241,833			204,117		53,071
Quarzo Srl	Corso di Porta Romana, 61 Milano	NO	599,808		2,112	528,000	72,000	
Red & Black Auto Italy Srl	Via V.Alfieri, 1 Conegliano (TV)	NO	567,702			538,854	55,000	5,000
Sabadell Consumo 1 Fondo de Titulización	C/Lagasca 120, 28006 Madrid	NO	185,065		4,490	168,835	25,369	13,556
Sestante Finance 1 S.r.l.	Via M. Carucci 131, Roma	NO	71,600		7,403	20,966	40,080	20,997
Sestante Finance 2 S.r.l.	Via M. Carucci 131, Roma	NO	129,940			30,022	50,496	6,253
Sestante Finance 3 S.r.l.	Via M. Carucci 131, Roma	NO	221,059			93,504	89,502	8,610
Sharmrock Residential 2021-1 DAC	5th Floor, 125 Old Broad St., London EC2N 1AR	NO	384,845		5,015	249,157	100,800	28,200
Siena Mortgages 10-7 S.r.l.	Via V.Alfieri, 1 Conegliano (TV)	YES	872,975		55,806	54,044	817,600	57,137
Siena Npl 2018 S.r.l.	Via Piemonte, 38 Roma	NO	2,933,262			1,254,402	883,284	795,576
Tagus Sociedade de Titulizacao de Creditos S.A.	Rua Castilho, 20 Lisboa	NO	474,005		4,766	397,979	150	5,000
Totale			24,388,089	2,728	294,631	14,872,553	6,006,036	2,098,435

Liabilities of third-party securitisation transactions do not have the remaining items different from the financial instruments issued, including cumulative profit (loss) for the year.

**C.4 Prudential consolidation - Non-consolidated securitisation special purpose vehicles**

The table shows the interests held by the Group in non-consolidated securitisation special purpose vehicles used for transactions in which the Group is an originator or investor; it also shows the assets, liabilities and any off-balance sheet exposures, non-revocable credit lines and financial guarantees (in the column “Difference between exposure to risk of loss and carrying amount”).

31 12 2022

Balance-sheet item/Type of structured entity	Accounting Portfolio Assets				Total Assets (A)	Accounting Portfolio Liabilities		Total Liabilities (B)	Net Book Value (C=A-B)	Maximum exposure to loss (D)	Difference between exposure to loss and book value (E=D-C)
	Financial assets held for trading	Financial assets mandatorily measured at fair value through profit or loss	Financial assets measured at amortised cost	Financial assets measured at fair value through other comprehensive income		Financial liabilities held for trading	Financial liabilities measured at amortised cost				
Own Securitisation vehicle (Originator)	-	86,168	1,254,402	-	1,340,570	-	17	17	1,340,553	1,340,553	-
ABS issuing vehicle company (Investor)	166,080	-	2,450	15,234	183,763	-	-	-	183,763	183,763	-
Total	166,080	86,168	1,256,852	15,234	1,524,334	-	17	17	1,524,316	1,524,316	-

In the capacity as Investor, it should be noted that the Group (mainly the subsidiary MPS Capital Services S.p.A.) holds an investment in securitisation vehicles of the Italian banking system of performing and non-performing residential mortgages as well as those in vehicles with underlying consumer loans.

The interests held by the Parent Company and by the subsidiary MPS Capital Services S.p.A., as originator, relate to the following vehicles:

Norma SPV: on 1 July 2017, as part of a securitisation of non-performing loans, also originated by banks outside the Group, Banca MPS and MPS Capital Services completed the sale of a portfolio of non-performing loans issued in the real estate and shipping sectors, consisting of 19 loans for a total of EUR 284.9 mln, of which: (i) 12 loans disbursed by the Parent Company for EUR 24.0 mln in the real estate sector and EUR 145.3 mln in the shipping sector and (ii) 7 loans disbursed by the subsidiary MPS Capital Services for EUR 28.8 mln in the real estate sector and EUR 86.8 mln in the shipping sector.

To fund the acquisition of this portfolio, on 21 July 2017 the Vehicle issued Class A1, B, C and D ABS securities (the “securities”) for the real estate sector and Class A1, B, C1, C2 and D ABS securities for the shipping sector. The senior classes of both sectors were placed with institutional investors, while the mezzanine and junior classes were subscribed by each transferring bank in proportion with the transferred loans. In particular, the MPS Group subscribed the following classes:

- *Real Estate:* Class B for a nominal amount of EUR 31.2 mln; Class C for a nominal amount of EUR 4.2 mln; Class D for a nominal amount of EUR 15.8 mln.
- *Shipping:* Class B for a nominal amount of EUR 75.5 mln; Class C1 for a nominal amount of EUR 32.7 mln; Class C2 for a nominal amount of EUR 10.4 mln; Class D for a nominal amount of EUR 105.6 mln.

During the first quarter of 2020, the Group carried out the derecognition of the loans underlying the securitization; in fact, following the approval of the RBD Armatori S.p.A. composition with creditors, there are no risks and benefits associated with the ownership of the loan. As at 31 December 2022, the nominal value of the classes subscribed by the MPS Group is as follows:

- *Real Estate:* Class B EUR 10.6 mln; Class C EUR 4.2 mln; Class D EUR 15.8 mln.
- *Shipping:* Class B EUR 81.3 mln; Class C1 EUR 35.2 mln; Class C2 EUR 11.2 mln; Class D EUR 113.8 mln.

Siena NPL 2018 S.r.l.: in 2017, the Parent Company, together with other Group entities, completed a securitisation transaction on a portfolio of bad loans. The portfolio was sold on 20 December 2017 to the vehicle Siena NPL 2018 S.r.l., established for this purpose. The SPV financed the purchase of the portfolio through the issue of asset-backed securities with limited recourse of the Senior A1, Senior A2, Mezzanine and Junior class, centralized in dematerialized form at Monte Titoli S.p.A. and initially not listed on any regulated market in Italy and/or abroad.

On 9 January 2018, the transfer of 95% of the mezzanine notes to Quaestio Capital SGR on behalf of the Italian Recovery Fund (formerly Fondo Atlante II) was completed. In May 2018, at the end of the rating assignment process, the senior notes



were restructured into a single class, obtaining an investment grade rating from the 3 ratings agencies involved. The securities issued by the special purpose vehicle following the restructuring are therefore the following:

- (i) Senior A notes for EUR 2,918 mln, initial rating A3/BBB+/BBB (Moody's/Scope Ratings/DBRS). The outstanding amount as at 31 December 2022 was EUR 1,253 mln. The rating as at 31 December 2022 is Baa2/BBB+/BB high (Moody's/Scope Ratings/DBRS);
- (ii) Mezzanine B notes for EUR 848 mln, without rating and sold to the Italian Recovery Fund, for a portion of 95% of the issue. The outstanding amount as at 31 December 2022, also due to the capitalisation of the interest (payment-in-kind), was about EUR 883 mln;
- (iii) *Junior notes for EUR 565 mln, without rating.*

In June 2018, the sale of 95% of the junior notes made it possible to achieve, in addition to the sale of the mezzanine notes, the deconsolidation of the entire securitised portfolio. The remaining 5% of the junior and mezzanine notes was retained for the purpose of compliance with the "retention rule".

Lastly, in July 2018, the MEF granted, with a decree, the government guarantee (GACS) on the senior tranche of the securitisation. Obtainment of the GACS completed the entire securitisation process.

C.5 Prudential consolidation - Servicer activities - own securitisations: collections of securitised loans and redemptions of securities issued by the securitisation special purpose vehicle

As at 31 December 2022, the Group does not carry out servicer activities in its own securitisation transactions in which the assets sold have been derecognised in the Financial Statements pursuant to IFRS 9.

C.6 Prudential consolidation - Consolidated securitisation special purpose vehicles

The Group carried out securitisation transactions chiefly to optimise its liquidity profile; besides placing the available securities on the market, they were used to perform refinancing transactions with the ECB and repurchase agreements with the market.

The paragraphs below describe the characteristics of the Group's securitisation transaction originated in previous financial years and ongoing as at 31 December 2022 for which issued securities are, at least in part, placed on the market, as well as the information on the nature of the risks associated with the interests in consolidated securitisation special purpose vehicles.

In view of these transaction, the Parent Company allocated reserves in support of the special purpose vehicles, should such funds be needed upon occurrence of certain events. As at 31 December 2022, these reserves amounted to EUR 104.4 mln.

Own securitisations without derecognition of the underlying assets

The "own" securitisation transaction without derecognition, outstanding at the reporting date of these Financial Statements, is Siena Mortgages 10-7. The Board of Directors of the Parent Company has authorised, in February 2023, its early closing with the consequent repurchase of the residual portfolio.

Siena Mortgages 10-7 S.r.l.

On 30 September 2010, a portfolio of 34,971 performing residential mortgages originated by the Parent Company was sold for the securitisation transaction to the vehicle Siena Mortgages 10-7 S.r.l., for approx. EUR 3,479.5 mln. As at 31 December 2022, the residual debt (gross exposure in the Financial Statements) of the portfolio amounted to EUR 911.1 mln (13,249 outstanding mortgages).

To finance the acquisition of this portfolio, the Vehicle issued ABS notes in the classes hereinafter indicated (in parenthesis the rating attributed by the Fitch and DBRS agencies as at 31 December 2022):

- (i) Class A1 notes for a nominal amount of EUR 595.0 mln, repaid in full;
- (ii) Class A2 notes for a nominal amount of EUR 400.0 mln, redeemed in full;
- (iii) Class A3 notes (AA/Aa3) for a nominal amount of EUR 1,666.90 mln, of which EUR 1,612.8 mln were redeemed;
- (iv) Class B notes (NR/A1) for a nominal amount of EUR 817.6 mln;
- (v) Class C notes (NR/NR) for a nominal amount of EUR 106.6 mln, repaid for EUR 49.5 mln.



A cash reserve of EUR 104.4 mln was established through the issue of Class C notes, the amount of which is equal to the target value as at 31 December 2022, i.e. EUR 104.4 mln.

Class A1 and A2 notes - now fully repaid - were sold on the market, whereas the remaining classes of notes issued were initially underwritten by the Bank; subsequently, this sold on the market also the Class A3 notes (as at 31 December 2022, a minimum share of the class A3 notes was repurchased on the market by the subsidiary MPS Capital Services). Market placement of these classes did not entail the derecognition of the underlying assets from the balance sheet of the Parent Company (transferor), which has substantially retained all risks and rewards associated with the ownership of the assets sold.

For the securitisation specified above, during the financial period under review the Parent Company and its subsidiaries have not provided any financial or other support without being obliged under the contract. There are also no cases of financial or other support to a previously non-consolidated structured entity as a result of which the structured entity was controlled by the Group.

The Group does not intend to provide financial or other support to consolidated securitisation special purpose vehicles, nor to assist entities in obtaining financial support.

D. Transfers

A. Financial assets sold and not fully derecognised

Qualitative Information

As at 31 December 2022, the Group had no outstanding multi-originator transfers of loan portfolios to mutual funds with allocation of the relevant units to the transferor intermediaries that did not result in the derecognition of the transferred loans in accordance with IFRS 9 (“derecognition”). It should also be noted that the transfers for which the Group has not fully derecognised its loans refer exclusively to securitisation transactions, for the qualitative details of which please refer to “Section C - Securitisation Transactions” of this Part E of the Notes to the Financial Statements.



Quantitative Information

D.1 Prudential consolidation - Financial assets sold and fully recognised and associated financial liabilities: book values

	Financial assets sold and fully recognised				Associated financial liabilities		
	Book value	of which: subject to securitization transactions	of which: subject to repurchase agreement	of which: non- performing	Book value	of which: subject to securitization transactions	of which: subject to repurchase agreement
Financial assets held for trading	23,523	-	23,523	X	23,120	-	23,120
1. Debt securities	22,254	-	22,254	X	21,816	-	21,816
2. Equity instruments	1,269	-	1,269	X	1,304	-	1,304
3. Loans	-	-	-	X	-	-	-
4. Derivatives	-	-	-	X	-	-	-
Financial assets mandatorily measured at fair value	10	10	-	-	-	-	-
1. Debt securities	-	-	-	-	-	-	-
2. Equity instruments	-	-	-	X	-	-	-
3. Loans	10	10	-	-	-	-	-
Financial assets designated at fair value	-	-	-	-	-	-	-
1. Debt securities	-	-	-	-	-	-	-
2. Loans	-	-	-	-	-	-	-
Financial assets measured at fair value through other comprehensive income	154,839	-	154,839	-	226,313	-	226,313
1. Debt securities	154,839	-	154,839	-	226,313	-	226,313
2. Equity instruments	-	-	-	X	-	-	-
3. Loans	-	-	-	-	-	-	-
Financial assets measured at amortised cost	1,111,910	872,965	238,945	32,599	308,030	52,683	255,347
1. Debt securities	238,945	-	238,945	-	255,347	-	255,347
2. Loans	872,965	872,965	-	32,599	52,683	52,683	-
Total 31 12 2022	1,290,282	872,975	417,307	32,599	557,463	52,683	504,780
Total 31 12 2021	5,340,287	1,894,689	3,445,599	58,441	3,458,378	225,204	3,233,174

D.2 Prudential consolidation - Financial assets sold and partially recognised and associated financial liabilities: book values

This table was not created as the Group did not have any financial assets sold and partially recognised in the current financial year or previous financial year.

D.3. Prudential consolidation - Transfers relating to financial liabilities with repayment exclusively based on assets sold and not fully derecognised: fair value

	Fully recognised	Partially recognised	Total	
			31 12 2022	31 12 2021
Financial assets held for trading	-	-	-	-
1. Debt securities	-	-	-	-
2. Equity instruments	-	-	-	-
3. Loans	-	-	-	-
4. Derivatives	-	-	-	-
Financial assets mandatorily measured at fair value	10	-	10	12
1. Debt securities	-	-	-	-
2. Equity instruments	-	-	-	-
3. Loans	10	-	10	12
Financial assets designated at fair value	-	-	-	-
1. Debt securities	-	-	-	-
2. Loans	-	-	-	-
Financial assets measured at fair value through other comprehensive income	-	-	-	-
1. Debt securities	-	-	-	-
2. Equity instruments	-	-	-	-
3. Loans	-	-	-	-
Financial assets measured at amortised cost	891,756	-	891,756	2,016,578
1. Debt securities	-	-	-	-
2. Loans	891,756	-	891,756	2,016,578
Total financial assets	891,766	-	891,766	2,016,590
Total financial associated liabilities	52,683	-	52,683	225,204
Net value 31 12 2022	839,083	-	839,083	X
Net value 31 12 2021	1,791,386	-	X	1,791,386

Note that all amounts reported in the item “Financial assets measured at amortised cost - Loans” refer exclusively to the fair value of loans sold with own securitisations without derecognition, which continue to be fully recognised in the Group’s balance sheet assets. The amount of EUR 52.7 mln reported in the associated liabilities refers to the fair value of the portion of senior notes sold to market counterparties as part of the same securitisations. The Group recognised a liability with the notes-issuing vehicles as an offsetting entry for the cash flows arising from these disposals. Against this liability, the creditor’s entitlement to repayment is limited to the cash flows from the assets underlying the senior notes sold.



B. Financial assets sold and fully derecognised with assessment of continuing involvement

Qualitative Information

Quantitative Information

None to report as at 31 December 2022.

C. Financial assets sold and fully derecognised

Following are multi-originator transfers, regarding loan portfolios, to a mutual investment fund with the attribution of the related units to the transferor intermediaries. The transactions outlined below led to the derecognition of the receivables sold pursuant to IFRS 9 (“derecognition”), as the Group did not substantially retain the risks and rewards of the transferred assets and also did not retain any substantial control over these assets, which were instead assumed by the fund management company (hereinafter also SGR). In particular, the risks and benefits that the Group could achieve from the units held in exchange for the contribution of receivables, are not anchored in the an, nor the *quantum* or the timing, to events affecting the assigned loans, given that the economic and financial trends related to individual receivables will not automatically and directly affect the returns of individual shareholders, which will instead depend on the general performance of the fund managed by the SGR.

Qualitative and quantitative Information

Efesto Fund

In November 2020, the MPS Group finalised a sale of a multi-originator type of a portfolio of loans classified as “unlikely to pay”, issued to industrial and service companies located in Italy and with an average turnover of EUR 20 mln in the last 3 years, to a Fund - managed by Finanziaria Internazionale Investments S.G.R. S.p.A. The price settlement was determined by netting the loan owed by the Fund with the concurrent underwriting of freed up units of the Fund.

As at the sale date, the portfolio consisted of loans payable to the MPS Group and other banking groups by 51 target companies (for the MPS Group, 11 debtors) for a total gross exposure of EUR 432.5 mln (for the MPS Group, EUR 126.2 mln - of which 57% secured - for EUR 66.7 mln referring to the Parent Company and EUR 59.5 mln to the subsidiary MPS Capital Services S.p.A.) at a total price of EUR 197.2 mln (for the MPS Group, about EUR 55.8 mln). The net book value of the loans as at the sale date for the MPS Group was EUR 53.3 mln.

As at 31 December 2020, the sold loans were fully derecognised from the assets in the financial statements of the Group, and units in the amount of EUR 50.9 mln, of which EUR 28.3 mln by the Parent Company and EUR 22.6 mln by the subsidiary MPS Capital Services S.p.A., were recognised, equal to an interest in the fund of approx. 28.3%.

As at 31 December 2022, the Group held 12.0% of the Fund’s units (13.14% as at 31 December 2021) for a book value of EUR 32.9 mln (EUR 35.6 mln as at 31 December 2021). The reduction in percentage equity investment is mainly due to new contributions made to the Fund by unit holders other than the Group.

For more information on the criteria for determining the units fair value, please refer to Part A of these Notes to the consolidated financial statements.

Back2Bonis Fund

On 27 December 2019, the MPS Group, UBI Banca and Banco BPM finalised with AMCO and the Prelios Group a transaction named Cuvée which provided for the creation of a multioriginator platform to manage UTP (Unlikely to pay) loans, from EUR 3 mln to EUR 30 mln, issued to companies of the real estate sector that are in a restructuring phase or in financial difficulties.

In detail, the transaction consisted of the following steps:

- a) sale of all UTP loans by the banks to a securitisation company established pursuant to Italian Law no. 130/1999 (SPV 130), not a subsidiary of AMCO; with the disposal of the loans, each assignor bank acquired a credit from SPV 130 equal to the sale price;
- b) sale by the assignor banks to AMCO of the contractual relationships underlying the loans being sold to the SPV 130, which provide for residual commitments to disburse funds (case not applicable to the first phase for the MPS Group);



- c) contribution/sale to the Fund of the loan owed to the assignor banks by SPV 130 for the sale transaction described in point a). The assignor banks, following the contribution/sale, received from the Fund an amount equal to the sale price;
- d) subsequent issuance by the SPV 130 of untranching notes, fully subscribed by the Fund.

Within the scope of this complex transaction, AMCO took a role as Master and Special Servicer of the securitisation and the Prelios Group the role as Real Estate partner as well as manager of the Fund through Prelios SGR. The partnership enabled to combine financial management skills with specific skills in the real estate sector, creating synergies and greater possibilities for credit collection. Furthermore, the fund is expected to be able to disburse new financing to assist the companies in achieving a turnaround as well as to complete attractive real estate projects.

The first step of this transaction was completed in December 2019 when the positions of 46 debtors were transferred to the Fund (for the MPS Group, 7 debtors) for a total of about EUR 453 mln (of which EUR 111 mln for the MPS Group) at a price of about EUR 242 mln (EUR 43 mln for the MPS Group). The assignor banks received as payment for the sale units of the Fund; the MPS Group totally holds 17.7% of this Fund.

As at 31 December 2019, the sold loans were fully derecognised from the assets in the financial statements of the Group, and units in the amount of EUR 32.3 mln, of which EUR 16.3 mln by the Parent Company and EUR 16.0 mln by the subsidiary MPS Capital Services S.p.A., were recognised.

As of 31 December 2022, the Group held approximately 5.2% of the Fund's units (8.8% as of 31 December 2021) for a book value of EUR 33.2 mln (EUR 35.0 mln as of 31 December 2021). The reduction in percentage equity investment is mainly due to new contributions made to the Fund by unit holders other than the Group. For more information on the criteria for determining the units fair value, please refer to Part A of these Notes to the consolidated financial statements.

Clessidra Fund

In September 2019, the Group finalised a sale of a multi-originator type of a portfolio of loans classified as “unlikely to pay”, issued to industrial and service companies located in Italy and with a turnover not under EUR 50 mln, to a Fund - managed by Clessidra SGR S.p.A. The price settlement was determined by offsetting the loan owed by the Fund with the concurrent underwriting of freed up units of the Fund.

The Fund was established for the purpose of improving the performance for the recovery of the loans acquired, thanks to the value increase of the target companies through:

- inputs of a managerial nature, made possible through the substantial addition of the Fund to the net financial positions of the companies and to any conversion of the acquired loans into equity instrument of the same companies;
- contribution of financial resources aimed at improving the industrial and financial turnaround.

The Fund has issued four categories of units with different economic rights:

- units A reserved to the transferring banks;
- units B and C intended for two categories of institutional investors who contribute a “new finance”;
- units D reserved to the Fund management team.

As at the date of transfer, the portfolio consisted of loans from the MPS Group and other banking groups to 13 target companies (for the MPS Group, 8 debtors) for a total gross exposure of approximately EUR 274 mln (for the MPS Group, approximately EUR 102 mln, of which EUR 91.2 mln relates to the Parent Company and EUR 10.7 mln to the subsidiary MPS Capital Services S.p.A.) at a total price of approximately EUR 196 mln (for the MPS Group, approximately EUR 78 mln for a 39.8% interest in the fund). The net book value of the loans as at the sale date for the MPS Group was about EUR 71 mln.

At the date of sale, the Group, given the high exposure to credit risk with respect to the loans sold, had not carried out the accounting derecognition of the loans sold, thus not recording the UCITS units of the Fund.

As at 31 December 2021, as the conditions preventing derecognition of the underlying loans, the Group proceeded to recognise the receivables sold and to recognise the Fund's units for a book value of EUR 44.6 mln. For more information on the criteria for determining the fair value of the units, please refer to Part A of these Notes to the financial statements.

As at 31 December 2022, the Group held 39.5% of the Fund's units (unchanged from 31 December 2021), with a book value of EUR 45.6 mln (EUR 44.6 mln as at 31 December 2021).



Idea I and Idea II Fund

In 2016 and 2017, the Group carried out two multioriginator sale transactions concerning loan portfolios (with full derecognition in the Financial Statements) to a mutual investment fund, with attribution of the related units to the transferor intermediaries. This refers to a project of Idea Capital Fund S.g.r., a management company that has established two multi-segment mutual investment funds called Fondo Idea CCR I (2016) and Fondo Idea CCR II (2017). These funds are closed-end asset funds reserved to qualified investors and their purpose is to maximise the recovery rate of acquired non-performing loans and of new loans granted through the business and financial restructuring of medium sized companies.

With regard to the Idea CCR I Fund, the Group contributed 6 positions to the fund for a total of EUR 20.0 mln against a total of EUR 217 mln at a price of EUR 14.3 mln. At the date of transfer, the Group wrote off receivables with a net value of EUR 9.2 mln and received 8.1% of the shares of the Idea CCR I Fund as consideration for the transfer.

On the other hand, with regard to the Idea CCR II Fund, the Group contributed 5 positions to the fund for a total of EUR 51.5 mln against a total of EUR 328.9 mln at a price of EUR 32.7 mln. At the date of transfer, the Group wrote off receivables with a net value of EUR 29.8 mln and received 14.1% of the shares of the Idea CCR I Fund as consideration for the transfer.

As at 31 December 2022, the Group holds 6.39% and 6.32% of the units of sub-fund A respectively of the Idea CCR I Fund and the Idea CCR II Fund (unchanged from 31 December 2021). The book value of these shares is respectively EUR 4.4 mln (EUR 4.2 mln as at 31 December 2021) and EUR 14.2 mln (EUR 14.8 mln as at 31 December 2021). For more information on the criteria for determining the units fair value, please refer to Part A of these Notes to the consolidated financial statements.

D Covered bond transactions

Characteristics of the Covered Bond Issuance Programmes

The Group has two Covered Bond Issuance Programmes.

The first Programme, meant for institutional investors, was launched in 2010 for an amount of EUR 10,000 mln. The programme is intended to place a secured product on the market, offering covered bonds as a preferred instrument for financial profile improvement in the mid and long term. In light of the developments in the financial markets, the Programme should be considered as part of a wider strategy, aimed at:

- curbing the costs of funding: covered bonds are widely preferred, inasmuch as they are issued directly by the Bank and their repayment is also guaranteed by a segregated pool of assets (in this case, residential mortgage loans); in the event of issuer bankruptcy, covered bond holders enjoy a right of recourse on a portfolio of segregated high-quality assets and are, therefore, willing to accept a lower yield than the one offered by similar uncovered bonds;
- diversifying the Bank's funding sources on the international market;
- lengthening its average debt maturity profile.

On 26 June 2015, the First Programme's meeting of the covered bond holders approved the proposed amendments in order to:

- amend the Programme, to obtain a rating from DBRS (in addition to Moody's and Fitch) for the covered bonds issued and to be issued as part of the Programme; and
- activate, if specific cases of default take place pursuant to the Programme, a "conditional pass through" type mechanism for the repayment of the bonds issued.

At the time of the annual renewal of the Programme, on 23 December 2017, its maximum amount was increased from EUR 10,000 mln to EUR 20,000 mln.

With a view to strengthen the Group's Counterbalancing Capacity, in 2012 a second Covered Bond Issuance Programme was authorised, collateralised by separate assets consisting of residential and commercial mortgage loans for a maximum of EUR 20,000 mln. The programme is not intended for the market but for instruments eligible as collateral in refinancing transactions through the European Central Bank. The programme, which did not have an explicit rating at its launch, was rated by DBRS in 2013.



The structure of the Group's Covered Bond programmes requires fulfilment of the following activities:

- a) the Parent Company or another Group company transfers, without recourse, a pool of assets, consisting of appropriate assets (real-estate backed, residential and commercial mortgage loans), to the vehicles MPS Covered Bond S.r.l. and MPS Covered Bond 2 S.r.l., thereby forming a segregated cover pool;
- b) the transferor grants a subordinated loan to the vehicle, for the purpose of financing payment of the assets' purchase price by the vehicle;
- c) the Parent Company issues Covered Bonds secured by an autonomous, irrevocable and unconditional first-demand guarantee issued by the vehicle for the only benefit of the bond-holding investors and senior creditors in the Programme (the guarantee involves limited recourse to the assets of the Cover Pool owned by the vehicle, which acts as Guarantor).

Accounting treatment

Pursuant to IFRS 9, the derecognition of a financial instrument from the balance sheet of the transferor is determined on the basis of the substance of the contract, not its legal form. Having said this, the deal is recognised as follows:

- transferred mortgage loans continue to be reported in the Parent Company's balance sheet under item 40b) of assets "Financial assets measured at amortised cost: loans to customers", sub-item "Mortgages", inasmuch as the Parent Company retains the risks and rewards of ownership of the loans transferred;
- the loan disbursed by the Parent Company to the Vehicle is not classified as a separate item in the balance sheet, since it is offset with the amount due to the Vehicle linked to the initial transfer price. The loan, therefore, is not subject to credit risk assessment, because this risk is entirely reflected in the assessment of transferred mortgage loans, which continue to be reported in the Parent Company's financial statements.
- mortgage loans are subject to movements based on own events (figures and assessment); instalments collected by the Parent Company (which also acts as a servicer) are reallocated daily to the Vehicle's "Collection Account" and accounted for by the Parent Company as follows:
 - collection of principal from borrower is recognised as an offsetting entry to the reduction in the loan to the borrower;
 - reallocation of principal to the Vehicle is recognised as an offsetting entry to the recognition of a loan to the Special Purpose Vehicle;
 - this loan is paid off upon repayment of the subordinated loan;
 - interest from the borrower is recognised as an offsetting entry to Item 10 of the Income Statement "Interest income: loans to customers" (interest on mortgage loans continues to be recognised on an accrual basis);
 - reallocation of interest to the Special Purpose Vehicle is recognised as an offsetting entry to the recognition of a loan to the Special Purpose Vehicle;
 - this loan is paid off upon collection of interest on the subordinated loan.
- the vehicles "MPS Covered Bond S.r.l." and "MPS Covered Bond 2 S.r.l." are invested in by the Parent Company for a control stake of 90%, recognised under Item 70 "Equity Investments" and included in the Group's Consolidated Financial Statements on a line-by-line basis;
- bonds issued are posted to Item 10c) "Financial liabilities measured at amortised cost: debt securities issued" on the liabilities side, and related interest expense is recognised on an accrual basis.

In consideration of the characteristics and accounting treatment of the deal, the swaps associated with the transaction are not recognised in the financial statements, since their recognition would entail, pursuant to par. B3.2.14 of IFRS 9, a duplication of rights and obligations already recognised due to mortgage loans transferred being maintained on the financial statements.

Risks and Control Measures

In order to allow the transferee to meet the obligations related to the collateral pledged, the Parent Company uses appropriate Asset & Liability Management techniques to secure a trend of substantial balance between the maturities of cash flows arising from the assets sold and maturities of payments due in relation with the covered bonds issued and other costs of the transaction.

The Programmes were structured in compliance with applicable rules and regulations which authorise the issuance of covered bonds only if the transferring and issuing banks meet certain capital requirements.



The structure of the debt issuance programmes of the Parent Company (in the role of transferor and servicer) is subject to stringent regulatory requirements and calls for continuous actions, on a regular basis and for each transaction, by the Credit Portfolio Governance, Finance, Treasury and Capital Management and Risk Management Functions, as well as the Credit Audit Function and an external auditor (Deloitte & Touche) as Asset Monitor. In particular, these actions include:

- assessment of capital requirements mandated by Supervisory Provisions when it comes to covered bond issuance programmes;
- assessments of the quality and integrity of assets transferred with regard, in particular, to the estimated value of properties, both residential and commercial, on which a mortgage in relation with the asset-backed loans is placed; this assessment may result in repurchases, integrations and additional transfers of supplemental assets;
- assessments of an appropriate ratio being maintained between bonds issued and assets transferred as collateral (Cover Pool - mortgage and residential assets for the first programme and residential and commercial assets for the second programme);
- assessments of transfer limits and integration practices;
- assessment on whether risks are effectively and adequately hedged by derivative contracts in relation to the transaction.

In the course of 2013, the mitigation strategy for interest rate risk on the first Programme was restructured in order to minimise the Special Purpose Vehicle's exposure to market counterparties. In particular, the newly-defined strategy aims to only cover the Special Purpose Vehicle's net exposure to interest rate risk, as opposed to the nominal amount. At the same time, the outsourcing of some Covered Bond Swaps outstanding with market counterparties was carried out.

The paragraphs below provide information on the nature of the risks associated with the interest in the *MPS Covered Bond S.r.l.* vehicle, whose assets are pledged as collateral of bond issues of the Parent Company partly placed with the market. In particular, the terms of the agreements that could require the Group to provide financial support to the vehicle *MPS Covered Bond S.r.l.* are as follows:

- the Parent Company undertakes, in accordance with the programme's terms, to ensure compliance over time with the regulatory and contractual tests determined according to the methodologies set by the rating agencies from time to time;
- if the Parent Company's rating is below "BBB (low)" (DBRS), "BBB-" (Fitch) and "Baa3" (Moody's), the repayment, also in several tranches, of each subordinated loan will be delayed by 6 months after the original expiry (unless early loan repayment is necessary to allow for compliance with the maximum limit of cash that may be accumulated by the Special Purpose Vehicle, established by regulation as 15% of the total of the cover pool, to the extent to which it is not possible for the Special Purpose Vehicle to acquire new suitable assets to replace cash, pursuant to the Framework Transfer Agreement);
- in accordance with the Master Definition Agreement, the Parent Company shall allocate and change the amount of the variable liquidity reserve according to criteria agreed upon with the rating agencies.

As concerns the second programme, the terms of the agreements that could require the Group to provide financial support to the vehicle *MPS Covered Bond 2 S.r.l.* are as follows:

- the Parent Company undertakes, in accordance with the programme's terms, to ensure compliance over time with the regulatory and contractual tests determined according to the methodologies set by the rating agency from time to time;
- in accordance with the Master Definition Agreement, the Parent Company shall allocate and change the amount of the variable liquidity reserve according to criteria agreed upon with the rating agency.

During the financial period under review the Parent Company and its subsidiaries have not provided any financial or other support without being obliged under the contract.

There are no cases of financial or other support to a previously non-consolidated structured entity as a result of which the structured entity was controlled by the Group.

The Group does not intend to provide financial or other support to the vehicle, nor to assist the entity in obtaining financial support.

*Description of individual disposals and issuances*

In the context of the first Programme, 20 June 2022 saw the disposal of a portfolio of 8,837 performing residential mortgages, with no outstanding instalments at the date of portfolio valuation as well as meeting identified selection criteria, substantially comparable to those used for previous disposals, for an amount of EUR 911.42 mln.

Here follows a summary of the main characteristics regarding transfers in the First Programme:

Cover Pool transfer date	Type of securitised assets	Transferor	Total value of asset transferred (in units of eur)	N° of mortgage loans transferred	Breakdown of transferred debtors by business sectors
25/05/10	Residential mortgage loans	MPS Bank	4,413,282,561	36,711	100% natural persons
19/11/10	Residential mortgage loans	MPS Bank	2,400,343,584	19,058	100% natural persons
25/02/11	Residential mortgage loans	MPS Bank	3,887,509,799	40,627	100% natural persons
25/05/11	Residential mortgage loans	MPS Bank (formerly Banca Antonveneta)	2,343,824,924	26,804	100% natural persons
16/09/11	Residential mortgage loans	MPS Bank	2,323,368,355	27,973	100% natural persons
14/06/13	Residential mortgage loans	MPS Bank	415,948,266	4,259	100% natural persons
18/09/15	Residential mortgage loans	MPS Bank	1,529,531,983	15,080	100% natural persons
31/10/16	Residential mortgage loans	MPS Bank	775,933,585	7,630	100% natural persons
22/12/16	Residential mortgage loans	MPS Bank	237,758,336	1,903	100% natural persons
03/05/18	Residential mortgage loans	MPS Bank	1,311,870,107	12,401	100% natural persons
27/02/19	Residential mortgage loans	MPS Bank	1,809,753,193	16,880	100% natural persons
16/10/19	Residential mortgage loans	MPS Bank	1,262,890,758	12,008	100% natural persons
15/06/20	Residential mortgage loans	MPS Bank	1,433,158,855	13,107	100% natural persons
18/05/21	Residential mortgage loans	MPS Bank	1,665,859,006	15,074	100% natural persons
20/06/22	Residential mortgage loans	MPS Bank	912,293,907,47	8,837	100% natural persons
Total			26,723,327,219	258,352	

The remaining debt balance on the portfolio as at 31 December 2022 amounted to EUR 11,711.4 mln for 151,077 mortgage loans.

As part of the first Programme, the Parent Company completed over the years a total of thirty three⁵⁴ issuances, twelve of which had not yet matured or been repaid early for a nominal amount, as at 31 December 2022, of EUR 8,200.0 mln, of which EUR 4,515.5 mln are on the market, while EUR 3,684.5 mln are held by the Parent Company and by the subsidiaries MPS Capital Services Banca per le Imprese S.p.A. and Monte Paschi Banque S.A.

⁵⁴ This number of issues includes 3 registered covered bonds, private issues under the programme.



During 2022, under the first Covered Bond Programme, the following issues were carried out:

Date of issue	Notional Amount	Coupon	Frequency	Date of maturity
04/02/22	750,000,000	3mE + 0.23%	Quarterly	march-25
05/07/22	750,000,000	3mE + 0.50%	Quarterly	december-26
Total	1,500,000,000			

As part of the second Programme, on 18 July 2022 a portfolio for a total of 7,363 performing residential and commercial mortgage loans was sold, with no outstanding payments at the date of portfolio valuation, as well as meeting selection criteria substantially comparable to those used for previous disposals, for a total amount of EUR 996.17 mln.

Here follows a summary of the main characteristics regarding transfers in the Second Programme:

Cover Pool transfer date	Type of securitised assets	Transferor	Total value of asset transferred (in units of eur)	N° of mortgage loans transferred	Breakdown of transferred debtors by business sectors
30/04/12	Residential mortgage loans	MPS Bank	2,384,995,478	27,047	100% natural persons
26/06/12	Residential and commercial mortgage loans	MPS Bank	2,478,270,455	13,993	Mixed
28/08/12	Residential and commercial mortgage loans	MPS Bank	1,401,965,498	17,353	Mixed
24/09/12	Residential and commercial mortgage loans	MPS Bank	2,473,677,574	9,870	Mixed
18/02/13	Residential and commercial mortgage loans	MPS Bank	1,286,740,404	9,033	Mixed
24/06/13	Residential and commercial mortgage loans	MPS Bank	2,147,692,217	12,771	Mixed
25/03/14	Residential and commercial mortgage loans	MPS Bank	1,464,170,335	5,645	Mixed
20/10/15	Residential and commercial mortgage loans	MPS Bank	977,548,353	5,671	Mixed
18/07/16	Residential and commercial mortgage loans	MPS Bank	2,010,907,195	24,162	Mixed
29/08/16	Residential and commercial mortgage loans	MPS Bank	813,253,156	7,211	Mixed
31/03/17	Residential and commercial mortgage loans	MPS Bank	789,153,182	5,799	Mixed
11/05/18	Residential and commercial mortgage loans	MPS Bank	685,537,103	4,718	Mixed
14/11/18	Residential and commercial mortgage loans	MPS Bank	470,369,358	3,002	Mixed
30/09/19	Residential and commercial mortgage loans	MPS Bank	727,237,065	4,549	Mixed
26/02/20	Residential and commercial mortgage loans	MPS Bank	1,034,517,196	8,625	Mixed
19/04/21	Residential and commercial mortgage loans	MPS Bank	1,519,843,073	12,916	Mixed
30/11/21	Residential and commercial mortgage loans	MPS Bank	1,751,398,674	14,646	Mixed
18/07/22	Residential and commercial mortgage loans	MPS Bank	1,000,344,594	7,363	Mixed
Total			25,417,620,910	194,374	

The remaining debt balance on the portfolio as at 31 December 2022 amounted to EUR 10,409.6 mln for 109,274 mortgage loans.

As part of the second Programme, the Parent Company completed forty-six issuances, of which thirteen not yet matured or redeemed early, which were not intended for the market but repurchased by the Parent Company and used as collateral for refinancing transactions in the Eurosystem, for a total as at 31 December 2022 of EUR 8,650.0 mln.



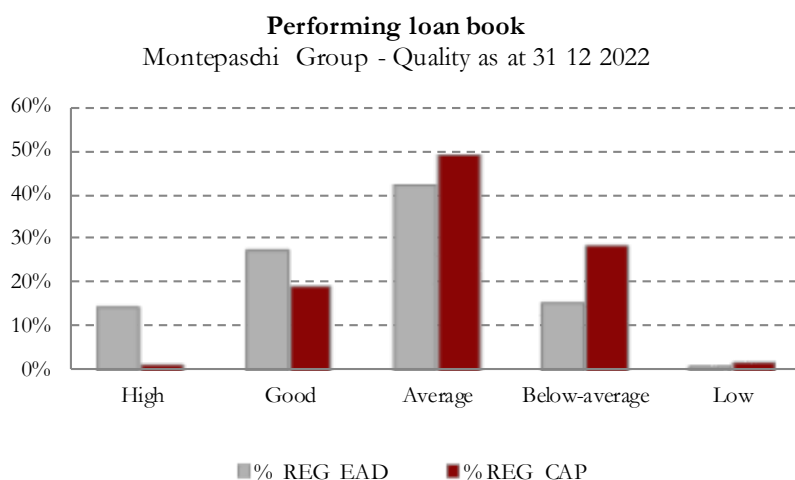
As part of the second Covered Bond Programme, the following issues were made in 2022:

Date of issue	Notional Amount	Coupon	Frequency	Date of maturity
17/02/22	750,000,000	3mE + 0.27%	Quarterly	October-25
13/06/22	1,000,000,000	2%	Quarterly	April-26
Total	1,750,000,000			

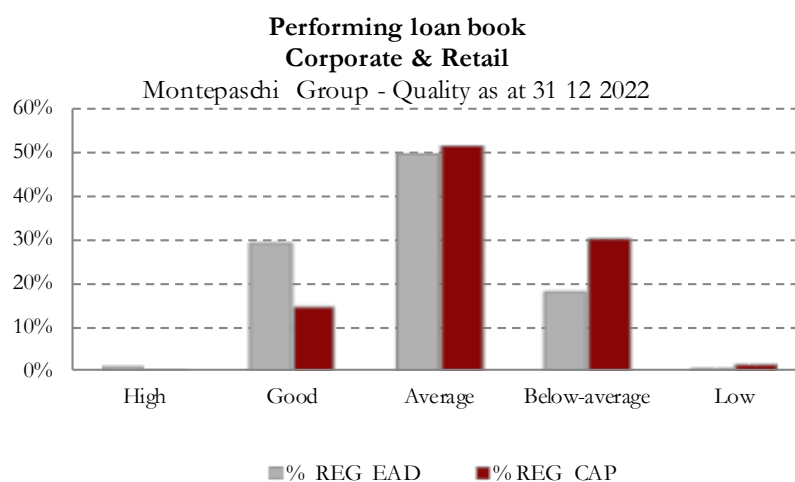
E. Prudential consolidation - Credit risk measurement models

This paragraph provides information of a quantitative nature related to the models for the measurement of credit risk, the qualitative characteristics of which have been described in Chapter 2 “Credit risk management policies” of Section 2 “Prudential consolidation risk” of these Notes to the consolidated financial statements.

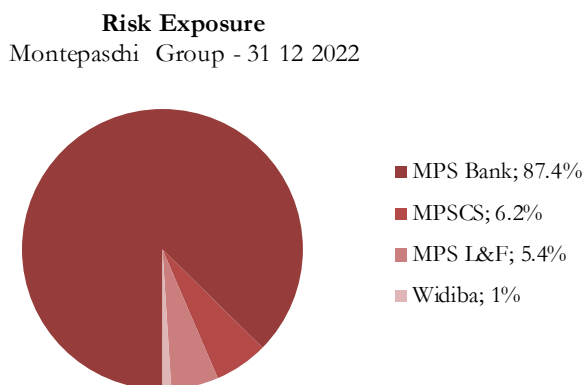
The chart below provides a credit quality breakdown of the Group portfolio as at 31 December 2022 by Exposure to Risk (REG EAD) and Regulatory Capital (REG CAP). It can be seen that about 42% (51% as at 31 December 2021) of risk exposure relates to high- and good-quality customers (positions in financial assets are excluded). It should be noted that the ranking below also includes exposure to banks, government agencies and non-regulated financial and banking institutions, which are not included in the AIRB approaches. The quality is measured in terms of probability of default assigned to customers through the AIRB models of the MPS Group. Non-AIRB counterparties are nevertheless subject to a credit standing assessment using official ratings where available or appropriate internally determined benchmark values.



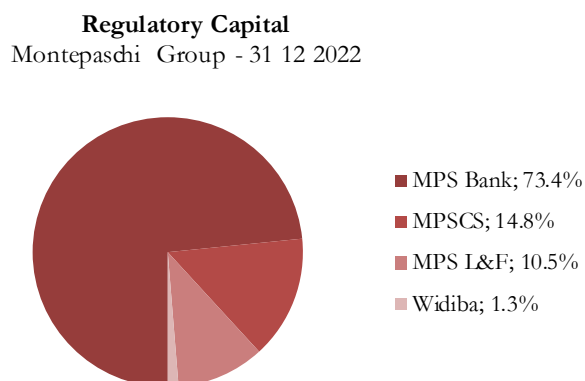
On the other hand, the following chart provides a breakdown of credit quality only for Corporate and Retail portfolios (which are largely validated by the Supervisory Authority for the use of internal PD and LGD models). As at 31 December 2022, high or good quality exposure accounted for approximately 31% of total exposure (36% as at 31 December 2021).



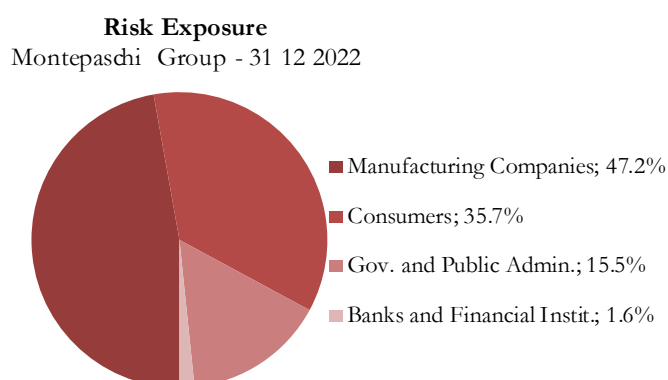
With reference to Risk Exposure, the Parent Company covers 87.4% of the Group's total, while MPS Capital Services, MPS L&F and Widiba jointly cover the remaining 12.6%.



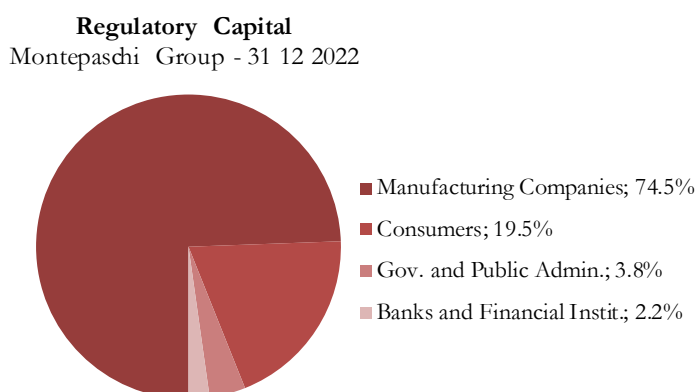
The Regulatory Capital for credit risk is absorbed mainly by the Parent Company (73.4%), followed by MPS Capital Services (14.8%), MPS Leasing and Factoring (10.5%) and Widiba (1.3%).



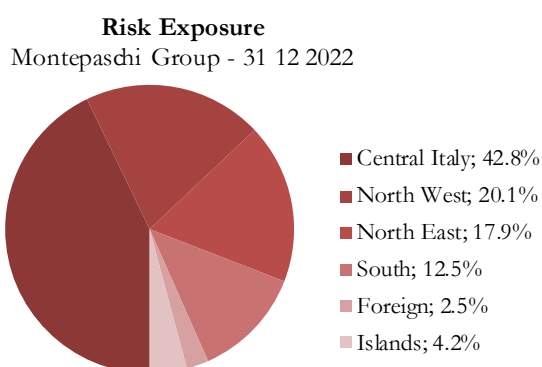
An analysis conducted at the end of 2022 shows that the Group's risk exposure is mainly toward "Manufacturing Companies" (47.2% of total loans disbursed), "Households" (35.7%), "Governments and Public Administration" (15.5%) and "Banks and Financial Institutions" (1.6%).



In terms of Regulatory Capital, 74.5% is absorbed by the “Manufacturing Companies” customer segment. The “Households” segment stands at 19.5%; followed by “Governments and Public Administration” and “Banks and Financial Institutions” with 3.8% and 2.2% respectively:



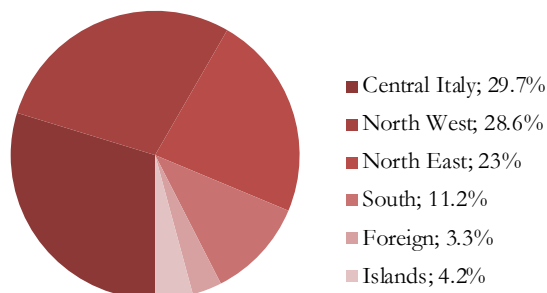
An analysis of the geographical breakdown of the Group customers shows that exposure to risk is primarily concentrated in Italy’s Central regions (42.8%), followed by the North West (20.1%), the North East (17.9%), the South (12.5%), the Islands (4.2%) and abroad (2.5%).



Regulatory Capital absorption is also higher in Central Italy (29.7%), in North West Italy (28.6%) and North East Italy (23%) due to the greater concentration of loans in those areas. This is followed by the South (11.2%), the Islands (4.2%) and Foreign Countries (3.3%):



Regulatory Capital
Montepaschi Group - 31 12 2022

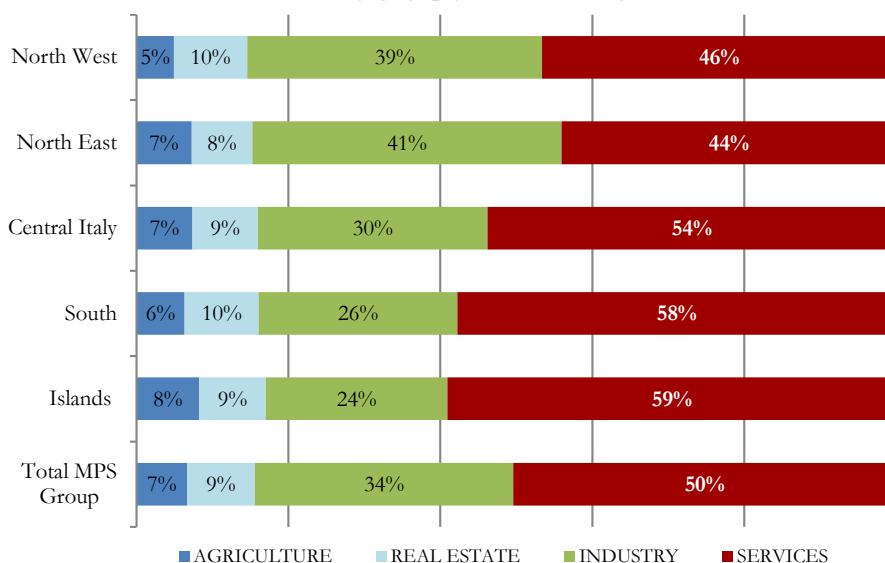


Lastly, the following graphs show, solely for Italian corporate customers, the percentage breakdown of Default Exposure by individual Geographic Area and Regulatory Capital absorption by Business Sector.

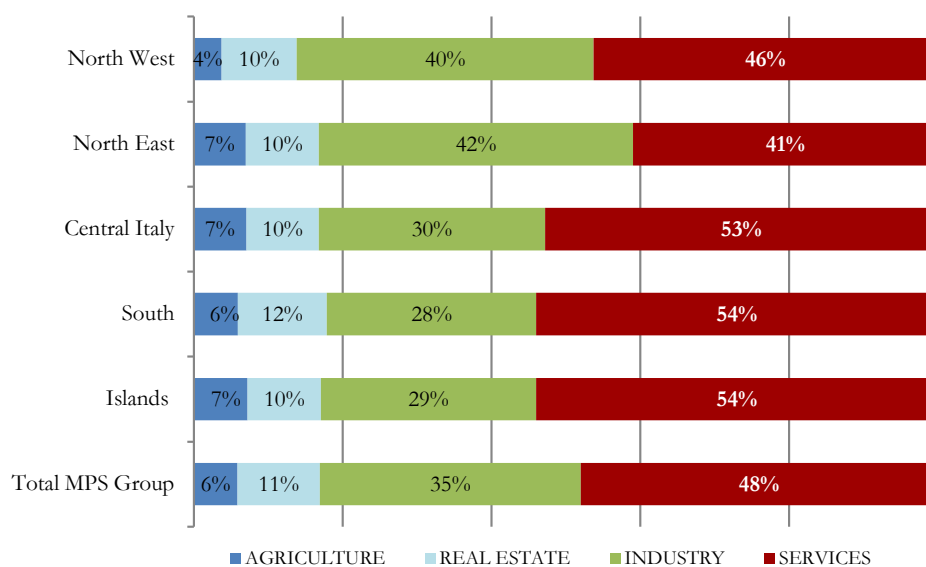
The largest share of Default Exposure for businesses in all Geographic Areas is accounted for by the “Services” sector. Out of the Group’s total exposure, the share of Services accounts for 50% and is followed by Industry (34%), Building (9%) and Agriculture (7%):

Italian Corporate customers – performing loan book as at 31 12 2022

REG EAD by geography and business segment



Also as regards Regulatory Capital (REG CAP), the greatest concentration relates to the Services sector in all Geographic Areas, with the exception of the North East where the Industry sector prevails (42%). Of the Group total, the predominant sector remains Services (48%).

**Italian Corporate customers – performing loan book as at 31 12 2022***REG CAP by geography and business segment*

The comparison between expected loss and actual loss is performed on an annual basis by the internal control function as part of PD and LGD backtesting procedures.



1.2 – Market risks

1.2.1 Interest rate and price risk – Regulatory trading book

Market risks relating to the Trading Book

Market risk management model for the Trading Book

The Group's Regulatory Trading Book (RTB), or Trading Book, is made up of all the Regulatory Trading Books managed by the Parent Company (BMPS) and the subsidiary MPS Capital Services (MPSCS). The Trading Books of the other subsidiaries are immune to market risk. Trading in derivatives, which are brokered on behalf of customers, is centralised at MPSCS.

The market risks in the trading book are monitored in terms of Value-at-Risk (VaR) for operational purposes. The Group's Finance and Liquidity Committee is responsible for directing and coordinating the overall process of managing the Group's proprietary finance thereby ensuring that the management strategies of the various business units are consistent.

The Group's Trading Book is subject to daily monitoring and reporting by the Risk Management unit of the Parent Company on the basis of proprietary systems. VaR for management purposes is calculated separately from the operating units, using the internal risk measurement model implemented by the Risk Management function in line with international best practices. The Group uses the standardised methodology in the area of market risks solely for reporting purposes.

Operating limits defined for trading activities are expressed by level of delegated authority in terms of VaR, which is diversified by risk factors and portfolios, monthly and annual stop losses, and stress. Furthermore, the trading book's credit risk, in addition to being included in VaR computations and in the respective limits for the credit spread risk component, is also subject to specific operating limits for issuer and bond concentration risk which specify maximum notional amounts by type of guarantor and rating class.

VaR is calculated with a 99% confidence interval and a holding period of one business day. The Group adopts the method of historical simulation with daily full revaluation of all basic positions, out of 500 historical entries of risk factors (lookback period) with daily scrolling. The VaR calculated in this manner takes account of all diversification effects of risk factors, portfolios and types of instruments traded. It is not necessary to assume, a priori, any functional form in the distribution of asset returns, and the correlations of different financial instruments are implicitly captured by the VaR model on the basis of the combined time trend of risk factors. The trend-based scenarios used in the model are constructed as the daily change, in terms of the ratio, of the individual risk factors; the shock is applied to the current market level, making the VaR measure reactive to changes in market conditions.

Periodically, information on market risks is transmitted to the Risk Management Committee and to the Top Bodies as part of the information flows with which Top Management and the Governing Bodies are informed about the Group's overall risk profile.

The macro-categories of risk factors covered by the Internal Market Risk Model are IR, EQ, CO, FX and CS as described below:

- IR: interest rates on all relevant curves, inflation curves and related volatilities;
- EQ: share prices, indexes, baskets and related volatilities;
- CO: commodity prices, indexes and baskets;
- FX: exchange rates and related volatilities;
- CS: credit spread levels.

VaR (or diversified or net VaR) is calculated and broken down daily for internal management purposes, even with respect to other dimensions of analysis:

- organisational/management analysis of portfolios;
- analysis by financial instrument;
- analysis by risk family.

It is then possible to assess VaR along each combination of these dimensions in order to facilitate highly detailed analyses of events characterising the portfolios.

In particular, with reference to risk factors the following are identified: Interest Rate VaR (IR VaR), Equity VaR (EQ VaR), Commodity VaR (CO VaR), Forex VaR (FX VaR) and Credit Spread VaR (CS VaR). The algebraic sum of these items gives the so-called Gross VaR (or non-diversified VaR), which, when compared with diversified



VaR, makes it possible to quantify the benefit of diversifying risk factors resulting from holding portfolios on asset class and risk factor allocations which are not perfectly correlated. This information can also be analysed along all the dimensions referenced above.

The model enables the production of diversified VaR metrics for the entire Group in order to get an integrated overview of all the effects of diversification that can be generated among the Group entities on account of the specific joint positioning of the various business units.

Moreover, scenario and stress-test analyses are regularly conducted on various risk factors with different degrees of granularity across the entire tree structure of the Group's portfolios and for all categories of instruments analysed. Stress tests are used to assess the Group's capacity to absorb large potential losses in extreme market situations, so as to identify the measures necessary to reduce the risk profile and preserve assets.

Stress tests are developed on the basis of discretionary and trend-based scenarios. Trend-based scenarios are defined on the basis of previously-registered real situations of market disruption. Such scenarios are identified based on a time frame in which risk factors were subjected to stress. No particular assumptions are required with regard to the correlation among risk factors since trend-based data for the stress period identified has been measured.

Stress tests based upon discretionary scenarios assume extreme changes occurring to certain market parameters (interest rates, exchange rates, share and commodity prices, stock indices, credit spreads and volatility) and measure the corresponding impact on the value of portfolios, regardless of their actual occurrence in the past. Simple discretionary scenarios are currently being developed (variation of a single risk factor) as are multiple ones (variation of several risk factors simultaneously). Simple discretionary scenarios are calibrated to independently deal with one category of risk factors at a time, assuming shocks do not spread to the other factors. Multiple discretionary scenarios, on the other hand, aim to assess the impact of global shocks that simultaneously affect all types of risk factors.

It should be noted that the VaR methodology described above is also applied, for internal operational purposes, also applied to the portion of the Banking Book consisting of financial instruments that are similar to trading instruments (e.g. Equity/bond securities held in portfolios classified for accounting purposes as "Financial assets mandatorily measured at fair value", "financial assets measured at fair value through other comprehensive income" and "financial assets measured at amortised cost") The measurements and charts below refer to the Regulatory Trading Book.

During 2022, the market risks of the Group's Regulatory Trading Book showed, in terms of VaR, a performance determined by that of the subsidiary MPS Capital Services, for own trading activities in the CS-IR segments (transactions in Italian government bonds and hedges via swaps and long futures) and, to a lesser extent, client-driven activities in the EQ segment (options and equity futures on the main market indices) related to the structuring of bancassurance products. The Parent Company's portfolio contribution to total VaR was negligible.

In the first part of the year, as in the previous year, markets continued to benefit from the central banks' accommodating policies and plans to support the economy in response to the COVID-19 pandemic. With the outbreak of the conflict in Ukraine and the resulting energy crisis, an inflationary process intensified, against which sudden restrictive monetary policies triggered increasing volatility in the risk factors underlying the VaR model, particularly for the IR and CS segments- (significant growth in interest rates and yields of around 300 basis points on average over the year).

Despite the market environment, the Group's VaR remained at lower average levels compared to the previous year, due to a general process of risk containment, particularly in the second half of the year. In the context here described, with a generalised rise in interest rate curves, the IR segment, characterised by the risk of the curve's steepening, recorded significant growth, confirming itself as the new driver of overall VaR from the first quarter onwards, coinciding with the exit of the crisis-related tail scenarios on the markets for the March 2020 pandemic phase, particularly on the Credit Spread (CS VaR) segment, for the sliding of the model's underlying time window.

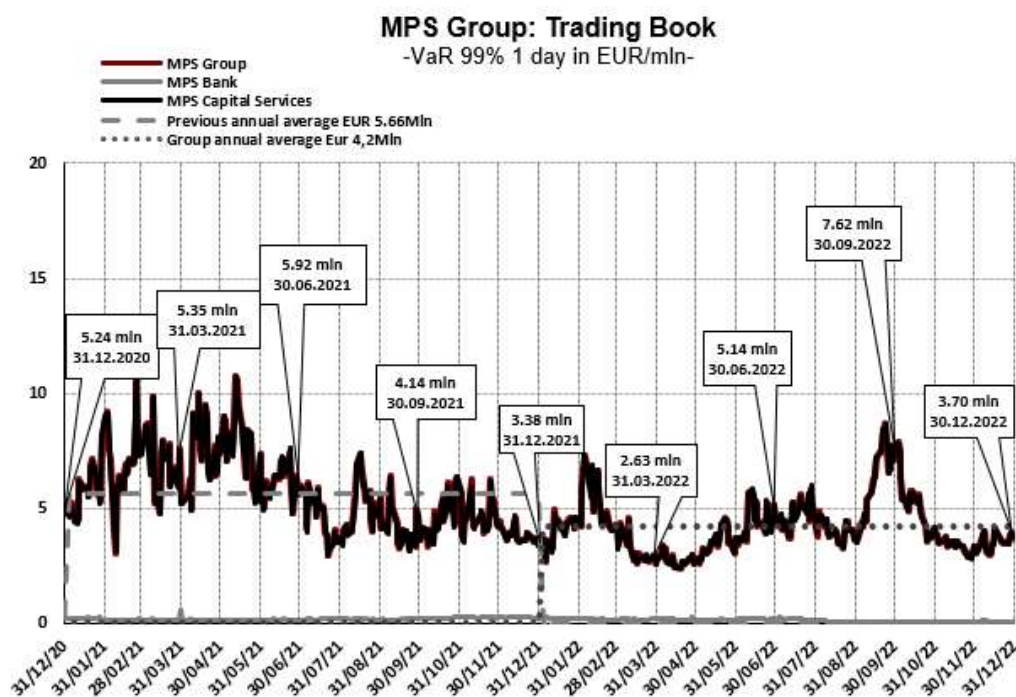
In addition to the dynamics of market parameters, the volatility of the VaR was affected by the auction operations carried out on Italian government securities by the subsidiary MPS Capital Services for primary dealer activities, with temporary changes in CS Italy risk exposure, primarily short term.

The temporary increase in VaR in September was mainly affected by issues related to the models (resolved at the beginning of October) concerning the representation of swaps indexed to the average rate on ESTR curves in the

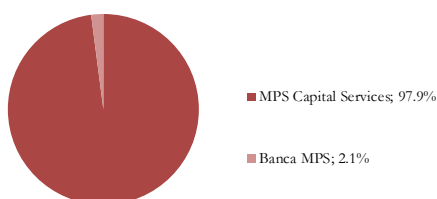


internal model, with overestimation of the metric exacerbated by the context of a sudden rise in rates (net of the aforementioned modelling effect, VaR in September would have been substantially in line with the levels reported in the second half of the year).

Despite some temporary increases in exposure in relation to the primary dealer auctions mentioned above, the average holdings of Italian sovereign bonds in the Group's trading portfolios remained substantially stable for the first two quarters of the year with a gradual decline to much lower levels in December (annual average of EUR 3.7 bn in nominal terms compared to an average of EUR 1.4 bn in the last quarter), with a consequent contraction in the contribution of the CS factor to the overall VaR, which settled at the end of 2022 at the lowest levels of the year.

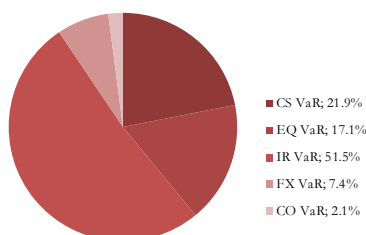


VaR MPS Group: Trading Book
VaR By Legal Entity: 31/12/2022



With regard to the Legal Entities, MPS Capital Services accounted for 97.9% and the Parent Company for 2.1% of overall risk as at 31 December 2022.

VaR MPS Group: Trading Book
VaR By Risk Factor: 31/12/2022



In terms of VaR breakdown by risk factor, 51.5% of the Group's portfolio is accounted for by interest rate risk factors (IR VaR), 21.9% by credit spread risk factors (CS VaR), 17.1% by equity risk factors (EQ VaR), 7.4% by foreign exchange risk factors (FX VaR), and the remaining 2.1% by commodity risk factors (CO VaR).

**■ MPS Group****VaR TB 99%1 day in EUR/mln**

	VaR	Date
End of period	3.70	31/12/2022
Minimum	2.39	19/04/2022
Maximum	8.66	23/09/2022
Average	4.20	

During 2022, the Group's VaR in the RTB ranged between a low of EUR 2.39 mln recorded on 19 April 2022 and a high of EUR 8.66 mln recorded on 23 September 2022, with an average value, in reduction, of EUR 4.20 mln. The Regulatory Trading Book VaR as at 31 December 2022 amounted to EUR 3.70 mln.

VaR model backtesting

The Group has implemented a backtesting procedure compliant with current regulations governing Market Risk as part of its own risk management system.

Backtesting refers to a series of tests conducted on VaR model results against day-to-day changes in the trading book value, with a view on assessing the model's forecasting capacity as regards the accuracy of the calculated risk metrics. If the model is robust, by periodically comparing the daily estimate of VaR in t-1 with the results of the trading activity in t, it should be possible to determine that the actual losses are greater than the VaR with a frequency consistent with that defined by the confidence level.

Based on current supervisory instructions, the Risk Management Function considered it appropriate to apply the actual backtesting methods, integrating these into the Group's management reporting system.

The actual backtesting meets the need for verifying the VaR model's forecasting reliability with reference to the actual Group operations (daily trading profit and losses) less the effect of any interest accrued between trading days t-1 and t on bonds, and less the effect of fees and commissions.

These "clean" P&L results (the "actual P&L") are compared with the previous trading day VaR. If the losses are greater than those forecast by the model an "exception" is recorded.

The chart below shows the actual backtesting results of the internal Market Risks model in relation to the Group's Regulatory Trading Book for 2022:



The backtesting shows four exceptions recorded in 2022: three in the second quarter, referring entirely to the risk exposure of the subsidiary MPSCS. These exceptions were recorded on 6 May and on 10 and 13 June due to the sudden increase in interest rates, with further pressure in terms of P&L on positions in Italian government bonds in the two sessions of June (temporary widening of the short-term credit spread normalized again in subsequent sessions).

The remaining exception refers to the 1 September session, as a result of similar dynamics.



Structured credit product

As at 31 December 2022, the Group did not have a particularly significant portfolio of structured credit products compared to its total financial assets or its total assets.

These investments are subject to risk limits set by the Board of Directors and monitored daily by the Parent Company Risk Management unit; stop loss, risk and nominal limits are defined for maximum exposure for major issuer categories, broken down by rating.

The data reported in this section refer to the entire Group. Note that no structured credit products considered in this disclosure have embedded credit derivatives that need to be separated from their host contract for IFRS 9 purposes.

As at 31 December 2022, there were no direct or indirect exposures to US sub-prime mortgage loans, Alt-A or monoline insurers.

Positions in Securitisations of third-party issuers

As at 31 December 2022, the securities positions on structured credit products other than own securitisations had a total book value of EUR 183.7 mln, compared to EUR 313.5 mln as at 31 December 2021.

This section does not analyse the securitisations issued by Siena NPL from the sale of bad loans carried out on 22 December 2017 (deconsolidated in June 2018) since the loans sold to the Special Purpose Vehicle originated from the MPS Group. Likewise, the ABS issued by the Norma SPV as part of a securitisation of non-performing loans, also originated by banks outside the MPS Group, are not considered.

From an economic point of view, the following was recorded: "Net profit (loss) from trading - Item 80" of EUR 5.7 mln and a positive component "Interest income and similar income - Item 10" for EUR 3.6 mln. Within the portfolio of financial assets measured at amortised cost, there was also a negligible write-down of "Net impairment (losses)/reversals for credit risk - item 130".

With regard to the regulatory classification, the positions are primarily held by the subsidiary MPS Capital Services (98.7%) and allocated to the Trading Book (90.4% in terms of book value); the instruments are classified from an accounting viewpoint in FVTPL (90.4%), FVOCI (8.3%) and AC (1.3%).

As regards the types of underlyings transferred in securitisation transactions, residential mortgages (30.0%), commercial mortgages (24.4%), non-performing loans (16.8%) and personal loans (15.6%) prevailed. It is to be noted that, for the type of underlying NPL, 12% of the positions held have benefited from the public guarantee on securitisations (so-called Gacs).

Geographically speaking, the loans sold were granted in 52.9% Italy, 10.5% Ireland and 8.3% the Netherlands. Overall, 84.5% of the book value of the exposures consists of investment grade securities (with rating up to BBB-included). The senior tranche accounts for 69.5% of the exposures in terms of book value, while the mezzanine tranches account for the remaining 30.5%.

Credit Derivative Positions

All exposures analysed in this section are standardised credit indices, synthetic tranches, options on credit indices and single-name CDS.

As at 31 December 2022, net exposures to this type of derivatives have a book value of EUR -142.7 mln; net of consolidation activities these financial instruments are all held by MPS Capital Services and are all included in the Trading Book.

In terms of profit and loss, there was a negative component in "Item 80 - Net profit (loss) from trading" for EUR 38.9 mln.



Qualitative Information

A. General aspects

Each bank of the MPS Group which is relevant as a market risk-taking centre contributes to the generation of interest rate risk and price risk in the overall Trading Book.

Impacts deriving from the COVID-19 pandemic

The market environment in 2022 was affected, to a small extent, by the impact of the pandemic.

The VaR metrics, in addition, benefited during the first quarter of the year from the exit of the crisis-related tail scenarios in the markets for the March 2020 pandemic phase, due to the slipping of the model's underlying time window (the detailed narrative on VaR metric performance and back-testing on the model is reported in the section "The market risk management model for the trading book").

Impacts deriving from the Russia – Ukraine conflict

With the outbreak of the Russian-Ukrainian conflict, the markets suffered immediate repercussions on energy & gas prices as a result of the rapid reduction in exchange volumes at the European level, due to the reduction in supply and the consequent increase in the volatility of the main market variables.

However, this dynamic did not have an immediate effect on the risk metrics for the supervisory trading portfolio, whose main driver was the subsidiary MPS Capital Services for proprietary trading activities in Italian government securities and related hedging (Credit Spread and Interest Rate segments) and, to a lesser extent, Client Driven in the Equity segment. The Commodity derivative exposures, structured to ensure support to customer activities (e.g. commodity swaps), which was particularly sensitive to price volatility in the energy and gas sectors as a result of the conflict, were managed with efficient hedging by trading in listed derivatives (e.g. commodity futures), ensuring the containment of risks in the sector during the year.

In particular, the VaR model, between February and March, was still dependent on the tail scenarios attributable to the outbreak of the Covid-19 pandemic (tension on Italian spreads among all). It was only with the sliding of the model's underlying time window and the consequent exit from the pandemic scenarios, in parallel with the change of course in the normalisation of monetary policy to contain the violent increase in production costs and, more generally, the inflationary push amplified following the Russian-Ukrainian conflict, with the entry of new tail scenarios representing the tensions on the rates market with peaks at the turn of the ECB sessions, there was a trend reversal with respect to the past, with the IR segment becoming the new main driver of overall VaR (the detailed narrative on the performance of the VaR metric and backtesting of the model is reported in the section "The market risk management model for the trading book").

A.1 Interest rate risk

With specific reference to the Parent Company, trading activities, which are limited in scope, are mainly carried out by the Finance Treasury and Capital Management (FTCM) business area. The Global Markets Department carries out trading activities for the subsidiary MPSCS.

The FTCM manages a proprietary portfolio which takes trading positions on interest rates and credit. In general, interest rate positions are taken by purchasing or selling bonds, and by creating positions in listed derivatives (futures) and OTCs (e.g. IRS, *swaptions*). Trading is carried out exclusively on the Bank's own behalf, with objectives of absolute return, in compliance with the delegated limits of monthly and yearly VaR and stop loss.

In particular, the FTCM operates in the short-term portion of the main interest rate curves, mostly through bonds and listed derivatives.

With regard to credit risk in the trading book, the equity positions are generally managed through the purchase or sale of bonds issued by companies or by creating synthetic positions in derivatives. The activity is oriented to achieve a long or short position on individual issuers, or a long or short exposure on specific market sectors. The activity is carried out solely on the Bank's own behalf with objectives of absolute return and in compliance with other specific issuer and concentration risk limits.

A.2 Price risk

The Business Area in charge of the Parent Company's trading activity with respect to price risk is the FTCM which manages a proprietary portfolio and takes trading positions on equities, Stock Exchange indexes and commodities, with limited volumes. In general, positions on equity securities are taken both through the purchase/sale of equities and through the positions created in listed derivatives (e.g. futures) and OTC (e.g. options). Commodity positions



refer to Client-Driven activities serving commercial clients through trading in OTC derivatives (e.g. commodity swaps) with exposure hedges through listed instruments (e.g. commodity futures). Trading is carried out exclusively on the Bank's own behalf, with objectives of absolute return, in compliance with the delegated limits of monthly and yearly VaR and stop loss. The Global Markets Department also carries out trading activities for the subsidiary MPSCS.

B. Interest rate risk and price risk: operational processes and measurement methods

With regard to the market risk management process concerning the management and methods for measuring interest rate and price risk, see the above paragraph entitled "Market risk management model for the trading book".

Impacts deriving from the COVID-19 pandemic

During the year, there were no overrun of operational limits on market risk metrics attributable to the effects of the pandemic, thus confirming the validity of the underlying risk management framework regarding measurement and control systems.

Impacts deriving from the Russia – Ukraine conflict

The tensions in the financial markets caused by the Russian-Ukrainian conflict and the general increase in the rate curves as a result of highly restrictive monetary policies caused value fluctuations on positions in the Regulatory Trading Book, with temporary overruns of the P&L limits delegated to the business functions, in particular, during market sessions characterised by high tensions on rates and the Italian credit spread.

In any case, the risk measurement and control processes were adequate in the light of increasing market volatility both in terms of the reactivity of the internal model to the new market environment and in terms of risk management and mitigation.

Quantitative Information

1. Regulatory Trading Book: breakdown of balance sheet financial assets/liabilities and financial derivatives by residual life (repricing date)

This table was not prepared since an analysis of the Regulatory Trading Book's sensitivity to interest rate risk and price risk is produced based on internal models.

2. Regulatory Trading Book: breakdown of exposures in equity instruments and stock indices by major countries of the listing market.

This table was not prepared since an analysis of the Regulatory Trading Book's sensitivity to interest rate risk and price risk is produced based on internal models.

3. Regulatory Trading Book: internal models and other sensitivity analysis methods

The rate and price risk of the Trading Book is monitored in terms of VaR and scenario analysis.

3.1 Interest rate risk

Each business unit within the Group operates independently on the basis of the objectives and powers it has been assigned. The positions are managed by special desks provided with specific operational limits. Each desk adopts an integrated risk management approach (covering more than rate risk, when allowed) in order to benefit from the natural hedge resulting from simultaneously holding positions on risk factors that are not perfectly correlated. The VaR by risk factor (specifically, Interest Rate VaR) has operational relevance for the purpose of risk management analyses, even though it is the global VaR diversified among risk factors and portfolios that is used by the operating units. Below is information on the Group's diversified Interest Rate Regulatory Trading Book VaR:



The trend in Interest Rate VaR during 2022 was influenced by the trading activities of the subsidiary MPSCS, primarily in bonds and derivatives. The gradual increase in the Interest Rate VaR starting from the second quarter is related to the restrictive monetary policies implemented to counteract rising inflation, which triggered increasing volatility in IR risk factors, with interest rates rising significantly by around 300 basis points on average over the year.

In the context here described, the Interest Rate VaR, characterised by the risk of the curve's steepening, grew significantly, amplified by the increase in risk premiums on the segment, with a retracement in the last quarter of the year due to the pursuit of a general policy of risk containment, as mentioned above.

The temporary increase in Interest Rate VaR in September was mainly affected by issues related to the models (resolved at the beginning of October) concerning the representation of swaps indexed to the average rate on ESTR curves in the internal model, with overestimation of the metric exacerbated by the context of a sudden rise in rates.

At the end of December, the Interest Rate VaR came to EUR 4.17 mln, just below the average levels of the year.

■ MPS Group

VaR TB IR 99% 1 day in EUR/mln

	VaR	Date
End of period	4.17	31/12/2022
Minimum	2.38	14/01/2022
Maximum	12.23	23/09/2022
Average	4.46	

Simulations include the following interest rate risk scenarios:

- +100 bps parallel shift for all interest rate and inflation curves;
- -100 bps parallel shift for all interest rate and inflation curves;
- +1 point parallel shift for all volatility surfaces of interest rate curves.

All positions related to the Trading Book are classified as “Financial assets held for trading” for accounting purposes, with changes in market value posted directly to the income statement. Below is the overall effect of the scenario analyses.

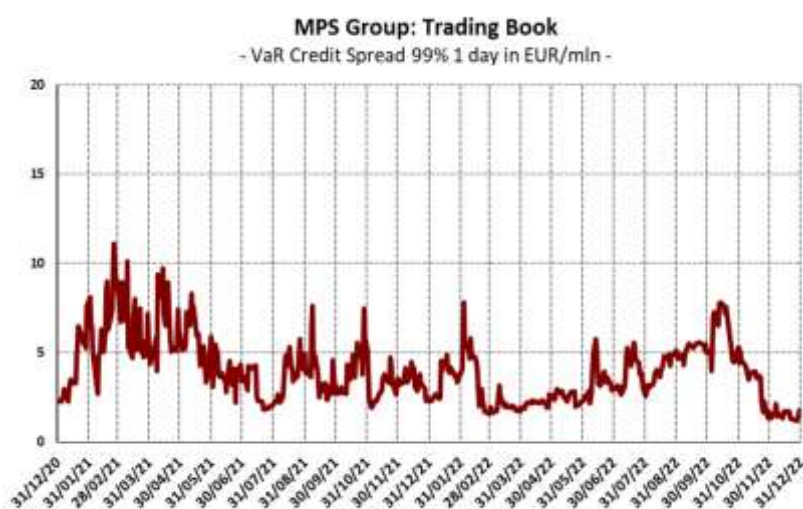


■ MPS Group: Trading Book

EUR/Mln

Risk Family	Scenario	Overall effect
Interest Rate	+100bp on each curve	9.32
Interest Rate	-100bp on each curve	0.65
Interest Rate	+1 point Interest Rate Volatility	0.14

To complete the interest rate risk analysis, details are also provided on the credit spread risk of the Group's Trading Book associated with the volatility of issuers' credit spreads. The VaR by risk factor (specifically, Credit Spread VaR) has operational relevance for the purpose of risk management analyses, even though the operating units use the overall VaR diversified among all risk factors and portfolios.



In 2022, the trend in Credit Spread VaR was affected by trading activities of the subsidiary MPSCS, primarily in Italian short-term government bonds, linked to cycles of auctions, with partial derivatives hedging (medium BTP futures). The contraction of VaR credit spreads in the last quarter of the year is related to the pursuit of a general policy of risk containment, with average holdings of Italian government bonds at their lowest level compared to previous quarters.

At the end of December, the Credit Spread VaR came to EUR 1.77 mln, the lowest levels of the year.

■ MPS Group

VaR TB CS 99% 1 day in EUR/mln

	VaR	Date
End of period	1.77	31/12/2022
Minimum	1.22	27/12/2022
Maximum	7.84	14/10/2022
Average	3.49	

For the purposes of sensitivity analysis, the simulation scenario is as follows:

- +1 bp parallel shift for all credit spreads.



All positions related to the Trading Book are classified as “Financial assets held for trading” for accounting purposes, with changes in market value posted directly to the income statement. Below is the overall effect of the scenario analyses.

■ MPS Group: Trading Book

EUR/Mln		
Risk Family	Scenario	Overall Effect
Credit Spread	+1bp on each curve	-0.14

3.2 Price risk

Each business unit within the Group operates independently on the basis of the objectives and powers it has been assigned. The positions are managed by special desks provided with specific operational limits. Each desk adopts an integrated risk management approach (covering more than price risk, when allowed) in order to benefit from the natural hedge resulting from simultaneously holding positions on risk factors that are not perfectly correlated. The VaR by risk factor (specifically, Equity VaR and Commodity VaR) has management relevance for the purpose of risk management analyses, even though it is the global VaR diversified among risk factors and portfolios that is used by the operating units.

Below is information on the Group’s diversified Equity VaR.



In 2022 the Equity VaR was influenced by the subsidiary MPSCS’ activities related to the structuring and hedging of bancassurance products, and to a lesser extent by the trading activities, mostly on options and futures with key market indexes as underlyings. At the end of December, the Equity VaR came to EUR 1.39 mln, slightly above the average for the year.

■ MPS Group

VaR TB EQ 99% 1 day in EUR/mln

	VaR	Date
End of period	1.39	31/12/2022
Minimum	0.51	12/01/2022
Maximum	2.35	10/06/2022
Average	1.16	

The simulated price scenarios are as follows:

- +1% of each equity or index price;
- -1% of each equity or index price;
- +1 point of all volatility surfaces of all equity risk factors.



All positions related to the Trading Book are classified as “Financial assets held for trading” for accounting purposes, with changes in market value posted directly to the income statement. Below is the overall effect of the scenario analyses for the equity component:

■ **MPS Group: Trading Book**

EUR/mln		
Risk Family	Scenario	Overall Effect
Equity	+1% Equity Prices (prices, indices)	(0.28)
Equity	-1% Equity Prices (prices, indices)	0.31
Equity	+1 point Equity Volatility	0.35

In terms of exposure to commodity risk, in 2022 trends in the Commodity VaR were affected by the subsidiary MPSCS due to activities carried out in support of the customers, primarily on commodity swaps, and exposure hedges through commodity futures with underlying the main listed commodity indices. At the end of December, the Commodity VaR came to EUR 0.17 mln, slightly under the average for the year.



■ **MPS Group**

VaR TB CO 99% 1 day in EUR/mln

	VaR	Date
End of period	0.17	31/12/2022
Minimum	0.06	10/02/2022
Maximum	0.75	02/12/2022
Average	0.29	

The simulated price scenarios are as follows:

- +1% of each commodity price;
- -1% of each commodity price;
- +1 point of all volatility surfaces of all commodity risk factors.

All positions related to the Trading Book are classified as “Financial assets held for trading” for accounting purposes, with changes in market value posted directly to the income statement.

Scenario analyses for the Commodity segment are not reported as they are not relevant.



1.2.2 Interest rate and price risk - Banking Book

Qualitative Information

A. General aspects, operational processes and measurement methods for interest rate risk and price risk

A.1 Interest rate risk

The Banking Book consists of all exposures not included in the Trading Book and, in accordance with international best practices, identifies the set of the Group's commercial trades connected to the transformation of maturities in the assets and liabilities and ALM financial activities (treasury and risk hedging derivatives).

The strategic Banking Book rate risk choices are defined periodically in the IRRBB Strategy document approved by the Board of Directors and made operational within the Group's Finance and Liquidity Committee; these choices are based on interest rate risk measures expressed in terms of changes in economic value as well as net interest income.

With reference to the sensitivity test on economic value, the Montepaschi Group applies a predefined set of interest rate scenarios in line with the Basel guidelines, which envisage non-parallel movements of the curve aside from parallel shifts of 25, 100 and 200 bps. As net interest income analyses focus on the short term, they consider exclusively the application of parallel scenarios. The economic value sensitivity measures are determined by clearing the origination of the cash flows of the components not directly relating to interest rate risk.

The Group is committed to the continual updating of risk measurement methodologies by gradually fine-tuning the estimation models so as to include all major factors that progressively modify the interest rate risk profile of the banking book.

Risk metrics are calculated by using a model for the valuation of demand items (Non-Maturity Deposits, NMDs) whose characteristics of stability and partial insensitivity to interest rate changes are described in the systems with a statistical approach which takes into consideration the time series of customer behaviours.

The Montepaschi Group, in order to take into account the prepayment phenomenon on the Parent Company's mortgages, uses a scenario-dependent behavioural model, based on survival analysis, for the cluster of fixed-rate performing retail residential mortgages and a simplified CPR (Constant Prepayment Rate) approach for the complementary part of the overall portfolio. In addition, the Group uses a behavioural model, based on survival analysis, to factor in the phenomenon of early repayment on the Parent Company's fixed-rate time deposits (Redemption Risk) and an approach for the treatment of non-performing loans net of their credit impairment.

The Group adopts an interest rate risk governance and management system known as the IRRBB Framework which avails itself of:

- a quantitative model, which provides the basis for monthly calculation of the exposure of the Group and the individual companies to interest rate risk in terms of risk indicators;
- risk monitoring processes, aimed at periodically verifying compliance with the operational limits (risk limits and risk tolerance) assigned to the Group overall and to the individual legal entities within the Risk Appetite Statement;
- risk control and management processes, geared toward bringing about adequate initiatives for optimising the risk profile and activating any necessary corrective actions in the case of exceptions from and/or misalignments with the IRRBB Strategy.

Within the above system, the following responsibilities are centralised in the Parent Company:

- definition of strategic and operational policies for managing the Group's Banking Book and controlling its interest rate risk;
- coordination of Group policies' implementation by the companies included in the scope;
- governance of the Group's short-, medium- and long-term rate risk position, both overall and at individual company level, through centralised operational management.



In its governance function, the Parent Company therefore defines criteria, policies, responsibilities, processes, limits and instruments for rate risk management.

The Group Companies included in the scope of application are responsible for abiding by the rate risk policies and limits defined by the Parent Company and the requirements set by the relevant Supervisory Authorities.

Within the model defined, the Finance, Treasury and Capital Management (FTCM) business area of the Parent Company is responsible for the operational management of the Group's overall rate and liquidity risk.

Specifically, within FTCM, the Proprietary Finance, Forex and Call Desk unit manages short-term rate risk and structural rate risk. In addition, FTCM carries out hedge monitoring and management activities consistent with accounting policies, involving centralised oversight for definition of the network's internal rates (BMPS and other Group companies) for Euro and foreign currency transactions with maturities beyond the short term.

A.2 Price risk

The Group's Banking Book, subject to price risk, consists primarily of equity investments, equities and UCITS, measured at fair value. Trading in UCITS is carried out exclusively through the direct purchase of the funds/SICAVs, with no use being made of derivative contracts. Exposure to commodities of the Group's Banking Book was equal to zero.

Price risk measurement is carried out on positions held primarily for strategic or institutional/instrumental purposes.

The instrument used for measuring price risk applied to equity securities and UCITS, other than equity investments, is the Value at Risk (VaR), the methodology of which is described in Section 2 - "Market risks" of this Part E of the Notes to the financial statements.

Stress tests are conducted regularly as part of price risk governance strategies for the banking book in order to assess the Group's ability to absorb potential losses resulting from extreme events.

With reference to the equity investments component, the internal measurement system uses, for determining the Internal Capital, a metric borrowed from the supervisory approach according to the standard method. This method calls for exposures to equity instruments to be assigned a risk weighting factor of 100% or 150% if high risk, unless they need to be deducted from Own Funds. The Own Funds deduction mechanisms according to current supervisory rules (CRD4/CRR) further expand the perimeter of deductions to also include non-significant investments in financial sector entities (<10%) and provide for deduction exemptions. It is worth noting that the most significant portion of the MPS Group's equity investment portfolio is included within the aggregate of significant investments in other financial sector entities (mainly the equity investment in the AXA Group).



Quantitative Information

1 Banking Book: breakdown of financial assets and liabilities by residual life (repricing date)

This table has not been prepared since an analysis of the banking book's sensitivity to interest rate risk and price risk is produced based on internal models.

2 Banking Book: internal models and other sensitivity analysis methods

2.1 Interest rate risk

The sensitivity of the Gruppo Italia's economic value⁵⁵, at the end of 2022, was indicative of exposure to rate hike risk. The amount of economic value at risk in the event of a +100 bps parallel shift of the rate curve came to EUR -149.52 mln at the end of 2022 (EUR +98.50 mln for a shift of -100 bps). However, if benchmarked against Own Funds, these values are below the level considered as the attention threshold by the Bank of Italy.

The 1-year Net Interest Income Sensitivity of Gruppo Italia⁵⁶, assuming an upward shift in rates of 100 bps, amounted to EUR +78.10 mln at the end of 2022 (EUR -87.78 mln for -100 bps), indicating a risk exposure against a downward shift in the rate curve, while the 3-year sensitivity, assuming an upward shift in rates of 100 bps, amounted to EUR +179.08 mln at the end of 2022 (EUR -180.40 mln for -100 bps), again indicating a risk exposure against a downward shift in the rate curve.

The internal measurement system is independently developed by the Risk Control Function of the Parent Company, which periodically reports on the extent of portfolio risks and their changes over time. The results are regularly brought to the attention of the Parent Company's Risk Management Committee and governing bodies.

2.2 Price risk

Shown below is a scenario analysis which includes all directional positions assumed by the Group in equity securities and UCITS, measured at fair value (e.g. securities classified as "Financial assets measured at fair value through other comprehensive income" and as "Financial assets measured at fair value as per mandatory requirements"):

■ **MPS Group: Banking Book**
EUR/mln

Risk Family	Scenario	Effect on Net Banking Income and	Effect on Net Capital	Overall Effect
Equity	+1% Equity Prices (prices, indices)	1.96	2.55	4.51
Equity	-1% Equity Prices (prices, indices)	(1.96)	(2.55)	(4.51)
Equity	+1 point Equity Volatility	0	0	0

The equity investment in the Bank of Italy represents approximately 74% of the effect on the Shareholders' Equity relating to the scenario analysis described above.

⁵⁵ These risk measures do not take into account the contribution of the foreign branch and Monte Paschi Banque S.A..

⁵⁶ These risk measures do not take into account the contribution of the foreign branch and Monte Paschi Banque S.A..



1.2.3 Foreign exchange risk

Qualitative Information

A. Foreign exchange risk: general aspects, operational processes and measurement methods.

Foreign exchange operations are mainly based on short-term trading, with the systematic balance of the transactions originated by the franchise and the retail banks which automatically feed into the Group's position.

Trading activities are carried out primarily by the Finance, Treasury and Capital Management (FTCM) structure of the Parent Company and, on the forex options segment, by the subsidiary MPSCS, with a direct management of the exchange rate risk. The foreign branches of the Parent Company maintained modest forex positions exclusively originated by funds available for commercial purposes. The turnover in cash allocated to Group portfolios and derivatives for MPSCS remained stable in terms of risk, with ongoing and careful use of delegated powers. Foreign currency equity investments are typically financed by funds denominated in the same currency, with no assumption of foreign exchange risk.

For a description of stress tests used in the risk governance strategy on exchange rates and the model applied, please refer to the section "Market risk management model for the Trading Book".



B. Hedging of exchange rate risk

Quantitative Information

1. Breakdown by currency of assets, liabilities and derivatives

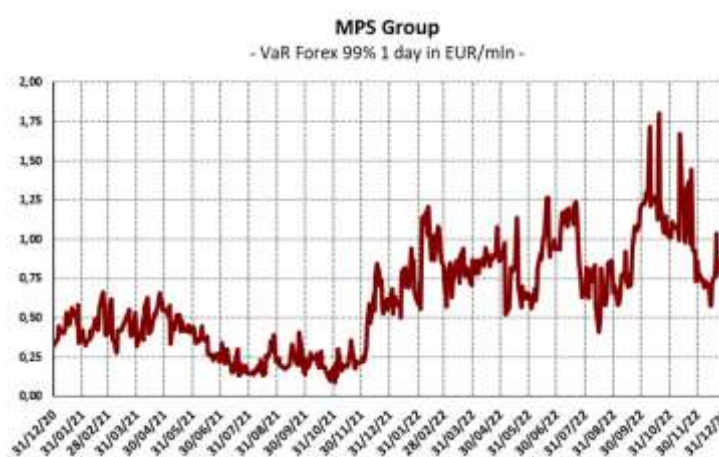
31.12.2022

Items	Currencies					
	US dollar	Pound sterling	Yen	Canadian Dollars	Swiss Franc	Other currencies
A. Financial assets	1,379,103	31,916	7,440	5,364	9,468	54,173
A.1 Debt securities	627,559	1,316	-	-	-	2,200
A.2 Equity securities	98,968	2,739	599	348	1,598	6,532
A.3 Loans to banks	211,850	6,556	4,059	1,359	2,344	27,523
A.4 Loans to customers	440,726	21,305	2,782	3,657	5,526	17,918
A.5 Other financial assets	-	-	-	-	-	-
B. Other assets	43,217	891	48	282	1,527	15,748
C. Financial liabilities	655,301	22,724	22,482	5,793	4,016	13,046
C.1 Deposits from banks	186,021	1,985	63	4,005	1,495	534
C.2 Customer accounts	468,767	20,739	22,419	1,788	2,521	12,512
C.3 Debt securities	513	-	-	-	-	-
C.4 Other financial liabilities	-	-	-	-	-	-
D. Other liabilities	12,351	927	328	77	95	7,815
E. Financial derivatives						
- Options						
+ Long positions	112,657	16,485	1,431	3,451	-	4,389
+ Short positions	99,389	-	14,613	-	-	90,269
- Other						
+ Long positions	769,378	89,195	70,792	8,412	3,558	120,053
+ Short positions	1,691,347	113,697	42,429	10,159	8,963	67,453
Total assets	2,304,355	138,487	79,711	17,509	14,553	194,363
Total liabilities	2,458,388	137,348	79,852	16,029	13,074	178,583
Difference (+/-)	(154,033)	1,139	(141)	1,480	1,479	15,780



2. Internal models and other sensitivity analysis methods

Exchange risk is monitored in terms of VaR and scenario analysis (for the methodology see the paragraph “Market risk management model for the Trading Book”). Shown below is information concerning the Group’s diversified Forex VaR.



The Group’s Forex VaR in 2022 is represented by the Parent Company’s exposure to bonds in foreign currency (USD), mainly in the financial category, recognised under “Financial assets measured at amortised cost”. Forex VaR volatility in 2022 was affected by temporary variations in the exposure of the Trading Book of the subsidiary MPSCS, due primarily to activities on foreign exchange EUR/USD derivatives, contracting at the end of the year.

At the end of December, Forex VaR stood at EUR 0.82 mln, in line with the average for the year.

■ MPS Group VaR FX 99%1 day in EUR/mln		
	VaR	Date
End of period	0.82	31/12/2022
Minimum	0.41	15/08/2022
Maximum	1.80	20/10/2022
Average	0.88	

The following scenarios were used for foreign exchange rate simulations:

- +1% for all foreign exchange rates to the Euro;
- -1% for all foreign exchange rates to the Euro;
- +1 point for all volatility surfaces of all foreign exchange rates.

The impact on net interest and other banking income and on net profit (loss) for the year was estimated taking account of positions classified as “Financial assets held for trading” and “Financial assets measured at fair value as per mandatory requirements”; market value changes are recognised directly in the income statement. Instead, the effect on equity is estimated with reference to all positions classified as “Financial assets measured at fair value through other comprehensive income” and related fair value hedges (FVH). The total effect is the result of the algebraic sum of the two components. Below is a summary of the scenario analyses.



■ MPS Group

EUR/Mln

Risk Family	Scenario	Effect on Net Banking Income and Economic Result	Effect on Net Capital	Overall Effect
Forex	+1% FX against EUR	-0.12	-0.11	-0.23
Forex	-1% FX against EUR	0.14	0.11	0.25
Forex	+1 point Forex Volatility	0.29	0.00	0.29

1.3 - Derivatives and hedging policies

1.3.1 Derivatives for trading

A. Financial derivatives

A.1 Financial derivatives for trading: end of period notional amounts

Underlying asset/Type of derivative	Total 31 12 2022				Total 31 12 2021			
	Over the counter			Organised financial markets	Over the counter			Organised financial markets
	Central counterparties	No Central counterparties			Central counterparties	No Central counterparties		
		Contracts subject to Master netting agreements	Contracts not subject to Master netting agreements			Contracts subject to Master netting agreements	Contracts not subject to Master netting agreements	
1. Debt securities and interest rate	-	196,363,007	5,615,048	-	-	189,388,545	7,292,046	-
a) Options	-	8,517,332	1,409,676	-	-	11,675,636	1,789,893	-
b) Swaps	-	186,800,123	3,961,407	-	-	173,103,743	4,718,268	-
c) Forward	-	-	243,965	-	-	-	783,885	-
d) Futures	-	1,045,552	-	-	-	4,609,166	-	-
e) Other	-	-	-	-	-	-	-	-
2. Equity securities and stock indices	-	10,957,183	12,682	187,950	-	7,565,000	9,459	247,253
a) Options	-	7,954,395	12,682	184,854	-	4,591,191	9,459	218,769
b) Swaps	-	2,734,810	-	-	-	2,650,232	-	-
c) Forward	-	-	-	-	-	-	-	-
d) Futures	-	267,978	-	3,096	-	323,577	-	28,484
e) Other	-	-	-	-	-	-	-	-
3. Exchange rates and gold	-	349,930	2,500,599	-	-	454,824	2,697,837	-
a) Options	-	153,947	647,434	-	-	189,955	557,465	-
b) Swaps	-	-	-	-	-	29,984	-	-
c) Forward	-	195,983	1,853,165	-	-	234,885	2,140,372	-
d) Futures	-	-	-	-	-	-	-	-
e) Other	-	-	-	-	-	-	-	-
4. Commodities	-	256,794	369,349	-	-	218,433	220,126	-
5. Other underlying	-	-	-	-	-	-	-	-
Total	-	207,926,914	8,497,678	187,950	-	197,626,802	10,219,468	247,253



A.2 Financial derivatives for trading: gross positive and negative fair value - breakdown by products

Underlying asset/Type of derivative	Total 31 12 2022				Total 31 12 2021			
	Over the counter			Organised financial markets	Over the counter			Organised financial markets
	Central couterparties	No Central counterparties			Central couterparties	No Central counterparties		
		Contracts subject to Master netting agreements	Contracts not subject to Master netting agreements			Contracts subject to Master netting agreements	Contracts not subject to Master netting agreements	
1. Positive Fair value								
a) Options	-	329,105	16,904	8,828	-	123,112	15,533	10,398
b) Interest rate swap	-	10,658,725	20,689	-	-	4,643,767	111,783	-
c) Cross currency swap	-	-	-	-	-	-	-	-
d) Equity swap	-	20,327	-	-	-	59,106	-	-
e) Forward	-	7,748	46,627	-	-	9,600	18,913	-
f) Futures	-	407	-	-	-	1,672	-	-
g) Other	-	9,958	43,527	-	-	19,879	35,269	-
Total	-	11,026,270	127,747	8,828	-	4,857,136	181,498	10,398
2. Negative fair value								
a) Options	-	183,275	97,811	3,976	-	173,093	25,826	7,855
b) Interest rate swap	-	9,454,487	179,366	-	-	3,584,981	4,764	-
c) Cross currency swap	-	-	-	-	-	72	-	-
d) Equity swap	-	42,174	-	-	-	62,558	-	-
e) Forward	-	2,974	20,599	-	-	2,838	23,142	-
f) Futures	-	116	-	-	-	780	-	-
g) Other	-	6,683	55,805	-	-	24,417	36,152	-
Total	-	9,689,709	353,581	3,976	-	3,848,739	89,884	7,855



A.3 Financial OTC derivatives for trading: notional amounts, gross positive and negative fair value by counterparties

31 12 2022

Underlying assets	Central Counterparties	Banks	Other Financial Companies	Other entities
Contracts not subject to master netting agreements				
1) Debt securities and interest rates				
- notional value	X	3,051	401,776	5,210,220
- positive fair value	X	56	9,995	22,880
- negative fair value	X	-	5,743	260,512
2) Equity securities and stock indices				
- notional value	X	-	8,420	4,262
- positive fair value	X	-	3,770	613
- negative fair value	X	-	-	-
3) Exchange rates and gold				
- notional value	X	767,727	1,875	1,730,997
- positive fair value	X	13,448	124	33,336
- negative fair value	X	6,001	-	25,521
4) Commodities				
- notional value	X	-	1,191	368,158
- positive fair value	X	-	1,141	42,384
- negative fair value	X	-	1,138	54,667
5) Other underlying				
Contracts subject to master netting agreements				
1) Debt securities and interest rates				
- notional value	-	65,321,507	129,176,410	1,865,090
- positive fair value	-	2,756,019	8,115,109	72,324
- negative fair value	-	2,466,478	6,812,423	229,355
2) Equity securities and stock indices				
- notional value	-	1,205,502	9,751,680	-
- positive fair value	-	7,382	57,307	-
- negative fair value	-	42,522	128,327	-
3) Exchange rates and gold				
- notional value	-	176,889	80,778	92,264
- positive fair value	-	6,450	-	1,314
- negative fair value	-	1,118	1,132	1,555
4) Commodities				
- notional value	-	12,113	156,839	87,842
- positive fair value	-	688	407	9,270
- negative fair value	-	523	116	6,160
5) Other underlying				



A.4 Residual life of financial OTC derivatives for trading: notional amounts

Underlying asset/residual life	Up to 1 year	1 to 5 years	Over 5 years	Total
A.1 Financial derivatives on debt securities and interest rates	56,070,858	72,923,273	72,983,924	201,978,055
A.2 Financial derivatives on equity securities and stock indices	8,546,072	2,203,957	219,836	10,969,865
A.3 Financial derivatives on exchange rates and gold	2,763,771	86,758	-	2,850,529
A.4 Financial derivatives on other underlying assets	545,556	80,587	-	626,143
A.5 Other financial derivatives	-	-	-	-
Total 31 12 2022	67,926,257	75,294,575	73,203,760	216,424,592
Total 31 12 2021	47,016,035	92,725,827	68,104,408	207,846,270

B. Credit derivatives

B.1. Credit derivatives for trading: end of period notional amounts

Transaction categories	Trading book	
	single name	with multiple counterparties (basket)
1. Purchases of protection		
a) Credit default products	96,564	51,000
b) Credit spread products	-	-
c) Total rate of return swap	-	-
d) Others	-	-
Total 31 12 2022	96,564	51,000
Total 31 12 2021	105,307	235,000
2. Sales of protection	-	-
a) Credit default products	3,358,056	5,000
b) Credit spread products	-	-
c) Total rate of return swap	-	-
d) Others	-	-
Total 31 12 2022	3,358,056	5,000
Total 31 12 2021	3,222,092	-



B.2. OTC credit derivatives: gross positive and negative fair value - breakdown by products

	Total 31 12 2022	Total 31 12 2021
1. Positive fair value	-	-
a) Credit default products	3	195
b) Credit spread products	-	-
c) Total rate of return swap	-	-
d) Other	-	-
Total	3	195
2. Negative fair value	-	-
a) Credit default products	142,774	113,361
b) Credit spread products	-	-
c) Total rate of return swap	-	-
d) Other	-	-
Total	142,774	113,361

B.3. OTC credit derivatives for trading: notional amounts, gross fair value (positive and negative) by counterparties

31 12 2022

Contracts not subject to netting agreements	Central counterparties	Banks	Other financial companies	Other entities
Contracts not subject to master netting agreements				
1) Purchase of protection				
2) Sales of protection				
Contracts subject to master netting agreements				
1) Purchase of protection				
- notional value	-	14,063	133,500	-
- positive fair value	-	-	-	-
- negative fair value	-	92	3,951	-
2) Sales of protection				
- notional value	-	-	3,363,056	-
- positive fair value	-	-	3	-
- negative fair value	-	-	138,731	-



B.4 Residual life of OTC credit derivatives for trading: notional amounts

Underlying asset/residual life	Up to 1 year	1 to 5 years	Over 5 years	Total
1. Sales of protection	440,739	949,168	1,973,149	3,363,056
2. Purchase of protection	-	72,564	75,000	147,564
Total 31 12 2022	440,739	1,021,732	2,048,149	3,510,620
Total 31 12 2021	-	1,961,556	1,600,843	3,562,399

B.5 Credit derivatives related to the fair value option: annual changes

This table was not completed as the Group has no such liabilities to report for either the current or the previous year.

1.3.2 Hedges

Qualitative Information

The Group, in applying IFRS 9, has exercised the option provided for by the standard to continue to fully apply IAS 39 for all types of hedging (micro and macro). Therefore, the provisions of IFRS 9 in terms of hedging do not apply.

A. Fair value hedging

The purpose of interest rate risk hedging is to protect the banking book from changes in the fair value of deposits and loans caused by movements in the interest rate curve or to reduce the variability of cash flows linked to a particular asset/liability.

For the Group the risk predominantly hedged is the interest rate risk with fair value hedges, for a total of approximately EUR 24.5 bn in nominal amount of hedging derivatives.

The Group uses the following hedges to manage interest rate risk:

- Micro fair value hedges: hedging of trading assets (loans/mortgage loans), securities portfolio and bonds;
- macro fair value hedges: hedging trading assets (loans/mortgage loans) and corporate funding (time deposits).

The fair value hedges at Group level regard both micro hedges of assets and liabilities, specifically identified and represented by government bonds in the Banking Book and bonds issued by the Parent Company, as well as macro hedges (version with bottom layer approach) of retail fixed-rate deposits.

The derivatives used for this purpose are primarily interest rate swaps (IRS) and options on rates realised with third parties or with other companies of the Group which, in return, hedge the market risk so that the requirements for outsourcing hedging with counterparties, necessary to qualify the hedging at the consolidated financial level, are complied with.

Derivatives are not listed in regulated markets, but are traded within the scope of OTC circuits. OTC agreements also include those brokered through Clearing Houses.

B. Cash-flow hedging

The Group does not have any such hedging in place.

C. Hedging of foreign investments

The Group does not have any such hedging in place.



D. Hedging instruments

The sources of ineffectiveness of a hedging relationship are generally and primarily ascribable to the following aspects:

- trading of derivatives based on non-market parameters;
- incorrect estimate of the hedging percentage;
- plan for the amortisation of the notional amount that is not aligned with that recognised on the hedged instrument.

The ineffectiveness of the hedging is recognised in the Income Statement and measured according to the possibility of continuing to apply the hedge accounting rules.

E. Hedged items

At the Group level, the main types of hedged items are:

- debt securities under assets;
- debt securities issued;
- fixed-rate commercial loans;
- optional component implicit in the floating-rate mortgage loans;
- fixed-rate commercial funding.

E.1 Debt securities under assets

Hedging relationships of these assets are especially of a micro fair value hedge type; derivatives used for this purpose are mainly IRS and the hedged risk is the interest rate risk.

The Dollar Offset Method is used to verify the efficacy of the hedge. This method is based on the relationship between the cumulated changes (from the beginning of the hedging) in the fair value of the hedging instrument, attributable to the hedged risk, and the past changes in the fair value of the hedged item.

E.2 Debt securities issued

These are securities covered by hedges in the micro fair value hedge category; derivatives used as hedging instruments are primarily IRS. The hedged risk is the interest rate risk.

The Dollar Offset Method is used to verify the efficacy of the hedge. This method is based on the relationship between the cumulated changes (from the beginning of the hedging) in the fair value of the hedging instrument, attributable to the hedged risk, and the past changes in the fair value of the hedged item.

E.3 Fixed-rate commercial loans

The hedging relationships in place are of a macro fair value hedge type and the derivatives used as hedging instruments are primarily IRS. The hedged risk is the interest rate risk.

The effectiveness of the macro hedging on fixed-rate loans is verified through specific forward- and backward-looking tests aimed at demonstrating that the hedged portfolio contains an amount of assets for which the sensitivity profile and the changes in the fair value for the interest rate risk to match those of the hedging derivatives. It should be noted that for the purpose of the forward- and backward-looking tests, the hedged portfolio takes into account the prepayment estimates, determined on the basis of the model used from time to time to manage interest rate risk.

E.4 Optional component implicit in the floating-rate mortgage loans

The optional components implicit in mortgage loans with floating interest rate are hedged with a macro fair value hedge using, as hedging instruments, cap/floor derivatives.

The effectiveness of the hedging is verified by using the resilience of the capacity test.

E.5 Fixed-rate commercial funding

Fixed-rate commercial funding is subject to macro fair value hedging, mainly through the use of hedging instruments such as IRS derivatives. The hedged risk is the interest rate risk.

The effectiveness of the macro hedges on the commercial funding with fixed interest rate is verified using the Dollar Offset Method. This method is based on the relationship between the cumulated changes (from the beginning of the hedging) in the fair value of the hedging instrument, attributable to the hedged risk, and the past



changes in the fair value of the hedged item. The effectiveness is verified through a capacity test that compares the amount of the hedged items and the amount of the hedging instrument.

Other information

Paragraph 24H of IFRS 7, introduced by Regulation No. 34 of 15 January 2020, requires specific disclosure on uncertainties arising from the benchmark rate reform on hedging relationships and the notional value of hedging instruments potentially impacted by the benchmark rate reform.

The following table provides a breakdown by nominal amount of accounting hedges, gross of IAS 32 offsets, according to the interest rate reference index.

Interest rate	ASSETS		LIABILITIES		Total
	Nominal hedging		Nominal hedging		
	Micro-FVH	Macro-FVH	Micro-FVH	Macro-FVH	
EURIBOR 1M		1,666,644	750,000	1,727,328	4,143,972
EURIBOR 3M	1,126,448	2,614,638	1,150,000		4,891,086
EURIBOR 6M	3,481,386	7,098,439	3,500,000	1,121,759	15,201,584
USD LIBOR 3M	362,835				362,835
USD SOFR	46,878				46,878
EURIBOR 30Y CMS	80,097				80,097
	5,097,644	11,379,721	5,400,000	2,849,087	24,726,452

As of 31 December 2022, the notional value of the contracts potentially impacted by the reform under review and qualified in a hedging relationship amounted to EUR 362.8 mln and referred only to derivatives linked to the “USD Libor 3-month” interest rate, with maturity beyond the end of the USD Libor rate’s expected termination date, planned at the end of the first half of 2023. These are “interest rate swap” derivatives designated in a specific fair value hedging relationship of government bonds classified in the portfolio of “Financial assets measured at amortised cost”, for a nominal value of EUR 362.8 mln.

For further information on the evolution of the reform, please refer to paragraph “Interest rate benchmark reform” in Section 5 –“ Other matters” of Part A “Accounting Policies” of these Notes to consolidated financial statements.



Quantitative Information

A. Financial hedging derivatives

4.1 Financial hedging derivatives: end of period notional amounts

Underlying asset/Type of derivative	Total 31 12 2022				Total 31 12 2021			
	Over the counter			Organised financial markets	Over the counter			Organised financial markets
	Central counterparties	No Central counterparties			Central counterparties	No Central counterparties		
		Contracts subject to master netting agreements	Contracts not subject to master netting agreements			Contracts subject to master netting agreements	Contracts not subject to master netting agreements	
1. Debt securities and interest rate	-	24,374,350	-	-	-	26,324,634	-	-
a) Options	-	5,063,368	-	-	-	6,175,828	-	-
b) Swaps	-	19,310,982	-	-	-	20,148,806	-	-
c) Forward	-	-	-	-	-	-	-	-
d) Futures	-	-	-	-	-	-	-	-
e) Other	-	-	-	-	-	-	-	-
2. Equity securities and stock indices	-	-	-	-	-	-	-	-
a) Options	-	-	-	-	-	-	-	-
b) Swaps	-	-	-	-	-	-	-	-
c) Forward	-	-	-	-	-	-	-	-
d) Futures	-	-	-	-	-	-	-	-
e) Other	-	-	-	-	-	-	-	-
3. Exchange rates and gold	-	362,835	-	-	-	341,692	-	-
a) Options	-	-	-	-	-	-	-	-
b) Swaps	-	362,835	-	-	-	341,692	-	-
c) Forward	-	-	-	-	-	-	-	-
d) Futures	-	-	-	-	-	-	-	-
e) Other	-	-	-	-	-	-	-	-
4. Commodities	-	-	-	-	-	-	-	-
5.Other underlying	-	-	-	-	-	-	-	-
Total	-	24,737,185	-	-	-	26,666,326	-	-



A.2 Financial hedging derivatives: gross positive and negative fair value - breakdown by products

Underlying asset/Type of derivative	Total 31 12 2022				Total 31 12 2022			
	Over the counter			Organised financial markets	Over the counter			Organised financial markets
	Central counterparties	No Central counterparties			Central counterparties	No Central counterparties		
		Contracts subject to master netting agreements	Contracts not subject to master netting agreements			Contracts subject to master netting agreements	Contracts not subject to master netting agreements	
1. Positive fair value								
a) Options	-	37,182	-	-	-	-	-	-
b) Interest rate swap	-	1,469,874	-	-	-	121,258	-	-
c) Cross currency swap	-	-	-	-	-	-	-	-
d) Equity swap	-	-	-	-	-	-	-	-
e) Forward	-	-	-	-	-	-	-	-
f) Futures	-	-	-	-	-	-	-	-
g) others	-	-	-	-	-	-	-	-
Total	-	1,507,056	-	-	-	121,258	-	-
2. Negative fair value								
a) Opzioni	-	17,576	-	-	-	136,796	-	-
b) Interest rate swap	-	717,735	-	-	-	1,191,476	-	-
c) Cross currency swap	-	54,861	-	-	-	37,409	-	-
d) Equity swap	-	-	-	-	-	-	-	-
e) Forward	-	-	-	-	-	-	-	-
f) Futures	-	-	-	-	-	-	-	-
g) Others	-	-	-	-	-	-	-	-
Total	-	790,172	-	-	-	1,365,681	-	-

A.3 Financial OTC hedging derivatives: notional amounts, gross positive and negative fair value by counterparties

31 12 2022

Contracts not subject to netting agreements	Central counterparties	Banks	Other financial companies	Other entities
Contracts not subject to master netting agreements				
1) Debt securities and interest rates				
2) Equity securities and stock indices				
3) Exchange rates and gold				
4) Commodities				
5) Other underlying				
Contracts subject to master netting agreements				
1) Debt securities and interest rates				
- notional value	-	24,105,136	269,213	-
- positive fair value	-	1,487,230	19,827	-
- negative fair value	-	691,746	43,565	-
2) Equity securities and stock indices				
3) Exchange rates and gold				
- notional value	-	362,835	-	-
- positive fair value	-	-	-	-
- negative fair value	-	54,861	-	-
4) Commodities				
5) Other underlying				



A.4 Residual life of financial OTC hedging derivatives: notional amounts

Underlying asset/residual life	Up to 1 year	1 to 5 years	Over 5 years	Total
A.1 Financial derivatives on debt securities and interest rates	3,510,641	7,982,018	12,881,690	24,374,349
A.2 Financial derivatives on equity securities and stock indices	-	-	-	-
A.3 Financial derivatives on exchange rates and gold	362,835	-	-	362,835
A.4 Financial derivatives on other underlying assets	-	-	-	-
A.5 Other financial derivatives				
Total 31 12 2022	3,873,476	7,982,018	12,881,690	24,737,184
Total 31 12 2021	2,480,493	10,650,694	13,535,140	26,666,327

B. Credit hedging derivatives

B.1 Credit hedging derivatives: end of period notional amounts

B.2 Credit hedging derivatives: gross positive and negative fair value - breakdown by products

B.3 OTC credit hedging derivatives: notional amounts, gross positive and negative fair value by counterparties

B.4 Residual life of OTC credit hedging derivatives: notional amounts

The table above was not completed as the Group had no outstanding credit hedging derivatives for either the current or the previous year.

C. Non-derivative hedging instruments

C.1 Hedging instruments other than derivatives: breakdown by accounting portfolio and type of hedging

D. Hedged instruments

D.1 Fair value hedging

D.2 Cash-flow and foreign investment hedging

E. Effects of hedging transactions on equity

E.1. Reconciliation of equity items

The tables for Sections C, D and E were not completed, as the Group exercised the option, envisaged on first-time application of IFRS 9, to continue to use, as regards “hedge accounting”, the provisions of IAS 39.



1.3.3 Other information on derivatives (trading and hedging)

A. Financial and credit derivatives

A.1 OTC financial and credit derivatives: net fair values by counterparties

31 12 2022

Underlying assets	Central counterparties	Banks	Other financial companies	Other entities
A. Financial derivatives				
1. Debt securities and interest rates				
- notional value	-	69,927,672	115,129,929	-
- positive fair value	-	3,189,465	6,861,173	-
- negative fair value	-	2,159,857	6,556,350	-
2. Equity securities and stock indices				
- notional value	-	-	6,975,552	-
- positive fair value	-	-	36,636	-
- negative fair value	-	-	19,713	-
3. Exchange rates and gold				
- notional value	-	-	-	-
- positive fair value	-	-	-	-
- negative fair value	-	-	-	-
4) Commodities				
- notional value	-	-	156,688	-
- positive fair value	-	-	407	-
- negative fair value	-	-	116	-
4. Other underlying				
- notional value	-	-	-	-
- positive fair value	-	-	-	-
- negative fair value	-	-	-	-
B. Credit derivatives				
1. Purchase of protection				
- notional value	-	-	51,000	-
- positive fair value	-	-	-	-
- negative fair value	-	-	302	-
2. Sales of protection				
- notional value	-	-	5,000	-
- positive fair value	-	-	3	-
- negative fair value	-	-	-	-

The table shows the positive or negative fair values of the derivatives subject to offsetting pursuant to IAS 32.42.



1.4 - Liquidity risk

Qualitative Information

A. Liquidity risk: general aspects, operational processes and measurement methods

In 2022, the Montepaschi Group continued to strengthen and streamline its strategic and operational liquidity risk management processes, paying particular attention to, inter alia, the analysis of risk factors related to climate and environmental changes and their possible impact on the Group's liquidity situation.

Group Liquidity Risk Framework

The Montepaschi Group has used a Liquidity Risk Framework for many years now, intended as the set of tools, methodologies, organisational and governance set-ups which ensures both compliance with national and international regulations and adequate liquidity risk governance in the short (Operating Liquidity) and medium/long (Structural Liquidity) term, under business as usual and stress conditions.

The reference Liquidity Risk model for the Montepaschi Group is "centralised" and calls for the management of short-term liquidity reserves and medium/long-term financial balance at Parent Company level, guaranteeing solvency on a consolidated and individual basis for the subsidiaries.

The internal assessment of liquidity adequacy is a process that is part of the more general Risk Management macro-process, in direct connection with the Risk Appetite Framework (RAF) through the annual formulation of the Risk Appetite Statement (RAS) with related thresholds.

The overall internal liquidity adequacy assessment takes place periodically as part of the strategic ILAAP (Internal Liquidity Adequacy Assessment Process) process consisting mainly of:

- ILAAP Outcomes, or quantitative (inherent risk) and qualitative (risk management and controls) assessments on risk positioning prepared by the Risk Control function and submitted to the Board of Directors, the document accompanied by the so-called Liquidity Adequacy Statement (LAS), i.e., the summary statement of the Board of Directors which expresses its vision and awareness for the purposes of liquidity adequacy management.
- ILAAP ongoing, which consists substantially of periodical analyses of liquidity adequacy which are described in reports to the corporate bodies.

Liquidity Risk Management

The management of the Group's **Operational Liquidity** aims at ensuring the capacity of the Montepaschi Group to meet the cash payment obligations within a short-term time frame. The essential condition for a normal course of business in banking is the maintenance of a sustainable imbalance between cash inflows and outflows in the short term. From the operational perspective, the benchmark metric in this respect is the difference between net cumulative cash flows and Counterbalancing Capacity, i.e. the reserve of liquidity in response to stress conditions over a short time horizon, in addition to the Liquidity Coverage Ratio (LCR) regulatory measure - Delegated Act. From the extremely short-term perspective, the Group adopts a system for the analysis and monitoring of intraday liquidity, with the goal of ensuring normal development during the day of the bank's treasury and its capacity to meet its intraday payment commitments.

Management of the Group's **Structural Liquidity** is intended to ensure the structural financial balance by maturity buckets over a time horizon of more than one year, both at Group and individual company level. Maintenance of an adequate dynamic ratio between medium/long-term assets and liabilities is aimed at preventing current and prospective short-term funding sources from being under pressure. The benchmark metrics are gap ratios which measure the ratio of total deposits and loans over more-than-1-year and more-than-5-year maturity deposits and the ratio of commercial deposits and collections in addition to the regulatory measurement of the Net Stable Funding Ratio (NSFR) in accordance with the rules issued by CRR2⁵⁷, entered into force during June 2021. The Montepaschi Group also defined and formalised:

- the asset encumbrance management and monitoring framework with the goal of analysing:
 - the overall degree of encumbrance of total assets;

⁵⁷ Regulation (EU) 2019/876 of the European Parliament and of the Council of 20 May 2019 amending Regulation (EU) no. 575/2013 with regard to leverage ratio, net stable funding ratio, own funds and eligible liabilities requirements, counterparty risk, market risk, exposures to central counterparties, exposures to collective investment undertakings, large exposures, reporting and disclosure requirements and Regulation (EU) no. 648/2012.



- the existence of a sufficient quantity of assets that may be encumbered but which are free;
- the Montepaschi Group's capacity to transform bank assets into eligible assets (or in an equivalent manner, to encumber non-eligible assets in bilateral transactions);

and

- the monitoring framework of the Concentration Risk, with the goal of analysing:
 - the concentration of the funding sources, by counterparty and by type of channel;
 - the concentration of the assets composing the liquidity reserves of the Montepaschi Group.

The liquidity position is monitored under business-as-usual conditions and under specific, system-wide and/or combined stress scenarios (with adverse and extreme intensity) according to the Liquidity Stress Test Framework. The purposes of these exercises are:

- to show, in a timely manner, the main Montepaschi Group's vulnerability to liquidity risk;
- to calculate the survival time frame of the Montepaschi Group under stress conditions;
- to enable a prudential determination of surveillance levels, to be applied to the Liquidity Risk measurement metrics within the scope of the annual Risk Appetite Statement.

Within the scope of Risk Appetite Framework, the Liquidity Risk Framework identifies the tolerance thresholds for liquidity risk, that is to say the maximum risk exposure deemed sustainable in a business-as-usual scenario and under stress conditions. The short/medium and long-term liquidity risk limits derive from the setting of these risk appetite thresholds.

The system of operating limits, known as Liquidity Risk Limits, is defined so as to make it possible to promptly identify approaches to the risk tolerance threshold as defined in the annual Risk Appetite Statement process.

In order to immediately identify the emergence of vulnerabilities in the liquidity's position, the Montepaschi Group has developed a range of Early Warnings, classified as generic or specific depending on whether the individual indicator is designed to detect potential vulnerabilities in the overall economic context of reference or in the Montepaschi Group structure.

With specific reference to climatic and environmental risk factors, the materiality analysis carried out led to quantifying them as non-material, by reason of the low impact in terms of cash outflows on customer deposits from the physical events analysed, namely landslides and floods.

Group's Liquidity Management

Operating and Structural Liquidity management is governed by the Parent Company's Liquidity Management Department, which is responsible for defining and implementing funding strategies in the short and medium/long-term.

With reference to the management of operating liquidity, the Liquidity Management Function manages the Montepaschi Group's "liquidity reserves" so as to guarantee the Bank's capacity to deal with expected and unexpected outflows, to that end making recourse to various interbank market instruments (unsecured deposits, collateralised deposits, repos) as well as transactions with the Central Bank.

With reference to the management of Structural Liquidity, the Liquidity Management Function pursues the objectives detailed in the annual Funding Plan, which operationally implements the medium-long term strategies defined in the "Liquidity and Funding Strategy". The Group's Liquidity and Funding Strategy defines the funding activity guidelines of the Montepaschi Group in terms of risk appetite, with a multi-year time horizon, in compliance with the long-term risk tolerance thresholds on operating and structural liquidity indicators, internal and regulatory, defined within the Group's Risk Appetite Statement (RAS).

In addition, to complete the Funding Plan, Liquidity Management prepares the Contingency Funding Plan, which represents the operational tool for liquidity risk management intended to define intervention strategies in the case of liquidity tensions, laying out procedures and actions that may be promptly activated to obtain sources of funds in a stress scenario.



Liquidity position: regulatory indicators

The Montepaschi Group uses the following main indicators to assess its liquidity profile:

- Liquidity Coverage Ratio (LCR), which is the short-term liquidity indicator corresponding to the ratio between the amount of high quality liquid assets and the total net cash outflows in the subsequent 30 calendar days. Starting from 2018, the indicator has been subject to a minimum regulatory requirement of 100%;
- Net Stable Funding Ratio (NSFR), which is the structural 12-month liquidity indicator corresponding to the ratio between the available stable funding amount and the compulsory stable funding amount. This indicator, whose regulatory minimum requirement is 100% (starting with the reporting as at 30 June 2021), is subject to supervisory reporting on a quarterly basis;
- Loan to Deposit Ratio, representing the ratio between loans to customers and direct funding, excluding transactions with central counterparties.

Following are the three indicators in the reporting financial year compared with the previous financial year

	Regulatory requirement	31 12 2022	31 12 2021
LCR	100%	192.3%	172.7%
NSFR	100%	134.1%	129.6%
<i>Loan to Deposit Ratio *</i>	n.a.	93.0%	87.9%

(*) Indicator calculated as the ratio between loans to customers and the sum of customer deposits including bonds issued (deposits from customers, debt securities issued and financial liabilities measured at fair value).

The short-term liquidity indicator, the Liquidity Coverage Ratio (LCR), was 192.3% as at 31 December 2022, higher than the minimum regulatory requirement for 2022, and up from December 2021 (172.7%).

The medium/long-term liquidity indicator, the Net Stable Funding Ratio (NSFR), was 134.2% as at 31 December 2022, higher than the minimum regulatory requirement for 2022, and up from December 2021 (129.6%).

As at 31 December 2022, the operating liquidity position showed an unencumbered counterbalancing capacity level of EUR 25.5 bn, stable compared to 31 December 2021 (EUR 25.4 bn).

The trend of the regulatory liquidity indicators in 2022 was mainly affected by the successful outcome of the capital increase of EUR 2.5 bn, which was completed in November 2022.

Given that institutional maturities were not particularly relevant (mainly represented by EUR 0.75 bn of public covered bonds, EUR 0.5 bn of senior issues and EUR 1 bn of bilateral funding) and a starting situation of excess liquidity, the 2022 Funding Plan included, in addition to the capital strengthening of EUR 2.5 bn, a return to public covered issues and public senior issues; the latter, in particular, were planned in order to meet the MREL targets which, as of 1 January 2022, became binding for the banking system.

The amounts of public issues were periodically reviewed during the year, based on the actual liquidity position, the trend in RWA and Leverage Exposure, on the basis of which the MREL targets to be achieved are determined. In particular, considering the strong liquidity position and a better than expected trend in RWAs and capital ratios, the estimate of the issues to be carried out in 2022 has been gradually reduced, to almost zero. Despite the absence of institutional issues during 2022, the contribution of the capital increase made it possible to meet all MREL targets (the binding target from 1 January 2022 and the non-binding target of 1 January 2023).

During the year, the Montepaschi Group, following the changed economic conditions applied to ECB refinancing operations resulting from the economic policy decisions, decided to reduce the total amount of TLTRO III from EUR 29.5 bn to EUR 19.5 bn thanks, in addition to the natural maturity of EUR 4 bn, to the early repayment of EUR 6 bn. The reduction of the auctions was carried out under conditions of substantial neutrality on the LCR/NSFR indicators (compared to the year-end targets), in order to anticipate the positive effects on the MREL



targets resulting from a reduction in total liabilities (lower prospective issuance of senior non-preferred debt) and anticipating a reduction in the Asset Encumbrance ratio..

Impacts deriving from the COVID-19 pandemic

It should be noted that the Montepaschi Group did not need to resort to the temporary reliefs on liquidity, granted by the ECB following the stress induced by the COVID-19 pandemic.

As already noted in 2020 and in 2021, liquidity indicators remained well above regulatory levels, partly due to the impact of the extraordinary monetary policies introduced by the Central Bank to cope with the effects of the COVID -19 Pandemic.



Quantitative Information

1. Breakdown of financial assets and liabilities by residual contractual duration - Currency: Euro

31 12 2022

Account / Maturity	On demand	1 to 7 days	7 to 15 days	15 days to 1 month	1 to 3 months	3 to 6 months	6 months to 1 year	1 to 5 years	over 5 years	Unspecified maturity
Balance sheet assets	21,422,388	949,006	1,377,670	2,120,497	4,677,749	4,404,254	7,652,990	28,333,325	39,465,683	524,453
A.1 Government securities	-	3,336	7,630	177,827	597,028	266,387	2,261,480	4,656,894	6,648,707	-
A.2 Other debt securities	187,020	47	4,564	33,252	16,079	66,390	62,607	614,972	2,872,067	760
A.3 Units of UCITS	204,203	-	-	-	13	-	-	-	-	-
A.4 Loans	21,031,165	945,623	1,365,476	1,909,418	4,064,629	4,071,477	5,328,903	23,061,459	29,944,909	523,693
- Banks	13,016,764	203,654	106,110	150,902	47,824	27,104	241,603	145,207	48,957	514,757
- Customers	8,014,401	741,969	1,259,366	1,758,517	4,016,806	4,044,373	5,087,300	22,916,252	29,895,953	8,936
Balance-sheet liabilities	70,408,681	150,427	77,004	366,536	1,432,408	11,890,924	4,316,271	14,470,791	2,571,039	52,683
B.1 Deposits and current accounts	65,500,972	36,712	66,367	179,275	620,709	812,150	999,610	1,538,640	-	-
- Banks	124,984	-	-	-	-	-	-	-	-	-
- Customers	65,375,988	36,712	66,367	179,275	620,709	812,150	999,610	1,538,640	-	-
B.2 Debt securities	4,774	-	43	112,159	348	8,156	175,769	6,781,007	1,995,668	52,683
B.3 Other liabilities	4,902,935	113,715	10,594	75,102	811,351	11,070,618	3,140,892	6,151,144	575,371	-
Off-Balance sheet transactions										
C.1 Financial derivatives with exchange of principal										
- long positions	77,617	740,717	379,425	1,162,902	820,932	367,816	545,809	173,715	235,554	-
- short positions	100,800	849,541	22,661	273,042	681,406	290,845	617,224	137,106	883,560	-
C.2 Financial derivatives without exchange of principal										
- long positions	10,720,740	7	-	12,416	11,756	16,191	80,001	-	-	-
- short positions	9,761,276	4,560	4,210	7,083	30,900	51,234	125,140	-	-	-
C.3 Deposits and borrowings to be received										
- long positions	-	9,179,974	-	-	-	-	-	-	-	-
- short positions	-	9,177,099	-	-	2,875	-	-	-	-	-
C.4 Irrevocable commitments to disburse funds										
- long positions	528,551	2,364,749	97,480	-	9,878	2,000	2,363	311,707	701,038	-
- short positions	1,540,729	2,477,037	-	-	-	-	-	-	-	-
C.5 Financial guarantees given	8,862	54	17	1,103	788	2,952	4,087	7,706	515	28
C.6 Financial guarantees received	-	-	-	-	-	-	-	-	-	-
C.7 Credit derivatives with exchange of principal										
- long positions	-	-	-	-	-	52,648	388,091	944,168	2,048,149	-
- short positions	-	-	-	-	-	52,648	388,091	944,168	2,048,149	-
C.8 Credit derivatives without exchange of principal										
- long positions	3	-	-	-	-	-	-	-	-	-
- short positions	302	-	-	-	-	-	-	-	-	-



2. Breakdown of financial assets and liabilities by residual contractual duration - Currency: Other

31.12.2022

Account / Maturity	On demand	1 to 7 days	7 to 15 days	15 days to 1 month	1 to 3 months	3 to 6 months	6 months to 1 year	1 to 5 years	over 5 years	Unspecified maturity
Balance sheet assets	253,538	49,202	28,289	122,303	224,196	74,127	50,459	194,815	719,929	1,445
A.1 Government securities	-	-	-	-	174	1,177	5,905	2,109	72,005	-
A.2 Other debt securities	5	-	1,902	2	2,953	5,296	18,030	147,315	627,560	-
A.3 Units of UCITS	60,613	-	-	-	-	-	-	-	-	-
A.4 Loans	192,920	49,202	26,387	122,301	221,069	67,654	26,524	45,391	20,364	1,445
- Banks	126,648	36,009	8,782	23,053	55,861	15,736	7,616	1,910	-	-
- Customers	66,272	13,193	17,606	99,248	165,208	51,918	18,908	43,481	20,364	1,445
Balance-sheet liabilities	629,040	5,780	3,463	40,052	20,873	17,288	6,438	-	-	-
B.1 Deposits and current accounts	543,887	436	3,463	624	20,873	17,288	6,438	-	-	-
- Banks	75,161	-	3,463	-	-	-	-	-	-	-
- Customers	468,725	436	-	624	20,873	17,288	6,438	-	-	-
B.2 Debt securities	-	-	-	-	-	-	-	-	-	-
B.3 Other liabilities	85,153	5,344	-	39,428	-	-	-	-	-	-
Off-Balance sheet transactions										
C.1 Financial derivatives with exchange of principal										
- long positions	1,875	310,110	119,614	158,418	196,939	215,908	142,785	18,717	-	-
- short positions	28,431	133,404	360,413	510,862	607,120	204,708	146,262	2,842	5	-
C.2 Financial derivatives without exchange of principal										
- long positions	254,817	-	-	-	-	-	-	-	-	-
- short positions	165,200	-	-	-	-	-	-	-	-	-
C.3 Deposits and borrowings to be received										
- long positions	-	-	-	-	-	-	-	-	-	-
- short positions	-	-	-	-	-	-	-	-	-	-
C.4 Irrevocable commitments to disburse funds										
- long positions	-	-	-	9	2,675	513	-	-	-	-
- short positions	3,198	-	-	-	-	-	-	-	-	-
C.5 Financial guarantees given	61	-	-	-	18	-	-	334	-	-
C.6 Financial guarantees received	-	-	-	-	-	-	-	-	-	-
C.7 Credit derivatives with exchange of principal										
- long positions	-	-	-	-	-	-	-	21,564	-	-
- short positions	-	-	-	-	-	-	-	21,564	-	-
C.8 Credit derivatives without exchange of principal										
- long positions	-	-	-	-	-	-	-	-	-	-
- short positions	-	-	-	-	-	-	-	-	-	-



Self-securitisations

The securitisation transactions whereby the Group underwrites securities issued by special purpose vehicles (self-securitisations) are not shown in the tables of Part E of the Notes to the Financial Statements, section “C. Securitisation and asset disposal transactions”, pursuant to the provisions of Bank of Italy Circular 262.

Self-securitisations of assets are transactions aimed at improving liquidity risk management by optimising the amount of assets readily available to cover liquidity requirements.

Although the Group’s direct and full underwriting of the notes issued by the vehicles does not make it possible to obtain direct liquidity from the market, it still provides the Group with securities that could be used for ECB refinancing (limited to the senior tranches as ECB eligible) and for purchase agreements by increasing the availability of disposable assets, thus improving the MPS Group safety margin against liquidity risk (counterbalancing capacity). These transactions had no economic impact on the financial statements: loans continue to be reported under item 40b) “Financial assets measured at amortised cost: loans to customers” on the assets side, while underwritten notes are not reported.

As at 31 December 2022, this category includes the self-securitisations completed in December 2007 (Siena Mortgages 07-5), April 2008 (Siena Mortgages 07-5 II series), April 2009 (Siena Mortgages 09-6), April 2019 (Siena PMI 2016 Series 2) and January 2016 (Siena Lease 2016-2)⁵⁸.

Siena Mortgages 07-5, I and II series

On 21 December 2007, through the vehicle Siena Mortgages 07-5 S.p.A., the Parent Company finalised a securitisation of performing loans consisting of a portfolio of 57,968 residential mortgage loans for a total of EUR 5,162.4 mln, of which a balance of EUR 674.3 mln (14,371 mortgage loans) outstanding as at 31 December 2022.

In order to fund the acquisition, the Vehicle issued Residential Mortgage Backed Floating Rate Notes (RMBS) in the following classes, rated by Moody’s and Fitch as at 31 December 2021:

- Class A notes (Aa3 and AA-) for a nominal amount of EUR 4,765.9 mln, of which EUR 4,501.2 mln redeemed;
- Class B notes (Aa3 and AA-), for a nominal amount of EUR 157.4 mln;
- Class C notes (B3 and B-), for a nominal amount of EUR 239.0 mln.

A cash reserve was set up to support the transaction for an initial amount of EUR 124.0 mln, through the issuance of class D notes, and posted under asset item 40 b) “Financial assets measured at amortised cost: loans to customers”. The transaction reached the Protection Ratio (ratio between total Class B and C notes and total Class A, B and C notes) which allowed for the gradual reduction of the cash reserve: EUR 22.5 mln as at 31 December 2022.

Through the same vehicle (Siena Mortgages 07-5 S.p.A.), on 24 April 2008 a second transaction was finalised (Siena Mortgages 07-5 second series), collateralised by a separate pool of assets consisting of an additional sale of a portfolio of performing loans composed of 41,888 residential mortgage loans for a total of EUR 3,416.0 mln and with a residual life of about 20 years.

This portfolio, as at 31 December 2022, had a residual debt of EUR 530.0 mln (8,596 mortgages).

In order to fund acquisition of the loans, the Vehicle issued RMBS notes in the following classes, rated by Moody’s and Fitch as at 31 December 2022:

- Class A notes (Aa3 and A+) for a nominal amount of EUR 3,129.4 mln, of which EUR 2,897.5 mln redeemed;
- Class B notes (Aa3 and A+), for a nominal amount of EUR 108.3 mln;
- Class C notes (NR and B-), for a nominal amount of EUR 178.3 mln.

⁵⁸The transactions Siena PMI 2016 Series 2 and Siena Lease 2016-2, following the redemption of the securities placed on the market, became self-securitisations in 2022 and 2019, respectively, as the outstanding securities were fully underwritten by the originators, the Parent Company and MPS Leasing & Factoring, respectively.



A cash reserve was set up to support the transaction for an initial amount of EUR 81.9 mln, through the issuance of class D notes, posted under asset item 40 b) “Financial assets measured at amortised cost: loans to customers”. The transaction reached the Protection Ratio (ratio between total Class B and C notes and total Class A, B and C notes) which allowed for the gradual reduction of the cash reserve, which was EUR 14.6 mln as at 31 December 2022.

Siena Mortgages 09-6, I series

On 22 April 2009 the Parent Company finalised a securitisation through the vehicle Siena Mortgages 09 – 6 Srl of a portfolio of performing mortgage loans in real estate and building for a total of EUR 4,436.5 mln. As at 31 December 2022, the residual debt is EUR 735.6 mln for a total of 12,941 mortgage loans.

In order to fund the acquisition of the portfolio sold, the Vehicle issued Residential Mortgage Backed Floating Rate Notes (RMBS) in the following classes, rated by Moody’s and Fitch as at 31 December 2022:

- Class A notes (Aa3 and AA) for a nominal amount of EUR 3,851.3 mln, of which EUR 3,748.2 mln redeemed;
- Class B notes (NR and AA), for a nominal amount of EUR 403.7 mln;
- Class C notes (NR and AA), for a nominal amount of EUR 181.4 mln.

A cash reserve was set up to support the transaction for an initial amount of EUR 106.5 mln, through the issuance of class D notes, posted under asset item 40 b) “Financial assets measured at amortised cost: loans to customers”. As at 31 December 2022, the reserve amounted to EUR 139.8 mln. It should be noted that the Parent Company, in February 2023, authorised the completion of the early closing of the Siena Mortgages 09 6 securitisation with the consequent repurchase of the residual portfolio.

Siena PMI 2016 Serie 2 Srl

In 2019 the Group carried out a securitisation through the vehicle named Siena PMI 2016 Srl. On 12 April 2019, the Parent Company finalised a securitisation transaction of a portfolio of performing loan agreements granted to Italian small to medium sized enterprises, in the amount of EUR 2,258.4 mln. As at 31 December 2022, the remaining debt was EUR 638.9 mln, for a total of 7,949 loan agreements.

To fund the acquisition of the portfolio sold, on 19 June 2019 the SPV issued asset-backed securities (ABS) in different classes, rated by Fitch and DBRS as at 31 December 2022 as follows:

- Class A1 notes for a nominal amount of EUR 519.4 mln, redeemed in full;
- Class A2 notes for a nominal amount of EUR 813.0 mln, redeemed in full;
- Class B notes for a nominal amount of EUR 225.8 mln, repaid in full;
- Class C notes (AA and AAH) for a nominal amount of EUR 271.0 mln, of which EUR 9.1 mln redeemed;
- Class D notes (BB+ and CCC) for a nominal amount of EUR 248.5 mln;
- Class J notes (not rated) for a nominal amount of EUR 180.7 mln.

The Class A2 notes were placed with institutional investors for a total of EUR 720 mln; the remaining senior notes, together with the mezzanine and junior notes, were instead underwritten by the Parent Company.

The partial sale of the Class A2 notes on the market did not entail the derecognition of the underlying assets from the balance sheet of the assignor bank, which had substantially retained all risks and rewards associated with the ownership of the assets sold. Following the full repayment of that class in February 2022, the transaction previously classified as a “Own securitisation without derecognition” is, as at 31 December 2022, to be considered a self-securitisation.

Siena Lease 2016-2 Srl

On 3 December 2015, the subsidiary MPS Leasing & Factoring sold a portfolio consisting of 13,181 performing finance leases totalling EUR 1,619.8 mln to the special purpose vehicle “Siena Lease 2016-2 Srl”. As at 31 December 2022, the remaining debt balance amounted to EUR 397.9 mln (1,978 outstanding lease contracts).



In order to fund the acquisition of this portfolio, on 28 January 2016 the Vehicle issued Asset-Backed Securities (ABS) in the following classes, rated by Moody's e Fitch as at 31 December 2022:

- Class A notes for a nominal amount of EUR 761.3 mln, redeemed in full;
- Class B notes for a nominal amount of EUR 202.5 mln, redeemed in full;
- Class C notes for a nominal amount of EUR 202.5 mln, redeemed in full;
- Class D notes (Ba1 and NR) with a nominal value of EUR 251.0 mln, of which EUR 64.5 mln were redeemed;
- Class J notes (not rated) for a nominal amount of EUR 202.5 mln.

It should be noted that the Group, in February 2023, authorised the completion of the early closing of the Siena Lease 2016-2 securitisation with the consequent repurchase of the residual portfolio.



1.5 – Operational risks

Qualitative Information

A. Operational risk: general aspects, operational processes and measurement methods

General aspects and Framework structure

By an administrative ruling dated 12 June 2008, the Bank of Italy authorised the Group to use internal models for the determination of capital requirements for credit and operational risks.

The adoption of the advanced model (AMA) calls for banks to:

1. adopt an internal organisation which defines the roles of the corporate bodies and functions involved in the risk management process;
2. establish a control function for data gathering and storing, capital requirement calculation, risk profile assessment and reporting;
3. perform ongoing checks on the quality of the management system and its compliance with regulatory provisions;
4. delegate the internal auditing body to perform periodic audits on the operational risk management system;
5. guarantee over time that the system is actually used by the corporate management (use test).

For this purpose, the Group has adopted an integrated system for operational risk management, i.e. an internal framework built around a governance model that involves all companies included in the AMA model scope of application. The approach defines the standards, methods and instruments that make it possible to measure risk exposure and the effects of mitigation by business area.

The advanced approach is designed to integrate all major qualitative and quantitative (LDA-Scenario mixed model) information sources (information or data).

The quantitative Loss Distribution Approach (LDA) component is based on the collection, analysis and statistical modelling of internal and external time series of loss data (the latter supplied by the Italian Database of Operational Losses, DIPO).

The qualitative component focuses on the evaluation of the risk profile of each unit and is based on the identification of relevant scenarios. In this framework, the companies included in the AMA scope area are involved in the: identification of the processes and risks to be assessed; assessment of risks by process managers in charge; identification of possible mitigation plans; discussion of priorities and technical-economic feasibility of mitigating actions with Head Office functions.

Next is a phase for monitoring progress on the implementation of actions scheduled and compliance with objectives and deadlines.

The Framework identifies the Group Risk Management structure as the operational risk control function (within Parent Company's Chief Risk Officer Department).

The Parent Company's Risk Management structure calculates the capital required to hedge operational risks by the use of different components of the model (internal data, external data, contextual and control factors, qualitative analyses), supports decision-making by Top Management from the standpoint of creating value by containment, mitigation and transfer of the risks detected, and as it does for other companies included in the scope, it gathers internal loss data and identifies the risks to be evaluated in qualitative analyses.

The Advanced Measurement Approach (AMA) is applied to all domestic financial and banking entities, while the foundation model is used for remaining components and foreign companies. As at 31 December 2022 internal model coverage in terms of the relevant indicator exceeded 95%.

The Risk Management structure has also set up a reporting system which ensures timely information on operational risks for the Top Management, which transposes the strategic principles of the management system into specific operating policies. Reports are regularly submitted to the Risk Management Committee and corporate bodies.

Over time, the adoption of the AMA model has ensured better-informed management of operational risk, guaranteeing a material progressive reduction of the Group's operational risk.



As of 30 June 2017, the Advanced Measurement Model was changed to increase the historical depth of internal loss data from 5 to 10 years and to introduce the scaling of external data in order to discourage unexpected requirement fluctuations.

Impacts deriving from the COVID-19 pandemic

The health emergency, caused by the Covid 19 pandemic, required, in order to guarantee operational continuity and to support the country and protect its production fabric in accordance with legislative provisions, a timely review and/or extension by the Group of some existing processes, such as those relating to digital services, web collaboration tools, smart working and the provision of “in derogation” methods, for example for contract formalisation processing.

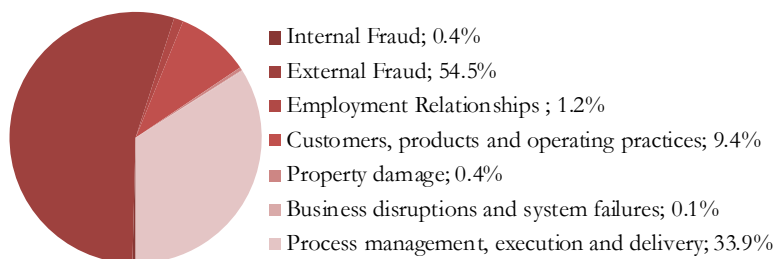
As at 31 December 2022, the emergency management phase is deemed to have ended, although potential exposure to operational risks (e.g. possible legal disputes) of the “derogation” period remains. By contrast, operational innovations as part of the digitisation process initiated during the pandemic have become commonplace.

To mitigate the risks associated with increasing digitisation, the Group has identified a security programme that includes, among other initiatives, the strengthening of the system of computer access authentication, customer identification, and the system of controls and monitoring for cyber attacks.

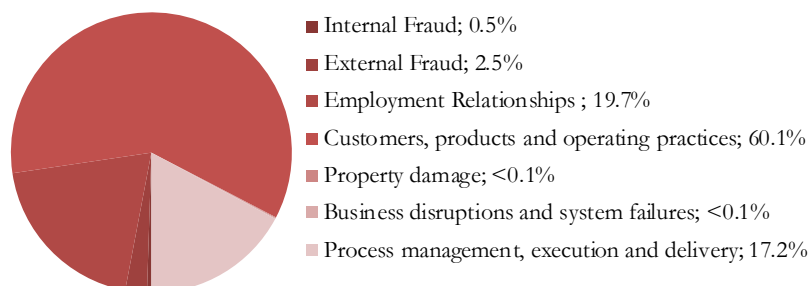
Quantitative Information

Following is the percentage breakdown of the number of events and operating losses recognised in 2022, broken down into risk classes:

Event breakdown
Montepaschi Group - 31 12 2022



Losses breakdown
Montepaschi Group - 31 12 2022



As at 31 December 2022, the number of operational risk events and the operating losses are decreasing compared to December 2021.



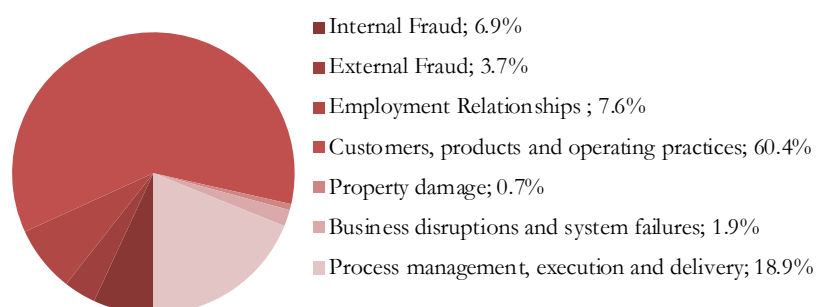
The types of event with the greatest impact on the income statement remain attributable to non-fulfilment of professional obligations with customers (under “Customers, products and operating practices”: about 60% of the total) and to employment relationships (class “Employment Relationships”: about 20%).

With regard to “non-fulfilment of professional obligations with customers”, events are mainly associated with legal disputes for share capital increases transactions in previous years.

The graph below shows the breakdown of the regulatory requirement by risk class within the AMA scope:

Regulatory Capital Requirements

Montepaschi Group - 31 12 2022



The Regulatory Requirement as at 31 December 2022 was lower than the December 2021 requirement as a result of an update of the internal loss time series, which resulted in the exit of two significant Internal Fraud loss events and a reduction in the operating losses recognised in the period compared to the previous year.

The breakdown of operating losses recognised in the period differs from the breakdown of the requirement in that the latter is calculated using a 10-year historical series of internal and external losses, and was predominantly due to the unexpected loss component.



Main types of legal, employment and tax risks

The Group carefully reviews and monitors the risks associated with or connected to legal disputes, i.e. disputes brought before judicial authorities and arbitrators, and out-of-court claims, making specific allocations to provisions for risks and charges for disputes and out-of-court claims considered to have a “likely” risk, using statistical or analytical criteria.

Legal disputes and out-of-court claims

The risks associated or connected to legal disputes – i.e. disputes brought before judicial authorities and arbitrators – are specifically and carefully reviewed by the Group.

In case of disputes and out-of-court claims for which the disbursement of financial resources to perform the underlying legal obligation is believed to be “likely” and the relevant amount can be reliably estimated, allocations are made to the Provisions for risks and charges using analytical or statistical criteria.

The following were pending as at 31 December 2022:

- legal disputes with a total relief sought, where quantified, of EUR 5.8 bn. In particular:
 - approx. EUR 2.2 bn as relief sought regarding disputes for which there is a “likely” risk of losing the case, for which provisions of EUR 0.9 bn have been allocated;
 - approx. EUR 1.9 bn as relief sought attributable to disputes for which there is a “potential” risk of losing the case;
 - approx. EUR 1.7 bn as relief sought in the remaining disputes, for which the risk of losing the case is deemed “remote”;
- out-of-court claims with total relief sought, where quantified, equal to approximately EUR 1.5 bn. In particular:
 - approx. EUR 1.1 bn as relief sought from claims for which there is a “likely” risk of losing the case;
 - approx. EUR 0.4 bn as relief sought in disputes for which there is a “potential” risk of losing the case.

It should be noted that in January a complaint was received through a consultancy firm for a total relief sought of EUR 0.7 bn.

Note the Group has exercised the possibility granted by IAS 37 of not providing detailed disclosures on the provisions allocated in the financial statements if such information may seriously jeopardise its position in disputes and in potential settlement agreements.

The main information of the most significant cases, by macro-category or individually, is provided below.

Disputes regarding compound interest, interest rates and conditions

Following the change in orientation by the Supreme Court of Cassation (Corte di Cassazione) on the legitimacy of the practice of capitalising on a quarterly basis the interest payable accrued on current accounts, as of 1999 there has been a progressive increase in claims brought by account holders for the return of interest expense resulting from quarterly compound interest. In these lawsuits, the plaintiffs also contest the legitimacy of the interest rate and the methods to determine the commissions applied to the accounts. In this regard, the interpretation introduced since 2010 by the Supreme Court on usury - according to which overdraft fees (Commissioni di Massimo Scoperto), even before Italian Law no. 2/2009 was enforced, should have been calculated on the basis of the effective global rate (Tasso Effettivo Globale - TEG), contrary to Bank of Italy guidelines - is frequently the pretext for the actions brought by customers. The plaintiffs most often claim irregularities in current account balances; however, claims concerning compound interest are also increasingly frequent: these cases are based on the alleged illegitimacy of the so-called “French-style amortisation” in mortgage loans, and violation of Italian Law no. 108/1996 on usury in term loans. Aware that the jurisprudential interpretation is often disadvantageous (although not unanimous), at least with respect to certain issues, the Group is committed to maximising the arguments in its defence - which do exist, particularly concerning the statute of limitations - identifiable in the regulatory and interpretative framework. The provisions for risks recognised for this type of dispute amounted to EUR 112.6 mln (total relief sought of EUR 276.0 mln), compared to EUR 122.7 mln as at 31 December 2021 (against a relief sought of EUR 293.1 mln).

Dispute regarding bankruptcy rescindments

The reform implemented from 2005 has reduced and limited the scope of bankruptcy rescindments, particularly those relating to current account remittances. For those that can still be filed, or already pending at the effective date of the reform, the Group is giving maximum emphasis to all the arguments available in defence. The provisions



for risks recognised for this type of dispute as at 31 December 2022 amounted to EUR 15.5 mln (total relief sought of EUR 115.3 mln), compared to EUR 17.4 mln as at 31 December 2021 (against a relief sought of EUR 116.9 mln).

Disputes concerning bonds issued by countries or companies that have subsequently defaulted, and financial plans

The considerable defensive efforts made in this type of lawsuit resulted over the years in the emergence of some favourable jurisprudential orientations, at least with respect to certain specific cases, which are allowing balanced risk control. It should be noted that starting from 2015, several unfavourable rulings were issued by the Supreme Court – with its latest order no. 6252 published on 14 March 2018 by the Civil Cassation Section 1[^] - pursuant to which “the financial product called 4You does not entail an interest worthy of protection, under the regulatory framework, as it does not comply with the general principles set forth in arts. 38 and 47 Italian Const.”, due to the evident synallagmatic unbalance. Following these judgements, it is considered established that the judicial decisions are likely to be unfavourable with regard to the Parent Company’s reasons. For this type of dispute, provisions for risks of EUR 2.4 mln were allocated (against a total relief sought of EUR 15.1 mln), compared to EUR 6.6 mln recognised as at 31 December 2021 (against a relief sought of EUR 20.2 mln).

Dispute with purchasers of subordinated bonds issued by Group companies

Following the burden-sharing plan implemented in 2017 in application of Italian Law Decree no. 237/2016, some investors who had purchased subordinated bonds issued by Group companies (later becoming shareholders as a result of the aforementioned measure, with resulting losses compared to the amount initially invested) sued the Parent Company, claiming that, at the time of the investment, it did not inform customers regarding the nature and characteristics of the financial instruments purchased, also raising objections on the proper fulfilment of obligations with which the Parent Company must comply as a financial intermediary.

This dispute is primarily related to investments in Lower Tier II bonds; indeed, in the majority of the cases the investors had their securities converted into ordinary shares pursuant to the law, without being able to benefit from the public offering for settlement and exchange promoted by the Parent Company pursuant to Decree no. 237/2016 (so-called *Burden Sharing Decree*) intended solely for *retail* investors.

However, for the sake of comprehensiveness, we would like to point out other cases where, despite purchasing Upper Tier II securities, the counterparties claim to have been unable to participate in the public offering due to misselling by the Parent Company, or in any event to have had objections relating to the Upper Tier II securities purchased after 31 December 2015 (cut-off date).

Lastly, a limited number of disputes concerns cases in which investors sold their bonds prior to the Burden Sharing pursuant to Decree no. 237/2016.

The focus of the opposing claims is concentrated on the alleged lack of disclosure and/or in any case violations of specific regulations on financial intermediation.

The total relief sought in these disputes as at 31 December 2022 was EUR 39.7 mln (EUR 33.7 mln as at 31 December 2021), whilst allocated provisions totalled EUR 16.1 mln (an increase of EUR 0.3 mln compared to 31 December 2021).



Disputes and out-of-court claims related to financial information distributed in the 2008-2015 period

The Parent Company is exposed to civil actions, to the consequences of decisions arising from criminal proceedings (29634/14 and 955/16), and to out-of-court claims with regard to the financial information disclosed during the 2008-2015 period.

As at 31 December 2022, the total relief sought for these types of claim amounted to around EUR 3.4 bn, subdivided as follows (data in EUR mln):

Type of dispute	31/12/22	30/09/22	30/06/22	31/03/22	31/12/21
Civil dispute*	1,591	1,510	769	763	738
Filed civil action claims cp 29634/14**	111	111	111	123	125
Filed civil action claims cp 955/16	158	158	158	158	158
Out-of-court claims ***	1,533	2,247	1,765	825	713
Total relief sought	3,393	4,026	2,803	1,869	1,734

(*) The increase in the relief sought with respect to 31/12/21 is mainly attributable to a summons served on 3/8/22 for a total amount of EUR 741 mln, which incorporates the grounds of some out-of-court claims served on the Parent Company in past years for an amount of EUR 522 mln, and a further summons for an amount of about EUR 83 mln served on 31/12/22.

(**) The decrease in relief sought, with reference to the civil action claims in CP no. 29634/14, is due to the conclusion of settlement agreements with several civil parties.

(***) The increase in relief sought for out-of-court claims filed as at 30/06/22 is mainly attributable to the mediation requests received and related to the financial information disclosed in previous years, in principal and net of repeated requests. It should be noted that in January 2023, a claim was received, through a consultancy firm, regarding a total relief sought for principal of EUR 0.7 bn concerning the same counterparty that had filed a mediation petition in August 2022, subsequently closed due to inactivity in October of the same year. Considering this event, the total relief sought for out-of-court claims would amount to EUR 2.2 bn.

The main disputes by type are outlined below.

Banca Monte dei Paschi di Siena S.p.A. vs. Alken Fund Sicav and Alken Luxembourg S.A.

On 22 November 2017, the counterparties (the “Funds”) served a complaint on the Parent Company, as well as Nomura International (“Nomura”), Giuseppe Mussari, Antonio Vigni, Alessandro Profumo, Fabrizio Viola and Paolo Salvadori, before the Court of Milan, requesting that the court confirm and declare: (i) the alleged liability of the Parent Company pursuant to art. 94) of the Consolidated Law on Finance (TUF), as well as for the deeds of defendants Mussari, Vigni, Profumo and Viola pursuant to art. 2935 of the Italian Civil Code due to the offences perpetrated against the plaintiffs; (ii) the alleged liability of defendants Mussari and Vigni in relation to investments made by the Funds in 2012 on the basis of false information; (iii) the alleged liability of defendants Viola, Profumo and Salvadori in relation to investments made by the Funds subsequent to 2012; and (iv) the alleged liability of Nomura pursuant to art. 2043 of the Italian Civil Code and, as a result, order the Parent Company and Nomura jointly and severally to provide compensation for financial damages equal to EUR 423.9 mln for Alken Funds Sicav and EUR 10 mln for lower management fees and reputational damage to the management company Alken Luxembourg SA, as well as jointly and severally with the Parent Company and Nomura the defendants Mussari and Vigni for damages resulting from the investments made in 2012, and Viola, Profumo and Salvadori for damages subsequent to 2012. The counterparties also requested that the defendants be ordered to provide compensation for non-financial damages upon confirmation that they were guilty of the offence of providing false corporate disclosures. The Parent Company duly appeared and set out its defence. In the alternative, for the denied possibility of granting the opposing applications, the Parent Company applied for recourse against Nomura. It should be noted that in the proceedings, four natural persons intervened, separately and independently, claiming damages for a total of approx. EUR 0.7 mln. At the first hearing, the Judge reserved his position on the preliminary objections raised by the parties, after which, upholding the objections raised by all defendants, declared Alken’s summons null and void, due to failure to specify the dates of the share purchases and the nullity of the powers of attorney, assigning the plaintiffs the deadline of 11 January 2019 to supplement the applications. On the other hand, the Judge considered the Counterparty’s claims concerning the alleged incorrect accounting of the claims to be sufficiently specific and rejected the plea of nullity of the acts of intervention. Following the additions of the plaintiff, the defendants insisted on the objections of nullity and at the outcome of the discussion on these exceptions, held at the hearing of 30 January 2019, the Judge reserved his decision. Subsequently, the Judge - considering that these preliminary questions should be decided together with the merit - granted the preliminary terms pursuant to art. 183, paragraph six of the Italian Code of Civil Procedure and adjourned the hearing for discussion of the preliminary requests to 2 July 2019. At that hearing, the Parent Company requested and obtained the deadline of 8 July to object to the demands submitted by an intervener (whose intervention’s proposal was learnt by the Parent Company at the hearing), and then the parties discussed and illustrated their respective



preliminary briefs. By order dated 24 July 2019, the Investigating Judge (*Giudice Istruttore, G.I.*) rejected Alken's petition for a court-appointed expert report (CTU), deeming the case ready for decision, and adjourned the case to the hearing of 7 July 2020 for closing arguments, during which, having rejected Alken's petition to refer the case to preliminary investigation, the case was retained for decision. With ruling issued on 7 July 2021, the Court of Milan rejected all requests made by the Funds, which were ordered to refund the legal costs of the Parent Company. The request of a single intervener was partially accepted, in relation to which the Parent Company was ordered to pay the sum of approximately EUR 52 thousand (for principal and interest) jointly with Nomura and in part with Mr. Antonio Vigni and the lawyer Giuseppe Mussari. Both the Parent Company and Nomura and the Funds appealed (the latter for a relief sought of approximately EUR 454 mln) against the ruling before the Milan Court of Appeal in which the above-mentioned intervener also filed a cross-appeal against the Parent Company for a relief-sought of EUR 0.45 mln. On 13 July 2022, the first hearing was held in the three pending appeal proceedings, which were ordered to be joined. The Court postponed the joined cases to the hearing of 5 July 2023 for closing argument.

York and York Luxembourg Funds vs. Banca Monte dei Paschi di Siena S.p.A.

On 11 March 2019, the York and York Luxembourg Funds served a writ of summons to the Parent Company's registered office, bringing an action before the Court of Milan (Section specialised in corporate matters) against the Parent Company and Mr Alessandro Profumo, Mr Fabrizio Viola, Mr. Paolo Salvadori as well as Nomura International PLC, ordering the defendants, jointly and severally, to pay damages amounting to a total of EUR 186.7 mln and - subject to an incidental finding that the offence of false corporate communications has been committed - to compensation for non-monetary damages to be paid on an equitable basis, pursuant to art. 1226 of the Italian Civil Code, plus interest, revaluation, interest pursuant to art. 1284, para. IV of the Italian Civil Code, and interest compound pursuant to art. 1283 of the Italian Civil Code.

The plaintiffs' claim is based on alleged losses incurred as part of its investment transactions in the Parent Company MPS totalling EUR 520.3 mln, carried out through the purchase of shares (investment of EUR 41.4 mln by York Luxembourg) and derivative instruments (investment of EUR 478.9 mln by York Funds). The plaintiffs' quantified their comprehensive losses at EUR 186.7 mln.

The investment transactions challenged began in March 2014, when Messrs. Fabrizio Viola and Alessandro Profumo held the offices of CEO and Chairman, respectively, of the Parent Company. The plaintiffs charge alleged unlawful behaviour by top management of the Parent Company in falsifying the financial representation in financial statements, substantially modifying the assumptions used in measurements of financial instruments issued by the Parent Company.

The first hearing, initially scheduled for 29 January 2020, was deferred to 4 February 2020. The Parent Company duly appeared before the court. The parties filed the preliminary briefs and, at the subsequent hearing, discussed the respective preliminary requests, on which the Judge reserved the right to provide for their admission. At the hearing on 15 July 2022, the Court of Milan: (i) declared the witness evidence requested by York, Nomura, Profumo and Viola to be inadmissible and (ii) referred to the panel - following the outcome of the decision regarding the causation the assessment of the need for an accounting court appointed expert report requested by York. The case was postponed to 23 November 2023.

Banca Monte dei Paschi di Siena S.p.A./ Civil action and third-party action of the Parent Company as civilly liable party

Investors have brought claims for damages against the Parent Company both within the framework of criminal proceeding no. 29634/14 R.G.N.R. (General Criminal Records Registry) (in total no. 1,240, currently 413 following the settlement agreements reached) pending before the Supreme Court and in which the Parent Company was involved as civilly liable, as well as the other criminal proceedings no. 955/16 R.G.N.R. (in total no. 2,272 civil parties, currently 2,172 following the civil parties excluded from the first degree judgement of 15 October 2020) pending before the Court of Appeal of Milan, with reference to the Financial Statements, reports and other corporate communications of the Parent Company from 31 December 2012 to 31 December 2014 and with reference to the half-yearly report as at 30 June 2015, in which the Parent Company, which was found guilty in the first instance pursuant to Italian Legislative Decree 231/01, also has civil liability.

Criminal proceeding no. 29634/14

With reference to the criminal proceedings connected with the events related to the structured term repo transactions "Alexandria" and "Santorini" carried out by the Parent Company, respectively with Nomura, Deutsche Bank, it should be noted that the criminally relevant conduct ascribed to the persons under investigation for various reasons refer to the financial statements closed at 31 December 2009, 2010, 2011 and 2012 and to the balance sheets as at 31 March 2012, 30 June 2012 and 30 September 2012.



In March 2016 these proceedings were combined with the other criminal proceedings pending before the Court of Milan in relation to the investigations concerning the Santorini, FRESH 2008 and Chianti Classico transactions. By an order of 13 May 2016, the Preliminary Hearing Judge (in Italian Giudice dell'Udienza Preliminare, hereinafter, also "GUP") authorised the lodging and admissibility of the claims for compensation of the offended parties against the entities already involved in the proceedings as defendants pursuant to Italian Legislative Decree 231/2001.

On 2 July 2016, with the approval of the Public Prosecutor, the Parent Company filed a request for plea bargain in the criminal proceedings, in relation to the objections made against the Bank in accordance with Italian Legislative Decree 231/2001.

Following the plea bargain, the Parent Company's position was removed, limiting the consequences to a pecuniary administrative sanction of EUR 600 thousand and a confiscation of EUR 10 mln, without exposing itself to the risk of greater penalties.

During the proceedings, by order of 6 April 2017 the Court of Milan decided on the requests for the exclusion of civil parties submitted by the defence teams of the defendants and the civilly liable parties, excluding several civil parties. In addition, the claim of damages as a civil party by the Parent Company with respect to Giuseppe Mussari, Antonio Vigni, Daniele Pirondini and Gian Luca Baldassarri was also excluded on the assumption of its contributory liability with respect to the defendants.

At the hearings on 23 and 30 May 2019, the civil parties that summoned the Parent Company as a civilly liable party formulated their demands for compensation in writing.

The Bank of Italy, which did not summon the Parent Company as a civilly liable party, asked for the defendants to be sentenced to pay a sum to be settled on an equitable basis.

As regards CONSOB (the Italian Commission for listed companies and the stock exchange), which summoned the Parent Company as a civilly liable party, for nearly all damage items it requested a quantification on an equitable basis, except for that relating to supervisory costs quantified as a total of roughly EUR 749 thousand. The provisional amount is requested alternatively, to the extent of roughly EUR 298 thousand. At the hearings of 3 June 2019, the lawyer of the Parent Company Monte dei Paschi di Siena discussed the civil liability. On 30 September 2019, the discussions of the foreign defendant entities pursuant to Italian Legislative Decree 231/01, Deutsche Bank and Nomura, were concluded. The trial continued on 31 October 2019 to incorporate possible new revocations of civil party actions, as well as on 8 November, when the final hearing was held.

On 8 November 2019, the Court read the conclusion of the ruling in first instance by convicting all defendant natural persons, and pursuant to Italian Legislative Decree 231/2001, the legal persons of Deutsche Bank AG and Nomura International PLC. The reasons were filed on 12 May 2020.

The Parent Company, as civilly liable party (not accused pursuant to Italian Legislative Decree 231/2001 as a result of a previous plea bargaining) was convicted – jointly with the accused natural persons and the two foreign banks – and ordered to pay damages to the civil parties still in the case, to be settled in separate civil proceedings, since the Court had rejected the request to make an amount available on a provisional and immediately enforceable basis, pursuant to art. 539 of the Italian Code of Criminal Procedure.

The Parent Company as civilly liable party, found jointly and severally liable with the defendants, filed an appeal before the Court of Appeal of Milan against the ruling of first instance. The first hearing of the appeal proceedings was held on 2 December 2021 where some civil parties revoked their appearance as a result of the transactions that took place with the Parent Company.

At the hearing of 3 February 2022, the appeal in the interest of the Parent Company was discussed.

On 6 May 2022, the Court of Appeal of Milan, Second Criminal Division, acquitted all the defendants in the trial with a broad formula, highlighting that the "there is no case to answer." On 16 November 2022, an appeal was lodged with the Supreme Court by both the Attorney General's Office at the Court of Appeal of Milan and Consob.

*Criminal proceeding no. 955/16*

On 12 May 2017 the committal for trial of the representatives Alessandro Profumo, Viola Fabrizio and Salvadori Paolo was requested within new criminal proceedings before the Court of Milan, in which they were charged with false corporate disclosures (art. 2622 of the Italian Civil Code) in relation to the accounting of the “Santorini” and “Alexandria” transactions with reference to the Parent Company’s financial statements, reports and other corporate communications from 31 December 2012 to 31 December 2014 and with reference to the half-yearly report as at 30 June 2015, as well as market manipulation (art. 185 of the Consolidated Law on Finance) in relation to the disclosures to the public concerning the approval of the financial statements and the balance sheets specified above.

At the hearing on 24 November 2017, the Preliminary Hearing Judge handed down an order:

- declaring the nullity of the request for committal for trial with respect to Mr Salvadori;
- ordering the separation of the relative position from the main proceedings (pending against Mr Viola and Mr Profumo, as well as the Parent Company) with reference to the section relating to the alleged offence pursuant to art. 185 of the Consolidated Law on Finance;
- reserving any decision concerning issues of jurisdiction until such time as the public prosecutor makes his own determinations in this regard.

At the hearing on 9 February 2018, the Preliminary Hearing Judge acknowledged the filing in the meantime of:

- the Parent Company’s defence brief concerning jurisdiction;
- the documents submitted by the defence attorney of Mr Viola and Mr Profumo;
- the brief by Mr Bivona and Mr Falaschi; as well as
- a request for an order for attachment submitted by the latter against Mr Viola and Mr Profumo.

Following the formalisation of the appearance before the court by the Parent Company, the Public Prosecutor requested the issue of a pronouncement of acquittal because there is no case to answer or because the act does not constitute an offence pursuant to the Law depending on the charge in question. On the outcome of the hearing, the schedule was updated on 13, 20 and 27 April 2018 for the continuance of discussion and the possible issue of the final ruling of the preliminary hearing.

Following the outcome of the preliminary hearing, the Preliminary Hearing Judge found no grounds for an acquittal decision and ordered the committal for trial of the defendants, natural persons (Messrs. Viola, Profumo and Salvadori) and the Parent Company (as entity liable pursuant to Italian Legislative Decree 231/01). A partial acquittal ruling was issued only with reference to Mr Salvadori, limited to the charge pursuant to Art. 185 of the Consolidated Law on Finance.

At the hearing of 17 July 2018, 2,243 civil parties joined the lawsuit. Some of these have formally requested that the Parent Company be summoned as party with civil liability, while most of the defence attorneys only requested that the effects of appearing before the court of their clients be extended to the Parent Company, as a party with civil liabilities already in the case as defendant. Some civil parties brought a lawsuit against the Parent Company as liable party pursuant to Italian Legislative Decree no. 231/2001. At the outcome, the Court adjourned to the hearings of 16 October and 6, 13 and 19 November 2018. The hearing of 16 October 2018 only concerned the preliminary issues relating to the appearance before the court as aggrieved parties.

The proceedings were declared open and the hearing was scheduled for 18 March 2019, with the Court taking under advisement the decision on the request for an order of attachment against Mr Profumo and Mr Viola, submitted by a number of parties. The reserve was lifted with decision dated 3 December 2018, through which the Court rejected the request for attachment against the aforementioned executives.

At the hearing on 16 June 2020, following the indictment, the representatives of the Public Prosecutor’s office requested the acquittal of the defendants.

On 15 October 2020, the Court of Milan read the operative part of the ruling of first instance, registered under number 10748/20, sentencing all accused natural persons and the Parent Company pursuant to Italian Legislative Decree 231/01. The reasons were filed on 7 April 2021.

In its reasons, the Court analysed the conduct with which the defendants were charged with reference to the incriminating circumstances pursuant to art. 2622 of the Italian Civil Code (false corporate communications) and pursuant to art. 185 of the Consolidated Law on Finance (market manipulation) and confirmed the grounds of the alleged administrative offences with which the Parent Company was charged pursuant to arts. 5, 6, 8 and 25 ter, letter b) of Italian Legislative Decree 231/01, limited to the offence of false corporate communications in relation



to the 2012 financial statements and the 2015 half-yearly report, as well as pursuant to arts. 5, 8 and 25 sexies of Italian Legislative Decree 231/01 due to market manipulation relating to press releases concerning the approval of the financial statements as at 31 December 2012, 31 December 2013, 31 December 2014 and the half-yearly report as at 30 June 2015, imposing an administrative fine of EUR 0.8 mln.

With reference to the Parent Company's position as civilly liable party, the grounds of the ruling explained the reasons for the generic sentencing to provide compensation for damages based on which demands for relief from civil parties may be accepted, pursuant to art. 2049 of the Italian Civil Code, in separate civil proceedings.

The Parent Company filed an appeal before the Court of Appeal of Milan against the ruling of first instance, as the civilly liable party, found jointly and severally liable with the defendants, having administrative liability under Italian Legislative Decree 231/2001.

In addition, an appeal was also lodged not only by the defendants but also by the defence counsels of some civil parties, while some civil parties (no. 27) represented by Italian qualified lawyer Mr Minestrone, the latter also as civil party in his own right), waived the appeal. The first hearing before the second criminal section of the Court of Appeal of Milan will be held on 31 March 2023. The hearings will continue on 6 April 2023, 28 April 2023, 19 May 2023 and 16 June 2023.

Banca Monte dei Paschi di Siena S.p.a. vs. Caputo + 24 others

On 4 December 2020, Mr Giuseppe Caputo and an additional twenty-five parties (now 24 after one of the plaintiffs died) sued the Issuer before the Court of Milan to challenge the investments made by them in compliance with the share capital increases ordered by the same that is through purchases on the secondary electronic market between 2014 and 2015. The plaintiffs claimed that they had suffered serious damage as a result of the informational asymmetry created on the market by the Parent Company (here, referring, inter alia, to criminal proceedings R.G.N.R. 29634/14, concluded at first instance with ruling no. 13490/2019, as well as criminal proceedings R.G.N.R. 955/16, concluded at first instance with ruling no. 10748/2020), and they also argue the incorrect accounting of non-performing loans starting from the 2013 Financial Statements, (here, conversely, referring to the criminal proceedings 33714/16); they also contested the unfair business practices put in place by the Parent Company, the investments in diamonds, the 2013-2017 Business Plan and the non-compliant business organization.

The plaintiffs therefore requested full compensation for the damage suffered equal to the entire consideration paid for the purchase of the BMPS shares, with a final quantification of the relief sought equal to approximately EUR 25.8 mln and - subject to the incidental finding of the crime of false corporate communications - compensation for non-pecuniary damage to be settled on an equitable basis pursuant to art. 1226 of the Italian Civil Code, plus interest and revaluation. Following the appearance of the Issuer and the first hearing, the parties filed the preliminary briefs and, at the subsequent hearing, discussed the requests formulated by the plaintiff, on which the Judge reserved the right to provide for their admission. Upon lifting the reservation, the Judge deemed it necessary to refer the case to the deliberating body in order to settle the dispute or to proceed with any expert investigations and therefore postponed the case to the hearing for closing arguments on 4 November 2022 which was then adjourned to 28 February 2023 where the Court retained the case for decision, assigning the terms pursuant to Article 190 of the Code of Civil Procedure for the filing of final statements and answer briefs.

Parent Company Monte dei Paschi di Siena S.p.A. vs. Caltagirone Group

By a writ of summons dated 2 August 2022, the companies Caltagirone Editore SPA, Finced Srl, Capitolium Srl, Mantegna 87 srl, Vianini Lavori Spa, and Fincal Spa brought an action against the Parent Company before the Court of Rome alleging that the Parent Company had disclosed inconsistent information to the market in relation to investments in MPS shares made by the six companies between 2006 and 2011.

In particular, the opposing parties deduced that they had invested a total of approximately EUR 856 mln in MPS securities, as well as having resold these financial instruments in the first few months of 2012, reporting a capital loss of approximately EUR 741 mln.

On the assumption that such damage is directly related to the allegedly unlawful conduct of the Parent Company for the dissemination of erroneous price-sensitive information since 2006, the opposing parties claim compensation for damages equal to the entire capital loss suffered, attributing to this allegedly untrue representation of the Parent Company's financial situation the fact that they purchased and/or maintained the MPS shares in their respective portfolios over the above-mentioned period of time.



At the first hearing on 30 January 2023, the plaintiff applied for the granting of investigation time limits, while the defendant Bank asked for the case to be sent for closing arguments, after which the Judge took the issue under advisement.

Parent Company Monte dei Paschi di Siena S.p.A. vs. Angelino + 40

By writ of summons dated 31 December 2022, Mr Angelino and forty other persons brought legal action against the Parent Company before the Court of Milan to challenge the investments made by them in compliance with the share capital increases ordered by the Bank, i.e. through purchases on the secondary electronic market of BMPS shares between 2013 and 2016. The plaintiffs claimed to have suffered a serious damage as a result of the discrepancy of information disclosed on the market by the Parent Company (referring both to the criminal proceedings 29634/14 and to the proceedings 955/16); the focus of the opposing objections, also as a result of the acquittal of the former management Mussari and Vigni in 2022 by the Court of Appeal of Milan, is however focused on the alleged offences committed by the former directors Viola and Profumo starting from 2012 both with references - as mentioned - to criminal proceeding 955/16 now at the appeal stage and with regard to the incorrect accounting of non-performing loans starting from the 2013 Financial Statements (in this regard, referring to criminal proceeding 33714/16); the opposing parties also contested the unfair commercial practices implemented by the Parent Company, the investments in diamonds and the 2013 - 2017 Business Plan.

The plaintiffs therefore requested full compensation for the damage suffered equal to the entire consideration paid for the purchase of the BMPS shares, with a final quantification of the relief sought equal to approximately EUR 81.2 mln in addition to interest and revaluation of the balance due and ceasing gain; they also requested that the Parent Company be sentenced to pay compensation for non-pecuniary damages, subject to the preliminary assessment of the crime of false corporate communications (art. 2622 of the Italian Civil Code) and market manipulation (art. 185 of the Consolidated Law on Finance) to be settled on an equitable basis pursuant to art. 1226 of the Italian Civil Code. The paper-based hearing is scheduled for 12 April 2023.

Investigations on the 2012, 2013, 2014 financial statements and the 2015 half-yearly report with reference to "non-performing loans"

In relation to criminal proceeding no. 33714/16 pending before the Milan Attorney General's Office, the Parent Company was originally implicated as administrative manager pursuant to Italian Legislative Decree no. 231/2001 in connection with an allegation of false corporate communications (pursuant to art. 2622 of the Italian Civil Code) relating to the 2012, 2013, 2014 Financial Statements and the 2015 half-yearly report due to the alleged overstatement of so-called non-performing loans.

On 4 May 2018, the Parent Company's position was dismissed by the Public Prosecutor's Office due to the groundlessness of the crime (a measure also confirmed by the General Prosecutor's Office on 15 March 2019).

On 25 July 2019, the GIP [Preliminary Investigations Judge] of the Court of Milan, on the one hand, acknowledged the dismissal of the proceedings against the Parent Company, as the liable entity pursuant to Italian Legislative Decree No. 231/2001 (moreover, the Parent Company had also taken on the role of injured party in the proceedings) and, on the other hand, ordered the continuation of the investigations of the defendant natural persons (i.e. chairman of the Board of Directors, CEO and pro-tempore Chairman of the Board of Statutory Auditors) thus rejecting the Public Prosecutor's request for the case to be dismissed (supported by a detailed expert report prepared in the interest of the Public Prosecutor's Office). The investigations continued in the form of an evidence gathering procedure (in which the Parent Company did not participate) during which two experts were appointed by the Preliminary Investigations Judge, who, on 30 April 2021, filed their report. The questions posed to the experts mainly concerned the verification of the correctness and timeliness of the adjustments to non-performing loans recorded by the Parent Company in the period from 2012 to 2017 in compliance with the accrual principle and the other accounting standards in force at the time of the events.

The conclusions of the experts (which contradicted those of the experts initially called upon by the Public Prosecutor's Office) were then included in the notice of conclusion of the investigation.

At the hearing on 8 June 2021, the evidence gathering procedure was closed and the Preliminary Investigations Judge forwarded the documents to the Public Prosecutor's Office assigning it a deadline of 45 days to carry out any further investigations and make its decision.

As part of this further investigation phase, the Public Prosecutor ordered two new official technical consultancies. In particular, on 16 November 2021, the Public Prosecutor instructed two additional consultants to review the documentation related to the 100 positions for which the ECB, in the context of the 2015-2016 inspection, had indicated the greater difference between the provisions set aside by the Bank and those indicated by the same Supervisory Authority, in order to identify the actual effect of such deviation.



This analysis was concluded with the preparation of a further technical consultancy report. The Public Prosecutor's consultants, while finding some alleged accounting errors, came to different conclusions from those of the expert report ordered by the Preliminary Investigations Judge in 2020 on the same credit positions.

In addition, the Public Prosecutor instructed two officials of the Bank of Italy to review the effects on regulatory capital of major adjustments to non-performing loans that, based on the above-mentioned 2020 expert report, the Bank would have made in the financial years considered therein. In this case, too, the two officials have filed their own expert report.

On 25 February 2022, the Preliminary Investigations Judge informed the defendants of the extension of the deadline for the conclusion of the investigation (until 31 May 2022) requested by the Public Prosecutor.

On 16 September 2022, a notice was received concerning the conclusion of preliminary investigations pursuant to art. 415-bis of the Code of Criminal Procedure against three former representatives of the Parent Company (two Chairmen of the Board of Directors and one Chief Executive Officer) and a former Executive manager (responsible for the preparation of corporate accounting documents). Despite the previous dismissal, the Parent Company also received the same notice as party bearing administrative liability pursuant to Italian Legislative Decree 231/01. On 14 December 2022, a request for committal for trial was issued against the aforementioned representatives; on 12 December 2022, the Parent Company's position as administrative manager pursuant to Compliance Model was instead eliminated. The preliminary hearing is scheduled for 12 May 2023.

The natural persons are charged with the offences of false corporate communications (pursuant to art. 2622 of the Italian Civil Code) and market manipulation (pursuant to art. 185 of the Consolidated Law on Finance) with reference to the 2013-2014-2015 Financial Statements and the 2015-2016 half-year reports, as well as of false accounting statements (pursuant to art. 173-bis of the Consolidated Law on Finance) in relation to the 2014-2015 information statements.

According to the charges, in the above-mentioned corporate communications, the defendants allegedly posted adjustments relating to non-performing loans in violation of accounting standards, thereby misrepresenting the financial position result of operations and cash flow of the Parent Company. According to the accusation, this misrepresentation was also reflected in the communications and statements contextually released by the Parent Company.

The Bank, in its capacity as administrative manager, is charged with the administrative offences under arts. 5, 6, 7, 8 and 25-ter, letter b) and 25-sexies of Legislative Decree no. 231/2001, arising from the aforementioned cases of false corporate communications and market manipulation.

The Proceedings are also of definite relevance in relation to the further role of civil liability that the bank may play in relation to the claims for damages that may be filed, within the framework of such proceedings, by those who may qualify as injured parties or persons harmed by the offences.

At present, the Parent Company does not believe it can make any predictions as to the possible outcome of the proceedings, but it reserves the right to put forward arguments (confirmed by the checks carried out on the valuation process of the non-performing loan portfolio under investigation and also supported by preliminary analyses by its consultants) demonstrating the correctness of its actions in the competent venues, starting from the absence of any indications demonstrating an intention to provide the market with an incorrect representation of its result of operations, financial position and cash flows (as, among other things, can also be deduced from the presence in all relevant disclosures of clear warnings and risk warnings for investors precisely with reference to the uncertainties inherent in the valuation of the loan portfolio and the possible impact of the audit processes underway by the Supervisory Authorities).

It should also be noted that, at the same time as the investigations described above took place (when however the expert report was not yet available), in the context of a civil lawsuit brought by Alken Fund on one side and by a retail investor on the other, claiming, inter alia, the incorrect accounting of non-performing loans in the period 2012 - 2016, the Court of Milan and the Court of Florence rejected all claims brought against the Parent Company, sentencing the plaintiffs to pay the costs of the proceedings.

Out-of-court claims for the repayment of sums and/or compensation for damages by Shareholders and Investors of Banca Monte dei Paschi di Siena S.p.A. in relation to the 2008, 2011, 2014 and 2015 share capital increases

The grand total of out-of-court claims (complaints and mediations) received by the Parent Company as at 31 December 2022, relating to capital increase transactions and allegedly incorrect financial disclosures in prospectuses



and/or Financial Statements and/or price-sensitive information, amounted to EUR 1.533 bn, broken down as follows:

- EUR 52 mln as relief sought for claims, net of those converted to court action, relating to the period 2008-2011;
- EUR 1.248 bn as relief sought for claims, net of those converted to court action, relating to the period 2014-2015 and longer time periods;
- EUR 233 mln as relief sought for mediations, in principal and net of previous claims.

These are largely generic claims, received mainly from a consultancy firm on behalf of institutional investors, in which the temporal references are not clarified (they claim losses that also refer to events that have never been disputed) and, which require particular investigation with respect to both the causation and the legal standing. These are in fact investors who show that they have also made investments in the name and on behalf of third parties, whose ties with the claimant are neither clarified nor documented.

In fact, the information contained in these requests is particularly lacking in this regard and stands out:

- a) for being totally generic or indefinite (i.e. such as not to allow *prima facie* a verification of the same nature and/or the actual content of the claim);
- b) for the absence of elements enabling the prior ascertainment of possible deficiencies in the basic requirements for the formulation of claims for compensation (for example, in cases in which the complainant is not even able to demonstrate that they have made direct investments influenced by alleged misuse of information) to be ascertained in advance;
- c) for failure to refer to appropriate documentary support that are abstractly suitable to support any claim;
- d) for the absence of precise and reliable data that allow for the investment to be temporarily allocated (and distinguished) so as to be able to appreciate (and weigh) the unfounded profiles of the claim due to the absence of adequate demonstration of a causation, also in light of the investment policy followed in practice by the investor.

It should be noted that an institutional opposing party, which had brought previous mediation proceedings, which were terminated in October ex officio due to inactivity of the petitioning party, filed a claim in January 2023 for a relief sought of EUR 731 mln in principal. Considering this event, the total relief sought for out-of-court claims would amount to EUR 2,264 bn. This petition has been assessed for the purposes of these Consolidated Financial Statements in accordance with IAS 10.

With reference to the assessment of the risk of losing and the method of determining the provisions for risks and charges for disputes relating to financial information, the following is noted.

In the criminal proceedings 29634/14, on 29 September the Milan Court of Appeal filed the grounds of its acquittal ruling of 6 May 2022, against which both the General Prosecutor and Consob have appealed to the Supreme Court.

The detailed analysis of the grounds of the ruling and the breadth of the acquittal of all defendants, resulted in the reclassification of the risk of losing from “likely” to “potential” for legal disputes, civil actions in criminal proceedings 29634/14 and out-of-court claims concerning disputes relating to the 2008-2011 period. Therefore, in the third quarter, the provisions for risks recognised previously relating to that type of dispute were released to the income statement.

As at 31 December 2022, litigation and out-of-court claims concerning the 2012-2015 period were reclassified to “likely” risk following the ruling of 15 October 2020 concerning criminal proceedings 955/2016 and those connected to “non-performing loans”.

Therefore, for civil and criminal disputes concerning the information disclosed solely in the period 2012-2015, the provisions for risks were determined in such a way as to take into account the amount invested by the counterparty in specific periods of time characterised by the disputed information alterations (net of any disinvestments made during these same periods). The damage subject to compensation was then determined on the basis of the “differential damage” criterion, which identifies the damage as the lowest price that the investor would have had to pay if he had had access to complete and correct information. For the purposes of this determination, econometric analysis techniques have been adopted - with the support of qualified experts - suitable to eliminate, among other things, the component inherent in the performance of the equity securities belonging to the banking sector during the reference period. More in detail, the total damage caused by each event potentially capable of generating information alterations was first quantified and then the amount abstractly attributable to the individual



Plaintiff/Civil Party was calculated, taking into account the share of capital held from time to time. From a prudential standpoint, along with the differential damage, the different criterion of “full compensation” was also taken into account (of a minor importance in the prevailing law, including the one that is currently taking shape on this specific subject matter), and that is based on the argument that false or incomplete information may have a causal impact on the investment choices of the investors to such an extent that, in the presence of correct information, they would not have made the investment in question; in this case, the damage is therefore commensurate to the invested capital, net of the amounts recovered from the sale of shares by the Plaintiff/Civil Party.

Instead, with reference to out-of-court claims relating to the period 2012-2015, in order to take into account the probability of their transformation into real disputes, the provisions were determined by applying an experiential factor, in line with the Parent Company policies for similar cases, to requests made by opposing parties. In any case, the Parent Company has exercised the possibility granted by IAS 37 of not providing disclosures on the provisions allocated in the balance sheet since it believes that such information could seriously jeopardise its position in disputes and in potential settlement agreements.

Furthermore, on 31 December 2022, with regard to civil lawsuits, settlement agreements were reached, involving the closure of 31 disputes against a total relief sought of approximately EUR 366 mln; in the criminal context, settlements concerned some civil parties in cp. 29634/14 for a relief sought of EUR 39 mln.

In the out-of-court context, as at 31 December 2022, settlements had been finalised regarding compensation claims for a relief sought of EUR 4 bn (this amount includes the compensation claim made by the Fondazione Monte dei Paschi di Siena). In the first quarter of 2022, settlement agreements were reached and finalized, with particular reference to the issue of the alleged information discrepancies, which led to the closure of additional 21 claims against a total relief sought of approximately EUR 8.1 mln.

Banca Monte dei Paschi di Siena S.p.A. vs. Fresh 2008 bondholders

Some holders of FRESH 2008 securities maturing in 2009, with writ of summons served on 15 November 2017, initiated proceedings against the Parent Company, the company Mitsubishi UFJ Investors Services & Banking Luxembourg SA (which replaced the Parent Company in issuing the bond loan Parent Company of New York Mellon Luxembourg), the British company JP Morgan Securities PLC and the American company JP Morgan Chase Bank N.A. (which entered into a swap agreement with the bond loan issuer) before the Court of Luxembourg in order to request confirmation: (i) of the inapplicability of the Burden Sharing Decree to the holders of the FRESH 2008 securities and, consequently, that said bonds cannot be forcibly converted into shares, (ii) of the validity and effectiveness of the said bonds in accordance with the terms and conditions of their issue insofar as they are governed by Luxembourg law, and, finally, (iii) that the Parent Company is not entitled, in the absence of the conversion of the FRESH 2008 Securities, to obtain from JP Morgan the payment of EUR 49.9 mln to the detriment of the holders of the FRESH 2008 Securities. The Court of Luxembourg, by order of 11 January 2022, dismissed the requests made by the Parent Company to stay the proceedings until the ruling of the international courts with regard to the preliminary objections raised by the Parent Company; on the other hand, it upheld the plea of lack of jurisdiction of the court hearing the case in relation to the claim concerning the usufruct contract entered into by the Parent Company with JP Morgan Securities PLC and JP Morgan Chase in the context of the 2008 share capital increase transaction. In relation to the aforementioned usufruct contract, the Luxembourg Court took the issue under advisement pending the decision of the Italian Court and, on the contrary, has declared its jurisdiction in relation to the swap contract entered into by the Parent Company with the same opposing parties in the context of the 2008 capital increase transaction.

It is noted that, following the start of the proceedings in question by the holders of the FRESH 2008 Securities, the Parent Company, on 19 April 2018, brought a legal action before the Court of Milan against JP Morgan Securities Ltd JP Morgan Chase Bank N.A. London Branch, as well as the representative of the FRESH 2008 securities holders and Mitsubishi Investors Services & Banking (Luxembourg) S.A. to request confirmation that the Italian Judge is the only one with jurisdiction to decide about the usufruct contract and the company swap agreement signed by the Parent Company with the first two defendants in the context of the share capital increase in 2008. Consequently, the Bank asked:

- to ascertain, pursuant to Art. 22, paragraph 4 of Decree 237 of 23 December 2016, the ineffectiveness of the usufruct contract and the company swap agreement that provide for payment obligations in favour of JP Morgan Securities PLC and JP Morgan Chase Bank NA;
- to ascertain the ineffectiveness and/or termination and/or settlement of the usufruct contract or, in the alternative



- to ascertain the termination of the usufruct contract due to the capital deficiency event of 30 June 2017.

The first hearing was held on 18 December 2018 and the Investigating Judge, considering the prejudicial nature of the issue of jurisdiction raised by the defendants, in view of the fact that a dispute is pending before the Luxembourg Court involving the same relief sought and the same cause, had granted the parties terms to reply only to the procedural objections and adjourned the hearing to 16 April 2019 for assessment of the disputed issue. At the subsequent hearing on 2 July 2019, the case was held over for decision and by order of 2 December 2019, the Court of Milan ordered the proceedings to be suspended pending the decision of the aforementioned Luxembourg Court. Against this order, the Parent Company had filed a petition with the Supreme Court for the transfer of the case on the ground of jurisdiction. The court has rejected the petition of the Parent Company with ruling dated 31 March 2021. Fresh bond holders appealed against the first instance ruling issued by the Luxembourg Court. The notice of appeal was filed at the end of November 2022. The Parent Company - in parallel - on the basis of the ruling issued by the Luxembourg Court, will file a petition with the Italian court asking it to rule on the grounds for the termination of the usufruct contract.

In the event of a favourable outcome of the dispute, the FRESH 2008 Securities will be converted into the shares, already issued, of the Parent Company which will also collect the amount of EUR 49.9 mln, recording a corresponding income.

In the event of an unfavourable outcome of the dispute, the principle of burden sharing cannot be applied and therefore the bondholders will retain the right to receive the coupon (equal to Euribor 3M + 425 bps on a notional amount of EUR 1 bn) provided that the Bank generates distributable profits and pays dividends. Since the Bank has not paid dividends since the date of the burden sharing, any unfavourable outcome of the dispute will only produce prospective effects and only in the event of dividend distribution.

Other disputes

Banca Monte dei Paschi di Siena S.p.A. vs. Fatrotek

This case, where the Parent Company was sued together with other credit institutions and companies with the summons of 27 June 2007, seeks the assessment of alleged monetary and non-monetary damage suffered by the plaintiff, as a result of an alleged unlawful report filed with the Italian Central Credit Register. The relative relief sought is EUR 157 mln. The plaintiff also asks that the defendant banks be found jointly liable, each proportionately to the seriousness of its behaviour. The Parent Company's defence was based on the fact that the company's extremely severe financial situation fully justified the Parent Company's initiatives.

At the hearing on 31 May 2018, the Judge reserved his decision on the challenges raised by the convened parties. On 5 June 2018, the Company declared bankruptcy. On 25 July 2018, upon lifting of the reservation made during the hearing of 31 May 2018, the case was adjourned to 31 October 2018, for the court-appointed expert to take the oath. In the meantime, the receivership of the Fatrotek S.r.l. bankruptcy again took up the case. The proceedings were adjourned first to the hearing on 4 December 2019 and then to the hearing on 13 February 2020, where a court-appointed expert investigation was ordered and an expert was appointed.

The case was held over for decision on 6 October 2022 and on 11 November 2022, the Court of Salerno issued a judgement for the settlement of only the non-pecuniary damage of EUR 20,000 for each bank (thus totalling EUR 100,000), plus interest and litigation costs. The disbursement attributable to the Parent Company amounted to EUR 34,151.69. The substantially successful outcome of the trial indicates that the appeal is not admissible.

Banca Monte dei Paschi di Siena S.p.A. vs. Marcangeli Giunio S.r.l.

With a writ of summons, notified on 28 November 2019, the claimant Marcangeli Giunio S.r.l. asked the Court of Siena to assess, first and foremost, the contractual liability of the Parent Company for not issuing a loan of EUR 24.2 mln - necessary to the purchase of land and the construction of a shopping mall with spaces to be leased or sold - and subsequently the conviction of the Parent Company with order to pay compensation for damages and ceasing gain in the amount of EUR 43.3 mln. As an alternative, in view of the facts specified in the writ of summons, a request is made for the Parent Company to be found pre-contractually liable for having interrupted the negotiations with the company without disbursing the agreed loan, and to be ordered to pay compensation in the same amount asked first and foremost.

In a judgment filed on 6 June 2022, the Court of Siena rejected the plaintiff company's claims for damages on the grounds of contractual and extra-contractual liability. The Court only upheld the restitutory claim brought by the opposing party with regard to the allegedly unlawful interest applied in connection with the land advances, quantified in EUR 58,038.27, plus legal interest, and offsetting the costs. By summons dated 23 December 2022, the company filed an appeal before the Court of Appeal of Florence with first appearance hearing on 15 May 2023.



Banca Monte dei Paschi di Siena S.p.A. vs. Riscossione Sicilia S.p.A.

By writ of summons notified on 15 July 2016 Riscossione Sicilia S.p.A. (today the Italian Revenue Agency - Collection, which took over under universal title in all legal relationships of Riscossione Sicilia starting from 1 October 2021, pursuant to art. 76 of Italian Law Decree no. 73/2021 converted with Italian Law no. 106/2021) had summoned the Parent Company before the Court of Palermo, asking for it to be ordered to pay the total sum of EUR 106.8 mln.

The claim of Riscossione Sicilia S.p.A. falls within the realm of the complex dealings between the Parent Company and the plaintiff, originated from the disposal to Riscossione Sicilia S.p.A. (pursuant to Italian Law Decree 203/05, converted into Law 248/05) of the equity investment already held by the Parent Company in Monte Paschi Serit S.p.A. (later Serit Sicilia S.p.A.).

In the preliminary phase of the proceedings, a court-appointed technical consultancy was carried out, the results of which were favourable to the Parent Company. In fact, the court appointed expert not only concluded that the Parent Company owes nothing to Riscossione Sicilia S.p.A., but also identified a receivable of the Parent Company of roughly EUR 2.8 mln, equal to the balance of the price for the sale of 60% of Serit Sicilia S.p.A. to Riscossione Sicilia S.p.A. by the Parent Company (dating back to September 2006), a sum that has to date been held in escrow by Riscossione Sicilia S.p.A. With ruling no. 2350/22, filed on 30 May 2022, the Court of Palermo, essentially adhering to the conclusions of the court-appointed expert, rejected Riscossione Sicilia's counterclaims and sentenced the latter to pay the Parent Company approximately EUR 2.9 mln plus legal interest and court fees.

This judgment was appealed on 27 December 2022 by summons before the Court of Appeal of Palermo.

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On 17 July 2018, the Finance Department of the Sicily Region sent to the Parent Company an order of injunction pursuant to art. 2 of Italian Royal Decree no. 639/1910 and of repayment, pursuant to art. 823, paragraph 2 of the Italian Civil Code, of the amount of around EUR 68.6 mln, assigning the Parent Company the term of 30 days to make the payment with the warning that, in the event of failure to do so, it would proceed with the forced recovery through the entry of the action into the cause list. The Sicily Region filed a petition for the summons of Riscossione Sicilia, resulting in the postponement of the first appearance hearing, which was held on 26 September 2019 and in which the Judge, upon acknowledging the statements provided by the parties, set out the terms for lodging the brief pursuant to art. 183 of the Italian Code of Civil Procedure and adjourned to an evidentiary hearing scheduled for 26 November 2020. On that occasion, the Parent Company asked for the hearing closing arguments to be scheduled, requesting the Court to verify that the action had become devoid of purpose, as Riscossione Sicilia during the proceedings had proved that the receivable claimed by the Sicily Region had been fully cancelled.

With ruling no. 3649/2021, published on 4 October 2021 and notified on 5 October 2021, the Court of Palermo rejected the Parent Company's opposition against the aforementioned order with simultaneous condemnation of the Parent Company to pay the litigation costs. The Parent Company lodged an appeal against this decision before the Palermo Court of Appeal. By order filed on 11 February 2022, the Court of Appeal ordered the integration of the cross-examination against the Italian Revenue Agency - Collection (ADER), as successor of Riscossione Sicilia spa, ordering it to appear at the hearing scheduled for 1 July 2022, during which time the case was postponed to the hearing of 22 November 2024 for the presentation of closing arguments.

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For the sake of completeness, it should be noted that the Parent Company has also filed an administrative case before the Regional Administrative Court of Sicily - Palermo office for the declaration of nullity and/or annulment of the injunction order pursuant to art. 2 of Italian Royal Decree no. 639/1910, notified by the Department on 17 July 2018, by appeal lodged on 16 October 2018 (General Register 2201/2018).

The appeal concerns the challenging of the order of injunction in the part in which, "alternatively, pursuant to art. 823, paragraph 2 of the Italian Civil Code, it orders the Parent Company Banca Monte dei Paschi di Siena (...) to return to the Sicily Region, within the same period of 30 days from receipt of the present order, the amount of approx. EUR 68.6 mln plus interest at the rate established by special legislation for late payment in commercial transactions, as provided for in paragraph 4 of art. 1284 of the Italian Civil Code".

The Department appeared via the Italian Government Lawyers (Avvocatura dello Stato) on 15 November 2018. The Regional Administrative Court has set 13 November 2023 as the date for the so-called "disposal" hearing, at which the interest in pursuing the case will have to be confirmed or not. On 20 December 2022, the law firm defending the Parent Company indicated that "the continuation of the aforesaid administrative proceedings appears to be likely futile given that the Sicilian Region has already obtained the enforceable measure in civil proceedings".



Moreover, following the notification of the tax bill against the registration of the claim brought by ruling No. 3649/2021 of the Court of Palermo “for the recovery of amounts under Injunction Order 16465/2018”, the Parent Company contested the enforcement and the tax bill as an enforceable act pursuant to art. 615 of the Italian Code of Civil Procedure before the Court of Siena with a summons dated 21 November 2022 and filed an application to suspend the enforceability of the act.

At the same time, the Parent Company filed a petition with the Court of Auditors on 21 November 2022 pursuant to art. 172 paragraph 1 letter d) of the Code of Accounting Justice to annul the acts for the recovery of the amounts.

Finally, the Parent Company, on 16 November 2022, petitioned ADER pursuant to Italian Law no. 228/2012 to obtain a suspension of the recovery of the amount due under the tax bill. On 25 January 2023, the Bank was notified by the Sicilian Regional Department of Economy of a formal notice of rejection of said petition. Consequently, on 27 January 2023, the payment of the amount of EUR 74 mln was ordered, and the necessary steps are underway to recover the aforementioned credit of about EUR 68.6 mln from ADER, to which the Parent Company is entitled, as the universal successor of Riscossione Sicilia.

Banca Monte dei Paschi di Siena S.p.A. vs. Nuova Idea

With a writ of summons notified on 21 December 2021, Nuova Idea S.r.l. summoned the Parent Company before the Court of Caltanissetta in order to have it declare that it was obliged to compensate all the damages, financial and non-financial, suffered by the company as a consequence of the protest of a bill of EUR 2,947 domiciled at the Caltanissetta Branch, which according to the plaintiff's prospect would have been raised due to the Parent Company's exclusive negligence.

The plaintiff argues that the illegitimate protest constituted the only prior causation of a chain of events described in the writ of summons which resulted in the net reduction of its shareholdings in a Temporary Grouping of Companies awarded a service contract with ASL Napoli 1 Centro, consequently requesting, principally, that the Parent Company was ordered to pay in its favour the amount of EUR 57.3 mln by way of loss of earnings as well as an amount of EUR 2.8 mln by way of loss of profit, and thus a total of EUR 60.1 mln, in addition to compensation for damage to the corporate image and commercial reputation to be paid on an equitable basis.

The first appearance hearing, indicated in the summons as 29 April 2022, has been postponed to 4 May 2022. The Parent Company promptly appeared, stating the correctness of the behaviour taken when the protest was raised and the absence of any causation between the Parent Company's actions and the alleged damage. At the hearing of 4 May 2022, the Judge withheld his decision on the requests and objections formulated by the parties and subsequently, lifting his reservation, granted the parties a deadline for filing the preliminary briefs, postponing the decision to the hearing of 29 March 2023.

MPS Capital Services Banca per le Imprese S.p.A. vs. Etika Esco S.p.A.

The joint-stock company Etika Esco (hereinafter “Plaintiff” or “Company”) sued MPS Capital Services S.p.A. (hereinafter “MPSCS”) before the Court of Florence, contesting the illegitimacy of the Bank's conduct which, upon resolution of a loan of EUR 20 mln in favour of a company to be formed (hereinafter “Newco Sviluppo Marina Velca”) which should have been wholly-owned by the Plaintiff, did not proceed with the stipulation of the contract and the consequent disbursements.

It should be noted that the transaction, which was the subject of analysis that concluded with the resolution of 7 September 2016, was structured to allow Newco Sviluppo Marina Velca to complete the project for the construction of a real estate complex of about 300 small villas, as well as renovation and expansion of a golf course, in an area owned by Sviluppo Marina Velca S.r.l., located in the municipality of Tarquinia (hereinafter “Real Estate Project”).

The Real Estate Project involved an Italian closed-end investment fund which, through a special purpose vehicle incorporated under Luxembourg law, held 100% of the capital of Sviluppo Marina Velca S.r.l.

MPS Capital Services S.p.A. had already intervened in support of this project by granting a loan of EUR 9.4 mln to Sviluppo Marina Velca S.r.l. in 2012 (hereinafter the “2012 Loan”), which expired on 31 July 2014. In September 2016, the period of the resolution on the subject loan, approximately EUR 11 mln remained, comprising principal, overdue interest, arrears and accessories.

The Company's takeover of the Real Estate Project assumed the acquisition by Etika Esco of a special purpose vehicle (identified as Rell's Risorse s.r.l.) which should have purchased the quotas of Sviluppo Marina Velca S.r.l.



and then proceeded with the merger by incorporation. Purchasing the quotas of Sviluppo Marina Velca S.r.l. would have required the Parent Company's intervention as guaranteed creditor, in order to authorise the transfer of the quotas subject to pledge as collateral for the 2012 Loan.

Given the context of the scenario indicated by the Company, the objections raised with regard to the Parent Company's conduct are briefly illustrated below.

The Plaintiff maintains that the conditions set by the Parent Company for the effectiveness of the resolution of 7 September 2016 were all met and, for those not met, should have been considered as having been fulfilled pursuant to Art. 1359 of the Italian Civil Code due to the acts and negligence of the Parent Company.

The failure to finalise the acquisition of the quotas of Sviluppo Marina Velca s.r.l., first, and the funding agreement with the consequent non-disbursement of the amounts, then, allegedly caused enormous damage to the company, which was quantified at approximately EUR 96 mln.

MPS Capital Services S.p.A. duly appeared before the court, replying that none of the conditions detailed in the letter of participation in the loan resolution had been satisfied.

In concluding, MPS Capital Services S.p.A. filed a counterclaim asking for the conviction of the Plaintiff for vexatious litigation, pursuant to art. 96 of the Italian Code of Civil Procedure.

The parties filed all the pleadings allowed by the Investigating Judge pursuant to art. 183, VI paragraph of the Italian Code of Civil Procedure.

In the pleading pursuant to art. 183, paragraph VI, no. 1 of the Code of Civil Procedure filed by Etika Esco on 21 February 2019, it was clarified that the total relief sought is not EUR 96 mln as the damages sustained as a result of the facts set forth in the writ of summons amount to approximately EUR 46.2 mln.

The Investigating Judge did not carry out any preliminary investigation, considering it unnecessary for the purpose of the decision. On 18 October 2022, the ruling of the Court of Florence was handed down, rejecting the claims of Etika Esco against MPS Capital Services and sentencing the plaintiff to refund the legal costs of MPS Capital Services S.p.A. The ruling was duly notified. On 23 November 2022, a settlement agreement was entered into whereby MPS Capital Services accepted Etika Esco's proposal to settle the amount due for legal expenses limited to EUR 14,591.20 (EUR 10,000.00 plus general expenses, VAT and the lawyers' social security fund) to be paid in five monthly instalments, against the Company's irrevocable waiver of its right to appeal against sentence No. 2906/2022 of the Court of Florence.

MPS Capital Services Banca per le Imprese S.p.A. vs. EUR S.p.A.

The company EUR S.p.A. sued MPS Capital Services S.p.A. at the Court of Rome, together with three other lending banks, primarily in order to obtain a declaration of invalidity or, alternatively, the cancellation and/or ineffectiveness of the following contracts: 1) Interest rate swap (IRS) concluded on 24 April 2009; 2) IRS of 29 July 2010; 3) the Novation Confirmation of 15 July 2010, with which the IRS sub 2 was transferred from Eur Congressi Spa to Eur Spa; 4) the close out contract dated 29 July 2010 relating to IRS sub 1; 5) the Termination Agreement of 18 December 2015 relating to IRS sub 2. Again primarily, the plaintiff seeks the conviction of the banks in the pool, jointly and severally, by way of restitution of the debt and compensation for pre-contractual and/or contractual and/or non-contractual damage, to the payment of approx. EUR 57.7 mln representing the relief sought as indicated by the plaintiff.

Since this amount relates to all the derivatives concluded by the 4 banks of the pool with EUR S.p.A., it should be noted that in the unlikely event of losing, MPS Capital Services S.p.A. having been sentenced to pay the compensation, may distribute the amount paid with the other banks in the pool due to its stake in the loan, which for MPS Capital Services S.p.A. is 12.61%.

MPS Capital Services S.p.A. appeared in court to have the full validity of its actions recognised and to request the rejection of the plaintiff's claims. In the entry of appearance and statement of defence, MPS Capital Services S.p.A. objected in *limine litis* the lack of jurisdiction of the court, given that the contracts regulating derivative operations between the subsidiary and Eur S.p.A. consist of ISDA Master Agreements governed by English law and subject to the jurisdiction of the Anglo-Saxon courts. The existence of the jurisdiction of the Italian court, according to the plaintiff, is due to the negotiated link between the IRSs and the financing contracts, which are governed precisely by Italian law, as well as to the public nature of EUR S.p.A. "as a company wholly owned by public institutions", arguments which appear to be unfounded.



In light of the foregoing, after examining the arguments and documents produced by the counterparty, it is deemed, also supported by the assessment carried out by the appointed lawyer, that the risk of MPS Capital Services S.p.A. losing the case is classifiable as “possible” in light of the current status of cases of law before the Supreme Court.

In the only hearing held so far, on 22 November 2021, the judge held that before entering into the merits the preliminary objections presented by the defendant banks, concerning: 1) the suspension of this lawsuit, by virtue of the provisions referred to in art. 7 paragraph 1 of Law 218/1995, pending the definition of the separate lawsuit brought by a bank of the pool against EUR S.p.A. in the United Kingdom concerning the verification of the validity and effectiveness of the derivative contracts concluded between the parties; 2) the “lis pendens” between the two lawsuits; 3) the lack of jurisdiction of the Italian judge in favour of the English one by virtue of the clauses of exclusive jurisdiction of the English courts contained in the ISDA Agreements between EUR s.p.a. and the defendant banks.

To this end, the court granted the parties time limits for pleadings on these preliminary issues with a deadline for the defendant banks of 22 January 2022 and reserved judgment upon the expiration of the time limits granted.

On 24 January, the Court of Florence, lifting the reservation set out in the minutes of the hearing of 22 November 2021 and considering the case ripe for decision on the objection of jurisdiction of the Italian court raised by the defendants, “taking into account the exclusive jurisdiction of the English court, as well as the lack of application of Italian law to the case in question”, adjourned the parties for the definition of the conclusions to the hearing of 8 November 2022.

Despite this positive measure for the pool of banks, on 1 June 2023 the lawyer of EUR Spa forwarded a settlement proposal to the defendant banks in which, in essence, EUR would accept a total compensation from the banks of only EUR 37 mln instead of the 57.7 required with the complaint of the lawsuit. The banks considered this proposal to be unacceptable, while appreciating with favour the willingness of EUR S.p.a. to amicably settle the dispute and reiterating their willingness to discuss in order to reach a reasonable settlement of the dispute.

On 8 November 2022, the Court of Rome, having found that the parties had filed their arguments, held the case for decision, granting the parties 60 days pursuant to art. 190 of the code of civil procedure to file closing statements and 20 days to file answer briefs.

MPS Capital Services Spa vs. Privilege Yard Spa in bankruptcy -

With ruling no. 14832/2022 of 4 October 2022, the Court of Rome ascertained the liability of various credit institutions, including MPS Capital Services S.p.A., defendants jointly and severally for complicity pursuant to art. 2055 of the Italian Civil Code in the misadministration by the directors of Privilege Yard S.p.A. pursuant to art. 2393 of the Italian Civil Code and consequently ordered them to pay as compensation for the damage caused to the assets of Privilege Yard S.p.A. an amount, quantifiable by way of application of the net equity criterion, equal to EUR 57.1 mln in addition to legal costs and expenses.

In agreement with the other banks of the pool, the decision was to proceed with the spontaneous payment, although reserving the right to repeat any such measure at the end of the appeal, by paying in the agreed amount of 1/5, for each bank, of the sentenced amount plus costs, fees and expenses.

In agreement with the attorneys for the other convicted banks and subject to the authorisation of its own decision-making bodies, on 21 December 2022 the Bank, through its legal counsel, filed an appeal and entered the case in the register (RG 6887/2022), retracing in the appeal all the points of the first instance ruling that are allegedly flawed, both in terms of the grounds and in terms of the correct application of the rules invoked thereby in support of the conviction.

The court hearing of 27 March 2023 was set in the summons and confirmation by the court is pending.

Banca Monte dei Paschi di Siena S.p.A. vs. Barbero Metalli S.p.A.

The proceedings, with relief sought equal to EUR 37.5 mln, were brought by B.M. 124 S.R.L. - official assignee of the composition in bankruptcy pertaining to Barbero Metalli Spa in JV with BeCause - against the directors and auditors of the company, as well as the different credit institutions jointly and severally, for having contributed to the insolvency of the company through the predatory lending.

The thesis put forward by the plaintiff is based on the alleged joint and several liability of the banks with the Board of Directors of Barbero Metalli S.p.A. for having contributed to the commission of acts of misadministration, to the artificial survival of the company, to the concealment of the irreversibility of the financial difficulties and to the worsening thereof.



The plaintiff asks for the directors, auditors and banks to be found jointly and severally liable for approximately EUR 37.5 mln as additional loss incurred by the company, and in the alternative liable for EUR 22.9 mln, as the value of individual detrimental transactions carried out by the company and expressly listed in the writ of summons (the contribution indicated for Banca MPS would consist in having advanced EUR 8.8 mln to the company since 2009).

At the first appearance hearing (25 January 2022), the judge ordered a postponement of the case for the purpose of mandatory mediation. Pre-mediation activities were carried out, by the exclusive will of the other party, in a confidential and autonomous manner among the different parties involved in the legal dispute (13 parties of which 8 Banks). The official assignee proposed therein to BMPS the payment of a lump sum of EUR 750,000, which could be reduced to EUR 600,000 plus expenses. In support of the settlement proposal, the counterparty offered judgements that would have constituted “precedents” in establishing the Bank’s liability for predatory lending. After informally hearing the other banks, which had expressed concerns about the proposals made, and in continuous contact with the appointed lawyer, in May 2022, our refusal to participate in the mediation was formalised. This decision is supported both by the external counsel’s opinion and by case law trend that would require the party claiming damages to make a more rigorous and precise demonstration of the causation, not limiting itself to the mere sequence of events between funding and financial difficulties.

Having completed the mediation process, which was in fact never formally opened, and having filed the parties’ written submissions, the judge ordered a postponement to 21 December 2022 for the hearing, which was ultimately postponed to the hearing on 3 May 2023.

Banca Monte dei Paschi di Siena S.p.A. vs. Isoldi S.p.A.

In June 2020, a summons was served by the bankruptcy receiver of Isoldi Holding S.p.A. in liquidation against several Credit Institutions (including the Parent Company) on the assumption of joint and several liability of the banks with the board of directors of Isoldi Holding S.p.A. in liquidation for having contributed to the commission of acts disposing of the company's assets, to the artificial survival of the company despite its insolvency and to the worsening thereof, identified as:

- purchase of shares and the related option rights of the company Aedes S.p.a., carried out at prejudicial conditions compared to market prices with an increase in indebtedness, in a position of equity and financial instability of the bankrupt company;
- access to a reorganisation plan pursuant to art. 67, paragraph 3, letter d), of the Bankruptcy Law, signed on 9 May 2011 by 7 banks (the Parent Company for 19%) and Isoldi Holding through the establishment of two new companies for the transfer of a business unit bound to the satisfaction of debtors with collaterals (Newco Isoldi and I.R.O.) and the disbursement of new funding for a total of EUR 17.6 bn secured by second mortgages and sureties of Isoldi Holding.

At the first hearing, on 16 February 2023, the Judge reserved his decision on the various preliminary motions.

MPS Capital Services Banca per le Imprese S.p.A. vs. Parrini S.p.a.

The lawsuit, with relief sought equal to EUR 42.2 mln, is brought against different credit institutions jointly and severally alleged to have contributed to the insolvency of the company through predatory lending.

Notably, in regard to the position of MPS Capital Services S.p.A., the complaint concerns the connivance with the acts of maladministration of the directors, who made use of credit at a time when the state of crisis of the company was no longer remediable, not in view of a corporate restructuring, but for the sole purpose of continuing the business activity and management, without letting this state of crisis become public, thus delaying the declaration of insolvency, and causing damage to the company and its creditors by granting mortgage loan No. 503259901 on 4 August 2011.

The plaintiff asks for MPS Capital Services S.p.a. (originator of the assigned loan) and the other banks Intesa-UniCredit-B.co Desio to be found liable jointly and severally and to pay damages to the liquidator of the insolvent company, in the amount of approximately EUR 42.3 mln, or in the different amount, greater or lesser, that the Court will deem appropriate, also pursuant to art. 1226 of the Italian Civil Code, as well as interest and revaluation.

Given the content of the claims, the share of the risk pertaining to the subsidiary MPS Capital Services S.p.A., jointly and severally summoned with the other defendants to pay the entire amount requested in relief, has not been quantified.



The first hearing, initially scheduled for 29 July 2021, was postponed to 31 January 2022 where the Court initially kept its judgement reserved. On 3 February 2022, it lifted the stay by postponing the case to the hearing of 31 October 2022 to produce items of evidence. The receivership asked for the appointment of a Court appointed expert. At the hearing, the Bankrupt insisted on the request for an economic-financial and accounting Court appointed expert and the request for the issuance of the order to produce evidence concerning the investigation carried out by the banks prior to the granting of the loans to Parrini. MPS Capital Services S.p.A. contested the opposing claims, pointing out the fact-finding nature thereof, insofar as they were intended to make up for the lack of evidence of the claim. The Court reserved its decision.

Banca Monte dei Paschi di Siena S.p.A. vs. Società Italiana per Condotte D'Acqua S.P.A. under the control of a government appointed administrator

By means of a writ of summons served on the Parent Company on 23 December 2022, Società Italiana per Condotte D'Acqua S.p.A. under the control of a government appointed administrator brought an action for damages against the credit institutions in conjunction with the factoring companies (no. 32 opposing parties), the independent auditors PWC, the members of the Managing Board and of the Supervisory Board of the company in bonis, for having contributed - through the use and granting of credit - to the commission of acts of misadministration that caused (or contributed to causing) serious damage to the company and to the entire creditors. The damage is quantified:

- jointly and severally among all defendants in the amount of EUR 389.3 mln;
- subordinately EUR 322.0 mln (increase of insolvency liabilities);
- subordinately in the amount of EUR 39.5 mln with reference to individual transactions (referring to associate companies).

The first appearance hearing is set for 12 July 2023 at the Court of Rome - Specialised Companies Division.

Given the content of the claims, the share of the risk pertaining to the Parent Company, jointly and severally summoned with the other defendants to pay the entire amount requested in relief, has not been quantified.

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Employment law disputes

As at 31 December 2022, tax disputes were pending for which the total relief sought, where quantified, was equal to approximately EUR 90.2 mln. In particular:

- approx. EUR 53.2 mln in relief sought for which there is a “likely” risk of losing the case, for which provisions of about EUR 41.1 mln have been made;
- approx. EUR 15.6 mln as relief sought for disputes for which there is a “possible” risk of losing the case;
- approx. EUR 21.4 mln as relief sought for disputes for which there is a “remote” risk of losing the case.

We provide below the summary information on the most significant disputes pending as at 31 December 2022.



Banca Monte dei Paschi di Siena S.p.A. vs. Fruendo

After the sale of the business unit, 634 workers (then reduced to 233 due to waivers and settlements) summoned the Parent Company before the courts of Siena, Rome, Mantua and Lecce to request the continuation of the employment relationship with Banca MPS, subject to the sale agreement with Fruendo being declared ineffective.

As of today, for 223 workers involved, the judgement was unfavourable to the Bank. With regard to the remaining 10 workers, a first and/or second instance ruling unfavourable to the Bank was issued.

It should also be noted that in the case of the transfer of a branch of business deemed unlawful, the Court of Cassation, with reference to the salary obligation incumbent on the transferor, has ruled in a manner that differs from the settled opinion of the Court of Cassation itself. In fact, with numerous rulings, issued starting from July 2019, it was affirmed that, in the event that the transfer of the employment relationship, in the broader context of the transfer of the business unit, is declared unlawful, the transferring employer, who does not reinstate the employees, is still liable to fulfil the remuneration obligations in addition to those fulfilled by the transferee employer, since the principle that the payment made by the latter would discharge the former is considered not applicable to the case in question.

Based on this change in case law ("double remuneration"), as at the date of these Consolidated Financial Statements, 208 workers involved in the transfer of the business unit and recipient of the above rulings in their favour, have sued the Parent Company in order to request the remuneration allegedly due. These actions were filed with the Courts of Siena, Florence, Mantua and Rome, with hearings currently scheduled between January 2023 and December 2023.

For this group of disputes, 29 first instance rulings and 4 second instance rulings have been issued so far:

- 4 by the Court of Siena, partially unfavourable (with the Labour Court sentencing the Bank to pay only 5 months of the final total remuneration);
- 15 by the Court of Rome, unfavourable (with the Labour Court sentencing the Bank to pay all the wages claimed by the workers);
- 7 by the Court of Mantua, unfavourable (with the Labour Court sentencing the Bank to pay all the wages claimed by the workers);
- 3 by the Court of Rome, favourable (with the Labour Court upholding the objections of the Bank and rejecting the workers' appeal);
- 1 issued by the Court of Appeal of Florence which, by reforming the first partially unfavourable ruling of the Court of Siena, recognised the right of workers to receive all the wages claimed;
- 2 issued by the Court of Appeal of Brescia, which confirmed the unfavourable rulings made in the first instance by the Court of Mantua.
- 1 issued by the Court of Appeal of Rome which, by reforming the first partially favourable ruling of the Court of Rome, recognised the right of workers to receive all the wages claimed.

The partially unfavourable rulings issued by the Court of Siena, which partially accepted the request relating to the "double remuneration", ordering the Parent Company to pay only 5 months of the last overall salary due to the parties involved, also gave impetus to the start of negotiations for the settlement of disputes which, to date, have led to the completion of 242 transactions. The subsequent reform by the Court of Appeal of Florence of the first sentence issued by the Court of Siena, as well as the now consolidated trend of law cases favourable to workers on the subject of "double remuneration", did not prevent the continuation of the settlement activity, although with the adoption of different criteria (recognition of 60% of the amounts claimed by way of "double remuneration"). This led to the conclusion of a further 8 compositions, for a grand total of 250 settlements to date.

In addition, writs of summons were served by 2 workers requesting the Bank to return the portion of social security contributions charged to them in the spontaneous execution of the unfavourable rulings on so-called "double remuneration". By appeals filed on 26 September 2022, the Bank contested these claims. The Court of Siena, Labour Law Division, suspended the enforceability of the acts, setting a hearing for discussion for 29 March 2023.

Please also note that the Court of Siena, Labour Law Division, with ruling of 25 January 2019, rejected the appeals of 52 Fruendo workers (later reduced to 32 following waivers/settlements) which sued the Bank before the Court to request the continuation of the employment relationship with the latter, upon declaration of the unlawful interposition of labour ("unlawful contract") as part of the services outsourced by the Bank to Fruendo.

This ruling was challenged by 16 workers before the Court of Appeal of Florence Labour Law Division which, on the other hand, ascertained the unlawfulness of the contract, ordering the reinstatement in service of 14 workers



(as for 2 workers, the matter in dispute was declared to have ceased to exist following waivers/settlements), which was implemented with effect from 1 March 2022. The case is currently pending before the Court of Cassation.

45 workers of Fruendo have started additional legal actions to establish the unlawfulness of the contract:

- a) No. 13 claimants appealed to the Court of Padua - Labour Law Division: the cases were settled at the hearing of 24 October 2022;
- b) 32 workers brought action before the Court of Siena - Labour Law Division. The status of the related rulings is summarised below:
 - for two groups of applicants (18 in total) who have introduced collective disputes, favourable rulings were issued at first instance by the Court of Siena Labour Law Division, which were challenged before the Court of Appeal of Florence: next hearing 6 April 2023;
 - for another group of applicants (13 in total), the appeal was notified to the Bank on 29 June 2022 and the first appearance hearing is set for 17 April 2023;
 - for the only applicant who filed an individual claim, the Court of Siena - Labour Law Division set the next hearing on 5 June 2023.

Tax disputes

As at 31 December 2022, tax disputes were pending for which the total relief sought, where quantified, was equal to approximately EUR 46.9 mln. In particular:

- approx. EUR 12.5 mln in relief sought regarding disputes for which there is a “likely” risk of losing the case, for which provisions of approx. EUR 11.7 mln have been made;
- approx. EUR 28.1 mln as relief sought for disputes for which there is a “possible” risk of losing the case;
- approx. EUR 6.3 mln in relief sought regarding the remaining disputes, for which there is a “remote” risk of losing the case.

Risk linked to representations and warranties given in the disposal and demerger of non-performing loans

In execution of the 2017-2021 Restructuring Plan, the Group has launched an important destocking plan for non-performing loans with the aim of significantly reducing its NPE ratio. As part of these transactions, indemnities are envisaged to be paid to the transferee counterparties of non-performing loan portfolios if the representations and warranties (R&W) issued are not true. In this regard, note the securitisation transaction carried out by the Group in December 2017 in favour of Siena NPL which resulted in the cancellation of bad loans for a gross exposure of over EUR 22 bn, whose R&W expired on 31 July 2021. By that date, more than 10,000 claims had been received for a relief of approximately EUR 0.7 bn; of those analysed, amounting to 4,209 claims, with relief sought of approximately EUR 0.6 bn, a limited percentage was assessed as well-founded. Also of note is the “Hydra-M” demerger in 2020 concerning EUR 7.2 bn of gross non-performing loans whose R&W expired on 1 December 2022, the 2019 “Morgana” transaction, which involved EUR 663 mln of gross exposure of lease secured bad loans whose representation and warranties expired in October 2021 and finally some transactions involving the disposal of portfolios of unlikely to pay loans, which took place between 2018 and 2020, with a maximum maturity of May 2023. As at 31 December 2022, 230 claims for EUR 106 mln had been received and analysed for “Hydra M” (of which approx. 68% of the relief sought, object of the disputes, was subject to reservation of rights and, therefore, with uncertainty as to the indemnity claim by AMCO) and approx. 450 claims for EUR 3.2 mln for Morgana, of which minority shares were deemed founded.

Again, as at 31 December 2022, a single claim was notified, for a total amount of EUR 5.5 mln, relating to approximately 170 positions included in the area of receivables assigned to Illimity S.p.A. within the scope of the Fantino Project, which is currently deemed unfounded.

In general, the risk provisions for this type of transactions, if the claims are not fully analysed and/or the expiry date has not yet been reached, are also determined through the use of statistical techniques to take into account the overall expected risk.

Compensation for transactions in diamonds

On 19 February 2019, the Issuer was notified by the Office of the Preliminary Investigation Judge of the Court of Milan of a preventive seizure order concerning this matter. The order was served to several natural persons, two



diamond-producing companies (Intermarket Diamond Business S.p.A. and Diamond Private Investment S.p.A.), as well as 5 banks, including the Parent Company, and resulted, for the Parent Company, in the preventive attachment of the profit from the crime of continued aggravated fraud, in the amount of EUR 35.5 mln. In addition, a preventive seizure order was served for an equivalent amount pursuant to art. 53 of Italian Legislative Decree 231/2001, for EUR 0.2 mln for the crime of self-money laundering.

On 6 April 2021, the request for committal for trial by the Public Prosecutor's Office at the Court of Milan was issued against 110 subjects, including 5 Executive managers - of whom 4 no longer in service - and 8 branch managers, in relation to the crimes of aggravated and continued fraud, as well as use of money (self-laundering) for the 5 Executive managers only. The Parent Company is accused of the administrative offence pursuant to articles 5 and 25 - octies of Italian Legislative Decree 231/2001 in relation to the crime of self-money laundering pursuant to art. 648 ter 1 of the Criminal Code.

At the hearing held on 20 December 2021, the preliminary issues were discussed and at the subsequent hearing held on 21 January 2022, the Judge of the preliminary hearing upheld the case for lack of venue jurisdiction raised by the parties, removing the proceedings from the jurisdiction of the Milan Court and arranging for the transmission of documents:

- to the Public Prosecutor's office of Rome, as regards alleged fraud of the request for committal for trial challenged against the representatives of DPI and the Parent Company (as well as for the alleged use and self-money laundering concerning the defendants representing DPI);
- to the Public Prosecutor's office of Siena, as regards alleged self-money laundering attributed to the executive managers of the Parent Company and the corresponding administrative offence, challenged to the Parent Company in the request for committal for trial. On 8 June 2022, as part of this new proceedings in Siena, the Public Prosecutor issued the notice of conclusion of the preliminary investigations and concurrent notice of indictment against 4 former executive managers and the only executive manager, still in service, already involved in the main proceedings on Milan, for the crime of self-money laundering pursuant to arts. 81, 110, and 648 ter 1 par. 1, 2 and 5 of the Italian Criminal Code. The aforementioned notice confirmed the charge to the Parent Company in relation to the administrative offence referred to in arts. 5 par. 1 letter b and 25-octies of Italian Legislative Decree no. 231/2001.

On 23 February 2022 and 10 March 2022, respectively, both the Court of Siena and the Court of Rome - Preliminary Investigations Judge's Office - ordered the validation of the preventive seizure order for EUR 0.2 mln, issued against the Parent Company for the administrative offence pursuant to art. 25-octies of Italian Legislative Decree 231/01 in relation to art. 648 ter 1 of the Criminal Code (self-money laundering), and EUR 35.5 mln in relation to the crime of fraud.

On 16 June 2022, following a specific request filed by the Parent Company, the Rome Public Prosecutor's Office notified the release from attachment of the aforementioned sum of EUR 35.5 mln.

The Public Prosecutor's Office at the Court of Siena, with reference to the criminal proceedings regarding the possibility of self-money laundering, issued a request for dismissal on 12 September 2022 against the natural persons (4 former executive managers and the only executive manager still employed), who had been investigated for self-money laundering and also issued a decree for dismissal with regard to the Parent Company as party bearing administrative liability.

The above-mentioned decree also ordered the removal of the attachment order issued in relation to the offence of self-money laundering pursuant to Italian Legislative Decree 231/2001, for the sum of EUR 195,237.33.

The dismissal with respect to the Parent Company was transmitted to the Attorney General of the Court of Appeal of Florence, which endorsed it on 16 November 2022, while the Preliminary Investigations Judge issued a decree of dismissal against the natural persons on 5 October 2022.

With reference to the "diamonds" affair, additional criminal proceedings for the offences of aggravated fraud, self-money laundering and hindering the exercise of the functions of Public Supervisory Authorities were lodged before the Public Prosecutor's Office at the Court of Milan. On 28 September 2021 the Public Prosecutor made a request for committal for trial, against seven former executive managers (of which five in the main line of litigation) and the Chief Executive Officer and pro tempore General Manager of the Parent Company.

The preliminary hearing was set for 30 September 2022. At that hearing, the Preliminary Hearing Judge postponed the hearing to 25 January 2023 to bring a suit as a civil party and the relative matters as well as for further preliminary matters, including regarding jurisdiction.



At the hearing of 25 January 2023, the Court ordered a postponement to 5 April 2023, pending the filing of the written justification of the Court of Cassation's ruling that settled the conflict of jurisdiction between the Judicial Authorities of Rome and Verona in the IDB-Banco BPM case, which has the same indictment scheme as the proceedings at issue.

In these new proceedings, the Parent Company is not involved as party with administrative liability pursuant to Italian Legislative Decree 231/2001.

To meet the initiatives taken, the Parent Company has set aside provisions which take into account, among other things, the anticipated number of requests and the current wholesale value of the stones to be collected.

As at 31 December 2022, more than twelve thousand requests were received for a total value of approximately EUR 316 mln, almost all of them settled (EUR 5.9 mln of which in the 2022 financial year, the countervalue of which, net of the market value of the stones, covered by the provision for risks and charges set aside in previous financial years). As at 31 December 2022, the transactions settled represented 91.9% of the total volume of diamond offers reported by the Parent Company. Residual provisions for risks and charges recognised against the compensation initiative amounted to EUR 4.4 mln at the end of 2022.

As at 31 December 2022 the stones returned were recognised for a total value of EUR 76.1 mln.



Financial risks of investment services

Foreword

The following section on financial risks of investment services was written as part of the “Operational Risk” section in line with the compulsory framework for preparation of the Notes to the Financial Statements, even though this subject presents specific characteristics and involves organisational levels of authority that are not directly traceable to operational risk management.

Wealth risk management process and methods

The Group pays particular attention to the governance of risks regarding investment services that are a direct and indirect result of the risks incurred by customers in relation to the performance of investment services.

Governance of these risks is aimed at protecting customers and at preventing any potential negative impacts on the Group in terms of operational and reputational risk.

Organisational responsibility at Group level for supervising financial risk measurement, monitoring and control activities and for mapping investment products/services for the purposes of MiFID adequacy is an integral part of the Group’s integrated risk management responsibilities, and is assigned centrally to the Market Risk and Wealth Risk Management Service Function, within the Risk Management structure of the Parent Company’s Chief Risk Officer Department. This is to ensure centralised governance of the direct and indirect risks which the Group incurs during the course of its operations.

“Wealth risk management” focuses on the overall set of operational and management processes as well as measurement and monitoring tools/methods used to ensure overall consistency between customers’ risk profiles and the risk of investment products and portfolios offered to - or in any case held by - customers.

The investment products (of the Group and of third parties), whether or not included in the overall offering to the Group’s customers, are mapped for risk on the basis of quantitative measurements of market and credit risk factors and makes assessments of the liquidity, complexity, and sustainability characteristics of these products. Product mapping is one of the guiding criteria for carrying out investment adequacy checks as part of the consulting service offered.

For the sake of simplicity, investment product risk mapping, performed with reference to individual risk macro-factors, is grouped under specific risk categories.

A special focus is given by the Group to the monitoring and prevention of potential financial and reputational risks which investment services, particularly in contexts of financial crisis, may generate as a consequence of increased market volatility. The fast-moving and not always predictable market trends may result in rapid changes in product risks and generate potential financial losses, as well as prompting a changing attitude by customers towards their own financial investments.

Customers have regularly been informed of changes in the risk of financial instruments held, so as to ensure timely disclosure transparency and facilitate possible decisions aimed at rebalancing the risk profile of their investments.

Consultancy services offered

The strategic choice of the Parent Company is to systematically combine the placement of financial products with advisory so as to ensure the highest level of protection for the investor and, at the same time, enhance the role played by relationship manager. Again, with a view to protecting customers, the obligation to verify appropriateness has also been extended to the trading activities on the secondary market of the bonds and the certificates issued by the Group.

The advisory service is offered by the Parent Company on the basis of two different methods:

- a “basic” advisory, aimed at verifying the suitability of a single specific investment recommendation, or several investment transactions or several disinvestment transactions in relation to the risk of the customer’s investment portfolio as a whole. In this regard, the adequacy model adopts a multivariate control approach to



the individual risk factors, taking the risk of the customer's portfolio, including the recommended investment product(s), as a reference.

- an "Advanced" advisory, aimed at verifying the suitability of the overall set of advised transactions based on a range of investment/disinvestment transactions targeted at the construction of one or more portfolios of advanced advisory, consistent with the respective investment objectives, in reference with an optimal asset allocation that aims at obtaining maximised future returns, based on the investment portfolio risk given the customer's risk profile. In this regard, the adequacy model adopts a multivariate control approach to the individual risk factors, taking the risk of the customer's portfolio, including the recommended investment product(s), as a reference.

Wealth risk management activities cover the entire distribution perimeter of the network of Group branches, the investment services operated by Banca Widiba and by MPS Capital Services.

Section 3 - Insurance companies risks

Neither the Group nor its subsidiaries perform insurance activities. However, the Group has holdings in the share capital of insurance companies, such as "AXA MPS Assicurazioni Danni S.p.A." and "AXA MPS Assicurazioni Vita S.p.A.". These equity investments are carried at equity and are recognised under consolidated assets, item 70 "Equity investments". Pursuant to prudential supervisory provisions, the Group deducts the amount of such equity investments that exceeds certain regulatory thresholds from its own funds and holds a capital requirement against the amount not deducted.

Section 4 - Other companies risks

There are no significant additional risks for the remaining companies included in the scope of consolidation that are not part of the Banking Group or insurance companies. With regard to the company MPS Tenimenti Poggio Bonelli e Chigi Saracini Società Agricola S.p.A., it should be noted that the book value at which the properties, plant and vineyards are recognised is consistent with the values inferred from specific appraisals and valuations. The Group meets a capital requirement for this equity investment calculated in accordance with prudential supervisory provisions.



Part F – Information on consolidated shareholders' equity



Section 1 - Consolidated shareholders' equity

A. Qualitative Information

The Group pursues strategic objectives focused on quantitative and qualitative strengthening of capital, structural rebalancing of liquidity and achievement of sustainable profitability levels, compatible with the undertaken risks.

In this perspective, capital management, planning and allocation activities play a crucial role in ensuring compliance over time with the minimum capitalisation requirements set by the regulations and the supervisory authorities, as well as with the risk appetite level approved by the Group's strategic supervision body.

To this end, within the Risk Appetite Framework (RAF), the target capitalisation levels are estimated on a yearly basis and the capital is allocated to the business units according to the expected development, returns and estimated risk levels, making sure that the allocated capital is sufficient to ensure compliance with minimum requirements, under both normal and stress conditions. Capital adequacy is also assessed prospectively and over a period of several years, under both normal and stress conditions, taking into account both the regulatory perspective, focused on compliance with regulatory capital requirements, and the economic perspective, focused on compliance with managerial capital requirements aimed at monitoring also risks not covered by regulatory requirements.

Capital management is understood as a dynamic activity aimed at constantly seeking to optimise the capital components (ordinary shares and other capital instruments) in order to achieve objectives and implement identified strategies.

The Parent Company exercises coordination and guidance activities over the Banks and Companies belonging to the Group, monitoring the management of assets in each legal entity and issuing the appropriate guidelines.

The Group uses methodologies for the correct measurement of profitability, based on risk, by adopting these indicators also within the RAF framework, with related monitoring and management of the total expected risk/return profile.

In this context, RAPM metrics are used to allow appropriate assessments to be made and to provide the necessary indications, to the Parent Company's functions and business units, for an accurate and detailed measurement of the actual absorption of allocated capital resources and for the orientation of future distribution choices.

Monitoring of the achievement of objectives and compliance with minimum regulatory requirements is also carried out constantly throughout the year.

The formal corporate processes to which the RAF is applied at least on an annual basis are the Multi-Year Planning and Budgeting process, the Risk Appetite Statement (RAS) and ICAAP. These processes, in line with the indications of the Supervisory Authorities, require the involvement of several structures and the contribution of the Group's Subsidiaries, in order to internally assess the strengths and weaknesses of the risk profile and its management and control processes.

Moreover, they are consistent with the Recovery Plan process, in particular by ensuring that the Recovery indicator framework is consistent with the RAS indicators.

The definitions of equity applied are those used in Supervisory Regulations: *Common Equity Tier 1, Tier 1 and Own Funds*. Moreover, the RAPM metrics also include Invested Capital, i.e. the amount of Shareholders' equity needed to achieve Common Equity Tier 1 values, whether determined ex ante as target levels or realised ex post.

As for absorbed capital, the regulatory requirements corresponding to risk-weighted assets (RWA), determined on the basis of supervisory rules (regulatory RWA) and internal capital (internal RWA) and defined by the Group in accordance with risk management methodologies, are used for capital at risk. Both measurements are used as part of RAPM metrics.

According to the European Central Bank's final decision on capital requirements, as of 1 January 2023 the Group at the consolidated level must comply with a Total SREP Capital Requirement (TSCR) of 10.75%, which includes:

- a minimum own funds requirement - Pillar 1 ("P1R") of 8% (of which 4.50% in terms of CET1); and
- an additional Pillar 2 ("P2R") requirement of 2.75%, which is at the same level as in 2022, to be held at least 56.25% in the form of Primary Tier 1 Capital - CET1 - and 75% in the form of Tier 1 Capital.

Moreover, with regard to Pillar II Capital Guidance (P2G), the ECB expects BMPS to maintain, on a consolidated basis, a requirement of 2.50%, also unchanged compared to 2022, to be fully met with Common Equity Tier 1 capital, in addition to the overall capital requirement.



The overall minimum requirement in terms of Total Capital ratio, obtained by adding a Combined Buffer Requirement (CBR) of 2.75%⁵⁹ to the TSCR, is 13.50% (for 2021, it was 13.44%).

The overall minimum requirement in terms of CET1 ratio is 8.80%, the sum of P1R (4.50%), P2R (1.55%⁶⁰) and CBR (2.75%); the overall minimum requirement in terms of Tier 1 is 10.82%, including P1R of 6%, P2R of 2.06%⁶¹ and CBR of 2.75%.

Considering the successful outcome of the share capital increase for EUR 2.5 bn, the ECB also removed the prohibition on the distribution of dividends, replacing it with the obligation for the Parent Company to obtain prior authorisation from the Supervisory Authority.

The objective of capital adequacy is primarily pursued through the generation of positive income, as well as through the optimisation of risk-weighted assets.

Compliance with capital requirements is also ensured through specific actions to support total own funds, such as the issuance of subordinated bonds.

B. Quantitative Information

B.1 Consolidated shareholders' equity: breakdown by business areas

31 12 2022

Net equity items	Prudential Consolidation	Insurance companies	Other companies	Consolidation cancellations and adjustments	Total	of which Group	of which minority interests
Shareholders' equity	7,454,061	304,317	111,435	(415,753)	7,454,061	7,453,451	610
Share premium	2	-	-	-	2	-	2
Reserves	783,791	558,696	69,997	(628,692)	783,791	784,604	(813)
Equity instruments	-	-	-	-	-	-	-
Treasury shares (-)	-	-	-	-	-	-	-
Valuation reserves	(234,462)	(197,757)	5,243	192,514	(234,463)	(235,748)	1,285
- Equity instruments measured at fair value through other comprehensive income	(10,854)	-	-	-	(10,854)	(10,854)	-
- Financial assets (other than equity instruments) measured at fair value through other comprehensive income	(136,065)	-	-	-	(136,065)	(136,065)	-
- Tangible assets	142,837	-	5,272	(5,272)	142,837	142,592	245
- Exchange difference	4,009	-	-	-	4,009	4,009	-
- Non-current assets and group of assets held for sale	6	-	-	-	6	6	-
- Financial liabilities measured at fair value through profit and loss (changes in own credit worthiness)	11,130	-	-	-	11,130	11,130	-
- Actuarial gains (losses) on defined benefit plans	(51,657)	-	(29)	29	(51,657)	(51,657)	-
- Share of valuation reserves of equity investments valued at equity	(201,385)	(201,386)	-	201,386	(201,385)	(201,385)	-
- Special revaluation laws	7,517	3,629	-	(3,629)	7,517	6,476	1,040
Profit (loss) for the year - Group and minority interests	(204,848)	64,088	3,155	(67,243)	(204,848)	(204,700)	(148)
Net Equity	7.798.544	729.344	189.830	(919.174)	7.798.543	7.797.607	936

⁵⁹ The Combined Buffer Requirements (CBR) includes the Capital Conservation Buffer (2.50%) + O-SII Buffer (0.25%) + Countercyclical Capital Buffer (0.003%).

⁶⁰ Calculated considering 56.25% coverage of P2R from CET 1.

⁶¹ Calculated considering 75% coverage of P2R from Tier 1.



B.2 Valuation reserves for financial assets measured at fair value through other comprehensive income: breakdown

Asset/Amount	Prudential Consolidation		Insurance companies		Other companies		Consolidation cancellations and adjustments		Total	
	Positive reserve	Negative reserve	Positive reserve	Negative reserve	Positive reserve	Negative reserve	Positive reserve	Negative reserve	Positive reserve	Negative reserve
1. Debt securities	1,932	(295,855)	-	(157,858)	-	-	-	157,858	1,932	(295,855)
2. Equity instruments	13,802	(68,023)	30	(43,397)	-	-	(30)	43,397	13,802	(68,023)
4. Loans	-	-	-	-	-	-	-	-	-	-
Total 31 12 2022	15,734	(363,878)	30	(201,255)	-	-	(30)	201,255	15,734	(363,878)
Total 31 12 2021	251,543	(70,483)	202,910	(37,945)	-	(809)	(202,910)	38,754	251,543	(70,483)

B.3 Valuation reserves for financial assets measured at fair value through other comprehensive income: annual changes

31 12 2022

	Debt securities	Equity instruments	Loans
1. Opening balance	228,179	(47,119)	-
2. Increases	2,344	4,369	-
2.1 Increases in fair value	578	1,352	-
2.2 Net losses (recoveries) on impairment	-	X	-
2.3 Reversal to profit and loss of negative reserves	850	X	-
2.4 Transfers to other component of equity (equity instruments)	-	457	-
2.5 Other increases	916	2,560	-
3. Decreases	524,446	11,471	-
3.1 Decreases in fair value	519,880	11,465	-
3.2 Impairment provisions	-	-	-
3.3 Reversal to profit and loss of positive reserves: following disposal	3,847	X	-
3.4 Transfers to other component of equity	-	6	-
3.5 Other decreases	719	-	-
4. Closing balance	(293,923)	(54,221)	-



B.4 Valuation reserves for defined benefit plans: annual changes

	Internal funds	External funds	Provisions for employees severance pay	31 12 2022
Opening balance	(36,551)	(222)	(24,571)	(61,344)
Remeasurement of net defined benefit liability (asset):	269	-	9,184	9,453
Return on plan assets excluding interests	(1,157)	(43,463)	-	(44,620)
Actuarial gains (losses) arising from changes in demographic assumptions	(2,713)	(606)	(10)	(3,329)
Actuarial gains (losses) arising from experience adjustments	(8,233)	(10,336)	(3,032)	(21,601)
Actuarial gains (losses) arising from changes in financial assumptions	12,902	29,000	12,226	54,128
Changes in effect of limiting net defined benefit asset to asset ceiling	(530)	25,405	-	24,875
Gains (losses) on settlements	-	-	-	-
Others	(26)	-	99	73
Closing balance	(36,308)	(222)	(15,288)	(51,818)

Section 2 – Regulatory banking capital and ratios

See the information on own funds and capital adequacy contained in the public disclosure (Pillar 3).



Part G – Business combinations



Section 1 – Business combinations during the financial period

1.1 Business combinations

1.1.1 Transactions included in the scope of application of the international accounting standard IFRS 3 “Business combinations”

No business combinations, as defined by IFRS 3, were carried out in 2022.

1.1.2 Business combinations under common control

On 10 November 2022, the Board of Directors approved the project for the merger by incorporation of COG S.p.A. (formerly Consorzio Operativo Gruppo Montepaschi S.C.p.A.); the transaction was finalised on 5 December with accounting and fiscal effect as from 1 January 2022. This transaction is part of the broader process of streamlining the Group’s corporate and operational structure, simplifying the organisation, optimising and enhancing resources and reducing costs, in line with the 2022-2026 MPS Group Business Plan.

The transaction does not fall within the scope of IFRS 3 and, based on the provisions of Bank of Italy Circular 262/2005, is conventionally reported in this section. In the absence of a reference accounting standard, transactions “under common control” are accounted for in the Financial Statements of Group companies by adopting the principle of continuity of accounting figures, referring to the figures resulting from the Group’s Consolidated Financial Statements at the date of transfer of assets. The transactions had no impact on the Group’s financial and economic position. For more information, please refer to the section on significant events during the financial year in the Consolidated Report on Operations.

Section 2 - Business combinations completed after the financial period

There are no transactions to report.

Section 3 – Retrospective adjustments

No retrospective adjustments are reported.



Part H – Related-party transactions



1 Compensation of key management personnel

Items/Amounts	Total	Total
	31 12 2022	31 12 2021
Short-term benefits	5,832	6,312
Termination benefits	194	1,098
Total	6,026	7,410

In compliance with the instructions provided by accounting standard IAS 24 and in light of the current organisational structure, the Group has opted for the disclosure scope to include not only the Directors, Statutory Auditors, the General Manager and the Deputy General Managers, but also other Key Management Personnel.

The information regarding remuneration policies is contained in the “Remuneration Report pursuant to art. 123 ter of the Consolidated Law on Finance”, available on the Bank’s internet site, which contains the following data:

- a detailed breakdown of compensation paid to the Administration and Control Bodies, General Managers and, in aggregate form, to Key Management Personnel;
- quantitative information on the remuneration of “Identified Staff”;
- monetary incentive plans in favour of members of the Administration and Control Body, the General Managers, the Deputy General Managers and other Key Management Personnel;
- information on the equity investments of members of the Administration and Control Bodies, the General Managers and other Key Management Personnel.

In the 2022 financial year, there was 1 termination of employment of executive managers, for which an indemnity of EUR 0.2 mln was paid.



2 Related-party transactions

In compliance with the provisions of Consob Resolution no. 17221, 12 March 2010, last updated with the amendments made by Consob Resolution no. 21624, 10 December 2020, which came into force on 1 July 2021, as well as art. 53 Consolidated Law on Banking (TUB) and its implementing provisions (Bank of Italy Circular 285/2013, Part Three, Chapter 11 “Risk assets and conflicts of interest with respect to associated parties”), the “Committee for Related-party Transactions” was established, composed of between three and five independent directors, carrying out the functions envisaged by the Articles of Association and the current legislative and regulatory provisions on transactions with related and associated parties.

The “Group Directive concerning Management of regulatory obligations on related parties, associated parties and obligations of bank representatives” (hereinafter the “Group Directive”), accompanied by the “Group Regulation concerning Management of regulatory obligations on related parties, associated parties and obligations of bank representatives” (hereinafter the “Group Regulations”), approved by the Parent Company’s Board of Directors, with the prior favourable opinions of the Committee for Related Party Transactions and the Board of Statutory Auditors, contains the provisions and internal procedures on related parties, aligned with the provisions of the Consob Regulation in force as of 1 July 2021, which introduced, inter alia, a new definition of a related party and the need to define thresholds of small amounts differentiated at least in consideration of the nature of the counterparty. The Group Directive was most recently updated on 27 January 2022 for the purpose of implementing the additional obligations relating to loans granted to relevant parties pursuant to art. 88 of Directive 2013/36/EU.

The Group Directive defines the organisational model adopted by the MPS Group (principles and responsibilities) for the management process of the provisions applicable to related parties, associated parties and obligations of the bank representatives, and in particular, governs, at the MPS Group level, the principles and rules for the control of risks arising from situations of possible conflicts of interest with some subjects close to the decision making centres of the Parent Company.

Within the Group Directive, the following is also defined:

- the formulation of the responsibilities assigned within the MPS Group (tasks and responsibilities of the top management bodies and corporate functions of the Parent Company and Subsidiaries);
- the scope of the related parties, associated parties (“Group Scope”) and other subjects in a potential conflict of interest;
- the criteria for the identification of transactions, level of relevance of the transactions;
- the decision-making procedures and exemption cases;
- the internal policies in the area of control.

For the purpose of the Group Directive, significance is attributed to the transactions carried out with the subjects operating within the Group Scope which involve the performance of risk activities, the transfer of resources, services and obligations, regardless of the requirement of a consideration.

With regard to the type of transactions, these are classified in detail in the aforementioned Group Regulations, as:

- **“most significant transactions”**: transactions where at least one of the following relevance indicators, applicable according to the specific transaction, exceeds the 5% threshold (greater relevance threshold):
 - *countervalue significance indicator*: the ratio of the countervalue of the transaction to the total of the own funds resulting from the most recent published consolidated balance sheet;
 - *relevance index of the assets*: the ratio of the total assets of the entity to which the transaction refers, to the total assets of Banca MPS;
 - *relevance index of the liabilities*: the ratio of the total liabilities of the acquired entity to the total assets of BMPS;
- **“transactions of lesser significance”**: transactions for an amount greater than a small amount and up to the threshold of greater significance; in the context of transactions of lesser significance, transactions in which the amount exceeds EUR 100.0 mln and up to the threshold of greater significance (significance index of the equivalent value) are considered to be of lesser significance as a **“significant amount”**, or, in the case of acquisitions, mergers and demergers for an amount equal to or less than EUR 100.0 mln, the significance index of the assets and/or liabilities is equal to or greater than the ratio of EUR 100.0 mln and own funds at a consolidated level;
- **“transactions for a small amount”**: transactions for an amount equal to or less than EUR 250.0 thousand, in the event that the counterparty is a legal person; transactions for an amount equal to or less than EUR 100.0 thousand, in the event that the counterparty is a natural person.



The provisions and procedures applicable to transactions with related parties, in the versions in force at the time, are published on the website www.gruppompis.it in the section “Corporate Governance - Transactions with related parties”.

From 2016, the Parent Company’s Board of Directors formally resolved to approve inclusion of the Ministry of Economy and Finance (MEF) and of the relevant directly and indirectly subsidiaries within the scope of related parties on a discretionary basis pursuant to the provisions of the Group Directive, excluding the prudential regulation.

Following completion of the Parent Company’s precautionary recapitalisation procedure, after which the MEF became the controlling shareholder from August 2017, the Parent Company received notification on 18 December 2017 from the Supervisory Authorities with regard to the methods for the resulting application of limits to risk assets laid out in prudential regulations, pursuant to art. 53 of the Consolidated Law on Banking (TUB) and its implementing provisions (Bank of Italy Circ. 263/06 Title V, Section 5), through application to the Parent Company of the “silo” approach for calculation of the reference limits.

With reference to the MEF scope, the Parent Company has availed itself of the exemption provided by paragraph 25 of IAS 24 on the disclosure of transactions and balances of existing transactions with government-related entities. The main transactions carried out with the MEF and with its subsidiaries, in addition to financing transactions, include Italian government securities recorded in the portfolios “Financial assets measured at fair value through other comprehensive income” for a nominal amount of EUR 3,609.5 mln and “Financial assets measured at fair value through profit or loss” for a nominal amount of EUR 1,036.3 mln as well as “Financial assets measured at amortised cost” for a nominal amount of EUR 6,091.4 mln.

Information is provided below regarding the most significant transactions, in terms of amount, carried out by the Parent Company with related parties in 2022.

MEF related-party transactions

AMCO S.p.A.

On March 30 2022, the Board of Directors, subject to the favourable opinion of the Committee for Transactions with Related Parties, resolved to authorize substantial contractual amendments to the BACK2BONIS FUND (“Fund” or “B2B”, an Italian alternative investment fund of closed type reserved), and in particular the dissolution of the framework agreement establishing the Fund, as part of the multitarget/multioriginator transaction of which the Bank and its subsidiary MPS Capital Services S.p.A. became unit-holders in 2019, as part of the credit transfer transaction called *Project Cuvée - Wave 1*. ASSET MANAGEMENT COMPANY S.p.A. (AMCO S.p.A.) participates in the transaction. In addition to being a fund’s unit-holder, AMCO S.p.A. also plays a number of roles in the securitisation transaction.

At the end of a competitive process, which involved the participation of the most important players on the market, and following the resolution of the Board of Directors of 4 August 2022, the Parent Company finalised with three market counterparties the transfer without recourse of a portfolio of non-performing loans totalling EUR 917.5 mln in terms of gross book value, divided into three clusters (Bad Loans Secured, Bad Loans Unsecured, UTP) and originated by the Parent Company itself, by MPS CAPITAL SERVICES S.p.A. and MPS LEASING & FACTORING S.p.A. Following this competitive procedure, the Parent Company signed transfer agreements: (i) with AMCO S.p.A. in relation to a portfolio of secured bad loans totalling EUR 208 mln, (ii) with Illimity Bank S.p.A. (ii) with Illimity Bank S.p.A. in relation to a portfolio of unlikely-to-pay loans totalling EUR 343.6 mln, and (iii) with Intrum Holding S.r.l. (through the securitisation vehicle SPV S.r.l.) in relation to a portfolio of unsecured bad loans totalling EUR 365.9 mln. This transaction is part of the activities aimed at implementing the provisions of the new 2022-2026 Business Plan.

On 24 November 2022, the Board of Directors, subject to the favourable opinion of the Related Party Transactions Committee, resolved, in favour of AMCO S.p.A. to approve, in acceptance of the proposal put forward thereby, the signing of an amendment agreement relating to the temporary extension, on equal terms: (i) of the fronting bank agreement (Fronting Agreement) and (ii) of the revolving cash credit facility, for a maximum amount of EUR 30.0 mln, functional to the performance of the Fronting Agreement, both expiring on 1 December 2022, fixing the new expiry date at 28 February 2023, possibly extendable up to 1 June 2023, through the execution of a subsequent specific contractual addendum.

The transactions carried out with AMCO fall within the scope of Consob Regulation No. 177221/2010 because AMCO S.p.A. is a wholly-owned subsidiary of the MEF.



SACE S.p.A.

In February 2022, an operation for an amount of EUR 10.6 mln was formalized in favour of the Bank's customers, against the granting of a loan of EUR 15.0 mln, aimed at supporting a Group renewable energy investments and divided into two tranches, one of which is unsecured for EUR 1.7 mln and EUR 13.3 mln, backed by an 80% SACE guarantee, as part of the "Green New Deal", pursuant to Italian Law Decree no. 76/2020 ("Capex Green Financing") and in the terms of the SACE GREEN 2021 framework resolution.

On 5 May 2022, the Board of Directors, subject to the favourable opinion of the Related Parties Transactions Committee, resolved to renew the "SACE/2021 framework resolution" (expiring on 9 February 2022), approving the new "SACE/2022 framework resolution", up to the maximum amount of EUR 350.0 mln (in force 6 May 2022 - 5 May 2023). The "SACE/2022 framework resolution", like the previous one, is aimed at completing homogeneous and sufficiently determined transactions, attributable to the acquisition by SACE S.p.A. of insurance policies, financial guarantees, according to standardized formats at the level of the Italian Banking Association ("ABI"), against credit lines for loans or unsecured loans granted to customers of the Bank or of the subsidiaries MPSCS and MPST&F. Compared to the previous one, the "SACE/2021 framework resolution", in addition to reducing the ceiling amount from EUR 380.0 mln to EUR 350.0 mln, confirms the increase in the exemption threshold from EUR 30.0 mln to EUR 70.0 mln limitedly to buyer's credit operations, as well as the inclusion among the transactions covered by the framework resolution also of the appendices to documentary credit policies and the appendices to buyer credit policies within the terms specified therein. Like its predecessor, also the "SACE/2022 framework resolution" includes a master risk participation agreement with SACE S.p.A., which provides for the option of sharing risks on certain transactions ("risk-sharing"), through the transfer to SACE S.p.A. of portions of the overall risk previously agreed.

In the months of May and June 2022, transactions were concluded with SACE S.p.A., in favour of the Bank's customers, to issue 90% of Garanzia Italia, to guarantee unsecured medium and long-term credit lines for the respective maximum amounts guaranteed by SACE S.p.A. for EUR 19.5 mln and EUR 10.2 mln, respectively. The transactions were carried out as part of the COVID-19 emergency support initiatives following the Bank's adherence to the general conditions of "Garanzia Italia" of SACE S.p.A.

During the first half of 2022, insurance policies were signed with SACE S.p.A. under the "SACE/2022 framework resolution" to cover 50% of the risk of non-payment relating to five documentary credit confirmation operations, concluded by its customers with a bank foreign for a total value of EUR 86.5 mln, in addition to a risk-sharing transaction, in favour of the same customers, guaranteed by SACE S.p.A. at 50%, for operations with a foreign bank for a value of EUR 10.1 mln.

During the third quarter of 2022, insurance policies and a risk-sharing transaction for confirmation of documentary credits were entered into with SACE S.p.A., in execution of the resolution issued by the Parent Company's Credit Committee dated 18 January 2022, in turn based on the "SACE 2021 framework resolution", renewed by a resolution issued by the Parent Company's Board of Directors on 5 May 2022, namely "SACE 2022 framework resolution", to cover 50% of the risk of non-payment related to confirmation transactions of documentary credits in US dollars, finalised by its customers with a foreign bank for approximately USD 17.2 mln, USD 14.0 mln, USD 12.0 mln and USD 29.4 mln, respectively.

On 13 December 2022, the Credit Committee authorised, in favour of the Bank's customers, the granting of a Revolving Credit Facility (RCF) of EUR 20.0 mln, with a duration of 3 years, with the acquisition of a guarantee from SACE S.p.A. for a minimum amount equal to 50% thereof.

During the fourth quarter of 2022, insurance policies and a risk-sharing transaction for confirmation of documentary credits were entered into with SACE S.p.A., in execution of the "SACE 2022 Framework Resolution", described above, to cover 100% and 50% of the risk of non-payment related to confirmation transactions of documentary credits in euros and US dollars, entered into by its customers with foreign banks, for approximately EUR 11.9 mln, USD 11.7 mln, USD 11.5 mln, USD 7.9 mln and USD 18.1 mln.

These transactions, finalised with SACE, fall within the scope of application of Consob Regulation no. 17221/2010, since SACE S.p.A. is a wholly-owned subsidiary of CDP S.p.A., in turn controlled by the MEF.

Ferrovie dello Stato Italiane S.p.A. and investee companies

On 21 July 2022, the Board of Directors authorised Ferrovie dello Stato Italiane S.p.A. to revise its credit facilities on an ordinary basis, increasing the revocable credit line from EUR 50.0 mln to EUR 90.0 mln, which can be used in its entirety on a mixed basis as a current account credit opening and forward financial transactions. The transaction falls within the scope of application of Consob Regulation no. 17221/2010, since Ferrovie dello Stato Italiane S.p.A. is a wholly-owned subsidiary of the MEF.



On the same date, the Board of Directors has authorised in favour of ANAS S.p.A. the ordinary revision of the credit lines with confirmation of the existing credit facilities for a total of EUR 140.0 mln, made up as follows: (i) credit line of EUR 120.0 mln for current account credit opening; (ii) credit line of EUR 5.0 mln for the issue of surety guarantees in Italy; and (iii) credit line of EUR 15.0 mln for the issue of surety guarantees. The transaction falls within the scope of application of Consob Regulation No. 17221/2010 because ANAS S.p.A. is wholly owned by FERROVIE DELLO STATO ITALIANE S.p.A., in turn a wholly-owned subsidiary of the MEF.

On 2 August 2022, the Credit Committee has authorised in favour of FNM S.p.A., as part of the ordinary revision of the credit lines, the granting of a revocable credit facility of EUR 15.0 mln, which can be used for forward financial transactions. This operation falls within the scope of application of Consob Regulation No. 17221/2010, as FNM S.p.A. is 14.74% owned by FERROVIE DELLO STATO ITALIANE S.p.A., which in turn is wholly owned by the MEF.

Poste Italiane S.p.A. and investee companies

In the first half of 2022, the agreement for postal services with Poste Italiane S.p.A. was renewed, for a total annual amount of EUR 12.3 mln (including VAT), for the 2021/2022 period. The services provided are necessary to guarantee the regular delivery to customers of the mandatory paper communications provided for by Italian Legislative Decree no. 385/1993 (Consolidated Law on Banking). The agreement is valid for one year with automatic renewal at the same terms and conditions for another year, unless cancelled before the expiration date. The transaction falls within the scope of application of Consob Regulation no. 17221/2010, since the MEF has a controlling interest in Poste Italiane S.p.A..

In the same period, the agreement with the health care fund assignee of coverage of the health plans of the staff of Bank and some banking companies of the MPS Group was renewed, which provides for a specific insurance policy contracted by the fund with POSTE ASSICURA S.p.A., for a value of EUR 20.6 mln, of which EUR 19.9 mln refer to the Bank.

On 20 December 2022, the Board of Directors resolved to authorise the execution of the agreement with the Health Assistance Fund assigned to cover the health plans of the Bank's staff and some of the Group's banking companies, for the two-year period 2023/2024. The agreement provides for the signing of a special insurance policy to be taken out by Cassa with Poste Assicura S.p.A., for a total value of EUR 45.1 mln relating to the Bank and EUR 1.5 mln relating to the other Group companies. The above transactions concluded with POSTE ASSICURA fall within the scope of application of Consob Regulation no. 17221/2010, since POSTE ASSICURA S.p.A. is directly controlled by Poste Italiane S.p.A., in turn controlled by the MEF.

OTHER

On 4 January 2022, the Credit Committee resolved to authorize the ordinary review in favour of VALVITALIA S.p.A. with a reduction of the existing credit facilities for a total of EUR 25.0 mln in the following terms: (a) extension with reduction of the mixed concession from EUR 22.2 mln to EUR 21.0 mln usable: (i) for the issue of commercial guarantees both in Italy and abroad; (ii) for credit openings against documents, including those not representative of goods and the issue of Letters of Credit; (b) confirmation of the concession of EUR 3.0 mln that can be used for the purchase and sale of foreign currencies to hedge exchange rate risks; (c) extension with reduction of the concession from EUR 3.0 mln to EUR 1.0 mln that can be used as a multiple credit line by the subsidiary Valvitalia Suzhou Valves Co. Ltd at the Shanghai branch. The transaction falls within the scope of application of Consob Regulation no. 17221/2010 by virtue of the equity investment in the capital of the parent company Valvitalia Finanziaria S.p.A., of the Fondo Strategico Italiano Investimenti S.p.A., a company owned by CDP Equity S.p.A. of the CDP S.p.A. Group, in turn controlled by the MEF.

On 2 February 2022, the ordinary review of the credit facilities in favour of SO.G.I.N. S.p.A. was authorised with confirmation of the credit lines in place for a total of EUR 19.9 mln, of which: (i) EUR 18.9 mln, which can be used in conjunction with the issuance of unsecured loans (including VAT and *imports*) and (ii) EUR 1.0 mln that can be used in conjunction with forward currency hedges, including flexible ones. The transaction falls within the scope of application of Consob Regulation no. 17221/2010, since the MEF, controlling shareholder of the Bank, is the sole shareholder of SO.G.I.N. S.p.A.

On 4 February 2022, the Credit Committee authorised the ordinary revision of credit facilities in favour of GRUPPO PSC S.p.A. for EUR 15.2 mln, with an increase in existing credit facilities for a total of approximately EUR 7.8 mln - as a re-proposal, same amount and method, of financing approved in May 2021 and not finalized - through the granting of a new loan of EUR 7.8 mln with a duration of 6 years, of which 2 of financial pre-amortization, aimed at supporting the financial needs of the capital in circulation and backed by an explicit, irrevocable first demand guarantee by SACE S.p.A. equal to 90%, in compliance with the provisions of Italian Law Decree no. 23/2020 "Liquidità" (converted into Italian Law no. 40/2020). The disbursement was subject to the



acquisition of the consent to postpone the verification of the covenants calculated on the data contained in the 2021 Consolidated Financial Statements by the subscribers of the bond loans and the lending banks of the syndicated loan stipulated in 2020. Subsequently, on 30 June 2022, the change in the credit classification of GRUPPO PSC S.p.A. was authorised, pending the definition of the terms of the plan presented by the Company to the Court of Lagonegro (PZ) for admission to the composition with creditors procedure pursuant to art. 161, paragraph 6, Bankruptcy Law. This significant transaction falls within the scope of application of Consob Regulation no. 17221/2010, since GRUPPO PSC S.p.A. is owned by Fincantieri S.p.A., in turn controlled by CDP S.p.A., the latter controlled by the MEF.

On 8 February 2022, the Credit Committee authorised the ordinary review of the credit facilities granted to FINCANTIERI S.p.A. with confirmation of the credit facilities in place for a total of EUR 25.2 mln, broken down as follows: (i) credit facility of EUR 25.0 mln usable on a mixed basis up to the entire amount for forward drawing operations, up to the maximum amount of EUR 10.0 mln as a current account overdraft facility and limited to EUR 2.1 mln to issue unsecured loans and (ii) credit facilities of EUR 0.2 mln to issue unsecured loans. The transaction falls within the scope of application of Consob Regulation no. 17221/2010 as the MEF, the controlling shareholder of the Bank, is the majority shareholder of CDP S.p.A. which in turn holds 100% of CDP Industria S.p.A., the majority shareholder of FINCANTIERI S.p.A.

On 16 February 2022, the ordinary review of credit facilities in favour of the FONDO ITALIANO DI CONSOLIDAMENTO E CRESCITA was authorised, with confirmation of the credit facility that can be used as a current account credit facility of EUR 25.0 mln or the lower of the amount of EUR 25.0 mln and 30% of subscriptions still to be called to investors. This transaction falls within the scope of application of Consob Regulation no. 17221/2010, since FONDO ITALIANO DI CONSOLIDAMENTO E CRESCITA is managed by Fondo Italiano d'Investimento SGR S.p.A., which is controlled by CDP S.p.A., which in turn is controlled by the MEF.

On 8 March 2022, the ordinary revision of credit facilities, in favour of CONSIP S.p.A. was authorised with confirmation of the existing credit facility which can be used as a current account credit facility, for EUR 10.0 mln. The transaction falls within the scope of application of Consob Regulation no. 17221/2010, since CONSIP S.p.A. is a wholly-owned subsidiary of the MEF.

On 3 May 2022, the Credit Committee authorised the Bank's acceptance of the waiver request made by ENEL S.p.A., keeping unchanged the Bank's share, equal to EUR 90.0 mln, in the Sustainability-linked syndicated loan outstanding in favour of ENEL S.p.A. Acceptance of the waiver was necessary to proceed with the increase, up to a maximum of EUR 3.0 bn, of the total amount of the Sustainability-linked syndicated loan signed in 2021 for an original EUR 10.0 bn, and for any changes and additions that may be necessary when defining and perfecting the contractual documentation. The transaction falls within the scope of application of Consob Regulation no. 17221/2010, as ENEL S.p.A. is a direct subsidiary of the MEF.

On 17 June 2022, the following was authorised in favour of KEDRION S.p.A., as part of the ordinary review of credit facilities: (i) the renewal of the mixed credit facility of EUR 10.0 mln, and (ii) the granting of a new credit facility of EUR 5.0 mln, with a duration of 12 months, usable for term contracts with a maximum duration of 6 months. The transaction falls within the scope of application of Consob Regulation no. 17221/2010, as KEDRION S.p.A. is an associate of the MEF.

On 23 August 2022, the ordinary revision of the credit lines was authorised in favour of MATICMIND S.p.A. for a total amount of approximately EUR 15.0 mln, with confirmation of the following revocable credit facilities: (i) mixed credit line of EUR 7.0 mln usable for short-term operations in support of working capital; (ii) mixed credit line of EUR 0.7 mln usable for forward operations on foreign currencies, to hedge the exchange rate risk, subsequently increased by authorisation of 20 September 2022, from EUR 0.7 mln to EUR 1.4 mln. The transactions fall within the scope of application of Consob Regulation No. 17221/2010 as MATICMIND S.p.A. is 42.4% owned by ELETTRA ONE S.p.A., 90.2% owned by FONDO ITALIANO D'INVESTIMENTO SGR S.p.A., 55% owned through CDP EQUITY S.p.A., the latter in turn controlled by the MEF.

On 24 November 2022, the Board of Directors authorised in favour of AUTOSTRADE PER L'ITALIA S.p.A., within the framework of the ordinary review of credit lines, the confirmation of the revocable credit facility, with a reduction from EUR 40.0 mln to EUR 20.0 mln, usable on a mixed basis as follows: (i) opening of current account credit facility, (ii) financial transactions in the form of term loans, (iii) issuance of financial and/or commercial guarantees and (iv) issuance of bank certificates. The transaction falls within the scope of application of Consob Regulation No. 17221/2010 because AUTOSTRADE PER L'ITALIA S.p.A. is controlled by Holding Reti Autostradali S.p.A., a company jointly controlled by CDP EQUITY S.p.A., which in turn is a wholly owned subsidiary of CDP S.p.A., which is subject to the control of the MEF.



On 7 December 2022, the credit line granted to the investment fund FOF PRIVATE DEBT ITALIA, which can be used for financial advances, was reduced from EUR 20.0 mln to EUR 10.0 mln. The transaction falls within the scope of application of Consob Regulation No. 17221/2010 because FOF PRIVATE DEBT, a closed-end Italian alternative investment fund reserved for professional investors, is managed by Fondo Italiano di Investimento SGR S.p.A., which is 55% owned by CDP EQUITY S.p.A., a wholly-owned subsidiary of CDP S.p.A., which in turn is controlled by the MEF.

On 12 December 2022, a credit line of EUR 10.0 mln was authorised in favour of the FOF VENTURITALY fund, which can be used as a current account credit facility. The transaction falls within the scope of application of Consob Regulation No. 17221/2010 since FOF VENTURITALY, a closed-end Italian alternative investment fund reserved for professional investors, is managed by CDP Venture Capital SGR S.p.A., which is 70% owned by CDP EQUITY S.p.A., a wholly-owned subsidiary of CDP S.p.A., which in turn is controlled by the MEF.

On 21 December 2022, the Credit Committee has authorised the approval of certain waiver requests made by WEBUILD S.p.A., in relation to the derogation of a contractual financial condition clause of the loan agreement that governs the bilateral Revolving Credit Facility (RCF), in the amount of EUR 70.0 mln, in accordance with the conditions approved by the majority lenders of the pooled loans. The transaction falls within the scope of application of Consob Regulation no. 17221/2010, since WEBUILD S.p.A. is an indirect subsidiary of CDP S.p.A., through CDP Equity S.p.A., in turn controlled by the MEF.

Transactions with other related parties

On 20 April 2022, the *Chief Lending Officer* authorised in favour of AXA MPS ASSICURAZIONI VITA S.p.A. the ordinary review of the credit lines, with a reduction in credit lines from EUR 23.0 mln to EUR 22.0 mln, as follows: (i) credit line of EUR 20.0 mln, usable as a credit line on a current account; (ii) credit line of EUR 2.0 mln, usable for the issue of Italian unsecured loans of a financial and/or commercial nature, with a duration not exceeding 60 months. The transaction falls within the scope of application of Consob Regulation no. 17221/2010 as AXA MPS ASSICURAZIONI VITA S.p.A. is a direct associate of the Bank, which holds 50% of the share capital, while the remaining 50% of the share capital is held by AXA S.A., with which the Bank has established a business joint venture.

On 8 June 2022 the renewal with decrease of the ceiling granted from EUR 170.0 mln to EUR 130.0 mln at MPS Group level was resolved in favour of FIDI TOSCANA S.p.A., which is relevant exclusively for internal purposes and equal to the total amount of the loans that can be taken out, including the transactions already in place and the flows expected for 2022. Furthermore, a new framework resolution concerning the operations of all the banks and companies of the MPS Group was also taken in favour of FIDI TOSCANA S.p.A., for the amount of EUR 15.0 mln, as the total maximum value of the guarantees to be issued by FIDI TOSCANA S.p.A. against loans to be finalised in the next 12 months. The transaction falls within the scope of application of CONSOB Regulation no. 17221/2010, as FIDI TOSCANA S.p.A. is subject to significant influence by the Bank, which holds a 27.46% interest of the share capital.

The following tables summarise the relationships and economic effects of transactions carried out in the financial year with associates, key management personnel and other related parties.

The “MEF Scope” column highlights the balances⁶² of the balance sheet and income statement items as at 31 December 2022 relating to the transactions carried out with the MEF and the companies controlled by the MEF, namely direct or indirect subsidiaries of the MEF and their associates.

⁶² The criteria to fill out the two tables are different from those of the *European Securities and Markets Authority (ESMA)* used for the table “Exposure to sovereign debt risk”.



2.a Related-party transactions: balance sheet items

	Value as at 31 12 2022						
	joint venture	Associated companies	key management personnel	Other related parties	MEF Scope	Total	% on consolidated
Financial assets held for trading	-	-	-	3,454	3,354,796	3,358,250	53.31%
Financial assets mandatorily measured at fair value	-	4,500	-	-	32,159	36,659	8.02%
Financial assets measured at fair value through other comprehensive income	-	-	-	-	3,447,251	3,447,251	79.20%
Loans to banks measured at amortised cost	-	-	-	-	49,657	49,657	1.53%
Loans to customers measured at amortised cost	69,745	62,677	2,883	3,764	7,566,211	7,705,280	9.04%
Other assets	-	-	-	-	776,536	776,536	32.58%
Total assets	69,745	67,177	2,883	7,218	15,226,610	15,373,633	
Financial liabilities measured at amortised cost	5,430	176,255	2,280	20,232	2,542,235	2,746,432	2.66%
Financial liabilities held for trading	-	-	-	4,031	232,258	236,289	5.92%
Other liabilities	227	1,176	1	54	12,719	14,177	0.44%
Total liabilities	5,657	177,431	2,281	24,317	2,787,212	2,996,898	
Guaranties issued and Commitments	23,417	26,547	248	158	2,110,751	2,161,121	n.a.

2.b Related-party transactions: income statement items

	Value as at 31 12 2022						
	joint venture	Associated companies	key management personnel	Other related parties	MEF Scope	Total	% on consolidated
Interest income and similar revenues	1,982	435	31	147	168,501	171,096	7.96%
Interest costs and similar charges	(8)	(487)	(5)	(99)	(9,979)	(10,578)	1.72%
Fee and commission income	140	201,027	15	247	214,765	416,194	26.26%
Fee and commission expense	-	(459)	(1)	(1)	(33,609)	(34,070)	15.01%
Net profit (loss) from fair value measurement of assets/liabilities	-	450	-	-	12,111	12,561	25.08%
Net adjustments/impairments	2,814	(3)	9	(286)	(10,099)	(7,565)	1.76%
Dividends	-	-	-	-	12,077	12,077	45.84%
Operating costs	(3)	(2,822)	(5,785)	(2)	(21,451)	(30,063)	0.93%

For the list of joint venture and associated as at 31 December 2022, see the tables of the Notes to the Financial Statements - Part B - Information on the balance sheet - Section 7.

The securitisation transactions are described in Part E of the Notes to the financial statements. With regard to the balances shown in Table 2.b shown above, please note the following:

- Fee and commission income from associates refers almost entirely to the insurance investees Axa MPS Assicurazioni Vita SpA and Axa MPS Assicurazioni Danni S.p.A.;
- net profit (loss) on other assets and liabilities measured at fair value through profit or loss refers to capital gains on units of the Fondo PMI Italia II for EUR 0.4 mln;
- Operating costs relating to associates also include insurance costs incurred with the investees Axa MPS Assicurazioni Vita S.p.A. and Axa MPS Assicurazioni Danni S.p.A.

With regard to the MEF scope, note the following:

- financial assets mainly consist of government bonds, which generated interest income for EUR 148.6 mln;



- the other assets consist of tax credits held by the Group on the tax authorities for various reasons as a result of the measures introduced by various legal provisions, of which EUR 738.0 mln due to tax credits for construction subsidies purchased by the Parent Company, which boosted net interest income by EUR 14.6 mln;
- fee and commission expense is represented almost entirely by commissions paid to Nexi S.p.A.; fee and commission income is mainly recognised by Anima for the distribution agreement in place, by Open Fiber for the activity of organising pooled transactions, and by the Ministry of Economy and Finance for the securities placement activity;
- profit (loss) from other assets and liabilities measured at fair value through profit or loss mainly relate to capital gains on units of the Fondo Italiano di Investimento;
- net write-downs/write-backs for credit risk concern primarily write-backs on loans with the counterparty Gruppo PSC S.p.A (EUR 9.9 mln).
- operating costs are almost entirely attributable to postage and shipping costs.



Part I – Share-Based Payment Agreements



Qualitative Information

Description of share-based payment agreements

To pursue the objective of encouraging alignments of the interests of management with those of shareholders, Supervisory Provisions on pay and incentive policies and practices establish that at least 50% of variable remuneration provided to “identified staff” should be paid in the form of shares or associated financial instruments over a period of at least 4 years. “Variable remuneration” refers to both variable components linked to the performance or other parameters and amounts paid as incentives for the early termination of the employment relationship exceeding the amount due by law (“severance”).

In accordance with the aforementioned regulatory provisions, the Montepaschi Group has adopted in the financial years 2017, 2020 and 2021, Annual Performance Shares Plans and in the financial years 2018 and 2019, Annual Treasury Shares Plans. In the session of 12 April 2022, the Shareholders’ Meeting of the Parent Company approved a Performance Shares Plan for 2022, designated exclusively to the payment of any severance for personnel of the Montepaschi Group. The contents and the operating procedures of these plans are included in the “Remuneration policies” posted on the web site of the Parent Company <https://www.gruppompaschi.it/corporate-governance/assemblea-azionisti/archivio-assemblee.html>. In addition, at its meeting of 8 March 2023, the Parent Company’s Board of Directors has approved the use of the Phantom Shares for the financial year 2023, for the payment of part of any variable annual remuneration accrued against the achievement of previously assigned targets (the so-called “2023 Incentive System”) and of any amounts to be paid as an incentive for the early termination of employment or for early termination of office (severance) in favour of the Montepaschi Group’s identified staff.

The correspondence of the performance shares for the Plans up to 2017 and for Plans from 2020, as well as the allocation of Phantom Shares for the 2023 Plan, do not require the material assignment of shares, but rather the payment of an amount pegged to the share value reported over time, for accounting purposes it is considered a cash settled share based payment pursuant to IFRS 2 “Share-based payments”. The liabilities corresponding to the amounts to be recognised will be paid off in cash and recorded at the end of the service period in the case of amounts recognised as severance, or upon the achievement of performance objectives, in case of amounts recognised under incentive system; the total amount will depend on the price of the instruments representative of the capital (performance shares) which will be measured at fair value, calculated as the best estimate of the amount due in consideration of the different conditions established by the plans, valued with regard to the fair value of the shares of the Bank assigned from year to year and the value of the Parent Company’s shares.

The 2018 and 2019 plans, providing for the assignment of shares of the Parent Company at the accrual time of the vesting conditions, fall within the scope of the application of the IFRS 2 accounting standard as equity settled share-based payments, in the context of which instruments representative of the capital are attributed as an offsetting entry to an equity reserve. Within this scope, the severance cost set forth in the Plans and the corresponding increase in net equity are measured at the fair value of the shares that will be assigned.

The fair value of the Performance Shares and of the treasury shares assigned is determined - pursuant to art. 9, paragraph 4 of the Income Tax Act (TUIR) - on the basis of the arithmetic average of the MPS share prices reported in the thirty days leading up to the assignment date.

Quantitative Information

As for the 2016 Plan, of the original 32,806 deferred performance shares, 401 of them were paid out during 2022. Therefore, following both the liquidations and demergers that have occurred to date, and the regrouping of the BMPS share in the ratio of 100 to 1, which took place with the resolution of the Shareholders’ Meeting of 15 September 2022, there remain 119 Performance Shares that will be liquidated in accordance with the provisions of the Plan, in compliance with applicable internal and external regulations.

With reference to the plans approved from 2017 to 2019 and the plans approved in 2020, 2021 and 2022, no amount is recognised as at the reporting date of these financial statements as neither equity instruments nor shares have been granted due to the failure to meet accrual conditions.



Part L – Segment reporting



This section of the Notes to the Consolidated Financial Statements is prepared in accordance with the IAS/IFRS international accounting standards, with particular reference to IFRS 8 “Operating Segments”.

The aforementioned accounting standard, applied as of 1 January 2009 to replace IAS14 “Segment reporting” and the adoption of which has no effect on the valuation of balance sheet items, requires reports to be drafted in relation to operating segments on the basis of the internal reporting actually used by management to take decisions on the allocation of resources to various segments and to conduct performance analyses.

Montepaschi Group operations by business segment

The Montepaschi Group operates in the following business areas:

- Retail and commercial banking: includes lending activities, traditional banking services, financial advisory and digital banking services, the offering of banking and insurance products through the strategic partnership with AXA, wealth management and investment products;
- Leasing and Factoring: includes the offering of leasing and factoring packages for businesses, artisans and professionals;
- Corporate finance: mid- and long-term lending, corporate finance, capital markets and structured finance;
- Investment banking: trading and global markets;
- Foreign banking: products and services in support of market expansion and investments of Italian companies abroad.

Operations in the business areas are conducted by the following operating units of the Group:

- sales & distribution network, comprising the branches and specialised centres of Banca Monte dei Paschi di Siena;
- Banca Widiba SpA, which includes the business of the Financial Advisory Network and Digital Banking;
- product companies, represented by the Group’s banks and companies expressly dedicated to the development of specialised financial instruments to be offered to the market, in particular: MPS Capital Services (specialized in corporate finance, capital market and structured finance), MPS Leasing & Factoring (specialized in offering leasing and factoring services for businesses);
- foreign network⁶³.

The Group also includes service operations dedicated to the management of IT and telecommunications. In December 2022, the COG SPA (formerly Consorzio Operativo di Gruppo) was incorporated into Banca MPS through the establishment of two Level 1 structures (*Information Technology and Information Security*).

For the purpose of identifying the Operating Segments provided for by IFRS 8, the Montepaschi Group has adopted the business approach. Consolidated income statement and balance sheet data are broken down and re-aggregated based on criteria including: business area concerned, operating structure of reference, relevance and strategic importance of activities carried out, and customer clusters served.

In July 2022, the Chief Commercial Officer was specialised in 3 Chief Commercial Officers (Chief Commercial Officer Retail, Chief Commercial Officer Corporate and Private and Chief Commercial Officer Large Corporate & Investment Banking) for a more effective focus of the commercial chains on the objectives and results to be achieved on the corresponding reference markets.

CCO Retail is in charge of Retail customers (Value and Premium service models).

CCO Corporate and Private is responsible for Corporate Clients (SME, Small Business and Corporate Clients service models), Private Clients and Foreign Clients.

CCO Large Corporate & Investment Banking is responsible for large corporate customers and includes a structure dedicated to investment banking services.

⁶³ It is organised as follows: 1 operational subsidiary in Shanghai; 8 representative offices (in target areas of Europe, North Africa, India and China); 1 foreign bank, namely Monte Paschi Banque S.A., operating in France, for which the Parent Company resolved in 2018 to launch the orderly winding-down process.



In order to further align the disclosure on the operating segments with the organisational structures of the Group, as described above, and the management disclosure, compared to 31 December 2021, the following changes in the representation of the operating segments should be noted:

- introduction of the new Large Corporate & Investment Banking segment, which includes the results of Large Group customers and the subsidiary MPS Capital Services (which in the first three quarters of 2022 were included in the Corporate Banking segment);
- reconciliation of the economic and financial results of non-performing customers managed centrally by the Non-Performing Loans Unit within the Corporate Center, rather than on the commercial service models.

The comparative values have been consistently restated: therefore, the comparison with previous periods involves homogeneous data.

Based on the Group's reporting criteria, which also take into account the organisational structures and the above, the following operating segments are defined:

- **Retail Banking**, which includes the income statement/balance sheet results of Retail customers (Value and Premium segments) and Banca Widiba S.p.A. (Financial Advisor Network and Self-service channel);
- **Wealth Management**, which includes the income statement/balance sheet results of Private Banking customers (Private Banking and Family Office segments) and the subsidiary MPS Fiduciaria;
- **Corporate Banking**, which includes the income statement/balance sheet results of enterprise customers (SME, Corporate Client and Small Business segments), the Foreign Branches, the subsidiary MPS Leasing & Factoring and the foreign bank MP Banque;
- **Large Corporate and Investment Banking**, which includes the economic/financial results of Large Group customers and the subsidiary MPS Capital Services;
- **Corporate Centre**, which in addition to the offsetting of intragroup entries, incorporates the results of the following business centres:
 - the economic/financial results of Non-Performing customers managed centrally by the Non-Performing Loans Unit;
 - companies consolidated with the equity method and those held for sale;
 - operating units, such as proprietary finance, treasury and capital management;
 - service units supporting the Group's business, dedicated in particular to the management and development of IT systems.

The algebraic sum of the five segments thus identified represents the economic and equity data of the Montepaschi Group's Consolidated Financial Statements as at 31 December 2022.

The paragraph "Basis for preparation" shows the income statement and balance sheet results for each identified operating segment.



Reclassified income statement criteria by operating segment

Main economic aggregates criteria are described below:

- **Net interest income:** in relation to the business centres of Banca Monte dei Paschi di Siena, it is calculated by way of contribution on the basis of internal transfer rates broken down by products and maturities. With reference to non-divisionalised entities, net interest income is the difference between “interest income and similar revenues” and “interest expense and similar charges”.
- **Net fee and commission income:** determined by direct allocation of commissions to the operating segments.
- **Operating expenses:** the aggregate includes personnel expenses, other administrative expenses (after recovery of expenses) and Net adjustments to/recoveries on property, plant and equipment and intangible assets. The operating expenses of non-divisionalised entities (mono-segments) are directly allocated to their corresponding operating segments while, for Banca Monte dei Paschi di Siena, they are allocated to their respective Segments of reference by using a “cost allocation” model. For personnel expenses, the model makes direct allocation to business centres on the basis of the functional location of resources, or, indirect allocation on the basis of specific drivers. With regard to other administrative expenses and Net adjustments to/recoveries on property, plant and equipment and intangible assets, the model allocates external and intragroup cost components to the business centres either directly or by means of specific drivers.
- **Cost of customer credit / Net impairment (losses)/reversals on securities and loans to banks:** analytically allocated to the individual operating segments.

Reclassified balance sheet criteria by operating segment

Balance sheet aggregates were developed by precisely surveying the balances on individual customers and subsequently aggregating them by service model/operating segment. In particular:

- **gross interest-bearing loans to customers:** the interest-bearing assets used for the operations of a business segment, which are directly attributable to the segment itself;
- **direct deposits** include the onerous liabilities arising from the operations, which are directly attributable to the segment itself.

Transactions between operating segments

Each segment's income and results include transfers between operating segments (Internal Transfer Rates). These transfers are reported in accordance with the best practices accepted by the market (i.e. the fair value method or cost method increased by a proper margin) both with respect to commercial and financial transactions.

The income of each operating segment is determined before intragroup balances and intragroup transactions are eliminated during the process of consolidation. In line with the internal reporting system used by the Montepaschi Group, balances of intragroup transactions are not shown separately.



Basis for preparation

In accordance with the recommendations of IFRS 8, the table below presents the Group's income statement and balance sheet results as at 31 December 2022, developed according to the Operating Segments defined above:

SEGMENT REPORTING		Business Segments				Corporate Center	Total MPS Group
Primary Segment		Retail banking	Wealth Management	Corporate banking	Large Corp. & Inv. Banking		
(EUR mln)		31/12/22	31/12/22	31/12/22	31/12/22	31/12/22	31/12/22
PROFIT AND LOSS AGGREGATES							
Net interest income		387.3	5.0	492.0	134.7	519.7	1,538.7
Net fees and commission income		800.3	111.7	486.5	45.3	(79.0)	1,364.6
Other income from financial and insurance activities		49.9	13.6	23.6	8.7	69.8	165.7
Other income		(0.1)	(0.0)	(4.9)	0.9	23.5	19.4
Total Income		1,237.4	130.3	997.2	189.6	534.0	3,088.5
Operating expenses		(1,275.1)	(95.4)	(542.9)	(73.2)	(112.5)	(2,099.2)
Pre-provision Profit		(37.7)	34.9	454.2	116.4	421.5	989.3
Cot of customers credit/Net impairment (losses)/reversals on securities and loans to banks		(11.1)	(1.4)	(204.6)	(46.9)	(154.0)	(418.0)
Net operating income		(48.8)	33.5	249.6	69.4	267.5	571.2
BALANCE SHEET AGGREGATES							
Gross Interest-bearing loans to customers		30,974	570	33,044	5,580	6,833	77,001
Direct funding		42,453	2,711	23,228	1,616	11,989	81,998

(*) The value shown in the Group as well as that in the operating segments is represented by gross interest-bearing loans to customers, therefore not including loss provisions.



The following table summarises the values relating to the financial year 2021.

SEGMENT REPORTING						
Primary Segment	Business Segment				Corporate Center	Total MPS Group
	Retail banking	Wealth Management	Corporate banking	Large Corp. & Investment Banking		
(EUR mln)	31/12/21	31/12/21	31/12/21	31/12/21	31/12/21	31/12/21
PROFIT AND LOSS AGGREGATES						
Net interest income	331.3	1.5	439.2	139.8	309.7	1,221.5
Net fees and commission income	911.2	123.6	481.0	47.2	(79.0)	1,484.0
Other income from financial and insurance activities	78.2	23.2	20.8	11.5	177.1	310.8
Other income	(10.6)	(1.3)	(12.0)	(0.0)	(12.7)	(36.5)
Total Income	1,310.1	147.0	929.0	198.5	395.1	2,979.8
Operating expenses	(1,265.3)	(103.2)	(533.2)	(78.3)	(125.9)	(2,105.9)
Pre-provision Profit	44.8	43.9	395.7	120.2	269.2	873.9
Cost of customers credit/Net impairment (losses)/reversals on securities and loans to banks	(41.4)	(2.2)	(109.1)	(12.2)	(79.8)	(244.7)
Net operating income	3.4	41.7	286.7	108.0	189.4	629.2
BALANCE SHEET AGGREGATES						
Gross Interest-bearing loans to customers	30,733	573	34,360	5,894	8,481	80,041
Direct funding	42,646	3,150	24,306	2,313	17,886	90,300

(*) The value shown in the Group as well as that in the operating segments is represented by gross interest-bearing loans to customers, therefore not including loss provisions.



Part M - Leasing Information



Section 1 - Lessee

Qualitative Information

In the capacity of lessee, the Parent Company stipulates lease agreements of properties to be primarily used for business. Therefore, these leased properties are used as branches and as spaces intended to accommodate ATMs or internal offices.

The leasing activity also includes the stipulation of leasing agreements related to residential property used by employees during transfers to other work locations.

In reality, the leasing activities of the Parent Company is also aimed at the need to relocate branches and offices. Particular attention is paid to the identification of the properties that are more suitable for the intended use, in line with the cost effectiveness criteria set forth by the company.

As at 31 December 2022, the Parent Company had approximately 1,229 contracts in place in the capacity of lessee.

The Group companies undertake the role of lessee primarily in the leasing agreements of properties hosting their offices.

The following specificities apply to the companies of the Group:

- Widiba executes lease agreements concerning properties to be used for business (e.g., financial shops, spaces used for offices) and residential use, as in the case of flats sub-leased to employees who have transferred to other business locations. As for the Parent Company, the execution of new contracts is necessary in the case of relocations. As at 31 December 2022, the subsidiary is the lessee in 99 contracts for business use and 3 contracts for hospitality purposes.
- MPS Capital Services S.p.A. executes lease agreements concerning properties for business and residential use; in the latter case, they are flats sub-leased to employees who have transferred to other business locations. As at 31 December 2022, the subsidiary is the lessee in 5 contracts for hospitality purposes.

In addition, the Group has:

- leases relating to vehicles mainly refer to long-term leases of company cars and cars given as a fringe benefit to employees.
- a contract on electronic equipment, relating to the rental of electronic equipment such as mobile telephones and hardware machines.

In view of the marginal relevance of car lease and electronic equipment agreements with respect to the total values of the assets consisting of rights of use recognised in the Financial Statements pursuant to IFRS 16, no further disclosure is provided on these contract categories.

The Group is not usually exposed to cash outflows not included in the lease liability. The exposures deriving from extension options are included in the lease liabilities since, in order to provide business continuity to the Branch offices, the Group considers the first renewal to be certain, except in special cases. The rent due on the leases is updated in line with ISTAT data. No contracts entered into as lessee falls into the other categories referred to in the standard (residual value guarantees, commitments on leases not yet operational).

The Parent Company and the Group companies recognise as costs:

- short-term leases in the case of assets such as properties and technologies (in particular in reference with the mainframe hardware module) when the related contracts have a maximum term of twelve months and do not provide for any extension options.
- the leasing of assets of a modest value, i.e. characterised by a value that is under five thousand euro, related mainly to cell phones.



Quantitative Information

The following table shows amortisation costs for the assets comprising the right of use, broken down by the underlying asset class.

	31 12 2022	31 12 2021
Amortization costs on Right of Use acquired through leasing	50,427	53,393
a) Land	-	-
b) Buildings	43,861	46,940
c) Furniture and Furnishings	15	15
d) Electronic systems	5,146	5,120
e) Other	1,405	1,318

Section 2 - Lessor

Qualitative Information

The Parent Company executes, in its capacity as the lessor, lease agreements of properties for business and residential use.

The properties for business use are leased to both third parties and to intragroup companies. In the latter case, the properties and spaces occupied by the administrative offices of the companies of the Group are the subject matter of these contracts. As regards the properties for residential use, these are primarily owned flats leased to third parties. The contracts for residential use have generally a duration of 4+4 years, the ones for business use a duration of 6+6 years. The lease agreements executed as lessor are protected by a deposit paid by the lessee, as set forth in the applicable laws. This amount can be used to repair any damage that the tenant may cause.

In addition to this, the Parent Company does not apply any specific contractual clause regarding the management of any risk associated with the rights held on the underlying assets.

MPS Leasing & Factoring S.p.A. is the company of the Group that carries out marketing activities on financial leasing in the capacity of lessor. The Company operates in the market by executing contracts intended for the most part to companies and offering products from the real estate, business, vehicles, energy and aircraft sectors.

In carrying out its activities, it avails itself of the Banca MPS network and single-firm agents.

At 31 December 2022 MPS Leasing & Factoring S.p.A. had in its portfolio about 27,849 contracts for a gross value of EUR 3,888.8 mln, of which EUR 2,244.3 mln in the real estate leasing sector (5,881 contracts), EUR 1,061.4 mln in the business segment (12,865 contracts), EUR 291.0 mln in the vehicle sector (8,358 contracts), EUR 228.7 mln in the energy sector (527 contracts) and EUR 63.4 mln in the aircraft sector (218 contracts). The value of the lease agreements executed during the year amounted to EUR 929 mln (no. 3,516), down 1.4% from the previous year. The trend by company segment in terms of volume shows growth compared to last financial year for real estate (+12.0%; EUR +36 mln) and operating assets (+0.2%; EUR +1 mln), while other products declined: vehicles (-21.5%; EUR -32 mln), energy (-36.3%; EUR -8 mln) and aircraft (-84.3%; EUR -11 mln).

MPS Leasing & Factoring S.p.A. recognises financial leases in compliance with the accounting standard IFRS 16 and classifies the transactions in questions under financial assets measured at amortised cost.

The other companies of the Group do not have outstanding lease agreements in the capacity of Lessor.



Quantitative Information

1. Information on the balance sheet and income statement

For information on loans for leasing and assets transferred under operating leasing, see tables 4.2, 9.1 and 9.6 of Section 4 and Section 9, Part B, Assets; for the information on interest income on loans for leasing and on other income from financial and business leasing, see tables 1.1 and 16.2 respectively in Section 1 and in Section 16, Part C.

2. Quantitative information - Financial leases

2.1 Quantitative information - Financial leases

Fasce temporali	31 12 2022	31 12 2021
	Total lease payments receivable	Total lease payments receivable
Up to 1 year	848,257	828,417
from 1 to 2 years	605,811	603,154
from 2 to 3 years	508,460	501,766
from 3 to 4 years	419,757	407,069
from 4 to 5 years	314,274	322,434
over 5 years	1,151,536	1,248,952
Total lease payments receivable	3,848,095	3,911,792
Reconciliation with investments	-	-
Not accrued gains	(447,473)	(489,806)
Unguaranteed residual values	(547,521)	(551,972)
Finance lease	2,853,101	2,870,014
<i>explicit credit</i>	<i>200,763</i>	<i>241,114</i>
<i>Net impairment on lease finance</i>	<i>(446,270)</i>	<i>(485,784)</i>
<i>Redemption fee on lease finance</i>	<i>547,521</i>	<i>551,972</i>
Book value of finance lease	3,155,115	3,177,316

The table shows the classification by time bands of payments to be received for leasing and the reconciliation between the payments to be received and the loans for leasing referring to MPS L&F in the capacity of lessor. The amounts are not actualised (IFRS 16.94).

2.2 Other information

Financial lease agreements, executed with customers, allow for a risk management on the underlying assets in line with the policies of the Group but they do not provide for repurchase agreements, guarantees on the residual value or variable payments.



3. Quantitative information - Operating leases

3.1 Classification by time bands of payments to be received

Time bands	31 12 2022		31 12 2021	
	Year	Total lease payments receivable (excluding VAT)	Year	Total lease payments receivable (excluding VAT)
Up to 1 year	2022	6,330	2021	5,961
from 1 to 2 Years	2023	6,456	2022	4,653
from 2 to 3 Years	2024	6,694	2023	4,394
from 3 to 4 years	2025	7,007	2024	4,216
from 4 to 5 years	2026	7,111	2025	4,088
over 5 years	Starting from 2027	22,205	Starting from 2026	18,208
Total		55,803		41,520

The table shows the classification by time bands of payments to be received for the leasing by the Parent Company (IFRS 16.97). The amounts of payments shown are not actualised.

MPS Leasing & Factoring S.p.A. is not currently active in the operating leasing market.

The other companies of the Group do not have outstanding lease agreements in the capacity of Lessor.

3.2 Other information

No other information to report.



Public disclosure State by State

From the 4th update of the Bank of Italy Circular no. 285/2013, Part One (Title III, Chapter 2) the public disclosure set out in art. 89 - Communication by country - of Directive 2013/36/EU ("CRD IV") is transposed into the Italian legal framework and introduces the obligation to disclose information concerning banking activities, subdivided by country where each bank is based; the disclosure is to be provided in the financial statements or posted on the entity's website.

In particular, the Parent Companies of banking groups are required to provide on a consolidated basis the following information, subdivided by country:

- a) Names of the companies based in the country and nature of the business
- b) Turnover
- c) Number of Full-time equivalent employees
- d) Profit or loss before tax
- e) Tax on profit or loss
- f) Public subsidies received

The tables below present the required information for the Group, with reference to the situation as at 31 December 2022.

The term "Turnover" refers to the net interest and other banking income as recorded in item 120 of the consolidated income statement.

The term "Number of full-time equivalent employees" refers to an average number representing the ratio between the total number of hours worked by all employees, excluding overtime, and the total annual number of hours contractually required of full-time employees.

"Profit or loss before tax" means the sum of items 290 and 320 (the latter net of taxes) of the consolidated income statement.

"Tax on profit or loss" means the sum of taxes recorded in item 300 of the consolidated income statement and income taxes on assets under disposal.

The item "Public subsidies received" should indicate any grants received directly from the public administrations. This item does not include transactions performed by central banks for purposes of financial stability or transactions carried out to facilitate the monetary policy transmission mechanism. Similarly, transactions included in government aid schemes approved by the European Commission should not be taken into consideration.



31.12.2022

Country	Turnover (€/1000)	Number of FTEs	Profit or loss before tax (€/1000)	Tax on profit or loss (€/000)	Public subsidies received (€/000)
Algeria		2			
China	1,379	16	191	(7)	
Egypt		2			
France	24,977	151	(2,161)	129	
India		1			
Italy	3,099,672	19,615	(575,124)	468,602	162
Morocco		1			
Russia		1			
Tunisia		1			
Turkey		2			
Total Group companies	3,126,028	19,791	(577,094)	468,724	162
Companies under significant influence valued at equity	-	-	68,492	-	-
Consolidation adjustments	(121,877)	-	(122,866)	(42,104)	-
Total Montepaschi Group	3,004,151	19,791	(631,468)	426,620	162

It is to be noted that the subsidiary MPS TENIMENTI POGGIO BONELLI E CHIGI SARACINI SOCIETA' AGRICOLA S.p.A. has received EUR 0.2 mln in 2022 as subsidies, grants and bonuses to support agricultural production in EU countries.



List of Montepaschi Group companies by location and business type

Country	Company name	Type of business	
Algeria	BANCA MONTE DEI PASCHI DI SIENA S.p.a.	Financial services for business	Representative office in Algeri
China	BANCA MONTE DEI PASCHI DI SIENA S.p.a.	Retail and corporate banking service	Shanghai branch, representative office of Beijing
Egypt	BANCA MONTE DEI PASCHI DI SIENA S.p.a.	Financial services for business	Representative office in Cairo
France	MONTE PASCHI BANQUE S.A.	Retail and corporate banking service	
India	BANCA MONTE DEI PASCHI DI SIENA S.p.a.	Financial services for business	Representative office in Mumbai
Italy	AIACE REOCO S.r.l. in liquidazione	Real Estate	
Italy	BANCA MONTE DEI PASCHI DI SIENA S.p.a.	Retail and corporate banking service	
Italy	CIRENE FINANCE S.r.l.	Financial services for business	Special Purpose Entity (SPE)
Italy	G.IMM ASTOR S.r.l.	Real Estate leasing	
Italy	MAGAZZINI GENERALI FIDUCIARI DI MANTOVA S.p.a.	Warehousing	
Italy	MONTE PASCHI FIDUCIARIA S.p.a.	Trust management	
Italy	MPS CAPITAL SERVICES BANCA PER LE IMPRESE S.p.a.	Retail and corporate banking service	
Italy	MPS TENIMENTI POGGIO BONELLI E CHIGI SARACINI SOCIETA' AGRICOLA S.p.a.	Winery	
Italy	MPS COVERED BOND 2 s.r.l.	Financial services for business	Special Purpose Entity (SPE)
Italy	MPS COVERED BOND S.R.L.	Financial services for business	Special Purpose Entity (SPE)
Italy	MPS LEASING & FACTORING BANCA PER I SERVIZI FINANZIARI	Retail & Corporate banking service	Leasing e factoring
Italy	SIENA MORTGAGES 10-7 S.r.l.	Financial services for business	Special Purpose Entity (SPE)
Italy	SIENA LEASE 2016 2 SRL	Financial services for business	Special Purpose Entity (SPE)
Italy	SIENA MORTGAGES 07-5 S.p.a.	Financial services for business	Special Purpose Entity (SPE)
Italy	SIENA MORTGAGES09-6 S.R.L.	Financial services for business	Special Purpose Entity (SPE)
Italy	SIENAPMI 2016 SRL	Financial services for business	Special Purpose Entity (SPE)
Italy	WISE DIALOG BANK S.p.a. - WIDIBA	Retail & Corporate banking service	On line bank
Morocco	BANCA MONTE DEI PASCHI DI SIENA S.p.a.	Financial services for business	Representative office in Casablanca
Russia	BANCA MONTE DEI PASCHI DI SIENA S.p.a.	Financial services for business	Representative office in Moscow
Tunisia	BANCA MONTE DEI PASCHI DI SIENA S.p.a.	Financial services for business	Representative office in Tunis
Turkey	BANCA MONTE DEI PASCHI DI SIENA S.p.a.	Financial services for business	Representative office in Istanbul



CERTIFICATION OF THE CONSOLIDATED FINANCIAL STATEMENTS PURSUANT TO ART. 81-TER OF CONSOB REGULATION NO. 11971 OF 14 MAY 1999, AS SUBSEQUENTLY AMENDED AND SUPPLEMENTED

1. The undersigned, Luigi Lovaglio, as Chief Executive Officer, and Nicola Massimo Clarelli, as Financial Reporting Officer of Banca Monte dei Paschi di Siena S.p.A., also having regard to art. 154-bis, paragraphs 3 and 4 of Italian Legislative Decree no. 58 of 24 February 1998, do hereby certify the:
 - appropriateness with respect to the company's profile, and
 - effective application of administrative and accounting procedures used in the preparation of the consolidated financial statements for financial year 2022.
2. The verification of the adequacy and effective application of administrative and accounting procedures for the preparation of the consolidated financial statements during 2022 was based on methods defined by the MPS Group in line with the COSO model, and for the IT component, COBIT, which constitute the reference framework for the internal control system generally accepted internationally.
3. It is also certified that:
 - 3.1 the consolidated financial statements:
 - were prepared in accordance with the international accounting standards recognised by the European Union pursuant to European Parliament and Council Regulation No. 1606/2002 of 19 July 2002;
 - are consistent with the underlying documentary evidence and accounting records;
 - are suitable to provide a true and fair representation of the capital, economic and financial situation of the issuer and group of companies included within the scope of consolidation.
 - 3.2 the Report on Operations includes a reliable analysis of the trends and results of operations as well as of the position of the issuer and of all entities included within the scope of consolidation, together with a description of the main risks and uncertainties they are exposed to.

Siena, 8 March 2023

Signed by
On Behalf of the Board of Directors
The Chief Executive Officer
Luigi Lovaglio

Signed by
The Financial Reporting
Officer
Nicola Massimo Clarelli



Independent Auditors' report on the financial statements



Independent auditor's report

in accordance with article 14 of Legislative Decree No. 39 of 27 January 2010 and article 10 of Regulation (EU) No. 537/2014

To the Shareholders of
Banca Monte dei Paschi di Siena SpA

Report on the Audit of the Consolidated Financial Statements

Opinion

We have audited the consolidated financial statements of the Banca Monte dei Paschi di Siena Group (the Group), which comprise the consolidated balance sheet as of 31 December 2022, the consolidated income statement, the consolidated statement of comprehensive income, the consolidated statement of changes in equity, the consolidated cash flow statement for the year then ended, and the notes to the consolidated financial statements, including a summary of significant accounting policies.

In our opinion, the consolidated financial statements give a true and fair view of the financial position of the Group as of 31 December 2022, and of the results of its operations and cash flows for the year then ended in accordance with International Financial Reporting Standards as adopted by the European Union, as well as with the regulations issued to implement article 9 of Legislative Decree No. 38/2005 and article 43 of Legislative Decree No. 136/2015.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISA Italia). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Consolidated Financial Statements* section of this report. We are independent of Banca Monte dei Paschi di Siena SpA (the "Bank" or the "Parent Company") pursuant to the regulations and standards on ethics and independence applicable to audits of financial statements under Italian law. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

PricewaterhouseCoopers SpA

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<i>Key audit matters</i>	<i>Auditing procedures performed in response to key audit matters</i>
Assessment of the appropriateness of the going concern assumption <i>Notes to the consolidated financial statements: Part A – Accounting policies; Section 2 – General accounting standards, Going concern</i> The directors considered that the Group has a reasonable expectation that it will continue to operate as a going concern in the foreseeable future and, therefore, deemed it appropriate to use the going concern assumption in preparing the consolidated financial statements as at 31 December 2022. The assessment of the appropriateness of the going concern assumption, carried out by the directors, was essentially based on the prospective evolution of the Group’s capital and liquidity position over a time span of at least 12 months. The directors expect that no capital shortfalls will emerge within the going concern assessment time horizon, in line with the 2022-2026 Business Plan, approved by the Parent Company Board of Directors on 22 June 2022 (the “Plan”) and expect the liquidity position to remain strong. The successful conclusion of the capital increase transaction of the Parent Company for Euro 2.5 billion, which occurred on 4 November 2022, allowed the directors to overcome the material uncertainty concerning the Parent Company’s capital strengthening, which had generated significant doubts on the going concern assumption as stated in the financial reports prior to the interim financial report as at 30 September 2022. The understanding and the analysis of the assessment made by the directors in overcoming of the abovementioned material uncertainty and the consequent	As part of our audit process, we carried out procedures aimed at understanding the assessment made by the directors, as well as acquiring and examining the related evidence available on the existence of the going concern assumption used to prepare the financial statements over the time horizon considered by the directors. In particular, in order to address this key audit matter, the following main activities were performed also with the support of PwC network experts: • analysis of the assessment carried out by management on the Group’s ability to continue to operate as a going concern; • obtainment and analysis of evidence related to the conclusion of the capital increase transaction of the Parent Company for Euro 2.5 billion; • obtainment and analysis of evidence related to the commitments undertaken by the Italian Government as part of the 2017-2021 Restructuring Plan under regulations on State Aids as redefined by the subsequent provisions of the Directorate General for Competition (“DG COMP”); • analysis and understanding of the reasonableness, also through discussion with management, of the main hypotheses and assumptions underlying the Plan and its state of progress; • discussions with the representatives of the Joint Supervisory Team of the European Central Bank, management and the Board of Statutory Auditors; • critical reading of the minutes of the corporate governance bodies and the correspondence with the Supervisory Authorities; • performance of audit procedures on subsequent events; • acquisition of specific written representations from management; • critical examination of the information disclosed by the directors of the compliance and adequacy of such information with respect to the elements

<i>Key audit matters</i>	<i>Auditing procedures performed in response to key audit matters</i>
appropriateness of the use of the going concern assumption constitute a key audit matter.	considered by them in assessing the Group's ability to continue to operate as a going concern and to those acquired by us.
Valuation of loans to customers measured at amortised cost <i>Notes to the consolidated financial statements:</i> <i>Part A – Accounting policies;</i> <i>Part B – Information on the consolidated balance sheet, Section 4 – Financial assets measured at amortised cost;</i> <i>Part C – Information on the consolidated income statement, Section 8 – Net impairment (losses) /reversals for credit risk;</i> <i>Part E – Information on risks and hedging policies, Section 2 – Risks of prudential consolidation, paragraph 1.1 – Credit risk.</i> Loans to customers as at 31 December 2022 represent the predominant part of line item 40 b) “Financial assets measured at amortised cost – loans to customers” which shows a balance equal to Euro 85,209 million, corresponding to 71 per cent of the total assets of the financial statements. Net impairment losses on loans to customers recognised in the year amounted to Euro 430 million (line item 130 a) in the income statement). Special attention was paid to the valuation of the above-said loans as part of the audit because of the materiality of the value of loans in relation to the financial statements, as a whole, as well as because the related impairment losses consist of estimates made by the directors which incorporate elements of subjectivity and complexity related to the complex valuation processes, methods and	In performing the audit, we considered the internal control system relevant to the preparation of the financial statements in order to design audit procedures that were appropriate in the circumstances. In this respect, we also considered the integration and update of the methods already in use to assess the loan portfolio (management overlays) in order to consider any potential worsening of the credit risk linked to the impacts from COVID-19, the Russian conflict in Ukraine and the current and future economic and financial risks. In order to address this key audit matter, the following main activities were performed also with the support of PwC network experts: • understanding, evaluation and verification of the operating effectiveness of relevant controls over the IT systems and applications used; • understanding and evaluation of the design of relevant controls as part of the monitoring, classification and valuation of loans and testing of the operating effectiveness of such controls; • understanding and verification of the appropriateness of policies, procedures and models used to measure the significant increase in credit risk, for the allocation of the portfolios to the various risk stages and for measuring the expected loss both on an individual and collective basis, taking also into account the results of back-testing

<i>Key audit matters</i>	<i>Auditing procedures performed in response to key audit matters</i>
assumptions utilised. The use of significant assumptions in the estimation processes specifically regards, beside the verification of the significant increase in credit risk for the allocation of the portfolios to the various risk stages, the determination of parameters feeding the models to calculate the expected loss on a collective basis and, for loans being assessed on an individual basis, for the estimation of the expected future cash flows, of the related timing and realisable value of the underlying guarantees, if any. Furthermore, for the current year these estimation processes were far more complex following the integration and update of the methods already in use for the valuation of the loan portfolio (management overlays), which were necessary in order to take into account any potential worsening of the credit risk linked to the impacts from COVID-19, the Russian conflict in Ukraine and the current and future economic and financial risks. These circumstances entailed, as pointed out in the notices and recommendations of the Supervisory Authorities and the International Accounting Standard Setters, the review of the processes and methods to measure loans, with reference to both the determination of the significant increase in credit risks and to the determination of the main variables and parameters feeding the calculation models of the expected loss on a collective basis.	implemented by the Group and the information that emerged during the recent investigation on the credit risk carried out by the Supervisory Authority; • understanding and verification of the methods to determine the main estimation parameters in the context of the models used to measure the expected loss on a collective basis, taking into account the adjustments made during the year to the models already used. Specifically, we verified the reasonableness of the estimates related to the update of the expected macroeconomic scenarios and the weighing of such scenarios, performed in order to consider any potential worsening of the credit risk linked to impacts from COVID-19, the Russian conflict in Ukraine and the current and future economic and financial risks; • verification, on a sample basis, of the reasonableness of the classification among performing loans (stage 1 and stage 2) and non-performing loans (stage 3) based on the available information on the status of the borrower and other pieces of information available, including external ones; • verification of the correct application of the measurement criteria established for loans classified as performing (stage 1 and stage 2), of the completeness and accuracy of the model input data used to determine the expected loss on a collective basis; • with specific regard to non-performing loans (stage 3), taking into account the financial statement classification according to the categories under the applicable regulatory framework and the currently assumed recovery scenarios (sale or internal recovery), for loans assessed on an individual basis, we checked, on a sample basis, the reasonableness of the assumptions made to estimate the expected credit loss with particular reference to the identification and quantification of the expected future cash flows from the recovery activities, to the evaluation of the guarantees backing these exposures and to the estimate of the recovery times; • for non-performing loans valued on a

<i>Key audit matters</i>	<i>Auditing procedures performed in response to key audit matters</i>
	collective basis, we verified the correct determination of the main estimation parameters within the model used, as well as the completeness and accuracy of the model input data; • benchmark analysis procedures on the customer loan portfolio and related coverage levels and analysis of the most significant fluctuations, taking into consideration loss forecasts within and outside the Group (such as the Stability Report of the Bank of Italy) and discussing the most significant changes and the elements characterizing the loan portfolio with management; • critical reading of the minutes of the corporate governance bodies and the correspondence with the Supervisory Authorities; • performance of audit procedures on subsequent events; • acquisition of specific written representations from management; • check of the completeness and adequacy of the disclosures provided in accordance with the provisions of international accounting standards, the applicable regulatory framework, as well as with the notices and recommendations issued by the Supervisory Authorities and the International Accounting Standard Setters in the wake of the Covid-19 pandemic, the Russian conflict in Ukraine and the uncertainty of the macroeconomic scenarios.
Evaluation of legal risks	
<i>Notes to the consolidated financial statements:</i> <i>Part A – Accounting policies;</i> <i>Part B – Information on the consolidated balance sheet, Section 10 – Provisions for risks and charges;</i> <i>Part C – Information on the consolidated income statement, Section 13 – Net provisions for risks and charges;</i> <i>Part E – Information on risks and hedging policies, Section 2 – Risks of prudential consolidation, paragraph 1.5 – Operational risks.</i>	In performing the audit, we considered the internal control system relevant to the preparation of the financial statements in order to design audit procedures that were appropriate in the circumstances. In order to address this key audit matter, the following main activities were performed also with the support of PwC network experts: • understanding and assessment of the design of relevant controls implemented by the Group in relation to the assessment of legal risks and

Key audit matters	Auditing procedures performed in response to key audit matters
The Parent Company is exposed to significant civil disputes, to the effects of the rulings due to criminal proceedings and to out-of-court claims, with reference to the financial information publicly disseminated in the period from 2008 to 2015, as well as to risks linked to representations and warranties given in the disposal and demerger of non-performing loans. Net provisions for risks and charges amounted in the year to positive Euro 9 million (line item 200 b) in the income statement) of which Euro 343 million related to new provisions in the year and Euro 352 million related to reversals. The evaluation process of these legal risks that the Group performed with the support also of its legal counsels and other external experts, with particular reference to provisions related to civil and criminal disputes and out-of-court claims deriving from information publicly disseminated in the period from 2008-2015, as well as the provisions linked to representations and warranties given in the disposal and demerger of non-performing loans, is considered a key audit matter, for the aggregate high value of these risks, as well as because estimating the associated charges requires management to make use of estimates marked by a high degree of subjectivity.	• verification of the operating effectiveness of such controls; • obtainment and analysis of the written confirmation from the Group's legal advisors about their considerations on the evolution of the pending lawsuits, the possibility of loss, as well as the main information used; • analysis of the reasonableness of the directors' assumptions for estimating provisions and reversals made, in addition to the methods and conclusions included in the reports prepared by the Bank's external experts; • performance of validity procedures on the completeness and accuracy of the data used to determine the provisions for risks and charges; • critical reading of the minutes of the corporate governance bodies and the correspondence with the Supervisory Authorities; • performance of audit procedures on subsequent events; • acquisition of specific written representations from management; • verification of the completeness and adequacy of disclosures connected with the key audit matter in question, with reference also to the requirements of the applicable accounting standards.
Recoverability of deferred tax assets	
<i>Notes to the consolidated financial standards:</i> <i>Part A – Accounting policies;</i> <i>Part B – Information on the consolidated balance sheet, Section 11 – Tax assets and tax liabilities;</i> <i>Part C – Information on the consolidated income statement, Section 21 – Tax expense (recovery) on income from continuing operations.</i> As of 31 December 2022, the Group recorded Euro 921 million in the asset line item 110 "Tax assets" for net deferred tax assets ("DTA")	In performing the audit, we considered the internal control system relevant to the preparation of the financial statements in order to design audit procedures that were appropriate in the circumstances. Specifically, in order to address this key audit matter, the following main activities were performed also with the support of PwC network experts: • understanding and evaluation of the process and methodology adopted by the directors to carry out the probability test;

<i>Key audit matters</i>	<i>Auditing procedures performed in response to key audit matters</i>
related to tax losses that cannot be converted into tax credits and other deductible temporary differences, whose recoverability depends on the availability of taxable income in the future. Taxes for the year amount to a positive value of Euro 427 million (line item 300 in the income statement) mainly related to the effect of the DTA assessment. The assessment of the recoverability of these assets is a key audit matter because they are significant in value with respect of the financial statements, taken as a whole, and because their valuation is based on an estimation process (probability test), which entails using assumptions and parameters presenting a high degree of subjectivity. Specifically, the aforesaid estimation process relies on prospective balance sheet and P&L projections, consistent with the 2022-2026 Group Business Plan approved by the Board of Directors of the Parent Company on 22 June 2022, which include valuation assumptions such as (i) the determination of taxable income that is expected to be realised in the time-period considered for the DTA recovery, (ii) the growth rates used for the projection of future taxable income and the probability that there will be future taxable income, (iii) the extent of the foreseeable time-period for the recovery of DTAs, (iv) the correct interpretation of the applicable tax legislation.	• check of the consistency of the methodology adopted with the provisions of the applicable international financial reporting standard, taking into account professional practices, as well as the notices and recommendations of the Supervisory Authorities and International Accounting Standard Setters; • assessment, including through a check of external data, where available, of the reasonableness of the main qualitative and quantitative assumptions (revenue flows, discount and growth rates) and of the different types of deductible temporary differences based on the applicable tax legislation, used to prepare the probability test; • analysis of the reasonable use of the prospective balance sheet and P&L projections used and verification of the compliance with the 2022-2026 Group Business Plan; • verification of the mathematical accuracy of calculations underlying the probability test and the correctness of the calculations performed; • critical reading of the minutes of the corporate governance bodies and the correspondence with the Supervisory Authorities; • acquisition of specific written representations from management; • check of the completeness and adequacy of disclosures provided by the directors in the notes to the consolidated financial statements in accordance with IFRS requirements and the applicable regulatory framework, as well as with the notices and recommendations issued by the Supervisory Authorities and the International Accounting Standard Setters.

Activation of the Solidarity Fund

Notes to the consolidated financial statements:

Part A – Accounting policies;

Part B – Information on the consolidated balance sheet, Section 8 – Other liabilities;

Part C – Information on the consolidated income statement, Section 12- Administrative expenses.

In performing the audit, we considered the internal control system relevant to the preparation of the financial statements in order to design audit procedures that were appropriate in the circumstances.

Specifically, in order to address this key audit matter, the following main activities were performed also with the support of PwC network

<i>Key audit matters</i>	<i>Auditing procedures performed in response to key audit matters</i>
As at 31 December 2022, the Group recognised costs for Euro 928 million under line item 190 a) of the income statement “Personnel expenses” in relation to the agreement signed with the trade unions on 4 August 2022, almost entirely related to the activation of the “Solidarity Fund for professional reconversion and retraining, employment and income support of personnel in the credit sector” (“Solidarity Fund”). The activation of the Solidarity Fund is a key audit matter as it represents a significant event that occurred during the year on account of the considerable number of employees involved as well as the economic effects arising therefrom.	experts: • obtainment and analysis of the agreement signed between the Group and the trade unions on 4 August 2022; • understanding and assessment of the process and method adopted by the directors to determine the cost for the activation of the Solidarity Fund; • understanding and analysis of the methods to account for the related cost; • performance of validity procedures on the completeness of the employee population used by the directors to calculate the cost; • examination, on a sample basis, of the employees’ applications for the Solidarity Fund; • analysis, on a sample basis, of the main factors used to determine the cost for financing the Solidarity Fund and recalculation, again on a sample basis, of the amount thereof; • request for external confirmation, on a sample basis, from the Italian Social Security Institution (<i>Istituto Nazionale della Previdenza Sociale</i> - INPS) regarding certain information utilized by the directors to determine the cost; • performance of audit procedures on subsequent events, including the comparison between the requests for payment of the extraordinary allowance relating to the Solidarity Fund obtained from INPS for a portion of employees after the year-end, and the amount calculated by the directors; • acquisition of specific written representations from management; • check the completeness and adequacy of the disclosures provided in accordance with IFRS requirements.



Responsibilities of the Directors and the Board of Statutory Auditors for the Consolidated Financial Statements

The directors are responsible for the preparation of consolidated financial statements that give a true and fair view in accordance with International Financial Reporting Standards as adopted by the European Union, as well as with the regulations issued to implement article 9 of Legislative Decree No. 38/2005 and article 43 of Legislative Decree No. 136/2015 and, in the terms prescribed by law, for such internal control as they determine is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

The directors are responsible for assessing the Group's ability to continue as a going concern and, in preparing the consolidated financial statements, for the appropriate application of the going concern basis of accounting, and for disclosing matters related to going concern. In preparing the consolidated financial statements, the directors use the going concern basis of accounting unless they either intend to liquidate the Parent Company Banca Monte dei Paschi di Siena SpA or to cease operations, or have no realistic alternative but to do so.

The board of statutory auditors is responsible for overseeing, in the terms prescribed by law, the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with International Standards on Auditing (ISA Italia) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the consolidated financial statements.

As part of our audit conducted in accordance with International Standards on Auditing (ISA Italia), we exercised professional judgement and maintained professional scepticism throughout the audit. Furthermore:

- We identified and assessed the risks of material misstatement of the consolidated financial statements, whether due to fraud or error; we designed and performed audit procedures responsive to those risks; we obtained audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control;
- We obtained an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control;
- We evaluated the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors;



- We concluded on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern;
- We evaluated the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation;
- We obtained sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion on the consolidated financial statements.

We communicated with those charged with governance, identified at an appropriate level as required by ISA Italia regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identified during our audit.

We also provided those charged with governance with a statement that we complied with the regulations and standards on ethics and independence applicable under Italian law and communicated with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate the related risks, or safeguards applied.

From the matters communicated with those charged with governance, we determined those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We described these matters in our auditor's report.



Additional Disclosures required by Article 10 of Regulation (EU) No. 537/2014

On 11 April 2019, the Shareholders of Banca Monte dei Paschi di Siena SpA engaged us to perform the legal audit of the stand-alone and the consolidated financial statements for the years ending 31 December 2020 to 31 December 2028.

We declare that we did not provide any prohibited non-audit services referred to in article 5, paragraph 1, of Regulation (EU) No. 537/2014 and that we remained independent of the Bank in conducting the statutory audit.

We confirm that the opinion on the consolidated financial statements expressed in this report is consistent with the additional report to the board of statutory auditors, in its capacity as audit committee, prepared pursuant to article 11 of the aforementioned Regulation.

Report on Compliance with other Laws and Regulations

Opinion on compliance with the provisions of Commission Delegated Regulation (EU) 2019/815

The directors of Banca Monte dei Paschi di Siena SpA are responsible for the application of the provisions of Commission Delegated Regulation (EU) 2019/815 concerning regulatory technical standards on the specification of a single electronic reporting format (ESEF - European Single Electronic Format) (hereinafter, the “Commission Delegated Regulation”) to the consolidated financial statements as of 31 December 2022, to be included in the annual report.

We have performed the procedures specified in auditing standard (SA Italia) No. 700B in order to express an opinion on the compliance of the consolidated financial statements with the provisions of the Commission Delegated Regulation.

In our opinion, the consolidated financial statements as of 31 December 2022 have been prepared in the XHTML format and have been marked up, in all significant respects, in compliance with the provisions of the Commission Delegated Regulation.

Due to certain technical limitations, some information included in the notes to the consolidated financial statements when extracted from the XHTML format to an XBRL instance may not be reproduced in an identical manner with respect to the corresponding information presented in the consolidated financial statements in the XHTML format.



Opinion in accordance with Article 14, paragraph 2, letter e), of Legislative Decree No. 39/2010 and Article 123-bis, paragraph 4, of Legislative Decree No. 58/1998

The directors of Banca Monte dei Paschi di Siena SpA are responsible for preparing a report on operations and a report on the corporate governance and ownership structure of the Monte dei Paschi di Siena Group as of 31 December 2022, including their consistency with the relevant consolidated financial statements and their compliance with the law.

We have performed the procedures required under auditing standard (SA Italia) No. 720B in order to express an opinion on the consistency of the report on operations and of the specific information included in the report on corporate governance and ownership structure referred to in article 123-bis, paragraph 4, of Legislative Decree No. 58/98, with the consolidated financial statements of the Monte dei Paschi di Siena Group as of 31 December 2022 and on their compliance with the law, as well as to issue a statement on material misstatements, if any.

In our opinion, the report on operations and the specific information included in the report on corporate governance and ownership structure mentioned above are consistent with the consolidated financial statements of the Monte dei Paschi di Siena Group as of 31 December 2022 and are prepared in compliance with the law.

With reference to the statement referred to in article 14, paragraph 2, letter e), of Legislative Decree No. 39/2010, issued on the basis of our knowledge and understanding of the company and its environment obtained in the course of the audit, we have nothing to report.



***Statement in accordance with article 4 of Consob's Regulation implementing
Legislative Decree No. 254 of 30 December 2016***

The directors of Banca Monte dei Paschi di Siena SpA are responsible for the preparation of the non-financial disclosure pursuant to Legislative Decree No. 254 of 30 December 2016.

We have verified that the directors approved the non-financial disclosure.

Pursuant to article 3, paragraph 10, of Legislative Decree No. 254 of 30 December 2016, the non-financial disclosure is the subject of a separate attestation statement issued by ourselves.

Florence, 27 March 2023

PricewaterhouseCoopers SpA

Signed by

Marco Palumbo
(Partner)

This independent auditor's report has been translated into the English language solely for the convenience of international readers. Accordingly, only the original text in Italian language is authoritative.



Annexes



Disclosure of independent auditors' fees

Pursuant to the provisions of art. 149-duodecies of the Consob Issuers' Regulations, the table below provides information on the fees paid to the Independent Auditors PricewaterhouseCoopers SpA and to the companies belonging to the same network for the services detailed below:

		31 12 2022
Type of services	Service provider	Total
Auditing	Pricewaterhousecoopers S.p.a.	1,850
Other attest services	Pricewaterhousecoopers S.p.a.	500
Other services	Pricewaterhousecoopers S.p.a.	734
Total		3,084

Amounts are exclusive of V.A.T., ancillary expenses and CONSOB contribution.



PENSION FUNDS – Defined benefit pension funds without plan assets

“Supplementary Pension Fund for personnel of former Concessioni Riscossioni Tributi”

Accounting statement as at 31 12 2022	(in units of Eur)
Opening balance as at 01 01 2022	15,776,705
Increases	38,225
- provisions for the year	38,225
- Other	-
Decreases	1,516,049
- Benefit paid	1,492,184
- Other	23,865
Closing balance as at 31 12 2022	14,298,881

“Supplementary Pension Fund for personnel of former Banca Operaia di Bologna”

Accounting statement as at 31 12 2022	(in units of Eur)
Opening balance as at 01 01 2022	4,732,086
Increases	24,921
- provisions for the year	24,921
- Other	-
Decreases	471,500
- Benefit paid	395,002
- Other	76,498
Closing balance as at 31 12 2022	4,285,507

“Supplementary Pension Fund for personnel of former Banca di Credito Popolare e Cooperativo di Reggio Emilia”

Accounting statement as at 31 12 2022	(in units of Eur)
Opening balance as at 01 01 2022	597,621
Increases	4,325
- provisions for the year	4,325
- Other	-
Decreases	142,507
- Benefit paid	35,679
- Other	106,828
Closing balance as at 31 12 2022	459,439

**“Supplementary Pension Fund for personnel of former Banca Popolare Veneta”**

Accounting statement as at 31 12 2022	(in units of Eur)
Opening balance as at 01 01 2022	704,718
Increases	422
- provisions for the year	422
- Other	-
Decreases	523,608
- Benefit paid	61,332
- Other	462,276
Closing balance as at 31 12 2022	181,532

Obligation for “Supplementary Pension Fund for personnel of former Provveditori”

Accounting statement as at 31 12 2022	(in units of Eur)
Opening balance as at 01 01 2022	2,318,106
Increases	56,620
- provisions for the year	7,230
- Other	49,390
Decreases	254,599
- Benefit paid	254,599
- Other	-
Closing balance as at 31 12 2022	2,120,127

“Supplementary Pension Fund for personnel of former MPS Capital Services Banca per le Imprese S.p.A.”

Accounting statement as at 31 12 2022	(in units of Eur)
Opening balance as at 01 01 2022	2,939,145
Increases	534,002
- provisions for the year	4,396
- Other	529,606
Decreases	396,238
- Benefit paid	396,238
- Other	-
Closing balance as at 31 12 2022	3,076,909



“Supplementary Pension Fund for personnel of former Credito Lombardo”

Accounting statement as at 31 12 2022	(in units of Eur)
Opening balance as at 01 01 2022	2,131,845
Increases	5,144
- provisions for the year	5,144
- Other	-
Decreases	498,606
- Benefit paid	218,287
- Other	280,319
Closing balance as at 31 12 2022	1,638,383

“Supplementary Pension Fund for personnel of former Banca Toscana”

Accounting statement as at 31 12 2022	(in units of Eur)
Opening balance as at 01 01 2022	438,427
Increases	-
- provisions for the year	-
- Other	-
Decreases	-
- Benefit paid	-
- Other	-
Closing balance as at 31 12 2022	438,427



PENSION FUNDS – Defined benefit and defined contribution pension funds with plan assets

“Supplementary Pension Fund for personnel of former BNA” – Defined benefit section

BALANCE SHEET

(in units of Eur)

	Assets	31 12 2022	31 12 2021	Changes
10	Direct investments	19,592,930	21,392,572	(1,799,642)
	a) Deposits	19,592,930	176,562	19,416,368
	b) Receivables from repo transactions	-	-	-
	c) Securities issued by Governments and other international institutions	-	-	-
	d) Listed debt securities	-	21,118,317	(21,118,317)
	e) Listed equity securities	-	-	-
	f) Unlisted debt securities	-	-	-
	g) Unlisted equity securities	-	-	-
	h) Units of UCITS	-	-	-
	i) Options purchased	-	-	-
	l) Accrued income and prepayments	-	97,693	(97,693)
	m) Profit guarantees released to pension fund	-	-	-
	n) Other assets from financial activities	-	-	-
	o) Accrued income not yet received	-	-	-
20	Managed investments	-	-	-
30	Profit guarantees on individual accounts	-	-	-
40	Assets from administrative activities	-	-	-
50	Tax receivables	111,033	20,306	90,727
	TOTAL ASSETS	19,703,963	21,412,878	(1,708,915)
	Liabilities	31 12 2022	31 12 2021	Changes
10	Liabilities from social security	-	-	-
20	Liabilities from financial activities	-	-	-
30	Profit guarantees on individual accounts	-	-	-
40	Liabilities from administrative activities	-	-	-
50	Tax payables	(20,306)	-	(20,306)
	b) tax payables for current period	(20,306)	-	(20,306)
	a) tax credit for prior period	-	-	-
	TOTAL LIABILITIES	(20,306)	-	(20,306)
100	Net assets available for payment of benefits	19,724,269	21,412,878	(1,688,609)
	Net assets available for payment of benefits in previous year	21,412,878	22,566,957	(1,154,079)
	Changes in net assets available payment of benefits	(1,688,609)	(1,154,079)	(534,530)



INCOME STATEMENT

(in units of Eur)			
	31 12 2022	31 12 2021	Changes
10 Balance of social security management	(911,381)	(1,011,937)	100,556
a) Contributions for benefits	-	-	-
b) Advances	-	-	-
c) Transfers and redemptions	-	-	-
d) Transfers to annuities	-	-	-
e) Payments in capital	-	-	-
f) Premiums for additional benefits	-	-	-
g) Payments in annuities	(911,381)	(1,011,937)	100,556
h) Other payments	-	-	-
20 Profit (loss) from direct financial activities	(888,261)	(162,448)	(725,813)
a) Interest and profit on bonds and government securities	360,437	425,922	(65,485)
b) Interest on cash equivalents	-	-	-
c) Profits and losses from financial transactions	(1,248,698)	(588,370)	(660,328)
d) Interest (expense) from repo transactions	-	-	-
e) Pension fund profit guarantee difference	-	-	-
f) Contingent assets	-	-	-
g) Forfeitures charged to the participants	-	-	-
h) Kickbacks from UCITS	-	-	-
i) Commission expense	-	-	-
30 Profit (loss) from indirect financial activities	-	-	-
40 Operating expenses	-	-	-
a) Management companies	-	-	-
b) Custodian bank	-	-	-
c) Insurance policy	-	-	-
d) "State supervision" contribution	-	-	-
50 Financial and insurance income (loss) (20+30+40)	(888,261)	(162,448)	(725,813)
60 Balance from administrative activities	-	-	-
a) General and administrative expenses	-	-	-
70 Changes in net assets available for payment of benefits before substitute tax (10+50+60)	(1,799,642)	(1,174,385)	(625,257)
80 Substitute tax	111,033	20,306	90,727
Changes in net assets available for payment of benefits (70+80)	(1,688,609)	(1,154,079)	(534,530)



“Supplementary Pension Fund for personnel of former Banca Toscana” - Defined benefit section

BALANCE SHEET

		(in units of Eur)		
Assets		31 12 2022	31 12 2021	Changes
10	Direct investments	62,758,084	69,650,602	(6,892,518)
	a) Deposits	62,758,084	66,193,293	(3,435,209)
	b) Receivables from repo transactions	-	-	-
	c) Securities issued by Governments and other international institutions	-	-	-
	d) Listed debt securities	-	3,393,964	(3,393,964)
	e) Listed equity securities	-	-	-
	f) Unlisted debt securities	-	-	-
	g) Unlisted equity securities	-	-	-
	h) Units of UCITS	-	-	-
	i) Options purchased	-	-	-
	l) Accrued income and prepayments	-	63,345	(63,345)
	m) Profit guarantees released to pension fund	-	-	-
	n) Other assets from financial activities	-	-	-
	o) Accrued income not yet received	-	-	-
20	Managed investments	-	-	-
30	Profit guarantees on individual accounts	-	-	-
40	Assets from administrative activities	-	-	-
50	Tax receivables	-	-	-
	TOTAL ASSETS	62,758,084	69,650,602	(6,892,518)
Liabilities		31 12 2020	31 12 2021	Changes
10	Liabilities from social security	-	-	-
20	Liabilities from financial activities	-	-	-
30	Profit guarantees on individual accounts	-	-	-
40	Liabilities from administrative activities	-	-	-
50	Tax payables	-	-	-
	TOTAL LIABILITIES	-	-	-
100	Net assets available for payment of benefits	62,758,084	69,650,602	(6,892,518)
	Net assets available for payment of benefits in previous year	69,650,602	76,366,612	(6,716,010)
	Changes in net assets available payment of benefits	(6,892,518)	(6,716,010)	(176,508)



INCOME STATEMENT

		(in units of Eur)		
		31 12 2022	31 12 2021	Changes
10	Balance of social security management	(6,378,162)	(6,731,582)	353,420
	a) Contributions for benefits	-	(19,068)	19,068
	b) Advances	-	-	-
	c) Transfers and redemptions	-	-	-
	d) Transfers to annuities	-	-	-
	e) Payments in capital	-	-	-
	f) Premiums for additional benefits	-	-	-
	g) Payments in annuities	(6,378,162)	(6,712,514)	334,352
	h) Other payments	-	-	-
20	Profit (loss) from direct financial activities	(514,356)	15,572	(529,928)
	a) Interest and profit on bonds and government securities	121,121	127,038	(5,917)
	b) Interest on cash equivalents	-	-	-
	c) Profits and losses from financial transactions	(635,477)	(111,466)	(524,011)
	d) Interest (expense) from repo transactions	-	-	-
	e) Pension fund profit guarantee difference	-	-	-
	f) Contingent assets	-	-	-
	g) Forfeitures charged to the participants	-	-	-
	h) Kickbacks from UCITS	-	-	-
	i) Commission expense	-	-	-
30	Profit (loss) from indirect financial activities	-	-	-
40	Operating expenses	-	-	-
	a) Management companies	-	-	-
	b) Custodian bank	-	-	-
	c) Insurance policy	-	-	-
	d) "State supervision" contribution	-	-	-
50	Financial and insurance income (loss) (20+30+40)	(514,356)	15,572	(529,928)
60	Balance from administrative activities	-	-	-
	a) General and administrative expenses	-	-	-
70	Changes in net assets available for payment of benefits before substitute tax (10+50+60)	(6,892,518)	(6,716,010)	(176,508)
80	Substitute tax	-	-	-
	Changes in net assets available for payment of benefits (70+80)	(6,892,518)	(6,716,010)	(176,508)



SEPARATE ANNUAL REPORT OF MONTE DEI PASCHI DI SIENA BANK

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For more information on aspects not examined in this Report, please refer to the disclosure provided in the Consolidated Report on Operations.



Results in brief

Below are the main economic and financial values of Banca Montepaschi di Siena as at 31 December 2022, compared with those for the previous year. The Alternative Performance Measures (APMs) identified to facilitate the understanding of the economic and financial performance of the Bank's operations are also presented. The APMs, which are built using the reclassified data reported in the Reclassified consolidated income statement and Reclassified Balance Sheet chapters, are based on accounting data, corresponding to those used in internal performance management and management reporting systems, and consistent with the most commonly used metrics within the banking industry, thereby ensuring the comparability of reported figures.

These measures take into account the Guidelines provided by the European Securities and Markets Authority (ESMA) on 5 October 2015, which the Italian stock exchange regulator, Consob, incorporated in its supervisory practices (Communication no. 0092543 of 3 December 2015). These Guidelines became applicable as of 3 July 2016. Please note that, in line with the instructions set forth in the update to the document "ESMA32_51_370 – Question and answer – ESMA Guidelines on Alternative Performance Measures (APMs)" published on 17 April 2020, no changes have been made to the APMs in use in order to consider the effects of the COVID-19 crisis. It should be noted that, for each APM, information is provided on its definition and calculation methods, and the amounts used in the calculation may be identified through the information contained in the tables below or in the reclassified financial statements in this Report on Operations.

INCOME STATEMENT AND BALANCE SHEET FIGURES			
MONTE DEI PASCHI DI SIENA BANK			
INCOME STATEMENT FIGURES (EUR mln)	31 12 2022	31 12 2021	Chg.
Net interest income	1,275.2	991.9	28.6%
Net fee and commission income	1,296.3	1,409.5	-8.0%
Other income from banking business	202.9	235.5	-13.9%
Other operating income and expenses	53.1	(20.2)	n.m.
Total Revenues	2,827.4	2,616.7	8.1%
Operating expenses	(1,949.2)	(1,949.7)	0.0%
Cost of customer credit	(344.0)	(228.0)	50.9%
Other value adjustments	1.3	2.7	-51.9%
Net operating income (loss)	535.5	441.7	21.2%
Non-operating items	(1,118.7)	(342.0)	n.m.
Net profit (loss) for the year	(135.8)	151.0	n.m.
BALANCE SHEET FIGURES AND INDICATORS (EUR mln)	31 12 2022	31 12 2021	Chg.
Total assets	115,596.8	128,947.4	-10.4%
Loans to customers	62,348.8	63,442.4	-1.7%
Direct funding	76,736.8	81,041.5	-5.3%
Indirect funding	86,866.0	98,388.0	-11.7%
of which: assets under management	52,814.7	59,555.0	-11.3%
of which: assets under custody	34,051.3	38,833.0	-12.3%
Net equity	7,092.2	5,026.6	41.1%
OPERATING STRUCTURE	31 12 2022	31 12 2021	Chg.
Total headcount - end of period	16,180	19,490	(3,310)
Number of branches in Italy	1,362	1,368	(6)



ALTERNATIVE PERFORMANCE MEASURES			
MONTE DEI PASCHI DI SIENA BANK			
PROFITABILITY RATIOS (%)	31 12 2022	31 12 2021	Chg.
Cost/Income ratio	68.9	74.5	-5.6
ROE (on average equity)	(2.2)	3.1	-5.3
Return on Assets (RoA) ratio	(0.1)	0.1	-0.2
ROTE (Return on tangible equity)	(2.3)	3.1	-5.4
CREDIT QUALITY RATIOS (%)	31 12 2022	31 12 2021	Chg.
Net NPE ratio	2.0	2.5	-0.5
Gross NPL ratio	2.0	2.8	-0.8
Rate of change of non-performing loans to customers	(23.2)	5.0	-28.2
Bad loans to customers/ Loans to Customers	0.5	0.7	-0.2
Loans to customers measured at amortised cost - Stage 2/Performing loans to customers measured at amortised cost	14.7	15.7	-1.0
Coverage of non-performing loans to customers	42.9	44.8	-1.9
Coverage of bad loans to customers	59.0	60.4	-1.4
Provisioning	0.55	0.36	0.19
Texas Ratio	28.4	46.2	-17.8

Cost/Income ratio: ratio between Operating expenses (Administrative expenses and Net value adjustments to property, plant and equipment and intangible assets) and Total revenues (for the composition of this aggregate, see the reclassified income statement).

Return On Equity (ROE): ratio between the Net profit (loss) for the year and the average between the shareholders' equity (including Profit and Valuation Reserves) at the end of financial year and the shareholders' equity at the end of the previous year.

Return On Assets (ROA): ratio between the Net profit (loss) for the year and Total assets at the end of the year.

Return On Tangible Equity (ROTE): ratio between the Net profit (loss) for the year and the average between the tangible shareholders' equity⁶⁴ at the end of financial year and that at the end of the previous year.

Gross NPL Ratio: gross impact of non-performing loans calculated based on the European Banking Authority (EBA)⁶⁵ guidelines as the ratio between Gross non-performing loans to customers and banks⁶⁶, net of assets under disposal, and total Gross loans to customers and banks, net of assets under disposal.

Rate of change in non-performing loans to customers: represents the annual rate of growth in gross non-performing loans to customers based on the difference between annual balances.

Coverage of non-performing loans to customers and coverage of bad loans to customers: the coverage ratio on Non-performing loans and bad loans to customers is calculated as the ratio between the relative loss provisions and the corresponding gross exposures.

Provisioning: ratio between the cost of customer credit and the sum of loans to customers and the value of securities deriving from disposal/securitisation of non-performing loans.

Texas Ratio: ratio between gross non-performing loans to customers and the sum, in the denominator, of the relative loss provisions and tangible shareholders' equity.

⁶⁴ Book value of the Bank's shareholders' equity inclusive of profit (loss) for the period, cleared of goodwill and other intangible assets.

⁶⁵ EBA GL/2018/10.

⁶⁶ Loans to Banks include current accounts and sight deposits with banks and central banks classified as "Cash" under balance sheet assets.



REGULATORY MEASURES			
MONTE DEI PASCHI DI SIENA BANK			
CAPITAL RATIOS (%)	31 12 2022	31 12 2021	Chg.
Common Equity Tier 1 (CET1) ratio - phase in	19.0	14.1	4.9
Total Capital ratio - phase in	23.7	18.7	5.0

In determining the capital ratios, the “phase-in” (or “transitional”) version represents the application of calculation rules according to the regulatory framework in force at the reporting date.

Common equity Tier 1 (CET1) ratio: ratio between primary quality capital⁶⁷ and total risk-weighted assets (RWA)⁶⁸.

Total Capital ratio: ratio between Own Funds and total RWAs.

⁶⁷ Defined by art. 4 of Regulation EU/2013/575 (Capital Requirements Regulation, CRR). It consists of the eligible elements and capital instruments, net of the envisaged adjustments and deductions.

⁶⁸ Risk-weighted assets: the result of the application of certain risk weights to exposures, determined according to supervisory rules.



Analysis of the key economic-financial indicators of Banca Monte dei Paschi di Siena

Reclassified accounts

Reclassification principles

The following are the reclassification criteria adopted for drafting the reclassified income statement.

It should be noted that, based on this Report on Operations the amounts relating to the repayments of interest and commissions to customers referring to past years and for which allocations were made to the provision for risks and charges as a balancing entry to the afore-mentioned income statement items, are reclassified to the item "Other net provisions for risks and charges".

- Item **"Net interest income"** is shown net of the negative contribution of the Purchase Price Allocation (PPA), equal to EUR -3.1 mln, referring to past business combinations, which was reclassified in a special item. In addition, the portion relating to customer repayments of EUR -0.4 mln, for which provisions are set aside, was separated out and allocated to the item "Other net provisions for risks and charges".
- The item **"Net fee and commission income"** includes the balance of financial statement items 40 "Fee and commission income" and 50 "Fee and commission expense" and it has been cleared of the portion of reimbursements to customers referring to previous years (EUR -6.1 mln), recognised under item "Other net provisions for risks and charges".
- Item **"Dividends, similar income and gains (losses) on investments"** incorporates item 70 "Dividends and similar income".
- Item **"Net profit (loss) from trading, the fair value measurement of assets/liabilities and Net gains (losses) on disposals/repurchases"** includes item 80 "Net profit (loss) from trading", item 100 "Gains (losses) on disposal/repurchase", cleared of the contribution from loans to customers (EUR 2.9 mln) reclassified in the item "Cost of customer credit", and item 110 "Net profit (loss) from other financial assets and liabilities measured at fair value through profit or loss", cleared of the contribution from loans to customers (EUR 6.4 mln) reclassified in the item "Cost of customer credit". This item was also cleared of the reversal in terms of exposures to the Voluntary Scheme of FITD, the Italian interbank deposit protection fund (for around EUR 0.9 mln), reclassified to "Risks and charges associated with SRF, DGS and similar schemes".
- Item **"Net profit (loss) from hedging"** includes financial statement item 90 "Net profit (loss) from hedging".
- Item **"Other operating income (expenses)"** includes the balance of item 200 "Other operating expenses/income" net of stamp duties, other expenses recovered from customers, which are included in the reclassified item "Other administrative expenses" (EUR 185.6 mln) and net of the component relating to rental income, which is posted to "Net value adjustments to property, plant and equipment and intangible assets" (EUR 10.9 mln). The item was also cleared of the amount relating to the recoveries of DTA fees collected by subsidiaries, reclassified to the item "DTA fee" (EUR 9.1 mln).
- Item **"Personnel expenses"** includes the balance of item 160a "Personnel expenses" minus the cost component of EUR 905.7 mln, relating to provisions for the early retirement/solidarity fund initiative pursuant to the agreement with the trade unions of 4 August 2022, reclassified to "Restructuring costs/One-off costs".
- The item **"Other administrative expenses"** includes the balance of financial statement item 160b "Other administrative expenses", reduced by the following cost items:
 - expenses, amounting to EUR 154.2 mln, resulting from the EU Deposit Guarantee Schemes Directive (hereinafter "DGSD") and Bank Recovery Resolution Directive (hereinafter "BRRD") for the resolution of bank crises, posted under the reclassified item "Risks and charges associated with SRF, DGS and similar schemes";
 - DTA fee, convertible into tax credit, for an amount of EUR 62.9 mln posted to the reclassified item "DTA fee";
 - charges of EUR 3.1 mln relating to project initiatives, also aimed at achieving the commitments undertaken with DG Comp, reclassified under "Restructuring costs/One-off costs".



This item also includes the portion of stamp duty and other expenses recovered from customers (EUR 185.6 mln) posted under item 200 “Other operating expenses/income”.

Item “**Net value adjustments to property, plant and equipment and intangible assets**” includes the values of items 180 “Net value adjustments to/recoveries on property, plant and equipment” and 190 “Net value adjustments to (recoveries on) intangible assets” and was cleared of the negative contribution (EUR -0.9 mln) referring to the Purchase Price Allocation (PPA), which was recognised in a specific item, while it incorporates the amount of the rental income (EUR 10.9 mln) that was recorded in the financial statements under item 200 “Other operating expenses/income”.

Item “**Cost of customer credit**” includes the income statement components relating to loans to customers of items 100a “Gains/losses on disposal or repurchase of financial assets measured at amortised cost” (EUR 2.9 mln), 110b “Net profit (loss) on financial assets and liabilities mandatorily measured at fair value” (EUR 6.4 mln), 130a “Net impairment (losses)/reversals for credit risk on financial assets measured at amortised cost” (EUR -354.3 mln), 140 “Modification gains/losses f” (EUR +3.3 mln) and 170a “Net provisions for risks and charges - commitments and guarantees given” (EUR -2.4 mln).

The item “**Net impairment losses/reversals on securities and loans to banks**” includes the portion relating to securities (EUR -2.2 mln) and loans to banks (EUR +3.6 mln) of item 130a “Net impairment (losses)/reversals for credit risk of financial assets measured at amortised cost” and item 130b “Net impairment (losses)/reversals for credit risk of financial assets measured at fair value through other comprehensive income” (EUR -0.1 mln).

The item “**Other net provisions for risks and charges**” includes the balance of item 170 “Net provisions for risks and charges” less the component relating to loans to customers of item 170a “commitments and guarantees given” (EUR -2.4 mln), which was reclassified to the specific item “Cost of customer credit”. The item also includes the reimbursements to customers relating to past years recognised in the financial statements under “Net interest income” for EUR -0.4 mln and “Fee and commission income” for EUR -6.1 mln.

The item “**Gains (losses) on investments**” includes the balance of financial statement item 220 “Gains (losses) on investments”.

Item “Restructuring costs/One-off costs” includes the following amounts:

- costs of EUR 905.7 mln relating to departures through the early retirement plan or access to the Solidarity Fund accounted for in the financial statements in item 160a “Personnel expenses”;
- charges of EUR 3.1 mln relating to project initiatives, also aimed at achieving the commitments undertaken with DG Comp, recognised in the financial statements under item 160b “Other administrative expenses”.

The item “**Risks and charges associated with SRF, DGS and similar schemes**” includes the charges deriving from the EU DGSD for the guarantee of deposits and BRRD for the resolution of bank crises, amounting to EUR 154.2 mln, recognised in the financial statements in the item 160b “Other administrative expenses”, as well as the write-off recognised on the exposure to the FITD Voluntary Scheme for EUR 0.9 mln, recognised in the financial statements under item 110 “Net profit (loss) from financial assets and liabilities measured at fair value through profit or loss”.

Item “**DTA fee**” includes the expenses related to the fees paid on DTAs that can be converted into tax credit as set forth in art. 11 of Italian Law Decree no. 59 of 3 May 2016, converted into Italian Law no. 119, 30 June 2016, totalling EUR 53.8 mln and recognised in the financial statements under item 160b “Other administrative expenses” (EUR 62.9 mln), net of the amount recovered from subsidiaries recorded under “Other operating income (expenses)” (EUR 9.1 mln).



Item **“Net gains (losses) on property, plant and equipment and intangible assets measured at fair value”** includes the balance of financial statement item 230 “Net gains (losses) on property, plant and equipment and intangible assets measured at fair value”.

Item **“Gains (losses) on disposal of investments”** includes the balance of financial statement item 250 “Gains (losses) on disposal of investments”.

The item **“Income taxes for the year”** includes the balance of item 270 “Tax (expense)/recovery on income from continuing operations” and has been cleared of the theoretical tax component relating to the Purchase Price Allocation (PPA), reclassified to a specific item for an amount of EUR 1.3 mln.

The overall negative effects of the **Purchase Price Allocation (PPA)** were reclassified to a specific item, excluding them from affected income statement items (in particular “Net interest income” for EUR -3.1 mln and “Net value adjustments to property, plant and equipment and intangible assets” for EUR -0.9 mln, net of a theoretical tax burden of EUR +1.3 mln which was added to the item).

Balance sheet reclassification principles

The following are the reclassification criteria adopted for drafting the reclassified balance sheet:

- asset item **“Loans to central banks”** includes the portion relating to operations with central banks of item 40 “Financial assets measured at amortised cost”;
- the asset item **“Loans to banks”** includes the portion relating to loans to banks of financial statement items 40 “Financial assets measured at amortised cost” and item 20 “Financial assets measured at fair value through profit or loss” and item 110 “Non-current assets held for sale and disposal groups”;
- asset item **“Loans to customers”** includes the portion relating to loans to customers of financial statement items 20 “Financial assets measured at fair value through profit or loss”, 40 “Financial assets measured at amortised cost” and 110 “Non-current assets held for sale and disposal groups”;
- asset item **“Securities assets”** includes the portion relating to securities of item 20 “Financial assets measured at fair value through profit or loss”, item 30 “Financial assets measured at fair value through other comprehensive income”, item 40 “Financial assets measured at amortised cost” and item 110 “Non-current assets held for sale and disposal groups”;
- the asset item **“Derivatives”** includes the portion relating to derivatives of items 20 “Financial assets measured at fair value through profit or loss” and 50 “Hedging derivatives”;
- asset item **“Equity investments”** includes item 70 “Equity Investments” and the portion related to equity investments in item 110 “Non-current assets held for sale and disposal groups”;
- asset item **“Property, plant and equipment and intangible assets”** includes item 80 “Property, plant and equipment”, item 90 “Intangible assets” and the amounts related to property, plant and equipment and intangible assets in item 110 “Non-current assets held for sale and disposal groups”;
- asset item **“Other assets”**, includes item 60 “Change in value of macro-hedged financial assets”, item 120 “Other assets”, and the amounts in item 110 “Non-current assets held for sale and disposal groups” not included in the previous items;
- the liability item **“Due to customers”**, includes financial statement item 10b “Financial liabilities measured at amortised cost – due to customers” and the component relating to customer securities of financial statement item 10c “Financial liabilities measured at amortised cost - Debt securities issued”;
- liability item **“Securities issued”** includes item 10c “Financial liabilities measured at amortised cost - Debt securities issued”, excluding the component relating to customer securities, and item 30 “Financial liabilities measured at fair value”;
- liability item **“Due to Central banks”** includes the portion of item 10a “Financial liabilities measured at amortised cost – Due to banks” relating to operations with central banks;
- liability item **“Due to banks”** includes the portion of item 10a “Financial liabilities measured at amortised cost – Due to banks” relating to operations with banks (excluding central banks);



- liability item **“On-balance-sheet financial liabilities held for trading”** includes the portion of item 20 “Financial liabilities held for trading” net of the amounts relating to derivatives for trading;
- liability item **“Derivatives”** includes item 40 “Hedging derivatives” and the portion related to derivatives in item 20 “Financial liabilities held for trading”;
- liability item **“Provision for specific use”** includes item 90 “Employee severance pay” and item 100 “Provisions for risks and charges”;
- liability item **“Other liabilities”** includes items 50 “Change in value of macro-hedged financial liabilities”, 70 “Liabilities associated with disposal group” and 80 “Other liabilities”;
- liability item **“Shareholders’ equity”** includes item 110 “Valuation reserves”, item 120 “Redeemable shares”, item 140 “Reserves”, item 160 “Share capital”, item 170 “Treasury shares” and item 180 “Net Profit (Loss) for the year”.

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The reconciliation between the statutory accounts and the reclassified income statement and balance sheet is included in the “Annexes” section.



Reclassified income statement

It must be noted that the results for the 2022 financial year were impacted by the effects arising from the Russia-Ukraine conflict as well as, until the first quarter, by the health emergency of the COVID-19 pandemic. The latter impacted the entire 2021 financial year.

It should also be noted that on 5 December 2022 the merger by incorporation of Consorzio Operativo Gruppo S.p.A. (formerly Consorzio Operativo di Gruppo) into Banca MPS became effective, with accounting and tax effects backdated to 1 January 2022.

Reclassified Income Statement				
MONTE DEI PASCHI DI SIENA BANK	31 12 2022	31 12 2021	Chg.	
			Abs.	%
Net interest income	1,275.2	991.9	283.3	28.6%
Net fee and commission income	1,296.3	1,409.5	(113.2)	-8.0%
Income from banking activities	2,571.5	2,401.4	170.1	7.1%
Dividends, similar income and gains (losses) on investments	128.7	47.8	80.9	n.m.
Net profit (loss) from trading, the fair value measurement of assets/liabilities and Net gains (losses) on disposals/repurchases	67.8	175.5	(107.7)	-61.4%
Net profit (loss) from hedging	6.4	12.2	(5.8)	-47.5%
Other operating income (expenses)	53.1	(20.2)	73.3	n.m.
Total Revenues	2,827.4	2,616.7	210.7	8.1%
Administrative expenses:	(1,790.2)	(1,868.2)	78.0	-4.2%
a) personnel expenses	(1,324.2)	(1,315.2)	(8.9)	0.7%
b) other administrative expenses	(466.0)	(553.0)	86.9	-15.7%
Net value adjustments to property, plant and equipment and intangible assets	(159.0)	(81.5)	(77.6)	95.2%
Operating expenses	(1,949.2)	(1,949.7)	0.5	0.0%
Pre-Provision Operating Profit	878.2	667.0	211.2	31.7%
Cost of customer credit	(344.0)	(228.0)	(116.0)	50.9%
Net impairment (losses)/reversals on securities and loans to banks	1.3	2.7	(1.4)	-51.9%
Net operating income	535.5	441.7	93.8	21.2%
Other net provisions for risks and charges	26.0	(105.8)	131.8	n.m.
Other gains (losses) on equity investments	0.8	(3.8)	4.6	n.m.
Restructuring costs / One-off costs	(908.9)	(6.0)	(902.9)	n.m.
Risks and charges associated to the SRF, DGS and similar schemes	(155.1)	(146.4)	(8.6)	5.9%
DTA Fee	(53.8)	(54.2)	0.4	-0.7%
Net gains (losses) on property, plant and equipment and intangible assets measured at fair value	(28.1)	(36.9)	8.8	-23.8%
Gains (losses) on disposal of investments	0.3	11.1	(10.8)	-97.3%
Profit (Loss) for the period before tax	(583.2)	99.7	(682.9)	n.m.
Tax (expense)/recovery on income from continuing operations	450.0	54.8	395.2	n.m.
Profit (Loss) after tax	(133.1)	154.5	(287.7)	n.m.
Profit (loss) for the year before PPA	(133.1)	154.5	(287.7)	n.m.
PPA (Purchase Price Allocation)	(2.7)	(3.5)	0.9	-25.0%
Net profit (loss) for the year	(135.8)	151.0	(286.8)	n.m.



Revenue trends

As at 31 December 2022, the Bank achieved total **Revenues** of **EUR 2,827 mln**, up by 8.1% compared to the previous year.

This trend is mainly due to the Net Interest income, which benefits from the rise in interest rates. The positive trend in Net interest income absorbed the decline in Net fee and commission income, the decrease of which is mainly due to lower income from asset management, and Other income from banking business, which reflect a lower trading result and lower profits resulting from the sale of securities.

Net Interest Income as at 31 December 2022 amounted to **EUR 1,275 mln**, an increase of 28.6% compared to 2021. The growth was mainly driven by: the greater contribution of the commercial sector, which benefited mostly from higher interest income on loans generated by the rising in interest rates; lower interest expenses due to the lower cost of market funding, following the maturity of some securities; the higher contribution of the portfolio. The contribution deriving from transactions with central banks: the lower cost incurred for liquidity deposited with central banks (equal to EUR 26 mln as at 31 December 2022 and EUR 93 mln as at 31 December 2021) was indeed more than offset by the decline in the positive effects linked to accessing the TLTRO III auctions (amounting to EUR 131 mln at 31 December 2022 and EUR 279 mln in the same period of the previous financial year). In fact, it should be noted that until 23 June 2022 the rate applied to TLTRO III was -1%. Starting from the third quarter, the afore-mentioned positive effects began to reduce significantly following the first increases in official rates carried out by the European Central Bank with effects from 27 July (50 basis points), from 14 September (75 basis points), from 2 November (1.5%) and finally from 22 December (2.0%) and the amendments, terms and conditions applied to the TLTRO III⁶⁹. Likewise, it should be noted that, starting from 27 July 2022, the cost of excess liquidity has ceased and its overnight deposits are remunerated at the aforementioned rates.

Items	31 12 2022	31 12 2021	Chg. Y/Y	
			abs.	%
Loans to customers measured at amortised cost	1,281.6	1,055.8	225.8	21.4%
Loans to Banks measured at amortised cost	49.1	(21.0)	70.1	n.m.
Loans to Central banks	160.6	185.7	(25.1)	-13.5%
Government securities and other non-bank issuers at amortised cost	115.9	119.8	(3.9)	-3.3%
Securities issued	(309.2)	(337.1)	27.9	-8.3%
Hedging derivatives	(86.8)	(59.4)	(27.4)	46.1%
Trading portfolios	(0.9)	5.6	(6.5)	n.m.
Portfolios measured at fair value	4.2	3.6	0.6	16.7%
Financial assets measured at fair value through other comprehensive income	39.9	31.8	8.1	25.5%
Other financial assets and liabilities	20.8	7.1	13.7	n.m.
Net interest income	1,275.2	991.9	283.3	28.6%
<i>of which: interest income on impaired financial assets</i>	<i>45.3</i>	<i>39.8</i>	<i>5.5</i>	<i>13.8%</i>

Net fee and commission income, totalling **EUR 1,296 mln** as at 31 December 2022, declined compared to the same period of the previous year (-8.0%) due to high market volatility. This decrease is attributable to lower income from asset management (-15.3%) mainly due to lower commissions on product placement; revenue from continuing commissions, protection and securities servicing also declined. There was also a slight decrease in commissions from traditional banking services (-0.9%), due to the decrease in commissions on credit (-6.3%), while commissions on foreign services rose sharply (+23.8%); commissions from services remained stable.

⁶⁹ With reference to the applicable conditions, it should be noted that, from 24 June 2022, the rate applied and settled at maturity is the average rate on deposits with the Central Bank calculated between the settlement date and 22 November 2022. Finally, for the period between 23 November 2022 and the maturity date or any date of early repayment, the interest rate is equal to the average rate on deposits with the central bank calculated in the same period.



Services/Value	31 12 2022	31 12 2021	Change Y/Y	
			Abs.	%
Asset under management fees	564.7	667.0	(102.3)	-15.3%
Product placement	162.5	242.2	(79.7)	-32.9%
Continuing fees	332.3	342.9	(10.6)	-3.1%
Placement of securities	28.7	34.4	(5.7)	-16.6%
Sales of protection	41.2	47.5	(6.3)	-13.3%
Fee and commission from traditional activities	792.9	800.2	(7.3)	-0.9%
Credit fees	305.6	326.3	(20.6)	-6.3%
Fees from Foreign service	62.3	50.3	12.0	23.8%
Other services	425.0	423.6	1.4	0.3%
Other Net fee and commission income	(61.2)	(57.7)	(3.5)	6.2%
Net fee and commission income	1,296.4	1,409.5	(113.1)	-8.0%

Dividends, similar income and gains (losses) on investments amounted to **EUR 129 mln**, up EUR 81 mln compared to 31 December 2021, mainly due to the higher dividends received by AXA in the Bancassurance segment.

Net profit (loss) from trading, fair value measurement of assets/liabilities and gains on disposals/repurchases as at 31 December 2022 amounted to **EUR 68 mln**, a decrease of EUR 108 mln compared to the values recorded in the previous year, largely related to lower profits from transfer/repurchase of securities (approximately EUR 25 mln in 2022 compared to approximately EUR 138 mln in 2021). The analysis of the main aggregates shows the following:

- The Net profit (loss) from trading was essentially zero, compared to the positive value of EUR 21 mln recorded the previous year; the change was due to the decrease in the value of derivatives hedging fair value option bond liabilities.
- Net result of other assets/liabilities measured at fair value through profit or loss for EUR 44 mln, an increase compared to the EUR 17 mln recorded in the previous year thanks primarily to the major benefit generated on the bond liabilities which, as mentioned above, offsets the reduction in value recorded by the corresponding hedging derivatives and recognised under the item "Net profit (loss) from trading".
- **Net gains (losses) on disposals/repurchases** (excluding loans to customers at amortised cost) were positive for **EUR 25 mln**, down from the previous year (EUR 138 mln) due to lower income from the sale of securities held in banking book.



Items	31 12 2022	31 12 2021	Chg. Y/Y	
			Abs.	%
Financial assets held for trading	-	-	-	n.m.
Financial liabilities held for trading	-	-	-	n.m.
Exchange rate effects	17.4	13.2	4.2	31.8%
Derivatives	(17.8)	7.6	(25.4)	n.m.
Trading results	(0.4)	20.8	(21.2)	n.m.
Net profit (loss) from other financial assets and liabilities measured at fair value through profit or loss	43.5	16.9	26.6	n.m.
Disposal/repurchase (excluding loans to customers measured at amortised cost)	24.7	137.8	(113.1)	-82.1%
Net profit (loss) from trading, the fair value measurement of assets/liabilities and Net gains (losses) on disposals/repurchases	67.8	175.5	(107.7)	-61.4%

The following items are also included in Revenues:

- **Net profit (loss) from hedging was EUR +6 mln**, showed a decrease compared to 31 December 2021 (EUR +12 mln);
- **Other operating income (expenses) positive for EUR 53 mln**, an improvement compared to that recorded in 2021 (equal to EUR -20 mln) also due to the effects linked to the merger by incorporation of Consorzio Operativo Gruppo S.p.A.



Operating expenses

As at 31 December 2022, **Operating expenses** totalled **EUR 1,949 mln**, substantially stable compared with the previous year. A closer look at the individual aggregates reveals the following:

- **Administrative expenses** were **EUR 1,790 mln**, down by approximately EUR 78 mln from the previous year. A breakdown of the aggregate shows:
 - **Personnel expenses**, which amounted to **EUR 1,324 mln**, were up by 0.7% compared to 31 December 2021. The increase in personnel expenses is related to the effect of the merger by incorporation of Consorzio Operativo di Gruppo S.p.A., partly offset by the benefit deriving from the decline in the workforce, mainly linked to exits through the Early Retirement or access to the Sector Solidarity Fund pursuant to the agreement with the trade unions of 4 August 2022.
 - **Other administrative expenses**, which amounted to **EUR 466 mln**, decreased by 15.7% mainly due to the accounting effects resulting from the incorporation of Consorzio Operativo Gruppo S.p.A. This benefit was only partially offset by extraordinary legal expenses, inflation charges and tensions related to the cost of energy.
- **Net value adjustments to property, plant and equipment and intangible assets** as at 31 December 2022 amounted to **EUR 159 mln**, an increase compared to the previous year (equal to EUR 81 mln), mainly due to the effects of the incorporation of Consorzio Operativo Gruppo S.p.A.

Type of transaction	31 12 2022	31 12 2021	Chg Y/Y	
			abs.	%
Wages and salaries	(948.2)	(998.5)	50.3	-5.0%
Social-welfare charges	(262.6)	(271.9)	9.3	-3.4%
Other personnel expenses	(113.4)	(44.8)	(68.5)	n.m.
Personnel expenses	(1,324.2)	(1,315.2)	(8.9)	0.7%
Taxes	(192.3)	(200.5)	8.2	-4.1%
Furnishing, real estate and security expenses	(78.4)	(59.5)	(18.9)	31.8%
General operating expenses	(165.5)	(142.6)	(22.9)	16.1%
Information technology expenses	(113.3)	(15.9)	(97.4)	n.m.
Legal and professional expenses	(64.0)	(73.8)	9.8	-13.3%
Indirect personnel costs	(4.9)	(4.2)	(0.7)	16.7%
Insurance	(18.6)	(40.0)	21.4	-53.5%
Advertising, sponsorship and promotions	(1.0)	(1.8)	0.8	-44.4%
Other	(13.6)	(233.2)	219.5	-94.2%
Expenses recovery	185.6	218.5	(32.9)	-15.1%
Other administrative expenses	(466.0)	(553.0)	86.9	-15.7%
Property, plant and equipment	(97.9)	(81.5)	(16.5)	20.2%
Intangible assets	(61.1)	(0.0)	(61.1)	n.m.
Net value adjustments to property, plant and equipment and intangible assets	(159.0)	(81.5)	(77.6)	95.2%
Operating expenses	(1,949.2)	(1,949.7)	0.5	0.0%

As a result of these factors, the Bank's **Gross Operating Income** totalled **EUR 878 mln** (EUR 667 mln at 31 December 2021).

Cost of customer credit

At 31 December 2022, the Bank has recognised a **Cost of customer credit** equal to EUR -344 mln, a growth compared to EUR -228 mln of the previous year. The figure of 2022 includes adjustments connected to the transfer of non-performing loans during the financial year, the cost resulting from the use of sales scenarios in the estimation models, as well as the cost deriving from the update in the baseline macroeconomic scenario. On the other hand, the 2021 figure included a positive effect on adjustments deriving from the updating of macroeconomic scenarios as well as write-backs recorded on some significant positions, for which corporate events had occurred that had improved the risk profile.

As at 31 December 2022, the ratio between the Cost of customer credit and the sum of Loans to customers and the value of securities deriving from disposal/securitisation transactions of non-performing loans expresses a **Provisioning Rate** of **55 bps** (36 bps as at 31 December 2021).

Items	31 12 2022	31 12 2021	Chg. Y/Y	
			abs.	%
Loans to customers measured at amortised cost	(354.3)	(218.7)	(135.6)	62.0%
Modification gains/(losses)	3.3	(7.6)	10.9	n.m.
Gains/(losses) on disposal/repurchase of loans to customers measured at amortised cost	2.9	0.6	2.3	n.m.
Net change in Loans to customers mandatorily measured at fair value	6.4	(10.0)	16.4	n.m.
Net provisions for risks and charges on commitments and guarantees issued	(2.4)	7.7	(10.1)	n.m.
Value adjustments to Cost of customer credit	(344.1)	(228.0)	(116.1)	50.9%

The Bank's **Net Operating Income** as at 31 December 2022 is **positive by approximately EUR 535 mln**, compared to EUR +442 mln in the previous year.

Non-operating income, taxes and profit (loss) for the period

The **Net profit (loss) for the year** included the following items:

- **Other net provisions for risks and charges**, with net reversals of EUR 26 mln, showed an improvement over the EUR 106 mln provision posted in 2021. The releases of provisions recognised in 2022 are due, in particular, to (i) the improvement recorded in the risk profile of certain types of legal risks and (ii) the increase in the discounting effect, following the interest rate trend.
- **Gains (losses) on investments** amounted to around **EUR +1 mln**, against a loss of EUR 4 mln in 2021.
- **Restructuring costs/One-off costs**, amounted to **EUR -909 mln**, compared to EUR -6 mln the previous year. The figure of 2022 includes provisions made in the third quarter against the early retirement/solidarity fund scheme, pursuant to the Trade Union agreement of 4 August 2022.
- **Risks and charges associated with SRF, DGS and similar schemes**, with a balance of **EUR -155 mln** consisting of the Bank's contribution due to the Single Resolution Fund (SRF) of EUR 70 mln and the total amount recognised to FITD (DGS) of EUR 85 mln, as well as the effect of the write-off recognised in respect of the exposures to the FITD Voluntary Scheme (mainly for the Carige intervention) amounting to EUR -0.9 mln.
- **DTA fee**, amounting to **EUR -54 mln**. This amount, determined according to the criteria set forth in Italian Law Decree 59/2016, converted into Italian Law no. 119 of 30 June 2016, represents the fee as at 31 December 2021 on DTA (*Deferred Tax Assets*) that can be converted into a tax credit, after the shares recovered from the subsidiaries (EUR -63 mln and EUR 9 mln, respectively).
- **Net gains (losses) on property, plant and equipment and intangible assets measured at fair value for EUR -28 mln**. This item includes the write-down of properties used for business and investment in application of the criterion of revaluation and fair value, respectively. The balance posted in 2021 was EUR -37 mln.



- **Gains on disposal of investments**, essentially zero. At 31 December 2021, the aggregate was positive for EUR 11 mln following the sale of the properties.

As a result of the trends highlighted above, the Bank's **Loss for the year before taxes** amounted to **EUR 583 mln**, compared to the Profit before tax of EUR 100 mln posted in the previous financial year.

Taxes on income from current operations posted a positive contribution of **EUR 450 mln** (EUR +55 mln as at 31 December 2021), mainly attributable to the valuation of DTAs.

With reference to taxable income for future financial years, it should be noted that the valuation of the DTAs was determined on the basis of the new income projections contained in the 2022-2026 Business Plan, approved by the Board of Directors of MPS Bank on 22 June 2022.

Considering the net effects of the PPA (EUR -3 mln), **the loss for the year of Banca Monte dei Paschi di Siena amounted to EUR 136 mln**, compared to a profit of EUR 151 mln in 2021.



Reclassified balance sheet

The following table shows the reclassified balance sheet as at 31 December 2022 compared with the balances resulting from the financial statements as at 31 December 2021.

Reclassified Balance Sheet				
Assets	31 12 2022	31 12 2021	Chg	
			abs.	%
Cash and cash equivalents	12,593.5	3,020.5	9,573.0	n.m.
Loans to Central banks	539.7	20,454.8	(19,915.1)	-97.4%
Loans to banks	16,436.6	17,985.0	(1,548.4)	-8.6%
Loans to customers	62,348.8	63,442.4	(1,093.6)	-1.7%
Securities assets	14,186.3	15,187.1	(1,000.8)	-6.6%
Derivatives	1,593.7	616.4	977.3	n.m.
Equity investments	2,361.5	2,494.3	(132.8)	-5.3%
Property, plant and equipment/Intangible assets	2,439.1	2,378.2	60.9	2.6%
Tax assets	1,716.9	1,204.4	512.5	42.6%
Other assets	1,380.7	2,164.3	(783.6)	-36.2%
Total assets	115,596.8	128,947.4	(13,350.6)	-10.4%

Liabilities	31 12 2022	31 12 2021	Chg	
			abs.	%
Direct funding	76,736.8	81,041.5	(4,304.7)	-5.3%
a) Due to customers	68,087.1	70,758.9	(2,671.8)	-3.8%
b) Securities issued	8,649.7	10,282.6	(1,632.9)	-15.9%
Due to Central banks	19,176.9	29,092.8	(9,915.9)	-34.1%
Due to banks	7,032.9	7,624.3	(591.4)	-7.8%
Derivatives	882.8	1,775.6	(892.8)	-50.3%
Provisions for specific use	1,512.6	1,737.1	(224.5)	-12.9%
a) Provision for staff severance indemnities	66.2	153.8	(87.6)	-57.0%
b) Provision related to guarantees and other commitments given	140.0	141.2	(1.2)	-0.8%
c) Pension and other post-retirement benefit obligations	23.5	26.8	(3.3)	-12.3%
d) Other provisions	1,282.9	1,415.3	(132.4)	-9.4%
Other liabilities	3,162.6	2,649.5	513.1	19.4%
Net equity	7,092.2	5,026.6	2,065.6	41.1%
a) Valuation reserves	(4.2)	168.4	(172.6)	n.m.
d) Reserves	(221.4)	(4,487.8)	4,266.4	-95.1%
f) Share capital	7,453.5	9,195.0	(1,741.5)	-18.9%
h) Net profit (loss) for the year	(135.8)	151.0	(286.8)	n.m.
Total Liabilities and Shareholders' Equity	115,596.8	128,947.4	(13,350.6)	-10.4%



Customer funding

As at 31 December 2022, the Bank's **Total Funding** volumes amounted to around **EUR 163.6 bn**, down by EUR 15.8 bn compared to 31 December 2021, both on Direct funding (-EUR 4.3 bn) and Indirect funding (-EUR 11.5 bn).

Customer funding				
	31 12 2022	31 12 2021	Chg Y/Y	
			Abs.	%
Direct funding	76,736.8	81,041.5	(4,304.7)	-5.3%
Indirect funding	86,866.0	98,388.0	(11,522.0)	-11.7%
Total funding	163,602.8	179,429.5	(15,826.7)	-8.8%

More specifically, **Direct Funding** volumes were equal to **EUR 76.7 bn**, down by EUR 4.3 bn compared to the end of December 2021, with a decline in all technical forms. In particular, there was a decline in current accounts (EUR -0.7 bn) and term deposits (EUR -1.3 bn), also driven by the continuation of actions to optimise the cost of funding. There was also a decrease in other forms of funding (EUR -0.7 bn) and a reduction in the bond segment (EUR -1.6 bn), the latter mainly due to the maturities of a covered bond and an institutional bond.

Direct funding				
Type of transactions	31 12 2022	31 12 2021	Chg. Y/Y	
			Abs.	%
Current accounts	61,868.2	62,537.0	(668.8)	-1.1%
Time deposits	4,159.8	5,499.9	(1,340.1)	-24.4%
Bonds	8,649.7	10,282.6	(1,632.9)	-15.9%
Other types of direct funding	2,059.1	2,722.0	(662.9)	-24.4%
Total	76,736.8	81,041.5	(4,304.7)	-5.3%

Indirect funding amounted to EUR 86.9 bn at the end of December, down by EUR 11.5 bn compared to 31 December 2021, attributable to both Assets under management (EUR -6.7 bn) and Assets under custody (EUR -4.8 bn); both components were impacted by the negative market effect.

Indirect Funding				
	31 12 2022	31 12 2021	Change Y/Y	
			Abs.	%
Assets under management	52,814.7	59,555.0	(6,740.3)	-11.3%
<i>Funds</i>	22,441.2	26,155.0	(3,713.8)	-14.2%
<i>Individual Portfolio under Management</i>	4,842.7	5,318.0	(475.3)	-8.9%
<i>Bancassurance</i>	25,530.8	28,082.0	(2,551.2)	-9.1%
Assets under custody	34,051.3	38,833.0	(4,781.7)	-12.3%
<i>Government securities</i>	12,114.1	13,099.0	(984.9)	-7.5%
<i>Others</i>	21,937.2	25,734.0	(3,796.8)	-14.8%
Total funding	86,866.0	98,388.0	(11,522.0)	-11.7%



Loans to customers

As at 31 December 2022, **Loans to customers** of the Bank amounted to **EUR62.3 bn**, down compared to the end of December 2021 (EUR -1.1 bn), mainly due to the decline in mortgages (EUR -1.6 bn) and non-performing loans (EUR -0.3 bn). On the other hand, Other loans (EUR +0.7 bn) and current accounts (EUR +0.1 bn) were up.

Loans to customer				
Type of transactions	31/12/22	31/12/21	Chg. Y/Y	
			Abs.	%
Current accounts	2,837.8	2,720.3	117.5	4.3%
Mortgages	49,120.4	50,742.2	(1,621.8)	-3.2%
Other forms of lending	9,106.2	8,363.7	742.5	8.9%
Non performing loans	1,284.5	1,616.2	(331.7)	-20.5%
Total	62,348.9	63,442.4	(1,093.5)	-1.7%
<i>Stage 1</i>	<i>51,958.3</i>	<i>52,008.4</i>	<i>(50.1)</i>	<i>-0.1%</i>
<i>Stage 2</i>	<i>8,967.6</i>	<i>9,692.6</i>	<i>(725.0)</i>	<i>-7.5%</i>
<i>Stage 3</i>	<i>1,282.2</i>	<i>1,605.1</i>	<i>(322.9)</i>	<i>-20.1%</i>
<i>Purchased or originated credit impaired financial assets</i>	<i>1.8</i>	<i>10.3</i>	<i>(8.5)</i>	<i>-82.5%</i>
<i>Performing loans measured at fair value</i>	<i>136.8</i>	<i>115.0</i>	<i>21.8</i>	<i>19.0%</i>
<i>Non-performing loans measured at fair value</i>	<i>1.7</i>	<i>10.9</i>	<i>(9.2)</i>	<i>-84.4%</i>

Loans to customers measured at amortised cost		Stage 1	Stage 2	Stage 3	Purchased or originated credit impaired financial assets	Total
31 12 2022	Gross exposure	52,018.5	9,250.4	2,237.0	2.7	63,508.6
	Adjustments	60.2	282.8	954.8	0.9	1,298.7
	Net exposure	51,958.3	8,967.6	1,282.2	1.8	62,209.9
	Coverage ratio	0.1%	3.1%	42.7%	33.3%	2.0%
	% on Loans to customers measured at amortised cost	83.5%	14.4%	2.1%	0.0%	100.0%

Loans to customers measured at amortised cost		Stage 1	Stage 2	Stage 3	Purchased or originated credit impaired financial assets	Total
31 12 2021	Gross exposure	52,068.6	9,976.9	2,883.1	19.0	64,928.6
	Adjustments	60.2	284.3	1,278.0	8.7	1,622.5
	Net exposure	52,008.4	9,692.6	1,605.1	10.3	63,306.1
	Coverage ratio	0.1%	2.8%	44.3%	45.8%	2.5%
	% on Loans to customers measured at amortised cost	82.2%	15.3%	2.5%	0.0%	100.0%



Non-performing exposures of loans to customers

The Bank's **total non-performing loans to customers** as at 31 December 2022 amounted to **EUR 2.2 bn** in terms of gross exposure, down compared to 31 December 2021 (EUR 2.9 bn). In particular, the gross exposure in terms of Bad loans, amounting to EUR 0.8 bn, was down by EUR 0.3 bn compared to 31 December 2021. The gross exposure in terms of unlikely-to-pay loans was equal to EUR 1.4 bn, down by EUR 0.3 bn compared to 31 December 2021. Gross non-performing past due loans amounted to EUR 29 mln, down by EUR 1 mln compared to 31 December 2021.

As at 31 December 2022, the **Bank's net exposure in terms of non-performing loans to customers** totalled **EUR 1.3 bn**, down by EUR 0.3 bn compared to 31 December 2021.

The incidence of Net non-performing loans to customers on total Net loans to customers as at 31 December 2022 was 2.1%, (equal to 2.5% as at 31 December 2021). In particular, the percentage incidence of Bad loans (0.5%) and Unlikely-to-pay (amounting to 1.5%) were down from December 2021 (amounting to 0.7% and 1.8% respectively). On the other hand, the incidence of Non-performing past-due loans is substantially nil and stable compared to the previous year.

	Loans to customers	Bad loans	Unlikely to pay	Non-performing Past due Loans	Total Non-performing loans to customers	Performing loans	Total
31 12 2022	Gross exposure	770.0	1,449.4	29.1	2,248.5	61,415.4	63,663.9
	Adjustments	454.1	504.6	5.3	964.0	351.0	1,315.0
	Net exposure	315.9	944.8	23.8	1,284.5	61,064.4	62,348.9
	Coverage ratio	59.0%	34.8%	18.2%	42.9%	0.6%	2.1%
	% on Loans to customers	0.5%	1.5%	0.0%	2.1%	97.9%	100.0%
31 12 2021	Gross exposure	1,112.2	1,786.1	30.1	2,928.4	62,169.4	65,097.8
	Adjustments	672.2	631.6	7.0	1,310.8	344.6	1,655.4
	Net exposure	440.0	1,154.5	23.1	1,617.6	61,824.8	63,442.4
	Coverage ratio	60.4%	35.4%	23.3%	44.8%	0.6%	2.5%
	% on Loans to customers	0.7%	1.8%	0.0%	2.5%	97.5%	100.0%



Capital adequacy

Regulatory capital and statutory requirements

Categories / Values	31 12 2022	31 12 2021	Chg 31 12 2021	
			abs.	%
OWN FUNDS				
Common Equity Tier 1 (CET1)	6,953.1	5,286.4	1,666.7	31.53%
Tier 1 (T1)	6,953.1	5,286.4	1,666.7	31.53%
Tier 2 (T2)	1,750.9	1,726.1	24.7	1.43%
Total capital (TC)	8,704.0	7,012.5	1,691.4	24.12%
RISK-WEIGHTED ASSETS				
Credit and Counterparty Risk	27,328.0	27,378.3	(50.3)	-0.18%
Credit valuation adjustment risk	161.8	206.5	(44.7)	-21.65%
Market risks	54.7	71.6	(16.9)	-23.60%
Operational risk	9,147.4	9,856.9	(709.5)	-7.20%
Total risk-weighted assets	36,691.9	37,513.3	(821.4)	-2.19%
CAPITAL RATIOS				
CET1 capital ratio	18.95%	14.09%	4.86%	
Tier1 capital ratio	18.95%	14.09%	4.86%	
Total capital ratio	23.72%	18.69%	5.03%	



Prospects and outlook on operations

Please refer to the corresponding section of the Consolidated Report on Operations, the contents of which are also valid for the Bank.



Annexes

Reconciliation between the reclassified income statement and balance sheet and the related statutory accounts



Reconciliation between the reclassified income statement as at 31 December 2022 and related statutory accounts

Item	Income Statement accounts	31/12/22	Customer repayments	Economic effects from allocation of BAV acquisition costs to BMPS (PPA)	Reclassification of dividends on treasury stock transactions	Reclassification of the portion of profits from equity investments	Reclassification provision to BRRD and DGS-D funds	Recovery of stamp duty and customers' expenses	DTA Fee	Restructuring costs (Personnel expenses for early retirement)	Securitization, Recapitalization and Commitment Costs	Cost of credit	31/12/22	Reclassified Income Statement accounts
10	Interest income and similar revenues <i>of which interest income calculated applying the effective interest rate method</i>	1,923.7 1,719.5	0.4 0.4	3.1 3.1									1,275.2 1,927.2	Net interest income
20	Interest expense and similar charges	(652.0)											(652.0)	
40	Fee and commission income	1,429.2	6.1										1,296.3	Net fee and commission income
50	Fee and commission expense	(139.0)	6.1										(139.0)	
70	Dividends and similar income	128.7											128.7	Dividends, similar income and gains (losses) on equity investments
80	Net profit (loss) from trading	(0.4)					0.9					(9.4)	67.8	Net profit (loss) from trading, from financial assets/liabilities measured at fair value and Net profit (loss) on disposals/repurchases
100	Gains/(losses) on disposal/repurchase of:	27.6										(2.9)	24.7	
	a) financial assets measured at amortised cost	26.4										(2.9)	23.5	
	b) Financial assets measured at fair value through other comprehensive income	1.2											1.2	
	c) financial liabilities	-											-	
110	Net profit (loss) from other financial assets and liabilities measured at fair value through profit or loss	49.1					0.9					(6.4)	43.5	
	a) financial assets and liabilities designated at fair value	33.9											33.9	
	b) other financial assets mandatorily measured at fair value	15.2					0.9					(6.4)	9.6	
90	Net profit (loss) from hedging	6.4											6.4	Net profit (loss) from hedging
200	Other operating expenses/income	258.8						(196.5)	(9.1)				53.2	Other operating income (expenses)
160	Administrative expenses:	(3,101.8)					154.2	185.6	62.9	905.7	3.1		(1,790.2)	Administrative expenses
	a) personnel expenses	(2,229.9)								905.7			(1,324.2)	a) personnel expenses
	b) other administrative expenses	(871.9)					154.2	185.6	62.9		3.1		(466.0)	b) other administrative expenses
180	Net adjustments to/recoveries on property, plant and equipment	(108.8)		0.9				10.9					(159.0)	Net value adjustments to property, plant and equipment and intangible assets
190	Net adjustments to/recoveries on intangible assets	(62.0)		0.9				10.9					(97.9)	
130	Net impairment (losses)/reversals on	(353.0)										5.7	(344.0)	Cost of customers credit
	a) financial assets measured at amortised cost	(352.9)										(1.4)	(354.5)	130a) financial assets measured at amortised cost - customers
	b) financial assets measured at fair value through other comprehensive income	(0.1)										0.1	(0.0)	
												2.9	2.9	100a) Loans to customers measured at amortised cost
												6.4	6.4	110b) Loans
140	Modification gains/(losses)	3.3										(2.4)	(2.4)	170a) Net provision for risks and charges related to financial guarantees issued and other commitments
												1.3	1.3	140 Modification gains (losses)
170	Net provision for risks and charges:	30.1	(6.5)									2.4	26.0	Net impairment (losses)/reversals on securities and loans to banks
	a) commitments and guarantees issued	(2.4)										2.4	-	Net provisions for risks and charges
	b) other net provisions	32.5	(6.5)										26.0	
220	Gains (losses) on investments	0.8											0.8	Gains (losses) on investments
							(155.1)			(905.7)	(3.1)		(908.9)	Restructuring costs /One-off costs
									(53.8)				(155.1)	Risks and charges related to the SRF, DGS and similar schemes
													(53.8)	DTA Fee
230	Net gain (losses) on property, plant and equipment and intangible assets measured at fair value	(28.1)											(28.1)	Net gain (losses) on property, plant and equipment and intangible assets measured at fair value
250	Gains (losses) on disposal of investments	0.3											0.3	Gains (losses) on disposal of investments
260	Profit (loss) before tax from continuing operations	(587.1)		4.0				0.0				(0.0)	(583.1)	Profit (loss) for the year before tax
270	Tax (expense)/recovery on income from continuing operations	451.3		(1.3)									450.0	Tax (expense)/recovery on income from continuing operations
280	Profit (loss) after tax from continuing operations	(135.8)		2.7				0.0				(0.0)	(133.1)	Profit (loss) after tax
290	Profit (loss) after tax from groups of assets held for sale and discontinued operations	-											-	
300	Profit (loss) for the year	(135.8)		2.7				0.0				(0.0)	(133.1)	Profit (loss) for the year before PPA
				(2.7)				-				-	(2.7)	PPA (Purchase Price Allocation)
300	Profit (loss) for the year	(135.8)	-	-	-	-	-	0.0	-	-	-	(0.0)	(135.8)	Net profit (loss) for the year



Reconciliation between the reclassified income statement as at 31 December 2021 and related statutory accounts

Income Statement accounts	31/12/21	Customer repayments	Economic effects from allocation of BAV acquisition costs to BMRs (PPA)	Redclassification of dividends on treasury stock transactions	Redclassification of the portion of profits from equity investments	Redclassification provision to BRRD and DGSD funds	Recovery of stamp duty and customers' expenses	DTA Fee	Restructuring costs (Personnel expenses for early retirement)	Restructuring costs (Closure of Branches)	Securitization, Recapitalization and Commitment Costs	Cost of credit	31/12/21	Reclassified Income Statement accounts
10 Interest income and similar revenues of which interest income calculated applying the effective interest rate method	1,696.8	-	4.4	-	-	-	-	-	-	-	-	-	991.9	Net interest income
20 Interest expense and similar charges	1,470.9	-	-	-	-	-	-	-	-	-	-	-	1,701.2	
40 Fee and commission income	(709.3)	-	-	-	-	-	-	-	-	-	-	-	-	
50 Fee and commission expense	(709.3)	-	-	-	-	-	-	-	-	-	-	-	(709.3)	
70 Dividends and similar income	1,530.9	-	-	-	-	-	-	-	-	-	(0.1)	-	1,499.5	Net fee and commission income
	(121.3)	-	-	-	-	-	-	-	-	-	(0.1)	-	1,530.9	
	47.8	-	-	-	-	-	-	-	-	-	-	-	(121.4)	
		-	-	-	-	-	-	-	-	-	-	-	47.8	Dividends, similar income and gains (losses) on equity investments
80 Net profit (loss) from trading	20.8	-	-	-	-	2.5	-	-	-	-	-	35.5	175.6	Net profit (loss) from trading, from financial assets/liabilities measured at fair value and Net profit (loss) on disposals/repurchases
100 Gains/(losses) on disposal/repurchase of:	138.4	-	-	-	-	-	-	-	-	-	-	(0.6)	20.8	
a) financial assets measured at amortised cost	126.9	-	-	-	-	-	-	-	-	-	-	(0.6)	137.8	
b) Financial assets measured at fair value through other comprehensive income	6.2	-	-	-	-	-	-	-	-	-	-	-	126.3	
c) financial liabilities	5.3	-	-	-	-	-	-	-	-	-	-	-	6.2	
110 Net profit (loss) from other financial assets and liabilities measured at fair value through profit or loss	(21.6)	-	-	-	-	2.5	-	-	-	-	-	36.1	5.3	
a) financial assets and liabilities measured at fair value	7.2	-	-	-	-	-	-	-	-	-	-	-	17.0	
b) other financial assets mandatorily measured at fair value	(28.8)	-	-	-	-	2.5	-	-	-	-	-	36.1	7.2	
90 Net profit (loss) from hedging	12.2	-	-	-	-	-	-	-	-	-	-	-	9.8	
200 Other operating expenses/income	229.4	-	-	-	-	-	(238.7)	(9.1)	-	(1.9)	-	-	12.2	Net profit (loss) from hedging
160 Administrative expenses:	(2,300.5)	-	-	-	-	143.9	218.5	63.2	2.9	0.7	3.1	-	(20.3)	Other operating income (expenses)
a) personnel expenses	(1,318.1)	-	-	-	-	-	-	-	2.9	-	-	-	(1,868.2)	Administrative expenses
b) other administrative expenses	(982.4)	-	-	-	-	143.9	218.5	63.2	-	0.7	3.1	-	(1,315.2)	a) personnel expenses
		-	0.9	-	-	-	20.2	-	-	0.7	-	-	(81.5)	b) other administrative expenses
180 Net adjustments to/recoveries on property, plant and equipment	(102.4)	-	-	-	-	-	20.2	-	-	0.7	-	-	(81.5)	Net value adjustments to property, plant and equipment and intangible assets
190 Net adjustments to/recoveries on intangible assets	(0.9)	-	0.9	-	-	-	-	-	-	-	-	-	(0.0)	
130 Net impairment (losses)/reversals on:	(189.9)	-	-	-	-	-	-	-	-	-	-	(30.5)	(228.0)	Cost of customers credit
a) financial assets measured at amortised cost	(192.8)	-	-	-	-	-	-	-	-	-	-	0.2	(192.6)	130a) financial assets measured at amortised cost - customers
b) financial assets measured at fair value through other comprehensive income	2.9	-	-	-	-	-	-	-	-	-	-	(2.9)	(0.0)	100a) Loans to customers measured at amortised cost
		-	-	-	-	-	-	-	-	-	-	0.6	0.6	110b) Loans
		-	-	-	-	-	-	-	-	-	-	(36.1)	(36.1)	170a) Net provision for risks and charges related to financial guarantees issued and other commitments
		-	-	-	-	-	-	-	-	-	-	7.7	7.7	
140 Modification gains/(losses)	(7.6)	-	-	-	-	-	-	-	-	-	-	-	(7.6)	140 Modification gains (losses)
		-	-	-	-	-	-	-	-	-	-	2.7	2.7	Net impairment (losses)/reversals on securities and loans to banks
170 Net provision for risks and charges:	(98.1)	-	-	-	-	-	-	-	-	-	-	(7.7)	(105.8)	Net provisions for risks and charges
a) commitments and guarantees issued	7.7	-	-	-	-	-	-	-	-	-	-	(7.7)	(105.8)	
b) other net provisions	(105.8)	-	-	-	-	-	-	-	-	-	-	-	(105.8)	
220 Gains (losses) on investments	(3.8)	-	-	-	-	-	-	-	(2.9)	(0.1)	(3.0)	-	(3.8)	Gains (losses) on investments
		-	-	-	-	(146.4)	-	-	-	-	-	-	(6.0)	Restructuring costs /One-off costs
		-	-	-	-	-	-	(54.2)	-	-	-	-	(146.4)	Risks and charges related to the SRF, DGS and similar schemes
		-	-	-	-	-	-	-	-	-	-	-	(54.2)	DTA Fee
230 Net gain (losses) on property, plant and equipment and intangible assets measured at fair value	(37.5)	-	-	-	-	-	-	-	-	0.6	-	-	(36.9)	Net gain (losses) on property, plant and equipment and intangible assets measured at fair value
250 Gains (losses) on disposal of investments	11.1	-	-	-	-	-	-	-	-	-	-	-	11.1	Gains (losses) on disposal of investments
260 Profit (loss) before tax from continuing operations	94.5	-	5.3	-	-	-	-	-	-	-	-	(0.0)	99.8	Profit (loss) for the period before tax
270 Tax (expense)/recovery on income from continuing operations	56.5	-	(1.7)	-	-	-	-	-	-	-	-	-	54.8	Tax (expense)/recovery on income from continuing operations
280 Profit (loss) after tax from continuing operations	151.0	-	3.5	-	-	-	-	-	-	-	-	(0.0)	154.6	Profit (loss) after tax
290 Profit (loss) after tax from groups of assets held for sale and discontinued operations	-	-	-	-	-	-	-	-	-	-	-	-	-	
300 Profit (loss) for the year	151.0	-	3.5	-	-	-	-	-	-	-	-	(0.0)	154.6	Profit (loss) for the year before PPA
	-	-	(3.5)	-	-	-	-	-	-	-	-	-	(3.5)	PPA (Purchase Price Allocation)
300 Profit (loss) for the year	151.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	151.0	Net profit (loss) for the year



Reconciliation between the reclassified balance sheet and related statutory accounts as at 31 December 2022

Balance-sheet Items - Assets	31 12 2022	Loans to customers	Trading derivatives	Securities	Loans to Banks @ AC - Loans to Central Banks	Non-current assets held for sale and disposal groups	Non-current assets held for sale and disposal groups - Others	Change in value of macro-hedged financial assets	31 12 2022	Reclassified Balance-sheet Items - Assets
10 Cash and cash equivalents	12,593.5	-	-	-	-	-	-	-	12,593.5	Cash and cash equivalents
20 Financial assets measured at fair value through profit or loss	968.0	-	-	-	-	-	-	-	14,186.2	Securities assets
a) financial assets held for trading	597.6	-	(597.6)	13,954.2	-	-	-	-	13,954.2	
b) financial assets designated at fair value	-	-	-	-	-	-	-	-	-	
c) other financial assets mandatorily measured at fair value	370.4	(138.5)	-	-	-	-	-	-	231.9	
30 Financial assets measured at fair value through other comprehensive income	4,133.4	-	-	(4,133.4)	-	-	-	-		
40 Financial assets measured at amortised cost:	89,007.5	-	-	-	-	-	-	-		
a) Loans to banks	18,081.0	-	-	(1,104.8)	539.7	0.1	-	-	539.7	Loans to Central banks
b) Loans to customers	70,926.5	138.4	-	(8,716.0)	(539.7)	(0.1)	-	-	16,436.6	Loans to banks
									62,348.8	Loans to customers
50 Hedging derivatives	996.1	-	597.6	-	-	-	-	-	1,593.7	Derivatives
60 Change in value of macro-hedged financial assets (+/-)	(820.8)	-	-	-	-	-	-	820.8	-	
70 Equity investments	2,361.5	-	-	-	-	-	-	-	2,361.5	Equity investments
80 Property, plant and equipment	2,234.0	-	-	-	-	65.5	-	-	2,299.5	Property, plant and equipment
90 Intangible assets	139.6	-	-	-	-	-	-	-	139.6	Intangible assets
- of which goodwill	-	-	-	-	-	-	-	-	-	- of which goodwill
100 Tax assets	1,716.9	-	-	-	-	-	-	-	1,716.9	Tax assets
a) current	442.7	-	-	-	-	-	-	-	442.7	a) current
b) deferred	1,274.2	-	-	-	-	-	-	-	1,274.2	b) deferred
110 Non-current assets held for sale and disposal groups	65.5	-	-	-	-	-	-	-	1,380.9	Other assets
		0.1	-	-	-	(65.5)	-	-	0.1	Non-current assets held for sale and disposal groups
120 Other assets	2,201.6	-	-	-	-	-	-	(820.8)	1,380.8	Other assets
Total Assets	115,596.8	-	-	0.0	-	-	-	-	115,596.8	Total Assets



Balance-sheet Items - Liabilities		31 12 2022	Due to central banks	Due to banks	Debt securities issued - customers	Trading derivatives	Financial liabilities designated at fair value	Provision for staff severance indemnities	Change in value of macro-hedged financial liabilities (+/-)	Net Equity	31 12 2022	Reclassified balance-sheet items - Liabilities
10	Financial liabilities measured at amortised cost	102,822.3	-	-	-	-	-	-	-	-	76,736.8	Direct funding
	a) due to banks	26,209.8	(19,176.9)	(7,032.9)	-	-	-	-	-	-	-	-
	b) due to customers	68,079.9	-	-	7.2	-	-	-	-	-	68,087.1	a) due to customers
	c) debts securities issued	8,532.6	-	-	(7.2)	-	124.3	-	-	-	8,649.7	b) Securities issued
		-	19,176.9	-	-	-	-	-	-	-	19,176.9	Due to Central banks
		-	-	7,032.9	-	-	-	-	-	-	7,032.9	Due to banks
20	Financial liabilities held for trading	581.3	-	-	-	(581.3)	-	-	-	-	-	On-balance-sheet financial liabilities held for trading
30	Financial liabilities designated at fair value	124.3	-	-	-	-	(124.3)	-	-	-	-	
40	Hedging derivatives	301.5	-	-	-	-	-	-	-	-	882.8	Derivatives
		-	-	-	-	581.3	-	-	-	-	301.5	Hedging derivatives
		-	-	-	-	-	-	-	-	-	581.3	Trading derivatives
50	Change in value of macro-hedged financial liabilities (+/-)	(77.4)	-	-	-	-	-	-	77.4	-	-	
60	Tax liabilities	-	-	-	-	-	-	-	-	-	-	Tax liabilities
	a) current	-	-	-	-	-	-	-	-	-	-	a) current
	b) deferred	-	-	-	-	-	-	-	-	-	-	b) deferred
70	Liabilities associated with non-current assets held for sale and disposal groups	-	-	-	-	-	-	-	-	-	-	
		-	-	-	-	-	-	-	-	-	3,162.7	Other liabilities
		-	-	-	-	-	-	-	(77.4)	-	(77.4)	Change in value of macro-hedged financial liabilities (+/-)
		-	-	-	-	-	-	-	-	-	-	Liabilities associated with non-current assets held for sale and disposal group
80	Other liabilities	3,240.1	-	-	-	-	-	-	-	-	3,240.1	Other liabilities
90	Provisions for employees severance pay	66.2	-	-	-	-	-	(66.2)	-	-	-	
100	Provisions for risks and charges:	1,446.4	-	-	-	-	-	-	-	-	1,512.6	Provisions for specific use
		-	-	-	-	-	-	66.2	-	-	66.2	a) Provision for staff severance indemnities
	a) financial guarantees and other commitments	140.0	-	-	-	-	-	-	-	-	140.0	b) Provision related to guarantees and other commitments issued
	b) post-employment benefits	23.5	-	-	-	-	-	-	-	-	23.5	c) Pension and other post-retirement benefit obligations
	c) other provisions	1,282.9	-	-	-	-	-	-	-	-	1,282.9	d) Other provisions
110	Valuation reserves	(4.2)	-	-	-	-	-	-	-	4.2	-	
140	Reserves	(221.4)	-	-	-	-	-	-	-	221.4	-	
		-	-	-	-	-	-	-	-	-	7,092.1	Net equity
		-	-	-	-	-	-	-	-	(4.2)	(4.2)	a) Valuation reserves
		-	-	-	-	-	-	-	-	-	-	b) Redeemable shares
		-	-	-	-	-	-	-	-	-	-	c) Equity Instruments
		-	-	-	-	-	-	-	-	(221.4)	(221.4)	d) Reserves
		-	-	-	-	-	-	-	-	-	-	e) Share premium reserve
160	Share capital	7,453.5	-	-	-	-	-	-	-	-	7,453.5	f) Share capital
		-	-	-	-	-	-	-	-	-	-	g) Treasury shares (-)
		-	-	-	-	-	-	-	-	(135.8)	(135.8)	h) Net profit (loss) for the year
170	Treasury shares (-)	-	-	-	-	-	-	-	-	-	-	
180	Profit (loss) for the year (+/-)	(135.8)	-	-	-	-	-	-	-	135.8	-	
Total Liabilities and Shareholders' Equity		115,596.8	-	-	-	-	-	-	-	-	115,596.8	Total Liabilities and Shareholders' Equity



Reconciliation between the reclassified balance sheet and related statutory accounts as at 31 December 2021

Balance-sheet Items - Assets	31 12 2021	Loans to customers	Trading derivatives	Securities	Loans to Banks @ AC - Loans to Central Banks	Non-current assets held for sale and disposal groups - Property, plant and equipments	Non-current assets held for sale and disposal groups - Others	Change in value of macro-hedged financial assets	31 12 2021	Reclassified Balance-sheet Items - Assets
10 Cash and cash equivalents	3,020.5	-	-	-	-	-	-	-	3,020.5	Cash and cash equivalents
20 Financial assets measured at fair value through profit or loss	980.7	-	-	-	-	-	-	-	15,187.1	Securities assets
-	-	-	-	14,943.8	-	-	-	-	14,943.8	
a) financial assets held for trading	611.8	-	(611.6)	-	-	-	-	-	0.2	
b) financial assets designated at fair value	-	-	-	-	-	-	-	-	-	
c) other financial assets mandatorily measured at fair value	368.9	(125.9)	-	-	-	-	-	-	243.0	
30 Financial assets measured at fair value through other comprehensive income	5,313.0	-	-	(5,313.0)	-	-	-	-	-	
40 Financial assets measured at amortised cost:	111,382.9	-	-	-	-	-	-	-	-	
-	-	-	-	-	20,454.8	-	-	-	20,454.8	Loans to Central banks
a) Loans to banks	39,656.7	-	-	(1,216.9)	(20,454.8)	-	-	-	17,985.0	Loans to banks
b) Loans to customers	71,726.2	130.0	-	(8,413.8)	-	-	-	-	63,442.4	Loans to customers
50 Hedging derivatives	4.8	-	611.6	-	-	-	-	-	616.4	Derivatives
60 Change in value of macro-hedged financial assets (+/-)	577.4	-	-	-	-	-	-	(577.4)	-	
70 Equity investments	2,494.3	-	-	-	-	-	-	-	2,494.3	Equity investments
80 Property, plant and equipment	2,308.9	-	-	-	-	68.0	-	-	2,376.9	Property, plant and equipment
90 Intangible assets - of which goodwill	1.3 -	- -	- -	- -	- -	- -	- -	- -	1.3 -	Intangible assets - of which goodwill
100 Tax assets	1,204.4	-	-	-	-	-	-	-	1,204.4	Tax assets
a) current	418.0	-	-	-	-	-	-	-	418.0	a) current
b) deferred	786.4	-	-	-	-	-	-	-	786.4	b) deferred
-	-	-	-	-	-	-	-	-	2,164.3	Other assets
110 Non-current assets held for sale and disposal groups	72.3	(4.1)	-	(0.1)	-	(68.0)	(0.1)	-	-	Non-current assets held for sale and disposal groups
120 Other assets	1,586.8	-	-	-	-	-	0.1	577.4	2,164.3	Other assets
Total Assets	128,947.4	-	-	0.0	-	-	-	-	128,947.4	Total Assets



Balance-sheet Items - Liabilities	31 12 2021	Due to central banks	Due to banks	Debt securities issued - customers	Trading derivatives	Financial liabilities designated at fair value	Provision for staff severance indemnities	Change in value of macro-hedged financial liabilities (+/-)	Net Equity	31 12 2021	Reclassified balance-sheet items - Liabilities
10 Financial liabilities measured at amortised cost	117,613.2	-	-	-	-	-	-	-	-	81,041.5	Direct funding
a) due to banks	36,717.1	(29,092.8)	(7,624.3)	-	-	-	-	-	-	-	-
b) due to customers	70,378.2	-	-	380.7	-	-	-	-	-	70,758.9	a) due to customers
c) debts securities issued	10,517.9	-	-	(380.7)	-	145.3	-	-	-	10,282.6	b) Securities issued
	-	29,092.8	-	-	-	-	-	-	-	29,092.8	Due to Central banks
	-	-	7,624.3	-	-	-	-	-	-	7,624.3	Due to banks
20 Financial liabilities held for trading	517.0	-	-	-	(517.0)	-	-	-	-	-	On-balance-sheet financial liabilities held for trading
30 Financial liabilities designated at fair value	145.3	-	-	-	-	(145.3)	-	-	-	-	
40 Hedging derivatives	1,258.6	-	-	-	-	-	-	-	-	1,775.6	Derivatives
	-	-	-	-	517.0	-	-	-	-	1,258.6	Hedging derivatives
	-	-	-	-	-	-	-	-	-	517.0	Trading derivatives
50 Change in value of macro-hedged financial liabilities (+/-)	15.9	-	-	-	-	-	-	(15.9)	-	-	
60 Tax liabilities	-	-	-	-	-	-	-	-	-	-	Tax liabilities
a) current	-	-	-	-	-	-	-	-	-	-	a) current
b) deferred	-	-	-	-	-	-	-	-	-	-	b) deferred
70 Liabilities associated with non-current assets held for sale and disposal groups	-	-	-	-	-	-	-	-	-	-	
	-	-	-	-	-	-	-	-	-	2,649.6	Other liabilities
	-	-	-	-	-	-	-	15.9	-	15.9	Change in value of macro-hedged financial liabilities (+/-)
	-	-	-	-	-	-	-	-	-	-	Liabilities associated with non-current assets held for sale and disposal group
80 Other liabilities	2,633.7	-	-	-	-	-	-	-	-	2,633.7	Other liabilities
90 Provisions for employees severance pay	153.8	-	-	-	-	-	(153.8)	-	-	-	
100 Provisions for risks and charges:	1,583.3	-	-	-	-	-	-	-	-	1,737.1	Provisions for specific use
	-	-	-	-	-	-	153.8	-	-	153.8	a) Provision for staff severance indemnities
a) financial guarantees and other commitments	141.2	-	-	-	-	-	-	-	-	141.2	b) Provision related to guarantees and other commitments issued
b) post-employment benefits	26.8	-	-	-	-	-	-	-	-	26.8	c) Pension and other post-retirement benefit obligations
c) other provisions	1,415.3	-	-	-	-	-	-	-	-	1,415.3	d) Other provisions
110 Valuation reserves	168.4	-	-	-	-	-	-	-	(168.4)	-	
140 Reserves	(4,487.8)	-	-	-	-	-	-	-	4,487.8	-	
	-	-	-	-	-	-	-	-	-	5,026.6	Net equity
	-	-	-	-	-	-	-	-	168.4	168.4	a) Valuation reserves
	-	-	-	-	-	-	-	-	-	-	b) Redeemable shares
	-	-	-	-	-	-	-	-	-	-	c) Equity Instruments
	-	-	-	-	-	-	-	(4,487.8)	(4,487.8)	(4,487.8)	d) Reserves
	-	-	-	-	-	-	-	-	-	-	e) Share premium reserve
160 Share capital	9,195.0	-	-	-	-	-	-	-	-	9,195.0	f) Share capital
	-	-	-	-	-	-	-	-	-	-	g) Treasury shares (-)
	-	-	-	-	-	-	-	-	151.0	151.0	h) Net profit (loss) for the year
170 Treasury shares (-)	-	-	-	-	-	-	-	-	-	-	
180 Profit (loss) for the year (+/-)	151.0	-	-	-	-	-	-	-	(151.0)	-	
Total Liabilities and Shareholders' Equity	128,947.4	-	-	-	-	-	-	-	-	128,947.4	Total Liabilities and Shareholders' Equity



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Balance Sheet

		(euro units)	
Assets		31 12 2022	31 12 2021
10.	Cash and cash equivalents	12,593,494,084	3,020,461,265
20.	Financial assets measured at fair value through profit or loss	968,035,139	980,752,195
	a) financial assets held for trading	597,640,598	611,809,865
	c) other financial assets mandatorily measured at fair value	370,394,541	368,942,330
30.	Financial assets measured at fair value through other comprehensive income	4,133,358,892	5,312,987,811
40.	Financial assets measured at amortised cost	89,007,548,907	111,382,878,496
	a) Loans to banks	18,081,015,784	39,656,674,108
	b) Loans to customers	70,926,533,123	71,726,204,388
50.	Hedging derivatives	996,144,071	4,821,999
60.	Change in value macro-hedged financial assets (+/-)	(820,758,339)	577,405,326
70.	Equity investments	2,361,518,061	2,494,336,453
80.	Property, plant and equipment	2,234,042,362	2,308,896,452
90.	Intangible assets	139,623,361	1,334,953
100.	Tax assets	1,716,898,167	1,204,416,406
	a) current	442,712,587	418,012,265
	b) deferred	1,274,185,580	786,404,140
110.	Non-current assets held for sale and disposal groups	65,497,194	72,291,890
120.	Other assets	2,201,400,347	1,586,812,420
Total assets		115,596,802,246	128,947,395,666

*below:* Balance Sheet

(euro units)			
Total Liabilities and Shareholders' Equity		31 12 2022	31 12 2021
10.	Financial liabilities measured at amortised cost	102,822,301,122	117,613,228,016
	a) due to banks	26,209,847,021	36,717,073,472
	b) due to customers	68,079,875,831	70,378,165,795
	c) debts securities issued	8,532,578,271	10,517,988,749
20.	Financial liabilities held for trading	581,275,752	516,980,622
30.	Financial liabilities designated at fair value	124,289,114	145,333,293
40.	Hedging derivatives	301,490,822	1,258,598,544
50.	Change in value of macro-hedged financial liabilities (+/-)	(77,362,561)	15,874,620
60.	Tax liabilities	5,209	4,862
	a) current	5,209	4,862
80.	Other liabilities	3,240,022,668	2,633,713,999
90.	Provision for employees severance pay	66,237,679	153,827,465
100.	Provisions for risks and charges:	1,446,429,299	1,583,221,870
	a) financial guarantees and other commitments	139,989,357	141,153,805
	b) post-employment benefits	23,515,575	26,792,789
	c) other provisions	1,282,924,367	1,415,275,277
110.	Valuation reserves	(4,150,149)	168,395,984
140.	Reserves	(221,405,587)	(4,487,801,125)
160.	Share capital	7,453,450,788	9,195,012,197
180.	Profit (loss) (+/-)	(135,781,910)	151,005,319
Total Liabilities and Shareholders' Equity		115,596,802,246	128,947,395,666



Income statement

(euro units)			
Items	31 12 2022	31 12 2021	
10. Interest income and similar revenues	1,923,743,157	1,696,840,907	
<i>of which interest income calculated applying the effective interest rate method</i>	<i>1,719,532,142</i>	<i>1,470,866,704</i>	
20. Interest expense and similar charges	(651,970,462)	(709,330,110)	
30. Net interest income	1,271,772,695	987,510,797	
40. Fee and commission income	1,429,249,350	1,530,875,891	
50. Fee and commission expense	(138,992,134)	(121,260,917)	
60. Net fee and commission income	1,290,257,216	1,409,614,974	
70. Dividends and similar income	128,697,784	47,847,587	
80. Net profit (loss) from trading	(429,457)	20,845,085	
90. Net profit (loss) from hedging	6,418,829	12,243,119	
100. Gains/(losses) on disposal/repurchase of:	27,627,249	138,382,232	
a) financial assets measured at amortised cost	26,381,598	126,875,110	
b) financial assets measured at fair value through other comprehensive income	1,233,427	6,206,727	
c) financial liabilities	12,224	5,300,395	
110. Net profit (loss) from financial assets and liabilities measured at fair value through other comprehensive income	49,080,691	(21,677,364)	
a) financial assets and liabilities measured at fair value	33,932,057	7,163,484	
b) other financial assets mandatorily at fair value through profit or loss	15,148,634	(28,840,848)	
120. Net interest and other banking income	2,773,425,007	2,594,766,430	
130. Net impairment (losses)/reversals for credit risk on:	(353,019,898)	(189,859,677)	
a) financial assets measured at amortised cost	(352,931,132)	(192,780,394)	
b) financial assets measured at fair value through other comprehensive income	(88,766)	2,920,717	
140. Modification gains/(losses)	3,286,430	(7,620,284)	
150. Net income from banking activities	2,423,691,539	2,397,286,469	
160. Administrative expenses:	(3,101,737,317)	(2,300,439,629)	
a) personnel expenses	(2,229,869,631)	(1,318,088,871)	
b) other administrative expenses	(871,867,686)	(982,350,758)	
170. Net provision for risks and charges:	30,151,784	(98,148,964)	
a) commitments and guarantees issued	(2,386,258)	7,655,538	
b) other net provisions	32,538,042	(105,804,502)	
180. Net adjustments to/recoveries on property, plant and equipment	(108,783,006)	(102,394,956)	
190. Net adjustments to/recoveries on intangible assets	(62,020,312)	(947,470)	
200. Other operating expenses/income	258,570,300	229,391,810	
210. Operating expenses	(2,983,818,551)	(2,272,539,209)	
220. Gains (losses) on investments	802,550	(3,806,989)	
230. Valuation differences on property, equipment and intangible assets measured at fair value	(28,107,648)	(37,491,546)	
250. Gains (losses) on disposal of investments	331,518	11,093,472	
260. Profit (loss) before tax from continuing operations	(587,100,592)	94,542,197	
270. Tax (expense)/recovery on income from continuing operations	451,318,682	56,463,122	
280. Profit (loss) after tax from continuing operations	(135,781,910)	151,005,319	
300. Profit (loss)	(135,781,910)	151,005,319	



Statement of comprehensive income

		(euro units)	
Items	31 12 2022	31 12 2021	
10. Profit (loss) for the year	(135,781,910)	151,005,319	
Other comprehensive income after tax not recycled to profit or loss	(15,178,138)	151,653,671	
20. Equity instruments measured at fair value through other comprehensive income	2,310,501	3,560,269	
30. Financial liabilities designated at fair value through profit or loss (change in the entity's own credit risk)	(5,044,628)	(9,949,747)	
50. Property, plant and equipment	(22,056,284)	156,635,314	
70. Defined benefit plans	9,606,306	1,407,835	
80. Non-current assets and groups of assets held for sale and discontinued operations	5,967	-	
Other comprehensive income after tax recycled to profit or loss	(157,367,995)	(34,365,389)	
110. Exchange differences	688,205	2,091,894	
120. Cash flow hedges	(5,960,118)	(8,465,630)	
140. Fair value changes of debt instruments measured at fair value through other comprehensive income	(152,096,082)	(27,991,653)	
170. Total other comprehensive income after tax	(172,546,133)	117,288,282	
180. Total comprehensive income (Item 10+170)	(308,328,043)	268,293,601	



Statement of changes in equity – 2022

	Balance as at 31 12 2021	Change in opening balance	Balance as at 01 01 2022	Allocation of profit from prior year		Changes during the year								Total comprehensive income as at 31 12 2022	Total equity as at 31 12 2022
				Reserves	Dividends and other payments	Change in reserves	Issue of new shares	Purchase of treasury shares	Extraordinary distribution of dividend	Change in equity instruments	Treasury shares derivatives	Dividends and other payments	Purchase of treasury shares		
Share capital	9,195,012,197	-	9,195,012,197	-	-	(4,240,892,704)	2,499,331,296	-	-	-	-	-	-	-	7,453,450,788
a) Ordinary shares	9,195,012,197	-	9,195,012,197	-	-	(4,240,892,704)	2,499,331,296	-	-	-	-	-	-	-	7,453,450,788
b) Other shares	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Share premium	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Reserves:	(4,487,801,125)	-	(4,487,801,125)	151,005,319	-	4,240,761,445	(125,371,226)	-	-	-	-	-	-	-	(221,405,587)
a) from profit	(4,613,911,211)	-	(4,613,911,211)	151,005,319	-	4,363,986,829	-	-	-	-	-	-	-	-	(98,919,064)
b) others	126,110,087	-	126,110,087	-	-	(123,225,383)	(125,371,226)	-	-	-	-	-	-	-	(122,486,523)
Valuation reserves	168,395,984	-	168,395,984	-	-	-	-	-	-	-	-	-	-	(172,546,133)	(4,150,149)
Equity instruments	0	-	0	-	-	-	-	-	-	-	-	-	-	-	0
Treasury shares	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Net profit (loss) for the year	151,005,319	-	151,005,319	(151,005,319)	-	-	-	-	-	-	-	-	-	(135,781,910)	(135,781,910)
Total equity	5,026,612,374	-	5,026,612,374	-	-	(131,259)	2,373,960,070	-	-	-	-	-	-	(308,328,043)	7,092,113,142

As at 31 December 2022, the Bank's shareholders' equity amounted to EUR 7,092.1 mln, compared to EUR 5,026.6 mln as at 31 December 2021, an overall net increase of EUR 2,065.5 mln. The most significant phenomena impacting the net equity, in addition to the EUR 135.8 mln loss for the year, were the following.

On 15 September 2022, the Extraordinary Shareholders' Meeting of the Bank resolved to cover the total loss, for a total amount of EUR 4,664.6 mln, reduced to EUR 4,567.6 mln due to the half-year profit of approximately EUR 97.0 mln, as follows:

- for EUR 326.7 mln through the use of available reserves;
- for the remainder of the loss, namely EUR 4,240.9 mln, the reduction in share capital, pursuant to art. 2446 of the Italian Civil Code.

After covering the losses, the share capital amounted to EUR 4,954.1 mln.

On 4 November 2022, in execution of the afore-mentioned Shareholders' Meeting resolution, the share capital increase with consideration was completed with the full subscription of the newly issued shares for a total value of EUR 2,499.3 mln, which involved in the column "Issue of new shares":

- increase in the "Share capital" item for the same amount;
- decrease in the item "Reserves - other" for EUR 125.4 mln, due to costs incurred for the transaction, net of the relative taxes.

The "Share capital" item as at 31 December 2022 amounted to EUR 7,453.5 mln as a result of the two aforementioned events.

On 5 December 2022 the merger by incorporation of Consorzio Operativo Gruppo S.p.A. (formerly Consorzio Operativo di Gruppo) into Banca MPS became effective, with accounting and tax effects backdated to 1 January 2022. The transaction resulted in a merger surplus of approximately EUR 2.9 mln recognised in the column "Changes in reserve", line "Reserves - other".

Finally, valuation reserves decreased by a total of EUR 172.5 mln. Please refer to the statement of comprehensive income for details of the individual components.



Statement of changes in equity – 2021

	Balance as at 31 12 2020	Change in opening balance	Balance as at 01 01 2021	Allocation of profit from prior year		Changes during the year								Total comprehensive income as at 31 12 2021	Total equity as at 31 12 2021
				Reserves	Dividends and other payments	Change in reserves	Issue of new shares	Purchase of treasury shares	Extraordinary distribution of dividend	Change in equity instruments	Treasury shares derivatives	Stock options	Change in equity instruments		
Share capital	9,195,012,197	-	9,195,012,197	-	-	-	-	-	-	-	-	-	-	-	9,195,012,197
a) Ordinary shares	9,195,012,197	-	9,195,012,197	-	-	-	-	-	-	-	-	-	-	-	9,195,012,197
b) Other shares	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Share premium	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Reserves:	(2,448,301,979)	-	(2,448,301,979)	(1,880,133,395)	-	452,659	(159,818,410)	-	-	-	-	-	-	-	(4,487,801,125)
a) from profit	(2,733,900,227)	-	(2,733,900,227)	(1,880,133,395)	-	122,410	-	-	-	-	-	-	-	-	(4,613,911,212)
b) others	285,598,248	-	285,598,248	-	-	330,249	(159,818,410)	-	-	-	-	-	-	-	126,110,087
Valuation reserves	51,107,702	-	51,107,702	-	-	-	-	-	-	-	-	-	-	117,288,282	168,395,984
Equity instruments	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Treasury shares	(185,957,994)	-	(185,957,994)	-	-	-	185,957,994	-	-	-	-	-	-	-	-
Net profit (loss) for the year	(1,880,133,394)	-	(1,880,133,394)	1,880,133,395	-	-	-	-	-	-	-	-	-	151,005,319	151,005,319
Share capital	4,731,726,531	-	4,731,726,531	-	-	452,659	26,139,584	-	-	-	-	-	-	268,293,601	5,026,612,375

As at 31 December 2021, the Bank's shareholders' equity amounted to EUR 5,026.6 mln, compared to EUR 4,731.7 mln as at 31 December 2020, with a total net increase of EUR 294.8 mln.

This performance is mainly due to (i) profit for the year of EUR 151.0 mln; (ii) comprehensive income of EUR 117.3 mln, mainly attributable to the effect of the revaluation carried out on properties for business use from 31 March 2021, and finally (iii) decrease in treasury shares of EUR 186.0 mln as a result of the sales made by the Bank, which led to a negative trading result of EUR 159.8 mln recognised under the item "Reserves-other".



Cash flow statement - indirect method

	(euro units)	
	31 12 2022	31 12 2021
A. OPERATING ACTIVITIES		
1. Cash flow from operations	1,438,614	677,907,276
Profit (loss) (+/-)	(135,781,910)	151,005,319
Capital gains/losses on financial assets held for trading and on assets/liabilities designated at fair value (+/-)	(2,564,291)	62,065,875
Net profit (loss) from hedging	(6,418,829)	(12,243,119)
Net impairment losses/reversals	437,125,366	307,713,697
Net adjustments/recoveries on property, plant and equipment and on intangible assets (+/-)	198,910,966	140,833,973
Net provisions for risks and charges and other costs/revenues (+/-)	(21,901,884)	105,462,139
Unpaid charges, tax and tax credit	(451,318,682)	(56,463,122)
Other adjustments	(16,588,079)	(20,467,486)
2. Cash flow from (used in) financial assets	23,402,637,958	5,912,219,389
Financial assets held for trading	(31,578,371)	58,743,301
Other financial assets measured at fair value mandatory	12,927,662	(29,825,158)
Financial assets measured at fair value through other comprehensive income	862,490,474	222,990,041
Financial assets measured at amortised cost	22,761,496,977	4,984,737,897
Other assets	(202,722,827)	675,573,308
3. Cash flow from (used in) financial liabilities	(16,040,061,540)	(5,802,088,296)
Financial liabilities measured at amortised cost	(14,448,185,083)	(4,502,731,891)
Financial liabilities held for trading	64,295,130	(83,041,467)
Financial liabilities designated at fair value	5,375,339	(164,871,139)
Other liabilities	(1,661,546,926)	(1,051,443,799)
Net cash flow from (used in) operating activities	7,364,015,032	788,038,369
B. INVESTMENT ACTIVITIES		
1. Cash flow from	(105,572,835)	(33,593,337)
Sales of equity investments	-	1,072,522
Dividends collected on equity investments	(107,359,852)	(38,781,984)
Sales of property, plant and equipment	1,787,017	4,116,125
2. Cash flow used in	(56,758,541)	(26,013,676)
Purchase of equity investments	(325,909)	-
Purchase of property, plant and equipment	(16,511,272)	(25,993,387)
Purchase of intangible assets	(39,921,360)	(20,289)
Net cash flow from (used in) investment activities	(162,331,376)	(59,607,013)
C. FUNDING ACTIVITIES		
Issue/purchase of treasury shares	2,371,349,163	26,139,584
Net cash flow from (used in) funding activities	2,371,349,163	26,139,584
NET CASH FLOW FROM (USED IN) OPERATING, INVESTMENT AND FUNDING ACTIVITIES DURING THE YEAR	9,573,032,819	754,570,940

**Reconciliation**

Accounts	31 12 2022	31 12 2021
Cash and cash equivalents at beginning of year	3,020,461,265	2,265,890,325
Total net cash flows generated (used) in the year	9,573,032,819	754,570,940
Cash and cash equivalents at end of the year	12,593,494,084	3,020,461,265

For further information on the net cash flow generated/absorbed during the financial year, please refer to the section “Liquidity Risk” in Part E “Information on risks and hedging policies”.



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Part A – Accounting policies



A.1 – General

Section 1 - Statement of compliance with international accounting standards

Pursuant to Italian Legislative Decree no. 38 of 28 February 2005, these financial statements were prepared in accordance with the international accounting standards issued by the International Accounting Standards Board (IASB) including interpretations by the IFRS Interpretations Committee, as endorsed by the European Commission, pursuant to EC Regulation no. 1606 of 19 July 2002 which was effective as at 31 December 2022.

The application of the international accounting standards was carried out by also referring to the “Systematic Framework for the preparation and presentation of Financial Statements” (Framework), the Implementation Guidance and Basis for Conclusions documents and any other documents prepared by the IASB or IFRIC to complete the accounting standards issued.

For an overview of the standards endorsed during 2022 or those endorsed in previous financial years, whose application is scheduled for 2022 (or future financial years), please refer to “Section 4 - Other Aspects” below, which also describes the main impacts for the Bank.

The Report on Operations and the Notes to the financial statements include all the information required by international accounting standards and the Supervisory Bodies (Bank of Italy, ECB, Consob and ESMA) and the interpretative documents on the application of IAS/IFRS prepared by the Organismo Italiano di Contabilità (OIC) and the Italian Banking Association (ABI), which provide recommendations on the information to be provided in the Financial Report, on certain aspects of greater importance in the accounting field, or on the accounting treatment of particular transactions.

For an analysis of the documents published on accounting issues relating to Covid-19 and the Russia-Ukraine conflict, please refer to the following paragraph “Risks, uncertainties and impacts of the Covid-19 epidemic and the Russia-Ukraine conflict”.



Section 2 - General accounting standards

The Financial Statements consist of the balance sheet, income statement, statement of comprehensive income, statement of changes in equity, the cash flow statement and the notes to the financial statements, and are accompanied by the directors' report on operations, financial results achieved, and the Bank's equity and financial situation.

The Financial Statements as at 31 December 2022 have been prepared based on the provisions contained in Circular no. 262 of 22 December 2005 issued by the Bank of Italy "Bank financial statements: layout and rules for preparation", as amended by the seventh update of 29 October 2021. Also taken into account were the additional requests transmitted by the aforementioned Supervisory Authority, with the communication of 23 December 2019, relating, in particular, to the disclosure on multi-originator sales of loans to a mutual fund with allocation of the units to the originator intermediaries, for which reference should be made to the specific section of Part E of the Notes to the Financial Statements (Subsection "E. Sale transactions", point "C. Financial assets sold and fully derecognised"), as well as with the Communication of 21 December 2021 entitled "Update of the additions to the provisions of Circular No. 262 "Bank Financial Statements: layout and rules for preparation" concerning the impact of COVID-19 and measures to support the economy".

The Financial Statements have been prepared based on a going concern assumption, according to the generally accepted principles of accrual accounting, relevance and materiality of information, priority of substance over form and with a view to encouraging consistency with future statements.

The Separate Financial Statements are prepared with transparency and provide a true and fair view of the balance sheet, financial position and result of operations for the year, the changes in shareholders' equity and cash flows.

If the information required by international accounting standards and provisions contained in aforementioned circular were deemed insufficient for providing a true and fair representation, the notes to the financial statements contain supplemental information necessary for that purpose.

If – in exceptional cases – the application of a provision set forth in the international accounting standards proved to be incompatible with a true and fair view of the Group's financial position and result of operations, then such provision would not be applied. The reasons for deviation and its impact on the representation of the financial position and result of operations would, in such a case, be explained in the notes to the financial statements.

Each item in the balance sheet, income statement and statement of comprehensive income also indicates the amount for the prior financial year, unless an accounting standard or interpretation allows or provides otherwise.

Assets and liabilities, expenses and income cannot be mutually offset, unless this is permitted or required by the international accounting standards or the provisions set forth in Circular no. 262 of the Bank of Italy.

The balance sheet, income statement, and statement of comprehensive income do not include items which did not have balances for the reference financial year or prior financial year. If an item of the assets or liabilities is part of several items of the balance sheet, the notes to the financial statements indicate – whenever this is necessary for the purpose of intelligibility – that this component may also be referred to items other than the one it is posted to.

Revenue is posted with no sign in the income statement, statement of comprehensive income, and the respective section of the notes to the financial statements, whereas expenses are indicated in brackets.

The statement of comprehensive income, beginning with profit (loss) for the year, shows the income items recognised as contra-entries of valuation reserves, net of the related tax effect, in compliance with international accounting standards. Comprehensive income is shown by separating income items that will not be transferred to the income statement in the future and those that may be subsequently classified in profit (loss) for the year when specific conditions are met.

The statement of changes in equity shows the breakdown and changes in net equity accounts during the financial year and the previous financial year, broken down between share capital (ordinary shares), capital reserves, profit reserves and reserves from the valuation of assets or liabilities, equity instruments and profit or loss. Treasury shares in the portfolio are deducted from equity.

The cash flow statement has been prepared according to the indirect method, based on which cash flows from operations are represented by the net profit (loss) for the year adjusted to take into account the effects of non-monetary transactions. Cash flows are broken down amongst those deriving from operations, those deriving from investment activities and those generated by funding activities. In the statement, cash flows generated during the financial year have no sign, while those absorbed are shown between brackets.



In compliance with the provisions of art. 5 of Italian Legislative Decree no. 38 of 28 February 2005, the financial statements have been prepared using the Euro as the accounting currency: the financial statements are denominated in Euro units and the notes to the financial statements are denominated in thousands of Euro.

Items of a different nature or with different allocation were recognised separately, unless they were considered irrelevant. All amounts shown in the financial statements were adjusted so as to reflect any events subsequent to the date of closing for which an adjustment is mandatory, according to IAS 10 (adjusting events). Non-adjusting events reflecting circumstances that occurred after the reporting date are disclosed as part of the notes to the financial statements, Part A, Section 4, if they are material and may affect the ability of users to make proper evaluations and decisions.

Going concern

These Financial Statements were prepared under the going concern assumption.

The assessment of the Group's ability to continue as a going concern is based essentially on the prospective evolution of the capital and liquidity position over a time span of at least 12 months. In this regard, it should be noted that the successful conclusion of the capital increase transaction for EUR 2.5 bn, concluded on 4 November 2022, and the implementation of significant actions envisaged in the 2022-2026 Business Plan, suggest that material uncertainty concerning the Bank's capital strengthening, which had generated significant doubts on the going concern assumption that had been declared upon the half-yearly financial statement as at 30 June 2022. In fact, no capital shortfalls are expected to emerge within the going concern assessment time horizon in line with the Plan, and the liquidity position remains strong.

In light of these elements and evaluations, and with reference to the indications provided in Document no. 2 of 6 February 2009 and Document no. 4 of 3 March 2010, issued jointly by the Bank of Italy, Consob and ISVAP and subsequent updates, the Directors believe that there is a reasonable expectation that the Group will continue to operate as a going concern in the foreseeable future and have therefore prepared the Financial Statements on a going concern basis.



Section 3 – Events after the Reporting Date

The significant events that occurred in the period between the reporting date (31 December 2022) and the date of approval of the Financial Statements by the Board of Directors (8 March 2023), entirely attributable to non-adjusting events, pursuant to IAS 10, i.e. events that do not entail any adjustments to the Financial Statements, as they are the expression of situations arising after the reporting date.

On **19 January 2023**, the Chairman of Banca Monte dei Paschi di Siena, Patrizia Grieco, announced during the Board of Directors meeting, that she notified the MEF of her unavailability for the renewal of appointment that will expire with the next Annual General Meeting.

Also, on **19 January 2023** as part of the complete pension reform process launched in 2019, on 19 January 2023 the Bank carried out the merger of the defined benefit pension forms still present within a specific section of the Monte dei Paschi di Siena Pension Fund, without prejudice to the maintenance of the commitment for the future to cover any deficiencies in coverage necessary for the disbursement of social security benefits by the MPS Fund. The transaction, effective as of 1 January 2023, pursues the objectives of simplifying the governance of the funds, streamlining operational management, also in line with the directions of the Supervisory Authority, and reducing the actuarial risks to which the Bank is exposed.

The pension schemes involved in the transactions are 8:

- 6 funds within the BMPS Financial Statements, i.e. autonomous and separate assets of which 4 without assets covering social security commitments (FORMER-SERIT, FORMER BOB, FORMER COOPER, FORMER BPV, so-called unfunded) and 2 with covering assets (BT and BNA, so-called funded);
- 2 external funds, with legal status, with their own independent administrative bodies, which consolidate in the MPS Financial Statements (BAM and BAV).

In substance, the transaction involved:

- the transfer to the MPS Fund of monetary resources equal to the mathematical reserves of the funds at the effective date and the simultaneous release of the segregated assets in the financial statements for the funded funds;
- the simultaneous recognition of surpluses, i.e. the surplus of the assets of the funded funds over the mathematical reserves, so far not recognised in the Financial Statements, the legal basis of which was ascertained by seeking the opinion of a leading external consultant appointed by the Group.

The valuation of the mathematical reserves for the purposes of the transaction was carried out with reference to the effective date by an external actuary on the basis of parameters updated to take into account the demographic evolution of the population of members, the updated mortality tables recently published by INPS and the evolution of discount and inflation rates. As of 1 January 2023, the Bank recognised for accounting purposes the write-off of net liabilities for defined-benefit plans under item 100 - Provisions for Risks and Charges in the amount of EUR 19.7 mln and a positive impact on the shareholders' equity in the amount of approx. EUR 8.7 mln, gross of the relevant tax effects, under item 140 - Valuation Reserves.

This operation does not change the Bank's pension obligations, which will therefore recognise as net liabilities when there is a capital deficit in the MPS Fund and similarly, will recognise net assets when there is a surplus.

On **26 January 2023**, Consob published its Bulletin 16-31 January in which it announced with reference to Banca MPS that, taking into account (i) the capital increase and (ii) the consequent overcoming of the situation pursuant to Article 2446 of the Italian Civil Code, the monthly disclosure requirements set forth in letter (a) of the resolution of 22 April 2021 had been exceeded as the significant doubts on the company's ability to continue as a going concern that had been stated in the reports prior to the interim report as at 30 September 2022 had been resolved. In detail, with the aforementioned resolution, the Authority had requested the Bank, to publish, pursuant to Article 114, paragraph 5 of the Consolidated Law on Finance, periodic monthly information taking into account (i) the presence in the auditors' report on the financial statements as of 31 December 2020 of the emphasis of matter paragraph on material uncertainty over going concern and (ii) the exceeding of the limit set forth in Article 2446 of the Italian Civil Code with reference to the financial statements as of 31 December 2020. The obligation set forth in letter b) of the aforementioned resolution of 22 April 2021 referring to the information to be provided on a quarterly basis on the status of implementation of the business and financial plan, with the highlighting of the deviations of the final figures from those forecast, remains confirmed.



On **16 February 2023**, the rating agency Moody's Investors Service upgraded the Bank's ratings by 2 notches, raising the standalone Baseline Credit Assessment ('BCA') to 'b1' from 'b3', the long-term deposit rating to 'Ba2' from 'B1', and the subordinated debt rating to 'B2' from 'Caa1'. The long-term senior unsecured debt rating was upgraded by 3 notches to 'B1' from 'Caa1'. The upgrade reflects the significant progress that the bank has made in recent years, according to the agency. Moody's also points out that the recent EUR 2.5 bn capital increase has completed the actions necessary to consolidate the Bank's solvency and rebuild its ability to generate profitability.

On **23 February 2023**, the Bank successfully completed the placement of an unsecured Senior Preferred bond issue with a maturity of 3 years (repayable in advance after 2 years), for institutional investors, for an amount of EUR 750 mln and a coupon set at a level of 6.75%.

On **27 February 2023**, the ECB authorised the merger by incorporation of the subsidiaries MPS Capital Services S.p.A and MPS Leasing&Factoring S.p.A. into the Bank.

On the same date, AXA S.A. announced that it had sold 100m shares in MPS Bank, representing approximately 7.94% of the capital through an accelerated book-building reserved for institutional investors. The Parisian company will remain a shareholder with a symbolic stake of 0.0007%.

Section 4 – Other Matters

Interest rate benchmark reform

The so-called "IBOR reform" follows the recommendations of the Financial Stability Board (FSB) following the request of the G20 to carry out a radical revision of the main interest rate benchmarks. The request is a direct consequence of the loss of reliability of some existing benchmark rates following their alleged manipulation, corroborated by the scarcity of liquidity in the interbank markets in the period following the economic crisis. The reform process is based at EU level on Regulation (EU) 2016/1011 of 8 June 2016 ("Benchmarks Regulation" or "BMR"), which entered into force on 30 June 2016, applicable from 1 January 2018 and amended in 2021. The Benchmarks Regulation has introduced in the EU a new regulatory framework on benchmark interest rates, i.e. indexes in reference to which the amount to be paid for a financial instrument or a financial contract is determined.

In the specific case of short-term rate benchmarks, which were declared critical by the European authorities, reforms were necessary with regard to:

- **Euribor:** as of November 2019, the revision by EMMI (European Money Market Institute) of the fixing methodology (the so-called hybrid methodology) became fully operational, using, where applicable, transactions concluded on the unsecured money market for up to 12 months by contributing banks;
- **Eonia** fixing calculation was based on the risk-free rate published by the European Central Bank (€STR rate), measured according to the overnight transactions concluded by the leading European banks. The European Commission has the power to designate a replacement index for the discontinued benchmark (statutory replacement rate) that can take over by law⁷⁰ in the absence of different contractual solutions (fallback clauses): in October 2021, it also designated €STR as the rate to be applied in the event of a statutory replacement for Eonia.

The €STR rate is also the basis for the recognition of the Euribor fallback rate which must be indicated in contracts and used in the event of any future permanent discontinuation of Euribor publication. To facilitate the recognition of the replacement rates, from April 2021 the ECB started the daily publication of the Compounded €STR Index and the compounded €STR average rates.

Outside the borders of the Eurozone, in recent years the supervisory authorities, central banks, specialised associations, as well as the market operators themselves have actively worked in the various jurisdictions to identify risk-free rates (RFR - Risk Free Rates) that could act as new benchmarks on the money market. More specifically, from 2016 onwards the various working groups have indicated, also through official recommendations, the risk-free rates that will act as Libor fallback rates and which, in addition to complying with the IOSCO principles, are

⁷⁰ At present, the legal solution has been used only for the CHF LIBOR.



more representative of real market conditions, as they are based on actual transactions with large and stable volumes.

With the announcement of 5 March 2021, the Financial Conduct Authority (FCA) confirmed the discontinuation of the publication or the loss of representativeness (i) immediately after 31 December 2021 for all maturities of the Libor of the pound sterling, euro, Swiss franc, and Japanese yen and the 1 week and 2 month maturities for the US dollar Libor and (ii) immediately after 30 June 2023 for the remaining dollar maturities (i.e. overnight, 1 month, 3 months, 6 months and 12 months).

On 29 September 2021, the FCA also announced the exercise of its powers by requiring the Libor ICE Benchmark Administration (IBA) to publish synthetic **Libor** indices for sterling and yen for 1-, 3- and 6-month maturities, clarifying that the use of such synthetic Libor indices is only permitted for contracts that are already in place and have not yet been converted to the alternative risk free rates SONIA and TORF for sterling and yen respectively, and this is to ensure an orderly termination of Libor. Lastly, as regards the US Dollar, the main currency involved in the disposal of the Libor, the Alternative Reference Rates Committee (ARRC) acted on various fronts in order to facilitate the transition from Libor to alternative rates based on the SOFR index: i) the publication of recommendations on best practices for various product categories (e.g. loans, floating rate bonds, derivatives, etc.) and the related timing for discontinuing the use of the dollar Libor in new contracts; ii) the announcement of the agreements for the various categories of contracts (e.g. pool loans, floating rate bonds, cross-currency swaps, etc.); iii) the publication of fallback clauses for various product categories.

In the accounting area, in 2018 the IASB launched a two-phase project called “Reform of the benchmarks for the determination of interest rates” in order to address the accounting issues related to the IBOR Reform:

Phase 1: the changes introduced aim at finding suitable solutions to reduce the effects on the financial statements related to the potential impacts in the period prior to the replacement of the benchmark rates with the new rates (so-called “pre-placement issues”). In particular, this phase introduces certain exceptions to hedge accounting, aimed at avoiding the effects of discontinuing due to the mere uncertainty of interest rate reform. For the assessment of the economic report, the amendments introduced provide, in fact, that the entity must assume that the reference index, for the determination of the interest rates of the hedged instrument and the hedging instrument, is not changed following the reform of rates. These amendments were endorsed with Regulation (EU) no. 34 of 15 January 2020, and were applied in advance by the Bank starting from the financial statements as at 31 December 2019;

Phase 2: the amendments introduced with the phase in question, endorsed with Regulation (EU) no. 25 of 13 January 2021, applicable from 1 January 2021, aim at finding adequate solutions for the management of the accounting impacts resulting from the effective replacement of rates (so-called “replacement issues”). In detail, this phase provides some practical expedients to minimise the effects of the replacement of the benchmark indices, with particular reference to the accounting treatment of changes in contractual flows and the management of hedging transactions that would allow them to continue. With reference to the first aspect, it is proposed, as a practical expedient, that the changes in contractual flows for the new interest rates - if carried out as a direct consequence of the rate reform and on an equivalent economic basis with respect to the previous rates - should be considered as a prospective adjustment of the effective interest rate, as well as a revision of the variable interest rate. On the other hand, as regards hedge accounting, some exceptions to IAS 39 and IFRS 9 were introduced, aimed at avoiding the termination of the hedging relationship following the updating of the documentation of the relationship itself (due to the modification of the hedged risk, of the hedged item, of the hedging derivative or of the method for assessing the effectiveness of the hedge) provided that the changes are a direct consequence of the reform and carried out on an economic basis equivalent to the previous rates.

This phase also introduced a specific qualitative and quantitative disclosure on the nature and risks to which the entity is exposed deriving from the financial instruments related to the reform, on the way in which these risks are managed and on the progress of the entity in the transition to the new alternative reference rates.

The following table shows the quantitative information, aggregated by benchmark interest rate subject to reform, on financial instruments indexed to IBOR rates that had not yet changed to an alternative benchmark rate at the end of the reporting period, in accordance with paragraphs 24I and 24J of IFRS 7, in particular with regard to derivatives (nominal amount in absolute value for hedging and trading positions), debt securities on the asset side (Market Value) and loans and advances.



(in million of euro)

Significant parameters subject to IBOR Reform	Book value				Nominal value	
	Non derivative assets		Non derivative liabilities		Derivatives	
	Loans	Debt securities	Loans	Debt securities	Hedging	Trading
referenced to LIBOR	10.4	322.7	-	-	362.8	-
Of which: EUR	5.6		-			
Of which: USD	4.8	322.7	-		362.8	-
Total	10.4	322.7	-	-	362.8	-

The positions indexed to the LIBOR rates still present in the Bank's portfolios as at 31 December 2022 refer to USD LIBOR indices (discontinued in June 2023) and EUR LIBOR indices (for some loans).

In detail, derivatives and debt securities are indexed to USD 3M LIBOR.

The USD LIBOR-indexed debt security exposures, almost entirely concentrated on two covered bond positions, are 95% hedge accounting.

To respond to the requirements of the BMR Regulation, the Monte dei Paschi Group launched an assessment project in 2020, from which it emerged that the impact of the reform was of low significance in the following areas: products, contracts, models and information systems.

With reference to OTC derivatives and in line with practices at most financial market operators, the Parent Company and the subsidiary MPS Capital Services Banca per le Imprese S.p.A. adopted the ISDA 2020 IBOR Fallback Protocol and the ISDA 2021 EONIA Collateral Agreement Fallbacks Protocol. These protocols were created to allow the parties to massively modify the contractual terms of existing transactions, incorporating the alternative rates (fallbacks).

During 2022, no changes or disposals of benchmark indices were planned, while at the end of the first half of 2023 the definitive disposal of the USD LIBOR is planned with the replacement indices that will be identified in the meantime pursuant to law or, failing that, according to the indications of the authorities regulations, which currently seem to expect an orderly replacement with the SOFR index. The issue will be addressed in the first months of 2023 by referring to the same internal activities already consolidated.

The ESEF (European Single Electronic Format) for the preparation of annual financial reports

The Delegated Regulation (EU) no. 2019/815 (so-called ESEF Regulation), which amends Transparency Directive no. 2004/109/EC, establishes that European listed companies must prepare annual financial reports according to the ESEF single electronic reporting format approved by ESMA: with eXtensible HyperText Markup language (XHTML), by "marking up" the basic identification details, consolidated financial statements and Notes to the consolidated financial statements, with the specifications of the Inline Extensible Business Reporting Language (iXBRL).

The combination of the XHTML format with the iXBRL markups (for the consolidated financial statements) makes the annual financial reports readable both by human users and by automatic devices, thus improving the transparency, accessibility, analysis and comparability at global level of the markups of the financial statements prepared in accordance with international accounting standards.

The 2022 annual financial report, including the separate and consolidated financial statements, is drawn up in XHTML in compliance with the provisions of the ESEF Regulation. Specifically, the Bank prepared these separate financial statements in XHTML format.



An illustration of the new accounting standards, or the changes to existing standards approved by the IASB is provided below, as well as the new interpretations or changes to existing interpretations published by IFRIC, with separate reporting on those applicable in 2022 from those that may be adopted in subsequent financial years.

List of key IAS/IFRS international accounting standards and related SIC/IFRIC interpretations endorsed for mandatory application as of the 2022 Financial Statements

On 2 July 2021, Regulation (EU) 2021/1080, which endorses the following documents published by IASB on 14 May 2020, was published:

- **“Reference to the Conceptual Framework (Amendments to IFRS 3)”** which updates the reference in IFRS 3 to the Conceptual Framework in the revised version, and adds an exception to the requirements for recording contingent liabilities under IFRS 3, in order to avoid changes to pre-existing accounting methods. Furthermore, the prohibition to recognise contingent assets (i.e. those assets whose existence will only be confirmed by uncertain future events) in business combinations is made explicit (previously this prohibition was only explicitly stated in the Basis for Conclusion);
- **“Property, Plant and Equipment - Proceeds before Intended Use (Amendment to IAS 16)”** which prohibits deducting from the cost of property, plant and equipment the amount received from the sale of items produced in the asset testing phase. These sales revenues and the relative costs will be recognised in the income statement;
- **“Onerous Contracts — Cost of Fulfilling a Contract (Amendment to IAS 37)”** which clarifies which costs must be considered in the assessment of the onerousness of the contract. More specifically, the cost to fulfil a contract includes the costs that refer directly to the contract. They may be incremental costs (for example, costs for the direct material used in processing), but also the costs that the company cannot avoid as it has entered into the contract (e.g., the share of the personnel costs and the depreciation of the machinery used to fulfil the contract);
- **“Annual Improvements to IFRS Standards 2018–2020”**, containing proposed amendments to four standards: IFRS 1 – “Subsidiary as a first-time adopter”; IFRS 9 – “Fees in the “10 per cent” test for derecognition of financial liabilities”, for which the amendment clarifies which fees should be considered in performing the test in application of par. B3.3.6 of IFRS 9, to assess the derecognition of a financial liability; IFRS 16 – “Lease incentives” for which the amendment regards an illustrative example and IAS 41 – “Taxation in fair value measurements”.

The amendments are effective as of 1 January 2022. Early adoption was permitted, which the Bank did not use. The adoption of these amendments did not have any impact on the Bank’s Financial Statements.

List of endorsed IAS/IFRS international accounting standards and related SIC/IFRIC endorsed interpretations whose application is mandatory after 31 December 2022

The standards or amendments whose application is effective after 31 December 2022 and for which the Bank, where envisages, did not make use of early application, is provided below.

The new accounting standard **IFRS 17 “Insurance Contracts”**, published by the IASB in May 2017 and subject to subsequent amendments published on 25 June 2020 and on 9 December 2021, was endorsed with EU Regulation no. 2036/2021 of 19 November 2021 – and more recently amended with Regulation no. 1491/2022 of 8 September 2022, which introduced some changes of limited scope for the preparation of comparative information for the first-time application of IFRS 17 and IFRS 9 – will enter into force from 1 January 2023.

The key new features introduced by IFRS 17 concern:

- introduction of the concept of the expected profit from insurance contracts (Contractual Services Margin - CSM), representing the present value of the expected profits that will be recognised over the life of the contracts. This item, involves, at the moment an insurance contract is signed, the company’s recognition of a liability whose amount is given by the algebraic sum of the present value of expected contractual cash flows (discounted by also taking account of an appropriate risk margin, for non-financial risks) and the expected profit (present value of unearned profits);
- the measurement at the close of each reporting period of the elements indicated above (expected cash flows and profit), to verify the consistency of the estimates with the current market conditions. The effects of any misalignments must be immediately reflected in the financial statements: in the income statement if the changes relate to events that have already occurred in the past; as a reduction of expected profit if the changes relate to future events;



- the reporting in the income statement of profitability “by margins” achieved over the life of the policies, i.e. based on the service rendered by the company to policy-holders instead of at the moment contract is stipulated.

Regulation no. 2022/1491 of 8 September 2022, as noted above, endorsed the amendment to IFRS 17 **“Insurance Contracts: Initial Application of IFRS 17 and IFRS 9 - Comparative Information”**, published by the IASB on 9 December 2021. The amendment concerns the amendment to the rules of transition to IFRS 17, for entities that simultaneously apply the transition to IFRS 9, taking into account the different requirements set out in the aforementioned accounting standards for the restatement of comparative balances; IFRS 17 requires, in fact, the need to restate comparative information, which is permitted but not required by IFRS 9. The amendment in question therefore concerns financial assets for which comparative information must be presented at the date of transition of IFRS 17 and IFRS 9, which, however, is not restated pursuant to IFRS 9, with the aim of avoiding temporary accounting mismatches between the valuation of financial assets and those of insurance contracts, contributing to this ways to improve the relevance of comparative information for users of financial statements. Under this amendment, an entity is permitted to present comparative information on financial assets as if the classification and measurement requirements of IFRS 9 had been applied; this option is applicable to the individual financial instrument and does not require the adoption of the impairment criteria set out in IFRS 9. The amendments are applicable from 1 January 2023.

The introduction of the new standard is not relevant for the Bank. For an in-depth analysis of the contents of the standard, the methodological choices made by the insurance associates, “AXA MPS Assicurazioni Danni S.p.A.” and “AXA MPS Assicurazione Vita S.p.A”, the implementation project and finally the impact at the date of transition, please refer to Section 7.3.c Part B - Information on the Consolidated Balance Sheet of the Notes to the Consolidated Financial Statements.

Regulation no. 2022/357 of 3 March 2022 endorsed the amendment to IAS 1 **“Disclosure of Accounting Policies (Amendments to IAS 1 “Presentation of Financial Statements” and IFRS Practice Statement 2 “Making Materiality Judgements”)** and the amendment to IAS 8 **“Definition of Accounting Estimates (Amendments to IAS 8)”**, both published by the IASB on 12 February 2021. The amendments are aimed at helping companies to identify the disclosure to be made on accounting policies, so as to provide more useful information to investors and other primary users of the financial statements. In detail, the amendments to IAS 1 require companies to provide information on material accounting standards, i.e. those that make it possible to understand the information reported in the financial statements on material transactions, for example if:

- the entity has changed its accounting policy during the year with consequent material effects on the financial statements;
- the entity has chosen an accounting policy among several options envisaged by the IFRS;
- an accounting policy was developed pursuant to IAS 8 in the absence of a specific reference standard;
- the accounting policy is inherent to an aspect for which judgements and assumptions must be significantly developed;
- the transactions are complex and difficult to understand by the users of the financial statements, for example when several IFRSs are applied to a class of material transactions.

In any case, “entity-specific” information is more useful than standard disclosures that replicate IFRS provisions. On the other hand, it is not necessary to illustrate the accounting policies relating to transactions or intangible events and, in any case, this information should not obscure the relevant information.

The amendments to IAS 8 are aimed at clarifying how to distinguish changes in accounting policies from changes in accounting estimates. This distinction is important because changes in accounting estimates are applied prospectively only to transactions and other future events, while changes in accounting standards are generally applied retroactively to transactions and other past events. In this regard, the definition of an accounting estimate – a monetary amount recognised in the financial statements that is subject to measurement uncertainty – is added and the interaction between accounting estimates and accounting policies is clarified, specifying that operators – in some cases – may have to use accounting estimates to achieve the objectives of their accounting policy. It is specified that the accounting estimates are the result of measurement techniques that require the use of judgements or assumptions (input to develop accounting estimates). The measurement technique refers to both estimation techniques, as in the case of the estimate of impairment pursuant to the IFRS 9 model, and valuation techniques, such as those used to estimate the fair value of an asset or liability pursuant to IFRS 13.

Therefore a change in the accounting estimate may result from:



- new information or new developments, provided that it is not the correction of an error, in line with the previous definition;
- a change in an input or a measurement technique used to develop an accounting estimate, unless this results from the correction of errors from previous financial years. In this regard, doubts had arisen whether the effect of a change in a measurement technique could be interpreted both as a change in estimate and as a change in an accounting policy.

The Basis for Conclusion highlights that the changes introduced may not resolve all the application doubts identified by the stakeholders; in these cases, when the uncertainty remains, paragraph 35 may help: when it is difficult to distinguish a change in accounting standard from a change in an accounting estimate, the entity treats the change as a change in an accounting estimate.

The amendments to IAS 1 and IAS 8 are effective for financial years starting on or after 1 January 2023, with early application permitted. No significant impacts are expected for the Bank from the aforementioned amendments.

Finally, Regulation (EU) 2022/1392 of 11 August 2022 endorsed the amendment to IAS 12 ***“Deferred Tax related to Assets and Liabilities arising from a Single Transaction” (Amendments to IAS 12)***, published by the IASB on 7 May 2021, which specifies how companies should account for deferred tax on transactions such as leases and decommissioning obligations. With the amendments in question, it was specified that the exemption from the recognition of a deferred tax liability or asset does not apply in the event of the initial recognition of an asset or a liability in a transaction that gives rise to deductible temporary differences and equal taxable income (even if at the time of the transaction it does not affect either the accounting profit or the taxable income/tax loss). The case related to the above is applicable in relation to the accounting of lease transactions in which the lessee initially recognises in the Balance Sheet the asset (right of use) and the corresponding lease liability, normally of the same amount. Depending on the applicable tax law, taxable and deductible temporary differences of equal amount may arise; as anticipated, the published amendment clarifies that in such cases the exemption provided by paragraphs 15 and 24 of IAS 12 does not apply and the lessee must recognise the resulting deferred tax liability and asset. The amendments apply as of 1 January 2023, but early adoption is permitted. The amendment will have no impact for the Bank.

IAS/IFRS international accounting standards and related SIC/IFRIC interpretations issued by the IASB and still awaiting approval from the European Commission

The following amendments to IAS 1 presented by the IASB are awaiting endorsement:

- ***“Classification of Liabilities as Current or Non-current”***, issued on 23 January 2020, with a view to clarifying how to classify payables and other liabilities as either current or non-current. This proposal clarifies - without changing them - the current requirements of IAS 1; the clarifications are intended to improve consistency in the application of IAS 1 among companies in determining whether, in the statement of financial position, payables and other liabilities with an uncertain settlement date should be classified as current (due or potentially due within one year) or non-current. The entry into force of the amendments, originally scheduled for 1 January 2022, was then deferred by the IASB to the financial years starting on 1 January 2023 or later, with the amendment ***“Classification of Liabilities as Current or Non-Current – Deferral of Effective Date”*** published on 15 July 2020. Early application is permitted.
- ***“Non-current Liabilities with Covenants”*** issued on 31 October 2022, with the aim of improving the information provided by companies on long-term debt with covenants. IAS 1 requires that a company classify debt as non-current only if the company can avoid paying off the debt in the 12 months following the reporting date. However, a company’s ability to do so is often subject to compliance with covenants. For example, a company might have long-term debt that could become repayable within 12 months if the company does not meet the terms of the covenants in that 12-month period. The amendments to IAS 1 specify that covenants terms to be met after the reporting date do not affect the classification of debt as current or non-current at the reporting date. Instead, the amendments require a company to provide information on these covenants in the Notes to the Financial Statements. The amendments will be effective for financial years starting on or after 1 January 2024, with early application permitted.

On 22 September 2022, the IASB published an amendment to IFRS 16 ***“Lease Liability in a Sale and Leaseback”*** that clarifies how a sale and leaseback transaction is accounted for after the transaction date. A sale and leaseback is a transaction whereby a company sells an asset and leases the same asset for a period of time from the new owner. IFRS 16 includes requirements on how to account for a sale and leaseback when the transaction occurs. However, IFRS 16 had not specified how to measure the transaction when it is reported after said date. The



amendments issued today are in addition to the sale and leaseback requirements of IFRS 16, thus supporting the consistent application of the accounting standard. The amendments will be effective for financial years starting on or after 1 January 2024, with early application permitted.

A.2 – Part relating to the main items of the financial statements

Accounting standards

The following is a description of the accounting standards that have been adopted with reference to the main asset and liability items for the preparation of the Financial Statements as at 31 December 2022 with reference to the stages of classification, recognition, measurement and derecognition of the various asset and liability items, as well as for the methods of recognising revenues and costs. These standards are aligned with those adopted for the preparation of the comparative Financial Statements as at 31 December 2021.

1 Financial assets measured at fair value through profit or loss (FVTPL)

a) classification criteria

These assets include financial assets other than those classified under “Financial assets measured at fair value through other comprehensive income” and “Financial assets measured at amortised cost”. The item in particular includes:

- debt securities or loans that are included in an “Other” Business Model, i.e., a procedure for managing financial assets that does not have the objective of collecting contractual cash flows (“Held to Collect” business model) or collecting contractual cash flows and selling financial assets (“Held to Collect and Sell” business model);
- debt securities, loans and units of UCITS whose contractual terms do not provide exclusively for repayments of principal and interest payments on the principal to be repaid (i.e., that do not pass the “SPPI test”);
- equity instruments that cannot be classified as representing control, affiliation, and joint control, held for trading purposes or for which, upon initial recognition, the fair value through other comprehensive income option was not chosen;
- derivative contracts, recognised in financial assets held for trading, that are recognised as assets if the fair value is positive, or liabilities if the fair value is negative.

With reference to the latter, it is possible to offset current positive and negative values deriving from outstanding transactions with the same counterparty only if the legal right to offset the amounts recognised is currently in place and the entity intends to proceed with the net settlement of offsetting positions.

More detailed information is provided below on the three sub-items that comprise this category, represented by: “Financial assets held for trading”, “Financial assets measured at fair value”, and “Other financial assets measured at fair value as per mandatory requirements”.

Financial assets held for trading

Financial assets (debt securities, equity securities, loans, units of UCITS) are classified as held for trading purposes if they are managed with the objective of generating cash flows through their sale, as they are:

- acquired or incurred primarily for the purpose of selling or repurchasing them in the short-term;
- part of a portfolio of financial instruments that are managed on an individual basis and for which there is proven existence of a strategy targeted at earning a profit in the short term.

It also includes derivatives with a positive fair value not designated as having an accounting hedge relationship. Derivative contracts include those embedded in combined financial instruments, in which the primary contract is a financial liability, which were subject to separate accounting.

- their economic characteristics and risks are not strictly related to the characteristics of the underlying contract;



- the embedded instruments, even if separate, satisfy the definition of derivative;
- hybrid instruments to which they belong are not measured at fair value with the relative changes posted to the income statement.

Financial assets designated at fair value

A financial asset (debt securities and loans) can be designated at fair value irrevocably at the time of initial recognition, only when this designation makes it possible to eliminate or significantly reduce a measurement inconsistency (“accounting mismatch”). This category is not used by the Bank at present.

Other financial assets measured at fair value as per mandatory requirements

Other financial assets measured at fair value as per mandatory requirements represent a residual category and include:

- debt securities and loans, when: i) the relative contractual cash flows do not represent solely payments of principal and interest on the residual capital (Solely Payment of Principal and Interest - SPPI test failed), or ii) are not held as part of a business model whose objective is the ownership of assets for purposes of collecting contractual cash flows (“Held to Collect” business model) or those whose objective is achieved either by collecting contractual cash flows or by selling financial assets (“Held to Collect and Sell” business model);
- units of UCITS;
- equity securities held for purposes other than trading for which the option of classification at fair value through other comprehensive income is not exercised.

b) recognition criteria

Initial recognition of financial assets occurs at settlement date for debt securities, equities and units of UCITS, at disbursement date for loans, and at trade date for derivative contracts. Upon initial recognition, financial assets measured at fair value through profit or loss are recognised at fair value, which usually corresponds to the amount paid, without considering transaction costs or revenues directly attributable to the instrument, which are directly recognised in the income statement.

c) measurement criteria

After initial recognition, financial assets measured at fair value through profit or loss are recorded at fair value, with changes recognised as an offsetting entry in the income statement.

To determine the fair value of financial instruments listed on an active market, market prices recorded at the reporting date are used. In the absence of an active market, commonly adopted estimation methods and valuation models are used, which take into account all the risk factors related to the instruments and which are based on data recorded on the market such as: valuation of listed securities with similar characteristics, discounted cash flow calculations, option pricing models, values recognised in recent comparable transactions, etc. For equity securities and derivatives on equity securities that are not listed on an active market, the cost criterion is used as an estimate of the fair value only on a residual basis and limited to rare circumstances, i.e., if none of the measurement models previously mentioned can be applied, or if there is a wide range of possible fair value measurements, in which case the cost represents the most meaningful estimate.

For further information on the criteria for determining the fair value, please refer to Section “A.4 Information on Fair Value” of Part A of these Notes to the Financial Statements.

d) revenue recognition criteria

The interest of the three sub-items that comprise this category is recorded under item “10 - Interest income and similar revenues”.

Realised gains and losses, the gains and losses from measurements for “Financial assets held for trading”, including derivatives associated with financial assets/liabilities measured at fair value, are booked to the income statement under item “80 - Net trading income (expenses)”.

These income effects pertaining to “Financial assets measured at fair value” as well as “Other financial assets measured at fair value as per mandatory requirements” are booked to the income statement under item “110 - Net profit (loss) from other financial assets and liabilities measured at fair value through profit or loss”, in the sub-



items “a) financial assets and liabilities measured at fair value” and “b) other financial assets measured at fair value as per mandatory requirements”, respectively.

e) derecognition criteria

Financial assets are derecognised from financial statements: i) upon expiration of the contractual rights on the cash flows resulting from the assets, or ii) when the financial assets are sold and all related risks/benefits are transferred. However, if a relevant portion of the risks and rewards associated with disposed financial receivables have been maintained, they continue to be posted in the financial statements, even if legal ownership of the asset has been effectively transferred.

If it is not possible to ascertain a substantial transfer of risks and rewards, the financial assets are derecognised when control of the assets has been surrendered. Conversely, if such control has been maintained, even partly, the assets should continue to be recognised to the extent of residual involvement, as measured by the exposure to the changes in value of the assets disposed and to the changes in their cash flows.

Finally, disposed financial assets are derecognised if the contractual rights to receive the cash flows are maintained and a contractual obligation is simultaneously undertaken to pay only said flows, without a significant delay, to third parties.

f) reclassification criteria

According to the general rules established by IFRS 9 on reclassifying financial assets (with the exception of equity securities, for which reclassification is not permitted), reclassifications to other categories of financial assets are not permitted unless the entity changes its business model for managing financial assets. In these cases, which are expected to be highly infrequent, financial assets may be reclassified from the category ‘measured at fair value through profit or loss’ to one of the other two categories envisaged by IFRS 9 (financial assets measured at amortised cost or financial assets measured at fair value through other comprehensive income). The transfer value is represented by the fair value at the time of the reclassification and the effects of the reclassification apply prospectively from the reclassification date. In this case, the effective interest rate of the reclassified financial asset is calculated based on its fair value at the reclassification date and this date is considered as the initial recognition date in assigning it to the various credit risk stages (stage assignment) for purposes of impairment.

For more information on classification criteria for financial instruments, please refer to the section “Classification criteria for financial assets” below.

2 Financial assets measured at fair value through other comprehensive income (FVTOCI)

a) classification criteria

This category includes financial assets represented by:

- debt securities, managed as part of a “Held to collect and sell” business model and whose contractual flows represent only payments of principal and interest on the residual capital (Solely Payment of Principal and Interest - SPPI - test passed);⁷¹
- equity instruments (not qualifiable as control, association and joint control), held as part of a business model other than trading for which the option for recognition in the individual instrument was irrevocably exercised at the time of initial recognition of the individual instrument, the option for recognition in the statement of comprehensive income from changes in fair value after initial recognition (OCI election).

b) recognition criteria

Financial assets are initially recognised on the date of settlement, with reference to debt or equity instruments, and on the date of disbursement, with reference to loans.

On initial recognition, the assets are measured at their fair value, which normally corresponds to the price paid, inclusive of transaction costs or income directly attributable to the instrument.

⁷¹ Financial instruments held within the framework of a business model whose objective is ownership of said instruments for the purpose of collecting cash flows can be associated with the “Held to Collect and Sell” business model.

**c) measurement criteria**

Financial instruments represented by debt securities and loans, following initial recognition, continue to be measured at fair value, with recognition in the income statement of interest (based on the effective interest rate method), expected credit losses, and any exchange rate effect. Fair value changes, net of expected credit losses, are booked to the appropriate equity reserve net of the associated tax effect (item “110 - Valuation reserves”). Upon cancellation of the financial asset, the accumulated profits or losses in the valuation reserve will be subject to recycling to the Income Statement (item “100. Gains (losses) on disposal or repurchase of: b) financial assets measured at fair value through other comprehensive income”).

Financial assets represented by equity instruments, following initial recognition, continue to be measured at fair value, with changes booked to the appropriate equity reserve net of the associated tax effect (item “110 - Valuation reserves”). The amount recognised as an offsetting entry in shareholders' equity (Statement of Comprehensive Income) cannot subsequently be transferred to the income statement, even following a sale; in this case, the amount is reclassified in another equity item (item “140 - Reserves”). The only component of these equity securities that is recognised in the income statement is represented by the related dividends received (item “70 - Dividends and similar income”).

For equity securities included in this category, which are not listed on an active market, the cost criterion is used as an estimate of the fair value only on a residual basis and limited to rare circumstances, i.e., if none of the measurement models previously mentioned can be applied, or if there is a wide range of possible fair value measurements, in which case the cost represents the most meaningful estimate.

For further information on the criteria for determining the fair value, please refer to Section “A.4 Information on Fair Value” of Part A of these Notes to the Financial Statements.

Financial assets measured at fair value through other comprehensive income - both in the form of debt securities and loans - are subject to verification of the significant increase in credit risk (impairment) as required by IFRS 9, similar to assets measured at amortised cost, with the consequent recognition in the income statement of a value adjustment to cover expected losses. In summary, an estimated loss at one year is recognised, at the initial recognition date and at every subsequent reporting date, on instruments classified in stage 1 (i.e., on financial assets at the origination date, if not impaired, and on instruments for which there has not been a significant increase in credit risk compared to the initial recognition date). Instead, for instruments classified in stage 2 (performing, for which there has been a significant increase in credit risk compared to the initial recognition date) and stage 3 (non-performing exposures) an expected loss is recorded for the entire residual life of the financial instrument. Conversely, equity securities are not subject to the impairment test.

For more detailed information, please refer to the subsequent paragraph “Use of estimates and assumptions when preparing financial statements - Methods for calculating impairment on IFRS 9 financial instruments”.

d) revenue recognition criteria

As regards financial instruments represented by debt instruments:

- interest is recorded under item “10 - Interest income and similar revenues”;
- expected credit losses recognised in the financial year are accounted for in item “130 - “Net impairment (losses)/reversals for credit risk of: b) financial assets measured at fair value through comprehensive income” as a balancing entry to the specific equity valuation reserve (“110. Valuation reserves”); the same applies to recoveries of part or all of the write-downs made in previous financial years;
- at the moment of derecognition, valuations accumulated in the specific equity reserve are reversed to the income statement under item “100 - Gains (losses) on disposal/repurchase of: b) financial assets measured at fair value through other comprehensive income”.

As regards financial assets represented by equity instruments, for which the so-called “OCI election” was exercised, only dividends are booked to the income statement (item “70 - Dividends and similar income”). Changes in fair value subsequent to initial recognition are recorded in a specific valuation reserve under shareholders' equity (item “110 - Valuation reserves”); in the event of derecognition of the asset, the cumulative balance of this reserve is not reversed to the income statement but is reclassified under earnings reserves of equity (item “140 - Reserves”).

e) derecognition criteria

Financial assets are derecognised from financial statements: i) upon expiration of the contractual rights on the cash flows resulting from the assets, or ii) when the financial assets are sold and all related risks/benefits are



transferred. However, if a relevant portion of the risks and rewards associated with disposed financial receivables have been maintained, they continue to be posted in the financial statements, even if legal ownership of the asset has been effectively transferred.

If it is not possible to ascertain a substantial transfer of risks and rewards, the financial assets are derecognised when control of the assets has been surrendered. Conversely, if such control has been maintained, even partly, the assets should continue to be recognised to the extent of residual involvement, as measured by the exposure to the changes in value of the assets disposed and to the changes in their cash flows.

Finally, disposed financial assets are derecognised if the contractual rights to receive the cash flows are maintained and a contractual obligation is simultaneously undertaken to pay only said flows, without a significant delay, to third parties.

f) reclassification criteria

According to the general rules established by IFRS 9 on reclassifying financial assets (with the exception of equity securities, for which reclassification is not permitted), reclassifications to other categories of financial assets are not permitted unless the entity changes its business model for managing financial assets. In these cases, which are expected to be highly infrequent, financial assets may be reclassified from the category 'measured at fair value through other comprehensive income' to one of the other two categories envisaged by IFRS 9 (financial assets measured at amortised cost or financial assets measured at fair value through profit or loss). The transfer value is represented by the fair value at the time of the reclassification and the effects of the reclassification apply prospectively from the reclassification date. If assets are reclassified from this category to the amortised cost category, the cumulative gain (loss) recorded in the valuation reserve is adjusted to the fair value of the financial asset at the reclassification date. If, instead, assets are reclassified to the fair value through profit or loss category, the cumulative gain (loss) recorded previously in the valuation reserve is reclassified from shareholders' equity to profit (loss) for the year.

For more information on classification criteria for financial instruments, please refer to the section "Classification criteria for financial assets" below.

3 Financial assets measured at amortised cost

a) classification criteria

This category includes financial assets represented by loans and debt securities, managed as part of a "Held to collect" business model and whose contractual flows represent only payments of principal and interest on the principal to be repaid (Solely Payment of Principal and Interest - SPPI - test passed).⁷²

The portfolio of financial assets measured at amortised cost includes:

- the entire portfolio of loans in the various technical forms that satisfy the above requirements (including repurchase agreements), stipulated with both banks and customers;
- debt securities, mainly government bonds, which satisfy the above requirements;
- operating receivables connected with providing financial assets and services as defined in the Consolidated Law on Banking and the Consolidated Law on Finance (e.g., for distribution of financial products and servicing activities);
- receivables originating from financial lease transactions which, in accordance with IFRS 16, are recognised as credits as they transfer risks and benefits to the lessee, including the values referring to assets pending financial leasing, such as properties under construction;
- loans to banks and central banks other than "at sight".

b) recognition criteria

Financial assets are initially recognised on the date of settlement, with reference to debt securities, and on the date of disbursement, with reference to loans. In particular, as far as loans are concerned, the disbursement date

⁷² Financial instruments held within the framework of a business model whose objective is ownership of said instruments for the purpose of collecting cash flows can be associated with the "Held to Collect" business model.



normally coincides with the contract execution date. If this coincidence does not occur, at the time of the contract execution, a commitment to disburse funds is recorded, which closes on the date of disbursement of the loan. The initial recognition is based on the fair value of the financial instrument (which is normally equal to the amount disbursed or price of underwriting), inclusive of the costs/income directly related to the individual instruments and determinable as of the transaction date, even if such costs/income are settled at a later date. This does not include costs which have these characteristics but are subject to repayment by the debtor or which can be encompassed in ordinary internal administrative expenses.

Repurchase agreements with forward repurchase or resale obligation are recorded in the financial statements as funding or lending transactions. In particular, spot sales and forward repurchase transactions are recognised in the financial statements as payables for the spot amount received, while spot purchase and forward resale transactions are recognised as receivables for the spot amount paid.

c) measurement criteria and revenue recognition criteria

Following initial recognition, financial assets booked to this category are measured at amortised cost using the effective interest rate criterion. This interest is recorded under item “10 - Interest income and similar revenues”.

The gross book value is equal to the first-time recognition value, decreased/increased by:

- principal repayments;
- amortisation – calculated using the effective interest rate method – of the difference between the amount disbursed and the amount repayable upon maturity, typically attributable to the costs/income directly charged to each receivable.

The effective interest rate is identified by calculating the rate that equals the present value of future flows of the asset, in terms of principal and interest, to the amount disbursed including the costs/income related to the asset. The estimate of cash flows must take into account all contractual clauses that may affect amounts and maturities, without considering the expected losses on the asset. This accounting method, using a financial logic, makes it possible to distribute the economic effect of all transaction costs, commissions, premiums or discounts considered an integral part of the effective interest rate over the expected residual life of the asset.

The amortised cost method is not used for short-term receivables, for which the effect of applying a discounting approach is negligible, for loans without a defined maturity, and for revocation loans. For more detailed information on amortised cost, please refer to the following section “Other significant accounting practices - amortised cost”.

The book value of financial assets at amortised cost is adjusted to take into account any provision to cover expected losses (expected credit losses). For each reporting period, the aforementioned assets are subject to impairment testing with the aim of estimating expected losses in value for credit risk (ECL - Expected Credit Losses). These losses are recorded in the income statement under item “130 - Net impairment (losses)/reversals for credit risk”. If there is no reasonable expectation of recovery, the gross exposure is written-off: in this case, the gross exposure will be reduced by the amount deemed non-recoverable, as a balancing entry to the reversal of the provision to cover expected losses and impairment losses in the income statement, for the part not covered by the provision. For further details on the accounting treatment of “write-offs”, please refer to the following paragraph on “derecognition criteria”.

More specifically and as better explained in the paragraph “Use of estimates and assumptions when preparing financial statements - Methods for calculating impairment on IFRS 9 financial instruments”, the impairment model classifies the assets into three separate stages (stage 1, stage 2, stage 3), according to trends in the debtor's creditworthiness, each of which has different criteria for measuring expected losses:

- *stage 1*: includes performing financial assets for which there has been no significant increase in credit risk with respect to the initial recognition date, or for which credit risk is considered low. Impairment is based on an estimate of expected loss over a one-year time horizon (expected loss that would result from default events on financial assets that are deemed possible within one year of the reference date);
- *stage 2*: include performing financial assets which have suffered a significant impairment in credit risk compared to the initial recognition. Impairment is measured as the estimated expected loss with reference to a timespan equal to the residual life of the financial asset;
- *stage 3*: represents non-performing financial assets (probability of default equal to 100%), to be assessed based on an estimate of expected loss over instrument's life.



For performing assets, expected losses are determined according to a collective process based on certain risk parameters represented by the probability of default (PD), the loss rate in the event of default (LGD, Loss Given Default) and the exposure value (EAD, Exposure At Default) deriving from internal models for the calculation of regulatory credit risk, appropriately adjusted in order to take into account the specific requirements envisaged by accounting regulations.

For non-performing assets, i.e., assets for which, in addition to a significant increase in credit risk, objective evidence of impairment has been found, impairment losses are quantified based on an analytical or lump-sum measurement process by homogeneous risk categories - aimed at determining the present value of expected future recoverable cash flows, discounted using the original effective interest rate or a reasonable approximation thereof, if the original interest rate cannot be directly determined.

The non-performing asset category includes exposures assigned the status of bad loan, unlikely to pay, or past-due/overdrawn for more than ninety days, in accordance with the definitions established by supervisory regulations in effect (Bank of Italy Circular no. 272 "Accounts Matrix") and referred to in Bank of Italy Circular no. 262, as these definitions are deemed consistent with accounting regulations envisaged in IFRS 9 for objective evidence of impairment.

In the event of sale scenarios, the cash flows are calculated based not only on the forecast of the recoverable amounts through internal management activity, but also on the basis of the flows that can be obtained from any sale on the market, according to the approach described in the subsequent paragraph "Use of estimates and assumptions when preparing financial statements - Methods for calculating impairment on IFRS 9 financial instruments".

In addition, the expected cash flows include forecasts for collection timing and the realisable value of any guarantees as well as the costs connected with obtaining and selling the guarantee. In this regard, in the event that the Bank uses a third party to collect non-performing loans, the fees paid to the outsourcer for activities strictly related to collection are considered for the purpose of estimating impairment losses. These costs are considered for both non-performing and performing exposures, if for the latter it is probable that in the event of a transfer to bad loans, the collection activities will be assigned to third parties.

For fixed-rate positions, the original effective rate used to discount the expected cash flows from collection, calculated as described above, remains unchanged over time even if there is a change in the contractual rate due to the debtor's financial difficulties. For floating-rate positions, the rate used to discount cash flows is updated for the indexing parameter (e.g., Euribor), while keeping the fixed spread at the original level.

The financial asset's original value is restored in subsequent financial years when there is an improvement in the exposure's creditworthiness compared to that which had led to the previous write-down. The reversal is posted to the same item in the income statement ("130 - Net impairment (losses)/reversals for credit risk") and may not, in any case, exceed the amortised cost that the asset would have had without prior adjustments. For more detailed information on the impairment model, please refer to the subsequent paragraph "Use of estimates and assumptions when preparing financial statements - Methods for calculating impairment on IFRS 9 financial instruments".

For non-performing exposures, accrued interest is calculated based on amortised cost, i.e., using the value of the exposure - calculated with the effective interest rate - adjusted for expected losses. In case of management of non-performing exposures, or of transfer from stage 3 to stage 2, interest will once again be calculated based on the gross exposure value; the positive difference is recognised, as the recovery of previous impairment losses, as an offsetting entry to item "130. Net impairment (losses)/reversals for credit risk". The same accounting entry is made in the event that the interest collected is greater than the expected cash flows.

Finally, for non-performing exposures that do not accrue contractual interest, such as bad loans, this interest corresponds to the progressive release of the discounting of collection forecasts, as the effect of the simple passage of time.

**d) derecognition criteria**

The financial assets are derecognised in the event one of the following cases will occur:

- the contractual rights on the cash flows deriving from the same expire;
- the financial asset is sold with the substantial transfer of all risks and benefits resulting from ownership;
- if it is not possible to ascertain a substantial transfer of risks and benefits, the financial assets are derecognised when control of the assets has been surrendered;
- the entity retains the contractual right to receive cash flows from the financial assets, but simultaneously assumes the contractual obligation to pay said flows to a third party (pass-through arrangements) without delay and only to the extent of the amount received;
- the asset is subject to “substantial” changes, as more extensively described in the section “Renegotiations”.

With regard to non-performing financial assets, the asset may be derecognised following the acknowledgement of the non-recoverability of the exposure and the resulting closure of the collection process (definitive derecognition), and entails the reduction of the nominal value and of the gross book value of the loan. This case occurs when settlement agreements have been reached with the debtor that entail a reduction in the loan (resolution agreement) or in the presence of specific situations such as, for example:

- a judgement has been handed down by the court that declares the loan all or partially settled;
- the conclusion of bankruptcy or enforcement proceedings against both the principal debtors and guarantors;
- the conclusion of all possible judicial and extra-judicial actions for credit collection;
- the completion of a mortgage lien on an asset under guarantee, with the resulting derecognition of the loan guaranteed by the property under lien, in the absence of further specific guarantees or other actions that can be taken to recover the exposure.

These specific situations may result in a full or partial derecognition of the exposure but do not necessarily imply a waiver of the legal right to collect the loan.

In addition, non-performing financial assets may be derecognised following their “write-off”, upon acknowledgement that there are no reasonable expectations of collection, while continuing with actions aimed at their recovery. This write-off is carried out in the financial year in which the loan, or part of it, is considered non-recoverable - despite not closing the legal procedure - and can take place before the legal actions taken against the debtor and guarantors for credit collection. It does not imply the waiver of the legal right to collect the loan and is made if the loan documentation contains reasonable financial information indicating that the debtor will be unable to repay the loan amount. In this case, the gross nominal value of the loan remains unchanged, but the gross book value is reduced by an amount equal to the amount to be written off, which may represent the full exposure or a portion of it. The write-off amount cannot be subjected to subsequent write-backs following an improvement in collection forecasts, rather only as the result of amounts effectively collected.

In the event of derecognition, the difference between the carrying amount of the asset at the derecognition date and consideration received, inclusive of any assets received net of any liabilities assumed, must be recognised in the income statement, under item “100. a) Gains/(losses) on disposal or repurchase of: financial assets measured at amortised cost”.

e) reclassification criteria

According to the general rules established by IFRS 9 on reclassifying financial assets, reclassifications to other categories of financial assets are not permitted unless the entity changes its business model for managing financial assets. In these cases, which are expected to be highly infrequent, financial assets may be reclassified from the category ‘measured at amortised cost’ to one of the other two categories envisaged by IFRS 9 (financial assets measured at fair value through other comprehensive income or financial assets measured at fair value through profit or loss). The transfer value is represented by the fair value at the time of the reclassification and the effects of the reclassification apply prospectively from the reclassification date. Gains or losses resulting from the difference between the amortised cost of the financial asset and the associated fair value are booked to the income statement in the case of reclassification under “Financial assets measured at fair value through profit or loss” and,



under equity, in the appropriate valuation reserve, in the case of the reclassification under “Financial assets measured at fair value through other comprehensive income”.

For more information on classification criteria for financial instruments, please refer to the section “Classification criteria for financial assets” below.

4 Hedging transactions

The Bank exercised the option, envisaged on first-time application of IFRS 9, to continue to use exclusively, as regards “hedge accounting”, the provisions of IAS 39 (carved-out version endorsed by the European Commission) for all types of hedge (both micro and macro hedges).

a) classification criteria – types of hedging

Risk-hedging transactions are aimed at offsetting any potential losses on a certain financial instrument or group of financial instruments that may arise from a specific risk should it occur.

The following types of hedging are included:

- fair value hedges, which are intended to hedge the exposure to changes in fair value of a recognised asset or liability that are attributable to a particular risk. These include generic fair value hedges (macro-hedges) having the objective of reducing fluctuations in fair value due to interest rate risk, of a monetary amount, arising from a portfolio of financial assets and liabilities (including core deposits). Generic hedges cannot be used to cover net amounts resulting from the offsetting of assets and liabilities;
- cash flow hedges, which are intended to hedge the exposure from variability in future cash flows attributable to particular risks associated with a recognised asset or liability or a transaction that is deemed highly likely;
- hedges of a net investment in a foreign operation, which refers to hedging the risks of an investment in a foreign operation denominated in a foreign currency.

Given the decision of the Bank to avail itself of the option of continuing to fully apply the rules of IAS 39 for hedging relationships, it is not possible to designate equity securities classified under Financial assets measured at fair value through other comprehensive income (FVOCI) as items hedged against price or exchange rate risk, given that these instruments do not impact the income statement, not even in the event of sale (except for the dividends that are recognised in the income statement).

b) recognition criteria

Financial hedging derivatives, just as for all derivatives, are initially recognised at fair value on the date the contract is stipulated and are classified, as a function of their positive or negative value, in the asset item “50. Hedging derivatives” or in the liability item “40. Hedging derivatives”.

A relationship qualifies as a hedge, and is represented in the accounts, if and only if all the following conditions are met:

- at the start of the hedge there is a formal designation and documentation of the hedging relationship, the company’s objectives in managing the risk and the strategy in carrying out the hedge. This documentation includes the identification of the hedging instrument, the hedged item or transaction, the nature of the hedged risk and how the company assesses the effectiveness of the hedging instrument in offsetting the exposure to changes in the fair value of the hedged element or cash flows attributable to the hedged risk;
- the hedge is expected to be highly effective;
- the planned transaction subject to hedging, for cash flow hedges, is highly probable and presents an exposure to changes in cash flows that could affect the income statement;
- the effectiveness of the hedge can be reliably measured;
- the hedge is valued on the basis of a continuity criterion and is considered highly effective for all the reference financial years for which the hedge was designated.



Hedge effectiveness depends on the extent to which changes in the fair value or expected cash flows of the hedged item are offset by corresponding changes in the hedging instrument. Therefore, effectiveness is measured by comparing said changes, while taking into account the company's intent at hedge inception. With reference to the hedged risk, the hedging is effective (within the 80% to 125% window) when the changes in fair value (or in the cash flows) of the hedging instrument offset the changes in the hedged item almost entirely.

Effectiveness is assessed at year-end or at interim reporting dates by using:

- prospective tests, which justify the application of hedge accounting, as they demonstrate its expected effectiveness;
- retrospective tests, which show how effective the hedging relationship has been in the period under review.

c) measurement criteria and revenue recognition criteria

Hedging derivatives are measured at fair value. In particular:

Fair value hedging

In the case of specific fair value hedging, the change in the fair value of the hedged element (for changes generated by the underlying risk factor) adjusts the book value of the hedged element and is immediately recognised, regardless of the category to which the hedged asset or liability belongs, along with the change in the fair value of the hedging instrument, in income statement item "90 - Net profit (loss) from hedging". Any difference, i.e. partial ineffectiveness of the hedging derivatives, reflects their net P&L impact.

If the hedging relationship is suspended, the hedged instrument, if not derecognised from financial statements, is returned to the original valuation criterion of the class to which it belongs. Specifically for instruments measured at amortised cost, the cumulative revaluations/write-downs recorded as a result of changes in the fair value of the hedged risk are recognised in the income statement in interest income and expense over the residual life of the hedged item, based on the effective interest rate. Instead, if the suspension of the hedge is accompanied by the derecognition from financial statements of the hedged item (e.g., sale or early repayment), the fair value portion not yet amortised is immediately recognised in the income statement under the item "90 - Net profit (loss) from hedging".

With regard to generic fair value hedging transactions (macro-hedges), changes in fair value of the hedged risk of assets and liabilities subject to hedging are recorded in the balance sheet, respectively, under item "60 - Change in value of macro-hedged financial assets" or "50 - Change in value of macro-hedged financial liabilities". The offsetting item for changes in value in both the hedged element and the hedging instrument, similar to specific fair value hedges, is item "90 - Net profit (loss) from hedging" in the income statement. In the event of termination of a generic fair value hedging relationship, the cumulative revaluations/write-downs recorded in the above-mentioned balance sheet items are recognised in the income statement under interest income or expense for the residual duration of the original hedging relationships, subject to verification that the prerequisites have been met.

Cash flow hedging

The changes in fair value of the hedging instrument are posted to a specific shareholders' equity reserve (item "110 - Valuation reserves") with reference to the effective portion of the hedge, while fair value changes of the hedging instrument that are not offset by changes in the hedged item's cash flows are posted to the income statement under item "90 - Net profit (loss) from hedging". If the cash flow hedge is no longer considered effective, or the hedging relationship is terminated, the total amount of profits or losses on the hedging instrument, already recognised under "Valuation reserves", is recognised in the income statement only in the when the hedging transaction will take place or when it is no longer considered possible for the transaction to occur; in the latter circumstance, the profits or losses are transferred from the shareholders' equity item to the income statement item "90. Net profit (loss) from hedging".

Hedges of foreign currency investments

Hedges of foreign currency investments are accounted for similarly to cash flow hedges.

d) derecognition criteria

If the tests do not confirm hedge effectiveness, both retrospectively and prospectively, hedge accounting is discontinued as described above. In this circumstance, the hedging derivative contract is reclassified under "Financial assets measured at fair value through profit or loss" and in particular under financial assets held for trading.



In addition, the hedging relationship ceases when:

- the derivative expires, is extinguished or exercised;
- the hedged item is sold, expires, or is repaid;
- it is no longer highly likely that the hedged future transaction will occur.

As an exception to the provisions of IAS 39, discontinuing is not carried out following the updating of the documentation on the hedging relationship (due to the change in the hedged risk, the hedged underlying, the hedging derivative or the method for verifying the resilience of the hedge) in the event of changes necessary as a direct consequence of the Reform of the reference indices for the determination of interest rates (IBOR Reform) and carried out on an equivalent economic basis.

5 Equity investments

a) classification criteria

This item includes equity interests held in subsidiaries, associates or joint ventures, which are recognised in accordance with the cost method.

Equity investments and equity securities are considered subject to control (subsidiaries) if the Bank directly or indirectly holds the absolute majority of voting rights and such rights are substantive, or if the Bank holds the relative majority of voting rights and the other voting rights are held by widely dispersed among shareholders. Control may also exist in situations in which the Bank does not hold the majority of voting rights, but holds sufficient rights to have the practical ability to unilaterally direct relevant activities of the investee or in the presence of:

- substantive potential voting rights through underlying call options or convertible instruments;
- rights deriving from other contractual arrangements which, combined with voting rights, give the Bank the de facto ability to direct production processes, other operating or financial activities able to significantly influence the investee's returns;
- power to influence, through rules of the by-laws or other contractual arrangements, governance and decision-making procedures regarding relevant activities;
- majority of voting rights through contractual arrangements formalised with other holders of voting rights (i.e., shareholders' agreements).

As regards structured entities - investment funds the Bank takes the following positions with respect to funds:

- subscriber of units, held for long-term investment purposes or for trading;
- counterparty in derivatives.

A relationship of control exists when the following situations are present:

- a) the Bank, as a subscriber of units, is able to remove the investment fund manager without just cause or for reasons associated with fund performance, and such rights are substantive;
- b) existence of provisions in the fund regulation envisaging the establishment within the fund of committees, in which the Bank participates, that influence the governance of relevant activities and have the legal and/or de facto right to control the activities of the fund manager;
- c) existence of other relations with the fund, such as the presence within the fund of personnel with strategic responsibilities associated with the Bank and the presence of contractual relations that subject the fund to the Bank for the subscription or placement of units.

Lastly, with reference to structured entities - special purpose securitisation vehicles, the Bank checks the fulfilment of requirements of control over special purpose securitisation vehicles, considering both the possibility of exercising power over the relevant assets for its own benefit and the ultimate purpose of the transaction, as well as the involvement of the investor/sponsor in the structuring of the transaction.

For autopilot entities, the subscription of the substantial entirety of the notes by the Bank is considered an indicator of the presence, particularly during the structuring phase, of the power to manage relevant activities to influence the economic returns of the transaction.

Companies subject to significant influence are considered associates. It is assumed that the company exercises significant influence in all cases in which it holds at least 20% of the voting rights (including "potential" voting



rights) and, regardless of the interest held, if the company has the power to participate in management and financial decisions of the investee, by virtue of specific legal connections, such as shareholders' agreements, with the purpose for the agreement's participants to ensure representation in management bodies and to ensure management unity, without having control.

Entities are considered to be jointly controlled companies when control is shared between the Bank and one or more other parties based on contracts or agreements of another nature, according to which financial and management decisions with strategic purposes are made through the unanimous consent of all parties that share control. This occurs when the voting rights and control of the economic activity of the investee are shared equally by Banca MPS and another entity. In addition, a joint investment is defined as an equity investment in which, even in the absence of an equal share of voting rights, the unanimous consent of all parties sharing control is required for the making resolutions concerning the relevant activities.

b) recognition criteria

Initial recognition of financial assets classified in this category occurs on the settlement date, for a total value equal to the cost, including any goodwill paid at the time of acquisition, which is therefore not subject to independent and separate recognition.

c) measurement criteria and revenue recognition criteria

Equity investments in subsidiaries, associates and joint ventures are recognised at cost. At each date of the financial statements or interim reports, the equity investments are checked for indicators of impairment. If evidence of impairment indicates that there may have been a loss in value of an equity investment, then the recoverable value of the equity investment (which is the higher of the fair value, less costs to sell, and the value in use) should be estimated. The value in use is the present value of the future cash flows expected to be derived from the equity investment, including those arising from its final disposal.

Should the recoverable value be less than its book value, including any goodwill, the difference is recognised immediately in the income statement under item "220 - Gains (losses) on investments". Should the reasons for impairment no longer apply as a result of an event occurring after the impairment was recognised, reversals of impairment losses are charged to the same item in the income statement, up to the amount of the previously recognised impairment.

For more detailed information, please refer to the paragraph "Use of estimates and assumptions when preparing financial statements - Methods for calculating impairment on equity investments".

The profit related to the equity investments is booked to the income statement of the Bank regardless of whether it was generated by the investee before or after the date of purchase. The result of the disposal of equity investments is recognised in the income statement under item "220 - Gains (losses) on investments".

d) derecognition criteria

Equity investments are derecognised upon maturity of the contractual rights on the cash flows resulting from the assets or when all related risks/rewards associated to them are transferred. If there is a situation that results in loss of significant influence or joint control, any residual equity investment is reclassified in the IFRS 9 financial asset portfolios.

6 Property, plant and equipment

a) classification criteria

Property, plant and equipment include land, properties for business use, investment properties, systems, furnishings and fixtures, equipment of any type and artworks.

Operating properties are properties owned by the Bank and used in the production or supply of goods and services or for administrative purposes (classified as "Property, plant and equipment used in the business" and recognised in accordance with IAS 16), whereas investment properties are those owned by the Bank for the purpose of collecting rents and/or held for appreciation of capital invested (classified as "Property, plant and equipment held for investment" and follow the rules set forth in IAS 40).

The item also includes property, plant and equipment classified according to IAS 2 "Inventories", mainly relating to assets acquired for the purposes of enhancing the value of the investment, including through restructuring or



redevelopment works, with the explicit intention of selling them in the immediate future, as part of the normal course of business, including assets deriving from the enforcement of guarantees received or from auction purchases.

Property, plant and equipment includes those assets associated with finance lease contracts that were returned to the company, as lessor, following contract termination and the simultaneous closure of the original credit position.

This category also includes i) rights of use acquired through leasing, both financial and operating, relating to plant, property and equipment that the Bank uses as lessee in the business or for investment purposes, ii) assets granted under operating leases (for lessors), as well as iii) improvements and incremental expenses incurred on owned assets and third-party assets, the latter provided they are identifiable and separable (e.g. ATM).

b) recognition criteria

Property, plant and equipment, for business use or otherwise, are originally recognised at cost, which includes the purchase price and any additional charges directly attributable to the purchase and installation of the assets.

Non-recurring expenditures for maintenance which involve an increase in future economic benefits are booked as an increase in the value of the assets, while expenses for ordinary maintenance are booked to the income statement.

c) measurement criteria and revenue recognition criteria

Subsequent to initial recognition, property, plant and equipment for business use are valued at cost, as defined above, net of cumulative depreciation and any cumulative impairment, with the exception of:

- real estate used in the business and valuable artistic assets for which the Bank has adopted the option allowed by IAS 16, to measure them on the basis of the revaluation method;
- properties held for investment purposes, for which the Bank has adopted the option, permitted by IAS 40, of measuring them on the basis of the fair value method;
- property, plant and equipment falling under IAS 2 are valued at the lower of the cost and the net realisable value, represented by the estimated sale price less the presumed costs for completion and the other costs necessary to make the sale.

For owned real estate assets for business use, the Bank has adopted the restated value method as the valuation criterion. This method requires that assets be carried at a restated value, equal to the fair value at the date of revaluation, less any accumulated depreciation and value adjustments.

According to the revaluation method:

- if the carrying amount has increased following a revaluation, the increase is recognised with an offsetting entry in liability item "110 - Valuation reserves", with the exception of impairment reversals of previous impairment recognised in the income statement, which are recognised in the income statement in item "230 - Net gains (losses) on property, plant and equipment and intangible assets measured at fair value" within the limits of the above-mentioned impairment;
- if the carrying amount of an asset has decreased following a revaluation, the decrease is recognised in the income statement in item "230 - Net gains (losses) on property, plant and equipment and intangible assets measured at fair value" unless the asset has been subject to a previous revaluation, in which case the impairment is recognised as a reduction of the liability item "110 - Valuation reserves", for up to its total amount.

The Bank revalues the properties held for business use every two years, using appraisals prepared by independent experts.

In non-revaluation financial years, a scenario analysis is performed for all properties to ensure that the carrying amount provides a good approximation of the property's fair value and does not materially differ from what it would have been if the new appraisal had been performed annually.

Property, plant and equipment held for business use, including operating properties measured at the "restated value", are systematically depreciated over their useful life. The depreciable amount, equal to cost (or the net revalued value, if the revaluation method is adopted for valuation purposes) less the residual value (or the amount normally expected to be obtained from disposal, after deducting expected costs to sell, if the asset is already in the conditions, including in relation to age, expected at the end of its useful life), is broken down on a straight-line basis throughout the useful life of the asset, adopting the straight-line approach as the depreciation method. The



useful life, subject to periodic review to identify any estimates significantly different from the previous ones, is defined as:

- the period of time in which it is expected that an asset will be usable by the company or,
- the quantity of products or similar units that the company expects to obtain from the use of the asset.

Depreciation begins when the asset is available for use and ends at the most recent date between that on which the asset is classified as held for sale and that of derecognition. For property, plant and equipment valued at cost, depreciation does not end when the asset becomes unused or is withdrawn from active use, unless the asset has already been fully depreciated. If a property for business use becomes unusable or is withdrawn from active use, it is necessary to promptly evaluate the change in the intended use and the resulting reclassification to investment property or assets held for sale. In these cases, depreciation is discontinued.

Land, either on its own or included in the property value, is not subject to depreciation as it has an indefinite useful life. For properties for business use, measured according to the “revaluation method”, the value of land is separated from the total property value, on the basis of the indications set forth in the appraisal.

Works of art are not subject to depreciation as their value is generally destined to increase over time.

For leasehold improvements, represented by identifiable and separable tangible assets, depreciation is determined according to the useful life of these assets.

Periodic depreciation is posted to the income statement under item “180 - Net value adjustments to/recoveries on property, plant and equipment”.

The presence of any signs of impairment, or indications that assets might have lost value, shall be tested at the end of each reporting period. Should there be indications of impairment, for properties that are owned, with the exception of investment property, and those that are leased, a comparison is made between the book value of the asset and the asset's recoverable value, i.e. the higher of the fair value, less any costs to sell, and the relevant value in use, which is the present value of the future cash flows generated by the asset.

Where the reasons for impairment cease to exist, a reversal is made, which shall not exceed the value that would have been determined (net of depreciation) had no impairment loss been recognised for the asset in prior periods.

For properties held for investment purposes, falling within the scope of IAS 40, the Bank has adopted the fair value measurement method, based on which, after initial recognition, all investment properties are measured at fair value. As a result, these properties are not subject to depreciation, nor are they subject to an impairment loss. Under the fair value method, the positive or negative change in fair value is recognised in the income statement in item “230 - Net gains (losses) on property, plant and equipment and intangible assets measured at fair value”. For the measurement of the fair value of the property assets in question, a fair value estimation process is carried out at least annually.

For the methods used to measure the fair value and the periodicity of recalculation of real estate assets, please refer to the criteria illustrated in “Part A.4 - Information on fair value” below.

Property, plant and equipment falling under IAS 2 are valued in the same way as inventories and, therefore, at the lower of the cost at initial recognition and the net realisable value, represented by the estimated sale price less the presumed costs for completion and the other costs necessary to make the sale. Any losses in value are posted to the income statement under item “180 - Net value adjustments to/recoveries on property, plant and equipment”. Periodic depreciation is not applied in this case.

Property, plant and equipment represented by the right of use of assets under lease agreements

Pursuant to IFRS 16, a “lease” is a contract, or part of a contract, which, in exchange for a consideration, transfers the right of use (RoU) of an asset (the underlying asset) for a period of time.

The right-of-use asset acquired through the lease is recognised in the financial statements at the start date of the contract, i.e. at the date on which the asset is made available to the lessee and is initially valued at cost. This cost includes:

- the initial measurement of the lease liability, net of VAT;
- any lease payments made by the start date, net of any lease incentives;
- any initial direct costs incurred, understood as incremental costs incurred to obtain the lease that would not have otherwise been incurred (e.g. brokerage commissions and success fees);



- estimated costs of refurbishment and dismantling, in cases where the contract provides for them.

In connection with the right of use asset, the lessee recognises a liability for the lease under item “10 - Financial liabilities measured at amortised cost” corresponding to the present value of payments due for the lease. The discount rate used is the implicit interest rate, if it can be determined; otherwise, the lessee’s marginal borrowing rate is used.

The Bank uses as the discount rate, where there is no implicit interest rate in the contract, the maturity curve aligned to the individual lease contracts consisting of the Euribor 6M base rate and the blended funding spread, the latter equal to the weighted average of the funding curves for unsecured senior bonds, protected deposits and preference deposits. The adoption of this curve is in line with the characteristics of leasing agreements, which typically provide for fixed fees throughout the duration of the contract, and of the underlying assets.

The discount rate so defined takes into account the creditworthiness of the tenant, the duration of the lease, the asset underlying the right of use and the economic environment, identified in the Italian market, where the transaction takes place and therefore it is in line with the requirements of the standard.

If a lease agreement contains “non-leasing components” (e.g. services rendered, such as ordinary maintenance, to be recognised according to the provisions of IFRS 15), the lessee must account separately for “leasing components” and “non-leasing components” and divide the contract’s payments between the various components based on their relative stand-alone prices.

The lessee may opt to recognise the payments due for the lease directly as a charge in the income statement, on a straight-line basis over the life of the lease agreement or according to another systematic method that represents the manner in which the economic benefits are used in the case of:

- short-term leases (equal to or less than 12 months) that do not include a purchase option of the asset leased by the lessee;
- leases in which the underlying asset is of modest value.⁷³

The Bank has chosen to recognise the cost in the income statement on a straight-line basis over the life of the lease agreement.

The lease term is determined taking into account:

- periods covered by an option to extend the lease, if the exercise of the same is reasonably certain;
- periods covered by a lease termination option, if the exercise of said option is reasonably certain.

During the term of the lease, the lessee must:

- measure the right of use at cost, net of accumulated amortisation and cumulative value adjustments determined and recognised on the basis of the provisions of IAS 36 “Impairment of assets”, adjusted to take into account any restatements of the lease liabilities;⁷⁴
- increase the liability deriving from the lease transaction following the accrual of interest expense calculated at the implicit interest rate of the lease, or, alternatively, at the marginal borrowing rate and reduce it for payments of principal and interest.

In the event of changes in the payments due for the lease, the liability must be restated; the impact of the recalculation of the liability is recognised as a contra-entry to the asset consisting of the right of use.

⁷³The significance threshold identified is EUR 5,000.

⁷⁴In determining the amortisation period, account must be taken of whether or not the transfer of ownership of the underlying asset is envisaged at the end of the lease term or whether the cost of the asset consisting of the right of use reflects the fact that or not that the lessee will exercise the purchase option. In the first case, the amortisation period coincides with the useful life of the underlying asset, determined at the start date. In the second case, the amortisation period coincides with the useful life of the asset consisting of the right of use or, if shorter, the duration of the lease.

**d) derecognition criteria**

Property, plant and equipment are derecognised from the balance sheet upon their disposal or when the assets are permanently withdrawn from use and no future economic benefits are expected as a result of their disposal.

Any gains and losses deriving from the disposal or sale of property, plant and equipment are calculated as the difference between the net sale price and the book value of the asset and are recognised in the income statement under item “250. Gains (losses) on disposal of investments”.

In the case of the sale of a property for business use, the corresponding valuation reserve accrued is transferred to other components of Shareholders' equity, specifically liability item “150 - Reserves”, with no reversal to profit or loss.

The right of use assets, accounted for according to IFRS 16, are derecognised at the end of the lease term.

7 Intangible assets**a) classification criteria**

Intangible assets are non-monetary assets, identifiable and without physical substance, originating from legal or contractual rights, held for use over a multi-year or indefinite period, from which it is probable that future economic benefits will flow and whose cost can be reliably measured. Intangible assets also include goodwill, which represents the positive difference between the purchase cost and the fair value of the assets and liabilities pertaining to an acquired company, as best specified in paragraph “16 - Other information, Business combinations”.

b) recognition criteria

They are recognised at cost, adjusted by any additional charges only if it is probable that the future economic benefits that are attributable to the asset will flow to the entity and if the cost of the asset can be measured reliably. The cost of intangible assets is otherwise posted to the income statement in the financial period it was incurred.

Relevant intangible assets for the Bank include:

- technology-related intangible assets including software licenses, internal capitalised costs, projects and licenses under development; in particular, internally incurred costs for software project development are intangibles recognised as assets if, and only if: a) the cost for development can be measured reliably, b) the entity intends and is financially and technically able to complete the intangible asset and either use it or sell it, c) the entity is able to demonstrate that the asset will generate future economic benefits. Capitalised costs for software development only include the expenses that are directly attributable to the development process;
- customer relationship intangible assets, represented by the value of assets under management/custody and core deposits in the event of business combinations.

Goodwill may be recognised, as part of business combinations, when the positive difference between the consideration transferred and any recognition at fair value of the minority interest and the fair value of the assets acquired is representative of future income-generating capacity of the equity investment (goodwill).

Should the cost incurred be less than the fair value of the assets and liabilities acquired, the difference (badwill) is directly recognised in the income statement.

c) measurement criteria and revenue recognition criteria

The cost of intangible assets with a finite useful life is amortised on a straight-line basis over the relative useful life. The amortisation process begins when the asset is made available for use and ceases from the moment the asset is derecognised. Instead, intangible assets with indefinite useful life are not amortised but the book value is periodically assessed for impairment.

At each annual and interim reporting date, the recoverable amount of the assets is estimated where there is evidence of impairment. The amount of the loss recognised in the income statement is equal to the difference between the book value and the recoverable amount of the assets.

The goodwill recognised is not subject to amortisation, but its book value is tested annually (or more frequently) when there are signs of impairment. To this end, the cash flow generating units to which goodwill is attributable are identified. These units represent the lowest level at which goodwill is monitored for internal management purposes and should not be larger than an operating segment as defined by IFRS 8.



The amount of the impairment loss is determined by the difference between the book value of goodwill and its recoverable amount, if lower. Said recoverable amount is the higher of the cash generating unit's fair value, less costs to sell, and its value in use. Value in use is the present value of future cash flows expected to arise from the years of operation of the cash generating unit and its disposal at the end of its useful life. The resulting value adjustments are posted to the income statement under item "190 - Net value adjustments to/recoveries on intangible assets". The same item includes the periodic amortisation of intangible assets with a finite useful life. An impairment loss recognised for goodwill shall not be reversed in a subsequent period.

d) derecognition criteria

Intangible assets are derecognised from the balance sheet upon disposal and when no future economic benefits are expected.

8 Non-current assets held for sale and disposal groups

a) classification criteria

Non-current assets/liabilities and disposal groups for which the book value will presumably be recovered through sale rather than continued use are classified under asset item "110 - Non-current assets held for sale and disposal groups" and liabilities item "70 - Liabilities associated with disposal groups".

To be classified in these items, the assets or liabilities (or disposal groups) must be immediately available for sale and there must be active and tangible programmes such as to suggest that their disposal is highly probable within one year of the date of classification in this category.

b) measurement criteria and revenue recognition criteria

Following initial recognition, non-current assets held for sale and disposal groups, with the relative liabilities, are valued at the lower of the book value and the fair value net of selling costs, with the exception of certain types of assets, such as, for example, all financial instruments falling under the scope of IFRS 9 - for which IFRS 5 specifically envisages that the measurement criterion of the reference accounting standard must be applied.

Amortisation/depreciation is discontinued at the date the non-current asset is classified as a non-current asset held for sale.

Should the disposal groups be attributable to discontinued operations (identifiable with the operations of a significant independent business unit or geographical area, also as part of a single coordinate disposal project, rather than an investee company acquired exclusively for resale), the relative revenues and charges, net of tax, are recognised in the income statement under item "290 - Profit (Loss) after tax from discontinued operations" of the income statement. Profit and loss associated with individual assets under disposal are recognised in the most appropriate income statement item.

c) derecognition criteria

Non-current assets and group of assets/liabilities held for sale and disposal groups are derecognised from the balance sheet upon disposal.

9 Current and deferred tax

a) recognition criteria

The effects of current and deferred taxation calculated in compliance with Italian tax laws are recognised on an accrual basis, in accordance with the measurement methods of the income and expenses which generated them, by administering the applicable tax rates.

Income taxes are posted to the income statement, excluding those relating to items directly credited or charged to equity.

Income tax provisions are determined on the basis of a prudential forecast of current tax expense, deferred tax assets and liabilities.

Current tax includes the net balance of current tax liabilities for the financial year and current tax assets with the Financial Administration, comprising tax advances, tax credit arising from prior tax returns and other withholding



tax credits. In addition, current tax includes tax credit for which reimbursement has been requested from the relevant tax authorities. Tax receivables transferred as a guarantee of own debts shall also be recorded within this scope.

Deferred tax assets and liabilities are determined on the basis of the temporary differences – with no time limits – between the value assigned to the assets or liabilities in accordance with statutory principles and the corresponding values for tax purposes, applying the balance sheet liability method.

Deferred tax assets determined on the basis of deductible temporary differences are recognised in financial statements for the extent to which they are likely to be recovered on the basis of the capacity of the company involved or all of the participating companies – as a result of exercising the option concerning “Tax consolidation” – to generate a positive taxable profit on an ongoing basis, in light of a probability test.

The probability of the recovery of deferred taxes relative to goodwill, other intangible assets and write-downs on loans (known as “convertible DTAs”) is to be automatically considered probable because of existing regulations that provide for conversion into tax credits, if a statutory and/or tax loss is incurred.

In particular, art. 2 - paragraphs 55 et seq. - of Italian Law Decree no. 225 of 29 December 2010 (and subsequent amendments) provides that:

- if the financial statements filed by the company show a statutory loss for the year, deferred tax assets (IRES and IRAP) relating to goodwill, other intangible assets, and loan write-downs will be converted into tax credits for a portion equivalent to the ratio between the statutory loss and the book value of shareholders’ equity prior to said loss. The conversion into tax credits becomes effective from the date when the ‘loss-incurring’ separate financial statements are approved by the Shareholders’ Meeting;
- if there is a tax loss for the year (that is, for IRAP purposes, a negative production value), the deferred tax asset relating to the deductions for goodwill, other intangible assets, and loan write-downs, which contributed to the formation of the tax loss (i.e., the negative production value) is transformed into a tax credit. Conversion will be effective as of the date of submission of the tax return for the financial year in which the loss is incurred.

As a result of the provisions contained in Italian Law Decree no. 83 of 27 June 2015, the convertible DTAs ceased to increase starting from 2016. In particular:

1. for deferred tax assets relating to goodwill, other intangible assets newly recognised in financial statements from 2016 onwards are excluded from the regulations pursuant to art. 2 - paragraphs 55 et seq. - of Italian Law Decree 225/2010;
2. for deferred tax assets relating to loan write-downs, from 2016 onwards, the accounting assumption for recognition in financial statements has ceased and these write-downs are entirely deductible in the accounting period. Note that the 2019 financial manoeuvre (Italian Law no. 145 of 30 December 2018) repealed the full deductibility of loan write-downs upon first-time application of IFRS 9, exclusively following the adoption of the model for recognising the provision to cover expected losses (ECL), providing for the deductibility (IRES and IRAP) of these write-downs on a straight-line basis over 10 financial years. It was, however, explicitly stated that the relative DTAs recorded in financial statements as a result, although referring to write-downs on loans to customers, cannot be converted into tax credits pursuant to Italian Law Decree 225/2010. It should also be noted that the portion referring to 31 December 2019 was deferred to 31 December 2028, as a result of the 2020 Budget Law (Italian Law no. 160 of 27 December 2019).

Furthermore, note that the Bank exercised the irrevocable option provided in Italian Law Decree no. 59 of 3 May 2016 (and subsequent amendments) to maintain the right to convert DTAs relative to goodwill, other intangible assets, and loan write-downs and losses into tax credits; thus, it is necessary to pay an annual fee for each financial year from 2016 onwards, if the conditions apply, until 2030.

Deferred tax assets on unused tax losses are recognised based on the same criteria as those used to recognise deferred tax assets on deductible temporary differences: therefore, they are shown in the balance sheet to the extent to which they are likely to be recovered on the basis of the capacity of the company to generate a positive taxable profit in the future. Since the existence of unused tax losses may be symptomatic of difficulties to generate positive taxable profit in the future, IAS 12 establishes that if losses have been posted in recent periods, suitable evidence must be provided to support the existence of such profit in the future. Furthermore, current Italian tax law allows for IRES losses to be carried forward indefinitely (art. 84, paragraph 1, of the Income Tax Act – TUIR); as a result, verifying the existence of future taxable profit against which to use such losses is not subject to any time limits.



As mentioned above, the Bank verifies the probability that there will be future taxable income (probability test) using the risk-adjusted approach, which provides for the application of a discount factor to future income. This factor, applied with the compound interest criterion, discounts future income at an increasing rate to reflect its uncertainty. For more details on the assessments made by the Bank to verify the possibility of recognising deferred tax assets, please refer to the subsequent paragraph “Use of estimates and assumptions when preparing financial statements - Methods for recognising deferred tax assets (probability test)”.

Deferred tax assets and liabilities are calculated using the tax rates expected at the date on which the temporary differences are reversed, on the basis of the provisions in force at the reporting date. In particular, for the purposes of recognition of deferred taxes, it has been considered that the 2020 Budget Law (Italian Law no. 160 of 27 December 2019) has reintroduced the ACE subsidy (Help for Economic Growth), effective from 2019, previously repealed by the 2019 Budget Law (Italian Law no. 145 of 30 December 2018). Any changes in tax rates or tax standards having a significant effect on deferred tax assets and liabilities that are issued or announced after the reporting date and before the publication authorisation date are treated as events after the reporting date that do not entail an adjustment pursuant to IAS 10, with the resulting disclosure in the Notes to the financial statements.

Deferred tax assets and liabilities are posted to the balance sheet by offsetting each tax against the defined asset or liability to which it relates.

b) classification and measurement criteria

Deferred tax assets and liabilities are systematically measured to take account of any changes in regulations or tax rates and of any different subjective situations of Group companies.

With reference to tax consolidation of the Bank and participating subsidiaries, contracts have been stipulated to regulate offsetting flows in relation to the transfers of tax profits and losses. Such flows are determined by administering the applicable IRES tax rate to the taxable income of participating companies. The offsetting flow for companies that transfer tax losses – calculated as above – is posted by the consolidating to the consolidated company when and to the extent to which the consolidated company will transfer positive taxable income in tax periods subsequent to that in which the loss was recorded, recorded, independently of the consolidated income (positive or negative) for the period. This arrangement is consistent with the option exercised in tax return, which provides for the attribution to the consolidating company of the entire residual consolidated tax loss in the event of early termination of group taxation. The offsetting flows so determined are posted as receivables and payables with companies participating in fiscal consolidation, classified under other assets and other liabilities, offsetting item “270 - Tax expense (recovery) on income from continuing operations”. The evaluation of the recovery of the consolidated tax loss carryforward on the basis of future income projections future of the group and the consequent recognition of the related DTAs are therefore the responsibility of the Bank, which represents the related accounting impacts in its individual financial statements

c) revenue recognition criteria

Where deferred tax assets and liabilities refer to components which affected the income statement, they are offset by income tax. When deferred tax assets and liabilities refer to transactions which directly affected equity without impacting the income statement (e.g. measurement of financial instruments at fair value through other comprehensive income or cash flow hedging derivatives), they are posted as an offsetting entry to shareholders' equity, involving the special reserves if required.

10 Provisions for risks and charges

Provisions for risks and charges: commitments and guarantees given

The sub-item in question includes provisions for credit risk on commitments to disburse funds and guarantees given that fall under the scope of application of the impairment rules pursuant to IFRS 9, consistent with the provisions for “Financial assets measured at amortised cost” and “Financial assets measured at fair value through other comprehensive income”. For more detailed information on the impairment model, please refer to the subsequent paragraph “Use of estimates and assumptions when preparing financial statements - Methods for calculating impairment on IFRS 9 financial instruments”.

In addition, the sub-item also includes provisions for risks and charges established for other types of commitments and guarantees given which, by virtue of their distinct characteristics, do not fall under the scope of application of the impairment rules pursuant to IFRS 9.

**Provisions for risks and charges: post-employment benefits**

The sub-item “Provision for risks and charges: b) post-employment benefits” includes appropriations, recognised based on IAS 19 “Employee Benefits”, for the purpose of closing the technical deficit of defined benefit supplementary pension funds. Pension plans are either defined benefit or defined contribution schemes. The charges borne by the employer for defined contribution schemes are pre-determined; charges for defined benefit plans are estimated and shall take account of any shortfall in contributions or poor investment performance of defined benefit plan assets. For defined benefit plans, the actuarial values required by the application of the above standard are determined by an external actuary in accordance with the Projected Unit Credit Method. Actuarial gains and losses, defined as the difference between the book value of the liability and the present value of commitments at the end of the financial year, are recognised for the full amount in the statement of comprehensive income, under the item “Valuation reserves”.

For further details, please refer to the following paragraph “16 - Other information - Severance pay and other employee benefits”.

Provisions for risks and charges: other provisions

The sub-item “Provisions for risks and charges: c) other provisions” includes allocations made for estimated expenditures for legal or implicit obligations deriving from past events. These expenditures may be contractual in nature, such as the allocations for the incentive system for employees and leaving incentives, indemnities envisaged in contractual clauses upon occurrence of certain events, or for compensation and/or restitution, such as those against presumed losses for actions filed against the Bank, including claw-back actions, estimated expenses in relation to customer claims for securities brokerage, and tax disputes.

The sub-item also includes provisions established at the starting date of lease agreements, stipulated as lessee, which require the dismantling/refurbishment of the underlying assets at the end of the contract. The offsetting entry for the provision is the asset recognised for the right of use of the property in item “80 - Property, plant and equipment”.

Provisions for risks and charges consist of liabilities with uncertain amounts or payment dates and are recognised in the financial statements if:

- there is a current (legal or implicit) obligation resulting from a past event;
- an outflow of resources producing economic benefits is likely to be necessary in order to settle the obligation; and
- a reliable estimate can be made of the likely future disbursement.

The amount recognised as a provision represents the best estimate of the financial disbursement necessary to fulfil the obligation existing at the reporting date and reflects the risks and uncertainties inherent in the events and situations reviewed. Whenever the time element is meaningful, the provisions are discounted using the current market rates. With the exception of provisions associated with lease agreements, the allocation and discounting effect are recorded in the income statement under item “170 - Net provisions for risks and charges”, as is the increase in the provision due to the passage of time. Provisions are reviewed at each reporting date and adjusted to reflect the best current estimate. When an outflow of resources, intended to produce economic benefits in fulfilment of an obligation, becomes unlikely or when the obligation has lapsed, the provision is reversed.

In addition, each provision is used solely for the expenditures for which it was originally established.

No provision is shown for contingent and unlikely liabilities, but information is provided in the notes to the financial statements, except in cases where the probability of an outflow of resources to settle the amount is remote or the amount is not significant.

In particular, it should be noted that the provisions relating to:

- Civil and criminal disputes arising from financial information disclosed in the period 2008-2015 are determined as the weighted average of two estimates prepared by external experts:
 - 1) the “differential damage” criterion, which identifies the damage as the lowest price that the investor would have had to pay if he had access to complete and correct information;
 - 2) the so-called “full compensation criterion”, which is based on the argument that false or incomplete information may have a causal impact on the consumer’s choice of investments such that, in the presence of correct information, they would not have *tout court* have made the investment in question. On the basis of this argument, the refundable damage is deemed to be the entire amount invested, after deduction of



- (a) the residual value of the security (or the amount obtained from the sale of the security), as well as (b) an additional amount that the investor could have obtained from the sale of the securities as soon as parity of information had been re-established;
- out-of-court claims relating to the period 2008-2015, in order to take into account the probability of their transformation into real disputes, the funds were determined by applying an experiential factor to requests made by counterparties;
- representations and warranties issued in connection with the disposal and demerger of non-performing loans are determined on the basis of the analysis of the validity of the claims received, or, in the absence of suitable elements to make a sufficiently reliable estimate, using a statistical method. In the second case, the estimate is based on the results of a representative sample of exposures transferred/demerged with respect to which the competent functions analytically evaluate the compliance or compliance risk for each of the representations and warranties released; in the context of this estimate the sample to be analysed and whose results are extrapolated to the entire population is identified.

11 Financial liabilities measured at amortised cost

a) classification criteria

Item “10 - Financial liabilities measured at amortised cost” includes the sub-items “a) deposits from banks”, “b) deposits from customers”, and “c) debt securities issued” and comprises the various types of funding (both interbank and from customers) and funds raised through certificates of deposit and outstanding bonds, net of any repurchase. Debt securities issued include all securities that are not subject to “natural” hedging through derivatives and that are classified as liabilities measured at fair value.

This item also incorporates payables booked by the lessee in relation to any stipulated finance and operating lease transactions, as well as repurchase agreements for funding and securities lent against cash guarantees that are fully available to the lender. Finally, operating payables related to the provision of financial services, as defined in the Consolidated Law on Banking and Consolidated Law on Finance, are included in this item.

b) recognition criteria

These financial liabilities are initially recognised upon receipt of the amounts collected or at the time of issuance of debt securities based on their fair value, which is generally equal to the amount received or the issue price, increased by any additional costs/income directly attributable to the individual funding or issuing transaction and not reimbursed by the creditors. Internal administrative expenses are excluded.

Repurchase agreement transactions with the obligation to repurchase are posted as funding transactions for the spot amounts collected.

Should the requirements provided for by IFRS 9 for the separate recognition of embedded derivatives be met in the case of structured instruments, they are separated from the host contract and reported at fair value as a trading asset or liability. Instead, the host contract is recognised at amortised cost.

Lease liabilities recognised to the lessor are measured as the present value of future lease payments still to be paid for the duration of the lease. For more information on determining the duration, please refer to paragraph 6 “Property, plant and equipment represented by the right of use of assets under lease agreements”.

c) measurement criteria and revenue recognition criteria

Following initial recognition, financial liabilities issued, net of any reimbursements and/or repurchases, are measured at amortised cost using the effective interest rate method. Short-term liabilities for which time effect is immaterial are an exception, and are recognised at the amount collected. Interest is charged to the income statement under item “20 - Interest expense and similar charges”.

Following the commencement date, the book value of lease liabilities:

- increases for accrued interest expense, charged to the income statement under item “20 - Interest expense and similar charges”;
- decreases for lease instalment payments;



- is recalculated to take into account any new valuations (e.g., extension or reduction of the contract term) or changes in the lease (e.g., renegotiation of the lease payment) that occurred after the commencement date; the impact of the recalculation is recorded as a contra-entry of the asset for the right of use.

Moreover, funding instruments that have an effective hedging relationship are assessed based on the rules for hedging transactions.

d) derecognition criteria

Financial liabilities are derecognised upon maturity or extinction. Derecognition also occurs if previously issued securities have been repurchased. The difference between the book value of the liabilities and the amount paid to repurchase them is recorded in the income statement in item “100 - Gains (losses) on disposal or repurchase”. A new placement in the market of own securities after their repurchase is considered as a new issue and posted at the new price of placement, with no impact on the income statement.

12 Financial liabilities held for trading

a) classification criteria

This item includes:

- financial liabilities issued with the intention to repurchase them in the short term;
- liabilities that are part of a jointly managed portfolio of financial instruments for which there is a proven strategy to obtain profits in the short term;
- derivative contracts with a negative fair value not designated as hedging instruments, including both those embedded in complex financial instruments that have been unbundled from liabilities measured at amortised cost, as well as those related to assets/liabilities measured at fair value through profit or loss.

Moreover, liabilities that arise from technical overdrafts generated by securities trading activities are included.

b) recognition criteria

Financial liabilities held for trading are initially recognised on the settlement date for cash liabilities and on the subscription date for derivative contracts.

Upon initial recognition, they are measured at fair value, which usually corresponds to the amount collected net of any transaction costs or income directly attributable to the instrument itself, which are directly posted to the income statement.

c) measurement criteria

After initial recognition, financial liabilities held for trading are measured at fair value, with the result of the measurement recognised in the income statement. For a description of criteria used to determine the fair value of financial instruments, please see Section “A.4.5 Fair Value Hierarchy” in Part A of these Notes to the financial statements.

d) revenue recognition criteria

Profit and losses from trading and capital gains and losses from valuation are recognised under item “80 - Net profit (loss) from trading” in the income statement, including those relating to derivative instruments related to the fair value option.

e) derecognition criteria

Trading financial liabilities are derecognised when the contractual rights on the related cash flows expire or when the financial liabilities are sold with the substantial transfer of all related risks and benefits arising from ownership.



13 Financial liabilities measured at fair value

a) classification criteria

This category includes financial liabilities for which, upon initial recognition, the option of measurement at fair value through profit or loss was chosen; this option is allowed when:

1. the fair value designation makes it possible to eliminate or significantly reduce a lack of standardisation in the measurement or recognition that would otherwise result from the valuation of assets or liabilities or the recognition of the related profits and losses on different bases (known as “accounting mismatch”); or
2. the management and/or measurement of a group of financial instruments at fair value through profit or loss is consistent with an investment or risk management strategy documented as such by senior management; or
3. a host instrument embeds a derivative which significantly modifies the cash flows of the host and should otherwise be unbundled.

The option to designate a liability at fair value is irrevocable, is carried out on an individual financial instrument, and does not require the same application to all instruments having similar characteristics. It is not permitted to use the fair value designation for only one portion of a financial instrument, attributable to a single risk component to which the instrument is subject.

The Bank has exercised this option in relation to case 1, classifying under this item financial liabilities that are subject to “natural hedging” through derivative instruments.

In Section 16 “Other information”, a specific paragraph is included to provide insight into the hedging management methods through the adoption of the fair value option.

b) recognition criteria

Upon initial recognition, these financial liabilities are measured at fair value, which usually corresponds to the amount collected net of any transaction costs or income directly attributable to the instrument itself, which are directly posted to the income statement.

The fair value of any financial liabilities issued at conditions other than market conditions is calculated by using a specific valuation technique, and the difference with respect to the consideration received is booked directly to the income statement only when the conditions provided for by IFRS 9 have been met, i.e. when the fair value of the instrument issued can be established by using either quoted market prices for similar instruments or by a valuation technique based solely on market data. Should these conditions not apply, the fair value used for valuations after the issuance of instruments is cleared of the initial difference between the fair value upon issuance and the consideration received. This difference is recognised in the income statement only if it ensues from changes in the factors (including time), which market traders would consider for price determination.

c) measurement criteria and revenue recognition criteria

Following initial recognition, financial liabilities are measured at fair value. Gains and losses arising from any changes in the fair value of these liabilities are recognised:

- in item “110 - Valuation reserves”, for the portion related to the change in fair value that is attributable to changes in the issuer’s creditworthiness, unless this creates or increases an accounting mismatch in the profit (loss) for the year, in which case the entire change in fair value of the liability must be charged to the income statement. Effects associated with the change in own creditworthiness are recorded in the statement of comprehensive income, net of the related tax effect, along with the other income components that will not be reversed to the income statement. The amount charged to the specific equity reserve will never be reversed to the income statement, even if the liability expires or lapses; in this case, the cumulative gain (loss) in the specific valuation reserve must be reclassified to another shareholders’ equity item (“140 - Reserves”);
- in the income statement under item “110 - Net profit (loss) from financial assets and liabilities measured at fair value through profit or loss”, for the portion of the fair value change not attributable to changes in own creditworthiness.



For a description of criteria used to determine the fair value of financial instruments, please see Section “A.4.5 Fair Value Hierarchy” in Part A of these Notes to the financial statements.

d) derecognition criteria

Financial liabilities are derecognised when the contractual rights on the related cash flows expire or when the financial liabilities are sold with the substantial transfer of all risks and benefits resulting from the ownership.

For financial liabilities represented by securities issued, derecognition also occurs if previously issued securities have been repurchased. The difference between the book value of liabilities and the amount paid to purchase them is recorded in the income statement under item “110 - Net profit (loss) from financial assets and liabilities measured at fair value through profit or loss”, with the exception of profits/losses associated with the change in own creditworthiness, which continues to be recognised in an equity reserve, as described above. A new placement in the market of own securities after their repurchase is considered for accounting purposes as a new issue and posted at the new price of placement, with no impact on the income statement.

14 Foreign-currency transactions

a) recognition criteria

Upon initial recognition, foreign-currency transactions are recognised in the currency of account using the foreign-exchange rates on the date of the transaction.

b) revenue classification, measurement, recognition and derecognition criteria

Financial statement entries denominated in foreign currencies are valued at the end of each reporting period as follows:

- monetary entries are converted using the exchange rate on the closing date;
- non-monetary entries valued at historical cost are converted using the exchange rate on the date of the transaction;
- non-monetary entries that are measured at fair value in a foreign currency are translated at the closing date rate.

Any exchange-rate differences resulting from the settlement of monetary elements, or from the conversion of monetary elements at rates other than those used for initial conversion or conversion in the previous financial statements, are posted to the income statement for the period in which they arise.

When a profit or a loss on a non-monetary element is recognised in equity, the exchange-rate difference in relation to said element is also posted to equity. However, when a profit or a loss is posted to the income statement, the relative exchange-rate difference is also posted there.

The accounting position of foreign branches with different operating currencies is converted into euros by using the exchange rates at the reporting date. Any exchange rate differences attributable to investments in such foreign branches, and those resulting from the conversion into euros of their accounting position, are recognised in equity reserves and transferred to the income statement only in the financial year when the investment is disposed of or reduced.



15 Other information

Other financial statement items

Cash and cash equivalents

This item includes currencies that are legal tender, including foreign banknotes and coins and all loans “on demand” in the form of current account and deposits with the central bank of the country or countries in which the Bank operates through its own companies or branches, with the exception of the compulsory reserve.

The item is posted at face value. For foreign currencies, the face value is converted into euros at financial year-end exchange rate.

Change in value of macro-hedged financial assets and liabilities

These items include, respectively, the positive or negative balance of changes in fair value of assets (item “60 Value adjustment of financial assets subject to macro-hedging”) and financial liabilities (item “50 Adjustment of value of financial liabilities subject to macro-hedging”), subject to macro-hedging against interest rate risk, whose economic counter-entry is represented by item “90 Net profit (loss) from hedging”, as well as for specific fair value hedges. For more detailed information, please refer to the discussion in paragraph 4 “Hedging transactions”.

Other assets

This item shows assets not attributable to the other items on the asset side of the balance sheet. It may include, for example:

- gold, silver, metals and precious stones;
- items in processing;
- accrued income and prepaid expenses not attributable to its own separate item;
- receivables associated with the provision of non-financial goods or services and accrued income other than that which is capitalised on the related financial assets, including those resulting from contracts with customers pursuant to IFRS 15;
- any inventories according to the definition of IAS 2, excluding those classified as inventories of property, plant and equipment;
- tax credits other than those recognised under item “110 - Tax assets”;
- improvements and incremental expenses incurred on third-party real estate other than those attributable to item “80 - Property, plant and equipment” and therefore not independently identifiable and separable.

The costs in the latter bullet point are posted to item “120 - Other assets”, since the user company exercises control of the assets for the purpose of the tenancy agreement and can obtain future economic benefits from them. Said costs are posted to item “200 - Other operating expenses/income” in the income statement according to the shorter of the period in which the improvements and incremental expenses can be used and the remaining term of the contract, including the renewal period, where applicable.

Other liabilities

This item shows liabilities not attributable to other items on the liability side of the balance sheet.

It includes, for example:

- items in processing;
- payment agreements that must be classified as debit entries according to IFRS 2;
- debit entries connected with payment for provision of non-financial goods and services;
- accrued liabilities other than those to be capitalised for the respective financial liabilities, including those deriving from contracts with customers pursuant to IFRS 15;
- sundry tax liabilities other than those recognised under item “60 - Tax liabilities”, associated, for example, with substitute tax assets.

Severance pay and other employee benefits



Employee severance pay is defined as a “benefit subsequent to the employment relationship”, in accordance with IAS 19. Following the supplementary pension reform, pursuant to Italian Legislative Decree no. 252 of 5 December 2005, new rules were introduced for severance pay accrued effective 1 January 2007, which is recognised for purposes of the relative accounting treatment. In particular, for companies with an average of at least 50 employees during 2006, the portions of severance pay accrued starting from 1 January 2007 are considered a “defined contribution plan”, both for the case in which the employee opts for supplementary social security, as well as the case in which the employee opts for the allocation to the INPS treasury fund; the charge, recognised under personnel costs, is limited to the contribution established by regulations envisaged by the Italian Civil Code, without applying any actuarial methodology.

Conversely, the severance pay accrued up to 31 December 2006 continues to be considered a “defined benefit plan”. In general, “post-employment plans” - which include severance pay as well as pension funds - are divided into the two categories “defined benefit” or “defined contribution”, based on their characteristics.

In particular, for defined contribution plans, the cost is represented by contributions accrued during the financial year, given that the company has only the obligation to pay the contractually established contributions to a fund and, consequently, has no legal or implicit obligation to pay, in addition to the contribution, additional amounts if the fund does not have sufficient assets to pay all the benefits to employees.

For defined benefit plans, the actuarial and investment risk, that is, the risk of a shortfall in contributions or poor investment performance of the assets in which the contributions are invested, is borne by the company. The liability is calculated by an external actuary based on the Projected Unit Credit method. Based on this method, future disbursements must be estimated based on demographic and financial assumptions, to be discounted to consider the time that will pass before the actual payment and to be adjusted for the ratio between the years of service accrued and the theoretical seniority estimate at the time the benefit is paid. For discounting purposes, the rate used is determined with reference to the market yield of primary corporate bonds taking into account the average residual duration of the liability, weighted according to the percentage of the amount paid and advanced, for each maturity, compared to the total to be paid and advanced up to the final settlement of the full bond.

The actuarial value of the liability thus calculated must then be adjusted for the fair value of any assets servicing the plan (net liabilities/assets). Actuarial gains and losses that arise as a result of adjustments to the previous actuarial assumptions formulated, following actual historical data or due to changes in the actuarial assumptions, entail a re-measurement of net liabilities and are offset against an equity reserve (item “110 - Valuation reserves”) and are thus presented in the “Statement of comprehensive income”. The change in the liability resulting from a change or reduction in the plan is recorded in the income statement as a profit or loss. More precisely, the specific case of a change applies if a new plan is introduced or an existing plan is withdrawn or modified. Instead, there is the case of a reduction due to a significant negative variation in the number of employees included in the plan, such as, for example, redundancy plans for redundant workers (access to the Solidarity Fund).

The Projected Unit Credit method, described above, is also used to measure long-term benefits, such as seniority bonuses for employees. Contrary to that which was described for defined benefit plans, actuarial gains and losses associated with the measurement of long-term benefits are immediately recognised in the income statement.

Valuation reserves

This item includes valuation reserves relating to equity securities designated at fair value through other comprehensive income, financial assets (other than equity securities) measured at fair value through other comprehensive income, foreign investment hedging, cash flow hedges, exchange rate differences, “individual assets” and groups of assets under disposal, the portion of valuation reserves of equity-accounted equity investments, actuarial gains (losses) on defined benefits investment plans, gains/losses related to the change in own creditworthiness relating to liabilities under fair value option, property for business use measured on the basis of the restated value method.

Share capital and Treasury shares

This equity item includes the amount of issued shares net of any capital subscribed but not yet paid at the reporting date. The item is shown including any treasury shares held by the Bank. Treasury shares are recognised in financial statements as a negative component of shareholders’ equity.

The original cost of repurchased treasury shares and the profits or losses from their subsequent sale are recognised as changes in shareholders’ equity. Transaction costs for a share capital transaction, such as an increase in share capital, are recorded as a reduction in shareholders’ equity, net of any related tax benefits. Dividends on ordinary



shares are recorded as a reduction of shareholders' equity in the financial year in which the Shareholders' Meeting approved their distribution.

Other significant accounting practices

Revenues from contracts with customers (IFRS 15)

Revenues are gross inflows of economic benefits during the financial year in the form of consideration for the obligation to transfer to the customer a wide range of goods and services considered part of ordinary business activities.

IFRS 15 "Revenue from contracts with customers" introduced a model for the recognition of revenues deriving from contractual obligations with customers, which is based on the concept of transfer of control and not only on the concept of transfer of risks and benefits.

First of all, revenues deriving from contracts with customers are recorded in financial statements only if the relative contract is identifiable, that is:

- the parties have approved the contract and are committed to its execution;
- the rights and obligations of the parties can be clearly identified in the contract;
- the payment terms for the transferred goods and services can be identified;
- the contract has commercial substance, in the sense that it impacts the entity's cash flows;
- it is considered likely that the consideration will be collected upon transfer of the assets and provision of the services. For this assessment, only the customer's ability and intention to pay the amount due should be considered.

After the contract's consideration has been allocated to individual obligations resulting from the contract, revenue is recognised in the income statement when the customer obtains control of the goods or services promised (or when the performance obligation may be deemed satisfied) and can be:

- at a specific point in time (e.g., when the entity fulfils the obligation to transfer the promised good or service to the customer);
- over a period of time (e.g., as the entity fulfils the obligation to transfer the promised good or service to the customer).

For revenue calculation purposes, the consideration is defined as the amount believed to be due in exchange for the transfer of goods and services and may include fixed amounts, variable amounts, or both. Specifically, the contract's consideration may vary based on reductions, discounts, reimbursements, incentives, performance bonuses, or other similar elements. The consideration may also vary depending on whether a future event occurs (as in the case of a fee linked to performance objectives).

The methods suggested by IFRS 15 for estimating the variable portion of remuneration are:

- the expected value method, i.e., the weighted sum of the amounts in a range of possible considerations (for example, the company has many contracts with similar characteristics);
- the most likely amount method, or the most likely in a range of possible considerations (for example, the company receives a performance bonus or does not receive it).

If there is an element of variable consideration, revenue is recognised in the income statement only if it is possible to reasonably estimate the revenue and if it is highly probable that this consideration will not be subsequently reversed from the income statement, whether in full or for a significant part. In the event of a high prevalence of factors of uncertainty linked to the nature of the consideration, it will only be recognised at the moment this uncertainty is resolved. In any case, the estimated part of the transaction price must be updated at the end of each reporting period. The presence of financial components is also considered in determining the price, if considered relevant.

In the case of commercial agreements that envisage the recognition of variable non-cash consideration to the entity, linked to the achievement of specific targets and that can be used for services rendered by the commercial partner,



the Bank recognises these revenues in the income statement in the financial year in which they accrue, at a value that is not more than the fair value of services effectively rendered by the partner.

If the entity receives from the customer a consideration that provides for the reimbursement to the customer, in whole or in part, of the revenue received, a provision for risks and charges is recognised against the expected future repayments. The case may occur, for example, when the customer has a right of withdrawal for the asset or if the contract includes a claw-back clause. This standard also applies to loyalty programmes, against which a refund liability is recognised. The liability for future redemptions is equal to the amount of the consideration received (or receivable) for which it is expected that the entity is not entitled to (i.e., amounts not included in the transaction price). The liability for future redemptions (as well as the corresponding change in the transaction price and, consequently, the liability arising from the contract) must be updated on the closing date of each reporting period to take account of changes in circumstances.

For contracts for the placement of third-party products, which provide for the reimbursement of part of the commissions received in the event of early termination by the customer and in the presence of claw-back clauses linked to the failure to achieve target commission volumes, the Bank quantified this provision for risk and charges based on historical trends for early repayments and reimbursements to customers. The monitoring and forecasting of volumes of the collected and reversed fees enable the provision to be adjusted at each reporting date. The model that is used is based on the most likely amount method.

In addition, the Bank has a credit card loyalty programme in place, according to which reward points are granted to customers based on the volumes transacted; reward points are redeemed through prizes purchased mainly from external suppliers. Reward points granted to customers who subscribe to a product/service of the Bank entails that recognition of the portion of revenue attributable to the recognised reward points in the income statement is suspended, as an offsetting entry to other liabilities. For this purpose, the transaction price of the performance obligation associated with the reward points granted is estimated, using a model based on the fair value of the reward points, calculated using several factors including: redemption forecasts for the reward points accrued by customers and the cost related to reward purchases. The amount of consideration that can be allocated to the reward points is recognised as a refund liability; it is released to the income statement only when the obligations related to the reward points have been fulfilled, i.e., when they are effectively redeemed by the customer.

Lastly, the incremental costs for obtaining the contract that are expected to be recovered and the costs for fulfilling the contract are capitalised when these costs can be directly attributed to the contract, can generate resources that can be used to fulfil future contractual performance obligations, and be considered recoverable. This recognised asset is systematically amortised in accordance with the transfer to the customer of the good or service to which the asset refers and, therefore, in accordance with the accounting of the corresponding revenues. The Bank does not have assets of this type.

Revenues and costs relating to financial instruments

With reference to the income and charges relating to financial assets/liabilities, note that:

- a) interest is booked pro-rata temporis on the basis of contractual interest rate or the effective interest rate in the event of application of the amortised cost; negative income components accrued on financial assets are booked to item “20. Interest expense and similar charges”; the positive income components accrued on financial liabilities are booked to item “10. Interest income and similar revenues”. In this case, any marginal costs and income, considered an integral part of the return of the financial instrument, are considered in the effective interest rate and recognised under interest. Interest income (or interest expense) also includes the spreads or margins, positive (or negative), accrued up to the reporting date, in relation to financial derivative contracts:
 - hedging assets and liabilities that generate interest;
 - classified in the balance sheet in the trading book, but operationally linked to financial assets and/or liabilities measured at fair value (fair value option);
 - connected operationally with assets and liabilities classified in the trading book and which entail the settlement of differentials or margins over several maturities;
- b) interest on arrears is posted to the income statement only upon actual collection;
- c) dividends are shown in the income statement upon resolution of their payout, i.e. when their payment is due;



- d) commissions for service income are posted in the period when said services were rendered, on the basis of existing contractual agreements. The commissions considered in the amortised cost for purposes of calculating the effective interest rate are recorded in interest;
- e) gains and losses following initial recognition at fair value, as determined by the difference between the transaction price and the fair value of the instrument, are booked to the income statement when the transaction is recorded if the fair value can be determined with reference to parameters or recent transactions observable on the same market in which the instrument is traded; otherwise, they are distributed over time, taking into account the duration and the nature of the instrument;
- f) gains and losses from the sale of financial instruments are recognised in the income statement when the sale is finalised, with the relative transfer of risks and benefits, based on the difference between the consideration received and the book value of the instruments themselves. Portfolio management fees are recognised based on the duration of service.

Costs for constant services and decreasing payments

The IFRS accounting standards do not provide specific guidelines on the accounting treatment to be applied for recognising costs related to service contracts that are rendered by the supplier through an indeterminate number of actions, over a given period of time. If there are cases of services rendered by suppliers through a single performance obligation relating to the provision of a specific number of units, such as a certain volume of services, which remain constant throughout the contract term and this single performance obligation is satisfied over time with a decreasing payment amount due by the customer, the Bank analogically applies the accounting treatment envisaged by IFRS 15 accounting standard (see Basis for Conclusions 313-314).

In cases of the provision of services characterised by a constant volume over time and decreasing payments, the Bank assigns an average unit cost to the services received and recognises their costs on a straight-line basis. This straight-line mechanism for recognising costs entails the need to recognise a prepaid asset which, at each reporting date pursuant to IAS 36, is assessed to determine if there are impairment indicators which also takes into account the analyses carried out for purposes of onerous contracts. In the event that impairment indicators are identified, the recoverable value of the asset must be calculated and a write-down must be recognised in the financial statements when the recoverable value is lower than the book value.

Share-based payments

These are payments to employees, as consideration for work performed, settled with equity instruments, which consist, for example, in assigning:

- rights to subscribe share capital increases with consideration (stock options);
- rights to receive shares upon achieving certain objectives or at the end of the employment relationship.
- Pursuant to IFRS 2, payments based on treasury shares fall into various categories, including:
 - o as “equity settled” plans, i.e. settled in equity instruments, to be recognised on the basis of the fair value of the work services received;
 - o as “cash-settled” plans, i.e. settled in cash for an amount indexed to the value of the shares, to be recognised based on the fair value of the liability assumed.

With regard to “equity-settled” plans, given the difficulties of directly estimating the fair value of employment services received as an offsetting entry to the assignment of shares, the value of the services received can be measured indirectly, using as a reference the fair value of equity instruments at the date they are assigned. The fair value of payments settled by issuing shares is recognised according to the criterion of the service provided, in the income statement item “160 - a) Personnel expenses” as an offsetting entry to an increase in the item “140 - Reserves”.

In the case of “cash-settled” plans, on the other hand, the cost of the work services received is recognised in the Income Statement item “160 - a) Personnel expenses” as a balancing entry to a liability to be measured at fair value based on the price of the shares assigned. The fair value must be updated at the end of each financial year and at the settlement date by posting changes in fair value to the income statement until the liability is extinguished.

When the assigned shares or countervalue cannot immediately be used by the employee, but rather are available only after the employee has completed a specific period of service, the company recognises the cost as consideration for the service rendered throughout the accrual period for these conditions (“vesting period”).



Financial instruments offsetting

Pursuant to IAS 32, paragraph 42, financial assets and financial liabilities are offset and recognised in the Financial Statements for the net balance if the entity:

- has a legal right to effect such set-off, which is currently exercisable in all circumstances, whether in the ordinary conduct of business or in situations of non-performance, insolvency or bankruptcy of the parties;
- intends to settle transactions on a net settlement or on a gross settlement basis whose material effect is equivalent to a net settlement.

For derivative instruments covered by offsetting agreements that comply with the requirements outlined above, Circular No. 262 provides for offsetting between trading and hedging derivatives as well, with such imbalances to be shown on a net basis: conventionally, the net balance is allocated to the trading portfolio rather than to hedging derivatives, depending on the absolute value of the imbalance between the trading and hedging derivatives.

In accordance with the requirements of IFRS 7, more detailed information is provided in the tables contained in Part B - Other Information of these Notes to the financial statements, in which the following are more specifically set out:

- the book values of assets and liabilities that meet the requirements of IAS 32, paragraph 42, before and after accounting offsetting;
- exposures subject to framework offsetting agreements that have not given rise to offsetting but which may potentially trigger offsetting as a result of specific circumstances;
- the collateral attached to them.

Business combinations

A business combination transaction is intended as the transfer of control of a business (or group of integrated assets and goods, managed for the purpose of providing goods or services to customers and which generates revenues from investment, such as dividends or interest, or other revenues from ordinary activities). For the definition of control, please refer to Section 3 “Scope of consolidation” of part A of the Notes to the Consolidated financial statements.

A business combination may give rise to an investment link between the acquiring Parent Company and the acquired subsidiary. In these cases, the acquirer applies IFRS 3 to its consolidated financial statements, while in the separate financial statements it recognises the acquired interest as an equity investment in a subsidiary, consequently applying IAS 27 “Separate financial statements”.

A business combination may also provide for the acquisition of the net assets of another entity, including any goodwill, or the acquisition of the share capital of another entity (e.g., mergers, splits, acquisitions of business units). Such a business combination is not an investment link like the one between a parent company and a subsidiary, and therefore in these cases IFRS 3 is also applied to the acquiring entity’s separate financial statements.

Business combinations are accounted for using the purchase method, which requires: (i) the identification of the acquirer; (ii) the determination of the cost of the business combination; and (iii) the allocation of the acquisition price (“Purchase Price Allocation”).

Identification of the acquirer

IFRS 3 requires that an acquirer is identified for all business combinations, identified as the party that obtains control over another entity, understood as the power to set financial and management policies of the entity in order to receive benefits from its activities. In the case of business combination transactions that result in the exchange of equity interests, identification of the acquirer must consider factors such as: (i) the number of new ordinary voting shares issued with respect to the total number of ordinary voting shares that will constitute the share capital of the existing company after the combination; (ii) the fair value of the entities participating in the business combination; (iii) the composition of the new corporate bodies; and (iv) the entity that issues the new shares.

Determination of the cost of the business combination

The consideration paid in a business combination is equal to the fair value, on the purchase date, of assets sold, liabilities incurred, and equity instruments issued by the acquirer in exchange for obtaining control of the acquired



entity. The consideration that the acquirer transfers in exchange to the acquired entity includes any assets and liabilities resulting from an agreement on “contingent consideration”, to be recognised at the fair value on the acquisition date. Changes to the consideration transferred are possible if they result from additional information on events and circumstances that existed at the acquisition date and may be recognised within the measurement period for the business combination (i.e., within twelve months from the acquisition date, as specified below). Any other changes deriving from events or circumstances subsequent to the acquisition, such as consideration recognised to the seller linked to the achievement of a certain profit performance, must be recorded in the income statement.

Costs related to the acquisition, which include brokerage fees, consulting, legal, accounting, and professional fees, as well as general administrative costs, are recorded in the income statement as they are incurred, with the exception of the costs of issuing shares and debt securities, which are recognised on the basis of the provisions of IAS 32 and IFRS 9.

Allocation of the acquisition price (“Purchase Price Allocation”)

According to the purchase method, at acquisition date the acquirer must allocate the cost of the business aggregation (known as PPA, “Purchase Price Allocation”) to the identifiable assets acquired and to the liabilities assumed measured at their fair value on that date, as well as recognising the value of non-controlling interests of the acquired entity. Exceptions to the application of this standard are the recognition of: (i) income taxes; (ii) liabilities relating to employee benefits; (iii) assets deriving from indemnities; (iv) share-based payment transactions; (v) assets held for sale and (vi) reacquired rights for which the respective reference standards apply.

Therefore, it is necessary to draw up a balance sheet for the acquired entity, at the acquisition date, measuring at fair value the identifiable assets acquired (including any intangible assets not previously recognised by the acquired entity) and identifiable liabilities assumed (including contingent liabilities).

For each business combination, any non-controlling interests may be recognised at fair value or in proportion to the share of identifiable net assets of the acquired company.

In addition, if control obtained through subsequent acquisitions (business combinations carried out in several phases), the previously held equity interest is measured at fair value at the acquisition date and the difference compared to the previous book value must be charged to the income statement.

Hence, at the acquisition date, the acquirer must determine the difference between:

- the sum of:
 - o the cost of the business combination;
 - o the amount of any non-controlling interests as described above;
 - o the fair value of any equity interests previously held by the acquirer;
- and
- the fair value of identifiable net assets acquired, including contingent liabilities.

Any positive difference must be recognised as goodwill; conversely, any negative difference must be charged to the income statement of the entity resulting from the business combination as profit deriving from the purchase at favourable prices (negative goodwill or badwill), after having performed a new measurement aimed at ascertaining the correct process of identifying all assets acquired and liabilities assumed.

The fair value of assets and liabilities must be definitively identified within the maximum term of twelve months from the acquisition date (measurement period).

Once control has been obtained and the purchase method described above has been applied, any further increase or decrease in the equity interest in a subsidiary in which control is maintained is recognised as a transaction between shareholders. Therefore, the book values of the shareholders’ equity of the Group and non-controlling interests must be adjusted to reflect changes in equity interests in the subsidiary. Any difference between the value for which non-controlling interests are adjusted and the fair value of the consideration paid or received must be recognised directly in the Group’s shareholders’ equity.

If there is an event which results in the loss of control, an entry is made to the income statement equivalent to the difference between (i) the sum of the fair value of the consideration received and the fair value of the residual equity interest held and (ii) the previous book value of the assets (including goodwill) and liabilities of the subsidiary and any third-party shareholders’ equity. The amounts previously recognised in the statement of comprehensive income (such as the valuation reserves of financial assets measured at fair value through other comprehensive



income) must be accounted for in the same way as if the parent company had directly disposed of the assets or the related liabilities (through reclassification in the income statement or shareholders' equity).

The fair value of any equity interest held in the former subsidiary must be considered equal to the fair value upon initial recognition of a financial asset according to IFRS 9, or, where appropriate, equal to the cost at the time of initial recognition in an associate company or a jointly controlled entity.

Business combinations under common control

Business combinations of entities under common control are excluded from the scope of application of IFRS 3. In the absence of a reference standard, such transactions are accounted for by referring to Assirevi Preliminary Guidance No. 1 and No. 2 (OPI 1 - "Accounting treatment of business combinations of entities under common control" in the Separate and Consolidated Financial Statements and OPI 2 - "Accounting treatment of mergers in the Separate Financial Statements"). These guidelines consider the economic significance of business combinations on the basis of cash flow impact on the Bank. Transactions, which had no significant influence on future cash flows, were recognised using the pooling of interest method. In particular, the values adopted are those resulting from the Consolidated Financial Statements of the Group at the date of transfer of the assets. This is in compliance with the provisions of IAS 8, paragraph 10, which requires, in the absence of a specific standard, to use one's judgement in applying an accounting standard in order to provide relevant, reliable, prudent disclosure that reflects the economic substance of the transaction.

Amortised cost

The amortised cost of financial assets or liabilities is the value at which they were measured upon initial recognition, net of principal repayments, plus or minus overall amortisation calculated using the effective interest method, on the differences between the initial value and that at maturity and net of any permanent impairment.

The effective interest rate is the rate which equates the present value of a financial asset or liability with the future contractual payments or collection cash flows until maturity or a subsequent price recalculation date. To calculate the current value, the effective interest rate is applied to estimated future collection or payment flows over the entire useful life of the financial assets or liabilities – or for a shorter period if certain conditions are met (for example, a change to market rates).

Following initial recognition, the amortised cost makes it possible to allocate income and costs reducing or increasing the instrument over its entire expected life by means of the amortisation process. The determination of the amortised cost is different depending on whether the financial assets/liabilities are subject to valuation at a fixed or variable rate.

For fixed-rate instruments, future cash flows are quantified based on the known interest rate during the term of the financing. For floating-rate financial assets/liabilities, whose variability is not known beforehand (because, for example, it is tied to an index), cash flows are determined on the basis of the last known rate. At every rate review date, the amortisation schedule and the actual rate of return over the entire useful life of the instrument, i.e. until maturity, are recalculated. The adjustment is recognised as cost or income in the income statement.

Amortised cost is assessed for financial assets measured at amortised cost and for those as fair value through other comprehensive income as well as financial liabilities measured at amortised cost.

Financial assets and liabilities traded at market conditions are initially recognised at their fair value, which normally corresponds to the amount disbursed or paid inclusive - in the case of instruments valued at amortised cost - of transaction costs and commissions directly attributable to the assets and liabilities.

Transaction costs include marginal internal and external costs and income attributable to the issue, acquisition or sale of a financial instrument that cannot be charged to the customer. These fees, which must be directly attributable to the individual financial assets or liabilities, impact the original effective return and make the effective interest rate associated with the transaction different from the contractual interest rate. Indistinguishable costs/income related to several transactions and components related to events that may occur during the life of the financial instrument, but which are not certain at the time of the initial definition, are excluded, such as: rebate fees, fees for failure to use, and for early repayment.

The costs incurred, regardless of the transaction (for example, administrative, stationery, communication costs), which, although specifically attributable to the transaction, fall within the normal practice of loan management (for example, activities aimed at disbursing the loan), as well as commissions for services collected following the performance of structured finance activities that would have been collected regardless of the subsequent financing



of the transaction (such as, for example, facilities and arrangements fees), are also not considered in the calculation of the amortised cost.

With particular reference to loans, fees paid to distribution channels (agents, advisors, brokers) and the fees paid for consultancy/advisory in organising and/or participating in syndicated loans are considered costs attributable to the financial instrument, while revenues considered in the calculation of the amortised cost are those for participation in syndicated transactions and brokerage commissions linked to fees recognised from brokerage firms.

With regard to securities not measured at fair value through profit or loss, transaction costs include both commissions for contracts with brokers operating on Italian stock markets and commissions paid to intermediaries operating on foreign stock and bond markets defined on the basis of commission tables.

For securities issued, commissions for bond placement paid to third parties, amounts paid to stock exchanges, and fees paid to the auditors for activities performed for each individual issue are considered in the calculation of amortised cost, while commissions paid to rating agencies, legal expenses and consultancy/audit fees for the annual update of the prospectuses, as well as costs for the use of indices and commissions that originate during the life of the bond are not considered in the amortised cost calculation.

Compared to the general approach, the effective interest rate must be calculated differently for those financial instruments measured at amortised cost or at fair value through other comprehensive income, purchased or originated, which at the time of their initial recognition are already credit impaired (known as PCI or OCI).

The criterion for measurement at amortised cost does not apply for hedged financial assets/liabilities for which changes in fair value for the hedged risk are charged to the income statement. However, the financial instrument is re-measured at amortised cost if the hedge is suspended, the moment from which the previously recognised changes in fair value are amortised, by calculating a new effective interest rate that considers the loan value adjusted for the fair value of the hedged element, until the expiry of the hedge that was originally envisaged. Moreover, as mentioned above in the paragraphs relating to financial assets and liabilities measured at amortised cost, the amortised cost measurement does not apply to financial assets/liabilities whose short duration makes the economic effect of discounting negligible or for loans without a defined maturity or revocation.

Purchased or originated impaired financial assets (known as POCI)

These are instruments for which the credit risk is very high and which, in the event of purchase, are purchased at a considerably discounted value compared to the initial disbursement value; for this reason, they are considered already impaired (credit impaired) at the time of first recognition in the financial statements. Depending on the business model with which the asset is managed, these assets are classified in item “30 - Financial assets measured at fair value through other comprehensive income” or in item “40 - Financial assets measured at amortised cost” and among off-balance sheet exposures.

In relation to POCIs, there are two different types:

- instruments or portfolios of non-performing loans acquired on the market (Purchased Credit Impaired – “PCI”);
- loans disbursed by the Bank to customers characterised by a very high credit risk (Originated Credit Impaired – “OCI”).

Impaired financial assets acquired through a business combination pursuant to IFRS 3 fall within the scope of application of IFRS 9 PCI.

Note that these financial assets are initially recorded in Stage 3, without prejudice to the possibility of reclassifying them to performing loans (Stage 2), for which an expected loss will continue to be recorded according to an impairment model based on lifetime ECL, as described below. It should be noted that, regardless of the stage in which they are recorded, these financial assets are represented separately from the three stages of credit risk.

With reference to the initial recognition, measurement and derecognition criteria, please refer to the discussion corresponding to the asset items into which they can be classified, with the exception of what is specified below in relation to procedures for calculating amortised cost and impairment.

In detail, the amortised cost and consequently the interest income are calculated using an effective interest rate adjusted for the credit (known as “credit-adjusted effective interest rate” or CEIR). For calculating the effective interest rate, the aforementioned credit adjustment entails including the expected credit losses over the entire residual duration of the asset in the estimate of future cash flows. For the purposes of calculating the CEIR, the Bank uses contractual cash flows net of expected losses.



In addition, the assets in question require special treatment also with regard to the impairment process, as they are always subject to the determination of an expected loss over the life of the financial instrument (lifetime ECL). After initial recognition, the profit or loss deriving from any change in expected losses over the life of the loan compared to the initial estimate must be recorded in the income statement. Thus, for these assets, expected losses cannot be calculated using the one-year time horizon as a reference.

Loan renegotiations

In some cases, over the life of financial assets and, in particular, of loans, the original contractual conditions are subsequently modified as agreed by the parties to the contract. When, during an instrument's life, the contractual clauses are changed (both in the case the change is formalised by signing a new contract and when there is an amendment to the existing contract), it is necessary to check whether the original asset must continue to be recognised in financial statements or if, conversely, the original instrument must be derecognised from financial statements and a new financial instrument must be recognised.

In general, changes to a financial asset result in its derecognition and to the recording of a new asset when these changes are "substantial". The determination of the "substantiality" of the change is made by considering only qualitative elements. In particular, renegotiations are deemed to be substantial when:

- introduce specific objective elements that impact on the characteristics and/or the financial flows of the financial instrument (such as for example the change in the currency, the introduction of indexing to equity or goods parameters, the introduction of the possibility of converting the loan into participatory equity/financial instruments, the provision of "pay if you can" clauses which allow the debtor the maximum freedom in repaying the loan in terms of time and amount) in consideration of the significant impact expected from the original financial flows; or
- are implemented with respect to customers that have no financial difficulties, with the objective of adapt the onerousness of the contract to current market conditions.

In the latter case, it should be noted that, if the Bank does not grant a renegotiation of contractual conditions, the customer would be able to obtain funding from another intermediary, which would result in the loss for the Bank of the revenue streams envisaged in the renegotiated contract. In other words, for a commercial renegotiation, the Bank would not have any loss to be recorded in the income statement as a result of the realignment to the best current market conditions for its customers. Instead, for renegotiations considered to be substantial, the gross value is recalculated by determining the present value of cash flows resulting from the renegotiation, based on the original rate of the exposure prior to the renegotiation. The difference between this gross value and the gross book value prior to the change is recorded in the income statement under item "140 - Gains/losses from contractual changes without cancellation" (known as "modification accounting").

The cases of non-substantial renegotiations include:

- the modifications granted to counterparties experiencing financial difficulties (concessions of forbearance measures) are attributable to the Bank's attempt to maximise the recovery of the original exposure, whose risks and benefits continue to be borne by the Bank. Exceptions are made for changes that introduce substantial objective elements in the contract that can themselves lead to the derecognition of the financial asset, as previously described;
- contractual changes in response to COVID-19 granted to offer broad support to all companies and individuals temporarily in difficulty due to the current pandemic, in order to prevent a systemic risk.

Lastly, the changes to financial assets following the Reform of the reference indices for the determination of interest rates (IBOR Reform), relating to the change in the basis for determining the contractual cash flows (replacement of the reference index for determining the existing interest rates with an alternative reference rate), do not constitute a derecognition event, but are considered for accounting purposes as a modification. These changes, if made as a direct consequence of IBOR Reform and on an equivalent economic basis, are represented by a prospective adjustment of the actual interest rate - applying paragraph B5.4.5 of IFRS 9 instead of "modification accounting" - with impacts on the net interest income of future periods.



Fair value option

In its financial risk management policy, relating to financial instruments included in the banking book, the Bank has used the Fair Value Option accounting technique alongside fair value hedging and cash flow hedging methods.

The Fair Value Option was used to represent operational hedges on fixed-rate or structured bonds and certificates of deposit issued at fixed rates (accounting mismatch). In that case the Bank stipulates operational micro-hedging derivative contracts with MPS Capital Services S.p.A., which in turn manages by assets the Bank's overall exposure to the market.

The scope of application of the Fair Value Option currently regards primarily fixed-rate securities and structured securities subject to hedges on interest rate risk and the risk deriving from embedded derivative components.

IFRS 9 allows the option of designating a financial instrument under the Fair Value Option to be exercised irrevocably only upon initial recognition. Therefore, the Fair Value Option cannot be used for the accounting management of hedges of funding instruments issued prior to the decision to implement the hedge; for these hedges, the hedge accounting technique must be used, which is also used to manage the hedging of the bond issues that are traded in the secondary market at market values.

Unlike hedge accounting, whose rules provide that only fair value changes attributable to the hedged risk are recognised for the hedged instrument, the Fair Value Option involves the recognition of all fair value changes, regardless of the risk factor that is being hedged.

For the issues in question, the fair value is measured, firstly, by referencing observable prices in markets considered active, such as regulated markets, electronic trading circuits (e.g. Bloomberg) or organised or similar exchanges. If there are no observable prices on active markets, they are measured based on prices of recent transactions for the same instrument in non-active markets in addition to using valuation techniques, based on a cash flow discounting model, which must consider all factors considered relevant by market participants in determining a hypothetical transaction on an exchange. In particular, for determining creditworthiness, the implicit spreads of comparable issuers are used in active markets in addition to the Bank's credit default swap curve with the same level of subordination of the security being measured. The quantification of effects resulting from the change in own creditworthiness between the issue date and the measurement date is calculated as the difference between the fair value obtained considering all of the loan's risk factors, including the credit risk, and the fair value obtained considering the same factors, excluding the change in own credit risk that occurred during the period.

For further details on methods for calculating fair value, please refer to the exhaustive information provided in the relevant paragraph in "Part A.4 - Information on fair value".

With reference to the criteria for recognition in financial statements, note that:

- derivatives connected with financial liabilities measured at fair value are classified under "Financial assets measured at fair value through profit or loss: a) financial assets held for trading" or "Financial liabilities held for trading";
- spreads and margins accrued on derivatives up to the measurement date are included, depending on the balance, in "interest income" or "interest expense", consistent with the accruals recorded on bonds subject to operational hedges;
- gains and losses from realisation and the measurement of loans under the fair value option are recorded in the income statement item "110 - Net profit (loss) from other financial assets and liabilities measured at fair value through profit or loss", with the exception of the valuation and execution effects related to the change in own creditworthiness that are recorded as an offsetting entry to a specific equity reserve (item "110 - Valuation reserves"), unless this accounting treatment creates or amplifies an asymmetry in the economic result, as described in greater detail in the discussion to item "13 - Financial liabilities measured at fair value";
- results of the measurement of derivatives associated with loans under the fair value option are recorded in the income statement item "80 - Net profit/loss from trading".

From the perspective of prudential supervision, in compliance with regulations in force, distorting effects from changes in fair value due to changes in own creditworthiness are eliminated from own funds.

Lastly, note that gains posted to the income statement under the Fair Value Option and not yet realised are not distributable.

*Contributions to deposit guarantee systems and resolution mechanisms*

Following the incorporation into national law, Directives 2014/49/EU (Deposit Guarantee Schemes Directive - "DGSD") of 16 April 2014 and 2014/59/EU (Bank Recovery and Resolution Directive - "BRRD") of 15 May 2014, starting from the 2015 financial year, credit institutions are obliged to provide the financial resources necessary for the operation of the FITD (Interbank Deposit Protection Fund) and the National Resolution Fund (merged into the SRF - Single Resolution Fund in 2016), through the payment of ex-ante ordinary contributions to be paid annually, until a determined objective level has been reached. Should the financial means available to the FITD and/or the SRF not be sufficient, respectively to guarantee the reimbursement of the protected deposit or to finance the resolution, it is required that credit institutions must provide to make the payment of extraordinary contributions. These contributions fall under the field of application of the IFRIC 21 "Levies" interpretation, on the basis of which a liability related to the payment of levies derives from the occurrence of the "binding event" which triggers the payment obligation. The balancing entry of this liability is represented by item "190 Administrative expenses - (b) other administrative expenses" of the income statement. The contributions are considered similar to a levy and the moment of onset of the "binding event" was identified in the first quarter for the SRF and in the third quarter for the FITD.

The ordinary contribution to the SRF for 2022 amounts to EUR 69.5 mln (EUR 53.9 mln was the contribution for 2021). In this regard, it should be noted that for 2022, as in the previous financial year, the Bank did not avail itself of the possibility of complying with the request through the assumption of an irrevocable payment commitment (IPC). Consequently, the contribution has been fully recognised in the income statement.

The ordinary contribution to the FITD, recognised in the income statement of 2022, amounts to EUR 84.7 mln (EUR 72.4 mln was the contribution requested for 2021).

Finally, it should be noted that no additional contributions to the National Resolution Fund (NRF) were called from the Bank of Italy in the 2022 financial year, in order to meet the financial needs associated with the resolution interventions carried out prior to the launch of the SRF. In 2021, additional contributions were called for an amount of EUR 17.5 mln were called up for activities initiated in November 2015 by the Bank of Italy, in its capacity as national resolution authority, vis-à-vis the following four banks: Cassa di risparmio di Ferrara S.p.A., Banca delle Marche S.p.A., Banca popolare dell'Etruria e del Lazio – Società cooperativa e Cassa di risparmio della Provincia di Chieti S.p.A.

Investments in the Voluntary Scheme of the Interbank Deposit Protection Fund

On 14 February 2022, the FITD accepted the purchase offer received from the BPER group for 80% of the shareholding of Banca Carige owned by the FITD, offering 1 euro as consideration and requesting that the Fund provide to recapitalise the Ligurian Bank for EUR 530 mln. On 3 June 2022, the closing of the transfer in favour of BPER was completed, which also involved the purchase by the latter of the subordinated bonds issued by Banca Carige owned by the Voluntary Scheme for a nominal amount of EUR 5 mln.

In addition, on 21 July 2022, the Voluntary Scheme transferred all mezzanine and junior tranches of the Berenice vehicle, relating to the securitisation of the receivables of the Casse di Risparmio di Cesena, Imola and San Miniato, signed by the Voluntary Scheme on 21 December 2017 for an amount of EUR 12 mln and EUR 158 mln, respectively and which the Bank held indirectly.

Given the above, in the third quarter of 2022, the Bank closed the investments indirectly held in Banca Carige and in other financial instruments through the Voluntary Scheme of the FITD, with a residual book value at the closing date of EUR 0.9 mln, as a balancing entry to item 110 "Net profit (loss) from financial assets and liabilities measured at fair value through profit or loss".

Purchase of protection from credit risk through financial guarantee contracts

The Bank identified the conditions that need to be in place for a contract to qualify, from an accounting perspective, as a financial guarantee. First and foremost, the classification as a financial guarantee and the subsequent accounting treatment does not depend on the legal form of the contract; in fact, financial guarantee contracts may assume different legal forms, for example that of a guarantee, some types of credit letters, a loan default contract or an insurance contract.



Among the preliminary criteria for the purposes of classification are considered contract financial and management objective concepts such as, for example, in the event of the purchase of protection, the assumption of a guarantee from any losses incurred on the hedged asset.

All the following elements must also be present:

- stipulation of the contract for the purpose of hedging credit risk, deriving from debt instruments;
- presence of the deliverable obligation, for the purposes of activation of the financial guarantee, in the financial statements of the purchaser of protection;
- unbudgeted payments in response to changes in specific rates, prices, ratings, exchange rates, indexes or other variables that are governed by the rules on derivatives;
- repayments made by the protection seller only if the protection purchaser has suffered losses on the hedged asset (direct link between the obligation of the guarantor and the assets in the portfolio of the guaranteed party, as indicated in point b) above) and for amounts not exceeding the loss actually recorded;
- analysis of the economic substance of the characteristics of the contract, allowing (i) failure to pay, (ii) bankruptcy, (iii) restructuring, (iv) moratorium etc. under credit events.

On the other hand, it is not necessary that the duration of the guarantee corresponds to the duration of the hedged asset, as it is permitted to hedge the underlying asset for only part of its residual life.

Contracts that meet the aforementioned conditions are similar to financial guarantees and are entered into as part of synthetic securitisation transactions of portfolios in which the Bank acts exclusively on the side of the purchaser of credit risk protection.

TLTRO III – Targeted Longer Term Refinancing Operations

The TLTRO III “Targeted Longer Term Refinancing Operations” are financing operations conducted by the ECB aiming to preserve favourable conditions of bank credit and support the defined monetary policy stance. The financing that can be obtained from each bank depends on the amount of loans granted to non-financial companies and households (eligible loans) on certain recognition dates. Operations are carried out on a quarterly basis, starting from September 2019 and each transaction has a duration of three years. Following the emergency related to the COVID-19 pandemic and the unexpected and extraordinary increase in inflation during the second half of 2022, some of the criteria initially set forth by the ECB in 2019 were revised, between March and December 2020, in a positive sense with particular reference to the maximum amount that can be financed and the related remuneration and finally in October 2022, in a negative sense in relation to the changes to the terms and conditions applicable from 23 November 2022.

With regard to the remuneration of the loans, following the aforementioned revisions, the interest rate was set at a level equal to the average rate of the main refinancing operations of the Eurosystem (MRO), except for the period between 24 June 2020 and 23 June 2022 (“special interest rate period”), where a lower rate of 50 basis points is to be applied. An incentive mechanism has also been established which provides access to more favourable rate conditions when specific benchmarks are reached, based on the net granted loans. In this regard, it should be noted that the Bank, having achieved these benchmarks – referring in particular to the amounts of the aforementioned net disbursements outstanding as at 31 March 2021 and 31 December 2021 – is entitled to benefit from the average rate on deposits with the central bank (Deposit Facility Rate - DFR) for the entire duration of the respective transactions, with the exception of the “special interest rate period” - between 24 June 2020 and 23 June 2022 - to which is added the additional reduction of 50 basis points (and in any case not higher than -1%). In detail, with reference to the period between the settlement date of each tranche and 23 June 2020, i.e. the period immediately preceding the special interest rate period, and the period between 24 June 2022 and 22 November 2022 (together the “main interest rate period”), the interest rate for each tranche is equal to the average Deposit Facility Rate calculated with regard to the period between the related settlement date and 22 November 2022. Finally, for the period between 23 November 2022 and the maturity date or any date of early repayment (“last interest rate period”) of the relevant tranche, the interest rate is equal to the average rate on deposits with the central bank calculated in the same period.



Interest is settled in arrears at the maturity or, alternatively, at the time of the early repayment of each TLTRO III transaction.

The Bank applies to TLTRO III transactions the accounting treatment defined pursuant to IFRS 9, considering the refinancing conditions defined by the ECB as market rates in the context of the Eurosystem's monetary policy measures, as the Governing Council of the ECB may change the interest rate of TLTRO III transactions prospectively at any time, as it did in April and December 2020 and most recently in October 2022. In the absence of specific indications in the reference accounting standards for the treatment of the case, the Bank has defined its accounting policy by equating the loan to a variable-rate financial instrument, with recognition of interest, applicable from time to time, to be estimated on the basis of the probability of being able to achieve certain objectives in terms of "net lending". In further detail, the rules set forth in IFRS 9 for floating-rate financial instruments (paragraph B5.4.5) are deemed applicable, in line with the treatment pursued in the past for loans obtained under previous TLTRO programmes. Following the monetary policy decisions made during the 2022 financial year, the *Deposit Facility Rate* went from -0.50% to 0% with effect from 27 July 2022, from 0% to 0.75% with effect from 14 September 2022, from 0.75% to 1.5% with effect from 2 November 2022 and finally from 1.5% to 2.0% with effect from 21 December 2022.

In detail, the rates applied are as follows: (i) -1% from 24 June 2020 until 23 June 2022, having achieved all net lending targets, (ii) average DFR rate calculated between the settlement date of each tranche and on 22 November 2022 for the fees to be recognised in the period prior to the special interest rate period and for the period between 24 June 2022 and 22 November 2022, (iii) average rate DFR calculated between 23 November 2022 and the expected maturity of each tranche on the assumption that the prospective interest rates are equal to the DFR in force at each refixing date (2.0% starting from 21 December 2022) and that there are no pre-payments.

As illustrated above, in view of the relevance of the issue at European level and the different accounting practices applied, on 9 February 2021, ESMA submitted a request to the IFRS Interpretations Committee (IFRIC) for clarification on the accounting treatment of TLTRO III transactions. In March 2022, the IFRIC, after consultation with the IASB, confirmed that this issue will be addressed in the *Post Implementation Review* (PIR) project on the Classification and Measurement of IFRS 9.

In light of the above, for the purposes of preparing these Financial Statements, no official interpretation has been issued on this matter; however, it cannot be ruled out that, upon completion of the analyses underway by the IASB, different approaches may emerge with regard to the accounting treatment to be adopted for the accounting of the case in question compared to that carried out by the Bank as at 31 December 2022.

As at 31 December 2022, TLTRO-III transactions amounted to EUR 19.5 bn, a decrease of EUR 10 bn compared to the outstanding amounts as at 31 December 2021, and referred to four TLTRO-III transactions carried out in June and September 2020 (EUR 11 bn and EUR 3 bn) and in March and June 2021 (EUR 2.5 bn and EUR 3 bn) respectively. It should be noted that the EUR 4 bn tranche taken out in December 2019 matured on 21 December 2022, and on the same date an early repayment of a nominal EUR 6 bn of the June 2020 tranche with an original maturity of June 2023 was made.

The total interest income recognised in the income statement for the 2022 financial year therefore amounted to approximately EUR 131 mln (EUR 279 mln as at 31 December 2021), represented for EUR 144 mln by interest counted at the most favourable rate of -1% for the special period, for approximately EUR 40 mln by interest recognised for the main interest rate period and finally for EUR -53 mln by interest recognised for the last interest rate period until 31 December 2022.

Finally, it should be noted that as a result of the ECB Governing Council's decision of 2 February 2023, the DFR was increased from 2% to 2.5% with effect from 8 February 2023. This change did not affect the calculation of the accruals recognised as at 31 December 2022, as this is a subsequent event that does not entail any adjustments to the balance sheet balances in compliance with IAS 10.

Tax credits linked to the "Rilancio" Italian Law Decree acquired following assignment by the direct beneficiaries or previous purchasers

As part of the urgent measures on health, support for work and the economy, as well as social policies linked to the COVID-19 epidemiological emergency, Italian Law Decree no. 34/2020 ("Rilancio" - Relaunch) introduced



tax incentive measures for specific energy and anti-seismic efficiency interventions, the installation of photovoltaic systems and infrastructure for recharging electric vehicles in buildings (“Superbonus”).

These tax incentives, applicable to both households and businesses, are commensurate with a percentage of expenses incurred, and are disbursed in the form of a tax credit or tax deduction. The main characteristics of these tax credits are: (i) the possibility of using them for offsetting; (ii) transferability to third-party purchasers and (iii) non-reimbursement by the tax authorities.

The accounting treatment of tax credits acquired from a third party (transferee of the tax credit) is not subject to a specific international accounting standard. IAS 8 establishes that, when there is a situation not explicitly addressed in an IAS/IFRS, the company management defines an appropriate accounting policy to ensure relevant and reliable disclosure of such transactions.

The Bank, in line with the joint document issued by the Authorities⁷⁵, has defined its accounting policy which refers to the accounting rules laid out in IFRS 9, applying provisions compatible with the characteristics of the transaction and considering that, substantially, these credits are equivalent to financial assets.

The Bank purchases the credits based on its Tax Capacity with a view to holding them and using them for future offsetting; therefore, these credits are linked to a Held to Collect Business Model and recognised at amortised cost, with remuneration represented in net interest income throughout the recovery time period.

The valuation of these credits is carried out by considering utilisation flows through estimated future offsetting; however, the accounting framework provided by IFRS 9 does not apply to this specific case for the calculation of expected losses, i.e. the expected credit loss (ECL) is not calculated as there is no counterparty credit risk, taking into account that tax credits are realised through offsetting and not collection.

Lastly, as specified in the joint Authority document, taking into account that for the purposes of the international accounting standards these tax credits do not represent tax assets, public contributions, intangible assets or financial assets, the most appropriate classification for representation in the financial statements is the residual category “Other Assets” in the Balance Sheet.

As at 31 December 2022, the nominal value of the total tax credits acquired amounted to EUR 882.6 mln. Taking into account credits offset until this point, totalling EUR 72.7 mln, the residual nominal amount as at 31 December 2022 came to EUR 809.9 mln. The corresponding carrying amount, recognised in the balance sheet item “120. Other assets” at amortised cost, which takes into account the acquisition price and the net amounts accrued as at 31 December 2022, was EUR 738.2 mln.

It should also be noted that the Bank, as at 31 December 2022, received requests for the sale of these receivables for a total amount of approximately EUR 3.4 bn, currently under review/processing. The total amount of receivables purchased, taking into account the disposal requests in progress, is in line with the estimate of the total tax capacity or the tax/contribution payments that the Bank plans to make and that are available for offsetting with the tax credits from “Building Bonuses”.

Employment termination benefits

Termination of employment may be attained through the employee’s voluntary acceptance of a company plan to reduce staff following a proposal to incentivise voluntary resignations due to redundancies, i.e. in the case of exit incentive plans. Such plans may provide for recourse to category-based collective instruments, including the Solidarity Fund for Employees in the Credit Sector.

These plans provide employment termination benefits and are drawn up, in terms of the number of exits and the timing of implementation, within the scope of the Business Plan objectives.

The agreements executed between the Group and the trade unions generally provide for the extent of the pool of potential participants and payments made on a lump-sum basis, in addition to the additional payment of other benefits such as, for example, the maintenance of the insurance policy, the maintenance of welfare coverage and supplementary pension schemes, until the employee reaches the INPS retirement age. The Group recognises a provision by type, under personnel expenses, as a balancing entry to a provision for risks and charges under item

⁷⁵ Accounting treatment of tax credits purchased pursuant to the “Cura Italia” and “Rilancio” Italian Law Decrees published on 5 January 2021 by the coordination table between the Bank of Italy, Consob and IVASS on the application of IAS/IFRS.



“100 Provisions for risks and charges: c) other provisions for risks and charges” when the requirements of IAS 37 are met, i.e. in the presence of an obligation of a contractual nature to provide the services and benefits covered by the agreement, when it is probable that a flow of resources will be required to fulfil the obligation, for an amount that represents the best possible estimate of the expenditure needed to settle the related obligation in place at the reporting date.

Since this is a multi-year obligation, the estimated amount is subject to discounting to reflect the effect of the passing of time.

Other matters

Classification criteria for financial assets

The classification of financial assets in the three categories envisaged by the standard depends on two classification criteria, or drivers: the business model with which the financial instruments are managed and the contractual characteristics of the cash flows of the financial assets (or SPPI Test).

The financial asset classification derives from the combination of these two drivers, as shown below:

- Financial assets measured at amortised cost: assets that pass the SPPI test and fall under the Held to Collect business model (HTC);
- Financial assets measured at fair value through other comprehensive income (FVOCI): assets that pass the SPPI test and fall under the Held to Collect and Sell business model (HTCS);
- Financial assets measured at fair value through profit or loss (FVTPL): a residual category, which includes financial instruments that cannot be classified in the previous categories based on the results of the business model test or the test on the characteristics of contractual cash flows (SPPI test failed).

Business model

With regard to the business model, IFRS 9 identifies three cases in relation to the methods by which cash flows are managed and financial assets are sold.

- *Held to Collect (HTC)*: a business model whose objective is achieved by collecting contractual cash flows from the financial assets included in the relative portfolios. The inclusion of a financial asset portfolio under this business model does not necessarily mean that the instruments cannot be sold, though it is necessary to consider the frequency, value, and timing of sales in previous financial years, reasons for sales, and expectations regarding future sales;
- *Held to Collect and Sell (HTCS)*: a mixed business model, whose objective is achieved by collecting contractual cash flows from the financial assets included in the portfolios and (also) by sales activities, which is an integral part of the strategy. Both activities (collection of contractual cash flows and sales) are essential for achieving the business model's objective. Therefore, sales are more frequent and for greater amounts than an HTC business model and are an essential component of the strategies pursued;
- *Other/Trading*: a residual category that includes both financial assets held for trading purposes and financial assets managed with a business model other than the previous categories (Held to Collect and Held to Collect and Sell). In general, this classification applies to a portfolio of financial assets whose management and performance are assessed based on fair value.

The business model reflects the methods by which financial assets are managed to generate cash flows for the entity's benefit and is defined by top management through the appropriate involvement of business structures. It is determined by considering the ways in which financial assets are managed and, as a consequence, the extent to which the portfolio's cash flows derive either from the collection of contractual cash flows, or from the sale of financial assets, or from both of these events.

The assessment does not take place on the basis of scenarios that, based on the entity's reasonable forecasts, are not likely to occur, such as “worst case” or “stress case” scenarios. For example, if the entity expects to sell a given portfolio of financial assets only in a “stress case” scenario, that scenario does not affect the assessment of the entity's business model for those assets if that scenario, based on the entity's reasonable forecasts, is not likely to occur.



The business model does not depend on the intentions that management has for an individual financial instrument, but refers to the ways in which groups of financial assets are managed for the purpose of achieving a specific business objective.

In summary, the business model:

- reflects the methods by which financial assets are managed to generate cash flows;
- is defined by top management through the appropriate involvement of business structures;
- must be determined by considering the methods by which financial assets are managed.

When assessing a business model, all relevant factors available at the assessment date are used. These factors include the strategy, risks and their management, remuneration policies, reporting, and the amount of sales. In analysing the business model, it is crucial that the factors evaluated are consistent amongst themselves and, in particular, are consistent with the strategy pursued. Evidence of activity not in line with the strategy must be analysed and adequately justified.

For the Held to Collect portfolios, the Bank has defined eligibility thresholds for sales that do not affect the classification (frequent but not significant, individually and in the aggregate, or infrequent though of a significant amount) and, at the same time, established the parameters to identify sales consistent with this business model, when they are attributable to an increase in credit risk.

More specifically, as part of an HTC business model, sales are permitted i) in the event of an increase in credit risk, ii) when carried out near maturity, and finally, iii) when they are frequent but not significant in terms of value or infrequent, even if their value is significant.

An example is provided below of circumstances under which the Bank deems it permissible to sell the assets in question.

Increase in credit risk

The Bank believes that there is an increase in credit risk when events occur that involve:

- the classification of the financial asset under stage 2, previously classified under stage 1;
- the classification of the financial asset under impaired assets (or stage 3), previously classified under stages 1 or 2.

On the occurrence of these cases, sales are admissible, independently of any frequency or significance threshold; this occurs, for example, in the case of disposals of non-performing loans.

Proximity of the instrument to maturity

The Bank believes that, regardless of any frequency and significance threshold, disposals are compatible with the HTC business model if the time to maturity is equal to 10% of the original duration of the instrument, with an absolute limit equal to 12 months.

Frequency and significance below thresholds

- frequency is defined as the percentage ratio between the number of positions sold (ISIN or relationships) during the observation period and the total positions in the portfolio present at the beginning of the observation period. Sales carried out based on a number lower than a value equal to 5% of the number of securities held in the portfolio at the start of the year are infrequent (this value is equal to zero if the number of securities at the start of the year is under 40);
- significance is defined as the percentage ratio between the nominal value of sales and the total nominal value of instruments in the portfolio present at the beginning of the observation period. The significance threshold of individual sales identified by the Bank is 5%.

The two thresholds must be considered separately. As a result, individual sales for an amount exceeding 5% of the initial amounts are not eligible, even if infrequent. If both the frequency and significance thresholds are met by an individual sale, a further assessment is envisaged in terms of aggregate sales volume. In this case, the significance threshold of the aggregate amount of sales identified by the Bank is 10%.

These thresholds were established and applied only for the portfolio of debt securities, as the sales of loans portfolios carried out by the Bank are attributable to an increase in the credit risk and to the derisking strategy required by the Supervisory Authority.

*“Held to Collect” Business Model – Sales*

The IFRS 9 accounting standard indicates that the transfer of exposures included in the portfolio of “Financial assets measured at amortised cost” is carried out in respect of specific significance or frequency thresholds, in proximity of maturity, in presence of an increase in credit risk or the occurrence of exceptional circumstances. With regard to this it should be noted that transfers of debt securities made by the Bank in 2022 were carried out in accordance with the significance and frequency thresholds, declared in the accounting policies, illustrated in part “A.2 Part relating to the main items of the financial statements”, paragraph “Other Information, Other Aspects - Business Model”, to which reference is made for further details.

During 2022 and until the date of preparation of these financial statements there were no changes with regard to the admissibility criteria of sales of financial assets managed with the “HTC” Business Model. Lastly, please note that the management of debt securities classified in “HTC” and “HTCS” portfolios continue in accordance with the choices made in previous financial years; therefore, no change in the Business Model has occurred during the financial year which required a reclassification of the securities portfolio.

SPPI test

The other criterion to be used to determine whether a financial asset should be classified under financial instruments measured at amortised cost or at FVOCI - in addition to the Business Model analysis shown above - envisages that the related cash flows are represented exclusively by the payment of the principal and interest on the amount of principal to be repaid. To this end, IFRS 9 regulates that the SPPI test is carried out, with the purpose of verifying that the remuneration for a specific financial instrument, whether a debt security or loan, is linked exclusively to the payment of interest and repayment of principal.

A debt instrument that does not meet the SPPI test must always be measured at FVTPL and classified under the sub-item “other financial assets measured at fair value as per mandatory requirements”.

For purposes of the analysis, IFRS 9 proposes a definition of the terms “principal” and “interest”, as follows:

- the principal is intended as the fair value of the financial asset at the time of its initial recognition. This value may change during the life of the financial instrument, for example due to repayments of a portion of the principal;
- interest is the consideration for the time value of money, for the credit risk associated with the principal over a given period of time, for other risks and costs associated with the basic risks of a lending transaction, and for the profit margin.

In basic lending arrangements, the value of interest must depend exclusively on the time value of money and on the credit risk associated with the principal over a given period of time. Whenever contractual terms introduce other elements, it is no longer possible to consider that asset as solely generating cash flows in terms of principal and interest. This could happen, for example, when the cash flows come from non-recourse financial assets. The cash flows of these financial assets may involve not only interest payments and principal repayments, since the remuneration is linked to specific business activities. In this regard, the owner of the asset must assess, using the look-through approach, whether or not its instruments pass the SPPI test. For example, when the entity has non-recourse financial assets, whose cash flows depend on the performance of an element of the issuer’s equity (e.g., net income), the possibility of amortised cost or FVOCI measurement must be excluded. Furthermore, when contractual cash flows depend on characteristics such as changes in share or commodity prices, the related financial instruments cannot pass the SPPI test, as they introduce exposure to risk or volatility that is not correlated with basic lending arrangements.

IFRS 9 points out that all financial instruments that are subject to “leverage effect” cannot be considered generators of principal and interest cash flows, since leverage has the potential to increase the volatility of cash flows. This includes swaps, options, forward contracts, and all derivative contracts.

IFRS 9 defines two cases in which the time value of money can be considered changed (modified time value of money) or when the relationship between the passage of time and the interest rate is considered imperfect. One case occurs when the asset’s interest rate is periodically recalculated, but the frequency of this recalculation or the frequency of the payment does not correspond to the nature of the interest rate. This can happen, for example, when variable interest payments are made on a monthly basis and, at the beginning of each month, the interest rate is determined using the 6-month Euribor rate: the monthly interest rate is determined in reference to an interest rate calculated every six months, and therefore, under a different time horizon. In these cases, the accounting standard introduces the need to make a comparison between cash flows deriving from the financial asset being



measured and cash flows deriving from a financial asset considered identical in terms of credit risk and duration, but for which the monthly interest is calculated based on the monthly Euribor. The other case of imperfect correlation between the passage of time and the time value of money occurs when the asset's interest rate is periodically restated based on an average of particularly short or medium/long-term rates. For example, when a financial asset provides for the payment of interest every three months, based on the average three-month Euribor interest rate in the quarter preceding the one to which the interest refers.

Therefore, in these cases the entity must analyse whether the financial asset generates only cash flows related to principal and interest, despite the change in the time value of money. The objective of this analysis is to verify how different the non-discounted contractual cash flows would be if there were no changes in the time value of money over time (known as the benchmark cash flow test).

In addition, any contractual clauses that could change the frequency or amount of contractual cash flows must be considered in order to assess whether such cash flows meet the requirements to be SPPI compliant (e.g., prepayment options, possibility to defer the contractually agreed cash flows, instruments with embedded derivatives, subordinated instruments, etc.).

However, as required by IFRS 9, a contractual cash flow characteristic does not affect the classification of the financial asset if it can only have a de minimis effect on the contractual cash flows of the financial asset (in each financial year and cumulatively). Similarly, if an element of cash flows is not realistic or genuine, i.e., if it affects the instrument's contractual cash flows only at the occurrence of an extremely rare, highly unusual, and very unlikely event, it does not affect the classification of the financial asset.

In the case of instruments subordinated to another instrument (e.g., guaranteed debt securities), the related cash flows are linked to the nominal value of the principal or interest of the principal instrument. The instrument's owner has the power to exercise the right of pre-emption, even in the event of the debtor's bankruptcy. These instruments are included among those that do not pass the SPPI test.

With regard to contractually linked instruments, reference is made to instruments with which an entity assigns a certain priority to the payment of cash flows. The order of priority depends on the credit risk assigned to each category of creditor, called "tranche". The characteristics that an investment, belonging to a given tranche, must possess in order to be considered a generator of cash flows that are exclusively related to the payment of interest and repayment of principal are as follows:

- the underlying assets must contain one or more financial assets that generate cash flows consisting exclusively of interest payments and principal repayments. Furthermore, the presence of supporting financial instruments, such as derivatives, is permitted only if they serve to reduce the volatility of the relative cash flows;
- the exposure to credit risk relating to a given tranche must be equal to or less than the risk exposure attributable to the underlying financial instruments.

For purposes of conducting the SPPI test on transactions in debt securities, the Bank uses the services of an info-provider. The test is carried out manually using a proprietary tool based on an internally developed methodology (decision trees) only if the securities are not managed by the info-provider.

A proprietary tool based on a method developed in-house (decision trees) was developed to perform the SPPI test for credit approval processes. In particular, given the significantly different characteristics, differentiated management is envisaged for products that have a standard contract (typically, the retail loan portfolio) and tailor-made loans (typically, the corporate loan portfolio). For standard products, the SPPI test is conducted when the standard contract is structured, through the "Product Approval" process, and the test result is extended to all individual relationships that refer to that product in the catalogue. Instead, for tailor-made products, the SPPI test is carried out for each new credit line/relationship submitted to the decision-making body through the use of the tool. Decision trees - included in the proprietary tool - have been prepared internally (both for debt securities and loans) and capture possible features that may not comply with the SPPI test.

Use of estimates and assumptions when preparing financial statements

The application of certain accounting standards necessarily implies the use of estimates and assumptions that impact the values of the assets and liabilities recognised in the Balance Sheet as well as the disclosure provided on contingent assets and liabilities. The assumptions underlying the estimates developed take into consideration all available information at the date on which these Financial Statements were drafted as well as the assumptions



considered reasonable, also in light of historical experience. By their very nature, it is therefore not possible to exclude that the assumptions used, albeit reasonable, may not be confirmed in the future scenarios in which the Bank will be operating. The results achieved in the future therefore could differ from the estimates developed in order to draft these Financial Statements and as a result adjustments may be required, to an extent that cannot currently be predicted or estimated, with respect to the carrying amount of the assets and liabilities recognised in the Financial Statements.

In this regard, it should be noted that adjustments to estimates may become necessary as a result of changes in the circumstances on which they were based, new information or increased experience.

Among the main factors of uncertainty that could affect the future scenarios in which the Bank will operate, the negative impact on the global and Italian economy directly or indirectly connected to the COVID-19 outbreak and, from Q1 2022 onwards, to the conflict between Russia and Ukraine must be considered. In 2022, as Italy emerged from the health emergency phase and health restrictions were eased, the uncertainties specifically related to the pandemic subsided. At the same time, since the Russia/Ukraine geopolitical crisis, uncertainties about the economic outlook have progressively increased, in particular, a specific risk factor (the energy crisis arising in the context of the ongoing geopolitical crisis) and the effects of rising inflation, increased corporate costs and interest rates have become apparent.

In this context, uncertainties about the consequences of the war, especially with regard to indirect effects, and the duration of the war make any valuation process extremely complex, since, on the one hand, they increase the risk of the economic environment in which business is transacted and, on the other, they increase the risk of limited predictability of economic projections. The following section “Risks, Uncertainties and Impacts of COVID-19 and the Russia-Ukraine Conflict” provides an overview of the main risks and uncertainties to which the Bank is exposed and how it has taken them into account in preparing these Financial Statements.

Lastly, please note that in order to allow an appreciation of the effects on the financial statements correlated to above mentioned elements of uncertainty, in these financial statements, for the main items of the financial statements subject to estimates (recoverability of deferred tax assets, expected losses on performing exposures, recoverability of intangible assets with an indefinite useful life) information is provided on the main hypotheses and assumptions used in the estimate, as well as a sensitivity analysis with respect to alternative hypotheses.

The accounting policies considered to be the most critical for the purpose of a true and fair representation of the Bank’s financial situation and results of operations, both in terms of materiality of the values to be recorded in the Financial Statements impacted by these policies, and for the high degree of judgement required in the measurements, which implies the use of estimates and assumptions by management, with reference to the specific sections of the Notes to the financial statements detailed information on the evaluation processes carried out at 31 December 2022. In the following review of relevant accounting policies, the main factors of uncertainty related to the Covid-19 epidemic and the Russia-Ukraine conflict, that could affect the financial statement valuations, are also reported, which are more fully disclosed in the following section “Risks, Uncertainties and Impacts of the Covid-19 Epidemic and the Russia-Ukraine Conflict”.

The main cases in which subjective valuations are mostly opted for by Management include:

- a) quantification of impairment losses on loans and, more generally, other financial assets;
- b) assessment of the adequacy of the value of equity investments and of other non-financial assets (goodwill, property, plant and equipment, including right of use assets acquired through leasing and intangible assets);
- c) use of valuation models to measure the fair value of financial instruments not listed in active markets;
- d) estimation and assumptions on recoverability of deferred tax assets;
- e) estimation of liabilities arising from defined benefit company pension funds;
- f) quantification of provisions for risks and charges related to legal and tax disputes;
- g) quantification of the fair value of investment properties and operating properties for business use.

For some of the cases listed above, the main factors that are subject to estimates by the Group, and which therefore contribute to determining the book value of assets and liabilities in the financial statements, can be identified.



In summary, note that:

- a) for the allocation in the three credit risk stages envisaged in IFRS 9 for loans and debt securities classified as “Financial assets measured at amortised cost” and “Financial assets measured at fair value through other comprehensive income”, and the calculation of the related expected losses, the main estimates concern:
 - determination of the parameters of significant increase in credit risk, based essentially on models for measuring the probability of default (PD) at the origination of financial assets and at the reporting date;
 - inclusion of forward-looking elements, including macroeconomic, for calculating PD, EAD, and LGD;
 - for calculating expected future cash flows from non-performing loans, certain elements are taken into account: expected repayment schedule, expected realisable value of any collateral, costs expected to be incurred for collection of the credit exposure, and finally, the probability of sale for positions that have a disposal plan;
- b) for calculating the value in use of equity investments, the expected cash flows and cost of capital are estimated;
- c) for calculating the fair value of financial instruments not listed on active markets, if it is necessary to use parameters that cannot be inferred from the market, the main estimates concern, on one hand, the development of future cash flows (or also profits for equity securities), possibly contingent upon future events and, on the other, the level of certain input parameters not listed on active markets;
- d) for quantifying post-employment benefits and similar obligations, the present value of the obligations is estimated, taking into account the cash flows, appropriately discounted, resulting from the historical statistical analysis and the demographic curve;
- e) for quantifying provisions for risks and charges, the amount of disbursements necessary to satisfy the obligations is estimated, where possible, taking into account the effective probability of having to make use of resources;
- f) for calculating the items related to deferred taxation, the probability that taxes will effectively be incurred in the future (temporary taxable differences) and the degree of reasonable certainty - if any - of future taxable profits at the time the taxes can be deducted is estimated (temporary deductible differences);
- g) for the determination of the fair value of the properties, carried out through the preparation of specific appraisals by a qualified and independent company, certain unobservable input data are estimated, such as, for example, the discount rate, the capitalization rate of income, etc.

For point a), b), and f) please refer to the following paragraphs: “Methods for calculating impairment on IFRS 9 financial instruments”, “Methods for calculating impairment on equity investments”, “Methods for calculating impairment on other non-financial assets” and “Methods for recognising deferred tax assets (probability test)”; as regards point g), please refer to paragraph “Fair value measurement for real estate properties” and finally, for point c), please refer to paragraph A.4.5 “Fair value hierarchy” of these Notes to the financial statements. The actual technical and conceptual solutions used by the Bank are analysed in more detail in the individual sections of the notes to the balance sheet and income statement, where the distinct contents of each item in the financial statements are described. With regard to the cases referred to in points d) and e), please refer to Section 10.5 under liabilities in the Notes to the Financial Statements “Defined benefit company pension funds” and Part E of the Notes to the Financial Statements, Section 1.5 “Operational risks”.

Methods for calculating impairment on IFRS 9 financial instruments

Pursuant to IFRS 9, at each reporting date, financial assets other than those measured at fair value through profit or loss are subject to an impairment test, aimed at estimating the expected credit loss (ECL). In particular, the following are included in the scope of impairment testing:

- “Financial assets measured at amortised cost”;
- “Financial assets measured at fair value through other comprehensive income” other than equity securities;



- commitments to disburse provisions and guarantees given that are not measured at fair value through profit or loss; and
- trade receivables or assets deriving from contracts that result from transactions falling under the scope of IFRS 15.

According to the ECL calculation model, introduced in IFRS 9, losses must be recorded not only with reference to objective evidence of losses in value that are already apparent at the measurement date, but also based on expectations of future losses of value that have not yet occurred.

In particular, the ECL model provides the aforementioned financial assets must be classified in three distinct “stages”, according to their credit quality in absolute terms or relative to that at initial disbursement, to which different measurement criteria for expected losses are applied. More specifically:

- *stage 1*: includes performing exposures that have not undergone a significant change in credit risk with respect to the initial recognition. The value adjustments correspond to the expected losses related to the verification of default in the 12 months following the reporting date;
- *stage 2*: includes performing exposures whose creditworthiness has been affected by a significant change in credit risk, but for which the losses are not yet observable. Adjustments are calculated considering the lifetime loss of the instrument;
- *stage 3*: includes all non-performing loans, i.e. non-performing exposures that present objective evidence of deterioration and which must be adjusted by using the lifetime expected loss concept⁷⁶.

Financial assets considered as impaired since their acquisition or origin (POCI - purchased or originated credit impaired), are an exception to the above, whose accounting treatment was discussed in the paragraph above dedicated to this topic.

For the Bank, the perimeter of exposures classified under stage 3 corresponds to non-performing exposures, identified according to the definitions established by supervisory regulations (Bank of Italy Circular no. 272 “Accounts matrix”) and referred to in Bank of Italy Circular no. 262 “Bank financial statements: layout and rules for compilation”, as these definitions are deemed consistent with accounting regulations envisaged in IAS/IFRS for objective evidence of impairment. Based on these circulars, the perimeter of non-performing exposures corresponds to the aggregate “non-performing exposures”, defined in EU Regulation 2015/227, by which EBA’s “Implementing Technical Standard (ITS) on Supervisory Reporting (forbearance and non-performing exposures)” (EBA/ITS/2013/03/rev1 24/7/2014) has been endorsed.

In detail, the aforementioned circulars identify the following categories of non-performing assets:

- **Bad loans**: these represent the aggregate of on- and off-balance sheet exposures to a party in a status of insolvency (even if not judicially certified) or in essentially comparable situations, regardless of any loss forecasts made by the Bank;
- **Unlikely to pay**: represent the on- and off-balance sheet exposures for which the debtor does not meet the conditions for classification under bad loans and for which it is considered unlikely that the debtor will be able to fully satisfy the credit obligations (in terms of principal and/or interest) without recourse to actions such as the enforcement of collateral. This assessment is carried out regardless of the existence of any overdue and unpaid amounts (or instalments). The classification among unlikely to pay is not necessarily linked to the explicit presence of anomalies, such as a missed repayment, but rather is linked to the existence of elements that would indicate a situation of risk that the debtor may default (e.g., a crisis in the debtor’s business sector);
- **Past due and/or overdrawn exposures**: on-balance sheet exposures, other than those classified as bad loans or unlikely to pay, which, at the reporting date, are past due and/or overdrawn for more than 90 days, according to the significance threshold envisaged in the aforementioned legislation. For the Bank, non-performing past due and/or overdrawn exposures are determined in reference to the position of an individual debtor.

In addition, the Bank of Italy regulations, in line with EBA standards, have introduced the definition of “forborne exposures”. This concerns, in particular, exposures benefiting from tolerance measures, which consist of concessions granted to the debtor, in terms of modification and/or refinancing of a pre-existing loan, exclusively because of, or to prevent, a state of financial difficulty that could have negative effects on the debtor’s ability to

⁷⁶ The valuation is statistical for positions with a balance of under EUR 1.0 mln and analytical, carried out by management, for positions above said threshold.



fulfil the contractual commitments originally assumed, and that would not have been granted to another debtor with a similar risk profile not in financial difficulty. These concessions must be identified at the level of the individual credit line and may relate to exposures of debtors classified either in the performing or the non-performing (impaired) status. For exposures with forbearance measures classified as unlikely to pay, the recovery to a position of performing can only take place after at least one year has elapsed from the time the concession was granted (known as the “cure period”) and all the other conditions provided for in paragraph 157 of the EBA ITS are satisfied.

In any case, renegotiated exposures should not be considered forborne when the debtor is not in a situation of financial difficulty (renegotiations carried out for commercial reasons).

Lastly, it should be noted that, as of 1 January 2021, the Bank has adopted the new definition of default, deriving from the implementation of the “RTS on the materiality threshold for credit obligations past due under art. 178 of the CRR (Delegated Regulation (EU) 2018/171)” and the related “EBA Guidelines on the application of the definition of default under art. 178 of the CRR”. The regulations, while confirming the bases of default in the concepts of late payments and probable default of the debtor, has introduced some significant changes mainly in relation to materiality thresholds, offsetting rules and return to performing criteria. For further information, please refer to the Notes of consolidated financial statement and to Part E “Information on risks and hedging policies”, Credit Risk, Section 3 - Non-performing loans, of these Notes to the Financial Statements.

Impairment of performing financial assets

For performing financial assets, i.e., those assets not considered to be impaired, it must be determined, at the individual relationship level, if there is a significant deterioration of credit risk, by comparing the credit risk associated with the financial instrument at the time of measurement and that at the initial moment of disbursement or acquisition. This comparison is made using both quantitative and qualitative criteria. The results of this assessment, in terms of classification (or, more appropriately, staging) and measurement, are the following:

- when these indicators are present, the financial asset is included in stage 2. In this case, the assessment requires that impairment is recognised equal to the expected losses over the entire residual life of the financial instrument, consistent with the provisions of international accounting standards and even if a loss in value has not yet occurred. These adjustments are reviewed at each subsequent reporting date both to periodically check that the continuously updated loss estimates are consistent, as well as to take into account - in the event that indicators of a “significantly increased credit risk” no longer exist - of the change in forecast horizon for calculation of expected loss;
- where these indicators are not present, the financial asset is included in stage 1. In this case, the assessment requires that expected losses are recognised on the specific financial instrument over the next twelve months, consistent with the provisions of international accounting standards and even if a loss in value has not yet occurred. These adjustments are reviewed at each subsequent reporting date both to periodically check that the continuously updated loss estimates are consistent, as well as to take into account - in the event that indicators of a “significantly increased credit risk” are identified - of the change forecast horizon for calculation of expected loss.

As regards the measurement of financial assets and, in particular, the identification of a “significant increase” in credit risk (a necessary and sufficient condition for classification of the asset being assessed in stage 2), the elements that constitute the main determinants to be taken into consideration, according to the standard and its operating procedure implemented by the Bank, are the following:

- relative quantitative criterion as “main” driver, based on the change (beyond established thresholds) in the lifetime probability of default compared to when the financial instrument was initially recognised in the financial statements;
- absolute qualitative criteria, represented by the identification of trigger events or exceeding absolute thresholds as part of the credit monitoring process. The category comprises:
 - all exposures affected by forbearance measures and for which these measures are still active, regardless of whether the probation period underway is regular;
 - exposures classified in the management portfolio *Proactive Management*⁷⁷;

⁷⁷ On the basis of internal policies, the macro-factors that determine the assignment of the “Proactive Management” management category are the internal rating class (below the D1 threshold) or the “activation” of default detection parameters of the early warning systems classified as



- backstop indicators, i.e., credit delinquency factors, which suggest that there has been a significant increase in credit risk, unless there is evidence to the contrary. For purposes of assumptions, the Bank believes that the credit risk of the exposure must be considered significantly increased if there is an exposure that is past due/overdrawn for a period longer than 30 days, without prejudice to the application of the significance thresholds required by supervisory regulations for the purposes of the classification among non-performing exposures.

With particular reference to the relative quantitative criterion applicable to credit exposures with customers, the Bank has determined as a reference the change, within internal thresholds differentiated by segment, product, initial rating class, vintage, geographical area and legal form, between the lifetime forward-looking cumulative probability of default (PD), calculated at the beginning of the contractual relationship and the probability of default recorded at the measurement date. The exceeding of the above-mentioned thresholds represents an expression of significant increase in the credit risk and the subsequent transfer of a single credit line from stage 1 to stage 2. The comparison is based on the homogeneous residual durations and on homogeneous PD models, for example, if the definition of default changes over time, the original lifetime forward-looking cumulative PD is recalculated to take account of said new definition of default⁷⁸. Cumulative PDs subject to comparison are based on the same model used for ECL purposes (e.g. definition of PIT (Point in Time) PD, macroeconomic scenarios, expected life/contractual life). In order to obtain a unique classification result, use is made of a cumulative PD resulting from the weighted average of the cumulative PDs calculated for the individual prospective scenarios using the probabilities of the scenarios as weights. The threshold of significance is determined by historically measuring, through quantile regression analysis per cluster, that level of ratio, between the lifetime forward-looking cumulative PD at the reporting date and that at the origination date, which may be considered predictive of the classification as NPE⁷⁹. The threshold is determined so as to minimise false positives and false negatives and maximise true positives and true negatives.

For debt securities that do not have rating equal to or above investment-grade ratings, the relative quantitative criterion is based on the variation in lifetime forward-looking cumulative PD between the reporting date and the origination date above compared with a certain threshold. For corporate issuers, the multi-year PD curve is the multi-year corporate segment one relating to vintage 1 estimated entirely by the Bank; for government issues, the multi-year PD curve is the one prepared on the basis of the Moody's, Standard & Poor's Fitch migration matrix of 1-year defaults of government bonds; Standard & Poor's migration matrices corresponding to the Euro area were used to estimate the multi-year PDs of credit exposures to banks and non-banking and financial firms (NBFIs). The cumulative PDs being compared are based on the same model used for ECL purposes and macroeconomic scenarios. Cumulative PDs subject to comparison are based on the same model used for ECL purposes and on macroeconomic scenarios. In order to obtain a unique classification result, use is made of a cumulative PD resulting from the weighted average of the cumulative PDs calculated for the individual prospective scenarios using the probabilities of the scenarios as weights. The exposures are classified into stage 2 if the ratio between the lifetime forward-looking cumulative PD at the reporting date and that of the origination date exceeds a given threshold of significance equal, both for corporate bonds and government bonds, to that used for corporate exposures in the form of loans.

Debt securities that, at the reporting date, have an investment-grade rating, mainly related to government securities, are classified in stage 1 because in this case, and only for this case, the Bank used the "Low Credit Risk Exemption". This exemption consists of the practical expedient of not conducting the test for significant deterioration of credit risk on exposures whose credit risk is considered low. This exemption is applied to securities with an investment grade rating level at the date of assessment, in full compliance with the provisions of IFRS 9 accounting standard. In addition, given the presence of several purchase transactions on one fungible asset (ISIN), it was necessary to identify a methodology to identify the tranches sold in order to determine the residual quantities to which credit quality at initial recognition date can be associated, in order to compare it with credit quality at the measurement date. In this context, the "first-in-first-out" or "FIFO" methodology was deemed most appropriate, as it enables more transparent portfolio management, including from the operational perspective (front office), allowing, at the same time, a continuous updating of the creditworthiness assessment based on new purchases.

highly relevant or binding, which include the EBITDA; these parameters pertain to areas of investigation relating to prejudicial, performance, centralised risks, Financial Statements and the forbearance state in loans.

⁷⁸ Therefore, the valuation at 31/12/T of the significant increase in credit risk of a thirty-year mortgage disbursed on 31/12/T-5 is carried out by comparing the lifetime forward-looking cumulative PDs over the residual life of 25 years.

⁷⁹ The classification as NPE is measured over multi-year time horizons.



In general, the transfer criterion between stages is symmetrical. Specifically, an improvement in credit risk which involves the elimination of the conditions that led to the significant increase in said credit risk involves the reallocation of the financial instrument from stage 2 to stage 1. In this case, the entity recalculates the value adjustment on a twelve-month time horizon rather than the previously recognised lifetime losses, by booking a write-back to the income statement.

Once the assignment of exposures into the various credit risk stages has been defined, the expected losses (ECL) are calculated, at the level of individual transaction or security tranche, starting from IRB/management modelling, based on parameters of Probability of Default (PD), Loss Given Default (LGD), and Exposure at Default (EAD), to which specific adjustments are made, in order to ensure compliance with the specific requirements of IFRS 9, given the different requirements and purposes of the accounting rules compared to prudential regulations.

The PD, LGD, and EAD are defined as follows:

- PD (Probability of Default): likelihood of transferring from a performing status to that of non-performing over a one-year time horizon. In models consistent with supervisory provisions, the PD factor is typically quantified through the rating. For the Bank, PD values derive from internal rating models where available, supplemented by external valuations or average data for segment/portfolio;
- LGD (Loss Given Default): percentage of loss in the event of default. In models consistent with supervisory provisions, this factor is quantified using historical data on actual recoveries of loans that transferred to non-performing status;
- EAD (Exposure At Default) or credit equivalent: amount of exposure at the time of default.

As previously pointed out, in order to comply with the provisions of IFRS 9, specific adjustments must be made to the aforementioned factors, including:

- adoption of a Point in Time (PIT) PD against the Through the Cycle (TTC) PD used for regulatory purposes;
- elimination of certain additional components from LGD, such as indirect costs (non-recurring costs), further conservative margins specifically introduced for statutory models, the component linked to the economic downturn; as well as to reflect the most current recovery rates (PIT), forward-looking expectations about future trends and the inclusion of any recovery fees if collection is assigned to a third party;
- use of multi-year PDs and, where necessary, LGDs in order to determine the expected loss for the entire residual life of the financial instrument (stages 2 and 3);
- use of the effective interest rate of the individual transaction in the process of discounting expected future cash flows, as opposed to that which is set forth in regulatory models, in which individual cash flows are discounted using rates determined in accordance with prudential regulations.

In relation to the multi-year EAD, in line with the IFRS 9 provisions, the Bank refers to the amortised cost plans, regardless of the measurement methods (amortised cost or fair value through other comprehensive income). For commitments to disburse funds and guarantees given (off-balance sheet exposures), EAD is instead taken at nominal value weighted by a specific credit conversion factor (CCF).

IFRS 9 establishes that, at each reporting date, an entity must measure the impairment of an asset based on the expected credit loss, based on available, reasonable and consistent information, without incurring excessive costs or making disproportionate efforts. Therefore, the forward-looking approach envisaged by IFRS 9 for purposes of determining the expected loss represents a key aspect of the measurement model.

Given the above, the Bank uses the forward-looking approach to estimate the expected loss, both in the analytical and collective measurements. The forward-looking approach is applied to the following statistical parameters:

- PD: Probability of Default, used for performing positions;
- LGD/EAD: Loss Given Default (LGD), used for both performing and non-performing positions measured statistically; Credit Conversion Factor (CCF) used to estimate the Exposure At Default (EAD) of performing positions;



- Cure/Danger rate: used for unlikely to pay other than restructured positions and positions statistically valued as lower than a given threshold;
- haircut for real estate collateral, used when applicable for the analytical measurement of bad loans and unlikely to pay exposures other than restructured loans.

Since the expected loss is estimated as a weighted average of a range of possible results, the aforementioned parameters are first determined based on historical data and then corrected to take into account at least 3 economic scenarios that cover a horizon of at least 3 years in the future: baseline, improving and deteriorating.

The forward looking forecasts of the macroeconomic indicators, provided by a leading external consultant and internally re-formulated by the Studies and Research Function, are quantified based on three possible future scenarios, which consider the economic variables deemed relevant (Italian GDP, interest rates, unemployment rate, commercial and residential property prices, inflation, equity indices), with a future time horizon of three years to which the respective probabilities of occurrence are assigned, determined internally by the Bank. The macroeconomic scenario is updated at least once a year, at the time of preparation of the Separate Financial Statements and every time the latest base scenario, made available by the external supplier, shows, compared with the one already in use, a net cumulated difference of the GDP, over a 3-year period, greater than or equal to 0.5%, in absolute value. In greater detail, for the impairment of loans, in addition to the “baseline” scenario, i.e., the forecast macroeconomic scenario on the basis of which the MPS Group develops its projections of economic/equity and risk data over a short- and medium-term time frame, two symmetrical scenarios are assumed: an alternative severe scenario (severe but plausible) and an alternative improved scenario (best), which differ in their level of favour/adversity to economic development and growth. In addition, given the current uncertainty in the macroeconomic environment, in continuity with the previous financial year, the use of a strong negative scenario (worst extreme) was introduced in the calculation of the ECL and SICR.

The sensitivity of the statistical parameters to macroeconomic variables is estimated. In particular, the associations between the statistical parameter and macroeconomic variables are shown below:

- PD: Italian GDP, unemployment rate, interest rates, inflation, commercial and residential property prices and stock indices;
- LGD/EAD: Italian GDP, unemployment rate, and commercial and residential property prices;
- cure/danger rates: Italian GDP;
- haircut: commercial and residential property prices.

For those statistical parameters (e.g., PD) for which there is no linear relationship with the macroeconomic variable, the parameter measurement is not calculated based on the weighted average of the macroeconomic variables and using the respective probabilities as weights, but based on certain distinct measures of the parameter. In these cases, the weighted average occurs at the expected loss level.

Finally, for the estimate of expected losses over the life of the instrument, the reference period is represented by the contractual expiry date; for instruments that do not expire, the estimate of expected losses uses a time horizon estimated through a behavioural model for on-demand products and set to one year from the reporting date, in other cases.

For an explanation of the new macroeconomic scenarios incorporated in the calculation of expected losses on performing exposures, the actions taken during the financial year to account for the likely effects of the war and uncertainties on the development of macroeconomic scenarios and sensitivity analyses, reference should be made to the paragraph “Risks, uncertainties and impacts of COVID-19 pandemic and the Russia-Ukraine conflict” contained in Part A of these Notes to financial statements and to the paragraph “Methods to measure expected losses for financial reporting purposes in accordance with IFRS 9” contained in “Part E – Information on risks and hedging policies” of the Notes to the Consolidated financial statements.

Impairment of non-performing financial assets

As described earlier in the document, for non-performing financial assets, which are assigned a probability of default of 100%, the impairment amount for each loan is equal to the difference between the loan book value at the time of measurement (amortised cost) and the present value of estimated future cash flows, calculated by applying the original effective interest rate (or a proxy if not available). Cash flows are estimated based on expected recovery expectations over the lifetime of the loan, taking into account the presumed realisable value net of any



collateral and any costs connected with obtaining the guarantee through sale. In this regard, in the event that the Bank uses a third party to collect non-performing loans, the fees paid to the outsourcer for activities strictly related to collection are considered for the purpose of estimating impairment losses. These costs are considered for both non-performing and performing exposures, if for the latter it is probable that in the event of a transfer to bad loans, the collection activities will be assigned to third parties.

Commissions paid to outsourcers are considered in LGD estimates used for statistical measurements of all administrative stages, in collection plans for bad loans, and in analytical measurements of unlikely to pay positions.

For purposes of estimating future cash flows and the relative collection times, the loans in question of a significant amount are subject to an analytical assessment process. For some similar categories of non-performing loans whose unit amount is insignificant, the measurement processes allow that loss forecasts are based on lump-sum/statistical calculation methods, to be analytically assigned to each individual position. The perimeter of exposures subject to a lump-sum/statistical measurement process, that is, based on statistical analyses of operational LGD, differentiated according to the segment and length of time in the risk state ("vintage") and suitably integrated to take into account forward-looking information, is represented by:

- bad and unlikely to pay loans with exposures less than or equal to an established significance threshold of EUR 1 mln;
- total non-performing past due exposures regardless of the exposure's significance threshold. In particular, these are loans that show continuous overdrawn situations or delayed payments, automatically identified by the Bank's IT procedures, according to the aforementioned rules of the Supervisory Authority.

The analytical/statistical valuation, carried out for bad and unlikely-to-pay loans of less than EUR 1 mln and for all past-due and/or overdrawn loans, presents specific characteristics depending on the type of exposure involved.

With reference to bad loans, the analytical/statistical valuation is based on bad loans LGD grids, where the LGD model is mainly characterised by the differentiation of the loss rates based on the permanence in the risk status ("vintage"), as well as the type of customer. The grids are also differentiated by other significant analytical characteristics on the model estimation stage (e.g. technical form, type of guarantee, geographical area, exposure band, etc.). The recovery time grids are broken down mainly by regulatory segment and by other significant analysis axes in the modelling (e.g. recovery procedures, exposure band, technical form).

With reference to unlikely-to-pay and non-performing past due exposures, the valuation is carried out by applying statistical LGD grids specifically estimated for positions classified in these administrative categories, in line with the LGD grids estimated for bad loans. The LGD for unlikely-to-pay and non-performing past due exposures is obtained by recalibrating the bad loan LGD through the danger rate module. The danger rate is a multiplicative correction factor aimed at recalibrating the bad loan LGD with the information available on other default events, so as to obtain an LGD representative of all possible default events and their evolution.

It should be noted that during the 2022 financial year, the accounting treatment of massive disposal of non-performing loans in the estimation of the accounting LGD was revised. Since IFRS 9 also requires forward-looking information to be considered, it is necessary to assess whether transactions of this kind performed in the past can be regarded as foreseeable or probable also in the future, or whether, on the other hand, since these are one-off disposals of an extraordinary nature, the related impacts should be excluded from the forward-looking information. In fact, it is not considered in compliance with the provisions of IFRS 9 on forward-looking information, the inclusion in the calculation of the accounting LGD, and therefore of the ECL, of the effects from transactions that the Bank does not expect to occur in the future or that are considered unlikely. In applying the aforementioned accounting provisions in relation to the prospects for the sale of NPLs, the Bank distinguishes between ordinary and extraordinary transactions, where the extraordinary nature of the disposals is connected to the presence of important strategic elements and significant dimensions, and is evidenced by specific decisions of the ECB. Therefore, ordinary disposals are always included in the determination of the accounting LGD as the disposal represents an alternative collection method to a direct collection from the debtor; by contrast, extraordinary transactions are in no way considered representative of the transactions that the Group will carry out in the future, having now reached a physiological NPE ratio level and are therefore excluded from the estimation of the accounting LGD.

The analytical-specific valuation for bad and unlikely-to-pay loans exceeding EUR 1 mln is an assessment made by the managers on the individual positions based on a qualitative/quantitative analysis of the economic and financial position of the debtor, the riskiness of the credit relationship, the objectives and strategies for the reduction of



non-performing loans laid out by the “NPL Plan”, and any mitigating factors (guarantees); the financial effect of the estimated collection time is also taken into account.

In particular, for bad loans, a set of factors are taken into account, which may or may not be present depending on the characteristics of the positions, and which must be assessed with the utmost accuracy and prudence, including by way of example:

- nature of the credit, preferential or unsecured;
- shareholders’ equity of obligors/third parties providing collateral;
- complexity of existing or potential disputes and/or underlying legal issues;
- exposure of obligors to the banking system and other creditors;
- latest available financial statements;
- legal status of obligors and pending bankruptcy and/or individual proceedings.

To find the estimated realizable value of loans secured by real estate and to take into account both the historical collection data and forward-looking considerations, in line with IFRS 9, the approach adopted is focused on the valuation of real estate in reference to the average expected auction and the corresponding reduction in the observed price, calculating the average haircuts differentiated by type of real estate guarantee (residential and non-residential).

With reference to bad real estate loans deriving from lease agreements, in light of the characteristics of the product (absence of auctions), the haircut is estimated as loss of value of the asset between the last available appraisal value and the expected sale price, calculated based on the evidence emerging from the collection process.

Moreover, with reference to unlikely to pay loans, the assessment is based on a qualitative-quantitative analysis of the economic, equity and financial situation of the debtor and on a timely verification of the risk situation. In the case of unlikely-to-pay loans secured by real estate and valued on the basis of the gone-concern scenario approach specified below, the haircut is applied not to the entire market value of the guarantee (as in the case of bad loans) but only to the portion pertaining to the credit exposure that is expected to become bad loan; alternatively, the cure rate of the related exposures is taken into account.

The impairment loss is calculated including the measurement of future cash flows that it is assumed the debtor is able to produce and which will also be used to service the financial debt. This estimate must be made on the basis of two alternative approaches:

- going concern approach: the debtor’s operating cash flows (or that of effective guarantor) continue to be produced, and are used to repay the financial debts contracted, based on the scheduled repayment plans. The going concern assumption does not exclude the possible realisation of collateral, but only to the extent that this can occur without jeopardising the debtor’s ability to generate future cash flows. The going concern approach also applies to cases in which the recoverability of the exposure is based on the possible sale of assets by the debtor or extraordinary transactions;
- Gone Concern approach: applicable in cases in which it is believed that the debtor’s cash flows will be significantly reduced or even in cases of reduced reliability of the corporate Business Plans. In this context, assuming that interventions by shareholders and/or extraordinary restructuring operations of the debt in a turnaround situation are not reasonable, loan collection is essentially based on the value of the collateral that supports the loan as well as, in the alternative, on the realisation value of the assets, taking into account liabilities and any rights of pre-emption.

Turning to the analysis of alternative collection scenarios, note that, for the objectives of reducing the stock of outstanding non-performing loans included in the business plans and the commitments undertaken with Supervisory Authorities, with specific reference to the “NPL Strategy”, the Group considers the sale of certain portfolios as the strategy that can, under certain conditions, maximise the recovery of cash flows, also in consideration of collection times.

In particular, in the light of the indications provided by the ECB to banks with higher than average non-performing exposures to European banks with regard to the need to proceed more decisively in the reduction of non-performing loans, as part of the preparation of the 2017-2021 Restructuring Plan, approved by the European Commission, the Bank has identified as a priority a significant de-risking process to be achieved by selling portfolios of bad loans and unlikely-to-pay loans.



Consequently, the estimate of expected losses of exposures that can be sold varies depending on the forecast of the recoverable flows through internal management, as well as the forecast of recoverable flows through their possible sale on the market (“multi-scenario” approach). In particular, consistently with the objectives of the disposal, from time to time arranged by the competent corporate Bodies in relation to exposures classified as bad loans or unlikely to pay, two different estimates of cash flows that the Bank expects to collect are associated with them:

- the first determined by using as reference the scenario of recovery from the debtor based on internal activity, according to the ordinary measurement guidelines followed by the Bank and previously described (hold scenario);
- the second calculated by using as reference the recovery through sale of the loan to third parties (sale scenario).

Each of the two scenarios is assigned a probability of occurrence that is higher for clusters that are more likely to undergo a sale procedure, based on historical data and/or forecasts (e.g., formalised NPL reduction plans). The expected loss of the exposures in question is therefore equal to the weighted average for the probabilities assigned to the two scenarios of the estimates of recoverable cash flows in each (hold and sale).

Hence, the sale values and sale probability are the two key elements for defining the expected loss. For this purpose, the Bank has performed an analysis of the historical data on sales (past events) on these portfolios and certain considerations on future sale strategies.

Based on these considerations, the accounting model for impairment for the sole non-performing loans of the Bank envisages a different application for:

- loans subject to ordinary collection process: application of the relevant accounting policies previously illustrated;
- loans included in the sale programme: measured with the ordinary policy plus any add-ons to adjust the portfolios to the presumable realisable value.

To determine the add-on, the Bank considers the following elements:

- selection of the portfolios that are presumed to be sold: the perimeter includes positions with a certain attractiveness on the market that can also be inferred as a result of expressions of interest already received, as well as additional positions resulting from assessments of economic benefit performed by the Bank’s competent bodies (e.g., presence of extended bad loans or high danger rate);
- probability of sale: the probability is guided by the target sales level included in the NPL Strategy;
- sale prices: derived from mass transactions on similar portfolios and single names made by the Bank or from transactions carried out on the market in recent years.

The aforementioned add-on is not applied in the case of sales without a price constraint defined to an extent not lower than the net book value determined by applying only the hold scenario.

Within the range of possible approaches to estimation models permitted by the relevant international accounting standards, the use of a methodology or the selection of certain estimation parameters may significantly affect the valuation of receivables. These methodologies and parameters are necessarily subject to a continuous updating process, also in view of the historical evidence available, with the goal of refining the estimates to better represent the presumed realisable value of the credit exposure.

For updates introduced in the measurement of expected losses, please refer to the specific paragraph contained in the “Credit risk” section of “Part E - Information on risks and hedging policies” of these Notes to the financial statements.

In light of the above, it cannot be excluded that alternative monitoring criteria or different methodologies, parameters, assumptions in determining the recoverable value of the Bank’s credit exposures - also affected by possible alternative recovery strategies approved by the competent corporate bodies as well as the evolution of the economic-financial and regulatory context of reference - may determine different valuations with respect to those carried out for the purposes of preparing the Financial Statements as at 31 December 2022.

Finally, it should be noted, as described in the “Audits” section included in the Consolidated Report on Operations, to which reference is made for further details, that the ECB conducted an on-site audit in April-August 2022 concerning the risk of Corporate and Large SME exposures. More specifically, the inspection concerned the review of the quality of assets vis-à-vis the aforementioned counterparties, an analysis of the statistical models used to



support the classification into stage 2 and the estimate of expected credit losses as well as the evaluation of the related management processes and procedures.

The Bank received the final audit report in February 2023, and is waiting to receive from the ECB the letter notifying the findings and the related recommendations, in order to define the plan for remedying the shortcomings identified. In spite of this, the new information acquired as a result of dialogue with the inspection team was evaluated and taken into consideration by the Group for the purposes of drafting this Interim report on operations.

In particular, the following were analysed and reviewed as part of the estimate of accounting LGD: i) the treatment of large-scale disposals of non-performing loans and ii) the treatment of multiple defaults which overall entailed higher net adjustments on the cost of credit estimated at roughly EUR 9 mln as at 30 June 2022. For a detailed analysis, please refer to the specific paragraph contained in the “Credit risk” section of “Part E - Information on risks and hedging policies” of these Notes to the Consolidated Financial Statements.

The other indications acquired as part of the inspection in some cases highlight areas of improvement of the models, but with an insignificant impact on loan adjustments. In particular, note should be taken of i) the use of scenarios in determining EAD and PD parameters and ii) the specific treatment of *bullet* products with respect to instalment-based ones.

Finally, with reference to the perimeter of the positions subject to analytical verification, it should be noted that the observations reported by the inspection team have been analysed and substantially incorporated into the assessments of these Separate Financial Statements.

Incorporation of climatic and environmental risks in the determination of expected losses

One of the most complex aspects to assess, for the purposes of estimating the expected losses of credit exposures, is the actual relevance of climatic and environmental risks, given the uncertainty that inevitably characterises forecasts of events that, by nature, are likely to occur over a long-term time period.

The models currently used by the Banks to calculate expected losses (ECL) relating to performing receivables do not directly incorporate the risks deriving from the exposure of debtor counterparties to climate and environmental factors; however, these factors are indirectly taken into account to the extent that the ECL calculation models consider the expected impact of the evolution of macroeconomic variables on credit risk parameters, also through the use of sector satellite models i.e. the models that define the functional relationships between the evolution of macroeconomic variables and the Bank's risk parameters [Probability of Default (PD), Loss Given Default (LGD)].

This also applies to the statistical methodologies adopted for the calculation of ECLs for homogeneous categories of non-performing loans. In detail, these are the calculation methods adopted for the valuation of bad loans and unlikely to pay with exposures less than or equal to an established materiality threshold of EUR 1 mln and all exposures classified as past due/non-performing, in line with the rules of the supervisory legislation.

With regard to non-performing loans subject to analytical valuation, climate and environmental risks are taken into account in the estimation of the current value of expected future cash flows, on a discretionary basis and in conjunction with other information. Therefore, it cannot be ruled out that the possible development of models capable of more fully factoring climate and environmental risks may result in different assessments with respect to those conducted for the purposes of preparing these Financial Statements.

For an illustration of how the Group is working to assess environmental factors as part of its credit policies, reference is made to what is described in “Part E - Information on risks and hedging policies” of the Notes to the consolidated financial statements

Methods for calculating impairment on equity investments

At the end of every reporting period, the controlling interests, interests in associates or jointly controlled entities are evaluated to check whether there is objective evidence of impairment that might render the book value of these assets not entirely recoverable.

The process of recognising impairment involves verifying the presence of indicators of possible reductions in value and calculating any write-down.



The Bank alternatively uses a set of the aforementioned indicators based on several factors, referring to the investee, including the type of business, market listing and budget objectives. The presence of impairment indicators entails the recognition of a write-down in the amount for which the recoverable value is lower than the book value. The recoverable value is the greater of the fair value less costs to sell and the value in use. For the methods used to determine the fair value, refer to the information in chapter A.4 - Information on fair value in the Notes to the Financial Statements. The value in use is the present value of cash flows arising from the asset; it reflects the estimate of the cash flows expected from the asset, the estimate of possible changes in the amount and/or timing of cash flows, the time value of money, the price for remunerating the asset's risk and other factors that can influence the pricing, by market dealers, of the cash flows expected from the asset. In determining the value in use, the discount method applied to future cash flow is used through discount rates reflecting the cost of capital of the investee⁸⁰. The parameters and projections on which the estimates are based derive from the updating of the companies' plans, which incorporate the indirect effects of the Russian conflict in Ukraine and the climate issue, if considered relevant, and are significantly affected by the macroeconomic framework and the dynamics of the financial markets, which could see changes that are not foreseeable today.

With reference to controlling interests, the impairment test is performed individually for each investee when this has independent cash flow generation capacity. If the Group's organisational model provides for the assets of the investee to be included in a larger Cash Generation Unit (CGU) or in a different unit, in the separate financial statements the impairment test is not carried out on each individual controlling interest, but on the individual CGU identified at the consolidated level, because only with this procedure it is possible to calculate the recoverable value of the CGU.

The impairment test carried out in 2022 required value adjustments for the subsidiary Enea Reoco S.r.l. (EUR 0.01 mln).

Methods for calculating impairment on other non-financial assets

The property, plant and equipment and intangible assets with definite useful life are tested for impairment in the presence of any indication that the book value of the asset may not be recovered. The recoverable value is computed with reference to the fair value of the property, plant and equipment or intangible asset, net of the disposal charges or the value in use if this can be calculated and exceeds fair value.

In particular, with regard to software, which was recognised in the Financial Statements as a result of the merger of Consorzio Operativo MPS into Banca MPS, with reference to closed projects of amounts exceeding EUR 1 mln, the Bank performed the recoverable value check using assumptions and estimates in line with the Group's policies. The impairment test conducted as at 31 December 2022 was based on the monitoring of specific key performance indicators (KPIs), identified when the projects were closed, in order to verify the economic benefits assumed in the reference business cases. The outcome of the monitoring showed values of these KPIs exceeding the reference thresholds set in the business cases for all projects. For projects with a value below the aforementioned threshold without a specific KPIs, the impairment test of the related software was conducted consistently with previous financial years and led to the recognition of an impairment loss of EUR 0.2 mln.

The values of right of use assets acquired through leasing are subject to impairment testing, if the conditions are met. The test is performed when the following events or situations arise: full/partial abandonment, under-use or non-use of the leased asset. In addition, it is necessary to refer to indicators from internal sources such as signs of obsolescence and/or physical deterioration of the asset, restructuring plans and closures of branches and external sources such as, for example, the increase in interest rates or other rates of return on the market for investments that may cause a significant decrease in the recoverable value of the asset. The outcome of the aforementioned checks as at 31 December 2022 led to the recognition of an impairment loss of EUR 0.5 mln recognised in the item "Impairment losses/reversals on property, plant and equipment".

For information on the rights of use acquired through leasing, please refer to the section "Property, plant and equipment - Item 80" contained in "Part B - Information on the balance sheet" of these Notes to the Financial Statements.

⁸⁰ A growth rate applied to available data is used to determine future cash flows that are not made explicit in the companies' plans.



Determination of the fair value of property

Real estate used in the business (IAS 16) and real estate held for investment purposes (IAS 40) are valued in accordance with the restated value criterion as at 31 March 2021 and the fair value criterion as at 1 January 2021, respectively. For this perimeter, the fair value update is determined through the use of specific appraisals prepared by qualified and independent experts, which, depending on the relevance of the individual real estate unit, are conducted in two different alternative ways:

- “full” appraisals: based on a physical inspection of the property assets by the appraiser; or
- “desktop” appraisals, based on an assessment performed with no physical inspection of the property asset and, therefore, based on reference market values.

The valuation methodologies applied by the appraiser in the appraisal are aligned with international IVS (International Valuation Standards) practices and with the requirements stated in the latest edition⁸¹ of the Red Book of the UK’s Royal Institute of Chartered Surveyors (RICS) and they comply with the provisions of IFRS 13. The accounting standard provides, in particular, for non-financial assets that the use by their owner meet the requirement of highest and best use, unless the market participants expect different intended use for the property, which would therefore optimize its value. The valuation approach was therefore specified by the expert appraiser based on the current intended use of the properties, assuming this represents the highest and best use, and considering, in a few cases, alternative uses of the properties where this corresponds to market expectations. Therefore, to find the value of each property, the appraiser identifies the most suitable methodology according to the characteristics of the asset and the conditions of the reference market. The methodologies applied by the appraiser are as follows: Discounted Cash Flow Method (or Discounted Cash Flow - abbreviated to DCF); Market Comparison Approach (MCA); Transformation Method with DCF. In this context, the lease payments, sale prices, discount rates and capitalisation rates were estimated.

With reference to the ESG issue, in which the environmental issue is included, the RICS valuation standards specify the actions to be followed by the appraiser with regard to on-site inspections and the collection of data useful for assessing this aspect. The range of issues to be addressed includes, among others, major physical hazards (floods, heat, fire and storms) and transient hazards (energy efficiency, carbon emissions, climate impact). The impact of these risks is affected by current and historical use of the territory, as well as design, configuration, accessibility, legislation and management according to tax regulations.

As of 31 December 2022, the fair value values of the properties held for investment purposes were updated, for which the valuation must take place annually.

For property used in the business, on the other hand, the Banks accounting policies provide for the re-determination of the value every two years unless the scenario analysis conducted on market trends reveals deviations from the previous financial year such that it is necessary to anticipate the valuation appraisals. Since the Bank decided to bring forward the valuation of all real estate assets to 30 June 2022 with respect to the standard frequency, as at 31 December 2022 the appraisals were updated only for those operating properties for which significant market changes were deferred (above the threshold of +/- 10%) in order to adjust their *fair value* to market values in addition to some properties considered particularly significant.

The results of the valuations carried out as at 31 December 2022 are described in the section “Property, plant and equipment - item 80” in “Part B - Information on the Balance Sheet” of these Notes to the Financial Statements, to which reference should be made for further details.

For an in-depth analysis of the valuation approach, valuation methods and the selection of estimation parameters that can significantly influence the calculation of fair value, reference should be made to the specific qualitative and quantitative disclosure in Part A.4 - “information on fair value”.

Methods for recognising deferred tax assets (probability test)

The Bank verifies the possibility of recognising tax assets based on a probability test, as described below.

Forecast plans approved by the Board of Directors are used; obviously, the plans of the subsidiaries are consistent with the Group’s forecasts. Since the forecast plans cover a limited time horizon, as carried out in practice to determine the forward value of companies, the results subsequent to the plan horizon are assumed to be equivalent

⁸¹ The updated version was issued in November 2019 and is effective from 31 January 2020.



to those of the last year of the plan and increased by a compound long-term growth rate (*g*). In any case, the framework of the probability test is consistent with that of the impairment test used for the measurement of goodwill, except for the specifics related to regulatory requirements (IAS 12 and IAS 36, respectively) such as, for example, the possibility in the probability test to take into account business restructuring actions included in the forecast plans, which is not considered in the goodwill impairment test. For more information reference should be made to paragraph “Impairment test of Group goodwill” included within “Section 10 Part B - Assets” of these Notes to the Financial Statements.

In order to reflect the uncertainty associated with realising future taxable income suitable to allow the recovery of deferred tax assets, a discount factor is used based on data observable on the market and consistent with the risk metrics of the investment in Banca MPS shares. The application of this discount factor, equal to 9%⁸² as at 31 December 2022, unchanged with respect to the one used for the Financial Statements as at 31 December 2021, represents a way of reflecting the uncertainty around the realisation of future income; in any case, it is believed that the horizon considered for the purposes of the taxable income test, the realisation of which is considered likely, cannot exceed 20 years.

In developing the probability test, where applicable, the Bank take into account the national tax consolidation agreements in which participates and the option exercised in the tax return with respect to the possible allocation of residual tax losses in the event of early termination of group taxation, are taken into account. Based on the agreement in force as at 31 December 2022 as well as in previous year, the assessment of the recoverability of the consolidated tax loss carry-forwards and the consequent recognition of the related DTAs are entirely the responsibility of the Bank in its role as consolidator, which represents the related accounting impacts in its individual financial statements. For further information, please refer to what was previously described in the paragraph “9. Current and deferred tax” of Notes to the Financial Statements Part A2 “Part relating to the main items of the financial statements”.

In particular, as at 31 December 2022, the valuation of the DTAs was carried out in continuity with the methodology already applied to the Financial Statements as at 31 December 2021, taking into account the forecast plan approved by the Board of Directors of the Bank on 22 June 2022; the forecast plans of the subsidiaries are consistent with that of the MPS Group, with the exception of the companies MPS Capital Services S.p.A. and MPS Leasing & Factoring S.p.A. for which, as the merger by incorporation is planned in 2023, the multi-year projections have been adopted for the financial years 2020 - 2024, approved by the Bank’s Board of Directors on 6 August 2020.

From a prudential perspective, the economic results for 2025 and 2026 outlined in the Business Plan approved by the Bank were not considered in the valuation for the Financial Statements as of 31 December 2022, missing the expected positive evolution for future years to that resulting from the data forecast for 2024; the economic results for the years subsequent to 2026 were determined by increasing on a compound basis of the long-term growth rate (*g*) the result forecast for the immediately preceding year.

Section 10 - “Tax assets and tax liabilities” contained in “Part B - Information on the Balance Sheet” of these Notes to the Financial Statements provides information on the breakdown of deferred tax assets and the checks carried out on their recoverability, on the sensitivity analyses aimed at allowing an appreciation of the time frame of their recovery, depending on reasonable variations in the main underlying assumptions.

Risks, uncertainties and impacts of the Covid-19 epidemic and the Russia-Ukraine conflict

Among the main factors of uncertainty that could affect the future scenarios in which the Bank will operate, the negative impact on the global and Italian economy directly or indirectly connected to the Covid-19 outbreak and, from Q1 2022 onwards, to the conflict between Russia and Ukraine must be considered. After the global recession of 2020, the recovery of the world economy that started in 2021, although in a differentiated manner across geographic areas due to pandemic measures and substantial sluggish demand, was interrupted by the start of the Russian-Ukrainian conflict at the end of February. This conflict and the sanctions imposed by the international community on the government, companies and economy of Russia, as well as the countermeasures implemented by the latter country, have led to a situation of high uncertainty on the macroeconomic level, exchange rates, energy and raw material costs, the cost of debt, inflationary expectations, and the cost of credit. Rising inflation, already

⁸² Changes to the discount factor are considered when the average of the last 3 years of the rate calculated at the reference date deviates by at least $\pm 1\%$ from the last rate used.



triggered by the Covid-19 epidemic, led the central banks of major countries to adopt restrictive monetary policies, raising interest rates. In this context, uncertainties about the consequences of the war, especially with regard to indirect impacts, and the duration of the war make any valuation process extremely complex, as they, on the one hand, increase the risk of the economic environment in which business is carried out and, on the other, increase the risk of limited predictability of economic projections.

In order to assist the financial statement drafter in dealing with these uncertainties - consistent with the evolving health, economic and political environment - the standard setters and regulatory and supervisory authorities have provided a number of clarifications and recommendations on certain accounting issues related, firstly, to the impacts of Covid-19 and, subsequently, to the impacts of the Russia-Ukraine conflict, as outlined below.

Main accounting documents issued in the context of Covid-19

The extraordinary nature of the health crisis, which ended in March 2022, led the various European regulators, starting from March 2020, to issue a range of measures aimed at guaranteeing intermediaries flexibility in the management of this period of tension and at providing guidance and interpretations on how to apply the provisions of the international accounting standards in the context of Covid-19, also with the aim of avoiding the development of pro-cyclical effects, but at the same time ensuring correct and transparent disclosure and measurement of risks. In the above-mentioned documents, attention was also drawn to the need to provide up-to-date information on Covid-19-related risks that may have an impact on the economic-equity and financial situation, on any actions undertaken or planned to mitigate said risks and an indication of the potential impacts relevant to the estimate of future performance.

The following table provides a list of the main documents issued at the date of preparation of these Financial Statements.

Authority/Type of document	Date	Title
International Accounting Standard Board (IASB)		
Statement	27/03/20	Accounting for expected credit losses applying IFRS 9 Financial instrument in the light of current uncertainty resulting from the covid-19 pandemic
Amendment	28/05/20	Covid-19 related rent concessions (endorsed with Regulation EU 2020/1434 of the European Commission of 9 October 2020)
European Central Bank (ECB)		
Communication	20/03/20	ECB Banking Supervisor provides further flexibility to banks in reaction to coronavirus
ECB Letter	01/04/20	IFRS 9 in the context of the coronavirus (Covid-19) pandemic
Communication	04/12/20	Identification and measurement of credit risk in the context of the coronavirus (COVID 19) pandemic
European Banking Authority (EBA)		
Statement	25/03/20	Statement on the application of the prudential framework regarding Default, Forbearance and IFRS 9 in the light of Covid-19 measures
Guidelines	02/04/20	Guidelines on legislative and non-legislative moratoria on loan repayment applied in the light of the Covid-19 crisis (EBA/GL/2020/02)
Guidelines	25/06/20	Guidelines amending Guidelines EBA/GL/2020/02 (EBA/GL/2020/08)
Communication	21/09/20	EBA phases out its Guidelines on legislative and non-legislative loan repayments moratoria
Guidelines	02/12/20	Guidelines amending Guidelines EBA/GL/2020/02 (EBA/GL/2020/15)
European Securities and Market Authority (ESMA)		
Advice	11/03/20	ESMA recommends action by financial market participant for Covid-19 impact
Statement	25/03/20	Accounting implication of the Covid-19 outbreak on the calculation of expected credit losses in accordance with IFRS 9
Public Statement	20/05/20	Implication of the Covid-19 outbreak on the half-yearly financial report
Public Statement	28/10/20	European common enforcement priorities for 2020 annual financial reports
Public Statement	29/10/21	European common enforcement priorities for 2021 annual financial reports
Advice	15/12/21	Report on the application of the IFRS 7 e IFRS 9
Commissione Nazionale per la Società e la Borsa (CONSOB)		
Warning document	09/04/20	Covid-19 - Consob Warning on financial information
Warning document	16/07/20	Covid-19 - Consob Warning on financial information
Warning document	16/02/21	Covid-19 - Consob Warning on financial information
International Organization of Securities Commissions (IOSCO)		
Statement	03/04/20	IOSCO Statement on Application of Accounting Standards during the Covid-19 Outbreak

In this regard, it should be noted that in the financial year 2022 no further action was taken by the authorities and standard setters with regard to the considerations already formulated in the financial years 2020 and 2021, which still remain valid.



Main accounting documents issued in the context of the Russia-Ukraine conflict

Russia's invasion of Ukraine introduced a number of uncertainties in the outlook for the conduct of business, and increased the risk of having to make significant adjustments to the book value of assets and liabilities in the balance sheet. For this reason, the supervisory authorities (ESMA and Consob) took action in 2022 by providing some recommendations to be complied with for the purposes of disclosure in the Separate Financial Statements.

Authority/type of document	Date	Title
European Securities and Market Authority (ESMA)		
Statement	14/03/22	ESMA coordinates regulatory response to the war in Ukraine and its impact on EU financial markets (ESMA71-99-1864)
Statement	13/05/22	Implications of Russia's invasion of Ukraine on half-yearly financial reports (ESMA32-63-1277)
Public Statement	28/10/22	European common enforcement priorities for 2022 annual financial reports
Commissione Nazionale per la Società e la Borsa (CONSOB)		
Warning document	18/03/22	Warnings document to the impact of the war in Ukraine on insider information and financial reporting
Warning document	16/07/22	Conflict in Ukraine - Warnings on financial reporting and compliance with EU restrictive measures against Russia

The Public Statement of 28 October 2022, referring to what has already been indicated in the ESMA Statements of 13 May 2022 and 14 March 2022, reiterates the importance of making both qualitative and quantitative disclosures of the significant impacts, judgements elements and assumptions adopted in the recognition, measurement, presentation of assets, liabilities and related economic effects in the Financial Statements. In particular, ESMA emphasises the importance of i) specifying the current and expected impacts of the Russian invasion on the company's financial position, earnings and cash-flows as well as providing information on the main risks and uncertainties to which the entity is exposed and ii) assessing and reporting in the Financial Statements the impacts on macroeconomic scenarios arising from a context characterised by the aftermath of the pandemic, inflation, rising rates, deterioration of the climate crisis, geopolitical risks and uncertainties related to future developments.

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The following are the main points of attention considered in the evaluations or financial reporting as a result of the Covid-19 crisis and the Russia-Ukraine conflict.

Direct Exposures to Russia and Ukraine and Indirect Impacts

For the Bank, the impacts directly related to the Russia-Ukraine conflict are marginal, taking into account that there are no operating activities located in Russia or Ukraine and that credit exposures to customers residing in the aforementioned countries or indirectly related to Russian or Ukrainian counterparties are insignificant. The above exposures consist entirely of loans and unsecured loans. In detail, gross direct exposures to Russian customers amount to EUR 10 mln, of which EUR 9 mln are backed by SACE, and have been prudentially classified as stage 2.

Indirect risk is also very limited, and refers to performance bonds issued to back the completion of projects that are nearly finished and export advances.

As regards the potential impacts deriving from rising inflation as well as the higher cost of raw materials, an analysis was conducted on the Bank's main exposures impacted by said risks. This portfolio was the subject of specific management overlays, the details of which can be found in the section "SICR and ECL Calculation" below. With regard to the macroeconomic context, the use of the macroeconomic forecasts updated to December 2022 shows an overall increase in provisioning levels of approximately EUR 10.1 mln. Likewise, no signs of any deterioration were identified in IFRS 9 risk parameters (PD/LGD/EAD).

With reference to market and liquidity risks, exposures denominated in Russian currency are immaterial, and no negative change has been observed in the main liquidity indicators: LCR, NSFR, GAER.

*Moratorium actions, their classification and other Covid-19 support measures*

The financial year 2022 was characterised by the full re-establishment of ordinary lending processes with specific assessments of both forbore tagging and possible classification as unlikely to pay. In detail, this recovery had already taken place in 2021 with the gradual phase out of the EBA Guidelines on the “general payment moratoria” and was definitively completed as at 1 April 2022, following the end of the state of emergency, with the full return also in terms of solutions offered to the Bank’s ordinary product catalogue.

With regard to the expiry of the moratoria pursuant to the *Cura Italia* Decree (Italian Law Decree 18/2020), it should be noted that the Italian Law Decree *Sostegni bis* (Italian Law Decree 73/2021) extended the measures until 31 December 2021, subject to the customer’s request by 15 June 2021, while the Group identified 30 June 2022 as the deadline for granting additional moratorium measures falling within the scope of the measures granted to support households and businesses for COVID-19.

In light of the expiry of the term of the moratoria, as at 31 December 2022, the moratoria in place and granted due to the effect of the COVID-19 pandemic amounted to approximately EUR 54.8 mln. For a quantitative analysis of these moratoria, in terms of gross exposure, value adjustments (overall and pertaining to the financial period), transfer between stages, requests from the Bank of Italy in the previously mentioned Communication of 21 December 2021 entitled “Update of the additions to the provisions of Circular no. 262, “Bank Financial Statements: layout and rules for preparation” regarding the impacts of COVID-19 and measures to support the economy”, please refer to the following tables:

- “4.4a Loans valued at amortised cost object of COVID-19 support measures: gross value and overall value adjustments” of “Section 4 - Financial assets valued at amortised cost”, contained in “Part B - Information on the balance sheet” of these Notes to the Financial Statements;
- “8.1a Net impairment (losses)/reversals for credit risk on loans measured at amortised cost object of COVID-19 support measures: breakdown” of “Section 8 - Net impairment (losses)/reversals for credit risk” included in “Part C – Information on the Income Statement” of these Notes to the Financial Statements;
- “A.1.3a Loans subject to COVID-19 support measures: transfers between the different stages of credit risk (gross values)” and “A.1.5a Loans subject to COVID-19 support measures: gross and net values”, contained in the quantitative information in the section dedicated to credit risk of “Part E - Information on risks and related hedging policies” of these Notes to the Financial Statements.

Reference is also made to the information provided by the “Guidelines on reporting and disclosure of exposures subject to measures applied in response to the COVID-19 crisis”, published by the EBA (EBA/GL/2020/07), contained in the document “Information to the public by the entities (Pillar III)” of the Montepaschi Group, available on the website www.mps.it

Macroeconomic Scenarios

On the macroeconomic scenario adopted in the models for the determination of Expected Credit Losses, it should be noted that since June 2020, the various authorities have provided guidance and references on the use of forecasts in the preparation of estimates of expected credit losses during this period characterised first by the COVID-19 pandemic and subsequently also by the Russia-Ukraine conflict. In the communication issued on 4 December 2020, the ECB had also made it clear that the levels of provisions should be correctly estimated using realistic assumptions and parameters that are appropriate to the current context. In this regard, it has recommended that significant institutions should i) continue to anchor the baseline IFRS 9 scenarios to the ECB forecasts in a non-biased manner; ii) not confine themselves to approaches based on the entire economic cycle (through-the-cycle) or long-term averages, but consider the use of reliable macroeconomic forecasts (where available) for specific years and iii) ensure that the integrations (overlays) follow the same direction as the macroeconomic scenarios on the basis of verifiable evidence.

On 15 December 2022, the ECB published the periodic update of the macroeconomic forecasts for the Eurozone prepared by its staff with the contribution of the individual national central banks. The outlook for the euro area deteriorated slightly, pointing to weaker growth and higher and more persistent inflation than anticipated in the ECB’s September expert macroeconomic projections.

In detail, the baseline scenario sees Eurozone GDP growth in 2022 at 3.4% compared to the 3.1% forecast in September, followed by a downward revision of expected growth in 2023 from 0.9% in September to 0.5%, growth



of 1.9% in 2024, unchanged from September, and finally growth of 1.9% in 2025. Inflation continued to exceed expectations in the September forecasting financial period and spread across all components of the Harmonised Index of Consumer Prices (HICP) despite the sharp decline in wholesale gas and electricity prices, weakening demand, easing supply-side bottlenecks and measures taken by governments to contain energy price increases. That index is expected to fall from an average of 8.4% in 2022 (8.1% in September) to 6.3% in 2023 (5.5% in September), and then to an average of 3.4% in 2024 (2.3% in September) and 2.3% in 2025.

In the least favourable scenario reflecting uncertainty about the economic outlook for the euro area due to energy supply fears, real GDP would stand at -0.6% in 2023, before rising to +0.2% in 2024 and +2.0% in 2025. The HICP index would show higher levels than those projected in the baseline scenario for the years 2023 and 2024 (7.4% and 3.6%, respectively), and then lower than the same in 2025 (2.0%).

The specific scenario relating to Italy, included in the basic scenario of the ECB projections, was released by the Bank of Italy in the document “Macroeconomic projections for the Italian economy” published on 16 December 2022, in which, compared to the scenario published in the October Economic Bulletin, Italy’s GDP growth is expected to be higher in 2022, at 3.8% compared to the 3.3% forecast in July, a downward revision in 2023, at 0.4% compared to the 0.3% forecast in July, a slight decrease in growth in 2024, at 1.2% compared to 1.4% in July, and 1.2% in 2025. Consumer inflation, at 8.8% on average for 2022 (+8.5% in the October bulletin), would decrease to 7.3% (+6.5% in the October bulletin) in 2023, to 2.6% in 2024 (+2.3% in the October bulletin) and to 1.9% in 2025. In an adverse scenario, GDP would stand at -1% in both 2023 and 2024 and remain little more than stagnant in the following year. Consumer inflation would rise further, approaching 11% in 2023, and then decline gradually to 2.0% in 2025.

Finally, it should be noted that in its Economic Bulletin of 20 January 2023, the Bank of Italy updated the aforementioned projections, estimating a slight increase for 2022 (4.0%, up by 0.2 percentage points), slightly lower growth for 2023 (equal to 0.6%, down by 0.2 percentage points) against an unchanged growth rate for the following two years (1.2%). On the consumer inflation front, we estimate a slight decrease in 2022 to 8.7% (down by 0.1 percentage points) before falling in 2023 (6.5%, down by 0.8 percentage points), more sharply in 2024 to 2.6% and 2.0% in 2025.

Macroeconomic scenario of the Bank for the valuation of receivables in the 2022 Financial Statements

In December 2022, the Bank approved a set of forecast macroeconomic scenarios for the 2022-2026 period developed internally, taking also as reference the forecasts developed by external providers. These scenarios, used in the context of the ordinary annual planning process and the calculation of impairment losses on performing and non-performing loans as at 31 December 2022, forecast an overall slowdown in the expansionary cycle in the short term, in a context of increased uncertainty, a gradual recomposition of inflationary pressures and a rise in monetary policy rates.

In detail, the baseline scenario assumes Italian GDP growth at 3.4% in 2022 (achieved thanks to a better-than-expected domestic economic performance, particularly in the first half of the year) and a subsequent sharp economic slowdown that takes into account the repercussions of the energy crisis. Despite short-term fluctuations, gas prices are expected to remain tight in the medium term. Assuming that Europe’s supply diversification policies do not guarantee full results before spring 2024, a decisive rebalancing of price pressures towards inflation targets is only to be expected by then. Against a backdrop of conflict-related uncertainty, persistent inflationary pressures and a restrictive monetary policy reaction, the domestic GDP is therefore expected to shrink in the winter months between 2022 and 2023, and average annual growth is expected to stagnate substantially in 2023 (GDP +0.1%). Thereafter, breaking free from dependence on Russian supplies, domestic growth is expected to recover at a pace that may turn out to be slightly lower than before the outbreak of the energy crisis (GDP 2024: +1%). This scenario is dependent on the assumptions underlying the forecast. The updated scenario assumes the continuation of the war with alternating phases of intensity - but without further escalation - high inflation, coexistence with the virus and a more politically fragmented European context. The increased complexity of the scenario slows down and depresses, to some extent, the additional impact of the programmes related to the NRRP both compared to the targets and to previous forecasts. In addition to the baseline scenario, in light of the objective uncertainty regarding the evolution of the economic context and the prescriptions of the Regulators, further alternative scenarios have been outlined.

The strongly worsening alternative scenario (extreme worst) assumes that the conflict will worsen, affecting global growth even more. Russian supplies are expected to come to a halt, making rationing and energy-saving measures



in Europe necessary; commodity prices are thus expected to rise until early 2024. Tightening central banks, stagflation in the US, political fragmentation in Europe and zero-Covid policy in China are expected to further depress the global business cycle. The private sector is expected to face a sharp deterioration in its financial position. In this context, Italy could experience a serious recession between the end of 2022 and the beginning of 2023 characterised by a sharp rise in the spread, the weakening of the NRRP, the deterioration of the labour market, and where the high public debt becomes structural.

The most severe alternative scenario (severe but plausible) predicts a slowdown in the global recovery. The war is expected to continue without severe escalation, but plans to reduce Russian gas supply may face some difficulties; as a result, critical issues along supply chains and tensions in the energy market are expected to continue, contributing to inflation persisting at high levels for longer than in the baseline scenario. Central banks are expected to maintain the restrictive stance of monetary policy. In such a context, Italy is expected to pay for the uncertainty over the timeframe for exiting the energy crisis; greater political instability could slow down the implementation of the NRRP; the BTP10Y-Bund spread is expected to rise and public debt over GDP to remain at levels above 150% from 2023.

For information on the performance of macroeconomic variables in the scenarios described above, please refer to “Part E - Information on risks and hedging policies, section 1.1 Credit risk, paragraph 2.3 Methods for measuring expected losses” of these Notes to the Financial Statements.

The table below shows, by way of example, the scenario updates made by the Bank in December 2022 on the GDP indicator with the relative comparison with the baseline scenario published by the Bank of Italy respectively in July and December 2022 and January 2023 and with that used for the 2021 Financial Statements. The table also shows the composition of the alternative scenarios used by the Bank as updated for the December 2022 accounting period, in comparison with the scenarios in production last financial year.

	Dec - 2021			July - 22	Dec - 22	Jan - 23	Dec - 22		
	BMPS	BMPS	BMPS	Bank of Italy	Bank of Italy	Bank of Italy	BMPS	BMPS	BMPS
	Baseline	Severe but plausible	Extreme worst	Baseline	Baseline	Baseline	Baseline	Severe but plausible	Extreme worst
2022	3.83%	2.40%	0.60%	3.20%	3.80%	4.00%	3.41%	3.34%	3.12%
2023	2.79%	1.90%	0.80%	1.30%	0.40%	0.60%	0.10%	-0.91%	-2.53%
2024	1.97%	1.50%	0.50%	1.70%	1.20%	1.20%	1.01%	0.48%	0.02%
2025	n.d	n.d	n.d	n.d	1.20%	1.20%	1.41%	1.02%	0.71%

Note that the baseline scenario used by the Bank in 2022 has always been in line, if not more conservative, with the forecasts provided by the Bank of Italy.

SICR and ECL calculation

The various authorities emphasised the importance of assessing whether the deterioration of the economic environment caused by the Covid-19 pandemic and the Russia-Ukraine conflict did not lead to a significant increase in credit risk (SICR) and/or impact on the measurement of expected credit losses (ECL) taking into account forward-looking information.

On 27 March 2020, the IASB, while being aware of the difficulty of the exercise to estimate expected losses in a scenario of uncertainty, reiterated the need to consider historical, current and prospective information and admitted the possibility of resorting to post-model managerial adjustments (“post-model overlay or adjustment”), if the models are not able to fully reflect the effects of the crisis, and related government support measures.

Therefore, on the basis of the current macroeconomic context, during the 2022 financial year on the IFRS 9 valuation process, the Bank maintained, and appropriately integrated and updated, the so-called “management overlays” already in place at 31 December 2021, aimed at including ad hoc adjustments in order to take into account potential forward-looking deteriorations in credit risk which may not be adequately captured by the modelling in use and to better reflect the specific impacts of COVID-19, the Russian conflict in Ukraine and the potential emerging economic and financial risks in credit assessments. Overall, the management overlays used for valuations as at 31 December 2022, also taking into account the scenarios updated in April, resulted in additional adjustments



on the cost of credit for approximately EUR 89.8 mln (approximately EUR 99 mln as at 31 December 2021) and higher exposures classified in stage 2 for approximately EUR 73.1 mln (EUR 1.3 bn as at 31 December 2021). The overlays as at 31 December 2022 are represented by five main categories:

- 1) Use of asymmetric macroeconomic scenarios - in view of the uncertainty of the economic context and gradual deterioration in progress, the ECL calculation approach was maintained, in line with what was done in December 2021 and in the first nine months of 2022, which involves the use of the most likely scenario (baseline) and two alternatives, both worse (extremely severe and severe but plausible), all three with the same weighting and therefore combined based on a simple average, in place of the traditional approach which calls for the use of a baseline scenario, a better one and a worse one, weighted on the basis of the reference percentiles. The conservatism of this choice can be estimated at just over EUR 25.0 mln;
- 2) Back testing on bad loans – Starting in the third quarter, the Bank carried out back testing on the expected loss on positions classified as bad loans, comparing LGD rates estimated on a historical basis with the loss rates actually observed on positions closed in the period 2019-2021. The comparison between the ECLs thus determined highlighted at overall level the conservative nature of both statistical and analytical provisions. However, the analysis showed for some clusters of the statistical LGD the effective rates slightly higher than those estimated, the higher adjustments of EUR 15.8 mln as at 31 December 2022 were recognised in the Income Statement;
- 3) Sectors heavily impacted by the trend in the prices of energy and raw materials – On performing exposures to companies operating in sectors that are particularly vulnerable to energy and raw materials prices, greater value adjustments of around EUR 14.1 mln were carried out. The sectors identified, for an exposure of approximately EUR 1.6 bn, are the following: refining of petroleum products, hauliers, wholesale of fuels and combustibles, logistics and transport, wool industry, maritime transport, milling industry, cold steel processing, sale of electricity, local public transport, air transport, rail transport, chemical fibres. During the last quarter of the year, the Bank also applied the CERVED sector forecasts to the unlikely to pay subject to statistical assessment in order to capture a possible deterioration in cure rates due to the delicate macroeconomic context. In detail, the forward-looking shock applied to LGDs was determined in terms of the change in LGDs across 30 sectors of economic activity, based on the simple average of the shocks between the baseline and the CERVED worst-case scenario. The estimated impact on the portfolio of unlikely to pay for a total exposure of around EUR 276 mln resulted in higher value adjustments of EUR 17.4 mln;
- 4) *Early Warning System (EWS)* - during the third quarter of 2022, the new scoring algorithm of the EWS system was finalised, which makes it possible to promptly intercept the first signs of deterioration in credit quality. In particular, it was observed that exposures classified by the new system in risk classes A7 and A8 showed a high default rate in the following months. Therefore, on the basis of this evidence, during the fourth quarter the Bank has applied a lifetime ECL to exposures included in these classes and with turnover of less than EUR 50 mln, even if not yet classified in stage 2, *with consequent higher adjustments for approximately EUR 10.4 mln*;
- 5) Baseline macroeconomic scenario - The scenario developed by the external provider and made available in January 2023 would have resulted in a value recovery of EUR 6.6 mln. The Bank deemed it appropriate, also from a conservative and prudential perspective, to confirm the scenario released in October 2022, neutralising the aforementioned positive economic impact.

The total amount of overlays as at 31 December 2022 decreased by approximately EUR 9.2 mln compared to the figure as at 31 December 2021. The decrease can be mainly explained by two main elements represented below, partially offset by the introduction during the year of some overlays (sectors highly impacted by energy and raw material prices, back testing analysis on bad loans, early warning system and the failure to update the macroeconomic scenarios):

- 1) CERVED sectoral scenario - Until the first quarter of 2022 reporting, the Bank used the scenario produced by CERVED in July 2021 (period characterised by a pandemic context still in progress) and the November 2021 update was not acknowledged, characterised by a recovering context. The update of April 2022 has also anticipated an overall improvement in the PDs, apart from a few sectors impacted by the crisis triggered by the Russian war in Ukraine. Since CERVED had also made available, in addition to the baseline, a negative scenario, the latter was applied from the 2022 half-yearly report, which, although including a deterioration in PDs, was in any case less negative than that prevailing in the pandemic phase, therefore also taking into account the exposure of the Bank to the various sectors. Therefore, at the reference date of these Financial Statements, the conservatism level of approximately EUR 30.6 mln as at 31 December 2021 referring to this element is no



longer in place, also taking into account that starting from the 2022 half-yearly report, the CERVED scenarios have been included in the satellite model, and are therefore an integral part of the forward-looking information used to calculate the SICR and the ECL;

- 2) resumption of payments on COVID moratoria - As payments for exposures benefiting from COVID moratoria matured and resumed on 31 December 2022, the floor to the PD value as at 31 December 2020 was removed. It should be noted that in the second and third quarters of 2022, the overlay, whose purpose was to sterilise the rating improvement and the related positive effect resulting exclusively from the support measure granted, was applied only to exposures that had resumed payments for less than one year and then, starting in the fourth quarter, removed permanently for all positions for which payments had resumed less than one year. The removal in question led to a decrease in overlays of approximately EUR 23.8 mln compared to the figure as at 31 December 2021.

Inclusion of government guarantees

Finally, with regard to the treatment of government guarantees, it should be noted that, in accordance with the guidance of the Authorities, these did not impact the calculation of the SICR - since the latter does not depend on the guarantees, but on the creditworthiness, which remains specific to the counterparty; they have instead affected the estimate of the ECL, through the use of an LGD parameter that takes into account the government mitigation measures, introduced and expanded with the “Cura Italia” and “Liquidità” decrees. This approach derives from the assessment carried out on the characteristics of the guarantees that allow them to be considered as an integral part of the contract pursuant to IFRS 9.

For more information on the assumptions used for the estimate, as well as for the sensitivity analysis with respect to alternative scenarios, please refer to “Part E - Information on risks and hedging policies, section 2 - Risks of the prudential consolidation, 1.1 Credit risk, paragraph 2.3 Methods for measuring expected losses” in the Notes to the consolidated financial statements.

Amendment to IFRS 16 accounting standard

As regards to the concessions as a lessee, the Bank has applied until 30 June 2022 the exemption introduced by the IASB “COVID-19-Related Rent Concessions - Proposed amendment to IFRS 16” to the valuation of the rent concessions obtained in consequence of the pandemic. The exemption applies to a lease agreement that has not been subject to any material change in further terms or conditions. The expedient is not a significant case for the Bank.

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Disclosure on public funding pursuant to art. 1, paragraph 125 of Italian Law no. 124 dated 4 August 2017 (“Annual Law for the Market and Competition”)

Note that, at the reporting date of these Financial Statements, the contributions collected by the Bank for 2022 in relation to the training classes offered, are publicly available in the “Individual Aid” Transparency section of the National State Aid Register, amount to EUR 3.1 mln.

For more details, please refer to the following link: https://www.rna.gov.it/sites/PortaleRNA/it_IT/trasparenza



A.3 Information on portfolio transfers

Tables on transfers between portfolios of financial assets are not provided, as in 2022, like in previous years, as the Bank did not carry out any reclassification transactions following the change in the business model, that is, in the way in which the Bank manages financial instruments.

A.4 – Information on fair value

Qualitative Information

IFRS 13, which harmonises fair value measurement rules and the related disclosure, defines fair value as the price that would be received for the sale of an asset or that would be paid for the transfer of a liability in a regular transaction between market operators operating on a going concern basis (that is, not in a forced liquidation or a sale below cost) at the conditions observed at the valuation date in the main market or most advantageous market (exit price). The Bank must measure the fair value of an asset or liability by adopting the assumptions that market participants would use in determining the price of the asset or liability, assuming that they act to best meet their own economic interests.

For the purposes of measuring assets and liabilities at fair value, IFRS 13 defines a threefold fair value hierarchy that reflects the reliability of the inputs used in making the measurements. The methods for classifying financial instruments in the three-level fair value hierarchy are shown below.

Level 1

This level shall include financial instruments measured using unadjusted quoted prices in active markets for identical instruments.

IFRS 13 defines an active market as a market in which transactions take place with sufficient frequency and volume to provide information on an ongoing basis. A financial instrument is quoted in a financial market when:

- the quoted prices are readily and regularly available from a stock exchange list, or through a dealer, broker, industry group, pricing service, authorised body or regulatory agency;
- the quoted prices represent actual and regularly occurring market transactions on an arm's length basis.

If the quoted prices meet these criteria, they represent the best estimation of fair value and must be used to measure the financial instrument.

From the definition of active market set out in IFRS 13, it is inferred that the active market concept is particular to the individual financial instrument being measured and not to the market on which it is listed; the fact that a financial instrument is quoted in a regulated market is therefore not in itself sufficient for the aforementioned instrument to be defined as listed in an active market. Conversely, a financial instrument that is not traded in a regulated market may present sufficient frequency and volumes for it to be classified in level 1 of the fair value hierarchy.

Levels 2 and 3

Financial instruments not listed in an active market must be classified in level 2 or 3.

Classification in level 2 rather than level 3 is determined on the basis of market observability of the significant inputs used to determine fair value. A financial instrument must be fully classified in a single level; if inputs belonging to different levels are used for the purpose of measuring an instrument, the aforementioned instrument is classified based on the lowest level of input that is significant to the fair value measurement.

An instrument is classified in level 2 if all significant inputs are directly or indirectly observable on the market. An input is observable if it reflects the same assumptions used by market participants, based on independent market data.

Level 2 inputs are as follows:

- a) quoted prices on active markets for similar assets or liabilities;
- b) quoted prices for the instrument in question or for similar instruments on non-active markets, i.e. markets where:
 - there are few transactions;



- the prices are not current or they vary substantially over time and between the different market makers or
- little information is made public;
- c) observable market inputs other than quoted prices (e.g. interest rates or yield curves observable in different buckets, volatility, credit curves, etc.);
- d) inputs that derive primarily from observable market data, the reporting of which is confirmed by parameters such as correlation.

A financial instrument is classified in level 3 if the measurement techniques adopted use non-observable market inputs and their contribution to estimating fair value is deemed significant.

All financial instruments not listed in active markets are classified in level 3 where:

- despite having observable data available, significant adjustments based on non-observable data are required;
- the estimate is based on internal assumptions on future cash flows and risk adjustment of the discount curve.

For financial instruments, measured at fair value in the financial statements, the Bank has adopted a “Fair Value Policy”, which assigns the highest priority to prices listed on active markets (level 1) and the lowest priority to the use of unobservable inputs (level 3), being these more discretionary, in line with the fair value hierarchy represented above. Specifically, this policy defines:

- the rules for identifying market data, the selection/hierarchy of information sources and the price configurations to value the financial instruments contributed on active markets and classified under level 1 of the fair value hierarchy (“Mark to Market Approach”);
- valuation techniques and related input parameters in all cases in which the “Mark to Market approach” cannot be used, and it is therefore necessary to apply the “Market to Model approach”.

Classification in level 2 rather than level 3 is determined on the basis of market observability of the significant inputs used to determine fair value. A financial instrument must be classified in its entirety in a single level; therefore, if inputs belonging to different levels are used in the valuation technique, the entire valuation must be classified in correspondence with the level of the hierarchy in which the lowest level input is classified, if it is considered significant for the determination of the fair value as a whole.

The following types of investments are normally considered as level 2:

- equities not listed on active markets, valued using the market multiples technique, or valued on the basis of actual transactions;
- OTC derivative financial instruments whose fair value is obtained through the use of pricing models that estimate the probability that a specific event will occur by incorporating assumptions such as the volatility of the estimates, the price of the underlying instrument and the expected rate of return;
- hedge funds and private equity funds characterised by high levels of transparency and liquidity, valued on the basis of the NAV provided by the management company/fund administrator;
- third-party debt securities or own issue not listed on active markets whose inputs, including credit spreads, are obtained from market sources.

The following financial instruments are generally considered level 3:

- hedge funds characterised by low levels of liquidity, when the valuation / disinvestment of their assets is believed to require a series of assumptions and estimates to a significant extent. The fair value measurement is carried out on the basis of the adjusted NAV to take into account the low liquidity of the investment;
- alternative investment funds for which the discounted cash flow is used;
- private equity and real estate funds valued on the basis of the last available NAV, adjusted if necessary to take into account events not included in the valuation of the unit or to reflect a different valuation of the assets underlying the fund;



- equity securities for which no recent or comparable transactions can be observed, and valued on the basis of the equity or income model;
- debt securities, ABS and derivative transactions characterised by complex financial structures for which publicly unavailable sources are generally used;
- debt securities issued by parties in financial difficulty for which the “recovery rate” must be estimated;
- (performing and non-performing) medium/long-term loans valued on the basis of expected cash flows estimated with different models depending on the status of the counterparty and discounted using a market interest rate.



A.4.1 Level 2 and 3 of fair value: measurement techniques and inputs used

Financial assets and liabilities measured at fair value

The following tables show, respectively, for Level 2 and 3 financial instruments, the accounting portfolio, a summary of the types of instruments in use by the Bank, and evidence of the related valuation techniques and the inputs used.

Items	Fair value Level 2 31 12 2022							Type	Valuation technique(s)	Inputs used
	Hedging derivatives	Financial liabilities designated at fair value	Financial liabilities held for trading	Hedging derivatives	Financial assets measured at fair value through other comprehensive income	Financial assets mandatorily measured at fair value	Financial assets held for trading			
Debt securities	17	-	504,190	X	-	124,289	X	Bonds	Discounted Cash Flow	Interest rate curve, CDS curve, (yield) basis, Inflation Curves
								Structured bonds	Discounted Cash Flow	Interest rate curve, CDS curve, (yield) basis, Inflation Curves + inputs necessary to measure optional component
								Bonds/notes	Market price	Market price
Equity instruments	2	-	30,954	X	X	X	X	Share/Equity Instruments	Market price	Market price, recent transactions, appraisals, manager reports
								Equity Instruments	Discounted cash flow	Share price, beta sector, free risk rate
								Equity Instruments	Net asset adjusted	Carrying Amount Asset/Liabilities
Units of UCITS	-	49,345	X	X	X	X	X	Funds/Private Equity	Nav Investor report	Annual report, data sheet of assets held in the portfolio
Financial Derivatives	593,982	X	X	996,144	577,679	X	301,491	IR/Asset/Currency Swaps	Discounted Cash Flow	Interest rate curve, CDS Curve, (yield) basis, Inflation Curve, Foreign exchange rates and correlation
								Equity swaps	Discounted Cash Flow	Share price, Interest rate curve, Foreign exchange rates
								Forex Singlename Plain	Option Pricing Model	Interest rate curve, Foreign exchange rates, Forex volatility
								Forex Singlename Exotic	Option Pricing Model	Interest rate curve, Foreign exchange rates, Forex volatility (Surface)
								Equity Singlename Plain	Option Pricing Model	Interest rate curve, share price, foreign exchange rates, Equity volatility
								Equity Singlename Exotic	Option Pricing Model	Interest rate curve, share price, foreign exchange rates, Equity volatility
								Equity Multiname Plain	Option Pricing Model	Interest rate curve, share price, foreign exchange rates, Equity volatility
								Equity Multiname Exotic	Option Pricing Model	Interest rate curve, share price, foreign exchange rates, Equity volatility (surface), Model inputs, Quanto correlation,
								Plain rate	Option Pricing Model	Interest rate curve, inflation curves, bond prices, foreign exchange rates, Rate volatility, rate correlations
								Spot forward	Market price	Market price, Swap Point
Credit Derivatives	3,597	X	X	-	3,597	X	-	Default swaps	Discounted Cash Flow	CDS curves, Interest rate curve\
Total Assets	597,598	49,345	535,144	996,144	X	X	X			
Total liabilities	X	X	X	X	581,276	124,289	301,491			



Fair value Level 3 31 12 2022											
Items	Financial assets held for trading	Other financial assets mandatorily measured at fair value	Financial assets measured at fair value through other comprehensive income	Hedging derivatives	Financial liabilities held for trading	Financial liabilities measured at fair value	Hedging derivatives	Type	Valuation technique(s)	Non-observable inputs	Range (weighted average)
Debt securities	-	80,448	-	X	-	-	X	Notes	Discounted Cash Flow	Discount rate	8.36%- 11.41%
								Participating financial instruments	Credit Model	Credit Data (LGD/PD)	0-17.9 €/mln
Equity instruments	-	361	223,733	X	X	X	X	Equity instruments	External pricing	Fair value asset	0.3 €/mln
								Investments	Discounted Cash Flow	Cet 1 target, Cost of equity, grow rate	20%/8%/0.4
								Investments	Cost/Equity income	Fair value asset	0-12.3 €/mln
Units of UCITS	-	101,758	X	X	X	X	X	Closed-end Fund	External pricing	Fair value asset	8.4 €/mln
								Closed-end real estate Fund	Discounted Cash Flow	Discount rate	10%
								Alternative funds	Discounted Cash Flow	Discount rate	8.36%- 11.41%
Loans	-	138,370	-	X	X	X	X	Loans	Discounted Cash Flow	NPE SPREAD	1.92% - 1.92%
								Loans	Discounted Cash Flow	LGD	0.21% - 55.28%
								Loans	Discounted Cash Flow	PD	0.09% - 22.12%
								Loans	Discounted Cash Flow	PE SPREAD	0.01% - 1.57%
Total assets	-	320,937	223,733	X	X	X	X				
Total liabilities	X	X	X	X	-	-	-				

The techniques and parameters for calculating the fair value, as well as the criteria for assigning the fair value hierarchy, are defined and formalised in the aforementioned “Fair value policy” adopted by the Bank. The reliability of fair value measurements is also ensured by the verification activities carried out by a Risk Management structure, independent of the Front Office units that hold the positions, which periodically reviews the list of pricing models to be used for the purposes of the Fair Value Policy. These models must represent market standards or best practices and the related calibration techniques must guarantee a result in line with valuations able to reflect “current market conditions”. Specifically, to correctly determine the fair value, for each product a pricing model is associated, generally accepted by the market and selected on the basis of the characteristics and market variables underlying the product. With particularly complex products or if the existing valuation model for products in use is deemed to be lacking or inadequate, an internal process is activated to supplement the current models. On the basis of this process, the Risk Management department carries out a first validation of the pricing models, which may be native to the Position Keeping system or be issued by a specific internal unit; this is followed by a stage in which the same unit ensures the reliability of the previously validated model.

In detail, the validation activity, carried out on a range of instruments identified above certain materiality thresholds, is aimed at verifying the theoretical robustness of the model, through an independent repricing of the price, a possible calibration of the parameters and a comparison with the prices of the counterparties.

Following the validation stage, an ongoing review is carried out to confirm the accuracy and alignment to the market of the pricing models used by the Bank, and appropriate changes are made, if necessary, to the models and the related underlying theoretical assumptions. To take into account the risk that the pricing models, even if validated, may generate fair value values that are not directly comparable with market prices, an adjustment is made for “Model risk”, as described below.



Financial assets and liabilities measured at fair value on a recurring basis

Financial assets and liabilities measured at fair value on a recurring basis are represented by all financial instruments measured in the financial statements on the basis of the fair value criterion (items 20, 30, 50 of the balance sheet assets and items 20, 30, 40 of liabilities in the balance sheet). For these financial instruments, in the absence of directly observable prices on active markets, it is necessary to determine a fair value on the basis of the valuation approach described in the previous paragraph. The main valuation techniques adopted for each type of financial instrument are illustrated below.

Debt securities

The valuation of non-contributed securities (i.e. securities without official prices expressed by an active market) is carried out through the use of an appropriate credit spread, identified starting from contributed and liquid financial instruments with similar characteristics. The sources from which to draw this measure are as follows:

- contributed and liquid debt securities of the same issuer;
- credit default swap on the same reference entity;
- contributed and liquid securities issued by an issuer with the same rating and belonging to the same sector. In any case, the different seniority of the security to be priced in relation to the issuer's debt structure is taken into account.

Furthermore, for bonds not quoted on active markets, to take into account the higher premium requested by the market compared to a similar contributed security, an additional component, estimated on the basis of the bid/ask spread, is added to the "fair" credit spreads observed on the market.

Loans that do not pass the SPPI test

These are loans measured at fair value as per mandatory requirements as the contractual cash flows do not exclusively provide for the repayment of principal and payment of interest on the principal to be repaid (i.e., they do not pass the "SPPI test"), either by virtue of clauses originally envisaged in the contract or following subsequent amendments. The fair value is valued with the Discounted Cash Flow approach, which is applied in a different way depending on whether the loans are performing/non-performing:

- for performing loans, the fair value is determined on the basis of cash flows, appropriately adjusted for expected losses, based on the unobservable parameters PD and LGD. These flows are then discounted on the basis of a market interest rate, adjusted to take into account a premium deemed to express the risks and uncertainties. In the presence of implicit option components, which, for example, provide for the option of changing the interest rate, the fair value also takes into account the value of said components;
- for non-performing loans, the measurement of the fair value is based on directly or indirectly observable market parameters, which refer to risk factors found in the disposal of NPLs in order to obtain a market price, representative of the uncertainty of the collection process. In particular, cash flow forecasts are expressed by the analytical repayment plans that represent the information on the estimated loss rate on the position. The collection flows estimated in this way are discounted using a discount factor that is constructed starting from a spread representing the uncertainty of the collection process (unexpected loss) and any other residual risk; the discount rate is then calculated by adding this spread to the risk-free interest rate curve, without taking into account the contractual rate.

Unlisted equities

They are valued with reference to direct transactions on the same security or on similar securities observed over a period of time with respect to the valuation date, using the market multiples method of comparable companies and subordinate to financial, income and equity valuation methods.

Investments in UCITS

They are, as a rule, valued on the basis of NAVs or expected flows and/or business plans made available by the fund administrator or management company. If the NAV does not represent fair value, from the perspective of a market participant, the Group adopts certain adjustments/haircuts. These typically include private equity funds, alternative investment funds among which funds investing in non-performing loans, real estate funds, hedge funds.



In the specific case of alternative investment funds that invest in NPE loans, the Bank has estimated the unit value as the sum of the present values of the expected fund distributions (Discounted Cash Flows). The inputs used are as follows:

- cash flows related to net distributions to investors envisaged in the business plans/management accounts of their respective operations;
- discount rate between 8.36% and 11.41%, depending on the capital structure and the additional premium for the risk of each transaction.

Credit structured products

With reference to ABS (asset backed securities), when significant prices are not available, valuation techniques are used that take into account parameters that can be inferred from an active market (level 2 inputs) or must be estimated, if unobservable (level 3 inputs, if significant). In the first case, the cash flows are acquired from info providers or specialised platforms; the spreads are derived from the prices available on the market/info provider, analysing the performance of the underlying assets on the basis of the investor reports. If they are not available, the Bank uses valuation techniques aimed at recreating the contractual waterfall of the securitisations in order to estimate the potential recoveries of the outstanding notes.

Over the counter (OTC) derivatives

Interest rate, exchange rate, equity, inflation, commodity and credit derivatives, where not traded on regulated markets, are Over-The-Counter (OTC) instruments, i.e. traded bilaterally with market counterparties. Their valuation is carried out using appropriate valuation models, fed by input parameters (such as, for example, interest rate, exchange rate and volatility curves) observed on the market and subject to the monitoring processes described in the “Group Fair Value Policy”.

These models estimate the probability that a specific event will occur by incorporating assumptions such as the volatility of the estimates, the price of the underlying instrument and the expected rate of return.

In addition, for the purpose of measuring fair value, the aforementioned “Group Fair Value Policy” envisages that some “fair value adjustments” be considered with the objective of best reflecting the realization price of an actually possible market transaction. In particular, this relates to model risk, liquidity risk and counterparty risk set out below.

Model risk: this adjustment is made to take into account the risk that the pricing models, even if validated, may generate fair value values that are not directly observable or not immediately comparable with market prices. This is the case of pricing algorithms or types of pay-off that are not adequately widespread on the market or in the presence of models particularly sensitive to variables that are difficult to observe on the market.

Liquidity risk: this adjustment is made to take into account the extent of the “bid / ask spread”, i.e. the actual cost of disposing of a position in financial instruments in inefficient markets. The correction for the liquidity risk is greater for more structured products, due to the related hedging/disposal costs, and for valuation models that are not sufficiently established and of widespread use among operators, since this makes the valuations more uncertain.

Counterparty risk: adjustments to the market value of OTC derivatives, classified as “performing”, are made in order to reflect:

- the risk of possible counterparty default - Credit Valuation Adjustment (CVA);
- the risk of non-fulfilment of the issuer’s contractual obligations towards a counterparty (“own credit risk”) - Debt Valuation Adjustment (DVA).

These corrections were estimated for all OTC derivative positions with non-collateralised institutional and retail counterparties. The methodology is based on the calculation of the expected operational loss linked to the counterparty rating and estimated over the duration of the position. The exposure includes the component of future credit variations represented by add-ons. Market-consistent probability measurements are employed in the calculation of CVAs in order to gauge market expectations resulting from CDS prices without, however, losing the historical information available within the Bank.

The impact of the CVA as at 31 December 2022 amounted to EUR -2.1 mln. The Bank calculates the value adjustment of OTC derivatives in a mirror image fashion and on the same perimeter to take into account its own creditworthiness, Debt Value Adjustment (DVA). As at 31 December 2022, the DVA amounts to a total of EUR 18.1 mln.

**Financial assets measured at fair value on a non-recurring basis***Financial assets and liabilities measured at amortised cost in the financial statements*

For financial assets and liabilities recognised in the financial statements at amortised cost, classified, in the accounting categories of “Financial assets measured at amortised cost” (loans to banks and customers) and “Financial liabilities measured at amortised cost” (deposits from banks and customers and debt securities issued), the calculation of the fair value is relevant for information purposes only, in line with the provisions of the reference accounting standard IFRS 7. The criteria to calculate the fair value of performing and non-performing loans to banks and customers are the same adopted for the fair value valuation on a recurring basis of the loans that do not pass the SPPI test, to which reference is made. Exceptions to this rule are loans to central banks included in the “Loans to banks” portfolio for which the book value is considered a good approximation of the fair value as allowed by accounting standard IFRS 7, and is classified in level 2 of the fair value hierarchy. The same methodology and classification are used for the “Deposits from banks” and “Deposits from customers” portfolios.

For debt securities classified in the “Loans to banks or customers” or “Debt securities issued” portfolio, the fair value was determined through the use of prices contributed on active markets or through the use of valuation models, such as described in the paragraph “Assets and liabilities measured at fair value on a recurring basis” above.

With reference to the classification of loans to customers and banks within the fair value hierarchy, it should be noted that customers are classified in level 3 and banks in level 2, except in the case of non-performing exposures.

Non-financial assets measured at fair value on a recurring basis

For the Bank, non-financial assets measured at fair value on a recurring basis consist of its owned real estate assets.

Fair value of owned real estate assets

The Bank adopts the revaluation model for the measurement of the value of property assets for business use pursuant to IAS 16 and of the fair value for investment properties pursuant to IAS 40, for valuation subsequent to the initial recognition.

Real estate valuation methodology

The redetermination method requires that the assets for business use, whose fair value can be reliably measured, are recognised at a restated value, equal to their fair value at the date of the redetermination of value, net of depreciation and any losses for accumulated impairment.

For properties held for investment purposes, the Group has chosen the fair value measurement method, according to which, after initial recognition, all investment properties are measured at fair value.

The fair value of the properties, whether for business or investment use, is determined through the use of specific appraisals prepared by independent qualified companies operating in the specific sector able to provide property valuations on the basis of the RICS Valuation standards. These standards ensure that:

- the fair value is determined consistently with the indications of international accounting standard IFRS 13, that is it reflects the estimated amount for which an asset or liability is sold or purchased, on the valuation date, by a seller and a buyer both willing, and not linked by a special relationship, at competitive conditions, after proper marketing and where the parties had each acted knowledgeably, prudently and without compulsion;
- the experts have professional, ethical and independence requirements in line with the provisions of international and European standards.

For properties of a significant value, i.e. with a book value of more than EUR 8 mln, the appraisals are carried out in “full” mode, i.e. with an inspection of the property as well as a detailed analysis of the available documentation. For the remaining properties it is however possible to make use of “desktop” appraisals, which are carried out without onsite inspection, only by reviewing the documentation. The Bank has decided to carry out “full” appraisals on at least 50% of the overall book value of the properties.



The valuation methodologies applied by the appraiser are aligned with international IVS (International Valuation Standards) practices and with what is set forth in the Red Book of the Royal Institute of Chartered Surveyors (RICS). They refer to the following situations:

- a) Discounted cash flow (DCF) method;
- b) Market comparison approach (MCA);
- c) Transformation method with DCF analysis.

The discounted cash flow method is based on the net cash flows that can be generated within a period of time and is the best estimation approach to adequately represent the market value of assets likely to be acquired as properties, both for direct use (instrumental use), and for investment purposes, as a source of ongoing income from rents. The assumption underlying the cash flow approach is that a rational buyer is not willing to pay to buy the asset a price higher than the current value of the economic benefits that the asset will provide in the future. The value of the asset, therefore, is a function of the economic benefits that will be generated by it. The Market Value is calculated as the sum of the discounted net revenues and the discounted net sales value at the valuation date. The net revenues are calculated based on the gross revenues less the operating costs related to the property. The gross revenues are calculated by indexing the rents received for the leased portions, or the market rents for the vacant portions, considering for the calculation of the DCF a time period between 10 and 20 years according to the intended use of the property and the residual duration of outstanding lease contracts. The net sales value is obtained by capitalising in perpetuity the operating income for the last period of the DCF using a capitalization rate (Cap Rate) in line with average market yields, from which the sales commission is then deducted. After finding the annual net revenues and the net sales value, the discounted values at the beginning of the first period are calculated by using an appropriate discount rate, suitable for each individual property. The main input data are: i) revenues (contractual rents, market rents); ii) vacancy and take up period, contractual step-ups, etc.; iii) costs (administration, property tax, insurance premium, tenant improvements, lease and sales commission, etc.) and iv) interest rates (WACC, exit cap rate).

The market comparison approach provides an estimate of the value of the asset through the comparison with properties recently sold or currently on sale on the market that are comparable in terms of type, construction and location. The value of the property is therefore found by taking into account the sale prices or rents obtained from an in-depth market survey, and then making specific adjustments as deemed appropriate given the intrinsic and extrinsic characteristics of the property in question, as well as any other factor deemed relevant. The market comparison approach is usually recommended for residential properties for which it is easy to find transactions on comparable assets.

The transformation method with DCF analysis is used in the case of assets that can be transformed or are already being transformed. The value is given by the difference between the most likely market value of the transformed asset and the sum of all the most likely costs of the factors involved in the transformation of the asset itself. The transformation method is often used to express an opinion on the economic benefit of initiatives to renovate existing assets, but it can also be used for an appraisal aimed at providing an estimate value valid for the majority of market operators. This estimation method is based on the discounting, at the valuation date, of the cash flows generated by the real estate transaction over a time period corresponding to its duration, converting the cash flows allocated at the time of their generation into the Net Present Value (NPV) of the real estate transaction through a financial discounting procedure. The model simulates the assumptions of a typical investor, which aims at receiving a satisfactory economic return on the investment. In particular, the model is articulated in a cash flow scheme with income (revenues) and expenses (costs) relating to the real estate transformation project. Expenses include costs for construction, demolition, urbanisation, design, site management and other costs; the income includes sales made for each sector of intended use (residential, industrial, workshops, sales, tertiary and services). The financial model does not consider VAT and other taxes. The main input data are i) the revenues generated from the sale of buildings built or renovated; ii) the costs (construction costs, urbanisation costs, planning and site management costs, sales commissions, etc., and iii) interest rates (WACC).

The valuation approach is defined considering for each property:

- the breakdown in terms of property unit;
- the current intended use of each property, assuming this represents the highest and best use, and considering alternative uses of the properties where this corresponds to market expectations;
- the nature of the property, whether for business use, investment use, mixed.

Depending on the intended use, the occupation status and the nature of the asset, the valuation method deemed most appropriate by the appraiser is applied for each property unit and the value is divided between business use and investment portions.



The properties are valued individually at the level of the single property without considering any discount or premium that can be negotiated in a commercial negotiation phase if all, or part of the portfolio, is sold en bloc, both by lots and entirely.

The valuation of the properties is significantly based on estimates that are characterised in nature by elements of judgement and subjectivity, the Bank's entire property assets are classified at level 3 in the fair value hierarchy.

Valuation frequency

For investment property it is necessary to recalculate the fair value on an annual basis in accordance with IAS 40. For property for business use, IAS 16 provides that value re-determinations must be carried out regularly in order to ensure that the book value does not differ significantly from the fair value at the reporting date.

The recalculation frequency is linked to the fluctuations in the fair value of the assets subject to revaluation. In this regard, on the basis of the trend recorded by the markets, the Bank has decided to carry out the revaluation every two years unless the scenario analysis is such as to require an advance update, through a new appraisal.

Scenario analysis

As the Bank recalculates the value of business properties every two years, in order to identify and appreciate the significant changes in the property market that require the appraisal to be brought forward with respect to the standard frequency, the Bank monitors the market trend by location and/or geographical area.

This monitoring is conducted in financial years other than those in which the re-determination of the value is already planned, with the aim of detecting any deviations in market values between the reference period of the financial statements and the previous period. If the deviation, which takes into account rents and prices by property class, exceeds a limit threshold of $\pm 10\%$, the valuation of the properties is timely updated.

Three different sources are used to define the changes: the Italian Revenue Agency according to the relevant areas of the Property Market Observatory (OMI - *Osservatorio del Mercato Immobiliare*); Nomisma, or equivalent observers, which can carry out, for the related areas, the same searches performed for OMI (main database); the analysis of the changes in the offers on the property market that took place in the year in question.

The analysis of the data collected, relating to values and fees referring to the main intended use defined for the position, returns a synthetic factor which, by assigning a decreasing weight to the institutional value of the three sources, determines a single percentage deviation to be compared with the defined target threshold.

On the basis of the aforementioned rules, at 31 December 2022 the Bank updated the appraisals for all property investments and for 29 properties used for business purposes, for which the scenario analysis highlighted the need to anticipate the valuation with respect to the standard frequency. A total of 421 appraisals were carried out, of which 29 in "full" mode and 392 in "desktop" mode.

Sensitivity analysis of non-financial instruments

Like financial instruments, non-financial assets and liabilities measured at level 3 fair value are also subjected to sensitivity analysis for which, based on the valuation model used to determine fair value, execution is possible and whose results are significant.

In this context, the sensitivity analysis was performed for the properties of the Bank for which the valuation was carried out using the discounted cash flow method, identifying the following most significant variables: market fees for properties for business use, and the "exit value" for properties held for investment purposes. Considering a variation equal to $\pm 5\%$ of the aforementioned variables, the analysis showed an average deviation in the fair value of the properties of approximately 5.2% in both hypothesized scenarios.



A.4.2 Measurement processes and sensitivity

A description of Level 3 financial instruments that show significant sensitivity to changes in unobservable inputs is provided below.

The column “Other financial assets mandatorily measured at fair value” in the category “Debt securities” measured with the Discounted Cash Flow method includes both the notes referring to the multi-originator securitisation “Norma” for EUR 31.4 mln and the mezzanine and junior tranches referring to the securitisation of a portfolio of loans classified as bad loans called “Siena NPL” for EUR 27.1 mln. For these positions, the change in the discount rate (+/- 1%) and in the expected distribution flows (+/- 10%) would result in a range of values of EUR 28.4 mln - 33.5 mln and EUR 18.7 mln - 19.6 mln respectively related to the “Norma” and “Siena NPL” securitisation.

Also worth mentioning in this category are approximately EUR 21.9 mln relating to some equity investments acquired by the Bank under credit restructuring agreements which the sensitivity analysis was not carried out as the unit value of the individual exposures is below the minimum materiality threshold established by the Bank.

The “Other financial assets mandatorily measured at fair value” column also includes loans (EUR 138.4 mln) that are mandatorily measured at fair value. The unobservable parameters are Probability of Default (PD), Loss Given Default (LGD) and the different spreads for performing and non-performing assets. The change in these parameters, of 10%, 5%, and 1%, respectively, would have an impact on fair value of approximately EUR -5.5 mln.

The majority of the UCITS units refers, for EUR 93.0 mln, to units of funds received in exchange for the sale of non-performing loans (Back2bonis, IDEA CCR I, II and Nuova Finanza, Clessidra and Efesto). A change in the discount rate (+/- 1%) and forecasted distributions (+/- 10%) would result in the following range of values: EUR 88.9 – 97.1 mln.

The category of UCITS units also contains the total of contributions, made from June 2016, to the *Italia Recovery Fund* (formerly Atlante due) for a book value of EUR 8.4 mln. The position was valued based on the latest available NAV.

The “Financial assets measured at fair value through other comprehensive income” accounting portfolio includes the investment in the share capital of Bank of Italy (EUR 187.5 mln), measured using the Discounted Cash Flow method. The equity investment was measured with the methodology identified by the Committee of Experts in the document “Revaluation of shareholdings in the Bank of Italy”. This document not only details the valuation techniques adopted to reach the end result, but identified the following entity-specific parameters: the market beta, equity risk premium, and the cash flow base. The valuation of that equity investment is also confirmed in market transactions carried out in recent years by certain banks. The range of possible values that can be assigned to these parameters cause the following changes in value: roughly EUR -9 mln for every 100 bps increase in the equity risk premium, roughly EUR -14 mln for every 10% increase in the market beta, and roughly EUR -16 mln for every 10% increase in the cash flow base.

This category also includes equity securities representing all equity investments designated at fair value that could not be measured according to a market-based model. These positions amount to approximately EUR 36.3 mln. A sensitivity analysis was not carried out for these positions as they were below the materiality threshold identified by the Bank.

A.4.3 Fair value hierarchy

For the purposes of completing the disclosure on transfers between levels provided in paragraphs A.4.5.1, A.4.5.2 and A.4.5.3 below, it should be noted that, for securities held at 31 December 2022 and which had a different fair value level with respect to the one assigned at 1 January 2022, it was assumed that the transfer between the levels took place with reference to the balances held at the beginning of the reference period.

A.4.4 Other information

With reference to par. 93 letter (i) of IFRS 13, the Bank does not hold any non-financial assets measured at fair value whose current use does not represent its best possible use.

With reference to par. 96 of IFRS 13, the Bank does not apply the portfolio exception provided for in par. 48 of IFRS 13.



Quantitative Information

A.4.5 Fair value hierarchy

A.4.5.1 Assets and liabilities measured at fair value on a recurring basis: breakdown by fair value level.

Asset and liabilities measured at fair value	31 12 2022				31 12 2021			
	Level 1	Level 2	Level 3	Total	Level 1	Level 2	Level 3	Total
1. Financial assets measured at fair value through profit or loss of which:	155	646,943	320,937	968,035	258	690,456	290,037	980,752
a) Financial assets held for trading	43	597,597	-	597,640	88	611,721	-	611,809
c) Other financial assets mandatorily measured at fair value	112	49,346	320,937	370,395	170	78,735	290,037	368,942
2. Financial assets measured at fair value through other comprehensive income	3,374,482	535,144	223,733	4,133,359	4,503,297	582,856	226,835	5,312,988
3. Hedging derivatives	-	996,144	-	996,144	-	4,822	-	4,822
4. Property, plant and equipment	-	-	1,818,444	1,818,444	-	-	1,896,025	1,896,025
Total Assets	3,374,637	2,178,231	2,363,114	7,915,982	4,503,555	1,278,134	2,412,897	8,194,587
1. Financial liabilities held for trading	-	581,276	-	581,276	-	516,981	-	516,981
2. Financial liabilities designated at fair value	-	124,289	-	124,289	-	145,333	-	145,333
3. Hedging derivatives	-	301,491	-	301,491	-	1,258,599	-	1,258,599
Total liabilities	-	1,007,056	-	1,007,056	-	1,920,912	-	1,920,912

For information on financial instruments classified in level 3, please refer to the above.

The fair value of some financial assets, particularly the bonds for approx. EUR 11.8 mln, worsened during the financial year from level 1 to level 2. This was essentially due to worsening of the liquidity conditions of the securities (measured in terms of bid-ask spread of the listed price), leading to the level transfer, in accordance with the Group's policy on the valuation of financial instruments.

With reference to financial instruments that have improved from level 2 to level 1 of the hierarchy, please note that this dynamic affected bonds for a value of around EUR 0.1 mln. The change in the fair value level during the financial year is essentially linked to the improvement in the securities' liquidity conditions (measured in terms of bid-ask spread of the listed price), which allowed the level transfer in accordance with the Group's policy on the valuation of financial instruments.

Finally, it should be noted that, during the financial year, an analysis was finalised on the definition of a discount rate range to be used in the fair value valuation of alternative investment funds (AIF) and securitisation notes with non-performing loans as underlying assets. Within the same valuation model, the analyses performed entailed a change in the inputs used in the determination of the fair value of the securitisation notes, which changed from a "comparable" model approach to a model approach with unobservable inputs. Therefore, the notes referring to the securitisations subject to analysis, for an amount of approximately EUR 26.7 mln, were reclassified from fair value level 2 to level 3.



A.4.5.2 Annual changes of financial assets measured at fair value on a recurring basis (level 3)

	Financial assets measured at fair value through profit or loss				Financial assets measured at fair value through other comprehensive income	Property, plant and equipment
	Total	of which: a) financial assets held for trading	of which: b) financial asset measured at fair value	of which: c) other financial assets mandatorily measured at fair value		
1. Opening balance	290,038	-	-	290,038	226,836	1,896,024
2. Increases	81,942	-	-	81,942	480	20,016
2.1 Purchase	-	-	-	-	-	-
2.2 Profit posted to:	20,890	-	-	20,890	208	7,544
2.2.1 Profit and Loss	20,890	-	-	20,890	-	7,544
- of which capital gains	20,890	-	-	20,890	-	7,544
2.2.2 Equity	-	X	X	-	208	-
2.3 Transfers from other levels	31,662	-	-	31,662	-	-
2.4 Other increases	29,390	-	-	29,390	272	12,472
3. Decreases	51,043	-	-	51,043	3,583	97,597
3.1 Sales	818	-	-	818	1,033	1,041
3.2 Redemptions	23,550	-	-	23,550	-	-
3.3 Losses posted to:	20,923	-	-	20,923	2,075	67,438
3.3.1 Profit and Loss	20,923	-	-	20,923	-	34,320
- of which capital losses	20,863	-	-	20,863	-	34,320
3.3.2 Equity	-	X	X	-	2,075	33,118
3.4 Transfers to other levels	-	-	-	-	-	-
3.5 Other decreases	5,752	-	-	5,752	475	29,118
4. Closing balance	320,937	-	-	320,937	223,733	1,818,443

The most significant amounts reported in the column “Other financial assets measured at fair value as per mandatory requirements” corresponding to the line item are shown below:

- “2.2.1 Profit charged to the Income Statement” amounting to approximately EUR 20.9 mln mainly refer to valuation gains of which EUR 11.7 mln relate to loans and EUR 9.2 mln to junior notes of the Norma securitisation transaction (EUR 3.9 mln) and some units of UCITS (EUR 5.3 mln);
- “2.3 Transfers from other levels” of approximately EUR 31.6 mln refers to the reclassification from fair value level 2 to level 3 resulting from the change in the inputs used in determining the fair value of the mezzanine notes of the Siena NPL securitisation;
- “2.4 Other increases” equal to EUR 29.4 mln includes approximately EUR 25.7 mln in positions that during the year were reclassified from the loan portfolio at amortised cost to the portfolio of other assets measured at fair value as per mandatory requirements due to substantial credit changes not consistent with the SPPI test, as well as new disbursements;
- “3.1 Sales” of EUR 0.8 mln refers to the transfer of *non-performing loans* that took place during the year;
- “3.2 Repayments” for EUR 23.5 mln, includes about EUR 9.5 mln for the partial repayment of UCITS units being held and some equity financial instruments and EUR 14.0 mln for repayments on loan positions;
- “3.3.1 Losses charged to the income statement - of which losses” of EUR 20.8 mln refers for EUR 8.6 mln to the junior notes of the Siena NPL and Norma securitisations. The further EUR 12.2 mln of write-downs carried out during the financial period refer for EUR 5.3 mln to non-performing loans and for EUR 6.9 mln to debt securities (of which EUR 5.6 mln relates to equity financial instruments and EUR 1.3 mln to UCITS units);



Property, plant and equipment measured at fair value on a recurring basis consisted of property assets for business and for investment use. The main amounts reported are shown below:

- “2.2.1 Profit charged to the income statement of which capital gains” amounting to approximately EUR 7.5 mln, refer for EUR 6.3 mln to write-backs on properties classified under IAS 16 that were previously written down in the Income Statement, and for EUR 1.2 mln to revaluations of properties classified under IAS 40 following appraisals carried out as at 31 December 2022;
- “2.4 Other increases” of approx. EUR 12.4 mln refers for EUR 6.9 mln to expenses increases incurred on owned assets used in the business (EUR 6.6 mln) and for investment use (EUR 0.3 mln).
- “3.1-Sales” in the amount of about EUR 1.0 mln refers to the sale of some IAS 40-listed properties finalised in 2022;
- “3.3.1 Losses charged to the income statement - of which capital losses” in the amount of approximately EUR 34.3 mln, of which EUR 17.3 mln and EUR 17.0 mln respectively relate to real estate classified under IAS 16 and 40;
- “3.3.2 Losses charged to equity” equal to approximately EUR 33.1 mln refer entirely to write-downs made on properties classified under IAS 16 subject to a previous revaluation recognised in the OCI reserve;
- “3.5 Other decreases” equal to approximately EUR 29.1 mln refer for EUR 27.9 mln to the depreciation charge relating to properties classified as IAS 16 and for EUR 1.2 mln to properties classified as assets under disposal during the year.

A.4.5.3 Annual changes of liabilities measured at fair value on a recurring basis (level 3)

This table was not created as the Bank did not have liabilities measured at fair value on a recurring basis in level 3 of the fair value hierarchy in the current or previous financial year.

A.4.5.4 Assets and liabilities not measured at fair value or measured at fair value on a non-recurring basis: breakdown by fair value level

	31 12 2022					31 12 2021				
	Book value	Level 1	Level 2	Level 3	Total Fair value	Book value	Level 1	Level 2	Level 3	Total Fair value
1. Financial assets measured at amortised costs	89,007,549	6,621,149	19,155,051	61,088,710	86,864,910	111,382,878	6,936,658	41,050,902	67,089,609	115,077,169
3. Non-current assets held for sale and disposal groups	65,497	-	-	65,497	65,497	72,292	-	-	68,239	68,239
Total assets	89,073,046	6,621,149	19,155,051	61,154,207	86,930,407	111,455,170	6,936,658	41,050,902	67,157,848	115,145,408
1. Financial liabilities measured at amortised costs	102,822,301	4,257,885	98,277,004	-	102,534,889	117,613,228	9,750,707	107,900,859	-	117,651,566
Total liabilities	102,822,301	4,257,885	98,277,004	-	102,534,889	117,613,228	9,750,707	107,900,859	-	117,651,566

For details of the valuation criteria for assets and liabilities measured at fair value on a non-recurring basis, reference should be made to the information provided in the corresponding qualitative section.

In regard to assets under disposal, only the assets measured at fair value or at fair value less disposal costs were indicated.

A.5 Information on “day one profit/loss”

The Bank did not recognise “day one profits/losses” on financial instruments pursuant to B.5.1.2A of IFRS 9; therefore, no disclosure is provided pursuant to paragraph 28 of IFRS 7 and other related IAS/IFRS paragraphs.



Part B - Information on the balance sheet



ASSETS

Section 1 - Cash and cash equivalents - Item 10

1.1 Cash and cash equivalents: breakdown

	Total 31 12 2022	Total 31 12 2021
a) Cash	692,136	720,351
b) Demand deposits with central banks	9,916,376	10,601
c) Current accounts and demand deposits with banks	1,984,982	2,289,509
Total	12,593,494	3,020,461

The increase of approximately EUR 9.9 bn recorded in line b) Current accounts and sight deposits with Central Banks mainly refers almost entirely to the opening of two sight deposits with the ECB. This started in September 2022 following the monetary policy decision of 8 September 2022 in which the Governing Council of the ECB, in light of the above-zero increase in the central bank deposit rate, suspended the two-tier system for the remuneration of excess reserves.

The line “Current account and demand deposits with central banks” does not include the compulsory reserve, which is shown in item 40 “Financial assets measured at amortised cost”, under loans to banks.



Section 2 - Financial assets measured at fair value through profit or loss - Item 20

2.1 Financial assets held for trading: breakdown

Items	Total 31 12 2022				Total 31 12 2021			
	Level 1	Level 2	Level 3	Total	Level 1	Level 2	Level 3	Total
A. Balance-sheet assets								
1. Debt securities	-	17	-	17	-	12	-	12
1.1 Structured securities	-	-	-	-	-	-	-	-
1.2 Other debt securities	-	17	-	17	-	12	-	12
2. Equity instruments	40	2	-	42	86	146	-	232
3. Units of UCITS	2	-	-	2	2	4	-	6
4. Loans	-	-	-	-	-	-	-	-
4.1 Repurchase agreements	-	-	-	-	-	-	-	-
4.2 Others	-	-	-	-	-	-	-	-
Total (A)	42	19	-	61	88	162	-	250
B. Derivatives								
1. Financial derivatives:	-	593,982	-	593,982	0	608,052	-	608,052
1.1 held for trading	-	528,776	-	528,776	0	514,844	-	514,844
1.2 fair value option	-	65,206	-	65,206	-	93,208	-	93,208
1.3 Others	-	-	-	-	-	-	-	-
2. Credit derivatives:	-	3,597	-	3,597	-	3,507	-	3,507
2.1 held for trading	-	3,597	-	3,597	-	3,507	-	3,507
2.2 fair value option	-	-	-	-	-	-	-	-
2.3 Others	-	-	-	-	-	-	-	-
Total (B)	-	597,579	-	597,579	-	611,559	-	611,559
Total (A+B)	42	597,598	-	597,640	88	611,721	-	611,809

The criteria adopted for classification of financial instruments in the three levels of the “fair value hierarchy” are described in Section A.4, “Information on fair value” of Part A, “Accounting policies” of the Notes to the Financial Statements, which should therefore be referred to.

As a result of the provisions set out in IFRS 9 with regard to the derecognition of financial assets, line 1.2 “Cash assets - Other debt securities” also includes debt securities pledged in repurchase agreements and securities lending transactions carried out on proprietary securities posted to the trading book.

At the reporting date, the aggregate does not include the Bank senior, mezzanine and junior exposures with reference to own and third-party securitisations.

Derivatives connected with fair value option instruments are also classified as derivative instruments: these cover the risks of funding designated at fair value arising from possible interest rate fluctuations and from any embedded options in fixed-rate and structured bonds issued by the Bank (natural hedging). The positive fair value of these derivatives is shown in the table in line “B.1-1.2 – Fair value option”.

By convention, such derivatives are classified in the trading book. In terms of their representation in the income statement, they comply with rules similar to the rules applicable to hedging derivatives: positive and negative spreads or margins settled or accrued until the reporting date are recognised as interest income and expense, while valuation profits and losses are posted under item 80 of the income statement, “Net profit (loss) from trading”, contrary to funding instruments included in the fair value option, for which profit, loss, capital losses and capital gains fall under item 110 a) “Net profit (loss) from other financial assets and liabilities measured at fair value through profit or loss a) financial assets and liabilities measured at fair value” of the income statement.

**2.2 Financial assets held for trading: breakdown by debtor/issuer/counterparty**

Items/amount	Total 31 12 2022	Total 31 12 2021
A. Balance sheet assets		
1. Debt securities	17	12
a) Central banks	-	-
b) Public entities	1	1
c) Banks	-	-
d) Other financial companies	16	11
of which: insurance companies		
e) Non-financial companies		
2. Equity instruments	42	232
a) Banks	-	-
b) Other financial companies	2	1
of which: insurance companies	-	-
c) Non-financial companies	40	231
d) Other issuers:	-	-
3. Units of UCITS	2	6
4. Loans	-	-
Total (A)	61	250
B. Derivatives		
a) Central counterparties	-	-
b) Others	597,579	611,559
Total (B)	597,579	611,559
Total (A+B)	597,640	611,809

The breakdown by debtor/issuer was carried out in accordance with criteria of classification by economic activity group and sector laid down by the Bank of Italy.

2.3 Financial assets measured at fair value: breakdown**2.4 Financial assets measured at fair value: breakdown by debtor/issuer**

Tables 2.3 and 2.4 were not completed since the Bank has no financial assets measured at fair value to report for either the current or previous year.



2.5 Other financial assets measured at fair value as per mandatory requirements: breakdown

Items/amount	Total 31 12 2022				Total 31 12 2021			
	Level 1	Level 2	Level 3	Total	Level 1	Level 2	Level 3	Total
1. Debt securities	-	-	80,448	80,448	-	32,171	55,681	87,852
1.1 Structured securities	-	-	-	-	-	-	322	322
1.2 Other debt securities	-	-	80,448	80,448	-	32,171	55,359	87,530
2. Equity instruments	112	-	361	473	170	-	910	1,080
3. Units of UCITS	-	49,346	101,758	151,104	-	46,564	107,497	154,061
4. Loans	-	-	138,370	138,370	-	-	125,949	125,949
4.1 Repurchase agreements	-	-	-	-	-	-	-	-
4.2 Others	-	-	138,370	138,370	-	-	125,949	125,949
Total	112	49,346	320,937	370,395	170	78,735	290,037	368,942

Line 1.2 “Other debt securities” includes EUR 21.9 mln attributable to SFPs issued as part of compositions with creditors in which the Bank took part. This also includes EUR 58.5 mln of exposures attributable for EUR 27.1 mln (EUR 32.6 mln as at 31 December 2021) to the securitisation of a bad loan portfolio of the MPS Group, of which EUR 26.7 mln (EUR 32.2 mln as at 31 December 2021) for the mezzanine tranche and EUR 0.4 mln (EUR 0.4 mln as at 31 December 2021) for the junior tranche, and for EUR 31.4 mln (EUR 27.5 mln as at 31 December 2021) to the junior tranche of a securitisation of non-performing loans partly originated by other banks.

Line “2. Equity securities” at “level 3” showed a balance of EUR 0.5 mln as at 31 December 2022: the decrease from the previous financial year is mainly attributable to the closure of investments indirectly held in financial instruments through the FITD’s Voluntary Scheme, during the third quarter of 2022.

Line 3 “Units of UCITS” contains, in correspondence with level 3, UCITS units acquired in exchange for the sale of NPE loans for EUR 93.0 mln (EUR 97.1 mln as at 31 December 2021). Finally, at fair value level 3, there are shares in the Fondo Atlante for EUR 8.4 mln (EUR 10.0 mln as at 31 December 2021).

Line 4 “Loans” consists of financial assets that must be valued at fair value as a result of their failure to pass the SPPI test.

At the reporting date, there are no equity securities arising from the recovery of impaired financial assets.



2.6 Other financial assets measured at fair value as per mandatory requirements: breakdown by debtor/issuer

Items/amount	Total 31 12 2022	Total 31 12 2021
1. Equity instruments	473	1,080
<i>of which: banks</i>	-	-
<i>of which: other financial companies</i>	343	893
<i>of which: non-financial companies</i>	130	187
2. Debt securities	80,448	87,852
a) Central Banks	-	-
b) Public Entities	-	-
c) Banks	-	322
d) Other financial companies	58,570	60,166
<i>of which: insurance companies</i>	-	-
e) Non-financial companies	21,878	27,364
3. Units of UCITS	151,104	154,061
4. Loans	138,370	125,949
a) Central Banks	-	-
b) Public Entities	-	-
c) Banks	-	-
d) Other financial companies	-	63
<i>of which: insurance companies</i>	-	-
e) Non-financial companies	120,051	102,157
f) Families	18,319	23,728
Total	370,395	368,942

The main cumulative losses relating to equity securities of evidently poor credit quality referring to previous financial years are: RCR S.p.A. (EUR 9.5 mln), Compagnia Investimento e Sviluppo (EUR 3.8 mln), Newcolle S.r.l. (EUR 2.3 mln), Porto industriale Livorno (EUR 1.9 mln). During the course of the financial year, the Bank did not carry out additional write-downs of equity securities of clearly poor credit quality.

The breakdown by main category of UCITS is provided below.

Categories/Amounts	Total 31 12 2022	Total 31 12 2021
Hedge Funds	24	22
Private Equity	57,801	56,573
Real estate	273	269
Credit recovery funds	93,006	97,196
Total	151,104	154,060

For the disclosure on mutual funds acquired as part of the disposal of loans included in the previous table under “NPE loans”, please refer to the specific paragraph in Part E of these Notes to the Financial Statements (Subsection E “Transfers” point “C. Financial assets sold and fully derecognised”).



Section 3 - Financial assets measured at fair value through other comprehensive income - Item 30

3.1 Financial assets measured at fair value through other comprehensive income: breakdown

Items/Amounts	Total 31 12 2022				Total 31 12 2021			
	Level 1	Level 2	Level 3	Total	Level 1	Level 2	Level 3	Total
1. Debt securities	3,374,482	504,190	-	3,878,672	4,503,260	554,733	-	5,057,993
1.1 Structured securities	-	-	-	-	5,086	-	-	5,086
1.2 Other debt securities	3,374,482	504,190	-	3,878,672	4,498,174	554,733	-	5,052,907
2. Equity instruments	-	30,954	223,733	254,687	37	28,123	226,835	254,995
3. Loans	-	-	-	-	-	-	-	-
Total	3,374,482	535,144	223,733	4,133,359	4,503,297	582,856	226,835	5,312,988

As a result of the provisions set out in IFRS 9 for the derecognition of financial assets, line 1.2 also includes debt securities committed in repos (liabilities) and securities lending transactions carried out for own securities posted to financial assets measured at fair value through other comprehensive income.

The line “1.2 Other Debt Securities” totalling EUR 3,878.6 mln - of which EUR 894.7 mln (EUR 1,407.6 mln as of 31 December 2021) subject to specific fair value hedging entirely against interest rate risk - mainly includes Italian government bonds for approximately EUR 3,385.2 mln (EUR 4,494.0 mln as of 31 December 2021).

Line “2. Equity securities” (Level 3 column) includes EUR 187.5 mln for the investment in the share capital of Bank of Italy.

At the reporting date, the aggregate does not include the senior, mezzanine and junior exposures with reference to own and third-party securitisation transactions or equity securities arising from the recovery of impaired financial assets.



3.2 Financial assets measured at fair value through other comprehensive income: breakdown by debtor/issuer

Items/Amounts	Total 31 12 2022	Total 31 12 2021
1. Debt securities	3,878,672	5,057,993
a) Central banks	-	-
b) Public entities	3,409,534	4,520,213
c) Banks	427,465	489,197
d) Other financial companies	16,159	19,116
of which: Insurance companies	-	-
e) Non-financial companies	25,514	29,467
2. Equity instruments	254,687	254,995
a) Banks	201,110	200,696
b) Other issuers:	53,577	54,299
- other financial companies	42,160	43,035
of which: Insurance companies	-	-
- non-financial companies	11,404	11,264
- others	14	-
3. Loans	-	-
Total	4,133,359	5,312,988

The main cumulative losses relating to equity securities of evidently poor credit quality refer to the investee Restart S.r.l. and were fully recognised in previous financial years, for an amount of EUR 0.9 mln.



3.3 Financial assets measured at fair value through other comprehensive income: gross value and overall value adjustments

	Gross exposure					Overall value adjustments				
	Stage 1		Stage 2	Stage 3	Purchased or originated credit impaired financial assets				Purchased or originated credit impaired financial assets	Total Partial Write-off (*)
		<i>of which: low credit risk instruments</i>				Stage 1	Stage 2	Stage 3		
Debt securities	3,864,792	3,682,665	17,384	-	-	3,102	402	-	-	-
Loans	-	-	-	-	-	-	-	-	-	-
Total 31 12 2022	3,864,792	3,682,665	17,384	-	-	3,102	402	-	-	-
Total 31 12 2021	5,049,961	4,847,683	12,094	-	-	4,001	61	-	-	-

* Value to be presented for disclosure purposes

3.3.a Loans measured at fair value through other comprehensive income subject to COVID-19 support measures: gross value and overall value adjustments

The table is not completed as the Bank is not involved in this category of loans.



Section 4 - Financial assets measured at amortised cost - Item 40

4.1 Financial assets measured at amortised cost: breakdown of loans to banks

Type of transaction/Amount	Total 31 12 2022							
	Book value				Fair value			
	Stage 1 and Stage 2	Stage 3	purchased or originated credit impaired financial assets	Total	L1	L2	L3	Total
A. Loans to central banks	539,758	-	-	539,758	-	539,758	-	539,758
1. Time deposits	25,001	-	-	25,001	X	X	X	X
2. Compulsory reserve	514,757	-	-	514,757	X	X	X	X
3. Reverse repurchase agreements	-	-	-	-	X	X	X	X
4. Others	-	-	-	-	X	X	X	X
B. Loans to bank	17,541,258	-	-	17,541,258	2,688	17,453,018	-	17,455,706
1. Loans	16,436,576	-	-	16,436,576	-	16,435,242	-	16,435,242
1.1 Current accounts	-	-	-	-	X	X	X	X
1.2 Time deposits	10,071,777	-	-	10,071,777	X	X	X	X
1.3 Other loans	6,364,799	-	-	6,364,799	X	X	X	X
- Reverse repurchase agreements	5,031,129	-	-	5,031,129	X	X	X	X
- Finance leases	-	-	-	-	X	X	X	X
- Others	1,333,670	-	-	1,333,670	X	X	X	X
2. Debt securities	1,104,682	-	-	1,104,682	2,688	1,017,776	-	1,020,464
2.1 Structured securities	-	-	-	-	-	-	-	-
2.2 Other debt securities	1,104,682	-	-	1,104,682	2,688	1,017,776	-	1,020,464
Total	18,081,016	-	-	18,081,016	2,688	17,992,776	-	17,995,464

The line “Loans to Central banks 2. Compulsory reserve” includes the balance of the compulsory reserve which, at the end of the financial year, amounted to EUR 514.7 mln (EUR 675.6 mln as at 31 December 2021). It should be noted that, in accordance with regulations on average maintenance levels, the end-of-period balance of the compulsory reserve may be subject to changes, also substantial, in relation to the Bank’s contingent treasury requirements.

Sub-item “B. 1.3 Other loans – Other”, totalling EUR 1,333.6 mln, includes security deposits of approximately EUR 1,026.1 mln.

It should be noted that “B.1.2 Term deposits” and “B.2.2 Other debt securities” include, respectively, EUR 202.5 mln (EUR 255.0 mln as at 31 December 2021) and EUR 652.7 mln (EUR 713.0 mln as at 31 December 2021) of assets subject to fair value micro-hedging against interest rate risk.

At the reporting date, the aggregate does not include the Bank senior, mezzanine and junior exposures with reference to own and third-party securitisations.

Following the conclusion of the disposal of non-performing loans called “Fantino”, the Bank held no impaired assets (EUR 0.3 mln as at 31 December 2021).



Type of transaction/ Amount	Total 31 12 2021							
	Book value				Fair value			
	Stage 1 and Stage 2	Stage 3	purchased or originated credit impaired financial assets	Total	L1	L2	L3	Total
A. Loans to central banks	20,454,770	-	-	20,454,770	-	20,454,770	-	20,454,770
1. Time deposits	25,001	-	-	25,001	X	X	X	X
2. Compulsory reserve	20,429,769	-	-	20,429,769	X	X	X	X
3. Reverse repurchase agreements	-	-	-	-	X	X	X	X
4. Others	-	-	-	-	X	X	X	X
B. Loans to bank	19,201,602	303	-	19,201,905	4,046	19,051,089	303	19,055,437
1. Loans	17,984,745	303	-	17,985,048	-	17,984,648	303	17,984,951
1.1 Current accounts	-	-	-	-	X	X	X	X
1.2 Time deposits	10,023,172	-	-	10,023,172	X	X	X	X
1.3 Other loans	7,961,573	303	-	7,961,876	X	X	X	X
- Reverse repurchase agreements	5,708,408	-	-	5,708,408	X	X	X	X
- Finance leases	-	-	-	-	X	X	X	X
- Others	2,253,165	303	-	2,253,468	X	X	X	X
2. Debt securities	1,216,857	-	-	1,216,857	4,046	1,066,440	-	1,070,486
2.1 Structured securities	-	-	-	-	-	-	-	-
2.2 Other debt securities	1,216,857	-	-	1,216,857	4,046	1,066,440	-	1,070,486
Total	39,656,372	303	-	39,656,675	4,046	39,505,859	303	39,510,207



4.2 Financial assets measured at amortised cost: breakdown of loans to customers

Type of transaction/ Amount	Total 31 12 2022							
	Book value				Fair value			
	Stage 1 and Stage 2	Stage 3	Purchased or originated credit impaired financial assets	Total	L1	L2	L3	Total
1. Loans	60,926,208	1,282,352	1,859	62,210,419	-	-	61,088,710	61,088,710
1.1. Current accounts	2,837,306	83,352	252	2,920,910	X	X	X	X
1.2. Reverse repurchase agreements	-	-	-	-	X	X	X	X
1.3. Mortgage loans	49,120,313	1,056,308	1,333	50,177,954	X	X	X	X
1.4. Credit cards, personal loans and fifth-of-salary backed loans	763,229	5,584	-	768,813	X	X	X	X
1.5. Finance leases	-	-	-	-	X	X	X	X
1.6. Factoring	-	-	-	-	X	X	X	X
1.7. Other transactions	8,205,360	137,108	274	8,342,742	X	X	X	X
- of which operating receivables	7,901	-	-	7,901	-	-	-	-
2. Debt securities	8,716,114	-	-	8,716,114	6,618,460	1,162,276	-	7,780,736
2.1. Structured securities	-	-	-	-	-	-	-	-
2.2. Other debt securities	8,716,114	-	-	8,716,114	6,618,460	1,162,276	-	7,780,736
Total	69,642,322	1,282,352	1,859	70,926,533	6,618,460	1,162,276	61,088,710	68,869,446

“Loans to customers” also includes operating receivables for EUR 7.9 mln (EUR 20.6 mln as at 31 December 2021) - other than those connected with the payment for the supply of non-financial goods and services, posted to Asset item 150 “Other assets”, subject to the provisions pursuant to IFRS 9, paragraph 5.5.15 a) i). The reduction is attributable for EUR 9.4 mln to the collection during the year of the receivable relating to the sale of the property portfolio to Ardian carried out in 2020.

The item also includes loans to Monte Paschi Fiduciaria for EUR 0.37 mln, for which, pursuant to IFRS 15.116, the certainty of the revenue may be considered as consolidated only following actual collection by the subsidiary from its customers.

The column Purchased or originated credit impaired for EUR 1.8 mln (EUR 10.2 mln as at 31 December 2021) is almost entirely made up of assets originating from restructuring agreements on non-performing positions. The decrease of EUR 8.4 mln is mainly attributable to the disposal of non-performing loans called “Fantino”. There were no business combinations carried out during the financial year for which impaired loans were acquired.

Line “2.2 Other debt securities” equal to EUR 8,716.4 mln mainly includes Italian government bonds for EUR 6,287.1 mln. EUR 989.0 mln (EUR 1,245.1 mln as at 31 December 2021) of the senior note notes pertaining to the securitisation transaction of the Bank’s bad loan portfolio, finalised in the first half of 2018, and EUR 2.5 mln of the senior notes pertaining to a third-party securitisation transaction (EUR 16.2 mln at 31 December 2021). The line also includes bonds not listed in active markets issued mainly by local government bodies, e.g. municipal bonds (it.: *Buoni Ordinari Comunali*, BOC). Lastly, this includes EUR 3,541.9 mln (EUR 3,269.2 mln as at 31 December 2021) of securities subject to fair value micro-hedging for interest rate risk.

“Loans to customers” include loans disbursed with funds made available by the Government or by other public institutions, with the Bank adopting partial or total risk. These funds are managed under the agreements signed by the Bank with *Cassa Depositi e Prestiti* (hereinafter CDP), in direct cooperation with ABI, and with regional financial institutions. In particular, the Bank has subscribed to the agreements specifically structured by ABI and CDP for the support of the business sector, for the support of individuals and in favour of the local economy in the case of natural disasters. Except for the latter agreement, whose subsidised loans are backed by State guarantee, the loans disbursed by the Bank are characterised by conditions released from the CDP funding, subject to independent negotiation between the parties, and are mandatorily assigned as collateral to CDP.

Conversely, with regard to management of resources made available by specific Regional Laws, the Group’s operations refer to specific agreements stipulated by the Bank with the regional financial institutions, such as *Veneto Sviluppo*, *Finlombarda*, *Fimpiemonte* and *Puglia Sviluppo*, or other regional fund managers, or alternative instruments such as the so-called “Rotation Funds”, also established through regional laws. The resources are allocated to encourage and support companies operating in certain areas and in specific economic sectors. These loans are generally disbursed with part of the funding made available with public funds and part with the Bank’s own resources (co-financing). The funding with public funds varies according to the initiative to be



financed: the percentage is defined by specific Regional Laws or Resolutions and, as a rule, the public funds must be integrated with the Bank's own resources to ensure the total coverage of the expenditure.

Type of transaction/Amount	Total 31 12 2021							
	Book value				Fair value			
	Stage 1 and Stage 2	Stage 3	purchased or originated credit impaired financial assets	Total	L1	L2	L3	Total
1. Loans	61,701,080	1,601,066	10,288	63,312,434	-	-	67,089,306	67,089,306
1.1. Current accounts	2,720,246	124,708	13	2,844,967	X	X	X	X
1.2. Reverse repurchase agreements	-	-	-	-	X	X	X	X
1.3. Mortgage loans	50,742,519	1,264,642	1,654	52,008,815	X	X	X	X
1.4. Credit cards, personal loans and fifth-of-salary backed loans	543,847	5,934	-	549,781	X	X	X	X
1.5. Finance leases	-	-	-	-	X	X	X	X
1.6. Factoring	-	-	-	-	X	X	X	X
1.7. Other transactions	7,694,468	205,782	8,621	7,908,871	X	X	X	X
- of which operating receivables	20,598	-	-	20,598	-	-	-	-
2. Debt securities	8,413,770	-	-	8,413,770	6,932,611	1,545,043	-	8,477,654
2.1. Structured securities	-	-	-	-	-	-	-	-
2.2. Other debt securities	8,413,770	-	-	8,413,770	6,932,611	1,545,043	-	8,477,654
Total	70,114,850	1,601,066	10,288	71,726,204	6,932,611	1,545,043	67,089,306	75,566,960



4.3 Financial assets measured at amortised cost: breakdown by debtor/issuer of loans to customers

Type of transaction/ Amount	Total 31 12 2022			Total 31 12 2021		
	Stage 1 and Stage 2	Stage 3	Purchased or originated credit impaired	Stage 1 and Stage 2	Stage 3	Purchased or originated credit impaired
1. Debt securities	8,716,114	-	-	8,413,769	-	-
a) Public entities	7,501,108	-	-	6,919,758	-	-
b) Other financial companies	1,107,644	-	-	1,386,370	-	-
<i>of which: insurance companies</i>	62,451	-	-	62,424	-	-
c) Non-financial companies	107,362	-	-	107,641	-	-
2. Loans to:	60,926,207	1,282,352	1,859	61,701,081	1,601,067	10,288
a) Public Entities	1,545,540	30,534	-	1,596,941	37,790	-
b) Other financial companies	1,694,506	11,235	-	1,357,445	14,745	-
<i>of which: insurance companies</i>	53	-	-	41	-	-
c) Non-financial companies	24,165,659	674,831	1,680	25,268,558	845,134	9,408
d) Families	33,520,502	565,753	179	33,478,137	703,397	880
Total	69,642,321	1,282,352	1,859	70,114,850	1,601,067	10,288

4.4 Financial assets measured at amortised cost: gross value and overall value adjustments

Type of transactions/Amount	Gross exposure					value adjustments				Total Partial Write-off (**)
	Stage 1		Stage 2	Stage 3	Purchased or originated credit impaired	Stage 1	Stage 2	Stage 3	Purchased or originated credit impaired	
		Of which: low credit risk instruments								
Debt securities	9,829,485	9,135,674	-	-	-	8,689	-	-	-	-
Loans	68,990,382	-	9,264,626	2,237,087	2,683	69,002	283,465	954,735	823	20,243
Total 31 12 2022	78,819,867	9,135,674	9,264,626	2,237,087	2,683	77,691	283,465	954,735	823	20,243
Total 31 12 2021	100,149,310	9,000,989	9,977,111	2,883,606	19,029	70,878	284,321	1,282,237	8,741	27,852

** Value to be presented for disclosure purposes

For financial assets included in the stage 3 column and for purchased or originated credit impaired financial assets, the gross value corresponds to the book value gross of the relative overall value adjustments, which are equal to the difference between the expected recovery value and the gross book value. For impaired financial assets purchased, the gross value corresponds to the purchase price and the adjustments correspond to the difference between the expected recovery value and the gross book value.



4.4a Loans measured at amortised cost object of COVID-19 support measures: gross exposure and overall value adjustments

	Gross exposure				Value adjustments				Purchased or originated credit impaired financial assets	Partial Write-off (*)
	Stage 1	of which: low credit risk instruments	Stage 2	Stage 3	Purchased or originated credit impaired financial assets	Stage 1	Stage 2	Stage 3		
1. EBA-compliant moratoria (legislative and non-legislative)	-	-	-	-	-	-	-	-	-	-
2. Loans subject to existing moratorium measures no longer compliant with GLs and not assessed as being subject to forbearance measures	693	-	33	1	-	1	3	-	-	-
3. Loans subject to other forbearance measures	2,674	-	16,226	16,951	-	9	981	7,231	-	7,032
4. Newly Originated Loans	6,780,135	-	2,300,568	288,373	-	4,979	34,928	58,931	-	249
Total 31 12 2022	6,783,502	-	2,316,827	305,325	-	4,989	35,912	66,162	-	7,281
Total 31 12 2021	8,312,173	-	3,144,792	378,188	137	7,475	59,560	88,203	9	376

* Value to be presented for disclosure purposes

The table shows, in line with the Bank of Italy communication of 21 December 2021, the loans disbursed, subject to moratoria or other forbearance measures in place at the reporting date, or which constitute new liquidity granted with the support of public guarantees.

The total of moratoria in place as at 31 December 2022, equal to the sum of lines 1, 2 and 3 of the table, amounted to a total of EUR 36.5 mln (EUR 1,873.5 mln as at 31 December 2021). The net reduction is attributable to the gradual natural expiry of the existing moratoria, taking into account that i) Sostegni Bis Decree had extended the support measures to 31 December 2021 and ii) the Bank has identified the 30 June 2022 as the deadline for granting additional moratorium measures falling within the scope of the measures granted to support households and businesses for COVID-19.

In terms of classification, it should be noted that, following the i) reinstatement of fully ordinary lending processes with one-to-one valuations that had begun during 2021 with the phase-out of the EBA Guidelines and ii) the end of the state of emergency, the moratoria outstanding as at 31 December 2022 are almost entirely classified under category “3- Financing subject to other concessionary measures”.

“Newly originated loans” outstanding as at 31 December 2022 totalled approximately EUR 9,369.1 mln (EUR 9,961.8 mln as at 31 December 2021) in terms of gross value; almost all of them were classified as performing loans, and 25% were in the second risk stage pursuant to IFRS 9.



Section 5 - Hedging derivatives - Item 50

5.1 Hedging derivatives: breakdown by type of hedge and level

	Fair value 31 12 2022				Net value Total 31 12 2022
	Level 1	Level 2	Level 3	Total	
A. Financial derivatives	-	996,144	-	996,144	21,971,269
1) Fair value	-	996,144	-	996,144	21,971,269
2) Cash flows	-	-	-	-	-
3) Foreign investments	-	-	-	-	-
B. Credit derivatives	-	-	-	-	-
1) Fair value	-	-	-	-	-
2) Cash flows	-	-	-	-	-
Total	-	996,144	-	996,144	21,971,269

Key

NV = Notional or Nominal Value

The table shows the positive book value (fair value) of hedging derivatives for hedges carried out through hedge accounting.

Information on the underlying strategies and objectives of hedge transactions can be found in the Section “Market risks” of Part E - “Information on Risks and hedging policies”.

	Fair value 31 12 2022				Net value Total 31 12 2021
	Level 1	Level 2	Level 3	Total	
A. Financial derivatives	-	4,822	-	4,822	950,464
1) Fair value	-	4,822	-	4,822	950,464
2) Cash flows	-	-	-	-	-
3) Foreign investments	-	-	-	-	-
B. Credit derivatives	-	-	-	-	-
1) Fair value	-	-	-	-	-
2) Cash flows	-	-	-	-	-
Total	-	4,822	-	4,822	950,464

Key

NV = Notional or Nominal Value



5.2 Hedging derivatives: breakdown by hedged portfolios and type of hedging

Transaction/Type of hedge	Fair Value						Cash flow			Foreign investments	Total 31 12 2022
	Micro-hedge						Macro hedge	Micro hedge	Macro hedge		
	debt securities and interest rate	equity instruments and stock indices	currencies and gold	Credit	Commodities	Others					
1. Financial assets measured at fair value through other comprehensive income	71,107	-	-	-	X	X	X	-	X	X	71,107
2. Financial assets measured at amortised cost	357,170	X	-	-	X	X	X	-	X	X	357,170
4. Portfolio	X	X	X	X	X	X	567,232	X	-	X	567,232
5. Other transactions	-	-	-	-	-	-	X	-	X	-	-
Total assets	428,277	-	-	-	-	-	567,232	-	-	-	995,509
1. Financial liabilities	-	X	-	-	-	-	X	-	X	X	-
2. Portfolio	X	X	X	X	-	X	635	X	-	X	635
Total liabilities	-	-	-	-	-	-	635	-	-	-	635
1. Expected transactions	X	X	X	X	X	X	X	-	X	X	-
2. Financial assets and liabilities portfolio	X	X	X	X	X	X	-	X	-	-	-
Total	428,277	-	-	-	-	-	567,867	-	-	-	996,144

The table shows the positive fair values of hedging derivatives, classified by hedged assets or liabilities and type of hedging implemented.

In particular, for financial assets, fair value micro-hedging was used to hedge against interest rate risk on bonds classified in the portfolio "Financial assets measured at fair value through other comprehensive income", in order to protect the portfolio from unfavourable interest rate changes; fair value macro-hedging of the interest rate risk refers to hedges of optional components implicit in a floating-rate mortgage loans portfolio.

More information on hedged assets and liabilities can be found in the tables contained in Part B of the notes to the financial statements for each section of the balance sheet items to which the hedged items are posted.



Section 6 - Change in value of macro-hedged financial assets - Item 60

6.1 Change in value of hedged assets: breakdown by hedged portfolios

Changes in value of hedged assets / Group components	Total 31 12 2022	Total 31 12 2021
1. Positive changes	-	577,405
1.1 of specific portfolios:	-	577,405
a) loans and receivables	-	577,405
b) financial assets measured at fair value through other comprehensive income	-	-
1.2 overall	-	-
2. Negative changes	820,758	-
2.1 of specific portfolios:	820,758	-
a) loans and receivables	820,758	-
b) financial assets measured at fair value through other comprehensive income	-	-
2.2 overall	-	-
Total	(820,758)	577,405

The value adjustment mainly concerns mortgage loan portfolios with fixed rates and floating rates with cap/floor, hedged (fair value macro-hedge) with derivative contracts to mitigate the risk of fluctuations in value due to changes in interest rates. As this is a macro-hedge, any gain or loss on the hedged item attributable to the risk hedged may not directly adjust the value of said item (unlike in micro-hedging), but must be presented in this separate line item of the assets. The amounts in this item must be removed from the balance sheet when the relevant assets or liabilities are derecognised.

The negative value adjustment generically hedged is due to the sharp rise in market rates during the financial year which resulted in a decrease in the fair value of the hedged loan portfolio against an increase in the value of the related hedging derivatives.

The fair value of the corresponding hedging derivatives is shown respectively in Table 5.2 (assets) or Table 4.2 (liabilities), both entitled "Hedging derivatives: breakdown by hedged portfolio and type of hedging", in the "Macro-hedging" column.

The assets subject to macro hedging of interest risk refer to fixed and cap / floor floating rate mortgage loan portfolios included in item 40 "Financial assets measured at amortised cost - Loans to customers", amounted to EUR 9,856.7 mln as at 31 December 2022 (EUR 12,192.8 mln as at 31 December 2021). The sum of this amount and the one shown in the table expresses the book value of these receivables, adjusted for profit or loss attributable to the risk hedged.



Section 7 – Equity investments – Item 70

7.1 Equity investments: information on shareholding

Company Name	Headquarters	Registered Office	Share holding %	Available votes %
A. Subsidiaries				
Aiace Reoco s.r.l.	Siena	Siena	100,000	
Cirene Finance S.r.l.	Conegliano	Conegliano	60,000	
G.Imm.Astor s.r.l.	Lecce	Lecce	52,000	
Magazzini Generali Fiduciari di Mantova S.p.a.	Mantua	Mantua	100,000	
Monte dei Paschi di Siena Leasing & Factoring Banca per i servizi finanziari alle imprese S.p.a	Siena	Siena	100,000	
Monte paschi banque S.A.	Paris	Paris	100,000	
Monte paschi fiduciaria S.p.a.	Siena	Siena	100,000	
Mps Capital Services Banca per le imprese S.p.a.	Florence	Florence	100,000	
Mps covered bond 2 S.r.l.	Conegliano	Conegliano	90,000	
Mps covered bond S.r.l.	Conegliano	Conegliano	90,000	
Mps Tenimenti Poggio Bonelli e Chigi Saracini soc. agricola S.p.a.	Castelnuovo Berardenga	Castelnuovo Berardenga	100,000	
Siena lease 2016 2 S.r.l.	Conegliano	Conegliano	10,000	
Siena mortgages 07 5 S.p.a.	Conegliano	Conegliano	7,000	
Siena mortgages 09 6 S.r.l.	Conegliano	Conegliano	7,000	
Siena mortgages 10 7 S.r.l.	Conegliano	Conegliano	7,000	
Siena PMI 2016 S.r.l.	Conegliano	Conegliano	10,000	
Wise Dialog Bank S.p.a. in breve WIDIBA	Milan	Milan	100,000	
B. Companies under joint control				
Immobiliare Novoli S.p.a.	Florence	Florence	50,000	

Company Name	Headquarters	Registered Office	Share holding %	Available votes %
C. Companies under significant influence				
Axa Mps Assicurazioni danni S.p.a.	Rome	Rome	50,000	
Axa Mps Assicurazioni vita S.p.a.	Rome	Rome	50,000	
Fidi Toscana S.p.a.	Florence	Florence	27,460	
Fondo Etrusco Distribuzione	Rome	Rome	48,000	
Fondo Minibond PMI Italia*	Conegliano	Conegliano	61,940	
Fondo Socrate	Rome	Rome	23,000	
Microcredito di Solidarieta' S.p.a.	Siena	Siena	40,000	
S.i.t. Sviluppo imprese e territorio S.p.a.	Rome	Rome	19,969	

* The investment does not constitute a control relationship as the Bank does not have the power to direct the relevant activities

Equity investments in subsidiary companies, jointly controlled companies and companies under significant influence are valued at cost. The classification criteria of the equity investments in subsidiary companies, jointly controlled companies and companies under significant influence are illustrated in Part A “Accounting policies” of these Notes to the Financial Statements. For further details on changes, see comments to the subsequent table “7.5 - Equity investments: annual changes”.



7.2 Significant equity investments: book value, fair value and dividends earned

7.3 Significant equity investments: accounting information

7.4 Non-significant equity investments: accounting information

The information referred to in the above items is not provided in that the Bank also prepares the consolidated financial statements.

7.5 Equity investments: annual changes

	Total 31 12 2022	Total 31 12 2021
A. Opening balance	2,494,336	2,507,653
B. Increases	326	69
B.1 Purchases	326	-
B.2 Write-backs	-	-
B.3 Revaluations	-	-
B.4 Other increases	-	69
C. Decreases	133,144	13,386
C.1 Sales	-	991
C.2 value adjustment	54	3,889
C.3 Depreciation	-	-
C.4 Other decreases	133,090	8,506
D. Closing balance	2,361,518	2,494,336
E. Total revaluation	-	-
F. Total write-downs	2,851,492	2,862,266

Below are the main changes in the item "Equity investments" in the financial year ended 31 December 2022.

In line B.1 "Purchases", the amount of EUR 0.3 mln refers to the purchase of the residual shares of Consorzio Operativo Gruppo Montepaschi S.C.p.A, in preparation for the finalisation of the merger by incorporation into the Bank.

In line with the provisions of the accounting standards, the impairment test on equity investments showed value adjustments totalling EUR 0.01 mln, indicated in line C.2 "Value adjustments", referring entirely to the subsidiary Aiace Reoco S.r.l in liquidazione.

The amount of EUR 133.1 mln recognised in line C4 "Other changes" refers for EUR 130.2 mln to the cancellation of the equity investment held in Consorzio Operativo Gruppo MPS S.p.A. following the completion of the merger by incorporation of the subsidiary in the Bank. The same line also shows EUR 1.7 mln and EUR 0.5 mln respectively, related to the partial redemption of units of the Fondo Minibond PMI Italia and Fondo Socrate.



7.6 Covenants on equity investments in jointly controlled companies

For information on this paragraph, please refer to the same section of the Notes to the Consolidated Financial Statements.

7.7 Covenants on equity investments in companies under significant influence

For information on this paragraph, please refer to the same section of the Notes to the Consolidated Financial Statements.

7.8 Significant restrictions

For information on this paragraph, please refer to the same section of the Notes to the Consolidated Financial Statements.

7.9 Other information

For information on this paragraph, please refer to the same section of the Notes to the Consolidated Financial Statements.

Impairment tests on equity investments

As required by IAS/IFRS, impairment tests were carried out on equity investments to verify whether there is objective evidence of impairment that might make the book value of these assets not entirely recoverable. For equity investments in associates or jointly controlled entities, the process to recognise impairment involves verifying the presence of impairment indicators and calculating the necessary write-down. For further details please refer to Part A of these Notes to the Financial Statements, paragraph "Use of estimates and assumptions - Methods for calculating impairment of equity investments". As these indicators appeared to be activated, the recoverable value was calculated using two distinct approaches:

- companies without positive income or without a multi-year forecast plan: in this case, a valuation method based on the company's equity as at 31 December 2022 was used;
- companies with positive income and/or a multi-year forecast plan: the valuation method used was based on the discounting of the dividend flows that may be distributed by the investee company (DDM).

The valuation of the subsidiary Widiba is provided indirectly as part of the impairment test of the single Cash Generating Units (IAS 36) identified at consolidated level as part of the goodwill impairment test, to which reference should be made for more details, the 2022-2026 projections underlying the Group Business Plan, approved by the Board of Directors on 22 June 2022, were used to estimate expected future results, with an update of the final 2022 figures.

On the other hand, with reference to the valuation of the subsidiaries MPS Capital Services and MPS Leasing & Factoring, it should be noted that, in the absence of specific income projections underlying the Group Business Plan, as the Plan itself envisages their merger by incorporation into the Parent Company, the estimate of taxable income for future financial years included the final data for 2022 and the multi-year projections for the years from 2023 already used for valuation purposes in the 2021 Financial Statements.

Analyses showed the need to make a value adjustment on only the subsidiary Aiace Reoco s.r.l. and Enea Reoco s.r.l. in the amount of EUR 0.01 mln. Last year, valuations had led to value adjustments for the following subsidiaries: Aiace Reoco s.r.l. in liquidazione (EUR 0.5 mln) and Enea Reoco s.r.l. in liquidazione. (EUR 0.3 mln).



Section 8 - Property, plant and equipment - Item 80

8.1 Property, plant and equipment used in the business: breakdown of assets measured at cost

Asset/Amount	Total	
	31 12 2022	31 12 2021
1. Assets owned	210,963	199,317
a) land	-	-
b) buildings	-	-
c) furniture and furnishings	132,397	136,022
d) electronic systems	50,346	32,755
e) other	28,220	30,540
2. Right of use acquiring through leasing	179,617	187,323
a) land	-	-
b) buildings	173,949	184,204
c) furniture and furnishings	-	-
d) electronic systems	3,631	-
e) other	2,037	3,119
Total	390,580	386,640

All the Bank's property, plant and equipment are measured at cost, with the exception of land and buildings, for which the Bank has applied the restated value method since 31 March 2021.

Item 1 "Assets owned –c) furnishings" includes artworks whose value amounts to EUR 119.3 mln.

The increase recorded in item 1 "Own assets - d) electronic systems" of approximately EUR 17 mln refers mainly to the merger of Consorzio Operativo Gruppo MPS S.p.A.

The rights of use acquired through leasing are almost entirely attributable to leasing contracts for buildings used as branches and spaces to house ATMs or internal offices, while those on electronic equipment refer to rental contracts for electronic equipment such as mobile telephones and hardware machines, the latter acquired with the incorporation of Consorzio Operativo Gruppo MPS S.p.A.

As at the reporting date of these Financial Statements, as well as in the comparison financial year, there are no tangible assets acquired through the enforcement of guarantees.



8.2 Property, plant and equipment held for investment purposes: breakdown of assets measured at cost

There were no assets measured at cost.

8.3 Property, plant and equipment used in the business: breakdown of revalued assets

Asset/Amount	Total 31 12 2022				Total 31 12 2021			
	Level 1	Level 2	Level 3	Total	Level 1	Level 2	Level 3	Total
1. Assets owned	-	-	1,558,494	1,558,494	-	-	1,671,243	1,671,243
a) land	-	-	923,918	923,918	-	-	1,018,511	1,018,511
b) buildings	-	-	634,576	634,576	-	-	652,732	652,732
2. Right of use acquiring through leasing	-	-	-	-	-	-	-	-
Total	-	-	1,558,494	1,558,494	-	-	1,671,243	1,671,243

Land and buildings classified as tangible assets for functional use are valued according to the restated value criterion, for valuation subsequent to initial recognition, starting from 31 March 2021; the line "land" expresses the value of land separately from the value of buildings.

As at 31 December 2022, the Bank has granted operating leases of owned assets for business use totalling EUR 33.1 mln, entirely in the categories a) land and b) buildings. For more information on the Group's lease assets, see Part M of these Notes to the Financial Statements.

There were no tangible assets obtained by means of financial leases or through the enforcement of guarantees at the reporting date of these Financial Statements or for the financial year of comparison.

8.4 Property, plant and equipment held for investment purposes: breakdown of assets measured at fair value

Asset/Amount	Total 31 12 2022				Total 31 12 2021			
	Level 1	Level 2	Livello 3	Total	Level 2	Livello 2	Level 3	Total
1. Assets owned	-	-	259,950	259,950	-	-	224,782	224,782
a) land	-	-	128,017	128,017	-	-	112,152	112,152
b) buildings	-	-	131,933	131,933	-	-	112,630	112,630
2. Right of use acquiring through leasing	-	-	-	-	-	-	-	-
Total	-	-	259,950	259,950	-	-	224,782	224,782
<i>of which: obtained through the enforcement of the guarantees received</i>	-	-	-	-	-	-	-	-

Assets measured at fair value consist of owned real estate not used for business operations. In this regard, it should be noted that the Bank does not hold investment assets represented by rights of use acquired through leases.

As at 31 December 2022, the Bank has granted operating leases on owned investment property totalling EUR 65.2 mln, entirely attributable to the categories a) land and b) buildings. For more information on the Group's leasing assets, see Part M of these Notes to these Financial Statements.

The criteria for classification of a tangible asset as an investment property pursuant to IAS 40 are described in the accounting policies, to which reference is made. The disclosure required by IAS 40 paragraph 75 letter c) is not provided, as the classification is not difficult.

As at the reporting date of these financial statements and for the comparison financial year, there was no property, plant and equipment under finance lease, obtained through enforcement of guarantees and the cases to which paragraph 75, letters g) and h) of IAS 40 apply.



8.5 Inventories of property, plant and equipment governed by IAS 2: breakdown

Assets/amount	Total	
	31 12 2022	31 12 2021
1. Inventories of property, plant and equipment obtained through enforcement of the guarantees	-	-
a) Land	-	-
b) Buildings	-	-
c) Furniture and furnishings	-	-
d) Electronic systems	-	-
e) Others	-	-
2. Other inventories of property, plant and equipment	25,018	26,231
Total	25,018	26,231

“Other inventories of property, plant and equipment” refer to properties of former subsidiary MPS Immobiliare S.p.A., merged by incorporation in 2014.



8.6 Property, plant and equipment used in the business: annual changes

	Land	Building	Furniture and furnishings	Electronic systems	Others	Total 31 12 2022
A. Gross opening balance	1,051,070	1,376,463	499,784	608,543	463,760	3,999,620
A.1 Total net decrease	32,559	539,528	363,761	575,789	430,101	1,941,738
A.2 Net opening balance	1,018,511	836,935	136,023	32,754	33,659	2,057,882
B. Increases	16,727	96,807	1,194	47,056	9,171	170,955
B.1 Purchases	-	8,239	1,138	9,566	2,568	21,511
B.2 Capitalized expenditure on improvements	-	6,639	-	-	-	6,639
B.3 Write-backs	-	-	-	-	-	-
B.4 Increases in fair value booked to:	15,188	10,279	-	-	-	25,467
<i>a) shareholders' equity</i>	11,965	7,226	-	-	-	19,191
<i>b) profit and loss</i>	3,223	3,053	-	-	-	6,276
B.5 Exchange gains	-	-	1	16	3	20
B.6 Transfers from properties held for investment	1,539	2,966	-	-	-	4,505
B.7 Other increases	-	68,684	55	37,474	6,600	112,813
C. Decreases	111,321	125,217	4,818	25,834	12,573	279,763
C.1 Sales	-	-	2	735	9	746
C.2 Depreciation	-	66,220	4,650	24,869	12,564	108,303
C.3 Impairment losses booked to:	-	478	-	-	-	478
<i>a) shareholders' equity</i>	-	-	-	-	-	-
<i>b) profit and loss</i>	-	478	-	-	-	478
C.4 Decreases in fair value booked to:	32,582	33,173	-	-	-	65,755
<i>a) shareholders' equity</i>	25,600	22,862	-	-	-	48,462
<i>b) profit and loss</i>	6,982	10,311	-	-	-	17,293
C.5 Exchange losses	-	-	-	-	-	-
C.6 Transfer to:	30,823	24,481	-	-	-	55,304
<i>a) tangible asset held for investment</i>	30,823	24,481	-	-	-	55,304
<i>b) Non-current assets and groups of assets held for sale and disposal groups</i>	-	-	-	-	-	-
C.7 Other decreases	47,916	865	166	230	-	49,177
D. Net closing balance	923,917	808,525	132,399	53,976	30,257	1,949,074
D.1 Total net decreases	32,559	606,903	370,427	775,565	471,601	2,257,055
D.2 Gross closing balance	956,476	1,415,428	502,826	829,541	501,858	4,206,129
E. Carried at cost	567,122	818,515	-	-	-	-

The furniture, electronic systems and property, plant and equipment included in the "Other" column are valued at cost.

On the other hand, owned land and buildings are valued according to the restated value method, for valuation after initial recognition at cost.

Line B.7 "Other changes" in the column "Electronic Systems" for EUR 37.2 mln and the column "Other" for EUR 4.6 mln includes the assets acquired by the Bank following the merger by incorporation of Consorzio Operativo Gruppo MPS S.p.A. with an accounting effective date of 1 January 2022.

Line B.4 "Positive changes in fair value" shows total changes of EUR 25.5 mln, of which EUR 6.3 mln charged to the Income Statement as write-backs resulting from previous impairment losses and EUR 19.2 mln to valuation reserves. Line C.4 "Negative changes in fair value" shows total changes of EUR 65.8 mln, of which EUR 17.3 mln was charged to the Income Statement and EUR 48.5 mln to the pre-existing valuation reserves. These changes result from the update of the value of real estate



attributable to IAS 16 properties carried out as at 30 June 2022 and 31 December 2022. For details of the valuation methodologies, see paragraph “Fair value levels 2 and 3: measurement techniques and inputs used” in Part A of these Notes to the Financial Statements.

The “Other changes” shown in lines B.7 and C.7 include the transfers of value between the “building” component and that of the “land” of the same property, in relation to the fact that the unit of measurement considered in order to determine the valuation effects, to be recognised in shareholders’ equity or in the income statement based on the sign, is the individual property. In this regard, it must, in fact, be specified that the opening of the single property between the two components (“land” and “building”) is relevant for the purpose of calculating depreciation, depending on the different deterioration that characterises them; the aforementioned opening, on the other hand, is not relevant for the purpose of a separate determination of the valuation effects, taking into account that the two components of the same property cannot be sold separately.

Line C.6 letter a) “Transfers to tangible assets held for investment purposes” mainly refers to the properties owned by the Bank that were reclassified following the change of use of the prevailing portion of the property.

Line E. - “Carried at cost” was given a value for land and buildings for business use; as per the Bank of Italy’s instructions, it only needs to be completed for assets measured at fair value.

8.6 a Property, plant and equipment used in the business - rights of use acquired: annual changes

	Land	Building	Furniture and furnishings	Electronic systems	Others	Total 31 12 2022
A. Gross opening balance	-	309,825	-	-	6,140	315,965
A.1 Net opening balance	-	184,204	-	-	3,119	187,323
A.1 Total net decrease	-	125,621	-	-	3,021	128,642
B. Increases	-	28,846	-	8,777	160	37,783
B.1 Purchases	-	8,239	-	3,631	77	11,947
B.2 Capitalized expenditure on improvements	-	-	-	-	-	-
B.6 Transfers from properties held for investment	-	-	-	-	-	-
B.7 Other increases	-	20,607	-	5,146	83	25,836
C. Decreases	-	39,101	-	5,146	1,242	45,489
C.1 Sales	-	-	-	-	-	-
C.2 Depreciation	-	38,290	-	5,146	1,242	44,678
C.3 Impairment losses booked to:	-	478	-	-	-	478
a) shareholders’ equity	-	-	-	-	-	-
b) profit and loss	-	478	-	-	-	478
D.1 Total net decreases	-	333	-	-	-	333
D. Net closing balance	-	173,949	-	3,631	2,037	179,617
D.2 Gross closing balance	-	164,533	-	15,392	4,260	184,185
D.2 Gross closing balance	-	338,482	-	19,023	6,297	363,802
E. Carried at cost	-	-	-	-	-	-

The outcome of the impairment test carried out as at 31 December 2022 on the rights of use on properties led to the recognition of an impairment loss equal to EUR 0.5 mln recognised in income statement item 210 “Net impairment losses/reversals on property, plant and equipment” and included in the aforementioned table in line “C.3 Impairment losses charged to the income statement”.

Line B.1 “Purchases” includes the right of use relating to the signing of lease agreements on real estate (EUR 8.2 mln) and the right of use (EUR 3.6 mln) related to the extension of the lease agreement for hardware machines.

“Other increases” in line B.7 shows the changes in the book value of the rights of use resulting from the renewal of existing contracts. “Other decreases” in line C.7 are mainly due to:



- renegotiations of the economic terms of existing contracts, agreed during the financial year;
- release of rented properties as part of the branch closing plan.

8.7 Property, plant and equipment held for investment purposes: annual changes

	31 12 2022		
	Lands	Building	Total
A. Opening balance	112,153	112,630	224,783
B Increases	31,507	33,299	64,806
B.1 Purchases	-	-	-
B.2 Capitalized expenditure on improvements	-	309	309
B.3 Increases in fair value	684	585	1,269
B.4 Write-backs	-	-	-
B.5 Exchange gains	-	-	-
B.6 Transfers from property used in the business	30,823	24,481	55,304
B.7 Other increases	-	7,924	7,924
C. Decreases	15,643	13,996	29,639
C.1 Sales	330	711	1,041
C.2 Depreciation	-	-	-
C.3 Decreases in fair value	8,463	8,563	17,026
C.4 Impairment losses	-	-	-
C.5 Exchange losses	-	-	-
C.6 Transfers to other asset portfolios	2,049	3,476	5,525
a) properties used in the business	1,539	2,966	4,505
b) Non-current assets and groups of assets held for sale and discontinued operations	510	510	1,020
C.7 Other decreases	4,801	1,246	6,047
D. Closing balance	128,017	131,933	259,950
E. Designated at fair value	-	-	-

As at 31 December 2022, assets held for investment purposes, entirely represented by owned properties measured at fair value, amounted to EUR 260.0 mln (EUR 224.8 mln as at 31 December 2021).

Lines B.3 “Increases in fair value” and C.3 “Decreases in fair value” show the changes attributable to changes in the estimate of fair value resulting from the annual update of the appraisals as at 30 June 2022 and 31 December 2022, which are overall negative for EUR 15.8 mln. In this regard, it should be noted that, for the purposes of compiling the table in question, the valuation effects at fair value were represented by dividing the overall impact for each property between the “land” component and the “building” component. In the table that breaks down the income statement item “260. Net gains (losses) on property, plant and equipment and intangible assets measured at fair value”, where the above mentioned valuation impact is reported, capital gains (losses) are however determined taking the individual property as reference unit.

The sub-item “E. Measured at fair value”, to be completed for investment properties valued at cost, is blank as all properties are valued at fair value. As at 31 December 2022, therefore, the book value of property, plant and equipment held for investment purposes (sub-item D) corresponds to its fair value.



8.8 Inventories of property, plant and equipment governed by IAS 2: annual changes

	Gross closing balance of tangible assets obtained through enforcement of the guarantees received					Other Closing balance of tangible assets	Total
	Land	Buildings	Furniture and furnishings	Electronic systems	Others		
A. Opening balance	-	-	-	-	-	26,231	26,231
B. Increase	-	-	-	-	-	254	254
B.1 Purchases	-	-	-	-	-	-	-
B.2 Write-backs	-	-	-	-	-	134	134
B.3 Exchange gains	-	-	-	-	-	-	-
B.4 Other increases	-	-	-	-	-	120	120
C. Decreases	-	-	-	-	-	1,466	1,466
C.1 Sales	-	-	-	-	-	-	-
C.2 Impairment losses	-	-	-	-	-	1,466	1,466
C.3 Exchange losses	-	-	-	-	-	-	-
C.3 Other decreases	-	-	-	-	-	-	-
D. Closing balance	-	-	-	-	-	25,019	25,019

8.9 Commitments to purchase property, plant and equipment

No commitments to purchase property, plant and equipment were registered in 2022 or in the previous financial year.

8.10 Property, plant and equipment: depreciation rates

Main categories of property, plant and equipment	%
Buildings	2%-20%
Furniture and furnishings	10-15%
Alarm and video systems	30.00%
Electronic and ordinary office equipment	20.00%
Electronic data processing equipment	50.00%
Vehicles	20-25%
Telephones	25.00%

The percentages used for carrying out the depreciations with reference to the main categories of property, plant and equipment are presented in the table. Owing to their indefinite useful life, land and artworks are not depreciated. Investment property measured at fair value is not subject to depreciation.

For buildings for business use, the depreciation rates are determined on the basis of the cluster to which the individual building belongs. The different clusters are defined in terms of useful life, starting from a minimum of 5 years up to a maximum of 50 years.

Note that the rights of use acquired through leasing are depreciated based on the lease contract duration.



Section 9 – Intangible assets – Item 90

9.1 Intangible assets: breakdown by type

Asset / Amount	31 12 2022			31 12 2021		
	Finite Life	Indefinite Life	Total	Finite Life	Indefinite Life	Total
A.1 Goodwill	X	-	-	X	-	-
A.2 Other intangible assets	139,623	-	139,623	1,335	-	1,335
<i>of which software</i>	139,244	-	139,244	-	-	-
A.2.1 Assets carried at cost	139,623	-	139,623	1,335	-	1,335
a) internally generated intangible assets	39,770	-	39,770	-	-	-
b) other assets	99,853	-	99,853	1,335	-	1,335
A.2.2 Assets valued at fair value:	-	-	-	-	-	-
a) internally generated intangible assets	-	-	-	-	-	-
b) other assets	-	-	-	-	-	-
Total	139,623	-	139,623	1,335	-	1,335

All of the Bank's intangible assets are valued at cost and have a finite useful life.

In the line "A.2.1 Assets carried at cost – a) internally generated intangible assets" includes technological intangible assets internally generated for an amount (software internally developed) for an amount of EUR 39.8 mln; in the line "A.2.1 Assets carried at cost - b) Other assets" includes:

- purchase of externally-developed software for an amount of EUR 99.4 mln. The software totally recognised in the financial statements amounts to EUR 139.2, of which EUR 39.8 mln internally developed and EUR 99.4 mln purchased on externally-developed.
- intangible assets arising from customer relations recognised following the acquisition of the former Banca Antonveneta S.p.a, deriving from the measurement of on-demand funding (current accounts and savings deposits, or core deposits) for EUR 0.4 mln;

Software is normally amortised over a period of three to five years, except in special cases. Finally, it should be noted that the analysis was carried out of the future service life of the main capitalised assets to check for impairment, leading to an adjustment of about EUR 0.2 mln.



9.2 Intangible assets: annual changes

	Goodwill	Other intangible assets: generated internally		Other intangible assets: other		Total 31 12 2022
		Finite Life	Indefinite Life	Finite Life	Indefinite Life	
A. Opening balance	5,209,817	-	-	563,567	-	5,773,384
A.1 Total net decreases	5,209,817	-	-	562,233	-	5,772,050
A.2 Net opening balance	-	-	-	1,334	-	1,334
B. Increases	-	55,123	-	145,186	-	200,309
B.1 Purchases	-	14,925	-	24,997	-	39,922
B.2 Increases in internally generated intangible assets	X	-	-	-	-	-
B.3 Write-backs	X	-	-	-	-	-
B.4 Increases in fair value	-	-	-	-	-	-
- to net equity	X	-	-	-	-	-
- to profit and loss	X	-	-	-	-	-
B.5 Exchange losses	-	-	-	5	-	5
B.6 Other increases	-	40,198	-	120,184	-	160,382
C. Decreases	-	15,353	-	46,667	-	62,020
C.1 Sales	-	-	-	-	-	-
C.2 value adjustment	-	15,353	-	46,667	-	62,020
- Depreciation	X	15,289	-	46,504	-	61,793
- Write-downs	-	64	-	163	-	227
+ net equity	X	-	-	-	-	-
+ profit and loss	-	64	-	163	-	227
C.3 Decreases in fair value	-	-	-	-	-	-
- to net equity	X	-	-	-	-	-
- to profit and loss	X	-	-	-	-	-
C.4 Transfers to non-current assets held for sale	-	-	-	-	-	-
C.5 Exchange losses	-	-	-	-	-	-
C.6 Other decreases	-	-	-	-	-	-
D. Net closing balance	-	39,770	-	99,853	-	139,623
D.1 Total net value adjustments	5,209,817	499,965	-	1,878,879	-	7,588,661
E. Gross closing balance	5,209,817	539,735	-	1,978,732	-	7,728,284
F. Carried at cost	-	-	-	-	-	-

In order to better understand the changes in the activities in question, it should be noted that:

- The line “B.6 Other changes” contains software totalling EUR 160.4 mln, comprising EUR 40.2 mln in internally capitalised costs “and EUR 120.2 mln in purchased software licences and packages arising from the merger of the Consorzio Operativo;
- Line “F. Carried at cost” was left blank in accordance with Bank of Italy’s instructions, as it only needs to be completed for property, plant and equipment measured at fair value.



9.3 Intangible assets: Other information: amortisation rates for intangible assets

Main categories of intangible assets	%	periodo di amm.to residuo
Software	20%-33.3%	
Core deposits - deposit	6.70%	1

Intangible assets recognised during the purchase price allocation of Banca Antonveneta S.p.A. are all finite-life and therefore amortised based on their expected useful life.

There were none of the following as at 31 December 2022:

- revalued intangible fixed assets;
- intangible fixed assets acquired through government concessions (IAS 38, par. 4);
- intangible fixed assets pledged as loan collaterals;
- commitments to purchase intangible assets;
- fully amortised intangible assets that are still in use.



Section 10 - Tax Assets and Liabilities - Item 100 (Assets) and Item 60 (Liabilities)

10.1 Deferred tax assets: breakdown

Items/Amounts	IRES with offsetting entry to P&L	IRES with offsetting entry to Balance Sheet	IRAP with offsetting entry to P&L	IRAP with offsetting entry to Balance Sheet	31 12 2022	31 12 2021
Receivables (including securitisations)	172,919	-	30,317	-	203,236	105,190
Receivables (L. 214/2011)	123,311	-	12,677	-	135,988	135,987
Other financial instruments	201	-	3,381	-	3,582	7,559
Goodwill deduction pursuant to previous law provisions (L. 214/2011)	239,033	926	58,493	206	298,658	298,658
Property, plant and equipment	103,242	-	15,767	-	119,009	90,747
Intangible assets	-	-	5	-	5	-
Intangible assets (Law 214/2011)	16,684	-	3,631	-	20,315	20,170
Personnel expenses	1,832	15,913	2,727	1,928	22,400	22,251
ACE surplus	107,469	-	-	-	107,469	69,071
Tax losses	147,883	47,137	-	-	195,020	105,140
Tax losses (Law 214/2011)	21	-	3	-	24	-
Financial instruments - valuation reserves	-	49,762	-	10,949	60,711	2,742
Others	200,087	-	10,727	-	210,814	66,004
Deferred tax assets (gross)	1,112,682	113,738	137,728	13,083	1,377,231	923,519
Offsetting with deferred tax liabilities	(18,261)	(69,179)	(2,275)	(13,330)	(103,045)	(137,118)
Deferred tax assets (net)	1,094,421	44,559	135,453	(247)	1,274,186	786,402

Deferred tax assets were recognised after verifying the existence of foreseeable future income (probability test). Write-downs (or write-backs of previous write-downs) based on the probability test are recognised overall as an offsetting entry to the tax item of the income statement; in the tables under this section, however, the portion of DTA not recognisable is allocated based on the proportional criterion, also for DTA originally recognised as offsetting entries to shareholders' equity. For additional information, please refer to paragraph 10.7 "Other information" below.

In addition to deferred taxes referring to the main tax (at the rate of 24%) the amounts shown in the IRES column also include those relating to the additional IRES tax (3.5% rate) introduced by Italian Law no. 208 of 28 December 2015, paragraphs 65-66.

The balance of the item recorded an overall increase in the financial year, largely attributable to the partial recovery of the value of deferred tax assets, not recognised in the Financial Statements in previous financial years, due to the higher future taxable income expected as a result of the adoption of the new income projections included in the 2022-2026 Group Business Plan, approved by the Board of Directors of the Bank on 22 June 2022; for a more precise quantification of the individual effects, please refer to the following paragraphs of this Section.

The line "Receivables" includes deferred tax assets that can be recognised for residual tenths of the impairment on loans to customers recorded upon first-time adoption of the IFRS 9 standard, whose deduction is envisaged in ten annual instalments (from 2018 to 2027) by art. 1, paragraphs 1067-1069 of Italian Law no. 145 of 30 December 2018 (2019 Budget Law); note that the deductible portion for 2019 was postponed to 2028 by art. 1, par. 713 of Italian Law no. 160 of 27 December 2019 (2020 Budget Law). The line "Other" includes tax assets relating to other cases; the predominant amount refers to provisions for risks and charges in respect of deductible costs expected for future financial periods.



10.2 Deferred tax liabilities: breakdown

Items/Amounts	IRES with offsetting entry to P&L	IRES with offsetting entry to Balance Sheet	IRAP with offsetting entry to P&L	IRAP with offsetting entry to Balance Sheet	Total 31 12 2022	Total 31 12 2021
Property, plant and equipment and intangible assets	4,040	55,851	2,087	10,677	72,655	88,465
Financial instruments	10,642	-	188	-	10,830	10,775
Personnel expenses	3,579	406	-	127	4,112	2,867
Financial instruments - valuation reserves	-	11,281	-	2,207	13,488	33,387
Others	-	1,641	-	319	1,960	1,625
Deferred tax liabilities (gross)	18,261	69,179	2,275	13,330	103,045	137,119
Offsetting with deferred tax assets	(18,261)	(69,179)	(2,275)	(13,330)	(103,045)	(137,119)
Deferred tax liabilities (net)	-	-	-	-	-	-

In addition to deferred taxes referring to the main tax (at the rate of 24%) the amounts shown in the IRES column also include those relating to the additional IRES tax (3.5% rate) introduced by Italian Law no. 208 of 28 December 2015, paragraphs 65-66.

The line "Financial instruments – valuation reserves" includes tax liabilities relating to the valuation of cash flow hedge derivatives, as well as financial instruments classified in the portfolio "Financial assets measured at fair value through other comprehensive income" (OCI).

The balance of the item shows a decrease during the financial year; for the quantification of the individual effects, reference should be made to the following paragraphs of this Section.

**10.3 Deferred tax assets: annual changes (with offsetting entry to profit or loss)**

	Total 31 12 2022	Total 31 12 2021
1. Opening balance	860,277	946,243
2. Increases	621,455	318,554
2.1 Deferred tax assets arising during the year	600,746	312,071
a) relating to previous years	-	-
b) due to changes in accounting principles	-	9,171
c) write-backs	418,441	170,135
d) other	182,305	132,765
2.2 New taxes or increases in tax rates	-	-
2.3 Other increases	20,709	6,483
3. Decreases	231,322	404,520
3.1 Deferred tax assets derecognised during the year	191,971	210,685
a) reversals	191,971	202,821
b) write-downs of non-recoverable items	-	7,864
c) changes in accounting principles	-	-
d) other	-	-
3.2 Reduction in tax rates	-	-
3.3 Other decreases	39,351	193,835
a) conversion into tax credits pursuant to Law no. 214/2011	-	180,063
b) others	39,351	13,772
4. Total	1,250,410	860,277

The major components of “Deferred tax assets arising during the year” as reported in line 2.1 letter d) include those concerning:

- taxed provisions made during the financial year to the provision for risks and charges, equal to EUR 104.9 mln;
- the tax loss for the purposes of the IRES additional tax accrued during the financial year for EUR 31.8 mln;
- deduction of ACE accrued during the financial year and unused, equal to EUR 25.0 mln.

The amount shown in line 3.1 letter a) “Reversals” includes the use of provisions for risks and charges taxed in previous financial years for EUR 142.3 mln and the reversal of one-tenth of the value adjustments on loans to customers accounted for upon first-time adoption of IFRS 9 for EUR 30.8 mln.

The table shows the effects of the measurement of deferred tax assets based on the results of the probability test conducted as at 31 December 2022. Specifically, the amount indicated in line 2.1 lett. c) “Value reversals”, added to the amount indicated in table 10.5 line 2.1 lett. a), is due to the reversal of deferred tax assets referring to: tax losses accrued and not recognised in previous financial years both with reference to IRES (in the Tax Consolidation Agreement) and to the IRES additional tax (in the individual tax return) for EUR 47.9 mln, ACE surpluses for EUR 32.4 mln and other deductible temporary differences (these are DTAs that cannot be converted into tax credits pursuant to Italian Law 214/2011, such as those relating to provisions for risks and charges, IFRS 9 FTA credit adjustments, etc.) for EUR 342.8 mln. For additional information, please refer to paragraph 10.7 “Other information” below.

The amounts shown in line 2.3 “Other increases” and in line 3.3 lett. b) “other decreases - other” include, respectively, EUR 8.5 mln and EUR 9.4 mln recognised during the financial year as a result of the merger by incorporation of Consorzio Operativo del Gruppo MPS.

The change for the financial year, as shown in this table - difference between final and initial balance - is reconciled with the amount shown in the income statement table 19.1 “Tax (expense)/recovery on income from continuing operations: breakdown” in the line ‘changes in deferred tax assets’ given that:

- the amount of EUR 17.9 mln related to the transformation of DTAs from ACE surpluses accrued in 2021 into IRAP credit with the tax return filed in the financial year, although represented in this table as a decrease, did not have the item Taxes as a balancing entry in the Income Statement;



- the amount of EUR 5.8 mln related to the transformation of DTAs on ACE surpluses for IRES purposes and on tax losses for the purposes of the IRES additional tax, transformed in previous financial years pursuant to art. 55 of Italian Law Decree 18/2020, which became necessary following the clarifications provided by the tax authorities on the correct interpretation of the regulation, although it is represented in this table as an increase, did not have the item Taxes as a balancing entry in the Income Statement;
- the amount of EUR 0.9 mln relating to the merger by incorporation of the Consorzio Operativo del Gruppo MPS, although represented in this table as a decrease, did not have the item Taxes as a balancing entry in the Income Statement;
- the amount of EUR 1.0 mln referring to the change in DTAs relating to real estate, although represented in this table as an increase, did not have the item Taxes as a balancing entry in the Income Statement;
- the amount of EUR 4.7 mln, portion of the DTA revaluation based on the probability test and recorded as an offsetting entry to the taxes item of the income statement, was attributed on a proportional basis to the deferred tax assets recognised as an offsetting entry to equity and, as such, is shown in table 10.5 below.

10.3bis Deferred tax assets: changes under Italian Law 214/2011 (with offsetting entry to profit or loss)

Items/Amounts	Total	
	31 12 2022	31 12 2021
1. Opening balance	453,683	633,745
2. Increases	193	-
3. Decreases	23	180,062
3.1 Reversals	23	-
3.2 Conversion into tax credits	-	180,062
a) arising from loss for the period	-	180,062
b) arising from tax losses	-	-
3.3 Other decreases	-	-
4. Closing balance	453,853	453,683

**10.4 Deferred tax liabilities: annual changes (with offsetting entry to profit or loss)**

	Total 31 12 2022	Total 31 12 2021
Opening balance	24,947	26,348
2. Increases	11,651	5,777
2.1 Deferred tax liabilities arising during the year	10,776	2,550
a) relating to previous years	-	-
b) due to changes in accounting principles	-	-
c) other	10,776	2,550
2.2 New taxes or increases in tax rates	-	-
2.3 Other increases	875	3,227
3. Decreases	16,062	7,178
3.1 Deferred taxes derecognised during the year	8,605	5,557
a) reversals	8,605	5,557
b) due to changes in accounting principles	-	-
c) other	-	-
3.2 Reduction in tax rates	-	-
3.3 Other decreases	7,457	1,621
4. Closing balance	20,536	24,947

The increases and decreases in the financial year were mainly attributable to the valuation of hedging derivatives and related hedged assets.



10.5 Deferred tax assets: changes (with offsetting entry to equity)

	Total 31 12 2022	Total 31 12 2021
1. Opening balance	63,242	61,731
2. Increases	67,592	4,516
2.1 Deferred tax assets arising during the year	67,530	3,913
a) relating to previous years	4,687	1,952
b) due to changes in accounting principles	-	-
c) other	62,843	1,961
2.2 New taxes or increases in tax rates	-	-
2.3 Other increases	62	603
3. Decreases	4,013	3,005
3.1 Deferred tax assets derecognised during the year	3,962	2,155
a) reversal	3,962	2,155
b) write-downs of non-recoverable items	-	-
c) due to changes in accounting principles	-	-
d) other	-	-
3.2 Reduction in tax rates	-	-
3.3 Other decreases	51	850
4. Closing balance	126,821	63,242

The deferred tax assets refer mainly to write-backs on financial instruments classified in the portfolio "Financial assets measured at fair value through other comprehensive income" (OCI).

10.5bis Deferred tax assets: changes under Italian Law 214/2011 (with offsetting entry to equity)

Items/Amounts	Total	
	31 12 2022	31 12 2021
1. Opening balance	1,132	1,549
2. Increases	-	-
3. Decreases	-	417
3.1 Reversals	-	-
3.2 Conversion into tax credits	-	417
a) arising from loss for the year	-	417
b) arising from tax losses	-	-
3.3 Other decreases	-	-
4. Closing balance	1,132	1,132

The table shows deferred tax assets that may be converted into tax credits pursuant to Italian Law 214/2011, recognised with an offsetting entry to equity. These refer to goodwill posted by the Bank to equity on business combinations "under common control".

**10.6 Deferred tax liabilities: annual changes (with offsetting entry to equity)**

	Total 31 12 2022	Total 31 12 2021
1. Opening balance	112,172	53,282
2. Increases	1,048	81,109
2.1 Deferred tax liabilities recognised during the year	479	80,826
a) relating to previous years	-	-
b) due to changes in accounting principles	-	78,062
c) other	479	2,764
2.2 New taxes or increases in tax rates	-	-
2.3 Other increases	569	283
3. Decreases	30,711	22,219
3.1 Deferred tax liabilities derecognised during the year	30,108	21,521
a) reversals	30,108	21,521
b) due to changes in accounting principles	-	-
c) other	-	-
3.2 Reduction in tax rates	-	-
3.3 Other decreases	603	698
4. Closing balance	82,509	112,172

The decreases shown in line 3.1, letter a) refer to reabsorption of deferred tax liabilities, recognised in previous financial years, related to financial instruments classified in the portfolio of 'Financial assets measured at fair value through other comprehensive income' (OCI), to land and buildings IAS 16 and cash flow hedge derivatives that occurred during the financial year.



10.7 Other information

Probability test

In compliance with the provisions of IAS 12 and the ESMA communication issued on 15 July 2019, the Bank has recognised deferred tax assets (DTA), subject to verification of the existence of sufficient future taxable income for the purposes of their reabsorption (probability test).

In this test, the different rules set forth in the Italian tax laws which impact the assessment in question were taken into account, in particular:

- art. 2, paragraphs 55-59, of Italian Law Decree no. 225 of 29 December 2010 (converted, with amendments, by Italian Law no. 10 of 26 February 2011) which establishes the obligation for financial intermediaries to convert into tax credits DTAs (IRES and IRAP) relating to goodwill, other intangible assets and impairment losses on receivables, in the case of a loss in the statutory financial statements and/or a tax loss;
- art. 84, paragraph 1 of the TUIR, which allows for the possibility of carrying forward IRES tax losses with no time limits;
- art. 1, paragraph 4 of Italian Law Decree no. 201 of 06 December 2011 (converted, with amendments, by Italian Law no. 214 of 22 December 2011), which allows for unused excess ACE to be carried forward with no time limits, as well as, alternatively, conversion into a tax credit to be used to offset IRAP due in 5 annual instalments;
- paragraphs 61 to 66, art. 1, of the 2016 Stability Law (Italian Law no. 208 of 28 December 2015) reduced the IRES rate from 27.5% to 24% and simultaneously introduced an IRES additional tax of 3.5% for credit and financial institutions; both measures are effective as of 2017.

In terms of methodology, the probability test was carried out by following the steps listed below.

DTAs relating to goodwill, other intangible assets and impairment losses and adjustments on receivables ("qualified" DTAs), were excluded from the total amount of DTAs for which the existence of sufficient future taxable income needs to be identified. This is because the above-mentioned art. 2, paragraphs 55-59 of Italian Law Decree 225/2010 made the recovery of that type of DTA certain, with respect to both IRES and IRAP, regardless of the presence of future taxable income. Indeed, the rule sets forth that, if taxable income for the financial year in which the recovery of qualified DTAs is expected is not sufficient to absorb them, the resulting tax loss would be convertible into a tax credit that may be, alternatively i) used to offset, with no amount limits, the various taxes ordinarily due from the Bank, or ii) requested in the form of a refund, or iii) transferred to third parties. In addition, qualified DTAs may be converted into tax credit in advance of their natural maturity, in the event of a loss for the year in the statutory financial statements or voluntary liquidation, as well as subjection to bankruptcy proceedings.

In other words, for qualified DTAs the Probability test must be deemed automatically satisfied; this is also confirmed by the joint Bank of Italy, CONSOB and ISVAP document no. 5 of 15 May 2012 "Accounting treatment of deferred tax assets deriving from Italian Law 214/2011".

For DTAs other than qualified DTAs, the financial year in which the relative recovery is expected has been identified (or estimated when uncertain).

Estimates of taxable income for future financial years were made, consistent with the other relevant corporate valuation processes, on the basis of the expected evolution of the Bank's profit or loss accounts derived from the new income projections included in the 2022-2026 Group Business Plan, approved by the Bank's Board of Directors on 22 June 2022. However, it should be noted that, from a prudential perspective, for the purposes of this assessment, the economic results of 2025 and 2026 outlined in the aforementioned Business Plan were not considered, thus limiting the expected positive evolution to that resulting from the data forecast for 2024; for the estimate of taxable income for the financial years after 2026, a growth was assumed for each year starting from 2027 compared to the economic result forecast for the immediately previous financial year.

In order to reflect the level of uncertainty that characterises the actual realisation of long-term forecasts, a discount factor was applied to the forecast economic results (known as Risk-adjusted profits approach) of 9%, unchanged from that used for the Financial Statements as at 31 December 2021. This factor is calculated also taking into account observable market parameters. In greater detail, the adjustment of taxable income is obtained by discounting the forecasts of each year by the factor of 9%, applied according to the compound capitalisation



formula, starting from 2023 over a maximum time horizon of 20 years. This formula therefore makes it possible to adjust future forecasts according to an increasing reduction factor based on the time horizon of the estimate of taxable flows.

Taxable incomes were therefore estimated:

- at domestic tax consolidation level, for the IRES Probability test, since the Bank pays this tax as set forth in arts. 117 et seq. of the Income Tax Act;
- at individual level for additional IRES purpose;
- at individual level for IRAP purpose.

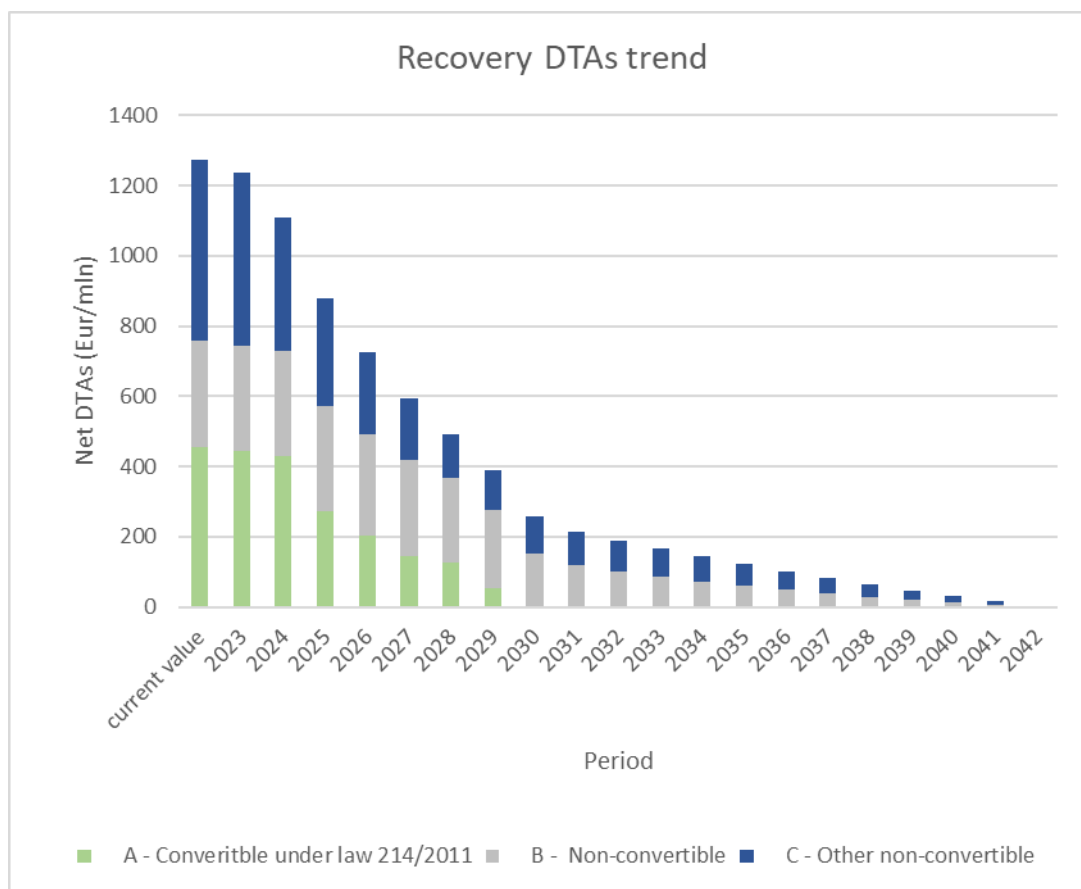
The valuation exercise conducted with the model described above has resulted in an overall increase in value of DTAs for EUR 423.1 mln, with the following effects on the Bank's accounts:

- with regard to DTAs for consolidated tax losses, in addition to the non-recognition of DTAs on the 2022 loss, a revaluation of the DTAs on previous losses equal to EUR 40.9 mln;
- with regard to DTAs for tax losses for the additional IRES purposes, taking into account the DTAs recognised on the 2022 loss, a revaluation in of DTAs equal to EUR 6.9 mln;
- with regard to DTAs for ACE surpluses, taking into account the DTAs recognised on the deduction accrued in 2022 and not used, an increase in value of DTAs equal to EUR 32.4 mln;
- with regard to DTAs other than "qualified" DTAs and those relating to ACE and tax losses, a total recovery in value equal to EUR 342.9 mln.

As a result of the above-mentioned valuation, the Bank had DTAs not recognised in balance sheet assets as at 31 December 2022 for a total of EUR 3,292.6 mln (EUR 3,453.2 mln as at 31 December 2021).

For the Bank, this amount is a potential asset not subject to any time limits according to current tax legislation, with the exception of the limits to carrying forward, in case of extraordinary transactions, envisaged by art. 172 and 173 of Presidential Decree no. 917/1986; the relative recognition in balance sheet assets will be evaluated at the future reporting dates based on the Bank's and the Group's profit outlook.

The sizeable amount of the MPS Group's tax losses, equal to EUR 12,339 mln, was accrued mainly in 2016 and 2017, corresponding to the start of the Bank's restructuring process, and derives essentially from significant loan adjustments for both years. In particular, for 2016 the methodologies and parameters used in measuring loans had to be updated and for 2017 the realisable value of non-performing loans sold during 2018 had to be adjusted. Therefore, pursuant to the provisions of IAS 12, paragraph 36, letter c), it is believed that these unused tax losses derive from "*identifiable causes that are unlikely to recur*" and in this sense have been included in the valuation process for DTAs that can be partially recognised in financial statements. The following chart shows the expected trend related to the recovery of DTAs recognised in the Financial Statements as at 31 December 2022, both quantitatively and over time, broken down between convertible DTAs pursuant to Italian Law 214/2011, DTAs from non-convertible losses and other non-convertible DTAs.



The probability test model in use in MPS Group includes some input data whose fluctuations in value can significantly influence the final result of the DTA valuation recognised in financial statements. Specifically, these are:

- 5) forecasted taxable income in the plan's last year (2024)⁸³;
- 6) notional rate of return of the business incentive for capitalisation;
- 7) discount rate of future results (coefficient used in the risk-adjusted profits approach);
- 8) tax rates for IRES, IRES additional tax and IRAP.

Certain relevant indications on the sensitivity of the results of the valuation model are provided below, assuming both an increase and decrease in each of the input data listed above. The effects shown in the table refer to the difference that would have occurred for the tax item of the 2022 income statement, compared to what was actually recognised, changing the individual variable as indicated; the change in taxable income is understood to apply to the amount indicated for each financial year of the time horizon (twenty years) considered in the probability test.

⁸³ Considering that in the probability test as at 31 December 2022, the economic results for 2025 and 2026 (the last year of the plan horizon) were have been conservatively assumed to be equal to the (lower) one expected for 2024, the latter can substantially be retained as the input data determinant for the fluctuation of the value of the DTAs in consideration. Accordingly, the sensitivity of the results of the valuation model illustrated below was obtained by assuming the change in taxable income in 2024.



Inputs	Decreases	Effect on income statements of decrease in DTAs (Eur/mln)		Increase	Effect on income statements of increase in DTAs (Eur/mln)	
		DTAs (item 100 b Asset)	Payables to tax consolidation (item 80 liabilities)		DTAs (item 100 b Asset)	Payables to tax consolidation (item 80 liabilities)
Taxable income starting from 2024	-100 mln	-47.2	0.0	+100 mln	40.8	0.0
ACE* tax rate (%)	-0.5%	61.2	0.0	+0.5%	-27.8	0.0
Discount rate of prospective results	-1%	35.9	0.0	+1%	-31.9	0.0
IRES** tax rate	-1%	-40.4	20.6	+1%	40.4	-20.6

*ACE: corporate equity allowance

**IRES: corporate income tax

Current tax assets

Items/Amounts	Total 31 12 2022	Total 31 12 2021
Prepayments of corporate income tax and regional tax on production (IRES and IRAP)	-	-
Other tax credits and withholdings	442,713	426,887
Gross current tax assets	442,713	426,887
Offsetting with current tax liabilities	-	(8,875)
Net current tax assets	442,713	418,012

In 2022 the Bank did not pay advances on IRES, IRES additional tax and IRAP, as the previous tax period had ended with negative taxable income with regard to all of these taxes.

“Other tax credits and withholdings” consist of IRES/IRAP credits resulting from prior tax returns which can be offset for EUR 104.1 mln, income tax credits claimed for refund for EUR 272.3 mln, the tax credit arising from DTA transformation (Italian Law 214/2011 as well as art. 44-bis of Italian Law Decree 34/2019) for the residual amount yet to be used for EUR 60.8 mln and tax withholdings incurred for EUR 5.5 mln.

Current tax liabilities

Items/Amounts	31 12 2022			31 12 2021		
	Booked to net equity	Booked to P&L	Total	Booked to net equity	Booked to P&L	Total
Corporate income tax (IRES IRAP) payables	-	-	-	(595)	9,470	8,875
Other current income tax payables	-	5	5	-	5	5
Gross current tax payables	-	5	5	(595)	9,475	8,880
Offsetting with current tax asset	-	-	-	(595)	9,470	8,875
Net current tax payables	-	5	5	-	5	5



Section 11 - Non-current assets held for sale and disposal groups and associated liabilities - Item 110 (assets) and 70 (liabilities)

11.1 Non-current assets held for sale and disposal groups: breakdown by type of assets

	Total	
	31 12 2022	31 12 2021
A. Individual assets		
A.1 Financial assets	46	4,053
A.2 Equity investments	-	-
A.3 Tangible assets	65,451	68,239
<i>of which: obtained through the enforcement of the guarantees received</i>		
A.4 Intangible assets	-	-
A.5 Other non-current assets	-	-
Total A	65,497	72,292
<i>of which valued at cost</i>	-	4,053
<i>of which designated at fair value (level 1)</i>	-	-
<i>of which designated at fair value (level 2)</i>	-	-
<i>of which designated at fair value (level 3)</i>	65,497	68,239
B. Asset groups (discontinued operations)		
C. Liabilities associated with individual assets held for sale		
D. Liabilities associated with discontinued operations		

Line "A.1 Financial assets", amounting to EUR 0.04 mln, refers entirely to the sale of an equity security, the closing of which is expected within the first half of 2023.

Line "A.3 Tangible assets", equal to EUR 65.4 mln, includes tangible assets held for investment purposes for EUR 41.6 mln, as well as tangible assets used in the business for EUR 22.9 mln. The same item also includes EUR 0.9 mln relating to works of art classified as IAS 16.

At the reporting date or for the financial year of comparison, there are no equity securities of clearly poor credit quality.



11.2 Other information

At the reporting date, there is no information to report pursuant to IFRS 5.42. There are also no “Discontinued operations”.

Section 12 - Other assets - Item 120

12.1 Other assets: breakdown

	Total 31 12 2022	Total 31 12 2021
Tax credits from the Revenue and other tax levying authorities	978,063	398,262
Third party cheques held at the cashier's for collection	3,638	7,257
Cheques drawn on the Company held at the cashier's for collection	717	1,080
Gold, silver and precious metals	100,100	92,452
Items in transit between branches	567	1,081
Items in processing	462,762	482,708
Improvements and incremental costs on third party assets other than those included under tangible assets	30,557	34,539
Prepaid expenses and accrued income not attributable to other line items	468,713	457,639
Credits for consolidated income tax return	97	56
Others	149,589	111,738
Total	2,201,400	1,586,812

The lines “Items in processing” and “Other” include transactions which were cleared in early 2023.

The line “Tax credits from the Revenue and other tax levying authorities” includes EUR 738.2 mln (EUR 167.8 mln as at 31 December 2021) pertaining to tax credits, pursuant to the “Rilancio” Italian Law Decree, acquired as a result of a transfer by direct beneficiaries or previous purchasers.

The line “Accrued income and prepaid expenses not attributable to its own separate item” includes a total of EUR 228.6 mln (EUR 204.2 mln as at 31 December 2021) as prepaid expenses for back office services outsourced, provided by suppliers continuously over the contract term and financially settled by the Bank with decreasing amounts over time. For further details on the methods for identifying these types of services, please refer to Part A, paragraph “Other Information - Costs for constant services and decreasing payments” of these Notes to the Financial Statements.

The table above does not include cases attributable to the definitions of “contract assets” and “contract liabilities” at either the reporting date or for the comparison financial year, which would require disclosure pursuant to IFRS 15.116 and 118.



LIABILITIES

Section 1 - Financial liabilities measured at amortised cost - Item 10

1.1 Financial liabilities measured at amortised cost: breakdown of deposits from to banks

Items/accounts	Total 31 12 2022				Total 31 12 2021			
	Book value	Fair value			Book value	Fair value		
		Level 1	Level 2	Level 3		Level 1	Level 2	Level 3
1. Due to Central banks	19,176,864	X	X	X	29,092,838	X	X	X
2. Due to banks	7,032,983	X	X	X	7,624,235	X	X	X
2.1 Current accounts and demand deposits	2,894,911	X	X	X	2,994,097	X	X	X
2.2 Time deposits	2,582,096	X	X	X	2,616,261	X	X	X
2.3 Loans	563,656	X	X	X	1,780,403	X	X	X
2.3.1 Repurchase agreements	537,264	X	X	X	1,748,274	X	X	X
2.3.2 Other	26,392	X	X	X	32,129	X	X	X
2.4 Liabilities for commitments to repurchase own equity instruments	-	X	X	X	-	X	X	X
2.5 Debts for leasing	428	X	X	X	461	X	X	X
2.6 Other liabilities	991,892	X	X	X	233,013	X	X	X
Total	26,209,847	-	26,209,847	-	36,717,073	-	36,717,073	

The balance of the item “Deposits from Central banks” of EUR 19.2 bn (EUR 29.1 bn as at 31 December 2021) relates to funding operations from the ECB, and is fully represented by TLTRO-III loans subscribed by the Bank in the period June 2020 - June 2021 in four quarterly auctions. The decrease of EUR 10.0 bn is due to the repayment in December 2022 of the tranche maturing in December 2022 in the amount of EUR 4.0 bn as well as the partial early repayment of a nominal EUR 6 bn of the tranche with original maturity in June 2023.

Line 2.3.1 “Repurchase agreements” contains the financial liabilities arising from repo transactions with banks on both treasury securities and securities made available through reverse repurchase agreements or securities lending transactions.



1.2 Financial liabilities measured at amortised cost: breakdown of deposits from customers

Items/accounts	Total 31 12 2022				Total 31 12 2021			
	Book value	Fair value			Book value	Fair value		
		Level 1	Level 2	Level 3		Level 1	Level 2	Level 3
1. Current accounts and demand deposits	61,868,170	X	X	X	62,536,958	X	X	X
2. Time deposits	4,159,847	X	X	X	5,499,938	X	X	X
3. Loans	1,387,769	X	X	X	1,610,594	X	X	X
3.1 Reverse repurchase agreements	-	X	X	X	-	X	X	X
3.2 Others	1,387,769	X	X	X	1,610,594	X	X	X
4. Liabilities for commitments to repurchase own equity instruments	-	X	X	X	-	X	X	X
5. Debts for leasing	184,496	-	-	-	191,438	-	-	-
6. Other liabilities	479,594	X	X	X	539,238	X	X	X
Total	68,079,876	-	68,079,876	-	70,378,166	-	70,378,166	-

1.3 Financial liabilities measured at amortised cost: breakdown of debt securities issued

Items/accounts	Total				
	31 12 2022				
	Book value	Fair value			
Level 1		Level 2	Level 3	Total	
A. Listed securities					
1. Bonds	8,525,377	4,257,885	3,980,080	-	8,237,965
1.1 Structured	-	-	-	-	-
1.2 Other	8,525,377	4,257,885	3,980,080	-	8,237,965
2. Other securities	7,201	-	7,201	-	7,201
2.1 Structured	-	-	-	-	-
2.2 Other	7,201	-	7,201	-	7,201
Total	8,532,578	4,257,885	3,987,281	-	8,245,166

The table shows funding represented by securities, including bonds and certificates of deposit (outstanding and expired) to be repaid.

Liabilities are net of bonds and repurchased CDs. In this regard, it should be noted that as at 31 December 2022, as in the previous financial year, the Bank has no outstanding issues with a State guarantee.

The table includes EUR 5,143.0 mln in liabilities subject to fair value micro-hedging (EUR 5,963.9 mln as at 31 December 2021), to hedge interest rate risk.



Items/accounts	Total				
	31 12 2022				
	Book value	Fair value			
		Livello 1	Livello 2	Livello 3	Totale
A. Listed securities					
1. Bonds	10,137,320	9,750,707	424,950	0	10,175,657
1.1 Structured	-	-	-	-	-
1.2 Other	10,137,320	9,750,707	424,950	-	10,175,657
2. Other securities	380,669	-	380,669	-	380,669
2.1 Structured	-	-	-	-	-
2.2 Other	380,669	-	380,669	-	380,669
Total	12,101,442	11,244,071	1,345,136	-	12,589,207

1.4 Details of subordinated liabilities/securities

Type/Item	Issue Date	Maturity Date	Early termination	Grandfathering	Currency	Rate	Step up	31 12 2022		31 12 2021	
								Nominal Value	Book Value	Nominal Value	Book Value
Details of deposits from banks-subordinated liabilities								-	-	-	-
Details of deposits from customers-subordinated liabilities								-	-	-	-
Details of debt securities issued subordinated liabilities								1,750,000	1,830,812	1,750,000	1,831,109
Subordinated Bond	18/01/18	18/01/28	18/01/23	NO	Eur	5.375% fixed*	NO	750,000	-	750,000	787,958
Subordinated Bond	23/07/19	23/07/29	NO	NO	Eur	10.5% fixed	NO	300,000	-	300,000	311,011
Subordinated Bond	22/01/20	22/01/30	22/01/25	NO	Eur	8.0% fixed	NO	400,000	-	400,000	428,621
Subordinated Bond	10/09/20	10/09/30	10/09/25	NO	Eur	8.5% fixed	NO	300,000	-	300,000	303,520
Total	-							1,750,000	1,830,812	1,750,000	1,831,109

*5.375% until 18 January 2023, subsequently 5Y EUR mid-swap rate + 5.005%

1.5 Details of structured liabilities

This table was not completed as the Bank has no such liabilities to report for either the current or the previous year.



1.6 Lease payables

Type of transaction/Amount	31 12 2022	31 12 2021
Leasing debts	201,551	219,713
Payments due included in the lease liabilities not discounted up 5 years	166,959	178,638
Up to 1 month	7,421	6,499
From 1 to 3 months	4,528	4,726
From 3 months to 1 year	33,203	32,251
From 1 year to to 5 year	121,807	135,162
Total cash flow out for leasing over 5 years	34,592	41,076

The table shows the non-discounted outgoing cash flows for lease liabilities broken down by time bracket.



Section 2 - Financial liabilities held for trading - Item 20

2.1 Financial liabilities held for trading: breakdown

Type of transaction/ Group item	VN	Total 31 12 2022				FV*
		FV				
		Level 1	Level 2	Level 3	Total	
A. Balance-sheet liabilities						
1. Deposits from banks	-	-	-	-	-	-
2. Deposits from customers	-	-	-	-	-	-
3. Debt securities issued	-	-	-	-	-	-
3.1 Bonds	-	-	-	-	-	-
3.1.1 Structured	-	-	-	-	-	X
3.1.2 Other	-	-	-	-	-	X
3.2 Other securities	-	-	-	-	-	-
3.2.1 Structured	-	-	-	-	-	X
3.2.2 Other	-	-	-	-	-	X
Total A	-	-	-	-	-	-
B. Derivatives						
1. Financial derivatives		-	577,679	-	577,679	
1.1 Trading	X	-	575,379	-	575,379	X
1.2 Fair value option (FVO)	X	-	2,300	-	2,300	X
1.3 Other	X	-	-	-	-	X
2. Credit derivatives		-	3,597	-	3,597	
2.1 Trading	X	-	3,597	-	3,597	X
2.2 Fair value option (FVO)	X	-	-	-	-	X
2.3 Other	X	-	-	-	-	X
Total B	X	-	581,276	-	581,276	X
Total (A+B)	-	-	581,276	-	581,276	X

key

NV = Nominal or Notional Value

FV = Fair value

FV*= Fair value calculated excluding value adjustments due to variations in the credit rating of the issuer since the date of issue

The criteria adopted for classification of financial instruments in the three levels of the “fair value hierarchy” are reported in Section A.4, “Information on fair value” of Part A, “Accounting policies” of the notes to the financial statements.

Derivatives connected with fair value option instruments are also included in the trading book: these cover the risks of funding designated at fair value arising from possible interest rate fluctuations and from any embedded options in the structured and fixed rate bonds issued by the Bank (natural and systematic hedging). The fair value of these derivatives is EUR 2.3 mln (EUR 1.5 mln at 31 December 2021), shown in the table in line “B.1.1.2 – Fair value option”.

By convention, such derivatives are classified in the trading book. In terms of their representation in the income statement, positive and negative spreads or margins settled or accrued until the reporting date are recognised as interest income and expense, while valuation profits and losses are posted under item “80 - Net profit (loss) from trading”.

The fair value calculated on financial derivatives include the value adjustments due to changes in the creditworthiness of the Bank, Debit Value Adjustment (i.e. DVA), totalling EUR 18.2 mln (EUR 5.2 mln as at 31 December 2021).



Type of transaction/ Group item	VN	Total 31 12 2021				FV*
		FV				
		Level 1	Level 2	Level 3	Total	
A. Balance-sheet liabilities						
1. Deposits from banks	-	-	-	-	-	-
2. Deposits from customers	-	-	-	-	-	-
3. Debt securities issued	-	-	-	-	-	-
3.1 Bonds	-	-	-	-	-	-
3.1.1 Structured	-	-	-	-	-	X
3.1.2 Other	-	-	-	-	-	X
3.2 Other securities	-	-	-	-	-	-
3.2.1 Structured	-	-	-	-	-	X
3.2.2 Other	-	-	-	-	-	X
Total A	-	-	-	-	-	-
B. Derivatives						
1. Financial derivatives		-	513,474	-	513,474	
1.1 Trading	X	-	511,895	-	511,895	X
1.2 Fair value option (FVO)	X	-	1,579	-	1,579	X
1.3 Other	X	-	-	-	-	X
2. Credit derivatives		-	3,507	-	3,507	
2.1 Trading	X	-	3,507	-	3,507	X
2.2 Fair value option (FVO)	X	-	-	-	-	X
2.3 Other	X	-	-	-	-	X
Total B	X	-	516,981	-	516,981	X
Total (A+B)	-	-	516,981	-	516,981	X

key

NV = Nominal or Notional Value

FV = Fair value

FV*= Fair value calculated excluding value adjustments due to variations in the credit rating of the issuer since the date of issue



2.2 Details of item 20 “Financial liabilities held for trading”: subordinated liabilities

This table was not completed as the Bank has no such liabilities to report for either the current or the previous year.

2.3 Details of item 20 “Financial liabilities held for trading”: structured liabilities

This table was not completed as the Bank has no such liabilities to report for either the current or the previous year.

Section 3 - Financial liabilities measured at *fair value* - Item 30

3.1 Financial liabilities measured at fair value: breakdown

Type of transaction / Amount	Total 31 12 2022					
	VN	FV				FV*
		Level 1	Level 2	Level 3	Total	
1. Deposits from banks	-	-	-	-	-	-
2. Deposits from customers	-	-	-	-	-	-
3. Debt securities issued	86,495	-	124,289	-	124,289	145,368
3.1 Structured	-	-	-	-	-	X
3.2 Other	86,495	-	124,289	-	124,289	X
Total	86,495	-	124,289	-	124,289	145,368

key

NV = Nominal or Notional Value

FV = Fair Value

FV* = Fair value calculated excluding value adjustments due to variations in the credit rating of the issuer since the date of issue

The table shows the financial liabilities represented by fixed-rate and structured bonds which have been classified at fair value and are systematically subject to hedging. Hedging occurs through derivative contracts and is used to cover the risk of interest rate fluctuations and the risk resulting from embedded options.

The fair value option has been adopted for fixed-rate and structured debt securities issued by the Bank, for which the risk of fair value changes has been hedged by derivatives upon issuance, with the aim of maintaining the hedge for the contractual duration of the hedged securities; derivatives used under the fair value option are classified in the trading book.

Funding subject to hedging with derivative instruments under the fair value option is thus measured at fair value, in accordance with all the relative hedging derivatives which, for the purposes of the financial statements, have been classified under specific sub-items in the trading book.

In the income statement, positive and negative spreads or margins relative to derivative contracts until the reporting date are recognised as interest income and expense, while valuation profits and losses are posted under item “80 - Net profit (loss) from trading”. Profit/loss from financial liabilities measured at fair value is recognised:

- among other revenue items without reversal to the income statement for the amount referring to changes in own creditworthiness;
- in item 110 “Net profit (loss) from other financial assets and liabilities measured at fair value through profit or loss” for the residual portion of the fair value change.

The above recognition method does not create nor expand accounting asymmetry in the profit (loss) for the year, as the effects of changes in the credit risk of the Bank’s liabilities are not offset in profit or loss by a change in the fair value of another financial instrument measured at fair value through profit or loss for the year.



Type of transaction / Amount	Totale 31 12 2021					FV*
	VN	FV				
		Level 1	Level 2	Level 3	Total	
1. Deposits from banks	-	-	-	-	-	-
2. Deposits from customers	-	-	-	-	-	-
3. Debt securities issued	86,495	-	145,333	-	145,333	173,924
3.1 Structured	-	-	-	-	-	X
3.2 Other	86,495	-	145,333	-	145,333	X
Total	86,495	-	145,333	-	145,333	173,924

Key

NV = Nominal or Notional Value

FV = Fair Value

FV* = Fair value calculated excluding value adjustments due to variations in the credit rating of the issuer since the date of issue

3.1.a Financial liabilities measured at fair value: fair value option approach

All liabilities for which the fair value option was adopted refer to natural hedges through debt security derivatives for a book value of EUR 124.2 mln (EUR 145.3 mln as at 31 December 2021).

3.1.b Financial liabilities measured at fair value: structured debt securities

This statement is not completed because for both the current year and the comparative year, the Bank has no structured bonds issued and subject to fair value measurement.

3.2 Breakdown of “Financial liabilities designated at fair value”: subordinated liabilities

This table was not completed as the Bank has no such liabilities to report for either the current or the previous year.



Section 4 - Hedging derivatives - Item 40

4.1 Hedging derivatives: breakdown by type of hedging and underlying asset

	Fair value 31 12 2022				VN Total
	Level 1	Level 2	Level 3	Total	
A. Financial derivatives	-	301,491	-	301,491	3,815,574
1) Fair value	-	301,491	-	301,491	3,815,574
2) Cash flows	-	-	-	-	-
3) Foreign investments	-	-	-	-	-
B. Credit derivatives	-	-	-	-	-
1) Fair value	-	-	-	-	-
2) Cash flows	-	-	-	-	-
Total	-	301,491	-	301,491	3,815,574

key

NV = Nominal or Notional Value

The table displays the negative book value (fair value) of hedging derivatives for hedges carried out through hedge accounting.

In 2022, compared to 2021, there was a significant decrease in the negative fair value of hedging derivatives due to the upward trend in market rates, which reflected the increase of negative fair value of the hedged assets.

Information on the underlying strategies and objectives of hedge transactions can be found in the Section 2 - Market risks in Part E - Information on risks and hedging policies.

	Fair value 31 12 2021				VN Total
	Level 1	Level 2	Level 3	Total	
A. Financial derivatives	-	1,258,599	-	1,258,599	26,609,228
1) Fair value	-	1,258,599	-	1,258,599	26,609,228
2) Cash flows	-	-	-	-	-
3) Foreign investments	-	-	-	-	-
B. Credit derivatives	-	-	-	-	-
1) Fair value	-	-	-	-	-
2) Cash flows	-	-	-	-	-
Total	-	1,258,599	-	1,258,599	26,609,228

Key

NV = Nominal or Notional Value



4.2 Hedging derivatives: breakdown by hedged portfolios and type of hedging

Transaction/Type of hedge	Fair Value							Cash flow			Foreign investments	Total 31 12 2022
	Micro hedge							Macro Hedge	Micro Hedge	Macro Hedge		
	Debt securities and interest rate	Equity instruments and stock indices	currencies and gold	Credit	Goods	Others						
1. Financial assets measured at fair value through other comprehensive income	3,444	-	-	-	X	X	X	-	X	X	3,444	
2. Financial assets measured at amortised cost	206,476	X	54,861	-	X	X	X	-	X	X	261,337	
3. Portfolio	X	X	X	X	X	X	36,710	X	-	X	36,710	
4. Other transactions	-	-	-	-	-	-	X	-	X	-	-	
Total assets	209,920	-	54,861	-	-	-	36,710	-	-	-	301,491	
1. Financial liabilities	-	X	-	-	-	-	X	-	X	X	-	
2. Portfolio	X	X	X	X	X	X	-	X	-	X	-	
Total liabilities	-	-	-	-	-	-	-	-	-	-	-	
1. Expected transactions	X	X	X	X	X	X	X	-	X	X	-	
2. Financial assets and liabilities portfolio	X	X	X	X	X	X	-	X	-	-	-	
Total	209,920	-	54,861	-	-	-	36,710	-	-	-	301,491	

The tables show the negative fair values of hedging derivatives, classified by hedged assets or liabilities and type of hedging implemented.

In particular, on the assets side, fair value micro-hedging was used to hedge against interest rate risk on bonds classified in the portfolio “Financial assets measured at fair value through other comprehensive income” and on securities and loans classified in the portfolio “Financial assets measured at amortised cost”, in order to protect them from unfavourable interest rate changes. Fair value macro-hedging was carried out on fixed-rate and cap/floor floating rate mortgage loan portfolios.

With reference to financial liabilities, fair value micro-hedging of the interest rate risk refers primarily to hedges of liabilities represented by securities, while fair value macro-hedging of the interest rate risk refers to hedges of liabilities represented by deposit accounts.

More information on hedged assets and liabilities can be found in the tables contained in Part B of the notes to the financial statements for each section of the balance sheet items to which the hedged items are posted.



Transaction/Type of hedge	Fair Value						Cash flow			Foreign investments	Total 31 12 2021
	Micro hedge						Macro Hedge	Micro Hedge	Macro Hedge		
	Debt securities and interest rate	Equity instruments and stock indices	currencies and gold	Credit	Goods	Others					
1. Financial assets measured at fair value through other comprehensive income	14,953	-	-	-	X	X	X	-	X	X	14,953
2. Financial assets measured at amortised cost	516,759	X	37,409	-	X	X	X	-	X	X	554,168
3. Portfolio	X	X	X	X	X	X	648,120	X	-	X	648,120
4. Other transactions	-	-	-	-	-	-	X	-	X	-	-
Total assets	531,712	-	37,409	-	-	-	648,120	-	-	-	1,217,241
1. Financial liabilities	38,130	X	-	-	-	-	X	-	X	X	38,130
2. Portfolio	X	X	X	X	X	X	3,228	X	-	X	3,228
Total liabilities	38,130	-	-	-	-	-	3,228	-	-	-	41,358
1. Expected transactions	X	X	X	X	X	X	X	-	X	X	-
2. Financial assets and liabilities portfolio	X	X	X	X	X	X	-	X	-	-	-
Total	569,842	-	37,409	-	-	-	651,348	-	-	-	1,258,599

Section 5 - Changes in value of macro-hedged financial liabilities - Item 50

5.1 Change in value of hedged liabilities: breakdown by hedged portfolios

Change in value of macro-hedged financial liabilities/ Values	Total 31 12 2022	Total 31 12 2021
1. Positive fair value change of financial liabilities	0	15,875
2. Negative fair value change of financial liabilities	-77,363	-
Total	77,363	15,875

The balance of changes in value of the liabilities subject to macro-hedging of interest rate risk is recognised in this item.

The decrease in the value adjustment of financial liabilities subject to macro hedging is due to the sharp rise in market rates during the financial year which resulted in a decrease in the fair value of the financial liabilities against increases in the value of the related hedging derivatives.

Section 6 – Tax liabilities – Item 60

For comments on tax liabilities please refer to “Section 10 - Tax assets and tax liabilities” of the balance sheet assets.

Section 7 – Liabilities associated with disposal groups – Item 70

For the details of the liabilities associated with disposal groups, please refer to “Section 11 - Non-current assets and disposal groups and associated liabilities” of the balance sheet assets.



Section 8 – Other liabilities – Item 80

8.1 Other liabilities: breakdown

	Total 31 12 2022	Total 31 12 2021
Due to the Revenue and other tax levying authorities	158,704	130,207
Due to social security authorities	965,004	151,143
Amounts available to customers	105,611	99,988
Other amounts due to employees	11,656	17,065
Items in transit between branches	1,378	1,953
Items in processing	503,997	271,999
Payables in relation to the payment of supplies of goods and services	107,651	127,797
Accrued expenses and unearned revenues not attributable to other line items	30,018	34,730
Payables for consolidated income tax return	496,013	491,429
Other	859,991	1,307,403
Total	3,240,023	2,633,714

Sub-items “Items in processing” and “Other” include transactions which were cleared during the first days of 2023.

The amount recognised in the sub-item “Payables to social security institutions” is mainly due to the provision in favour of the Solidarity Fund, net of the payment of the related contribution, made by the Bank for the administration of staff reductions within the framework of the trade union agreement signed on 4 August 2022. For further details reference is made to paragraph “Other significant accounting practices” in Part A of these Notes to financial statements

For the disclosures pursuant to IFRS 15.116 and IFRS 15.118, please refer to section 12 of the assets.



Section 9 – Provision for employee severance pay – Item 90

9.1 Provision for employee severance pay: annual changes

	Total 31 12 2022	Total 31 12 2021
A. Opening balance	153,827	160,879
B. Increases	2,814	979
B.1 Provision for the year	2,656	979
B.2 Other increases	158	-
C. Decreases	90,404	8,030
C.1 Severance payments	75,809	5,038
C.2 Other decreases	14,595	2,992
D. Closing balance	66,238	153,827

9.2 Other information

Employee severance pay is defined as a “defined benefit plan”, in accordance with international accounting standards.

In accordance with the provisions of art. 2120 of the Italian Civil Code, employee severance pay would amount to EUR 71.7 mln.

The provision for the year, as clarified by the Bank of Italy, does not include amounts which, as a result of the reform introduced by Italian Legislative Decree no. 252 of 5 December 2005, are paid directly by the Bank, depending on the various employee options, to complementary pension schemes or to the treasury fund managed directly by the Italian National Social Security Institute (INPS). These items are recognised in personnel expenses, as “contributions to external pension funds: defined contribution”.

9.2.a Changes in net defined benefit liabilities during the year: severance pay

The table below provides the information required by paragraphs 140 and 141 of IAS 19.

Item/Amount	Present value of DBO	
	31 12 2022	31 12 2021
Opening balance	153,827	160,879
Current service cost	-	-
Interest income/expense	2,656	979
Remeasurement of net defined benefit liability (asset):	(12,385)	(2,077)
Actuarial gains (losses) arising from changes in demographic assumptions	14	-
Actuarial gains (losses) arising from experience adjustments	4,156	2,239
Actuarial gains (losses) arising from changes in financial assumptions	(16,555)	(4,316)
Payments from plan	(75,809)	(5,038)
Other changes	(2,052)	(915)
Closing balance	66,238	153,827

9.2.b Key actuarial assumptions used

Key actuarial assumptions/percentage	31 12 2022	31 12 2021
Discount rates	3.61%	0.38%
Expected rates of salary increases	X	X

9.2.c Sensitivity of defined benefit obligation of severance pay to changes in key actuarial assumptions

Actuarial assumptions	31 12 2022		31 12 2021	
	Change in DBO	Change (%) in DBO	Change in DBO	Change (%) in DBO
Discount rates				
Increase of 0.25%	(1,220)	-1.84%	(2,994)	-1.95%
Decrease of 0.25%	1,223	1.85%	2,817	1.83%

Section 10 – Provisions for risks and charges – Item 100**10.1 Provisions for risks and charges: breakdown**

Item/Amount	Total 31 12 2022	Total 31 12 2021
1. Provisions for credit risk on commitments and financial guarantees issued	136,438	134,053
2. Provisions for other commitments and guarantee issued	3,551	7,101
3. Post employment benefits	23,516	26,793
4. Other provisions for risks and charges	1,282,924	1,415,275
4.1 legal disputes	866,782	995,364
4.2 personnel charges	53,238	41,099
4.3 other	362,904	378,812
Total	1,446,429	1,583,222

For further details of the sub-item 4.3 “others”, please refer to table 10.6 below “Provisions for risks and charges - Other provisions”.



10.2 Provisions for risks and charges: annual changes

Item/Amount	Total 31 12 2022			
	Provisions for other commitments and guarantee issued	Post employment benefits	Other Provisions for risks and charges	Total
A. Opening balance	7,101	26,793	1,415,275	1,449,169
B. Increases	-	56,492	357,289	413,781
B.1 Provision in the year	-	4	343,253	343,257
B.2 Changes due to the time value of money	-	-	11,121	11,121
B.3 Changes due to discount rate variation	-	-	13	13
B.4 Other increases	-	56,488	2,902	59,390
C. Decreases	3,551	59,769	489,640	552,960
C.1 Use during the year	-	2,457	144,894	147,351
C.2 Changes due to discount rate changes	-	57,312	70,997	128,309
C.3 Other decreases	3,551	0	273,749	277,300
D. Closing balance	3,550	23,516	1,282,924	1,309,990

10.2-bis Other provisions for risks and charges: annual changes

Item/Amount	Total 31 12 2022			
	Provisions for legal disputes	Provisions for personnel charges	Others Provisions	Total
A. Opening balance	995,364	41,099	378,812	1,415,275
B. Increases	178,570	41,897	136,821	357,288
B.1 Provision in the year	168,488	40,925	133,839	343,252
B.2 Changes due to the time value of money	10,071	401	649	11,121
B.3 Changes due to discount rate variation	11	2	-	13
B.4 Other increases	-	569	2,333	2,902
C. Decreases	307,152	29,758	152,729	489,639
C.1 Use during the year	54,039	21,038	69,817	144,894
C.2 Changes due to discount rate changes	67,376	2,051	1,570	70,997
C.3 Other decreases	185,737	6,669	81,342	273,748
D. Closing balance	866,782	53,238	362,904	1,282,924

The provisions in line B.1 in line with the columns:

- “Provisions for legal and tax disputes” are mainly related to the disputes concerning financial information disclosed in the period 2008-2015 and to debt collection;
- “Other provisions” include the valuations relating to the risks associated with guarantees issued as part of the derisking of non-performing loans and to the risks relating to transactions with customers, including those against expected future repayments associated with contracts falling within the scope of IFRS 15.

Write-backs of provisions mainly refer to the improvement registered in the risk profile of certain types of legal risks in line C-3 “Other changes” and to the discounting effect - in line with the rising interest rate scenario - recognised in line C.2 “Variations due to changes in the discount rate”.



For further details, please refer to Section 5 “Operational risks” of Part E of the Notes to the Financial Statements.

10.3 Provisions for credit risk relative to commitments and financial guarantees given

	Provisions for credit risk on commitments and financial guarantees issued				
	Stage 1	Stage 2	Stage 3	Purchased or originated credit impaired	Total 31 12 2022
Commitments to disburse funds	4,156	3,818	-	-	7,974
Financial guarantees issued	8,600	10,157	102,054	7,653	128,464
Total 31 12 2022	12,756	13,975	102,054	7,653	136,438
Total 31 12 2021	12,250	15,713	104,651	1,439	134,053

10.4 Provisions on other commitments and guarantees given

Provisions on other commitments under IAS 37 and other guarantees issued under IFRS4	Totale 31 12 2022		Totale 31 12 2021	
	Nominal amount	Provisions	Nominal amount	Provisions
Commitments to disburse funds	3,551	3,551	7,101	7,101
Other financial guarantees issued	-	-	-	-
Totale	3,551	3,551	7,101	7,101



10.5 Defined benefit company pension funds

10.5.1. Description of funds and related risks

The information provided below concerns defined benefit pension funds in favour of employees and terminated employees, i.e. funds in which the obligation of future payment of retirement benefits is undertaken by the fund itself and indirectly by the Bank, which may be required to increase the value of the obligation in the event of inadequate capital assessed in accordance with actuarial criteria.

For each defined benefit plan the Bank relies on analyses carried out by an independent certified actuary.

In accounting for plans, the determination of the surplus or deficit is estimated through the use of the actuarial technique of the “projected unit credit method”; therefore, the fair value of the plan assets, if any, was deducted from the current value of the obligation, as shown in the statement of financial position. For further details, please refer to Part A of these Notes to the Financial Statements.

The valuations concerned the participating employees, whether retired or active (who form a closed group) at the date of valuation, and were carried out on the basis of these groups of employees as measured in December 2022.

In accordance with IAS 19, revised by amendments issued by IASB on 16 June 2011 and approved by EU Regulation no. 475/2012 dated 5 June 2012, in determining the total cost of each defined benefit plan, which - as is well-known - may be influenced by many variables, objective and prudential technical bases were adopted in formulating both demographic and financial assumptions.

In view of the evolutionary nature of the main relevant aggregates, actuarial valuations were performed under dynamic conditions, so as to subsume in the medium-long term both the average annual changes in the benefits defined in each plan, and the interest rate trends expected in the financial market.

Some of the main actuarial assumptions that were formulated and used as valuation bases are mentioned below:

1. technical mortality basis: using death probability data as provided in ISTAT's 2021 tables, broken down by gender and age, with mortality reduced by 30% to consider longevity risk;
2. economic-financial basis: using as annual relative interest rate the interpolated EUR Composite AA rate curve as at 31 December 2022.

For each defined benefit plan, the balance sheet equity resulting from valuations carried after reconciliation of actuarial assets and liabilities as at 31 December 2022 underwent a sensitivity analysis to examine the effects of changes in the key technical assumptions included in the calculation model (average annual discount rate and inflation rate), and the results were presented in specific tables.

The theoretical future increase in INPS pensionable earnings was not included in the sensitivity analysis because it is essentially irrelevant for the preparation of the technical financial statements as, given that all defined benefit pensions funds are closed to new participants and taking into account the progressive decrease in the active population due to retirements during the year, the ratio between active and retired participants has now reduced to a percentage of less than 0.1%.

The defined benefit funds, in which the Bank is co-obliged within the limits set out in the articles of association or in the regulations of each fund, are either internal funds, divided in the description below between unfunded and funded, or independent external funds.

As more fully described in the section on subsequent events in Part A of these Notes to the financial statements to which reference should be made, on 19 January 2023 the Bank finalised the centralisation and unification of the defined benefit funds (with the exception of Cassa di Previdenza Aziendale MPS) in a new Section B of the Monte dei Paschi di Siena Pension Fund, as authorised by the Pension Fund Authority (Commissione di Vigilanza sui Fondi Pensione, COVIP).



The following table summarises the membership of the different funds as at 31 December 2022.

Unfunded internal funds	Retired	Active	Deferred
Supplementary pension provision for staff in the former tax collection division of Banca Monte dei Paschi di Siena S.p.A. -(Register no. 9185)	280	0	0
Treatment of INPS (Italian state pension Institute) performance for former Banca Operaia di Bologna staff (Bank Register no.9142)	60	3	0
Pension provision for employees of former Banca di Credito Popolare e Cooperativo di Reggio Emilia (Bank Register no.9178)	7	0	0
Pension provision for employees of former Banca Popolare Veneta (Bank Register no. 9066).	13	0	0
Funded internal funds	Retired	Active	Deferred
Pension provision for employees of former Banca Nazionale Agricoltura (Bank Register no. 9047)	181	0	3
Complementary pension provision for employees of former Banca Toscana (Bank Register no. 9110)	686	3	0
External funds	Retired	Active	Deferred
Pension Fund for personnel of former Banca Agricola Mantovana S.p.A. (Bank Register no. 1341)	28	0	1
Pension Fund for personnel of former Banca Antonveneta S.p.a. (Register no. 1033)	25	0	0

Unfunded internal funds

Supplementary pension provision for staff in the former tax collection division of Banca Monte dei Paschi di Siena S.p.A.

(Bank Register no. 9185)

This is a defined benefit plan designed to provide retired staff of the former Direct Management division of the Bank with a supplementary pension in the form of an annuity.

The entitled population, consisting of personnel of the former business unit divested in 2006, retired after 1982.

For the purposes of the preparation of the technical financial statements, the liabilities were valued taking into account INPS pension payment regulations issued by Italian Law no. 335/95 as amended and the Plan Regulations.

The valuations concerning participants were carried out on the basis of the positions of retirees, taking into account details on currently paid pensions, types of pension, personal data of the beneficiary and amount of the annuity paid by the Fund and that paid by INPS. In the event that the agreed benefits are costlier than expected, the Bank remains responsible for providing additional funds to meet the financial requirements of the retirement plans.

The valuations show an actuarial loss of EUR 0.01 mln as at 31 December 2022.

National insurance (INPS) for former Banca Operaia di Bologna staff

(Bank Register no. 9142)

The fund is intended to supplement benefits paid out under INPS pension schemes for retired employees of former Banca Operaia di Bologna.

The Fund Regulations, signed on 23 September 1980, provide for supplementary benefit up to a certain percentage of the last salary earned. For pension calculation purposes, annual salary is understood as the set of items paid on a continuous basis; benefits are paid out to surviving dependants. For the purposes of the preparation of the technical financial statements, the liabilities were valued taking into account INPS pension payment regulations issued by Italian Law no. 335/95 as amended.

The valuations concerning participants were carried out taking into account details on currently paid pensions, personal data of the beneficiary and the ratio between the annuity paid by the Fund and that paid by INPS. In the



event of a deficit, the Bank remains responsible for providing additional funds to meet the financial requirements of the retirement plans.

The valuations show an actuarial gain of EUR 0.05 mln as at 31 December 2022.

Pension provision for employees of former Banca di Credito Popolare e Cooperativo di Reggio Emilia

(Bank Register no. 9178)

The sole aim of the fund is to supplement compulsory schemes in order to guarantee higher levels of insurance coverage for ex-employees of former Banca di Credito Popolare e Cooperativo di Reggio Emilia, as the direct beneficiaries of a life annuity or as the surviving spouse of a former employee.

The pension provision for employees participating in the Fund is governed by the Regulations issued in 1977 and later amended to reflect subsequent laws. It provides for payment of supplementary benefits so as to reach a certain percentage of the last salary earned.

The valuations concerning participants were carried out taking into account details on currently paid pensions, personal data of the beneficiary and the ratio between the annuity paid by the Fund and that paid by INPS. The obligation to pay the benefits lies with the Bank, which must provide the wherewithal to cover the liability over time.

The valuations show an actuarial gain of EUR 0.01 mln as at 31 December 2022.

Pension provision for employees of former Banca Popolare Veneta

(Bank Register no. 9066)

The pension plan is aimed at supplementing the benefits paid out by INPS for employees already retired at 7 December 1989 and their assignees, under labour agreements signed on 4 February 1956 and on 1 January 1982 for executive staff, as amended and supplemented.

The valuations concerning participants were carried out taking into account details on currently paid pensions, personal data of the beneficiary and the ratio between the annuity paid by the Fund and that paid by INPS. In the event of a deficit, the Bank is responsible for providing additional funds to meet the financial requirements of the retirement plans.

The valuations show an actuarial gain of EUR 0.46 mln as at 31 December 2022.

Funded internal funds

Pension provision for employees of former Banca Nazionale Agricoltura

(Bank Register no. 9047)

The purpose of this Provision is to pay additional retirement benefits over and above those paid by INPS to employees of the former Banca Nazionale dell'Agricoltura, who retired before 1 October 2000 or whose employment was terminated after this date without their having exercised the right, provided under the agreements of 12 September 2000, to transfer their contributions to another individual capitalisation, defined contribution fund.

The Fund Regulations, first approved in 1966, provide for supplementary benefit up to a certain percentage of the last salary earned, to be paid to the direct beneficiaries and their surviving dependants.

The valuations concerning participants were carried out taking into account details on currently paid pensions, personal data of the beneficiary and the ratio between the annuity paid by the Fund and that paid by INPS. Although the Fund has its own separate and independent allocation capital, the guarantee of performance of the benefit payment obligation lies with the Bank, which must ensure the wherewithal to cover the liability over time.

At the valuation date of 31 December 2022, the actuarial calculations show that the capital adequacy of the Fund satisfies the obligation to pay benefits with respect to the participants.

*Supplementary pension provision for employees of former Banca Toscana**(Bank Register no. 9110)*

This defined benefit supplementary pension fund is reserved for employees of the former Banca Toscana who were already retired at 1 January 1999 and to active employees hired before 27 April 1993 who did not opt at the time to transfer their contributions to an individual capitalisation and defined contribution fund.

The current Fund Regulations set out the rules concerning the retirement benefits to be paid to eligible employees, distinguishing between old age, seniority and disability pensions. Calculation of the supplementary benefits is based on the average of the last three years of employment, taking into account only the items specified in the Regulations.

The guarantee of performance of the benefit payment obligation lies with the Bank, which must ensure the wherewithal to cover the liability over time, although the Fund has its own separate accounting and capital, with the effects set out in art. 2117 of the Italian Civil Code.

At the valuation date of 31 December 2022, the actuarial calculations show that the capital adequacy of the Fund satisfies the obligation to pay benefits with respect to the participants.

External funds*Cassa di Previdenza Aziendale for Monte dei Paschi di Siena employees**(Bank Register no. 1127)*

The Fund has legal status and full independence in terms of capital and operation.

It is reserved to employees and retirees of the Bank hired up to 31 December 1990 who, following the agreement of 30 June 1989, opted to remain in the specific supplementary benefit Section under a defined benefit regime.

The Fund's governance consists of a Board of Directors and a Board of Statutory Auditors with joint membership (some of the members are appointed by the Bank and others are appointed by the participants) supported by the General Manager.

The Bank provides, free of charge, the employees, premises and other resources required for the autonomous management of the Cassa and incurs all the related costs and expenses, including those for the functioning of the governing and control bodies.

In terms of guarantees given, in accordance with art. 26 of the Articles of Association, any deficits in Section coverage which should be identified during actuarial checks will be made up by the Bank only to the extent necessary to maintain tier 1 services, in accordance with the guarantee to the participants undertaken in compliance with Italian Law no. 218/90 and referred to in the agreement of 24 June 1991.

The supplementary benefits, which are determined by subtracting the benefits paid out by INPS from the annual amount of the supplementary benefits, are made up of two components. The first component increases the benefits to be paid by the Cassa up to 70% of the fixed items of the salary of an employee of the same level, and the second component increases the supplementary benefits by a further 9%.

The assets that comprise the reference capital consist primarily of investments in securities, managed almost entirely under a financial management agreement, and properties.

The beneficiary population is composed of 2,285 retirees, 112 active employees and 21 employees on deferred retirement.

The technical report prepared in accordance with IAS 19 by the designated actuary shows the capital adequacy of the Supplementary Section with an asset fair value - calculated based on the last available value (30 November 2022) - of EUR 259.2 mln against a defined benefit obligation (DBO) as at 31 December 2022 of EUR 73.6 mln.



Pension Fund for personnel of former Banca Agricola Mantovana S.p.A.

(Bank Register no. 1341)

The Fund, which operates on a defined benefit basis, has legal status and full independence in terms of capital and operation, as its legal form is that of an unincorporated association under art. 36 of the Italian Civil Code.

The sole purpose of the Fund is to pay to the beneficiaries supplementary benefits over and above those paid out by INPS.

At the valuation date of 31 December 2022, actuarial calculations show a DBO (Defined Benefit Obligation) of EUR 0.6 mln against capital set aside to satisfy the pension obligation (Asset Fair Value) of EUR 0.65 mln.

Pension fund for personnel of former Banca Antonveneta S.p.A.

(Bank Register no. 1033)

The Fund, whose legal form is that of an unincorporated association in accordance with art. 36 of the Italian Civil Code, has the sole purpose of providing benefits in addition to AGO (General Compulsory Insurance) cheques, was established in 1966 and has continued to operate to date.

The currently limited group of pensioners entitled to benefits refers to those who at the time did not accept the proposal for the settlement in capital of the value of the position recognised.

At the valuation date of 31 December 2022, the value of the DBO (Defined Benefit Obligation) indicated by the actuarial calculations was EUR 1.3 mln against capital meant to satisfy the pension obligation of EUR 1.5 mln.

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The defined benefit pension fund for personnel of the former London branch (BMPS UK Pension Fund) is designed to pay for the employees' benefits upon reaching normal retirement age as well as benefits to other surviving beneficiaries. The pension plan is administered by a Trustee, whose members also include active employees; the financial resources are managed by a specialised company. The technical report prepared in accordance with IAS 19 criteria by the designated actuary at the valuation date of 31 December 2022 shows the capital adequacy of the plan, with a DBO (Defined Benefit Obligation) of EUR 34.4 mln against an asset fair value of EUR 42.1 mln.

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IAS 19 was also applied to calculate the actuarial values that could be used to determine the liability relating to the supplementary benefits associated with the former Credito Lombardo S.p.A. Considering the contractual nature of the obligation, the economic costs are incurred directly by the Bank. The currently limited population eligible for benefits includes a total of 79 immediate pensions, of which 48 direct and 31 indirect. The actuarial calculations show a DBO (Defined Benefit Obligation) of EUR 1.6 mln at the valuation date of 31 December 2022.

Finally, there is one position referring to a former General Manager of the Bank to whom specific economic benefits other than pension benefits are disbursed. In any event, they are assessed on the basis of actuarial parameters in order to determine the value of the Bank's obligation. This type of remuneration, specified contractually, consists in the payment of monthly benefits revalued on the basis of automatic pension equalisation indexes.

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As required by the Bank of Italy, the internal fund statements can be found in the annexes to the financial statements.

**10.5.2 Changes in net defined liability (asset) and reimbursement rights during the year**

The following tables show movements for the year in internal and external funds which, according to international accounting standards, come under the heading of defined benefit funds.

10.5.2a Changes in net defined liability (asset) and reimbursement rights during the year – Internal Funds

Item/Amount	31 12 2022			
	A (-)	B (+)	C (+)	D=A+B+C
	Plan assets	Present value of DBO	Effect of asset ceiling	Net defined benefit liability (asset)
Opening balance	(91,064)	104,176	13,587	26,699
Current service cost	X	4	X	4
Interest income/expense	(305)	335	46	76
Remeasurement of net defined benefit liability (asset):	1,596	(3,229)	733	(900)
Return on plan assets excluding interest	1,596	X	X	1,596
Actuarial gains (losses) arising from changes in demographic assumptions	X	3,557	X	3,557
Actuarial gains (losses) arising from experience adjustments	X	10,602	X	10,602
Actuarial gains (losses) arising from changes in financial assumptions	X	(17,388)	X	(17,388)
Changes in effect of limiting net defined benefit asset to asset ceiling	X	X	733	733
Past service cost and gains (losses) arising from settlements	X	-	X	-
Changes in foreign exchange rates	-	-	-	-
Contributions to plan:	-	-	-	-
by employer	-	-	X	-
by employee	-	-	X	-
Payments from plan	7,291	(9,748)	X	(2,457)
Effect of business combinations and disposals	-	-	-	-
Effect of any plan curtailments	-	-	X	-
Effect of any plan settlements	-	-	X	-
Other changes	-	-	-	-
Closing balance	(82,482)	91,538	14,366	23,422



Item/Amount	31 12 2021			
	A (-)	B (+)	C (+)	D=A+B+C
	Plan assets	Present value of DBO	Effect of asset ceiling	Net defined benefit liability (asset)
Opening balance	(98,933)	115,203	12,982	29,252
Current service cost	X	2	X	2
Interest income/expense	(10)	11	2	3
Remeasurement of net defined benefit liability (asset):	136	(750)	622	8
Return on plan assets excluding interest	136	X	X	136
Actuarial gains (losses) arising from changes in demographic assumptions	X	-	X	-
Actuarial gains (losses) arising from experience adjustments	X	135	X	135
Actuarial gains (losses) arising from changes in financial assumptions	X	(885)	X	(885)
Changes in effect of limiting net defined benefit asset to asset ceiling	X	X	622	622
Past service cost and gains (losses) arising from settlements	X	-	X	-
Changes in foreign exchange rates	-	-	-	-
Contributions to plan:	-	-	-	-
by employer	-	-	X	-
by employee	-	-	X	-
Payments from plan	7,724	(10,290)	X	(2,566)
Effect of business combinations and disposals	-	-	-	-
Effect of any plan curtailments	-	-	X	-
Effect of any plan settlements	-	-	X	-
Other changes	19	-	(19)	-
Closing balance	(91,064)	104,176	13,587	26,699



10.5.2b Changes in net defined liability (asset) and reimbursement rights during the year: External Funds

Item/Amount	31 12 2022			
	A (-)	B (+)	C (+)	D=A+B+C
	Plan assets	Present value of DBO	Effect of asset ceiling	Net defined benefit liability (asset)
Opening balance	(369,116)	143,036	226,173	93
Current service cost	X	-	X	-
Interest income/expense	(3,246)	1,603	1,643	-
Remeasurement of net defined benefit liability (asset):	59,949	(24,907)	(35,042)	-
Return on plan assets excluding interest	59,949	X	X	59,949
Actuarial gains (losses) arising from changes in demographic assumptions	X	836	X	836
Actuarially gains (losses) arising from experience adjustments	X	14,257	X	14,257
Actuarial gains (losses) arising from changes in financial assumptions	X	(40,000)	X	(40,000)
Change in effect of limiting net defined benefit asset to asset ceiling	X	X	(35,042)	(35,042)
Past service cost and gains (losses) arising from settlements	X	-	X	-
Changes in foreign exchange rates	3,711	(2,883)	(828)	-
Contributions to plan:	(2,255)	-	-	(2,255)
by employer	(2,255)	-	X	(2,255)
by employee	-	-	X	-
Payments from plan	6,885	(6,885)	X	-
Effect of business combinations and disposals	-	-	-	-
Effect of any plan curtailments	-	-	X	-
Effect of any plan settlements	-	-	X	-
Other changes	639	-	1,616	2,255
Closing balance	(303,433)	109,964	193,562	93



Item/Amount	31 12 2021			
	A (-)	B (+)	C (+)	D=A+B+C
	Plan assets	Present value of DBO	Effect of asset ceiling	Net defined benefit liability (asset)
Opening balance	(372,663)	157,188	215,572	97
Current service cost	X	-	X	-
Interest income/expense	(1,401)	1,187	214	-
Remeasurement of net defined benefit liability (asset):	2,472	(10,159)	7,683	(4)
Return on plan assets excluding interest	2,472	X	X	2,472
Actuarial gains (losses) arising from changes in demographic assumptions	X	(96)	X	(96)
Actuarial gains (losses) arising from experience adjustments	X	(4,213)	X	(4,213)
Actuarial gains (losses) arising from changes in financial assumptions	X	(5,850)	X	(5,850)
Change in effect of limiting net defined benefit asset to asset ceiling	X	X	7,683	7,683
Past service cost and gains (losses) arising from settlements	X	-	X	-
Changes in foreign exchange rates	(4,520)	3,746	774	-
Contributions to plan:	(2,380)	-	-	(2,380)
by employer	(2,380)	-	X	(2,380)
by employee	-	-	X	-
Payments from plan	8,924	(8,924)	X	-
Effect of business combinations and disposals	-	-	-	-
Effect of any plan curtailments	-	-	X	-
Effect of any plan settlements	-	-	X	-
Other changes	452	-	1,928	2,380
Closing balance	(369,116)	143,038	226,171	93

**10.5.2c Changes in net defined liability (asset) and reimbursement rights during the year – Total**

Item/Amount	31 12 2022			
	A (-)	B (+)	C (+)	D=A+B+C
	Plan assets	Present value of DBO	Effect of asset ceiling	Net defined benefit liability (asset)
Internal funds	(82,482)	91,538	14,366	23,422
External funds	(303,433)	109,964	193,562	93
Total defined benefit funds	(385,915)	201,502	207,928	23,516

Item/Amount	31 12 2021			
	A (-)	B (+)	C (+)	D=A+B+C
	Plan assets	Present value of DBO	Effect of asset ceiling	Net defined benefit liability (asset)
Internal funds	(91,064)	104,176	13,587	26,699
External funds	(369,116)	143,039	226,171	94
Total defined benefit funds	(460,180)	247,215	239,758	26,793

10.5.3 Information on the fair value of plan assets

Items	31 12 2022			
	Internal pension plans		External pension plans	
	Listed in active markets	Not listed in active markets	Listed in active markets	Not listed in active markets
Cash and cash equivalents	82,482	-	52,710	-
of which: used by the Bank	82,482	-	2,128	-
Equity instruments	-	-	30,267	-
of which: used by the Bank	-	-	-	-
Debt instruments	-	-	136,077	-
of which: used by the Bank	-	-	-	-
Real estate	-	-	-	46,294
of which: used by the Bank	-	-	-	-
Derivatives	-	-	-	-
UCITS	-	-	38,085	-
Asset-backed securities	-	-	-	-
Structured debt	-	-	-	-
Total	82,482	-	257,138	46,294
<i>of which: own instruments/assets used by the Bank</i>	<i>82,482</i>	<i>-</i>	<i>2,128</i>	<i>-</i>

The table shows, for funded defined benefit plans, the total amount of plan assets. In particular, the assets refer to the following funds:

- Pension Fund for personnel of former Banca Agricola Mantovana S.p.A.,
- Pension Fund for personnel of former Banca Toscana S.p.A.,
- Pension Fund for personnel of former Banca Nazionale dell'Agricoltura,



- Pension Fund for personnel of former Banca Antonveneta,
- Cassa di Previdenza Aziendale for Monte dei Paschi di Siena employees, defined benefit section,
- Pension Fund for personnel of the Parent Company of the London branch.

All funds are in excess of existing obligations at the end of the financial year.

Items	31 12 2022			
	Internal pension plans		Piani Esterni	
	Listed in active markets	Non quotati in mercati attivi	Listed in active markets	Non quotati in mercati attivi
Cash and cash equivalents	66,390	-	7,773	-
of which: used by the Bank	66,390	-	2,433	-
Equity instruments	-	-	36,721	-
of which: used by the Bank	-	-	-	-
Debt instruments	24,674	-	104,819	-
of which: used by the Bank	-	-	-	-
Real estate	-	-	-	49,535
of which: used by the Bank	-	-	-	-
Derivatives	-	-	-	-
UCITS	-	-	156,224	14,044
Asset-backed securities	-	-	-	-
Structured debt	-	-	-	-
Total	91,064	-	305,537	63,579
<i>of which: own instruments/assets used by the Bank</i>	<i>66,390</i>	<i>-</i>	<i>2,433</i>	<i>-</i>

10.5.4 Key actuarial assumptions used

Key actuarial assumptions/percentages	31 12 2022		31 12 2021	
	Defined benefit funds		Defined benefit funds	
	Internal pension plans	External pension plans	Internal pension plans	External pension plans
Discount rates	3.55%	4.06%	0.34%	1.11%
Expected rates of salary increases	2.04%	2.38%	0.00%	1.88%

A discount rate of 3.55% was used for internal plans and of 4.06% for external ones (3.61% for the Provision for severance pay, see table 9.2b), calculated as a weighted average of interest rates in EUR Composite AA yield curve as at 31 December 2022, using, as weights, the ratio between the amount paid/paid in advance for each maturity and the total amount to be paid/pay in advance to the exhaustion of the population considered.

**10.5.5 Information on amount, timing and uncertainty of cash flows**

31 12 2022

Actuarial assumption	Change in DBO	Change (%) in DBO
Discount rate		
Increase of 0.25%	(4,557)	-2.23%
Decrease of 0.25%	4,005	1.96%
Expected rates of salary increases		
Increase of 0.25%	3,158	1.63%
Decrease of 0.25%	(3,709)	-1.91%

31 12 2021

Actuarial assumption	Change in DBO	Change (%) in DBO
Discount rate		
Increase of 0.25%	(6,890)	-2.79%
Decrease of 0.25%	6,410	2.59%
Expected rates of salary increases		
Increase of 0.25%	4,125	1.67%
Decrease of 0.25%	(1,313)	-0.53%

With respect to pay increases, it is not possible to conduct any sensitivity analysis given the static nature of the benefits linked to the choice of participants to stay in the fund.

10.5.6 Plans covering multiple employers

The table in this section was not completed since there are no plans covering multiple employers to report for either the current or previous year.

10.5.7 Defined benefit plans sharing risks among entities under common control

The table in this section was not completed since there are no defined benefit plans sharing risks among entities under common control to report for either the current or previous year.



10.6 Provisions for risks and charges: other provisions

Items/Amounts	Total 31 12 2022	Total 31 12 2021
2.1 Legal and tax disputes	866,782	995,364
- Revocatory	14,483	17,392
- Other legal disputes	841,727	971,152
- Tax disputes	10,572	6,820
2.2 Personnel charges	53,238	41,099
- Job disputes	49,375	33,277
- Leaving incentives	1,633	1,403
- Other	2,230	6,419
2.3 Other	362,904	378,812
- Risks related to the sale of business units	14,295	23,700
- Charges due to corporate restructuring	97	915
- Compensations due to credit sale operations	119,551	171,842
- Charges for embezzlement	1,329	2,128
- Claims and Court agreements	11,780	6,329
- Compensation initiative connected to the offers of diamonds	4,402	6,270
- Claw back clause (IFRS 15)	23,340	30,207
- Customer reimbursement	15,701	10,161
- Estimated legal fees for legal assistance services	34,665	36,376
- Other	137,744	90,884
Total	1,282,924	1,415,275

The decrease in line 2.1 “Other legal disputes” is mainly related to the improvement in the risk profile of some types of legal risks.

The amount of EUR 119.6 mln recognised in the line “Indemnities related to loan assignment transactions” represents the provision allocated to cover the risks associated with contractual guarantees issued as part of derisking transactions of non-performing loans.



10.7 Provisions for risks and charges: contingent liabilities

Typology	31 12 2022	31 12 2021
Legal and tax disputes	1,741,286	464,116
Revocatory	6,417	6,417
Other legal disputes	1,706,776	425,375
Tax disputes	28,093	32,324
Personnel charges	15,297	21,359
Job disputes	15,297	21,359
Others	877,167	443,029
Total	2,633,750	928,505

A contingent liability is defined as i) a possible obligation arising from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more future events not totally under control, or ii) a current obligation that arises from past events but is not recognised because use of resources aimed at producing economic benefits will likely not be required to settle the obligation or because the amount of the obligation cannot be measured with sufficient reliability.

Contingent liabilities are not subject to recording but, if deemed “possible”, are solely subject to disclosure. Conversely, contingent liabilities that are deemed to be of “remote” likelihood do not require any disclosure, pursuant to the provisions of IAS 37. Hence, the table above show only “possible” liabilities.

Similar to “possible” liabilities, contingent liabilities are also monitored because they may, over time, become “remote” or “probable”, with the need, in the latter case, to make the necessary provisions.

In this context, it should be noted that the classification of contingent liabilities and the relative amount is based on non-objective judgements that require recourse to sometimes extremely complex estimation procedures; therefore, they may be subject to redetermination over time.

Specifically, in reference to the dispute, the table shows the relief sought, where quantified; this value cannot be considered a measurement of the expected disbursement in accordance with IAS 37. In fact, the Bank does not deem it practical to provide an estimate of the expected disbursement, as the calculation would be complex and onerous.

The significant increase in the line Other is attributable to claims and out-of-court settlements/claims.

For further details, please refer to Section 1.5 “Operational risks” of Part E in the Notes to the Financial Statements.

Section 11 - Redeemable shares - Item 120

The tables in this section have not been completed as no data is present for the current financial year or for the previous financial year.



Section 12 - Company equity – Items 110, 130, 140, 150, 160, 170, 180

12.1 “Share capital” and “Treasury shares”: breakdown

12.1.a “Share capital” breakdown

(in unità di euro)

Items/Amounts	31 12 2022		31 12 2021	
	Implied par value share (a)	Par value of fully paid shares	Par value per share	Par value of fully paid shares
Ordinary shares	5.92	7,453,450,788	9.17	9,195,012,197
Total		7.453.450.788		9.195.012.197

On 6 June 2011 the Bank’s Extraordinary Shareholders’ Meeting resolved that indication of the nominal value of the classes of shares be eliminated; accordingly, as at 31 December 2011, the so-called “Implied nominal value” is indicated, which is obtained by dividing the total share capital amount by the number of shares in the same category, outstanding at the reference date.

Ordinary shares are registered and indivisible. Each share entitles to one vote. Information on the number of fully paid-up shares can be found in the notes to Table “12.2 Share capital – Number of shares: annual changes”.

At the reporting date, the Bank’s share capital amounted to EUR 7,453,450,788, represented by 1,259,689,706 ordinary shares without a nominal value, all outstanding.

The share capital decreased overall during the financial year due to the following events resolved by the Extraordinary Shareholders’ Meeting of the Parent Company on 15 September 2022: i) reduction of the share capital to cover previous losses, pursuant to art. 2446 of the Italian Civil Code and ii) share capital increase with consideration with the full subscription of the newly issued shares concluded on 4 November 2022. For further details, please refer to the “Statement of changes in Shareholders’ Equity - 2022” in the schedules of these Separate Financial Statements.

12.1.b “Treasury shares”: breakdown

At the date of these financial statements, this case is not present.

**12.2 Share capital - Number of shares: annual changes**

Item/Type	31 12 2022	31 12 2021
	Ordinary	Ordinary
A. Shares outstanding as at the beginning of the year	1,002,405,887	1,002,405,887
- fully paid	1,002,405,887	1,002,405,887
- not fully paid	-	-
A.1 Treasury shares (-)	-	21,511,753
A.2 Shares outstanding: opening balance	1,002,405,887	980,894,134
B. Increases	1,249,665,648	21,511,753
B.1 New issuances	1,249,665,648	-
- Against payment:	1,249,665,648	-
- Business combinations	-	-
- Bond converted	-	-
- warrants exercised	-	-
- other	1,249,665,648	-
- without payment:	-	-
- to employees	-	-
- to directors	-	-
- other	-	-
B.2 Sale of treasury shares	-	21,511,753
B.3 Other increases	-	-
C. Decreases	992,381,829	-
C.1 Cancellation	87	-
C.2 Purchase of treasury shares	-	-
C.3 Business transferred	-	-
C.4 Other decreases	992,381,742	-
D. Shares outstanding: closing balance	1,259,689,706	1,002,405,887
D.1 Treasury shares (+)	-	-
D.2 Shares outstanding as at the end of the year	1,259,689,706	1,002,405,887
- fully paid	1,259,689,706	1,002,405,887
- not fully paid	-	-

The increase in the number of shares outstanding, i.e. 1,249,665,648 ordinary shares of the Bank refer to the full subscription of the newly issued shares deriving from the share capital increase of EUR 2.5 bn finalised on 4 November.

The reduction in the number of shares outstanding refers to the grouping of BMPS ordinary shares in the ratio of no. 1 new ordinary share for every no. 100 existing ordinary shares, subject to the cancellation of 87 ordinary shares to permit the overall balancing of the transaction without change in the share capital, carried out on 26 September and aimed at reducing the number of shares outstanding in anticipation of the capital increase mentioned above.

At the date of these financial statements, the share capital is fully paid in.



12.3 Share capital: other information

12.3.a Equity instruments: breakdown and annual changes

As at 31 December 2022, as in the financial year used for comparison, the Bank held no equity instruments.

12.4 Retained earnings: other information

12.4.a Item "Reserves" - breakdown

Please refer to "Part F - Information on shareholders' equity" in these Notes to the Financial Statements.

12.4.b Information on Equity items under art. 2427 par. 7 bis of the Italian Civil Code

	Note	31 12 2022	Under tax suspension	Available for use	Amounts used in the last 5 years to cover losses
110 Valuation reserves	Equity instruments measured at fair value through other comprehensive income	(10,668)	-	-	-
	Financial assets (other than equity instruments) measured at fair value through other comprehensive income	(120,485)	-	-	-
	Cash flow Hedges	(1) 22,855	-	-	-
	Exchange differences	(1) 4,009	-	-	-
	Actuarial gains (losses) on defined benefit plans	(48,594)	-	-	-
	Valuation reserve of own credit risk	(1) 134,579	-	-	-
	Valuation reserve on tangible assets	(1) 14,153	-	-	-
	Valuation reserves	(4,150)	-	-	-
130 Equity instruments	Equity instruments	-	-	-	-
140 Reserves	- Merger surplus reserve	2,885	-	ABC	130,573
	- Adjustment AMCO spin-off reserve	-	-	-	196,187
	- Reserves of retained earnings 30/06/2022	(96,965)	-	-	96,965
	- Cost related to "Issue of new shares"	(127,325)	-	-	-
	Reserve	(221,406)	-	-	-
150 Share premium reserve	Share premium reserve	-	-	-	-
160. Share capital	Share capital	7,453,451	-	-	4,240,893
170. Treasury shares	Treasury shares	-	-	-	-
180. Profit (Loss) for the year	Profit (Loss) for the year	(135,782)	-	-	-
Total shareholders' equity			7,092,113	-	4,664,618

Key

- A) For capital increase
- B) To cover losses
- C) For distribution to shareholders

Notes:

- 1) The reserve is unavailable pursuant to art. 6 of Italian Legislative Decree no. 38/2005;

As at 31 December 2022, the Bank is obliged to replenish the reserve under art. 6, paragraph 1, letter a) of Italian Legislative Decree no. 38/2005 for an amount of EUR 24.7 mln.



12.5 Equity instruments: breakdowns and annual changes

Please refer to “Part F - Information on shareholders’ equity” in these Notes to the Financial Statements.

12.6 Other information

Please refer to “Part F - Information on shareholders’ equity” in these Notes to the Financial Statements.



12.6.a Proposal to cover losses under art. 2427, par. 22-septies of the Italian Civil Code

Dear Shareholders, we ask you to pass this resolution:

“The Shareholders’ Meeting of Banca Monte dei Paschi di Siena S.p.A., in ordinary session,

- *Separate Financial Statements at 31 December 2022, including the Reports of the Board of Directors, the Board of Statutory Auditors and the Independent Auditors;*
- *taking into account that the Shareholders’ Meeting, on 15 September 2022, has already ordered the use of the profit for the first half of the year of EUR 96,965,159.96 to cover previous losses and that, due to the loss for the year equal to at EUR 135,781,910, the loss for the second half of the 2022 financial year amounted to EUR 232,747,069.96;*
- *having acknowledged the data of the Consolidated Financial Statements as at 31 December 2022 with the related reports submitted by the Board of Directors and the Independent Auditors;*

RESOLVES

- *to approve the Separate Financial Statements as at 31 December 2022 for Banca Monte dei Paschi di Siena S.p.A., which close with loss for the year of EUR 135,781,910;*
- *to carry forward the loss of the second half of the financial year for EUR 232,747,069.96”.*

Siena, 8 March 2023

the Board of Directors



Other information

1 Commitments and financial guarantees given (other than those measured at fair value)

Nominal Amount	31 12 2022					Total
	Stage 1	Stage 2	Stage 3	Purchased or originated credit impaired financial assets	Total	31 12 2021
Commitments to disburse funds	23,613,839	685,215	268,846	3,200	24,571,100	26,150,215
a) Central banks	-	-	-	-	-	6
b) Public entities	615,667	-	59	-	615,726	988,537
c) Banks	1,750,291	-	-	-	1,750,291	1,694,320
d) Other financial companies	892,827	1,173	9,553	-	903,553	998,482
e) Non-financial companies	18,291,984	579,911	246,268	3,200	19,121,363	20,087,123
f) Families	2,063,070	104,131	12,966	-	2,180,167	2,381,747
Financial guarantees given to	4,594,900	404,623	182,989	9,100	5,191,612	5,482,751
a) Central banks	60	-	-	-	60	60
b) Public entities	46,993	953	-	-	47,946	37,843
c) Banks	831,708	250	-	-	831,958	753,799
d) Other financial companies	150,050	5,907	891	-	156,848	155,144
e) Non-financial companies	3,494,020	394,392	179,531	9,100	4,077,043	4,448,379
f) Families	72,069	3,121	2,567	-	77,757	87,526
Total	28,208,739	1,089,838	451,835	12,300	29,762,712	31,632,966



2 Other commitments and guarantees given

	Nominal value	
	31 12 2022	31 12 2021
Other guarantees given to	19,542	258,300
<i>of which: non-performing exposures</i>	-	-
a) Central Banks	-	-
b) Public entities	-	-
c) Banks	11,700	-
d) Other financial companies	7,842	258,300
e) Non-financial companies	-	-
f) Families	-	-
Other commitments	386,904	696,793
<i>of which: non-performing exposures</i>	-	-
a) Central Banks	-	-
b) Public entities	-	-
c) Banks	-	-
d) Other financial companies	-	-
e) Non-financial companies	386,904	696,793
f) Families	-	-
Total	406,446	955,093

The table shows, at the line “Other guarantees given”, the maximum risk resulting from the failure to comply with the representations and warranties issued by the Bank in the context of the transactions for derisking of non-performing loans, almost entirely maturing during 2022.

3 Assets pledged as collateral for liabilities and commitments

Portfolios	31 12 2022	31 12 2021
1. Financial assets measured at fair value through profit or loss	12,566	15,813
2. Financial assets measured at fair value through other comprehensive income	941,265	4,923,380
3. Financial assets measured at amortised cost	34,604,563	42,548,993
4. Property, plant and equipments	-	-
<i>of which: inventories of tangible assets</i>	-	-

The table summarises the assets pledged by the Bank as collateral for its liabilities, mainly represented by repurchase agreements. The amount in line “3. Financial assets measured at amortised cost” includes approximately EUR 22.0 bn relating to mortgages sold to the SPVs MPS Covered Bond S.r.l. and MPS Covered Bond 2 S.r.l. as part of the two covered bond issuance programmes and approximately EUR 10.2 bn related to loans pledged as collateral with the Eurosystem (ABACO).



4 Asset management and trading on behalf of third parties

Type of service	Amount 31 12 2022
1. Trading of financial instruments on behalf of third parties	1,442,660
a) Purchases	838,616
1. Settled	838,616
2. Unsettled	-
b) Sales	604,044
1. Settled	604,044
2. Unsettled	-
2. Asset management accounts	2,894,308
a) individual	2,894,308
b) collective	-
3. Custody and administration of securities	106,301,103
a) third-party securities on deposit associated with custodian bank transactions (excluding asset management)	-
b) Other third-party securities on deposit (excluding asset management)	48,018,505
1. Securities issued by companies included in consolidation	70,332
2. Other securities	47,948,173
c) third-party securities deposited with third parties	37,888,458
d) own securities deposited with third parties	20,394,140
4. Other transactions	15,268,669

5 Financial assets subject to offsetting, enforceable framework offsetting agreements and similar agreements.

Type	Gross amount of financial assets (a)	Amount of financial liabilities offset in balance sheet (b)	Net amount of financial assets recognised in the balance sheet (c=a-b)	Related amounts not subject to balance sheet offsetting		Net amount (f=c-d-e) 31 12 2022	Net amount 31 12 2021
				Financial instruments (d)	Deposits of cash collateral received (e)		
1. Derivatives	1,995,037	517,297	1,477,740	221,157	76,737	1,179,846	207
2. Repurchase agreements	5,031,129	-	5,031,129	5,025,345	-	5,784	217
3. Securities lending	-	-	-	-	-	-	-
4. Other	-	-	-	-	-	-	-
Total as at 31 12 2022	7,026,166	517,297	6,508,869	5,246,502	76,737	1,185,630	X
Total as at 31 12 2021	6,365,898	157,640	6,208,258	6,056,180	151,654	X	424



6 Financial liabilities subject to offsetting, enforceable framework offsetting agreements and similar agreements.

Forme Tecniche	Gross amount of financial liabilities (a)	Amount of financial assets offset in balance sheet (b)	Net amount of financial liabilities recognised in the balance sheet (c=a-b)	Related amounts not subject to balance sheet offsetting		Net amount (f=c-d-e) 31 12 2022	Net amount 31 12 2021
				Financial instruments (d)	Deposits of cash collateral received (e)		
1. Derivatives	1,114,819	517,297	597,522	221,157	312,203	64,162	169,844
2. Repurchase agreements	537,264	-	537,264	418,188	-	119,076	268
3. Securities lending	-	-	-	-	-	-	-
4. Other	-	-	-	-	-	-	-
Total as at 31 12 2022	1,652,083	517,297	1,134,786	639,345	312,203	183,238	X
Total as at 31 12 2021	3,597,965	157,640	3,440,325	2,095,323	1,174,890	X	170,112

IFRS 7 requires disclosure of information for all financial instruments that:

- were offset in the balance sheet pursuant to IAS 32;
- could potentially be offset, given certain conditions, but presented in the balance sheet as open balances as they are governed by “framework offsetting agreements or similar agreements” which do not meet the criteria established in IAS 32 for offsetting.

The amount offset in the financial statement refers to trading in OTC derivatives through central counterparties.

For the purposes of reconciliation of the amounts shown in the column (c) “net amount of financial assets/liabilities recognised in the balance sheet” with the opening balances shown in “Part B – Information on the balance sheet”, it should be noted that:

- the amount related to both trading and hedging derivative financial instruments, aided by netting agreements or similar, is represented in asset items 20 a) “Financial assets held for trading” and 50 “Hedging derivatives” and in liability items 20 “Financial liabilities held for trading” and 40 “Hedging derivatives”;
- the amount related to repurchase agreements subject to netting agreements or similar is shown in line “Repurchase agreements/Reverse repurchase agreements” in the tables containing a breakdown of asset item 40 “Financial assets measured at amortised cost” and liability item 10 “Financial liabilities measured at amortised cost”.

It should also be noted that:

- with regard to securities lending transactions, in these tables transactions involving the payment of cash collateral fully owned by the lender are included in the item “Repurchase agreements”;
- the repurchase agreements are recognised in the tables at amortised cost, while the financial collateral and derivative transactions are reported at their fair value.



7 Securities lending transactions

The Bank has not carried out securities lending transactions guaranteed by other securities as borrower.

As regard unsecured securities lending transactions as at 31 December 2022, the Bank has also in place, as borrower, securities lending transactions (equity securities) with customers, amounting to approximately EUR 9.5 mln.

These transactions, which in compliance with current accounting standards have no impact on the balance sheet, are carried out with the aim of streamlining the management of the Group's securities portfolio.

8 Information on joint control activities

At the reporting date, as in the previous financial year, there were no jointly controlled arrangements qualifying as "joint operations" within the meaning of IFRS 11, according to which the parties with joint control have rights to the assets and obligations to the liabilities of the arrangement.



Part C - Information on the income statement



Section 1 - Interest income/expense and similar revenues/charges - Items 10 and 20

1.1 Interest income and similar revenues: breakdown

Item/Type	Debt securities	Loans	Other transactions	Total 31 12 2022	Total 31 12 2021
1. Financial asset measured at fair value through profit and loss	6,315	3,301	-	9,616	14,949
1.1 Financial asset held for trading	-	-	-	-	5,568
1.2 Financial assets designated at fair value	-	-	-	-	-
1.3 Financial assets mandatorily measured at fair value	6,315	3,301	-	9,616	9,381
2. Financial asset measured at fair value through other comprehensive income	39,942	-	X	39,942	31,846
3. Financial assets measured at amortised cost	150,488	1,529,102	X	1,679,590	1,439,020
3.1. Loans to banks	34,550	126,876	X	161,426	119,972
3.2 Loans to customers	115,938	1,402,226	X	1,518,164	1,319,048
4. Hedging derivatives	X	X	(54,203)	(54,203)	(77,676)
5. Other assets	X	X	114,750	114,750	7,411
6. Financial liabilities	X	X	X	134,048	281,291
Total	196,745	1,532,403	60,547	1,923,743	1,696,841
<i>of which interest income on credit impaired assets</i>	-	45,347	-	45,347	39,759
<i>of which interest income on financial leasing</i>	-	-	-	-	-

Line 4 “Hedging derivatives”, in the “Other transactions” column, includes the spread related to hedging derivatives rectifying the interest income recognised on the hedged financial instruments.

Line 5 “Other assets”, column “Other transactions”, shows the interest accrued on sight deposits and current accounts with central banks classified under the item “Cash and cash equivalents”, of which EUR 81.4 mln referring to sight deposits with the ECB. The same item also includes accrued interest income on tax credits in the amount of EUR 20.9 mln.

Line 6 “Financial liabilities” includes EUR 130.5 mln (EUR 278.8 mln as at 31 December 2021) of accrued interest on longer-term financing transactions (TLTRO-III). For the accounting treatment relating to the recognition of interest for the period, reference is made to what is illustrated in the paragraph “Other relevant accounting treatments” contained in Part A of the Notes to the Financial Statements.

Interest income, calculated for financial assets measured at amortised cost under the effective interest rate method, is entered in different columns based on the original ‘technical form’. The amount accrued during the financial year for positions that are classified as “non-performing” as at the reporting date totalled EUR 45.3 mln (EUR 39.8 mln as at 31 December 2021).

Interest on arrears accrued is posted to net interest income only for the portion actually collected.

For a trend analysis of the items concerned, reference should be made to the Report on Operations.



1.2 Interest income and similar revenues: other information

1.2.1 Interest income from financial assets denominated in foreign currency

Interest income from financial assets denominated in foreign currency for 2022 amounted to EUR 19.7 mln, compared to EUR 7.9 mln in 2021.

1.2.2 Interest income from finance leases

This table was not compiled since the Bank had no finance leases on which interests accrue to report for either the financial period under review or the previous financial year.

1.3 Interest expense and similar charges: breakdown

Item/Type	Deposits	Securities	Other transactions	Total 31 12 2022	Total 31 12 2021
1. Financial liabilities measured at amortised cost	(240,015)	(309,154)	-	(549,169)	(588,057)
1.1 Due to Central banks	(13)	X	X	(13)	(54)
1.2 Due to banks	(114,700)	X	X	(114,700)	(112,471)
1.3 Due to customers	(125,302)	X	X	(125,302)	(138,395)
1.4 Debt securities issued	X	(309,154)	X	(309,154)	(337,137)
2. Financial liabilities held for trading	-	-	(873)	(873)	-
3. Financial liabilities designated at fair value	-	(5,375)	-	(5,375)	(5,842)
4. Other liabilities	X	X	1	1	(270)
5. Hedging derivatives	X	X	(32,572)	(32,572)	18,285
6. Financial assets	X	X	X	(63,981)	(133,446)
Total	(240,015)	(314,529)	(33,445)	(651,970)	(709,330)
<i>of which interest debt for leasing</i>	4,358	-	-	4,358	5,042

Lines “1.2 Deposits from banks” and “1.3 Deposits from customers”, in the “Deposits” column, include interest on payables under repo agreements on: treasury securities recognised in the balance sheet or securities not recognised in the balance sheet obtained through repo transactions or from self-securitisations without derecognition.

Line “1.4 Debt securities issued” indicates the interest expense accrued during the financial year on bonds and certificates of deposit valued at amortised cost.

Line 2 “Financial liabilities held for trading”, in the “Other transactions” column, includes the negative net balance of spreads relating to derivatives connected with financial liabilities measured at fair value (fair value option).

Line 5 “Hedging derivatives”, in the “Other transactions” column, includes the spreads for hedging derivatives providing a correction for the interest expense recognised on the hedged financial instruments.

Line 6 “Financial assets” amounting to EUR 64.0 mln (EUR 133.4 mln as at 31 December 2021) shows the negative interest accrued on financial assets and includes EUR 55.2 mln (EUR 92.9 mln as at 31 December 2021) relating to the negative remuneration of the reserves excess with respect to the compulsory reserve deposited with the Eurosystem.

For a trend analysis of the items concerned, reference should be made to the Report on Operations.



1.4 Interest expense and similar charges: other information

1.4.1 Interest expense on liabilities denominated in foreign currency

Interest expense on financial liabilities denominated in foreign currency for 2022 amounted to EUR 3.0 mln as compared to EUR 1.6 mln in 2021.

1.5 Spreads on hedging transactions

Items	Totale	Totale
	31 12 2022	31 12 2021
A. Positive spreads on hedging transactions	518	37,170
B. Negative spreads on hedging transactions	(87,293)	(96,560)
C. Balance (A+B)	(86,775)	(59,390)

In line with its hedging objectives and consequent minimisation of risks in the banking book, the Bank carries out fair value hedging transactions.



Section 2 - Fee and commission income/expense - Items 40 and 50

2.1 Fee and commission income: breakdown

Type of service / Amount	Total 31 12 2022	Total 31 12 2021
a) Financial instruments	84,957	85,378
1. Placement of securities	5,218	3,129
1.1 Underwriting on the basis of an irrevocable commitment	-	-
1.2 without irrevocable commitment	5,218	3,129
2. Reception and transmission of orders	18,971	21,426
2.1 Reception and transmission of orders of financial instruments	18,369	20,970
2.2 Execution of orders on behalf of customers	602	456
3. Other commission income related to activities linked to financial instruments	60,768	60,823
<i>of which: proprietary trading</i>	23,409	23,917
<i>of which: individual portfolio management</i>	37,359	36,895
b) Corporate Finance	7,222	7,296
1. M&A fees	-	-
2. Treasury services	6,846	6,045
3. Other fees and commission income related to Corporate finance activities	376	1,251
c) Investment advisory activities	3,840	6,553
d) Clearing and settlement	167	-
e) Custody and administration of securities	4,908	5,403
1. custodian bank	-	-
2. Other fees and commission income related to Custody and administration activities	4,908	5,403
f) Central administrative services for collective portfolio management	-	-
g) Trustee business	-	-
h) Payment services	503,677	483,786
1. Current accounts	231,464	229,191
2. Credit cards	67,007	66,168
3. Debit cards and other card payments	68,661	63,114
4. Transfers and other payment orders	63,531	59,489
5. Other fees and commission income related to payment services	73,014	65,824
i) distribution of third-party services	546,306	656,676
1. Collective portfolio management	298,126	365,212
2. Insurance products	192,511	223,481
3. Other product	55,669	67,983
<i>of which: individual portfolio management</i>	-	2
j) Structured Finance	-	-
k) Securitisation servicing activities	217	324
l) Loan commitments given	166,467	174,376
m) Financial guarantees	47,743	44,174
<i>of which: credit derivatives</i>	-	-
n) Lending transactions	45,534	42,897
<i>of which: factoring services</i>	-	-
o) Currency trading	4,663	4,757
p) Commodities	-	-
q) Other fees and commission income	13,549	19,255
<i>of which: management of sharia multilateral trading facilities</i>	-	-
<i>of which: management of organized trading systems</i>	-	-
Total	1,429,250	1,530,875

For an analysis of the fee and commission income and for the disclosure on disaggregation of revenues, as required by IFRS 15.114-115, please refer to Part C of the Notes to the Consolidated Financial Statements, which outlines the trend in fees and commissions for each of the operating segments identified, for the services rendered and according to geographic area served.

The disclosure for performance obligations is provided for the main services offered by the Bank, in accordance with IFRS 15.113 and 119:



- collection and payment services, including the offer to customers of credit and debit cards issued by the Bank. For these services, the customer pays an annual fee in advance for the administrative management of the card, recognised over time, as well as fees calculated on the individual transactions linked to the card's configuration, which, if not included in the annual fee, are recognised at a point in time as linked to the individual performance obligation carried out at a specific time; collection and payment services also include all foreign currency trading services, as well as other generic collection services that entail the collection of fees against the performance obligation made at consumption and recognised at a point in time;
- administration of current accounts: this category includes fees received for various products offered to customers, which may include a periodic fee for the current account management service that may or may not include a package of services, as well as fees received on individual transactions performed by customers that are not included in the annual fee. The first type of fee is structured as a performance obligation over time, while the second, as it relates to services performed at a specific time and compensated separately from the quarterly fee, are structured as a performance obligation performed at a point in time;
- distribution of third-party products and services based on partnership agreements with external counterparties, for which placement commissions are collected, recorded at a point in time as they are compensation for the intermediation performance obligation provided by the Bank, and continuing commissions connected to the administrative management of the customer in the network, recorded over time, as they represent compensation for the performance obligation rendered over the course of the investment's duration. Some distribution agreements also include variable commissions, recognised by external counterparties upon achieving certain placement volumes or other annual metrics envisaged in the distribution agreements. Based on the various contractual provisions and in accordance with provisions contained in IFRS 15, if conditions apply in the interim periods, analyses are carried out in order to determine if there are conditions that allow the advance accounting of the revenue or a portion thereof. The advance recognition is carried out exclusively if it is highly likely that, once the uncertainty has been resolved, there is no downward adjustment of the recorded amount. Lastly, some contracts contain claw-back clauses, which entail, in the event certain conditions apply, the full or partial reimbursement of placement commissions previously recognised upon execution of the initial performance obligation (i.e. point in time): in this case, the claw-back clause represents a variable component of the transaction price, since the amount recognised upon product placement is not definitive, but will depend on future events that are beyond the control of the Bank. In such situations the amount of the commissions that could potentially be subject to restitution is estimated, charging the amount that is expected to be returned to the third party to a specific risk provision; the income that is posted to the income statement is equal to the amount recognised against the performance obligation for the placement activity carried out during the financial year, net of the amount set aside in the provision;
- individual portfolio management, in the context of assets linked to financial instruments, which mainly include management fees, calculated with a percentage proportional to the assets under management, recognised over time as they compensate a service rendered over time.

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With regard to the breakdown in revenues (IFRS 15.116-118), it should be noted that EUR 2.8 mln was recorded as the adjustment price component accrued during the financial year on commissions collected for placement of third-party services carried out by the Bank in the previous financial year.

This line includes the reversal of revenues for EUR 6.2 mln made during the financial year against a provision for risks in accordance with IFRS 15, in consideration of the claw-back clauses present in a third-party product placement contract.



2.2 Fee and commission income: distribution channels of products and services

Channel/Sectors	31 12 2022	31 12 2021
a) Group branches	575,048	690,716
1. portfolio management	37,359	36,895
2. placement of securities	3,059	3,129
3. third party services and products	534,630	650,692
b) "Door-to-door" sales	2,865	-
2. placement of securities	2,159	
3. third party services and products	706	
c) Other distribution channels	10,970	5,985
3. third party services and products	10,970	5,985

2.3 Fee and commission expense: breakdown

Type of service / Amount	Total 31 12 2022	Total 31 12 2021
a) Financial Instruments	(3,258)	(3,549)
<i>of which: trading in financial instruments</i>	(2,804)	(3,549)
<i>of which: placement of financial instruments</i>	-	-
<i>of which: individual portfolio management</i>	-	-
<i>- own portfolio</i>	-	-
<i>- third-party portfolio</i>	-	-
b) Clearing and settlement	(9)	(390)
c) Custody and administration	(4,078)	(4,498)
d) collection and payment services	(73,037)	(60,927)
<i>of which: credit cards, debt cards and other payment cards</i>	(47,729)	(32,459)
e) Securitisation servicing activities	-	-
f) Loan commitments received	-	-
g) Financial guarantees received	(36,354)	(30,119)
<i>of which: credit derivatives</i>	-	-
h) Door-to-door sales of financial instruments, products and services	(769)	(1,071)
i) Currency trading	-	-
j) Other fee and commission expenses	(21,488)	(20,707)
Total	(138,993)	(121,261)

In line "e) Collection and payment services", the increase was mainly due to commissions from the outsourcing of administrative servicing related to card management.

Line g) Financial guarantees received includes commissions of EUR 27.9 mln related to the purchase of protection against credit risk as part of the outstanding synthetic securitisations.

For a trend analysis of the items concerned, reference should be made to the Report on Operations.



Section 3 - Dividends and similar income - Item 70

3.1 Dividends and similar income: breakdown

Item/Income	31 12 2022			31 12 2021		
	Dividends	Similar Income	Total	Dividends	Similar Income	Total
A. Financial assets held for trading	6	-	6	5	-	5
B. Other financial assets mandatorily measured at fair value	-	11,733	11,733	-	18	18
C. Financial assets measured at fair value through other comprehensive income	9,599	-	9,599	9,043	-	9,043
D. Investments	107,360	-	107,360	38,782	-	38,782
Total	116,965	11,733	128,698	47,830	18	47,848

Line “B Financial assets measured at fair value as per mandatory requirements” refers entirely to income distributed by private equity funds.

Line “C. Financial assets measured at fair value through other comprehensive income” includes the dividend of EUR 8.5 mln (EUR 8.5 mln as at 31 December 2021) collected from the equity investment in the Bank of Italy.

Line “D. Equity investments” refers mainly to the associates AXA MPS Danni (EUR 30 mln), AXA MPS Vita (EUR 75.1 mln) and Fondo Etrusco Distribuzione (EUR 2.1 mln).



Section 4 - Net profit (loss) from trading - Item 80

4.1 Net profit (loss) from trading: breakdown

Transactions / P&L items	Capital gains	Trading Profits	Capital losses	Trading Losses	Net profit (loss)	
					31 12 2022	31 12 2021
1. Financial assets held for trading	11	206	(13)	(181)	23	66
1.1 Debt securities	5	203	-	-	208	21
1.2 Equity instruments	6	1	(13)	(175)	(181)	14
1.3 Units of UCITS	-	-	-	(2)	(2)	1
1.4 Loans	-	-	-	-	-	-
1.5 Other	-	2	-	(4)	(2)	30
2. Financial liabilities held for trading	-	-	-	-	-	-
2.1 Debt securities	-	-	-	-	-	-
2.2 Deposits	-	-	-	-	-	-
2.3 Other	-	-	-	-	-	-
3. Other financial assets and liabilities: exchange differences	X	X	X	X	17,378	13,213
4. Derivatives	763,450	759,691	(809,196)	(732,741)	(17,830)	7,566
4.1 Financial derivatives:	762,600	759,691	(808,346)	(732,741)	(17,830)	7,566
- on debt securities and interest rates	622,213	344,682	(670,055)	(317,719)	(20,879)	6,488
- on equity instruments and stock indices	-	10	-	(233)	(223)	5,230
- on currency and gold	X	X	X	X	966	2,066
- other	140,387	414,999	(138,291)	(414,789)	2,306	(6,218)
4.2 Credit derivatives	850	-	(850)	-	-	-
<i>of which natural hedging connected with the fair value option</i>	X	X	X	X	-	-
Total	763,461	759,897	(809,209)	(732,922)	(429)	20,845

“Gains” and “Losses” include the results of the measurement of derivatives connected operationally with financial liabilities measured at fair value through profit or loss (FVO).

During the financial year, the Credit Value Adjustment (CVA) decreased, generating a positive impact of EUR 9.1 mln on OTC derivatives; likewise, the Debit Value Adjustment (DVA) on OTC derivatives recorded an increase with a consequent positive impact of EUR 12.9 mln.



Section 5 - Net profit (loss) from hedging - Item 90

5.1 Net profit (loss) from hedging: breakdown

P&L items/Values	Total 31 12 2022	Total 31 12 2021
A. Gains on:		
A.1 Fair value hedging instruments	2,341,972	567,335
A.2 Hedged financial assets (fair value)	16,380	165,684
A.3 Hedged financial liabilities (fair value)	434,038	88,910
A.4 Cash-flow hedging derivatives	-	-
A.5 Assets and liabilities denominated in foreign currency	-	-
Total gains on hedging activities (A)	2,792,390	821,929
B. Losses on:		
B.1 Fair value hedging instruments	456,101	248,314
B.2 Hedged financial assets (fair value)	2,329,870	561,372
B.3 Hedged financial liabilities (fair value)	-	-
B.4 Cash-flow hedging derivatives	-	-
B.5 Assets and liabilities denominated in foreign currency	-	-
Total losses on hedging activities (B)	2,785,971	809,686
C. Net profit (loss) from hedging activities (A - B)	6,419	12,243
<i>of which: resulting from net position holding</i>	-	-

For information on hedging derivatives, the gains and losses on which are indicated in lines A.1 and A.4, B.1 and B.4 of this table, see Section 5, “Hedging derivatives – Item 50” of the Assets and Section 4, “Hedging derivatives – item 40” of the Liabilities in Part B of these Notes to the Financial Statements.

More information on hedged assets and liabilities can be found in the tables in Part B of the Notes to the Financial Statements for each section of the accounts to which hedges are posted.



Section 6 - Gains/(losses) on disposal/repurchase - Item 100

6.1 Gains (losses) on disposal/repurchase: breakdown

Items / P&L items	Total 31 12 2022			Total 31 12 2021		
	Gains	Losses	Net Profit (Loss)	Gains	Losses	Net Profit (Loss)
Financial assets						
1. Financial assets measured at amortised cost	77,755	(51,373)	26,382	131,004	(4,128)	126,876
1.1 Loans to banks	5	(25,213)	(25,208)	5	(148)	(143)
1.2 Loans to customers	77,750	(26,160)	51,590	130,999	(3,980)	127,019
2. Financial assets measured at fair value through other comprehensive income	1,233	-	1,233	6,216	(10)	6,206
2.1 Debt securities issued	1,233	-	1,233	6,216	(10)	6,206
2.2 Loans	-	-	-	-	-	-
Total assets	78,988	(51,373)	27,615	137,220	(4,138)	133,082
Financial liabilities measured at amortised cost	-	-	-	-	-	-
1. Due to banks	-	-	-	228	-	228
2. Due to customers	-	-	-	-	-	-
3. Debt securities issued	12	-	12	5,072	0	5,072
Total liabilities (B)	12	-	12	5,300	-	5,300

In the “Net profit (loss)” column of the item “Financial assets measured at amortised cost” line 1.2 Loans to customers, the profit is mainly determined by i) the positive result of EUR 3.0 mln deriving from the transfer of non-performing loans denominated “Fantino” and further disposals of “single name” receivables carried out during the financial year and ii) the sale of some government bonds which generated a profit of EUR 46.4 mln. Line 1.1 “Loans to banks” includes the loss resulting from the settlement of some credit deposits of the Bank with the subsidiary MPS Capital Services S.p.A.



Section 7 - Net profit (loss) from other financial assets and liabilities measured at fair value through profit or loss - Item 110

7.1 Net changes in other financial assets and liabilities measured at fair value through profit or loss: breakdown of financial assets and liabilities measured at fair value

Transaction/P&L items	Capital Gains	Realized profits	Capital losses	Realized losses	Net profit (loss)	
					31 12 2022	31 12 2021
1. Financial assets	-	-	-	-	-	-
1.1 Debt securities issued	-	-	-	-	-	-
1.2 Loans	-	-	-	-	-	-
2. Financial liabilities	33,932	-	-	-	33,932	7,163
2.1 Debt securities issued	33,932	-	-	-	33,932	7,163
2.2. Deposits from banks	-	-	-	-	-	-
2.3. Deposits from customers	-	-	-	-	-	-
3. Other financial assets and liabilities: exchange differences	X	X	X	X	-	-
Total	33,932	-	-	-	33,932	7,163

The item includes solely the profit, loss, capital gains and capital losses from structured fixed-rate bonds included in the fair value option. The balances of the economic valuations of derivatives through which said securities are subject to natural hedging are instead recognised under item 80 "Net profit (loss) from trading".

Note that the changes in fair value due to changes in own creditworthiness are recognised under other revenue items without reversal to the income statement.



7.2 Net changes in other financial assets and liabilities measured at fair value through profit or loss: breakdown of other financial assets measured at fair value as per mandatory requirements

Transaction/P&L items	Capital Gains	Realized profits	Capital Losses	Realized losses	Net profit (loss)	
					31 12 2022	31 12 2021
1. Financial assets						
1.1 Debt securities issued	2,204	17	(14,274)	(322)	(12,375)	(31,352)
1.2 Equity instruments	115	-	(56)	(531)	(472)	(2,428)
1.3 Units of UCITS	21,721	-	(1,740)	-	19,981	11,075
1.4 Loans	11,719	-	(5,308)	(59)	6,352	(9,959)
2. Other financial assets: exchange differences	X	X	X	X	1,663	3,823
Totale	35,759	17	(21,378)	(912)	15,149	(28,841)

Line “1.1 Financial assets – Debt securities” includes in the “Capital Gains” column the revaluation of notes referring to the Norma securitisation and in the “Capital Losses” column mainly the valuation effects on exposures held in own securitisation transactions and of some equity financial instruments.

The net result, corresponding to line “1.3 financial assets - UCITS units”, includes revaluations of EUR 21.7 mln attributable for EUR 16.4 mln to the revaluation of alternative investment funds – classified in fair value level 2 – and EUR 5.3 mln to the revaluation of NPE Idea CRR I, II, Back2Bonis and Clessidra credit funds, - classified in fair value level 3.

Line 1.4 “Financial Assets - Loans” includes in the column “Capital Gains” write-backs relating to loans for which there has been an improvement in the risk profile; the column “Capital Losses” includes write-downs of loans classified as “unlikely to pay”.



Section 8 - Net impairment (losses)/reversals for credit risk - Item 130

8.1 Net impairment (losses)/reversals for credit risk on financial assets measured at amortised cost: breakdown

	Net impairment (losses)						Reversals				Total 31 12 2022	Total 31 12 2021
	Stage 1	Stage 2	Stage 3		Purchased or originated credit impaired financial asset		Stage 1	Stage 2	Stage 3	Purchased or originated credit impaired financial asset		
			write- off	Others	write- off	Others						
A. Loans to banks	(515)	(364)	-	-	-	-	3,442	-	1,121	-	3,684	403
- Loans	(484)	(364)	-	-	-	-	3,324	-	1,121	-	3,597	(137)
- Debt securities	(31)	-	-	-	-	-	118	-	-	-	87	540
B. Loans to customers	(38,541)	(121,363)	(6,570)	(516,225)	(2)	(1,449)	86,536	94,059	146,739	201	(356,615)	(193,183)
- Loans	(36,080)	(121,363)	(6,570)	(516,225)	(2)	(1,449)	86,422	94,059	146,739	201	(354,268)	(192,597)
- Debt securities	(2,461)	-	-	-	-	-	114	-	-	-	(2,347)	(586)
C. Total	(39,056)	(121,727)	(6,570)	(516,225)	(2)	(1,449)	89,978	94,059	147,860	201	(352,931)	(192,780)

8.1a Net impairment (losses)/reversals for credit risk on financial assets measured at amortised cost subject to Covid-19 support measures: breakdown

	Net impairment losses						Total 31 12 2022	Total 31 12 2021
	Stage 1	Stage 2	Stage 3		Purchased or originated credit impaired financial asset			
			write-off	Others	write-off	Others		
1. EBA-compliant moratoria (legislative and non-legislative)	-	-	-	-	-	-	-	(1,349)
2. Loans subject to existing moratorium measures no longer compliant with GLs and not assessed as being subject to forbearance measures	1	2	-	-	-	-	3	(6,725)
3. Loans subject to other forbearance measures	33	(300)	-	2,533	-	-	2,266	(26,506)
4. Newly Originated Loans	4,970	(20,232)	-	(40,077)	-	-	(55,339)	(39,842)
Total 31 12 2022	5,004	(20,530)	-	(37,544)	-	-	(53,070)	X
Total 31 12 2021	737	(72,973)	(152)	(33,919)	-	117	X	(74,422)



8.2 Net impairment (losses)/reversals on financial assets measured at fair value through other comprehensive income: breakdown

Transactions/ P&L items	Net impairment (losses)						Reversals				Total 31 12 2022	Total 31 12 2021
	Stage 1	Stage 2	Stage 3		Purchased or originated credit impaired financial asset		Stage 1	Stage 2	Stage 3	Purchased or originated credit impaired financial assets		
			write- off	Others	write- off	Others						
A. Debt securities issued	(553)	(344)	-	-	-	-	783	25	-	-	(89)	2,921
B. Loans	-	-	-	-	-	-	-	-	-	-	-	-
- to banks	-	-	-	-	-	-	-	-	-	-	-	-
- to customers	-	-	-	-	-	-	-	-	-	-	-	-
Total	(553)	(344)	-	-	-	-	783	25	-	-	(89)	2,921

8.2a Net impairment (losses)/reversals on financial assets measured at fair value through other comprehensive income subject to Covid-19 support measures: breakdown

This table has not been completed for this or the previous year as the Bank made no adjustments of this type.

Section 9 - Modification gains/(losses) without derecognition - Item 140

9.1 Modification gains/(losses): breakdown

This item, positive for EUR 3.2 mln as at 31 December 2022 (negative for EUR 7.6 mln as at 31 December 2021) includes the impacts related to contractual changes on medium/long term loans to customers which, without any substantial change, according to the provisions of IFRS 9, as well as the Group's accounting regulations, do not entail accounting derecognition of the assets but rather the recognition to profit or loss of the changes made to the contractual cash flows.

**Section 10 - Administrative expenses - Item 160****10.1 Personnel expenses: breakdown**

Type of Expense / Area	Total 31 12 2022	Total 31 12 2021
1. Employees	(2,243,171)	(1,390,810)
a) wages and salaries	(948,166)	(998,515)
b) social-welfare charges	(262,570)	(271,899)
c) severance pay	(61,375)	(63,338)
d) social security expenses	-	-
e) provision for staff severance pay	(2,656)	(979)
f) pension fund and similar obligations:	(80)	(5)
- defined contribution	-	-
- defined benefit	(80)	(5)
g) contributions to external pension funds:	(23,449)	(23,585)
- defined contribution	(23,449)	(23,585)
- defined benefit	-	-
h) costs related to share-based payments	11	3
i) other employee benefits	(944,886)	(32,492)
2. Other staff	(127)	(154)
3. Directors and Statutory Auditors	(1,741)	(1,645)
4. Retired personnel	(24)	(4,431)
5. Recovery of expenses for employees of the Bank: seconded to other entities	35,044	96,858
6. Reimbursement of expenses for employees of other entities: seconded to the bank	(19,851)	(17,907)
Total	(2,229,870)	(1,318,089)

The overall reduction in costs recognised under line a) wages and salaries of EUR 51.3 mln is mainly due to: i) lower costs of EUR 25.1 mln for the redundancy/solidarity fund manoeuvre with the exit of various resources on 30 November and ii) capitalisation of costs of EUR 14.3 mln referring to personnel directly employed on software production projects.

Line f) "Pension fund and similar obligations" includes amounts set aside for internal funds, while line g) "contributions to external pension funds" includes contributions paid and adjustments made to external pension funds.

Line "h) costs deriving from share-based payments" reflects the reduction in provisions for performance shares assigned to the Bank's "Identified staff" with regard to incentive plans in effect for the previous financial years.

Line "i) other employee benefits" includes EUR 905.7 mln relating to incentive expenses for the personnel early retirement/Solidarity Fund.

Line 5 "Recovery of expenses for employees seconded to other companies" decreased by a total of EUR 61.8 mln, of which EUR 50.8 mln due to the reinstatement of personnel seconded to the Consorzio Operativo di Gruppo following the merger between the latter and the Bank. As at 31 December 2022, the item includes approximately EUR 15.7 mln (EUR 17.3 mln as at 31 December 2021) relating to Fruendo and due to the reinstatement and subsequent secondment of some employees in 2020.



10.2 Average number of employees by category

Category / Average Number	31 12 2022	31 12 2021
Employees:	18,228	18,577
a) executives	171	185
b) middle managers	6,998	7,154
c) remaining staff	11,059	11,238
Other personnel	-	-
Total	18,228	18,577

10.3 Defined benefit company pension funds: costs and revenues

Items/Amounts	31 12 2022			31 12 2021		
	Defined benefit company pension funds		Provision for staff severance pay	Defined benefit company pension funds		Provision for staff severance pay
	Internal pension plan	External pension plan		Internal pension plan	External pension plan	
Interest income/expense	(76)	-	(2,656)	(3)	-	(979)
Current service cost and gains (losses) arising from settlements ^o	(4)	-	-	(2)	-	-
Past service cost	-	-	-	-	-	-
Gains (losses) arising from settlements ^{oo}	-	-	-	-	-	-
Other operating costs	-	-	-	-	-	-
Total	(80)	-	(2,656)	(5)	-	(979)

^o Pursuant to par. 100 of LAS 19, it should be noted that the pension cost for past service and the amount of gains and losses arising from settlements need not be distinguished if they occur together.

^{oo} Only in the event of settlement not set out in the terms of the plan.

10.4 Other employee benefits

No information to report pursuant to sections 53, 158 and 171 of IAS 19.

**10.5 Other administrative expenses: breakdown**

Items/amount	31 12 2022	31 12 2021
Stamp duties	(145,451)	(158,324)
Indirect taxes and duties	(29,258)	(24,252)
Municipal real estate property tax	(17,541)	(17,883)
Subscription and purchase of publications	(657)	(791)
Cleaning service contracts	(26,294)	(24,564)
Insurance	(18,592)	(40,023)
Sundry lease payment and rentals	(97,159)	(86,715)
Remuneration of external professionals	(63,386)	(73,348)
Lease of equipment	(25,766)	(8,471)
Utilities	(34,450)	(17,758)
Maintenance of properties (used in the business)	(31,601)	(29,884)
Postage	(15,780)	(11,135)
Advertising, sponsorships and promotions	(1,029)	(1,840)
Membership due	(2,765)	(2,466)
Reimbursement of employee car and travel expenses	(1,560)	(956)
Security services	(5,410)	(7,357)
Software	(54,786)	-
Expenses for personnel training	(3,334)	(3,242)
Expenses for services provided by companies and entities of the MPS Group	(668)	(227,398)
Representation expenses	(305)	(44)
Corporate entertainment expenses	(17,395)	(337)
Printing and stationery	(3,655)	(2,735)
Telephone, telefax and Telegraph	(7,669)	(6,840)
Transportation	(19,712)	(15,591)
Sundry occupancy expenses and refunds for release of immovable property used in the business	(6,272)	(3,576)
Contributions Resolution Funds (SRF) and Deposits Guarantee Schemes (DGS)	(154,207)	(143,866)
DTA fee	(62,916)	(63,218)
Data transmission	(7,644)	(574)
Others	(16,606)	(9,837)
Total	(871,868)	(982,351)

The line “Sundry lease payments and rentals” includes EUR 72.9 mln (EUR 67.6 mln as at 31 December 2021) referring to costs for outsourced services regarding back office accounting and administrative activities related to the management and provision of specific services by the Bank. These services entail decreasing considerations over the duration of the contract, against a constant volume of services received by the Bank. In accordance with the accounting policies of the Group (see Part A, Other information - Costs for constant services and decreasing payments), the recognition of the afore-mentioned costs in the income statements follows a linear trend over the contract duration with the consequent necessity for the Bank to recognise a prepayment. The cumulative figure as at 31 December 2022 amounted to EUR 228.6 mln (EUR 204.2 mln as at 31 December 2021) and is shown under item “Other assets”, line “Accrued income and prepaid expenses not attributable to its own separate item” of Part B of these Notes to the financial statements. The line also includes costs relating to short-term and low-value lease agreements for EUR 2.9 mln (EUR 3.4 mln as at 31 December 2021).

The merger by incorporation of the Consorzio Operativo di Gruppo into Banca MPS resulted in (i) a reduction in costs of EUR 226.7 mln relating to the non-payment of the fee recognised to the Consorzio for the provision of IT services and reported in the line “Expenses for services provided by companies and entities of the MPS Group; (ii) an increase in costs totalling EUR 107.3 mln and relating mainly to activities connected to IT services: “Sundry lease payments” (EUR 11.0 mln), “Processing by third parties” (EUR 17.2 mln), “Machinery lease” (EUR 17.1 mln) “Software” (EUR 54.8 mln), “Rental of lines and data transmission” (EUR 7.2 mln).



The line “Insurance” shows a decrease of EUR 21.4 mln mainly attributable to the Bank’s decision to offer its customers the underwriting of individual insurance policies on site of the previous collective policies for which the payment of the insurance premium is no longer anticipated by the Bank and subsequently recovered on the customer but paid directly by the latter.

Line “Contributions to resolution funds (SRF and NRD) and Deposit guarantee Systems (DGS)” amounting to EUR 154.2 mln (EUR 143.9 mln as at 31 December 2021), is composed of SRF-related charges of EUR 69.5 mln (EUR 53.9 mln as at 31 December 2021) and contributions paid to the DGS of EUR 84.7 mln (EUR 72.4 mln as at 31 December 2021). Finally, it should be noted that no additional contributions to the National Resolution Fund (NRF) were called from the Bank of Italy in the 2022 financial year, in order to meet the financial needs associated with the resolution interventions carried out prior to the launch of the SRF (EUR 17.6 mln as at 31 December 2021).

The line “DTA fees” includes the expenses related to the fee paid on DTAs that can be converted into tax credit as set forth in art. 11 of Italian Law Decree no. 59 of 3 May 2016, converted into Italian Law no. 119 of 30 June 2016.

Section 11 – Net provisions for risks and charges – Item 170

11.1 Net provisions for credit risk relative to commitments to disburse funds and financial guarantees given: breakdown

Transaction/P&L items	Stage 1	Stage 2	Stage 3	Total 31 12 2022	Total 31 12 2021
1) financial guarantees issued	197	(2,447)	(18,428)	(20,678)	(33,260)
Provision for the year	(4,158)	(5,317)	(25,498)	(34,973)	(44,859)
Write-backs	4,355	2,870	7,070	14,295	11,599
2) Commitments to disburse funds	3,054	1,411	13,825	18,290	40,915
Provision for the year	(2,922)	(2,732)	-	(5,654)	(7,092)
Write-backs	5,976	4,143	13,825	23,944	48,007
Total	3,251	(1,036)	(4,603)	(2,388)	7,655

11.2 Net provisions relative to other commitments and guarantees given: breakdown

At the reporting date of these Financial Statements and for the financial year of comparison, there were no provisions of this type.



11.3 Other net provisions for risks and charges: breakdown

Items/Amount	31 12 2022			31 12 2021		
	Provisions for the year	Write-backs	Net Provisions	Provisions for the year	Write-backs	Net Provisions
Legal and tax disputes	(178,570)	251,198	72,628	(236,612)	122,756	(113,856)
- cost	(168,488)	183,823	15,335	(236,590)	120,959	(115,631)
- discounting effect	(10,082)	67,376	57,294	(21)	1,797	1,776
Personnel expenses	(31,584)	8,719	(22,865)	(23,480)	10,693	(12,787)
Other risks and charges	(101,806)	84,580	(17,226)	(33,692)	54,530	20,838
Total	(311,960)	344,497	32,537	(293,784)	187,979	(105,805)

As at 31 December 2022, "Legal and tax disputes" recorded an overall net write-back mainly related to disputes in connection with financial information disclosed in the 2008-2015 period and the discounting effect. With reference to this last aspect, it should be noted that the provisions for risks and charges are discounted using the risk free curve and therefore with rates consistent with the expected dates of disbursement. The sharp rise in market rates during the financial year had a significant effect on the reduction of liabilities recorded in the Balance Sheet at present value.

"Other risks and charges" include a net provision as at 31 December 2022 due to, inter alia, the valuations relating to the risks associated with the guarantees issued as part of the derisking of non-performing loans and to the risks relating to transactions with customers.

Section 12 - Net value adjustments to/recoveries on property, plant and equipment - Item 180

12.1 Net value adjustments on property, plant and equipment: breakdown

Assets / P&L items	Depreciations	Impairment losses	Recoveries	Net profit (loss) 31 12 2022	Net profit (loss) 31 12 2021
A. Property, plant and equipment					
1 Used in the business	(108,305)	(478)	-	(108,783)	(102,395)
- owned	(63,628)	-	-	(63,628)	(59,917)
- right of use acquired through leasing	(44,677)	(478)	-	(45,155)	(42,478)
2 held for investment	-	-	-	-	-
3 Inventories	-	-	-	-	-
Total	(108,305)	(478)	-	(108,783)	(102,395)

Depreciation of owned property, plant and equipment used in the business as at 31 December 2022 includes the hardware component (EUR 16.6 mln) acquired by the Bank following the merger by incorporation of Consorzio Operativo di Gruppo S.p.A.



Section 13 - Net adjustments to/recoveries on intangible assets - Item 190

13.1 Net value adjustments to intangible assets: breakdown

Assets / P&L items	Depreciations	Impairment losses	Recoveries	Net profit (loss) 31 12 2022	Net profit (loss) 31 12 2021
A. Intangible assets					
<i>of which: software</i>	(60,838)			(60,838)	
A.1 Owned	(61,793)	(227)	-	(62,020)	(947)
- Generated internally by the company	(15,289)	(64)	-	(15,353)	-
- Other	(46,504)	(163)	-	(46,667)	(947)
A.2 Right of Use acquired through leasing	-	-	-	-	-
Total	(61,793)	(227)	-	(62,020)	(947)

Amortisation/depreciation mainly relates to the amortisation of software (EUR 60.8 mln) acquired by the Bank following the merger by incorporation of Consorzio Operativo di Gruppo S.p.A, and to a lesser extent to intangible assets, all with a finite useful life, recognised in the Financial Statements in 2008 and identified during the PPA process for former subsidiary Banca Antonveneta.

Section 14 - Other operating expenses/income - Item 200

14.1 Other operating expenses: breakdown

Items/Amounts	Total 31 12 2022	Total 31 12 2021
Costs of robberies	(377)	(889)
Amortisation on improvements of third-party goods recognized as "Other Assets"	(5,524)	(6,333)
Costs from judgments and settlement agreements	(29,256)	(42,122)
Other expenses	(12,995)	(26,894)
Total	(48,152)	(76,238)

14.2 Other operating income: breakdown

Items/Amounts	Total 31 12 2022	Total 31 12 2021
Rental income	10,849	20,790
Recovery of taxes	161,327	174,853
Recovery of insurance premiums	2,389	26,328
Recovery of other expenses	34,447	32,158
Others	97,710	51,501
Total	306,722	305,630

The reduction of EUR 9.9 mln in the line "Rental income from properties" mainly refers to the termination of the lease agreements entered into with the subsidiary Consorzio Operativo following the merger by incorporation transaction.

The reduction in the line "Insurance premium recoveries" is a consequence of the Banks decision to offer its customers the underwriting of individual insurance policies on site of the previous collective policies. This trend mirroring the reduction of the item "Insurance" included in "Other administrative expense".



The amount of EUR 34.4 mln classified under “Recovery of other expenses” includes, among other things, the compensation of legal fees incurred for the enforced recovery of bad loans of EUR 4.0 mln (EUR 2.8 mln as at 31 December 2021).

The increase recorded in the line “Other income” is attributable for approximately EUR 23.0 mln for IT services – of which EUR 16.9 mln in favour of subsidiaries – following the merger by incorporation of the subsidiary Consorzio Operativo.

The Bank has no income deriving from the sublease of right-of-use assets (IFRS 16.53 (f)).

“Other operating income” does not include any revenues under the scope of IFRS 15.

The Bank does not have variable income not related to an index or a rate deriving from operating leases (IFRS 16.90 b).

Section 15 - Gains (losses) on investments - Item 220

15.1 Gains (losses) on investments: breakdown

P&L items/Sectors	Total 31 12 2022	Total 31 12 2021
A. Income	906	81
1. Revaluations	-	-
2. Gains on disposal	-	81
3. Write-backs	-	-
4. Other income	906	-
B. Expense	(103)	(3,889)
1. Write-downs	-	-
2. Impairment losses	(54)	(3,889)
3. Losses on disposal	-	-
4. Other expenses	(49)	-
Net Profit (Loss)	803	(3,808)

Line B2 “Value adjustments for impairment” refers to the subsidiary Aiace Reoco S.r.l. as at 31 December 2022 (EUR 0.05 mln). As at 31 December 2021, the same item included the write-downs of Enea Reoco S.r.l. (EUR 0.32 mln), Aiace Reoco S.r.l. (EUR 0.46 mln) and Immobiliare Novoli S.p.A. (EUR 3.1 mln).

For information on the methodology for determining impairment losses, please see section 10.5, part B, of these notes to the financial statements.



Section 16. Net gains (losses) on property, plant and equipment and intangible assets measured at fair value - Item 230

16.1 Net gains (losses) on property, plant and equipment and intangible assets measured at fair value (or revalued) or at presumed realisable value: breakdown

Items	Revaluations (a)	Write-downs (b)	Exchange difference		Net profit (loss) (a-b+c-d)	Net profit (loss) 31 12 2021
			Positive (c)	Negative (d)		
A. Property, plant and equipment	7,678	35,786	-	-		
A.1 Used in the business	6,276	17,293	-	-	(11,017)	(35,163)
- Owned	6,276	17,293	-	-	(11,017)	(35,163)
- Right of Use acquired through leasing	-	-	-	-	-	-
A.2 Held for investment	1,268	17,027	-	-	(15,759)	(4,122)
- Owned	1,268	17,027	-	-	(15,759)	(4,122)
- Right of Use acquired through leasing	-	-	-	-	-	-
A.3 Inventories	134	1,466	-	-	(1,332)	1,793
Total	7,678	35,786	-	-	(28,108)	(37,492)

The item, which was negative for a total of EUR 28.1 mln (EUR 37.5 mln was the negative balance of the previous financial year), includes the results of the fair value measurement of “revalued property, plant and equipment used in the business” and “property, plant and equipment held for investment purposes” and finally “inventories of property, plant and equipment”, represented by owned real estate assets.

Section 17 - Impairment of goodwill - Item 240

17.1 Impairment of goodwill: breakdown

In 2022 the Bank did not recognise any impairment as all the goodwill allocated to the different CGUs (Cash Generating Units) had been fully written down in the financial statements of previous financial years.

Section 18 - Gains (losses) on disposal of investments – Item 250

18.1 Gains (losses) on disposal of investments: breakdown

P&L items/Sectors	Total 31 12 2022	Total 31 12 2021
A. Property	452	14,353
- Gains on disposal	453	14,382
- Losses on disposal	(1)	(29)
B. Other assets	(120)	(3,260)
- Gains on disposal	1	-
- Losses on disposal	(121)	(3,260)
Net Profit (Loss)	332	11,093

Last financial year, this item included gains from sale of real estate to Ardian,

The Bank has not recognised any gains or losses deriving from sale and lease-back transactions (IFRS 16.53 letter i).

**Section 19 – Tax (expense)/recovery on income from continuing operations – Item 270****19.1 Tax (expense)/recovery on income from continuing operations: breakdown**

P&L items/Sectors	Total	
	31 12 2022	31 12 2021
1. Current tax (-)	(7,159)	(1,307)
2. Adjustments to current tax of prior years (+/-)	48,072	(45,352)
3. Reduction of current tax for the year (+)	-	-
3.bis Reduction in current tax for the period due to tax credits under Law 214/2011	-	180,063
4. Changes in prepaid taxes (+/-)	406,021	(76,397)
5. Changes in deferred taxes (+/-)	4,385	(544)
6. Tax expense for the year (-) (-1+/-2 +3+/-4+/-5)	451,319	56,463

The amount in line 2. “Adjustments to current tax of prior years” refers for EUR 46.4 mln to the write-back of the IRAP receivable from conversions of ACE surpluses carried out by the Bank in previous financial years pursuant to art. 1, paragraph 4 of Italian Law Decree 201/2011, due to the increase in estimated future IRAP taxable income resulting from the adoption of the new income projections contained in the 2022-2026 Group Business Plan, approved by the Board of Directors of the Parent Company on 22 June 2022.

The amount in line 4. “Deferred tax assets: annual changes” includes the overall effect of the valuations of the DTAs deriving from the results of the probability test, equal to EUR 423.1 mln.



19.2 Reconciliation of theoretical to actual tax charge

Items/Amounts	31 12 2022	%	31 12 2021	%
Pre-tax profit (loss) from continuing operations	(587,101)		94,542	
Theoretical IRES Payable	161,453	27.5%	(25,999)	27.5%
Permanent decreases	(3,480)	-0.6%	(2,333)	2.5%
Losses on the disposal/valuation of subsidiaries and associates classified at fair value through other comprehensive income	(16)	0.0%	14	0.0%
Losses on the disposal/valuation of subsidiaries and associates	(12)	0.0%	(905)	1.0%
Nondeductible administrative expenses (Municipal real estate property tax, vehicles, telephone etc.)	(3,452)	-0.6%	(1,442)	1.5%
Permanent decreases	52,974	9.0%	27,840	-29.4%
Gains on the disposal/valuation of subsidiaries and associates classified at fair value through other comprehensive income	(71)	0.0%	(4)	0.0%
Gains on the disposal/valuation of subsidiaries and associates	236	0.0%	22	0.0%
Deduction IRAP	-	0.0%	(233)	0.2%
Deduction ACE	25,025	4.3%	17,875	-18.9%
Excluded dividends	27,784	4.7%	10,180	-10.8%
DTA write-downs related to prior tax losses	47,855	8.2%	10,088	-10.7%
DTA effects - others	315,254	53.7%	120,487	n.m.
DTA ACE effects	32,362	5.5%	22,698	-24.0%
Effect due to non-registration of DTA on tax loss of current year	(225,084)	-38.3%	(45,298)	47.9%
Effect due to IRAP credit valuation rising from ACE surplus	46,354	7.9%	(46,354)	49.0%
Other components (IRES relative to previous years, spreads between Italian and foreign tax rate, etc)	(1,377)	-0.2%	(842)	0.9%
Effective IRES payable	426,310	72.6%	60,287	-63.8%
Profit (loss) theoretical IRAP at nominal rate	27,300	4.65%	(4,396)	4.65%
Economic items not relevant for IRAP purposes	2,211	0.4%	(6,917)	7.3%
Value adjustments and credit losses	172	0.0%	27	0.0%
Nondeductible cost of personnel	(133)	0.0%	(130)	0.1%
Profit (loss) on subsidiaries and associates	(96)	0.0%	(354)	0.4%
Other non - deductible administrative expenses (10%)	(4,054)	-0.7%	(4,568)	4.8%
Amortization non-deductible (10%)	(825)	-0.1%	(483)	0.5%
Provision for risks and charges	1,904	0.3%	(2,474)	2.6%
Other P&L items not relevant	2,573	0.4%	(39)	0.0%
Excluded dividends	2,670	0.5%	1,104	-1.2%
Increase regional rates effect	5,755	1.0%	(2,019)	2.1%
Charge from not recognised tax loss carryforward IRAP	(40,114)	-6.8%	-	0.0%
DTA valuation effect	27,658	4.7%	10,951	-11.6%
Tax refunds from previous years	1,469	0.3%	-	0.0%
Other components (IRAP relative to previous year, spreads between Italian and foreign tax rate, etc)	729	0.1%	(1,442)	1.5%
Effective IRAP payable	25,008	4.3%	(3,824)	4.0%
Total effective IRES and IRAP tax expenses	451,319	76.9%	56,463	-59.7%

The reconciliation relating to IRES includes, aside from the main tax at the rate of 24%, also the additional tax of 3.5% introduced by Italian Law no. 208 of 28 December 2015, par. 65-66.



Section 20 - Profit (loss) after tax from assets held for sale and discontinued operations - Item 290

20.1 Profit (loss) after tax from assets held for sale and discontinued operations: breakdown

20.2 Breakdown of income taxes on discounted operations

The tables in this section were not prepared as this category does not appear in the financial statements as at 31 December 2022 and 31 December 2021.

Section 21 - Other information

No additional disclosure to that presented in accordance with the international accounting standards and Circular no. 262 of the Bank of Italy is required.

Section 22 - Earnings per Share (EPS)

For the following section, see the description in the Consolidated Financial Statements.



Part D - Statement of Comprehensive Income



Statement of Comprehensive Income

Items	Total 31 12 2022	Total 31 12 2021
10. Profit (loss) for the year	(135,782)	151,005
Other income components without reversal to profit or loss	(15,180)	151,654
20. Equity instruments measured at fair value through other comprehensive income	2,580	2,792
a) changes in fair value	2,104	2,083
b) Transfer to other component of equity	477	709
30. Financial liabilities designated at fair value through profit or loss (change in the entity's own credit rating)	(7,513)	(14,817)
a) changes in fair value	(7,513)	(14,817)
b) Transfer to other component of equity	-	-
40. Hedges of equity instruments measured at fair value through other comprehensive income	-	-
50. Property, plant and equipment	(33,118)	233,262
60. Intangible assets	-	-
70. Defined benefit plans	13,285	2,072
80. Non-current assets and groups of assets held for sale	6	-
90. Share of valuation reserves of equity instruments valued at equity	-	-
100. Tax income related to other income components without reversal to profit & loss	9,580	(71,655)
Other income components with reversal to profit or loss	(157,368)	(34,365)
110. Hedges of Foreign investments:	-	-
120. Exchange differences:	1,025	3,115
a) changes in value	-	-
b) reversal to profit and loss	-	-
c) other changes	1,025	3,115
130. Cash flow hedges:	(8,876)	(12,607)
a) changes in fair value	-	-
b) reversal to profit and loss	-	-
c) other changes	(8,876)	(12,607)
of which: resulted of net position	-	-
140. Hedging Instruments: (non-designated items)	-	-
150. Financial assets (other than equity instruments) measured at fair value through other comprehensive income	(226,502)	(41,685)
a) changes in value	(220,788)	(33,362)
b) reversal to profit and loss	(5,714)	(8,324)
-impairment provisions	-	-
-realised net gains/losses	(5,714)	(8,324)
c) other changes	-	-
160. Non current assets and group of assets held for sale	-	-
a) changes in fair value	-	-
b) reversal to profit and loss	-	-
c) other changes	-	-
170. Share of valuation reserves of equity-accounted investments	-	-
180. Tax income related to other income components whit reversal to profit or loss	76,985	16,812
190. Other income components	(172,548)	117,289
200. Total Comprehensive income (Item 10 + 130)	(308,330)	268,294



Part E - Information on risks and hedging policies

Note: Public Disclosure (Basel III Pillar) is published on the Group's website:

<https://www.gruppomps.it/investor-relations>.



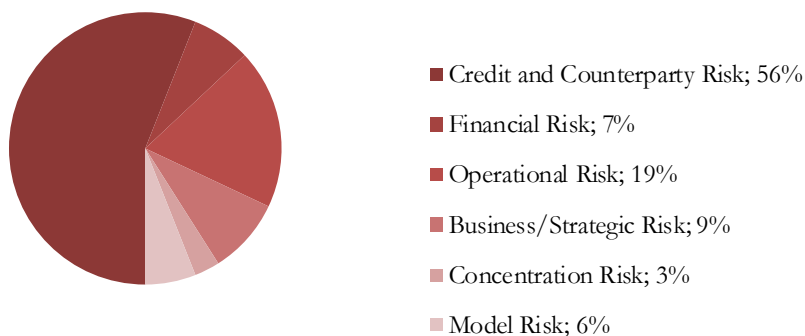
Foreword

This Part of the Notes to the Financial Statements provides quantitative information on risks referring to Banca Monte dei Paschi di Siena. For qualitative information on the risk management process and on the management and monitoring of risks, please refer to Part E of the Notes to the Consolidated Financial Statements.

Analysis of the Internal Capital

As at 31 December 2022, the Bank's Overall Economic Capital (excluding intra-group transactions) is attributable for approximately 56% to credit and counterparty risk (which already includes the requirements relating to issuer risk on the Banking Book, equity investment risk and real estate risk), 3% to concentration risk, 7% to financial risk, 9% to strategic risks, 19% to operational risks and 6% to model risk.

Internal RWA
MPS Bank - 31.12.2022





Section 1 - Credit risk

Qualitative Information

Please refer to Part E of the Notes to the Consolidated Financial Statements.

Quantitative Information

A. Credit quality

For the purposes of quantitative information on credit quality:

- the term “on-balance sheet exposure” refers to all on-balance sheet financial assets with regard to banks or customers, regardless of their portfolio of accounting recognition (measured at fair value through profit or loss, measured at fair value through other comprehensive income, measured at amortised cost, non-current financial assets held for sale and disposal groups). Sight receivables from banks and central banks fall within the definition of on-balance sheet exposures but are conventionally excluded from the tables in Section 1, except in the cases expressly indicated in which they must be considered;
- the term “off-balance sheet exposure” refers to all financial transactions other than on-balance sheet ones (financial guarantees given, revocable and irrevocable commitments, derivatives, etc.) that involve the assumption of credit risk, regardless of the purpose for such transactions (trading, hedging, etc.). Off-balance sheet exposures also include the counterparty risk connected to securities lending transactions and repurchase agreements and to the granting or assumption of goods on a loan basis, as well as to transactions with margins included within the notion of Securities Financing Transactions as defined by prudential regulations.

Non-performing loans (on and off-balance sheet) do not include financial assets held for trading and hedging derivatives, which are therefore traditionally recognised among performing exposures.

Equity securities and units of UCITS are excluded.



A.1 Non-performing and performing loans: amounts, impairment (losses), changes, trend and breakdown by business sector

A.1.1 Breakdown of financial assets by portfolio and credit quality (book values)

31 12 2022

Portfolio/Quality	Bad loans	Unlikely to pay	Past-due non-performing exposures	Past-due performing exposures	Performing exposures	Total
1. Financial assets measured at amortised cost	315,771	943,153	23,750	313,295	87,411,580	89,007,549
- of which forborne	77,334	454,300	1,726	27,226	1,368,983	1,929,569
2. Financial assets measured through other comprehensive income	-	-	-	-	3,878,672	3,878,672
- of which forborne	-	-	-	-	-	-
3. Financial assets designated at fair value	-	-	-	-	-	-
- of which forborne	-	-	-	-	-	-
4. Financial assets mandatorily measured at fair value	56	2,322	-	1,588	214,851	218,817
- of which forborne	22	1,966	-	-	-	1,988
5. Financial asset held for sale	-	-	-	-	-	-
- of which forborne	-	-	-	-	-	-
Total 31 12 2022	315,827	945,475	23,750	314,883	91,505,103	93,105,038
Total 31 12 2021	439,990	1,155,690	23,395	225,666	114,813,985	116,658,726

As at 31 December 2022, the Bank has outstanding forborne positions (i.e. exposure subject to forbearance measures) for a total value of EUR 1,931.6 mln (EUR 2,518.4 mln as at 31 December 2021) of which EUR 535.3 mln related to non-performing exposures (EUR 746.3 mln as at 31 December 2021) and EUR 1,396.2 mln to performing exposures (EUR 1,772.1 mln as at 31 December 2021). For further details refer to table A.1.7 below.



A.1.2 Breakdown of financial assets by portfolio and credit quality (gross and net values)

31 12 2022

Portfolio/quality	Non performing assets				Performing assets			Total (Net exposure)
	Gross exposure	Impairment (loss)	Net exposure	Total Partial Write-off**	Gross exposure	Impairment (loss)	Net exposure	
1. Financial assets measured at amortised cost	2,238,212	955,538	1,282,674	16,756	88,086,052	361,177	87,724,875	89,007,549
2. Financial assets measured through other comprehensive income	-	-	-	-	3,882,176	3,504	3,878,672	3,878,672
3. Financial assets designated at fair value	-	-	-	-	X	X	-	-
4. Financial assets mandatorily measured at fair value	29,743	27,365	2,378	2	X	X	216,440	218,818
5. Financial asset held for sale	-	-	-	-	-	-	-	-
Total 31 12 2022	2,267,955	982,903	1,285,052	16,758	91,968,228	364,681	91,819,987	93,105,038
Total 31 12 2021	2,960,901	1,341,825	1,619,076	30,319	115,197,575	359,484	115,039,651	116,658,726

** Value to be presented for disclosure purposes

At the reporting date, the Bank had no.53 exposures (no.94 in 2021) to creditors who had filed a “blank” request for a pre-insolvency creditor arrangement procedure (“Concordato in bianco”) for a net exposure of approx. EUR 14.3 mln (EUR 32.3 mln in 2021) and no.1 position relating to creditors who had filed a request for a pre-insolvency creditor arrangement with going concern (no.4 positions in 2021) for a net exposure of approx. EUR 1.2 mln (EUR 0.4 mln in 2021).

As at 31 December 2022, the Bank held impaired financial assets acquired for a nominal value of EUR 4.4 mln, all classified in the portfolio “Financial assets measured at amortised cost” at the price of EUR 0.2 mln.

The following table provide evidence of credit quality referring to exposure classified in financial asset held for trading portfolio (securities and derivative) and hedging derivatives (not represented in the previous table):

Portfolio/quality	Low quality assets		Other assets
	Cumulative losses	Net exposure	Net exposure
1 Financial assets held for trading	56	1,032	596,565
2 Hedging derivatives	-	-	996,144
Total 31 12 2022	56	1,032	1,592,709
Total 31 12 2021	49,592	1,852	614,547

Poor credit quality exposures, with a book value of EUR 1.0 mln, refer exclusively to derivative instruments with customers.



A.1.3 - Breakdown of financial assets by past due ranges (book values)

Portfolio/staging	Stage 1			Stage 2			Stage 3			Purchased or originated credit impaired financial assets		
	Up to 30 days	from 30 to 90 days	Over 90 days	Up to 30 days	from 30 to 90 days	Over 90 days	Up to 30 days	from 30 to 90 days	Over 90 days	Up to 30 days	from 30 to 90 days	Over 90 days
1. Financial assets measured at amortised cost	121,923	-	-	138,195	46,867	6,310	60,233	94,071	568,409	179	-	73
2. Financial assets measured at fair value through other comprehensive income	-	-	-	-	-	-	-	-	-	-	-	-
3 Financial assets held for sale	-	-	-	-	-	-	-	-	-	-	-	-
Total 31 12 2022	121,923	-	-	138,195	46,867	6,310	60,233	94,071	568,409	179	-	73
Total 31 12 2021	77,629	-	-	89,610	26,244	10,466	62,136	87,609	745,911	-	-	1,397



A.1.4 Financial assets, commitments to disburse funds and financial guarantees given: changes in overall value adjustments and total allocations

Causal/staging	Overall value adjustments										
	Assets including in Stage 1						Assets including in Stage 2				
	Current accounts with Central banks and banks	Financial assets measured at amortised cost	Financial assets measured at fair value through other comprehensive income	Financial assets held for sale and disposal groups	<i>Of which: specific write-downs</i>	<i>Of which: portfolio adjustments</i>	Current accounts with Central banks and banks	Financial assets measured at amortised cost	Financial assets measured at fair value through other comprehensive income	Financial assets held for sale and disposal groups	<i>Of which: specific write-downs</i> <i>Of which: portfolio adjustments</i>
Overall value adjustments, opening balance	452	70,877	4,001	-	-	75,331	-	284,321	61	-	284,381
Increase in purchased or originated financial assets	1	7,086	482	-	-	7,569	-	14,581	-	-	14,581
Derecognition different from write-off	-	(7,848)	(646)	-	-	(8,494)	-	(14,150)	-	-	(14,150)
Net losses (recoveries) on impairment	(292)	(60,848)	(713)	-	-	(61,853)	24	24,622	319	-	24,966
Modification gains/losses	-	1	-	-	-	1	-	52	-	-	52
Change in evaluation methodology	-	-	-	-	-	-	-	-	-	-	-
Write-off	-	-	-	-	-	-	-	-	-	-	-
Others	-	68,424	(22)	-	-	68,402	-	(25,962)	22	-	(25,940)
Overall value adjustments, closing balance	161	77,692	3,102	-	-	80,956	24	283,464	402	-	283,890
Recoveries from collections of financial assets subject to write-off	-	-	-	-	-	-	-	-	-	-	-
Write-off recognised through income statements	-	-	-	-	-	-	-	-	-	-	-



Causal/staging	Overall value adjustments										Provisions for credit risk relative to commitments to disburse fund and financial guarantees given				TOTAL	
	Assets including in Stage 3						Purchased or Originated credit impaired financial assets				Stage 1	Stage 2	Stage 3	Commitments to disburse funds and financial guarantees given impaired purchased or originated		
	Current accounts with Central banks and banks	Financial assets measured at amortised cost	Financial assets measured at fair value through other comprehensive income	Financial assets held for sale and disposal groups	Of which: specific write-downs	Of which: portfolio adjustments	Financial assets measured at amortised cost	Financial assets measured at fair value through other comprehensive income	Financial assets held for sale and disposal groups	Of which: specific write-downs						Of which: portfolio adjustments
Overall value adjustments, opening balance	-	1,282,235	-	8,190	629,734	660,693	8,741	-	8,381	360	12,251	15,713	104,649	1,438	1,792,929	
Increase in purchased or originated financial assets	-	58	-	-	58	-	X	X	X	X	X	523	1,017	-	6,675	30,423
Derecognition different from write-off	-	(627,381)	-	(8,190)	(341,242)	(294,329)	(9,464)	-	(9,264)	(200)	(665)	(1,235)	(3,195)	-	(672,774)	
Net losses (recoveries) on impairment	-	413,296	-	-	164,300	248,996	1,566	-	925	641	(3,678)	1,907	1,498	(461)	377,240	
Modification gains/losses	-	102	-	-	98	3	-	-	-	-	-	-	-	-	155	
Change in evaluation methodology	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
Write-off	-	(71,143)	-	-	(45,233)	(25,910)	(20)	-	-	(20)	-	-	-	-	(71,163)	
Others	-	(42,433)	-	-	(33,033)	(9,400)	-	-	-	-	4,326	(3,427)	(899)	-	29	
Overall value adjustments, closing balance	-	954,734	-	-	374,682	580,053	823	-	42	781	12,757	13,975	102,053	7,652	1,456,839	
Recoveries from collections of financial assets subject to write-off	-	6,941	-	-	6,941	-	-	-	-	-	-	-	-	-	6,941	
Write-off recognised through income statements	-	(6,570)	-	-	(6,570)	-	(2)	-	-	(2)	-	-	-	-	(6,572)	

As at 31 December 2022 financial year, total impairment provisions posted an overall decrease, compared with 1 January 2021, of around EUR 336.1 mln - of which EUR 2.4 mln related to commitments to disburse funds and guarantees given - due almost entirely to value adjustments of financial assets measured at amortised cost classified in stage 3 (EUR -327.6 mln). In particular, with reference to this accounting portfolio, the following elements contributed to this trend in the item:

- “Derecognitions other than write-offs” a reduction for a total of EUR 649.4 mln, mainly due to the deconsolidation of the positions included in the Fantino transaction and single name disposals;
- “write offs not recognised directly in the Income Statement” a reduction of provisions for credit impaired exposures totalling EUR 71.1 mln Note that the derecognitions not covered by the provision generated an impact of EUR 6.6 mln in the income statement;
- “Net impairment (losses)/reversals for credit risk” net increase of provisions for EUR 377,1 mln, of which EUR 413.3 related to stage 3. Among the main factors that affected this latter trend are highlighted the value adjustment related to the sale of impaired loans carried out during the year, the use of sales scenario in the models and cenrtai methodological improvements referring to the LGD parameter. In this regard, please refer to paragraph “2.3 Methods for measuring expected credit losses” in Part E of the Notes of Consolidated financial statements.



A.1.5 - Financial assets, commitments to disburse funds and financial guarantees given: transfers among the different stages of credit risk (gross and nominal values)

Portfolio/Staging	Gross value /nominal value					
	Transfers between Stage 1 and Stage 2		Transfers between Stage 2 and Stage 3		Transfers between Stage 1 and Stage 3	
	From Stage 1 to Stage 2	From Stage 2 to Stage 1	From Stage 2 to Stage 3	From Stage 3 to Stage 2	From Stage 1 to Stage 3	From Stage 3 to Stage 1
1. Financial assets measured at amortised cost	3,544,823	2,994,191	351,461	120,013	204,818	20,283
2. Financial assets measured at fair value through other comprehensive income	-	-	-	-	-	-
3 Financial asset held for sale	-	-	-	-	-	-
4. Commitments to disburse funds and financial guarantees issued	808,690	710,931	54,826	6,051	54,991	42,983
Total 31 12 2022	4,353,513	3,705,122	406,287	126,064	259,809	63,266
Total 31 12 2021	4,825,629	7,166,275	766,462	116,275	345,725	469,343



A.1.5.a: Loans subject to COVID-19 support measures: transfers between the different stages of credit risk (gross values)

Portfolio/Staging	Gross value /nominal value					
	Transfers between Stage 1 and Stage 2		Transfers between Stage 2 and Stage 3		Transfers between Stage 1 and Stage 3	
	From Stage 1 to Stage 2	From Stage 2 to Stage 1	From Stage 2 to Stage 3	From Stage 3 to Stage 2	From Stage 1 to Stage 3	From Stage 3 to Stage 1
A. Financial assets measured at amortised cost	1,067,488	786,738	101,404	3,990	83,098	1,755
A 1. EBA-compliant moratoria (legislative and non-legislative)	-	-	-	-	-	-
A 2. Loans subject to existing moratorium measures no longer compliant with GLs and not assessed as being subject to forbearance measures	-	112	1	-	-	-
A 3. Loans subject to other forbearance measures	5,592	1,737	1,778	342	5,446	-
A 4. Newly Originated Loans	1,061,896	784,889	99,625	3,648	77,652	1,755
B. Financial assets measured at fair value through other comprehensive income	-	-	-	-	-	-
Total 31 12 2022	1,067,488	786,738	101,404	3,990	83,098	1,755
Total 31 12 2021	1,023,829	984,094	200,844	2,243	76,150	1,970

The data refer to loans subject to “moratoria” or other COVID-19 support measures in place at the reporting date, when the risk stage in which the exposures are included at the end of the financial year is different from the stage in which the exposures were included at the time of the concession.



A.1.6 - Balance sheet and off-balance sheet credit exposure to banks: net and gross values

31 12 2022

Portfolio/quality	Gross exposure				Impairment (losses) and total provisions						Net exposure	Total Partial Write-off*
	Total gross exposure	Stage 1	Stage 2	Stage 3	Purchased or originated credit-impaired financial assets	Total impairment (losses) and total provisions	Stage 1	Stage 2	Stage 3	Purchased or originated credit impaired financial assets		
A. Balance-sheet exposure												
A.1 Demand	11,901,543	11,901,186	357	-	-	(185)	(160)	(25)	-	-	11,901,358	-
a) Non Performing	-	X	-	-	-	-	X	-	-	-	-	-
b) Performing	11,901,543	11,901,186	357	X	-	(185)	(160)	(25)	X	-	11,901,358	-
A.2 Others	18,511,257	18,485,690	25,566	-	-	(2,775)	(2,088)	(687)	-	-	18,508,482	-
a) Bad loans	-	X	-	-	-	-	X	-	-	-	-	-
- of which forborne	-	X	-	-	-	-	X	-	-	-	-	-
b) Unlikely to pay	-	X	-	-	-	-	X	-	-	-	-	-
- of which forborne	-	X	-	-	-	-	X	-	-	-	-	-
c) Past-due non-performing exposuress	-	X	-	-	-	-	X	-	-	-	-	-
- of which forborne	-	X	-	-	-	-	X	-	-	-	-	-
d) Past-due performing exposures	4,254	-	4,254	X	-	(27)	-	(27)	X	-	4,227	-
- of which forborne	-	-	-	X	-	-	-	-	X	-	-	-
e) Other assets not impaired	18,507,003	18,485,690	21,312	X	-	(2,748)	(2,088)	(660)	X	-	18,504,255	-
- of which forborne	-	-	-	X	-	-	-	-	X	-	-	-
Total A	30,412,800	30,386,876	25,923	-	-	(2,960)	(2,248)	(687)	-	-	30,409,840	-
B. Off-balance-sheet exposure												
a) Performing	-	X	-	-	-	-	X	-	-	-	-	-
b) Non-performing	4,071,019	2,582,059	250	X	-	(423)	408	(14)	X	-	4,070,596	-
Total B	4,071,019	2,582,059	250	-	-	(423)	408	(14)	-	-	4,070,596	-
Total (A+B)	34,483,819	32,968,935	26,173	-	-	(3,383)	(1,840)	(701)	-	-	34,480,436	-

* Value to be presented for disclosure purposes

At the reporting date for these financial statements, the table does not include purchased or originated impaired financial assets.



A.1.7 – Balance sheet and off-balance sheet credit exposure to customers: net and gross values

31 12 2022

Portfolio/quality	Gross exposure					Impairment (losses) and total provisions					Net exposure	Total Partial Write-off*
	Total gross exposure	Stage 1	Stage 2	Stage 3	Purchased or originated credit-impaired financial assets	Total impairment (losses) and total provisions	Stage 1	Stage 2	Stage 3	Purchased or originated credit impaired financial assets		
A. Balance-sheet exposure												
a) Bad loans	788,702	X	-	769,458	447	(472,875)	X	-	(453,938)	(195)	315,827	2,041
- of which: forborne	161,581	X	-	161,540	2	(84,225)	X	-	(84,206)	(2)	77,356	156
b) Unlikely to pay	1,450,127	X	-	1,438,502	679	(504,652)	X	-	(495,420)	(608)	945,475	14,710
- of which: forborne	666,566	X	-	656,423	679	(210,300)	X	-	(202,193)	(608)	456,266	12,807
c) Past due non-performing exposure	29,126	X	-	29,126	-	(5,376)	X	-	(5,376)	-	23,750	6
- of which: forborne	2,146	X	-	2,146	-	(419)	X	-	(419)	-	1,727	-
d) Past due performing exposure	319,073	122,269	195,216	X	-	(8,417)	(346)	(8,071)	X	-	310,656	43
- of which: forborne	28,821	-	28,821	X	-	(1,595)	-	(1,595)	X	-	27,226	1
e) Other assets not impaired	73,354,355	64,076,701	9,061,228	X	1,557	(353,489)	(78,360)	(275,108)	X	(20)	73,000,866	7,219
- of which: forborne	1,506,037	-	1,466,252	X	306	(97,575)	-	(97,557)	X	(18)	1,408,462	5,312
Total A	75,941,383	64,198,970	9,256,444	2,237,086	2,683	(1,344,809)	(78,706)	(283,179)	(954,734)	(823)	74,596,574	24,019
B. Off – Balance sheet exposure												0
a) Non-performing	463,795	X	0	451,836	11,959	(109,706)	X	-	(102,054)	(7,653)	354,089	-
b) Performing	26,898,193	25,626,679	1,089,588	X	341	(26,310)	(12,348)	(13,961)	X	0	26,871,883	-
Total B	27,361,988	25,626,679	1,089,588	451,836	12,300	(136,016)	(12,348)	(13,961)	(102,054)	(7,653)	27,225,972	-
Total (A+B)	103,303,371	89,825,649	10,346,032	2,688,922	14,983	(1,480,825)	(91,054)	(297,140)	(1,056,788)	(8,476)	101,822,546	24,019

* Value to be presented for disclosure purposes

Please see the Report on Operations for quantification of and reporting on capital ratios for coverage of lending relationships.

For detailed information on originated impaired financial assets, reference should be made to paragraph 3.3 “Purchased or originated credit impaired financial assets” included in the Section 1 “Credit risk - Qualitative information” in the Notes to the Consolidated Financial Statements.



A.1.7a: Cash credit exposures to customers subject to COVID-19 support measures: gross and net values

31 12 2022

	Gross exposure					Impairment (losses) and total provisions						
	Total gross exposure	Stage 1	Stage 2	Stage 3	Purchased or originated credit-impaired financial assets	Total impairment (losses) and total provisions	Stage 1	Stage 2	Stage 3	Purchased or originated credit-impaired financial assets	Net Exposures	Partial Write-off*
A. Bad Loans	38,782	-	-	38,782	-	(6,491)	-	-	(6,491)	-	32,291	1
a) EBA-compliant moratoria (legislative and non-legislative)	-	-	-	-	-	-	-	-	-	-	-	-
b) Loans subject to existing moratorium measures no longer compliant with GLs and not assessed as being subject to forbearance measures	-	-	-	-	-	-	-	-	-	-	-	-
c) Loans subject to other forbearance measures	-	-	-	-	-	-	-	-	-	-	-	-
d) Newly Originated Loans	38,782	-	-	38,782	-	(6,491)	-	-	(6,491)	-	32,291	1
B. Unlikely to pay	262,474	-	-	262,474	-	(59,442)	-	-	(59,442)	-	203,031	7,084
a) EBA-compliant moratoria (legislative and non-legislative)	-	-	-	-	-	-	-	-	-	-	-	-
b) Loans subject to existing moratorium measures no longer compliant with GLs and not assessed as being subject to forbearance measures	1	-	-	1	-	-	-	-	-	-	-	-
c) Loans subject to other forbearance measures	16,951	-	-	16,951	-	(7,231)	-	-	(7,231)	-	9,720	7,032
d) Newly Originated Loans	245,522	-	-	245,522	-	(52,211)	-	-	(52,211)	-	193,311	52
C. Past-due non-performing exposures	4,069	-	-	4,069	-	(229)	-	-	(229)	-	3,839	-
a) EBA-compliant moratoria (legislative and non-legislative)	-	-	-	-	-	-	-	-	-	-	-	-
b) Loans subject to existing moratorium measures no longer compliant with GLs and not assessed as being subject to forbearance measures	-	-	-	-	-	-	-	-	-	-	-	-
c) Loans subject to other forbearance measures	-	-	-	-	-	-	-	-	-	-	-	-
d) Newly Originated Loans	4,069	-	-	4,069	-	(229)	-	-	(229)	-	3,839	-
D. Past-due performing exposures	24,332	4,212	20,120	-	-	(361)	(5)	(357)	-	-	23,970	-
a) EBA-compliant moratoria (legislative and non-legislative)	-	-	-	-	-	-	-	-	-	-	-	-
b) Loans subject to existing moratorium measures no longer compliant with GLs and not assessed as being subject to forbearance measures	-	-	-	-	-	-	-	-	-	-	-	-
c) Loans subject to other forbearance measures	273	-	273	-	-	(20)	-	(20)	-	-	252	-
d) Newly Originated Loans	24,059	4,212	19,847	-	-	(341)	(5)	(337)	-	-	23,718	-
E. Other exposure not impaired	9,094,255	6,779,290	2,296,707	-	-	(40,539)	(4,984)	(35,555)	-	-	9,053,717	3,971
a) EBA-compliant moratoria (legislative and non-legislative)	-	-	-	-	-	-	-	-	-	-	-	-
b) Loans subject to existing moratorium measures no longer compliant with GLs and not assessed as being subject to forbearance measures	726	693	33	-	-	(4)	(1)	(3)	-	-	722	-
c) Loans subject to other forbearance measures	36,886	2,674	15,954	-	-	(969)	(9)	(960)	-	-	35,917	3,775
d) Newly Originated Loans	9,056,643	6,775,923	2,280,720	-	-	(39,566)	(4,974)	(34,592)	-	-	9,017,078	196
Total (A+B+C+D+E)	9,423,912	6,783,502	2,316,827	305,325	-	(107,062)	(4,989)	(35,912)	(66,162)	-	9,316,848	11,056

The table shows, in line with the Bank of Italy communication of 21 December 2021, the loans disbursed, subject to moratoria or other forbearance measures in place at the reporting date, or which constitute new liquidity granted with the support of public guarantees.

For further details, please refer to the table “4.4a Loans valued at amortised cost subject to Covid-19 support measures: gross value and total value adjustments” in Part B of these Notes to the Financial Statements.

*A.1.8 - Balance-sheet exposure to banks: changes in gross non-performing exposures*

	31 12 2022		
Source/Categories	Bad loans	Unlikely to pay	Non-performing Past due
A. Gross exposure, opening balance	12,180	-	527
- of which: transferred but not derecognised	-	-	-
B. Increases	-	-	-
B.1 Transfers from performing loans	-	-	-
B.2 Transfers from purchased or originated credit impaired (POCI)	-	-	-
B.3 Transfers from other non-performing exposure	-	-	-
B.4 Modification gains/losses	-	-	-
B.5 Other increases	-	-	-
C. Decreases	12,180	-	527
C.1 Transfers to performing loans	-	-	-
C.2 Write-off	11,284	-	-
C.3 Collections	-	-	527
C.4 Amounts realised upon disposal of positions	-	-	-
C.5 Losses from disposal	-	-	-
C.6 Transfers from other non-performing exposure	-	-	-
C.7 Modification gains/losses	-	-	-
C.8 Other decreases	896	-	-
D. Gross exposure, closing balance	-	-	-
- of which: transferred but not derecognised	-	-	-

At the reporting date, there are no impaired financial assets that were acquired during the financial year through business combination transactions or other types of acquisitions.

A.1.8 bis – Balance-sheet credit exposure to banks: changes in gross forborne exposures broken down by credit quality

This table was not completed as the Bank did not hold forborne exposures neither in the current year nor in the previous year.



A.1.9 – Balance-sheet credit exposure to customers: changes in gross non-performing exposures

31 12 2022

Source/Categories	Bad loans	Unlikely to pay	Non-performing Past due
A. Gross exposure, opening balance	1,130,885	1,787,216	30,090
- of which: transferred but not derecognised	63,597	38,070	762
B. Increases	368,563	734,305	32,050
B.1 Transfers from performing loans	43,057	562,243	28,490
B.2 Transfers from purchased or originated credit impaired (POCI)	362	-	-
B.3 Transfers from other non-performing exposure	253,328	9,014	407
B.4 Modification gains/losses	1	1,171	2
B.5 Other increases	71,815	161,877	3,151
C. Decreases	710,745	1,071,394	33,016
C.1 transfers to performing loans	140	162,971	10,713
C.2 write-offs	25,571	41,340	252
C.3 collections	70,638	335,417	12,351
C.4 amounts realised upon disposal of positions	123,382	100,821	-
C.5 Losses from disposal	6,268	19,457	-
C.6 transfers to other categories of impaired exposure	827	252,222	9,699
C.7 Modification gains/losses	18	363	-
C.8 other decreases	483,901	158,803	1
D. Gross exposure, closing balance	788,703	1,450,127	29,124
- of which: transferred but not derecognised	58,774	9,476	301

The line item Other decreases amounting to a total of EUR 642.7 mln, is attributable for EUR 631.0 mln to non-performing exposures subject to disposal, of which EUR 472.5 mln is classified as bad loans and EUR 158.5 mln as unlikely to pay.

In reference with bad loans, total revenues consisted of 31.8% from in court recoveries, 51.8% from out-of-court settlements, including single-name assignments, and the remaining 16.4% from payments from Guarantee Institutions; Income from disposal relate approximately 90% to block disposals.

At the reporting date, there are no impaired financial assets that were acquired during the financial year through business combination transactions.



A.1.9bis – Balance-sheet credit exposure to customers: changes in gross forborne exposure broken down by credit quality

31 12 2022

Source/Categories	Non performing forborne exposures	Performing forborne exposures
A. Goss exposure, opening balance	1,214,218	1,890,436
- of which: transferred but not derecognised	39,818	58,579
B. Increases	301,922	562,458
B.1 Transfers from performing loans non forborne exposure	69,807	343,247
B.2 Transfers from performing forborne exposures	109,086	X
B.3 Transfers from Non-performing forborne exposures	X	117,422
B.4 Transfers from Non-performing loans non forborne exposure	48,777	492
B.5 Other increases	74,252	101,297
C. Decreases	685,848	918,035
C.1 Transfers to performing loans non forborne exposure	X	478,911
C.2 Transfers to performing forborne exposures	117,422	X
C.3 Transfers to non-performing forborne exposures	X	109,086
C.4 Write-offs	36,061	423
C.5 Collections	197,371	322,841
C.6 Amounts realised upon disposal of positions	114,136	-
C.7 Losses from disposal	7,937	-
C.8 Other decreases	212,921	6,774
D. Gross exposure, closing balance	830,292	1,534,859
- of which: transferred but not derecognised	21,077	6,763



A.1.10 - Non-performing balance-sheet credit exposures to banks: changes in overall value adjustments

31 12 2022

Source/Categories	Bad loans		Unlikely to pay		Non-performing Past due	
	Total	of which forborne	Total	of which forborne	Total	of which forborne
A. Opening balance of overall adjustments	12,167	-	-	-	237	-
- of which: transferred but not derecognised	-	-	-	-	-	-
B. Increases	-	-	-	-	-	-
B.1 Value adjustments from purchased or originated credit impaired	-	X	-	X	-	X
B.2 Other value adjustment	-	-	-	-	-	-
B.3 Loss from disposal	-	-	-	-	-	-
B.4 Transfers from other categories of non-performing exposures	-	-	-	-	-	-
B.5 Modification gains/losses	-	X	-	X	-	X
B.6 Other increases	-	-	-	-	-	-
C. Decreases	12,167	-	-	-	237	-
C.1 Write-backs from valuation	882	-	-	-	237	-
C.2 Write-backs from collection	-	-	-	-	-	-
C.3 Gains on disposal	-	-	-	-	-	-
C.4 Write-offs	11,285	-	-	-	-	-
C.5 Transfers to other categories of non-performing exposure	-	-	-	-	-	-
C.6 Modification gains/losses	-	X	-	X	-	X
C.7 Other decreases	-	-	-	-	-	-
D. Closing balance of overall adjustments	-	-	-	-	-	-
- of which: transferred but not derecognised	-	-	-	-	-	-

At the reporting date, there are no impaired financial assets that were acquired during the financial year through business combination transactions or other types of acquisitions.



A.1.11 - Non-performing balance-sheet credit exposure to customers: changes in overall value adjustments

31 12 2022

Source/Categories	Bad loans		Unlikely to pay		Non-performing Past due	
	Total	of which forborne	Total	of which forborne	Total	of which forborne
A. Opening balance of overall adjustments	690,908	138,395	631,527	329,214	6,988	287
- of which: transferred but not derecognised	33,790	7,965	10,068	5,449	131	13
B. Increases	344,327	83,752	365,961	141,949	4,574	425
B.1 Value adjustments from purchased or originated credit impaired	111	X	-	X	-	X
B.2 Other value adjustment	206,026	47,699	325,423	110,636	3,994	276
B.3 Loss from disposal	6,268	1,513	19,457	6,424	-	-
B.4 Transfers from other categories of non-performing exposures	130,233	18,125	7,097	131	69	31
B.5 Modification gains/losses	-	X	168	X	-	X
B.6 Other increases	1,689	16,415	13,816	24,758	511	118
C. Decreases	562,357	137,922	492,835	260,863	6,185	295
C.1 Write-backs from valuation	32,587	6,545	65,758	37,994	1,250	31
C.2 Write-backs from collection	21,006	8,916	64,911	39,000	1,475	96
C.3 Profit from disposal	5,986	1,415	22,170	17,602	-	-
C.4 Write-offs	25,571	11,068	41,340	24,990	252	3
C.5 Transfers to other categories of non-performing exposure	4,590	16	129,767	18,145	3,042	126
C.6 Modification gains/losses	10	X	53	X	-	X
C.7 Other decreases	472,607	109,962	168,836	123,132	166	39
D. Closing balance of overall adjustments	472,878	84,225	504,653	210,300	5,377	417
- of which: transferred but not derecognised	34,123	8,475	1,791	964	38	-

The line item Other decreases amounting to a total of EUR 641.6 mln, is attributable for EUR 631.0 mln to non-performing exposures subject to disposal, of which EUR 472.5 mln is classified as bad loans and EUR 158.5 mln as unlikely to pay.

At the reporting date, there are no impaired financial assets that were acquired during the financial year through business combination transactions.



Exposure to sovereign debt risk

Below are the net sovereign credit risk exposures in government bonds, loans and credit derivatives held by the Bank as at 31 December 2022, pursuant to the criteria of the *European Securities and Markets Authority* (ESMA).

The exposure is broken down by accounting categories. For debt securities and loans in the “Financial assets measured at amortised cost” portfolio, only the book value is reported.

COUNTRY	DEBT SECURITIES					LOANS	CREDIT DERIVATIVES
	Financial assets measured at fair value through profit or loss		Financial assets measured at fair value through other comprehensive income		Financial assets measured at amortised cost	Financial assets measured at amortised cost	Financial assets held for trading
	Nominal	Fair value=book value	Nominal	Fair value=book value	Book value	Book value	Nominal
Argentina	0.1	-	-	-	-	-	-
France	-	-	-	-	10.7	-	-
Italy	-	-	3,609.4	3,385.2	6,287.1	1,576.1	-
Portugal	-	-	-	-	3.1	-	-
Spain	-	-	-	-	1,177.7	-	-
Total 31 12 2022	0.1	-	3,609.4	3,385.2	7,478.6	1,576.1	-
Total 31 12 2021	0.1	-	4,450.9	4,494.0	6,889.5	1,634.7	-

Details on the Bank’s exposure is presented taking into consideration that, according to instructions from the European Securities and Market Authority (ESMA), “sovereign debt” is defined as bonds issued by central and local Governments and by government Entities, as well as loans disbursed to said entities.

These financial instruments were measured according to the standards applicable to the category to which they belong.

As at 31 December 2022, the residual duration of the exposure to sovereign debt was 6.92 years.

The overall exposure to loans and debt securities amounted to EUR 12,440.0 mln, almost entirely in Italian debt, and is concentrated in the portfolio of financial assets measured at cost. Exposures to Italy are nearly exclusively level 1, with the exception of EUR 659 mln under level 2, attributable for EUR 492 mln to government bonds.

We provide below a breakdown of reserves on financial assets measured at fair value through other comprehensive income and of Italian credit derivatives (in EUR/mln):

Financial assets measured at fair value through other comprehensive income: Italy	31 12 2022	31 12 2021
Book value	3,385.2	4,494.0
OCI reserve (after tax)	(100.3)	22.6
of which: hedging effect (after tax)	(11.7)	(53.6)

Credit derivatives - Italy	31 12 2022	31 12 2021
Purchase of protection		
Nominal	(75.0)	(75.0)
Positive fair value	-	-
Negative fair value	(3.6)	(3.5)
Sale of protection		
Nominal	75.0	75.0
Positive fair value	3.6	3.5
Negative fair value	-	-



A.2 Classification of exposure by external and internal ratings

A.2.1 – Breakdown of financial assets, commitments to disburse funds and financial guarantees given by external rating class (gross values)

31 12 2022

Exposures	External rating classes						No Rating	Total
	Class 1	Class 2	Class 3	Class 4	Class 5	Class 6		
A. Financial assets measured at amortised cost	648,675	992,495	8,384,016	112,363	12,243,233	899	67,942,585	90,324,266
- Stage 1	646,568	991,616	8,384,015	112,363	12,243,233	899	56,441,175	78,819,869
- Stage 2	2,107	879	1	-	-	-	9,261,640	9,264,627
- Stage 3	-	-	-	-	-	-	2,237,087	2,237,087
- purchased or originated credit impaired financial assets	-	-	-	-	-	-	2,683	2,683
B. Financial assets measured at fair value through other comprehensive income	2,661	-	3,680,003	193,491	6,021	-	-	3,882,176
- Stage 1	2,661	-	3,680,003	182,127	-	-	-	3,864,791
- Stage 2	-	-	-	11,364	6,021	-	-	17,385
- Stage 3	-	-	-	-	-	-	-	-
- purchased or originated credit impaired financial assets	-	-	-	-	-	-	-	-
C. Financial assets held for sale	-	-	-	-	-	-	(1)	(1)
- Stage 1	-	-	-	-	-	-	-	-
- Stage 2	-	-	-	-	-	-	-	-
- Stage 3	-	-	-	-	-	-	(1)	(1)
- purchased or originated credit impaired financial assets	-	-	-	-	-	-	-	-
Total (A+B+C)	651,336	992,495	12,064,019	305,854	12,249,254	899	67,942,584	94,206,441
D Commitments to disburse funds and financial guarantees issued	132,690	504,276	955,420	954,535	845,542	44,956	26,325,292	29,762,711
- Stage 1	132,690	504,276	955,420	949,372	845,407	44,956	24,776,617	28,208,738
- Stage 2	-	-	-	5,163	135	-	1,084,539	1,089,837
- Stage 3	-	-	-	-	-	-	451,836	451,836
- purchased or originated credit impaired financial assets	-	-	-	-	-	-	12,300	12,300
Total (A+B+C+D)	784,026	1,496,771	13,019,439	1,260,389	13,094,796	45,855	94,267,876	123,969,152

class 1=AAA/AA-; class 2=A+/A-; class 3=BBB+/BBB-; class 4=BB+/BB-; class 5=B+/B- class 6=Lower than B-

The external rating categories used to complete the table are from Standard & Poor's. Balance-sheet gross exposures correspond to the exposures in Table E.A.1.2, while off-balance-sheet exposures correspond to those shown in Table E.A.1.6 and E.A.1.7. If multiple external ratings are assigned, the rating is selected based on Bank of Italy's criteria (when two ratings are available, the lower of the two is used, and when three or more ratings are assigned, the second highest rating is selected). To ensure relevance of information, internal cross-reference tables were used to convert classification by various rating agencies into classification by Standard & Poor's.



A.2.2 – Breakdown of financial assets, commitments to disburse funds and financial guarantees given by internal rating class (gross values)

31.12.2022

Exposures	Internal rating classes							No Rating	Total
	High Quality	Average Quality	Fair Quality	Mediocre Quality	Poor Quality	Default	Group admin.ve default		
A. Financial assets measured at amortised cost	744,185	18,017,625	27,849,633	9,736,277	586,681	2,238,213	2	31,151,649	90,324,265
- Stage 1	742,157	17,818,131	25,143,148	4,347,676	714	-	-	30,768,043	78,819,869
- Stage 2	2,028	199,494	2,705,341	5,388,188	585,967	-	2	383,606	9,264,626
- Stage 3	-	-	-	-	-	2,237,087	-	-	2,237,087
- purchased or originated credit impaired financial assets	-	-	1,144	413	-	1,126	-	-	2,683
B. Financial assets measured at fair value through other comprehensive income	-	3,786	6,394	-	-	-	-	3,871,996	3,882,176
- Stage 1	-	3,786	373	-	-	-	-	3,860,632	3,864,791
- Stage 2	-	-	6,021	-	-	-	-	11,364	17,385
- Stage 3	-	-	-	-	-	-	-	-	-
- purchased or originated credit impaired financial assets	-	-	-	-	-	-	-	-	-
C. Financial assets held for sale	-	-	-	-	-	-	-	-	-
- Stage 1	-	-	-	-	-	-	-	-	-
- Stage 2	-	-	-	-	-	-	-	-	-
- Stage 3	-	-	-	-	-	-	-	-	-
- purchased or originated credit impaired financial assets	-	-	-	-	-	-	-	-	-
Total (A+B+C)	744,185	18,021,411	27,856,027	9,736,277	586,681	2,238,213	2	35,023,645	94,206,441
D Commitments to disburse funds and financial guarantees issued	2,172,771	9,025,293	10,596,151	2,351,441	44,415	463,795	-	5,108,845	29,762,711
- Stage 1	2,172,726	9,004,028	10,247,659	1,671,421	18,364	-	-	5,094,539	28,208,737
- Stage 2	45	21,265	348,416	679,755	26,051	-	-	14,306	1,089,838
- Stage 3	-	-	-	-	-	451,836	-	-	451,836
- purchased or originated credit impaired financial assets	-	-	76	265	-	11,959	-	-	12,300
Total (A+B+C+D)	2,916,956	27,046,704	38,452,178	12,087,718	631,096	2,702,008	2	40,132,490	123,969,152

High Quality customers (Master Scale categories AAA and A1) Good Quality customers (Master Scale categories A2, A3 and B1) Fair Quality customers (Master Scale categories B2, B3, C1 and C2) Mediocre Quality customers (Master Scale categories C3, D1, D2 and D3) Poor Quality customers (Master Scale categories E1, E2 and E3).

The table provides a breakdown of customers of the Bank by risk categories assigned on the basis of ratings arising from internal models. For this purpose, account is given only of exposures (borrowers) for which an internal rating is periodically recorded for models/legal entities/portfolios which have been subject to a validation process with the Supervisory Authorities without any cross-reference from official ratings to internal ratings, especially with regard to the following customer segments: “Banks”, “Non-banking financial institutions”, and “Governments and Public Administration”. Thus, based on this provision, exposures related to the latter segments, even if covered by official ratings, were reported as “unrated” in the internal rating models.

As at 31 December 2022 the Bank had outstanding trade receivables for a gross value of EUR 7.9 mln. With regard to these receivables, the Bank valued the defined loss coverage provision assigning a probability of default (PD) equivalent to the average rating of the AIRB portfolio and a LGD rate of 45%.



A.3 Breakdown of secured credit exposures by type of collateral

A.3.1 – Balance sheet and off-balance sheet secured credit exposure to banks

31 12 2022

	Amount of gross exposure	Amount of Net Exposure	Collaterals				Personal guarantees								Total collateral and personal guarantees	
							Credit derivatives				Unsecured signature loans					
			Other derivatives								Public entities	Banks	Other financial entities	Other entities		
			Real estate mortgages	Real estate leasing	Securities	Other collaterals	CLN	Central counterparties	Banks	Other financial entities						Other entities
1. Secured balance-sheet exposures:	5,032,047	5,032,045	916	-	5,008,749	-	-	-	-	-	-	-	-	-	-	5,009,665
1.1 totally secured	5,032,047	5,032,045	916	-	5,008,749	-	-	-	-	-	-	-	-	-	-	5,009,665
- of which non performing	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
1.2 partially secured	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
- of which non performing	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
2. Secured off-balance sheet exposures:	84	84	-	-	-	84	-	-	-	-	-	-	-	-	-	84
2.1 totally secured	84	84	-	-	-	84	-	-	-	-	-	-	-	-	-	84
- of which non performing	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
2.2 partially secured	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
- of which non performing	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-

In addition to balance-sheet exposures, the table shows the amount of off-balance-sheet exposures to banks (including derivative contracts with banks) which are fully or partially secured. As regards personal guarantees, the economic segments to which guarantors and sellers of protection belong (in the case of unsecured loans and credit derivatives, respectively) are identified making reference to the classification criteria provided for in the brochure “classification of customers by segments and groups of economic activity” published by the Bank of Italy.

Exposures are classified as “fully secured” by comparing the gross exposure with the amount of the guarantee established in the contract; for that purpose, any supplemental guarantees are also considered.

The fair value of collaterals estimated as at the reporting date is shown in the columns “Real guarantees” and “Personal guarantees”; if such information is not available, the contractual value is reported. Please note that both values may not be higher than the book value of secured exposures, in line with the 7th update to Bank of Italy Circular 262.



A.3.2 - Secured on- and off-balance-sheet exposures to customers

31 12 2022

	Gross exposure	Net exposure	Personal guarantees														Total collateral and personal guarantees
			Collateral				Credit derivatives				Unsecured signature loans						
							Altri derivati										
			Real Estate Mortgages	Real Estate leasing	Securities	Other collateral security	CLN	Central counterparties	Banks	Other financial entities	Other entities	Public entities	Banks	Other financial entities	Other entities		
1. Secured balance-sheet exposures:	52,787,898	51,852,871	36,007,339	-	261,191	107,473	-	-	-	-	-	8,110,444	858	621,496	5,633,366	50,742,167	
1.1 totally secured	46,382,710	45,542,698	36,006,414	-	230,233	99,473	-	-	-	-	-	4,349,795	415	550,268	4,241,662	45,478,260	
- of which non performing	1,547,918	969,582	724,382	-	2,531	1,946	-	-	-	-	-	116,646	-	22,107	98,693	966,305	
1.2 partially secured	6,405,188	6,310,173	925	-	30,958	8,000	-	-	-	-	-	3,760,649	443	71,228	1,391,704	5,263,907	
- of which non performing	253,418	186,228	8	-	318	149	-	-	-	-	-	94,319	-	3,580	70,028	168,402	
2. Secured off-balance sheet exposures:	6,607,325	6,583,461	78,769	-	115,654	169,346	-	-	-	-	-	334,106	537	519,181	4,952,586	6,170,179	
2.1 totally secured	5,438,739	5,416,511	78,686	-	89,645	142,563	-	-	-	-	-	168,021	537	473,671	4,400,059	5,353,182	
- of which non performing	84,411	68,843	2,089	-	1,793	1,810	-	-	-	-	-	1,040	-	4,119	57,912	68,763	
2.2 partially secured	1,168,586	1,166,950	83	-	26,009	26,783	-	-	-	-	-	166,085	-	45,510	552,527	816,997	
- of which non performing	13,337	13,040	-	-	487	103	-	-	-	-	-	2,762	-	121	7,698	11,171	

In addition to balance sheet exposures, the table shows the amount of off-balance sheet exposures to customers (including derivative contracts with customers) which are fully or partially secured.

As regards personal guarantees, the economic segments to which guarantors (unsecured loans) and sellers of protection (credit derivatives) are identified with reference to the classification criteria provided for by the Bank of Italy, Circular no. 140 of 11 February 1991 "Instructions for classifying customers".

Exposures are classified as either "totally secured" or "partially secured" by comparing the gross exposure with the amount of the guarantee established in the contract; for that purpose, any supplemental guarantees are also considered.

The fair value of collaterals estimated as at the reporting date is shown in the columns "Real guarantees" and "Personal guarantees"; if such information is not available, the contractual value is reported. Please note that both values may not be higher than the book value of secured exposures, in line with the Circular 262 of Bank of Italy.

A.4 – Financial and non-financial assets obtained through enforcement of guarantees received

	Derecognised credit exposure	Gross Value	Total impairment (losses)	Book value	
					<i>of which: obtained during the year</i>
A. Property, plant and equipments	-	-	-	-	-
B. Equity instruments and Debt securities	52,988	43,803	21,407	22,396	-
C. Other assets	-	-	-	-	-
D. Non current assets and group of assets held for sale	-	-	-	-	-
Total 31 12 2022	52,988	43,803	21,407	22,396	-
Total 31 12 2021	53,097	43,912	15,997	27,914	-

As at 31 December 2022, the Bank held financial instruments with a book value of EUR 22.4 mln (EUR 27.9 mln as at 31 December 2021), classified in the accounting portfolio of “Financial assets mandatorily measured at fair value”, which not represent financial assets granted by the debtor as collateral for pre-existing loans granted, but acquired as part of bilateral agreements with the same, as a result of which the Bank arranged for the derecognition of the related credit exposure.

The decrease of EUR 5.6 mln compared to 31 December 2021 is mainly due to the write-down of a number of SFPs during the year.



B. Breakdown and concentration of credit exposures

B.1 - Breakdown of balance sheet and off-balance sheet credit exposures to customers by business segment

31 12 2022

Exposure/Customers	Public Administration		Financial companies		Financial companies: of which insurance companies		Non financial companies		Families	
	Net exposure	Total impairment (losses)	Net exposure	Total impairment (losses)	Net exposure	Total impairment (losses)	Net exposure	Total impairment (losses)	Net exposure	Total impairment (losses)
A. Balance-sheet exposure										
A.1 Bad loans	-	-	374	19,115	-	-	164,069	300,239	151,384	153,521
- of which forborne	-	-	339	328	-	-	31,172	40,167	45,844	43,730
A.2 Unlikely to pay	30,087	7,452	10,847	3,734	-	-	508,900	355,556	395,641	137,909
- of which forborne	-	-	391	258	-	-	230,009	140,526	225,866	69,517
A.3 Past due non-performing exposure	447	362	14	4	-	-	4,242	814	19,048	4,196
- of which forborne	-	-	-	-	-	-	331	152	1,395	267
A.4 Other performing exposure	12,456,182	10,919	2,876,897	3,611	62,503	-	24,439,764	223,725	33,538,680	123,650
- of which forborne	7,688	63	9,910	108	-	-	883,207	67,768	534,882	31,232
Total A	12,486,716	18,733	2,888,132	26,464	62,503	-	25,116,975	880,334	34,104,753	419,276
B. Off-balance-sheet exposures										
B.1 Non-performing exposures	59	-	10,063	381	-	-	329,818	107,940	14,149	1,385
B.2 Performing exposures	741,052	52	1,049,896	344	25,947	-	22,837,709	23,593	2,243,226	2,320
Total B	741,111	52	1,059,959	725	25,947	-	23,167,527	131,533	2,257,375	3,705
Total (A+B) 31 12 2022	13,227,827	18,785	3,948,091	27,189	88,450	-	48,284,502	1,011,867	36,362,128	422,981
Total (A+B) 31 12 2021	14,187,415	18,756	3,992,591	28,884	90,232	-	50,898,035	1,276,878	36,676,071	492,664



B.2 – Breakdown of on- and off-balance-sheet exposures to customers by geographic area

Exposure/Geographic Areas	ITALY		OTHER EUROPEAN COUNTRIES		AMERICA		ASIA		REST OF THE WORLD	
	Net exposure	Total impairment (losses)	Net exposure	Total impairment (losses)	Net exposure	Total impairment (losses)	Net exposure	Total impairment (losses)	Net exposure	Total impairment (losses)
A. Balance-sheet exposures										
A.1 Sofferenze	315,412	471,717	164	711	126	95	-	-	125	353
A.2 Unlikely to pay	912,366	493,836	3,168	4,410	22,046	4,746	7,887	1,643	8	17
A.3 Past due Non-performing	23,210	5,232	225	30	240	68	75	46	1	-
A.4 Performing exposures	71,550,086	359,584	1,527,288	1,543	147,527	335	57,690	313	28,933	130
Total A	72,801,074	1,330,369	1,530,845	6,694	169,939	5,244	65,652	2,002	29,067	500
B. Off-Balance sheet exposures										
B.1 Non-performing exposures	353,924	109,706	8	-	1	-	155	-	-	-
B.2 Performing exposures	26,369,248	26,184	239,983	108	208,383	17	31,370	-	22,900	1
Total B	26,723,172	135,890	239,991	108	208,384	17	31,525	-	22,900	1
Total (A+B) 31 12 2022	99,524,246	1,466,259	1,770,836	6,802	378,323	5,261	97,177	2,002	51,967	501
Total (A+B) 31 12 2021	103,402,399	1,805,404	2,032,856	3,703	165,819	5,195	111,345	2,415	41,692	465

B.3 – Breakdown of balance sheet and off-balance-sheet credit exposures to banks by geographic area (book value)

Exposure/Geographic Areas	ITALY		OTHER EUROPEAN COUNTRIES		AMERICA		ASIA		REST OF THE WORLD	
	Net exposure	Total impairment (losses)	Net exposure	Total impairment (losses)	Net exposure	Total impairment (losses)	Net exposure	Total impairment (losses)	Net exposure	Total impairment (losses)
A. Balance-sheet exposures										
A.1 Sofferenze	-	-	-	-	-	-	-	-	-	-
A.2 Unlikely to pay	-	-	-	-	-	-	-	-	-	-
A.3 Past due Non-performing	-	-	-	-	-	-	-	-	-	-
A.4 Performing exposures	29,091,859	1,280	1,092,039	882	65,848	140	143,279	605	16,815	52
Total A	29,091,859	1,280	1,092,039	882	65,848	140	143,279	605	16,815	52
B. Off-Balance sheet exposures										
B.1 Non-performing exposures	-	-	-	-	-	-	-	-	-	-
B.2 Performing exposures	2,248,533	65	909,620	127	208,872	27	537,228	61	166,343	142
Total B	2,248,533	65	909,620	127	208,872	27	537,228	61	166,343	142
Total (A+B) 31 12 2022	31,340,392	1,345	2,001,659	1,009	274,720	167	680,507	666	183,158	194
Total (A+B) 31 12 2021	41,700,528	3,681	2,596,677	1,347	364,341	12,339	855,868	1,065	189,800	199



B.4 Large exposures

Item/Amount	31 12 2022	31 12 2021
a) Book value	59,867,124	71,786,014
b) Weighted value	1,735,847	1,877,843
c) Number	7	9

Regulations provide for positions to be defined as “large exposures” by making reference to credit-risk unweighted exposures.

An exposure is deemed as a “large exposure” when its amount is equal to or greater than 10% of own funds.

The decrease as at 31 December 2022 for the item “Book value” is mainly due to the negative change in the deposit held with the Central Bank, assets excluded from the risk-weighted value as provided for in CRR art. 400 (1), letter a); the decrease in the “Weighted value” referred to 2022 compared to 2021 is substantially attributable to the reduction in business with companies.

C. SECURITISATION TRANSACTIONS

Qualitative Information

For qualitative information, please refer to Part E of the Notes to the Consolidated Financial Statements.

We describe below the characteristics of the Bank’s securitisation transactions originated in previous financial years and outstanding as at 31 December 2022, the securities of which have been partly placed on the market.

Synthetic securitisation transactions

In July 2021, the Bank completed a new synthetic securitisation called “Siena 2021 - RegCap-1”, in addition to “Siena 2020 - FEI Transaction” and “Siena 2020-RegCap-1”.

The main objective of a synthetic securitisation is to free up regulatory and economic capital by reducing the credit risk of the portfolio underlying the transaction (Significant Risk Transfer). In general, it is envisaged, through the stipulation of guarantee contracts, the purchase of protection of the credit risk underlying a loan portfolio, of which the Originator retains full ownership and the relative servicing management.

For further details, reference should be made to the Notes to the Consolidated Financial Statements - Part E - Section C “Securitisation transactions”.

Own securitisations with derecognition of the underlying assets

Siena NPL 2018 Srl

In the course of 2017, on the basis of what is set forth in the Restructuring Plan and in line with the terms of the agreements entered into with Quaestio Capital Management SGR S.p.A., the Bank completed a transfer through securitisation of a portfolio of bad loans along with other Group companies.

The portfolio was sold on 20 December 2017 to the vehicle Siena NPL 2018 S.r.l., established for this purpose. The SPV financed the purchase of the portfolio through the issue of asset-backed securities with limited recourse of the Senior A1, Senior A2, Mezzanine and Junior class, centralised in dematerialized form at Monte Titoli S.p.A. and initially not listed on any regulated market in Italy and/or abroad.

On 9 January 2018, the transfer of 95% of the Mezzanine notes to Quaestio Capital SGR on behalf of Italian Recovery Fund (Fondo Atlante II) was completed. In May 2018, at the end of the rating assignment process, the Senior Notes were restructured into a single class, obtaining an investment grade rating from the 3 ratings agencies involved as illustrated below. Consequently, the securities issued by the SPV were the following:

- i. Senior A notes for EUR 2,918 mln, rating A3/BBB+/BBB (Moody’s/Scope Ratings/DBRS). The outstanding amount as at 31 December 2022 was EUR 1,253 mln. The rating as at 31 December 2022 is Baa2/BBB+/BB (high) (Moody’s/Scope Ratings/DBRS);



- ii. Mezzanine B notes for EUR 848 mln, without rating and sold to the Italian Recovery Fund, for a portion of 95% of the issue. The outstanding amount as at 31 December 2022, also due to the capitalisation of the interest (payment-in-kind), was about EUR 883 mln;
- iii. Junior notes for EUR 565 mln, without rating.

In June 2018, with the transfer of 95% of the Junior notes to the Italian Recovery Fund, in addition to that of the Mezzanine notes, deconsolidation of the entire securitised portfolio was completed. The remaining 5% of the junior and mezzanine notes was retained for the purpose of compliance with the “retention rule”.

Lastly, in July 2018, the MEF granted, with a decree, the government guarantee (GACS) on the senior tranche of the securitisation. Obtainment of the GACS completed the entire securitisation process.

Norma SPV S.r.l.

On 1 July 2017, as part of a securitisation of non-performing loans, partly originated by banks outside the Group, the Bank completed the sale of a portfolio of 12 non-performing loans in the real estate and shipping sectors for an amount equal to, respectively, EUR 24.0 mln and EUR 145.3 mln.

To fund the acquisition of this portfolio, on 21 July 2017 the SPV issued Class A1, B, C and D ABS securities (the “Securities”) for the real estate sector and Class A1, B, C1, C2 and D ABS securities for the shipping sector. The senior classes of both the real estate and shipping transactions were placed with institutional investors, while the mezzanine and junior classes were subscribed by each transferring bank in proportion with the disposed loans. Specifically, the Bank subscribed the following classes:

- Real Estate: Class B for a nominal amount of EUR 11.6 mln; Class C for a nominal amount of EUR 2.4 mln; Class D for a nominal amount of EUR 9.2 mln.
- Shipping: Class B for a nominal amount of EUR 46.2 mln; Class C1 for a nominal amount of EUR 20.7 mln; Class C2 for a nominal amount of EUR 6.6 mln; Class D for a nominal amount of EUR 66.8 mln.

During the first quarter of 2020, the Bank carried out the derecognition of the loans underlying the securitization; in fact, following the approval of the RBD Armatori SpA composition with creditors, there are no risks and benefits associated with the ownership of the loan.

As at 31 December 2022, the nominal value of the classes subscribed by the Bank is as follows:

- Real Estate: Class B EUR 3.9 mln; Class C EUR 2.4 mln; Class D EUR 9.2 mln.
- Shipping: Class B EUR 49.8 mln; Class C1 EUR 22.3 mln; Class C2 EUR 7.1 mln; Class D EUR 71.9 mln.

Own securitisations without derecognition of the underlying assets

Siena Mortgages 10-7 Srl

On 30 September 2010, a portfolio of 34,971 performing residential mortgages originated by the Bank was sold for approx. EUR 3,479.5 mln. As at 31 December 2022, the residual debt (gross exposure in the Financial Statements) amounted to EUR 911.1 mln (13,249 outstanding mortgages).

To fund the acquisition of this portfolio, the SPV issued RMBS securities, rated by Fitch and Moody's as at 31 December 2022 as follows:

- (i) Class A1 notes for a nominal amount of EUR 595.0 mln, repaid in full;
- (ii) Class A2 notes for a nominal amount of EUR 400.0 mln, redeemed in full;
- (iii) Class A3 notes (AA and Aa3) for a nominal amount of EUR 1,666.9 mln, of which EUR 1,612.8 mln were redeemed;
- (iv) Class B notes (NR and A1) for a nominal amount of EUR 817.6 mln;
- (v) Class C notes (NR/NR) for a nominal amount of EUR 106.6 mln, of which EUR 49.5 mln were redeemed.



A cash reserve of EUR 104.4 mln was established through the issue of Class C notes, the amount of which is equal to the target value as at 31 December 2022, i.e. EUR 104.4 mln. Class A1 and A2 notes - now fully repaid - were sold on the market, whereas the remaining classes of notes issued were initially underwritten by the Bank; subsequently, this sold on the market also the Class A3 notes (as at 31 December 2022, a minimum share of the class A3 notes was repurchased on the market by the subsidiary MPS Capital Services). Market placement of these classes did not entail the derecognition of the underlying assets from the balance sheet of the Bank (transferor), which has substantially retained all risks and rewards associated with the ownership of the assets sold. It should be noted that the Bank, in February 2023, authorised the completion of the early closing of the Siena Mortgages 10-7 securitisation with the consequent repurchase of the residual portfolio.

Quantitative Information

C.1 - Exposures arising from major own securitisation transactions broken down by type of securitised asset and type of exposure

Quality of underlying assets/Exposures	Balance-sheet exposure						Guarantees issued						Lines of credit					
	Senior		Mezzanine		Junior		Senior		Mezzanine		Junior		Senior		Mezzanine		Junior	
	Book Value	Impairment (losses)/reversals	Book Value	Impairment (losses)/reversals	Book Value	Impairment (losses)/reversals	Net exposure	Impairment (losses)/reversals	Net exposure	Impairment (losses)/reversals	Net exposure	Impairment (losses)/reversals	Net exposure	Impairment (losses)/reversals	Net exposure	Impairment (losses)/reversals	Net exposure	Impairment (losses)/reversals
A. Fully derecognised	828,975	(677)	22,380	(4,925)	11,649	(859)	-	-	-	-	-	-	-	-	-	-	-	-
Bond	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Non performing loans	828,974	(677)	22,380	(4,925)	378	(2,251)	-	-	-	-	-	-	-	-	-	-	-	-
Mortgages loans	-	-	-	-	89	(7)	-	-	-	-	-	-	-	-	-	-	-	-
Shipping loans	-	-	-	-	11,182	1,399	-	-	-	-	-	-	-	-	-	-	-	-
B. Partially derecognised	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
C. Not derecognised	1,657,735	-	815,838	-	77,307	-	-	-	-	-	-	-	-	-	-	-	-	-
SME Mortgages	591,894	-	-	-	8,704	-	-	-	-	-	-	-	-	-	-	-	-	-
SME-Corporate Mortgages	1,065,840	-	-	-	11,466	-	-	-	-	-	-	-	-	-	-	-	-	-
Residential mortgages	-	-	815,838	-	57,137	-	-	-	-	-	-	-	-	-	-	-	-	-
Total	2,486,709	(677)	838,218	(4,925)	88,956	(859)	-	-	-	-	-	-	-	-	-	-	-	-
<i>Of which non performing</i>	<i>828,974</i>	<i>(677)</i>	<i>52,845</i>	<i>(4,925)</i>	<i>13,783</i>	<i>(859)</i>	<i>-</i>	<i>-</i>	<i>-</i>	<i>-</i>	<i>-</i>	<i>-</i>	<i>-</i>	<i>-</i>	<i>-</i>	<i>-</i>	<i>-</i>	<i>-</i>
<i>Of which others</i>	<i>1,657,735</i>	<i>-</i>	<i>785,373</i>	<i>-</i>	<i>75,173</i>	<i>-</i>	<i>-</i>	<i>-</i>	<i>-</i>	<i>-</i>	<i>-</i>	<i>-</i>	<i>-</i>	<i>-</i>	<i>-</i>	<i>-</i>	<i>-</i>	<i>-</i>

In relation to securitisation transactions with own and third-party underlying assets, the table indicates balance-sheet exposures, unsecured exposures, and other forms of credit enhancement.

The table above shows, for synthetic securitisations, the amount of risk retained in transactions not derecognised from the Financial Statements.



C.2 – Exposures arising from major ‘third-party’ securitisation transactions broken down by type of securitised asset and type of exposure

31 12 2022

Type of securitised asset/Exposure	Balance-sheet exposure						Guarantees issued						Lines of credit					
	Senior		Mezzanine		Junior		Senior		Mezzanine		Junior		Senior		Mezzanine		junior	
	Book Value	Impairment (losses)/reversals	Book Value	Impairment (losses)/reversals	Book Value	Impairment (losses)/reversals	Net exposure	Impairment (losses)/reversals	Net exposure	Book Value	Impairment (losses)/reversals	Book Value	Impairment (losses)/reversals	Book Value	Impairment (losses)/reversals	Net exposure	Impairment (losses)/reversals	Net exposure
Non-performing loans	162,540	(131)	4,322	(951)	73	(435)	-	-	-	-	-	-	-	-	-	-	-	-
First mortgages real estate loans	-	-	-	-	278	(22)	-	-	-	-	-	-	-	-	-	-	-	-
Shipping loans	-	-	-	-	19,867	2,486	-	-	-	-	-	-	-	-	-	-	-	-
Total	162,540	(131)	4,322	(951)	20,218	2,029	-	-	-	-	-	-	-	-	-	-	-	-

The table provides the exposures taken by the Bank for each third-party securitisation transaction as well as reporting the contractual type of assets sold. The column “Write-downs/write-backs” indicates the amount of any write-downs or write-backs during the year as well as depreciations and revaluations posted to the income statement or directly to equity reserves, in the case of securities in the portfolio “Financial assets measured at fair value through other comprehensive income”.

C.3 Special purpose securitisation vehicles

31 12 2022

Securitisation/Vehicle company name	Registered office	Consolidation	Assets			Liabilities		
			Credit	Debt securities	Other	Senior	Mezzanine	Junior
Fino 1 Securitisation S.r.l.	Viale Luigi Majno, 45 Milan	NO	240,635	-	20,704	141,388	69,640	50,311
Norma Spv S.r.l.	Via V.Alfieri, 1 Conegliano (TV)	NO	81,851	-	-	6,639	-	75,212
Siena Mortgages 10-7 S.r.l.	Via V.Alfieri, 1 Conegliano (TV)	YES	872,975	-	55,806	54,044	817,600	57,137
Siena Npl 2018 S.r.l.	Via Piemonte, 38 Rome	NO	2,933,262	-	-	1,254,402	883,284	795,576
Total			4,128,723	-	76,510	1,456,474	1,770,524	978,235

C.4 Non-consolidated special purpose securitisation vehicles

The information referred to in this table is not provided in that the Bank prepares the consolidated financial statements.

C.5 - Servicer activities - own securitisations: collections of securitised loans and redemptions of securities issued by the special purpose securitisation vehicle

As at 31 December 2022, the Bank does not carry out servicer activities in its own securitisation transactions in which the assets sold have been derecognised in the financial statements pursuant to IFRS 9.



D. Information on structured entities not consolidated for accounting purposes (other than special purpose securitisation vehicles)

Qualitative Information

Quantitative Information

The information referred to in this section is not provided in that the Bank prepares the consolidated financial statements.

E. Sale transactions

A. Financial assets sold and not fully derecognised

Qualitative Information

As at 31 December 2022, the Bank had no outstanding multi-originator disposals of loan portfolios to mutual funds with allocation of the relevant units to the transferor intermediaries that did not result in the derecognition of the transferred loans in accordance with IFRS 9 (“derecognition”). It should also be noted that the sale transactions for which the Bank has not fully derecognised its loans refer exclusively to securitisation transactions, for the qualitative details of which please refer to “Section C - Securitisation Transactions” of this Part E of the Notes to the Financial Statements.

Quantitative Information

E.1 - Financial assets sold and fully recognised and associated financial liabilities: book values

	Financial assets fully recognised				Financial liabilities		
	Book value	of which: subject to securitization transactions	of which: subject to repurchase agreement	of which: non-performing	Book value	of which: subject to securitization transactions	of which: subject to repurchase agreement
Financial assets held for trading	-	-	-	X	-	-	-
Financial assets mandatorily measured at fair value	10	10	-	-	-	-	-
1. Debt securities	-	-	-	-	-	-	-
2. Equity instruments	-	-	-	X	-	-	-
3. Loans	10	10	-	-	-	-	-
Financial assets designated at fair value	-	-	-	-	-	-	-
Financial assets measured at fair value through other comprehensive income	158,402	-	158,402	-	230,712	-	230,712
1. Debt securities	158,402	-	158,402	-	230,712	-	230,712
2. Equity instruments	-	-	-	X	-	-	-
3. Loans	-	-	-	-	-	-	-
Financial assets measured at amortised cost	1,111,910	872,965	238,945	32,599	308,125	52,778	255,347
1. Debt securities	238,945	-	238,945	32,599	255,347	-	255,347
2. Loans	872,965	872,965	-	-	52,778	52,778	-
Total as at 31 12 2022	1,270,322	872,975	397,347	32,599	538,837	52,778	486,059
Total as at 31 12 2021	2,936,153	1,894,689	1,041,464	58,441	879,427	47,237	832,190

*E.2 - Financial assets sold and partially recognised and associated financial liabilities: book values*

This table was not completed as the Bank has no assets of this type.

E.3 - Transfers relating to financial liabilities with repayment exclusively based on assets sold and not fully derecognised: fair value

	Fully recognised	Partially recognised	Total	
			31 12 2022	31 12 2021
Financial assets held for trading	-	-	-	-
Financial assets mandatorily measured at fair value	10	-	10	12
1. Debt securities	-	-	-	-
2. Equity instruments	-	-	-	-
3. Loans	10	-	10	12
Financial assets designated at fair value	-	-	-	-
Financial assets measured at fair value through other comprehensive income	-	-	-	-
Financial assets measured at amortised cost	891,756	-	891,756	2,016,578
1. Debt securities	-	-	-	-
2. Loans	891,756	-	891,756	2,016,578
Total financial assets	891,766	-	891,766	2,016,590
Total financial associated liabilities	52,778	-	52,778	47,238
Net value 31 12 2022	838,988	-	838,988	X
Net value 31 12 2021	1,969,352	-	X	1,969,352

Note that all amounts reported in the item “Financial assets measured at amortised cost - Loans” refer exclusively to the fair value of loans sold with own securitisations without derecognition, which continue to be fully recognised in the Bank’s balance sheet assets. The amount of EUR 52.8 mln reported under associated liabilities refers to the fair value of the portion of senior notes sold to market counterparties as part of the same securitisation. The Bank recognised a liability with the notes-issuing vehicles as an offsetting entry for the cash flows arising from these disposals. Against this liability, the creditor’s entitlement to repayment is limited to the cash flows from the assets underlying the senior notes sold.

B. Financial assets sold and fully derecognised with assessment of continuing involvement*Qualitative Information**Quantitative Information*

None to report as at 31 December 2022.

C. Financial assets sold and fully derecognised*Qualitative Information*

Following are multi-originator transfers, regarding loan portfolios, to a mutual investment fund with the attribution of the related units to the transferor intermediaries. The transactions outlined below led to the derecognition of the receivables sold pursuant to IFRS 9 (“derecognition”), as the Bank did not substantially retain the risks and rewards of the transferred assets and also did not retain any substantial control over these assets, which were instead assumed by the fund management company (hereinafter also SGR). In particular, the risks and benefits that the Group could achieve from the units held in exchange for the contribution of receivables, are not anchored in the an, nor the quantum or the time frame, to events affecting the assigned loans, given that the economic and financial trends related to individual receivables will not automatically and directly affect the returns of individual shareholders, which will instead depend on the general performance of the fund managed by the SGR.



Efesto Fund

In November 2020, jointly with the subsidiary MPS Capital Services S.p.A., the Bank finalised a multi-originator transfer of a portfolio of loans, classified as “unlikely to pay”; these are loans granted to industrial and service companies located in Italy and with a turnover of no less than EUR 20 mln in the last 3 years; these loans were sold to a Fund managed by Finanziaria Internazionale Investments S.G.R. S.p.A. The transaction has been settled by offsetting the credit on the Fund with the concurrent underwriting of freed-up units of the Fund itself.

As at the sale date, the portfolio consisted of loans payable to the Bank and other banking groups by 51 target companies (for the Bank, 9 debtors) for a total gross exposure of EUR 432.5 mln (for the MPS Group, EUR 126.2 mln - of which 57% secured - for EUR 66.7 mln referring to the Bank) at a total price of EUR 197.2 mln of which EUR 31.1 mln referring to the Bank. At the sale date, the net book value of the loans for the Bank was EUR 36.9 mln.

The loans sold are fully derecognised as the assets of the Bank as at 31 December 2020 and the fund units are recognised for a total of EUR 28.3 mln, equal to a 15.8% interest in the fund (28% at the Group level).

As of 31 December 2022, the Bank held approximately 7.6% of the Fund's units (8.3% as at 31 December 2021) for a book value of EUR 20.8 mln (EUR 21.8 mln as at 31 December 2021). The reduction in percentage ownership is mainly due to new contributions made to the Fund by unit-holders other than the Bank. For more information on the criteria for determining the fair value of the units, please refer to Part A of these Notes to the Financial Statements.

Back2Bonis Fund

On 27 December 2019, the MPS Group, UBI Banca and Banco BPM finalised with AMCO and the Prelios Group a transaction named Cuvée which provided for the creation of a multioriginator platform to manage UTP (Unlikely to pay) loans, from EUR 3 mln to EUR 30 mln, issued to companies of the real estate sector that are in a restructuring phase or in financial difficulties.

In detail, the transaction consisted of the following steps:

- a) sale of all UTP loans by the banks to a securitisation company established pursuant to Italian Law no. 130/1999 (SPV 130), not a subsidiary of AMCO; with the disposal of the loans, each assignor bank acquired a credit from SPV 130 equal to the sale price;
- b) sale by the transferring banks to AMCO of the contractual relationships underlying the loans being sold to the SPV 130, which provide for residual commitments to disburse funds (case not applicable to the first phase for the MPS Group);
- c) contribution/sale to the Fund of the loan owed to the transferring banks by SPV 130 for the transfer described in point a). The transferring banks, following the contribution/sale, received from the Fund an amount equal to the sale price;
- d) subsequent issuance by the SPV 130 of untranchised notes, fully subscribed by the Fund.

Within the scope of this complex transaction, AMCO took a role as Master and Special Servicer of the securitisation and the Prelios Group the role as Real Estate partner as well as manager of the Fund through Prelios SGR. The partnership enabled to combine financial management skills with specific skills in the real estate sector, creating synergies and greater possibilities for credit collection. Furthermore, the fund is expected to be able to disburse new financing to assist the companies in achieving a turnaround as well as to complete attractive real estate projects.

The first step of this transaction was completed in December 2019 when the positions of 46 debtors were transferred to the Fund (for the Bank, 4 debtors) for a total of about EUR 453 mln (of which EUR 56.7 mln for the Bank) at a price of about EUR 242 mln (EUR 21.5 mln for the Bank). The transferring banks received, as consideration for the sale and as a result of the steps described, the units of the Fund in which the Bank has an 8.9% holding.

The loans sold were fully derecognised as at 31 December 2019 and the fund units were recognised for a total of EUR 16.3 mln.

As of 31 December 2022, the Bank held approximately 2.6% of the Fund's units (4.4% as at 31 December 2021) for a book value of EUR 16.7 mln (EUR 17.6 mln as at 31 December 2021). The reduction in percentage ownership



is mainly due to new contributions made to the Fund by unit-holders other than the Bank. For more information on the criteria for calculating the fair value of units, please refer to Part A of these Notes to the Financial Statements.

Clessidra Fund

In September 2019, the Bank finalised a transfer of a multi-originator type of a portfolio of loans classified as “unlikely to pay”, issued to industrial and service companies located in Italy and with a turnover not under EUR 50 mln, to a Fund - managed by Clessidra SGR S.p.A. The price settlement was determined by offsetting the loan owed by the Fund with the concurrent underwriting of freed up units of the Fund.

The Fund was established for the purpose of improving the performance for the recovery of the loans acquired, thanks to the value increase of the target companies through:

- inputs of a managerial nature, made possible through the substantial addition of the Fund to the net financial positions of the companies and to any conversion of the acquired loans into equity instrument of the same companies;
- contribution of financial resources instrumental for a better industrial and financial turnaround process.

The Fund has issued four categories of units with different economic rights:

- units A reserved to the transferring banks;
- units B and C intended for two categories of institutional investors who contribute a “new finance”;
- units D reserved to the Fund management team.

At the date of sale, the portfolio consisted of receivables due to the Bank, the subsidiary MPS Capital Services S.p.A. and other banking groups from 13 target companies (for the MPS Group, 8 debtors) for a gross total exposure of approx. EUR 274 mln, of which EUR 91 mln referring to the Bank, at a total price of EUR 196 mln, of which EUR 69 mln referring to the Bank for a percentage interest in the fund of 35.2%. At the sale date, the net book value of the loans for the Bank was EUR 63 mln.

At the date of disposal, the Bank, given the high exposure to credit risk with respect to the loans sold, had not carried out the accounting derecognition of the loans sold, thus not recording the UCITS units of the Fund.

As at 31 December 2021, as the conditions preventing derecognition of the underlying loans, the Bank proceeded to derecognise the receivables sold and to recognise the Fund’s units for a book value of EUR 39.3 mln.

As at 31 December 2022, the Bank held 35% of the Fund’s units (unchanged from 31 December 2021), with a book value of EUR 39.8 mln (EUR 39.3 mln as at 31 December 2021).

For more information on the criteria for determining the fair value of the units, please refer to Part A of these Notes to the Financial Statements.

Idea I and Idea II Fund

In 2016 and in 2017, the Bank carried out two other multi-originator sales of loan portfolios (with full derecognition in the financial statements) to a mutual investment fund, with attribution of the related units to the transferor intermediaries. This is a project of Idea Capital Fund S.g.r., a management company that has created two multi-segment mutual investment funds called Idea CCR I Fund (2016) and Idea CCR II Fund (2017). These funds are closed-end asset funds reserved to qualified investors and their purpose is to maximise the recovery rate of acquired non-performing loans and of new loans granted through the business and financial restructuring of medium sized companies.

With regard to the Idea CRR I Fund, the Bank contributed 7 positions to the fund for a total of EUR 16.9 mln against a total of EUR 217 mln at a price of EUR 12.5 mln. At the date of disposal, the Bank cancelled receivables for a net value of EUR 23.8 mln. The pool of transferring banks received, as sale consideration, units of Idea CRR II Fund, of which the Bank holds 5.7%.

On the other hand, with regard to the Idea CRR II Fund, the Bank contributed 5 positions to the fund for a total of EUR 42.1 mln against a total of EUR 328.9 mln at a price of EUR 27.1 mln. At the sale date, the Bank has derecognised loans for a net value of EUR 8.1 mln. The pool of transferring banks received, as disposal consideration, units of Idea CRR II Fund, of which the Bank holds 11.7%.



As at 31 December 2022, the Bank held respectively 5.5% and 5.2% of the units of sub-fund A of Fund Idea CCR I and sub-fund A of Fund Idea CCR II (5.5% and 5.2% as of 31 December 2021). The book value of these shares is respectively EUR 3.8 mln (EUR 4.2 mln as at 31 December 2021) and EUR 11.8 mln (EUR 12.2 mln as at 31 December 2021).

For further details on the fair value measurement of the quotes of funds, please see Part A of these Notes to financial statements.

D - Covered bond transactions

Characteristics of the Covered Bond Issuance Programmes

The characteristics of the covered bond issuance programmes are shown in the corresponding section of the consolidated financial statements.

Accounting treatment

The accounting treatment is shown in the corresponding section of the consolidated financial statements.

Risks and Control Measures

The risks and control measures are shown in the corresponding section of the consolidated financial statements.

Description of individual issuances

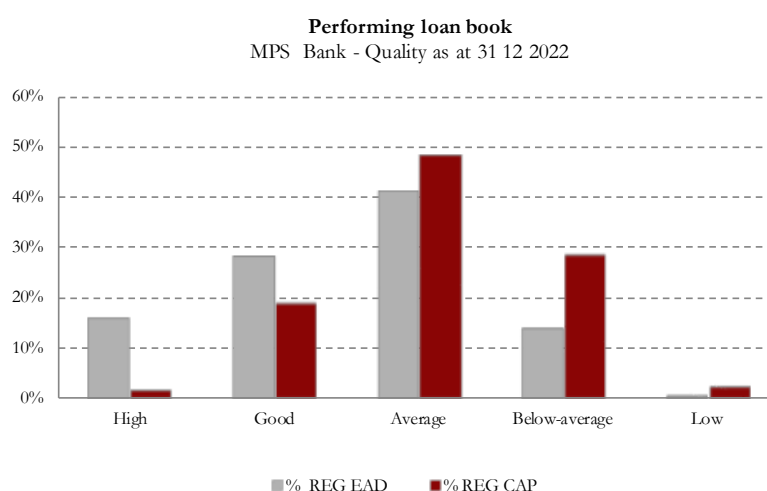
The description of individual issuances is provided in the corresponding section of the consolidated financial statements.



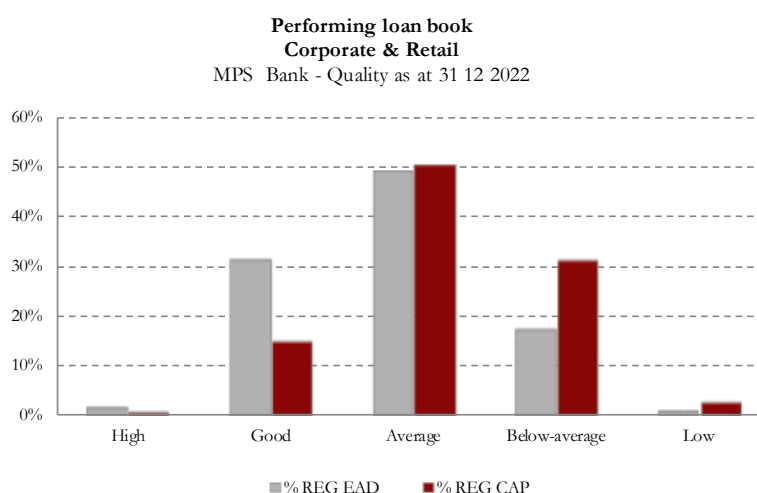
F. CREDIT RISK MEASUREMENT MODELS

This paragraph provides information of a quantitative nature related to the models for the measurement of credit risk, the qualitative characteristics of which have been described in Chapter 2 “Policies for risk management” of Section 2 “Prudential consolidation risk” of the Notes to the Consolidated Financial Statements.

The chart below provides a credit quality breakdown of the Bank portfolio as at 31 December 2022 by Exposure to Risk (REG EAD) and Regulatory Capital (REG CAP). It can be seen that about 44% (54% as at 31 December 2021) of risk exposure relates to high- and good-quality customers (positions in financial assets are excluded). It should be noted that the ranking below also includes exposure to banks, government agencies and non-regulated financial and banking institutions, which are not included in the AIRB approaches. It should be noted that the quality is measured in terms of probability of default assigned to customers through the AIRB models of the MPS Group. Non-AIRB counterparties are nevertheless subject to a credit standing assessment using official ratings where available or appropriate internally determined benchmark values.



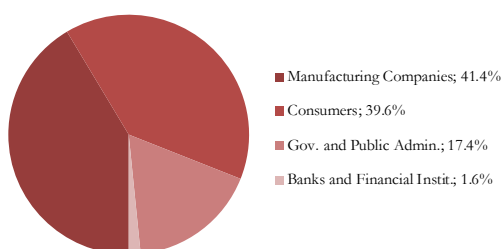
On the other hand, the following chart provides a breakdown of credit quality only for Corporate and Retail portfolios (which are largely validated by the Supervisory Authority for the use of internal PD and LGD models). As at 31 December 2022, high or good quality exposure accounted for approximately 33% of total exposure.



Analyses conducted at the end of 2022 show that Banca MPS risk exposure is mainly toward “Manufacturing Companies” (41.4% of total loans disbursed), “Households” (39.6%) and “Governments and Public Administration” (17.4%). The remaining portion refers to “Banks and Financial Institutions” (1.6%).

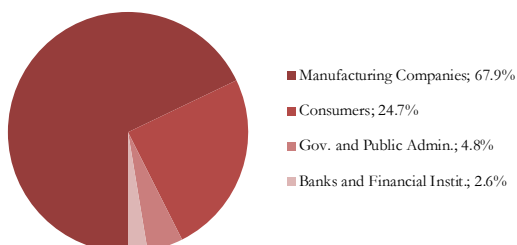


Risk Exposure
MPS Bank - 31 12 2022



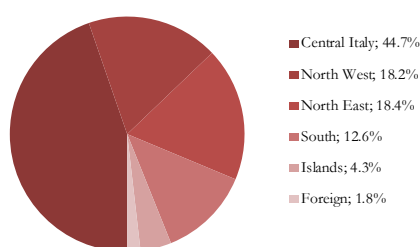
In terms of Regulatory Capital, the analysis shows that the “Manufacturing Companies” segment absorbs 67.9% of capital, while the “Households” segment absorbs 24.7%.

Regulatory Capital
MPS Bank - 31 12 2022



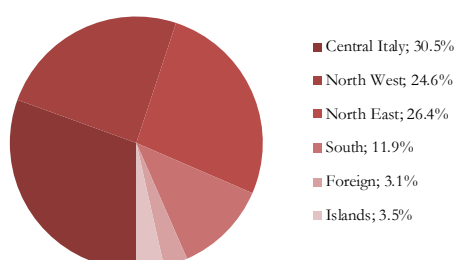
An analysis of the geographical breakdown of Banca MPS customers shows that exposure to risk is primarily concentrated in Italy’s Central regions (44.7%), followed by the North West and North East (18.4% and 18.2% respectively), the South (12.6%), the Islands (4.3%) and foreign countries (1.8%).

Risk Exposure
MPS Bank - 31 12 2022



Regulatory Capital absorption is also higher in Central Italy (30.5%), in North West Italy (26.4%) and North East Italy (24.6%) due to the greater concentration of loans in those areas. This is followed by the South (11.9%), the Islands (3.5%) and Foreign Countries (3.1%):

Regulatory Capital
MPS Bank - 31 12 2022

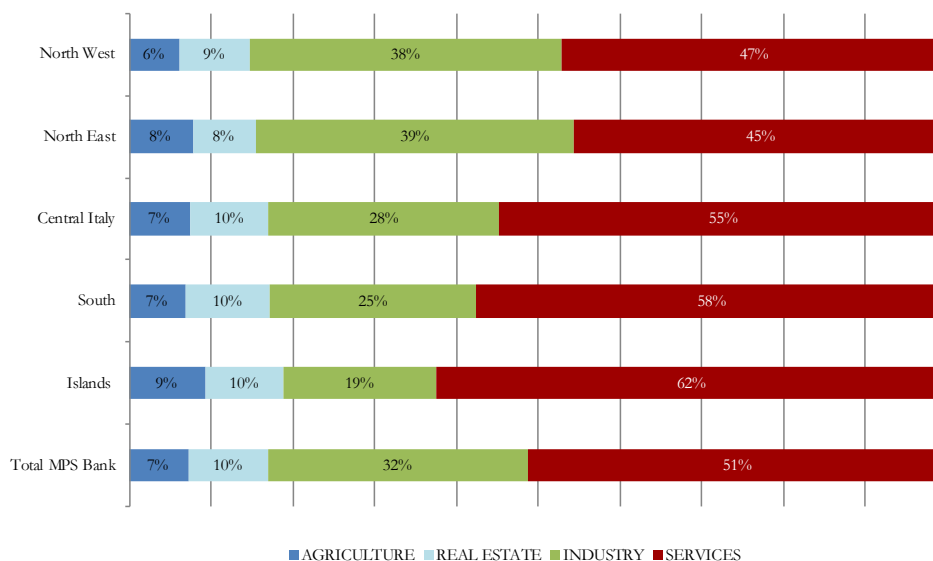




Lastly, the following graphs show, solely for Italian corporate customers, the percentage breakdown of Default Exposure by individual Geographic Area and Regulatory Capital absorption by Business Sector.

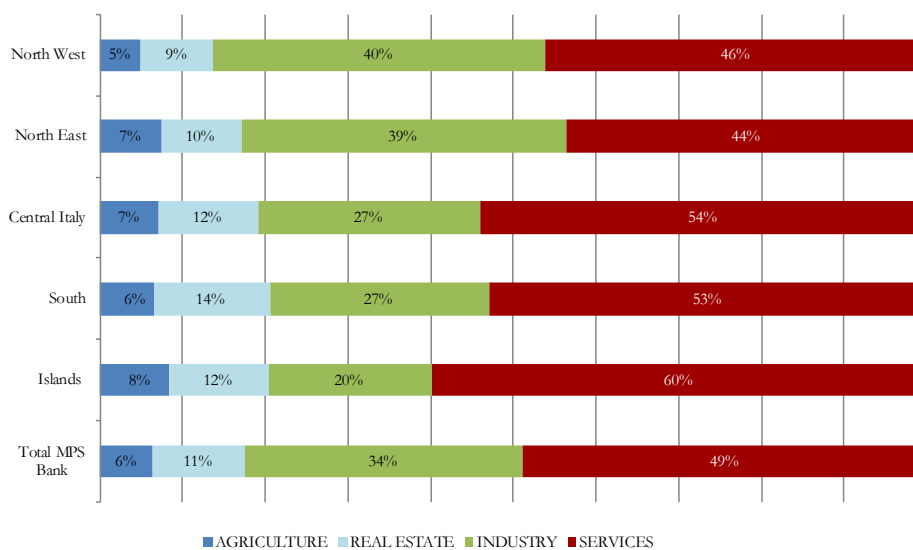
The largest share of Default Exposure for businesses in all Geographic Areas is accounted for by the “Services” sector. Out of the Bank’s total exposure, Services accounts for 51%, followed by Industry (32%), Building (10%) and Agriculture (7%).

MPS Bank - Italian Corporate customers – performing loan book as at 31 12 2022
REG EAD by geography and business segment



Also as regards Regulatory Capital (CAP), the greater concentration relates to the Services sector in all Geographic Areas.

MPS Bank - Italian Corporate customers – performing loan book as at 31 12 2022
REG CAP y geography and business segment





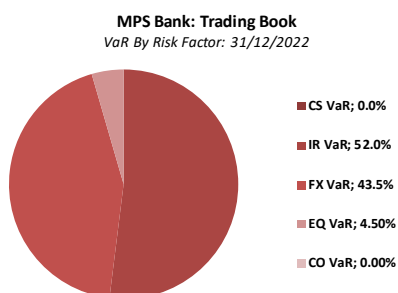
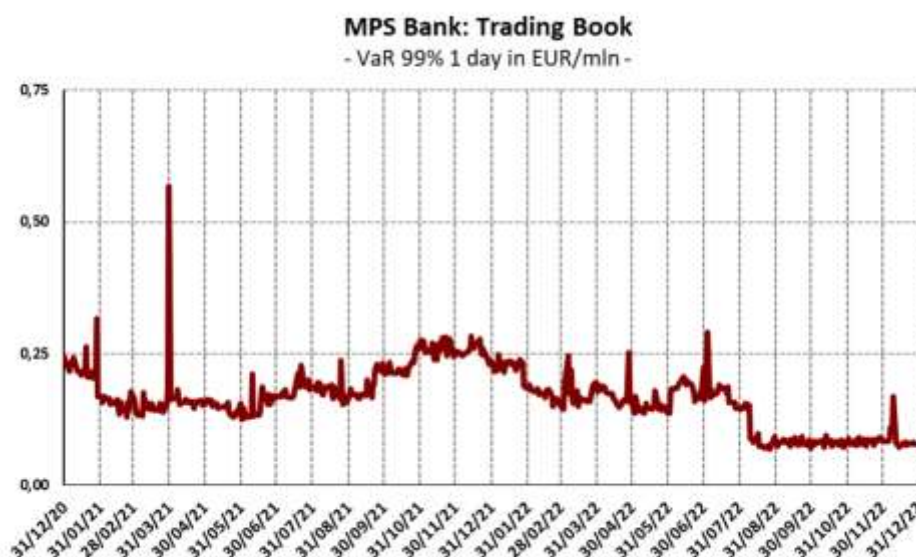
Section 2 - Market Risks

2.1. Interest rate and price risk – Regulatory trading book

For general information on the management model of market risks concerning the Trading Book of the Bank, refer to Part E in the Notes to the Consolidated Financial Statements.

VaR, diversified by risk factors and portfolios of the Bank, stands, at the end of 2022, at levels slightly below the average for the year.

In 2022, the VaR remained low, with exposure mainly related to the activities of the Group Treasury and to the exposure in interest rate derivatives with customers, brokered with the subsidiary MPS Capital Services. The increase in VaR recorded at the end of March 2021 is due to a temporary misalignment in the hedging of the exposure in interest rate derivatives originating from business with customers.



In terms of a breakdown of VaR by risk factors, as at 10 December 2022 the portfolio of the MPS Bank is mainly absorbed by the interest rate risk factor (IR VaR, 52.0%). This is followed by exchange-rate risk factor (FX VaR, 43.5%), equity risk (EQ VaR, 4.5%), credit spread (CS VaR, with non-material impact) and commodity (CO VaR, with non-material impact).

■ MPS Bank VaR TB 99% 1 day in EUR/mln

	VaR	Date
End of period	0.08	31/12/2022
Minimum	0.07	26/08/2022
Maximum	0.29	04/07/2022
Average	0.14	

In 2022, the Regulatory Trading Book VaR of Banca MPS ranged between a minimum of EUR 0.07 mln on 26 August 2022 and a maximum of EUR 0.29 mln on 4 July 2022, with an average value of EUR 0.14 mln. As at 31 December 2022, the Regulatory Trading Book VaR was EUR 0.08 mln.



Due to the limited risk exposure of the Regulatory Trading Book of Banca MPS in 2022, the results of the backtesting of the internal model for market risks are not reported as they are not significant.

Qualitative Information

Qualitative information regarding the measurement of the interest rate and price risk of the Regulatory Trading Book are shown in Part E of the Notes to the Consolidated Financial Statements.

Impacts deriving from the COVID-19 pandemic

The market context in 2022, although impacted to a limited extent by the effects of the pandemic, had a minor effect on the Regulatory Trading Book of Banca MPS due to the limited risk exposure of the portfolio.

Impacts deriving from the Russia Ukraine conflict

With the outbreak of the Russian-Ukrainian conflict, markets are immediately impacted in energy&gas price as a result of the immediate reduction in the supply chain at European level and consequently increase in volatility of key markets variables. The consequent inflationary wave has resulted in an acceleration of restrictive monetary policies by central banks, with a significant growth in interest rate and yields by about 300 basis point, during the year. The adverse scenario described above, in any case, had a limited effect on the bank's trading book due to the portfolio's low risk exposure.



Quantitative Information

1. Regulatory trading book: breakdown of balance sheet financial assets/liabilities and financial derivatives by residual life (repricing date).

This table was not prepared since an analysis of the Regulatory Trading Book's sensitivity to interest rate risk and price risk is produced based on internal models.

2. Regulatory trading book: breakdown of exposures in equity instruments and stock indices by major countries of the listing market.

This table was not prepared since an analysis of the Regulatory Trading Book's sensitivity to interest rate risk and price risk is produced based on internal models.

3. Regulatory trading book: internal models and other sensitivity analysis methods

Each business unit within the Bank operates independently on the basis of the objectives and powers it has been assigned. The positions are managed by special desks provided with specific operational limits. Each desk adopts an integrated risk management approach (covering more than rate risk, when allowed) in order to benefit from the natural hedge resulting from simultaneously holding positions on risk factors that are not perfectly correlated.

All positions related to the Trading Book are classified as FVTPL and post the changes in Market Value directly in the income statement.

Simulations include the following interest rate risk scenarios:

- +100 bps parallel shift for all interest rate and inflation curves;
- -100 bps parallel shift for all interest rate and inflation curves;
- +1 point parallel shift for all volatility surfaces of all interest rate curves.

Below is the overall effect of the scenario analyses:

■ **MPS Bank: Trading Book** EUR/mln

Risk Family	Scenario	Overall Effect
Interest Rate	+100bp on each curve	3.32
Interest Rate	-100bp on each curve	-3.62
Interest Rate	+1 point Interest Rate Volatility	0.00

The sensitivity analysis of the credit spread risk of the Bank's Trading Book linked to the volatility of the issuers' credit spreads is not shown as it is not material.

The sensitivity analysis of the price risk (equity and commodity) of the Bank's Regulatory Trading Book is not shown as it is not material.



2.2. Interest rate and price risk - banking book

Qualitative Information

The qualitative information on the measurement of the interest rate and price risk of the Banking Book is provided in Part E of the Notes to the consolidated financial statements, to which reference is also made for the information on the impacts of the COVID-19 pandemic on the risk management processes and measurement and control methods.

Quantitative Information

1. Banking Book: breakdown of financial assets and liabilities by residual life (repricing date)

This table has not been prepared since an analysis of the banking book's sensitivity to interest rate risk and price risk is produced based on internal models.

2. Banking book: internal models and other sensitivity analysis method

2.1 Interest rate risk

The amount of economic value at risk due to a +100 bps parallel shift of the rate curve stood at EUR -119.53 mln for the Bank at year end (vs. EUR +66.06 mln for a shift of -100 bps).

2.2 Price risk

We provide below a scenario analysis which includes all directional positions assumed by the Parent Company in equity securities and UCITS, measured at fair value (e.g. securities classified as "Financial assets measured at fair value through other comprehensive income" and as "Financial assets measured at fair value as per mandatory requirements"):

■ MPS Bank: Banking Book

EUR/mln

Risk Family	Scenario	Effect on Net Banking Income and Economic Result	Effect on Net Capital	Overall Effect
Equity	+1% Equity Prices (prices, indices)	1.52	2.55	4.06
Equity	-1% Equity Prices (prices, indices)	-1.52	-2.55	-4.06
Equity	+1 point Equity Volatility	0.00	0.00	0.00

The equity investment in the Bank of Italy represents approximately 74% of the effect on the Shareholders' Equity relating to the scenario analysis described above.



2.3. Foreign exchange risk

A. General aspects, operational process and measurements methods for interest rate risk

Qualitative Information

Qualitative information, including the hedging of exchange rate risk, is shown in Part E of the Notes to the Consolidated Financial Statements.

B. Hedging of exchange rate risk

Quantitative Information

1. Breakdown by currency of assets, liabilities and derivatives

31 12 2022

Items	Currencies					
	US dollar	Pound sterling	Yen	Canadian Dollar	Swiss Franc	Other currencies
A. Financial assets	1,255,024	27,260	12,631	5,149	9,599	53,070
A.1 Debt securities	389,530	-	-	-	-	-
A.2 Equity securities	28,939	339	-	-	-	115
A.3 Loans to banks	493,524	5,669	9,849	2,735	4,073	44,263
A.4 Loans to customers	343,031	21,252	2,782	2,414	5,526	8,692
A.5 Other financial assets	-	-	-	-	-	-
B. Other assets	43,206	891	48	282	1,527	1,091
C. Financial liabilities	610,598	21,961	22,485	7,156	3,711	26,653
C.1 Deposits from banks	167,909	2,052	66	5,386	1,679	14,141
C.2 Customer accounts	442,689	19,909	22,419	1,770	2,032	12,512
C.3 Debt securities	-	-	-	-	-	-
C.4 Other financial liabilities	-	-	-	-	-	-
D. Other liabilities	12,351	927	328	74	95	7,811
E. Financial derivatives						
- Options						
+ Long positions	172,736	16,485	16,044	3,451	-	90,434
+ Short positions	172,736	16,485	16,044	3,451	-	90,434
- Other						
+ Long positions	1,627,816	125,024	84,034	16,505	3,557	47,431
+ Short positions	2,331,169	130,207	73,867	14,760	10,994	54,059
Total assets	3,098,782	169,660	112,757	25,387	14,683	192,026
Total liabilities	3,126,854	169,580	112,724	25,441	14,800	178,957
Difference (+/-)	(28,072)	80	33	(54)	(117)	13,069



2. Internal models and other sensitivity analysis methods

For general information on the management model of foreign exchange risks, refer to Part E in the Notes to the Consolidated Financial Statements.

The following scenarios were used for foreign exchange rate simulations:

- +1% for all foreign exchange rates to the Euro;
- -1% for all foreign exchange rates to the Euro;
- +1 point for all volatility surfaces of all foreign exchange rates.

The impact on net interest and other banking income and on net profit (loss) for the year was estimated taking account of positions classified as “Financial assets held for trading” and “Financial assets measured at fair value as per mandatory requirements”; market value changes are recognised directly in the income statement. Instead, the effect on equity is estimated with reference to all positions classified as “Financial assets measured at fair value through other comprehensive income” and related fair value hedges (FVH). The total effect is the result of the algebraic sum of the two components. Below is a summary of the scenario analyses.

■ MPS Bank

EUR/Mln

Risk Family	Scenario	Effect on Net Banking Income and Economic Result	Effect on Net Capital	Overall Effect
Forex	+1% FX against EUR	-0.21	-0.09	-0.30
Forex	-1% FX against EUR	0.21	0.09	0.30
Forex	+1 point Forex Volatility	0.00	0.00	0.00



Section 3 - Derivatives and hedging policies

3.1 Derivatives for trading

A. Financial derivatives

A.1 Financial derivatives for trading: end of period notional amounts

Underlying asset/Type of derivative	Total 31 12 2022				Total 31 12 2021			
	Over the counter			Organised financial markets	Over the counter			Organised financial markets
	Central counterparties	No Central counterparties			Central counterparties	No Central counterparties		
		Contracts subject to Master netting agreements	Contracts not subject to Master netting agreements			Contracts subject to Master netting agreements	Contracts not subject to Master netting agreements	
1. Debt securities and interest rate	-	11,498,468	3,489,335	-	-	13,534,919	4,174,113	-
a) Options	-	4,267,822	1,261,596	-	-	5,523,446	1,582,576	-
b) Swaps	-	7,230,646	2,227,739	-	-	8,011,473	2,591,537	-
c) Forward	-	-	-	-	-	-	-	-
d) Futures	-	-	-	-	-	-	-	-
e) Other	-	-	-	-	-	-	-	-
2. Equity securities and stock indices	-	146,967	4,267	-	-	147,489	4,711	-
a) Options	-	146,967	4,267	-	-	147,489	4,711	-
b) Swaps	-	-	-	-	-	-	-	-
c) Forward	-	-	-	-	-	-	-	-
d) Futures	-	-	-	-	-	-	-	-
e) Other	-	-	-	-	-	-	-	-
3. Exchange rates and gold	-	1,517,192	2,678,662	-	-	1,525,865	2,873,986	-
a) Options	-	647,434	647,434	-	-	552,167	552,167	-
b) Swaps	-	-	-	-	-	-	-	-
c) Forward	-	869,758	2,031,228	-	-	973,698	2,321,819	-
d) Futures	-	-	-	-	-	-	-	-
e) Other	-	-	-	-	-	-	-	-
4. Commodities	-	457,920	426,081	-	-	220,126	220,126	-
5.Other underlying	-	-	-	-	-	-	-	-
Total	-	13,620,547	6,598,345	-	-	15,428,399	7,272,936	-



A.2 Financial derivatives for trading: gross positive and negative fair value - breakdown by products

Underlying asset/Type of derivative	Total 31 12 2022				Total 31 12 2021			
	Over the counter			Organised financial markets	Over the counter			Organised financial markets
	Central counterparties	No Central counterparties			Central counterparties	No Central counterparties		
		Contracts subject to Master netting agreements	Contracts not subject to Master netting agreements			Contracts subject to Master netting agreements	Contracts not subject to Master netting agreements	
1. Positive Fair value	-	-	-	-	-	-	-	-
a) Options	-	112,258	10,641	-	-	26,713	6,118	-
b) Interest rate swap	-	375,688	19,669	-	-	460,000	57,474	-
c) Cross currency swap	-	-	-	-	-	-	-	-
d) Equity swap	-	-	-	-	-	-	-	-
e) Forward	-	12,617	36,944	-	-	10,674	17,671	-
f) Futures	-	-	-	-	-	-	-	-
g) Other	-	64,772	48,728	-	-	37,222	35,269	-
Total	-	565,335	115,982	-	-	534,609	116,532	-
2. Negative fair value	-	-	-	-	-	-	-	-
a) Options	-	24,392	94,293	-	-	4,921	24,774	-
b) Interest rate swap	-	224,567	104,344	-	-	424,934	2,753	-
c) Cross currency swap	-	-	-	-	-	-	-	-
d) Equity swap	-	-	-	-	-	-	-	-
e) Forward	-	16,996	29,516	-	-	11,984	19,849	-
f) Futures	-	-	-	-	-	-	-	-
g) Other	-	55,174	57,091	-	-	39,205	36,152	-
Total	-	321,129	285,244	-	-	481,044	83,528	-



A.3 Financial OTC derivatives for trading: notional amounts, gross positive and negative fair value for counterparties

31 12 2022

Underlying assets	Central Counterparties	Banks	Other Financial Companies	Other entities
Contracts not subject to master netting agreements				
1) Debt securities and interest rates				
- notional value	X	3,059	59,960	3,426,318
- positive fair value	X	56	52	19,623
- negative fair value	X	-	3,086	184,581
2) Equity securities and stock indices				
- notional value	X	-	5	4,261
- positive fair value	X	-	3	613
- negative fair value	X	-	-	-
3) Exchange rates and gold				
- notional value	X	945,790	1,875	1,730,997
- positive fair value	X	13,447	124	33,336
- negative fair value	X	14,965	-	25,521
4) Commodities				
- notional value	X	57,922	-	368,158
- positive fair value	X	6,344	-	42,384
- negative fair value	X	2,425	-	54,667
5) Other underlying				
Contracts subject to master netting agreements				
1) Debt securities and interest rates				
- notional value	-	11,042,556	413,065	42,848
- positive fair value	-	476,871	105	-
- negative fair value	-	204,325	32,358	2,460
2) Equity securities and stock indices				
- notional value	-	146,967	-	-
- positive fair value	-	-	-	-
- negative fair value	-	-	-	-
3) Exchange rates and gold				
- notional value	-	1,454,720	-	62,471
- positive fair value	-	22,274	-	1,314
- negative fair value	-	26,809	-	-
4) Commodities				
- notional value	-	384,078	-	73,842
- positive fair value	-	55,741	-	9,031
- negative fair value	-	49,014	-	6,160
5) Other underlying				

*A.4 Residual life of financial OTC derivatives for trading: notional amounts*

Underlying asset/residual life	Up to 1 year	1 to 5 years	Over 5 years	Total
A.1 Financial derivatives on debt securities and interest rates	2,922,473	8,739,352	3,325,978	14,987,803
A.2 Financial derivatives on equity securities and stock indices	2,354	-	148,880	151,234
A.3 Financial derivatives on exchange rates and gold	4,046,423	149,431	-	4,195,854
A.4 Financial derivatives on other underlying assets	776,362	107,639	-	884,001
A.5 Other financial derivatives	-	-	-	-
Total 31 12 2022	7,747,612	8,996,422	3,474,858	20,218,892
Total 31 12 2021	6,097,193	12,302,296	4,301,846	22,701,335

B. Credit derivatives*B.1. Credit derivatives for trading: end of period notional amounts*

Transaction categories	Regulatory trading book	
	single name	with multiple counterparties (basket)
1. Purchases of protection		
a) Credit default products	75,000	-
b) Credit spread products	-	-
c) Total rate of return swap	-	-
d) Others	-	-
Total 31 12 2022	75,000	-
Total 31 12 2021	75,000	-
2. Sales of protection	-	-
a) Credit default products	75,000	-
b) Credit spread products	-	-
c) Total rate of return swap	-	-
d) Others	-	-
Total 31 12 2022	75,000	-
Total 31 12 2021	75,000	-



B.2. Credit derivatives for trading: gross positive and negative fair value - breakdown by products

Portfolios/Types of derivatives	Total 31 12 2022	Total 31 12 2021
A. Positive fair value	-	-
a) Credit default products	3,597	3,507
b) Credit spread products	-	-
c) Total rate of return swap	-	-
d) Other	-	-
Total	3,597	3,507
B. Negative fair value	-	-
a) Credit default products	3,597	3,507
b) Credit spread products	-	-
c) Total rate of return swap	-	-
d) Other	-	-
Total	3,597	3,507

B.3. OTC credit derivatives for trading: notional amounts, gross fair value (positive and negative) by counterparties

31 12 2021

Underlying assets	Central counterparties	Banks	Other financial companies	Other entities
Contracts not subject to master netting agreements				
1) Purchase of protection				
2) Sales of protection				
Contracts subject to master netting agreements				
1) Purchase of protection				
- notional value	-	-	75,000	-
- positive fair value	-	-	-	-
- negative fair value	-	-	3,597	-
2) Sales of protection				
- notional value	-	75,000	-	-
- positive fair value	-	3,597	-	-
- negative fair value	-	-	-	-

*B.4 Residual life of OTC credit derivatives for trading: notional amounts*

Underlying asset/residual life	Up to 1 year	1 to 5 years	Over 5 years	Total
1. Sales of protection	-	-	75,000	75,000
2. Purchase of protection	-	-	75,000	75,000
Total 31 12 2022	-	-	150,000	150,000
Total 31 12 2021	-	-	150,000	150,000

B.5 Credit derivatives related to the fair value option: annual changes

This table was not drawn up as the Bank does not apply the accounting rules on hedging pursuant to IFRS 9.

3.2 HedgesQualitative Information

The Bank, in applying IFRS 9, has exercised the option provided by the standard to continue to fully apply IAS 39 for all types of hedging (micro and macro). Therefore the provisions of IFRS 9 in terms of hedging do not apply.

A. Fair value hedging

The purpose of interest rate risk hedging is to protect the banking book from changes in the fair value of deposits and loans caused by movements in the interest rate curve or to reduce the variability of cash flows linked to a particular asset/liability.

At Bank level, the risk predominantly hedged is the interest rate risk with fair value hedges, for a total of approximately EUR 24 bn in nominal amount of hedging derivatives.

The Bank uses the following hedges to manage interest rate risk:

- fair value micro hedges: hedging of trading assets, securities portfolio and bonds;
- fair value macro hedges: hedging of trading assets (loans/mortgage loans) and corporate funding (time deposits).

The fair value hedges at Bank level regard both micro hedges of assets and liabilities, identified specifically and represented by government bonds in the Banking Book and bonds issued by the Parent Company, as well as macro hedges (macro hedge - version with bottom layer approach) of retail fixed-rate deposits.

The derivatives used for these purposes are mainly interest rate swaps (IRS) and options on rates realized with third-party counterparties or with other Group companies.

Derivatives are not listed in regulated markets, but are traded within the scope of OTC circuits. OTC agreements also include those brokered through Clearing Houses.

B. Cash-flow hedging

The Bank does not have any such hedging in place.

C. Hedging of foreign investments

The Bank does not have any such hedging in place.



D. Hedging instruments

The sources of ineffectiveness of a hedging relationship are generally and primarily ascribable to the following aspects:

- trading of derivatives based on non-market parameters;
- incorrect estimate of the hedging percentage;
- plan for the amortisation of the notional amount that is not aligned with that recognised on the hedged instrument.

The ineffectiveness of the hedging is recognised in the Income Statement and measured according to the possibility of continuing to apply the hedge accounting rules.

E. Hedged items

The main types of hedged items for the bank are represented by:

- debt securities under assets;
- debt securities issued;
- fixed-rate commercial loans;
- optional component implicit in the floating-rate mortgage loans;
- fixed-rate commercial funding.

E.1 Debt securities under assets

Hedging relationships of these assets fall in the fair value micro hedge category; derivatives used for this purpose are mainly IRS and the hedged risk is the interest rate risk.

The Dollar Offset Method is used to verify the efficacy of the hedge. This method is based on the relationship between the cumulated changes (from the beginning of the hedging) in the fair value of the hedging instrument, attributable to the hedged risk, and the past changes in the fair value of the hedged item.

E.2 Debt securities issued

These are securities covered by hedges in the micro fair value hedge category; derivatives used as hedging instruments are primarily IRS. The hedged risk is the interest rate risk.

The Dollar Offset Method is used to verify the efficacy of the hedge. This method is based on the relationship between the cumulated changes (from the beginning of the hedging) in the fair value of the hedging instrument, attributable to the hedged risk, and the past changes in the fair value of the hedged item.

E.3 Fixed-rate commercial loans

The hedging relationships in place are of a macro fair value hedge type and the derivatives used as hedging instruments are primarily IRS. The hedged risk is the interest rate risk.

The effectiveness of the macro hedging on fixed-rate loans is verified through specific forward- and backward-looking tests aimed at demonstrating that the hedged portfolio contains an amount of assets for which the sensitivity profile and the changes in the fair value for the interest rate risk match those of the hedging derivatives. It should be noted that for the purpose of the forward- and backward-looking tests, the hedged portfolio takes into account the prepayment estimates, determined on the basis of the model used from time to time to manage interest rate risk.

E.4 Optional component implicit in the floating-rate mortgage loans

The optional components implicit in mortgage loans with floating interest rate are hedged with a macro fair value hedge using, as hedging instruments, cap/floor derivatives.

The effectiveness of the hedge is verified through the capacity test.

E.5 Fixed-rate commercial funding

Fixed-rate commercial funding is subject to hedging relationships in the macro fair value hedging, mainly through the use of hedging instruments such as IRS derivatives. The hedged risk is the interest rate risk.

The effectiveness of the macro hedges on the commercial funding with fixed interest rate is verified using the Dollar Offset Method. This method is based on the relationship between the cumulated changes (from the beginning of the hedging) in the fair value of the hedging instrument, attributable to the hedged risk, and the past changes in the fair value of the hedged item. The effectiveness is verified through a capacity test that compares the amount of the hedged items and the amount of the hedging instrument.

Other information

Following, as required in IFRS 7.24H, is the table containing details, by nominal amounts, of the hedging according to the reference index of the interest rates.

The table shows the notional amounts of hedging derivatives inclusive of the netting carried out pursuant to IAS 32.

Interest rate	ASSETS		LIABILITIES		Total
	Nominal Hedging		Nominal Hedging		
	Micro-FVH	Macro-FVH	Micro-FVH	Macro-FVH	
EURIBOR 1M		1,666,644	750,000	1,727,328	4,143,973
EURIBOR 3M	1,126,448	2,614,638	1,150,000		4,891,086
EURIBOR 6M	3,633,897	6,525,315	3,500,000	1,121,759	14,780,971
USD LIBOR 3M	362,835				362,835
EURIBOR 30Y CMS	80,097				80,097
Total	5,203,277	10,806,597	5,400,000	2,849,088	24,258,962

As of 31 December 2022, the notional value of the contracts potentially impacted by the reform under review and qualified in a hedging relationship amounted to EUR 362.8 mln and referred only to derivatives linked to the “USD Libor 3-month” interest rate, with maturity beyond the end of the USD Libor rate’s expected termination date, planned at the end of the first half of 2023. These are “interest rate swap” derivative designated in a specific fair value hedging relationship of government bonds classified in the portfolio of “Financial assets measured at amortised cost”, for a nominal value of EUR 362.8 mln.

For further information on evolution of the reform, please refer to paragraph “Interest rate benchmark reform” in - Section 5 – “Other matters” of Part A “Accounting Policies” of these Notes to financial statements



Quantitative Information

A. Financial hedging derivatives

A.1 Financial hedging derivatives: end of period notional amounts

Underlying asset/Type of derivative	Total 31 12 2022				Total 31 12 2021			
	Over the counter			Organised financial markets	Over the counter			Organised financial markets
	Central counterparties	No Central counterparties			Central counterparties	n No Central counterparties		
		Contracts subject to master netting agreements	Contracts not subject to master netting agreements			Contracts subject to master netting agreements	Contracts not subject to master netting agreements	
1. Debt securities and interest rate	-	23,927,791	-	-	-	26,249,311	-	-
a) Options	-	5,063,368	-	-	-	6,175,828	-	-
b) Swaps	-	18,864,423	-	-	-	20,073,483	-	-
c) Forward	-	-	-	-	-	-	-	-
d) Futures	-	-	-	-	-	-	-	-
e) Other	-	-	-	-	-	-	-	-
2. Equity securities and stock indices	-	-	-	-	-	-	-	-
3. Exchange rates and gold	-	362,835	-	-	-	341,692	-	-
a) Options	-	-	-	-	-	-	-	-
b) Swaps	-	362,835	-	-	-	341,692	-	-
c) Forward	-	-	-	-	-	-	-	-
d) Futures	-	-	-	-	-	-	-	-
e) Other	-	-	-	-	-	-	-	-
4. Commodities	-	-	-	-	-	-	-	-
5. Other underlying	-	-	-	-	-	-	-	-
Total	-	24,290,626	-	-	-	26,591,003	-	-



A.2 Financial hedging derivatives: gross positive and negative fair value - breakdown by products

Underlying asset/Type of derivative	Total 31 12 2022				Total 31 12 2021			
	Over the counter			Organised financial markets	Over the counter			Organised financial markets
	Central counterparties	No Central counterparties			Central counterparties	No Central counterparties		
		Contracts subject to master netting agreements	Contracts not subject to master netting agreements			Contracts subject to master netting agreements	Contracts not subject to master netting agreements	
1. Positive fair value	-	-	-	-	-	-	-	-
a) Options	-	37,182	-	-	-	-	-	-
b) Interest rate swap	-	1,388,923	-	-	-	119,374	-	-
c) Cross currency swap	-	-	-	-	-	-	-	-
d) Equity swap	-	-	-	-	-	-	-	-
e) Forward	-	-	-	-	-	-	-	-
f) Futures	-	-	-	-	-	-	-	-
g) Others	-	-	-	-	-	-	-	-
Total	-	1,426,105	-	-	-	119,374	-	-
2. Negative fair value	-	-	-	-	-	-	-	-
a) Opzioni	-	17,576	-	-	-	136,796	-	-
b) Interest rate swap	-	717,658	-	-	-	1,190,935	-	-
c) Cross currency swap	-	54,861	-	-	-	37,409	-	-
d) Equity swap	-	-	-	-	-	-	-	-
e) Forward	-	-	-	-	-	-	-	-
f) Futures	-	-	-	-	-	-	-	-
g) Others	-	-	-	-	-	-	-	-
Total	-	790,095	-	-	-	1,365,140	-	-



A.3 Financial OTC hedging derivatives: notional amounts, gross positive and negative fair value by counterparties

31 12 2022

Contracts not subject to netting agreements	Central counterparties	Banks	Other financial companies	Other entities
Contracts not subject to master netting agreements				
1) Debt securities and interest rates				
- notional value	X	-	-	-
- positive fair value	X	-	-	-
- negative fair value	X	-	-	-
2) Equity securities and stock indices				
3) Exchange rates and gold				
4) Commodities				
5) Other underlying				
Contracts subject to master netting agreements				
1) Debt securities and interest rates				
- notional value	-	23,759,055	168,735	-
- positive fair value	-	1,426,105	-	-
- negative fair value	-	691,669	43,565	-
2) Equity securities and stock indices				
3) Exchange rates and gold				
- notional value	-	362,835	-	-
- positive fair value	-	-	-	-
- negative fair value	-	54,861	-	-
4) Commodities				
5) Other underlying				

**A.4 Residual life of financial OTC hedging derivatives: notional amounts**

Underlying asset/residual life	Up to 1 year	1 to 5 years	Over 5 years	Total
A.1 Financial derivatives on debt securities and interest rates	3,543,423	7,157,625	13,226,743	23,927,791
A.2 Financial derivatives on equity securities and stock indices	-	-	-	-
A.3 Financial derivatives on exchange rates and gold	362,835	-	-	362,835
A.4 Financial derivatives on other underlying assets	-	-	-	-
A.5 Other financial derivatives	-	-	-	-
Total 31 12 2022	3,906,258	7,157,625	13,226,743	24,290,626
Total 31 12 2021	2,515,859	10,155,202	13,919,942	26,591,003

B. Credit hedging derivatives**B.1 Credit hedging derivatives: end of period notional amounts**

The tables for this section were not completed since the Bank has no credit hedging derivatives for either the current or previous financial year.

B.2 Credit hedging derivatives: gross positive and negative fair value - breakdown by products

The tables for this section were not completed since the Bank has no credit hedging derivatives for either the current or previous financial year.

B.3 OTC credit hedging derivatives: notional amounts, gross positive and negative fair value by counterparties

The tables for this section were not completed since the Bank has no credit hedging derivatives for either the current or previous financial year.

B.4 Residual life of OTC credit hedging derivatives: notional amounts

The tables for this section were not completed since the Bank has no credit hedging derivatives for either the current or previous financial year.

§

C. Non-derivative hedging instruments**D. Hedged instruments****E. Effects of hedging transactions on equity**

The tables for Sections C, D and E were not provided, as the Bank exercised the option, envisaged on first-time application of IFRS 9, to continue to use, as regards “hedge accounting”, the provisions of IAS 39.



3.3 Other information on derivatives (trading and hedging)

A. Financial and credit derivatives

A.1 OTC financial and credit derivatives: net fair values by counterparties

The table shows the positive or negative fair values of derivatives subject to netting pursuant to IAS 32.42.

31 12 2022

Underlying assets	Central counterparties	Banks	Other financial companies	Other entities
A. Financial derivatives				
1. Debt securities and interest rates				
- notional value	-	18,473,811	-	-
- positive fair value	-	919,336	-	-
- negative fair value	-	-	-	-
2. Equity securities and stock indices				
- notional value	-	-	-	-
- positive fair value	-	-	-	-
- negative fair value	-	-	-	-
3. Exchange rates and gold				
- notional value	-	-	-	-
- positive fair value	-	-	-	-
- negative fair value	-	-	-	-
4) Commodities				
- notional value	-	-	-	-
- positive fair value	-	-	-	-
- negative fair value	-	-	-	-
4. Other underlying				
- notional value	-	-	-	-
- positive fair value	-	-	-	-
- negative fair value	-	-	-	-
B. Credit derivatives				
1. Purchase of protection				
- notional value	-	-	-	-
- positive fair value	-	-	-	-
- negative fair value	-	-	-	-
2. Sales of protection				
- notional value	-	-	-	-
- positive fair value	-	-	-	-
- negative fair value	-	-	-	-



Section 4 – Liquidity risk

Qualitative Information

A. Liquidity risk: general aspects, operational processes and measurement methods

The qualitative information on the management and measurement of the liquidity risk is shown in Part E of the Notes to the Consolidated Financial Statements.



Quantitative Information

1. Breakdown of financial assets and liabilities by residual contractual duration - Currency: Euro

31 12 2022

Account/Maturity	On demand	1 to 7 days	7 to 15 days	15 days to 1 month	1 to 3 months	3 to 6 months	6 months to 1 year	1 to 5 years	over 5 years	Unspecified maturity
Balance sheet assets	20,721,497	4,803,448	216,089	1,932,631	3,834,855	3,112,039	6,297,763	28,251,561	37,258,857	524,355
A.1 Government securities	-	3,334	1,219	175,748	511,518	41,362	1,308,933	3,416,624	5,496,158	-
A.2 Other debt securities	183,398	-	-	33,015	9,810	56,194	71,098	821,163	2,132,501	760
A.3 Units of UCITS	151,081	-	-	-	-	-	-	-	-	-
A.4 Loans	20,387,018	4,800,114	214,870	1,723,868	3,313,527	3,014,483	4,917,732	24,013,774	29,630,198	523,595
- Banks	12,887,916	4,696,361	2,401	668,061	800,174	117,405	585,857	5,594,685	2,806,767	514,757
- Customers	7,499,101	103,753	212,469	1,055,807	2,513,354	2,897,077	4,331,875	18,419,089	26,823,431	8,838
Balance-sheet liabilities	65,712,346	150,090	55,275	286,137	861,906	11,824,933	4,316,829	16,575,724	2,991,080	-
B.1 Deposits and current accounts	64,172,360	26,752	54,651	163,321	633,531	750,776	1,005,300	3,631,491	430,000	-
- Banks	2,759,556	-	-	-	38,138	558	5,844	2,091,851	430,000	-
- Customers	61,412,804	26,752	54,651	163,321	595,392	750,218	999,456	1,539,640	-	-
B.2 Debt securities	5,308	-	43	112,145	211	8,156	176,478	6,821,372	2,015,426	-
B.3 Other liabilities	1,534,678	123,338	581	10,671	228,164	11,066,001	3,135,051	6,122,861	545,654	-
Off-Balance sheet transactions										
C.1 Financial derivatives with exchange of principal										
- long positions	326	157,951	253,538	541,716	613,417	269,137	224,632	9,452	-	-
- short positions	326	293,490	159,179	201,872	230,012	284,447	227,682	9,452	20	-
C.2 Financial derivatives without exchange of principal										
- long positions	539,527	206	-	12,455	12,868	16,618	88,729	-	-	-
- short positions	530,407	8,994	4,210	7,257	33,463	50,992	126,577	-	-	-
C.3 Deposits and borrowings to be received										
- long positions	-	-	-	-	-	-	-	-	-	-
- short positions	-	-	-	-	-	-	-	-	-	-
C.4 Irrevocable commitments to disburse funds										
- long positions	211,796	70	-	-	-	-	-	-	387,260	-
- short positions	599,126	-	-	-	-	-	-	-	-	-
C.5 Financial guarantees given	8,862	54	17	1,103	788	2,952	4,087	7,706	427	-
C.6 Financial guarantees received	-	-	-	-	-	-	-	-	-	-
C.7 Credit derivatives with exchange of principal										
- long positions	-	-	-	-	-	-	-	-	150,000	-
- short positions	-	-	-	-	-	-	-	-	150,000	-
C.8 Credit derivatives without exchange of principal										
- long positions	-	-	-	-	-	-	-	-	-	-
- short positions	-	-	-	-	-	-	-	-	-	-



2. Breakdown of financial assets and liabilities by residual contractual duration - Currency: Other

31 12 2022

Account / Maturity	On demand	1 to 7 days	7 to 15 days	15 days to 1 month	1 to 3 months	3 to 6 months	6 months to 1 year	1 to 5 years	over 5 years	Unspecified maturity
Balance sheet assets	200,286	21,712	27,546	341,477	254,446	68,055	29,460	19,977	526,597	1,445
A.1 Government securities	-	-	-	-	-	-	-	-	-	-
A.2 Other debt securities	-	-	1,902	-	2,698	4,095	8,695	-	523,278	-
A.3 Units of UCITS	25	-	-	-	-	-	-	-	-	-
A.4 Loans	200,261	21,712	25,644	341,477	251,748	63,960	20,765	19,977	3,319	1,445
- Banks	158,796	8,790	8,123	242,352	95,211	41,125	6,536	-	-	-
- Customers	41,465	12,922	17,521	99,125	156,537	22,835	14,229	19,977	3,319	1,445
Balance-sheet liabilities	604,015	436	3,463	40,052	20,873	17,288	6,438	-	-	-
B.1 Deposits and current accounts	603,858	436	3,463	624	20,873	17,288	6,438	-	-	-
- Banks	148,186	-	3,463	-	-	-	-	-	-	-
- Customers	455,672	436	-	624	20,873	17,288	6,438	-	-	-
B.2 Debt securities	-	-	-	-	-	-	-	-	-	-
B.3 Other liabilities	157	-	-	39,428	-	-	-	-	-	-
Off-Balance sheet transactions										
C.1 Financial derivatives with exchange of principal										
- long positions	304	304,348	268,426	198,533	235,859	279,537	223,425	9,514	-	-
- short positions	304	165,533	361,821	535,648	673,173	264,182	220,461	9,514	-	-
C.2 Financial derivatives without exchange of principal										
- long positions	21,940	-	-	-	-	-	-	-	-	-
- short positions	21,782	-	-	-	-	-	-	-	-	-
C.3 Deposits and borrowings to be received										
- long positions	-	-	-	-	-	-	-	-	-	-
- short positions	-	-	-	-	-	-	-	-	-	-
C.4 Irrevocable commitments to disburse funds										
- long positions	-	-	-	9	2,675	513	-	-	-	-
- short positions	3,198	-	-	-	-	-	-	-	-	-
C.5 Financial guarantees given	61	-	-	-	18	-	-	334	-	-
C.6 Financial guarantees received	-	-	-	-	-	-	-	-	-	-
C.7 Credit derivatives with exchange of principal										
- long positions	-	-	-	-	-	-	-	-	-	-
- short positions	-	-	-	-	-	-	-	-	-	-
C.8 Credit derivatives without exchange of principal										
- long positions	-	-	-	-	-	-	-	-	-	-
- short positions	-	-	-	-	-	-	-	-	-	-



Self-securitisations

The securitisation transactions whereby the Bank underwrites securities issued by special purpose vehicles (self-securitisations) are not shown in the tables of Part E of the Notes to the Financial Statements, section “C. “Securitisation and asset disposal transactions”, pursuant to the provisions of Bank of Italy Circular 262.

Self-securitisations of assets are transactions aimed at improving liquidity risk management by optimising the amount of assets readily available to cover liquidity requirements.

Although the Bank’s direct and full underwriting of the notes issued by the vehicles, i.e. the total holding of securities at a point in time after issue, does not make it possible to obtain direct liquidity from the market, it still provides the Group with securities that could be used for ECB refinancing (limited to the senior tranches as ECB eligible) and for purchase agreements by increasing the availability of disposable assets, thus improving the Bank safety margin against liquidity risk (counterbalancing capacity). These transactions had no economic impact on the financial statements: loans continue to be reported under item 40b) “Financial assets measured at amortised cost: loans to customers” on the assets side, while underwritten notes are not reported.

As at 31 December 2022, this category includes the self-securitisations completed in December 2007 (Siena Mortgages 07–5), April 2008 (Siena Mortgages 07-5 II series), April 2009 (Siena Mortgages 09-6), April 2019 (Siena PMI 2016 Series 2).

Siena Mortgages 07-5, I and II series

On 21 December 2007, through the vehicle Siena Mortgages 07-5 S.p.A., the Parent Company finalised a securitisation of performing loans consisting of a portfolio of 57,968 residential mortgage loans for a total of EUR 5,162.4 mln, of which a balance of EUR 674.3 mln (14,371 mortgage loans) outstanding as at 31 December 2022.

In order to fund the acquisition, the Vehicle issued Residential Mortgage Backed Floating Rate Notes (RMBS) in the following classes, rated by Moody’s and Fitch as at 31 December 2022:

- Class A notes (Aa3 and AA-) for a nominal value of EUR 4,765.9 mln, of which EUR 4,493.8 mln redeemed;
- Class B notes (Aa3 and AA-), for a nominal amount of EUR 157.4 mln;
- Class C notes (B3 and B-), for a nominal amount of EUR 239.0 mln.

A cash reserve was set up to support the transaction for an initial amount of EUR 124.0 mln, through the issuance of class D notes, and posted under asset item 40 b) “Financial assets measured at amortised cost: loans to customers”. The transaction reached the Protection Ratio (ratio between total Class B and C notes and total Class A, B and C notes) which allowed for the gradual reduction of the cash reserve: EUR 22.5 mln as at 31 December 2022.

Through the same vehicle (Siena Mortgages 07-5 S.p.A.), on 24 April 2008 a second transaction was finalised (Siena Mortgages 07-5 second series), collateralised by a separate pool of assets consisting of an additional sale of a portfolio of performing loans composed of 41,888 residential mortgage loans for a total of EUR 3,416.0 mln and with a residual life of about 20 years.

This portfolio, as at 31 December 2022, had a residual debt of EUR 530.0 mln (8,596 mortgages).

In order to fund acquisition of the loans, the Vehicle issued RMBS notes in the following classes, rated by Moody’s and Fitch as at 31 December 2022:

- Class A notes (Aa3 and A+) for a nominal amount of EUR 3,129.4 mln, of which EUR 2,897.5 mln redeemed;
- Class B notes (Aa3 and A+), for a nominal amount of EUR 108.3 mln;
- Class C notes (NR and B-), for a nominal amount of EUR 178.3 mln.

A cash reserve was set up to support the transaction for an initial amount of EUR 81.9 mln, through the issuance of class D notes, posted under asset item 40 b) “Financial assets measured at amortised cost: loans to customers”. The transaction reached the Protection Ratio (ratio between total Class B and C notes and total Class A, B and C notes) which allowed for the gradual reduction of the cash reserve, which was EUR 14.6 mln as at 31 December 2022.

*Siena Mortgages 09-6, I series*

On 22 April 2009 the Bank finalised a securitisation through the vehicle Siena Mortgages 09 – 6 Srl of a portfolio of performing mortgage loans in real estate and building for a total of EUR 4,436.5 mln. As at 31 December 2022, the residual debt is EUR 735.6 mln for a total of 12,941 mortgage loans.

In order to fund the acquisition of the portfolio sold, the Vehicle issued Residential Mortgage Backed Floating Rate Notes (RMBS) in the following classes, rated by Moody's and Fitch as at 31 December 2022:

- Class A notes (Aa3 and AA) for a nominal amount of EUR 3,851.3 mln, of which EUR 3,748.2 mln redeemed;
- Class B notes (NR and AA), for a nominal amount of EUR 403.7 mln;
- Class C notes (NR and AA), for a nominal amount of EUR 181.4 mln.

A cash reserve was set up to support the transaction for an initial amount of EUR 106.5 mln, through the issuance of class D notes, posted under asset item 40 b) "Financial assets measured at amortised cost: loans to customers". As at 31 December 2022, the reserve amounted to EUR 139.8 mln. It should be noted that the Bank, in February 2023, authorised the completion of the early closing of the Siena Mortgages 09-6 securitisation with the consequent repurchase of the residual portfolio.

Siena PMI 2016 Serie 2 Srl

In 2019 the Group carried out a securitisation through the vehicle named Siena PMI 2016 Srl. On 12 April 2019, the Parent Company finalised a securitisation transaction of a portfolio of performing loan agreements granted to Italian small to medium sized enterprises, in the amount of EUR 2,258.4 mln. As at 31 December 2022, the remaining debt was EUR 638.9 mln, for a total of 7,949 loan agreements.

To fund the acquisition of the portfolio sold, on 19 June 2019 the SPV issued asset-backed securities (ABS) in different classes, rated by Fitch and DBRS as at 31 December 2022 as follows:

- Class A1 notes for a nominal amount of EUR 519.4 mln, redeemed in full;
- Class A2 notes for a nominal amount of EUR 813.0 mln, redeemed in full;
- Class B notes for a nominal amount of EUR 225.8 mln, redeemed in full;
- Class C notes (AA and AAH) for a nominal amount of EUR 271.0 mln, of which EUR 9.1 mln redeemed;
- Class D notes (BB+ and CCC) for a nominal amount of EUR 248.5 mln;
- Class J notes (not rated) for a nominal amount of EUR 180.7 mln.

The Class A2 notes were placed with institutional investors for a total of EUR 720 mln; the remaining senior notes, together with the mezzanine and junior notes, were instead underwritten by the Bank.

The partial sale of the Class A2 notes on the market did not entail the derecognition of the underlying assets from the balance sheet of the transferring bank, which has substantially retained all risks and rewards associated with the ownership of the assets sold.

Following the full repayment of that class in February 2022, the transaction previously classified as a "Own securitisation without derecognition" is, as at 31 December 2022, to be considered a self-securitisation.



Section 5 - Operational risks

Qualitative Information

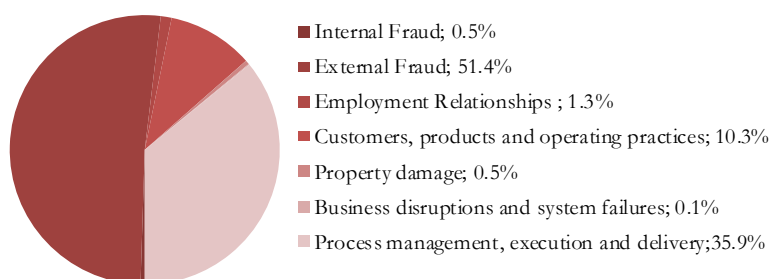
A. Operational risk: general aspects, operational processes and measurement methods

The qualitative information on the management and measurement of operational risks is shown in Part E of the Notes to the Consolidated Financial Statements.

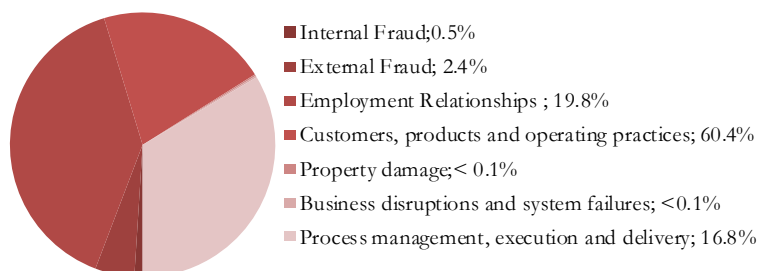
Quantitative Information

Following is the percentage breakdown of the number of events and operating losses recognised in 2022, broken down into risk classes:

Events breakdown
MPS Bank - 31 12 2022



Losses breakdown
MPS Bank - 31 12 2022



As at 31 December 2022, the number of operational risk events and the operating losses have decreased compared to December 2021.

The types of event with the greatest impact on the income statement remain attributable to non-fulfilment of professional obligations with customers (under “Customers, products and operating practices”: about 60% of the total) and to employment relationships (class “Employment Relationships”: about 20%).

With regard to “non-fulfilment of professional obligations with customers”, risk events are mainly associated with legal disputes for share capital increases carried out in previous years.



Main types of legal, employment law and tax risks

Summary information is provided below including, when relevant and/or advisable, information on individual claims with reference to significant issues involving Banca Monte dei Paschi di Siena that cannot be considered completely groundless or normal in the context of the Bank's activities.

Legal disputes and out-of-court claims

The risks associated with or connected to legal disputes – i.e. disputes brought before judicial authorities and arbitrators – are specifically and carefully reviewed by the Bank.

In case of disputes and out-of-court claims for which the disbursement of financial resources to perform the underlying legal obligation is believed to be “likely” and the relevant amount can be reliably estimated, allocations are made to the Provisions for risks and charges using statistical or analytical criteria.

The following were pending as at 31 December 2022:

- legal disputes with total relief sought, where quantified, equal to EUR 5.3 bn. In particular:
 - approx. EUR 2.1 bn as relief sought regarding disputes for which there is a “likely” risk of losing the case, for which provisions of EUR 0.9 bn have been allocated;
 - approx. EUR 1.7 bn as relief sought attributable to disputes for which there is a “potential” risk of losing the case;
 - approx. EUR 1.5 bn as relief sought in the remaining disputes, for which the risk of losing the case is deemed “remote”;
- out-of-court claims with total relief sought, where quantified, equal to approximately EUR 1.50 bn. Specifically:
 - approx. EUR 1.14 bn as relief sought from claims for which there is a “likely” risk of losing the case;
 - approx. EUR 0.36 bn as relief sought in disputes for which there is a “potential” risk of losing the case.

It should be noted that in January a complaint was received through a consultancy firm for a total relief sought of EUR 0.7 bn.

Note that the Bank has exercised the possibility granted by IAS 37 of not providing detailed disclosures on the provisions allocated in the financial statement if such information may seriously jeopardise its position in legal disputes and in potential settlement agreements.

The main information of the most significant cases, by macro-category or individually, is provided below.

Disputes regarding compound interest, interest rates and conditions

Following the change in orientation by the Supreme Court of Cassation (*Corte di Cassazione*) on the legitimacy of the practice of capitalising on a quarterly basis the interest payable accrued on current accounts, as of 1999 there has been a progressive increase in claims brought by account holders for the return of interest expense resulting from quarterly compound interest. In these lawsuits, the plaintiffs also contest the legitimacy of the interest rate and the methods to determine the commissions applied to the accounts. In this regard, the interpretation introduced since 2010 by the Supreme Court on usury - according to which overdraft fees (*Commissioni di Massimo Scoperto*), even before Italian Law no. 2/2009 was enforced, should have been calculated on the basis of the effective global rate (*Tasso Effettivo Globale - TEG*), contrary to Bank of Italy guidelines - is frequently the pretext for the actions brought by customers. The plaintiffs most often claim irregularities in current account balances; however, claims concerning compound interest are also increasingly frequent: these cases are based on the alleged illegitimacy of the so-called “French-style amortisation” in mortgage loans, and violation of Italian Law no. 108/1996 on usury in term loans. Aware that the jurisprudential interpretation is often disadvantageous (although not unanimous), at least with respect to certain issues, the Bank is committed to maximising the arguments in its defence - which do exist, particularly concerning the statute of limitations - identifiable in the regulatory and interpretative framework. The provisions for risks recognised for this type of dispute amounted to EUR 112.3 mln (total relief sought of EUR 274.3 mln), compared to EUR 122.4 mln as at 31 December 2021 (against a relief sought of EUR 291.3 mln).



Dispute regarding bankruptcy rescindments

The reform implemented from 2005 has reduced and limited the scope of bankruptcy rescindments, particularly those relating to current account remittances. For those that can still be filed, or already pending at the effective date of the reform, the Bank is giving maximum emphasis to all the arguments available in defence. The provisions for risks recognised for this type of dispute as at 31 December 2022 amounted to EUR 14.5 mln (total relief sought of EUR 109.3 mln), compared to EUR 17.4 mln as at 31 December 2021 (against a total relief sought of EUR 113.4 mln).

Disputes concerning bonds issued by countries or companies that have subsequently defaulted, and financial plans

The considerable defensive efforts made in this type of lawsuit resulted over the years in the emergence of some favourable jurisprudential orientations, at least with respect to certain specific cases, which are allowing balanced risk control. It should be noted that starting from 2015, several unfavourable rulings were issued by the Supreme Court – with its latest order no. 6252 published on 14 March 2018 by the Civil Cassation Section 1[^] - pursuant to which “the financial product called 4You does not entail an interest worthy of protection, under the regulatory framework, as it does not comply with the general principles set forth in arts. 38 and 47 Italian Const.”, due to the evident synallagmatic unbalance. Following these judgements, it is considered established that the judicial decisions are likely to be unfavourable with regard to the Bank’s reasons. For this type of dispute, provisions for risks of EUR 2.4 mln were allocated (against a total relief sought of EUR 15.1 mln), compared to EUR 6.6 mln recognised as at 31 December 2021 (against a relief sought of EUR 20.1 mln).

Dispute with purchasers of subordinated bonds issued by Group companies

Following the burden-sharing plan implemented in 2017 in application of Italian Law Decree no. 237/2016, some investors who had purchased subordinated bonds issued by Group companies (later becoming shareholders as a result of the aforementioned measure, with resulting losses compared to the amount initially invested) sued the Bank, claiming that, at the time of the investment, it did not inform customers regarding the nature and characteristics of the financial instruments purchased, also raising objections on the proper fulfilment of obligations with which the Bank must comply as a financial intermediary.

This dispute is primarily related to investments in Lower Tier II bonds; indeed, in the majority of the cases the investors had their securities converted into ordinary shares pursuant to the law, without being able to benefit from the public offering for settlement and exchange promoted by the Bank pursuant to Decree no. 237/2016 (so-called Burden Sharing Decree).

However, for the sake of comprehensiveness, we would like to point out other cases where, despite purchasing Upper Tier II securities, the counterparties claim to have been unable to participate in the public offering due to misselling by the Bank, or in any event to have had objections relating to the Upper Tier II securities purchased after 31 December 2015 (cut-off date).

Lastly, a limited number of disputes concerns cases in which investors sold their bonds prior to the Burden Sharing pursuant to Decree no. 237/2016.

The focus of the opposing claims is concentrated on the alleged lack of disclosure and/or in any case violations of specific regulations on financial intermediation.

The total relief sought in these disputes as at 31 December 2022 was EUR 38.8 mln (EUR 32.8 mln as at 31 December 2021), whilst allocated provisions totalled EUR 15.8 mln (a decrease of EUR 0.6 mln compared to 31 December 2021).

*Disputes and out-of-court claims related to financial information distributed in the 2008-2015 period*

The Bank is exposed to civil action, to the consequences of decisions arising from criminal proceedings (29634/14 and 955/16), and to out-of-court claims with regard to the financial information disclosed during the 2008-2015 period.

As at 31 December 2022, the total relief sought for these types of claims amounted to around EUR 3.4 bn, subdivided as follows (data in EUR mln):

Type of disputes	31/12/22	31/12/21
Civil dispute(*)	1,591	738
Filed civil claims cp 29634/14 (**)	111	125
Filed civil claims cp 955/16	158	158
Out-of-court claims (***)	1,533	713
Total relief sought	3,393	1,734

(*) The increase in relief sought with respect to 31/12/21 is mainly attributable to a summons served on 3/8/22 for a total amount of EUR 741 mln, which incorporates the grounds of some out-of-court claims served on the Bank in past years for an amount of EUR 522 mln, and a further summons for an amount of about EUR 83 mln served on 31/12/22.

(**) The decrease in relief sought, with reference to the civil action claims in CP no. 29634/14, is due to the conclusion of settlement agreements with several civil parties.

(***) The increase in relief sought for out-of-court claims is mainly attributable to the mediation requests received and related to the financial information disclosed in previous years, in principal and net of repeated requests. It should be noted that in January 2023, a claim was received, through a consultancy firm, regarding a total relief sought for principal of EUR 0.7 bn concerning the same counterparty that had filed a mediation petition in August 2022, subsequently closed due to inactivity in October of the same year. Considering this event, the total relief sought for out-of-court claims would amount to EUR 2.2 bn.

The main disputes by type are outlined below.

Banca Monte dei Paschi di Siena S.p.A. vs. Alken Fund Sicav and Alken Luxembourg S.A.

On 22 November 2017, the counterparties (the “Funds”) served a complaint on the Bank, as well as Nomura International (“Nomura”), Giuseppe Mussari, Antonio Vigni, Alessandro Profumo, Fabrizio Viola and Paolo Salvadori, before the Court of Milan, requesting that the court confirm and declare: (i) the alleged liability of the Bank pursuant to art. 94 of the Consolidated Law on Finance (TUF), as well as for the deeds of defendants Mussari, Vigni, Profumo and Viola pursuant to art. 2935 of the Italian Civil Code due to the offences perpetrated against the plaintiffs; (ii) the alleged liability of defendants Mussari and Vigni in relation to investments made by the Funds in 2012 on the basis of false information; (iii) the alleged liability of defendants Viola, Profumo and Salvadori in relation to investments made by the Funds subsequent to 2012; and (iv) the alleged liability of Nomura pursuant to art. 2043 of the Italian Civil Code and, as a result, order the Bank and Nomura jointly and severally to provide compensation for financial damages equal to EUR 423.9 mln for Alken Funds Sicav and EUR 10 mln for lower management fees and reputational damage to the management company Alken Luxembourg SA, as well as jointly and severally with the Bank and Nomura the defendants Mussari and Vigni for damages resulting from the investments made in 2012, and Viola, Profumo and Salvadori for damages subsequent to 2012. The counterparties also requested that the defendants be ordered to provide compensation for non-financial damages upon confirmation that they were guilty of the offence of providing false corporate disclosures. The Bank duly appeared and set out its defence. In the alternative, for the denied possibility of granting the opposing applications, the Bank applied for recourse against Nomura. It should be noted that in the proceedings, four natural persons intervened, separately and independently, claiming damages for a total of approx. EUR 0.7 mln. At the first hearing, the Judge reserved his position on the preliminary objections raised by the parties, after which, upholding the objections raised by all defendants, declared Alken’s summons null and void, due to failure to specify the dates of the share purchases and the nullity of the powers of attorney, assigning the plaintiffs a deadline of 11 January 2019 to supplement the applications. On the other hand, the Judge considered the Counterparty’s claims concerning the alleged incorrect accounting of the claims to be sufficiently specific and rejected the plea of nullity of the acts of intervention. Following the additions of the plaintiff, the defendants insisted on the objections of nullity and at the outcome of the discussion on these exceptions, held at the hearing of 30 January 2019, the Judge reserved his decision. Subsequently, the Judge - considering that these preliminary questions should be decided together with the merit - granted the preliminary terms pursuant to art. 183, paragraph six of the Italian Code of Civil Procedure



and adjourned the hearing for discussion of the preliminary requests to 2 July 2019. At that hearing, the Bank requested and obtained the deadline of 8 July to object to the demands submitted by an intervener (whose intervention's proposal was learnt by the Bank at the hearing), and then the parties discussed and illustrated their respective preliminary briefs. By order dated 24 July 2019, the investigating Judge (*Giudice istruttore, G.I.*) rejected Alken's petition for a court-appointed expert report (*CTU*), deeming the case ready for decision, and adjourned the case to the hearing of 7 July 2020 for closing arguments, during which, having rejected Alken's petition to refer the case to preliminary investigation, the case was retained for decision. With ruling issued on 7 July 2021, the Court of Milan rejected all requests made by the Funds, which were ordered to refund the legal costs of the Bank. The request of a single intervener was partially accepted, in relation to which the Bank was ordered to pay the sum of approximately EUR 52 thousand (for principal and interest) jointly with Nomura and in part with Mr. Antonio Vigni and the lawyer Giuseppe Mussari. Both the Bank and Nomura and the Funds appealed (the latter for a relief sought of approximately EUR 454 mln) against the ruling before the Milan Court of Appeal in which the above-mentioned intervener also filed a cross-appeal against the Bank for a relief sought of EUR 0.45 mln. On 13 July 2022, the first hearing was held in the three pending appeal proceedings, which were ordered to be joined. The Court postponed the joined cases to the hearing of 5 July 2023 for closing arguments.

York and York Luxembourg Funds vs. Banca Monte dei Paschi di Siena S.p.A.

On 11 March 2019, York and York Luxembourg Funds served a writ of summons to the Bank's registered office, bringing an action before the Court of Milan (Section specialised in corporate matters) against the Bank, and Mr. Alessandro Profumo, Mr. Fabrizio Viola, Mr. Paolo Salvadori as well as Nomura International PLC, ordering the defendants, jointly and severally, to pay damages amounting to a total of EUR 186.7 mln and - subject to an incidental finding that the offence of false corporate communications has been committed - to compensation for non-monetary damages to be paid on an equitable basis, pursuant to art. 1226 of the Italian Civil Code, plus interest, revaluation, interest pursuant to art. 1284, para. IV of the Italian Civil Code, and interest compound pursuant to art. 1283 of the Italian Civil Code.

The plaintiffs' claim is based on alleged losses incurred as part of its investment transactions in Banca MPS totalling EUR 520.3 mln, carried out through the purchase of shares (investment of EUR 41.4 mln by York Luxembourg) and derivative instruments (investment of EUR 478.9 mln by York Funds). The plaintiffs quantified their comprehensive losses at EUR 186.7 mln.

The investment transactions challenged began in March 2014, when Messrs. Fabrizio Viola and Alessandro Profumo held the offices of CEO and Chairman, respectively, of the Bank. The plaintiffs charge alleged unlawful behaviour by top management of the Bank in falsifying the financial representation in financial statements, substantially modifying the assumptions used in measurements of financial instruments issued by the Bank.

The first hearing, initially scheduled for 29 January 2020, was deferred to 4 February 2020. The Bank duly appeared before the court. The parties filed the preliminary briefs and, at the subsequent hearing, discussed the respective preliminary requests, on which the Judge reserved the right to provide for their admission. At the hearing on 15 July 2022, the Court of Milan: (i) declared the witness evidence requested by York, Nomura, Profumo and Viola to be inadmissible and (ii) referred to the panel - following the outcome of the decision regarding the causation - the assessment of the need for an accounting court-appointed expert report requested by York. The case was postponed to 23 November 2023.

Banca Monte dei Paschi di Siena S.p.A./ Civil action and third-party action of the Bank as civilly liable party

Investors have brought claims for damages against the Bank both within the framework of criminal proceeding no. 29634/14 R.G.N.R. [General Criminal Records Registry] (in total no. 1,240, currently 413 following the settlement agreements reached) pending before the Supreme Court and in which the Bank was involved as civilly liable, as well as the other criminal proceedings no. 955/16 R.G.N.R. (in total no. 2,272 civil parties, currently 2,172 following the civil parties excluded from the first degree judgement of 15 October 2020) pending before the Court of Appeal of Milan, with reference to the Financial Statements, reports and other corporate communications of the Bank from 31 December 2012 to 31 December 2014 and with reference to the half-yearly report as at 30 June 2015, in which the Bank, which was found guilty in the first instance pursuant to Italian Legislative Decree 231/01, also has civil liability.

*Criminal proceedings no. 29634/14*

With reference to the criminal proceedings connected with the events related to the structured term repo transactions “Alexandria” and “Santorini” carried out by the Bank, respectively with Nomura, Deutsche Bank, it should be noted that the criminally relevant conduct ascribed to the persons under investigation for various reasons refer to the financial statements closed at 31 December 2009, 2010, 2011 and 2012 and to the balance sheets as at 31 March 2012, 30 June 2012 and 30 September 2012.

In March 2016 these proceedings were combined with the other criminal proceeding pending before the Court of Milan in relation to the investigations concerning the Santorini, FRESH 2008 and Chianti Classico transactions. By an order of 13 May 2016, the Preliminary Hearing Judge (in Italian *Giudice dell'Udienza Preliminare*, hereinafter, also “GUP”) authorised the lodging and admissibility of the claims for compensation of the offended parties against the entities already involved in the proceedings as defendants pursuant to Italian Legislative Decree 231/2001.

On 2 July 2016, with the approval of the Public Prosecutor, the Bank filed a request for plea bargain in the criminal proceedings, in relation to the objections made against the Bank in accordance with Italian Legislative Decree 231/2001.

Following the plea bargain, the Bank’s position was removed, limiting the consequences to a pecuniary administrative sanction of EUR 600 thousand and a confiscation of EUR 10 mln, without exposing itself to the risk of greater penalties.

During the proceedings, by order of 6 April 2017 the Court of Milan decided on the requests for the exclusion of civil parties submitted by the defence teams of the defendants and the civilly liable parties, excluding several civil parties. In addition, the claim of damages as a civil party by the Bank with respect to Giuseppe Mussari, Antonio Vigni, Daniele Pirondini and Gian Luca Baldassarri was also excluded on the assumption of its contributory liability with respect to the defendants.

At the hearings on 23 and 30 May 2019, the civil parties that summoned the Bank as a civilly liable party formulated their demands for compensation in writing.

The Bank of Italy, which did not summon the Bank as a civilly liable party, asked for the defendants to be sentenced to pay a sum to be settled on an equitable basis.

As regards CONSOB (the Italian Commission for listed companies and the stock exchange), which summoned the Bank as a civilly liable party, for nearly all damage items it requested a quantification on an equitable basis, except for that relating to supervisory costs quantified as a total of roughly EUR 749 thousand. The provisional amount is requested alternatively, to the extent of roughly EUR 298 thousand. At the hearings of 3 June 2019, the lawyer of Banca Monte dei Paschi di Siena discussed the civil liability. On 30 September 2019, the discussions of the foreign defendant entities pursuant to Italian Legislative Decree 231/01, Deutsche Bank and Nomura, were concluded. The trial continued on 31 October 2019 to incorporate possible new revocations of civil party actions, as well as on 8 November, when the final hearing was held.

On 8 November 2019, the Court read the conclusion of the ruling in first instance by convicting all defendant natural persons, and pursuant to Italian Legislative Decree 231/2001, the legal persons of Deutsche Bank AG and Nomura International PLC. The reasons were filed on 12 May 2020.

The Bank, as civilly liable party (not accused pursuant to Italian Legislative Decree 231/2001 as a result of a previous plea bargaining) was convicted – jointly with the accused natural persons and the two foreign banks – and ordered to pay damages to the civil parties still in the case, to be settled in separate civil proceedings, since the Court having rejected the request to make an amount available on a provisional and immediately enforceable basis, pursuant to art. 539 of the Italian Code of Criminal Procedure.

The Bank, as the civilly liable party, jointly and severally liable with the defendants, filed an appeal before the Court of Appeal of Milan against the ruling of first instance. The first hearing of the appeal proceedings was held on 2 December 2021 where some civil parties revoked their appearance as a result of the transactions that took place with the Bank.

At the hearing of 3 February 2022 the appeal in the interest of the Bank was discussed.

On 6 May 2022, the Court of Appeal of Milan, Second Criminal Division, acquitted all the defendants in the trial with a broad formula, highlighting that “there is no case to answer”. On 16 November 2022, an appeal was lodged with the Supreme Court by both the Attorney General’s Office at the Court of Appeal of Milan and Consob.



Criminal proceedings no. 955/16

On 12 May 2017 the committal for trial of the representatives Alessandro Profumo, Viola Fabrizio and Salvadori Paolo was requested within new criminal proceedings before the Court of Milan, in which they were charged with false corporate disclosures (art. 2622 of the Italian Civil Code) in relation to the accounting of the “Santorini” and “Alexandria” transactions with reference to the Bank’s financial statements, reports and other corporate communications from 31 December 2012 to 31 December 2014 and with reference to the half-yearly report as at 30 June 2015, as well as market manipulation (art. 185 of the Consolidated Law on Finance) in relation to the disclosures to the public concerning the approval of the financial statements and the balance sheets specified above.

At the hearing on 24 November 2017, the Preliminary Hearing Judge handed down an order:

- declaring the nullity of the request for committal for trial with respect to Mr Salvadori;
- ordering the separation of the relative position from the main proceedings (pending against Mr Viola and Mr Profumo, as well as the Bank) with reference to the section relating to the alleged offence pursuant to art. 185 of the Consolidated Law on Finance;
- reserving any decision concerning issues of jurisdiction until such time as the public prosecutor makes his own determinations in this regard.

At the hearing on 9 February 2018, the Preliminary Hearing Judge acknowledged the filing in the meantime of:

- the Bank’s defence brief concerning jurisdiction;
- the documents submitted by the defence attorney of Mr Viola and Mr Profumo;
- the briefs by Mr Bivona and Mr Falaschi; as well as
- a request for an order for attachment submitted by the latter against Mr Viola and Mr Profumo.

Following the formalisation of the appearance before the court by the Bank, the Public Prosecutor requested the issue of a pronouncement of acquittal because there is no case to answer or because the act does not constitute an offence pursuant to the Law depending on the charge in question. On the outcome of the hearing, the schedule was updated on 13, 20 and 27 April 2018 for the continuance of discussion and the possible issue of the final ruling of the preliminary hearing.

Following the outcome of the preliminary hearing, the Preliminary Hearing Judge found no grounds for an acquittal decision and ordered the committal for trial of the defendants, natural persons (Messrs. Viola, Profumo and Salvadori) and the Bank (as entity liable pursuant to Italian Legislative Decree 231/01). A partial acquittal ruling was issued only with reference to Mr Salvadori, limited to the charge pursuant to art. 185 of the Consolidated Law on Finance.

At the hearing of 17 July 2018, 2,243 civil parties joined the lawsuit. Some of these have formally requested that the Bank be summoned as party with civil liability, while most of the defence attorneys only requested that the effect of appearing before the court of their clients be extended to the Bank, as a party with civil liabilities already in the case as defendant. Some civil parties brought a lawsuit against the Bank as liable party pursuant to Italian Legislative Decree no. 231/2001. At the outcome, the Court adjourned to the hearings of 16 October and 6, 13 and 19 November 2018. The hearing of 16 October 2018 only concerned the preliminary issues relating to the appearance before the court as aggrieved parties.

The proceedings were declared open and the hearing was scheduled for 18 March 2019, with the Court taking under advisement the decision on the request for attachment against Mr Profumo and Mr Viola, submitted by a number of parties. The reserve was lifted with decision dated 3 December 2018, through which the Court rejected the request for attachment against the aforementioned executives.

At the hearing on 16 June 2020, following the indictment, the representatives of the Public Prosecutor’s office requested the acquittal of the defendants.

On 15 October 2020, the Court of Milan read the operative part of the ruling of first instance, registered under number 10748/20, sentencing all accused natural persons and the Bank pursuant to Italian Legislative Decree 231/01. The reasons were filed on 7 April 2021.

In its reasons, the Court analysed the conduct with which the defendants were charged with reference to the incriminating circumstances pursuant to art. 2622 of the Italian Civil Code (false corporate communications) and pursuant to art. 185 of the Consolidated Law on Finance (market manipulation) and confirmed the grounds of the alleged administrative offences with which the Bank was charged pursuant to arts. 5, 6, 8 and 25 ter, letter b) of Italian Legislative Decree 231/01, limited to the offence of false corporate communications in relation to the 2012



financial statements and the 2015 half-yearly report, as well as pursuant to arts. 5, 8 and 25 sexies of Italian Legislative Decree 231/01 due to market manipulation relating to press releases concerning the approval of the financial statements as at 31 December 2012, 31 December 2013, 31 December 2014 and the half-yearly report as at 30 June 2015, imposing an administrative fine of EUR 0.8 mln.

With reference to the Bank's position as civilly liable party, the grounds for the ruling explained the reasons for the generic sentencing to provide compensation for damages based on which demands for relief from civil parties may be accepted, on the basis of art. 2049 of the Italian Civil Code, in separate civil proceedings.

The Bank filed an appeal before the Court of Appeal of Milan against the ruling of first instance, as the civilly liable party, found jointly and severally liable with the defendants, having administrative liability under Italian Legislative Decree 231/2001.

In addition, an appeal was also lodged not only by the defendants but also by the defence counsels of some civil parties, while some civil parties (no. 27) represented by Italian qualified lawyer Mr Minestrone (the latter also as civil party in his own right), waived the appeal. The first hearing before the second criminal section of the Court of Appeal of Milan will be held on 31 March 2023. The hearings will continue on 6 April 2023, 28 April 2023, 19 May 2023 and 16 June 2023.

Banca Monte dei Paschi di Siena S.p.a. vs. Caputo + 24 others

On 4 December 2020, Mr Giuseppe Caputo and an additional twenty-five parties (now 24 after one of the plaintiffs died) sued the Issuer before the Court of Milan to challenge the investments made by them in compliance with the share capital increases ordered by the same, that is through purchases on the secondary electronic market between 2014 and 2015. The plaintiffs claimed that they had suffered serious damage as a result of the informational asymmetry created on the market by the Bank (here, referring, inter alia, to criminal proceedings R.G.N.R. 29634/14, concluded at first instance with ruling no. 13490/2019, as well as criminal proceedings R.G.N.R. 955/16, concluded at first instance with ruling no. 10748/2020), and they also argued the incorrect accounting of non-performing loans starting from the 2013 Financial Statements, (here, conversely, referring to the criminal proceedings 33714/16); they also contest the unfair business practices put in place by the Bank, the investments in diamonds, the 2013-2017 Business Plan and the non-compliant business organization.

The plaintiffs therefore requested full compensation for the damage suffered equal to the entire consideration paid for the purchase of the BMPS shares, with a final quantification of the relief sought equal to approximately EUR 25.8 mln and - subject to the incidental finding of the crime of false corporate communications - compensation for non-pecuniary damage to be settled on an equitable basis pursuant to art. 1226 of the Italian Civil Code, plus interest and revaluation. Following the appearance of the Issuer and the first hearing, the parties filed the preliminary briefs and, at the subsequent hearing, discussed the requests formulated by the plaintiff, on which the Judge reserved the right to provide for their admission. Upon lifting the reservation, the Judge deemed it necessary to refer the case to the deliberating body in order to settle the dispute or to proceed with any expert investigations and therefore postponed the case to the hearing for closing arguments on 4 November 2022 which was the adjourned to 28 February 2023 where the Court retained the case for decision, assigning the terms pursuant to Article 190 of the Code of Civil Procedure for filing final statements and answer briefs.

Banca Monte dei Paschi di Siena S.p.A. vs. Caltagirone Group

By a writ of summons dated 2 August 2022, the companies Caltagirone Editore SPA, Finced Srl, Capitolium Srl, Mantegna 87 srl, Vianini Lavori Spa, and Fincal Spa brought an action against the Bank before the Court of Rome alleging that the Bank had disclosed inconsistent information to the market in relation to investments in MPS shares made by the six companies between 2006 and 2011.

In particular, the opposing parties deduced that they had invested a total of approximately EUR 856 mln in MPS securities, as well as resold these financial instruments in the first few months of 2012, reporting a capital loss of approximately EUR 741 mln.

On the assumption that such damage is directly related to the allegedly unlawful conduct of the Bank for the dissemination of erroneous price-sensitive information since 2006, the opposing parties claim compensation for damages equal to the entire capital loss suffered, attributing to this allegedly untrue representation of the Bank's financial situation the fact that they purchased and/or maintained the MPS shares in their respective portfolios over the above-mentioned period of time.



At the first hearing on 30 January 2023, the plaintiff applied for the granting of investigation time limits, while the defendant Bank asked for the case to be sent for closing arguments, after which the Judge took the issue under advisement.

Banca Monte dei Paschi di Siena S.p.A. vs. Angelino + 40

By writ of summons dated 31 December 2022, Mr Angelino and forty other persons brought legal action against the Bank before the Court of Milan to challenge the investments made by them in compliance with the share capital increases ordered by the Bank, i.e. through purchases on the secondary electronic market of BMPS shares between 2013 and 2016. The plaintiffs claimed to have suffered a serious damage as a result of the discrepancy of information disclosed on the market by the Bank (referring both to the criminal proceedings 29634/14 and to the proceedings 955/16); the focus of the opposing objections, also as a result of the acquittal of the former management Mussari and Vigni in 2022 by the Court of Appeal of Milan, is however on the alleged offences committed by the former directors Viola and Profumo starting from 2012 both with references - as mentioned - to criminal proceeding 955/16 now at the appeal stage and with regard to the incorrect accounting of non-performing loans starting from the 2013 Financial Statements (in this regard, referring to criminal proceeding 33714/16); the opposing parties also contest the unfair commercial practices implemented by the Bank, the investments in diamonds, and the 2013 - 2017 Business Plan.

The plaintiffs therefore requested full compensation for the damage suffered equal to the entire consideration paid for the purchase of the BMPS shares, with a final quantification of the relief sought equal to approximately EUR 81.2 mln in addition to interest and revaluation of the balance due and ceasing gain; they also requested that the Bank be sentenced to pay compensation non-pecuniary damages, subject to the preliminary assessment of the crime of false corporate communications (art. 2622 of the Italian Civil Code) and market manipulation (art. 185 of the Consolidated Law on Finance) to be settled on an equitable basis pursuant to art. 1226 of the Italian Civil Code. The paper-based hearing is scheduled for 12 April 2023.

Investigations on the 2012, 2013, 2014 financial statements and the 2015 half-yearly report with reference to "non-performing loans"

In relation to criminal proceeding no. 33714/16 pending before the Milan Attorney General's Office, the Bank was originally implicated as administrative manager pursuant to Italian Legislative Decree no. 231/2001 in connection with an allegation of false corporate communications (pursuant to art. 2622 of the Italian Civil Code) relating to the 2012, 2013, 2014 Financial Statements and the 2015 half-yearly report due to the alleged overstatement of so-called non-performing loans.

On 4 May 2018, the Bank's position was dismissed by the Public Prosecutor's Office due to the groundlessness of the crime (a measure also confirmed by the General Prosecutor's Office on 15 March 2019).

On 25 July 2019, the GIP [Preliminary Investigations Judge] of the Court of Milan, on the one hand, acknowledged the dismissal of the proceedings against the Bank, as the liable entity pursuant to Italian Legislative Decree No. 231/2001 (moreover, the Bank had also taken on the role of injured party in the proceedings) and, on the other hand, ordered the continuation of the investigations of the defendant natural persons (i.e. Chairman of the Board of Directors, CEO and pro-tempore Chairman of the Board of Statutory Auditors) thus rejecting the Public Prosecutor's request for the case to be dismissed (supported by a detailed expert report prepared in the interest of the Public Prosecutor's Office). The investigations continued in the form of an evidence gathering procedure (in which the Bank did not participate) during which two experts were appointed by the Preliminary Investigations Judge, who, on 30 April 2021, filed their report. The questions posed to the experts mainly concerned the verification of the correctness and timeliness of the adjustments to non-performing loans recorded by the Parent Company in the period from 2012 to 2017 in compliance with the accrual principle and the other accounting standards in force at the time of the events.

The conclusions of the experts (which contradicted those of the experts initially called upon by the Public Prosecutor's Office) were then included in the notice of conclusion of the investigation.

At the hearing on 8 June 2021, the evidence gathering procedure was closed and the Preliminary Investigations Judge forwarded the documents to the Public Prosecutor's Office assigning it a deadline of 45 days to carry out any further investigations and make its decisions.

As part of this further investigation phase, the Public Prosecutor ordered two new official technical consultancies. In particular, on 16 November 2021, the Public Prosecutor instructed two additional consultants to review the documentation related to the 100 positions for which the ECB, in the context of the 2015-2016 inspection, had



indicated the greater difference between the provisions set aside by the Bank and those indicated by the same Supervisory Authority, in order to identify the actual effect of such deviation.

This analysis was concluded with the preparation of a further technical consultancy report. The Public Prosecutor's consultants, while finding some alleged accounting errors, came to different conclusions from those of the expert report ordered by the Preliminary Investigations Judge in 2020 on the same credit positions.

In addition, the Public Prosecutor instructed two officials of the Bank of Italy to review the effects on regulatory capital of major adjustments to non-performing loans that, based on the above-mentioned 2020 expert report, the Bank would have made in the financial years considered therein. In this case too, the two officials have filed their own expert opinion.

On 25 February 2022, the Preliminary Investigations Judge informed the defendants of the extension of the deadline for the conclusion of the investigation (until 31 May 2022) requested by the Public Prosecutor.

On 16 September 2022, a notice was received concerning the conclusion of preliminary investigations pursuant to art. 415-bis of the Code of Criminal Procedure against three former representatives of the Bank (two Chairmen of the Board of Directors and one Chief Executive Officer) and a former Executive manager (responsible for the preparation of corporate accounting documents). Despite the previous dismissal, the Bank also received the same notice as party bearing administrative liability pursuant to Italian Legislative Decree 231/01. On 14 December 2022, a request for committal for trial was issued against the aforementioned representatives; on 12 December 2022, the Bank's position as administrative manager pursuant to Compliance Model was instead eliminated. The preliminary hearing is scheduled for 12 May 2023.

The natural persons are charged with the offences of false corporate communications (pursuant to art. 2622 of the Italian Civil Code) and market manipulation (pursuant to art. 185 of the Consolidated Law on Finance) with reference to the 2013-2014-2015 Financial Statements and the 2015-2016 half-year reports, as well as of false accounting statements (pursuant to art. 173-bis of the Consolidated Law on Finance) in relation to the 2014-2015 information statements.

According to the charges, in the above-mentioned corporate communications, the defendants allegedly posted adjustments relating to non-performing loans in violation of accounting standards, thereby misrepresenting the financial position, result of operations and cash flow of the Bank. According to the accusation, this misrepresentation was also reflected in the communications and statements contextually released by the Bank.

The Bank, in its capacity as administrative manager, is charged with the administrative offences under arts. 5, 6, 7, 8 and 25-ter, letter b) and 25-sexies of Legislative Decree no. 231/2001, arising from the aforementioned cases of false corporate communications and market manipulation.

The Proceedings are also of definite relevance in relation to the further role of civil liability that the bank may play in relation to the claims for damages that may be filed, within the framework of such proceedings, by those who may qualify as injured parties or persons harmed by the offences.

At present, the Bank does not believe it can make any predictions as to the possible outcome of the proceedings, but it reserves the right to put forward arguments (confirmed by the checks carried out on the valuation process of the non-performing loan portfolio under investigation and also supported by preliminary analyses by its consultants) demonstrating the correctness of its actions in the competent venues, starting from the absence of any indications demonstrating an intention to provide the market with an incorrect representation of its result of operations, financial position and cash flow (as, among other things, can also be deduced from the presence in all relevant disclosures of clear warnings and risk warnings for investors precisely with reference to the uncertainties inherent in the valuation of the loan portfolio and the possible impact of the audit processes underway by the Supervisory Authorities).

It should also be noted that, at the same time as the investigations described above took place (when, however, the expert report was not yet available), in the context of a civil lawsuit brought by Alken Fund on one side and by a retail investor on the other, claiming, inter alia, the incorrect accounting of non-performing loans in the period 2012 - 2016, the Court of Milan and the Court of Florence rejected all claims brought against the Bank, sentencing the plaintiffs to pay the costs of the proceedings.



Out-of-court claims for the repayment of sums and/or compensation for damages by Shareholders and Investors of Banca Monte dei Paschi di Siena S.p.A. in relation to the 2008, 2011, 2014 and 2015 share capital increases

The grand total of out-of-court claims (complaints and mediations) received by the Bank as at 31 December 2022, relating to capital increase transactions and allegedly incorrect financial disclosures in prospectuses and/or Financial Statements and/or price-sensitive information, amounted to EUR 1.533 bn, broken down as follows:

- EUR 52 mln as relief sought for claims, net of those converted to court action, relating to the period 2008-2011;
- EUR 1.248 bn as relief sought for claims, net of those converted to court action, relating to the period 2014-2015 and longer time periods;
- EUR 233 mln as relief sought for mediations, in principal and net of previous claims.

These are largely generic claims, received mainly from an consultancy firm on behalf of institutional investors, in which the temporal references are not clarified (they claim losses that also refer to events that have never been disputed) and, which require particular investigation with respect to both the causation and the legal standing. These are in fact investors who show that they have also made investments in the name and on behalf of third parties, whose ties with the claimant are neither clarified nor documented.

In fact, the information contained in these requests is particularly lacking in this regard and stands out:

- a) for being totally generic or indefinite (i.e. such as not to allow *prima facie* a verification of the same nature and/or the actual content of the claim);
- b) for the absence of elements enabling the prior ascertainment of possible deficiencies in the basic requirements for the formulation of claims for compensation (for example, in cases in which the complainant is not even able to demonstrate that they have made direct investments influenced by alleged misuse of information) to be ascertained in advance;
- c) for failure to refer to appropriate documentary support that are abstractly suitable to support any claim;
- d) for the absence of precise and reliable data that allow for the investment to be temporarily allocated (and distinguished) so as to be able to appreciate (and weigh) the unfounded profiles of the claim due to the absence of adequate demonstration of a causation, also in light of the investment policy followed in practice by the investor.

It should be noted that an institutional opposing party, which had brought previous mediation proceedings, which were terminated in October ex officio due to inactivity of the petitioning party, filed a claim in January 2023 for a relief sought of EUR 731 mln in principal. Considering this event, the total relief sought for out-of-court claims would amount to EUR 2.264 bn. This petition has been assessed for the purposes of these Financial Statements in accordance with IAS 10.

With reference to the assessment of the risk of losing and the method of determining the provisions for risks and charges for disputes relating to financial information, the following is noted.

In the criminal proceedings 29634/14, on 29 September the Milan Court of Appeal filed the grounds of its acquittal ruling of 6 May 2022, against which both the General Prosecutor and Consob have appealed to the Supreme Court.

The detailed analysis of the grounds of the ruling and the breadth of the acquittal of all defendants, resulted in the reclassification of the risk of losing from “likely” to “potential” for legal disputes, civil actions in criminal proceedings 29634/14 and out-of-court claims concerning disputes relating to the 2008-2011 period. Therefore, in the third quarter, the provisions for risks recognised previously relating to that type of dispute were released to the income statement.

As at 31 December 2022, litigation and out-of-court claims concerning the 2012-2015 period were reclassified to “likely” risk following the ruling of 15 October 2020 concerning criminal proceedings 955/2016 and those connected to “non-performing loans”.

Therefore, for civil and criminal disputes concerning the information disclosed solely in the period 2012-2015, the provisions for risks were determined in such a way as to take into account the amount invested by the counterparty in specific periods of time characterised by the disputed information alterations (net of any disinvestments made during these same periods). The damage subject to compensation was then determined on the basis of the “differential damage” criterion, which identifies the damage as the lowest price that the investor would have had



to pay if he had access to complete and correct information. For the purposes of this determination, econometric analysis techniques have been adopted - with the support of qualified experts - suitable to eliminate, among other things, the component inherent in the performance of the equity securities belonging to the banking sector during the reference period. More in detail, the total damage caused by each event potentially capable of generating information alterations was first quantified and then the amount abstractly attributable to the individual Plaintiff/Civil Party was calculated, taking into account the share of capital held from time to time. From a prudential standpoint, along with the differential damage, the different criterion of “full compensation” was also taken into account (of a minor importance in the prevailing law, including the one that is currently taking shape on this specific subject matter), and that is based on the argument that false or incomplete information may have a causal impact on the investment choices of the investors to such an extent that, in the presence of correct information, they would not have made the investment in question; in this case, the damage is therefore commensurate to the invested capital, net of the amounts recovered from the sale of shares by the Plaintiff/Civil Party.

Instead, with reference to out-of-court claims relating to the period 2012-2015, in order to take into account the probability of their transformation into real disputes, the provisions were determined by applying an experiential factor, in line with the Bank policies for similar cases, to requests made by opposing parties. In any case, the Bank has exercised the possibility granted by IAS 37 of not providing disclosures on the provisions allocated in the balance sheet since it believes that such information could seriously jeopardise its position in disputes and in potential settlement agreements.

Furthermore, on 31 December 2022, with regard to civil lawsuits, settlement agreements were reached, involving the closure of 31 disputes against a total relief sought of approximately EUR 366 mln; in the criminal context, settlements concerned some civil parties in cp. 29634/14 for a relief sought of EUR 39 mln.

In the out-of-court context, as at 31 December 2022, settlements had been finalised regarding compensation claims for a relief sought of EUR 4 bn (this amount includes the compensation claim made by the Fondazione Monte dei Paschi di Siena). In the first quarter of 2022, settlement agreements were reached and finalized, with particular reference to the issue of the alleged information discrepancies, which led to the closure of additional 21 claims against a total relief sought of approximately EUR 8.1 mln.

Banca Monte dei Paschi di Siena S.p.A. vs. Fresh 2008 bondholders

Some holders of FRESH 2008 securities maturing in 2099, with writ of summons served on 15 November 2017, initiated proceedings against the Bank, the company Mitsubishi UFJ Investors Services & Banking Luxembourg SA (which replaced the Bank in issuing the bond loan Bank of New York Mellon Luxembourg), the British company JP Morgan Securities PLC and the American company JP Morgan Chase Bank N.A. (which entered into a swap agreement with the bond loan issuer) before the Court of Luxembourg in order to request confirmation: (i) of the inapplicability of the Burden Sharing Decree to the holders of the FRESH 2008 securities and, consequently, that said bonds cannot be forcibly converted into shares, (ii) of the validity and effectiveness of the said bonds in accordance with the terms and conditions of their issue insofar as they are governed by Luxembourg law, and, finally, (iii) that the Bank is not entitled, in the absence of the conversion of the FRESH 2008 Securities, to obtain from JP Morgan the payment of EUR 49.9 mln to the detriment of the holders of the FRESH 2008 Securities. The Court of Luxembourg, by order of 11 January 2022, dismissed the requests made by the Bank to stay the proceedings until the ruling of the international courts with regard to the preliminary objections raised by the Bank; on the other hand, it upheld the plea of lack of jurisdiction of the court hearing the case in relation to the claim concerning the usufruct contract entered into by the Bank with JP Morgan Securities PLC and JP Morgan Chase in the context of the 2008 share capital increase transaction. In relation to the aforementioned usufruct contract, the Luxembourg Court took the issue under advisement pending the decision of the Italian Court and, on the contrary, has declared its jurisdiction in relation to the swap contract entered into by the Bank with the same opposing parties in the context of the 2008 capital increase transaction.

It is noted that, following the start of the proceedings in question by the holders of the FRESH 2008 Securities, the Bank, on 19 April 2018, brought a legal action before the Court of Milan against JP Morgan Securities Ltd JP Morgan Chase Bank N.A. London Branch, as well as the representative of the FRESH 2008 securities holders and Mitsubishi Investors Services & Banking (Luxembourg) S.A. to request confirmation that the Italian Judge is the only one with jurisdiction to decide about the usufruct contract and the company swap agreement signed by the Bank with the first two defendants in the context of the share capital increase in 2008. Consequently, the Bank asked:



- to ascertain, pursuant to art. 22, paragraph 4 of Italian Decree 237 of 23 December 2016, the ineffectiveness of the usufruct contract and the company swap agreement that provide for payment obligations in favour of JP Morgan Securities PLC and JP Morgan Chase Bank NA;
- to ascertain the ineffectiveness and/or termination and/or settlement of the usufruct contract or, in the alternative;
- to ascertain the termination of the usufruct contract due to the capital deficiency event of 30 June 2017.

The first hearing was held on 18 December 2018 and the Investigating Judge, considering the prejudicial nature of the issue of jurisdiction raised by the defendants, in view of the fact that a dispute is pending before the Luxembourg Court involving the same relief sought and the same cause, had granted the parties terms to reply only to the procedural objections and adjourned the hearing to 16 April 2019 for assessment of the disputed issue. At the subsequent hearing on 2 July 2019, the case was held over for decision and by order of 2 December 2019, the Court of Milan ordered the proceedings to be suspended pending the decision of the aforementioned Luxembourg Court. Against this order, the Bank had filed a petition with the Supreme Court for the transfer of the case on the ground of jurisdiction. The court has rejected the petition of the Bank with ruling dated 31 March 2021. Fresh bond holders appealed against the first instance ruling issued by the Luxembourg Court. The notice of appeal was filed at the end of November 2022. The Bank - in parallel - on the basis of the ruling issued by the Luxembourg Court, will file a petition with the Italian court asking it to rule on the grounds for the termination of the usufruct contract.

In the event of a favourable outcome of the dispute, the FRESH 2008 Securities will be converted into the shares, already issued, of the Bank which will also collect the amount of EUR 49.9 mln, recording a corresponding income.

In the event of an unfavourable outcome of the dispute, the principle of burden sharing cannot be applied and therefore the bondholders will retain the right to receive the coupon (equal to Euribor 3M + 425 bps on a notional amount of EUR 1 bn) provided that the Bank generates distributable profits and pays dividends. Since the Bank has not paid dividends since the date of the burden sharing, any unfavourable outcome of the dispute will only produce prospective effects and only in the event of dividend distribution.

Other disputes

Banca Monte dei Paschi di Siena S.p.A. vs. Fatrotek

This case, where the Bank was sued together with other credit institutions and companies with the summons of 27 June 2007, seeks the assessment of alleged monetary and non-monetary damage suffered by the plaintiff, as a result of an alleged unlawful report filed with the Italian Central Credit Register. The relative relief sought is EUR 157 mln. The plaintiff also asks that the defendant banks be found jointly liable, each proportionately to the seriousness of its behaviour. The Bank's defence was based on the fact that the company's extremely severe financial situation fully justified the Bank's initiatives.

At the hearing on 31 May 2018, the Judge reserved his decision on the challenges raised by the convened parties. On 5 June 2018, the Company declared bankruptcy. On 25 July 2018, upon lifting of the reservation made during the hearing of 31 May 2018, the case was adjourned to 31 October 2018, for the court-appointed expert to take the oath. In the meantime, the receivership of the Fatrotek S.r.l. bankruptcy again took up the case. The proceedings were adjourned first to the hearing on 4 December 2019 and then to the hearing on 13 February 2020, where a court-appointed expert investigation was ordered and an expert was appointed.

The case was held over for decision on 6 October 2022 and on 11 November 2022, the Court of Salerno issued a judgement for the settlement of only the non-pecuniary damage of 20,000 euros for each bank (thus totalling 100,000.00 euros), plus interest and litigation costs. The disbursement attributable to the Bank amounted to 34,151.69 euros. The substantially successful outcome of the trial indicates that the appeal is not admissible.

*Banca Monte dei Paschi di Siena S.p.A. vs. Marcangeli Giunio S.r.l.*

With a writ of summons, notified on 28 November 2019, the claimant Marcangeli Giunio S.r.l. asked the Court of Siena to assess, first and foremost, the contractual liability of the Bank for not issuing a loan of EUR 24.2 mln - necessary to the purchase of land and the construction of a shopping mall with spaces to be leased or sold – and subsequently the conviction of the Bank with order to pay compensation for damages and ceasing gain in the amount of EUR 43.3 mln. As an alternative, in view of the facts specified in the writ of summons, a request is made for the Bank to be found pre-contractually liable for having interrupted the negotiations with the company without disbursing the agreed loan, and to be ordered to pay compensation in the same amount asked first and foremost.

In a judgment filed on 6 June 2022, the Court of Siena rejected the plaintiff company's claims for damages on the grounds of contractual and extra-contractual liability. The Court only upheld the restitutory claim brought by the opposing party with regard to the allegedly unlawful interest applied in connection with the land advances, quantified in EUR 58,038.27, plus legal interest, and offsetting the costs. By summons dated 23 December 2022, the company filed an appeal before the Court of Appeal of Florence with first appearance hearing on 15 May 2023.

Banca Monte dei Paschi di Siena S.p.A. vs. Riscossione Sicilia S.p.A.

By writ of summons notified on 15 July 2016 Riscossione Sicilia S.p.A. (today the Italian Revenue Agency - Collection, which took over under universal title in all legal relationships of Riscossione Sicilia starting from 1 October 2021, pursuant to art. 76 of Italian Law Decree no. 73/2021 converted with Italian Law no. 106/2021) had summoned the Bank before the Court of Palermo, asking for it to be ordered to pay the total sum of EUR 106.8 mln.

The claim of Riscossione Sicilia S.p.A. falls within the realm of the complex dealings between the Bank and the plaintiff, originated from the disposal to Riscossione Sicilia S.p.A. (pursuant to Italian Law Decree 203/05, converted into Italian Law 248/05) of the equity investment already held by the Bank in Monte Paschi Serit S.p.A. (later Serit Sicilia S.p.A.).

In the preliminary phase of the proceedings, a court-appointed technical consultancy was carried out, the results of which were favourable to the Bank. In fact, the court appointed expert not only concluded that the Bank owes nothing to Riscossione Sicilia S.p.A., but also identified a receivable of the Bank of roughly EUR 2.8 mln, equal to the balance of the price for the sale of 60% of Serit Sicilia S.p.A. to Riscossione Sicilia S.p.A. by the Bank (dating back to September 2006), a sum that has to date been held in escrow by Riscossione Sicilia S.p.A. With ruling no. 2350/22, filed on 30 May 2022, the Court of Palermo, essentially adhering to the conclusions of the court-appointed expert, rejected Riscossione Sicilia's counterclaims and sentenced the latter to pay the Bank approximately EUR 2.9 mln plus legal interest and court fees.

This judgment was appealed on 27 December 2022 by summons before the Court of Appeal of Palermo.

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On 17 July 2018, the Finance Department of the Sicily Region notified the Bank by means of an order of injunction pursuant to art. 2 of Italian Royal Decree no. 639/1910 and of repayment, pursuant to art. 823, paragraph 2 of the Italian Civil Code of the amount of around 68.6 mln, assigning the Bank the term of 30 days to make the payment with the warning that, on the back of the failure to do so, it would proceed with the forced recovery through the entry of the action into the cause list. The Sicily Region filed a petition for the summons of Riscossione Sicilia, resulting in the postponement of the first appearance hearing, which was held on 26 September 2019 and in which the Judge, upon acknowledging the brief provided by the parties, set out the terms for lodging the statements pursuant to art. 183 of the Italian Code of Civil Procedure and adjourned to an evidentiary hearing scheduled for 26 November 2020. On that occasion, the Bank asked for the hearing closing arguments to be scheduled, requesting the Court to verify that the action had become devoid of purpose, as Riscossione Sicilia during the proceedings had proved that the receivable claimed by the Sicily Region had been fully cancelled.

With ruling no. 3649/2021, published on 4 October 2021 and notified on 5 October 2021, the Court of Palermo rejected the Bank's opposition against the aforementioned order with simultaneous condemnation of the Bank to pay the litigation costs. The Bank lodged an appeal against this decision before the Palermo Court of Appeal. By order filed on 11 February 2022, the Court of Appeal ordered the integration of the cross-examination against the Italian Revenue Agency - Collection (ADER), as successor of Riscossione Sicilia spa, ordering it to appear at the hearing scheduled for 1 July 2022, during which time the case was postponed to the hearing of 22 November 2024 for the presentation of closing arguments.



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For the sake of completeness, it should be noted that the Bank has also filed an administrative case before the Regional Administrative Court of Sicily - Palermo office for the declaration of nullity and/or annulment of the injunction order pursuant to art. 2 of Italian Royal Decree no. 639/1910, notified by the Department on 17 July 2018, by appeal lodged on 16 October 2018 (RG [General Register] 2201/2018).

The appeal concerns the challenging of the order of injunction in the part in which, “alternatively, pursuant to art. 823, paragraph 2 of the Italian Civil Code, it orders Banca Monte dei Paschi di Siena (...) to return to the Sicily Region, within the same period of 30 days from receipt of the present order, the amount of approx. EUR 68.6 mln plus interest at the rate established by special legislation for late payment in commercial transactions, as provided for in paragraph 4 of art. 1284 of the Italian Civil Code”.

The Department appeared via the Italian Government Lawyers (*Avvocatura dello Stato*) on 15 November 2018. The Regional Administrative Court has set 13 November 2023 as the date for the so-called “disposal” hearing, at which the interest in pursuing the case will have to be confirmed or not. On 20 December 2022, the law firm defending the Bank indicated that “the continuation of the aforesaid administrative proceedings appears to be likely futile given that the Sicilian Region has already obtained the enforceable measure in civil proceedings”.

Moreover, following the notification of the tax the registration of the claim brought by ruling No. 3649/2021 of the Court of Palermo “for the recovery of amounts under Injunction Order 16465/2018”, the Bank contested the enforcement and the tax bill as an enforceable act pursuant to art. 615 of the Italian Code of Civil Procedure before the Court of Siena with a summons dated 21 November 2022 and filed an application to suspend the enforceability of the title.

At the same time, the Bank filed a petition with the Court of Auditors on 21 November 2022 pursuant to art. 172 paragraph 1 letter d) of the Code of Accounting Justice to annul the acts for the recovery of the amounts.

Finally, the Bank, on 16 November 2022, petitioned ADER pursuant to Italian Law No. 228/2012 to obtain a suspension of the recovery of the amount due under the tax bill. On 25 January 2023, the Bank was notified by the Sicilian Regional Department of the Economy of a formal notice of rejection of said petition. Consequently, on 27 January 2023, the payment of the amount of EUR 74 mln was ordered, and the necessary steps are underway to recover the aforementioned credit of about EUR 68.6 mln from ADER, to which the Bank is entitled, as the universal successor of Riscossione Sicilia.

Banca Monte dei Paschi di Siena S.p.A. vs. Nuova Idea

With a writ of summons notified on 21 December 2021, Nuova Idea S.r.l. summoned the Bank before the Court of Caltanissetta in order to have it declare that it was obliged to compensate all the damages, financial and non-financial, suffered by the company as a consequence of the protest of a bill of EUR 2,947 domiciled at the Caltanissetta Branch, which according to the plaintiff's prospect would have been raised due to the Bank's exclusive negligence.

The plaintiff argues that the illegitimate protest constituted the only prior causation of a chain of events described in the writ of summons which resulted in the net reduction of its equity investment in a Temporary Grouping of Companies awarded a service contract with ASL Napoli 1 Centro, consequently requesting, principally, that the Bank was ordered to pay in its favour the amount of EUR 57.3 mln by way of loss of earnings as well as an amount of EUR 2.8 mln by way of loss of profit, and thus a total of EUR 60.1 mln, in addition to compensation for damage to the corporate image and commercial reputation to be paid on an equitable basis.

The first appearance hearing, indicated in the summons as 29 April 2022, has been postponed to 4 May 2022. The Bank promptly appeared, stating the correctness of the behaviour taken when the protest was raised and the absence of any causation between the Bank's actions and the alleged damage. At the hearing of 4 May 2022, the Judge withheld his decision on the requests and objections formulated by the parties and subsequently, lifting his reservation, granted the parties a deadline for filing the preliminary briefs, postponing the decision to the hearing of 29 March 2023.

*Banca Monte dei Paschi di Siena S.p.A. vs. Barbero Metalli S.p.A.*

The proceedings, with relief sought equal to EUR 37.5 mln, were brought by B.M. 124 S.R.L. official assignee of the composition in bankruptcy pertaining to Barbero Metalli Spa in JV with BeCause - against the directors and auditors of the company, as well as the different credit institutions jointly and severally, for having contributed to the insolvency of the company through predatory lending.

The thesis put forward by the plaintiff is based on the alleged joint and several liability of the banks with the Board of Directors of Barbero Metalli S.p.A. for having contributed to the commission of acts of misadministration, to the artificial survival of the company, to the concealment of the irreversibility of the financial difficulties and to the worsening thereof.

The plaintiff asks for the directors, auditors and banks to be found jointly and severally liable for approximately EUR 37.5 mln as additional loss incurred by the company, and in the alternative liable for EUR 22.9 mln, as the value of individual detrimental transactions carried out by the company and expressly listed in the writ of summons (the contribution indicated for Banca MPS would consist in having advanced EUR 8.8 mln to the company since 2009).

At the first appearance hearing (25 January 2022), the judge ordered a postponement of the case for the purpose of mandatory mediation. Pre-mediation activities were carried out, by the exclusive will of the other party, in a confidential and autonomous manner among the different parties involved in the legal dispute (13 parties of which 8 Banks). The official assignee proposed therein to BMPS the payment of a lump sum of EUR 750,000, which could be reduced to EUR 600,000 plus expenses. In support of the settlement proposal, the counterparty offered judgements that would have constituted “precedents” in establishing the Bank’s liability for predatory lending. After informally hearing the other banks, which had expressed concerns about the proposals made, and in continuous contact with the appointed lawyer, in May 2022, our refusal to participate in the mediation was formalised. This decision is supported both by the external counsel’s opinion and by case law trend that would require the party claiming damages to make a more rigorous and precise demonstration of the causation, not limiting itself to the mere sequence of events between funding and financial difficulties.

Having completed the mediation process, which was in fact never formally opened, and having filed the parties’ written submissions, the judge ordered a postponement to 21 December 2022 for the hearing, which was ultimately postponed to the hearing on 3 May 2023.

Banca Monte dei Paschi di Siena S.p.A. vs. Isoldi S.p.A.

In June 2020, a summons was served by the bankruptcy receiver of Isoldi Holding S.p.A. in liquidation against several Credit Institutions (including the Parent Company) on the assumption of joint and several liability of the banks with the board of directors of Isoldi Holding S.p.A. in liquidation for having contributed to the commission of acts disposing of the company’s assets, to the artificial survival of the company despite its insolvency and to the worsening thereof, identified as:

- i. purchase of shares and the related option rights of the company Aedes S.p.a., carried out at prejudicial conditions compared to market prices with an increase in indebtedness, in a position of equity and financial instability of the bankrupt company;
- ii. access to a reorganization plan pursuant to art. 67, paragraph 3, letter d), of the Bankruptcy Law, signed on 9 May 2011 by 7 banks (the Parent Company for 19%) and Isoldi Holding through the establishment of two new companies for the transfer of business units bound to the satisfaction of debtors with collaterals (Newco Isoldi and I.R.O.) and the disbursement of new funding for a total of EUR 17.6 bn secured by second mortgages and sureties of Isoldi Holding.

At the first hearing, on 16 February 2023, the Judge reserved his decision on the various preliminary motions.

Banca Monte dei Paschi di Siena SpA / Società Italiana per Condotte D’Acqua S.p.A. under the control of a government-appointed administrator

By means of a writ of summons served on the Bank on 23 December 2022, Società Italiana per Condotte D’Acqua S.p.A. under the control of a government-appointed administrator brought an action for damages against the credit institutions in conjunction with the factoring companies (no. 32 opposing parties), the independent auditors PWC, the members of the Managing Board and of the Supervisory Board of the company in bonis, for having contributed - through the use and granting of credit - to the commission of acts of misadministration that caused (or contributed to causing) serious damage to the company and to the entire creditors. The damage is quantified:



- jointly and severally among all defendants in the amount of EUR 389.3 mln;
- subordinately EUR 322.0 mln (increase of insolvency liabilities);
- subordinately in the amount of EUR 39.5 mln with reference to individual transactions (referring to associate companies).

The first appearance hearing is set for 12 July 2023 at the Court of Rome - Specialised Companies Division.

Given the content of the claims, the share of the risk pertaining to the Bank, jointly and severally summoned with the other defendants to pay the entire amount requested in relief, has not been quantified.

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Employment law disputes

As at 31 December 2022, tax disputes were pending for which the total relief sought, where quantified, was equal to approximately EUR 89.3 mln. In particular:

- approx. EUR 53.2 mln in relief sought for which there is a “likely” risk of losing the case, for which provisions of about EUR 41.1 mln have been made;
- approx. EUR 15.3 mln as relief sought for disputes for which there is a “possible” risk of losing the case;
- approx. EUR 20.8 mln as relief sought for disputes for which there is a “remote” risk of losing the case.

We provide below the summary information on the most significant disputes pending as at 31 December 2022.

Banca Monte dei Paschi di Siena S.p.A. vs. Fruendo

After the sale of the business unit, 634 workers (then reduced to 233 due to waivers and settlements) summoned the Bank before the courts of Siena, Rome, Mantua and Lecce to request the continuation of the employment relationship with Banca MPS, subject to the sale agreement with Fruendo being declared ineffective.

As of today, for 223 workers involved, the judgement was unfavourable to the Bank. With regard to the remaining 10 workers, a first and/or second instance ruling unfavourable to the Bank was issued.

It should also be noted that in the case of the transfer of a branch of business deemed unlawful, the Court of Cassation, with reference to the salary obligation incumbent on the transferor, has ruled in a manner that differs from the settled opinion of the Court of Cassation itself. In fact, with numerous rulings, issued starting from July 2019, it was affirmed that, in the event that the transfer of the employment relationship, in the broader context of the transfer of the business unit, is declared unlawful, the transferring employer, who does not reinstate the employees, is still liable to fulfil the remuneration obligations in addition to those fulfilled by the transferee employer, since the principle that the payment made by the latter would discharge the former is considered not applicable to the case in question.

Based on this change in case law (“double remuneration”), as at the date of these Financial Statements, 208 workers involved in the transfer of the business unit and recipient of the above rulings in their favour, have sued the Bank in order to request the remuneration allegedly due. These actions were filed with the Courts of Siena, Florence, Mantua and Rome, with hearings currently scheduled between January 2023 and December 2023.

For this group of disputes, 29 first instance rulings and 4 second instance rulings have been issued so far:

- 4 by the Court of Siena, partially unfavourable (with the Labour Court sentencing the Bank to pay only 5 months of the final total remuneration);
- 15 by the Court of Rome, unfavourable (with the Labour Court sentencing the Bank to pay all the wages claimed by the workers);
- 7 by the Court of Mantua, unfavourable (with the Labour Court sentencing the Bank to pay all the wages claimed by the workers);



- 3 by the Court of Rome, favourable (with the Labour Court upholding the objections of the Bank and rejecting the workers' appeal);
- 1 issued by the Court of Appeal of Florence which, by reforming the first partially unfavourable ruling of the Court of Siena, recognised the right of workers to receive all the wages claimed;
- 2 issued by the Court of Appeal of Brescia, which confirmed the unfavourable rulings made in the first instance by the Court of Mantua.
- 1 issued by the Court of Appeal of Rome which, by reforming the first partially favourable ruling of the Court of Rome, recognised the right of workers to receive all the wages claimed.

The partially unfavourable rulings issued by the Court of Siena, which partially accepted the request relating to the “double remuneration”, ordering the Bank to pay only 5 months of the last overall salary due to the parties involved, also gave impetus to the start of negotiations for the settlement of disputes which, to date, have led to the completion of 242 transactions. The subsequent reform by the Court of Appeal of Florence of the first sentence issued by the Court of Siena, as well as the now consolidated trend of law cases favourable to workers on the subject of “double remuneration”, did not prevent the continuation of the settlement activity, although with the adoption of different criteria (recognition of 60% of the amounts claimed by way of “double remuneration”). This led to the conclusion of a further 8 conciliations, for a grand total of 250 settlements to date.

In addition, writs of summons were served by 2 workers requesting the Bank to return the portion of social security contributions charged to them in the spontaneous execution of the unfavourable rulings on so-called “double remuneration”. By appeals filed on 26 September 2022, the Bank contested these claims. The Court of Siena, Labour Law Division, suspended the enforceability of the bonds, setting a hearing for discussion for 29 March 2023.

Please also note that the Court of Siena, Labour Law Division, with ruling of 25 January 2019, rejected the appeals of 52 Fruendo workers (later reduced to 32 following waivers/settlement) which sued the Bank before the Court to request the continuation of the employment relationship with the latter, upon declaration of the unlawful interposition of labour (“unlawful contract”) as part of the services outsourced by the Bank to Fruendo.

This ruling was challenged by 16 workers before the Court of Appeal of Florence Labour Law Sect. which, on the other hand, ascertained the unlawfulness of the contract, ordering the reinstatement in service of 14 workers (as for 2 workers, the matter in dispute was declared to have ceased to exist following waivers/settlements), which was implemented with effect from 1 March 2022. The case is currently pending before the Court of Cassation.

45 workers of Fruendo have started additional legal actions to establish the unlawfulness of the contract:

- a) No. 13 claimants appealed to the Court of Padua - Labour Law Division: the cases were settled at the hearing of 24 October 2022;
- b) 32 workers brought action before the Court of Siena - Labour Law Division. The status of the related rulings is summarised below:
 - for two groups of applicants (18 in total) who have introduced collective disputes, favourable rulings for the Bank were issued at first instance by the Court of Siena Labour Law Division, which were challenged before the Court of Appeal of Florence: next hearing 6 April 2023;
 - for another group of applicants (13 in total), the appeal was notified to the Bank on 29 June 2022 and the first appearance hearing is set for 17 April 2023;
 - for the only applicant who filed an individual claim, the Court of Siena - Labour Law Division set the next hearing on 5 June 2023.



Tax disputes

As at 31 December 2022, tax disputes were pending for which the total relief sought, where quantified, was equal to approximately EUR 43.3 mln. In particular:

- approx. EUR 10.8 mln in relief sought regarding disputes for which there is a “likely” risk of losing the case, for which provisions of about EUR 10.6 mln have been made;
- approx. EUR 28.1 mln as relief sought for disputes for which there is a “possible” risk of losing the case;
- approx. EUR 4.4 mln as relief sought regarding the remaining disputes, for which there is a “remote” risk of losing the case.

Risk linked to representations and warranties given in the disposal and demerger of non-performing loans

In execution of the 2017-2021 Restructuring Plan, the Bank has launched an important destocking plan for non-performing loans with the aim of significantly reducing its NPE ratio. As part of these transactions, indemnities are envisaged to be paid to the transferee counterparties of non-performing loan portfolios if the representations and warranties (R&W) issued are not true. In this regard, note the securitisation transaction carried out by the Bank in December 2017 in favour of Siena NPL which resulted in the cancellation of bad loans for a gross exposure of over EUR 22 bn, whose R&W expired on 31 July 2021. By that date, more than 10,000 claims had been received for a relief of approximately EUR 0.7 bn; of those analysed, amounting to 4,209 claims, with relief sought of approximately EUR 0.6 bn, a limited percentage was assessed as well-founded. Also of note is the “Hydra-M” demerger in 2020 concerning EUR 7.2 bn of gross non-performing loans whose representations and warranties expired on 1 December 2022, and some transactions involving the disposals of portfolios of unlikely to pay loans, which took place between 2018 and 2020, with a maximum maturity of May 2023. As at 31 December 2022, 230 claims for EUR 106 mln had been received and analysed for “Hydra M” (of which approx. 68% of the relief sought, object of the disputes, was of a “subject to reservation of rights” and, therefore, with uncertainty as to the indemnity claim by AMCO).

Again, as at 31 December 2022, a single claim was notified, for a total amount of EUR 5.5 mln, relating to approximately 170 positions included in the area of receivables assigned to Illimity S.p.A. within the scope of the Fantino Project, which is currently deemed unfounded.

In general, the risk provisions for this type of transaction, if the claims are not fully analysed and/or the expiry date has not yet been reached, are also determined through the use of statistical techniques to take into account the overall expected risk.

Compensation for transactions in diamonds

On 19 February 2019, the Issuer was notified by the Office of the Preliminary Investigation Judge of the Court of Milan of a preventive seizure order concerning this matter. The order was served to several natural persons, two diamond-producing companies (Intermarket Diamond Business S.p.A. and Diamond Private Investment S.p.A.), as well as 5 banks, including the Bank, and resulted, for the Bank, in the preventive attachment of the profit from the crime of continued aggravated fraud, in the amount of EUR 35.5 mln. In addition, a preventive seizure order was served for an equivalent amount pursuant to art. 53 of Italian Legislative Decree 231/2001, for EUR 0.2 mln for the crime of self-money laundering.

On 6 April 2021, the request for committal for trial by the Public Prosecutor's Office at the Court of Milan was issued against 110 subjects, including 5 Executive managers - of whom 4 no longer in service - and 8 branch managers, in relation to the crimes of aggravated and continued fraud, as well as use of money (self-laundering) for the 5 Executive managers only. The Bank is accused of the administrative offence pursuant to articles 5 and 25 - octies of Italian Legislative Decree 231/2001 in relation to the crime of self-money laundering pursuant to art. 648 ter 1 of the Criminal Code.

At the hearing held on 20 December 2021, the preliminary issues were discussed and at the subsequent hearing held on 21 January 2022, the Judge of the preliminary hearing upheld the case for lack of venue jurisdiction raised by the parties, removing the proceedings from the jurisdiction of the Milan Court and arranging for the transmission of documents:

- to the Public Prosecutor's office of Rome, as regards alleged fraud of the request for committal for trial challenged against the representatives of DPI and the Bank (as well as for the alleged use and self-money laundering concerning the defendants representing DPI);



- to the Public Prosecutor's office of Siena, as regards alleged self-money laundering attributed to the executive managers of the Bank and the corresponding administrative offence, challenged by the Bank in the request for committal for trial. On 8 June 2022, as part of this new proceeding in Siena, the Public Prosecutor issued the notice of conclusion of the preliminary investigations and concurrent notice of indictment against 4 former executive managers and the only executive manager, still in service, already involved in the main proceedings in Milan, for the crime of self-money laundering pursuant to arts. 81, 110, and 648 ter 1 par. 1, 2 and 5 of the Italian Criminal Code. The aforementioned notice confirmed the charge to the Bank in relation to the administrative offence referred to in arts. 5 par. 1 letter b and 25-octies of Italian Legislative Decree no. 231/2001.

On 23 February 2022 and 10 March 2022, respectively, both the Court of Siena and the Court of Rome - Preliminary Investigations Judge's Office - ordered the validation of the preventive seizure order for EUR 0.2 mln, issued against the Bank for the administrative offence pursuant to art. 25-octies of Italian Legislative Decree 231/01 in relation to art. 648 ter 1 of the Criminal Code (self-money laundering), and EUR 35.5 mln in relation to the crime of fraud.

On 16 June 2022, following a specific request filed by the Bank, the Rome Public Prosecutor's Office notified the release from attachment of the aforementioned sum of EUR 35.5 mln.

The Public Prosecutor's Office at the Court of Siena, with reference to the criminal proceedings regarding the possibility of self-money laundering, issued a request for dismissal on 12 September 2022 against the natural persons (4 former executive managers and the only executive manager still employed), who had been investigated for self-money laundering and also issued a decree for dismissal with regard to the Bank as party bearing administrative liability.

The above-mentioned decree also ordered the removal of the attachment order issued in relation to the offence of self-laundrying pursuant to Italian Legislative Decree 231/2001, for the sum of EUR 195,237.33.

The dismissal with respect to the Bank was transmitted to the Attorney General of the Court of Appeal of Florence, which endorsed it on 16 November 2022, while the Preliminary Investigations Judge issued a decree of dismissal against the natural persons on 5 October 2022.

With reference to the "diamonds" affair, additional criminal proceedings for the offences of aggravated fraud, self-money laundering and hindering the exercise of the functions of Public Supervisory Authorities were lodged before the Public Prosecutor's Office at the Court of Milan. On 28 September 2021 the Public Prosecutor made a request for committal for trial, against seven former executive managers (of which five in the main line of litigation) and the Chief Executive Officer and pro tempore General Manager of the Bank.

The preliminary hearing was set for 30 September 2022. At that hearing, the Preliminary Hearing Judge postponed the hearing to 25 January 2023 to bring a suit as a civil party and the relative matters as well as for further preliminary matters, including regarding jurisdiction.

At the hearing of 25 January 2023, the Court ordered a postponement to 5 April 2023, pending the filing of the written justifications of the Court of Cassation's ruling that settled the conflict of jurisdiction between the Judicial Authorities of Rome and Verona in the IDB-Banco BPM case, which has the same indictment scheme as the proceedings at issue.

In these new proceedings, the Bank is not involved as party with administrative liability pursuant to Italian Legislative Decree 231/2001.

To meet the initiatives taken, the Bank has set aside provisions which take into account, among other things, the anticipated number of requests and the current wholesale value of the stones to be collected.

As at 31 December 2022, more than twelve thousand requests were received for a total value of approximately EUR 316 mln, almost all of them settled (EUR 5.9 mln of which in the 2022 financial year, the countervalue of which, net of the market value of the stones, covered by the provision for risks and charges set aside in previous financial years). As at 31 December 2022, the transactions settled represented 91.9% of the total volume of diamond offers reported by the Bank. Residual provisions for risks and charges recognised against the compensation initiative amounted to EUR 4.4 mln at the end of 2022.

As at 31 December 2022 the stones returned were recognised for a total value of EUR 76.1 mln.



Financial risks of investment services

Foreword

The following section on financial risks of investment services was written as part of the “Operational Risk” section in line with the compulsory framework for preparation of the Notes to the Financial Statements, even though this subject presents specific characteristics and involves organisational levels of authority that are not directly traceable to operational risk management.

Wealth risk management process and methods

Please refer to Part E of the Notes to the Consolidated Financial Statements.

Consultancy services offered

The strategic choice of the Bank is to systematically combine the placement of financial products with advisory so as to ensure the highest level of protection for the investor and, at the same time, enhance the role played by relationship managers. Again, with a view to protecting customers, the obligation to verify appropriateness has also been extended to the trading activities on the secondary market of the certificates issued by the Bank.

The Bank offers two types of advisory services:

- a “basic” advisory, aimed at verifying the suitability of a single specific investment recommendation, or several investment transactions or several disinvestment transactions in relation to the risk of the customer’s investment portfolio as a whole. In this regard, the adequacy model adopts a multivariate control approach to the individual risk factors, taking the risk of the customer’s portfolio, including the recommended investment product(s), as a reference;
- an “advanced” advisory, aimed at verifying the suitability of the overall set of advised transactions based on a range of investment/disinvestment transactions targeted at the construction of one or more portfolios of advanced advisory, consistent with the respective investment objectives, in reference with an optimal asset allocation that aims at obtaining maximised future returns, based on the investment portfolio risk given the customer’s risk profile. In this regard, the adequacy model adopts a multivariate control approach to the individual risk factors, taking the risk of the customer’s portfolio, including the recommended investment product(s), as a reference.

Wealth risk management activities cover the entire distribution perimeter of the network of Group branches, the investment services operated by Banca Widiba and by MPS Capital Services.

For further details, please refer to “Operational risk” section in Part E of the Notes to the Consolidated Financial Statements.



Part F - Information on shareholders' equity



Section 1 - Shareholders' equity

The Bank pursues strategic objectives for the entire Group focused on quantitative and qualitative strengthening of capital, structural rebalancing of liquidity and achievement of sustainable profitability levels, compatible with the undertaken risks.

In this perspective, capital management, planning and allocation activities play a crucial role in ensuring compliance over time with the minimum capitalisation requirements set by the regulations and the supervisory authorities, as well as with the risk appetite level approved by the Group's strategic supervisory body.

For these purposes, as part of the Risk Appetite Framework (RAF), the target levels of capitalisation are estimated annually and capital is allocated to the business units according to their expected growth, return and estimated risk levels, verifying that the capital base is sufficient to ensure compliance with the minimum requirements: capital adequacy is also assessed from a forward-looking perspective and over a multi-year period, both under normal and stress conditions, taking into account both the regulatory provisions, aimed at complying with regulatory capital requirements, and the economic outlook, aimed at complying with managerial capital requirements intended to also protect against risks not covered by regulatory requirements. Analyses are carried out both at the Group level and of all individual legal entities subject to regulatory capital requirements. The Group uses methodologies for the correct measurement of profitability, based on risk, by adopting these indicators also within the RAF framework, with related monitoring and management of the total expected risk/return profile.

Monitoring of the achievement of objectives and compliance with minimum regulatory requirements is in any event carried out constantly throughout the year.

The formal corporate processes to which the RAF is applied at least on an annual basis are the Multi-Year Planning and Budgeting process, the Risk Appetite Statement and ICAAP. These processes are also consistent with the Recovery Plan process, in particular guaranteeing that the Recovery (RPI) indicators are included among the RAS (KRI) indicators and that the related threshold alerts are consistent.

The definitions of equity applied are those used in Supervisory Regulations: Common Equity Tier 1, Tier 1 and Capital; moreover, the RAPM metrics also include Invested Capital, i.e. the amount of Shareholders' equity needed to achieve Common Equity Tier 1 values, whether determined ex ante as target levels or realised ex post.

The Capital at Risk concepts used are the regulatory requirements and correspond to the risk weighted assets (RWA), determined on the basis of the rules set out in the supervisory regulations, and the internal capital, defined by the Group in line with the "Economic Outlook" provided for in the related ECB guidelines. Both measurements are used as part of RAPM metrics.

**B. Quantitative Information****B.1 Shareholders' Equity: breakdown**

Net equity items	Total 31 12 2022	Total 31 12 2021
1.Shareholders' equity	7,453,451	9,195,012
2. Share premium	-	-
3. Reserves	(221,406)	(4,487,801)
- retained earnings	(98,919)	(4,613,911)
a) Legal reserves	-	-
b) statutory reserve	-	-
c) Treasury shares	-	-
d) others	(98,919)	(4,613,911)
-others	(122,487)	126,110
4. Equity instruments	-	-
5. Treasury shares (-)	-	-
6. Valuation reserves	(4,151)	168,396
- Equity instruments measured at fair value through other comprehensive income	(10,674)	(12,984)
- Financial assets (other than equity instruments) measured at fair value through other comprehensive income	(120,485)	31,611
- Tangible assets	134,579	156,635
- Cash flow hedges	22,855	28,815
- Exchange difference	4,009	3,321
- Financial liabilities measured at fair value through profit and loss (changes in own credit worthiness)	14,153	19,198
- Actuarial gains (losses) on defined benefit plans	(48,594)	(58,200)
7. Profit (loss) for the year	(135,782)	151,005
Net equity	7,092,112	5,026,612



B.2 Valuation reserves for financial assets measured at fair value through other comprehensive income: breakdown

Asset/Amount	Total 31 12 2022		Total 31 12 2021	
	Positive Reserve	Negative Reserve	Positive Reserve	Negative Reserve
1. Debt securities	2,404	(122,889)	36,304	(4,692)
2. Equity instruments	13,772	(24,446)	11,177	(24,161)
4. Loans	-	-	-	-
Total	16,176	(147,335)	47,481	(28,853)

B.3 Valuation reserves for financial assets measured at fair value through other comprehensive income: annual changes

	31 12 2022		
	Debt securities	Equity instruments	Loans
1. Opening balance	31,612	(12,984)	-
2. Increases	1,289	4,369	-
2.1 Increases in fair value	362	1,352	-
2.2 Net losses (recoveries) on impairment	-	X	-
2.3 Reversal to profit and loss of negative reserves	-	X	-
2.4 Transfers to other component of equity (equity instruments)	-	457	-
2.5 Other increases	927	2,560	-
3. Decreases	153,385	2,059	-
3.1 Decreases in fair value	148,621	2,053	-
3.2 impairment provisions	-	-	-
3.3 Reversal to profit and loss of positive reserves: following disposal	3,837	X	-
3.4 Transfers to other component of equity	-	6	-
3.5 Other decreases	927	-	-
4. Closing balance	(120,484)	(10,674)	-

**B.4 Valuation reserves for defined benefit plans: annual changes**

	Internal funds	External funds	Provisions for employees severance pay	31 12 2022
Opening balance	(34,829)	(225)	(23,148)	(58,198)
Remeasurement of net defined benefit liability (asset):	653	-	8,979	9,630
Return on plan assets excluding interests	(1,157)	(43,463)	-	(44,620)
Actuarial gains (losses) arising from changes in demographic assumptions	(2,579)	(606)	(10)	(3,195)
Actuarially gains (losses) arising from experience adjustments	(7,687)	(10,336)	(3,013)	(21,036)
Actuarial gains (losses) arising from changes in financial assumptions	12,605	29,000	12,002	53,607
Changes in effect of limiting net defined benefit asset to asset ceiling	(529)	25,405	-	24,874
Gains (losses) on settlements	-	-	-	-
Others	(26)	-	-	(26)
Closing balance	(34,202)	(225)	(14,169)	(48,594)

Section 2 – Regulatory banking capital and ratios

See the information on own funds and capital adequacy contained in the public disclosure (Pillar 3).



Part G – Business combinations



Section 1 – Business combinations during the financial period

1.1 Business combinations

1.1.1 Transactions included in the scope of application of the international accounting standard IFRS 3 “Business combinations”

No business combinations, as defined by IFRS 3, were carried out in 2022.

Business combinations under common control

On 10 November 2022, the Board of Directors approved the project for the merger by incorporation of COG S.p.A. (formerly Consorzio Operativo Gruppo Montepaschi S.C.p.A.); the transaction was finalised on 5 December with accounting and fiscal effect as from 1 January 2022. This transaction is part of the broader process of streamlining the Group’s corporate and operational structure, simplifying the organisation, optimising and enhancing resources and reducing costs, in line with the 2022-2026 MPS Group Business Plan.

The transaction does not fall within the scope of IFRS 3 and, based on the provisions of Bank of Italy Circular 262/2005, is conventionally reported in this section. In the absence of a reference accounting standard, transactions “under common control” are accounted for in the Financial Statements of Group companies by adopting the principle of continuity of accounting figures, referring to the figures resulting from the Group’s Consolidated Financial Statements at the date of transfer of assets. The transactions had no impact on the Group’s financial and economic position. More information are available in the section on significant events during the financial year in the Consolidated Report on Operations.

Section 2 - Business combinations completed after the financial period

There are no transactions to report.

Section 3 – Retrospective adjustments

No retrospective adjustments are reported.



Part H – Related-party transactions



1 Compensation of key management personnel

Items/Amounts	Total	Total
	31 12 2022	31 12 2021
Short-term benefits	5,817	6,289
Termination benefits	194	1,098
Total compensation paid to key management personnel	6,011	7,387

In compliance with the instructions provided by accounting standard IAS 24 and in light of the current organisational structure, the Bank has opted for the disclosure scope to include not only the Directors, Statutory Auditors, the General Manager and the Deputy General Managers, but also other Key Management Personnel.

The information regarding remuneration policies is contained in the 'Remuneration Report pursuant to art. 123 ter of the Consolidated Law on Finance', available on the Bank's web site, which contains the following data:

- a detailed breakdown of compensation paid to the Administration and Control Bodies, General Managers and, in aggregate form, to Key Management Personnel;
- quantitative information on the remuneration of "Identified Staff";
- monetary incentive plans in favour of members of the Administration and Control Body, the General Managers, the Deputy General Managers and other Key Management Personnel;
- information on the equity investments of members of the Administration and Control Bodies, the General Managers and other Key Management Personnel.

In the 2022 financial year, there was 1 termination of employment of executive managers, for which an indemnity of EUR 0.2 mln was paid.

2 Related-party transactions

In compliance with the provisions of Consob Resolution no. 17221, 12 March 2010, last updated with the amendments made by Consob resolution no. 21624, 10 December 2020, which came into force on 1 July 2021, as well as art. 53 Consolidated Law on Banking (TUB) and its implementing provisions (Bank of Italy Circular 285/2013, Part Three, Chapter 11 "Risk assets and conflicts of interest with respect to associated parties"), the "Committee for Related-party Transactions" was established, composed of between three and five independent directors, carrying out the functions envisaged by the Articles of Association and the current legislative and regulatory provisions on transactions with related and associated parties.

The "Group Directive concerning Management of regulatory obligations on related parties, associated parties and obligations of bank representatives" (hereinafter the "Group Directive"), accompanied by the "Group Regulations concerning Management of regulatory obligations on related parties, associated parties and obligations of bank representatives" (hereinafter the "Group Regulations"), approved by the Bank's Board of Directors, with the prior favourable opinions of the Committee for Related Party Transactions and the Board of Statutory Auditors, contains the provisions and internal procedures on related parties, aligned with the provisions of the Consob Regulation in force as of 1 July 2021, which introduced, inter alia, a new definition of a related party and the need to define thresholds of small amounts differentiated at least in consideration of the nature of the counterparty. The Group Directive was most recently updated on 27 January 2022 for the purpose of implementing the additional obligations relating to loans granted to relevant parties pursuant to art. 88 of Directive 2013/36/EU.

The Group Directive defines the organisational model adopted by the MPS Group (principles and responsibilities) for the management process of the provisions applicable to related parties, associated parties and obligations of the bank representatives, and in particular, governs, at the MPS Group level, the principles and rules for the control of risks arising from situations of possible conflicts of interest with some subjects close to the decision making centres of the Bank.

Within the Group Directive, the following is also defined:

- the formulation of the responsibilities assigned within the MPS Group (tasks and responsibilities of the top management bodies and corporate functions of the Bank and Subsidiaries);



- the scope of the related parties, associated parties (“Group Scope”) and other subjects in a potential conflict of interest;
- the criteria for the identification of transactions, level of relevance of the transactions;
- the decision-making procedures and exemption cases;
- the internal policies in the area of control.

For the purpose of the Group Directive, significance is attributed to the transactions carried out with the subjects operating within the Group Scope which involve the performance of risk activities, the transfer of resources, services and obligations, regardless of the requirement of a consideration.

With regard to the type of transactions, these are classified in detail in the aforementioned Group Regulation, as:

- **“most significant transactions”**: transactions where at least one of the following relevance indicators, applicable according to the specific transaction, exceeds the 5% threshold (greater relevance threshold):
 - *countervalue significance indicator*: the ratio of the countervalue of the transaction to the total of the own funds resulting from the most recent published consolidated balance sheet;
 - *relevance index of the assets*: the ratio of the total assets of the entity to which the transaction refers, to the total assets of BMPS;
 - *relevance index of the liabilities*: the ratio of the total liabilities of the acquired entity to the total assets of BMPS;
- **“transactions of lesser significance”**: transactions for an amount greater than a small amount and up to the threshold of greater significance; in the context of transactions of lesser significance, transactions in which the amount exceeds EUR 100.0 mln and up to the threshold of greater significance (significance index of the equivalent value) are considered to be of lesser significance as a **“significant amount”**, or, in the case of acquisitions, mergers and demergers for an amount equal to or less than EUR 100.0 mln, the significance index of the assets and/or liabilities is equal to or greater than the ratio of EUR 100.0 mln and own funds at a consolidated level;
- **“transactions for a small amount”**: transactions for an amount equal to or less than EUR 250.0 thousand, in the event that the counterparty is a legal person; transactions for an amount equal to or less than EUR 100.0 thousand, in the event that the counterparty is a natural person.

The provisions and procedures applicable to transactions with related parties, in the versions in force at the time, are published on the website www.gruppompis.it in the section “Corporate Governance - Transactions with related parties”.

From 2016, the Bank’s Board of Directors formally resolved to approve inclusion of the Ministry of Economy and Finance (MEF) and of the relevant directly and indirectly controlled companies within the scope of related parties on a discretionary basis pursuant to the provisions of the Group Directive, excluding the prudential regulation.

Following completion of the Bank’s precautionary recapitalisation procedure, after which the MEF became the controlling shareholder from August 2017, the Bank received notification on 18 December 2017 from the Supervisory Authorities with regard to the methods for the resulting application of limits to risk assets laid out in prudential regulations, pursuant to art. 53 of the Consolidated Law on Banking (TUB) and its implementing provisions (Bank of Italy Circ. 263/06 Title V, Section 5), through application to the Bank of the “silo” approach for calculation of the reference limits.

With reference to the MEF scope, the Bank has availed itself of the exemption provided by paragraph 25 of IAS 24 on the disclosure of transactions and balances of existing transactions with government-related entities. The main transactions carried out with the MEF and its subsidiaries, in addition to financing transactions, include Italian government securities recorded in the portfolios “Financial assets measured at fair value through other comprehensive income” for a nominal amount of EUR 3,609.4 mln and “Financial assets measured at amortised cost” for a nominal amount of EUR 6,091.4 mln.

The most significant transactions in terms of amount carried out by the Bank in 2022 with related parties represented by subsidiaries of the MPS Group are detailed below. For a description of the most significant transactions carried out by the Bank with other related parties during the financial year, please refer to “Part H - Related-party transactions” in the Notes to the Consolidated Financial Statements.

Transactions with associates

During the first half of 2022, the Bank completed transactions for the transfer of credits and the issue of securities as part of the Covered Bond Issuance Programmes with the special purpose vehicles MPS COVERED BOND



S.r.l. and MPS COVERED BOND 2 S.r.l. In particular, a transfer was completed in favour of the special purpose vehicle MPS COVERED BOND S.r.l. (as part of the First Covered Bond Programme) pursuant to the resolution of the Bank's Board of Directors of 16 June 2022, which authorised the sale, in one or more tranches, to the First and/or Second Covered Bond Programme pursuant to Italian Law no. 130/99, of a portfolio of performing mortgage loans up to a maximum total amount of EUR 5,000.0 mln. The transfer involved a portfolio of performing residential mortgage loans for EUR 911.0 mln and the amount of the subordinated loan disbursed to the vehicle was increased, aimed at partially financing the payment of the sale price of the assets. Furthermore, again as part of the First Covered Bond Programme, the issue of fully retained securities was carried out on 4 February 2022 for EUR 750.0 mln; as part of the Second Covered Bond Programme, the following issues were made, also fully retained, on 17 February 2022 for EUR 750.0 mln and on 13 June 2022 for EUR 1,000 mln, respectively.

On 5 July 2022, the Bank, as part of the First Covered Bond Programme, carried out a fully retained covered bond issuance transaction in the amount of EUR 750.0 mln, through the sale and repurchase of securities with MPS CAPITAL SERVICES S.p.A. and the extension of the guarantee on the MPS COVERED BOND S.r.l. covered bond issue, based on the Board of Directors' resolution of 22 June 2022, which has approved the Group Funding Plan 2022.

On 18 July 2022, the Bank, as part of the Second Covered Bonds Programme, finalised a loan transfer in favour of the special purpose vehicle MPS COVERED BOND 2 S.r.l., pursuant to the resolution of the Board of Directors of 16 June 2022, which authorised the transfer, in one or more tranches, to the Banca MPS Covered Bonds Programmes (to the First and/or Second Covered Bonds Programme), pursuant to Italian Law 130/99, of a portfolio of performing mortgage loans up to a maximum total amount of EUR 5.0 bn. The transfer concerned a portfolio of performing residential and commercial mortgage loans for an amount of approximately EUR 996 mln.

Transactions entered into with MPS COVERED BOND S.r.l., MPS COVERED BOND 2 S.r.l. and MPS CAPITAL SERVICES S.p.A. fall within the scope of application of Consob Regulation No. 17221/2010 as these companies are subsidiaries of the Bank.

As regards securitisation transactions and covered bond programmes, see the specific information provided in the Notes to the Consolidated Financial Statements - Part E - Information on risks and hedging policies.

Finally, on 2 December 2022, in execution of the resolutions passed on 10 November 2022, respectively by the Board of Directors of BANCA MONTE DEI PASCHI DI SIENA S.p.A., pursuant to art. 2505 paragraph 2 of the Italian Civil Code and art. 17 paragraph 1 of the Articles of Association of BMPS, and by the Extraordinary Shareholders' Meeting of CONSORZIO OPERATIVO GRUPPO MONTEPASCHI S.C.p.A., the deed of merger relating to the merger by incorporation of COG into BMPS was finalised, subject to the effectiveness of the merger of COG into a joint-stock company, with civil law effects as of 5 December 2022, and accounting and tax effects as of 1 January 2022. The transaction falls within the scope of application of Consob Regulation no. 17221/2010, as COG, an incorporated company, was wholly owned by BMPS at the time of the merger.

The following tables summarise the relationships and financial effects of transactions carried out in the financial year with subsidiary and associate companies, key management personnel and other related parties.

The "MEF Scope" column highlights the balances⁸⁴ of the balance sheet and income statement items as at 31 December 2022 relating to the transactions carried out with the MEF and the companies controlled by the MEF, namely direct or indirect subsidiaries of the MEF and their associates.

⁸⁴ The criteria to fill out the two tables are different from those of the European Securities and Markets Authority (ESMA) used for the table "Exposure to sovereign debt risk".



2.a Related-party transactions: balance sheet items

	Value as at 31 12 2022							
	Subsidiaries	joint venture	Associated companies	Executives with strategic responsibility	other related parties	MEF Scope	Total	% FS items
Current accounts and demand deposits with banks	1,910,317	-	-	-	-	-	1,910,317	96.24%
Financial assets held for trading	419,078	-	-	-	-	747	419,825	70.25%
Financial assets measured mandatorily at fair value	-	-	4,500	-	-	32,159	36,659	9.90%
Financial assets measured at fair value through other comprehensive income	-	-	-	-	-	3,447,251	3,447,251	83.40%
Loans to banks measured at amortised cost	15,511,085	-	-	-	-	-	15,511,085	85.79%
Loans to customers measured at amortised cost	1,152,785	69,745	62,503	2,415	2,192	6,792,185	8,081,825	11.39%
Other assets	47,563	-	-	-	-	776,536	824,099	37.44%
Total assets	19,040,828	69,745	67,003	2,415	2,192	11,048,878	30,231,061	
Financial liabilities measured at amortised cost	5,387,024	5,430	174,465	2,150	20,176	2,438,126	8,027,371	7.81%
Financial liabilities held for trading	213,526	-	-	-	-	3,015	216,541	37.25%
Financial liabilities designated at fair value	27,262	-	-	-	-	-	27,262	21.93%
Other liabilities	502,331	227	1,176	1	54	12,706	516,495	15.94%
Total liabilities	6,130,143	5,657	175,641	2,151	20,230	2,453,847	8,787,669	
Guarantees issued and Commitments	533,138	23,417	26,547	248	158	1,965,515	2,549,023	n.a.

2.b Related-party transactions: income statement items

	Value as at 31 12 2022							
	Subsidiaries	joint venture	Associated companies	Executives with strategic responsibility	other related parties	MEF Scope	Total	% FS items
Interest income and similar revenues	146,610	1,982	435	30	31	140,311	289,399	15.04%
Interest costs and similar charges	(110,279)	(8)	(487)	(5)	(99)	(9,517)	(120,395)	18.47%
Fee and commission income	24,377	140	198,167	15	12	192,556	415,267	29.05%
Fee and commission expense	(2,228)	-	(459)	(1)	(1)	(28,698)	(31,387)	22.58%
Net profit (loss) from financial assets and liabilities measured at fair value through other comprehensive income	-	-	450	-	-	12,111	12,561	25.59%
Net adjustments/impairments	2,247	2,814	(3)	(1)	(1)	(3,656)	1,400	0.24%
Dividend	93	-	107,267	-	-	11,798	119,158	92.59%
Operating costs	46,305	(3)	(2,418)	(5,785)	4	(20,419)	17,684	n.m.

For the list of subsidiaries and companies subject to significant joint control as at 31 December 2022, see the tables of the Notes to the Financial Statements - Part B - Information on the balance sheet – Section 7. The securitisation transactions are described in Part E of the Notes to the Financial Statements.



Intragroup transactions mainly regarded:

- financial support from the Bank to other companies, in the form of deposits (MPS CS, MPS L&F and Widiba) and repurchase agreements (MPS CS);
- structured finance transactions through the subsidiary MPS Capital Services S.p.A.;
- outsourcing services related to the auxiliary activities provided by the Bank (administrative services and property administration and IT services).

With regard to the balances shown in Table 2.b “Related-party transactions: income statement items” shown above, please note the following:

- commission income from subsidiaries mainly derives from financial services provided within the framework agreement entered into by MPS Capital Services with the Bank and under agreements entered into with MPS L&F and MP Fiduciaria; commission income from associates refers almost entirely to the insurance investees Axa MPS Assicurazioni Vita S.p.A. and Axa MPS Assicurazioni Danni S.p.A.;
- net profit (loss) on other assets and liabilities measured at fair value through profit or loss refers to capital gains on units of the Fondo PMI Italia II for EUR 0.4 mln;
- net impairment (losses)/reversals for credit risk include reversals on subsidiaries for EUR 2.2 mln;
- dividends on subsidiaries relate to G.Imm.Astor; dividends on associated companies relate to Axa MPS Assicurazioni Danni S.p.A., Axa MPS Assicurazioni Vita S.p.A and Fondo Etrusco;
- operating costs relating to subsidiaries include expenses for services provided by MPS Group companies, from which costs related to services provided by Consorzio Operativo Gruppo MPS S.p.A. were reversed following the merger in 2022, net of recoveries of costs of seconded personnel and rental income for leased properties; as regards associates, these costs are mainly represented by insurance costs incurred with the investees Axa MPS Assicurazioni Vita S.p.A. and Axa MPS Assicurazioni Danni S.p.A.

With regard to the MEF scope, note the following:

- financial assets mainly consist of government bonds, which generated interest income for EUR 116.3 mln;
- the other assets consist of tax credits held by the Bank on the tax authorities for various reasons as a result of the measures introduced by various legal provisions, of which EUR 738 mln due to tax credits for construction subsidies purchased by the Bank, which boosted net interest income by EUR 14.6 mln;
- Fee and commission expenses consist almost entirely of commissions paid to Nexi S.p.A.; fee and commission income mainly refer to the distribution contract with Anima (associate in the MEF scope);
- profit (loss) from other assets and liabilities measured at fair value through profit or loss mainly relate to capital gains on units of the Fondo Italiano di Investimento;
- net write-downs/write-backs for credit risk concern write-backs on loans with the counterparty Gruppo PSC S.p.A. for EUR 4.0 mln;
- dividends are mainly attributable to the distributions of Fondo Italiano d’Investimento;
- operating costs are almost entirely attributable to postage and shipping costs.



Part I - Share-based payments agreement



Qualitative Information

Description of share-based payment agreements

To pursue the objective of encouraging alignments of the interests of management with those of shareholders, Supervisory Provisions on pay and incentive policies and practices establish that at least 50% of variable remuneration provided to “identified staff” should be paid in the form of shares or associated financial instruments over a period of at least 4 years. “Variable remuneration” refers to both variable components linked to the performance or other parameters and amounts paid as incentives for the early termination of the employment relationship exceeding the amount due by law (“severance”).

In accordance with the aforementioned regulatory provisions, the Montepaschi Group has adopted in the financial years 2017, 2020 and 2021, Annual Performance Shares Plans and in the financial years 2018 and 2019, Annual Treasury Shares Plans. In the session of 12 April 2022, the Shareholders’ Meeting of the Bank approved a Performance Shares Plan for 2022, designated exclusively to the payment of any severance for personnel of the Montepaschi Group. The contents and the operating procedures of these plans are included in the “Remuneration policies” posted on the web site of the Bank <https://www.gruppomps.it/corporate-governance/assemblee-azionisti/archivio-assemblee.html>. In addition, at its meeting of 8 March 2023, the Bank’s Board of Directors has approved the use of Phantom Shares for the financial year 2023, for the payment of part of any variable annual remuneration accrued against the achievement of previously assigned targets (the so-called “2023 Incentive System”) and of any amounts to be paid as an incentive for the early termination of employment of for early termination of office (severance) in favour of Montepaschi Group’s identified staff.

The correspondence of the performance shares for the Plans up to 2017 and for Plans from 2020, as well as the allocation of Phantom Shares for the 2023 Plan, do not require the material assignment of shares, but rather the payment of an amount pegged to the share value reported over time, for accounting purposes it is considered a cash settled share based payment pursuant to IFRS 2 “Share-based payments”. The liabilities corresponding to the amounts to be recognised will be paid off in cash and recorded at the end of the service period; in the case of amount recognised as severance, our upon the achievement of performance objectives, in case of amounts recognised under incentive system; the total amount will depend on the price of the instruments representative of the capital (performance shares) valued with regard to the fair value of the shares of the Bank assigned from year to year and the value of the Bank’s shares.

The 2018 and 2019 plans, providing for the assignment of shares of the Bank at the accrual time of the vesting conditions, fall within the scope of the application of the IFRS 2 accounting standard as equity settled share-based payments, in the context of which instruments representative of the capital are attributed as an offsetting entry to an equity reserve. Within this scope, the severance cost set forth in the Plans and the corresponding increase in net equity are measured at the fair value of the shares that will be assigned.

The fair value of the Performance Shares and of the treasury shares assigned is determined - pursuant to art. 9, paragraph 4 of the Income Tax Act (TUIR) - on the basis of the arithmetic average of the MPS share prices reported in the thirty days leading up to the assignment date.



Quantitative Information

As for the 2016 Plan, of the original 32,806 deferred performance shares, 401 of them were paid out during 2022. Therefore, following both the liquidations and demergers

that have occurred to date, and the regrouping of the BMPS share in the ratio of 100 to 1, which took place with the resolution of the Shareholders' Meeting of 15 September 2022, there remain 119 Performance Shares that will be liquidated in accordance with the provisions of the Plan, in compliance with applicable internal and external regulations.

With reference to the plans approved from 2017 to 2019 and the plans approved in 2020, 2021 and 2022, no amount is recognised as at the reporting date of these financial statements as neither equity instruments nor shares have been granted due to the failure to meet accrual conditions.



Part L – Segment reporting

In line with the provisions of IFRS 8, par. 4, the Bank prepares this segment reporting at Group level in the Notes to the Consolidated Financial Statements, to which reference is made.



Part M – Leasing Information



Section 1 - Lessee

Qualitative Information

In the capacity of lessee, the Bank stipulates leasing agreements of properties to be primarily used for business. Therefore, these leased properties are used as branches and as spaces intended to accommodate ATMs or internal offices.

The leasing activity also includes the stipulation of leasing agreements related to residential property used by employees during transfers to other work locations.

In reality, the leasing activities of the Bank is also aimed at the need to relocate branches and offices. Particular attention is paid to the identification of the properties that are more suitable for the intended use, in line with the cost effectiveness criteria set forth by the company.

As at 31 December 2022, the Bank had approximately 1,122 contracts in place in the capacity of lessee.

In addition, the Bank has:

- leases relating to vehicles mainly refer to long-term leases of company cars and cars given as a fringe benefit to employees.
- a contract on electronic equipment, relating to the rental of electronic equipment such as mobile telephones and hardware machines as a result of the merger of the Consorzio Operativo Gruppo MPS.

In view of the marginal relevance of the afore-mentioned lease agreements with respect to the total values of the assets consisting of rights of use recognised in the Financial Statements pursuant to IFRS 16, no further disclosure is provided on these contract categories.

The Bank is not usually exposed to cash outflows not included in the lease liability. The exposures deriving from extension options are included in the lease liabilities since, in order to provide business continuity to the Branch offices, the Bank considers the first renewal to be certain, except in special cases. The rent due on the leases is updated in line with ISTAT data. No contracts entered into as lessee falls into the other categories referred to in the standard (residual value guarantees, commitments on leases not yet operational).

During 2022, no new sale and leaseback transactions, the purpose of which in any case is to allow the Bank units housed in the properties concerned to continue to use them, were completed.

The Bank recognises as costs:

- short-term leases in the case of assets such as properties and technologies (in particular in reference with the mainframe hardware module) when the related contracts have a maximum term of twelve months and do not provide for any extension options.
- the leasing of assets of a modest value, i.e. characterised by a value that is under five thousand euro, related mainly to cell phones.

Quantitative Information

The following table shows amortisation costs for the assets comprising the right of use, broken down by the underlying asset class.

Items	31 12 2022	31 12 2021
Depreciations on right of Use acquired through leasing	44,678	40,441
a) land	-	-
b) buildings	38,290	39,265
c) furniture and furnishings	-	-
d) electronic systems	5,146	-
e) other	1,242	1,176



Section 2 - Lessor

Qualitative Information

The Bank executes, in its capacity as the lessor, leasing contracts of properties for business and residential use. The properties for business use are leased to both third parties and to intragroup companies. In the latter case, the properties and spaces occupied by the administrative offices of the companies of the Group are the subject matter of these contracts.

As regards the properties for residential use, these are primarily owned flats leased to third parties. The contracts for residential use have generally a duration of 4+4 years, the ones for business use a duration of 6+6 years.

The leasing contracts executed as lessor are protected by a deposit paid by the lessee, as set forth in the applicable laws. This amount can be used to repair any damage that the tenant may cause.

In addition to this, the Bank does not apply any specific contractual clause regarding the management of any risk associated with the rights held on the underlying assets.

Quantitative Information

1. Information on the balance sheet and income statement

For information on assets transferred under operating leasing, see tables 8.1 and 8.6 of Section 8, Part B, Assets; for information on other operating income, see table 14.2 in Section 14, Part C.

2. Finance leases

The Bank does not have any finance leases in place.

3. Operating leases

3.1 Classification by time bands of payments to be received

Time bands	Year	31 12 2022
		Total lease payments receivable (excluding VAT)
Up to 1 year	2022	8,699
from 1 to 2 years	2023	8,609
from 2 to 3 years	2024	8,998
from 3 to 4 years	2025	9,472
from 4 to 5 years	2026	9,746
over 5 years	from 2027	53,588
Total		99,112

The table shows the classification by time bands of payments to be received for the leasing. The amount of payments shown are not actualised.

3.2. Other information

No other information to report.



CERTIFICATION OF THE SEPARATE FINANCIAL STATEMENTS PURSUANT TO ART. 81-TER OF CONSOB REGULATION NO. 11971 OF 14 MAY 1999, AS SUBSEQUENTLY AMENDED AND SUPPLEMENTED

1. The undersigned, Luigi Lovaglio, as Chief Executive Officer, and Nicola Massimo Clarelli, as Financial Reporting Officer of Banca Monte dei Paschi di Siena S.p.A., also having regard to art. 154-bis, paragraphs 3 and 4 of Italian Legislative Decree no. 58 of 24 February 1998, do hereby certify the:
 - appropriateness with respect to the company's profile, and
 - effective application of the administrative and accounting procedures used in the preparation of the separate financial statements for fiscal year 2022.
2. The verification of the adequacy and effective application of administrative and accounting procedures for the preparation of the separate financial statements during 2022 was based on methods defined by the MPS Group in line with the COSO model, and for the IT component, COBIT, which constitute the reference framework for the internal control system generally accepted internationally.
3. It is also certified that:
 - 3.1 the separate financial statements:
 - were prepared in accordance with the international accounting standards recognised by the European Union pursuant to European Parliament and Council Regulation No. 1606/2002 of 19 July 2002;
 - are consistent with the underlying documentary evidence and accounting records;
 - are suitable to provide a true and fair representation of the capital, economic and financial situation of the issuer.
 - 3.2 the Report on Operations includes a reliable analysis of the trends and results of operations as well as of the position of the issuer, together with a description of the main risks and uncertainties to which it is exposed.

Siena, 8 March 2023

Signed by
On behalf of the Board of Director
The Chief Executive Officer
Luigi Lovaglio

Signed by
The Financial Reporting
Officer
Nicola Massimo Clarelli



Independent Auditors' report on the financial statements



Independent auditor's report

in accordance with article 14 of Legislative Decree No. 39 of 27 January 2010 and article 10 of Regulation (EU) No. 537/2014

To the Shareholders of
Banca Monte dei Paschi di Siena SpA

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of Banca Monte dei Paschi di Siena SpA (the "Bank"), which comprise the balance sheet as of 31 December 2022, the income statement, the statement of comprehensive income, the statement of changes in equity, the cash flow statement for the year then ended, and the notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the financial statements give a true and fair view of the financial position of the Bank as of 31 December 2022, and of the results of its operations and cash flows for the year then ended in accordance with International Financial Reporting Standards as adopted by the European Union, as well as with the regulations issued to implement article 9 of Legislative Decree No. 38/2005 and article 43 of Legislative Decree No. 136/2015.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISA Italia). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of this report. We are independent of the Bank pursuant to the regulations and standards on ethics and independence applicable to audits of financial statements under Italian law. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

PricewaterhouseCoopers SpA

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<i>Key Audit Matters</i>	<i>Auditing procedures performed in response to key audit matters</i>
Assessment of the appropriateness of the going concern assumption <i>Notes to the financial statements: Part A – Accounting policies; Section 2 – General accounting standards, Going concern</i> The directors considered that the Bank has a reasonable expectation that it will continue to operate as a going concern in the foreseeable future and, therefore, deemed it appropriate to use the going concern assumption in preparing the separate financial statements as at 31 December 2022. The assessment of the appropriateness of the going concern assumption, carried out by the directors, was essentially based on the prospective evolution of the Bank’s capital and liquidity position over a time span of at least 12 months. The directors expect that no capital shortfalls will emerge within the going concern assessment time horizon, in line with the 2022-2026 Business Plan, approved by the Bank’s Board of Directors on 22 June 2022 (the “Plan”) and expect the liquidity position to remain strong. The successful conclusion of the capital increase transaction of the Bank for Euro 2.5 billion, which occurred on 4 November 2022, allowed the directors to overcome the material uncertainty concerning the Bank’s capital strengthening, which had generated significant doubts on the going concern assumption as stated in the financial reports up to the half-yearly financial report as at 30 June 2022. The understanding and the analysis of the assessment made by the directors in overcoming of the abovementioned material uncertainty and the consequent appropriateness of the use of the going concern assumption constitute a key audit matter.	As part of our audit process, we carried out procedures aimed at understanding the assessment made by the directors, as well as acquiring and examining the related evidence available on the existence of the going concern assumption used to prepare the financial statements over the time horizon considered by the directors. In particular, in order to address this key audit matter, the following main activities were performed also with the support of PwC network experts: • analysis of the assessment carried out by management on the Bank’s ability to continue to operate as a going concern; • obtainment and analysis of evidence related to the conclusion of the capital increase transaction of the Bank for Euro 2.5 billion; • obtainment and analysis of evidence related to the commitments undertaken by the Italian Government as part of the 2017-2021 Restructuring Plan under regulations on State Aids as redefined by the subsequent provisions of the Directorate General for Competition (“DG COMP”); • analysis and understanding of the reasonableness, also through discussion with management, of the main hypotheses and assumptions underlying the Plan and its state of progress; • discussions with the representatives of the Joint Supervisory Team of the European Central Bank, management and the Board of Statutory Auditors; • critical reading of the minutes of the corporate governance bodies and the correspondence with the Supervisory Authorities; • performance of audit procedures on subsequent events; • acquisition of specific written representations from management; • critical examination of the information disclosed by the directors of the compliance and adequacy of such information with respect

Key Audit Matters	Auditing procedures performed in response to key audit matters
Valuation of loans to customers measured at amortised cost <i>Notes to the financial statements:</i> <i>Part A – Accounting policies;</i> <i>Part B – Information on the balance sheet,</i> <i>Section 4 – Financial assets measured at amortised cost;</i> <i>Part C – Information on the income statement,</i> <i>Section 8 – Net impairment (losses) /reversals for credit risk;</i> <i>Part E – Information on risks and hedging policies, Section 1 – Credit risk.</i> Loans to customers as at 31 December 2022 represent the predominant part of line item 40 b) “Financial assets measured at amortised cost – loans to customers” which shows a balance equal to Euro 70,927 million, corresponding to 61 per cent of the total assets of the financial statements. Net impairment losses on loans to customers recognised in the year amounted to Euro 353 million (line item 130 a) in the income statement). Special attention was paid to the valuation of the above-said loans as part of the audit because of the materiality of the value of loans in relation to the financial statements, as a whole, as well as because the related impairment losses consist of estimates made by the directors which incorporate elements of subjectivity and complexity related to the complex valuation processes, methods and assumptions utilised. The use of significant assumptions in the estimation processes specifically regards, beside the verification of the significant	to the elements considered by them in assessing the Bank’s ability to continue to operate as a going concern and to those acquired by us. In performing the audit, we considered the internal control system relevant to the preparation of the financial statements in order to design audit procedures that were appropriate in the circumstances. In this respect, we also considered the integration and update of the methods already in use to assess the loan portfolio (management overlays) in order to consider any potential worsening of the credit risk linked to the impacts from COVID-19, the Russian conflict in Ukraine and the current and future economic and financial risks. In order to address this key audit matter, the following main activities were performed also with the support of PwC network experts: • understanding, evaluation and verification of the operating effectiveness of relevant controls over the IT systems and applications used; • understanding and evaluation of the design of relevant controls as part of the monitoring, classification and valuation of loans and testing of the operating effectiveness of such controls; • understanding and verification of the appropriateness of policies, procedures and models used to measure the significant increase in credit risk, for the allocation of the portfolios to the various risk stages and for measuring the expected loss both on an individual and collective basis, taking also into account the results of back-testing implemented by the Bank and the information that emerged during the recent investigation on the credit risk carried out by the

<i>Key Audit Matters</i>	<i>Auditing procedures performed in response to key audit matters</i>
increase in credit risk for the allocation of the portfolios to the various risk stages, the determination of parameters feeding the models to calculate the expected loss on a collective basis and, for loans being assessed on an individual basis, for the estimation of the expected future cash flows, of the related timing and realisable value of the underlying guarantees, if any. Furthermore, for the current year these estimation processes were far more complex following the integration and update of the methods already in use for the valuation of the loan portfolio (management overlays), which were necessary in order to take into account any potential worsening of the credit risk linked to the impacts from COVID-19, the Russian conflict in Ukraine and the current and future economic and financial risks. These circumstances entailed, as pointed out in the notices and recommendations of the Supervisory Authorities and the International Accounting Standard Setters, the review of the processes and methods to measure loans, with reference to both the determination of the significant increase in credit risks and to the determination of the main variables and parameters feeding the calculation models of the expected loss on a collective basis.	Supervisory Authority; • understanding and verification of the methods to determine the main estimation parameters in the context of the models used to measure the expected loss on a collective basis, taking into account the adjustments made during the year to the models already used. Specifically, we verified the reasonableness of the estimates related to the update of the expected macroeconomic scenarios and the weighing of such scenarios, performed in order to consider any potential worsening of the credit risk linked to impacts from COVID-19, the Russian conflict in Ukraine and the current and future economic and financial risks; • verification, on a sample basis, of the reasonableness of the classification among performing loans (stage 1 and stage 2) and non-performing loans (stage 3) based on the available information on the status of the borrower and other pieces of information available, including external ones; • verification of the correct application of the measurement criteria established for loans classified as performing (stage 1 and stage 2), of the completeness and accuracy of the model input data used to determine the expected loss on a collective basis; • with specific regard to non-performing loans (stage 3), taking into account the financial statement classification according to the categories under the applicable regulatory framework and the currently assumed recovery scenarios (sale or internal recovery), for loans assessed on an individual basis, we checked, on a sample basis, the reasonableness of the assumptions made to estimate the expected credit loss with particular reference to the identification and quantification of the expected future cash flows from the recovery activities, to the evaluation of the guarantees backing these exposures and to the estimate of the recovery times; • for non-performing loans valued on a collective basis, we verified the correct determination of the main estimation

<i>Key Audit Matters</i>	<i>Auditing procedures performed in response to key audit matters</i>
	parameters within the model used, as well as the completeness and accuracy of the model input data; • benchmark analysis procedures on the customer loan portfolio and related coverage levels and analysis of the most significant fluctuations, taking into consideration loss forecasts within and outside the Bank (such as the Stability Report of the Bank of Italy) and discussing the most significant changes and the elements characterizing the loan portfolio with the management; • critical reading of the minutes of the corporate governance bodies and the correspondence with the Supervisory Authorities; • performance of audit procedures on subsequent events; • acquisition of specific written representations from management; • check of the completeness and adequacy of the disclosures provided in accordance with the provisions of international accounting standards, the applicable regulatory framework, as well as with the notices and recommendations issued by the Supervisory Authorities and the International Accounting Standard Setters in the wake of the Covid-19 pandemic, the Russian conflict in Ukraine and the uncertainty of the macroeconomic scenarios.

Evaluation of legal risks

Notes to the financial statements:

Part A – Accounting policies;

Part B – Information on the balance sheet,

Section 10 – Provisions for risks and charges;

Part C – Information on the income statement,

Section 11 – Net provisions for risks and charges;

Part E – Information on risks and hedging policies, Section 5 – Operational risks.

The Bank is exposed to significant civil disputes, to the effects of the rulings due to criminal proceedings and to out-of-court claims, with reference to the financial information publicly disseminated in the

In performing the audit, we considered the internal control system relevant to the preparation of the financial statements in order to design audit procedures that were appropriate in the circumstances.

In order to address this key audit matter, the following main activities were performed also with the support of PwC network experts:

- understanding and assessment of the design of relevant controls implemented by the Bank in relation to the assessment of legal risks and verification of the operating effectiveness of

Key Audit Matters	Auditing procedures performed in response to key audit matters
period from 2008 to 2015, as well as to risks linked to representations and warranties given in the disposal and demerger of non-performing loans. Net provisions for risks and charges amounted in the year to positive Euro 33 million (line item 170 b) in the income statement) of which Euro 312 million related to new provisions in the year and Euro 345 million related to reversals. The evaluation process of these legal risks that the Bank performed with the support also of its legal counsels and other external experts, with particular reference to provisions related to civil and criminal disputes and out-of-court claims deriving from information publicly disseminated in the period from 2008-2015, as well as the provisions linked to representations and warranties given in the disposal and demerger of non-performing loans, is considered a key audit matter, for the aggregate high value of these risks, as well as because estimating the associated charges requires management to make use of estimates marked by a high degree of subjectivity.	such controls; • obtainment and analysis of the written confirmation from the Bank's legal advisors about their considerations on the evolution of the pending lawsuits, the possibility of loss, as well as the main information used; • analysis of the reasonableness of the directors' assumptions for estimating provisions and reversals made, in addition to the methods and conclusions included in the reports prepared by the Bank's external experts; • performance of validity procedures on the completeness and accuracy of the data used to determine the provisions for risks and charges; • critical reading of the minutes of the corporate governance bodies and the correspondence with the Supervisory Authorities; • performance of audit procedures on subsequent events; • acquisition of specific written representations from management; • verification of the completeness and adequacy of disclosures connected with the key audit matter in question, with reference also to the requirements of the applicable accounting standards.
Recoverability of deferred tax assets	
<i>Notes to the financial standards:</i> <i>Part A – Accounting policies;</i> <i>Part B – Information on the balance sheet,</i> <i>Section 10 – Tax assets and tax liabilities;</i> <i>Part C – Information on the income statement,</i> <i>Section 19 – Tax (expense) recovery on income from continuing operations.</i> As of 31 December 2022, the Bank recorded Euro 819 million in the asset line item 110 "Tax assets" for net deferred tax assets ("DTA") related to tax losses that cannot be converted into tax credits and other deductible temporary differences, whose recoverability depends on the availability of taxable income in the future. Taxes for the year amount to a positive value of Euro 451 million (line item 270 in the income	In performing the audit, we considered the internal control system relevant to the preparation of the financial statements in order to design audit procedures that were appropriate in the circumstances. Specifically, in order to address this key audit matter, the following main activities were performed also with the support of PwC network experts: • understanding and evaluation of the process and methodology adopted by the directors to carry out the probability test; • check of the consistency of the methodology adopted with the provisions of the applicable international financial reporting standard, taking into account professional practices, as

<i>Key Audit Matters</i>	<i>Auditing procedures performed in response to key audit matters</i>
statement) mainly related to the effect of the DTA assessment. The assessment of the recoverability of these assets is a key audit matter because they are significant in value with respect of the financial statements, taken as a whole, and because their valuation is based on an estimation process (probability test), which entails using assumptions and parameters presenting a high degree of subjectivity. Specifically, the aforesaid estimation process relies on prospective balance sheet and P&L projections of the Bank, consistent with the 2022-2026 Group Business Plan approved by the Board of Directors of the Bank on 22 June 2022, which include valuation assumptions such as (i) the determination of taxable income that is expected to be realised in the time-period considered for the DTA recovery, (ii) the growth rates used for the projection of future taxable income and the probability that there will be future taxable income, (iii) the extent of the foreseeable time-period for the recovery of DTAs, (iv) the correct interpretation of the applicable tax legislation.	well as the notices and recommendations of the Supervisory Authorities and International Accounting Standard Setters; • assessment, including through a check of external data, where available, of the reasonableness of the main qualitative and quantitative assumptions (revenue flows, discount and growth rates) and of the different types of deductible temporary differences based on the applicable tax legislation, used to prepare the probability test; • analysis of the reasonable use of the Bank's prospective balance sheet and P&L projections used and verification of the compliance with the 2022-2026 Group Business Plan; • verification of the mathematical accuracy of calculations underlying the probability test and the correctness of the calculations performed; • critical reading of the minutes of the corporate governance bodies and the correspondence with the Supervisory Authorities; • acquisition of specific written representations from management; • check of the completeness and adequacy of disclosures provided by the directors in the notes to the financial statements in accordance with IFRS requirements and the applicable regulatory framework, as well as with the notices and recommendations issued by the Supervisory Authorities and the International Accounting Standard Setters.

Activation of the Solidarity Fund

Notes to the financial statements:

Part A – Accounting policies;

Part B – Information on the balance sheet,

Section 8 – Other liabilities;

Part C – Information on the income statement,

Section 10- Administrative expenses.

As at 31 December 2022 the Bank recognised costs equal to Euro 906 million within item 160

a) of the income statement “Personnel expenses” in relation to the agreement signed with the trade unions on 4 August 2022, almost entirely related to the activation of the “Solidarity Fund for professional reconversion

In performing the audit, we considered the internal control system relevant to the preparation of the financial statements in order to design audit procedures that were appropriate in the circumstances.

Specifically, in order to address this key audit matter, the following main activities were performed also with the support of PwC network experts:

- obtainment and analysis of the agreement signed between the Bank and the trade unions on 4 August 2022;
- understanding and assessment of the process and method adopted by the directors to

<i>Key Audit Matters</i>	<i>Auditing procedures performed in response to key audit matters</i>
and retraining, employment and income support of personnel in the credit sector” (“Solidarity Fund”). The activation of the Solidarity Fund is a key audit matter as it represents a significant event that occurred during the year on account of the considerable number of employees involved as well as the economic effects arising therefrom.	determine the cost for the activation of the Solidarity Fund; • understanding and analysis of the methods to account for the related cost; • performance of validity procedures on the completeness of the employee population used by the directors to calculate the cost; • examination, on a sample basis, of the employees’ applications for the Solidarity Fund; • analysis, on a sample basis, of the main factors used to determine the cost for financing the Solidarity Fund and recalculation, again on a sample basis, of the amount thereof; • request for external confirmation, on a sample basis, from the Italian Social Security Institution (<i>Istituto Nazionale della Previdenza Sociale</i> - INPS) regarding certain information utilized by the directors to determine the cost; • performance of audit procedures on subsequent events, including the comparison between the requests for payment of the extraordinary allowance relating to the Solidarity Fund obtained from INPS for a portion of employees after the year-end, and the amount calculated by the directors; • acquisition of specific written representations from the Bank management; • check of the completeness and adequacy of the disclosures provided in accordance with IFRS requirements.

Responsibilities of the Directors and the Board of Statutory Auditors for the Financial Statements

The directors are responsible for the preparation of financial statements that give a true and fair view in accordance with International Financial Reporting Standards as adopted by the European Union, as well as with the regulations issued to implement article 9 of Legislative Decree No. 38/2005 and article 43 of Legislative Decree No. 136/2015 and, in the terms prescribed by law, for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

The directors are responsible for assessing the Bank's ability to continue as a going concern and, in preparing the financial statements, for the appropriate application of the going concern basis of accounting, and for disclosing matters related to going concern. In preparing the financial statements, the directors use the going concern basis of accounting unless they either intend to liquidate the Bank or to cease operations, or have no realistic alternative but to do so.

The board of statutory auditors is responsible for overseeing, in the terms prescribed by law, the Bank's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with International Standards on Auditing (ISA Italia) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.

As part of our audit conducted in accordance with International Standards on Auditing (ISA Italia), we exercised professional judgement and maintained professional scepticism throughout the audit. Furthermore:

- We identified and assessed the risks of material misstatement of the financial statements, whether due to fraud or error; we designed and performed audit procedures responsive to those risks; we obtained audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control;
- We obtained an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Bank's internal control;
- We evaluated the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors;
- We concluded on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Bank's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if



such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Bank to cease to continue as a going concern;

- We evaluated the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicated with those charged with governance, identified at an appropriate level as required by ISA Italia regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identified during our audit.

We also provided those charged with governance with a statement that we complied with the regulations and standards on ethics and independence applicable under Italian law and communicated with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate the related risks, or safeguards applied.

From the matters communicated with those charged with governance, we determined those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We described these matters in our auditor's report.



Additional Disclosures required by Article 10 of Regulation (EU) No. 537/2014

On 11 April 2019, the Shareholders of Banca Monte dei Paschi di Siena SpA in general meeting engaged us to perform the legal audit of the stand-alone and the consolidated financial statements for the years ending 31 December 2020 to 31 December 2028.

We declare that we did not provide any prohibited non-audit services referred to in article 5, paragraph 1, of Regulation (EU) No. 537/2014 and that we remained independent of the Bank in conducting the statutory audit.

We confirm that the opinion on the financial statements expressed in this report is consistent with the additional report to the board of statutory auditors, in its capacity as audit committee, prepared pursuant to article 11 of the aforementioned Regulation.

Report on Compliance with other Laws and Regulations

Opinion on compliance with the provisions of Commission Delegated Regulation (EU) 2019/815

The directors of Banca Monte dei Paschi di Siena SpA are responsible for the application of the provisions of Commission Delegated Regulation (EU) 2019/815 concerning regulatory technical standards on the specification of a single electronic reporting format (ESEF - European Single Electronic Format) (hereinafter, the “Commission Delegated Regulation”) to the financial statements as of 31 December 2022, to be included in the annual report.

We have performed the procedures specified in auditing standard (SA Italia) No. 700B in order to express an opinion on the compliance of the financial statements with the provisions of the Commission Delegated Regulation.

In our opinion, the financial statements as of 31 December 2022 have been prepared in the XHTML format in compliance with the provisions of the Commission Delegated Regulation.



Opinion in accordance with Article 14, paragraph 2, letter e), of Legislative Decree No. 39/10 and Article 123-bis, paragraph 4, of Legislative Decree No. 58/1998

The directors of Banca Monte dei Paschi di Siena SpA are responsible for preparing a report on operations and a report on the corporate governance and ownership structure of Banca Monte dei Paschi di Siena SpA as of 31 December 2022, including their consistency with the relevant financial statements and their compliance with the law.

We have performed the procedures required under auditing standard (SA Italia) No. 720B in order to express an opinion on the consistency of the report on operations and of the specific information included in the report on corporate governance and ownership structure referred to in article 123-bis, paragraph 4, of Legislative Decree No. 58/98, with the financial statements of Banca Monte dei Paschi di Siena SpA as of 31 December 2022 and on their compliance with the law, as well as to issue a statement on material misstatements, if any.

In our opinion, the report on operations and the specific information included in the report on corporate governance and ownership structure mentioned above are consistent with the financial statements of Banca Monte dei Paschi di Siena SpA as of 31 December 2022 and are prepared in compliance with the law.

With reference to the statement referred to in article 14, paragraph 2, letter e), of Legislative Decree No. 39/2010, issued on the basis of our knowledge and understanding of the company and its environment obtained in the course of the audit, we have nothing to report.

Florence, 27 March 2023

PricewaterhouseCoopers SpA

Signed by

Marco Palumbo
(Partner)

This independent auditor's report has been translated into the English language solely for the convenience of international readers. Accordingly, only the original text in Italian language is authoritative.



Report of the Board of Statutory Auditors



REPORT OF THE BOARD OF STATUTORY AUDITORS TO THE GENERAL SHAREHOLDERS' MEETING CALLED TO APPROVE THE FINANCIAL STATEMENTS OF BANCA MONTE DEI PASCHI DI SIENA SPA, FOR THE YEAR ENDED ON 31 DECEMBER 2022, DRAWN UP IN ACCORDANCE WITH ARTICLE 2429, SECOND PARAGRAPH OF THE ITALIAN CIVIL CODE AND ARTICLE 153, FIRST PARAGRAPH OF ITALIAN LEGISLATIVE DECREE NO. 58 OF 24 FEBRUARY 1998

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Conclusions



Dear Shareholders,

The macroeconomic scenario in which your Bank has operated in the past year was characterised by the strengthening of growth that took place in the first part of the year which, however, was followed by a weakening of the expansionary cyclical phase affected by high energy prices related to the continuation of the Russian conflict in Ukraine and strong inflationary pressures. Profitability was in any case boosted by interest margins at particularly significant levels.

In this context, the Bank's activities were strongly characterised by the change of CEO: on 7 February 2022 the Board of Directors approved the revocation of all delegations conferred previously upon Mr Guido Bastianini, and the co-opting, with the approval of the Board of Statutory Auditors pursuant to art. 2386 of the Italian Civil Code, of Mr Luigi Lovaglio following the resignation of Director Olga Cuccurullo on 4 February 2022. Also on 7 February, Mr Lovaglio was appointed as Chief Executive Officer and General Manager of the Bank.

The Shareholders' Meeting subsequently resolved, inter alia, the revocation of the Director Mr Guido Bastianini, the appointment as Director, on the proposal of the MEF shareholder, of Mr Stefano Di Stefano, to supplement the Board of Directors, and the confirmation of Mr Luigi Lovaglio as Director, in the capacity as Chief Executive Officer and General Manager.

In June, the Board of Directors has approved the new 2022-2026 Business Plan "*A clear and simple commercial Bank*" and updated the Capital Plan developed in line with the Plan.

In implementing this Business Plan, it should be noted in particular the full subscription of the share capital increase involving 1,249,665,648 newly issued shares for a total value of EUR 2,499,331,296, after the coverage of previous losses by means of a share capital reduction.

On 1 December 2022, following an agreement executed with the trade unions in August and subsequently supplemented, as provided for in the Business Plan, a early retirement programme was implemented that involved, based on the various pension options already accrued and the activation of the Solidarity Fund for the sector, over 4,000 Group resources, with a total cost of over EUR 900 mln, set aside under Restructuring/one-off charges, which strongly affected the overall individual and consolidated result.

The Parent Company's separate report shows a loss for the year of EUR 135.8 mln and a shareholders' equity of EUR 7,092.1 mln, while the Group's consolidated report shows a loss of EUR 204.8 mln and consolidated shareholders' equity of EUR 7,798.5 mln, gross of the loss and non-controlling interests of EUR 0.1 mln and EUR 0.9 mln, respectively, which is analysed in more detail in the documents that you are asked to approve.

The Directors, taking into account that the Shareholders' Meeting held on 15 September 2022 has already ordered the use of the first half of the year profit of EUR 96,965,159.96 to cover previous losses and that, due to the loss for the year equal to EUR 135,781,910, the loss for the second half of the financial year 2022 amounted to EUR 232,747,069.96, propose: (i) to approve the financial statements for the year ended 31 December 2022 of



Banca Monte dei Paschi di Siena Spa, which closed with a loss of EUR 135,781,910 and (ii) to carry forward the loss for the second half of the year of EUR 232,747,069.96.

* * *

With this Report, the Board of Statutory Auditors provides the necessary information in accordance with the law, following the instructions set forth in Consob Communication no. 1025564 of 6 April 2001 and subsequent amendments and also taking into account the rules of conduct recommended by the National Council of Chartered Accountants (Consiglio Nazionale dei Dottori Commercialisti e degli Esperti Contabili - CNDCEC).

This Report, referring to the separate financial statements, also takes into account certain aspects disclosed more extensively in the consolidated financial report, for a more complete analysis.

1. Activities of the Board of Statutory Auditors

It should be noted in advance that this Report refers to the activities carried out during 2022, and it represents the last year of the three-year mandate entrusted to this Board of Statutory Auditors by the Shareholders' Meeting of 18 May 2020.

The three-year period 2020-2022 was strongly characterised, in the first part, by the pandemic spread of the Covid-19 virus and, in the second, by the onset and continuation of the Russia/Ukraine war conflict.

These events also had significant impacts on the activities carried out by this Board of Statutory Auditors, with particular regard to compliance with the provisions of the law issued to govern the epidemiological emergency and the checks carried out by the Bank to monitor and ensure adequate follow-up of customers affected by moratorium or new finance measures.

During the three-year period, the changes that took place within the Control Body were of particular importance including the Standing Auditors, Ms Alessia Bastiani who resigned and was then replaced by Ms Piera Vitali and Ms Luisa Elisabetta Cevasco appointed by the Shareholders' Meeting of 6 April 2021.

In the same period, the changes in the Bank's governance were also significant. To be noted in particular is the aforementioned change of the Chief Executive Officer, Mr Guido Bastianini, after revocation of the powers granted to him, as well as the appointment of Mr Luigi Lovaglio.

The changed path undertaken by the Bank with the new Chief Executive Officer has therefore made it possible, through the approval of the new Business Plan, the successful conclusion of a share capital increase of EUR 2.5 bn and the implementation of important actions included in the Plan, in addition to overcoming the considerable uncertainties relating to the Bank's capital strength, that generated significant doubts on the Bank's ability to continue as a going concern, also through the improvement of capital soundness, risk profile, efficiency and Bank's profitability.



With specific reference to the entire 2022 financial year, the Board of Statutory Auditors fulfilled its institutional duty by holding a total of 56 meetings, of which 29 until 12 April 2022, the date of the Shareholders' Meeting to approve the Financial Statements at 31 December 2021, and 27 from that date until 31 December 2022, duly convened and formed, protecting against any situations of conflict of interest, without exception, of which 45 in person and 11 remote. The Auditors have also participated in the 2 Shareholders' Meeting held during the year, in all 25 meetings of the Board of Directors and in those of the Board committees, constituted and operating according to the reference regulations.

From the start of the year until the date on which this Report was filed, 21 meetings were held.

In this complex context, the Board of Statutory Auditors from the start of its mandate until the date of this Report has therefore held a total of 202 meetings and attended 76 meetings of the Board of Directors and 4 Shareholders' Meetings.

On the occasion of the Board of Directors' meetings, the Statutory Auditors had the opportunity to review the reports containing the mandatory quarterly information required by law and the By-laws.

The Statutory Auditors have also participated in the 2 days of offsite meetings in preparation for the definition and drafting of the afore-mentioned 2022–2026 Business Plan and the “*Board Induction*” programme consisting of three training sessions for all representatives (directors and statutory auditors) on the following topics: “Sustainability and climate risks” (as a continuation of the training on this matter launched in the previous year), “*Banking risk and management*” (both sessions were led by the Bank’s *management*) and “*Cybersecurity*” (led by the Bank’s *management*, with the support of external consultancy).

When expressly indicated by rules, the Board of Statutory Auditors has issued the mandatory opinions. In addition, it has provided specific assessments and comments and has formulated proposals on issues as required by Supervisory Authorities, both domestic and European (refer to chapter 1.2).

The Board of Statutory Auditors has received from the Control Functions, with the established frequency and with the necessary celerity for urgent cases, the required information flows that were systematically reviewed during its meetings which were typically attended by the Managers of these Functions and their direct collaborators to ensure the necessary level of details on the topics brought to the attention of the Control Body. Meetings were also regularly held with the Managers of the Bank’s other head office units, both to inform them more directly about the areas of attention that have emerged from time to time in performing the supervisory activities of the Board and the Control Functions, and to be informed by them, each for the aspects falling within their areas of competence, on the implementation of the agreed improvement/corrective actions, or on updates on the remedial activities implemented.

Specific analyses were carried out on significant issues that affected, during the financial year, the Bank and the Group both following the findings resulting from the verification activities carried out by the domestic and foreign Supervisory Authorities and in relation to particular strategic operations performed by the Company.



In this context, the Board of Statutory Auditors has acknowledged, from time to time, through the information obtained during its meetings and from the analyses carried out, as well as by participating in the meetings of the Board of Directors, the guidelines and assumptions underlying the definition of the 2022-2026 Business Plan “*A Clear and simple commercial Bank*”, approved by the Board of Directors of the Parent Company on 22 June 2022. The objective pursued was to verify the monitoring of the risks associated with the implementation of the Plan itself and the development of the projects and strategic objectives included therein, starting from the Capital Increase Operation and continuing with the set of organisational streamlining measures provided for in the Plan, in addition to verifying their overall consistency also in terms of maintenance of the service levels and effectiveness of the operational processes put in place. A specific focus was given to covering the need for professional expertise generated by the redundancies, with particular regard to the Control Functions.

With regard to relations with the Supervisory Authorities, in addition to the analysis carried out on the SREP decision (draft and final versions) - preceded, as usual, by the Follow-up letter (draft and final) duly notified by the ECB during the year - and the monitoring of the remedial actions resulting from the On Site Inspections (OSI) conducted so far by the Supervisory Authority for which, in 2022, the related finalisation activities continued, to be noted is the inspection on credit and counterparty risk (OSI 0198380) conducted by the ECB from April to August 2022, the results of which were submitted in February 2023.

For more details on activities of this type, please also refer to the specific section dedicated to “Audits by Supervisory Authorities” (chapter 5.2).

Direct audits were also carried out on the domestic Networks, which are described in greater detail later in this report.

Following the Covid-19 epidemiological pandemic and the ensuing emergency, also during the last financial year, the Board of Statutory Auditors dedicated a specific focus to the origination and credit monitoring process and methodologies, with regard in particular to the initiatives activated by the Bank to support business liquidity requirements and the income and credit access needs of household customers. More details are provided in the appropriate section below in this Report.

The minutes of the Board of Statutory Auditors meetings which provide an account of the aforementioned activities, in relation to the different relevant areas, were sent to the attention of the Chairperson of the Board of Directors and the Chief Executive Officer/General Manager and, for the aspects strictly under their responsibility, the Chairpersons of the Board Committees.

For purposes of monitoring financial reporting processes, the Board of Statutory Auditors has regularly met with both the Financial Reporting Officer and the statutory auditor PricewaterhouseCoopers Spa (PwC), appointed for the nine-year period 2020-2028; with the latter, to enable the normal exchange of information, pursuant to art. 150 of Italian Legislative Decree no. 58/98 (Consolidated Law on Finance).

In this regard, it should be noted that, as of 1 July 2022, the responsibility for the management of the Bank's statutory audit activities was assigned by PwC to Mr Marco Palumbo, replacing Mr Lorenzo Pini Prato.



As envisaged in art. 151 of Italian Legislative Decree no. 58/98 and the Bank of Italy's Supervisory Instructions, specific meetings were held with the boards of statutory auditors of the main Group companies in order to mutually exchange information and at the same time to provide or receive reports on any critical issues pertaining to the administration and control systems, as well as direct indications on the general performance of the corporate activities of each subsidiary.

There was a similar, proactive exchange of information with the 231/01 Supervisory Body, which it met with regularly throughout the year for discussions on topics of reciprocal interest.

Lastly, particular attention was given to monitoring the commitments undertaken by the Bank with Supervisory Authorities regarding all remediation activities identified to resolve the various findings presented by them, and regularly developing initiatives intended to resolve the gaps identified by the control functions in the course of their overall audit activities.

* * *

During the year, the Board of Statutory Auditors received, as also stated in the Report on the Financial Statements as at 31 December 2021, a request from Consob - which it is deemed useful to be mentioned in this Report considering the relevance of the matter - formulated pursuant to art. 115, paragraph 1, of Italian Legislative Decree no. 58/98 (TUF) of 17 February 2022. With this request, the Supervisory Authority intended to acquire some information concerning the above-mentioned change in the Chief Executive Officer and General Manager as well as the publication of press reports, summoning the Board of Statutory Auditors at a special hearing on 23 February 2022.

At this hearing, the Board of Statutory Auditors reported to have acknowledged that certain facts and circumstances that generated misunderstandings and misconceptions in the relationship between the Chief Executive Officer and the Board of Directors and progressively eroded the relationship of trust, impacting work dynamics, were dealt with and discussed over time during individual Board meetings.

The Board of Statutory Auditors also reported on the monitoring and supervisory activities carried out on the complex process adopted by the Bank, which was also very tight in terms of time and which led to the aforementioned revocation and the appointment of a new Chief Executive Officer who was granted the powers of Chief Executive Officer and General Manager.

With regard to the publication of articles and to press agencies, the Board of Statutory Auditors provided the Supervisory Authority with the necessary clarifications regarding the information reported therein.



This Control Body subsequently sent a specific statement in this regard, as requested by the Supervisory Authority.

On 18 October 2022, the Statutory Auditors met with the Joint Supervisory Team (JST) as part of the *targeted review initiated by the ECB on the effectiveness of the Banks' Bodies, with a focus on the functioning and supervisory capacity of these Bodies, also including Banca Monte dei Paschi di Siena in the panel of Institutions subject to analysis.*

During this meeting, the Board of Statutory Auditors provided, as requested, detailed information on the role played by the Board of Statutory Auditors on the supervision of the Audit Function, with particular regard to the appointment of the Manager, the definition and implementation of the Audit Plan and the proper qualitative and quantitative size of the Function.

On the same occasion, the Supervisory Authority was informed about the significant attention paid by the Control Body to the issue of disseminating the risk culture, highlighting in particular the audits carried out by the Board of Statutory Auditors at the peripheral Network on "Credit Origination" aimed at assessing the degree of effectiveness of the territorial oversight on the proper management of operations, risks and controls under its responsibility, while at the same time disseminating, at the various levels of the local structures, the "culture of risk and control".

Lastly, please note that, near when this Report is filed and more specifically on 14 March 2023, in view of the Bank's Shareholders' Meeting called for 20 April 2023, the non-controlling shareholder Bluebell Partners Ltd (represented by its legal representative Mr Giuseppe Bivona) sent to the Chairman of the Board of Directors (including a carbon copy for the entire Board of Directors and the Board of Statutory Auditors of the Bank) the proposals of joint and several liability actions or alternatively, for respective reasons, with respect to (i) the former Directors Mr Alessandro Profumo and Mr Fabrizio Viola, pursuant to articles 2392 and 2393 of the Italian Civil Code; (ii) the former General Manager Mr Fabrizio Viola, pursuant to art. 2396 of the Italian Civil Code.

In this regard, as part of the supervisory and control function assigned to it by law, the Board of Statutory Auditors will carefully monitor the upcoming developments of such liability action proposals.

1.1 Result of the audit activities conducted directly by the Board of Statutory Auditors

As part of the overall activities carried out by the Board of Statutory Auditors to perform the supervisory tasks required by the reference regulations, the audits carried out during the year, mainly with the collaboration of the Internal Audit Function, as well as the other control functions, are of major importance.

Specifically, these are audits falling within the broader context of the Audit Plan, which respond to the necessity of the Board of Statutory Auditors to directly investigate the issues that year by year are considered of greater importance and of primary interest.



For 2022, 14 interventions of this type (of which 9 on central processes and 5 on the Network), identified at the beginning of the year, were then raised to 16 (of which 11 on central processes and 5 on the Network) at the time of the proposed "Revision of the 2022 Audit Plan" (August 2022). This is in order to achieve ever-increasing levels of supervision, focusing attention on aspects of greatest corporate interest (emerging and/or sensitive issues).

More specifically, the audits conducted at central level (11) made it possible to investigate the areas related to the following processes:

- Credit (no. 3): Credit portfolio management strategies, *Credit review*- extraordinary reviews of 1st half-year 2022; Management of government guarantees;
- Compliance (no. 3): Assessment of the effectiveness of the interventions of the Transparency Remediation Plan (2nd *tranche*); Controls on models and outsourced activities; AML Cooperative companies;
- Accounting and tax (no. 1): Manual accounting transactions (ADD/ACC);
- Organisation and controls (1): First-level controls on financial advisors;
- Document management (no. 3): Rules and processes; Support applications; Summary of network processes.

Alongside the above-mentioned audit activities, in keeping with the usual assessment scale broken down across four, increasingly critical levels, from "R1-Green" to "R4-Red", with two intermediate levels of "R2-Yellow" and "R3-Orange", ratings of "R1-Green", "R2-Yellow" and "R3-Orange" were attributed to 1, 7 and 3 interventions, respectively. Focusing on the last 3 interventions concluded with a judgement equal to "R3-Orange" in the areas of Transparency (1) and Document Management (2), the main points of attention that have emerged are outlined below.

The audit of the "Assessment of the effectiveness of the Transparency Remediation Plan (2nd *tranche*)" had the objective of verifying the effectiveness of the interventions included in the already known "Transparency Remediation Plan", aimed at ensuring application of the sector regulations and, above all, the overcoming of the findings resulting from the inspection carried out by the Bank of Italy on the same matter in the period October 2019 - January 2020.

The related in-depth analyses confirmed the effectiveness of most of the remedial actions implemented by the Bank and the substantial adequacy of the related interventions, however highlighting some areas of process improvement and streamlining essentially related to: the charging of fees when extinguishing bundled accounts, the completion of the migration of the pool of outstanding loans to the New Group Financing Platform ("Elise"), the management of active subrogation of mortgages and the late delivery of the "Questionario Esigenze e Bisogni".

In this regard, this Board of Statutory Auditors has highlighted, on several occasions, the need for the competent Functions to proceed with the highest priority to implement the remediation activities defined for this purpose, reaffirming the commitment to always maintain a high level of attention on the issue of transparency and compliance with the related disclosure obligations; this in the hope of being able to count, upon completion of the project, on an orderly and functional management of the issues, without incurring the critical issues of the past.



The audit on the “Rules and processes” concerning the Document Management System - understood as the set of rules, processes and tools aimed at handling paper or electronic documents produced/acquired by the Bank - has highlighted a well-structured regulatory framework, a defined control system and an adequate service provided by the outsourcers. However, elements of attention have emerged that were essentially under the control of the Documentary Function, which was not entirely effective, given the high percentage of orders and unresolved anomalies with deadlines not always met. The documentary system for active non-mortgage collateral also needed to be improved and the activities relating to the Document Project By Design need to be redefined and included in the 2023 Project Plan or as part of *innovation initiatives*.

The further check that focused on the “Supporting applications” made it possible to recognise a technical infrastructure capable of guaranteeing interaction with the various applications that need to manage the documents, both electronic and paper-based, as required by the reference Business processes. However, certain shortcomings have emerged in the control applications and monitoring systems that expose the Bank to the risk of not being able to promptly intercept when the filing of the documentation supporting the execution of banking transactions is not completed as expected. The technical and organisational activities which have already been identified and that are necessary to achieve compliance with the AgID (Agenzia per l'Italia Digitale - Agency for Digital Italy) Guidelines on training, management and storage of IT documents (in force since 1 January 2022) must also be properly carried out.

To complete the analysis of the overall Document Management System, the interventions at the domestic Peripheral Network, also carried out with the support of the Internal Audit Department, aimed at investigating compliance, adequacy and risks controls in the activities performed at the peripheral level with regard to the aspects related to Document Management (production, formalisation, archiving and storage of documents).

To this end, following the review of the organisational structures of the Network in the last quarter of 2022 (better described in paragraph 3.2), in support of the efficiency-streamlining objectives of the Business Plan, the initial planning of the checks of this type, which contemplated 5 interventions for each of the local areas, was necessarily adjusted based on the changes made. In fact, on 28 November 2022 the revision of the organisational models was finalised. The revision involved, among other things, changes to and the reorganisation of the 5 local areas as well as the definition of the Peripheral Structures under Territorial Oversight: no. 14 Regional Retail Departments (DTR - Direzioni Territoriali Retail) and no. 14 Regional Corporate and Private Departments (DTIP - Direzioni Territoriali Imprese e Private).

The interventions in question, which saw the direct participation of the Chairman of the Board of Statutory Auditors - delegated for this purpose by the Statutory Auditors - in the meeting concerning the dissemination of the culture of risk and control, and in the exit meeting session, had the objective of assessing the degree of effectiveness of the territorial oversight on the proper management of operations, risks and controls, while at the same time spreading the “culture of risk” to the various levels of the territorial structures.

In fact, in order to guarantee the effectiveness of controls, participation of all levels of corporate organisation is necessary; in the overall process of creating value, the



contribution and the activities carried out by the Peripheral Network Structures, as integral part of the corporate control environment, or the overall Internal Control System (ICS) are fundamental.

The performance of the related activities showed that the use of digital formalisation of products was lower than the potential of the Network, with inconsistent behaviour among DTRs/Branches with respect to the rate of use of digital signature tools. In addition, even in a context of a gradual improvement, there are still some delays in the timely forwarding to External Services of the paper documents produced.

In light of these aspects, individual action plans with the following commitments were shared with the Heads of the Regional Departments: (i) 50% reduction of the number of suspended documents created in 2022 and of the document backlog before 2022, with priority given to commercially active customers, (ii) development of the use of digital signatures for processes that currently require them, progressively increasing the percentage of digitally produced services, and (iii) development of the deployment of the Remote Digital Signature service in accordance with the targets and timelines already set out in the KPI Digital for Paperless.

With a view to synergic action, specific interventions were also carried out, together with the competent commercial function in charge of defining first-level controls (Governance and Control Support), so as to refine the control and monitoring activities carried out on the Network aimed at raising the awareness of the Network Controls for the purpose of a wider use of digital signatures and a gradual reduction of the backlog of documents. This is also in line with the Business Plan's objective of strengthening the digital strategy to be achieved with a continuous effort to digitise processes in support of customer operations.

The Overall Rating attributed alongside the aforementioned checks was equal to "R2-yellow".

* * *

When the above-mentioned audits were completed, the critical elements identified were appropriately shared with the respective owner Functions for the development of the ensuing remedial actions, subject to the usual monitoring by the Audit Function. The implementation of these actions is also the purpose of systematic monitoring carried out by this Control body, through a precise analysis of the special reports and plans prepared and made available for this purpose (Quarterly report, Gap Execution plan).

Focus on the 2022-2026 Business Plan (Capital increase and resources)

On 22 June 2022, the Bank's Board of Directors approved the 2022-2026 Business Plan "*A Clear and simple commercial Bank*", which, compared to the previous Strategic Plan, approved by the same Body in December 2021, has introduced some elements of discontinuity that take into account the changes that have taken place in the macroeconomic and competitive scenario, as well as the new strategic direction given to the Bank by the Chief Executive Officer, Mr Luigi Lovaglio, appointed, as mentioned, on 7 February 2022 and subsequently confirmed by the Shareholders' Meeting of 12 April 2022.



The guidelines and the consequent strategic objectives included in the same Plan were presented by the Chief Executive Officer in specific offsite meeting sessions and in the Board meetings, in which the Statutory Auditors participated. Moreover, given the importance and scope of the actions to be undertaken for the achievement of the set out strategic objectives, the Board of Statutory Auditors, in order to fulfil its duty of supervision "on the compliance with the principles of proper administration" granted to it by the applicable legislation, has carried out its own specific assessments and analyses with the company Top Management during meetings with the Heads of the company Functions involved (mainly CROs and CFOs) and in consultation with the Chief Executive Officer who was specifically invited to targeted meetings. Further in-depth analyses were conducted with the Independent Auditors and with the support of its external consultants.

The objective pursued on these occasions was not so much to enter into the merits of the Bank's strategy in terms of its business model, a matter for the Board of Directors alone, but rather to assess the risks associated with the same model, in terms of consistency with the Bank's risk capacity, without neglecting aspects related to potential execution risks.

With this in mind, the Board of Auditors has overseen both the steps preceding and those following the approval of the Plan, which have gradually seen the actual implementation of the initiatives set forth therein.

The main cornerstone, i.e. the essential step of the Plan, was represented by the Capital Increase (AuCap) offered as an option to the shareholders of BMPS for a maximum amount of EUR 2.5 bn.

The successful completion of the authorisation process concerning the execution of the Capital Increase was announced by the ECB on 2 September 2022.

The overall Operation and its implementation status were carefully monitored by this Control Body, which verified both the purely documentary-informative aspects and the more operational aspects of correctness and adequacy of the obligations put in place in compliance to the reference legislation.

More in detail, particular attention was given to the drafting of the Prospectus, together with the related timetable and the various subsequent formalities, planned with a view to closing the transaction by the scheduled deadline of 4 November 2022.

The Board of Statutory Auditors therefore acknowledged, during its meetings, the overall set of documentation-information supporting the Transaction - Prospectus in its "tripartite" form, i.e. divided into three separate documents: Registration Document, Information Note and Summary Note - aimed at providing a precise description of the main risks of the Transaction as well as the assumptions underlying the 2022-2026 Business Plan and the result forecasts indicated therein. The Prospectus was approved by Consob on 13 October 2022. The Statutory Auditors also focused their attention on the operating procedures laid down for participating in the Capital Increase - implemented in compliance with market conditions and taking into account the constraint according to which, for the purposes of compliance with EU regulations on State aid, upon completion of the Capital Increase, the MEF should in no way have exceeded the shareholding already held equal to 64.23% - and for the negotiation of the rights, in order to verify their consistency with the obligations and formalities dictated by the investment services regulations, aimed at ensuring full and substantial compliance with the duty to act in the best interest of the customer. For these



activities, the Board of Statutory Auditors also consulted with the Independent Auditors who issued special *comfort letters* with the assistance of its own experts on the matter.

In this context, the Statutory Auditors, in order to acquire knowledge of compliance with the relevant regulatory provisions - as also reiterated by Consob (Warning notice of 14.10.22), having regard, in particular, to the rules of conduct and the related controls which, respectively, the Network and General Management structures must comply with - requested the Control Functions (in particular Compliance and Audit) to activate specific monitoring activities along with the transmission of a daily report on the results the controls carried out on the exercise of the option rights and on the market trading of those rights. This with a view to obtaining guarantees regarding the propriety of the work carried out by the sales network personnel and activating, where necessary and in the presence of any irregularities, prompt remedial actions.

From the checks of this type carried out during the offer period, no elements worthy of note have emerged.

As part of the strategic directive in which the Business Plan is developed regarding the “Business model with sustainable profitability”, specific attention was also paid by this Control Body to the initiatives to optimise the organisational structure and rationalise the business model, having regard in particular to: (i) the mergers by incorporation into BMPS of the subsidiaries MPS Leasing & Factoring, MPS Capital Services and Consorzio Operativo di Gruppo, (ii) the simplification of the commercial and credit structures at local level and (iii) the downsizing of the workforce following the voluntary exit plan (effective 1.12.22) carried out in line with the early retirement programme based on accrued pension options and the activation of the sector's Solidarity Fund.

In this regard, in compliance with the “responsibility to supervise the adequacy of the Bank's organisational structures” and “the functionality of the overall internal control system”, the Board of Statutory Auditors has monitored the organisational revision interventions carried out both at the level of the central and local coordination structures, verifying their overall consistency also in terms of maintaining service levels and the effectiveness of the operational processes put in place.

Necessary considerations and evaluations were carried out on personnel management measures and the consequent staffing changes, also as a result of the aforementioned personnel redundancy manoeuvre, i.e. the Voluntary Early Retirement Plan, which saw the requests to participate by more than 4,000 resources (fully accepted). In this context, together with the Manager of the Human Resources Function, the personnel management policies adopted for the purposes of the reallocation of resources in support of the organisational revision and the coverage of the need, generated by the redundancy measure, for professional expertise, were analysed in depth.

In particular, the attention of the Board of Statutory Auditors was mainly focused on the Bank's Corporate Control Functions (CCFs) in order to ascertain the adequate awareness and consequent management of the impacts deriving from the aforesaid measures, safeguarding the qualitative-quantitative target size of the Functions themselves, instrumental to the achievement of the planned objectives, i.e. the maintenance of the necessary levels of effectiveness and efficiency of the control processes.

In this context, it was found that appropriate management plans were put in place based on the objectives of the Business Plan, including the plan for the reintegration of the resources



of the Corporate Control Functions (CCFs) affected by the measures in question in order to achieve an adequate size that guarantees the regular continuity of control activities.

From the analysis of the annual plans of the CCFs, this Control Body was also able to acknowledge that, among the rationales of the 2023 programming, a prominent position was given to the 2022-2026 Business Plan. In fact, in line with a strategic approach shared by the Functions themselves, the criteria for the prioritisation of the control activities for the current year have been focused back to the control of the risks associated with the implementation of the Business Plan and the monitoring of the development of the projects and strategic objectives set forth therein, also paying particular attention to the continuity of the controls in the pre- and post-incorporation phases of the legal entities subsidiaries.

Finally, as part of the audits to be carried out during 2023 with the support of the Audit Function, the Board of Statutory Auditors also deemed it appropriate to include specific interventions related to the implementation of the Business Plan and with the integration of the Subsidiaries ("Business Plan Initiatives - *Full Potential of Commercial Small Businesses*"; "Long-term Planning Projection Models"; "Models and Organisational Structures - Business Plan Impacts", "MPSCS Credit Process Integration", "Factoring Integration", "Financial Operations Integration - former MPSCS ", Provision of post-integration ICT services: service level assessment). These audit activities were included in the 2023 Audit Plan by the Audit Function.

* * *

The successful completion of the Capital Increase Operation and the implementation of important actions included in the 2022-2026 Business Plan, made it possible to overcome the considerable uncertainties regarding the Bank's capital strength that generated significant doubts on the Bank's ability to continue as a going concern stated in the reports prior to the interim report for the period ended 30 September 2022. In fact, starting from the Interim Report on Operations as at 30 September 2022, approved by the Board of Directors on 10 November 2022, confirming this assessment as at 31 December 2022, based on the 4 possible scenarios defined in the IASB document "*Going concern - a focus on disclosure*" - 1) *going concern* without significant uncertainties; 2) *going concern* with significant uncertainties fully mitigated; 3) *going concern* with relevant uncertainties not sufficiently mitigated and 4) *gone concern* – the Directors believe that the Bank and the Group are in scenario 1, i.e. that there are no relevant uncertainties.

Following a specific request submitted by the Bank, Consob has therefore revoked the monthly disclosure obligations referred to in letter a) of the provision of 22 April 2021, as announced by Consob in the Bulletin of 16-31 January 2023.

Alongside the analysis of the overall disclosure in the Financial Statements as at 31 December 2020, the Supervisory Authority, on 22 April 2021, had in fact adopted a measure pursuant to art. 114, paragraph 5 of the Consolidated Law on Finance, which subjected the Bank (as a company with significant business continuity uncertainties) to supplementary, monthly reporting obligations, establishing a deadline of 30 April 2021 for the first issue of such information.

The commission has instead confirmed the obligation pursuant to letter b) of the aforementioned provision of 22 April 2021 referring to the information to be provided on a



quarterly basis on the status of the implementation of the Business and Financial Plan, highlighting the deviations of the final data from the projected ones.

It should also be noted that the capital requirements to be met from 1 January 2023 set out in the 2022 Final SREP Decision transmitted by the ECB in December 2022 are in line with the requirements for 2022 and are already largely met.

In addition to the above, it should be noted that the finalisation of the Plan objectives will also allow compliance with the provisions of the *Commitments* undertaken by the Bank as part of the 2017-2021 Restructuring Plan, as reviewed alongside the discussions conducted between the MEF and the DG Comp and published by the European Commission on 3 October. In the Bank's opinion, in fact, the aforementioned Commitments are reflected in the actions underlying the 2022-2026 Business Plan and the related time frames and implementation measures required by the European Commission are consistent with the timing and measures for implementing the actions of the Plan.

It should be noted that, among these *Commitments*, the Italian Republic remains committed to selling the equity investment held in Banca Monte dei Paschi di Siena Spa, by a defined date.

Considering the successful outcome of the Share Capital Increase, the ECB also removed the prohibition on the distribution of dividends, replacing it with the obligation for the Bank to obtain prior authorisation from the Supervisory Authority.

Finally, it should be noted that in 2023 the MPS Group participates in the new stress test exercise at European level launched by the EBA, according to which the related methodology, as well as the models and guidelines, have already been published. On 31 January 2023, the baseline and adverse macroeconomic and financial scenarios were also released to be used in the three-year projections and the regulatory exercise was initiated.

The MPS Group is therefore included on the sample to be tested, therefore it is exposed to uncertainties deriving from the testing outcome, consisting of the possibility of a potential exacerbation of the capital requirements to be met, if the results bring to light particular Group vulnerability to the stress scenarios employed by the Supervisory Authorities.

Focus on Credit risk

Also in 2022, to be noted is the significant attention paid by the Board of Statutory Auditors to the trend of the main credit aggregates and performance indicators, in order to be able to observe compliance with the targets contained in the credit strategies, while reviewing the management actions identified by the competent Functions for the mitigation of the risk profile and while verifying the regular progress of the process for the implementation and strengthening of the overall credit risk control system, capable of integrating *early warning* systems (EWS) and improving the assessment and monitoring mechanisms.

More specifically, during its supervisory activities, the Control Body monitored the evolution and development of the post-Covid-19 pandemic recovery process, paying specific attention to the credit portfolio management methods, also in light of the particular economic and systemic phase, characterised by the growth of inflation and interest rates, along with international geopolitical tensions resulting from the Russian invasion of Ukraine. The combination of these factors could have a negative impact on the ability of customers to



honour their commitments and, as a result, lead to in a significant deterioration in credit quality.

On the basis of these premises, this Board of Statutory Auditors has repeatedly reiterated the need to achieve a consistent classification of credit counterparties, through the performance of first and second level controls - under the responsibility, respectively, of the Commercial, Credit and Risk Functions - to which the checks carried out by the Audit Function were necessarily added as a third level. The latter Function also monitored the correct functioning and application of the changes made to the operating systems, *first* and foremost the important streamlining and additions introduced to the aforementioned EWS system that made it possible to achieve a higher level of predictivity of the system itself, to the advantage of the early identification of counterparties in difficulty.

The objective pursued, in line with the EBA Guidelines on credit granting and monitoring (*Loan Origination & Monitoring* - LOM), was to promote a proactive approach to verifying credit quality, assessing the current and forward looking capacity of the customer and identifying in time the receivable in the process of deterioration.

In this context, it is worth noting the activation of the "Credit Operating Plans" (POC - Piani Operativi del Credito), as support tools for portfolio management, through which certain clusters considered to be riskier are identified on a monthly basis in line with the drivers defined from time to time by the Credit Function, in order to strengthen the ordinary detection systems of the quality of the creditworthiness of the positions.

In line with the credit strategies for 2022 as well as with the development lines laid down in the Business Plan, credit management and, more generally, the assessment of the customer risk profile were characterised by the use and integration of the standards and ESG (*Environmental, Social and Corporate Governance*) factors, adequately valued throughout the customer relationship management process, with a view to dynamically contributing to sustainability policies.

The definition of the customer strategy was, in fact, improved with the introduction of "ESG logics" focused on the risk of environmental transition, which lead to a specific system of incentives/disincentives aimed at guiding credit choices by promoting the growth of companies in a "*green*" logic, supporting investments that mitigate transition risks or that have a low environmental impact (*sustainable lending*).

The project for the sale without recourse of non-performing loans (called "Fantino") is also part of the overall implementation process of the 2022-2026 Business Plan, aimed at reducing the NPE ratio at the end of the Plan and structurally mitigating the impact of calendar provisioning; the transfer contracts with three specialised counterparties were signed on 4 August 2022 and the related legal effectiveness was finalised between 23 October and 4 December 2022 for a total credit value of approximately EUR 917 mln at Group level.

* * *

The main information elements regarding the above-mentioned strategic activities and initiatives, including the development and analysis processes aimed at monitoring credit



risk, were acquired by the Board of Statutory Auditors during the systematic meetings and hearings held in the course of the year, both with business and control functions. Reference is made, *inter alia*, to the meetings held with the Chief Lending Officer, mainly aimed at reviewing and commenting on the evolution of credit aggregates and the trend of *performance* indicators, and to the meetings held with the Chief Risk Officer more focused on the quantitative aspects of risk measurement and related models.

The main changes characterising lending activities are also analysed together with the Independent Auditors, in order to also acquire the results that emerge from the control activities in this area for which the Independent Auditors are responsible.

During the above-mentioned meetings, the Board of Statutory Auditors was able to acknowledge the substantial effectiveness of the adopted framework (EWS and POC) and the presence of a detailed process, also formalised in internal regulations, with a clear definition of the roles and responsibilities of the various structures involved, as attested by the Audit Function alongside the overall audit activities carried out in this area, some of which in support of the Board of Auditors.

In this last regard, as better detailed in the dedicated section (see paragraph 1.1), as part of the definition of the 2022 Audit Plan, the Board of Statutory Auditors has explicitly asked the Internal Audit Function to consider, in the broader Plan of Audits, specific reviews on credit processes.

The implementation, at the peripheral level, of the credit strategies defined at the central level, was confirmed during the course of the customary audits that the Board of Auditors carries out annually, with the assistance of the Audit Function, and covering the Bank's local control structures.

Finally, it should be noted that, from 21 April to 19 August 2022, a specific inspection activity on credit and counterparty risk (OSI 0198380) was conducted by the ECB, essentially aimed at i) identifying and quantifying any impairment effects on the portfolios under audit, ii) verifying the IFRS 9 provisioning model for portfolios under review, iii) evaluating the credit classification and provisioning process. The draft version of the inspection report was presented to the Bank's Board of Directors by the Head of the Inspection Team at the Board meeting of 20 December 2022; on the points mentioned by the Supervisory Authority, the Bank deemed it appropriate to present its own comments and clarifications. The final inspection report, which confirmed the forecasts contained in the *draft version*, was received in February 2022. The Bank is now waiting to receive the letter from the ECB with an indication of the recommendations and the implementation time frames on which the implementation of the Remediation Plan will be based.

For more details, see the specific section on "Audits by Supervisory Authorities" (chapter 5.2).



Focus on SREP

The Board of Statutory Auditors attributes particular relevance to the results emerging annually from the Supervisory Review and Evaluation Process (SREP) performed by the ECB on the basis of the audits performed by the JST and according to the annual Supervisory program applied by the Bank.

Aside from monitoring adaptation to the indications and recommendations of the ECB set forth in the 2021 SREP Decision, this Control body also monitored all of the main phases leading to the 2022 Decision.

In this regard, after carefully analysing the preliminary results of the 2022 SREP Process, anticipated by the European Supervisory Authority on the occasion of the "Supervisory Dialogue" (31 August 2022), conducted a thorough review of the contents of the SREP Decision 2022, in both "Draft" and "Final" versions, received by the Bank on 7 October 2022 and 21 December 2022 respectively. For the overall opinion on the Bank, please also refer to section 2.1 below.

As part of their supervisory activities, the Statutory Auditors will continue with the usual monitoring process in order to ensure the regular implementation of the oversight actions aimed at incorporating the key risk elements and factors identified by the Supervisor. With this in mind, the Board of Statutory Auditors has explicitly asked the Internal Audit Function to contemplate, in the broader 2023 Audit Plan, a specific review on the compliance with the indications formulated by the ECB as part of the SREP Decision ("Multi-annual Planning Projection Models").

In addition, in line with the expectations of the Supervisory Authority, the aforementioned audit activities at the peripheral Network should be noted, carried out every year by this Control Body with the support of the Audit Function, aimed, inter alia, at disseminating to the various levels of the territorial structures the "culture of risk". In this regard, in fact, the ECB has reiterated on several occasions, including, as mentioned above, at a meeting held with this Board of Auditors, the need to "improve the overall culture of risk and control", promoting for this purpose an environment characterised by a widespread proactive approach to controls such as to mitigating the intensity of risks on a preventive basis.



1.2 Mandatory opinions, comments/determinations and considerations issued by the Board of Statutory Auditors

The Board of Statutory Auditors has been asked to issue the following declarations that governing regulations and Supervisory provisions assign to its competence:

- *Activity carried out until the date on which the Report to the Financial Statements at 31 December 2021 is filed (18 March 2022):*

Mandatory opinions:

- review of procedures (policies) for managing binding requirements in the area of related parties, associated parties and obligations of banking representatives;
- 2022 activity plan for the Audit function;
- co-opting and remuneration of the Chief Executive Officer and General Manager pursuant to articles no. 2386 and 2389 of the Italian Civil Code, respectively;
- compliance with the requirements for the continuous use of advanced credit risk management systems (AIRB) and operational risk management systems (AMA);
- 2022 performance shares plan for the Chief Executive Officer and General Manager.

Considerations:

- controls performed by Internal Audit on the outsourced operating functions.

Comments/Determinations:

- controls carried out by the Compliance and Audit Functions regarding the provision of investment services to customers.

- *Activity carried out from the date on which the Report to the Financial Statements at 31 December 2021 (18 March 2022) is filed until 31 December 2022:*

Mandatory opinions:

- additional assignments to the Independent Auditors (or to Companies belonging to said network), pursuant to Regulation (EU) no. 537/14 and Italian Legislative Decree no. 39/10 amended by Italian Legislative Decree no. 135/16.

Comments/Determinations:

- controls carried out by the Risk Management Function regarding the provision of investment services to customers;
- review of the activities planned for the Audit Function for 2022;
- proposal made to the Shareholders' Meeting of 15 September 2022 for the adoption of measures pursuant to art. 2446, paragraph 1 of the Italian Civil Code.



- *Activity carried out as of 1 January 2023 and until the date on which this Report was filed:*

Mandatory opinions:

- 2023 activity plan for the Audit function;
- compliance with the requirements for the continuous use of advanced credit risk management systems (AIRB) and operational risk management systems (AMA);
- 2023 Phantom shares plan for the Chief Executive Officer and General Director.

Considerations:

- controls performed by Internal Audit on the outsourced operating functions.

Comments/Determinations:

- controls carried out by the Compliance, Risk Management and Audit Functions regarding the provision of investment services to customers.

Following the filing of this Report, the Board of Statutory Auditors will be consulted on the report on the ICAAP and ILAAP processes when it is approved by the Board of Directors.

2. Observations on compliance of the principles of correct administration

2.1 Significant transactions and events

On the basis of the main evidence acquired in the performance of its functions, to be noted is the identification of number of significant events that characterised the year 2022 and the early months of 2023. Although illustrated in detail in the Report on Operations of the Group prepared by the Directors (to which reference should be made), it is deemed appropriate to highlight below those considered most significant, taking into account their relevance in the context of the assessments of the Bank's financial and economic position and the consistency of the management decisions made.

Governance of the Bank

On 7 February 2022, the Board of Directors of the Parent Company resolved on: i) the revocation of Mr Guido Bastianini, as General Manager, Chief Executive Officer and Director in charge of the internal control and risk management system of Banca MPS, as well as all related powers, while the latter remains in office as a member of the Parent Company's Board of Directors; ii) the co-option, pursuant to and for the purposes of art. 2386 of the Italian Civil Code, of Mr Luigi Lovaglio, following the resignation of Director Olga Cuccurullo, which took place on 4 February 2022, and his appointment as Chief Executive Officer and General Manager of the Parent Company and Director in charge of the internal control and risk management system of Banca MPS.

The Board of Directors, at the joint proposal of the Appointments Committee and the Remuneration Committee, unanimously considered Mr Lovaglio, by virtue of his significant experience also at international level, combined with in-depth knowledge of the Italian



banking sector, suitable for holding the role of Chief Executive Officer and General Manager of the Bank. The Board of Statutory Auditors approved the co-optation pursuant to art. 2386 of the Italian Civil Code.

On 12 April 2022, the Shareholders' Meeting resolved, inter alia, the revocation of the Director Mr Guido Bastianini and the appointment as Director, on the proposal of the MEF shareholder, of Mr Stefano Di Stefano, to supplement the Board of Directors.

On 14 June 2022, following the resignation of Mr Giuseppe Sica, the Board of Directors unanimously resolved to appoint Mr Andrea Maffezzoni as the new Chief Financial Officer.

2022-2026 Business Plan

On 22 June 2022, the Board of Directors approved the 2022-2026 Business Plan "*A Clear and Simple Commercial Bank*", which aims to strengthen the nature of the "commercial bank" with a "clear and simple" positioning, and updated the Capital Plan developed in line with the Plan, which was subsequently sent to the European Central Bank.

The Plan, which is focused on the creation of value for the Bank's stakeholders, has as its main objective the achievement of a sustainable level of profitability with a strong balance sheet, a cost/income ratio of 60% in 2024 (already achieved in the fourth quarter of 2022 as a result of the Incentivised Early Retirement, compared to a ratio for the whole of 2022 of around 68%) and 57% in 2026, an optimised operating structure, the implementation of the *best-in-class* Widiba digital platform and an ESG commitment across all of the Bank's activities. The implementation of the Plan will make it possible to improve the risk profile over time by increasing the sustainability of revenues, reducing operating costs and lowering the cost of risk, also through the implementation of the *NPE strategy*.

The Group's new strategy is based on three directives summarised below:

- *Business model with sustainable profitability*: optimisation of the organisational structure in order to make the Bank's operations agile and efficient, alongside the re-launch of the commercial platform, aimed at strengthening its role as a point of reference in the regions within its scope, through the offer of a range of products focused on households and businesses, and the support of major digitalisation interventions, while also ensuring solid revenue generation.
- *Solid and resilient balance sheet*: significant strengthening of the Bank's capital position through the completion of the capital increase of EUR 2.5 bn carried out in November 2022, accompanied by the implementation of a sustainable funding strategy and the improvement of the risk profile by virtue of the credit policies adopted.
- *Management of the legacy* of the Bank through an approach based on an overall assessment of factual elements, information, available deeds and experience gained, and of extraordinary legal risks, also in line with the policy adopted by the Bank.



Capital increase

On 22 June 2022, the Board of Directors of the Parent Company acknowledged the willingness of the MEF, holder of a stake of 64.23% of the Bank's share capital, to *"support the capital initiatives through capital strengthening, within the framework of the 2022-2026 Strategic Plan, for the share pertaining to it under market conditions"*.

On 2 September 2022, the European Central Bank informed the Parent Company of the positive completion of the authorisation process regarding the execution of the Share Capital Increase, a significant strengthening of the Bank's capital position and one of the key initiatives of the 2022-2026 Business Plan.

On 15 September 2022, the Extraordinary Shareholders' Meeting of the Parent Company resolved to approve: (i) the Half-Yearly Financial Report of the Bank as of 30 June 2022; (ii) also taking into account the Observations made by the Board of Statutory Auditors, the reduction of the share capital for losses pursuant to art. 2446 of the Italian Civil Code, to cover the overall loss, reduced by the profit for the period and the use of available reserves; (iii) the grouping of ordinary shares in the ratio of no. 1 new ordinary share for every no. 100 existing ordinary shares; (iv) the Share Capital Increase with consideration for a total maximum amount of EUR 2.5 bn to be carried out in one or more tranches, through the issue of ordinary shares, with regular entitlement, to be offered as an option to the Company's Shareholders, pursuant to art. 2441 of the Italian Civil Code and (v) the consequent statutory changes and further amendments to some articles of the By-Laws

On 11 October 2022, the Board of Directors of the Bank has approved the final terms and conditions relating to the rights offering and admission to trading, on the regulated market, the new shares resulting from the Capital Increase.

On the same date, the MEF undertook to subscribe all the new shares to which it was entitled in proportion to its shareholding in BMPS, amounting in total to 64.23% of the maximum overall value of the Capital Increase, for the purpose of compliance with EU regulations on State aid, and on 13 October 2022, Consob approved the Registration Document, the Information Note and the Summary Note relating to the Capital Increase Operation.

On 13 October 2022, the Bank signed the guarantee contract relating to the share capital increase. In particular, the Joint Bookrunners and Joint Global Coordinators undertook to subscribe, severally and with no solidarity constraint, according to the terms and conditions set forth in the guarantee contract, the new shares not subscribed at the end of the auction for the shares for which options were not exercised, up to a total maximum amount of EUR 807 mln.

On 4 November 2022, the Capital Increase was fully subscribed for a total value of EUR 2,499,331,296. The new share capital of the Parent Company is therefore equal to amounting to EUR 7,453,450,788.44, broken down into 1,259,689,706 ordinary shares with no indication of par value.



Personnel management initiatives

On 4 August 2022, the Bank signed an agreement with the trade unions organisations, subject to the implementation of the capital strengthening process, which was then actually carried out, for the management of 3,500 voluntary resignations on 1 December 2022 as set forth in the 2022-2026 Business Plan, thanks to a early retirement programme based on the various pension options already accrued and the activation of the Sector Solidarity Fund.

This agreement was subsequently supplemented to take into account the more than 4,000 requests received at the end of the voluntary participation campaign, fully accepted by the Bank.

In view of personnel redundancy, the human resources management plans aimed at: (i) the coverage of Network activities, through upgrading processes and the rehiring of resources freed from Head Office structures, also thanks to corporate streamlining operations starting from the Consorzio Operativo di Gruppo; (ii) the managerial continuity plans, in support of the reorganisation manoeuvre, through upskilling and reskilling programmes; (iii) the reintegration of Control Functions.

Scope of consolidation

In line with the implementation process of the 2022-2026 Business Plan, the Board of Directors of the Parent Company, with a view to simplifying the Group's structure, approved the merger projects by incorporation into the Parent Company itself of three Subsidiaries: MPS Leasing & Factoring, MPS Capital Services and Consorzio Operativo di Gruppo. These transactions make it possible to achieve significant benefits in terms of revenue synergies and expense optimisation, as well as speed up decision-making processes.

For the first two subsidiaries, the merger transactions, for which the necessary authorisations were obtained from the competent Supervisory Authorities, are expected to be completed by May 2023, with accounting effects backdated to 1 January 2023. With reference to the Consorzio Operativo di Gruppo, the merger deed was signed on 2 December 2022.

Property valuation

The Bank decided to bring forward the valuation of all real estate assets, with respect to the standard frequency, to 30 June 2022. Therefore, at the end of the first half of 2022, the entire property portfolio owned by the Group was subject to valuation.

The valuation methodologies applied by the expert appraiser are aligned with International Valuation Standards (IVS) practices and with what is set forth in the Red Book of the Royal Institute of Chartered Surveyors (RICS).

As at 31 December 2022, the appraisals were updated only for those properties for business use for which significant market changes (above the threshold of +/- 10%) were recognised



in order to adjust their fair value to market values, in addition to a set of 20 capital assets deemed particularly significant.

The updating of the valuation of the properties entailed a write-down of approximately EUR 31.3 mln, gross of the related tax effects, of which EUR 20.5 mln as a balancing entry in the income statement and EUR 10.8 mln to reduce the valuation reserve. Considering the update already made as at 30 June 2022, the net negative effect for 2022 amounts to a total of EUR 61.2 mln gross of related taxes, of which EUR 31.3 mln recognised in the income statement and for EUR 29.9 mln to reduce the Other Comprehensive Income (OCI) reserve.

It should be noted that, as a result of its investment directly held in real estate, the Bank is also exposed to real estate risk insofar as any deterioration in the real estate market could lead to a different determination of the value of the real estate owned and result in the need for value adjustments on such properties in the future.

Credit management and related derisking initiatives

On 4 August 2022, the Board of Directors resolved, as part of the "NPE Strategy: Transfer 2022", the extraordinary transaction for the non-recourse transfer of a non-performing loan portfolio, named "Fantino", divided into three clusters (secured non-performing loans, unsecured non-performing loans and unlikely to pay) for a total gross book value of EUR 917.5 mln. The deconsolidation of the portfolio of secured non-performing loans and a large part of the unlikely to pay took place in the fourth quarter of 2022 with benefits on the NPE ratio and will help to structurally mitigate the impact of calendar provisioning.

In line with the expectations of the 2022-2026 Business Plan, starting from 2022, activities continued to strengthen and streamline the early warning systems and the asset quality control during disbursement and monitoring, in order to make management approach timelier and to reduce credit risk. As regards the Net NPE ratio, a reduction, during the Plan period, is expected from 2.6% in 2021 to 1.9% in 2024 to 1.4% in 2026, with a strengthened level of coverage (53% in 2024 and 59% in 2026). Furthermore, thanks to the high level of coverage, additional transfers will be activated.

In terms of estimates and assumptions with an effect on the values of non-performing financial assets made by the Bank in 2022, the methodological adjustments relating to the accounting of mass transfer of non-performing loans as part of the estimate of the accounting LGD are of note.

As for IFRS 9 measurements, in the course of 2022, the Bank has maintained a prudent approach to the estimate of value adjustments, as it cannot definitively be stated that the COVID-19 emergency has come to an end, and also taking into account the negative effects on the global and Italian economy directly or indirectly associated with the Russia-Ukraine conflict.

Therefore, the "management overlays" aimed at including ad hoc adjustments have been maintained and appropriately supplemented in order to take into account potential forward-looking deteriorations in credit risk which may not be adequately captured by the modelling



in use and to better reflect the specific impacts of COVID-19, the Russian conflict in Ukraine and the potential emerging economic and financial risks in credit assessments.

Overall, the management overlays used for accounting valuations as at 31 December 2022 resulted in greater adjustments on the cost of credit for approximately EUR 108 mln and higher exposures classified in stage 2 for approximately EUR 100 mln.

Valuation of tax assets – *Deferred Tax Assets (DTA)*

On 31 December 2022, the valuation of the DTAs was carried out in continuity with the methodology used for the 2021 Financial Statements and in line with what was carried out as at 30 September 2022, taking into account, for the estimate of future income, in addition to the positive outcome of the Capital Increase Operation, also the expected evolution of the Group's income statements in line with the Group's 2022–2026 Business Plan. From a prudential perspective, for the purposes of estimating future taxable income for the years after 2024, the income statement for the year 2024 was used in place of the last year of the Plan, increasing it by a long-term growth rate period for each year of the valuation time frame, with a corresponding positive impact on the income statement.

It should be noted that, on a prudential basis, the valuations carried out for 31 December 2022 were performed while maintaining the income projections of the Plan unchanged, deferring any positive effects on DTAs to the acquisition of final results during 2023.

Funding strategy

The actual figures as at 31 December 2022 confirm the very robust liquidity position of the Group, with indicator levels (LCR/NSFR) that are significantly higher than regulatory and operational limits. The maturity profile of the five-year period 2022-2026 is mainly represented by TLTRO 3 auctions, of which EUR 4 bn maturing in 2022, EUR 20 bn in 2023 (of which EUR 11 bn in the first half) and EUR 5.5 bn in 2024.

In light of the changed context of the rates applied by the European Central Bank following the latest monetary policy decisions, the Bank anticipated the reduction in the total amount of the long-term refinancing operations with the ECB by repaying, in December 2022, in addition to the TLTROs maturing naturally (EUR 4 bn), a further EUR 6 bn, bringing the total TLTRO auctions in place to EUR 19.5 bn as at 31 December 2022.

Against the planned maturities, the Group's funding strategies, defined in line with the 2022-2026 Business Plan, aim to maintain liquidity indicators at adequate levels, broadly above regulatory limits, as well as guarantee - with reference particularly with public bond issue plans - the constant fulfilment of MREs (Minimum Requirement for own funds and Eligible Liabilities).

As a result of the funding strategy, the liquidity indicators are higher than regulatory requirements (NSFR ~130%, LCR ~160%) and the MREL position is also solid in the course of the Plan, with a buffer with respect to the targets, even inclusive of the Combined Buffer



Requirement (CBR). Respect for the minimum liquidity indicator thresholds is also supported by the Share Capital Increase which, however, is not necessary in order to reach the minimum LCR and NSFR thresholds.

MREL Capacity

Pursuant to art. 45 of Directive 2014/59/EU, as amended, banks must at all times respect a minimum own funds and eligible liabilities (MREL) requirement in order to ensure that, in the event of application of the bail-in, they have sufficient liabilities to absorb losses and to ensure compliance with the Tier 1 Capital requirement envisaged for authorisation to carry out banking activities, as well as to generate sufficient trust in the market. The Resolution Authorities establish two binding MREL objectives: an “intermediate MREL target” to be reached by 1 January 2022 and the final “MREL target” to be reached by 1 January 2024.

On the basis of these premises, on 18 February 2022 the Parent Company received Single Resolution Board decision SRB/EES/2021/177 from the Bank of Italy on the determination of the minimum requirement of own funds and eligible liabilities (2021 MREL Decision). The requirements to be met by the Parent Company starting from 1 January 2024 on a consolidated basis are: an MREL of 23.32% in terms of TREA (*Total Risk Exposure Amount*), to which the Combined Capital Reserve Requirement (Requisito Combinato di Riserva di Capitale - CBR) applicable at that date must be added, and 7.22% in terms of LRE (*Leverage Ratio Exposure Measure*).

Starting from 1 January 2022, during the transition period, the Parent Company needs to respect an intermediate MREL on a consolidated basis of 18.95% in terms of TREA, to which the CBR (equal to 2.76% at 31 December 2022) is added, and 6.22% in terms of LRE (intermediate MREL requirement). In addition, there are subordinated MREL requirements (“MREL subordination requirement”), which must be met with own funds and subordinated instruments, equal to 13.5% for TREA, plus the CBR applicable on that date, and 6.22% for the LRE.

It should be noted that on 8 December 2022, the Bank received from the Bank of Italy the Draft MREL Decision 2022, which sets the new MREL requirements on the basis of the data as at 31 December 2021. More specifically it is stated that, starting from 1 January 2024, the Parent Company will need to respect an MREL of 23.77% in terms of TREA on a consolidated basis, to which the Combined Buffer Requirement (CBR) applicable at that date will be added, and 6.29% in terms of LRE. In addition, there are subordinated MREL requirements, which must be met with own funds and subordinated instruments, equal to 16.38% for TREA, plus the CBR applicable on that date, and 6.29% for the LRE.

For 2023, when the requirements will be informative and non-binding, the Parent Company will have to comply with an interim target ensuring linear growth towards the 1 January 2024 requirement.

As at 31 December 2022, the Montepaschi Group had exceeded the minimum requirements of the MREL Decision 2021 for 2022:



SREP Decision

On 27 December 2022, the Bank announced that it had received the final version of the SREP Decision from the ECB concerning the capital requirements to be met as of 1 January 2023. Considering the successful outcome of the Share Capital Increase, the ECB also removed the prohibition on the distribution of dividends, replacing it with the obligation for the Bank to obtain prior authorisation from the Supervisory Authority.

In 2023, the MPS Group - at the consolidated level - must comply with a Total SREP Capital Requirement - TSCR of 10.75%: this includes a minimum requirement in terms of own funds - Pillar 1 ("P1R") of 8% (of which 4.50% in terms of CET1) and an additional Pillar 2 requirement ("P2R") of 2.75%, which is unchanged with respect to 2022, to be held at least for 56.25% in the form of Common Equity Tier 1 capital - CET1 - and 75% in the form of class 1 - Tier 1 capital. The overall minimum requirement in terms of Total Capital ratio, obtained by adding a Combined Buffer Requirement (CBR) of 2.75% to the TSCR, is 13.50%.

In the context of the Final SREP Decision of 2022, the ECB highlighted points for attention that could limit the Group's ability to fully achieve the objectives of the 2022-2026 Business Plan in the medium term. In particular, the ECB reported: the persistence of tensions on the BTP-Bund spread and market volatility with potential negative repercussions on the demand for credit, with a decrease in funding and consequently on its cost; the rise in interest rates and a less favourable GDP scenario, which may lead to a deterioration of the loan portfolio with a concomitant increase in the stock of impaired loans and insolvency positions; the trend of complaints and lawsuits, which is not within the Bank's full control, as well as the capacity to prevent further litigation from arising.

In the aforementioned document, the Supervisory Authority also highlighted that the additional cost savings caused by the closure of branches, the Group's corporate reorganisation and IT investments in digitalisation could be offset by inflation connected to the new macroeconomic scenario, which may be higher than expected and may not be limited to utilities, reducing even the savings from the same investments in digitisation.

In the Final SREP Decision of 2022, the ECB also noted that: (i) practically all available contingency capital management actions, including the long-awaited right issue, have already been put in place, leaving the Bank extremely vulnerable to any adverse development; (ii) on the basis of the 2022-2026 Business Plan, there would remain a gap, at the end of 2024, between the Tier 1 Ratio of the Group and that of its peers; the persistence of this gap, in the long term, could represent a possible obstacle to future mergers with an industrial partner.

The achievement of the Plan objectives, considered satisfactory by the JST with respect to its expectations, presupposes the full commitment of management in the implementation of the business plan and in the identification of any alternative actions, if the need arises, in compliance with the operational risk limits, while monitoring commercial practices in order to minimise legal and reputational risk. In view of this, careful monitoring by management and the Board of Directors on the evolution of the Plan, and a constant updating according to the Regulatory system, are required.



Significant events after the end of the 2022 financial year

- On 19 January 2023, the Chair of the Bank, Ms Patrizia Grieco, announced that she had informed the Ministry of Economy and Finance of her decision not to renew the mandate expiring with the next Shareholders' Meeting called to approve the financial statements.
- On 26 January 2023, Consob published its 16-31 January Bulletin in which it announced with reference to Banca MPS that, taking into account (i) the capital increase and (ii) the consequent overcoming of the situation pursuant to art. 2446 of the Italian Civil Code, the monthly disclosure obligations required by Consob pursuant to art. 114, paragraph 5 of Legislative Decree No. 58/98, with order of 22 April 2021, are to be considered overcome.

Alongside the analysis of the overall disclosure in the Financial Statements as at 31 December 2020, the Supervisory Authority, on 22 April 2021, had adopted a measure pursuant to art. 114, paragraph 5 of the Consolidated Law on Finance, subjecting the Bank (as a company with significant business continuity uncertainties) to supplementary, monthly reporting obligations, establishing a deadline of 30 April 2021 for the first issue of such information.

The Commission has requested the company to continue to provide information on a quarterly basis on the status of the implementation of the business and financial plan, highlighting the deviations of the actual figures from the projected ones. In fact, it considers it necessary to continue to provide the market with updated information on the state of implementation of the Business Plan, the execution of which is also relevant for the purposes of the commitments undertaken with the European Commission.

- On 16 February 2023, Moody's improved the Bank's ratings by 2 notches, bringing the standalone Baseline Credit Assessment rating to "b1" from "b3", the long-term deposit rating to "Ba2" from "B1" and the subordinated debt rating to "B2" from "Caa1". The rating of the long-term senior unsecured debt was upgraded by 3 notches to "B1" from "Caa1". It also confirmed a stable outlook on long-term deposit and on senior unsecured debt ratings.
- On 23 February 2023, the Bank, as part of the Group's funding strategies that aim to maintain, among other things, the fulfilment of the MREL requirements, returned to the institutional bond market with the placement of a Senior Preferred unsecured issue with a three-year maturity (redeemable in advance after two years) for a total amount of EUR 750 mln, against requests for approximately EUR 1.6 mln. The bond was placed with different types of institutional investors, such as Fund Managers, Banks and Private Banks. The bond, issued as part of the BMPS EMTN Debt Issuance Programme with an expected rating of B1 (Moody's)/B+ (Fitch)/B(high) (DBRS), will be listed on the Luxembourg Stock Exchange.
- On 27 February 2023, AXA SA announced that it had sold approximately 7.94% of the share capital of BMPS, remaining in the shareholding structure with a stake of 0.0007%.



- On 9 March 2023, the Bank informed the market that it had obtained authorisation from the ECB for the mergers by incorporation into the Parent Company of the subsidiaries MPS Capital Services Banca per le Imprese Spa and MPS Leasing & Factoring Spa. Finalisation of the transactions, to complete the process of simplification of the organisational structure, is expected within the first half of the year, in line with the provisions of the 2022-2026 Business Plan.
- On 23 March 2023, with effect from 26 March 2023, Ms Patrizia Grieco resigned from the office of Director and Chair of Banca Monte dei Paschi di Siena following her appointment in another listed company.

2.2 Intra-group transactions, with related parties, atypical or unusual transactions, and those falling within the obligations of banking representatives

The Bank strictly adheres to governing provisions regarding transactions with related/associated parties, obligations of banking representatives, managers' transactions, personal transactions, and significant equity investments, also in consideration of its public nature. In fact, the issue of associated entities and related parties required a significant evolution in consequence of the entry of the MEF in the Bank's share capital. Specifically, in the case of risk assets assumed with respect to the Ministry of Economy and Finance and if it is a related party, the risk assets held with respect to parties connected to the Ministry are not added to the risk assets held with respect to the Ministry itself, by virtue of a systematic interpretation of the supervisory rules within the European regulatory framework. As a result, in these cases as many separate groups of connected customers are identified as there are the companies directly controlled by the Ministry (so-called "silos" approach); these groups also include the respective direct and indirect subsidiaries. The Ministry instead constitutes a distinct related party.

During 2022, no transactions that could be defined as atypical or unusual were carried out by the Bank with third parties, with Group companies or with related parties. The intercompany and related party transactions carried out in the aforementioned year were deemed appropriate, compliant with the reference regulations and in the interest of the Bank and the Group. Transactions in potential conflict of interest were resolved upon in compliance with the relevant internal and external regulatory provisions and were also the subject of specific attention, monitoring and, where required, specific review by the Committee for Transactions with Related Parties.

It must be noted that the Board of Directors with resolution of 19 January 2022, upon obtaining the prior favourable opinions of the Related Party Transactions Committee and of the Board of Statutory Auditors, has approved the updated version of the "Group Regulation in relation to management of the provisions on Related Parties, Associated Parties and obligations of the banking entities" as well as the "Group Directive" on the same topic. The internal regulatory documents have been amended to incorporate the obligation for banks to comply with the provisions of art. 88, paragraph 1, paragraphs 4 and 5, of Directive (EU) 2013/36 (CRD), as amended by Directive (EU) 2019/878 (CRD V) (hereinafter "art. 88 CRD"), on loans to representatives and their related parties (obligation introduced at the same time as the 35th update of 30 June 2021 to Bank of Italy Circular no. 285/13).



The Board of Statutory Auditors has acknowledged that Part H of the Notes to the Consolidated Financial Report as at 31 December 2022 includes the information concerning transactions with related parties, pursuant to art. 5, paragraph 8 of the CONSOB Regulation containing the provisions on transactions with related parties adopted with resolution no. 17221/2010 and subsequent amendments, governing “Public disclosure on transactions with related parties”.

During the Capital Increase operation, the Bank appropriately activated the controls on related parties, in consideration of the participation of the MEF and the potential participation of the commercial partners AXA and Anima. The issue was appropriately addressed during some meetings of the Related Party Transactions Committee, which was attended by the Board of Statutory Auditors. With reference to this type of investor, the audits carried out identified the market components of this operation, consisting mainly of the subscription of the shares, according to the terms and conditions set out in the Prospectus, and the provision of a lock-up clause required of the most significant shareholders precisely to avoid turbulence and distortions immediately after the increase.

* * *

In the opinion of this Board of Statutory Auditors, based on the information received, both directly and through participation in meetings of the Board of Directors and the competent Board Meetings, both the transactions specified above and those of an ordinary nature were carried out in full compliance with internal procedures and principles of proper administration, with the awareness of the risk and the effects of the decisions taken, and are adequately described in the Bank's Consolidated and Separate Financial Report as at 31 December 2022. The same transactions were found to be congruous and in the interest of the Bank and/or the Group and no critical issues were reported by the company's Functions with respect to regulatory constraints, either with reference to internal management limits or with reference to external limits prudential.

It is therefore confirmed that the principles of proper administration have been consistently applied.

3. Supervisory activities

3.1 Supervisory activities on the adequacy of the internal control system

➤ The Internal Control System (ICS)

The Internal Control System (ICS) adopted by the Montepaschi Group comprises a set of rules, functions, structures, resources, processes and procedures which aim to ensure sound and prudent company management.



Pursuant to the Supervisory Provisions for Banks (Circular no. 285 of Bank of Italy), the Board of Statutory Auditors is tasked to supervise the "completeness, adequacy, functionality and reliability of the internal control system and of the RAF".

For the purposes of the Internal Control System, in the Group's approach all the Corporate Functions are responsible for ensuring the adequate and correct implementation and have the direct responsibility of the processes under their competence in terms of monitoring, improvement and correct operation with respect to the expected results, as well as for the management of risks and their relative controls.

More specifically, in line with the already mentioned Circular of the Bank of Italy, the Bank has set up the following permanent and independent CCFs:

- Compliance Function;
- Risk Control Function;
- Internal Validation Function;
- Anti-money Laundering Function;
- Internal Audit Function.

The first four relate to second level controls, and Internal Audit to third level controls.

The Board of Statutory Auditors states that it carried out with the above-mentioned control Functions a constant exchange of relevant information in the reference period. It also states that, to the extent of its knowledge, the same control Functions have fulfilled the related information obligations with respect to the Statutory Auditors.

In particular, the analysis and assessment of the information flows that were made available, together with the in-depth analyses conducted during its meetings, enabled the Control Body to ascertain that the overall layout of the ICS and the Functions involved in it were in line with the directions and expectations provided by the Supervisory Authority from time to time, as well as with the Bank's strategic objectives contemplated in the 2022-2026 Business Plan.

On several occasions, the need to guarantee an ever greater and more widespread dissemination of the risk culture at all levels of the organisational structure was reiterated; this is based on the assumption that the awareness of risks and the proper knowledge and application of the processes and internal models to monitor the risks are the fundamental prerequisite for an effective, sound and prudent company management. In this regard, reference is made in particular to paragraph no. 1 of this Report, regarding the meeting held by this Board of Statutory Auditors with the JST in October.

The Board of Statutory Auditors paid particular and increased attention to the issue of the qualitative and **quantitative sizing of the CCFs** and the oversight of the *reskilling* and coaching activities resulting from the overall Voluntary redundancy manoeuvre/Solidarity Fund measure included in the 2022-2026 Business Plan. This is because the number of resources on which the CCFs can count on, together with the quality of the resources themselves, in terms of knowledge and skills, are aspects to be given the highest attention



and priority, as they are instrumental in achieving the planned objectives or in maintaining the necessary levels of effectiveness and efficiency of the control processes.

This includes, *inter alia*, the specific assessment carried out during the first half of the year by a consultancy company at the request of the Director in charge of the Control and Risk Management System on the CCFs, with the objective of verifying: (i) the follow-up of the remediation actions of the Quality Assurance Review (QAR) requested in 2020 by the Board of Statutory Auditors in office at the time and the "points of concern" that have emerged in the "OSI 4834 - Internal Governance" conducted on Internal Audit and Compliance in 2021 and included in the 2021 SREP decision; (ii) the organisational structure; (iii) the sizing; (iv) the level of interaction/integration, as well as (v) the progress of the GRC project.

The results showed that all issues related to the QAR and OSI findings were addressed.

Overall, the CCFs operating model was deemed to be consistent with the current regulatory framework and substantially in line with the reference benchmarks, although some points for reflection and areas for improvement were suggested.

More specifically, the organisational structure and target size have been assessed as substantially in line with the main market best practices, with evidence of areas of efficiency that can be pursued in an evolutionary logic linked to company and market dynamics; the level of interaction between the CCFs appeared to be improved through the standardisation of methodological approaches and the strengthening of the role of the Committee for the Coordination of Functions with Control Responsibilities. Finally, the GRC (Governance Risk and Compliance) platform common to all CCFs - in relation to which the related releases continue, despite the delays recorded during the year, mainly due to IT issues - was found to be in line with market benchmarks and able to meet the functional requirements of the CCFs, with identified points for attention in terms of IT implementation time frames and functionality not being fully usable as expected.

The results that emerged from the above assessment were appropriately taken into consideration also as part of the broader analysis activities that the Board of Statutory Auditors conducted with the support of the Human Resources Function, aimed at verifying the definition and implementation of a specific reintegration plan specifically intended for the resources of the CCFs affected by the manoeuvre itself (No. 112).

Moreover, on these occasions the Control Body also had the opportunity to observe and suggest, with a view to achieving greater levels of effectiveness and efficiency, the advisability to pursue increasingly sophisticated solutions, which must necessarily be combined with the company's strategies and needs by assessing the right trade-off between costs and benefits. In this context, the specific "Audit innovation" measures are relevant to the current processes and tools covered by the Internal Audit Function in the Audit Plan for 2023 (developments of Robotic Process Automation, Process Mining and Artificial Intelligence).



➤ Focus on the Corporate Control Functions (CCF)

Further details relating to the main drivers on which the CCFs have targeted the activities within their scope of competence and the relative outcomes are provided below.

– *Compliance Function*

It is carried out by the Chief Compliance Executive (CCE) Department, with responsibility assigned to the Manager of the same Department.

It oversees, using a risk based approach, the management of non-compliance risk with regard to all corporate activities, checking that the internal procedures are adequate for preventing such risk.

With regard to the 2022-2026 Business Plan, during the year the Compliance Function has provided an assessment on the compliance risk with regard to the main flow changes and the planned actions, with particular reference to activities in the areas of investment services, distribution of insurance products and provision of consumer finance. In order to monitor the development of the objectives of the Plan and ensure the maintenance of an adequate level of compliance, the Function participated in the round tables for the implementation of the Plan, also with reference to the Widiba Plan and the incorporation of the subsidiaries. With regard to these aspects, the involvement of the Compliance Function and the monitoring of activities thereby has been and will be stringent with a view to compliance *by design*.

In 2022, the Function performed 1,099 audits for all Group Companies, in line with those carried out in the previous year (1,030), even though not all audits originally planned (1,235) were completed. This aspect, explained by new requirements that arose in the course of the year as a result of regulatory changes and off-plan activities, was also affected by the extension of follow-up activities related to the actions of the "Transparency Plan 2" as well as by the support provided for the assessment of the new Usury legislation.

Among the regulatory updates that took place during the year, particular attention was paid by the Compliance Function to the changes introduced by the 40th update of Bank of Italy Circular No. 285/13 - in implementation of the "EBA Guidelines on the Management of Information Technology (ICT) and Security Risks" - which require, inter alia, that banks set up a second-level control function for the management and control of ICT and security risks in order to strengthen the management control of such risks.

In this context, the Compliance Function has carried out an initial regulatory gap analysis, on the basis of which a cross-functional working group was activated by the Chief Operating Officer Department aimed at achieving compliance in technical, organisational and regulatory terms within the deadlines indicated. It is in fact envisaged that banks must comply with the content of the aforementioned provisions by 30 June 2023 and submit a report to the Bank of Italy by 1 September 2023 describing the actions taken.



On the basis of the activities performed during the year, of the controls, the dialogue with the Supervisory Authorities and the comparisons carried out also with the other Corporate Control Functions, the overall assessment of the Internal Control System, as a judgement of compliance, stands at a "Mostly adequate" level.

The regulatory areas in which the majority of the critical issues were found in the control phase, with outcome "2-partially compliant", relate to: Transparency of Banking Services and Products and Transparency of Financing Services and Products. In this regard - as reported in the Compliance Report for the year 2022, made available and presented to this Board of Statutory Auditors during the meeting of 7 March and submitted to the Board the following day (8.3.23) - in order to mitigate the "significant" residual risk associated with the aforementioned regulatory areas, some specific strengthening, awareness-raising and implementation actions were defined.

In line with the regulatory provisions on "MiFID 2 ESG", which sets forth, inter alia, the obligation to factor in the environmental, social and governance (ESG) preferences of the investors in the assessment of adequacy in the advisory services on investments and portfolio management, the related adjustment measures were implemented within the set deadlines (August 2022), mainly focused on the revision of the questionnaire, on the adequacy algorithms (ESG adequacy check), on the advisory proposals, on product mapping and updating of internal regulations.

On the other hand, as regards MiFID 2, pursuant to Directive 2014/65/EU, the inspection conducted by Consob aimed at ascertaining the status of compliance with the same regulations (MiFID 2) with regard to the following profiles is relevant: (i) the defined procedural frameworks for product governance; (ii) the processes for assessing the appropriateness of transactions carried out on behalf of clients. The closing meeting was held on 17 February 2023. The relative results, not yet received as at the date of this Report, are expected in the first part of the current year.

With regard to the evolution of the overall mitigation and resolution of passive gaps, in 2022 to be noted is the closure of the last 2 gaps that had emerged alongside the audits on the DPO (Data Protection Officer) Staff and Advisory Privacy and the opening, by the same Audit Function, of a further 3 gaps involving the structures: Compliance Controls, ICT Compliance and DPO Staff.

Focusing on the "Privacy" area, as it emerges from the Annual Compliance Report in the dedicated section ("Personal Data Protection - Privacy"), the overall compliance assessment stands at a "mostly compliant" level with a moderate residual risk. In this regard, the activities of verification, integration and updating of the Register of Personal Data Processing under art. 30 of the GDPR General Data Protection Regulation continue on an ongoing basis. Moreover, following the incorporation of Consorzio Operativo di Gruppo into the Parent Company and the reorganisation of the General Management, all the functions of the Bank were invited to carry out an analysis of the treatments already recorded in the Register, intervening, where necessary, with a timely update of the activities based on the new processes implemented.



It should be noted that on 7 December 22, the Parent Company appointed a new DPO, to replace the previous one, who left the role because of joining the Solidarity Fund.

With regard to active compliance gaps during the year, 30 gaps attributed to other corporate functions were opened by the Compliance Function for all Group companies and 36 gaps were closed; at the end of December 2022, there were 17 active gaps open.

Lastly, with reference to the two macro-categories of complaints regarding investment services (Consob) and banking services (ABI), the Compliance Function notes the following:

- for Consob complaints, a total of 2,970 disputes with an increase more than doubled (+152%) compared to those recorded in 2021 (1,177) were received in 2022. The main number of complaints received (87.1%) concerned “Shares” and were related, in almost all cases, to requests for compensation due to alleged irregularities in the statements and/or financial statements of the Bank relating to past years;
- for ABI complaints, the number of complaints received was down compared to 2021: 4,162 (compared to 4,814), while the related claims were up (EUR 26 mln, compared to EUR21 mln in 2021). A total of 3,977 complaints on banking services, of which 1,313 were upheld (33% of the total) were addressed, for a total expense of EUR 1,079.17 mln (EUR 822 on average).

There were 524 customer complaints submitted to the Arbitro Bancario Finanziario (ABF) (+5% compared to 2021). The main areas subject to disputes regarded: (i) consumer credit/personal loans at 24.8%; (ii) debit and credit cards, with 26.9%; (ii) credit cards, at 22.9 % and (iii) consumer credit/personal loans at 18.3 %.

– Risk Control Function

It is carried out by the Chief Risk Officer (CRO) Department, with responsibility assigned to the manager of the same Department.

During 2022, as also reported in the Risk Management Report for the year 2022 submitted to the Board of Directors on 8 March of this year, the Function maintained as its main priorities the management of the Risk Profile and the continuous evaluation of the capital and liquidity adequacy (ongoing ICAAP and ILAAP).

With regard to the risk profile, the same Function has expressed its own specific assessments from the perspective of (i) inherent risk, i.e. the overall level of risks faced by the Group and (ii) the organisational processes, systems, controls and monitoring in place to manage and mitigate these risks.

Taking into account the equity and liquidity situation as at 31 December 2022, the assessment of the Risk Management Function with reference to the current inherent risks of the Group is fully adequate (score of 1 out of 4). The net improvement is due to the capital strengthening implemented, to the structurally reduced cost base, the improvement in



external *ratings* and the increase in interest rates, which are certainly positive. However, considering the expected increase in RWA due to regulatory headwinds, the gradual phase-in of MREL requirements and some qualitative elements of prudence in a forward-looking perspective, related to the evolution of the external scenario and potential execution risks of the Plan, the final assessment deemed most appropriate is mainly adequate (score of 2 out of 4). It is therefore absolutely essential to continue to ensure full implementation of the Plan, compliance with the RAS targets and constraints, full access to the bond market, together with risk containment and sustainability from an ESG perspective.

From the perspective of internal controls, organisational processes and risk management systems, the adequacy assessment based on the gaps detected shows, both in terms of processes pertaining to the Risk Management macro-process and the active gaps opened by the Risk Control Function, a further improvement in the general context, which is confirmed in an area of substantial adequacy.

There are still areas for improvement more specifically regarding the management of credit risks and the related mitigation processes (CRM) as well as residual mitigations pertaining to financial risks (market, IRRBB and liquidity), in addition to the need to evolve in terms of integration of climate-related and environmental risks into the risk management framework and the improvement of third-party risk oversight. As at 31 December 2022, the overall assessment was therefore certainly adequate (score of 1 out of 4).

–Anti-money Laundering Function

It is carried out by the AML-CFT first-level structure within the CRO Department; the responsibility is assigned to the Manager of the above-mentioned Department.

According to a risk-based approach, it oversees the risks related to combating money laundering and the financing of terrorism and continually verifies that business processes and procedures are consistent with the objective of preventing and combating the violation of regulations on such matters.

During 2022, remote audits were carried out with the frequency and methods established in the "control catalogue" with reference to the areas of: Suspicious transaction assessment, Fight against terrorism financing, Single Computer Archive (SCA) and Customer due diligence.

Overall, as shown in the "AML 2022 Report", made available to this Board and submitted to the Board of Directors on 8 March, the Anti-Money Laundering and Combating Terrorist Financing area confirms a level of considerable sustainability. The activities of the Anti-Money Laundering Function will also continue in order to support the completion of the merger project of MPS Capital Services and MPS Leasing & Factoring into the Parent Company, guaranteeing the management of ordinary activities and the mandatory adjustments required by the reference regulatory provisions.



In August 2022, the Bank of Italy disclosed the results of the inspections conducted in October 2021 at three BMPS branches, mainly aimed at investigating the operations of a number of cooperative societies subject to bankruptcy proceedings, operating in the goods handling sector, holders of accounts opened at the branch and affected by significant cash movements in the 2010-2021 period. In relation to the areas of weakness identified, which translated into the inability of the same branches to intercept the overall issue of the cash transactions of the cooperatives, as required by the Supervisory Authority: (i) a specific plan of corrective measures was defined; (ii) a specific audit was carried out; (iii) the results of the aforementioned activities were sent to the same Authority by the deadline set by it (31 December 2022) after being approved by the Board of Directors following consultation with this Board of Statutory Auditors.

In addition to this, during the fourth quarter of the year, the Bank of Italy carried out an *on-site inspection* on Banca Widiba aimed at verifying the control system adopted by the intermediary to mitigate the money laundering risks connected to the digital on-boarding process. During the exit meeting with the AML-CFT Function (21 December 2022,), the inspection team highlighted some areas needing strengthening of processes and controls at Banca Widiba, then summarised in the inspection report submitted at the Board meeting of the Subsidiary on 7.3.23.

Within 30 days of the aforementioned board meeting and thus after the date of this Report, the Subsidiary shall notify the Supervisory Board of its observations and of the measures it has already taken or intends to take. The same information will also be sent to the corporate Bodies of the Parent Company for their observations, which must be sent to the Supervisory Authority within the same term of 30 days.

– *Internal Validation Function*

It is carried out by the “Risk system validation” first-level structure within the CRO Department; the responsibility is assigned to the Manager of the above-mentioned structure.

The Internal Validation Function is required to constantly verify the consistency of the risk measurement systems with company regulations and the regulations of the Supervisory Authorities. It is responsible for validating the advanced internal models and the gradual extension to those of Pillar I not used for regulatory purposes and to those of Pillar II, according to a materiality criterion. Furthermore the function has the task to prepare the mandatory information set in relation to the models validated.

The Validation Report referring to 2022, presented by the Head of the same Function during the meeting of this Board on 7 March, includes the assessments formulated by the Validation Function regarding the Credit Risk Measurement Systems - Internal Rating System (AIRB-SRI), Operational Risks (AMA), Interest Rate Risk of the Banking Book and IFRS 9 *impairment* models, following the completion of the executable activities provided for in the 2022 Validation Plan and the additional activities made necessary in the course of year.

The outcome of the Validation analyses confirmed, in particular for regulatory risks (AIRB-SRI and AMA), the positive assessment in this respect with regard to the minimum requirements established for the use of internal systems for the determination of the capital



requirement, even in the presence of certain points of attention specifically developed in the above-mentioned annual disclosure and presented to the Board of Statutory Auditors, which recommended their prompt resolution.

More specifically, the Validation Function expressed (i) a "Partially Favourable" opinion in relation to the Credit Risk Measurement System - AIRB-SRI Internal Ratings System and (ii) a "Mainly Favourable" opinion on the Operational Risk Measurement System (AMA). The same Function has also assigned "Mainly Favourable" opinions to the Interest Rate in the Banking Book (IRRBB) and the Liquidity Risk Management and Measurement Systems, and to the IFRS9 impairment accounting Models in the area of Credit.

All the identified areas for improvement have been addressed and resolution activities are under way.

Finally, with particular regard to the AIRB credit risk management system, it should be noted that, in the early months of 2023, the release of the PD, LGD and EAD models subject to 2021 Model Change, analysed in the context of the ECB inspection IMI-2022-ITMPS-0197502, held between February and May 2022 and for which the relative Final Decision was received from the ECB on 1 March 2023. This Decision involves 32 obligations in resolution of the 30 findings, in addition to a Limitation that increases the RWA (Risk Weighted Assets).

– Audit Function

It is carried out by the Chief Audit Executive (CAE) Department, with responsibility assigned to the Manager of the same Department.

The CAE Department performs an independent and objective activity aimed at controlling, on the one hand, based on third-level controls, the regular performance of operations and the evolution of risks and, on the other hand, at evaluating the completeness, adequacy, functionality and reliability of the organisational structure and the other components of the Internal Control System, bringing any possible improvements to the attention of the company bodies, with particular reference to the RAF, the risk management process, as well as the instruments for measuring and controlling these risks.

The Board of Statutory Auditors also received from the same Function the necessary assistance for the execution of the supervisory activities in its competence and acquired the information relative to the Audit Plan, the activities carried out, the reports issued, the outcomes of the verifications carried out during the year, selected on the basis of shared relevance criteria and the progress of the corrective actions identified; with regard to the relevant aspects identified, this Body has acted to ensure that the necessary and more timely remedial actions were taken by the competent Bank's Functions.

The year 2022 was the second year of the 2021-2023 three-year audit cycle, a period in which the CAE Department set itself the goal of ensuring an adequate degree of coverage of the audit universe by taking a risk-based approach.



Overall, the CAE Department conducted 66 process interventions, including 28 compulsory revisions in compliance with regulatory requirements, in addition to 260 interventions on BMPS peripheral Network branches and Local Areas structures as well as on Banca Widiba's financial advisors. Of these, as already highlighted in the dedicated section (Section 1.1), 16 audit were performed to assist the Board of Statutory Auditors, of which 11 involved the head offices and 5 the peripheral ones.

The audits carried out are in line with the Audit Plan approved by the Bank's Board of Directors on 23 February 2022 and the subsequent amendment approved by the Board at the meeting of 4 August 2022. This change became necessary as a result of the evidence that has emerged during the first half of the year, which in any case did not impact the overall risk coverage. In fact, the Function has received and collected the requests made by the Boards, resulting from involvement in emerging and/or sensitive issues, for which it was necessary to carry out assurance activities not originally contemplated and advisory-related contributions in support of the various Bodies and Supervisory Authorities.

On the basis of the information acquired and included in the Annual Report of the Audit Function for 2022 presented to this Board of Statutory Auditors by the CAE Manager during the meeting held on 7 March and submitted to the Board of Directors on 8 March 2023, considering all the audit and follow-up activities carried out during 2022, in terms of completeness, adequacy, functionality and reliability, the rating given to the Group's Internal Control System was "R2-yellow" (according to the usual scale of judgements adopted by the CAE Department itself for the assessment of its audit activities, distributed over four levels with increasing relevance: R1-green, R2-yellow, R3-orange and R4-red), confirming the same assessment expressed last year, thus remaining in a positive range despite the presence of elements requiring attention.

This result represents the summary of the qualitative/quantitative findings from all certification activities performed during the year on the processes of the Head Office, the Network commercial structure and the Subsidiaries, where the number of cases with a mainly positive rating ("R2-Yellow" and "R1-Green") was 51% and 40%, respectively, to which the audits completed without a grade (3%) and those with a rating of "R3-Orange" (6%) must be added. During 2022, no cases with a negative rating ("R4-Red") were identified.

More specifically, the negative ratings ("R3-Orange") were attributed alongside the checks that the Audit Function performed on the Document Management process (2 interventions), on the assessment of the effectiveness of the Transparency Remedy Plan interventions (2nd tranche) and on the commercial management of some products (superbonus).

Referring to section 1.1 of this Report for the results of the audits on "Document Management" and "Transparency", carried out in support of this Board of Statutory Auditors, it should be noted that, with regard to the "Management of Superbonus and other building bonuses", the critical elements identified are mainly due to the presence of backlogs in the processing of cases that expose the Bank to the risk of disputes and reputational risks. In this regard, the need to complete the definition of the strategic areas for the proper



management of the operations in question was highlighted, with particular reference to any future new partnerships or the renewal of existing ones, while at the same time implementing a detailed work plan of the stock of cases. The set of actions to be implemented in order to overcome the above-mentioned critical issues, together with the related implementation schedules, have been shared with the relevant Functions and are carefully monitored by the Audit Function, which will also update the Board of Statutory Auditors on the matter.

On an overall level, on the basis of the audit activities carried out, no risk elements to be considered serious have emerged even though there are areas requiring attention that must be attributed to Operational Risks, IT Risks and Compliance Risks. In any case, there is still a strong focus on areas related to Credit Risks and monitoring of outsourced activities.

The Audit Function also has Group level responsibility for internal whistleblowing systems for reporting violations. This activity is managed through the "WB Confidential" IT system, which supports all related process. The application ensures, at every stage, the confidentiality of the report and privacy of the personal data of the reporting party and possibly the party to which the report refers, ensuring a specific and independent channel, separate from ordinary reporting lines.

Bank of Italy Circular no. 285 requires banks to describe their internal reporting system in a clear, precise and complete manner to their personnel. In this sense, training continued in 2022 on "Fraud management and whistleblowing".

In the course of 2022, analyses continued on the reports received in previous years (16 total at 1 January 2022) and the relative analysis activities were taken on and launched for the additional 20 reports received in 2022, a decline compared to those received in the prior year (37). These activities performed by the Audit Function were brought to the awareness of the Board of Statutory Auditors on a regular basis.

More in detail, with regard to the 20 reports of 2022, investigations were concluded for 17 of them, which can be broken down as follows:

- 2 closed with "positive" outcome, highlighting specific areas for improvement in company processes/procedures and/or personnel responsibilities;
- 15 were closed with a "negative" outcome, as they related to circumstances that were not addressed in the audit activities or regarded topics not falling within the scope of Anti-Fraud Function responsibilities.

For the remaining 3 reports received in 2022, analyses are ongoing; these mainly relate to credit processes and legal advice.

Overall, as confirmed by the Head of the Internal whistleblowing systems for reporting violations, which is part of the 2022 Report, the whistleblowing systems adopted is properly



functioning, according to the external and internal regulations currently in force. The electronic platform used did not show any particular critical issues during the year 2022 and its technological update, implemented at the beginning of 2023, strengthens IT security and facilitates navigation and usability by the user.

The active gaps monitored by the Audit Function amount to 112 - down compared to the end of 2021 (152) - the majority of which opened in the course of interventions performed/finalised towards the end of 2022 and at the beginning of 2023 (81%, or 91 out of the total of 112) and therefore with deadlines in the course of 2023.

The same downward trend was also seen in the number of open gaps with “High” relevance, indeed to complete the 2022 Audit Plan, there were a total of 4 gaps, down compared to the 7 active gaps at the end of the 2021 Audit Plan.

* * *

Overall, as at 31 December 2022, the active *gaps* under monitoring were 148, of which 2 attributable to ECB audits. There are now 9 high-significance gaps, of which 4 were added in Q4 of the year; the trend of “expired” gaps is decreasing (from 11 in Q4 2021 to 3 in Q4 2022).

In this regard, the relevant Function is paying more attention to compliance with the scheduled deadlines. This also following the indications provided in this regard, not only by this Control Body, but also by the Director in charge of the Internal Control System, aimed at clarifying and reinforcing the responsibilities of all the Functions involved in the gap management process: from the identification, to the taking charge, to the monitoring, up to the total closure of the critical issues identified. In this context, to be noted is the recent revision (January 2023) of the internal regulatory document on “Gap Management” (Doc. No. 1959) which provides for some changes aimed at strengthening the monitoring of corrective actions; in particular, said actions involve more stringent resolution time frames in the presence of gaps of high relevance, time limits for the execution of any pre-feasibility study and the redefinition of an escalation process in the case of delays in corrective actions (re-planning). Particular emphasis is given to the exit meeting phase, as an important opportunity for discussion among those who have identified the shortcomings and those who have been subject to an assessment, as part of a spirit of collaboration and sharing of issues among the various functions.

The resolution of the critical areas (gaps) identified during audits and, moreover, those identified by the Supervisory Authorities, was subject to constant monitoring by the Board of Statutory Auditors, which within the scope of its supervisory activities focused in particular on trends in the performance of the corrective actions carried out by the owner Functions and respect for agreed timing.

The Control Body has, in fact, regularly monitored the development of open gaps, acquiring the relevant updates from the special reports drawn up for the purpose (Quarterly Report and Gap Execution Plan), emphasising the need to give top priority to the effective



implementation of activities to resolve the gaps identified by the Control Functions as well as the findings reported by the Supervisory Authorities resulting from the inspections conducted by them, in compliance with the time frames and procedures defined for the purpose. This is since the improvement of processes and the ensuing value added for the overall company Organisation presupposes not only the identification of anomalies by the Control Functions but also the necessary remediation and resolution of the reasons for such anomalies, in order to achieve effective risk mitigation.

* * *

Based on these assumptions and with particular reference to the specific operational contexts analysed and the resulting corrective measures defined, this Board deems that the Internal Control System, although it is mainly adequate and has maintained sufficient oversight of business risks during the year, must further progress towards a more advanced model, also to be implemented through the pursuit of a greater level of real digitalisation and automation of the Bank's business processes and the relative controls.

The focus on the revision of processes in digital logic, i.e. the inclusion of streamlining elements based on digital tools, in addition to constituting a strategic objective of the 2022-2026 Business Plan, allows for the improvement of the overall process of effectiveness and coordination among the Control Functions, in line with the results that have emerged from the aforementioned assessment carried out during the first half of the year on the Corporate Control Functions.

This is so also from the point of view of fully managing the new requirements dictated by both the Supervisory Authority and by the System context in which the Bank operates (i.e., new ESG and sustainability risk areas, new strategic customer business development areas) and of continuing to ensure an adequate and efficient management of risk, as also provided for by sector regulations.

Digital innovation and the consequent increase in efficiency and effectiveness levels will necessarily have to be combined with compliance with the obligations and requirements set forth by the reference legislation, without overlooking the issues related to compliance risks, particularly on transparency, document management and IT security, while strengthening governance, monitoring and control.

The dynamism of the external scenario, characterised by constantly evolving Cyber Security threats, requires an on-going updating of the security measures necessary to protect systems, networks and programmes and to promptly intercept events that may compromise the integrity and availability of company information. In this sense, it is therefore essential to adequately implement the initiatives included in the 2022–2024 Three-Year Security Plan aimed at ensuring the consolidation and strengthening of the security position, expanding its scope of application and adopting increasingly innovative technologies.

The dynamism of the reference context makes it necessary for the Internal Control System to evolve over time, in order to guarantee the proper and timely alignment of the controls to



the new requirements dictated by internal and/or external changes, by Regulators' requirements as well as legislative changes. In this context, the aforementioned update of Circular no. 285/13 of the Bank of Italy which provides, *inter alia*, that banks have a second-level control function for the management and control of ICT and security risks in order to strengthen the management oversight of such risks.

This is why it is so important for the Control functions to be able to rely on quali-quantitatively adequate resources to manage all control activity phases, from planning, to execution to activity monitoring, promoting the necessary evolutionary adjustments to ensure soundness, effectiveness and efficiency of the Internal Control System.

It is therefore recommended that the newly appointed Board of Statutory Auditors, in the performance of its duties, consistently pursue the systematic monitoring of the initiatives and developments identified for the adequate and effective functioning of the organisational structure and the Internal Control System in line with the Bank's strategies.

3.2 Supervisory activities on the adequacy of the organisational structure

Banca MPS adopts an organisational model in which (i) the Head Office, in addition to its commercial banking activities, also performs governance and coordination functions and unitary control over the Subsidiaries, within the framework of the general guidelines defined by the Board of Directors and in the interest of Group stability (ii) the Parent Company Functions oversee the governance and support macro-processes and represent the liaison structures between the Head Office and the Network; (iii) the Banking Network carries out commercial and lending activities, maintaining strong local roots in customer management in the reference areas; (iv) Group companies oversee business support activities.

The Board of Statutory Auditors has verified the organisational structure of the Bank, also in relation to the size and characteristics of the corporate activities and according to the strategic guidelines of the Group's 2022-2026 Business Plan, acknowledging the importance of simplifying and streamlining processes that guarantee clarity for their ownership and accountability. During its assessments, the Control Body has brought to the attention of the Strategic Supervisory Body, *inter alia*, that the downsizing of the workforce provided for in the Business Plan through the Voluntary redundancy manoeuvre/Solidarity Fund measure, finalised in the month of December 2022, requires adequate management of the plan for the reintegration of resources, in particular of the CCFs, also affected by the aforementioned measure.

The organisational set-up during 2022 underwent a major revision that affected both the aforementioned liaison structures and the Network, for the purpose of simplifying the number of organisational levels, improving commercial operation processes and reducing organisational complexity without jeopardising the service levels provided and the effectiveness of operational processes. These organisational interventions are consistent with the objectives of the Group Business Plan which provide for a simpler and more efficient operating model and a significant change in the revenue mix as a fundamental element for achieving a sustainable *business* model over time.



Based on the implementation of the development strategies included in the Plan, the Chief Commercial Officer Department was divided into three Departments, with the aim of focusing on a greater specialisation and offering of a tailor-made service for customers. The new configuration, which makes it possible to operate with faster and more effective decision-making processes, is divided into the following structures: (i) CCO Retail Department with specific focus on consumer credit, asset management, bank insurance and digital banking activities; (ii) CCO Corporate and Private Department, which deals with Corporate and Private Banking products and markets; (iii) CCO Large Corporate & Investment Banking Department focused on large companies and with a structure dedicated to investment banking services.

In November 2022, a major organisational manoeuvre was also carried out on central and local coordination structures with a view to reducing organisational levels. The 5 Commercial Local Areas, the 48 Regional Retail Departments, the 14 Regional Corporate Departments and the 10 Regional Private Departments were closed; at the same time, 14 Regional Retail Departments, 14 Regional Corporate and Private Departments, 14 Regional Retail Credit Departments and 14 Regional Corporate Credit Departments were defined.

In December 2022, following the merger of the Consorzio Operativo di Gruppo, a further revision of the organisational structure has involved the creation of two structures (Information Technology and Information Security) reporting directly to the Chief Operating Officer, whose mission is respectively: (i) to manage information systems and related services, ensure the implementation of IT projects, and carry out the development and maintenance of IT systems; (ii) to define IT security guidelines and oversee information technology with regard to IT security aspects.

During the year, in order to strengthen the control and management of costs with the centralisation of authorisation processes, in line with the initiatives of the Plan, a "Cost Governance" structure was also set up under the responsibility of the Chief Financial Officer, who reports directly to the CEO.

Personnel management policies support the above-mentioned reorganisation projects through: (i) professional and managerial development plans which, based on a business continuity approach, ensure adequate qualitative-quantitative staff coverage levels; (ii) training programmes to enhance skills, provide managerial career guidance and support requalification processes; (iii) human resource engagement and motivation leverage (compensation policies, corporate welfare system, and internal communication plans).

In order to meet the expertise requirements resulting from the organisational transformation implemented in the latter part of the year, the "reskilling" and "upskilling" process was expanded and enriched, with opportunities for professional growth and minimal impact in terms of territorial mobility.

In light of the activities carried out, the information acquired and the documentation reviewed, the Control Body has acknowledged that the Group structure reflects an organisational model that guarantees efficient decision-making processes and that the recent changes have all been carried out in line with the Business Plan. The Board of



Statutory Auditors shall verify that this organisational structure, also in the future, is consistent and adequate with the strategic directives of the Plan, taking into account the evolutionary scenarios of the contexts in which the Bank operates.

3.3 Supervisory activities on the administrative accounting system

The Board of Statutory Auditors met regularly with the Financial Reporting Officer, under whom the relevant audit activities are centralised, in particular the Law 262 Legal Checks and Tax Compliance Structure, discussing the main areas for attention. The officer did not report any significant gaps in the operating and control processes that could jeopardise the assessment of the administrative and accounting procedures as suitable and effectively applied in order to correctly represent the Bank's financial situation as presented in the separate and consolidated financial statements as at 31 December 2022.

The main issues that the Financial Reporting Officer has deemed necessary to analyse during the 2022 financial year, as considered relevant also for the purposes of accounting audit activities, in addition to the more general checks on the reliability of the financial information, were the following: (i) going concern assumption; (ii) legal disputes linked to the dissemination of financial information in the 2008-2015 period; (iii) DTA evaluation; (iv) Credit: audits on classification and valuation.

These topics, extensively discussed during several meetings of the Board of Statutory Auditors also with the Financial Reporting Officer, are reported in more detail in the Notes, to which reference is made.

Also considering the size of the liability recorded (over EUR 900 mln) arising from the activation of the Solidarity Fund, the Financial Reporting Officer has carried out an audit on a sample basis, which, together with the analysis of the methodological documentation obtained and comparisons with the Functions concerned, did not show any significant differences with reference to the adequacy of the provision allocated.

Also from the additional audits carried out (proper classification and assessment of specific credit positions, adequacy and appropriateness of provisions for risks and charges with reference to civil and criminal cases and in relation to credit recovery activities), there were no obstacles to the issuance of the certification by the Financial Reporting Officer in charge of the separate and consolidated financial statements as at 31 December 2022.

The Statutory Auditors have also constantly monitored the remedial activities, coordinated by the Financial Reporting Officer, carried out by the competent Functions of the Bank with reference to the areas requiring improvement and/or strengthening as regards the internal control system, as identified by the Independent Auditors PwC with reference to the activities carried out on the Financial Statements as at 31 December 2021, upon acknowledging their substantial completion.

Similarly, frequent meetings were held with the same Independent Auditors aimed at exchanging information regarding the suitability of the Company's administrative and accounting system. During this activity, no facts deemed censurable were reported. The Board of Statutory Auditors also had the opportunity to share with the Independent Auditors



the procedures adopted in drafting the 2022 separate and consolidated financial statements.

Given the above, the Board highlights that:

- pursuant to the provisions of Italian Legislative Decree no. 38 of 28 February 2005, the Bank's financial statements were drafted by applying the international accounting principles issued by the International Accounting Standards Board (IASB) and related interpretations by the IFRS Interpretations Committee, endorsed by the European Commission as established by EC Regulation no. 1606 of 19 July 2002 effective as at 31 December 2022, as well as in compliance with the "Framework for the preparation and presentation of financial statements" ("Conceptual Framework");
- the provisions contained in Bank of Italy Circular no. 262, as amended by the seventh update of 29 October 2021 and supplemented by the Communication from Bank of Italy of 21 December 2021, were also applied to the draft Financial Statements for the year, as well as the relative explanatory notes;
- disclosures to the public are made available on the Bank's website within the deadlines set for the publication of annual and interim financial statements, according to the provisions indicated in prudential supervisory regulations (known as Pillar 3);
- all activities performed, the control methods defined and the corrective action plan activated thus far, have allowed the Board of Directors and the Financial Reporting Officer to issue the certifications envisaged by art. 81-ter of Consob Regulation no. 11971 of 14 May 1999 and subsequent amendments and by art. 154-bis of the Consolidated Law on Finance with reference to the 2022 separate and consolidated financial statements. The Risk and Sustainability Committee has expressed a favourable opinion on these statements.

It should also be noted that the Directors did not opt to exercise the derogation pursuant to art. 5, para. 1, of Legislative Decree no. 38/05.

With regard to the issue of going concern and the requirements of Document no. 2 of 6 February 2009 and Document no. 4 of 3 March 2010, issued jointly by the Bank of Italy, Consob and ISVAP, with subsequent amendments and Consob Warning Notice no. 1/21 of 16 February 2021, this Board of Statutory Auditors acknowledges that the financial statements were drafted under the "going concern" assumption, based on the reasonable assumption of continuing to operate in the foreseeable future.

Taking note of this assumption, we refer to what is stated by the Board of Directors in Part A of the Explanatory Notes - Accounting policies in the "going concern" and "Use of estimates and assumptions in the preparation of the financial statements" paragraphs.

We have highlighted below the main evaluations carried out by the Directors on the persistence of the assumption of going concern to which this Board of Statutory Auditors has paid particular attention.



The assessment of the Group's ability to continue as a going concern is based essentially on the prospective evolution of the capital and liquidity position over a time span of at least 12 months.

The Bank's Directors are confident that, following the successful completion of the EUR 2.5 bn Capital Increase Operation on 4 November 2022, no capital shortfalls are expected to emerge within the going concern assessment time horizon in line with the Plan. As far as liquidity is concerned, the position remains sound and the Directors therefore believe that the significant uncertainty surrounding the Bank's capital strengthening, which generated significant doubts about the Bank's ability to continue as a going concern, as stated in the reports and in the Financial Statements (as of 31 December 2020) prior to the interim report as of 30 September 2022, has been overcome.

In light of these elements and evaluations, and with reference to the indications provided in Document no. 2 of 6 February 2009 and Document no. 4 of 3 March 2010, issued jointly by the Bank of Italy, Consob and ISVAP and subsequent updates, the Group has a reasonable expectation of continuing to operate as a going concern in the foreseeable future and has therefore prepared its financial statements on a going concern basis.

* * *

In the context of the tasks assigned to it, not being required to carry out analytical checks on the merits of the content of the financial statements, the Board of Statutory Auditors has carried out an overall check on the adequacy of the process for the preparation of the Financial Statements as at 31 December 2022 and on the audits carried out by the Independent Auditor.

Therefore, pursuant to the provisions of Italian Legislative Decree 39/10 as amended and supplemented, the Board of Statutory Auditors has verified the financial information process used by the Bank and in particular by the Financial Reporting Officer, by the Chief Executive Officer and by the Directors and, with reference to the audit carried out by the Independent Auditor, has monitored the audit of the Financial Statements for the year closed on 31 December 2022.

In conclusion, to the extent of its own competence, this Board of Statutory Auditors has ensured that the entire process followed by the Bank, the directors and by the Independent Auditor was carried out in accordance with the laws and regulations, not having identified any inconsistencies between the information received with the information supplied in the Financial Statements.

Having said that, the Auditors have in particular examined the specific issue of the going concern assumption in the widest context in the exercise of their own supervisory and monitoring duties on occasion of the preparation and approval by the Bank of the Financial Statements as at 31 December 2022.



The Control Body was thus able to verify the complex process for the preparation of the Financial Statements as at 31 December 2022 at the end of which the Directors, with regard to the evaluation of the assumption of going concern, came to the conclusions highlighted above. What was represented to this Board of Statutory Auditors on such issue, to the extent of its knowledge and its competence, was found to be consistent with the information on the financial statements.

With particular regard to the issue of going concern, reference is also made to what is extensively described in the paragraph "Focus on the 2022-2026 Business Plan" of this Report.

The Board of Statutory Auditors had in fact noted that, at the end of the financial year 2021, the Directors, after having considered the material uncertainty related to the method of the Bank's capital strengthening which may give rise to significant doubts on its ability to continue to operate as a going concern, deemed that, taking into account the status of the actions put in place, the set of these evaluations supported the reasonable expectation that the Group will continue to operate as a going concern in the foreseeable future and therefore the use of the going concern assumption in preparing these financial statements.

The Financial Statements as at 31 December 2021 had therefore been prepared by the Bank, taking into account the requirements of Documents No. 2 of 6 February 2009 and No. 4 of 3 March 2010, issued jointly by the Bank of Italy, Consob and ISVAP and subsequent updates, and Consob's Warning Notice No. 1/21 of 16 February 21, on the assumption that the Bank was a going concern, in accordance with the reasonable expectation that it would continue to operate in the foreseeable future.

This assumption was based in particular on the possibility for the Bank to implement a capital strengthening measure, on a stand-alone basis, for EUR 2.5 bn.

The Statutory Auditors therefore acknowledged and constantly followed in all its phases the structured process that led the Bank to the unanimous decision that it was necessary to identify new guidelines for the management of the Bank in order to achieve, at market conditions and on the basis of a convincing plan for investors, the aforementioned capital strengthening operations.

As already mentioned, the Board of Statutory Auditors therefore monitored all the phases of the Chief Executive Officer's turnover and, subsequently, the complex activity that led to the approval of the 2022-2026 Business Plan and the subsequent implementation, with the involvement of the reference shareholder, of the Capital Increase Operation for EUR 2.5 bn.

Subsequently, significant actions were taken under the aforementioned Plan, with particular regard to the redundancy manoeuvre involving over 4,000 resources, the merger by incorporation of the Consorzio Operativo di Gruppo and the start of the mergers by incorporation of the subsidiaries MPS Leasing & Factoring and MPS Capital Services.



The successful conclusion of this Capital Increase Operation and the significant results achieved afterwards, led the Directors to believe that the considerable uncertainty regarding the Bank's capital strength that generated significant doubts on the Bank's ability to continue as a going concern which were stated in the reports prior to the interim report as at 30 September 2022, had been overcome. In fact, the Directors do not expect capital shortfalls to emerge within the business continuity assessment period.

In this regard it should be noted that following a specific request submitted by the Bank, Consob has therefore revoked the monthly disclosure obligations referred to in letter a) of the provision of 22 April 2021, which subjected the Bank itself to additional reporting requirements pursuant to art. 114, paragraph 5 of the Consolidated Law on Finance, as announced by Consob in the Bulletin of 16-31 January 2023.

The commission has instead confirmed the obligation pursuant to letter b) of the aforementioned provision of 22 April 2021 referring to the information to be provided on a quarterly basis on the status of the implementation of the Business and Financial Plan, highlighting the deviations of the actual figures from the projected ones.

At the end of our verification activities, taking into account the conclusions of the information reviewed, there is therefore reason to assert that the Bank's administrative accounting system is able to ensure the correct representation of management events.

3.4 Supervisory activities on the statutory accounting audit

The Board of Statutory Auditors supervised, to the extent of its responsibilities, the statutory audit of the separate and consolidated financial statements through the ongoing exchange of information with the Independent Auditors PricewaterhouseCoopers Spa, appointed by the Shareholders' Meeting of 11 April 2019 for the financial years from 31 December 2020 to 31 December 2028.

As already reported in paragraph 1, it should be noted that, as of 1 July 2022, the responsibility for the management of the Bank's statutory audit activities was assigned by PwC to Mr Marco Palumbo, replacing Mr Lorenzo Pini Prato.

The Statutory Auditors has held numerous meetings with the same Company, during which they reviewed the audit plans relating to the interim financial statements as at 30 June 2022 and the separate and consolidated financial statements as at 31 December 2022, and has addressed the main risks and points of attention identified by the Auditor.

The same PricewaterhouseCoopers, on 27 March 2023, transmitted the Reports issued pursuant to art. 14 of Italian Legislative Decree no. 39/10 and art. 10 of the Regulation (EU) no. 537/14.

From the review of these documents it was therefore acknowledged that:



- in the opinion of the Independent Auditors, the financial statements provide a true and fair representation of the financial position of the Bank and Group as at 31 December 2022, as well as the economic result and cash flows for the financial year closed on that date, in accordance with International Financial Reporting Standards adopted by the European Union and the provisions issued in implementation of art. 9 of Italian Legislative Decree no. 38/05 and art. 43 of Italian Legislative Decree no. 136/15;
- the Statutory Auditors point out that the Directors are responsible for applying the provisions issued by the European Commission Delegated Regulation (EU) 2019/815 with regard to regulatory technical standards on the specification of a single electronic reporting format (ESEF – European Single Electronic Format), to the Financial Statements and Consolidated Financial Statements as at 31 December 2022, to be included in the Annual Financial Report. The Auditors have carried out the procedures described in the auditing standard (SA Italy) no. 700B in order to express an opinion on the compliance of the Financial Statements and the Consolidated Financial Statements with the provisions of the Delegated Regulation. In the opinion of the Auditor, the Financial Statements and the Consolidated Financial Statements as at 31 December 2022 have been prepared in XHTML format and only the Consolidated Financial Statements have been marked, in all significant aspects, in compliance with the provisions of the Delegated Regulation; the Auditors note that some information contained in the Notes to the Consolidated Financial Statements, when extracted from the XHTML format in an XBRL application, due to certain technical limitations, may not be reproduced in an identical manner with respect to the corresponding information that can be displayed in the Consolidated Financial Statements in XHTML format;
- it was certified that the Report on Operations and certain specific information contained in the Report on Corporate Governance and Ownership Structure are consistent with the separate and consolidated financial statements and have been prepared in accordance with the law.

PricewaterhouseCoopers Spa has highlighted the following key audit matters, which were also discussed by this Board of Statutory Auditors in the aforementioned meetings held with the Independent Auditors:

- Assessment of the appropriateness of the going concern assumption;
- Evaluation of receivables from customers for loans valued at amortised cost;
- Assessment of legal risks;
- Recoverability of deferred tax assets;
- Activation of the Solidarity Fund.

The Independent Auditors have also sent the “Supplemental Report” (dated 27 March 2023) to this Control Body, as required by art. 11 of the aforementioned Regulation (EU) no. 537/14. Pursuant to that article and art. 19, paragraph 1, letter a) of Italian Legislative Decree no. 39/10, the Board of Statutory Auditors is required to forward this document, annexed with its own data, to the Directors, together with the results of the audit carried out by PricewaterhouseCoopers Spa.



On the basis of the audit evidence obtained, the Independent Auditors did not identify any significant uncertainty regarding the going concern of the Bank and the Group; it points out, however, that neither the Directors nor the Independent Auditors can guarantee the future capacity of the Bank and the Group to continue to operate as a going concern.

This Report shows that, as part of the auditing activities carried out, no actual or suspected cases of fraud were identified and no significant issues were identified regarding cases of non-compliance, actual or presumed, with laws and regulations or provisions of the By-laws.

In addition to this, it is noted that during the course of the audit assignment, more specifically in the process of preparing the financial statements and the consolidated financial statements, a number of areas of the internal control system requiring strengthening and/or areas requiring potential improvement were identified by the Auditor and brought to the attention of Management and the Heads of Governance activities. In this regard, in addition to some aspects relating to the valuation of loans to customers, with reference to certain issues (such as methods for determining the charge for financing the Solidarity Fund, valuation of real estate properties and real estate pledged as collateral for loans to customers), the Auditor has highlighted the need to streamline management processes and first and second level controls.

At the date this report was submitted, the Board of Statutory Auditors did not find any critical elements regarding the independence of the Independent Auditors or causes of incompatibility. In this sense, it also received confirmation from the Independent Auditors, expressly contained in the aforementioned reports, both in the supplemental and standard reports, that PricewaterhouseCoopers Spa has not provided services that are prohibited pursuant to art. 5, para. 1 of the aforementioned Regulation.

With reference to the aforementioned Consob Communication no. 1025564 of 6 April 2001 and subsequent amendments, note that in 2022 the Bank granted the Independent Auditors additional assignments for "certification services" in addition to the audit, for fees amounting to EUR 461 thousand and for "other services" for fees amounting to EUR 619 thousand (amount net of VAT, ancillary costs and Consob contribution), as reported in the Notes, to which reference is made for that which is not expressly reported herein.

At Group level, these amounts respectively amount to EUR 500 thousand for "certification services" and EUR 734 thousand for "other services", for a total of EUR 1,234 thousand.

The aforementioned assignments were granted in compliance with the limits established by the "Group Policy on granting and revoking assignments to Independent Auditors", which the Bank has internally adopted and in accordance with the provisions of EU Regulation no. 537/14.

During the year, the Independent Auditors were not asked to issue mandatory opinions.

PricewaterhouseCoopers Spa has audited the approval by the Directors of the Non-Financial Statement which, pursuant to art. 3, para. 10 of Italian Legislative Decree no. 254/16, is subject to a separate attestation of compliance by the Independent Auditors.



3.5 Supervisory activities on the financial reporting process

The Board of Statutory Auditors performed the functions of the Internal Control and Audit Committee envisaged for entities of public interest by the Consolidated Law on Statutory Auditing, analysing and monitoring the financial reporting process, examining and following the orderly execution of the work plan prepared by the Independent Auditors (for both financial statements as at 30 June 2022 and 31 December 2022) and verifying its adequacy with respect to the size and organisational and business complexity of the Bank.

The Board also interacted with the Financial Reporting Officer from whom it received assurance, including through the specific Certification Report of the Financial Statements, on the consistency between the information reported therein and the results of the accounting applications in use at the Bank. Similar dialogue was conducted for the information contained in press releases and presentations to analysts.

The matter, specifically governed also in the Bank's internal regulations, was audited by this Board in relation to the reliability of financial information communicated by the Company.

As part of its risk disclosure, the Bank identifies as risks of high significance the credit risk, market risk and operational risk (including legal risk), business risk and strategic risk, as well as liquidity risk for funding components and short-term liquidity risk components.

The Board of Statutory Auditors places its attention to the risks generated by major legal disputes and out-of-court claims in which the Group is involved, pointing out in particular the risks arising from the financial information disclosed in the 2008-2015 period, on which it has dedicated, also with the support of the Legal Department itself as well as the Financial Reporting Officer, various working sessions in order to monitor any changes over time, the correct measurement process for financial purposes and adequate monitoring.

In conclusion of this activity, the auditors acknowledged that, in application of the provisions of the IAS 37 international accounting standard, the Bank: (i) availed itself of the possibility granted by IAS 37 not to provide disclosure of details on provisions in the Financial Statements in case this information might severely prejudice the bank's position in the disputes and potential settlement agreements; (ii) with regard to legal disputes, the launching of civil parties in the criminal procedure no. 29634/14 and the extrajudicial requests relating to disputes regarding the period 2008-2011, the in-depth analysis of the grounds of the judgement delivered on 6 May 2022 and the breadth of the acquittal of all defendants, led to the reclassification of the risk of losing from "probable" to "possible". In the third quarter, therefore, the previously allocated provisions for risks, relating to this type of dispute, were released to the income statement; (iii) for the disputes concerning the period 2012-2015, following the ruling of 15 October 2020 issued in the proceeding no. 955/16, the risk of losing the case is assessed as "probable" and the Bank has therefore allocated specific provisions for risks and charges in the 2021 Financial Statements.

Furthermore, for the civil proceedings relating to the 2012-2015 period, the risks associated with what are known as non-performing loans, indicated starting from the half-yearly report as at 30 June 2021 as having a "likely" risk of being lost.



The grand total of out-of-court claims (complaints and mediations) received by the Parent Company as at 31 December 2022, relating to capital increase operations and allegedly incorrect financial disclosures in prospectuses and/or Financial Statements and/or price-sensitive information, amounted to EUR 1.5 bn. The Directors also point out that in January 2023, a further claim was received through an advisory firm for a total principal amount of EUR 0.7 bn.

Although not summarised here, please refer to the exhaustive information provided in “Part E” of the Notes, where reference is made to the types of risk and the related hedging policies.

In performing the supervisory duties attributed by reference regulations, this Control body verified the consistency of the specific periodic information provided to the Authority and the public with the events and occurrences noted over time, along with overall consistency with the disclosure submitted by the Directors in Board meetings and the profit and loss and financial position statements prepared during that period.

3.6 Supervisory activities on non-financial information (Italian Legislative Decree no. 254/16)

Having noted the provisions of Legislative Decree no. 254/2016, in implementation of Directive 2014/95/EU as regards disclosure of non-financial information, and of Consob Regulation no. 20267 of 18 January 2018 implementing the Decree, in exercising its duties the Board of Statutory Auditors monitored compliance with the provisions on drafting of the Non-Financial Statement prepared according to the latest reporting standards published in 2021 by the Global Sustainability Standards Board (GRI Standards - Global Reporting Initiative). These are the main reference standards adopted at global level for reporting the sustainability performance of a company (sustainability reporting). The Group has adopted the “in accordance” option, providing the highest level of disclosure and ensuring a higher level of transparency and comparability.

* * *

Making reference to the Consolidated Non-Financial Statement for a more detailed description of the activities carried out, it is reported that, based on the aforementioned information acquired, this Board of Statutory Auditors certifies that, as required by art. 3, para. 7 of Italian Legislative Decree no. 254/16 and based on the review of the attestation issued by the Independent Auditors, pursuant to art. 3, paragraph 10, of Legislative Decree no. 254/2016 and the declaration made by the latter in the context of the Report to the Consolidated Financial Statements pursuant to art. 4 of the Consob Regulations implementing the aforementioned Decree, both issued on 27 March 2023, no elements of non-compliance and/or violation of the relevant regulatory provisions were brought to its attention. The 2023 Consolidated Non-Financial Statement was approved by the Board of Directors on 8 March 2023.

4. Remuneration policies

The Board of Statutory Auditors reviewed the “2023 Report on the remuneration policy and on compensation paid” drafted in compliance with external regulations (Consolidated Law on Finance, Consolidated Law on Banking, EU Directives and Regulations, Bank of Italy



and Consob regulations), as well as the Bank's Code of Ethics and the Corporate Governance Code.

This Report was approved by the Board of Directors in the meeting of 8 March 2023 on proposal of the Remuneration Committee, with the compliance opinion formulated by the Compliance Function and the Risk and Sustainability Committee, the latter in relation to the verification of the consistency of the incentives indicated in the remuneration and incentive system with the risk propensity objectives.

In view of the amended legislative and regulatory framework (also in compliance with the provisions of the Consob Issuers' Regulation updated in implementation of the *Shareholder Rights Directive II*, approved and published by Consob in December 2020), the 2023 Report on remuneration policies, in addition to having been duly updated, provides a clear distinction between the two sections set forth in the aforementioned regulation, which respectively define the policies and practices to be adopted for the year 2023 and the remuneration paid in the year 2022 to Directors, Statutory Auditors, Strategic Managers, as well as the data on the Most Relevant Personnel (PPR).

Following the directions provided by the Supervisory Authority in the context of the SREP Decision 2022, the Report was promptly supplemented in order to ensure a clear categorisation of benefits. In the document (i) the benefits attributable to fixed remuneration are listed in a summary form, specifying that their allocation must take place according to pre-established and non-discretionary criteria; (ii) it is specified that any grants of benefits that do not comply with these criteria are to be considered among the components of variable remuneration and therefore subject to the relevant rules.

More generally, the purpose of the Group's Remuneration Policies is also to design a corporate strategy that makes the most of human, social, relational and environmental capital, contributing, with increasing effectiveness, to the pursuit of the Group's long-term economic-financial interests, but also to the "sustainable success" of the company. The priority objective of creating value for shareholders over a medium/long-term time horizon indeed cannot disregard the pursuit of objectives linked to corporate social responsibility.

In this scenario, remuneration policies play a strategic role in pursuing these objectives, through adequate balancing and sizing of the variable remuneration component with respect to the fixed component, and ensuring that the variable part of remuneration is connected to both financial and non-financial performance parameters, the latter also linked to environmental, social and governance (ESG) targets.

The remuneration policy is also a pivotal element in support of the 2022-2026 Business Plan "*A Clear and Simple Commercial Bank*", whose main pillars include not only the achievement of a sustainable level of profitability with a solid balance sheet, but also the simplification of the Group's structure in order to ensure greater efficiency in operations and to strengthen its role as a commercial bank close to specific local areas. Finally, when defining the remuneration policy for the Group, in the afore-mentioned Business Plan the Bank also takes into account the commitments regarding remuneration assigned by the European Commission.



The Group's commitments include the decision to apply strict executive managers remuneration policies and, specifically, the application of the so-called salary cap on individual remuneration, i.e. the remuneration paid may not exceed the average 2022 salary of employees multiplied by ten. Amounts in excess of this cap, accrued under the incentive plans for senior managers and key function holders, may only be paid out provided that: (i) payment of the variable remuneration is subject to the disposal of the public shareholding; (ii) the remuneration plan complies with the EBA Guidelines on sound remuneration policies pursuant to Directive 2013/36/EU.

The main changes introduced in the 2023 Report on the remuneration policy, strictly connected with the priorities of the 2022-2026 Business Plan and in line with the applicable regulatory framework and the commitments mentioned above, concern:

- the introduction of the new Group Incentive System, defined in terms of funding ratio with respect to the Group's results, for (i) the resources identified within the scope of the Most Relevant Personnel (PPR - Personale Più Rilevante) and other key resources for the achievement of strategic guidelines, with payments for the PPR that are subject to the rules of a combination of cash and financial instruments and with deferral over a time period of no less than 4/5 years; (ii) the remaining Group personnel, divided between the Network and Central Structures;
- transposition of remuneration recommendations from the Chairperson of the Corporate Governance Committee as part of the annual report on the application of the Corporate Governance Code. In particular (i) the inclusion of a table, for the CEO, with the composition of the remuneration package; (ii) the provision of a variable component with a multi-year horizon, in line with the strategic objectives of the company and with the pursuit of sustainable success; (iii) the CEO and other Executive Directors incentive mechanisms linked to sustainability objectives with a clear indication of the specific performance objectives to be achieved.

For the payment to the PPR of the core components of the variable system, the Bank has adopted the Phantom Shares instrument, which is based on the allocation, in a synthetic form, of financial instruments which will be converted into cash based on the market value of the Bank's ordinary shares, according to the deadlines set out in the specific agreements. For the payment of these financial instruments of the 2023 Incentive Scheme and of any severance, to be paid as an incentive for early termination of employment or early exit from office, there is no provision for the use of the Bank's treasury shares, which were entirely transferred, in execution of the resolution passed by the Bank's Shareholders' Meeting of 18 May 2020.

The 2023 Incentive System aims at steering management behaviour towards corporate and Group priorities in order to support long-term value creation, by attracting and retaining highly qualified personnel, supporting people's motivation, recognising merit and enhancing professional development, with the aim of supporting sound and prudent risk management. At the same time, remuneration policies incentivise the achievement of the challenging objectives defined for 2023 by creating the prerequisites for the full execution of the Business Plan in the three-year period 2024-2026.



A Plan to use “Phantom Shares” will be submitted to the Shareholders' Meeting of 20 April 2023 to meet possible future commitments related to the payment of given amounts as an incentive for the achievement of previously set objectives and for the early termination of employment or early termination of office (severance pay) intended for the “Identified Staff” of the Group Companies.

With regard to this, it is specified that this proposal was preceded by the resolution of the Board of Directors of 8 March 2023 and by the positive opinion of the Remuneration Committee, the Risk and Sustainability Committee and the Board of Statutory Auditors. The opinion on the issue by the Control Body is in fact required by articles no. 2389 of the Italian Civil Code and no. 26 of the Bank's By-laws, and regards the Chief Executive Officer/General Director.

With reference to 2022, in order to contribute to the achievement of cost targets, the Bank did not activate variable incentive schemes. No use was made of the financial instrument plan to make severance payments, which was approved by the Shareholders' Meeting in 2022, as no severance greater than the relevant exemption threshold set was ever generated.

In compliance with the provisions of external regulations on “Gender neutrality”, in the Report on the Remuneration Policies for 2022, a disclosure is provided that the gender pay gap within the Group is -12.5% at 31 December 2022 (average total monetary remuneration of women compared to men). In order to steer mitigating actions towards gender balance and equal pay and, thus, ensure equal pay levels for equal tasks and experience, the Bank has: (i) in line with the UNEP FI - *Principles for Responsible Banking* (PRB2), set a 2023 target of 35% of senior roles held by women; (ii) steered its remuneration policies towards a gradual and substantial reduction of the gender pay gap; (iii) set, within the 2022-2026 Business Plan, the target of 40% of senior roles held by women to be achieved by 2026. For some time now, the Bank has also had a Joint Commission on Equal Opportunities, which is responsible for sharing female employment indicators in the company, as well as identifying appropriate enhancement policies in order to accelerate concrete solutions aimed at pay equality between men and women across every level of the organisation.

With regard to salary levels, whose trend in 2022 is affected by the re-composition of the workforce, characterised by the exit of 4,430 resources, of which 4,028 between the Solidarity Fund and Early Retirement, in continuity with last year, company actions on the 2023 fixed remuneration component will continue to be characterised, also in view of the cost restrictions set by the restructuring plan and the above-mentioned commitments, by strong selectivity and high “prioritisation” requirements.

This Board of Statutory Auditors supervised the remuneration aspects pertinent to the Bank, including by its Chairperson (or a Statutory Auditor delegated by them) participating in the 18 meetings of the Remuneration Committee held in the course of 2022.

The Statutory Auditors also acknowledge that the Compliance Function reviewed the proposed Remuneration Policies for the year 2023, highlighting their overall compliance with governing regulations, represented in the specific “Report on the Compliance of



Remuneration and Incentive Policies" presented to the Board of Statutory Auditors at the meeting of 7 March 2023 and submitted to the Board of Directors on 8 March 2023.

The Risk Control function, as a result of the competence analyses, summarised in the "Report on the consistency between remuneration policies and the Risk Appetite Framework - year 2023" illustrated in the meeting of the Board of Statutory Auditors of 7 March 2023, also considered that the planned remuneration and incentive policies and the consequent forms of variable remuneration reported in the 2023 Remuneration Report are consistent with the Risk Appetite Framework system of the Montepaschi Group and with the numerical thresholds expressed in the Group's Risk Appetite Statement for 2023 approved by the Board of Directors.

For the purposes of the Remuneration Report, although it did not introduce a specific constraint also on compliance with the MREL, the Risk Management Function has verified compliance with all regulatory constraints on the payment of any form of variable remuneration.

The Board of Statutory Auditors has reviewed the findings of the report issued by the Internal Audit Function "Remuneration and Incentive Policies and Practices" on the compliance of remuneration practices with the policies approved by the Shareholders' Meeting on 12 April 2022 and with the regulations in force. The report concludes with the formulation of a green grade (corresponding to a rating of 1 on a scale of four levels of increasing criticality).

5. Other information

5.1 Relations with subsidiaries

The supervisory activity of this Control Body extended, also at consolidated level, to the subsidiaries with regard to the assessment of the adequacy of the intra-group information flows in relation to the Group's legal obligations and operational needs.

In this perspective, the Board of Statutory Auditors has verified the adequacy of the instructions provided to the Subsidiaries (art. 114, para. 2, of the Consolidated Law on Finance), so that the Subsidiaries can provide the information necessary to fulfil the communication obligations established by law.

In addition, in order to obtain greater knowledge regarding the corporate activities and, in particular, of the procedures for overall risk management, this Board acquired and exchanged information with the equivalent Control Bodies of the Subsidiaries on the most significant issues that affected the year.

With regard to this, also as provided for by art. 151, paragraph 2 of the Consolidated Law on Finance and by the Supervisory Provisions of the Bank of Italy, specific meetings were held during the past year with the Boards of Statutory Auditors of the main subsidiaries attended, as considered to be necessary, by the Managers of the Parent Company's Audit



and Compliance Functions, also by virtue of the centralisation of the same Functions of the Subsidiary Companies.

With regard to MPS Capital Services Banca per le imprese Spa, the functional and informative connection between the two control bodies was also ensured by the fact that the Chairperson of the Board of Statutory Auditors of the Parent Company holds the same position at the Subsidiary.

During these meetings the attention was focused, in particular, on the general development of corporate activities, on any observations on the financial statements, on the outcomes of the meetings with the appointed Independent Auditors, on the operation of the internal control system, on the risk management procedure and on governance, as well as on any irregularities identified in the performance of the activities by the Independent Auditors.

Particular attention was paid by this Board of Statutory Auditors to the efficient and timely performance of the activities and initiatives put in place for the completion of the merger processes which, according to the projects included in the 2022-2026 Business Plan, concern MPS Leasing & Factoring, MPS Capital Services and the Consorzio Operativo di Gruppo, the latter, as mentioned, merged on 2 December 2022.

A similar and useful exchange of information was also set up on the subject of the exit of resources as a result of the redundancy manoeuvre, which also involved the Subsidiaries, in order to ensure adequate management of the staff reintegration plan. In this regard, the Statutory Auditors conducted specific discussions with the Functions directly involved.

The Board of Statutory Auditors acknowledges that it has also carried out the necessary exchange of information with the Supervisory Body of MPS Tenimenti Poggio Bonelli e Chigi Saracini Spa, a company mainly operating in the viticulture as well as hospitality sector, in light of the provision of the specific commitment of DGComp, related to the 2017-2021 Restructuring Plan, subject to confirmation at the time of the review of the commitments by DGComp, published on 3 October 2022. More specifically, this Commitment requires the Parent Company to transfer some non-strategic equity investments, including MPS Tenimenti Spa.

In this regard, the Statutory Auditors have carried out specific audits, with the support of the competent corporate functions, on the actions implemented by the Bank for the sale of the Subsidiary, in order to comply with the aforementioned DGComp commitment.

As at the filing date of this Report, discussions are pending for the possible sale. In the meantime, the Subsidiary, in agreement with the Parent Company, will arrange for the renewal of the Corporate Bodies, currently under extension.

Overall, during the afore-mentioned meetings, no particular significant elements worthy of note have emerged.



5.2 Audits by Supervisory Authorities

As part of the prudential supervision programme adopted by the ECB, to which the Parent Company is subject, reference is made below to the inspection activities carried out by the Supervisory Authority in 2022 and the main communications with the same, referable to inspections carried out in previous years and for which completion activities are still ongoing.

In the latter area, to be noted is the continuation of the project activities arising from (i) OSI-2018-3832 on information risk, aimed at strengthening information security processes and procedures, in relation to which some of the activities scheduled in the Data Governance Plan remain to be completed, and (ii) OSI-2019-4356 on the liquidity allocation process and internal transfer rate, the remedial measures for which are scheduled to be completed shortly, with the implementation of interventions related to the Bank's Business Unit performance monitoring system. In addition, in line with the timeline defined by the Supervisory Authority, the remedial actions outlined in the Follow-Up letter of the banking book interest rate risk inspection (OSI-2019-3834) were implemented.

In the course of 2022 the ECB carried out a number of initiatives aimed at guaranteeing adequate climate and environmental risk management by banks.

This is the context of the first stress test on the aforementioned risks (Climate Stress Test 2022) carried out by the ECB on banks subject to the SSM, including Banca MPS, which provided the so-called starting points, namely the relevant credit and market exposures as a starting point for the simulation - and for which the actual simulations (known as scenario projections) were developed centrally by the ECB.

In addition, during the course of the year, the Thematic Review focusing on the same risks was launched and in relation to it the ECB, in its report published on 2 November 2022, found an inadequate level of climate/environmental risk management compared to its expectations, and identified the end of 2024 as the deadline for banks to meet the expected standards, including continuous monitoring and, if necessary, taking direct action to achieve the target.

As highlighted by the Supervisory Authority, both of the above analyses are not intended to have a direct impact on capital requirements, although their outcomes are considered within the SREP process and therefore may have some significance in determining specific qualitative requirements and/or, indirectly, the P2R, and therefore with respect to the capital levels the Group is required to meet.

During the second quarter of 2022, a credit and counterparty risk inspection (OSI 0198380) was initiated by the ECB in order to identify and quantify any impairment effects on the portfolios under audit, verify the IFRS 9 provisioning model for portfolios under review and review the credit classification and provisioning process. The activities were completed in the third quarter of 2022 and the Bank received the final audit report in February 2023, and is waiting to receive from the ECB the letter notifying the findings and the related recommendations, in order to define the plan for remedying the shortcomings identified.



With reference to the IMI (Internal Model Investigation) audits conducted on the internal models adopted for credit risk assessment, to be noted is the inspection activity initiated by the ECB in February 2022 (IMI-2022-ITMPS-0197502) for the approval of the request for authorisation (sent by the Bank on 9 November 2021) to make material changes to the credit risk models, essentially related to the alignment of the AIRB models with the new regulatory reference standard (EBA/GL/2017/16), with the resolution of findings emerged in previous inspections and with the roll-out of the EAD parameter. The verification activities were completed in May 2022 and on 1 March 2023 the Bank received from the ECB the final Decision including the "Obligations" to be followed by the plan of the related remedial actions.

In relation to IMI 4857 conducted by the ECB in the period November 2020 - January 2021 and aimed at the analysis of the *application model change* in the New DOD (New Definition of Default) area, in line with the objectives and timing of the 2022-2026 Business Plan, the Bank has submitted a request for the extension to 30 June 2023 of the deadlines referring to two residual findings, one on the subsidiaries' systems and the other in the area of data quality; the ECB has approved this extension with the Decision received on 20 January 2023.

Finally, it should be noted that in the second half of 2022, the JST restarted the series of annual on-site meetings with Directors, Statutory Auditors and Management which were suspended during the pandemic period. This includes the "*Targeted Review of the bank's Management Body effectiveness*", i.e. a thematic analysis of the effectiveness of the Management Bodies of the Banks, with a focus on the operation and supervision capacity of said Bodies. Banca MPS was included in the panel of banks subject to analysis. This was a horizontal activity, part of the inspection plan ("*Supervisory Examination Program 2022-24 - SEP*"), which also involved this Board of Statutory Auditors. The meeting on that topic was held on 18 October 2022.

The main communications with the national Supervisory Authorities are described below.

On 3 May 2022, a Consob audit on the Parent Company began, aimed at ascertaining the state of compliance with the new legislation resulting from the adoption of Directive 2014/65/EU (so-called MiFID II) with regard to the following profiles: (i) the procedural arrangement defined in terms of product governance; (ii) the procedures for assessing the adequacy of transactions carried out on behalf of customers. On 17 February 2023, the closing inspection meeting was held; the relative results, not yet received as at the date of this Report, are expected in the first part of the current year.

On 7 November 2022, the Bank of Italy launched an on-site inspection on the subsidiary Widiba focused on verifying the controls adopted to mitigate the risks of money laundering related to the digital on-boarding process. During the exit meeting with the AML-CFT Function (21 December 2022), the inspection team highlighted certain strengthening requirements on Banca Widiba, which were then summarised in the inspection report presented at the Board meeting of the Subsidiary on 7 March 2023. As previously reported, within 30 days of the aforementioned board meeting and thus after the date of this Report, the Subsidiary shall notify the Supervisory Board of its observations and the measures it has already taken or intends to take. The same information will also be sent to the corporate



Bodies of the Parent Company for their observations, which must be sent to the Supervisory Authority within the same term of 30 days.

Finally, follow-up and fine-tuning activities continued during 2022 regarding the interventions included in the 2021 Follow-Up Plan identified as necessary to finalise and reinforce the remedial actions of the 2020 Transparency Programme, approved in August 2020 in order to mitigate the findings resulting from the Bank of Italy inspections performed in the October 2019 - January 2020 period.

To be noted in particular is the specific communication of 8 February 2022 in which the Bank of Italy stated its necessity to receive additional information and clarifications with reference to certain aspects, also requesting the involvement of the Board of Directors and the Board of Statutory Auditors in the approval of the company's responses. The Board of Statutory Auditors therefore verified starting from the receipt of the above-mentioned letter the evolution of the activities aimed at preparing the information requested by the Authority in order to acquire the overall final documentation, transmitted to the Authority by the deadline it had set (8 April 2022). This was followed by a further update on what had been achieved in a subsequent communication sent to the Supervisory Board in October 2022.

In December 2022, the Board of Statutory Auditors reviewed the results of the audit on Transparency, focused on assessing the effectiveness of the interventions of the Transparency Remediation Plan (2nd *tranche*), noting the effectiveness of most of the actions remedies put in place by the Bank, the areas for improvement identified by the Audit Function itself, which show the need to continue to maintain a high level of attention on the issue of transparency and on compliance with the related disclosure obligations.

5.3 Complaints and petitions

In the period between 1 January 2022 and the filing date of this Report (27 March 2023), no complaints were received pursuant to Article 2408 of the Italian Civil Code, whereas during the year, a number of complaints and/or claims were addressed to this Board of Auditors, sometimes even only for information purposes, which did not, however, concern matters or circumstances worthy of particular mention.

However, the Board of Statutory Auditors has always taken steps to verify the basis of what is being highlighted by the relevant officials and to promote, if necessary, the removal of the causes at the origin of the claim themselves, especially when referring to internal organisational aspects or conduct by the Bank that are not considered fully adequate.

5.4 Corporate governance and the Corporate Governance Code

The Board of Statutory Auditors operates within the scope of integrated governance and adequate and structured internal-company information flows. The Statutory Auditors has taken note of the information provided in the Annual Report on corporate governance and ownership structure for the year 2022, approved by the Board of Directors at its meeting on 8 March 2023, and has verified its compliance with art. 123-bis of the Consolidated Law on Finance, with the standard most recently released by Borsa Italiana (IX edition January 2022), ascertaining the adequacy and completeness of the information contained therein.



The above mentioned Report was also compliant with the new Corporate Governance Code approved by the Italian Committee for Corporate Governance on 30 January 2020, entered into force on 1 January 2021 and to which the Bank adheres.

Compliance of the Bank with the above mentioned Corporate Governance Code entails a balanced composition of the corporate bodies, the appropriate assignment of powers, the balanced differentiation of roles and responsibilities, as well as the prevention of conflicts of interest, and it bases its organisational foundations on effective controls, the identification and monitoring of all enterprise risks, adequate information flows and on corporate social responsibility.

The corporate governance system was also outlined in compliance with current regulations of the Code, banking and financial supervision. As a listed company and parent company of the Montepaschi Group, BMPS complies in fact with Italian and supranational regulatory requirements relating to issuers of securities listed on a regulated market and, being a bank, is subject to the applicable legislative, regulatory and supervisory provisions for banks and banking groups.

Based on the criteria laid down in the Supervisory Provisions concerning the corporate governance of banks, BMPS is a significant bank in terms of size and operational complexity and is subject to the prudential supervision of the European Central Bank.

The corporate governance adopted is broken down into coordinated rules and structures functional to the performance of the Bank's activities and the pursuit of its strategies, guaranteeing transparent and accurate management of internal relationships amongst the various bodies and functions of the Company and between the latter and its shareholders and investors in general.

The Board of Statutory Auditors, in consideration of its responsibility to supervise the methods of concrete implementation of the Code, has shared internally, for the appropriate assessments, the "2022 Report" and the "Recommendations of the Committee for 2023" addressed to Italian listed companies by the Italian Corporate Governance Committee with a letter dated 25 January 2023.

The Statutory Auditors agree with the considerations expressed by the Bank in the above-mentioned Report on Corporate Governance and Ownership, concerning the good quality of BMPS' governance and the absence of critical profiles with reference to the aspects indicated in the letter of the Corporate Governance Committee.

The Supervisory Provisions for banks (Bank of Italy Circular no. 285/13), together with the provisions contained in the Corporate Governance Code, establish the periodic self-assessment by the Board of Directors on its qualitative-quantitative composition, size, degree of diversity and professional qualifications, the guaranteed balance of non-executive and independent components, the adequacy of the appointment processes and selection criteria, continuing professional training, as well as with reference to the internal committees of the Board of Directors. The Board of Statutory Auditors is also required to carry out this self-assessment annually, pursuant to these same Supervisory Provisions.



The Bank, in accordance with the *pro-tempore* regulations in force, has formalised in an internal Directive the organisational model adopted by the Group (principles and responsibilities) for the assessment of the fitness requirements established for the performance of the role of representatives of banks and other financial intermediaries, laying out the reference criteria for the specific assessment of director independence requirements.

The Directive also includes the model of information flows between the Parent Company and the MPS Group Companies required to meet regulations on the fitness requirements of their representatives, in order to coordinate the success of the administrative procedures launched over time with the responsible Supervisory Authorities (Bank of Italy and European Central Bank) as prescribed by supervisory rules in force on the matter.

With regard to this, in accordance with the Supervisory Provisions and with its own Regulation, the Board of Statutory Auditors had conducted a self-evaluation process for the year 2022, availing itself for the relative activities of the help of an external and independent advisor, experienced in corporate governance and board effectiveness.

On 24 January 2023, the Board of Statutory Auditors concluded the self-assessment process on its adequacy in terms of composition and on the proper and effective functioning of the Body. The Board of Statutory Auditors, also on the basis of what was concluded by the advisor, who presented a document containing the results from the assessment activity and from which no specific areas for improvement of the operations of the same Body are identified, has assessed its composition as adequate, also in light of its development over time and the diversity in terms of skills, expertise and experience, as well as gender, which ensured the effective functioning of the Body on a continuous basis.

The Corporate Governance Code also requires the Board of Statutory Auditors to verify the proper application of the criteria and procedures adopted by the Board of Directors for the annual evaluation of its members' fulfilment of independence requirements. Similarly, the Board of Statutory Auditors also confirmed that its members meet the same requirements, moreover introducing the adoption of adequate internal safeguards for the prevention of any potential conflict of interest which could alter its regular functioning. The relative reports have been provided to the Supervisory Authorities concerned.

In particular, the Board of Statutory Auditors verified its own composition with regard to the independence criteria indicated by the same Code for directors and the provisions of article 148 of the Consolidated Law on Finance. The outcomes of this verification, communicated to the Board of Directors as provided for by the same Code, confirm that all members of the Board of Statutory Auditors of the Bank meet the legal and regulatory requirements.

In view of the renewal of the Body for the 2023-2025 financial years, the Board of Statutory Auditors has approved the document "Guidelines of the Board of Statutory Auditors of Banca Monte dei Paschi di Siena Spa to Shareholders on the size and composition of the new Board of Statutory Auditors", with which, in compliance with current regulations it has identified in advance the qualitative and quantitative composition of the Control Body



considered optimal in relation to the objectives defined by the regulations, as well as identifying and explaining the theoretical profile (including the characteristics of professionalism, competence and independence) of the candidates considered appropriate for these purposes, along with the required level of commitment. The result of the analysis carried out by the Control Body was made available to the Shareholders - through publication on the Company's website on 2 March 2023 - so that they can take it into account when selecting the candidates.

In the aforementioned Guidelines, to which reference should be made for further details, the exiting Board of Statutory Auditors, acknowledging that the current number of three members provided for by the Articles of Association is to be considered adequate to ensure the proper functioning of the Control Body, trusts that the new Statutory Auditors will meet the appropriate requirements and provide sufficient time commitment in order to be able to fully perform the complex supervisory activity that must be performed on a significant bank such as BMPS. The knowledge and information acquired during the term of office will be made available to the newly appointed members of the Board of Statutory Auditors, also through appropriate handing over where deemed necessary.

Art. 17 of the By-laws, in compliance with regulations and internal regulations in force, requires the establishment within the Board of Directors, with advisory and proposal functions, of the Risk and Sustainability Committee, the Appointments Committee, the Remuneration Committee and the Related Party Transactions Committee, consisting of from 3 to 5 Directors, all non-executive, the majority independent (with the exception of the Related Party Transactions Committee, consisting exclusively of Independent directors), ensuring the presence of at least one of the directors elected by non-controlling shareholders. They have adopted their own regulations, duly approved with specific resolutions of the Board of Directors.

Constant and accurate information was exchanged with the Risk and Sustainability Committee, whose meetings are attended by the Statutory Auditors. In accordance with the Rules of this Committee, the Chairperson of the Board of Statutory Auditors or an Auditor designated thereby may participate in the work of the committee. During the year, when deemed necessary, joint meetings of the Risk and Sustainability Committee were held with the Board of Statutory Auditors, also in order to guarantee a coordinated and timely review of the matters, encouraging their effective discussion in the joint presence of the Functions concerned.

The Control Body has also constantly participated with at least one of its representatives in the meetings of the Committee for Related-party Transactions, the Appointments Committee and the Remuneration Committee. The Chairperson of the Board of Statutory Auditors or a delegated Statutory Auditor has attended all of the respective meetings.

Independent director Mr Nicola Maione, who is also the Chairman of the Appointments Committee and a member of the 231/2001 Supervisory Body of the Bank, is designated as the Bank's Lead Independent Director.



During 2022, in order to adequately perform its duties of supervising compliance with the principles of proper administration, the Board of Statutory Auditors has attended the Ordinary Shareholders' Meeting of 12 April, the Extraordinary Shareholders' Meeting of 15 September and all meetings of the Board of Directors held during the year (with a 100% attendance rate). At the afore-mentioned meetings, all the matters dealt with were checked in advance and, when deemed necessary, the same matters were subject to in-depth analysis and clarification, also with the option of requesting more information from the Bank's bodies or the competent functions.

In 2022, the activity of the Supervisory Body continued, pursuant to Italian Legislative Decree no. 231/01, consisting of three members, two of whom are external professionals and one independent director in accordance with the requirements of the Corporate Governance Code, to which the Board of Directors resolved to assign management tasks in such matter both for the Bank and for the main Subsidiaries. This Body has its own internal regulation governing its functions, composition and operating methods, as well as information flows with the Board of Directors and the Board of Statutory Auditors.

In this regard, in order to ensure the most complete performance of control activities, the functional and information liaison between the Board of Statutory Auditors and the Supervisory Board is ensured not only by the periodic exchange of the appropriate information flows, but also by the fact that the minutes of the Board's meetings, once approved, are transmitted and brought to the attention of the Board of Statutory Auditors. The exchange of information with the Board of Statutory Auditors was adequate and some interventions on the part of the Audit Function were shared on some areas of greater attention. In this context, the Board of Statutory Auditors has acknowledged the adequacy and effectiveness of the organisational model adopted in compliance with the applicable regulations, as well as the absence of reports (among those received) concerning its violation for the financial year under review, as reported to us by the Coordinator of the Body in the meeting held on 14 March 2023.



Conclusions

On the basis of what was illustrated above, we can confirm that nothing emerged that could be subject to reproach and no irregularities were found worthy of specific mention to the shareholders and there were no significant omissions in the performance of the company business for the 2022 fiscal year.

Hence, the Board of Statutory Auditors, having considered the content of the Reports drawn up by the Independent Auditor, having acknowledged the declarations issued jointly, with a favourable outcome, by the Board of Directors, after consulting with the Risk and Sustainability Committee and Financial Reporting Officer, having no proposals to be made pursuant to art. 153, para. 2 of the Consolidated Law on Finance, asks the Shareholders' Meeting to approve the financial statements as at 31 December 2022 of Banca Monte dei Paschi di Siena Spa, which closed with a loss of EUR 135,781,910 and to carry forward the loss from the second half of the year amounting to EUR 232,747,069.96.

Lastly, the Control Body reminds you that its mandate has reached its natural expiration and invites you to take the consequent decisions, thanking you for the trust you have placed in us.

The Board of Statutory Auditors

Signed by
The Chairman
Enrico Ciai

Signed by
The Standing Auditor
Luisa Elisabetta Cevasco

Signed by
The Standing Auditor
Luigi Soprano

Rome, 27 March 2023



ANNEXES



Disclosure of Independent Auditors' fees

Pursuant to the provisions of art. 149-duodecies of the Consob Issuers' Regulations, the table below provides information on the fees paid to the Independent Auditors PricewaterhouseCoopers S.p.A. and to the companies belonging to the same network for the services detailed below:

31 12 2022		
Type of services	Service provider	Total
Auditing	Pricewaterhousecoopers S.p.a.	1,207
Other attest services	Pricewaterhousecoopers S.p.a.	461
Other services	Pricewaterhousecoopers S.p.a.	619
Total		2,287

Amounts are exclusive of V.A.T., ancillary expenses and Consob contribution.

**PENSION FUNDS – Defined benefit pension funds without plan assets****“Supplementary Pension Fund for personnel of former Concessioni Riscossioni Tributi”**

Accounting statement as at 31 12 2022	(in units of Eur)
Opening balance as at 01 01 2022	15,776,705
Increases	38,225
- provisions for the year	38,225
- Other	-
Decreases	1,516,049
- Benefit paid	1,492,184
- Other	23,865
Closing balance as at 31 12 2022	14,298,881

“Supplementary Pension Fund for personnel of former Banca Operaia di Bologna”

Accounting statement as at 31 12 2022	(in units of Eur)
Opening balance as at 01 01 2022	4,732,086
Increases	24,921
- provisions for the year	24,921
- Other	-
Decreases	471,500
- Benefit paid	395,002
- Other	76,498
Closing balance as at 31 12 2022	4,285,507

“Supplementary Pension Fund for personnel of former Banca di Credito Popolare e Cooperativo di Reggio Emilia”

Accounting statement as at 31 12 2022	(in units of Eur)
Opening balance as at 01 01 2022	597,621
Increases	4,325
- provisions for the year	4,325
- Other	-
Decreases	142,507
- Benefit paid	35,679
- Other	106,828
Closing balance as at 31 12 2022	459,439



“Supplementary Pension Fund for personnel of former Banca Popolare Veneta”

Accounting statement as at 31 12 2022	(in units of Eur)
Opening balance as at 01 01 2022	704,718
Increases	422
- provisions for the year	422
- Other	-
Decreases	523,608
- Benefit paid	61,332
- Other	462,276
Closing balance as at 31 12 2022	181,532

“Supplementary Pension Fund for personnel of former Provveditori”

Accounting statement as at 31 12 2022	(in units of Eur)
Opening balance as at 01 01 2022	2,318,106
Increases	56,620
- provisions for the year	7,230
- Other	49,390
Decreases	254,599
- Benefit paid	254,599
- Other	-
Closing balance as at 31 12 2022	2,120,127

“Supplementary Pension Fund for personnel of former Credito Lombardo”

Accounting statement as at 31 12 2022	(in units of Eur)
Opening balance as at 01 01 2022	2,131,845
Increases	5,144
- provisions for the year	5,144
- Other	-
Decreases	498,606
- Benefit paid	218,287
- Other	280,319
Closing balance as at 31 12 2022	1,638,383

**“Supplementary Pension Fund for personnel of former Banca Toscana”**

Accounting statement as at 31 12 2022	(in units of Eur)
Opening balance as at 01 01 2022	438,427
Increases	-
- provisions for the year	-
- Other	-
Decreases	-
- Benefit paid	-
- Other	-
Closing balance as at 31 12 2022	438,427



PENSION FUNDS – defined benefit and defined contribution pension funds with plan assets

“Supplementary Pension Fund for personnel of former BNA” – Defined benefit section

BALANCE SHEET

		(in units of Eur)		
	Assets	31 12 2022	31 12 2021	Changes
10	Direct investments	19,592,930	21,392,572	(1,799,642)
	a) Deposits	19,592,930	176,562	19,416,368
	b) Receivables from repo transactions	-	-	-
	c) Securities issued by Governments and other international institutions	-	-	-
	d) Listed debt securities	-	21,118,317	(21,118,317)
	e) Listed equity securities	-	-	-
	f) Unlisted debt securities	-	-	-
	g) Unlisted equity securities	-	-	-
	h) Units of UCITS	-	-	-
	i) Options purchased	-	-	-
	l) Accrued income and prepayments	-	97,693	(97,693)
	m) Profit guarantees released to pension fund	-	-	-
	n) Other assets from financial activities	-	-	-
	o) Accrued income not yet received	-	-	-
20	Managed investments	-	-	-
30	Profit guarantees on individual accounts	-	-	-
40	Assets from administrative activities	-	-	-
50	Tax receivables	111,033	20,306	90,727
	TOTAL ASSETS	19,703,963	21,412,878	(1,708,915)
Liabilities		31 12 2022	31 12 2021	Changes
10	Liabilities from social security	-	-	-
20	Liabilities from financial activities	-	-	-
30	Profit guarantees on individual accounts	-	-	-
40	Liabilities from administrative activities	-	-	-
50	Tax payables	(20,306)	-	(20,306)
	b) tax payables for current period	(20,306)	-	(20,306)
	a) tax credit for prior period	-	-	-
	TOTAL LIABILITIES	(20,306)	-	(20,306)
100	Net assets available for payment of benefits	19,724,269	21,412,878	(1,688,609)
	Net assets available for payment of benefits in previous year	21,412,878	22,566,957	(1,154,079)
	Changes in net assets available payment of benefits	(1,688,609)	(1,154,079)	(534,530)

**INCOME STATEMENT**

(in units of Eur)			
	31 12 2022	31 12 2021	Changes
10 Balance of social security management	(911,381)	(1,011,937)	100,556
a) Contributions for benefits	-	-	-
b) Advances	-	-	-
c) Transfers and redemptions	-	-	-
d) Transfers to annuities	-	-	-
e) Payments in capital	-	-	-
f) Premiums for additional benefits	-	-	-
g) Payments in annuities	(911,381)	(1,011,937)	100,556
h) Other payments	-	-	-
20 Profit (loss) from direct financial activities	(888,261)	(162,448)	(725,813)
a) Interest and profit on bonds and government securities	360,437	425,922	(65,485)
b) Interest on cash equivalents	-	-	-
c) Profits and losses from financial transactions	(1,248,698)	(588,370)	(660,328)
d) Interest (expense) from repo transactions	-	-	-
e) Pension fund profit guarantee difference	-	-	-
f) Contingent assets	-	-	-
g) Forfeitures charged to the participants	-	-	-
h) Kickbacks from UCITS	-	-	-
i) Commission expense	-	-	-
30 Profit (loss) from indirect financial activities	-	-	-
40 Operating expenses	-	-	-
a) Management companies	-	-	-
b) Custodian bank	-	-	-
c) Insurance policy	-	-	-
d) "State supervision" contribution	-	-	-
50 Financial and insurance income (loss) (20+30+40)	(888,261)	(162,448)	(725,813)
60 Balance from administrative activities	-	-	-
a) General and administrative expenses	-	-	-
70 Changes in net assets available for payment of benefits before substitute tax (10+50+60)	(1,799,642)	(1,174,385)	(625,257)
80 Substitute tax	111,033	20,306	90,727
Changes in net assets available for payment of benefits (70+80)	(1,688,609)	(1,154,079)	(534,530)



“Supplementary Pension Fund for personnel of former Banca Toscana” - Defined benefit section

BALANCE SHEET

		(in units of Eur)		
Assets		31 12 2022	31 12 2021	Changes
10	Direct investments	62,758,084	69,650,602	(6,892,518)
	a) Deposits	62,758,084	66,193,293	(3,435,209)
	b) Receivables from repo transactions	-	-	-
	c) Securities issued by Governments and other international institutions	-	-	-
	d) Listed debt securities	-	3,393,964	(3,393,964)
	e) Listed equity securities	-	-	-
	f) Unlisted debt securities	-	-	-
	g) Unlisted equity securities	-	-	-
	h) Units of UCITS	-	-	-
	i) Options purchased	-	-	-
	l) Accrued income and prepayments	-	63,345	(63,345)
	m) Profit guarantees released to pension fund	-	-	-
	n) Other assets from financial activities	-	-	-
	o) Accrued income not yet received	-	-	-
20	Managed investments	-	-	-
30	Profit guarantees on individual accounts	-	-	-
40	Assets from administrative activities	-	-	-
50	Tax receivables	-	-	-
	TOTAL ASSETS	62,758,084	69,650,602	(6,892,518)
Liabilities		31 12 2022	31 12 2021	Changes
10	Liabilities from social security	-	-	-
20	Liabilities from financial activities	-	-	-
30	Profit guarantees on individual accounts	-	-	-
40	Liabilities from administrative activities	-	-	-
50	Tax payables	-	-	-
	TOTAL LIABILITIES	-	-	-
100	Net assets available for payment of benefits	62,758,084	69,650,602	(6,892,518)
	Net assets available for payment of benefits in previous year	69,650,602	76,366,612	(6,716,010)
	Changes in net assets available payment of benefits	(6,892,518)	(6,716,010)	176,508

**INCOME STATEMENT**

		(in units of Eur)		
		31 12 2022	31 12 2021	Changes
10	Balance of social security management	(6,378,162)	(6,731,582)	353,420
	a) Contributions for benefits	-	(19,068)	19,068
	b) Advances	-	-	-
	c) Transfers and redemptions	-	-	-
	d) Transfers to annuities	-	-	-
	e) Payments in capital	-	-	-
	f) Premiums for additional benefits	-	-	-
	g) Payments in annuities	(6,378,162)	(6,712,514)	334,352
	h) Other payments	-	-	-
20	Profit (loss) from direct financial activities	(514,356)	15,572	(529,928)
	a) Interest on cash equivalents	121,121	127,038	(5,917)
	b) Profits and losses from financial transactions	-	-	-
	c) fees and commissions on securities lending	(635,477)	(111,466)	(524,011)
	d) Interest (expense) from repo transactions	-	-	-
	e) Pension fund profit guarantee difference	-	-	-
	f) Contingent assets	-	-	-
	g) Forfeitures charged to the participants	-	-	-
	h) Kickbacks from UCITS	-	-	-
	i) Commission expense	-	-	-
30	Profit (loss) from indirect financial activities	-	-	-
40	Operating expenses	-	-	-
	a) Management companies	-	-	-
	b) Custodian bank	-	-	-
	c) Insurance policy	-	-	-
	d) "State supervision" contribution	-	-	-
50	Financial and insurance income (loss) (20+30+40)	(514,356)	15,572	(529,928)
60	Balance from administrative activities	-	-	-
	a) General and administrative expenses	-	-	-
70	Changes in net assets available for payment of benefits before substitute tax (10+50+60)	(6,892,518)	(6,716,010)	(176,508)
80	Substitute tax	-	-	-
	Changes in net assets available for payment of benefits (70+80)	(6,892,518)	(6,716,010)	176,508